

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[999 NE2d 1121, 977 NYS2d 676]

ERIC LANDON, Individually and on Behalf of All Others Similarly
Situating, Respondent, v KROLL LABORATORY SPECIALISTS,
INC., Appellant.

Argued September 3, 2013; decided October 10, 2013

SUMMARY

APPEAL by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 22, 2011. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Orange County (David S. Ritter, J.), as had granted that branch of defendant’s motion which was to dismiss the complaint pursuant to CPLR 3211 (a) (7); and (2) denied that branch of defendant’s motion. The following question was certified by the Appellate Division: “Was the opinion and order of this Court dated November 22, 2011, properly made?”

Landon v Kroll Lab. Specialists, Inc., 91 AD3d 79, affirmed.

HEADNOTE

**Negligence — Duty — Duty of Drug Testing Laboratory to Drug Test
Subject Not Party to Drug Testing Contract**

Plaintiff, a probationer who was required to serve an extended term of probation after his oral fluid sample was tested by defendant drug testing laboratory pursuant to defendant’s contract with the County and found to be positive for THC, stated a cause of action against defendant for the alleged negligent testing of his biological sample. Defendant had a duty to plaintiff to perform his drug test in keeping with relevant professional standards. Although there was no contractual relationship between the parties, a duty of

care is assumed to certain individuals outside of a contract where the contracting party, in failing to exercise reasonable care in the performance of its duties, launches a force or instrument of harm. Accepting the allegations of the complaint as true, defendant did not exercise reasonable care in the testing of plaintiff's biological sample when it failed to adhere to professionally accepted testing standards and, consequently, released a report finding that plaintiff had tested positive for THC. The independent blood test defendant obtained the same day that he provided the oral fluid sample and the urine test he submitted approximately two weeks later were both negative for THC. The alleged harm to plaintiff was not remote or attenuated. It was his own biological specimen that was the sole subject of the testing and he was directly harmed by the positive test result causing the extension of his probation and the necessity of having to defend himself in the attendant court proceedings. Moreover, there are strong policy-based considerations for finding that defendant owed a duty to plaintiff under the circumstances. The release of a false positive report would have profound, potentially life-altering, consequences for a test subject, and the laboratory is in the best position to prevent false positive results.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 846; AM JUR 2d, Negligence §§ 73, 75, 76, 78 79, 134.
NY JUR 2d, Criminal Law: Procedure §§ 3062, 3080; NY JUR 2d, Health and Sanitation §§ 48, 49; NY JUR 2d, Negligence §§ 20, 24.

ANNOTATION REFERENCE

Liability of clinical laboratories for negligence. 19 ALR6th 793.

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POINTS OF COUNSEL

Anderson & Ochs, LLP, New York City (*Mitchel H. Ochs, Jason A. Stern* and *Michael J. Hasday* of counsel), for appellant.
I. The Appellate Division erred as a matter of law in reinstating the complaint sounding in negligence. (*Matter of New York City Asbestos Litig.*, 5 NY3d 486; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Brothers v New York State Elec. & Gas Corp.*, 11 NY3d 251; *Espinal v Melville Snow Contrs.*, 98 NY2d 136; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *Westpac Banking Corp. v Deschamps*, 66 NY2d 16; *Stiver v Good & Fair Carting &*

Moving, Inc., 9 NY3d 253; *Calamari v Grace*, 98 AD2d 74; *Pandolfo v U.A. Cable Sys. of Watertown*, 171 AD2d 1013.) II. The Appellate Division erred in recognizing a new cause for liability in favor of a probationer against a private testing laboratory concerning drug test results reported as part of the terms and conditions of his probation. (*Wilson v City of New York*, 294 AD2d 290; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Du Chateau v Metro-North Commuter R.R. Co.*, 253 AD2d 128; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Coleman v Corporate Loss Prevention Assoc.*, 282 AD2d 703; *Santiago v Greyhound Lines, Inc.*, 956 F Supp 144; *Morrissey v Brewer*, 408 US 471; *People v Gilmore*, 63 AD2d 45; *People v Spragis*, 5 AD3d 814; *People ex rel. Williams v Eno*, 134 App Div 527.)

Eric Landon, pro se. *Robert N. Isseks*, Middletown, and *Bloom & Bloom, P.C.*, New Windsor (*Kevin D. Bloom* of counsel), on the brief, for respondent. I. The Appellate Division correctly held that a drug testing laboratory owes a duty of care to the subjects of its drug tests. (*532 Madison Ave. Gourmet Foods v Finlandia Ctr.*, 96 NY2d 280; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Moch Co. v Rensselaer Water Co.*, 247 NY 160; *Chapman v Labone*, 460 F Supp 2d 989; *Coleman v Town of Hempstead*, 30 F Supp 2d 356; *Santiago v Greyhound Lines, Inc.*, 956 F Supp 144; *Stiver v Good & Fair Carting & Moving, Inc.*, 9 NY3d 253; *Espinal v Melville Snow Contrs.*, 98 NY2d 136; *Matter of New York City Asbestos Litig.*, 5 NY3d 486; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27.) II. The complaint alleges legally cognizable harm and loss. (*Kennedy v McKesson Co.*, 58 NY2d 500; *Lando v State of New York*, 39 NY2d 803; *Lapidus v State of New York*, 57 AD3d 83; *Signature Health Ctr., LLC v State of New York*, 28 Misc 3d 543; *Barna v Travis*, 239 F3d 169; *People v Douglas*, 94 NY2d 807; *Central Trust Co., Rochester v Goldman*, 70 AD2d 767; *Shindler v Lamb*, 25 Misc 2d 810, 10 AD2d 826, 9 NY2d 621; *Fugazy Travel Bur. v Ernst & Ernst*, 31 AD2d 924; *Jones v Morgan*, 90 NY 4.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether plaintiff Eric Landon has stated a cause of action against defendant drug testing laboratory (Kroll) for the alleged negligent testing of his biological sample. Under the circumstances of this case, we find the complaint sufficient to withstand a motion to dismiss.

In January 2002, Landon was convicted of second degree forgery and was sentenced to a five-year term of probation. One of the conditions of Landon's probation was a requirement that he submit to random drug testing. Pursuant to a contract with Orange County and/or the Orange County Probation Department (the County), defendant Kroll, a Louisiana corporation, was engaged to test oral fluid samples provided by probationers for the presence of illicit or controlled substances.

On December 17, 2007, Landon's probation officer directed him to provide an oral fluid sample for testing. The sample was taken using an Intercept DOA Oral Specimen Collection Device, manufactured by Orasure Technologies, Inc. A simultaneous urine sample was not taken. Later the same day, Landon obtained an independent blood test, for the purpose of protecting himself from a potential false positive result. The blood test came back negative for illicit and controlled substances.

Kroll, however, detected the presence of cannabinoids in the oral sample exceeding a screen test cutoff level of 1 ng/ml. The laboratory generated a written report dated December 20, 2007 informing the probation department that Landon's sample had screen tested positive for THC. The probation department then filed a violation of probation (VOP) proceeding, seeking to have Landon's probationary sentence revoked and to have him incarcerated. The VOP petition alleged that Landon had violated two conditions of his probation in that he had tested positive for marijuana and he had falsely reported to his probation officer that he had not used drugs or alcohol.

Landon was arraigned on the VOP petition on January 2, 2008—one day before the term of his probation was set to expire. At that appearance, he provided the court and the probation department with the negative result from his independent blood test. He also submitted to a urine test at that time, which was likewise negative for THC. Nevertheless, the VOP proceedings went forward, requiring a number of court appearances during which the terms of his probation were continued. On March 20, 2008, the petition was withdrawn and the proceedings were terminated in Landon's favor.

Plaintiff commenced this action alleging that Kroll had issued the report reflecting the positive test result both negligently and as part of a policy of deliberate indifference to his rights. The basis for his claim was that the screen test cutoff level employed by Kroll was substantially lower than that recommended by Orasure or by federal standards and that Kroll failed

to disclose those differences in its report. As alleged in the complaint, the screen test cutoff level recommended by Orasure is 3.0 ng/ml and the level recommended by the United States Department of Health and Human Services Substance Abuse and Mental Health Services Administration (SAMHSA) is 4.0 ng/ml—both of which are substantially higher than the 1 ng/ml used by Kroll. The complaint further stated that, despite applicable New York State Department of Health Laboratory Standards requiring samples to be subject to confirmatory testing through the use of gas chromatography-mass spectrometry, Landon’s sample was not subject to any type of confirmation test before defendant reported a positive result. In addition, the complaint alleged that proposed revisions to SAMHSA guidelines contemplated requiring the taking of a urine sample, contemporaneous with the oral fluid sample, in order to protect federal workers from inaccurate results. The complaint maintained that Kroll knew of, and failed to disclose, the potential for false positive THC readings when oral fluid samples were tested without a simultaneous urine sample. Moreover, plaintiff alleged that the VOP petition was the result of systemic negligence in Kroll’s substance abuse testing practices. He asserted that he was required to serve an extended term of probation, thereby suffering a loss of freedom, as well as emotional and psychological harm, and monetary loss in the form of attorneys’ fees expended in defense of the VOP petition.

Supreme Court granted Kroll’s motion to dismiss for failure to state a cause of action. The Appellate Division reversed, finding that the complaint stated a cause of action against defendant drug testing laboratory for the negligent testing of plaintiff’s biological specimen, notwithstanding the absence of a contractual relationship between the parties (91 AD3d 79 [2d Dept 2011]). The Court recognized the harm that could flow from a false positive test result and reasoned that the laboratory’s duty ran only to a circumscribed category of individuals. The Appellate Division certified the following question for our review: “[w]as the opinion and order of this Court dated November 22, 2011, properly made?” (2012 NY Slip Op 64628[U] [2012].) We answer the certified question in the affirmative.

It is well settled that “[i]n assessing the adequacy of a complaint under CPLR 3211 (a) (7), the court must give the pleading a liberal construction, accept the facts alleged in the complaint to be true and afford the plaintiff the benefit of every possible favorable inference” (*J.P. Morgan Sec. Inc. v Vigilant*

Ins. Co., 21 NY3d 324, 334 [2013] [internal quotation marks and citations omitted]). Whether the plaintiff will ultimately be successful in establishing those allegations “ ‘is not part of the calculus’ ” (see *J.P. Morgan*, 21 NY3d at 334, quoting *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]).

As a threshold matter, we must determine whether Kroll owed plaintiff a duty of care. We have observed that, “[w]ithout a duty running directly to the injured person there can be no liability in damages, however careless the conduct or foreseeable the harm” (*Lauer v City of New York*, 95 NY2d 95, 100 [2000]). Here, while there is no contractual relationship between Kroll and Landon, the laboratory does have a contractual relationship with the County for the testing of biological samples.

Although the existence of a contractual relationship by itself generally is not a source of tort liability to third parties, we have recognized that there are certain circumstances where a duty of care is assumed to certain individuals outside the contract (see *Espinal v Melville Snow Contrs.*, 98 NY2d 136, 138-139 [2002]). As relevant here, such a duty may arise “where the contracting party, in failing to exercise reasonable care in the performance of [its] duties, launch[es] a force or instrument of harm” (*Espinal*, 98 NY2d at 140 [internal quotation marks and citation omitted]). This principle recognizes that the duty to avoid harm to others is distinct from the contractual duty of performance. Accepting the allegations of the complaint as true, Kroll did not exercise reasonable care in the testing of plaintiff’s biological sample when it failed to adhere to professionally accepted testing standards and, consequently, released a report finding that plaintiff had tested positive for THC. The alleged harm to plaintiff was not remote or attenuated. Indeed, it was his own biological specimen that was the sole subject of this testing and he was directly harmed by the positive test result causing the extension of his probation and the necessity of having to defend himself in the attendant court proceedings.

Additionally, there are strong policy-based considerations that counsel in favor of finding that Kroll owed a duty to plaintiff under these circumstances. Without question, the release of a false positive report will have profound, potentially life-altering, consequences for a test subject. In particular, here, plaintiff faced the loss of freedom associated with serving an extended period of probation. The laboratory is also in the best position to prevent false positive results. Under the circumstances, we find that Kroll had a duty to the test subject to perform his

drug test in keeping with relevant professional standards and that the existence of its contract with the County does not immunize defendant laboratory.

The situation presented here is also distinguishable from that presented in *Hall v United Parcel Serv. of Am.* (76 NY2d 27 [1990]), where we held that an individual who alleged he was pressured into resigning his employment as the result of a negligently administered polygraph examination did not have a negligence cause of action against the test administrator. We observed that the problem was not the lack of contractual privity between the plaintiff employee and the defendant investigator retained by plaintiff's employer, but rather that plaintiff sought to recover for injury to his reputation—harm that is subject to the heightened standards of a defamation cause of action (see *Hall*, 76 NY2d at 32-33). We declined to recognize a new cause of action, despite the potential for significant harm flowing from inaccurate test results, in part because the legislature had taken action to regulate the use of such devices (see *Hall*, 76 NY2d at 34-35). Indeed, Congress had enacted comprehensive legislation regarding the use of polygraph test results (see *Hall*, 76 NY2d at 35). Under the circumstances, we found no compelling basis to recognize a new tort. Here, by contrast, defendant does not seek to recover for damage to his reputation and there is no apparent statutory remedy for a victim of negligence whose injury was caused by a false positive drug test.

The result we reach today is in keeping with that of several other jurisdictions to recognize a duty in similar circumstances (see e.g. *Berry v National Med. Servs.*, 292 Kan 917, 257 P3d 287 [2011]; *Sharpe v St. Luke's Hosp.*, 573 Pa 90, 821 A2d 1215 [2003]; *Duncan v Afton, Inc.*, 991 P2d 739 [Wyo 1999]), as well as that of certain federal courts concluding that New York would recognize such a duty (see e.g. *Drake v Laboratory Corp. of Am. Holdings*, 2007 WL 776818, *2, 2007 US Dist LEXIS 17430, *5 [ED NY, Mar. 13, 2007, No. 02-CV-1924 (FB/RML)], *affd* 417 Fed Appx 84 [2d Cir 2011]; *Coleman v Town of Hempstead*, 30 F Supp 2d 356, 365 [ED NY 1999]).

In addition, we reject defendant's argument that plaintiff failed to allege that he has suffered a cognizable harm (see e.g. *Martinez v Long Is. Jewish Hillside Med. Ctr.*, 70 NY2d 697, 699 [1987] ["where there is a breach of a duty owed by defendant to plaintiff, the breach of that duty resulting directly in emotional harm is actionable"]). In this procedural posture,

plaintiff's allegations of the loss of freedom occasioned by the extension of his probation and the resulting emotional and psychological harm are sufficient to withstand a motion to dismiss. Defendant places too much weight upon our recent decision in *Dombrowski v Bulson* (19 NY3d 347 [2012]), characterizing it as holding that loss of freedom damages are not recoverable in negligence actions. In that case, we found that a legal malpractice action did not lie against a criminal defense attorney to recover nonpecuniary damages. The decision was based in part on policy considerations, including the potentially devastating consequences such liability would have on the criminal justice system and, in particular, the possible deterrent effect it would have on the defense bar concerning the representation of indigent defendants (*see Dombrowski*, 19 NY3d at 352). Similar policy considerations do not weigh in defendant's favor here.

Finally, we note that this complaint includes much more than a simple declaration by the plaintiff that he did not use marijuana prior to the Kroll test. Rather, the allegations of a loss of freedom, in conjunction with his particularized claim that he passed two contemporaneous drug screens that utilized proper and scientifically reliable testing protocols, are sufficient to withstand a motion to dismiss. Further, we emphasize the procedural posture—although we find that there is a duty that runs from defendant laboratory to plaintiff and that plaintiff has stated a cause of action, we express no opinion as to the ultimate merits of his claim.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question should be answered in the affirmative.

PIGOTT, J. (dissenting). The majority's opinion opens the door for probationers, parolees and others who are subject to mandatory drug testing in the criminal justice system, as well as job applicants and others who are subject to drug and alcohol testing, to bring tort actions against independent third-party drug laboratories based upon the results of such testing. Because the majority's opinion defines duty too broadly, I dissent and would answer the certified question in the negative.

It is the County of Orange that had a contract with defendant Kroll Laboratory Specialists, Inc. to conduct analyses of oral fluid samples of probationers for the presence of illicit and/or controlled substances. Here, a sample was taken from plaintiff

by his probation officer and sent to Kroll for screening. Kroll determined that the sample it received contained cannabinoids in an amount exceeding its 1 ng/mL screen test cutoff level as provided by its contract and reported these results to the Probation Department. The Probation Department filed a violation of probation (VOP) petition against plaintiff with the Orange County Court.

There is no relationship between plaintiff and Kroll, contractual or otherwise. Kroll did not know that plaintiff was the person whose sample was being tested, nor did plaintiff know that Kroll was the one doing the test. The control was strictly with the Probation Department that took the actions here, including deciding to file a VOP petition.

Because it is seemingly offended by what occurred here, the majority creates a new cause of action against third-party drug testing laboratories for “negligent testing” (majority op at 3). But the complaint alleges, at most, that Kroll: (a) had a contract with the County; (b) complied with the terms of the contract; and (c) followed its own guidelines in determining that the level of cannabinoids in plaintiff’s sample exceeded its cutoff.

Although the complaint takes issue with Kroll’s alleged negligent issuance of the report and “policy of deliberate indifference,” plaintiff’s primary complaint is really directed at what the Probation Department chose to do with the Kroll results, even after the Probation Department was presented with the negative results of plaintiff’s independent blood test and the urine test ordered by the court. Indeed, it was the Probation Department that, in its discretion, took plaintiff’s oral fluid sample, failed to simultaneously take a urine sample, filed the VOP petition and, according to the complaint, “insisted that because of [Kroll’s] positive test report the VOP proceedings continue.” The Probation Department was in the best position—indeed the only one in any position—to determine how the VOP proceedings against plaintiff would be handled, and certainly not Kroll. Thus, in my view, any relief that plaintiff seeks is better directed at the Probation Department rather than an independent drug laboratory like Kroll which, for all intents and purposes, complied with its contractual obligations.

The majority relies on *Espinal v Melville Snow Contrs.* (98 NY2d 136 [2002]) in support of this new-found “negligent testing” cause of action, stating that Kroll, through its alleged failure to adhere to certain “professionally accepted testing standards” (majority op at 6), “‘launched a force or instrument of

harm’ ” (*Espinal*, 98 NY2d at 141, quoting *Moch Co. v Rensselaer Water Co.*, 247 NY 160, 168 [1928]). Forgetting for a moment that such a finding contorts our holding in *Espinal* beyond its intent, plaintiff’s complaint does not even allege that Kroll mishandled, tampered with, improperly collected or misidentified the sample. Moreover, even accepting the allegations in the complaint as true, plaintiff does not deny having any cannabinoids in his system, but only that Kroll utilized a lower cut-off level for cannabinoids than either Orasure Technologies or the United States Department of Health and Human Services Substance Abuse and Mental Health Services Administration’s guidelines use for *workplace* drug testing—a choice the County made in its contract.

The majority tells us that this “negligent testing” cause of action “is in keeping with that of several other jurisdictions” that have imposed a similar duty (majority op at 7). But certain of the cases upon which the majority relies arise from jurisdictions that utilize the element of foreseeability in determining whether a duty is owed in the first instance (see *Berry v National Med. Servs., Inc.*, 292 Kan 917, 920, 257 P3d 287, 290 [2011]; *Sharpe v St. Luke’s Hosp.*, 573 Pa 90, 96, 821 A2d 1215, 1219 [2003]), whereas under our negligence jurisprudence, foreseeability “determines the scope of the duty once it is determined to exist” (*Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222, 232 [2001]). Such authority therefore provides no guidance.

The other cases cited by the majority involve specific, narrow allegations of active negligence by the testing laboratory, such as mishandling, misidentifying or improperly collecting the specimen (see *Drake v Laboratory Corp. of Am. Holdings*, 2007 WL 776818, 2007 US Dist LEXIS 17430 [ED NY, Mar. 13, 2007, No. 02-CV-1924 (FB/RML)], *affd* 417 Fed Appx 84 [2d Cir 2011] [allegation that the laboratory sent wrong urine sample for testing]; *Sharpe*, 573 Pa at 92, 821 A2d at 1217 [hospital sued for allegedly mishandling and/or misidentifying urine sample, but the laboratory that performed the testing and reported the results not sued]; *Coleman v Town of Hempstead*, 30 F Supp 2d 356, 360 [ED NY 1999] [allegation that laboratory failed to safeguard the plaintiff’s urine sample in chain of custody or provide a split sample for retesting]; *Duncan v Afton, Inc.*, 991 P2d 739, 741 [Wyo 1999] [allegation that laboratory erred in collecting the sample]). Moreover, unlike the situation here, all of the aforementioned cases involve employer/employee relationships.

Plaintiff was subjected to mandatory drug testing as part of the terms and conditions of his probation, and the Probation Department had an obligation to ensure that plaintiff was in compliance. Certainly, Orange County had an interest in conducting such testing, and it was the Probation Department's use, and not Kroll's, of the results that allegedly caused harm to plaintiff. Moreover, while employees may seek legal redress in the civil courts for any harm caused by inaccurate test results, plaintiff was able to seek relief pursuant to CPL 410.70. He did so in this case, and was eventually successful.

The question whether a laboratory's alleged mishandling, misidentification or improper collection of a sample will result in a laboratory being answerable in damages on the ground that such alleged misconduct launched a "force or instrument of harm" was, until now, an open one. But because the complaint in this case does not even come close to the allegations made by the test subjects in *Drake*, *Sharpe*, *Coleman* or *Duncan*, the majority's "negligent testing" cause of action would certainly encompass those specific, narrow claims where the laboratory actually played a role in bringing about erroneous test results. And, unlike the laboratories in the cases cited by the majority, it is not alleged that Kroll misplaced plaintiff's sample, tested the wrong sample, improperly collected the sample or even reported inaccurate results. Kroll received the sample from the Probation Department, tested it as per its agreement with Orange County and apprised Orange County that the results exceeded its baseline cutoff. At most, the allegations in the complaint attack Kroll's interpretation of the test results, and not the validity of the sample itself. Thus, even assuming all of the allegations in the complaint are true, Kroll owed no legal duty to plaintiff. If the County of Orange, once sued, chooses to commence a third-party action alleging a contract breach by Kroll, it may do so. But to allow plaintiff to pursue a cause of action in a case such as this opens the door to a host of allegations of a similar nature in areas too numerous to contemplate.

SMITH, J. (dissenting). The law of defamation provides a remedy for people who claim that they have been falsely reported as testing positive for drugs. The remedy is subject to strict limits, but that is as it should be. There is no good reason to invent a new tort. Since plaintiff here has not pleaded a defamation claim—indeed, he sued after the statute of limitations for defamation (CPLR 215 [3]) had run—we should reinstate Supreme Court's order dismissing the complaint.

In *Hall v United Parcel Serv. of Am.* (76 NY2d 27 [1990]), the plaintiff claimed that a detective agency had negligently administered a lie detector test, as a result of which the agency falsely reported to the plaintiff's employer that the plaintiff was a thief. We said:

“Injuries to an individual's personal and professional reputation such as the injuries alleged here have long been compensated through the traditional remedies for defamation. Of course, this plaintiff cannot avail himself of those remedies, since they are circumscribed by rules of qualified privilege that, in closely analogous circumstances, foreclose recovery in the absence of a showing of malice or other culpable conduct beyond the level of ordinary negligence. Plaintiff's recovery thus depends upon our willingness to recognize a new tort cause of action, or to adopt substantial modifications of the existing defamation remedies.” (*Id.* at 32-33 [citations omitted].)

In *Hall*, we decided that no new judicially-created remedy was called for. I agree with the majority that *Hall* does not control this case. In *Hall*, we observed that there were “serious questions . . . about the accuracy and scientific validity” of lie detector tests (*id.* at 33), and recognized that “some governmental oversight and regulation may be desirable” (*id.* at 34). We decided, however, that the problem could be better dealt with by legislative than by judicial action. We relied in part on the existence of extensive federal regulation of lie detectors (*id.* at 34-36). This line of reasoning does not apply to the case now before us. But I would nevertheless reach the same conclusion here that we reached in *Hall*, because I see no reason not to apply in cases like this the time-tested rules that govern defamation actions.

It is of course true that someone who is falsely accused of being a drug user may suffer a grievous injury. The law of defamation provides a remedy for that injury, but the remedy is subject to an important limitation known as the “common interest” privilege. That privilege is described in the Restatement (Second) of Torts § 596:

“An occasion makes a publication conditionally privileged if the circumstances lead any one of several persons having a common interest in a particular subject matter

correctly or reasonably to believe that there is information that another sharing the common interest is entitled to know.”

Thus, when a speaker talks to those with a “common interest in a particular subject matter” about matters that the speaker “may reasonably believe” the listener is “entitled to know,” the privilege attaches (*Peavy v WFAA-TV, Inc.*, 221 F3d 158, 176 [5th Cir 2000] [discussing Texas law]). We have made clear that New York follows the Restatement rule (*Lieberman v Gelstein*, 80 NY2d 429, 437 [1992]).

As *Hall* implies, the common interest privilege protects defendants in cases involving the allegedly defamatory reporting of test results (*see Chapman v Labone*, 460 F Supp 2d 989, 1003 [SD Iowa 2006] [interpreting Iowa law to establish a privilege for a laboratory conducting a random drug test of an employee of Union Pacific Railroad]). The privilege would apply to a defamation suit based on the facts of this case. Kroll was hired by the Probation Department to test whether controlled substances were present in plaintiff’s bodily fluids. The Probation Department and Kroll had a common interest in that subject, and the results of the test were plainly information that the Probation Department was entitled to know—indeed Kroll had a duty to provide those results under its contract with the Department (*see Stukuls v State of New York*, 42 NY2d 272, 279 [1977] [“The (privilege) . . . grew out of the desirability in the public interest of encouraging a full and fair statement by persons having a legal or moral duty to communicate their knowledge and information about a person in whom they have an interest to another who also has an interest in such person”])).

Since the common interest privilege applies, plaintiff could recover for defamation only upon a showing of “malice,” which may be made in either of two ways: by proving that the person who uttered the defamatory statement knew it was false or acted in reckless disregard whether it was false or not (a standard derived from *New York Times Co. v Sullivan*, 376 US 254, 279-280 [1964]); or by proving that the statement was motivated by spite or ill will (*Lieberman*, 80 NY2d at 437-438). The hurdle is a high one, but it is not insuperable. In *Loughry v Lincoln First Bank* (67 NY2d 369 [1986]), we upheld a jury verdict finding that fellow employees who accused the plaintiff of being a cocaine user had spoken with malice and that the qualified privilege was thus overcome.

Undoubtedly, most plaintiffs who claim that they were falsely branded as drug users by a testing laboratory will fail to

overcome the qualified privilege, and thus will not recover. And plaintiff here might well be unable to win a defamation suit, though his complaint does allege that Kroll was guilty of “a reckless policy or practice of deliberate indifference,” which might be enough to get a defamation complaint past a motion to dismiss. In any event, I see nothing wrong with a rule that bars the great majority of claims based on the reporting of drug tests.

The policy judgment underlying the common interest privilege is that the free flow of information among those with a common interest in a subject should be protected in all but cases of egregious wrongdoing (see *Willis v Roche Biomedical Labs., Inc.*, 61 F3d 313, 316 [5th Cir 1995] [the privilege “advances ‘the need for free communication of information to protect business and personal interests’ ”]). The privilege protects a speaker who is not just gossiping, but is doing a job he or she was hired to do. The application of the privilege to the activities of drug-testing laboratories seems to me wholly justified. Society benefits from facilitating the efforts of law enforcement authorities and employers to detect the use of illicit drugs, and that benefit will be significantly impaired if a firm like Kroll must pay damages to any plaintiff who can persuade a jury that it was negligent in testing him.

The majority makes no attempt to explain why drug testing cases should not be governed by the rules that limit recovery for defamation. The majority says, correctly, that the consequences for a person falsely accused of drug use can be severe (majority op at 6), but that is true of anyone falsely accused of serious misconduct. It has long been the law that, where a common interest privilege applies to the communication in question, the plaintiff, however seriously injured, cannot recover without a showing of malice, and I see no reason to create a new tort that effectively nullifies that rule where the occasion for the suit is a drug test.

Judges GRAFFEO, RIVERA and ABDUS-SALAAM concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to reverse in an opinion in which Judge READ concurs; Judge SMITH dissents in a separate opinion.

Order affirmed, with costs, and certified question answered in the affirmative.

[999 NE2d 1176, 977 NYS2d 731]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DANIEL
BOYER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v EQUAN
SANDERS, Respondent.

Argued October 17, 2013; decided November 14, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 26, 2012 (as amended by order entered March 29, 2012; op 2012 NY Slip Op 68905[U] [2012]). The Appellate Division affirmed (1) a judgment of the Albany County Court (Thomas A. Breslin, J.), which had convicted defendant, upon a plea of guilty, of attempted burglary in the second degree and sentenced defendant, as a persistent violent felony offender, to 13½ years to life, and (2) an order of that court, which had denied, without a hearing, defendant's CPL 440.20 motion to set aside his sentence.

APPEAL, in the second above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 18, 2012. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Renee A. White, J.), which had convicted defendant, upon a plea of guilty, of attempted criminal possession of a weapon in the second degree and sentenced defendant, as a second violent felony offender, to a term of seven years to be followed by five years of postrelease supervision.

People v Boyer, 91 AD3d 1183, affirmed.

People v Sanders, 99 AD3d 575, reversed.

HEADNOTES

Crimes — Sentence — Enhanced Sentence for Predicate Crimes — Sequentiality of Convictions in Cases Involving *Sparber* Resen- tencing

1. In determining the sequentiality of a defendant's current and prior convictions under New York's sentence enhancement statutes in cases where the defendant has been resentenced on a prior conviction pursuant to *People v Sparber* (10 NY3d 457 [2008]), regardless of which party commenced the resentencing proceeding, the controlling date of sentence for the defendant's

prior conviction is the original date on which the defendant received a lawful prison term pursuant to a valid conviction for the crime. A *Sparber* resentencing is limited to remedying the specific procedural error of the flawed imposition of postrelease supervision and does not permit the resentencing court to alter the defendant's prison term. Thus, the resentencing does not vacate the original sentence and replace it with an entirely new sentence, but merely corrects a clerical error and leaves the original sentence, along with the date of that sentence, undisturbed. Therefore, irrespective of any resentence pursuant to *Sparber*, the original sentence for the prior conviction remains valid, and an original sentence imposed before commission of the current crime qualifies the prior conviction as a predicate conviction for purposes of sentencing on the current crime (*see* Penal Law § 70.04 [1] [b] [ii]). The public policy underlying the recidivist sentencing statutes would not be served if a defendant's culpability was mitigated by a subsequent *Sparber* resentencing. Moreover, a rule premised on the original date of sentence for a prior conviction promotes clarity and fairness by allowing both parties to know with certainty whether a prior conviction can serve to enhance the current sentence and by not favoring one party over the other.

Crimes — Sentence — Persistent Violent Felony Offender — Sequentiality of Convictions in Case Involving *Sparber* Resentencing

2. Defendant, who pleaded guilty to a felony for a crime committed in 2008, was properly adjudicated a persistent violent felony offender based in part on a valid felony conviction and sentence he received in 2002, notwithstanding that in 2009, upon notification from the government, the court resented defendant for his 2002 conviction pursuant to Correction Law § 601-d and *People v Sparber* (10 NY3d 457 [2008]) by maintaining his original prison term and declining to add a term of postrelease supervision. Under the sequentiality requirement of the recidivist sentencing statutes, a prior conviction does not qualify as a predicate felony conviction for purposes of enhancing defendant's sentence unless the sentence for the prior conviction was imposed before commission of the present felony (*see* Penal Law § 70.04 [1] [b] [ii]). In determining the sequentiality of a defendant's current and prior convictions in cases where the defendant has been resented on a prior conviction pursuant to *Sparber*, regardless of which party commenced the resentencing proceeding, the controlling date of sentence for the defendant's prior conviction is the original date on which the defendant received a lawful prison term pursuant to a valid conviction for the crime. Therefore, because the date of sentence for defendant's 2002 conviction was not reset by the *Sparber* resentencing, that conviction was a valid predicate felony conviction that could be used to sentence defendant as a persistent violent felony offender on his current crime.

Crimes — Sentence — Persistent Violent Felony Offender — Sequentiality of Convictions in Case Involving *Sparber* Resentencing

3. In a criminal prosecution in which defendant pleaded guilty to a felony for a 2007 crime, Supreme Court erred in refusing to adjudicate him a persistent violent felony offender based in part on a felony conviction and lawful sentence he received in 2002 where, after the date of commission of his 2007 crime and upon notification from the government, defendant had been resented on the 2002 conviction pursuant to Correction Law § 601-d and *People v Sparber* (10 NY3d 457 [2008]) to correct the flawed imposition of post-release supervision. Under the sequentiality requirement of the recidivist

sentencing statutes, a prior conviction does not qualify as a predicate felony conviction for purposes of enhancing defendant's sentence unless the sentence for the prior conviction was imposed before commission of the present felony (see Penal Law § 70.04 [1] [b] [ii]). In determining the sequentiality of a defendant's current and prior convictions in cases where the defendant has been resentenced on a prior conviction pursuant to *Sparber*, regardless of which party commenced the resentencing proceeding, the controlling date of sentence for the defendant's prior conviction is the original date on which the defendant received a lawful prison term pursuant to a valid conviction for the crime. Therefore, because the date of sentence for defendant's 2002 conviction was not reset by the *Sparber* resentencing, that conviction was a valid predicate felony conviction that could be used to sentence defendant as a persistent violent felony offender on his current crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 858, 862; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 19, 20, 48–51, 54.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:140–203:142, 203:152–203:155, 203:209, 203:210.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.5–26.7.

McKINNEY'S, Correction Law § 601-d; Penal Law § 70.04 (1) (b) (ii).

NY JUR 2d, Criminal Law: Procedure §§ 2927, 3178, 3282, 3294, 3295.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders; Sentence and Punishment.

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POINTS OF COUNSEL

Davison Law Office, PLLC, Canandaigua (*Mark C. Davison* of counsel), for appellant in the first above-entitled action. I. Daniel Boyer should not have been sentenced as a persistent violent felony offender because resentencing of a predicate conviction had been sought by Department of Corrections and Community Supervision after the commission of the offense for which he was sentenced. (*People v Quinones*, 12 NY3d 116; *People v Walker*, 81 NY2d 661; *People v Meckwood*, 20 NY3d 69;

People v Morse, 62 NY2d 205, *appeal dismissed sub nom. Vega v New York*, 469 US 1186; *People v Acevedo*, 17 NY3d 297; *People v Sparber*, 10 NY3d 457; *People v Butler*, 88 AD3d 470, 18 NY3d 992; *People v Naughton*, 93 AD3d 809, 19 NY3d 865; *People v Griffin*, 99 AD3d 720; *People v Bell*, 73 NY2d 153.) II. Because the trial court failed to advise Mr. Boyer that a direct consequence of his plea would be that his sentence would be consecutive to an undischarged sentence on a prior conviction, Mr. Boyer's plea cannot be deemed knowing, voluntary and intelligent, and Mr. Boyer must be given the opportunity to withdraw the plea. (*North Carolina v Alford*, 400 US 25; *Boykin v Alabama*, 395 US 238; *People v Bryant*, 180 AD2d 874; *People v Nixon*, 21 NY2d 338; *People v Harris*, 61 NY2d 9; *People v Gravino*, 14 NY3d 546; *People v Hill*, 9 NY3d 189, 553 US 1048; *People v Ford*, 86 NY2d 397; *People v Harnett*, 16 NY3d 200; *People v Bobo*, 41 AD3d 129.)

P. David Soares, District Attorney, Albany (*Steven M. Sharp* of counsel), for respondent in the first above-entitled action. I. The sentencing court properly adjudicated defendant as a persistent violent felony offender. (*People v Sparber*, 10 NY3d 457; *People v Morse*, 62 NY2d 205; *People v Acevedo*, 17 NY3d 297; *People v Lingle*, 16 NY3d 621; *People v Williams*, 14 NY3d 198.) II. Whether a negotiated sentence would run consecutive to an undischarged sentence is a collateral consequence of a plea. (*People v Hill*, 9 NY3d 189; *People v Ford*, 86 NY2d 397; *North Carolina v Alford*, 400 US 25; *People v Harris*, 61 NY2d 9; *People v Francis*, 38 NY2d 150; *People v Latham*, 90 NY2d 795; *People v Belliard*, 20 NY3d 381.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Dana Poole* and *Alan Gadlin* of counsel), for appellant in the second above-entitled action. Defendant should have been sentenced as a persistent violent felony offender because the date of sentence on a prior violent felony offense was not reset by a *Sparber* proceeding held in that matter. (*People v Morse*, 62 NY2d 205; *People v Sparber*, 10 NY3d 457; *People v Acevedo*, 17 NY3d 297; *People v Samms*, 95 NY2d 52; *People v Lingle*, 16 NY3d 621; *People v Griffin*, 99 AD3d 720; *People v Naughton*, 93 AD3d 809; *People v Bell*, 138 AD2d 298, 73 NY2d 153; *People v Ashley*, 71 AD3d 1286, 16 NY3d 725; *People v Kuey*, 83 NY2d 278.)

Steven Banks, Legal Aid Society, Criminal Appeals Bureau, New York City (*Elon Harpaz* of counsel), for respondent in the second above-entitled action. The First Department correctly

ruled that Equan Sanders could not be adjudicated a persistent violent felony offender where, after committing the crime at issue in this case, he was resentenced in a Correction Law § 601-d proceeding on one of the two prior convictions the People sought to use for sentence enhancement purposes. (*People v Williams*, 14 NY3d 198; *People v Sparber*, 10 NY3d 457; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Boyd*, 12 NY3d 390; *People v Butler*, 88 AD3d 470, 18 NY3d 992; *People v Lingle*, 16 NY3d 621; *People v Catu*, 4 NY3d 242; *People v Acevedo*, 17 NY3d 297; *Matter of Lockett v Juviler*, 65 NY2d 182; *Matter of Lyons v Goldstein*, 290 NY 19.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

The primary issue before us is whether, for purposes of determining the sequentiality of a defendant's current and prior convictions under New York's sentence enhancement statutes, the controlling date of sentence for the defendant's prior conviction is the original date of sentence for that conviction or the date of a later resentencing which rectifies the flawed imposition of postrelease supervision (PRS) in accordance with our decision in *People v Sparber* (10 NY3d 457 [2008]). We hold that, in this context, the date of sentence for a defendant's prior conviction is the original date on which the defendant received a lawful prison term upon a valid conviction for that prior crime, regardless of whether the defendant or the government seeks resentencing on that conviction to correct the error described in *Sparber*. Therefore, at sentencing for a more recent crime, the defendant's prior conviction qualifies as a predicate felony conviction if the original date of sentence precedes the commission of the present offense.

I

People v Boyer

Prior to 2008, defendant Daniel Boyer had several felony convictions. In his most recent prior felony case, defendant received a valid conviction for attempted burglary in the second degree in 2002, and after further proceedings not relevant to his present appeal, defendant was sentenced on that conviction to a lawful determinate prison term in 2005. Upon the imposition of that sentence, the trial court did not pronounce a mandatory PRS term (*see* Penal Law § 70.45 [1]), though a five-year PRS term was entered on the commitment order.

Defendant completed his prison term and started to serve a period of PRS in 2008. However, shortly after his release to PRS, defendant was arrested for committing a new burglary, and he was indicted on charges of grand larceny in the fourth degree and burglary in the second degree. Defendant entered a negotiated guilty plea to attempted burglary in the second degree (Penal Law §§ 110.00, 140.25 [2]) in exchange for a promised indeterminate prison term of from 13¹/₂ years to life. On February 18, 2009, the court adjudicated defendant a persistent violent felony offender based in part on defendant's 2002 conviction, and the court imposed the promised sentence.

Thereafter, the Department of Corrections and Community Supervision (DOCCS) notified the trial court that the court had to resentence defendant for his 2002 conviction pursuant to Correction Law § 601-d by either pronouncing a term of PRS or excising PRS from defendant's sentence upon consent of the People.¹ In November 2009, upon receiving the People's consent, the court resented defendant on his 2002 conviction by maintaining his original prison term and declining to add a PRS term to his sentence (*see* Penal Law § 70.85).²

On November 24, 2009, defendant moved to vacate his sentence for his 2009 conviction. Defendant pointed out that, under Penal Law § 70.04 (1) (b) (ii), a prior conviction does not qualify as a predicate felony conviction that can enhance a defendant's sentence unless the sentence for the prior conviction was "imposed before commission of the present felony." Citing this sequentiality requirement, defendant maintained that the 2009 resentencing on his 2002 conviction shifted the date of sentence for the 2002 conviction to the date of resentence, such

1. Correction Law § 601-d provides that, whenever DOCCS determines that the trial court did not pronounce a defendant's term of PRS at sentencing, DOCCS must notify the court of that fact, and once the court receives such notification from DOCCS, the court must hold a resentencing proceeding as outlined in *Sparber* (*see* Correction Law § 601-d [1], [2], [3]). At that resentencing, the court must either pronounce a term of PRS or, upon consent of the People, omit the PRS term from the defendant's sentence and reimpose the original determinate prison term without PRS (*see* Correction Law § 601-d [3], [4]; Penal Law § 70.85).

2. Penal Law § 70.85 states,

"[F]or consideration of whether to resentence [pursuant to Correction Law § 601-d], the court may, notwithstanding any other provision of law but only on consent of the district attorney, reimpose the originally imposed determinate sentence of imprisonment without any term of post-release supervision, which then shall be deemed a lawful sentence."

that the sentence for his 2002 conviction was not imposed until after his commission of his current felony in 2008. Thus, defendant argued, his 2002 conviction no longer qualified as a predicate felony conviction, and the court had to vacate his persistent violent felony offender adjudication and resentence him as a second felony offender. The court denied defendant's motion to vacate his sentence. Defendant appealed.

The Appellate Division affirmed the judgment of conviction and sentence, as well as the trial court's order denying defendant's motion to vacate his sentence. The Appellate Division held that "the original sentencing date on the prior conviction—as opposed to the resentencing date—controls in determining whether the prior conviction may be considered as a predicate in sentencing for subsequent crimes, and defendant's CPL 440.20 motion was properly denied" (*People v Boyer*, 91 AD3d 1183, 1185 [3d Dept 2012]). A Judge of this Court granted defendant leave to appeal (*see* 19 NY3d 1024 [2012]), and we now affirm.

People v Sanders

Before 2007, defendant Equan Sanders had two felony convictions. In 2002, defendant was sentenced to a lawful determinate prison term for his most recent prior felony conviction for attempted criminal possession of a weapon in the third degree. The sentencing court did not pronounce the mandatory PRS component of defendant's sentence. Defendant served his prison term and was released to an administratively imposed term of PRS under the supervision of the Division of Parole (DOP).

About a month later, in July 2007, defendant was arrested and indicted on two counts of criminal possession of a weapon in the second degree stemming from an incident in New York County. Defendant absconded and, about 10 months later, was involuntarily returned to New York County after his arrest in another county on unrelated charges. On July 31, 2008, DOP notified the sentencing court for defendant's 2002 conviction that it was required to resentence defendant on that conviction to the extent of either eliminating his PRS term upon consent of the People or orally pronouncing a term of PRS. The court resented defendant on his 2002 conviction by maintaining the original prison term and striking the PRS term from his sentence with the People's consent.

About a year later, defendant and the People were engaged in plea negotiations with respect to the present crime committed

in 2007, and the parties asked the court to specify in advance whether it would sentence defendant as a second violent felony offender or a persistent violent felony offender. Defendant argued that he was a second violent felony offender because the resentencing on his 2002 conviction caused the date of sentence for that conviction to occur after his commission of the instant crime, thus disqualifying his 2002 conviction from serving as the predicate for an enhanced sentence for his current crime under Penal Law § 70.04 (1) (b) (ii). The People responded that defendant was a persistent violent felony offender because the original date of sentence for his 2002 conviction preceded his commission of the instant crime. The court initially ruled that, if defendant pleaded guilty, he would be sentenced, as a persistent violent felony offender, to a prison term of 12 years to life because the original date of sentence for his 2002 conviction controlled for purposes of sentence enhancement. Defendant pleaded guilty with that understanding.

While defendant was awaiting sentencing, the Appellate Division, First Department issued its decision in *People v Acevedo*, wherein the Appellate Division determined that a resentencing to correct a trial court's failure to orally pronounce PRS at the original sentencing on a prior conviction automatically resets the date of sentence for the prior conviction under the sentence enhancement statutes (*see People v Acevedo*, 75 AD3d 255, 258-260 [1st Dept 2010], *rev'd* 17 NY3d 297 [2011]). Consequently, at sentencing in this case, the court effectively reversed its previous determination and adjudicated defendant a second violent felony offender, reasoning that, under the First Department's *Acevedo* decision, the resentencing on defendant's 2002 conviction reset the date of sentence for that conviction and precluded its use as a predicate felony conviction. The court sentenced defendant, as a second violent felony offender, to a seven-year determinate prison term, to be followed by five years of PRS. The People appealed the judgment of conviction and sentence. In the interim, we reversed the First Department's decision in *Acevedo* (*see Acevedo*, 17 NY3d at 302-305).

The Appellate Division affirmed the judgment of conviction and sentence (*see People v Sanders*, 99 AD3d 575, 575-576 [1st Dept 2012]). Noting that defendant's resentence had been imposed after his commission of the current offense, the court held that, "[i]n this situation, the resentencing date controls whether the conviction meets the sequentiality requirement for sentencing as a persistent violent felony offender" (*id.* at 576).

The court cited *People v Butler* (88 AD3d 470 [1st Dept 2011]), wherein the court had held that “where, in the normal course, the government seeks resentencing of a prior conviction and the sentence is vacated for failure to pronounce a term of PRS[,] the resentencing date should be considered in determining whether the prior conviction meets the sequentiality requirement of the predicate felony offender statutes” (*Butler*, 88 AD3d at 473).

In a concurring opinion, Justice Sweeny, joined by Justice Gonzalez, stated that he felt constrained by *Butler* to affirm the sentencing court’s decision (*see Sanders*, 99 AD3d at 576 [Sweeny, J., concurring]). Justice Sweeny noted, however, that the Second Department had concluded that “it is irrelevant whether the defendant or the government brought the application for a resentence” under *Sparber* and that “the original sentence date is always determinative as the predicate for persistent violent felony offender status” (*id.*). Given that this Court’s decision in *Acevedo* “did not clarify this question,” Justice Sweeny “look[ed] to the Court of Appeals for guidance on this crucial sentencing issue” (*id.*). Justice Sweeny granted the People leave to appeal (2012 NY Slip Op 94666[U] [2012]), and we now reverse.

II

In both cases, the People contend that, because the court at a resentencing pursuant to *Sparber* and Correction Law § 601-d merely corrects its prior clerical error in failing to pronounce a term of PRS and does not otherwise disturb the defendant’s sentence or conviction, a *Sparber* resentencing does not alter the sequentiality of the defendant’s conviction in relation to any subsequently committed crime for purposes of the sentence enhancement statutes.

Defendants respond that, at a *Sparber* resentencing, the court vacates the defendant’s prior illegal sentence and replaces it with a lawful sentence that includes PRS. Furthermore, in defendants’ view, because PRS is an inseparable component of the defendant’s sentence, the *Sparber* resentencing necessarily vacates the defendant’s entire original unlawful sentence and replaces it with a completely new lawful sentence, thus resetting the date of all components of the defendant’s sentence. And so, the argument goes, if the defendant commits another crime after the original sentence date for his or her prior conviction but before the *Sparber* resentencing on the prior conviction, the

prior conviction cannot serve as a predicate for an enhanced sentence for the new crime because the new offense was committed before the date of resentencing for the prior conviction. Our precedent compels us to reject defendants' arguments and conclude that the controlling date of sentence for a defendant's prior conviction is the original date on which the defendant received a lawful prison term pursuant to a valid conviction for that prior crime.

In *Sparber*, the defendants did not receive oral pronouncement of their mandatory PRS terms at sentencing, and they asked us to remedy that error by vacating any PRS terms that were not properly pronounced (*see Sparber*, 10 NY3d at 471). We rejected the defendants' request for such broad relief. Instead, we provided the defendants with the modest remedy of a resentencing meant solely to correct the discrete "procedural error, akin to a misstatement or clerical error," occasioned by a sentencing judge's failure to orally pronounce a term of PRS (*id.* at 472). In applying this remedy to the defendants' sentences in *Sparber*, we made a passing statement that we were "vacat[ing]" the defendants' original sentences (*id.* at 471).

However, in *People v Lingle* (16 NY3d 621 [2011]), we clarified that a vacatur of a defendant's entire original sentence "is clearly not what we meant" by including the term "vacate" in our *Sparber* decision (*id.* at 634). In fact, in *Lingle*, we held that, because "resentencing to set right the flawed imposition of PRS at the original sentencing is not a plenary proceeding" but rather a discrete proceeding designed to correct the "clerical error" at issue in *Sparber*, a *Sparber* resentencing "is limited to remedying this specific procedural error" and does not permit the resentencing court to alter the defendant's prison term or otherwise change any aspect of his or her sentence (*id.* at 634-635). Thus, taken together, *Sparber* and *Lingle* clearly establish that a resentencing to correct the flawed imposition of PRS does not vacate the original sentence and replace it with an entirely new sentence, but instead merely corrects a clerical error and leaves the original sentence, along with the date of that sentence, undisturbed.

Applying that premise in *People v Acevedo*, we considered the interplay between a *Sparber* resentencing on a defendant's prior conviction and the recidivist sentencing laws' sequentiality requirement (*see* Penal Law §§ 70.04 [1] [b] [ii]; 70.06 [1] [b] [ii]; 70.10 [1] [b] [ii]). An overwhelming majority of six Judges of this Court agreed that a *Sparber* resentencing does not

automatically reset the date of sentence for a prior conviction and thereby disable that conviction's use as a predicate felony conviction. Three of those Judges concluded that, because the defendants had initiated resentencing purely as a contrivance to prevent the courts below from using their prior convictions as predicates to enhance the sentences for their current convictions, defendants' impermissible gamesmanship could not thwart otherwise valid predicate felony offender adjudications by resetting the dates of their sentences for their prior convictions (*see Acevedo*, 17 NY3d at 302-303 [Lippman, Ch. J.]). Those Judges left open the question of whether a *Sparber* resentencing initiated by the State could alter the sequentiality of a prior conviction for sentence enhancement purposes (*see id.* at 303). The three other Judges in the majority would have found that, regardless of whether the State or the defendant initiates resentencing, the *Sparber* resentencing on the defendant's prior conviction does not reset the date of sentence "because the resentencing court[] lack[s] the power to reconsider either the conviction or the incarceration component of the original sentence," thereby leaving the original sentence and the date thereof essentially unchanged (*id.* at 305 [Pigott, J., concurring]).

[1] In this case, we must decide the question left open by *Acevedo*, namely whether a *Sparber* resentencing initiated by the State, as opposed to the defendant, resets the date of sentence for a felony conviction such that it may no longer serve as a predicate felony conviction in relation to a subsequently committed crime. Under *Sparber* and *Lingle*, the answer must be that, regardless of which party commences the proceeding, a *Sparber* resentencing cannot alter the original date of sentence. Given that the resentencing court cannot disturb the defendant's prison sentence for the prior conviction, the original sentence is not a legal nullity vacated by the pronouncement of PRS. Rather, the conviction and sentence imposed on the original sentence date still stand, and the sentence is simply modified to the limited extent of pronouncing the PRS term required by law. In other words, irrespective of any "resentence" pursuant to *Sparber*, the original "[s]entence" for "such prior conviction" remains valid, and that original sentence was "imposed before commission of the present felony," thereby qualifying the prior conviction as a predicate felony conviction for purposes of

sentencing on the current crime (Penal Law § 70.04 [1] [b] [ii]; *see also* Penal Law §§ 70.06 [1] [b] [ii]; 70.10 [1] [b] [ii]).³

Importantly, the rule that the original sentence date controls for purposes of a conviction's qualification as a predicate felony conviction serves the public policy underlying the recidivist sentencing statutes. As we have previously observed, those laws are meant to enhance sentences for defendants who refuse to reform after receiving a valid conviction for a crime and hearing the court pronounce sentence (*see People v Morse*, 62 NY2d 205, 222 [1984]). Under this rationale, a defendant who was sentenced for a prior conviction and then commits a new crime plainly deserves enhanced punishment for the new crime because the defendant remains unchastened after the court's pronouncement of the sentence for the prior conviction, and the defendant's heightened culpability cannot be mitigated in any way by a subsequent *Sparber* resentencing. Under those circumstances, it would make no sense to set the date of sentence for the defendant's prior conviction to the date of the *Sparber* resentencing and thereby prevent the court from enhancing the defendant's sentence for the current crime.

Moreover, in the sentence enhancement context, a rule premised on the original date of sentence for a prior conviction promotes clarity and fairness. Under this bright-line rule, the defendant and the People alike can easily discern the date of sentence for a prior conviction and know with certainty whether the conviction can serve to enhance the defendant's sentence. Additionally, the rule is fair because it does not favor one party over the other. The People will not be able to rely on the later date of resentence to bring an otherwise ineligible decades-old conviction within the 10-year look-back period for predicate felony offender adjudication under Penal Law § 70.04 (1) (b) (iv), and the defendant will not be able to avoid a well-deserved sentence enhancement by claiming that the *Sparber* resentencing upset the sequentiality of his or her predicate felony conviction. Both sides will have to abide by a clear, even-handed rule.

[2, 3] Under this framework, both defendants here should have been sentenced as persistent violent felony offenders because the dates of sentence for their prior convictions were not reset by *Sparber* resentencings on those convictions, and

3. In reaching this conclusion regarding the significance of a *Sparber* resentencing under the sequentiality requirement for recidivist sentencing, we do not opine on the relationship between the recidivist sentencing statutes and any other form of resentencing.

therefore those convictions were valid predicate felony convictions that could be used to sentence defendants as persistent violent felony offenders for their current crimes. Thus, County Court in *Boyer* properly sentenced defendant as a persistent violent felony offender, whereas Supreme Court in *Sanders* erred in refusing to do the same.

Finally, we reject defendant Boyer's challenge to the validity of his guilty plea based on the court's failure to inform him that his sentence would run consecutively to a prior undischarged term (see *People v Belliard*, 20 NY3d 381, 388 [2013]).

Accordingly, in *People v Boyer*, the order of the Appellate Division should be affirmed. In *People v Sanders*, the order of the Appellate Division should be reversed and the matter remitted to Supreme Court for resentencing in accordance with this opinion.

RIVERA, J. (dissenting). The majority interprets our law to permit the government to rely on a sentence that is illegal under *People v Sparber* (10 NY3d 457 [2008]) for purposes of the sequentiality requirement in New York's sentencing enhancement statutes. In doing so, the majority gives legal significance to an unlawful sentence where such sentence is obviated by a statutorily prescribed resentencing process. This is an untenable interpretation of the law. I dissent.

The majority reads *Sparber* and *People v Lingle* (16 NY3d 621 [2011]) as compelling its conclusion that "a resentencing to correct the flawed imposition of PRS does not vacate the original sentence and replace it with an entirely new sentence, but instead merely corrects a clerical error and leaves the original sentence, along with the date of that sentence, undisturbed" (majority op at 24). This conclusion is incorrect and unsupported by our precedent.

We have previously stated that a sentence with a "flawed imposition of PRS" is an illegal sentence (*People v Brinson*, 21 NY3d 490, 495-496 [2013]; *Lingle*, 16 NY3d at 630; *People v Williams*, 14 NY3d 198, 206, 217 [2010]; *Sparber*, 10 NY3d at 469-471). The proper cure for this defect is for a court to resentence the defendant and impose all the elements of the punishment mandated by law (*Sparber*, 10 NY3d at 469-470). As we stated in *Sparber*, "[t]he sole remedy for a procedural error [such as failing to pronounce a mandatory term of PRS] is to vacate the sentence and remit for a resentencing hearing" (*id.* at 471).

Two statutory procedures provide for resentencing to address these *Sparber* errors. Correction Law § 601-d provides a procedural vehicle for the Department of Corrections and Community Supervision to commence a resentencing hearing (see *People v Velez*, 19 NY3d 642, 645-646 [2012]; *People v Acevedo*, 17 NY3d 297, 303 [2011]; *Williams*, 14 NY3d at 207-208). Under Penal Law § 70.85, a court may resentence a defendant, with the People's consent, to a determinate sentence without PRS, which "shall be deemed a lawful sentence" (Penal Law § 70.85). In either case, a court replaces an illegal sentence with a sentence that is in compliance with New York's criminal laws. As we stated in *People v Acevedo* (17 NY3d 297, 303 [2011]), *Sparber* resentencing ensures "that a sentence in connection with which PRS is required will in fact *legally impose* that prescribed element of punishment" (*id.* [emphasis added]).

Rather than accept that we meant what we said when we concluded that failure to impose PRS results in an illegal sentence which is cured by vacating the sentence and resentencing the defendant, the majority concludes that the illegal sentence retains a certain validity and may be considered for sequentiality purposes under the sentencing enhancement statutes. This is so, according to the majority, because the underlying illegality is clerical in nature and can be cured in a non-plenary proceeding (majority op at 24). Whether we call it a "clerical error" or a "procedural error," the failure to impose PRS rendered the original sentence illegal (see *Williams*, 14 NY3d at 217). There is no way around this conclusion, just as there is no way of avoiding that the method by which this error is cured cannot retroactively make an illegal sentence into a valid one.

Our decisions in *Sparber* and *Lingle* do not ignore the fundamental sentencing structure of our criminal law, which recognizes that there can be only one lawful sentence imposed for a conviction (*United States v DiFrancesco*, 449 US 117, 129 [1980]; *People v Biggs*, 1 NY3d 225, 228-229 [2003]). It follows that a court corrects an illegal sentence by vacating that sentence and imposing a new one, not superimposing a second, simultaneous sentence over the first.

The majority's policy arguments in support of its decision are also unpersuasive. While the policy behind enhancing punishment for certain recidivist offenders is significant, the sentencing enhancement statutes can only apply to sentences that conform with the Penal Law, not to illegal sentences. The Penal

Law does not impose piecemeal sentences, and no provision permits or otherwise acknowledges what the majority allows: an opportunity for the People to relate a lawful sentence back to an unlawful one for purposes of sequencing an enhanced sentence.

The majority states its preference for a bright-line rule, which will promote clarity and fairness, but there is no logical basis for finding that the majority's rule is preferable, or any better at promoting a definite answer to the question posed by these appeals. The original unlawful sentence date and the resentencing date are equally easy to determine. A rule that recognizes that the lawful sentence is the one imposed in accordance with all of the statutory elements of the Penal Law, and that only a lawful sentence counts under the enhancement statutes, is just as clear, if not clearer, as one that draws the line at the date when the court imposed the unlawful sentence. Certainly, if we are to pronounce a rule, it should be grounded in a sentence intended to meet all the legal requirements, not one that is statutorily defective.

I would reverse the Appellate Division's order in *Boyer* and affirm in *Sanders*.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge ABDUS-SALAAM; Judge RIVERA dissents and votes to reverse in an opinion in which Chief Judge LIPPMAN concurs.

In *People v Boyer*: Order affirmed.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge ABDUS-SALAAM; Judge RIVERA dissents and votes to reverse in an opinion in which Chief Judge LIPPMAN concurs.

In *People v Sanders*: Order reversed and case remitted to Supreme Court, New York County, for resentencing.

[1 NE3d 302, 978 NYS2d 101]

In the Matter of VILMA LANCASTER et al., Appellants, v INCORPORATED VILLAGE OF FREEPORT et al., Respondents. (Proceeding No. 1.)

In the Matter of WILLIAM F. GLACKEN et al., Appellants, v INCORPORATED VILLAGE OF FREEPORT et al., Respondents. (Proceeding No. 2.)

Argued October 9, 2013; decided November 19, 2013

SUMMARY

APPEALS, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 21, 2012. The Appellate Division affirmed so much of a judgment of the Supreme Court, Nassau County (R. Bruce Cozzens, J.; *see* 2010 NY Slip Op 32341[U] [2010]), entered in two related hybrid CPLR article 78 proceedings and declaratory judgment actions seeking to review and declare void respondent Board of Trustees of the Village of Freeport's determination revoking a prior resolution providing a defense and indemnification for petitioners in certain civil actions, as had (1) denied each petition, and (2) dismissed each proceeding.

Matter of Lancaster v Incorporated Vil. of Freeport, 92 AD3d 885, affirmed.

HEADNOTES

Constitutional Law — Freedom of Speech — Prior Restraint — Withdrawal of Defense and Indemnification for Refusal to Accept Settlement Containing Nondisparagement Clause

1. In hybrid proceedings and declaratory judgment actions in which petitioners, current and former village officials, challenged respondent Village's determination to discontinue providing a defense and indemnification to them in certain civil actions after they refused to accept a settlement offer containing a nondisparagement clause requiring them to agree not to ever interfere with or challenge or criticize the terms of the stipulation of settlement, the determination did not violate petitioners' First Amendment rights as an impermissible prior restraint on free speech. There was no evidence that the Village was responsible for the nondisparagement clause in the settlement offer or that the Village actively sought to restrict petitioners' speech. The plaintiffs in the civil actions were private parties entitled to offer settlement on whatever terms they saw fit and were the only parties that could have enforced the nondisparagement clause. Nor was the Village's threat to withdraw the defense and indemnification a prior restraint on speech, since the reason for the threat was to end the litigation and save public funds and not to suppress speech. Further, the actual withdrawal of the defense and indemnification was

in response to petitioners' failure to cooperate and not a restraint on what they could say in the future.

**Constitutional Law — First Amendment Rights — Retaliation —
Withdrawal of Defense and Indemnification for Refusal to Accept
Settlement Containing Nondisparagement Clause**

2. In hybrid proceedings and declaratory judgment actions in which petitioners, current and former village officials, challenged respondent Village's determination to discontinue providing a defense and indemnification to them in certain civil actions after they refused to accept a settlement offer containing a nondisparagement clause requiring them to agree not to ever interfere with or challenge or criticize the terms of the stipulation of settlement, the determination did not violate petitioners' First Amendment rights as retaliation for their refusal to give up their rights to criticize the settlement. To succeed on a First Amendment retaliation claim, a plaintiff must prove that he or she engaged in a protected activity and that the defendant engaged in retaliatory conduct that was motivated by plaintiff's protected conduct. Here, there was no evidence that the Village retaliated against petitioners for their desire to be able to criticize the settlement. Instead, the Village declined to fund the defense after petitioners unreasonably refused to settle.

**Public Officers — Duty to Defend or Indemnify Public Employee —
Withdrawal of Defense and Indemnification — Refusal to Accept
Settlement Containing Nondisparagement Clause**

3. Respondent Village Board of Trustees did not act improperly when it determined to discontinue providing a defense and indemnification for petitioners, current and former village officials, in certain civil actions based on their failure to cooperate after they refused to accept a reasonable settlement offer containing a nondisparagement clause. The Village's duty to defend and indemnify an employee in a civil action arising out of any alleged act or omission occurring while the employee was acting within the scope of the public employment is conditioned upon "[t]he full cooperation of the employee in the defense of such action . . . against the Village based upon the same act or omission" (Freeport Village Code § 130-6 [A] [2]; Public Officers Law § 18 [5] [ii]). The absence of a provision in Public Officers Law § 18 allowing the Village to settle without petitioners' consent is not dispositive of the Village's authority to do so. The legislature did not intend to restrict the meaning of the "cooperation" provision to permit a public employee to refuse a generous settlement offer and expose a municipality to potentially ruinous liability. Here, the Village acted diligently to bring about petitioners' cooperation with the settlement offer. When petitioners' counsel expressed reservations about the offer and the potential free speech violations posed by the nondisparagement clause, the Village's counsel responded to each of those concerns and explained why the clause was proper. Moreover, the record supported the lower courts' findings with regard to petitioners' attitudes of willful and avowed obstruction in unreasonably rejecting the offer.

**Municipal Corporations — Open Meetings Law — Withdrawal of
Defense and Indemnification for Public Officers**

4. Respondent Village Board of Trustees' executive session decision to discontinue providing a defense and indemnification to petitioners, current and former public officials, in certain civil actions when they refused to accept a reasonable settlement offer after the Village had already settled in those actions was not invalid as a violation of the Open Meetings Law. While the Open Meetings Law prohibits public bodies from conducting business in executive

session outside the view of the public, an exception exists for discussions regarding proposed, pending or current litigation (*see* Public Officers Law §§ 103, 105 [1] [d]). Even if the Board's decision in withdrawing the defense and indemnification did not regard pending or current litigation to which the Village was a party, the lower courts did not abuse their discretion in finding that any violations were unintentional and did not warrant invalidation of the Board's decision.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 84, 87, 90; AM JUR 2d, Compromise and Settlement §§ 6, 10, 24; AM JUR 2d, Constitutional Law §§ 483, 513; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions § 187; AM JUR 2d, Public Officers and Employees §§ 395, 396.

McKINNEY'S, Public Officers Law §§ 18 (5) (ii); 103, 105 (1) (d).

NY JUR 2d, Administrative Law §§ 80, 90–92, 95, 97; NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 218–222; NY JUR 2d, Compromise, Accord, and Release §§ 65, 70; NY JUR 2d, Counties, Towns, and Municipal Corporations § 452.

ANNOTATION REFERENCE

Validity and construction of statute authorizing or requiring governmental unit to indemnify public officer or employee for liability arising out of performance of public duties. 71 ALR3d 90.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: restrain! free! /4 speech & settle! /s nondisparag!

POINTS OF COUNSEL

Wilson Elser Moskowitz Edelman & Dicker LLP, White Plains (Robert A. Spolzino, Peter A. Meisels and Kathleen A. Daly of counsel), for appellants. I. The Incorporated Village of Freeport violated appellants' rights to freedom of speech by revoking their defense and indemnification because they refused Freeport's demand that they refrain from criticizing the settlement. (*New York Times Co. v Sullivan*, 376 US 254; *Rosenberger v Rector & Visitors of Univ. of Va.*, 515 US 819; *Citizens United v Federal Election Comm'n*, 558 US 310; *O'Neill v Oakgrove Constr.*, 71 NY2d 521; *Immuno AG. v Moor-Jankowski*, 77 NY2d

235, 500 US 954; *Fairley v Andrews*, 578 F3d 518; *Nebraska Press Assn. v Stuart*, 427 US 539; *United States v Quattrone*, 402 F3d 304; *Lusk v Village of Cold Spring*, 475 F3d 480; *Zieper v Metzinger*, 474 F3d 60.) II. Appellants' rejection of a stipulation prohibiting them from criticizing the settlement is not a failure to cooperate that entitles Incorporated Village of Freeport to revoke their defense and indemnification under Public Officers Law § 18. (*Matter of O'Brien v Spitzer*, 7 NY3d 239; *Matter of Dreyer v City of Saratoga Springs*, 43 AD3d 586; *Matter of LoRusso v New York State Off. of Ct. Admin.*, 229 AD2d 995; *Matter of Polak v City of Schenectady*, 181 AD2d 233; *Gordano v O'Neill*, 131 AD2d 722; *Higgins v Town of Southampton*, 613 F Supp 2d 327; *Mathis v State of New York*, 140 Misc 2d 333; *Feliberty v Damon*, 72 NY2d 112; *New York City Hous. Auth. v Housing Auth. Risk Retention Group, Inc.*, 203 F3d 145; *Nelson Elec. Contr. Corp. v Transcontinental Ins. Co.*, 231 AD2d 207.) III. The Incorporated Village of Freeport violated the Open Meetings Law by revoking appellants' defense and indemnification in an illegal executive session. (*Matter of Gordon v Village of Monticello*, 87 NY2d 124; *Matter of Csorny v Shoreham-Wading Riv. Cent. School Dist.*, 305 AD2d 83; *Matter of Smith v City Univ. of N.Y.*, 92 NY2d 707; *Weatherwax v Town of Stony Point*, 97 AD2d 840; *Matter of Zehner v Board of Educ. of Jordan-Elbridge Cent. School Dist.*, 91 AD3d 1349; *Matter of Goetschius v Board of Educ. of Greenburgh Eleven Union Free School Dist.*, 244 AD2d 552.)

Jaspan Schlesinger, LLP, Garden City (Stanley A. Camhi, Jessica M. Baquet and Daniel E. Shapiro of counsel), for respondents. I. The vast majority of appellants' arguments are based upon the faulty notion that the Incorporated Village of Freeport insisted on the nondisparagement clause. II. The court lacks subject matter jurisdiction because this appeal does not directly involve a substantial constitutional question. (*Matter of Kachalsky v Cacace*, 14 NY3d 743; *Wynkoop Hallenbeck Crawford Co. v Western Union Tel. Co.*, 268 NY 108; *Matter of Schulz v State of New York*, 81 NY2d 336; *Tabankin v Codd*, 40 NY2d 893; *Matter of Town of Rye v New York State Bd. of Real Prop. Servs.*, 10 NY3d 793; *Matter of Sbuttoni*, 16 AD3d 693; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Abrams*, 135 AD2d 304; *Matter of Garcia v Abrams*, 98 AD2d 871; *Trump v Trump*, 179 AD2d 201, 80 NY2d 892; *Alexander v United States*, 509 US 544.) III. The Incorporated Village of Freeport properly withdrew appellants' defense and indemnification as a result of

their failure to cooperate as required by the Public Officers Law and the Freeport Village Code. (*Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Abrams*, 135 AD2d 304; *Matter of Garcia v Abrams*, 98 AD2d 871; *New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 19 NY3d 17; *Nelson Elec. Contr. Corp. v Transcontinental Ins. Co.*, 231 AD2d 207.) IV. The Open Meetings Law does not provide a basis upon which the resolution and directive can be invalidated. (*Matter of Schulz v State of New York*, 81 NY2d 336; *Weatherwax v Town of Stony Point*, 97 AD2d 840; *Matthes v Town of E. Fishkill*, 785 F2d 43; *Matter of Roberts v Town Bd. of Carmel*, 207 AD2d 404.) V. Respondents did not violate appellants' First Amendment rights. (*Garcetti v Ceballos*, 547 US 410; *Waters v Churchill*, 511 US 661; *Shields v Charter Twp. of Comstock*, 617 F Supp 2d 606; *Rangra v Brown*, 566 F3d 515; *Nestor v Britt*, 270 AD2d 192; *Ruotolo v City of New York*, 514 F3d 184; *Lewis v Cowen*, 165 F3d 154; *Ezekwo v New York City Health & Hosps. Corp.*, 940 F2d 775; *Pappas v Giuliani*, 290 F3d 143; *Alexander v United States*, 509 US 544.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We hold that a municipality, consistent with its obligations under Public Officers Law § 18, may withdraw its defense and indemnification of current and former municipal officials and officers in a civil action for their failure to accept a reasonable settlement offer, and that First Amendment concerns with respect to the settlement's nondisclosure clause do not warrant a different conclusion.

Petitioners William F. Glacken, William White, Donald Miller, Renaire Frierson-Davis, Jorge Martinez, Vilma Lancaster, and Harrison Edwards are current and former elected officials and appointed officers of the Village of Freeport (the Village). In 2008, Water Works Realty Corp. and its principal, Gary Melius (collectively, Water Works plaintiffs), commenced two lawsuits against the Village and petitioners alleging that they orchestrated a scheme to deprive Water Works unlawfully of title and interest in certain real property. The complaints alleged, among other things, civil violations of the Racketeer Influenced and Corrupt Organizations Act, and sought \$8,500,000 in damages, treble damages, and attorneys' fees. Defendants removed both

actions to the United States District Court for the Eastern District of New York.*

The Freeport Village Code § 130-6 adopts Public Officers Law § 18 (3) (a), which provides that a “public entity shall provide for the defense of [an] employee in any civil action or proceeding, state or federal, arising out of any alleged act or omission which occurred or allegedly occurred while the employee was acting within the scope of his public employment or duties.” The Village’s duty to defend and indemnify “shall be conditioned upon: . . . [t]he *full cooperation* of the employee in the defense of such action or proceeding . . . against the Village based upon the same act or omission” (Freeport Village Code § 130-6 [A] [2] [emphasis added]; Public Officers Law § 18 [5] [ii]).

The Freeport Board of Trustees (the Board) authorized the Village to defend and indemnify petitioners and retained separate counsel for the Village and petitioners. Thereafter, the Village’s counsel began settlement negotiations with the Water Works plaintiffs. They reached an agreement whereby the Water Works plaintiffs would dismiss the actions against the Village in return for \$3,500,000 paid over six years.

In November 2009, the Village officially settled the Water Works actions. As part of the settlement, the Water Works plaintiffs agreed to discontinue the actions against petitioners without any cost or admission of wrongdoing if they signed a stipulation of discontinuance containing a nondisparagement clause. The clause required petitioners to “agree[] not to ever interfere, nor challenge or criticize the terms of either Stipulation [of Settlement] in any manner.”

On November 10, 2009, the Village’s counsel communicated the Water Works plaintiffs’ offer to petitioners’ counsel. Petitioners’ counsel responded that, in his opinion, the nondisparagement clause constituted a:

“concerted effort by the Village and the plaintiffs to silence any comment by [petitioners] in this matter of public concern, particularly as to those who hold public office, is misguided at best and could be construed as a threat to [petitioners’] First Amendment rights. I suggest revisions . . . to avoid even

* Melius also instituted a defamation action in New York Supreme Court against petitioner Glacken, the former mayor, for saying at a political debate in February 2009 that Melius was using the Water Works actions to extort money from the citizens of the Village (*see Melius v Glacken*, 94 AD3d 959 [2d Dept 2012]).

the impression of an effort to impinge on anyone's right to express themselves or to coerce any public official from fulfilling his/her responsibilities."

The Village's counsel answered that the proposed settlement did not violate petitioners' free speech rights; the settlement was advantageous for petitioners; and refusal would be patently unreasonable and a breach of their duty to cooperate under the Public Officers Law and Village Code.

Petitioners refused to settle. The Board subsequently met in executive session and resolved to withdraw petitioners' defense and indemnification.

Petitioners continued to litigate the Water Works actions at their own expense. At a court conference in January 2010, petitioners offered to execute an "unconditional" stipulation of discontinuance; the Water Works plaintiffs refused.

In February 2010, petitioners Lancaster, Miller, White, and Martinez commenced a hybrid CPLR article 78 proceeding and declaratory judgment action seeking a judgment (1) vacating the withdrawal; (2) directing respondents to provide a defense; and (3) declaring invalid the Village's disclaimer of any further obligation to defend petitioners. In March 2010, petitioners Glacken, Frierson-Davis, and Edwards, then represented by different counsel, commenced a substantially similar hybrid article 78 proceeding and declaratory judgment action.

After joining the proceedings, Supreme Court denied both petitions and dismissed the proceedings (2010 NY Slip Op 32341[U] [2010]). It rejected petitioners' arguments that the Village had infringed their First Amendment rights, improperly withdrawn the defense and indemnification for lack of cooperation, and violated the Open Meetings Law.

The Appellate Division affirmed (*Matter of Lancaster v Incorporated Vil. of Freeport*, 92 AD3d 885 [2d Dept 2012]). Petitioners then appealed to this Court as of right under CPLR 5601 (b) (1). We now affirm.

Petitioners argue that (1) the Village violated their free speech rights by withdrawing the defense and indemnification; (2) their refusal to settle did not constitute a failure to cooperate justifying revocation of the defense and indemnification under Public Officers Law § 18; and (3) the Board violated the Open Meetings Law by withdrawing the defense and indemnification in executive session.

Petitioners' constitutional arguments essentially are twofold: the requirement of a nondisparagement clause was an impermissible prior restraint on free speech, and penalizing petitioners for refusing to refrain from criticizing the settlement was unconstitutional retaliation. Neither is persuasive.

Preliminarily, we note that there is no evidence in the record that the Village was responsible for the nondisparagement clause in the Water Works settlement offer. The evidence shows that the Water Works plaintiffs included the clause as a condition of settlement. They apparently continued to insist on the provision even after the Village settled. Their insistence is understandable given petitioner Glacken's public remarks that Melius was extorting the citizens of Freeport.

It is significant that the evidence does not show the Village to have actively sought to restrict petitioners' speech. If there were evidence, for example, that as part of the settlement, the Village induced the Water Works plaintiffs to include the nondisparagement clause in the settlement with petitioners, this might be a different case.

Petitioners allege three distinct acts were prior restraints on speech: (1) the inclusion of the nondisparagement clause in the settlement offer; (2) the Village's threat to cut off the defense and indemnification if petitioners refused to settle; and (3) the Village's withdrawal of the defense and indemnification.

[1] The Water Works plaintiffs' inclusion of the nondisparagement clause in the settlement offer was not a prior restraint on speech. Water Works and Melius were private parties and were entitled to offer settlement on whatever terms they saw fit. Had petitioners accepted the settlement and breached its terms, only the Water Works plaintiffs, not the Village, could have sued to enforce it.

Nor was the Village's "threat" to withdraw the defense and indemnification a prior restraint on speech. "[T]he First Amendment prohibits government officials from encouraging the suppression of speech in a manner which can reasonably be interpreted as intimating that some form of punishment or adverse regulatory action will follow the failure to accede to the official's request" (*Zieper v Metzinger*, 474 F3d 60, 65-66 [2d Cir 2007] [internal quotation marks and citation omitted]). The reason the Village threatened to withdraw funding was to end the litigation and save public funds, not to suppress speech.

Finally, the withdrawal of the defense and indemnification was not a prior restraint on speech because it was in response

to petitioners' failure to cooperate; it was not a restraint on what petitioners could say in the future (*see Alexander v United States*, 509 US 544, 550 [1993]). Petitioners were free to continue litigating and criticize the settlement as they pleased.

Petitioners argue that the Village could not retaliate against them for refusing to give up their rights to criticize the settlement. To succeed on a First Amendment retaliation claim, a plaintiff must prove (1) that he or she engaged in a protected activity; and (2) that the defendant engaged in retaliatory conduct that was motivated by plaintiff's protected conduct (*Gagliardi v Village of Pawling*, 18 F3d 188, 194 [2d Cir 1994]). The ultimate question is whether the defendant acted with the intent to retaliate for the protected conduct or for some other reason (*id.* at 195).

For example, in *Cooper v Town of E. Hampton* (888 F Supp 376 [ED NY 1995]), the court held that a town board member had stated a retaliation claim where he alleged that the board had refused to defend and indemnify him in a defamation action arising out of certain of his public comments (*id.* at 380). Critical to the court's ruling was the allegation that another board member stated that if the board member seeking indemnification "has to spend money for a lawyer, *that will teach him a lesson to keep his mouth shut*" (*id.* at 378 [emphasis added]).

Likewise, in *Perry v Sindermann* (408 US 593 [1972]), the Supreme Court explained that a public college could not refuse to renew a professor's contract because he had criticized the college administration (*id.* at 597-598). The Court recognized the importance of the college's intent (*id.*). The professor had not been allowed to prove that the college terminated him because of his criticism as opposed to some other reason (*id.*). Therefore the Court remanded the case for further proceedings (*id.* at 598, 603).

[2] In this case, there is no evidence that the Village retaliated against petitioners for their desire to be able to criticize the settlement. The Village simply declined to fund petitioners' defense after they unreasonably refused to settle.

[3] Turning now to petitioners' Public Officers Law § 18 argument, we find it to be equally without merit. A municipal employer's statutory duty to defend a public officer under Public Officers Law § 18 is similar to an insurance company's contractual duty to defend an insured (*Matter of Dreyer v City of Saratoga Springs*, 43 AD3d 586, 588 [3d Dept 2007]). As in

the insurance context, petitioners were obligated to cooperate in the defense of the action as a condition of their defense and indemnification (Public Officers Law § 18 [5] [ii]; Freeport Village Code § 130-6 [A] [2]).

“In order to disclaim coverage on the ground of an insured’s lack of cooperation, the carrier must demonstrate that (1) it acted diligently in seeking to bring about the insured’s cooperation, (2) the efforts employed by the carrier were reasonably calculated to obtain the insured’s cooperation, and (3) the attitude of the insured, after cooperation was sought, was one of willful and avowed obstruction” (*New York State Ins. Fund v Merchants Ins. Co. of N.H.*, 5 AD3d 449, 450 [2d Dept 2004]; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159, 168 [1967]).

Petitioners’ first argument is that a public officer’s refusal to settle can never constitute a failure to cooperate under Public Officers Law § 18. They claim that an insurer cannot settle a case without the consent of the insured absent a provision in the insurance policy allowing it. They argue that Public Officers Law § 18 is in effect an insurance policy without such a nonconsensual settlement clause. Thus, they contend, their refusal to settle was not a failure to cooperate. Petitioners are wrong.

Unlike an insurer’s duty to its insured, the Village’s duty to defend and indemnify petitioners is statutory, not contractual. Public Officers Law § 18 is not an insurance contract. The absence of a provision in the statute allowing the Village to settle without petitioners’ consent is not dispositive of the Village’s authority to do so. It is the intention of the legislature, as evidenced by the language of the statute, that defines the Village’s authority.

The language of the statute does not support petitioners’ reading. Furthermore, it is inconceivable that the legislature intended such a restricted meaning of the “cooperation” provision as to permit a current or former public employee to refuse a generous settlement offer and expose a municipality to potentially ruinous liability. Otherwise, petitioners would have no financial stake in the litigation and could litigate to the very end, in good faith or otherwise, secure in the knowledge that any judgment against them would be paid by the Village. Petitioners essentially read Public Officers Law § 18 to require them to cooperate in the defense of the action, but not in its

settlement. They seek to dictate unilaterally, without any accountability to the taxpayers, how the Village manages public funds and litigation risk. This cannot be, and is not, the law.

Petitioners' second argument is that the Village did not act diligently to bring about their cooperation. An insurer may not simply disclaim coverage for lack of cooperation after its insured refuses a settlement offer, but instead must attempt to persuade the insured that settlement is the best course of action (*see New York City Hous. Auth. v Housing Auth. Risk Retention Group, Inc.*, 203 F3d 145, 151-152 [2d Cir 2000]).

Here, when petitioners' counsel expressed reservations about the settlement offer, the Village's counsel responded to each of the concerns and explained why the nondisparagement clause was proper. In so doing, the Village acted diligently in seeking to bring about petitioners' cooperation.

Petitioners' third argument, that their attitude was not one of willful and avowed obstruction, is equally unavailing. The lower courts' findings to this effect with regard to petitioners' unreasonable rejection of the settlement offer have support in the record.

Finally, we address petitioners' contention that the Board violated the Open Meetings Law. The Open Meetings Law prohibits public bodies from conducting business in executive session outside the view of the public (Public Officers Law § 103). An exception exists for "discussions regarding proposed, pending or current litigation" (Public Officers Law § 105 [1] [d]).

Petitioners argue that the Board violated the Open Meetings Law when it decided in executive session to withdraw petitioners' defense and indemnification because the decision did not regard pending or current litigation to which the Village was a party.

[4] Even if the Board misunderstood "pending or current litigation" (an issue we do not decide), the lower courts did not abuse their discretion in finding that any violations were unintentional and did not warrant invalidation of the Board's decision (*see Matter of Addesso v Sharpe*, 44 NY2d 925, 926-927 [1978] [holding sanction inappropriate where body held executive session in good faith]; *Matter of Roberts v Town Bd. of Carmel*, 207 AD2d 404, 405-406 [2d Dept 1994] [holding sanction not warranted for negligent failure to comply with Public Officers Law § 105]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). The majority in this case makes two points: (1) that a municipality may withdraw a defense and indemnification of current and former municipal officials for failure to accept a reasonable settlement offer; and (2) that the First Amendment to the United States Constitution does not warrant a different result. While I have no quarrel with either proposition in the appropriate case, this is not such a case and I therefore dissent.

The Incorporated Village of Freeport hired the law firm of Wilson, Elser, Moskowitz, Edelman & Dicker, LLP (Wilson, Elser) to represent it and its elected and appointed officials in two lawsuits (the underlying actions) brought in July 2008. Plaintiff Water Works Realty Corp. and its principal alleged that while they had made a “business decision” not to pay Water Works’ real property taxes, the Village defendants colluded in every fashion possible to deprive plaintiffs of their property through a conspiracy surrounding a tax sale of the Water Works property. The litigation appeared to proceed apace, having initially been brought in state court but removed, on stipulation, to the United States District Court for the Eastern District of New York.

In March 2009, village elections brought a new mayor and two new village trustees. Three of the original board members left office while two, Jorge Martinez¹ and William H. White, remained, along with the Village Treasurer, Vilma Lancaster. In July 2009, the new village majority, perceiving a conflict of interest between the “old board” and the new majority, hired separate counsel, Warren and Warren, LLP, to represent the Village going forward. Thereafter, the new majority’s attorney negotiated with attorneys for the plaintiffs in the underlying actions and ultimately agreed to a settlement of \$3.5 million to be paid by the Village.²

The “stipulation of settlement” appears to have been executed in November 2009 by plaintiffs in the underlying actions, the Village by its new mayor, Andrew Hardwick, and counsel for both the plaintiffs and Warren and Warren, the attorneys hired by the “new Village.”

1. The underlying actions were discontinued against Martinez.

2. The majority assumes that the settlement was “reasonable”; however, I find no record support for this claim, as the parties had not engaged in pre-trial discovery prior to the settlement.

The rub came, and thus this lawsuit, when someone (it is not entirely clear who) sought not a stipulation of settlement—that had already been agreed to in November 2009 and approved by the board by a vote of 3-0 (with Trustees Martinez and White abstaining)—but, rather, a stipulation of discontinuance that was addressed to the defendants represented by Wilson, Elser. The Village was not noted in this stipulation, apparently because the Village, through its new mayor, had executed the previous stipulation of *settlement*. The stipulation of discontinuance (which is typically signed by the attorneys, not the litigants), sent to the plaintiffs by Village counsel, stated, in addition to the usual boilerplate, as follows:

“Each undersigned Defendant specifically represents and warrants that he/she has read the Village Stipulation [of settlement] and this Stipulation carefully and; that he/she has fully discussed it with his/her attorneys and that he/she has signed this Stipulation voluntarily and of his/her own free will; and he/she has no objections to the Village Stipulation nor this Stipulation and agrees not to ever interfere, nor challenge or criticize the terms of either Stipulation in any manner.”

Petitioners refused to sign this stipulation, but made it abundantly clear that they are willing to sign a stipulation of discontinuance absent this language.

The majority makes much of the fact that this stipulation of discontinuance requires no money to be paid by the petitioners and therefore, ipso facto, their refusal to sign the stipulation constitutes a failure to cooperate.

However, one has to ask why, if the plaintiffs in the underlying action are receiving no further funds from defendants, who have not even asked them to sign the stipulation of *settlement*, one would need anything more than a stipulation of discontinuance signed by their attorneys, as is the usual practice. Indeed, a simple motion before the trial court to dismiss the complaint based upon its settlement would suffice.

Obviously, it is important to someone that these litigants be silenced. Two of them, at the time of the settlement, were still on the Village Board. A third, the Village Treasurer, while not a voting member of the Board, remained in office at the time the settlement was reached. Our decision today means that these two elected officials and the Village Treasurer are prohibited

from speaking against a proposal that they have opposed and must, instead, effectively commit perjury by stating that they have “no objections to the Village Stipulation” even though the public record shows otherwise. The better question here is why a village and its new board would insist on this promise of silence. A settlement of this size should invite vigorous debate, not suppress it.

Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur with Chief Judge LIPPMAN; Judge PIGOTT dissents in an opinion.

Order affirmed, with costs.

[1 NE3d 298, 978 NYS2d 97]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRANKLIN HUGHES, Appellant.

Argued October 9, 2013; decided November 19, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 19, 2011. The Appellate Division affirmed a judgment of the Nassau County Court (George R. Peck, J.), which had convicted defendant, after a nonjury trial, of criminal possession of a weapon in the second degree and criminal possession of a weapon in the third degree.

People v Hughes, 83 AD3d 960, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Constitutional Challenge to Weapons Possession Offense — Posttrial Motion

1. Defendant's constitutional challenge to a second degree weapons charge was adequately preserved for appeal where defendant raised the challenge in a motion after trial, but before sentence, pursuant to a CPL 330.30 motion to set aside his conviction on that charge and where the trial court decided the motion on the merits (*see* CPL 470.05 [2]). In his motion defendant argued that conversion of a weapon possession crime to a class C felony on the basis of his prior misdemeanor conviction was an infringement of his right to keep and bear arms. The trial court might well have been within its discretion if it had refused to consider defendant's CPL 330.30 motion since CPL 255.10 (1) (a) defines a motion to dismiss or reduce an indictment as a "[p]retrial motion," and CPL 255.20 (1) requires such motions to be made within 45 days after arraignment and before commencement of trial. However, the People, though complaining of the motion's tardiness, did not suggest that they had been prejudiced by the delay. Moreover, the court was not powerless to decide defendant's motion on the merits. Defendant could have asserted his constitutional claim in a motion to dismiss the indictment pursuant to CPL 210.20, a motion that must normally be made before trial, but one which "the court, in the interest of justice, and for good cause shown, may, in its discretion, at any time before sentence, entertain and dispose of . . . on the merits" (CPL 255.20 [3]). The court was not deprived of its discretion because defendant may have put the wrong section number—CPL 330.30 rather than 210.20—on his motion papers, and it was not an abuse of discretion for the court to entertain the belated motion.

Constitutional Law — Right to Bear Arms — Challenge to Statute — Enhanced Punishment for Persons Previously Convicted of Crime — Level of Scrutiny

2. Defendant's sentence of 3½ years of imprisonment for criminal possession of a weapon in the second degree (Penal Law § 265.03 [3]), in a prosecution in which he alleged that his Second Amendment right to keep and bear

arms was infringed by the statutory scheme which increased his punishment for illegally possessing a loaded unlicensed handgun in his home based on his prior conviction of a crime, did not transgress Second Amendment limits. Assuming that the punishment imposed on defendant was subject to Second Amendment scrutiny, intermediate scrutiny, requiring an inquiry as to whether a challenged statute bears a substantial relationship to the achievement of an important governmental objective, was appropriate. Penal Law § 265.03 (3), making it a class C felony for anyone previously convicted of any crime to possess an unlicensed, loaded firearm in his home or elsewhere, easily passed that test. It is beyond dispute that preventing the criminal use of firearms is an important government objective; and keeping guns away from people who have shown they cannot be trusted to obey the law is a means substantially related to that end. More specifically, to punish severely a convicted criminal such as defendant who, though eligible for a license, again violated the law by obtaining an unlicensed gun was a means well-suited to the end of assuring that lawbreakers do not have firearms. Defendant's 3½ year sentence was not draconian and did not raise constitutional problems.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 514, 575, 619, 651, 721;
 AM JUR 2d, Constitutional Law §§ 857, 861; AM JUR 2d,
 Trial § 1659; AM JUR 2d, Weapons and Firearms §§ 4, 5,
 10.
 CARMODY-WAIT 2d, Pretrial Motions §§ 189:12, 189:13,
 189:17; CARMODY-WAIT 2d, Postjudgment Motions
 §§ 205:2, 205:21, 205:52; CARMODY-WAIT 2d, Verdict and
 Postverdict Proceedings §§ 202:27, 202:30; CARMODY-
 WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19.
 LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.11,
 27.5.
 MCKINNEY'S, CPL 210.20, 255.20 (3); 330.30, 470.05 (2);
 Penal Law § 265.03 (3).
 NY JUR 2d, Criminal Law: Procedure §§ 1546, 2856, 3408,
 3454–3456, 3459, 3468, 3643; NY JUR 2d, Criminal Law:
 Substantive Principles and Offenses §§ 1848, 1880, 1881;
 NY JUR 2d, Weapons § 2.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Weapons and Firearms.

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POINTS OF COUNSEL

Michael A. Fiechter, Bellmore, for appellant. I. Strict scrutiny is the appropriate standard to be applied when determining the

constitutionality of statutes infringing upon the fundamental individual rights guaranteed by the Second Amendment to the United States Constitution and New York Civil Rights Law § 4. (*Carey v Brown*, 447 US 455; *Romer v Evans*, 517 US 620; *Police Dept. of Chicago v Mosley*, 408 US 92; *Regan v Taxation With Representation of Wash.*, 461 US 540; *Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *Plyler v Doe*, 457 US 202; *Harper v Virginia Bd. of Elections*, 383 US 663; *People v Perkins*, 62 AD3d 1160; *District of Columbia v Heller*, 554 US 570; *Press v State Univ. of N.Y. at Stony Brook*, 388 F Supp 2d 127.) II. Penal Law §§ 265.03 (3) and 265.02 (1) are an unconstitutional restriction of rights guaranteed by the Second Amendment to the United States Constitution and New York Civil Rights Law § 4. (*United States v Chester*, 628 F3d 673; *United States v White*, 593 F3d 1199; *In re United States*, 578 F3d 1195; *Matter of City Servs., Inc. v Neiman*, 77 AD3d 505; *Matter of Al Turi Landfill v New York State Dept. of Env'tl. Conservation*, 289 AD2d 231.)

Kathleen M. Rice, District Attorney, Mineola (*Yael V. Levy* and *Tammy J. Smiley* of counsel), for respondent. I. This Court lacks jurisdiction over defendant's constitutional challenge to New York's gun possession laws because it was raised for the first time in a motion to set aside the verdict and, even then, defendant challenged only one of the two laws he now identifies as unconstitutional. (*People v Hines*, 97 NY2d 56; *People v Padro*, 75 NY2d 820; *People v Davidson*, 98 NY2d 738; *People v Iannelli*, 69 NY2d 684; *People v Middleton*, 54 NY2d 42; *People v Gibian*, 76 AD3d 583; *People v Fogarty*, 12 AD3d 854; *People v Bautista*, 25 AD3d 341; *People v Brown*, 265 AD2d 893; *People v Knapp*, 79 AD3d 1805.) II. New York legitimately penalizes unlicensed firearm possession by convicted criminals without running afoul of the Second Amendment. (*District of Columbia v Heller*, 554 US 570; *United States v Barton*, 633 F3d 168; *United States v Rozier*, 598 F3d 768; *United States v Vongxay*, 594 F3d 1111; *United States v Scroggins*, 599 F3d 433; *United States v Skoien*, 614 F3d 638; *United States v McCane*, 573 F3d 1037; *Carey v Musladin*, 549 US 70; *Sheet Metal Workers v EEOC*, 478 US 421; *United States v Chester*, 628 F3d 673.)

Eric T. Schneiderman, Attorney General, New York City (*Nikki Kowalski*, *Simon Heller*, *Barbara D. Underwood* and *Richard Dearing* of counsel), for New York State Attorney General, intervenor-respondent. The convictions here do not violate the Second Amendment. (*District of Columbia v Heller*, 554 US 570;

United States v Decastro, 682 F3d 160; *United States v Torres-Rosario*, 658 F3d 110; *United States v Barton*, 633 F3d 168; *United States v Moore*, 666 F3d 313; *United States v Anderson*, 559 F3d 348; *United States v Williams*, 616 F3d 685; *United States v Joos*, 638 F3d 581; *United States v Vongxay*, 594 F3d 1111.)

OPINION OF THE COURT

SMITH, J.

Defendant was convicted of a class C felony and sentenced to 3½ years in prison for possessing a loaded weapon in his home. He does not dispute that his conduct is punishable as a crime, but says that punishing it as a class C felony violates his Second Amendment right to keep and bear arms. We hold that this right has not been violated.

I

Defendant's ex-girlfriend Erica lived in an apartment in Hempstead, Long Island. Though their romantic relationship had ended, defendant visited her and stayed at her apartment frequently—so frequently that the trial court, which tried the case without a jury, found that the People had failed to prove that Erica's apartment was not defendant's home. On the day before the event that is now at issue, defendant was at Erica's apartment, heard shooting outside, and decided to bring a gun with him for protection the following day.

On that day, defendant arrived at Erica's apartment with a loaded handgun, for which he had no permit. He chatted with members of Erica's family, then stepped outside—apparently still, under the findings of the trial court, in the curtilage of his home. There he encountered two men, one of whom was Quentin Roseborough. After an argument, defendant drew the gun and shot Roseborough dead.

Defendant was indicted on one count of murder and three counts of criminal possession of a weapon. He raised a justification defense to the murder charge, relying on his own written statement to the police and testimony before the grand jury, in which he said that he shot Roseborough—known to him by the nickname “Maniac Guns”—after Roseborough pulled a gun on him. Eyewitnesses corroborated significant details in defendant's account, and the trial judge believed it. The court acquitted defendant of murder, of manslaughter as a lesser included offense, and of possession of a weapon with intent to use it

unlawfully. The court convicted him, however, of criminal possession of a weapon in the second degree (possession of a loaded firearm), a class C felony, and of criminal possession of a weapon in the third degree (possession of a firearm by one previously convicted of a crime), a class D felony.

Defendant had a previous conviction for a misdemeanor, resisting arrest, which was essential to both of his weapon convictions. As we explain in more detail below, the prior misdemeanor barred defendant from defeating the second degree weapon possession charge on the ground that the possession took place in his home (*see* Penal Law § 265.03 [3]); and previous conviction of a crime is an element of third degree weapon possession (*see* Penal Law § 265.02 [1]). If he had not previously been convicted of any crime, defendant would have been found guilty in this case only of a class A misdemeanor, criminal possession of a weapon in the fourth degree (possession of a firearm) (Penal Law § 265.01 [1]).

Defendant moved in the trial court, pursuant to CPL 330.30, to set aside his conviction for second degree weapon possession. The Court denied the motion and sentenced defendant to 3^{1/2} years of imprisonment on the second degree count and one year on the third degree count, to run concurrently. The Appellate Division affirmed the judgment of conviction and sentence as to both counts, rejecting defendant's argument that his Second Amendment rights had been violated (*People v Hughes*, 83 AD3d 960 [2d Dept 2011]). A Judge of this Court granted leave to appeal (19 NY3d 961 [2012]), and we now affirm.

II

Defendant's only significant argument on appeal is that his convictions of a class C and a class D felony infringed his Second Amendment right to keep and bear arms. The People assert that we may not reach this argument because it is not preserved. As to defendant's conviction for third degree weapon possession (the class D felony), the People are right. Defendant never challenged the third degree count on constitutional grounds at Supreme Court. But as to defendant's second degree (class C felony) conviction, we conclude that, as the Appellate Division held, the preservation was adequate under the circumstances of this case.

Defendant did not move before or during trial to dismiss the second degree weapon possession charge on constitutional grounds. He did, however, make such a motion after trial, but

before sentence, pursuant to CPL 330.30. He argued—essentially as he argues here—that to convert a weapon possession crime to a class C felony on the basis of a prior misdemeanor conviction is an infringement of his right to keep and bear arms.

The People argued in Supreme Court this issue was raised too late. They had a point. CPL 255.10 (1) (a) defines a motion to dismiss or reduce an indictment as a “pretrial motion,” and CPL 255.20 (1) requires such motions to be made “within forty-five days after arraignment and before commencement of trial.” The trial court might well have been within its discretion if it had refused to consider defendant’s CPL 330.30 motion. However, the People, though complaining of the motion’s tardiness, did not suggest that they had been prejudiced by the delay. They now argue that, had defendant’s argument been raised earlier, they might have mooted it by proving that defendant had a prior *felony* conviction, but they never said this to the trial court.

[1] The trial court did not accept the People’s timeliness objection, and decided defendant’s motion on the merits. We reject the idea that the court was powerless to do so. Defendant could have asserted his constitutional claim in a motion to dismiss the indictment pursuant to CPL 210.20, a motion that must normally be made before trial, but one which “the court, in the interest of justice, and for good cause shown, may, in its discretion, at any time before sentence, entertain and dispose of . . . on the merits” (CPL 255.20 [3]). The court was not deprived of its discretion because defendant may have put the wrong section number—CPL 330.30 rather than 210.20—on his motion papers, and it was not an abuse of discretion for the court to entertain the belated motion. Having been raised by defendant and decided by the trial court, the constitutional issue as to the second degree weapon possession conviction was preserved for appeal (*see* CPL 470.05 [2]).

III

Under Penal Law § 265.01 (1), a person who “possesses any firearm” is guilty of criminal possession of a weapon in the fourth degree, a misdemeanor. But a person who possesses “any loaded firearm” is guilty of criminal possession in the second degree, a class C felony (Penal Law § 265.03 [3]), unless “such possession takes place in such person’s home or place of business” (*id.*). The home or business exception is inapplicable,

however, if the person possessing the weapon “has been previously convicted of any crime” (Penal Law § 265.02 [1] [incorporated by reference in Penal Law § 265.03 (3)]; see *People v Jones*, 22 NY3d 53 [2013] [decided today]).

This last provision—the prior-crime exception to the home or place of business exception—resulted in defendant’s conviction for second degree weapon possession. Although the trial court found that defendant possessed the gun in his home, that does not help him under the statute, because he was previously convicted of a misdemeanor, resisting arrest. Defendant’s argument is, in essence, that to elevate a weapon possession charge to a class C felony on the basis of a prior misdemeanor conviction impermissibly burdens his right to keep and bear arms under the Second Amendment (“A well regulated Militia, being necessary to the security of a free State, the right of the people to keep and bear Arms, shall not be infringed”), which was interpreted in *District of Columbia v Heller* (554 US 570 [2008]) and *McDonald v Chicago* (561 US 742 [2010]) to create an individual right to bear arms that the states are bound to respect.

To put defendant’s argument in context, it is important to understand that New York’s criminal weapon possession laws prohibit only *unlicensed* possession of handguns. A person who has a valid, applicable license for his or her handgun commits no crime (Penal Law § 265.20 [a] [3]). Nor is a license to possess a handgun in one’s home difficult to come by. Subject to some qualifications, a “householder” is entitled to a license to “have and possess in his dwelling” a pistol or revolver (Penal Law § 400.00 [2] [a]); the only qualification relevant here is that the householder must not have been “convicted anywhere of a felony or a serious offense” (Penal Law § 400.00 [1] [c]). Resisting arrest is not a “serious offense” as defined in the Penal Law (Penal Law § 265.00 [17]). Thus, if the resisting arrest conviction was defendant’s only one, there is no apparent reason why he could not have obtained a license to have a handgun in his home. It is undisputed, however, that he had no such license.

Defendant does not dispute the State’s power to punish him for having an unlicensed handgun in his home. He claims, however, that punishment of this crime as a class C felony is unconstitutionally severe. The People say that defendant’s argument is fundamentally misconceived: the Second Amendment, according to the People, limits a state’s power to punish gun possession, but does not limit the severity of punishment when

a constitutionally valid law has been violated. Severity, they say, is governed by the limitations of the Eighth Amendment (“nor [shall] cruel and unusual punishments [be] inflicted”).

Defendant cites no case in which the Second Amendment has been applied to limit the penalties that may be imposed for concededly unlawful gun possession. The People, on the other hand, cite no authority holding that no such Second Amendment limits exist. The question appears to be an open one, and we need not decide it here. Assuming that there are cases in which the severity of punishment would transgress Second Amendment limits, this is not such a case.

[2] We assume without deciding that the punishment imposed on defendant is subject to Second Amendment scrutiny, and we therefore consider what level of scrutiny is triggered by a Second Amendment claim. This question was left unanswered by the Supreme Court in *Heller* (see 554 US at 628-629). Since *Heller*, several Federal Courts of Appeals have applied intermediate scrutiny in Second Amendment cases (see *Heller v District of Columbia*, 670 F3d 1244, 1261-1264 [DC Cir 2011]; *United States v Booker*, 644 F3d 12, 25 [1st Cir 2011]; *United States v Masciandaro*, 638 F3d 458, 471 [4th Cir 2011]; *United States v Chester*, 628 F3d 673, 683 [4th Cir 2010]; *United States v Marzarella*, 614 F3d 85, 97 [3d Cir 2010]; *United States v Reese*, 627 F3d 792, 802 [10th Cir 2010]; *United States v Skoien*, 614 F3d 638, 641-642 [7th Cir 2010 en banc]; contra *United States v Engstrum*, 609 F Supp 2d 1227 [D Utah 2009]). Indeed, the Supreme Court’s *Heller* opinion itself seems to point in the direction of intermediate scrutiny. It flatly rejects the less stringent rational basis scrutiny (554 US at 628 n 27); on the other hand, it says that nothing in its opinion “should be taken to cast doubt on” a number of “longstanding prohibitions” of firearms possession (*id.* at 626-627). Such an endorsement of categorical restrictions seems hard to reconcile with the highest level of scrutiny, strict scrutiny, as usually practiced. We conclude that, assuming any Second Amendment scrutiny is appropriate here, intermediate scrutiny is the right kind.

Intermediate scrutiny requires us to ask whether a challenged statute bears a substantial relationship to the achievement of an important governmental objective (*Clark v Jeter*, 486 US 456, 461 [1988]). Penal Law § 265.03 (3), making it a class C felony for anyone previously convicted of any crime to possess an unlicensed, loaded firearm in his home or elsewhere, easily passes this test. The statute does not, it must be remembered,

forbid anyone convicted of any misdemeanor from possessing a gun on pain of class C felony punishment; most misdemeanants—including the present defendant, assuming that resisting arrest was his only prior crime—are eligible for licenses to have guns in their homes.

It is beyond dispute that preventing the criminal use of firearms is an important government objective; and keeping guns away from people who have shown they cannot be trusted to obey the law is a means substantially related to that end. More specifically, to punish severely a convicted criminal who, though eligible for a license, again violates the law by obtaining an unlicensed gun is a means well-suited to the end of assuring that lawbreakers do not have firearms. We need not decide whether a truly draconian sentence for such unlawful possession would raise constitutional problems. The 3½ year sentence this defendant received does not.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[999 NE2d 1184, 977 NYS2d 739]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HAR-
OLD JONES, Appellant.

Argued October 9, 2013; decided November 19, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 5, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Richard D. Carruthers, J.), which, among other things, had reduced a count charging criminal possession of a weapon in the second degree to criminal possession of a weapon in the third degree, and (2) reinstated the charge of criminal possession of a weapon in the second degree.

People v Jones, 103 AD3d 411, affirmed.

HEADNOTES

Crimes — Appeal — Timeliness — Service of Order

1. In a criminal prosecution in which Supreme Court ordered that a count charging criminal possession of a weapon in the second degree should be reduced to criminal possession of a weapon in the third degree, the People's appeal to the Appellate Division from that order was timely under CPL 460.10 (1) (a), which required an appeal to be taken within 30 days after service upon the People of a copy of Supreme Court's order. Defendant's contention that Supreme Court provided copies of its order to the parties in open court was not supported by the record which showed that the court only said that there was "a decision on file." Moreover, CPL 460.10 (1) (a) requires prevailing party service—not just the handing out of an order by the court—to commence the time for filing a notice of appeal and it was undisputed that defendant, the prevailing party at Supreme Court, never served the order on the People.

Crimes — Possession of Weapon — Possession in Home or Business — Possession by Person Previously Convicted of Felony

2. Defendant was properly charged with criminal possession of a weapon in the second degree for possession of a loaded firearm in his home, since defendant could not rely on the so-called "home or business" exception in Penal Law § 265.03 (3) where he had previously been convicted of a crime. Section 265.03 (3) states that possession of a loaded firearm "shall not, except as provided in subdivision one . . . of section 265.02 of this article, constitute a violation of this subdivision if such possession takes place in such person's home or place of business." Section 265.02 (1), defining criminal possession of a weapon in the third degree, applies to a person who has committed fourth degree criminal possession of a weapon and "has been previously convicted of any crime," thereby creating an exception to section 265.03 (3)'s home or business exception and making that exception inapplicable when the defendant has had a

previous criminal conviction. Defendant's argument that section 265.03 (3) should be read as saying that "possession in the home or place of business is not second degree possession, but it is third degree possession" would alter the plain meaning of the statutory words by reading the word "except" out of subdivision (3). Moreover, a memorandum by a knowledgeable legislator virtually contemporaneous with the enactment of Penal Law § 265.03 (3) stated that the law was "intended to increase the penalty for criminal possession of a loaded firearm under the circumstances where . . . [a] person possesses a loaded firearm in his home or place of business and has previously been convicted of a crime."

Crimes — Indictment — Criminal Possession of Weapon — Prior Criminal Conviction

3. An indictment charging defendant with criminal possession of a weapon in the second degree (Penal Law § 265.03 [3]), based on defendant's possession of a loaded firearm in his home after having been convicted of a crime, was not insufficient because it failed to allege defendant's prior criminal conviction. Defendant's previous conviction was not an "element of the offense charged" and consequently did not have to be alleged at all (*see* CPL 200.50 [7] [a]). While in a more typical second degree possession case, where the home or business exception is factually inapplicable—that is, where the alleged possession took place somewhere else—the inapplicability of the exception is an element of the offense, and either the indictment or a special information must allege the fact that makes it inapplicable. But where the defendant has a previous conviction, the exception never comes into play, its inapplicability is not an element of the offense, and the indictment need not allude to it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 252, 259, 260, 270, 275;
AM JUR 2d, Indictments and Informations §§ 93, 95, 117;
AM JUR 2d, Weapons and Firearms §§ 10, 26.
CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:297, 178:301; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:67.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.1–19.3, 27.3.
MCKINNEY'S, CPL 200.50 (7) (a); 460.10 (1) (a); Penal Law §§ 265.02 (1); 265.03 (3).
NY JUR 2d, Criminal Law: Procedure §§ 1239, 1248, 3490, 3522, 3581; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1848, 1866, 1873, 1874, 1876–1878; NY JUR 2d, Weapons § 2.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Indictments and Informations; Weapons and Firearms.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (David J. Klem of counsel), for appellant. I. The appeal should have been dismissed as untimely because the People failed to file a notice of appeal or obtain reconsideration within 30 days of service on them of the decision reducing the count of the indictment. (*Kilmer v Hathorn*, 78 NY 228; *People v Coaye*, 68 NY2d 857; *People v Singleton*, 72 NY2d 845; *People v Elmer*, 98 AD3d 810, 19 NY3d 501, 20 NY3d 1011; *People v Washington*, 86 NY2d 853; *People v Torres*, 179 AD2d 358; *People v Stevenson*, 176 AD2d 516; *Matter of De Luca v Caputa*, 8 NY2d 1020; *McCoy v Metropolitan Transp. Auth.*, 75 AD3d 428; *Reid v Presbyterian Hosp. in City of N.Y.*, 254 AD2d 139.) II. An individual previously convicted of a crime who possesses a loaded gun in his home or place of business is guilty of third degree, but not second degree, criminal possession of a weapon. (*People v Powell*, 54 NY2d 524; *People v Lamont*, 21 AD3d 1129; *People v Hedgeman*, 70 NY2d 533.) III. The indictment was jurisdictionally defective in failing to include elements within its body and the special information attached to the indictment was improperly utilized. (*People v Sanchez*, 84 NY2d 440; *People v Iannone*, 45 NY2d 589; *People v Kohut*, 30 NY2d 183; *People v Santana*, 7 NY3d 234; *People v Cooper*, 78 NY2d 476; *Old Chief v United States*, 519 US 172; *People v Santorelli*, 80 NY2d 875.)

Cyrus R. Vance, Jr., District Attorney, New York City (David P. Stromes and Patrick J. Hynes of counsel), for respondent. I. A defendant who has been previously convicted of any crime commits second degree possession of a weapon under Penal Law § 265.03 (3) by possessing a loaded firearm in his home. (*People v Hughes*, 83 AD3d 960, 19 NY3d 961; *People v Lamont*, 21 AD3d 1129; *People v Sams*, 19 Misc 3d 1133[A], 2008 NY Slip Op 50993[U]; *People v Montilla*, 10 NY3d 663.) II. Defendant's efforts to avoid a merits decision by seeking reversal of the Appellate Division's decision on other grounds must be rejected. (*People v Goodfriend*, 64 NY2d 695; *People v Washington*, 86 NY2d 853; *People v Aubin*, 245 AD2d 805; *People v Bowden*, 28 Misc 3d 1204[A], 2010 NY Slip Op 51147[U]; *People v Ashe*, 187 Misc 2d 532; *People v Singleton*, 72 NY2d 845; *People v Lynch*, 195 Misc 2d 814; *People v Coaye*, 68 NY2d 857; *People v Elmer*, 19 NY3d 501; *Flisch v Walters*, 42 AD3d 682.)

OPINION OF THE COURT

SMITH, J.

Defendant was charged with criminal possession of a weapon in the second degree for possessing a loaded firearm. The alleged possession occurred in his home, but defendant had previously been convicted of a crime. He claims that under Penal Law § 265.03 (3) he is entitled, despite his prior conviction, to rely on the so-called “home or business” exception in the definition of second degree weapon possession. We reject that argument and hold that defendant’s indictment for second degree possession was proper.

I

Defendant was charged in two indictments with a variety of crimes, but only a single count is now before us. That count was based on evidence before the grand jury that a loaded gun was found in a bathroom; the bathroom, it is now conceded, was part of defendant’s home. The indictment alleges simply that defendant committed criminal possession of a weapon in the second degree in violation of Penal Law § 265.03 (3) in that he “possessed a loaded firearm.” With the indictment, the People filed a special information, alleging that defendant had previously been convicted of criminal possession of a controlled substance in the first degree.

Supreme Court, concluding that possession of the weapon in defendant’s home did not constitute second degree possession, reduced the charge to third degree possession. On the People’s appeal, the Appellate Division reversed and reinstated the second degree charge (*People v Jones*, 103 AD3d 411 [1st Dept 2013]). A Judge of this Court granted leave to appeal (21 NY3d 944 [2013]), and we now affirm.

II

Before reaching the merits of the appeal, we must consider a jurisdictional issue. Defendant says that the People’s appeal to the Appellate Division was untimely, and that therefore the Appellate Division could not consider it. He says that the appeal was not taken “within [30] days after service upon [the People] of a copy” of Supreme Court’s order reducing the second degree count to third degree possession (CPL 460.10 [1] [a]).

[1] Defendant’s theory is that the 30-day time to appeal began running when, according to defendant’s brief, Supreme Court “provided copies” of its order “to the parties in open court.” In

fact, the record does not show that the court did any such thing. At the transcript page defendant cites, the court only says that there is “a decision on file.” But even if the factual premise of defendant’s argument were correct, his argument would have no merit. We have interpreted CPL 460.10 (1) (a) “to require prevailing party service”—not just the handing out of an order by the court—“to commence the time for filing a notice of appeal” (*People v Washington*, 86 NY2d 853, 854 [1995]). Here, it is undisputed that defendant, the prevailing party at Supreme Court, never served the order on the People.

III

On the merits, this appeal requires us to interpret the “home or business” exception to the second degree weapon possession statute, Penal Law § 265.03 (3). Under that statute:

“A person is guilty of criminal possession of a weapon in the second degree when: . . .

“(3) such person possesses any loaded firearm. Such possession shall not, except as provided in subdivision one . . . of section 265.02 of this article, constitute a violation of this subdivision if such possession takes place in such person’s home or place of business.”

[2] Section 265.02 (1), to which the above quoted language refers, defines criminal possession of a weapon in the third degree. Under Penal Law § 265.02 (1), a person is guilty of third degree criminal possession when he or she “commits the crime of criminal possession of a weapon in the fourth degree . . . and has been previously convicted of any crime.” The Appellate Division read the reference in section 265.03 (3) to section 265.02 (1) as creating an exception to the home or business exception—i.e., to make that exception inapplicable when the defendant has a previous criminal conviction. We agree with this reading of the statute.

The language of the statute, fairly read, supports the Appellate Division’s holding. The home or business exception is qualified by the words “except as provided in subdivision one . . . of section 265.02” and section 265.02 (1) applies to a person who “has been previously convicted of any crime.” Thus such a person may not rely on the home or business exception in a prosecution under Penal Law § 265.03 (3).

Defendant would have us read the “except as provided” phrase of section 265.03 (3) not as excluding certain cases from

the home or business exception, but as stating the fact that those cases are covered by the third degree statute, Penal Law § 265.02 (1). Thus defendant would paraphrase the statute as saying: “possession in the home or place of business is not second degree possession, but it is third degree possession, as Penal Law § 265.02 (1) says.” This argument alters the plain meaning of the statutory words: it reads the word “except” out of Penal Law § 265.03 (3). The argument also makes the statute a strange one. Why should the law defining second degree possession include a remark about what the third degree statute says? It is not the normal function of a Penal Law section to provide information about what other sections contain.

Defendant argues that his reading of the statute is less strange when the history of Penal Law § 265.03 (3) is considered. Until 2006, possession of a loaded firearm outside of one’s home or place of business was third degree possession only, and the predecessor statute to Penal Law § 265.03 (3) was a subdivision of Penal Law § 265.02 (*see* former Penal Law § 265.02 [4], as repealed by L 2006, ch 742). At that time, subdivisions (1) and (4) of Penal Law § 265.02 said that a person commits the third degree offense when:

“(1) Such person commits the crime of criminal possession of a weapon in the fourth degree . . . and has been previously convicted of any crime; or . . .

“(4) Such person possesses any loaded firearm. Such possession shall not, except as provided in subdivision one . . . constitute a violation of this section if such possession takes place in such person’s home or place of business.”

Thus, until 2006, Penal Law § 265.02 (1) governed the case where a defendant convicted of a prior crime possessed a firearm (loaded or unloaded) in his home or place of business. The “except as provided” phrase in subdivision (4) was necessary to make clear that the home or business exception did not apply to subdivision (1).

When former Penal Law § 265.02 (4) was repealed and replaced by section 265.03 (3), the legislature tracked the language of the former statute. It retained the “except as provided” phrase, altering it to refer to “subdivision one . . . of section 265.02.” On defendant’s theory, the phrase was no longer necessary, because the two subdivisions were now in different sections, but the legislature, in mechanically transposing

language, overlooked this. Defendant says that the legislature did not intend to change the meaning of the “except as provided” phrase, which he says still means, as it did before the 2006 legislation, that Penal Law § 265.02 (1) governs cases like the one before us.

Defendant’s speculation—essentially, that the 2006 legislature blundered—is contradicted by legislative history showing that the legislature knew precisely what it was doing. A month and a half after enacting Penal Law § 265.03 (3), the 2006 legislature amended it to correct an error. The Senate sponsor of the corrective legislation provided a memorandum in its support, in which he described the purpose of section 265.03 (3). The new subdivision was, he said, “intended to increase the penalty for criminal possession of a loaded firearm under the circumstances where . . . [a] person possesses a loaded firearm in his home or place of business and has previously been convicted of a crime” (Senate Introducer Mem in Support, Bill Jacket, L 2006, ch 745 at 3). Thus a memorandum by a knowledgeable legislator virtually contemporaneous with the enactment of Penal Law § 265.03 (3) describes it as meaning what it says. We hold that interpretation to be correct.

IV

Defendant also argues that, regardless of the meaning of the home or business exception, the indictment here is insufficient because it does not allege defendant’s prior criminal conviction. It is improper, defendant says, to allege that conviction separately, in a special information. The Appellate Division held the special information proper under CPL 200.60, which says that a previous conviction shall not be included in an indictment, but in a special information, where that previous conviction “raises an offense of lower grade to one of higher grade and thereby becomes an element of the latter.” (CPL 200.60 [1].)

[3] We see no need to decide the CPL 200.60 question, because in our view defendant’s previous conviction was not an “element of the offense charged”—criminal possession of a weapon in the second degree—and so did not have to be alleged at all (*see* CPL 200.50 [7] [a]). No doubt, in a more typical second degree possession case, where the home or business exception is factually inapplicable—i.e., where the alleged possession took place somewhere else—the inapplicability of the exception is an

element of the offense, and either the indictment or a special information must allege the fact that makes it inapplicable. But where the defendant has a previous conviction, the exception never comes into play, its inapplicability is not an element of the offense, and the indictment need not allude to it.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

[2 NE3d 221, 979 NYS2d 257]

GARY CRUZ et al., Appellants, v TD BANK, N.A., Respondent.

GERALDO F. MARTINEZ et al., Appellants, v CAPITAL ONE BANK,
N.A., Respondent.

Argued October 15, 2013; decided November 21, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “*first*, whether judgment debtors have a private right of action for money damages and injunctive relief against banks that violate EIPA’s procedural requirements; and *second*, whether judgment debtors can seek money damages and injunctive relief against banks that violate EIPA in special proceedings prescribed by CPLR Article 52 and, if so, whether those special proceedings are the exclusive mechanism for such relief or whether judgment debtors may also seek relief in a plenary action.”

HEADNOTES

Execution — Bank Account — Exemptions — Private Right of Action against Bank for Violation of Exempt Income Protection Act

1. Plaintiffs, judgment debtors whose bank accounts were “frozen” by judgment creditors in anticipation of enforcement of a money judgment pursuant to CPLR article 52, did not have a private right to bring a plenary action for injunctive relief and money damages against their banks for allegedly failing to comply with requirements imposed on financial institutions under the Exempt Income Protection Act of 2008 (EIPA) (L 2008, ch 575). The EIPA did not expressly create a private right of action permitting a judgment debtor to sue a bank for violation of the statutory requirements, and a private right of action could not be implied. Although plaintiffs fell within the class the EIPA was intended to benefit and permitting judgment debtors to bring plenary suits would arguably promote the legislative purpose of protecting exempt funds from improper restraint by encouraging compliance with the EIPA, an intent to create a private right of action was not consistent with, and could not be inferred from, the legislative scheme, which recognizes the bank’s limited role as garnishee. Moreover, recognition of a plenary private right of action against a bank would not be compatible with the comprehensive enforcement mechanisms the legislature included elsewhere in CPLR article 52.

Execution — Bank Account — Exemptions — Relief Available from Bank That Violated Exempt Income Protection Act

2. Plaintiffs, judgment debtors whose bank accounts were “frozen” by judgment creditors in anticipation of enforcement of a money judgment pursuant

to CPLR article 52, could secure relief from their banks in a CPLR article 52 special proceeding for allegedly failing to comply with requirements imposed on financial institutions under the Exempt Income Protection Act of 2008 (EIPA) (L 2008, ch 575). Plaintiffs did not have a private right to bring a plenary action for injunctive relief and money damages against their banks under EIPA. The only relief available was that provided in CPLR article 52.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Executions and Enforcement of Judgments
§§ 54, 139, 523–527, 534.

CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:164,
64:165, 64:171.

McKINNEY'S, CPLR art 52.

NY JUR 2d, Creditors' Rights and Remedies § 105; NY JUR
2d, Enforcement and Execution of Judgments §§ 100, 154,
218–220, 222.

SIEGEL, NY PRAC §§ 486, 508.

ANNOTATION REFERENCE

See ALR Index under Banks; Executions; Judgment Debtors and Creditors.

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POINTS OF COUNSEL

Law Offices of G. Oliver Koppell & Associates, New York City (G. Oliver Koppell and Daniel F. Schreck of counsel), for appellants in the first and second above-entitled proceedings. I. Judgment debtors have private rights of action against banks for violating the Exempt Income Protection Act. (*Aspen Indus. v Marine Midland Bank*, 52 NY2d 575; *Broome v Citibank*, 166 Misc 2d 283; *Minzer v Heffner Agency*, 214 AD2d 547; *Goldberg v Active Fire Sprinkler Corp.*, 194 AD2d 765; *Mazzuka v Bank of N. Am.*, 53 Misc 2d 1053; *Salles v Chase Manhattan Bank*, 300 AD2d 226; *Walter v Doe*, 93 Misc 2d 286; *Deary v Guardian Loan Co., Inc.*, 534 F Supp 1178; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Foy v 1120 Ave. of the Ams. Assoc.*, 223 AD2d 232.) II. Judgment debtors cannot seek money damages and injunctive relief for Exempt Income Protection Act violations under special proceedings. (*Commonwealth*

of the *N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Guardian Loan Co. v Early*, 47 NY2d 515; *Jonas v Citibank, N.A.*, 414 F Supp 2d 411; *Matter of Sharon Towers v Bank Leumi Trust Co. of N.Y.*, 250 AD2d 509; *Nejeidi v Republic Natl. Bank of N.Y.*, 227 AD2d 392; *Herman v Siegmund*, 69 AD2d 871; *Midland Funding LLC v Roberts*, 37 Misc 3d 617; *Paz v Long Is. R.R.*, 241 AD2d 486; *Costello v Casale*, 39 AD3d 797; *Aspen Indus. v Marine Midland Bank*, 52 NY2d 575.)

Duane Morris LLP, Philadelphia, Pennsylvania (*Alexander D. Bono* and *Ryan E. Borneman* of counsel), for TD Bank, N.A., respondent in the first above-entitled proceeding. I. The Exempt Income Protection Act does not expressly create a private right of action against banks, or permit plenary actions generally against banks. (*Matter of Orens v Novello*, 99 NY2d 180; *Engine Mfrs. Assn. v South Coast Air Quality Management Dist.*, 541 US 246; *Morales v County of Nassau*, 94 NY2d 218; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252; *Hardy v New York City Health & Hosps. Corp.*, 164 F3d 789; *United States v Smith*, 499 US 160; *People v Grasso*, 42 AD3d 126; *Rhodes v Herz*, 27 Misc 3d 722; *Slattery v United States*, 635 F3d 1298; *National Railroad Passenger Corporation v National Assn. of Railroad Passengers*, 414 US 453.) II. The Exempt Income Protection Act does not imply a private right of action against banks. (*Sheehy v Big Flats Community Day*, 73 NY2d 629; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Mark G. v Sabol*, 93 NY2d 710; *McLean v City of New York*, 12 NY3d 194; *Guardian Loan Co. v Early*, 47 NY2d 515; *Maimonides Med. Ctr. v First United Am. Life Ins. Co.*, 35 Misc 3d 570.) III. If a private right of action exists against banks for Exempt Income Protection Act violations, then the New York Legislature has prescribed special proceedings as the exclusive mechanism for judgment debtors to seek relief. (*Herman v Siegmund*, 69 AD2d 871; *Guardian Loan Co. v Early*, 47 NY2d 515; *McCarthy v Wachovia Bank, N.A.*, 759 F Supp 2d 265; *Matter of Sharon Towers v Bank Leumi Trust Co. of N.Y.*, 250 AD2d 509; *Paz v Long Is. R.R.*, 241 AD2d 486; *Denny v Ford Motor Co.*, 87 NY2d 248.)

McGuireWoods LLP, New York City (*Robert Plotkin* of counsel), *McGuireWoods LLP* (*Nicholas B. Lewis*, of the District of Columbia bar, admitted pro hac vice, of counsel) and *McGuireWoods LLP* (*Matthew A. Fitzgerald*, of the Virginia bar, admitted

pro hac vice, of counsel) for respondent in the second above-entitled proceeding. I. CPLR 5239 allows judgment debtors to seek money damages and injunctive relief against banks in special proceedings. (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Cadles of Grassy Meadows II, L.L.C. v Katz*, 2008 NY Slip Op 32674[U]; *Guardian Loan Co. v Early*, 47 NY2d 515; *Herman v Siegmund*, 69 AD2d 871; *Matter of Kitson & Kitson v City of Yonkers*, 10 AD3d 21; *Matter of Sharon Towers v Bank Leumi Trust Co. of N.Y.*, 250 AD2d 509; *Shelly v Doe*, 173 Misc 2d 200; *Nejeidi v Republic Natl. Bank of N.Y.*, 227 AD2d 392; *McCarthy v Wachovia Bank, N.A.*, 759 F Supp 2d 265; *Jonas v Citibank, N.A.*, 414 F Supp 2d 411.) II. The Exempt Income Protection Act creates no express private right of action for judgment debtors against banks outside of special proceedings. (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Deary v Guardian Loan Co., Inc.*, 534 F Supp 1178; *Walter v Doe*, 93 Misc 2d 286; *Mazzuka v Bank of N. Am.*, 53 Misc 2d 1053; *Aspen Indus. v Marine Midland Bank*, 52 NY2d 575; *Matter of Sumitomo Shoji New York v Chemical Bank N.Y. Trust Co.*, 47 Misc 2d 741; *Nardone v Long Is. Trust Co.*, 40 AD2d 697; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Whitman v American Trucking Assns., Inc.*, 531 US 457; *Mark G. v Sabol*, 93 NY2d 710.) III. Under *Sheehy v Big Flats Community Day* (73 NY2d 629 [1989]), the Exempt Income Protection Act contains no implied private right to bring a plenary action. (*Mark G. v Sabol*, 93 NY2d 710; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616; *People v Grasso*, 42 AD3d 126; *McCarthy v Wachovia Bank, N.A.*, 759 F Supp 2d 265; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Graboys v Jones*, 88 NY2d 254.)

AARP Foundation Litigation, Washington, D.C. (*Julie Nepveu* of counsel), *New Economy Project Inc.*, New York City (*Claudia E. Wilner* of counsel), and *St. John's University School of Law*, Jamaica (*Gina M. Calabrese* of counsel), for AARP and others, amici curiae. I. Account holders have a private right of action against banks that wrongfully restrain exempt funds. (*Jackson v Bank of Am., N.A.*, 40 Misc 3d 949; *Walter v Doe*, 93 Misc 2d 286; *Warren v Delaney*, 98 AD2d 799; *Fuentes v Shevin*, 407 US 67; *Schaeffer v Chemical Bank*, 107 Misc 2d 548; *Nejeidi v Republic Natl. Bank of N.Y.*, 227 AD2d 392; *Herman v Siegmund*, 69 AD2d 871; *Lincoln Fin. Servs., Inc. v Miceli*, 17 Misc 3d 1109[A], 2007 NY Slip Op 51893[U]; *Matter of Sharon Towers v*

Bank Leumi Trust Co. of N.Y., 250 AD2d 509; *Jonas v Citibank, N.A.*, 414 F Supp 2d 411.) II. This Court should also recognize an implied private right of action against banks for violations of the Exempt Income Protection Act. (*Sheehy v Big Flats Community Day*, 73 NY2d 629; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *Chase Bank USA, N.A. v Greene*, 24 Misc 3d 1233[A], 2009 NY Slip Op 51716[U]; *Portfolio Recovery Assoc., LLC v Calderia*, 24 Misc 3d 1165; *Philpott v Essex County Welfare Bd.*, 409 US 413; *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Keffeler*, 537 US 371; *Bowen v City of New York*, 476 US 467; *Dionne v Bouley*, 757 F2d 1344.)

Sullivan & Cromwell LLP, New York City (Bruce E. Clark, Nicolas Bourtin, Adam R. Brebner and Zeh S. Ekono of counsel), for New York Bankers Association, amicus curiae. A private right of action by judgment debtors against banks for violations of the Exempt Income Protection Act cannot be implied. (*Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Rhodes v Herz*, 84 AD3d 1; *Alexander v Sandoval*, 532 US 275; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Matter of Stray from the Heart, Inc. v Department of Health & Mental Hygiene of the City of N.Y.*, 20 NY3d 946; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *McLean v City of New York*, 12 NY3d 194; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *LR Credit 21, LLC v Burnett*, 40 Misc 3d 854.)

OPINION OF THE COURT

GRAFFEO, J.

Plaintiffs are judgment debtors whose bank accounts were “frozen” by judgment creditors in anticipation of enforcement of a money judgment pursuant to CPLR article 52. Plaintiffs allege that the restraints were invalid because their banks failed to comply with requirements imposed on financial institutions under the Exempt Income Protection Act of 2008 (EIPA). That legislation compels banks served with restraining notices by judgment creditors to forward certain forms to judgment debtors intended to assist them in asserting potential claims that their accounts contain funds that are exempt from restraint or execution. In this case, we have been asked by the United States Court of Appeals for the Second Circuit to resolve whether

plaintiffs may bring plenary actions in federal court against their banks seeking money damages allegedly arising from the banks' failures to send the forms, among other deficiencies. Before addressing the questions certified to us by that Court, it is necessary to describe CPLR article 52 and the EIPA in some detail.

CPLR Article 52 and the EIPA:

CPLR article 52 sets forth procedures for the enforcement of money judgments in New York, which may include the imposition of a restraining notice against a judgment debtor's bank account to secure funds for later transfer to the judgment creditor through a sheriff's execution or turnover proceeding. Under both federal and state law, certain types of funds are exempt from restraint or execution, including Social Security benefits, public assistance, unemployment insurance, pension payments and the like (*see generally* CPLR 5205). Although the clear legislative intent is that funds of this nature are not to be subject to debt collection (and therefore excluded from any pre-execution restraint), prior to 2008 banks served with restraining notices often inadvertently froze accounts containing income from these sources, leaving judgment debtors without access to much-needed exempt monies.

The EIPA was intended to ameliorate this problem, amending certain existing statutes in CPLR article 52 and adding a new CPLR 5222-a (L 2008, ch 575). The amendments restricted the scope of the restraint that can be implemented against the bank account of a natural person and created a new procedure aimed at ensuring that this class of judgment debtors is able to retain access to exempt funds. In substance, subject to limited exceptions consistent with federal law, the EIPA precludes a bank from restraining baseline minimum balances in a "natural person's" account absent a court order. Specifically, \$2,500 is free from restraint "if direct deposit or electronic payments reasonably identifiable as statutorily exempt payments . . . were made to the judgment debtor's account during the forty-five day period preceding" the restraint (CPLR 5222 [h]). Otherwise, the statute excludes from restraint an amount that corresponds to 90% of 60-days wages under the federal or state minimum wage laws, whichever is greater, to be periodically adjusted—\$1,740 as of July 2009 (CPLR 5222 [i]).

In addition to limiting the scope of a restraint, the EIPA added new notification and claim procedures in CPLR 5222-a intended

to educate judgment debtors concerning the types of funds that are exempt from restraint or execution in order to facilitate the filing of exemption claims. A judgment creditor restraining a bank account (in anticipation of a sheriff's execution by levy or court-ordered transfer of assets) must serve the bank with specific forms: two copies of the restraining notice, an exemption notice and two exemption claim forms (CPLR 5222-a [b] [1]). The restraint is void if the judgment creditor fails to provide these documents to the bank; in that event, the bank "shall not restrain the account" (CPLR 5222-a [b] [1]), nor can the bank charge fees associated with a restraint (CPLR 5222 [j]).

CPLR 5222-a also imposes a new obligation on financial institutions because it compels banks to mail to judgment debtors (the account holders) copies of the exemption notices and exemption claim forms received from judgment creditors (CPLR 5222-a [b] [3]). The statute states, however, that "[t]he inadvertent failure by a depository institution to provide the notice required . . . shall not give rise to liability on the part of the depository institution" (CPLR 5222-a [b] [3]). The notice advises the judgment debtor that the bank account is being restrained, describes the categories of funds that are exempt from restraint, and provides information concerning how to seek vacatur of the money judgment to avoid a subsequent transfer of the funds to the judgment creditor (CPLR 5222-a [b] [4] [a]). The exemption claim form lists specific income sources that are not subject to restraint or execution (such as Social Security benefits, unemployment insurance, child support, veteran's benefits, etc.) and directs the debtor to check the box next to any applicable exempt funds that have been deposited in the account (CPLR 5222-a [b] [4] [b]). The debtor is then advised to return one copy of the claim form to the bank and the other to the creditor (or its representative) within 20 days (CPLR 5222-a [b] [4] [b]). If 25 days have elapsed and the bank has not received an exemption claim form from the judgment debtor, all funds in the account in excess of the applicable statutory minimum remain subject to the restraining notice (CPLR 5222-a [c] [5]). However, a failure to return the claim form may not be interpreted as a waiver of any exemption the judgment debtor may possess (*see* CPLR 5222-a [h]).

Upon receipt of an exemption claim form from the account holder, the bank must notify the judgment creditor "forthwith" of the exemption claim and the creditor then has eight days to object (CPLR 5222-a [c] [2], [3]). If no objection is lodged, the

restraint is lifted with respect to the disputed funds and the monies are released to the judgment debtor (CPLR 5222-a [c] [3]). To object to an exemption claim, the creditor must timely commence a special proceeding under CPLR 5240, serving papers on both the debtor and the bank before the expiration of the eight-day objection period (CPLR 5222-a [d]). Within seven days of commencement of the proceeding, a hearing is to be held before a court, resulting in issuance of a judicial decision no later than five days after the hearing (CPLR 5222-a [d]). In the meantime, the bank is required to hold the disputed funds for 21 days unless a court order directs otherwise; if 21 days pass and no judicial resolution of the exemption issue is forthcoming, the bank must release the disputed funds to the judgment debtor (CPLR 5222-a [e]). Another subdivision imposes special liability upon judgment creditors that object to exemption claims in bad faith (CPLR 5222-a [g]).

The EIPA did not alter the preexisting provisions in CPLR article 52 permitting the commencement of special proceedings whereby creditors, debtors and “any interested person” can adjudicate disputes over the ownership of income or property (CPLR 5239, 5221), nor did it restrict the power of the court to “make an order denying, limiting, conditioning, regulating, extending or modifying the use of any enforcement procedure” (CPLR 5240).

The Federal Litigation:

The certified questions before us arose from two separate federal lawsuits—*Cruz v TD Bank, N.A.* and *Martinez v Capital One Bank, N.A.* Both actions were initiated by judgment debtors who brought putative class actions seeking injunctive relief and money damages against their banks based on allegations that accounts they held at New York branches were restrained in violation of the EIPA. In *Cruz*, plaintiffs alleged that, when restraining notices were sent to the bank, the judgment creditors failed to include the exemption notices and claim forms that were required under CPLR 5222-a and, as a consequence, TD Bank never forwarded these forms to plaintiffs. They claimed that the bank nonetheless restrained the funds in their accounts, and charged them related bank fees, in violation of statutory requirements. The *Martinez* plaintiffs similarly contended that Capital One did not forward the required exemption notices and claim forms, also asserting other violations of

the EIPA. As redress for these alleged wrongs, plaintiffs sought monetary damages, including reimbursement of funds restrained and disbursed in error as well as any consequential damages caused by the lack of access to funds. In each case, plaintiffs alleged that the respective financial institutions employed a general practice of noncompliance with the EIPA, seeking class action relief on behalf of themselves and other similarly-situated New York account holders. Plaintiffs also attempted to pursue various common-law tort claims that are beyond the scope of the questions certified to this Court.

As relevant here, TD Bank and Capital One moved to dismiss the complaints, contending that the EIPA does not create a private right of action permitting an account holder to bring a plenary action in federal court against a depository bank seeking injunctive relief or money damages arising from a violation of the EIPA.¹ The motions to dismiss were granted in each case (see *Cruz v TD Bank, N.A.*, 855 F Supp 2d 157 [SD NY 2012]; *Martinez v Capital One, N.A.*, 863 F Supp 2d 256 [SD NY 2012]). After reviewing the statutory scheme as a whole, including the EIPA amendments, the District Courts found no basis to imply a private right of action given the comprehensive nature of the CPLR article 52 enforcement scheme. Both rejected plaintiffs' arguments that the clause exempting a bank from liability for inadvertent failure to forward the required notices and forms should be interpreted, by negative implication, to impose liability for other types of EIPA violations.

Plaintiffs appealed to the United States Court of Appeals for the Second Circuit, which consolidated their cases for the purpose of appeal only. After reviewing CPLR article 52, including the EIPA, the court concluded that the cases presented novel issues of New York law that should be resolved by this Court, certifying the following questions:

“*first*, whether judgment debtors have a private right of action for money damages and injunctive relief against banks that violate EIPA’s procedural requirements; and

1. The banks also disputed plaintiffs’ factual allegations. For example, Capital One submitted an affidavit from its New York operations supervisor contending that the bank had promptly implemented the EIPA and that its business records indicated that it had timely mailed the required forms to plaintiffs upon receipt of restraining notices from their judgment creditors but plaintiffs never returned completed claim forms. However, since the allegations arise in the posture of a motion to dismiss, we assume plaintiffs’ allegations to be true, as did the Second Circuit.

“*second*, whether judgment debtors can seek money damages and injunctive relief against banks that violate EIPA in special proceedings prescribed by CPLR Article 52 and, if so, whether those special proceedings are the exclusive mechanism for such relief or whether judgment debtors may also seek relief in a plenary action” (711 F3d 261, 271 [2d Cir 2013]).

We accepted the certified questions (21 NY3d 906 [2013]).

The first certified question was directly presented in the federal litigation. There, plaintiffs conceded that the EIPA did not expressly create a private right of action permitting a judgment debtor to sue a bank for violation of the statutory requirements. To the contrary, the only provision addressing a bank’s liability is a safe harbor clause stating that the inadvertent failure to provide the required notices and forms to the account holder “shall not give rise to liability on the part of the depository institution” (CPLR 5222-a [b] [3]). In the absence of an express private right of action, plaintiffs can seek civil relief in a plenary action based on a violation of the statute “only if a legislative intent to create such a right of action is fairly implied in the statutory provisions and their legislative history” (*Carrier v Salvation Army*, 88 NY2d 298, 302 [1996] [internal quotation marks and citations omitted]). This determination is predicated on three factors:

“(1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) whether recognition of a private right of action would promote the legislative purpose; and (3) whether creation of such a right would be consistent with the legislative scheme” (*Sheehy v Big Flats Community Day*, 73 NY2d 629, 633 [1989]).

We have repeatedly recognized the third as the most important because

“the Legislature has both the right and the authority to select the methods to be used in effectuating its goals, as well as to choose the goals themselves. Thus, regardless of its consistency with the basic legislative goal, a private right of action should not be judicially sanctioned if it is incompatible with the enforcement mechanism chosen by the Legislature or with some other aspect of the over-all statutory

scheme” (*id.* at 634-635 [citation omitted]; see *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32 [1999]).

We have therefore declined to recognize a private right of action in instances where “[t]he Legislature specifically considered and expressly provided for enforcement mechanisms” in the statute itself (see *Mark G. v Sabol*, 93 NY2d 710, 720 [1999]).

For example, in *Sheehy* we held that plaintiff, a minor who was sold alcohol in violation of the Penal Law, could not sue the seller to recover for injuries she sustained as a result of her ensuing intoxication. Although plaintiff satisfied the first two prongs of the standard, it was evident from the statutory scheme that “the Legislature ha[d] already considered the use of civil remedies to deter the sale of alcoholic beverages to those under the legal purchase age” and expressly provided the remedies it determined were appropriate, which did not include a private suit against the seller (*Sheehy*, 73 NY2d at 636). We have reached the same conclusion in several other recent cases where the statutes in question already contained substantial enforcement mechanisms, indicating that the legislature considered how best to effectuate its intent and provided the avenues for relief it deemed warranted (see e.g. *Schlessinger v Valspar Corp.*, 21 NY3d 166 [2013] [General Business Law provision relating to termination of service contracts did not create private right of action]; *Matter of Stray from the Heart, Inc. v Department of Health & Mental Hygiene of the City of N.Y.*, 20 NY3d 946 [2012] [Animal Shelters and Sterilization Act did not create a private right of action permitting lawsuit by animal rescue organization]; *Metz v State of New York*, 20 NY3d 175 [2012] [Navigation Law provisions concerning inspection of public vessels did not create private right of action in favor of parties killed or injured when tour boat capsized]; *City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616 [2009] [public health statute precluding shipment of cigarettes into New York State did not create a private right of action permitting City to sue noncompliant cigarette retailers]; *McLean v City of New York*, 12 NY3d 194 [2009] [Social Services Law provision requiring registration of family day-care homes created no private right of action]; *Hammer v American Kennel Club*, 1 NY3d 294 [2003] [Agriculture and Markets Law statute precluding animal cruelty did not create a private right of action in favor of dog owner]).

In this case, the banks do not dispute that the first two *Sheehy* factors are satisfied—plaintiffs fall within the class the EIPA was intended to benefit and permitting judgment debtors to

bring plenary suits would arguably promote the legislative purpose of protecting exempt funds from improper restraint by encouraging compliance with the EIPA. However, as is usually true in implied private right of action cases, the controversy focuses on the third factor—whether an intent to create a private right of action would be consistent with, and can be inferred from, the legislative scheme.

Plaintiffs contend that a private right of action can fairly be implied by negative implication from the safe harbor clause relating to banks under the doctrine of *expressio unius est exclusio alterius*—the interpretive maxim that the inclusion of a particular thing in a statute implies an intent to exclude other things not included. Plaintiffs theorize that, by explicitly saying that banks cannot be liable for inadvertently failing to provide the forms required by CPLR 5222-a, the legislature signaled that financial institutions could be liable for all other failures to comply with the statute, whether inadvertent or otherwise.

As both District Courts concluded, this would be an unusual application of the *expressio unius* doctrine for it is typically used to limit the expansion of a right or exception—not as a basis for recognizing unexpressed rights by negative implication (see e.g. *Morales v County of Nassau*, 94 NY2d 218, 224-225 [1999]). If the legislature intended to create new liability for banks, it is odd that it would choose to do so by expressly stating that banks are *not liable* in particular circumstances while, at the same time, remaining silent as to any instances when banks *are liable* under the new statute. The banks point out that, when interpreting a statute, courts typically do not rely on legislative silence to infer significant alterations of existing law on the rationale that legislative bodies generally do not “hide elephants in mouseholes” (see generally *Whitman v American Trucking Assns., Inc.*, 531 US 457, 468 [2001] [“Congress . . . does not alter the fundamental details of a regulatory scheme in vague terms or ancillary provisions”]). Put another way, if the legislature had intended to impose new liability on banks when they act as garnishees of the funds of judgment debtors, it would have said so in the statute.

Notably, the EIPA was modeled in many respects on Connecticut legislation that similarly requires financial institutions to forward notices of exemption and exemption claim forms to judgment debtors. Connecticut, however, explicitly imposes

liability on banks in its statute.² Connecticut also has a safe harbor clause preventing a bank from being held liable for an act or omission done in good faith or a bona fide error that occurred despite the bank's efforts to comply with the statute (Conn Gen Stat Ann § 52-367b [o]). But when New York adopted a procedure very similar to Connecticut's, the legislature did not duplicate the provision specifically authorizing judgment debtors to sue banks; instead, it adopted only the safe harbor clause excluding liability. The fact that the legislature chose not to include a liability provision—despite the Connecticut model—militates against judicial recognition, by implication, of the broad private right of action urged by plaintiffs. Indeed, the Connecticut statute's clear recognition of liability does not even authorize an action of the scope sought by plaintiffs in these actions—the Connecticut statutory language suggests that recovery is limited to reimbursement of exempt funds wrongly transferred and restitution of bank fees and related expenses improperly assessed (Conn Gen Stat Ann § 52-367b [n], *supra* n 2).

It is also significant that the EIPA explicitly provides that a judgment debtor can recover money damages arising from noncompliance with the EIPA from *judgment creditors*—the party charged with initiating the exemption notice process—lending significance to the legislature's failure to declare the same to be true relating to banks. In a section marked “Proceedings; bad faith claims,” the statute declares that where “the court finds that the judgment creditor disputed the claim of exemption in bad faith . . . , the judgment debtor shall be awarded costs, reasonable attorney fees, *actual damages and an amount not to exceed one thousand dollars*” (CPLR 5222-a [g] [emphasis added]). While clearly expressing an intent to hold judgment creditors liable—even permitting the imposition of a

2. In a section entitled “Liability of financial institution,” the Connecticut legislation provides:

“If such financial institution pays exempt moneys from the account of the judgment debtor over to the serving officer contrary to the provisions of this section, such financial institution shall be liable in an action therefor to the judgment debtor for any exempt moneys so paid and such financial institution shall refund or waive any charges or fees by the financial institution, including, but not limited to, dishonored check fees, overdraft fees or minimum balance service charges and legal process fees, which were assessed as a result of such payment of exempt moneys” (Conn Gen Stat Ann § 52-367b [n]).

penalty in addition to actual damages—the legislature said nothing comparable in relation to financial institutions.

Plaintiffs point to CPLR 5222-a (h) which reads: “Nothing in this section shall in any way restrict the rights and remedies otherwise available to a judgment debtor, including but not limited to, rights to property exemptions under federal and state law,” arguing that this means that there are no restrictions on their right to commence a plenary action against a bank for injunctive relief and money damages. But it appears from the language that the provision stands for the proposition that a debtor does not lose the right to claim a valid exemption by failing to timely return an exemption claim form. Thus, when the creditor later takes action to obtain delivery of the restrained funds through some means, such as a sheriff’s execution of the levy or a turnover proceeding, the debtor remains free to assert that the funds are exempt, despite a prior failure to timely submit an exemption form. We do not view this language reserving the rights of debtors to pursue exemptions as creating a new right to bring plenary actions against banks.

Nor would recognition of such a right be compatible with the comprehensive enforcement mechanisms the legislature included elsewhere in CPLR article 52. For one thing, the enforcement provisions contain detailed venue provisions that govern the court in which relief may be sought (CPLR 5221). Permitting a party to seek relief for violation of the statute in a plenary action in some other court would essentially read the venue provisions out of the statute. Moreover, the statutory scheme provides several mechanisms for enforcement that can be used to obtain significant relief.

Given that the primary purpose of article 52 is to facilitate the enforcement of judgments, it provides procedures that can be invoked by judgment creditors—the delivery or turnover proceedings described in CPLR 5225 and 5227 chief among them. But the article also contains general provisions that permit “any interested person”—including a judgment debtor—to secure remedies for wrongs arising under the statutory scheme. Under CPLR 5239, “[p]rior to the application of property or debt by a sheriff or receiver to the satisfaction of a judgment, any interested person may commence a special proceeding against the judgment creditor or other person with whom a dispute exists to determine rights in the property or debt” and the court may permit “any interested person to intervene in the proceeding.” As a result of a CPLR 5239 proceeding, “[t]he

court may vacate the execution or order, void the levy, direct the disposition of the property or debt, or direct that damages be awarded.” CPLR 5240 permits a court “at any time, on its own initiative or the motion of any interested person” to issue an order “denying, limiting, conditioning, regulating, extending or modifying the use of any enforcement procedure”—and therefore grants the court substantial authority to order equitable relief. The flexible nature of such a proceeding is evident from the EIPA itself, which directs that a judgment creditor who objects to an exemption claim must, in expedited fashion, initiate a CPLR 5240 proceeding to resolve the dispute (*see* CPLR 5222-a [d]). The fact that significant enforcement mechanisms are built into CPLR article 52—and, indeed, predated the EIPA—militates against recognition through implication of a new type of claim against banks falling outside the statutory scheme.

In somewhat contradictory fashion, plaintiffs assert both that CPLR article 52 does not provide them a means to seek redress in one of its special proceedings—hence the need to recognize a plenary action for injunctive relief and money damages—and also that they already had a right to sue a bank for a violation of article 52 before enactment of the EIPA and that right was not extinguished by the legislation. As to the former, nothing prevents a party injured in the manner alleged by plaintiffs from seeking redress against a bank in a CPLR 5239 or 5240 proceeding. A judgment debtor is certainly an “interested person” and CPLR 5239 permits such a party to bring a proceeding against any “other person with whom a dispute exists to determine rights in the property.”³ Thus, if a judgment debtor believes that a bank has restrained assets in error in violation of the EIPA—meaning there is a controversy between the bank

3. Nothing in the statute suggests that CPLR 5239 was intended to be restricted to priority disputes between competing judgment creditors, although such controversies are often resolved in that forum. Plaintiffs mistakenly rely on a statement of Professor David Siegel indicating that judgment creditors competing over the same property of the debtor can either iron out their differences via a CPLR 5239 proceeding or a plenary action (*see* Siegel, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, C5239:1 at 469 [1997]). Parties seeking to collect a debt can, of course, bring a declaratory judgment action to resolve priority issues. But that is not because a private right of action can be implied under CPLR 5239, nor does it follow that tort-like relief can be obtained such as the damages plaintiffs seek here. Rather, the priority rights of creditors are derived from their underlying dealings with the judgment debtor (contractual or otherwise) and the nature and timing of the judgments they seek to enforce. Professor Siegel’s comment

(n. cont’d)

and the account holder over access or “rights” in the deposited funds—he or she can obtain a civil remedy, such as the release of any money unlawfully restrained, an injunction barring transfer of exempt property to the sheriff or judgment creditor, or reimbursement of any bank fees improperly charged. Comparable relief would be available under CPLR 5240, even after the assets have been transferred to the judgment creditor; in that event, the judgment creditor could be joined as a party and the court could reverse the transfer by issuing an order “denying” the execution and directing restitution by the judgment creditor.⁴ Provided relief is sought in the appropriate forum in a timely manner, the judgment creditor is not entitled to retain exempt funds secured in error. If banks make mistakes, the special proceedings in CPLR article 52 afford an avenue for relief.

But recognition of new liability for banks of the type proposed by plaintiffs would be incompatible with the legislative scheme, which recognizes the bank’s limited role as garnishee. When a judgment creditor has properly imposed a restraint on a bank account, the bank has no choice but to freeze the assets. Whether issued by a court or an attorney acting as an officer of the court, a restraining notice is an injunction and “disobedience is punishable as a contempt of court” (CPLR 5222 [a]; *see generally* 5251). Yet the EIPA now imposes significant obligations on banks by requiring them to forward the exemption and claim notices to the judgment debtor and to participate in the processing of exemption claims.

[1] Considering the statutory scheme overall, it appears that the legislature intended to use banks as a conduit for information so that exemption rights would be timely communicated to judgment debtors but did not intend this role to subject banks to a new type of liability. The point of the legislation was to help debtors notify banks of the presence of exempt funds in their accounts in order to prevent those funds from being restrained in the first instance—not to create yet another opportunity for

therefore has no bearing on the issue we confront here—whether a duty imposed by statute has given rise to a private right of action.

4. There is no concrete temporal limitation on initiation of a CPLR 5240 proceeding, which is largely equitable in nature, although such relief should be pursued within a reasonable time after the injury is incurred; where tangible or real property is at issue, post-execution relief will generally be unavailable once third parties obtain an interest in the property, thereby introducing countervailing equitable concerns (*see generally Guardian Loan Co. v Early*, 47 NY2d 515 [1979]).

litigation on the back end after an improper restraint was imposed. There is no indication that the legislature adopted the EIPA because it believed that CPLR article 52 failed to supply adequate means for a judgment debtor to seek judicial recourse during the enforcement process (thereby necessitating a new avenue in the form of a plenary private right of action against a bank)—the intent was to remove the need for litigation altogether. If a lawsuit remains necessary due to a bank’s noncompliance with the EIPA, the existing proceedings in CPLR article 52 are adequate to afford a judgment debtor appropriate relief. The summary proceedings have the advantage of being swift and without procedural complexity—there is no basis to suppose that the legislature expected that injured judgment debtors would commence complicated and lengthy plenary proceedings to vindicate their rights, such as the federal court actions plaintiffs brought here.

As for plaintiffs’ other argument—that they already possessed a right to bring a plenary action against a bank for money damages before the new legislation and the EIPA did not eliminate that right—we are unpersuaded. To be sure, account holders have contractual relationships with their depository banks and may therefore bring a breach of contract action arising from a violation of any duty owed under the contract, depending on the terms of their agreements. And we certainly do not rule out the possibility that other statutes governing debt collection might create non-contractual duties on the part of financial institutions that, if breached, could give rise to a private right of action. But plaintiffs have not cited any persuasive pre-EIPA precedent in which a New York court recognized an account holder’s right to sue a depository bank for a violation of CPLR article 52 outside the special proceedings discussed above.

Plaintiffs’ reliance on *Aspen Indus. v Marine Midland Bank* (52 NY2d 575 [1981]) for the contrary view is misplaced. In *Aspen*, a judgment creditor brought a CPLR 5227 turnover proceeding against a bank arising from the bank’s alleged willful failure to comply with a restraining notice. The judgment creditor asserted that, in violation of the restraint, the bank had permitted the judgment debtor to continue to access a restrained account and to deposit funds, then applied the new deposits to a debt the account holder owed the bank—fulfilling its business interests at the expense of the judgment creditor. In addressing that dispute, we observed: “violation of the restraining notice by the party served is punishable by contempt (CPLR

5222, subd [a]; 5251) and subjects the garnishee to personal liability in a separate plenary action or special proceeding under CPLR article 52 brought by the aggrieved judgment creditor” (*Aspen*, 52 NY2d at 580).

Plaintiffs seize on the dictum referencing “a separate plenary action” to argue that a judgment debtor should be able to bring a plenary action for money damages against a bank for a violation of the EIPA. However, assuming the reference to be good law, any right to bring a plenary action in the *Aspen* context arises from the fact that the legislature has declared this type of noncompliance with a restraining notice to constitute contempt (see CPLR 5222 [a]; 5251); the dictum is consistent with the general proposition that a party injured as a consequence of a contempt of court can sue to secure money damages (see Judiciary Law § 773).⁵ The fact that a judgment creditor may be able to bring a plenary action to punish a bank’s contemptuous failure to honor a restraining notice does not establish that noncompliance with other technical aspects of CPLR article 52 can give rise to a plenary action for money damages when errors of that type have not been declared by the legislature to constitute contempt—which is, of course, the case with the EIPA.

[2] We agree with the District Courts that a private right to bring a plenary action for injunctive relief and money damages cannot be implied from the EIPA—and we therefore answer the first certified question in the negative. As for the second certified question, a judgment debtor can secure relief from a bank arising from a violation of the EIPA in a CPLR article 52 special proceeding as we have explained. And our determination that the legislation created no private right of action compels the conclusion that the statutory mechanisms for relief are exclusive. Banks had no obligation under the common law to forward notices of exemption and exemption claim forms to judgment debtors. It therefore follows that any right debtors have to enforce that obligation, among others imposed under

5. The other New York cases cited by plaintiffs in this regard similarly involved instances where a bank violated a restraining notice by failing to freeze an account (see *Nardone v Long Is. Trust Co.*, 40 AD2d 697 [2d Dept 1972]; *Matter of Sumitomo Shoji New York v Chemical Bank N.Y. Trust Co.*, 47 Misc 2d 746 [Sup Ct, NY County 1965], *affd* 25 AD2d 499 [1st Dept 1966]; *Jackson v TD Bank*, 28 Misc 3d 1222[A], 2010 NY Slip Op 51431[U] [Civ Ct, Kings County 2010]; *Mazzuka v Bank of N. Am.*, 53 Misc 2d 1053 [Civ Ct, Queens County 1967]; see also *Goldberg v Active Fire Sprinkler Corp.*, 194 AD2d 765 [2d Dept 1993] [noncompliance with income execution]).

CPLR 5222-a, arises from the statute and, since the EIPA does not give rise to a private right of action, the only relief available is that provided in CPLR article 52 (*see generally Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236 [2009]).

Accordingly, the certified questions should be answered in accordance with this opinion.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[3 NE3d 113, 980 NYS2d 47]

In the Matter of BETH V., Appellant, v NEW YORK STATE OFFICE
OF CHILDREN & FAMILY SERVICES et al., Respondents. WORK-
ERS' COMPENSATION BOARD, Respondent.

Argued October 17, 2013; decided November 19, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered September 27, 2012. The Appellate Division affirmed a decision of the Workers' Compensation Board, which had ruled that the workers' compensation carrier could take a credit against claimant's third-party settlement recovery in a lawsuit against her employer and coemployees for a violation of her federal civil rights.

Matter of Beth V. v New York State Off. of Children & Family Servs., 98 AD3d 1200, affirmed.

HEADNOTE

Workers' Compensation — Carrier's Lien — Proceeds of Settlement of Federal Civil Rights Action

Respondent workers' compensation carrier was entitled to take a credit under Workers' Compensation Law § 29 (4) against the full amount of the settlement proceeds of a civil rights lawsuit brought by claimant in federal court against her employer and coemployees for injuries arising from the same incident for which she received workers' compensation benefits. Claimant suffered physical and mental injuries when she was attacked, raped and abducted by one of the residents of the state secure juvenile detention facility where she was employed as a youth division aide. In addition to seeking workers' compensation benefits, claimant brought a federal lawsuit against her employer and three supervisory employees for constitutional and statutory violations, which was settled for a certain sum. The terms of the stipulation of settlement indicated that the settlement proceeds were intended to compensate claimant for the personal physical and mental injuries she suffered at the hands of the resident—i.e., the same injuries for which she was awarded compensation benefits. The stipulation may have been structured as it was solely to afford claimant a presumed tax advantage, but the Workers' Compensation Board was entitled to rely on the stipulation's unambiguous terms. Claimant was not entitled to recover twice for the same injuries regardless of whether her recovery was against her employer and coemployees or a third party. Although subdivision (1) of Workers' Compensation Law § 29 provides for satisfaction of the carrier's lien when the employee recovers for injuries caused by "another not in the same employ" from the proceeds of a lawsuit against "such other," and subdivision (4) limits the carrier's obligation to the deficiency between the compensation benefits awarded and the recovery from "such other person," section 29, read in its entirety and in context, reveals a legislative design to provide for reimbursement of the

compensation carrier whenever a recovery is obtained in tort for the same injury that was a predicate for the payment of compensation benefits. It would be unreasonable to read the statute as mandating a different result merely because the recovery came out of the pockets of an employer or coemployee and not from the resources of a stranger.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 436, 439, 441.

McKINNEY'S, Workers' Compensation Law § 29 (1), (4).

NY JUR 2d, Workers' Compensation §§ 131, 133, 135, 137.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation /5 carrier insurer /s credit
offset /s settlement

POINTS OF COUNSEL

Buckley, Mendleson, Criscione & Quinn, PC, Albany (James E. Buckley and Richard M. Goldman of counsel), for appellant.

I. The Workers' Compensation Board's December 23, 2010 decision is not supported by substantial evidence in the record and is inconsistent with its own June 11, 2009 decision. (*Matter of Shutter v Philips Display Components Co.*, 90 NY2d 703; *Matter of Hiser v Richmor Aviation, Inc.*, 72 AD3d 1423; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176.)

II. The December 23, 2010 and September 27, 2012 decisions of the Workers' Compensation Board and Appellate Division, respectively, impermissibly broaden Workers' Compensation Law § 29's scope beyond that envisioned by the legislature, by including settlements paid by an employer to an employee in which no other was involved. (*Bender v Jamaica Hosp.*, 40 NY2d 560; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Dietrick v Kemper Ins. Co. [American Motorists Ins. Co.]*, 76 NY2d 248; *Matter of Petterson v Daystrom Corp.*, 17 NY2d 32; *Hanford v Plaza Packaging Corp.*, 2 NY3d 348; *Matter of Parmelee v International Paper Co.*, 157 AD2d 878; *Matter of Simmons v St. Lawrence County CDP*, 147 AD2d 323; *Matter of Ryan v General Elec. Co.*, 26 NY2d 6; *Matter of Wolfe v Sibley, Lindsay & Curr Co.*, 36 NY2d 505.)

III. The December 23, 2010 and September 27, 2012 decisions of the Workers' Compensation Board and

Appellate Division, respectively, create a windfall for the carrier because appellant's workers' compensation benefits and settlement proceeds address different injuries. (*McClary v O'Hare*, 786 F2d 83.)

State Insurance Fund, Albany (Thomas A. Phillips and Michael Miliano of counsel), for New York State Office of Children and Family Services, respondent. The Appellate Division's decision upholding the Workers' Compensation Board's finding that claimant's federal action against her employer and coemployees for intentional tort was a third-party action and that claimant's net recovery is subject to the carrier's credit rights under Workers' Compensation Law § 29 is supported by substantial evidence, is in accord with the law, and must be affirmed. (*Matter of Petterson v Daystrom Corp.*, 17 NY2d 32; *Matter of Simmons v St. Lawrence County CDP*, 147 AD2d 323; *Matter of Parmelee v International Paper Co.*, 157 AD2d 878; *Hanford v Plaza Packaging Corp.*, 2 NY3d 348; *Matter of Ryan v General Elec. Co.*, 26 NY2d 6; *Matter of Shutter v Philips Display Components Co.*, 90 NY2d 703; *Matter of Hiser v Richmor Aviation, Inc.*, 72 AD3d 1423.)

Steven M. Licht, Special Funds Conservation Committee, Albany (Jill B. Singer of counsel), for Special Funds Conservation Committee, respondent. The Appellate Division's decision upholding the carrier's right to an offset under Workers' Compensation Law § 29 is fully supported as a matter of law and by substantial evidence and must be affirmed. (*Matter of Curtin v City of New York*, 287 NY 338; *DeMarco v Federal Ins. Co.*, 99 AD2d 114; *Matter of Kondracke v Blue*, 277 AD2d 953; *Sormani v Orange County Community Coll.*, 240 AD2d 724; *Hanford v Plaza Packaging Corp.*, 2 NY3d 348; *Matter of Petterson v Daystrom Corp.*, 17 NY2d 32; *Matter of Parmelee v International Paper Co.*, 157 AD2d 878; *Scheer v New York State Ins. Fund*, 22 Misc 3d 239; *Matter of Kirk v Central Hudson Gas & Elec. Co.*, 50 AD3d 1298.)

OPINION OF THE COURT

READ, J.

This appeal asks us to decide whether a workers' compensation carrier can take a credit under section 29 (4) of the Workers' Compensation Law against the settlement proceeds of a civil rights lawsuit brought by a recipient of workers' compensation benefits against her employer and coemployees for injuries

arising from the same incident. In light of the terms of the settlement in this case, we conclude that the carrier is entitled to offset the full amount of the settlement proceeds.

I.

In late 2004, claimant Beth V. was employed at the Cass Residential Center, a secure juvenile detention facility operated by the State of New York's Office of Children and Family Services (OCFS) in Rensselaerville, New York (*see* Executive Law art 19-G; Family Ct Act art 3). Beth V. was hired by OCFS as a youth division aide and was assigned to work in the kitchen. M.E., a male resident, was given kitchen duty as part of a facility work program. On December 23, 2004, when M.E. momentarily stepped away from the dining room, Beth V. confiscated a notebook that he had brought with him to the kitchen. According to Beth V., she took away the notebook because M.E. had told her that he was writing notes about her of a sexual nature, and had made crude, sexually explicit gestures. She gave the notebook to the youth division aide on duty, and M.E. "threw a fit" when he discovered this. After this incident, Beth V. claims to have told various supervisors and OCFS employees that she felt "unsafe, uncomfortable and fearful of physical and sexual harm" from M.E.

On December 28, 2004 at 5:50 p.m., near the end of her shift, Beth V. was in an office off the kitchen, logging out from work, with her back to the door. M.E. accosted Beth V. from behind, taking her by surprise. He choked, punched and raped her at knifepoint. After forcing Beth V. to turn over the keys to her jeep, he abducted her from Camp Cass. But when M.E. stopped in Albany to make a phone call at a pay phone, he left Beth V. in the jeep with the keys in the ignition. Beth V. escaped to a local police station where she reported what had happened to her.

As a consequence of M.E.'s attack, Beth V. suffered physical and mental injuries. She made a claim for workers' compensation benefits, and by a decision filed on April 24, 2008, the Workers' Compensation Law Judge (WCLJ) adjudged Beth V. to be permanently partially disabled as a result of work-related injuries to her back, head, neck, left hand, right foot and teeth, as well as rape, post-traumatic stress symptoms and consequential low back injury.

In the meantime, on March 5, 2007, Beth V. filed a lawsuit in federal court against OCFS and three supervisory OCFS employees (collectively, defendants). She claimed that defendants

knew or should have known about M.E.'s "history of being assaultive towards women and carrying knives," and the "gang-related customs" practiced by Camp Cass's residents, including "misogynistic statements, gestures and conduct."

As a first cause of action, Beth V. alleged in her amended complaint that the individual defendants denied her civil rights pursuant to 42 USC § 1983 by various omissions in the training and supervision of OCFS and/or Camp Cass employees, causing her to suffer "physical injuries, pain and mental suffering, embarrassment, humiliation and fear, and to incur expenses for medical care, and deprivation of her liberty." As a second cause of action, Beth V. alleged a hostile work environment in violation of the Human Rights Law, Executive Law § 290 *et seq.*, created by M.E.'s "unwelcome sexual comments, threats and contact," which the defendants caused her to endure, resulting in "psychological, mental and emotional damages." As a third cause of action, Beth V. alleged that OCFS violated 42 USC § 2000e *et seq.* by failing to investigate and remedy M.E.'s "harassing and inappropriate conduct . . . toward her," and as a result she suffered physical, psychological, mental and emotional damages; and for a fourth cause of action, again grounded in the state Human Rights Law, she alleged that OCFS had knowledge of M.E.'s harassment of her, inadequately investigated her complaints and so acquiesced in and effectively condoned M.E.'s "discriminatory conduct," again causing her to suffer physical, psychological, mental and emotional damages. Beth V. demanded compensatory damages from OCFS and the individual defendants, punitive damages from the individual defendants, attorney's fees pursuant to 42 USC § 1988 and such further relief as the court deemed proper.

In addition to denying the operative allegations of Beth V.'s complaint, defendants interposed, among other defenses, that the complaint failed to state a cause of action, the individually named defendants were entitled to qualified immunity, Beth V.'s injuries resulted from an intervening cause, the complaint was barred by the Eleventh Amendment and, since defendants were not personally involved in the alleged constitutional or statutory violations, there was no liability under 42 USC § 1983.

The federal lawsuit was settled by a stipulation and order of discontinuance filed on May 14, 2008, a week after the close of discovery, for "the sum of \$650,000 in *compensatory damages* in full settlement of any and all claims, attorney's fees, and costs" (emphasis added) arising from or in any way related to M.E.'s

attack on Beth V. The stipulation further recited in paragraph 10 that

“[t]he parties acknowledge that [Beth V.]’s claim includes claims for *personal injuries of a physical nature* and that *the entire settlement sum is allocated to [her] personal physical injuries and the loss of enjoyment of life and emotional response related thereto*. The parties further acknowledge that the settlement payment is for *personal physical injuries as set forth in Internal Revenue Code Sec. 104(a)(2)*” (emphases added).

Section 104 (a) (2) excludes from an individual’s gross income “the amount of any damages (other than punitive damages) received (whether by suit or agreement and whether as lump sums or as periodic payments) on account of personal physical injuries or physical sickness.”¹

After payments of roughly \$220,500 (\$218,000 in attorney’s fees and \$2,500 to satisfy the New York State Crime Victims Board’s lien),² Beth V. netted about \$430,000 from the settlement. By letter dated May 6, 2008, the New York State Insurance Fund (SIF), the workers’ compensation carrier in this case, approved the settlement.³ In so doing, SIF waived its lien⁴ against the settlement proceeds, but reserved its right under Workers’ Compensation Law § 29 (4) to take a credit against Beth V.’s future benefits in the amount of her net recovery. SIF announced that it would make no additional payments of benefits after September 3, 2008 until this credit was exhausted.

Beth V. protested the cutoff of compensation payments at a hearing on October 17, 2008, when the stipulation’s terms were placed on the record. Beth V. took the position that SIF was not entitled to a credit because she sued for damages to compensate a deprivation of civil rights; that in her federal lawsuit she alleged discrimination and creation of a hostile work environment,

1. Section 104 (a) (1) of the Internal Revenue Code similarly excludes from gross income “amounts received under [worker]’s compensation acts as compensation for personal injuries or sickness.”

2. The Crime Victims Board apparently compensated Beth V. for certain expenses she incurred as a result of M.E.’s attack.

3. Failure to obtain either the carrier’s consent to the settlement of an action brought pursuant to Workers’ Compensation Law § 29 (1) or a compromise order from the court in which the action is pending bars further payments of compensation (*see* Workers’ Compensation Law § 29 [5]).

4. The lien was roughly \$62,000, consisting of \$36,000 in workers’ compensation and \$26,000 in medical benefits paid since December 2004.

which “demonstrates that such constitutional claims are in a different category from those to which WCL § 29 is normally directed [because] insofar as she was allowed to sue her employer without running afoul of WCL § 11’s exclusivity provision,^[5] the offset provisions should be treated differently as well”; and that the credit was intended to prevent a double recovery for wage benefits whereas Beth V.’s injuries “derive in part from violations of civil rights amendments to the United States Constitution, and the settlement she negotiated involved demands for punitive relief.”

SIF contended that the settlement resolved a third-party action within the meaning of Workers’ Compensation Law § 29 (1), entitling it to a credit against future payments for the full amount of Beth V.’s recovery. Citing *Matter of Petterson v Daystrom Corp.* (17 NY2d 32 [1966]), *Dietrick v Kemper Ins. Co. (American Motorists Ins. Co.)* (76 NY2d 248 [1990]) and *Hanford v Plaza Packaging Corp.* (2 NY3d 348 [2004]), SIF espoused the position that

“where the employer and/or co-employees are accused of intentional torts, the claimant/plaintiff has the right to sue these parties, since the workers’ compensation remedy exclusivity defense does not apply, and to collect workers’ compensation benefits. Thus, as the employer and co-employees are treated as third parties in these cases, WCL Section 29 applies in order to prevent the claimant/plaintiff from receiving a double recovery.”

By decision filed on January 29, 2009, the WCLJ decided that SIF was not entitled to offset the proceeds of a civil rights lawsuit that sought punitive damages. The WCLJ’s decision seems to have been informed, in part, by his view that a civil rights lawsuit was not a tort action, or at least was not treated the same as other intentional torts for purposes of section 29. SIF appealed.

5. Section 11 provides that, once the employer’s liability for providing workers’ compensation benefits is established, the employee cannot sue the employer for damages sustained from the injury or death that arose out of and in the course of the employment, unless one of a few exceptions applies (*see also* Workers’ Compensation Law § 29 [6] [providing that workers’ compensation benefits are the exclusive remedy when an employee is injured or killed through the negligence of a coemployee]). Beth V. relies on the exception to the exclusive remedy rule for injuries resulting from an intentional tort perpetrated by or at the direction of the employer and/or a coemployee.

In a decision filed on June 11, 2009, the Workers' Compensation Board (the Board) found that a suit against an employer is a third-party action within the meaning of Workers' Compensation Law § 29 (1); nothing bars the Board's application of section 29 (4) to a claimant's recovery in a federal civil rights lawsuit; and SIF was only entitled to claim a credit against so much of the settlement as compensated Beth V. "for the same injuries which were the basis for the award of compensation." Finding the record inadequate to apply this last principle, the Board returned the case to the trial calendar. The Board instructed the parties to "produce evidence of how [Beth V.'s] net proceeds from her third-party action were allocated between the types of damages sought," and directed the WCLJ to "determine the amount of the net recovery which compensated [Beth V.] for her established physical and psychological injuries and the medical expenses for those injuries, and make a finding that the carrier is entitled to a credit for that amount pursuant to WCL § 29."

At the hearing on remand, the attorney who represented Beth V. in federal court testified about the nature of that lawsuit and the settlement. He explained that Beth V. came to him to explore her options for "bringing an action against her employer, co-employees concerning an event . . . that occurred at Camp Cass in Rensselaerville in which she was . . . first raped and attacked and then kidnapped by one of the [residents]." He testified that although "a number of different cause[s] of action[] were stated," the "primary [claim] was for the deprivation of her constitutional right[s] by virtue of the violation of her right to substantive due process"; and "a 42 USC 1983 action was the primary claim where the constitutional deprivation was alleged."

When asked if the settlement was allocated in any way, the attorney replied

"from the four corners of the document itself you really can't determine that. But the nature of the claim was . . . a constitutional deprivation. [She] was kidnapped. Her Liberty interest was compromised as a result of the allegations that we made. And paragraph ten was very important in the sense that under the Internal Revenue Code 104 . . . if we had strictly a civil rights claim, the award could potentially be taxable. If there is a claim for

violation of civil rights and the person has some physical injury, then you can allocate the recovery entirely towards Section 104, which is a non-taxable provision for pain and suffering . . . Clearly [Beth V.] had physical injury. But . . . if you're asking me what the thrust of the claim was, the thrust of the claim was for her -- the constitutional deprivation, her Liberty interest being deprived, the emotional response to the event. The physical injuries [were] a component, yes. Was it a major component? No."

He added that wage loss and medical expenses "were perhaps a strategic part of the case" that he "never had to use" and, in any event, any such damages would have been "backed out" from Beth V.'s gross recovery under the collateral source rule and so "meant nothing to her as far as the bottom line."

On cross-examination, Beth V.'s attorney was pressed to explain where in the stipulation there was any expression that the payments were made for something other than Beth V.'s personal injuries. He pointed to the statement in paragraph 10 that Beth V. was being compensated, in part, for "loss of enjoyment of life and emotional response," which he attributed to "her deprivation of her liberty and all the constitutional deprivations that she suffered in the context of this event."

The attorney acknowledged there was no reference in the stipulation to punitive damages, stating "[w]as there a punitive aspect to the settlement and our claim, absolutely. Was it characterized in the settlement agreement as punitive damages per se, no." SIF did not call any witnesses, but rather submitted a letter from the Assistant Attorney General who had represented the State in the federal action. This letter simply stated that punitive damages were not involved in the settlement.

In a decision filed on August 9, 2010, the WCLJ opined that, contrary to the Board's decision, a lawsuit against an employer and coemployees was not a third-party action within the meaning of section 29 (1) and, in any event, the settlement resolved claims "for violation of [Beth V.'s] civil and constitutional rights, recovery not included in Workers' Compensation Law § 29." SIF again appealed.

In a decision filed on December 23, 2010, the Board found in SIF's favor, allowing it to take a credit against the whole of the settlement proceeds. Citing *Petterson* and *Hanford*, the Board observed that "a civil lawsuit against an employer or a person in the same employ for sexual harassment or [other] intentional

tort is a third-party action to which WCL § 29 applies.” The Board also noted that under section 29 (1), a carrier has a lien “on the proceeds of *any recovery*”; and turning to the facts, that “[t]he damage award resulting from the settlement . . . [was] the result of the same injuries arising from the compensation claim.” The Board went on to suggest there was no distinction between categories of damages that might be encompassed within a claimant’s settlement anyway, citing section 29 (1)’s “any recovery” language and the Appellate Division’s decisions in *Matter of Simmons v St. Lawrence County CDP* (147 AD2d 323 [3d Dept 1989] [carrier’s offset rights apply to any recovery by a claimant in a third-party action with the exception of benefits in lieu of “first-party benefits” which the no-fault insurer would have been obligated to pay]) and *Matter of Parmelee v International Paper Co.* (157 AD2d 878 [3d Dept 1990] [stating that whether the claimant’s third-party settlement purported to be for pain and suffering was irrelevant in light of the “any recovery” language]). Having previously remanded the case for a determination of how the settlement was allocated as to types of damages, the Board invoked “its WCL § 123 continuing jurisdiction” to the extent its findings were inconsistent with its prior decision.⁶ Beth V. appealed.

The Appellate Division affirmed (98 AD3d 1200 [3d Dept 2012]). The court held that “[w]hen a claimant obtains recovery in a civil action for the same injuries that were the predicate for workers’ compensation benefits, the carrier has a lien against any recovery, even where the action is brought against an employer or a co-employee” (*id.* at 1201 [citations omitted]). And here, the Appellate Division continued, the settlement stipulation and the testimony of Beth V.’s attorney supplied substantial evidence to support “the Board’s conclusion that the injuries for which claimant recovered in the settlement were the same injuries for which workers’ compensation benefits were awarded” (*id.*). We granted Beth V. leave to appeal (20 NY3d 857 [2013]), and now affirm.

II.

Workers’ Compensation Law § 29 (1) provides that an employee injured by “the negligence or wrong of another not in the same employ” may commence an action against “such

6. Section 123 vests the Board with continuing power and jurisdiction to “make such modification or change with respect to former findings, awards, decisions or orders relating thereto, as in its opinion may be just.”

other.” If the employee has received workers’ compensation benefits, SIF or the other entity or person liable for the payment of these benefits

“shall have a lien on the proceeds of any recovery from such other, whether by judgment, settlement or otherwise, after the deduction of the reasonable and necessary expenditures, including attorney’s fees, incurred in effecting such recovery, to the extent of the total amount of compensation awarded under or provided or estimated . . . for such case and the expenses for medical treatment paid or to be paid by it and to such extent such recovery shall be deemed for the benefit of” SIF or the other entity or person liable for the payment of compensation benefits (Workers’ Compensation Law § 29 [1]).

Concomitantly, section 29 (4) specifies that “[i]f such injured employee . . . [shall] proceed against such other,” SIF or the other entity or person liable for the payment of compensation benefits “shall contribute only the deficiency, if any, between the amount of the recovery against such other person actually collected, and the compensation provided or estimated . . . for such case” (Workers’ Compensation Law § 29 [4]).

Section 29 (4) is referred to as the carrier’s credit against or right to offset the proceeds of a lawsuit brought pursuant to section 29 (1). The lien and offset provisions in section 29 (1) and (4), respectively, “cushion[] the inflationary impact of the cost of compensation insurance and avoid[] double recovery by the claimant for the same predicate injury” (*Matter of Granger v Urda*, 44 NY2d 91, 97-98 [1978]). Additionally, the statute “shift[s] the burden of paying compensation from the carrier or self-insured employer to the party actually responsible for . . . the same injury as the settlement of the third-party action” (*Matter of Murphy v New York City Police Dept.*, 270 AD2d 733, 733-734 [3d Dept 2000]).

Beth V. contends that Workers’ Compensation Law § 29 (4), the only recoupment provision at issue here since SIF waived its lien, does not apply when the injured employee recovers in a lawsuit against his employer or a fellow employee rather than a third party. She relies on the language stating that Workers’ Compensation Law § 29 (1) provides for satisfaction of the carrier’s lien when the employee recovers for injuries caused by “another not in the same employ” from the proceeds of a lawsuit against “such other”; and that Workers’ Compensation

Law § 29 (4) limits the carrier's obligation to the deficiency between the compensation benefits awarded and the recovery from "such other person." We rejected the selfsame arguments almost 50 years ago in *Petterson*.

Einar Petterson, who was returning from an out-of-state work assignment in an automobile leased by his employer and driven by a coemployee, died when the automobile crashed into a tree in Connecticut. His estate brought a wrongful death action in federal court in Connecticut against the driver and the automobile leasing company, which impleaded Petterson's employer. The action eventually settled, and the employer's carrier sought to have the net proceeds of the settlement credited against its obligations to make future compensation payments to Petterson's survivors. The Board turned down the claim on the ground the settlement did not resolve a third-party action within the meaning of section 29 since the lawsuit was against Petterson's coemployee, not "another not in the same employ." A divided Appellate Division affirmed, and we reversed.

We observed that "[a] mechanical reading" of section 29 "would seem to support the board's view and require an affirmation," but that we were not "bound to accord a literal interpretation to this language if to do so would lead to an egregiously unjust or unreasonable result" (*Petterson*, 17 NY2d at 38). We also noted that since section 29 (6) made workers' compensation the exclusive remedy where the wrongdoer is a fellow employee (*see* n 5, *supra*), it was "[q]uite natural[]" for the legislature, when "address[ing] itself to the possibility of a recovery at law for the same injuries, . . . to describe the basis for that lawsuit as tortious conduct by 'another not in the same employ' " (*id.* at 38-39). We therefore held that "[s]ection 29, read in its entirety and in context, clearly reveals a legislative design to provide for reimbursement of the compensation carrier *whenever a recovery is obtained in tort for the same injury that was a predicate for the payment of compensation benefits*," remarking that "[i]t would be unreasonable to read the statute as mandating a different result merely because the recovery came out of the pockets of a coemployee and not from the resources of a stranger" (*id.* at 39 [internal quotation marks omitted and emphasis added]).

We have never deviated from this position. Most recently, while holding that the exclusivity provisions of the Workers' Compensation Law did not preclude an employee from bringing an action against a fellow employee for intentional wrongdoing,

we cautioned that our decision did not mean that the employee could recover twice for the same injuries; specifically, “[t]o the extent that [the employee] recovers damages from [the coemployee] her recovery may be subject to recoupment by the workers’ compensation carrier, *as with any recovery by a workers’ compensation claimant against a third party*,” citing Workers’ Compensation Law § 29 (1) (*Hanford*, 2 NY3d at 351 n 3 [emphasis added]). The plaintiff in *Hanford* alleged violations of the state Human Rights Law by a coworker.

Beth V. and the dissent contend that the offset provision in section 29 (4) does not apply because the “constitutional deprivations” that she suffered are distinct from the physical and mental injuries for which SIF was paying compensation benefits. In particular, Beth V. emphasizes that her federal lawsuit sought punitive damages. The Appellate Division has stressed that it is “the character or nature of the compensation benefits for which the lien is sought and not . . . the character or nature of the claimant’s recovery in the third-party action” that is important (*Simmons*, 147 AD2d at 325-326). But here, we need not and do not decide whether a carrier is entitled to offset a claimant’s recovery of punitive damages. The stipulation alone supplies substantial evidence that the settlement proceeds were intended to compensate Beth V. for the personal physical and mental injuries she suffered at the hands of M.E.—i.e., the same injuries for which she was awarded compensation benefits. The settlement may have been structured as it was solely to afford Beth V. a presumed tax advantage, but the Board was certainly entitled to rely on the stipulation’s unambiguous terms. Moreover, the first cause of action in the federal lawsuit was essentially a common-law claim for negligent supervision, even though pleaded as a section 1983 claim in order to fall within the exception from exclusivity for intentional torts. And the other causes of action turned on the sexually abusive conduct of M.E.; unlike *Hanford*, there are no allegations that the individually named defendants committed intentional torts violating Beth V.’s civil rights.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (dissenting). I disagree that a settlement of statutory and constitutional civil rights claims, including claims of conduct that led to harm other than personal injuries, may be credited against a workers’ compensation award under Workers’

Compensation Law § 29 (4). To the extent the majority authorizes the State Insurance Fund to take a credit against proceeds that were not associated with the physical and mental injuries suffered as a proximate result of Beth V.'s assault, rape, and kidnapping, I dissent.

The State Insurance Fund demands a credit under Workers' Compensation Law § 29 (4) against the settlement of Beth V.'s federal lawsuit for the assault, rape, and kidnapping she suffered while employed by the State. The Workers' Compensation Board had ordered the carrier to pay benefits for Beth V.'s "injury to the right foot, rape and post-traumatic stress disorder" as well as "teeth and consequential [lower] back [injuries]." The carrier now claims that a credit from Beth V.'s settlement proceeds would avoid a double recovery for the same injuries. However, because the claimant's federal lawsuit asserted claims which were part of the settlement, but which were not compensated by workers' compensation, those claims should remain beyond the reach of the carrier's statutory credit. To hold otherwise is to extend the coverage of the Workers' Compensation Law beyond its intended application, and to deny the claimant settlement proceeds for harms that are independent of the harms remedied by workers' compensation insurance.

The federal complaint alleged, among other things, claims of a hostile workplace and gender-based discrimination that preceded Beth V.'s assault, rape, and kidnapping. The parties entered a "full settlement of any and all claims." The attorney who represented Beth V. in the federal lawsuit testified that the settlement resolved civil rights and constitutional claims apart from the personal injury claims. Notably, the State Attorney General gave no accounting of the settlement, averring only that it did not include punitive damages. Given that this was a global settlement, and the lack of accounting from the State, it cannot be said with certainty that substantial record evidence supports the Board's conclusion that the settlement compensated Beth V. for the same injuries compensated by the Workers' Compensation Law.

The Workers' Compensation Law does not contemplate compensation for injuries to a person's civil rights. Instead, it applies to "disability or death from injury arising out of and in the course of . . . employment" (Workers' Compensation Law § 10 [1]). The complaint asserted claims for harms separate and apart from Beth V.'s personal injuries, and the settlement resolved those claims.

I would reverse and remand for the Workers' Compensation Board to develop a more robust factual record.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and ABDUS-SALAAM concur with Judge READ; Judge RIVERA dissents and votes to reverse in an opinion.

Order affirmed, with costs.

[2 NE3d 204, 979 NYS2d 240]

In the Matter of STATE OF NEW YORK, Respondent, v FLOYD Y,
Appellant.

Argued September 12, 2013; decided November 19, 2013

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 8, 2012. The Appellate Division affirmed an order of the Supreme Court, New York County (Patricia M. Nunez, J.), entered upon a jury finding of mental abnormality and upon a nonjury finding made after a dispositional hearing that respondent was a dangerous sex offender requiring confinement, which had committed respondent to a secure treatment facility.

Matter of State of New York v Floyd Y., 102 AD3d 80, reversed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Constitutional Protections

1. Mental Hygiene Law article 10 civil commitment proceedings against detained sex offenders are civil proceedings to which the constitutional protections of the Fifth and Sixth Amendments do not apply. Rather, the Due Process Clauses of the Fifth and Fourteenth Amendments, as expressed by the *Mathews v Eldridge* (424 US 319, 335 [1976]) balancing test, govern the scope of procedural due process. The *Mathews* test, a flexible concept, weighs three factors: the private interest of the litigant, the risk of erroneous deprivation in the absence of substitute procedures, and the State's interest in avoiding additional procedures. The test ensures that procedures serve the aims of the proceeding without arbitrarily depriving litigants of their rights.

Crimes — Sex Offenders — Civil Commitment or Supervision — Admission of Hearsay Evidence Serving as Basis for Expert's Opinion

2. In a Mental Hygiene Law article 10 civil commitment proceeding, hearsay evidence serving as the underlying basis for the opinion testimony of an expert witness is admissible if the proponent demonstrates through evidence that the hearsay is reliable and if the court determines that the probative value in helping the jury evaluate the expert's opinion substantially outweighs its prejudicial effect. The Due Process Clause protects against the admission of unreliable hearsay evidence, where such hearsay is more prejudicial than probative. The *Mathews v Eldridge* (424 US 319, 335 [1976]) due process balancing test, which ensures that procedures serve the aims of the proceeding without arbitrarily depriving litigants of their rights, weighs three factors: the private interest of the litigant, the risk of erroneous deprivation in the absence of substitute procedures, and the State's interest in avoiding additional procedures. Here, the potential for indefinite confinement threatened a liberty interest of the highest order. The second factor also weighed in

respondent's favor. Article 10 provides the State with access to a broad range of information about a sex offender and provides for expert assessments by a psychiatric examiner, and the risk that this information could be misused, or introduced at trial even when it was unreliable, calls for substantial procedural protection. Although article 10 provides for a host of procedural protections, it does not explicitly limit the hearsay testimony of experts even though it essentially envisions a "battle of the experts" to determine whether the respondent has a mental abnormality. With respect to the third factor, the State's interest was significant, but it was outweighed by the other two factors. Article 10 already requires a civil trial with expert witnesses and counsel. Requiring the State to show that hearsay basis information is both helpful to the jury and meets a certain threshold of reliability would not be unduly burdensome.

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Admission of Hearsay Evidence**

3. The trial court in respondent detained sex offender's Mental Hygiene Law article 10 civil commitment proceeding improperly permitted petitioner's experts to introduce certain unreliable hearsay, as well as some hearsay with a patina of reliability that nevertheless was more prejudicial than probative as a matter of law. As those errors denied respondent due process and were not harmless, respondent was entitled to a new trial. In article 10 trials, hearsay evidence serving as the underlying basis for the opinion testimony of an expert witness is admissible if the proponent demonstrates through evidence that the hearsay is reliable and if the court determines that the probative value in helping the jury evaluate the expert's opinion substantially outweighs its prejudicial effect. Petitioner submitted hearsay through two expert witnesses regarding nine alleged sexual abuse victims. Admission of hearsay about sexual abuse with respect to four of the victims was supported by adjudications of guilt. Respondent's admissions with respect to a fifth victim provided an independent basis for the reliability of those hearsay allegations and should have been admitted, provided that a court found the victim's affidavit substantially more probative than prejudicial. However, respondent's acquittal of criminal charges with respect to an eight-year-old girl barred admission of those accusations, absent some other basis to substantiate them. Similarly, uncharged accusations with respect to another eight-year-old girl and a teenage girl should have been excluded. Finally, criminal charges with respect to a 15-year-old girl that resulted in neither acquittal nor conviction required close scrutiny. Those charges were dropped in connection with respondent's parole agreement promising to stay away from the girl. The parole agreement provided sufficient reliability to weigh in favor of admission of this hearsay, but it did not conclusively prove the allegations. Supreme Court should have taken care to ensure that they were substantially more probative than prejudicial. In such a case, the better course would have been to require live confrontation of the declarant to ensure the statement's reliability.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 658, 660–665, 671, 703, 705, 707; AM JUR 2d, Constitutional Law §§ 942, 953, 955, 957, 958, 964, 967, 1015; AM JUR 2d, Mentally Impaired Persons §§ 125, 127, 128, 137, 139.

CARMODY-WAIT 2d, Appeals in General §§ 70:443, 70:460.
NY JUR 2d, Appellate Review §§ 695, 754, 765–767; NY JUR
2d, Constitutional Law §§ 414–416, 423–426, 447; NY JUR
2d, Penal and Correctional Institutions §§ 45–52.

ANNOTATION REFERENCE

See ALR Index under Due Process; Evidence Rules;
Expert and Opinion Evidence; Harmless and Prejudicial Er-
ror; Hearsay; Incompetent or Insane Persons.

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POINTS OF COUNSEL

Marvin Bernstein, Mental Hygiene Legal Service, New York City (Deborah P. Mantell and Sadie Z. Ishee of counsel), for appellant. I. Floyd Y.'s procedural due process rights were violated by the State's introduction at trial of inadmissible and unproven accusations from non-present declarants that lacked indicia of reliability and had never been tested by cross-examination. (*Hamsch v New York City Tr. Auth.*, 63 NY2d 723; *Wagman v Bradshaw*, 292 AD2d 84; *People v Goldstein*, 6 NY3d 119; *Matter of Christina F.*, 74 NY2d 532; *Seinfeld v Robinson*, 300 AD2d 208; *Matter of State of New York v Mark S.*, 87 AD3d 73; *Wiseman v American Motors Sales Corp.*, 103 AD2d 230; *People v Mingo*, 12 NY3d 563; *Matter of State of New York v Rashid*, 68 AD3d 615, 16 NY3d 1; *Kansas v Hendricks*, 521 US 346.) II. The State's presentation of Dr. Mortiere as an expert witness violated the psychologist-patient privilege. (*Jaffee v Redmond*, 518 US 1; *Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525; *People v Wilkins*, 65 NY2d 172; *People v Sinski*, 88 NY2d 487; *Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction*, 19 NY3d 239; *People v Christopher B.*, 102 AD3d 115; *Matter of Ashley M.*, 256 AD2d 825; *Dowling v State of New York*, 49 AD2d 982; *Ughetto v Acrish*, 130 Misc 2d 74, 130 AD2d 12; *Meyer v Supreme Lodge, Knights of Pythias*, 178 NY 63, 198 US 508.)

Eric T. Schneiderman, Attorney General, New York City (Matthew W. Grieco, Barbara D. Underwood and Steven C. Wu of counsel), for respondent. I. The State's expert properly relied on and testified about alleged sex offenses from official criminal

records. (*People v Sugden*, 35 NY2d 453; *People v Goldstein*, 6 NY3d 119; *People v Mingo*, 12 NY3d 563; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *United States v Hall*, 419 F3d 980; *Matter of State of New York v Mark S.*, 87 AD3d 73, 17 NY3d 714; *Matter of State of New York v Pierce*, 79 AD3d 1779, 16 NY3d 712; *People v Kennedy*, 68 NY2d 569; *Burgett v Texas*, 389 US 109; *Jones v United States*, 463 US 354.) II. Mental Hygiene Law article 10 expressly abrogates the psychologist-patient privilege. (*People v Bridgeland*, 19 AD3d 1122; *Dillenbeck v Hess*, 73 NY2d 278; *Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction*, 19 NY3d 239; *Matter of Camperlengo v Blum*, 56 NY2d 251; *Matter of Melendez v Wing*, 8 NY3d 598; *Matter of State of New York v John S.*, 104 AD3d 511; *Matter of State of New York v Zimmer*, 63 AD3d 1563; *Matter of State of New York v John P.*, 20 NY3d 941.)

OPINION OF THE COURT

RIVERA, J.

In this case, we are asked to consider whether, and to what extent, a court may admit hearsay evidence when it serves as the underlying basis for an expert's opinion in an article 10 proceeding. The circumstances of this case require a reversal and a new trial. The Due Process Clause protects against the admission of unreliable hearsay evidence, where such hearsay is more prejudicial than probative, regardless of whether it serves as the basis for an expert's properly proffered opinion testimony.

I. Facts and Procedural History

A. Floyd Y.'s Article 10 Proceeding

In January 2001, the Oswego County Court convicted Floyd Y. of four counts of sexual abuse in the first degree and four counts of endangering the welfare of a child (Penal Law §§ 130.65 [3]; 260.10 [1]). The jury found that Floyd Y. had abused his two stepchildren four times between June 1996 and February 1998. During his incarceration, Floyd Y. received therapy through a sex offender treatment program. In December 2005, prior to his release from prison, the Department of Correctional Services (DOCS) invoked Mental Hygiene Law § 9.27 and transferred Floyd Y. to Kirby Psychiatric Center without a hearing. At the time, DOCS routinely made such transfers even though it lacked statutory authority to do so (*see State of N.Y. ex rel. Harkavy v Consilvio*, 7 NY3d 607 [2006]).

During Floyd Y.'s unlawful confinement at Kirby, he was diagnosed with polysubstance abuse, pedophilia, and antisocial personality disorder. He received compulsory treatment as a sex offender, which included participation in group counseling and individual contact with treatment personnel. Dr. Catherine Mortiere, a psychologist, was one of his treating physicians.

In 2007, the legislature enacted the Sex Offender Management and Treatment Act (SOMTA) (L 2007, ch 7, § 2), which authorized the State to place any "dangerous sex offender requiring confinement" in civil management (Mental Hygiene Law §§ 10.03 [e]; 10.07 [f]). Shortly thereafter, the State invoked Mental Hygiene Law § 10.06 and ordered Floyd Y. examined by Dr. Michael Kunz, a psychiatric expert. The evaluation report filed by Dr. Kunz stated that, in his opinion, Floyd Y. "met the criteria for Pedophilia" and thus qualified for civil management under article 10. Accordingly, the State filed an article 10 civil management petition against Floyd Y.

Under article 10 of the Mental Hygiene Law, the State must establish at trial, by clear and convincing evidence, that a detained sex offender suffers from a mental abnormality as defined in that statute (*see* Mental Hygiene Law §§ 10.07 [d]; 10.03 [e]). Prior to his jury trial, Floyd Y. sought to exclude testimony of the State's proffered expert witnesses, Dr. Mortiere, who would testify as one of Floyd Y.'s treating physicians at Kirby, and Dr. Kunz, who would testify as the State's statutory "psychiatric examiner" under Mental Hygiene Law § 10.06 (d). The parties heavily contested the extent to which the State could present hearsay evidence through the testimony of these experts. Floyd Y. argued that the experts' opinions were inadmissible because they relied on unproven, unreliable accusations against him and that the testimony would include impermissible hearsay. The State disagreed. Supreme Court ultimately ruled against Floyd Y. and admitted both the opinion testimony and the underlying basis hearsay.

Dr. Mortiere was the State's star witness. At trial, Dr. Mortiere opined that Floyd Y. suffered from pedophilia, antisocial personality disorder, and polysubstance dependence. She further testified that the coexistence of those conditions increased the likelihood that he would reoffend. Dr. Mortiere based her opinion on victim affidavits, police reports, court records, three reports written by Dr. Kunz, a report by Floyd Y.'s expert Dr. Singer, and her own personal experience as Floyd Y.'s treating psychologist. Some of her testimony concerned the abuse for

which Floyd Y. was convicted, but she also described unproven sex offenses, which had formed the basis of her opinion. As she revealed during voir dire, a victim's accusation helped shape her opinion, but a court's acquittal made absolutely no impact. She stated, "[an acquittal] would not have made a difference one way or the other."

Although Dr. Mortiere lacked personal knowledge of the events, she nevertheless testified that Floyd Y. had committed sexual abuse against nine individuals, and she recounted the details of each alleged abuse. She described the alleged abuse of the 23-year-old victim of Floyd Y.'s 1992 sexual assault conviction; the teenage babysitter who was the victim of Floyd Y.'s 1995 harassment plea; her twin sister, who was the victim of alleged sexual abuse in 1994; the eight-year-old friend of the family who alleged an abuse in 1996 for which Floyd Y. was acquitted; the 17-year-old sister-in-law with whom Floyd Y. admittedly had inappropriate telephone conversations; the eight-year-old daughter of an ex-girlfriend whose claims of a 1998 abuse did not result in criminal charges; the 15-year-old daughter of Floyd Y.'s ex-girlfriend, who alleged abuse in 1998; and Floyd Y.'s stepchildren, who had been the victims of his 2001 conviction for sexual abuse. Dr. Mortiere opined that Floyd Y.'s continued denial of many of these incidents tended to show that he had a mental abnormality.

In addition to her rendition of these abuse allegations, Dr. Mortiere also told the jury about her therapeutic relationship with Floyd Y. Dr. Mortiere discussed Floyd Y.'s course of therapy and characterized his participation, describing his lack of progress in sex offender treatment and his belligerence toward her and other staff, particularly female staff. She disputed the statements of other doctors in Floyd Y.'s treatment history that appeared to suggest that he had been making progress because she believed him to be deceitful and driven, in part, by his desire to avoid being "locked up."

The State's other expert witness, Dr. Kunz, testified that Floyd Y. suffered from pedophilia, polysubstance abuse, and antisocial personality disorder, and met the criteria for mental abnormality. Dr. Kunz based his testimony on personal interviews with Floyd Y., clinical records, and written reports concerning Floyd Y.'s alleged sex crimes. Like Dr. Mortiere, Dr. Kunz testified about past incidents of Floyd Y.'s sexual abuse, including several uncharged instances.

In rebuttal, Floyd Y. called his own expert, Dr. Singer, who testified that Floyd Y. did not suffer from pedophilia. He opined that Floyd Y. had polysubstance dependence and personality disorder not otherwise specified with antisocial traits. Dr. Singer testified that Floyd Y.'s disorder did not "[rise] to the level of what Article 10 dictates," and placed Floyd Y.'s likelihood to reoffend on the "lower end of moderate or at the higher end of low."

The trial court gave the jury limiting instructions on its consideration of experts' testimony regarding accusations. The court told the jury to consider "any testimony as to the accusations that ended in dismissal and acquittal only for the purpose of evaluating the experts' [] findings and understanding the basis of their conclusions." The court further instructed the jury that testimony concerning out-of-court statements was admitted to inform the jury as to the basis of the experts' testimony and was "not to be considered as establishing the truth of those out of court statements. You are to use such testimony only for the purpose of evaluating the expert's findings." The court also instructed the jury that "[t]he opinions stated by each expert . . . were based on particular facts as the expert obtained knowledge of them and testified to them before you or as the attorney who questioned the expert asked the expert to assume."

The jury found that Floyd Y. suffered from a mental abnormality. Following a dispositional hearing, the court assigned him to the Office of Mental Health for confinement in a secure facility.

B. Floyd Y.'s Appeal to the Appellate Division

On appeal to the Appellate Division, Floyd Y. argued that Supreme Court erred when it allowed the experts to testify to unreliable hearsay, and that Dr. Mortiere's testimony violated the psychologist-patient privilege. The Appellate Division found that Supreme Court properly admitted some, but not all, of the basis hearsay under the "professional reliability exception" and rejected the psychologist-privilege argument (*Matter of State of New York v Floyd Y.*, 102 AD3d 80, 87-88 [1st Dept 2012]). According to the Appellate Division, evidence that would otherwise be inadmissible as hearsay may nevertheless form the basis for an expert's opinion if it is the type of material "accepted in the profession as reliable in forming a professional opinion," so long as there is other evidence establishing the hearsay's reliability (*id.* at 84).

The Appellate Division first determined that Dr. Mortiere's uncontroverted testimony that witness affidavits and police reports are the type of documents "heavily relied upon in her profession" supported the trial court's decision to allow her to inform the jury that she relied on this hearsay in forming her expert opinion. The Appellate Division then examined the hearsay to determine whether it was "reliable" based on other evidence. The Court concluded that Dr. Mortiere properly relied on victim statements contained in affidavits or incorporated into police reports, and that she could inform the jury that she used those statements as the basis for her opinion. Moreover, the information relied upon by Dr. Mortiere was supported by other evidence, including police reports, plea documents, and conviction certificates, which are "deemed reliable" by the statute. (*Id.* at 85-86.)

The Appellate Division focused on four acts referenced by Dr. Mortiere that did not result in a charge or a conviction, and concluded that two uncharged accusations were reliable. The accusation from Floyd Y.'s 17-year-old former sister-in-law was reliable because Floyd Y. admitted that the events happened.¹ The accusation concerning the 15-year-old daughter of Floyd Y.'s girlfriend was reliable because, as a condition of dropping the charges against him, he signed a parole document promising to stay away from the girl.

The Appellate Division found the other two accusations unreliable and therefore "of questionable probative value." First, the 1996 accusation involving the eight-year-old friend of the family was unreliable because Floyd Y. was acquitted. Second, the 1999 accusation involving the eight-year-old daughter of an ex-girlfriend was unreliable because no charges were ever brought against Floyd Y. (*Id.* at 87-88.) The Appellate Division concluded that Supreme Court erred when it allowed these accusations into evidence, but the error was harmless because the evidence was a small fraction of the case against Floyd Y. and Supreme Court gave proper limiting instructions (*id.* at 88). The Appellate Division also concluded that Mental Hygiene Law § 10.08 (c) abridged the psychologist-patient privilege (*id.*).

II. Floyd Y.'s Constitutional Challenge

Floyd Y. appeals to this Court as of right under CPLR 5601

1. Floyd Y. does not challenge the evidence concerning this alleged victim in the present appeal.

(b) (1), alleging that the trial procedures violated his constitutional right to due process. He asserts that the admission of experts' basis information violated state and federal constitutional due process as well as New York's prohibition on the use of unreliable hearsay. He further claims that the admission of Dr. Mortiere's testimony violated the statutory psychologist-patient privilege.

Floyd Y. argues that Supreme Court violated his right to due process by allowing experts to introduce unreliable, testimonial hearsay without giving him the opportunity to cross-examine the out-of-court declarants. Floyd Y. likens his article 10 trial to a criminal proceeding and argues that he should have had the same confrontation rights enjoyed by criminal defendants (*cf. Pointer v Texas*, 380 US 400 [1965]; *Crawford v Washington*, 541 US 36 [2004]; *Davis v Washington*, 547 US 813 [2006]). Alternatively, he argues that due process required all evidence at his trial to meet a minimum standard of reliability. Floyd Y.'s arguments in support of a right to confrontation in article 10 proceedings are compelling but nonetheless unsupportable under the United States Supreme Court's and this Court's respective jurisprudence on civil confinement proceedings. However, his argument that due process requires a minimum standard of reliability is correct.

A. Civil Confinement Proceedings

When a sex offender commitment statute is punitive in nature, the respondent enjoys the same due process rights as a criminal defendant (*Specht v Patterson*, 386 US 605, 609-610 [1967]). However, when the state acts through its *parens patriae* power to confine a sex offender for therapy and treatment, commitment proceedings are civil, not criminal, in nature (*Allen v Illinois*, 478 US 364, 374 [1986]; *Addington v Texas*, 441 US 418, 425 [1979]). A state may only use civil process to confine a sex offender for treatment of "a 'mental abnormality' . . . that makes it difficult, if not impossible, for the person to control his [or her] dangerous behavior" (*Kansas v Hendricks*, 521 US 346, 358 [1997]; *Kansas v Crane*, 534 US 407, 412-414 [2002]). The constitutional protections of the Fifth and Sixth Amendments do not apply in such proceedings (*Allen*, 478 US at 374). Rather, the Due Process Clauses of the Fifth and Fourteenth Amendments, as expressed by the *Mathews v Eldridge* (424 US 319, 335 [1976]) balancing test, govern the scope of procedural due process (*Addington*, 441 US at 425).

[1] New York’s SOMTA defines a “dangerous sex offender requiring confinement” as “a detained sex offender suffering from a mental abnormality involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility” (Mental Hygiene Law § 10.03 [e]). Furthermore, SOMTA purports to provide treatment to confined sex offenders (Mental Hygiene Law § 10.10). As the legislature found, “some sex offenders . . . may require long-term specialized treatment modalities to address their risk to reoffend,” and the State “should offer meaningful forms of treatment . . . in all criminal and civil phases” (Mental Hygiene Law § 10.01 [b], [f]). The law requires the State to “develop and implement a treatment plan in accordance with [Mental Hygiene Law § 29.13]” (Mental Hygiene Law § 10.10 [b]). By definition, then, SOMTA falls squarely within the substantive due process requirements for civil process as stated by *Hendricks* and *Crane*. Moreover, New York courts have recognized that SOMTA is not a penal statute, but rather one with a remedial purpose (e.g. *People v Harnett*, 16 NY3d 200, 206 [2011]; *Matter of State of New York v Enrique T.*, 93 AD3d 158, 169-170 [1st Dept 2012]; *Matter of State of New York v Nelson*, 89 AD3d 441, 441-442 [1st Dept 2011]; *Matter of State of New York v Daniel OO.*, 88 AD3d 212, 219-220 [3d Dept 2011]; *Matter of State of New York v Campany*, 77 AD3d 92, 98 [4th Dept 2010]; *Matter of State of New York v Farnsworth*, 75 AD3d 14, 20-24 [4th Dept 2010]). Thus, based on controlling precedent, article 10 trials are civil proceedings, which must be governed by the *Mathews* test.²

2. In concurrence, Judge Smith contends that “[t]he primary purpose of article 10 is to prevent sex offenders from committing more sex crimes” and that it thus amounts to a criminal sanction (concurring op at 119). While it is true that article 10 seeks to reduce recidivism through confinement, it also provides “treatment modalities” to address the underlying mental abnormality that makes a sex offender likely to reoffend (see Mental Hygiene Law § 10.01 [b]). If the confinement and management required by article 10 did not provide therapy to treat a sex offender’s mental abnormality, then the statute could not survive constitutional scrutiny. It would, instead, be a “shadow criminal law” requiring criminal procedural protections (cf. *Allen v Illinois*, 478 US 364, 384 [1986, Stevens, J., dissenting]). Without evidence that civil management, whether during confinement or as part of a strict and intensive supervision and treatment outpatient regime, provides some sort of sham treatment, we must conclude that article 10 trials are civil proceedings, analyzed under the Due Process Clause, not the Fifth and Sixth Amendments.

B. *Mathews v Eldridge* Flexible Due Process

The *Mathews* test “is a flexible concept” that weighs three factors: (1) the private interest of the litigant; (2) the risk of erroneous deprivation in the absence of substitute procedures; and (3) the State’s interest in avoiding additional procedures (*People v David W.*, 95 NY2d 130, 136-137 [2000]). The test ensures that procedures serve the aims of the proceeding without arbitrarily depriving litigants of their rights.

Here, it is indisputable that Floyd Y.’s interest is significant. The Federal and State Constitutions protect individual liberty, and it is one of our most cherished and protected rights. The potential for indefinite confinement threatens a liberty interest of the highest order (*Hendricks*, 521 US at 356; *Vitek v Jones*, 445 US 480, 494-495 [1980]; *Humphrey v Cady*, 405 US 504, 509 [1972]). Thus, this factor weighs in favor of Floyd Y.

The second factor, which considers the risk of erroneous deprivation in the absence of substitute procedures, also weighs in favor of Floyd Y. Article 10 provides the State with access to a broad range of information about a sex offender and provides for expert assessments by a psychiatric examiner. This extends from the point when the State determines whether to proceed with a civil management proceeding, through the proceeding itself, and continues during the period of civil management (Mental Hygiene Law §§ 10.06 [d]; 10.08 [a], [b], [c], [g]; 10.09 [b], [c], [d], [f]; 10.11 [a] [1], [2]). The risk that this information could be misused, or introduced at trial even when it is unreliable, calls for substantial procedural protection.

It is true that article 10 provides for a host of procedural protections. The respondent has a right to counsel (Mental Hygiene Law § 10.08 [g]; *People ex rel. Rogers v Stanley*, 17 NY2d 256, 259 [1966]; *Rivers v Katz*, 67 NY2d 485, 497 [1986]), and a jury trial (Mental Hygiene Law § 10.07 [a]; *Matter of State of New York v Myron P.*, 20 NY3d 206, 213 [2012]),³ conducted under the rules of evidence (Mental Hygiene Law § 10.07 [c]). Moreover, the State has the burden to establish by clear and convincing evidence that the respondent meets the statutory definition of a dangerous sex offender requiring confinement (Mental Hygiene Law § 10.07 [d]).

However, article 10 does not explicitly limit the hearsay testimony of experts even though it essentially envisions a

3. Under Mental Hygiene Law § 10.07 (b), the respondent may waive the right to a jury trial, in which case the court shall conduct the trial.

“battle of the experts” to determine whether the respondent has a mental abnormality (*Matter of State of New York v Andrew O.*, 16 NY3d 841, 844 [2011]). In many article 10 trials, expert testimony may be the only thing a jury hears (Hon. Colleen D. Duffy, *The Admissibility of Expert Opinion and the Bases of Expert Opinion in Sex Offender Civil Management Trials in New York*, 75 Alb L Rev 763, 765-767 [2012]). Experts enter “upon the jury’s province, since the expert—and not the jury—draws conclusions from the facts” (*People v Cronin*, 60 NY2d 430, 432 [1983]), and there is a correspondingly high risk that jurors will rely on unreliable material only because it was introduced by an expert. Moreover, article 10 trials inevitably involve devastating accusations. At a minimum, each and every article 10 respondent has been convicted of a sex crime. In cases like Floyd Y.’s, the facts can involve horrible offenses against children. Juries may be predisposed to doubt the convicted sex offender and believe the State’s expert. Thus, there is measurable value to a requirement that experts only introduce evidence that bears independent indicia of reliability and sufficient probative value. Therefore, this factor weighs in favor of Floyd Y.

With respect to the third factor in the *Mathews* analysis, the State’s interest is significant, but it is outweighed by the other two factors. Article 10 already requires a civil trial with expert witnesses and counsel. Requiring the State to show that hearsay basis information is both helpful to the jury and meets a certain threshold of reliability is not unduly burdensome.

Floyd Y.’s liberty interests were squarely at issue in his article 10 proceeding because an adverse determination can lead to indefinite detention. As a consequence, we must be cognizant of Floyd Y.’s due process rights and ensure that those rights are preserved (*see Crane*, 534 US at 413; *Hendricks*, 521 US at 368-369; *Allen*, 478 US at 377; *Jones*, 445 US at 494-495; *Addington*, 441 US at 425; *Humphrey*, 405 US at 510; *Rogers*, 17 NY2d at 259; *Rivers*, 67 NY2d at 497; *David W.*, 95 NY2d at 136). A requirement that evidence meet a test of reliability and substantial relevance is necessary to protect the important liberty interests at stake in article 10 proceedings.

In the civil context, reliability can be assured in many ways. The Due Process Clause has no inflexible standard for judging reliability, and substitutes for live confrontation are acceptable even in proceedings that implicate liberty (*Morrissey v Brewer*, 408 US 471, 489 [1972]; *Gagnon v Scarpelli*, 411 US 778, 782 n 5 [1973]; *Wolff v McDonnell*, 418 US 539, 567 [1974]; *People v*

Fiammegta, 14 NY3d 90, 98 [2010]). Still, courts admit hearsay evidence only when it falls within a recognized exception to the hearsay rule and the proponent can demonstrate that it is reliable (*Nucci v Proper*, 95 NY2d 597, 602 [2001]; *People v Brensic*, 70 NY2d 9, 14 [1987]; *People v Nieves*, 67 NY2d 125, 131 [1986]; see also Barker & Alexander, Evidence in New York State and Federal Courts § 8:1 [2d ed 2011]).

Although we have held that hearsay may play a role in an expert's testimony because the expert may base an opinion on hearsay if it "is of a kind accepted in the profession as reliable in forming a professional opinion" (*People v Goldstein*, 6 NY3d 119, 124 [2005]), we have not decided whether, or under what circumstances, an expert's underlying basis information may be admissible in a civil proceeding, even though it consists of hearsay statements otherwise subject to exclusion (*id.*; *Hinlicky v Dreyfuss*, 6 NY3d 636, 648 [2006]). In *Goldstein*, we specifically warned that allowing admission of such hearsay statements simply because an expert testifies to those statements as the basis for the expert's opinion "might effectively nullify the hearsay rule by making [an] expert [into] a conduit for hearsay" (6 NY3d at 126 [internal quotation marks omitted]). Our concurring colleagues would exclude all basis hearsay from trial. Yet, in many cases, including article 10 trials, the admission of the hearsay basis is crucial for juries to understand and evaluate an expert's opinion. An inflexible rule excluding all basis hearsay would undermine the truth-seeking function of an article 10 jury by keeping hidden the foundation for an expert's opinion.

Contrary to our concurring colleagues' contention, basis hearsay does not come into evidence for its truth, but rather to assist the factfinder with its essential article 10 task of evaluating the experts' opinions. In order to assess an expert's testimony, the factfinder must understand the expert's methodology and the practice in the expert's field. In this case, for example, Dr. Mortiere testified that experts in her field "rely heavily upon witness statements, affidavits, [and] victim statements . . . because in treatment there are issues of confronting a sexual offender with exactly what happened." Understanding her diagnosis and her treatment of Floyd Y. requires understanding the information she considered when making her diagnostic and treatment decisions. As our concurring colleagues concede, out-of-court statements are routinely admitted at trial for purposes other than to demonstrate their truth (concurring op

at 115). Factfinders in article 10 trials cannot comprehend or evaluate the testimony of an expert without knowing how and on what basis the expert formed an opinion.

To the extent that a factfinder's assessment might turn on its acceptance of basis evidence as true, article 10 provides the respondent with an opportunity to challenge the State's expert by presenting a competing view of the basis evidence through the testimony of the respondent's expert.⁴ Moreover, the court can instruct the jury about the proper consideration due the basis evidence, as the court did in this case. Here, the court instructed the jury only to consider the out-of-court statements "for the purpose of evaluating the experts' [] findings and understanding the basis of their conclusions." The court also instructed the jury that it could reject an expert's opinion "if after careful consideration of all the evidence in the case, expert and other, you disagree with the opinion." These instructions adequately informed the jury of its role as factfinder and the limited purpose of out-of-court statements introduced to help evaluate an expert's opinion.

The different approaches adopted by other jurisdictions illustrate the difficulty in setting the right balance between admitting and excluding hearsay basis evidence (*see generally* Duffy, 75 Alb L Rev at 792-797). On one end of the spectrum, Virginia, Kansas, and Massachusetts prohibit experts from introducing any inadmissible hearsay at sex offender proceedings. (*Lawrence v Commonwealth*, 279 Va 490, 494-497, 689 SE2d 748, 750-751 [2010]; *In re Care and Treatment of Colt*, 289 Kan 234, 243, 211 P3d 797, 804 [2009]; *Commonwealth v Markvart*, 437 Mass 331, 338, 771 NE2d 778, 783-784 [2002].) On the other end, South Carolina allows the expert to introduce all basis evidence without regard to independent bases of admissibility (*In re Manigo*, 389 SC 96, 106, 697 SE2d 629, 634 [2010]). A significant number of jurisdictions take a flexible approach that allows the admission of hearsay but requires courts

4. The concurrence believes that the respondent's expert testimony is useless in offsetting the hearsay's impact on the jury because the expert cannot opine as to the veracity of the basis evidence. Of course it is also the case that the State's expert cannot assert the truth of the basis evidence, and from the respondent's perspective, this is but one of the weaknesses of the State's case that can be mined during the article 10 proceeding. Through the respondent's own expert the jury hears why the State's expert testimony is unconvincing, including why it is not credible. Moreover, cross-examination of the State's expert provides additional opportunity to challenge the opinion and emphasize its weaknesses, including the expert's reliance on this type of basis evidence.

to make an independent reliability assessment (*see e.g. In re Detention of Stenzel*, 827 NW2d 690, 710 [Iowa 2013]; *In re Interest of A.M., Jr.*, 281 Neb 482, 514-515, 797 NW2d 233, 261-262 [2011]; *In re Civil Commitment of Williams*, 735 NW2d 727, 731-732 [Ct App Minn 2007]; *State Bd. of Registration for Healing Arts v McDonagh*, 123 SW3d 146, 156 [Mo 2003]). In our view, such a requirement protects the substantial liberty interests of respondents in those states.

[2] Due process requires any hearsay basis evidence to meet minimum requirements of reliability and relevance before it can be admitted at an article 10 proceeding. In article 10 trials, hearsay basis evidence is admissible if it satisfies two criteria. First, the proponent must demonstrate through evidence that the hearsay is reliable. Second, the court must determine that the “probative value in helping the jury evaluate the [expert’s] opinion substantially outweighs [its] prejudicial effect” (*cf.* Fed Rules Evid rule 703). These reliability and substantial relevance requirements provide a necessary counterweight to the deference juries may accord hearsay evidence simply because an expert has propounded it. The requirements prevent an expert from serving as a passive conduit for hearsay, yet allow the jury to evaluate expert opinions by considering reliable and probative evidence. This rule gives the judge an active role in managing the article 10 proceeding and preserving its integrity.

III. The Hearsay Basis Evidence

[3] Applying this two-step analysis to the facts of this case, we conclude that the trial court improperly permitted the State’s experts to introduce certain unreliable hearsay, as well as some hearsay with a patina of reliability that nevertheless was more prejudicial than probative as a matter of law. These errors denied Floyd Y. due process.

The State submitted hearsay through Drs. Mortiere and Kunz regarding nine alleged sexual abuse victims. Admission of hearsay about sexual abuse supported by adjudications of guilt did not violate due process. Specifically, Floyd Y. was convicted of or pleaded guilty to crimes arising out of his treatment of four of the alleged victims: a 23-year-old woman (sexual abuse in the second degree); a teenage babysitter (harassment); and his two stepchildren (sexual abuse in the first degree). The evidence of reliability in those cases was a criminal justice adjudication unfavorable to Floyd Y.

Floyd Y.’s admissions also provided the independent basis for the reliability of some of the hearsay. Floyd Y. admitted that he

had inappropriate phone conversations with his 17-year-old sister-in-law. Provided that a court found the 17-year-old girl's victim affidavit substantially more probative than prejudicial, the hearsay should have been admitted.

Conversely, unlike adjudications and admissions of guilt, an acquittal cannot provide the basis for reliability. Charges that resulted in acquittal are surely more prejudicial than probative on the question of the respondent's mental abnormality. Therefore, in the case of the eight-year-old friend of the family, Floyd Y.'s acquittal of criminal charges bars admission of those accusations, absent some other basis to substantiate them. Similarly, uncharged accusations should have been excluded. Here, police were unable to substantiate the accusations of the eight-year-old daughter of Floyd Y.'s ex-girlfriend, and this hearsay should have been excluded. The uncharged allegations made by the teenage babysitter's twin sister were not supported by extrinsic evidence or Floyd Y.'s own admissions, and should not have been admitted as hearsay.

Criminal charges that resulted in neither acquittal nor conviction require close scrutiny. Police charged Floyd Y. in connection with the accusation of the 15-year-old daughter of his ex-wife, but those charges were dropped in connection with Floyd Y.'s parole agreement promising to stay away from the girl. The parole agreement provides sufficient reliability to weigh in favor of admission of this hearsay. However, unlike an adjudication of guilt, the parole agreement does not conclusively prove the allegations. Supreme Court should have taken care to ensure that they were substantially more probative than prejudicial. In such a case, the better course would have been to require live confrontation of the declarant to ensure the statement's reliability.

The admission of the unreliable hearsay was not harmless error. The State alleged that Floyd Y. was a pedophile and presented evidence that he had abused four prepubescent children. However, two of those allegations were based on hearsay that violated Floyd Y.'s due process rights. There is a reasonable possibility the jury could have reached another verdict had it not heard testimony that Floyd Y. had committed those two sex offenses (*People v Crimmins*, 36 NY2d 230, 237 [1975]).

Therefore, the order of the Appellate Division should be reversed and a new trial ordered.⁵

SMITH, J. (concurring).

I

The majority reverses the Appellate Division's order on the ground that the "Due Process Clause protects against the admission of unreliable hearsay evidence" (majority op at 98). But hearsay, reliable or not, is generally inadmissible under New York law, and the hearsay in this case falls within no exception to the rule. I would therefore reverse on hearsay grounds, and would not reach the constitutional question.

A

At a jury trial to determine whether Floyd Y., a detained sex offender, suffered from a "mental abnormality" as defined in article 10 of the Mental Hygiene Law, the State's expert witnesses opined that he did suffer from such an abnormality, and as support for their opinions were permitted to relate to the jury accusations by several alleged victims of Floyd's sex crimes. The victims did not testify. The admission of the experts' testimony to what the victims said raises two questions: Were the victims' statements hearsay? And if so, was the testimony nevertheless admissible under the so-called "professional reliability" exception to the hearsay rule?

We answered the first question yes in *People v Goldstein* (6 NY3d 119 [2005]). That was a criminal case in which the People called an expert, Dr. Hegarty, to give her opinion that the defendant was sane at the time of the crime. Hegarty had interviewed a number of people who had encountered the defendant, and was allowed to tell the jury what those people told her about their experiences and observations. We held that the interviewees' statements to Hegarty were "testimonial" hearsay, and that their admission violated the Confrontation Clause (6 NY3d at 127-129). We rejected the People's argument that the statements "were not offered to prove the truth of what the interviewees said" but "only to help the jury in evaluating Hegarty's opinion" (*id.* at 127); we pointed out that the interviewees' statements would have been of no use to the

5. In light of our disposition of this appeal, we need not reach and express no opinion as to whether article 10 abrogates the psychologist-patient privilege.

People unless the jury accepted them as true. On the question of whether the statements of Floyd Y.'s alleged victims were hearsay, *Goldstein* controls this case.

B

In *Goldstein*, we also discussed, but did not decide, another hearsay issue: Do statements like those recounted by Hegarty in *Goldstein* (or by the State's experts in this case) fall within an exception to the hearsay rule? The arguably applicable exception is that an expert is permitted to rely on hearsay in forming his or her opinion, so long as the material relied on "is of a kind accepted in the profession as reliable" (*People v Sugden*, 35 NY2d 453, 460 [1974]). The unanswered question is whether this exception permits the proponent of the expert's testimony to elicit not only the opinion, but also the hearsay statements on which it is based.

This question was not argued by the parties in *Goldstein*, and *Goldstein* was decided on Confrontation Clause, not hearsay, grounds. As we observed, both parties in *Goldstein* seemed to assume that, as a matter of New York law, if her opinion was properly admitted "Hegarty was free, subject to defendant's constitutional right of confrontation, . . . to repeat to the jury all the hearsay information on which it was based" (6 NY3d at 126). That was, we said, "a questionable assumption" (*id.*). We added:

"[I]t can be argued that there should be at least some limit on the right of the proponent of an expert's opinion to put before the factfinder all the information, not otherwise admissible, on which the opinion is based. Otherwise, a party might effectively nullify the hearsay rule by making that party's expert a 'conduit for hearsay'" (*id.*, quoting *Hutchinson v Groskin*, 927 F2d 722, 725 [2d Cir 1991]).

This case, unlike *Goldstein*, squarely presents the question of whether, and if so when, the proponent of an expert's testimony may put "basis" hearsay before the jury.

C

As a matter of principle, I see no reason why basis hearsay should be allowed. In general, exceptions to the prohibition on hearsay have been recognized only when the hearsay fits within

a class of statements (e.g., excited utterances, business records, dying declarations) in which the risk of error or wilful misrepresentation—and hence the need for cross-examination of the declarant—is relatively small. But there is nothing about basis hearsay that makes it inherently trustworthy. And the authorities confirm the conclusion that this reasoning suggests. Basis hearsay, when offered by the proponent of the expert’s testimony, is generally considered inadmissible.

While our Court has apparently never decided this issue, the Appellate Division did in *Wagman v Bradshaw* (292 AD2d 84, 85-86 [2d Dept 2002]):

“[W]hile the expert witness’s testimony of reliance upon out-of-court material to form an opinion may be received in evidence, provided there is proof of reliability, testimony as to the express contents of the out-of-court material is inadmissible.”

In their New York Evidence Handbook, Professors Martin, Capra and Rossi agree with *Wagman*. They say:

“Where the expert relies on information not in evidence, it is the expert’s opinion, not the underlying information, that is disclosed to the jury. The [rule permitting experts to rely on hearsay evidence] does not permit the proponent to bypass the hearsay rule by having an expert rely on hearsay only to disclose that hearsay to the jury in the guise of providing a foundation for the expert’s opinion” (Martin, Capra & Rossi, New York Evidence Handbook § 7.3.4 at 625 [2d ed 2003] [footnote omitted]).

Under New York law as stated in *Wagman* and the Evidence Handbook, the hearsay in this case was improperly admitted, and Floyd Y. is entitled to a new trial.

D

The rule in the federal courts appears to be more flexible—i.e., more tolerant of the admission of hearsay underlying expert opinions. Since the issue is open in our Court, we are free if we like to adopt the federal approach as a matter of state law. If we were to do so, however, the result in this case would be the same: the hearsay should not have been admitted.

Under rule 703 of the Federal Rules of Evidence:

“An expert may base an opinion on facts or data in the case that the expert has been made aware of or

personally observed. If experts in the particular field would reasonably rely on those kinds of facts or data in forming an opinion on the subject, they need not be admissible for the opinion to be admitted. But if the facts or data would otherwise be inadmissible, the proponent of the opinion may disclose them to the jury only if their probative value in helping the jury evaluate the opinion substantially outweighs their prejudicial effect.”

Rule 703 thus creates a balancing test—albeit one weighted against the admission of basis hearsay. The hearsay must be excluded unless its probative value “substantially outweighs” its prejudicial effect. As the committee that drafted this language explained, it “provides a presumption against disclosure to the jury of information used as the basis of an expert’s opinion and not admissible for any substantive purpose, when that information is offered by the proponent of the expert” (2000 Advisory Comm Notes, Fed Rules Evid rule 703).

In this case, the courts below, though they did not cite rule 703, may have intended to apply a similar balancing test, for they permitted the experts to relate hearsay information after ruling that the information was “reliable.” But if the lower courts were following a rule 703 approach, they erred by equating “probative value” with reliability and “prejudicial effect” with unreliability.

The basic point of the hearsay rule is that a party to litigation is entitled to test by cross-examination a statement that is presented to the jury as true, and that it is for the jury to decide, having listened to the cross-examination, whether the statement is reliable. To say that hearsay is admissible—i.e., that cross-examination is unnecessary—because a court thinks the statement is reliable is to usurp the functions of the cross-examiner and the factfinder, and to defeat the point of the rule. In other words, the hearsay rule permits a party to test, by cross-examination, whether an apparently reliable statement is as good as it looks. As the United States Supreme Court put it in *Crawford v Washington* (541 US 36, 61 [2004]), addressing the different, but related, question of when the Confrontation Clause applies: “The Clause . . . reflects a judgment, not only about the desirability of reliable evidence (a point on which there could be little dissent), but about how reliability can best be determined.” The hearsay rule reflects a similar judgment—

that reliability should ordinarily be determined through cross-examination.

Thus, it is a mistake to suggest that, because a hearsay statement seems to be reliable, its “probative value” outweighs its “prejudicial effect.” The policy underlying the rule is that, in general, hearsay is without probative value as to the truth of the matter stated by the out-of-court declarant. And the more likely the jury is to accept the statement for its truth—i.e., the more reliable the statement appears to be—the greater the prejudice.

Rule 703 should therefore be interpreted to require not an assessment of the reliability of an out-of-court statement, but the sort of balancing frequently performed in other contexts—a determination of whether the utility of an out-of-court statement for a legitimate, nonhearsay purpose outweighs the danger that the jury will accept the statement for its truth. For example, in our recent decision in *People v Morris* (21 NY3d 588 [2013]), an out-of-court statement—the tape of a 911 call—was admitted for the purpose of explaining to the jury why the police took the action they did; the jury was instructed that it could not consider the statements made in the 911 call for their truth. The Judges of this Court disagreed about whether the value of the statement for a nonhearsay purpose outweighed its prejudicial effect (see 21 NY3d at 597, 602, 604). No one suggested, however, that the statement was more probative than prejudicial simply because it was “reliable”—i.e., likely to be true. Federal courts have interpreted rule 703 to require a similar balancing of hearsay against nonhearsay purposes (*Turner v Burlington N. Santa Fe R.R. Co.*, 338 F3d 1058, 1061-1062 [9th Cir 2003]; *McDevitt v Guenther*, 522 F Supp 2d 1272, 1294 [D Haw 2007]).

If rule 703 governed this case, the admissibility of the out-of-court statements by Floyd Y.’s alleged victims would depend on whether their probative (nonhearsay) value—helping the jury evaluate the testimony of the State’s experts—“substantially outweighs” their prejudicial (hearsay) effect—the risk that the jury would take the statements as true. But in this case, as in *Goldstein* (6 NY3d at 127), the jury could not have used the hearsay statements to evaluate the expert’s testimony without first deciding whether those statements were true or false; the hearsay accusations of sexual misconduct by Floyd Y. could bolster the experts’ opinions only if the jury believed them to be true. The probative value of the statements thus is inseparable

from, and cannot outweigh, their prejudicial effect, and the statements should not have been admitted. This will often be the result in cases to which rule 703 applies, but there will be exceptions: the content of the statements may be cumulative of other, admissible, evidence, or may be unimportant in itself. In such a case, the statements' prejudicial effect will be slight, and they may be admitted as probative of the expert's methodology—to show, perhaps, that the expert left no stone unturned.

The statements at issue in this case were inadmissible hearsay under New York law, whether our Court follows the rule stated in *Wagman* or the less restrictive federal rule.

E

The majority opinion in this case says little about the hearsay rule and the professional reliability exception as they are generally applied in civil and criminal trials. It discusses neither the New York authorities I have cited nor Federal Rule 703. Rather, it seems to create a special rule for cases brought against detained sex offenders under article 10 of the Mental Hygiene Law, endorsing a “flexible approach that allows the admission of hearsay but requires courts to make an independent reliability assessment” (majority op at 108). Why the hearsay rule should be more flexible in article 10 cases—why a jury in such a case should be presented with basis hearsay that would be inadmissible if an expert were testifying in an ordinary civil suit based on an automobile accident—is not explained. If anything, the quasi-criminal nature of article 10 proceedings, which I discuss in section II below, would call for a strict, not a flexible, approach.

The majority says that “in many cases, including article 10 trials, the admission of the hearsay basis is crucial for juries to understand and evaluate an expert's opinion” (majority op at 107). This misses a basic point. Reliance on inadmissible evidence is a weakness, not a strength, in an expert's opinion; an opinion that a jury cannot “understand and evaluate” without hearing inadmissible evidence is a worthless opinion.

The professional reliability exception to the hearsay rule says that an expert's reliance on inadmissible evidence does not make the opinion inadmissible; but such reliance does open the opinion to attack. The *opponent* of the party presenting the expert may, if he chooses, try to discredit the witness by showing that her opinion depends on facts that have not been, and cannot be, proved in the courtroom. But to allow the *proponent*

of the expert to say to the jury, in effect: “You should believe my expert because some people told her a lot of things I can’t prove, and here’s what they told her” is utterly inconsistent with the hearsay rule.

The point is illustrated by one of the leading New York cases on the professional reliability exception, *People v Stone* (35 NY2d 69 [1974]). *Stone* held that a witness who relied in part on inadmissible evidence was not barred from giving an opinion where “an independent, legally competent basis” for the opinion existed (35 NY2d at 73). It was critical to the opinion’s admissibility that it was “substantially, though not exclusively, based upon observation and examination of the defendant and facts in evidence” (*id.* at 76). We made clear that the expert’s reliance on inadmissible evidence could be a basis for “challenges to [the opinion’s] weight on cross-examination,” and noted that the trial court had instructed the jury that it could accept the expert’s testimony if it was “based on underlying facts which have been established” (*id.* at 74).

The majority says that “basis hearsay does not come into evidence for its truth” (majority op at 107), but never explains how the victims’ statements in this case could possibly bolster the State’s experts’ opinions if the jury did not accept the statements as true. Nor is it clear why, if the hearsay in this case was not admitted for its truth, the majority is so concerned with whether it is reliable. The majority adds that even if the jury “might” accept basis evidence as true, that is not a problem because the respondent in an article 10 case may present “a competing view” by calling his own expert (majority op at 108). But the doctors who testify at article 10 trials are not experts in veracity. They cannot tell a jury whether an alleged victim’s statement is true or false—and if they could, the hearsay rule does not permit the substitution of an expert’s opinion for cross-examination.

The concern underlying the majority’s hearsay analysis seems to be that excluding basis hearsay will “undermine” the jury’s “truth-seeking function . . . by keeping hidden” important information (majority op at 107). The hearsay rule does sometimes do that, but we have rejected the idea of recognizing an “amorphous” reliability exception to it (*People v Nieves*, 67 NY2d 125, 131 [1986]). There is, as I have said, no reason to be more tolerant of hearsay in article 10 cases than in others. Indeed, there is the less reason to be tolerant in this case, because nothing in the record shows that the victims’ accounts

of Floyd Y.'s crimes could not have come into evidence in the orthodox way: Why could not the State call the victims as witnesses, and let Floyd Y.'s lawyer cross-examine them? I understand that no one wants to subject the victims to inconvenience or unpleasantness. But that is what usually happens when the State wants to incarcerate someone.

II

Since the majority decides this case on due process grounds, I will also express my view on the constitutional issue. I agree with the majority's result, but not its reasoning. I would hold that a respondent in a proceeding under article 10 of the Mental Hygiene Law is constitutionally entitled to the same right of confrontation as a defendant in a criminal case.

The majority's analysis proceeds on the premise that article 10 proceedings are civil, not criminal, and applies the balancing test of *Mathews v Eldridge* (424 US 319 [1976]) to decide that Floyd Y.'s due process rights have been violated. We have indeed described article 10 as a "remedial" rather than a "penal" statute (*People v Harnett*, 16 NY3d 200, 206 [2011]), and the United States Supreme Court has held that a proceeding brought to confine a "sexually dangerous person" for "care and treatment" is a civil, not a criminal, proceeding for purposes of the federal constitutional privilege against self-incrimination (*Allen v Illinois*, 478 US 364, 365, 369 [1986]). But the "civil" label cannot be the end of the inquiry.

Proceedings under article 10 may be civil, but they bear a significant resemblance to criminal cases. Most obviously, they are brought only against people who have committed crimes (or have committed acts that, but for the offender's mental condition, would be criminal) (Mental Hygiene Law § 10.03 [g]); and they can and usually do result in the confinement of the respondent to a "secure" facility (Mental Hygiene Law § 10.03 [e]; see NY St Off of Mental Health, 2012 Ann Rep on the Implementation of Mental Hygiene Law Article 10 at 4 [Apr. 2013] [OMH Report] [241 out of 340 cases resulted in a finding that confinement was required]). Indeed, a respondent in an article 10 proceeding faces a threat to his liberty more severe than that faced by most criminal defendants: He may be confined until a court finds that he "no longer is a dangerous sex offender requiring confinement" (Mental Hygiene Law § 10.09 [e])—which could be for the rest of his life. According to the Office of Mental Health, of 288 people who entered treatment in secure

facilities during the first five years of article 10's existence, only one has completed treatment and been discharged (OMH Report at 11). A law review article says: "[H]istory has shown that once a person is committed as a sexually violent predator, it's unlikely that he will ever be released" (Lave, *Throwing Away The Key: Has the Adam Walsh Act Lowered the Threshold For Sexually Violent Predator Commitments Too Far?*, 14 U Pa J Const L 391, 420 [Dec. 2011]).

Proceedings under article 10 of the Mental Hygiene Law are much more similar to criminal prosecutions than are proceedings under article 9, the statute generally providing for civil commitment of mentally ill people who present a danger to themselves or others. The dominant purpose of article 10, unlike that of article 9, is the protection of the community from criminal conduct. I grant that protecting the community is an important purpose of article 9 also; but in many article 9 cases the protection of the mentally ill person himself or herself is at least equally important. Article 9 proceedings are the sort of case that the Supreme Court distinguished from criminal cases in *Addington v Texas* (441 US 418, 429 [1979]) by saying:

"[I]t is not true that the release of a genuinely mentally ill person is no worse for the individual than the failure to convict the guilty. One who is suffering from a debilitating mental illness and in need of treatment is neither wholly at liberty nor free of stigma. . . . It cannot be said . . . that it is much better for a mentally ill person to 'go free' than for a mentally normal person to be committed" (citations omitted).

This language from *Addington* cannot be applied to article 10 cases. No one will say with a straight face that article 10 proceedings are brought, to a significant degree, for the benefit of the sex offender, or that a sex offender who is spared from article 10 confinement has missed an opportunity to improve his life. The primary purpose of article 10 is to prevent sex offenders from committing more sex crimes.

Because of the quasi-criminal quality of article 10 proceedings, I find it unacceptable to subject the confrontation rights of respondents in such proceedings to the balancing test of *Mathews v Eldridge*. The *Mathews* test was originally designed, as the Supreme Court pointed out in *Allen v Illinois*, as a way of deciding the procedural safeguards required "before a person

might be deprived of property” (*Allen*, 478 US at 374; *cf. Hamdi v Rumsfeld*, 542 US 507, 575-576 [2004, Scalia, J., dissenting] [criticizing use of the *Mathews* test to justify a person’s detention]). It is true that the Court in *Allen* relied on *Mathews* in rejecting the application of the privilege against self-incrimination in proceedings for the confinement of sex offenders; but in doing so it emphasized that “[t]he privilege against self-incrimination . . . is not designed to enhance the reliability of the factfinding determination” (*id.* at 375). The same cannot be said of the right of confrontation, and I would hold that a sex offender who is subject to confinement under article 10 is entitled, as a matter of due process under the Federal and State Constitutions, to no less a right of confrontation than any criminal defendant.

It is beyond dispute that Floyd Y. was not given in this case the kind of confrontation right that is required in criminal cases. His situation is indistinguishable from that of the defendant in *Goldstein*, for whom we ordered a new trial because his right of confrontation had been infringed. For that reason I would, if I were to reach the question, agree with the majority that the order of the Appellate Division must be reversed on constitutional grounds.

Judges GRAFFEO, READ, PIGOTT and ABDUS-SALAAM concur with Judge RIVERA; Judge SMITH concurs in result in an opinion in which Chief Judge LIPPMAN concurs.

Order reversed, without costs, and a new trial ordered.

[3 NE3d 121, 980 NYS2d 55]

EXPEDIA, INC., et al., Respondents, et al., Plaintiffs, v CITY OF
NEW YORK DEPARTMENT OF FINANCE et al., Appellants.

Argued October 9, 2013; decided November 21, 2013

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 29, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 2010 NY Slip Op 33863[U] [2010]), which had (a) granted defendants' motion to dismiss plaintiffs' first cause of action seeking a declaration that Local Law No. 43 (2009) of City of New York violated the New York State Constitution, and (b) declared that plaintiffs were not entitled to such a declaration; (2) denied the motion; and (3) upon searching the record, declared that Local Law 43 violates the Constitution.

Expedia, Inc. v City of N.Y. Dept. of Fin., 89 AD3d 640, reversed.

HEADNOTE

Taxation — Hotel and Motel Occupancy Tax — Extension of Tax to Cover Fees Charged by Travel Companies — Constitutionality

Local Law No. 43 (2009) of City of New York, which amended the City's hotel occupancy tax to include in the definition of rent "any service and/or booking fees that are a condition of occupancy," thereby taxing the total rent or charge paid by a hotel occupant, including sums paid directly to third-party travel companies, known under the law as room remarketers, is constitutional on its face. New York State, in granting the City broad authority to enact an occupancy tax, extended to the City a taxing power coextensive with that of the State (CLS Uncons Laws of NY, ch 288-C, § 1 [1]). Under the enabling statute, the City may only tax "rent or charge" and may collect the tax from a hotel owner or "person entitled to be paid the rent or charge" (CLS Uncons Laws of NY, ch 288-C, § 1 [1-a], [3]). The terms "rent" and "charge" refer to the consideration received for occupancy. By enacting a tax on third-party fees that are made "a condition of occupancy" (Local Law No. 43 [2009] of City of NY § 1), the City enacted a tax that applies only to the rent or charge. Insofar as plaintiffs are entitled to be paid the rent or charge for the hotel room, the City may collect the tax directly from plaintiffs. Thus, Local Law 43 adheres to its enabling purpose, the taxation of hotel occupancy rent and charges, by taxing everything a hotel occupant actually pays for occupancy when booking online. That New York State enacted a law in 2010 that explicitly authorized the City's tax on hotel remarketers was irrelevant inasmuch as the City had the authority to enact the tax under the original enabling legislation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Hotels, Motels, and Restaurants §§ 41, 42.
NY JUR 2d, Taxation and Assessment §§ 1754, 1755.

ANNOTATION REFERENCE

Obligation of online travel companies to collect and remit hotel occupancy taxes. 61 ALR6th 387.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Andrew G. Lipkin* and *Joshua M. Wolf* of counsel), for appellants. The decision of the Appellate Division should be reversed because Local Law No. 43 (2009) of City of New York was undeniably within the scope of the authority granted to the City by the enabling act. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *People v Cook*, 34 NY2d 100; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Reiter v Sonotone Corp.*, 442 US 330; *FCC v Pacifica Foundation*, 438 US 726; *Matter of Capital Cities Communications v State Tax Commn.*, 65 AD2d 25; *Criscione v City of New York*, 97 NY2d 152; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Cohen v Lord, Day & Lord*, 75 NY2d 95.)

Jones Day, New York City (*Todd R. Geremia* and *Robert W. Gaffey* of counsel), *Jones Day*, Dallas, Texas (*James P. Karen* and *David E. Cowling* of counsel), *McDermott Will & Emery LLP*, New York City (*Lindsay M. LaCava* of counsel), *McDermott Will & Emery LLP*, Chicago, Illinois (*Catherine A. Battin* and *Nathaniel L. Whalen* of counsel), *Alston & Bird LLP*, New York City (*Joseph G. Tully* of counsel), and *Alston & Bird LLP*, Dallas, Texas (*Jon G. Shepherd* of counsel), for respondents. I. Local Law No. 43 (2009) of City of New York is not authorized by the enabling legislation. (*Matter of Good Humor Corp. v McGoldrick*, 289 NY 452; *American Locker Co. v City of New York*, 308 NY 264; *Matter of Carey Transp. v Perrotta*, 34 AD2d 147; *Matter of Brooklyn Union Gas Co. v McGoldrick*, 270 App Div 186; *Compass Adjusters & Investigators v Commissioner of*

Taxation & Fin. of State of N.Y., 197 AD2d 38; *Matter of United States Steel Corp. v Gerosa*, 7 NY2d 454; *Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657; *Samiento v World Yacht Inc.*, 10 NY3d 70; *People v Cook*, 34 NY2d 100.) II. The legislature's enactment of, and prior failure to enact, a new hotel room occupancy tax shows the City lacked authority to enact Local Law No. 43 (2009) of City of New York. (*Nostrom v A.W. Chesterton Co.*, 15 NY3d 502; *Matter of ATM One v Landaverde*, 2 NY3d 472; *People v Rice*, 44 AD3d 247; *Matter of United States Steel Corp. v Gerosa*, 7 NY2d 454; *Waste-Stream Inc. v St. Lawrence County Solid Waste Disposal Auth.*, 167 Misc 2d 542; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *National Org. for Women v Metropolitan Life Ins. Co.*, 131 AD2d 356; *Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657; *Matter of Good Humor Corp. v McGoldrick*, 289 NY 452.) III. Four decades of past practice further show that the City did not have authority to enact Local Law No. 43 (2009) of City of New York. (*Grimmer v Tenement House Dept. of City of N.Y.*, 205 NY 549; *Matter of City of New York v State of New York*, 282 AD2d 134; *Matter of Plato's Cave Corp. v State Liq. Auth.*, 68 NY2d 791; *Matter of Siemens Corp. v Tax Appeals Trib.*, 217 AD2d 247; *BLF Realty Holding Corp. v Kasher*, 299 AD2d 87; *People v Pagan*, 76 AD3d 414; *Matter of DiBattista v McDonough*, 80 AD3d 936; *Matter of Kennedy v Kennedy*, 195 AD2d 229; *Matter of Guardian Life Ins. Co. of Am. v Chapman*, 302 NY 226; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

OPINION OF THE COURT

RIVERA, J.

The City of New York appeals from an order of the Appellate Division holding Local Law No. 43 (2009) of City of New York, a hotel room occupancy tax applicable to online travel companies, unconstitutional (*Expedia, Inc. v City of N.Y. Dept. of Fin.*, 89 AD3d 640 [1st Dept 2011]). Plaintiffs are a group of travel companies that enable customers to make online travel arrangements, including hotel reservations. Plaintiffs claim that the City lacks authority to tax the fees they collect from their customers. The City contends that the state legislature authorized Local Law 43 through enabling legislation.

We hold that the City had the authority to enact the tax, and the Appellate Division erred when it declared the tax unconstitutional.

I.

State law authorizes New York City to tax the “rent or charge” for hotel room occupancy. The enabling statute provides:

“Notwithstanding any other provision of law to the contrary, any city having a population of one million or more is hereby authorized and empowered to adopt and amend local laws imposing in any such city a tax in addition to any tax authorized and imposed pursuant to article twenty-nine of the tax law such as the legislature has or would have the power and authority to impose on persons occupying hotel rooms in such city.” (CLS Uncons Laws of NY, ch 288-C, § 1 [1], as added by L 1970, ch 161, § 1, as amended.)

This statute allows the City to tax up to six percent “of the rent or charge per day” for each hotel room (CLS Uncons Laws of NY, ch 288-C, § 1 [1-a]). The statute authorizes the City to collect these taxes from the hotel operator or any “person entitled to be paid the rent or charge for the hotel room” (CLS Uncons Laws of NY, ch 288-C, § 1 [3]). Under this enabling statute, the City has taxed hotel rent since 1970, charging hotel operators based on the daily rent charged (*see* Local Law No. 15 [1970] of City of NY § 1).

In 2009, the New York City Council amended its hotel occupancy tax to capture revenue from fees charged to customers as rent by third-party travel companies, known under the law as “room remarketers” (Local Law No. 43 [2009] of City of NY § 1). Local Law 43 defined “rent” as:

“[t]he consideration received for occupancy valued in money, whether received in money or otherwise, including all receipts, cash, credits, and property or services of any kind or nature, *including any service and/or booking fees that are a condition of occupancy*” (*id.* [emphasis added]).

Thus, Local Law 43 taxed the total rent or charge paid by a hotel occupant, including sums paid directly to third parties.¹

Plaintiffs are travel companies taxed as “room remarketers” under Local Law 43. They brought a declaratory judgment

1. Local Law 43 also defined as “net rent” the portion of rent paid directly to a hotel operator (Local Law No. 43 [2009] of City of NY § 2). It defined as “additional rent” the portion of rent paid to the room remarketer (*id.*).

action in Supreme Court challenging the constitutionality of the tax. Alternatively, plaintiffs argued that the law did not apply to them because their service fees are not “rent” within the meaning of the state enabling legislation.

Supreme Court granted the City’s motion to dismiss the first cause of action challenging the facial constitutionality of the law. The court determined that the plain language of the state statute authorized the City’s tax.

Plaintiffs appealed, and the Appellate Division reversed. According to the Appellate Division, the enabling legislation did not “clearly and unambiguously provide the City with broad taxation powers” to tax the plaintiffs’ fees (*Expedia*, 89 AD3d at 641). Construing the enabling statute narrowly, the Appellate Division concluded that taxing remarketers’ fees was beyond its scope, and held that the City’s tax was unconstitutional (*id.*).

The City sought leave to appeal to this Court, which we denied because an appeal lay as of right under CPLR 5601 (b) (1) (20 NY3d 904 [2012]). While the case was pending before the Appellate Division, the state legislature’s 2010 budget law explicitly authorized the City’s tax on hotel remarketers (L 2010, ch 57, part AA, §§ 6-11). Thus, the current appeal, like the case before the Appellate Division, concerns only the City’s power to tax during the period between the 2009 enactment of Local Law 43 and the 2010 budget legislation.

On appeal, the City argues that the original enabling legislation provided ample authority for taxing the room remarketers. According to the City, the statute granted the full scope of the State’s tax power for the purposes of taxing any hotel “rent or charge.” The City claims that remarketers’ booking fees, defined in Local Law 43 as a “condition of occupancy,” fall squarely within this authority. Moreover, the City argues that the enabling act authorizes it to collect the tax from the plaintiffs. The City maintains that the plaintiffs are “person[s] entitled to be paid the rent or charge for the hotel room,” and that the statute accordingly allows the City to tax them.

The City also argues that the enabling statute grants the City the authority to fill gaps in the statutory language. This authority allows the City to define novel terms such as “remarketer,” “net rent,” and “additional rent.”

Plaintiffs counter that the City lacks the statutory authority to tax their fees and that Local Law 43 is thus unconstitutional. They argue that Local Law 43 attempted to tax a service fee

under the guise of a tax on hotel rent, and the enabling statute does not support such a broad tax. They contend that the State's definition of "rent" for the purposes of the sales tax constrains the City's authority to enact a hotel occupancy tax and prohibits a tax on third-party fees.

Further, plaintiffs argue that the City can only collect the occupancy tax from a hotel operator, not from third parties. According to plaintiffs, decades of taxation practice have established that only hotel operators must pay the tax, and the City cannot now change this practice without the state legislature's approval.

Finally, plaintiffs argue that legislative history supports their case. In 2007, the state legislature rejected a bill that would have authorized the taxation of hotel booking fees. In 2010, after the plaintiffs brought this declaratory judgment action, the legislature passed such an act. According to the plaintiffs, this sequence of events establishes that the legislature did not believe the City had authorization to tax those fees under the original enabling legislation.

II.

The plaintiffs' facial constitutional challenge to Local Law 43 is without merit. The plain language of the 1970 enabling statute authorizes the City to impose "a tax . . . such as the legislature has or would have the power and authority to impose on persons occupying hotel rooms in [the] city" (CLS Uncons Laws of NY, ch 288-C, § 1 [1]). The City properly exercised this broad authority when it enacted Local Law 43.

In New York, local governments lack an independent power to tax. The State Constitution vests the taxing power in the state legislature and authorizes the legislature to delegate that power to local governments (NY Const, art XVI, § 1; *City of New York v State of New York*, 94 NY2d 577, 591 [2000]; *Castle Oil Corp. v City of New York*, 89 NY2d 334, 338-339 [1996]; *Sonmax, Inc. v City of New York*, 43 NY2d 253, 257 [1977]; *County Sec. v Seacord*, 278 NY 34, 37 [1938]). The State Constitution places fundamental limitations on such delegations. The legislature must describe with specificity the taxes authorized by any enabling statute. (NY Const, art XVI, § 1; *Castle Oil Corp.*, 89 NY2d at 339). In turn, local governments can only levy and collect taxes within the expressed limitations of specific enabling legislation (NY Const, art IX, § 2 [c] [8]; *Matter of United States Steel Corp. v Gerosa*, 7 NY2d 454, 459 [1960]).

As a general rule, tax statutes should be strictly construed and limited to their terms, which should not be extended by implication (*Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.*, 83 NY2d 240, 244 [1994]; *Matter of American Cyanamid & Chem. Corp. v Joseph*, 308 NY 259, 263 [1955]; *Dun & Bradstreet, Inc. v City of New York*, 276 NY 198, 204 [1937]; McKinney's Cons Laws of NY, Book 1, Statutes § 313 [b]). Any ambiguity in a tax law should be resolved in favor of the taxpayer and against the taxing authority (*Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657, 661 [1993]).

Here, the legislature granted the City broad authority to enact an occupancy tax, and the City properly exercised that authority. The enabling statute extended to the City a taxing power coextensive with that of the State (CLS Uncons Laws of NY, ch 288-C, § 1 [1]; *cf. People v Cook*, 34 NY2d 100, 111-112 [1974]). Moreover, the statute authorized a broad range of taxation. Under the statute, the City may tax a “rent or charge,” and it may collect the tax from a hotel “owner or . . . person entitled to be paid the rent or charge” (CLS Uncons Laws of NY, ch 288-C, § 1 [3] [emphasis added]). Nonetheless, the legislature set constitutionally appropriate limitations on the enabling grant: the City may *only* tax the “rent or charge” paid for hotel occupancy (*id.*). Although not defined in the enabling act, hotel “rent” generally means “[t]he consideration received for occupancy” (Tax Law § 1101 [c] [6]), and, following *noscitur a sociis*, “charge” must also refer to a fee paid for occupancy. Under the enabling grant, the City enacted a tax on third-party fees that are made “a condition of occupancy” (Local Law No. 43 [2009] of City of NY § 1). In other words, the City enacted a tax on a hotel rent or charge.²

Plaintiffs’ argument that Local Law 43 improperly taxes service fees and not rent is without merit. By its terms, Local Law 43 applies only to fees required for occupancy. The City concedes that it cannot use Local Law 43 to tax fees or costs for goods or services that are separate and independent from occupancy or

2. The dissent mistakes Local Law 43 for a tax on the online companies’ service fees, which, according to the dissent, are not a consideration for occupancy of a hotel room. Local Law 43 imposes a tax on monies paid as a requirement for occupancy, whether those funds are characterized as “rent” or as a “charge” (*see* CLS Uncons Laws of NY, ch 288-C, § 1 [3]). Indeed, shortly after the City passed Local Law 43, the State passed legislation taxing the very same charge (L 2010, ch 57, part AA, §§ 6-11).

physically external to the hotel room.³ However, the City may tax any service fee that is a “condition of occupancy.” To the extent that the plaintiffs’ fee is not a precondition for room occupancy, it would not fall under the taxing authority of Local Law 43. However, where the plaintiffs’ charge is, indeed, “a condition of occupancy,” it falls squarely within the category of payments subject to taxation as a “rent or charge.” Furthermore, insofar as plaintiffs are “entitled to be paid the rent or charge for the hotel room,” the City may collect the tax directly from plaintiffs.

Online travel companies like the plaintiffs have successfully reshaped the way people book travel. Now, a customer can conveniently and efficiently search the plaintiffs’ websites for a hotel room and reserve it with the click of a button. While it may no longer seem novel to reserve a hotel room online, this innovation revamped the industry, and the industry players have reaped considerable profits. However, this innovation has not changed the main purpose of a hotel reservation process: selecting and paying for a room for future occupancy. Local Law 43 adheres to its enabling purpose, the taxation of hotel occupancy rent and charges, by taxing everything a hotel occupant actually pays for occupancy when booking online.

Contrary to plaintiffs’ argument, the 2010 state law does not provide proof that the City lacked authority to enact Local Law 43. The fact that the State later endorsed the City’s tax does not affect our analysis. As long as the City had authority under the original enabling act to pass Local Law 43, the fact that the State later authorized the City to tax online service fees is irrelevant. The City either had or did not have the authority to tax hotel remarketers. We decide today that the City had the authority under the plain language of the 1970 enabling statute to tax hotel occupancy fees.

Local Law 43 is not unconstitutional because the state legislature granted the City broad authority to impose a tax on hotel occupants, and Local Law 43 taxes only payments for the occupancy of a hotel room. Accordingly, the order of the Appellate Division should be reversed with costs, and the order of the Supreme Court reinstated.

3. For example, the City may tax the fee paid for using a safe located within the hotel room but not the fee paid for using a safe located in the hotel’s lobby, unless the cost of using the lobby safe is included in the rent paid for room occupancy (*see* NY City Dept of Fin Mem 08-1).

PIGOTT, J. (dissenting in part). Local Law No. 43 (2009) of City of New York runs afoul of the enabling legislation (*see* CLS Uncons Laws of NY, ch 288-C, § 1, as added by L 1970, ch 161, § 1, as amended) to the extent that it imposes a tax on the fees earned by room remarketers, like plaintiffs, for assisting their customers in finding, and facilitating the rental of, a hotel room, as opposed to taxation on the room itself. Therefore, I respectfully dissent.

The enabling legislation provides, as relevant here, that

“[n]otwithstanding any other provision of law to the contrary, any city having a population of one million or more is hereby authorized and empowered to adopt and amend local laws imposing in any such city a tax in addition to any tax authorized and imposed pursuant to [Tax Law article 29] such as the legislature has or would have the power and authority to impose on persons occupying hotel rooms in such city” (CLS Uncons Laws of NY, ch 288-C, § 1 [1]).

The enabling statute delineates a formula for the calculation of the tax based upon the price of the room (*id.* § 1 [1] [a], [b]), and then goes a step farther, stating that, “[i]n addition to the tax imposed at the rates authorized in either [§ 1 (1) (a) and (b)] . . . , any local law imposing such tax may impose an additional tax *on persons occupying hotel rooms* in such city as provided for in such subdivision one at a rate up to six percent of the *rent or charge per day for each such room*” (*id.* § 1 [1-a] [emphasis supplied]).

The local law plaintiffs challenge created a new class of individuals, i.e., “room remarketers,” from whom a tax could be collected. A “room remarketer” is defined as “[a] person who reserves, arranges for, conveys, or furnishes occupancy . . . to an occupant for rent in an amount determined by such room remarketer . . . whether pursuant to a written or other agreement” (Local Law No. 43 § 2, codified at Administrative Code of City of NY § 11-2501 [12], as amended).

Plaintiffs, who consist of online travel companies, fall squarely within the definition of “room remarketers.” They challenge Local Law 43 on two grounds, namely, that it improperly requires the taxation of the fees that they earn while acting as a third-party intermediary between the hotel operator and the room occupant, and that it impermissibly requires them to collect and remit the taxes imposed on the rental of the room. In my view, only plaintiffs’ first argument has merit.

Local Law 43 must be viewed through the prism of the enabling legislation because the City may not impose a tax outside the expressed limitations of the enabling statute (*see Castle Oil Corp. v City of New York*, 89 NY2d 334, 339 [1996]). As relevant here, the local law expanded the definition of “rent”—which previously had been defined as including, among other things, “[t]he consideration received for occupancy valued in money, whether received in money or otherwise” (Administrative Code of City of NY § 11-2501 [7])—to also include “any service and/or booking fees that are a *condition of occupancy*” (Local Law No. 43 § 1 [emphasis supplied]). It also parsed the definition of rent into two subsections, “net rent” and “additional rent,” the former being defined as “rent received by an operator from a room remarketer,” and the latter defined as “[t]he excess of the rent received from an occupant by a room remarketer over the net rent” (Local Law No. 43 § 2).

Plaintiffs receive fees for their services in facilitating online hotel room rentals. The City claims that the enabling legislation permits it to tax these fees, the so-called “additional rent.” I disagree. Affording the statute a narrow construction, as we must when examining legislation that imposes a tax (*see Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657, 661 [1993]), it is my view that the City exceeded its authority by taxing the fees plaintiffs earned in facilitating hotel room rentals.

The majority relies on black letter law that tax statutes are to be strictly construed, and “should not be extended by implication” (majority op at 127), but then disregards these general principles and concludes that the enabling legislation granted the City “broad authority” to tax plaintiffs’ fees (majority op at 127). However, the enabling statute permits the City to impose taxes only “on persons occupying hotel rooms in [the] city,” and “at a rate up to six percent of the rent or charge per day *for each such room*” (emphasis supplied), and, therefore, the City does not possess the additional authority to tax the fees earned by online travel companies that facilitate the transaction itself.* Nor does the City have the excess authority to “tax any service

* Notably, the legislature understood that the enabling legislation did not require travel companies to collect sales tax on their charges to customers, and thus proposed legislation in 2007, two years before Local Law 43 was passed, to “require travel companies that rent hotel rooms online or by telephone to collect the sales tax on the markups and service fees charged to customers” (2007-2008 Executive Budget Briefing Book at 15,

(n. cont’d)

fee that is a ‘condition of occupancy’ ” (majority op at 128), since the enabling legislation is directed at “persons occupying hotel rooms” and the tax is based on “the rent or charge . . . for each such room.” The payment of the fee does not constitute consideration “for each such room,” but, rather constitutes a consideration between the operator and the third-party intermediaries like plaintiffs who assist the hotel operator in bookings. Therefore, in my view, Local Law 43 plainly exceeded the scope of the enabling statute.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge RIVERA; Judge PIGOTT dissents in part in an opinion in which Judge ABDUS-SALAAM concurs.

Order reversed, with costs, and the order of Supreme Court, New York County, reinstated.

<http://www.budget.ny.gov/pubs/archive/fy0708archive/fy0708littlebook/BriefingBook.pdf> at 19 [in support of 2007 NY Senate-Assembly Bill S2110, A4310)]. That legislation eventually passed in 2010, and thus the Local Law enacted in 2009 plainly exceeded the enabling statute at that time.

[2 NE3d 233, 979 NYS2d 269]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. JOHN F. RYAN,
on Behalf of RICHARD SHAVER, Respondent, v KEVIN
CHEVERKO, Commissioner of Westchester County Department
of Correction, et al., Appellants.

Argued October 9, 2013; decided November 21, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 30, 2013. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Westchester County (Robert A. Neary, J.), which had dismissed a proceeding seeking a writ of habeas corpus, (2) sustained the writ, and (3) directed the immediate release of the petitioner.

People ex rel. Ryan v Cheverko, 102 AD3d 990, affirmed.

HEADNOTE

Prisons and Prisoners — Calculation of Sentence — Limitation on Aggregate Term — Deductions for Jail Time and Good Time Credits

When Penal Law § 70.30 (2) (b) limits consecutive definite sentences to an aggregate term of two years' imprisonment, jail time credit and good time credit should be deducted from that two-year aggregate term rather than the aggregate term imposed by the sentencing court. Section 70.30 (2) (b) places a two-year limit on the term of consecutive definite sentences served at a single institution by a person who has committed no offense while under the sentences. The two-year limit was intended as an "aggregate term" that effectively replaces a court-imposed aggregate term exceeding two years. Further, Penal Law § 70.30 (3) (b) and (4) (b) provide that, where a prisoner is serving consecutive definite sentences, jail time and good time credit must be applied against the prisoner's aggregate term of imprisonment, although good time credit may not exceed one-third of that aggregate term (*see* Correction Law § 804 [1]). Considering those statutory directives together, it follows that jail time and good time credit must be applied against the two-year aggregate term rather than the aggregate term imposed by the sentencing court. Correctional authorities should calculate the time to be served under the sentences by reducing the two-year aggregate term by the available jail time credit and any good time credit that does not exceed 243 days (or one-third of the two-year aggregate term).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 835; AM JUR 2d, Penal and
Correctional Institutions §§ 222–224, 227.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§ 145:1519; CARMODY-WAIT 2d, Sentencing Procedures
§ 203:6.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.3.

McKINNEY'S, Correction Law § 804 (1); Penal Law §§ 70.30
(2) (b); (3) (b); (4) (b).

NY JUR 2d, Criminal Law: Procedure §§ 3129, 3140, 3148,
3162; NY JUR 2d, Criminal Law: Substantive Principles
and Offenses §§ 145–147, 150.

ANNOTATION REFERENCE

See ALR Index under Sentence and Punishment.

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POINTS OF COUNSEL

Robert F. Meehan, County Attorney, White Plains (Linda M. Trentacoste and James Castro-Blanco of counsel), for appellants. I. The Second Department improperly interpreted and incorrectly applied Penal Law § 70.30. (*Carney v Philipponne*, 1 NY3d 333; *People v Ditta*, 52 NY2d 657; *People v Sansanese*, 17 NY2d 302; *People v Hedgeman*, 70 NY2d 533; *People v Mills*, 11 NY3d 527; *Matter of Serfaty v Jablonsky*, 236 AD2d 413.) II. The Second Department abused its discretion by including language in its decision and order stating that appellants “illegally detained” Richard Shaver. (*Middleton v State of New York*, 54 AD2d 450; *Broughton v State of New York*, 37 NY2d 451.)

John F. Ryan, Chief Attorney, Legal Aid Society of Westchester County, White Plains (Anne Bianchi of counsel), for respondent. I. The legislative history and the rules of statutory construction make clear that the two-year period in Penal Law § 70.30 (2) (b) is the effective aggregate from which the jail time credit and good time credit should be subtracted. (*People v Mills*, 11 NY3d 527; *Matter of Roballo v Smith*, 99 AD2d 5, 63 NY2d 485; *Matter of Hawkins v Coughlin*, 72 NY2d 158; *People ex rel. Fancher v Wasser*, 244 AD2d 79; *People v Pugh*, 51 AD2d 1047; *People v Santi*, 3 NY3d 234.) II. The Appellate Division correctly found that Richard Shaver was illegally detained since the Department of Correction failed to follow controlling precedent and

held him in prison beyond his sentence. (*Matter of Serfaty v Jablonsky*, 236 AD2d 413.)

Alfred O'Connor, Albany, for New York State Defenders Association and another, amici curiae. The Appellate Division correctly held the two-year cap for consecutive definite sentences under Penal Law § 70.30 (2) (b) is an aggregate term of imprisonment from which jail time and good time credits are properly deducted. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Finley*, 10 NY3d 647; *People v Chiddick*, 8 NY3d 445; *People v Garson*, 6 NY3d 604; *People v Owusu*, 93 NY2d 398; *People v Feerick*, 93 NY2d 433; *People v Hedgesman*, 70 NY2d 533; *Stapf v United States*, 367 F2d 326; *Matter of Guido v Goord*, 1 NY3d 345.)

Alexander M. Wilson, Albany, for New York State Sheriff's Association, amicus curiae. The Appellate Division incorrectly ruled that respondent's jail time and good time credit should be applied to the statutory limit of his incarceration as opposed to the aggregate term to which he was sentenced and, as such, respondent's continued incarceration was legal and appropriate. (*Matter of Serfaty v Jablonsky*, 236 AD2d 413; *People v Teti*, 41 AD2d 841; *Ellsworth v City of Gloversville*, 269 AD2d 654; *Holmberg v County of Albany*, 291 AD2d 610; *Lavigne v Allen*, 36 AD2d 981; *Douglas v State of New York*, 269 App Div 521, 296 NY 530.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

We hold that, when Penal Law § 70.30 (2) (b) limits consecutive definite sentences to an aggregate term of two years' imprisonment, jail time credit and good time credit should be deducted from that two-year aggregate term rather than the aggregate term imposed by the sentencing court.

On October 24, 2011, petitioner Richard Shaver was convicted of two counts of petit larceny and one count of criminal possession of stolen property in the fifth degree. He was sentenced to a one-year definite term of imprisonment for each of his petit larceny convictions, imposed to run concurrently, plus a third one-year definite term of imprisonment for his stolen property conviction, imposed to run consecutively to his other sentences. On June 12, 2012, petitioner was convicted of one count of escape in the second degree and one count of grand larceny in the fourth degree for incidents that occurred prior to his October 2011 convictions. He was sentenced to a one-year term

of imprisonment for each conviction, imposed to run consecutively with each other and with the prior sentences. In all, petitioner was sentenced to five definite one-year terms of imprisonment, four of which were imposed to run consecutively. All sentences were to be served at the Westchester County Jail.

To calculate petitioner's consecutive definite sentences, respondents Commissioner of the Westchester County Department of Correction and the Warden of Westchester County Jail employed Penal Law § 70.30 (2) (b), which states in pertinent part:

“If the sentences run consecutively and are to be served in a single institution, the terms are added to arrive at an aggregate term and are satisfied by discharge of such aggregate term, or by service of two years imprisonment plus any term imposed for an offense committed while the person is under the sentences, whichever is less.”

Pursuant to this statute, respondents added petitioner's definite sentences to arrive at an aggregate term of four years, or 1,460 days. Respondents awarded petitioner 106 days of jail time credit (for time served prior to the commencement of his October 2011 sentences) as well as 486 days of good time credit. They then applied these credits against petitioner's court-imposed aggregate term of imprisonment, reducing it from 1,460 days to 868 days. Because this 868-day term was longer than “two years imprisonment” (Penal Law § 70.30 [2] [b]), respondents adjusted petitioner's discharge date to October 24, 2013—exactly two years from the date his sentences commenced.

Petitioner filed a CPLR article 78 petition seeking to compel respondents to recalculate his sentence by applying his jail time and good time credits against the two-year term imposed under Penal Law § 70.30 (2) (b). Supreme Court denied the petition and dismissed the proceeding, stating that petitioner's proposed recalculation was not supported by the “plain language” of section 70.30 (2) (b) or any other authority.

The Appellate Division, among other things, reversed the Supreme Court judgment and ordered petitioner's immediate release from Westchester County Jail. Relying on its decision in *Matter of Serfaty v Jablonsky* (236 AD2d 413, 414 [2d Dept 1997]), the court held that, “[w]hen the two-year limit on the aggregate term of consecutive definite sentences provided by [Penal Law § 70.30 (2) (b)] applies, a person's release date must

be calculated *based on* a two-year aggregate term of incarceration,” and any jail time or good time credits must therefore “be applied against this two-year aggregate term” (102 AD3d 990, 991 [2d Dept 2013] [internal quotation marks omitted]). We agree and we now affirm.

Penal Law § 70.30 (2) governs the calculation of multiple definite sentences. The statute “does not affect the authority of the courts to impose multiple sentences or govern the lengths of individual sentences” but instead it provides “direction to the correctional authorities as to how to compute the time which must be served under the sentences” (*People v Teti*, 41 AD2d 841, 842 [2d Dept 1973] [citation omitted]; *see also People v Moore*, 61 NY2d 575, 578 [1984]; William C. Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 70.30 at 245).

Section 70.30 (2) (b) places a two-year limit on the term of consecutive definite sentences served at a single institution by a person who has committed no offense while under the sentences.¹ The Temporary Commission on Revision of the Penal Law and Criminal Code, which drafted identical language for a predecessor statute, indicated that the two-year limit was intended as an “aggregate term” that effectively replaces a court-imposed aggregate term exceeding two years (*see* Commission Staff Notes on the Proposed New York Penal Law § 30.30 [renum § 70.30], reprinted in 1982-1983 Gilbert Criminal Law and Procedure at 2A-30 [stating that “(p)aragraph (b) . . . provides a limitation upon the aggregate term of consecutive definite sentences” and that “(t)he proposed law limits the aggregate term (to) two years”]). Thus, the statute does not require that a prisoner serve exactly “two years imprisonment” whenever the two-year limit applies (Penal Law § 70.30 [2] [b]), as respondents contend. Rather, it directs correctional authorities to calculate the sentences “based on a two-year aggregate term of incarceration” (*Matter of Serfaty*, 236 AD2d at 415; *see also Teti*, 41 AD2d at 841; *People v Matthews*, 73 Misc 2d 643, 644-645 [Crim Ct, NY County 1973]).

Having determined that Penal Law § 70.30 (2) (b) imposes a two-year aggregate term of imprisonment, we turn to whether this two-year aggregate term may be reduced by jail time and

1. Penal Law § 70.30 (2) (d) similarly limits consecutive definite sentences served in multiple institutions to an “aggregate” term that “shall not exceed two years.”

good time credit a prisoner has earned while incarcerated.² Penal Law § 70.30 (3) (b) and (4) (b) provide that, where a prisoner is serving consecutive definite sentences, jail time and good time credit must be applied against the prisoner's *aggregate term* of imprisonment (*see* Penal Law § 70.30 [3] [b]; [4] [b]), although good time credit may not exceed one-third of that aggregate term (*see id.* at [4] [b]; Correction Law § 804 [1]).

Considering these directives together with section 70.30 (2) (b), it follows that, in cases where the two-year limit on consecutive definite sentences applies, jail time and good time credit must be applied against the two-year aggregate term rather than the aggregate term imposed by the sentencing court. Under such circumstances, correctional authorities should calculate the time to be served under the sentences by reducing the two-year aggregate term by the available jail time credit and any good time credit that does not exceed 243 days (or one-third of the two-year aggregate term) (*see* Penal Law § 70.30 [3] [b]; [4] [b]). Applying this rule here, respondents should have subtracted petitioner's 106 days of jail time credit and 243 days of usable good time credit from the two-year aggregate term to arrive at a total prison term of 381 days.

Respondents argue that prisoners will receive a windfall if their consecutive definite sentences, already capped at two years, are further reduced by the application of jail time and good time credit. Respondents claim that the legislature did not desire this result. Yet, the legislative history of Penal Law § 70.30 (2) (b) indicates that the statute was intended to impose a two-year aggregate term (*see* Commission Staff Notes, 1982-1983 Gilbert Criminal Law and Procedure at 2A-30), which may be diminished to reflect a prisoner's jail time and good time credit (*see* Penal Law § 70.30 [3] [b]; [4] [b]). This rule aligns with the computation rules for consecutive indeterminate and determinate sentences, which impose statutory caps on a prisoner's aggregate maximum term (*see* Penal Law § 70.30 [1] [b], [c], [d], [e], [f]) and require that jail time and good time credit be applied against that aggregate maximum term (*see id.*

2. Jail time credit accounts for the time the prisoner was incarcerated prior to commencement of the sentence or sentences by "diminish[ing]" the remaining time to be served under that sentence (Penal Law § 70.30 [3]), while good time credit reflects any "discretionary reductions" in the term awarded for a prisoner's "good behavior and efficient and willing performance of duties" while incarcerated (Correction Law § 804 [1]).

at [3] [b]; [4] [b]; Correction Law § 803 [2] [b], [d], [f]). Nothing in Penal Law § 70.30 (2) (b) indicates that the two-year aggregate term should be exempt from these deductions.

Respondents also fail to recognize that their method of calculating sentences under section 70.30 (2) (b) creates unnecessary disparities among prisoners. Respondents claim that jail time and good time credit should be withheld whenever the statute's two-year aggregate term applies. Such a rule would unfairly disadvantage pretrial detainees by causing them to serve longer terms of imprisonment than otherwise identically-situated inmates who were released pretrial. While the detainees must serve presentence jail time *in addition to* the two-year aggregate term of imprisonment, persons who are able to make bail or otherwise avoid pretrial detention would serve only the two-year term and nothing more. We decline to interpret Penal Law § 70.30 (2) (b) as creating this disparity when the statute may be applied evenhandedly by deducting jail time credit from the two-year aggregate term.

With respect to good time credit, Correction Law § 804 (1) provides that “[*e*]very person confined in an institution serving a definite sentence of imprisonment may receive time allowances as discretionary reductions of the term of his sentence” (emphasis added). Although not every prisoner *will* earn good time credit—which, unlike jail time credit, is awarded on a discretionary basis—every prisoner who *earns* the credit is entitled to benefit from it (*see id.*), even a prisoner serving a two-year aggregate term under Penal Law § 70.30 (2) (b). The legislature already limited good time credit to one-third of the aggregate term (*see id.*; Penal Law § 70.30 [4] [b]), and we need not overextend that limitation by completely denying good time credit to a certain category of prisoners, as respondents invite us to do.

Finally, good time credit offers the prospect of a shorter sentence and, thus, serves as an incentive for prisoners not just to behave according to the rules of the correctional facility, but to excel in its rehabilitative programs and meaningfully prepare to reenter society (*see e.g.* Correction Law § 804 [1]). We reject respondents’ erroneous interpretation of Penal Law § 70.30 (2) (b) because it would remove this incentive.

Accordingly, the order of the Appellate Division should be affirmed without costs.³

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and RIVERA concur.

Order affirmed, without costs.

3. In so holding, we do not imply that respondents may be held civilly liable for detaining petitioner beyond the expiration of his sentence. A false imprisonment claim raises a number of issues that are not before us.

[1 NE3d 797, 978 NYS2d 723]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AKIVA
DANIEL ABRAHAM, Appellant.

Argued October 15, 2013; decided November 26, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 26, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Dan Lamont, J.), which had convicted defendant, upon a jury verdict, of insurance fraud in the second degree.

People v Abraham, 94 AD3d 1332, affirmed.

HEADNOTES

Crimes — Verdict — Inconsistent Verdict — Factual Inconsistency — Legal Sufficiency

1. Factual inconsistency in a jury verdict acquitting a defendant of one count but convicting him or her of another does not render the record evidence legally insufficient to support the conviction. A verdict is factually inconsistent where, in light of the evidence presented, an acquittal on one count is factually irreconcilable with a conviction on another count. Factual inconsistency, which can be attributed to mistake, confusion, compromise or mercy, does not provide a reviewing court with the power to overturn a verdict. In contrast, a conviction not supported by legally sufficient evidence should be overturned. A conviction is legally insufficient where, viewing the record in the light most favorable to the prosecution, there is no valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt. While a reviewing court may consider a jury's acquittal on one count in reviewing the record to determine if a factually inconsistent conviction on another count is supported by legally sufficient evidence, an acquittal is not a preclusive finding of any fact, in the same trial, that could have underlain the jury's determination.

Crimes — Insurance Fraud — Concealing Cause of Fire — Legal Sufficiency

2. In a criminal prosecution arising from a fire at premises that defendant's company had acquired weeks before the incident and a subsequent insurance claim with respect to the property, the evidence was legally sufficient to support defendant's conviction for second-degree insurance fraud, notwithstanding that the jury acquitted him of arson. Factual inconsistency in a jury verdict acquitting a defendant of one count but convicting him or her of another does not render the record evidence legally insufficient to support the conviction. Rather, the question is whether, viewing the evidence in the light most favorable to the prosecution, there is sufficient evidence in the record that defendant committed insurance fraud in the second degree by causing a written

statement concealing information about the cause of the fire to be filed in order to collect wrongfully on the policy (*see* Penal Law §§ 176.25, 176.05 [1] [a], [b])). Here, the evidence established that defendant's company was unable to make payroll at least twice, and that it acquired the premises at almost no cost and then insured it for \$475,000. While defendant claimed he planned to improve the property with mortgage funding from another company he controlled, the other company never transferred any money. Moreover, the fire investigators attributed the cause of the fire to use of accelerants of the kind used to light torches. About 10 days after purchasing the property, defendant purchased four gallons of torch fuel and two boxes of Duraflame logs. Two weeks after the fire, four empty torch fuel bottles and two empty log boxes were found in defendant's shed. Defendant reported the fire to his insurer, but did not say that he had burned down the building, causing a property loss notice concealing material information to be filed in support of his claim. Viewed together, the evidence was sufficient for a rational jury to conclude beyond a reasonable doubt that, in order to solve his financial problems, defendant lied about the cause of the fire to his insurance company in the property loss notice in an effort to collect wrongfully on the policy.

Crimes — Instructions — Instruction That Jury Stop Deliberating upon Acquittal of One of Multiple Charged Crimes

3. In the prosecution of defendant, who ultimately was acquitted of arson in the third degree, but convicted of insurance fraud in the second degree, arising from a fire at premises that defendant's company had acquired weeks before the incident and a subsequent insurance claim with respect to the property, it was not error for the trial court to deny defense counsel's request that the court include a line in the verdict form instructing the jury to stop deliberating if it found defendant not guilty of arson.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 201, 618; AM JUR 2d, Arson and Related Offenses §§ 40, 54; AM JUR 2d, Criminal Law § 354; AM JUR 2d, Insurance §§ 1921, 2060, 2061, 2068; AM JUR 2d, Trial §§ 1557, 1559.

CARMODY-WAIT 2d, Verdict and Postverdict Proceedings §§ 202:11, 202:12; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:172.

COUCH ON INSURANCE (3d ed) § 197.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24:10, 24:11.

McKINNEY'S, Penal Law §§ 176.05 (1); 176.25.

NY JUR 2d, Criminal Law: Procedure §§ 2841, 2848, 3637; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1203, 1204, 1206, 1208, 1209.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Fraud and Deceit; Insurance; Verdicts.

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POINTS OF COUNSEL

Jonathan S. Fishbein, Delmar, for appellant. I. Even when viewed in a light most favorable to the prosecution, the record evidence was insufficient to establish appellant's guilt of second-degree insurance fraud as a matter of law. (*People v Bleakley*, 69 NY2d 490; *People v Fitzgerald*, 156 NY 253; *People v Lewis*, 275 NY 33; *People v Marin*, 65 NY2d 741; *People v Sanchez*, 61 NY2d 1022; *People v Way*, 59 NY2d 361; *People v Bearden*, 290 NY 478; *People v Barnes*, 50 NY2d 375; *People v Cushner*, 46 AD3d 1121; *People v Guarino*, 56 AD2d 638.) II. The trial court erred by submitting the insurance fraud charge to the jury or, in the alternative, by failing to instruct the jury to stop deliberating after it acquitted appellant of arson. (*People v Chase*, 299 AD2d 597; *People v Wallender*, 27 AD3d 955; *People v Yarrell*, 75 NY2d 828; *People v Clayton*, 17 AD3d 706; *People v Whipple*, 276 AD2d 827; *People v Horne*, 97 NY2d 404; *People v Mendoza*, 300 AD2d 824, 99 NY2d 617.) III. The prosecution violated appellant's due process rights by arguing outside the four corners of the evidence and by making false statements to the trial court, the Appellate Division, and this Court. (*People v Ashwal*, 39 NY2d 105; *People v Fisher*, 18 NY3d 964; *People v Chin*, 138 AD2d 389; *People v Downing*, 112 AD2d 24; *People v Trinidad*, 59 NY2d 820; *People v Lozada*, 104 AD2d 663; *People v Cobb*, 104 AD2d 656; *People v Libbett*, 101 AD2d 705; *Napue v Illinois*, 360 US 264; *People v Harris*, 98 NY2d 452.)

P. David Soares, District Attorney, Albany (*Christopher D. Horn* of counsel), for respondent. I. Defendant's conviction for insurance fraud in the second degree was supported by legally sufficient evidence. (*People v Williams*, 84 NY2d 925; *People v Danielson*, 9 NY3d 342; *People v Wong*, 81 NY2d 600; *People v Trimm*, 252 AD2d 673; *People v Khan*, 18 NY3d 535; *People v Boothe*, 16 NY3d 195; *People v Aksoy*, 84 NY2d 912; *People v Chase*, 299 AD2d 597, 99 NY2d 613; *People v Cabey*, 85 NY2d 417; *People v Roberts*, 63 AD3d 1294.) II. The trial court properly submitted the insurance fraud charge to the jury and properly declined to amend the verdict sheet as defendant requested. (*People v Alfaro*, 108 AD2d 517; *People v Pagan*, 87 AD3d 1181; *People v Michael*, 210 AD2d 874; *People v Amar*, 134 AD2d 601.)

III. Prosecutorial misconduct did not deprive defendant of a fair trial. (*People v Tarantola*, 178 AD2d 768; *People v De Vito*, 21 AD3d 696; *People v Demming*, 116 AD2d 886; *Williams v Brooklyn El. R.R. Co.*, 126 NY 96; *People v Mull*, 167 NY 247; *People v Benham*, 160 NY 402; *People v Priori*, 164 NY 459; *People v Ashwal*, 39 NY2d 105.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue in this case is whether factual inconsistency in a jury verdict acquitting a defendant of one count but convicting him of another renders the record evidence legally insufficient to support the conviction. We hold that it does not.

On April 16, 2009, defendant Akiva Abraham’s limited liability company, 1st Call, LLC, acquired a property in Colonie on which stood an abandoned night club known as Saratoga Winners. The purchase price was only one dollar, apparently because the property was encumbered by a bank lien.

On the same day, Parel Road, LLC, originated a mortgage in the amount of \$475,000 to 1st Call for the purchase of the property. Parel Road never transferred any money to 1st Call. And at the time of the transaction, Parel Road had about \$25 in its checking account. Whether Parel Road owned other assets was not established at trial.

Also on the day of the purchase, defendant signed a property insurance contract with an insurance agent at Shank & Falvey, securing coverage in the amount of \$475,000. The policy became effective on April 20, 2009.

On April 30, 2009, two weeks after the purchase, Saratoga Winners burned to the ground. Once fire crews had extinguished the flames, fire investigators searched for the origin of the blaze. A trained dog identified the presence of accelerants both outside and inside the destroyed building. Investigators took samples at the locations the dog identified and sent them to the New York State Police Forensic Investigation Center. They tested positive for strong concentrations of medium petroleum distillate of the kind that is used to light lamps, such as “Klean Heat” or “Tiki” torch fuel. The presence of the accelerants combined with the lack of any fire hazards in the building caused investigators to rule out all possible causes for the fire except arson.

Defendant reported the loss to his insurance company and caused a property loss notice to be filed. He told the company that he did not know the cause of the fire.

Investigators interviewed defendant on two occasions after the fire. The interviews were recorded and played for the jury at trial. During the interviews, defendant gave elaborate explanations of the financial transactions accompanying his purchase of the property and how he intended to profit from flipping it. But it was revealed at trial that the company that held the mortgage, Parel Road, actually was his father's 401(k), which defendant controlled.

Investigators discovered that on April 27, 2009, three days before the fire, defendant had purchased four gallons of Tiki torch fuel (a medium petroleum distillate) and two nine-pack boxes of Duraflame logs at Home Depot. Police arrested defendant on May 15, 2009 and conducted a search of his car and home. Tests on one of the floor mats in defendant's car revealed an "abundance" of a medium petroleum distillate.* A search of a shed behind defendant's home revealed four empty one gallon bottles of Tiki torch fuel and two empty Duraflame boxes. Investigators discovered Tiki torches in the shed as well. Also at defendant's home were a kerosene canister and a gas can. The officers did not seize either container, or check whether they contained Tiki torch fuel.

Defendant was charged with arson in the third degree, insurance fraud in the second degree, and reckless endangerment in the first degree. His first trial ended in a hung jury.

At his second trial, it came out that on at least two occasions, 1st Call had been unable to meet its payroll obligations. After the fire, defendant told a 1st Call employee that the fire "could be big for us."

The prosecution's theory of the case was that defendant needed money, obtained a fake mortgage to make it appear as though he intended to improve the property, obtained insurance in the amount of that mortgage, burned down the building, and lied about the cause of the fire to the insurance company to collect on the insurance. During opening and closing, the prosecution repeatedly referred to the mortgage as "fake" and "bogus." At closing, the defense objected, arguing that the prosecution had not proved that the mortgage was fake and thus was making false statements to the jury. The court overruled the objection.

* The chemical characteristics of the petroleum distillate found on the mat in defendant's car were not consistent with Tiki torch fuel, but instead were consistent with charcoal lighter fluid.

Before the charge was read to the jury, defense counsel asked the court to include a line in the verdict form instructing the jury to stop deliberating if it found defendant not guilty of arson. Defense counsel maintained that the only theory of insurance fraud charged in the indictment was that defendant had burned down his building and lied to the insurance company about the cause of the fire. Counsel argued that the prosecution's remarks about the "fake" mortgage made it possible that the jury could find defendant guilty of insurance fraud for lying about the mortgage, not the cause of the fire. The trial judge refused, saying that he knew of no authority in the Criminal Procedure Law that would permit such cessation of deliberations.

The jury found defendant guilty of insurance fraud in the second degree, but acquitted him of arson in the third degree and reckless endangerment in the first degree.

The Appellate Division affirmed the judgment, holding that there was sufficient evidence to support a finding that defendant concealed the cause of the fire from the insurance company (*People v Abraham*, 94 AD3d 1332, 1333 [3d Dept 2012]). It held also that the prosecution's references to the "fake" mortgage were not made in an attempt to introduce a new theory of liability, but were part of the prosecution's narrative, and were a fair comment on the evidence (*id.* at 1333-1334). A Judge of this Court granted defendant leave to appeal (19 NY3d 1100 [2012]).

Defendant argues that his conviction should be vacated because: (1) the record evidence is insufficient to establish his guilt of insurance fraud in the second degree; (2) the trial court erred by not instructing the jury to stop deliberating after it acquitted defendant of arson; and (3) the prosecution committed misconduct in summation and its arguments on appeal. None of these arguments is persuasive.

A person is guilty of insurance fraud in the second degree when he "commits a fraudulent insurance act and thereby wrongfully takes, obtains or withholds, or attempts to wrongfully take, obtain or withhold property with a value in excess of fifty thousand dollars" (Penal Law § 176.25). As relevant here, "[a] fraudulent insurance act is committed by any person who, knowingly and with intent to defraud presents [or] causes to be presented . . . any written statement as part of, or in support of . . . a claim for payment or other benefit" containing "materially false information" or concealing "information concerning" a material fact (Penal Law § 176.05 [1] [a], [b]).

The prosecution's theory of the case, as charged in the indictment, was that defendant obtained insurance on the property, burned down Saratoga Winners, lied to the insurance company about the cause of the fire, caused to be filed a property loss notice containing misstatements or concealing information about the cause of the fire, and thus wrongfully attempted to take funds in excess of \$50,000.

Defendant argues that because the jury acquitted him of arson, the prosecution did not establish that he knew the cause of the fire or lied to the insurance company, and therefore the evidence is insufficient to support his conviction for insurance fraud. In other words, he claims that, in light of the prosecution's theory of the case, (1) the jury verdict is factually inconsistent, and therefore, (2) the evidence is legally insufficient to support his conviction.

A verdict is factually inconsistent where, in light of the evidence presented, an acquittal on one count is factually irreconcilable with a conviction on another count (*People v Muhammad*, 17 NY3d 532, 545 [2011]). Factual inconsistency—"which can be attributed to mistake, confusion, compromise or mercy—does not provide a reviewing court with the power to overturn a verdict" (*id.*; see *People v Tucker*, 55 NY2d 1, 7 [1981]; and see *People v Horne*, 97 NY2d 404, 413 [2002] ["(I)t is imprudent to speculate concerning the factual determinations that underlay the verdict because what might appear to be an irrational verdict may actually constitute a jury's permissible exercise of mercy or leniency"]). If a jury renders a factually inconsistent verdict, the trial court "can point out the apparent inconsistency to the jurors, issue further appropriate instructions and ask them to continue deliberations. But a failure to take such action would not be an abuse of discretion as a matter of law" (*Muhammad*, 17 NY3d at 545).

In contrast, a conviction not supported by legally sufficient evidence should be overturned. A conviction is legally insufficient where, viewing the record in the light most favorable to the prosecution, there is no "valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt" (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks omitted], quoting *People v Acosta*, 80 NY2d 665, 672 [1993]).

[1] Factual inconsistency and legal insufficiency are analytically distinct. One may inform the other—i.e., in some instances,

a reviewing court may consider a jury's acquittal on one count in reviewing the record to determine if a factually inconsistent conviction on another count is supported by legally sufficient evidence (see *People v Rayam*, 94 NY2d 557, 563 n [2000] [noting "propriety of consideration of . . . acquittals in some instances on legal issues such as the sufficiency of the evidence"]; see e.g. *People v Yarrell*, 75 NY2d 828, 829 [1990]). But it does not follow that such factual inconsistency in the verdict renders the record evidence legally insufficient to support the conviction. Put another way, an acquittal is not a preclusive finding of any fact, in the same trial, that could have underlain the jury's determination.

[2] Therefore, even assuming, as submitted by defendant, that the jury's verdict in this case presented a factual inconsistency, it does not affect the propriety of his conviction. But the question remains whether, viewing the evidence in the light most favorable to the prosecution, there is sufficient evidence in the record that defendant committed insurance fraud in the second degree by causing a written statement concealing information about the cause of the fire to be filed in order to collect wrongfully on the policy. We conclude that there is.

Defendant's company, 1st Call, had been unable to make payroll on at least two occasions. 1st Call acquired the Saratoga Winners property at almost no cost. It then insured the property for \$475,000. Defendant explained in his interviews with investigators that he intended to improve and flip the property with the funding from the mortgage from Parel Road. But Parel Road never transferred any money to 1st Call. About 10 days after purchasing the property, defendant bought four gallons of a medium petroleum distillate and 18 Duraflame logs. Days later, Saratoga Winners burned to the ground. Investigators found evidence of medium petroleum distillate both outside and inside the building. Two weeks after the fire, investigators found four empty gallon bottles of medium petroleum distillate at defendant's home. They also found empty Duraflame boxes, but none of the 18 Duraflame logs. Defendant reported the fire to his insurance company, but did not say that he had burned down the building, causing a property loss notice concealing material information to be filed in support of his claim.

Viewed together, this evidence is sufficient for a rational jury to conclude beyond a reasonable doubt that, in order to solve his financial problems, defendant lied about the cause of the fire to his insurance company in the property loss notice in an

effort to collect wrongfully on the policy, thereby committing insurance fraud in the second degree.

[3] Defendant next argues that the trial court should have instructed the jury to stop deliberating after it acquitted defendant of arson. Whether or not the court had the authority to give such an instruction, it was not error to refuse defendant's request (*see Muhammad*, 17 NY3d at 545).

Defendant's final argument is that his conviction should be overturned because of prosecutorial misconduct. He claims that the prosecution knowingly misrepresented facts, most notably relating to the validity of the mortgage, to the jury and repeated those misrepresentations on appeal. The prosecution's remarks, however, were permissible comments on the evidence presented at trial (*see People v Ashwal*, 39 NY2d 105, 109 [1976] [explaining that prosecution is afforded the "widest latitude" to comment on evidence]).

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting). I would reverse the order of the Appellate Division. Without conceding that the evidence was legally sufficient to establish that defendant was guilty of insurance fraud, I would hold that the trial court committed reversible error by denying defendant's request to instruct the jury to stop deliberating if it found him not guilty of arson.

As the majority shows, the prosecution's theory of the case was that defendant himself burned down the abandoned night club. No evidence was introduced suggesting that defendant had any accomplice, and the jury was not instructed on accessorial liability. To avoid the possibility of the factually inconsistent verdict that I believe obtained in this case (*see also* majority op at 147), the trial court should have instructed the jury to stop deliberating if it acquitted defendant of arson.

Although a factually inconsistent verdict does not provide an appellate court with a justification for overturning a conviction (*see People v Muhammad*, 17 NY3d 532, 545 [2011]), such verdicts should be prevented when possible by a trial court, because they harbor irrationality. Here, by permitting the jury "to compromise, make mistakes, be confused or . . . extend mercy" (*Muhammad*, 17 NY3d at 544) and render a factually illogical verdict, the trial court deprived defendant of a fair trial in which the jury had to decide whether the People had proved, beyond a reasonable doubt, that defendant committed the

crimes of which he was accused in the manner specified in the indictment. Instead, the jury was invited to reject the prosecution's theory of the case and still find defendant guilty. The majority's summary rejection of defendant's challenge to the jury charge (*see* majority op at 148, citing *Muhammad*, 17 NY3d at 545) fails to explain why the trial court's refusal to give the requested instruction did not amount to reversible error.

Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to reverse in an opinion.

Order affirmed.

[3 NE3d 128, 980 NYS2d 62]

In the Matter of COUNCIL OF THE CITY OF NEW YORK, Respondent, v DEPARTMENT OF HOMELESS SERVICES OF THE CITY OF NEW YORK et al., Appellants.

Argued October 8, 2013; decided November 26, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 14, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Judith J. Gische, J.; op 2012 NY Slip Op 30400[U] [2012]), which had, among other things, granted a motion declaring Procedure No. 12-400 of the New York City Department of Homeless Services, entitled “Single Adults Eligibility Procedure,” a nullity, and denied a motion to dismiss the proceeding.

Matter of Council of the City of N.Y. v Department of Homeless Servs. of the City of N.Y., 103 AD3d 464, affirmed.

HEADNOTES

Administrative Law — Rule Making — Failure to Comply with New York City Administrative Procedure Act — Procedure to Determine Eligibility for Temporary Housing Assistance — Mandatory Nature of Procedure

1. An eligibility procedure adopted by the New York City Department of Homeless Services (DHS), the entity charged with providing temporary housing assistance (THA) to homeless men and women in New York City, requiring applicants to meet a need standard and cooperate with intake workers in relation to investigations of eligibility for housing assistance was a “rule” triggering the notice and hearing provisions in the New York City Administrative Procedure Act (CAPA) prior to the procedure’s implementation. CAPA defines a “rule” as the whole or part of any statement or communication of general applicability that implements or applies law or policy, or prescribes the procedural requirements of an agency (NY City Charter § 1041 [5]). DHS’s nine-page eligibility procedure directed that intake workers follow a detailed, multi-step process when determining the eligibility of applicants for THA and required the use of uniform standards relating to the degree of cooperation demanded of an applicant, the circumstances constituting an adequate showing of need and the like. The policy was clearly intended for broad application, pertaining to all single adult applicants who seek THA; mandatory procedures and uniform standards of this type have generally been determined to be rules. The procedure stood in contrast to practices undertaken by an agency on an ad hoc basis or through the exercise of considerable discretion. While intake workers may exercise some measure of discretion in resolving certain issues relevant to eligibility, the procedure itself was mandatory as were many of its standards, whose concrete provisions substantially curtailed, if not eliminated, an intake worker’s discretion.

Administrative Law — Rule Making — Failure to Comply with New York City Administrative Procedure Act — Procedure to Determine Eligibility for Temporary Housing Assistance — Procedure Not Subject to Exception for Interpretive Statements

2. An eligibility procedure adopted by the New York City Department of Homeless Services, the entity charged with providing temporary housing assistance (THA) to homeless men and women in New York City, requiring applicants to meet a need standard and cooperate with intake workers in relation to investigations of eligibility for housing assistance was not exempt from the notice and hearing provisions in the New York City Administrative Procedure Act (CAPA) under that act’s exemption for any “form, instruction, or statement or communication of general policy, which in itself has no legal effect but is merely explanatory” (NY City Charter § 1041 [5] [b] [ii]). THA is a state benefit that is dispensed by local social services agencies and many of the provisions in the eligibility procedure are derived from state regulations and interpretive statements. However a municipal agency’s implementation of statutory and regulatory authority imposed not by a municipal executive or legislative body but by the State, is unlike the State Administrative Procedure Act’s “interpretive statements” exemption applicable to state agency practices or statements that merely implement, explain or interpret a standard or requirement already compelled by law from that act’s procedural requirements. CAPA recognizes that city agencies will sometimes be required to adopt “rules” (i.e., procedures or standards) to effectuate new federal or state statutory or regulatory requirements. Even if the eligibility procedure were largely duplicative of the pertinent state statutes and regulations, it would be exempt from only one aspect of the CAPA procedural mandate—the requirement of prior review by the City Law Department and Mayor. The notice and hearing requirements, which were undisputedly not met, remained applicable.

Administrative Law — Rule Making — Failure to Comply with New York City Administrative Procedure Act — Procedure to Determine Eligibility for Temporary Housing Assistance — Policy Considerations

3. An eligibility procedure adopted by the New York City Department of Homeless Services (DHS), the entity charged with providing temporary housing assistance (THA) to homeless men and women in New York City, requiring applicants to meet a need standard and cooperate with intake workers in relation to investigations of eligibility for housing assistance was not exempt from the notice and hearing provisions in the New York City Administrative Procedure Act (CAPA) notwithstanding DHS’s contention that the new standards were largely compelled by state law and therefore had no independent legal effect. The drafters of the New York City Charter apparently believed that certain of CAPA’s requirements should nonetheless remain applicable when a city agency is implementing a new state law. The notice and hearing process raises local awareness and provides an opportunity for stakeholders to be heard concerning whether the City agency’s proposed manner of implementation is the best approach to take in light of local concerns, especially when local agencies possess some measure of discretion when determining how best to implement state directives in relation to THA.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Administrative Law §§ 130–134, 136, 190, 192,

195, 199, 201, 567, 580; AM JUR 2d, Welfare Laws §§ 52, 54, 78.

NY JUR 2d, Administrative Law §§ 33, 36, 37, 41–50, 53–56, 337; NY JUR 2d, Public Housing and Urban Renewal §§ 52, 72; NY JUR 2d, Public Welfare and Old Age Assistance §§ 13, 170.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Homeless Persons; Rules and Regulations.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Ronald E. Sternberg, Leonard Koerner and Steven Goulden of counsel), for appellants. The courts below erred in concluding that the Eligibility Procedure, which vests significant discretion in decision makers and has no legal effect but is merely explanatory of existing state law, is a rule that must be issued pursuant to the New York City Administrative Procedure Act. (*Matter of Cordero v Corbisiero*, 80 NY2d 771; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of Homestead Funding Corp. v State of N.Y. Banking Dept.*, 95 AD3d 1410; *Matter of 439 E. 88 Owners Corp. v Tax Commn. of City of N.Y.*, 307 AD2d 203; *Matter of Dry Harbor Nursing Home & Health Related Facility v Axelrod*, 137 AD2d 962, 73 NY2d 701; *Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225; *Matter of Singh v Taxi & Limousine Commn. of City of N.Y.*, 282 AD2d 368; *Matter of Taylor v New York State Dept. of Correctional Servs.*, 248 AD2d 799; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854.)

Elizabeth R. Fine, General Counsel, New York City (Jeffrey P. Metzler of counsel), for respondent. I. The procedure is void because it is a rule that was not promulgated in accordance with the New York City Administrative Procedure Act. (*People v Cull*, 10 NY2d 123; *Matter of Alca Indus. v Delaney*, 92 NY2d 775; *Matter of Jones v Smith*, 64 NY2d 1003; *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296; *Matter of Chase Natl. Bank v*

Guardian Realities, Inc., 283 NY 350; *Lamie v United States Trustee*, 540 US 526; *Ali v Federal Bureau of Prisons*, 552 US 214; *Matter of J.D. Posillico, Inc. v Department of Transp. of State of N.Y.*, 160 AD2d 1113.) II. The New York City Administrative Procedure Act's exception for a statement which in itself has no legal effect but is merely explanatory does not apply. (1700 *York Assoc. v Kaskel*, 182 Misc 2d 586; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Home Care Assn. of N.Y. State v Dowling*, 218 AD2d 126; *Matter of Jones v Smith*, 64 NY2d 1003; *Matter of New York State Coalition of Pub. Empls. v New York State Dept. of Labor*, 60 NY2d 789; *Cubas v Martinez*, 8 NY3d 611; *National Assn. of Ind. Insurers v State of New York*, 207 AD2d 191; *DeBonis v Corbisiero*, 178 AD2d 183.)

OPINION OF THE COURT

GRAFFEO, J.

In 2011, the New York City Department of Homeless Services (DHS)—the entity charged with providing Temporary Housing Assistance (THA) to homeless men and women in New York City—announced the adoption of a new Eligibility Procedure that required that applicants meet a need standard and cooperate with intake workers in relation to investigations of need. The Council of the City of New York (City Council) brought this declaratory judgment action asserting that the new procedure could not be implemented due to DHS's failure to comply with the notice and hearing provisions in the New York City Administrative Procedure Act (CAPA) (NY City Charter ch 45). Both lower courts concluded that CAPA had been violated (2012 NY Slip Op 30400[U] [Sup Ct, NY County 2012]; 103 AD3d 464 [1st Dept 2013]) and, because we agree, we now affirm.

CAPA imposes procedural requirements on New York City agencies relating to the promulgation of rules governing local agency practices. These include a requirement that the public and the City Council be given at least 30-days notice of the adoption of a new rule, that a public hearing be held prior to implementation and, in some circumstances, the proposal must be reviewed by the City Law Department and Mayor. It is undisputed that DHS did not comply with CAPA prior to adopting the new protocol—its position is that the Eligibility Procedure is not a “rule” triggering CAPA or that it falls within an exemption to CAPA's mandates. We address each argument in turn.

CAPA defines a “rule” as “the whole or part of any statement or communication of general applicability that . . . implements or applies law or policy, or . . . prescribes the procedural requirements of an agency” (NY City Charter § 1041 [5]). When interpreting the State Administrative Procedure Act (SAPA), which defines a “rule” in comparable terms, we have stated that “only a fixed, general principle to be applied by an administrative agency without regard to other facts and circumstances relevant to the regulatory scheme of the statute it administers constitutes a rule or regulation” that is subject to SAPA (*Matter of New York City Tr. Auth. v New York State Dept. of Labor*, 88 NY2d 225, 229 [1996] [internal quotation marks omitted]; see *Matter of Schwartzfigure v Hartnett*, 83 NY2d 296, 301 [1994]). We have further described rules as “rigid, numerical polic[ies] invariably applied across-the-board to all claimants without regard to individualized circumstances or mitigating factors” (*Schwartzfigure*, 83 NY2d at 301).

DHS’s nine-page Eligibility Procedure directs that intake workers follow a detailed, multi-step process when determining the eligibility of applicants for THA and requires the use of uniform standards relating to the degree of cooperation demanded of an applicant, the circumstances constituting an adequate showing of need and the like. The policy is clearly intended for broad application—it pertains to all single adult applicants who seek THA. Mandatory procedures and uniform standards of this type have generally been determined to be rules under our precedent (see e.g. *id.* [50% setoff policy for recoupment of unemployment insurance overpayments was a rule under general definition in SAPA]; *Matter of Cordero v Corbisiero*, 80 NY2d 771 [1992] [“Saratoga policy” requiring jockeys who committed violations during a Saratoga Racecourse meet and appealed their disciplinary determinations to serve their penalties at the next Saratoga meet was mandatory procedure that should have been promulgated as a rule]; see generally *Matter of Jones v Smith*, 64 NY2d 1003 [1985] [creation of three-tier inmate disciplinary hearing system was a rule that should have been filed with Secretary of State under NY Const, art IV, § 8]).

Since DHS intended that the Eligibility Procedure would apply prospectively to all adult applicants for THA, the procedure stands in contrast to practices or policies undertaken by an agency on an ad hoc basis or through the exercise of considerable discretion. For example, the procedure differs significantly

from the Office of General Services (OGS) bid withdrawal criteria considered in *Matter of Alca Indus. v Delaney* (92 NY2d 775 [1999]). Those criteria were not intended to be used in all future competitive bidding contracts but were merely included in the bidding invitation documents relating to a specific contract, with no indication that OGS employees would invariably be bound by the policy again, regardless of the circumstances. As we explained in *Alca*, a distinction must be drawn between a practice occasionally employed in the discretion of the agency and a policy that “sets standards that substantially alter or, in fact, can determine the result of future agency adjudications” (92 NY2d at 778).

[1] DHS argues that the Eligibility Procedure is not a rule because DHS workers exercise some measure of discretion in resolving certain issues relevant to eligibility, such as whether an applicant has provided adequate cooperation during the need assessment process. But the procedure itself is mandatory—all intake workers must follow it, regardless of the circumstances presented by an individual applicant—and many of the standards articulated in it are mandatory in the sense that their application will dictate whether an individual will or will not receive benefits. For example, applicants are required to produce documentation pertaining to prior housing, financial resources and mental or physical impairment (which may necessitate the signing of a medical release) and if they fail to do so without a valid reason (mental or physical impairment), this “constitutes a failure to cooperate” mandating denial of benefits. Similarly, the procedure specifies that a single adult who has \$2,000 of on-hand assets “must utilize his/her resources to reduce or eliminate his/her need for emergency shelter” prior to being eligible for benefits. Another section directs that “[i]f an applicant has tenancy rights at any housing option, that residence will be deemed the viable housing option and the applicant will be found ineligible, provided there is no imminent threat to health or safety.” These concrete provisions substantially curtail, if not eliminate, an intake worker’s discretion to grant THA benefits. In fact, there are several specific directives in the Eligibility Procedure that appear to compel intake workers to deny benefits based on the presence or absence of a single factor, regardless of other circumstances that might support a determination of eligibility. The procedure, which is itself mandatory, requires the application of standards that are dispositive of the outcome.

For this reason, DHS's Eligibility Procedure is distinguishable from the penalty guidelines deemed not to be a rule in *Matter of New York City Tr. Auth.* (88 NY2d 225 [1996], *supra*). Although the guidelines provided a numerical formula that could be used to calculate the appropriate penalty, there was no requirement that the formula be rigidly enforced—the agency retained discretion to impose a penalty other than the one suggested by the formula if circumstances warranted. Thus, the formula was not necessarily determinative of future penalty cases but merely provided a structure to guide the discretion of agency employees (*see also Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948, 950 [1985], *rev'd for reasons stated in op of Levine, J.* 109 AD2d 140, 148 [3d Dept 1985] [50% analysis used as one factor in determining whether to issue a certificate of need permitting expansion of health service was not a rule because it was “nothing more than a nonconclusive, nonbinding guideline to be weighed along with other factors”]). The same is not true here where intake workers are required to use the Eligibility Procedure with respect to all future THA applications and to make benefit determinations based on its articulated standards.

Even when a procedure or policy constitutes a rule it may, nonetheless, be exempt from CAPA's procedural requirements if it is covered by a CAPA exemption. In this case, DHS points out that THA is a state benefit that is dispensed by local social services agencies. Because many of the provisions in the Eligibility Procedure are derived from state regulations and interpretive statements governing the provision of THA, DHS maintains that the new protocol falls within the CAPA exemption for any “form, instruction, or statement or communication of general policy, which in itself has no legal effect but is merely explanatory” (NY City Charter § 1041 [5] [b] [ii]), a provision similar to the “interpretive statements” exemption in SAPA (*see State Administrative Procedure Act* § 102 [2] [b] [iv]). Under the latter, state agency practices or statements that merely implement, explain or interpret a standard or requirement already compelled by law are exempt from SAPA's procedural requirements (*see e.g. Cubas v Martinez*, 8 NY3d 611 [2007] [where regulation required that driver's license applicants supply a Social Security number or prove they were ineligible to receive one, DMV memorandum that specified type of documentation that would fulfill regulatory requirement was exempt since it merely specified

what proof was acceptable to meet the predetermined standard]; *Matter of Elcor Health Servs. v Novello*, 100 NY2d 273 [2003] [Department of Health’s “actual improvement standard” was exempt because it constituted a reasonable interpretation of regulation requiring the agency to apply a “restorative therapy qualifier” when categorizing nursing home patients for purposes of assignment of reimbursement rate]).

[2] The situation presented here is unlike the scenarios we have encountered in prior cases involving the SAPA “interpretive statements” exemption. In this case, a municipal agency—DHS—is implementing statutory and regulatory authority imposed not by a municipal executive or legislative body but by another level of government—the State. Unlike SAPA, which contains no provision addressing such a situation, CAPA recognizes that City agencies will sometimes be required to adopt “rules” (i.e., procedures or standards) to effectuate new federal or state statutory or regulatory requirements. As relevant here, the subdivision requiring review by the City Law Department and the Mayor contains an exception stating that such review is not required for “rules that . . . implement particular mandates or standards set forth in newly enacted . . . state . . . laws, regulations or other requirements with only minor, if any, exercise of agency discretion in interpreting such mandates or standards” (*see* NY City Charter § 1043 [d] [4] [iv]).* This means that even if DHS’s Eligibility Procedure is largely duplicative of the pertinent state statutes and regulations (i.e., even if it would otherwise fall within SAPA’s interpretive statements exemption), it is exempt under CAPA from only one aspect of the procedural mandate—the requirement of prior review by the City Law Department and Mayor; CAPA’s notice and hearing requirements remain applicable. Because DHS did not follow the notice and hearing steps necessary to formally

* In a sense, the state regulations and directives cited by DHS are not “new” since they were adopted by the state agency overseeing THA in the mid 1990s. However, for reasons that are not evident from the record, the Eligibility Procedure constitutes DHS’s first attempt to enforce these provisions of state law in relation to homeless adult men and women. Viewed in this light, the state law is “new” within the meaning of section 1043 (d) (4) (iv). Were we to interpret the term “new” narrowly to exclude a state law that has been on the books for some time but that has not yet been enforced by an agency, the City could, through inordinate delay, avoid compliance with CAPA requirements—something the drafters of CAPA could not have intended.

promulgate the Eligibility Procedure, the provision is unenforceable until compliance is achieved.

[3] DHS argues that it should not have to comply with CAPA's prerequisites because the new standards are largely compelled by state law and therefore have no independent legal effect. Even assuming that this is an accurate description of the Eligibility Procedure, the drafters of the City Charter apparently believed that certain of CAPA's requirements should nonetheless remain applicable when a City agency is implementing a new state law. This was a reasonable legislative choice for, when a City agency is following a directive issued by another level of government, local officials—such as the City Council—may be unaware of relevant state or federal requirements. The notice and hearing process raises local awareness and provides an opportunity for stakeholders to be heard concerning whether the City agency's proposed manner of implementation is the best approach to take in light of local concerns. This case demonstrates the value of such a requirement for DHS does not dispute that local agencies possess some measure of discretion when determining how best to implement state directives in relation to THA. To the extent DHS's hands are tied in some respects due to certain strict standards found in the pertinent state regulations, the agency can assert this point during the regulatory review process.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order affirmed, with costs.

[1 NE3d 791, 978 NYS2d 717]

THERESA DEVITO, Appellant, v DENNIS FELICIANO et al.,
Respondents.

Argued October 15, 2013; decided November 26, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 26, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Betty Owen Stinson, J.), entered upon a jury verdict in favor of defendants, which had dismissed the complaint.

Devito v Feliciano, 84 AD3d 645, reversed.

HEADNOTES

Witnesses — Missing Witness — Right to Missing Witness Charge

1. An uncalled witness's testimony in a civil case may properly be considered cumulative only when it is cumulative of testimony or other evidence favoring the party controlling the uncalled witness. Consequently, in an action to recover damages for injuries plaintiff sustained in a motor vehicle accident, Supreme Court erred in denying the request for a missing witness charge plaintiff made after defendants declined to call as witnesses any of the physicians who had examined plaintiff on their behalf on the ground that it would be cumulative of the testimony of plaintiff's physician witnesses. The preconditions for a missing witness charge are that the witness's knowledge is material to the trial; the witness is expected to give noncumulative testimony; the witness is under the "control" of the party against whom the charge is sought, so that the witness would be expected to testify in that party's favor; and the witness is available to that party. Defendants acknowledged that their witnesses' knowledge was material, that their relationship with the uncalled witnesses made it natural to expect that the witnesses would testify in their favor, and that the witnesses were available, but claimed that the witnesses' testimony would have been cumulative of the plaintiff's experts' testimony. The testimony of defendants' witnesses, however, would not have been cumulative for purposes of the missing witness charge; it may not be considered cumulative simply because it would repeat or be consistent with an opposing party's evidence.

Witnesses — Missing Witness — Right to Missing Witness Charge — Harmless Error

2. In an action to recover damages for two fractures and other injuries plaintiff allegedly sustained in a motor vehicle accident, Supreme Court's error in denying the request for a missing witness charge plaintiff made after defendants declined to call as witnesses any of the physicians who had examined plaintiff on their behalf on the ground that it would be cumulative of the testimony of plaintiff's physician witnesses was not harmless and a new trial was necessary. Although plaintiff's counsel conveyed to the jury, in his closing statements, much of the substance of the missing witness charge that

plaintiff was denied, a trial counsel's appeal to the jury during summation is not ordinarily a substitute for the appropriate jury charge by the court, and the error here was not cured by the summation. Moreover, although defense counsel, through vigorous cross-examination, was able to cast doubt upon plaintiff's claim that one of her fractures was caused by the accident, the testimony leading to the conclusion that plaintiff's other fracture was caused by the accident was not so thoroughly challenged. Accordingly, it could not be determined that the evidence so clearly supported a verdict in favor of defendants that Supreme Court's error did not prejudice a substantial right of plaintiff.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 658, 662, 665, 692;
AM JUR 2d, Evidence §§ 259, 260, 264; AM JUR 2d, Trial
§§ 1111, 1116.
CARMODY-WAIT 2d, Presentation of the Case §§ 56:23,
56:24; CARMODY-WAIT 2d, Charge to Jury §§ 57:42–57:47;
CARMODY-WAIT 2d, Appeals in General §§ 70:366, 70:457.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.2,
19.3.
NY JUR 2d, Appellate Review §§ 754, 760, 762, 839; NY
JUR 2d, Evidence and Witnesses §§ 130–133, 136; NY JUR
2d, Trial § 419.

ANNOTATION REFERENCE

Adverse presumption or inference based on party's failure to produce or question examining doctor—modern cases. 77 ALR4th 463.

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Database: NY-ORCS

Query: missing /2 witness /2 charge /s cumulative /p physician

POINTS OF COUNSEL

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* of counsel), and *Philip J. Rizzuto, P.C.*, Carle Place (*Philip J. Rizzuto* of counsel), for appellant. The trial court erred in denying plaintiff's request to give a missing witness charge based on defendants' failure to call at trial the two independent medical examination physicians they retained to testify, since lack of proximate cause was the defendants' only substantive defense, and plaintiff's experts testified that the accident was a cause of the injuries; the jury should have been advised that it

could draw an inference against defendants based on this omission; the testimony of defendants' physicians would not have been cumulative because in that event plaintiff would be entitled to a directed verdict on the issue of causation. (*People v Savinon*, 100 NY2d 192; *People v Gonzalez*, 68 NY2d 424; *People v Valerius*, 31 NY2d 51; *People v Macana*, 84 NY2d 173; *Graves v United States*, 150 US 118; *People v Hovey*, 92 NY 554; *Matter of Nassau County Dept. of Social Servs. v Denise J.*, 87 NY2d 73; *Crowder v Wells & Wells Equip., Inc.*, 11 AD3d 360; *Kronenberg v Morris*, 174 AD2d 610; *Noce v Kaufman*, 2 NY2d 347.)

Gottlieb, Siegel & Schwartz, LLP, Bronx (*Michael H. Gottlieb* and *Melissa Paquette* of counsel), for respondents. The trial court's denial of plaintiff's request for a missing witness charge was proper due to plaintiff's failure to lay a proper foundation for the charge. In addition, any alleged error by the trial court was clearly harmless error. (*Trotta v Koch*, 110 AD2d 631; *People v Macana*, 84 NY2d 173; *Getlin v St. Vincent's Hosp. & Med. Ctr. of N.Y.*, 117 AD2d 707; *O'Brien v Golan*, 284 AD2d 256; *Morton v New York City Health & Hosps. Corp.*, 8 AD3d 122; *Doviyak v Lowe's Home Ctrs., Inc.*, 63 AD3d 1348; *Holbrook v Pruiksma*, 43 AD3d 603; *Goverski v Miller*, 282 AD2d 789; *Berrios v General Star Corp.*, 210 AD2d 131; *Accardi v City of New York*, 121 AD2d 489.)

McGaw, Alventosa & Zajac, Jericho (*Andrew Zajac*, *Dawn C. DeSimone*, *Rona L. Platt* and *Brenda T. Fitzpatrick* of counsel), and *James M. Begley* for Defense Association of New York, Inc., amicus curiae. Similar to the burden of proof at trial, plaintiff was saddled with the burden of proving her entitlement to having the missing witness charge given to the jury. She failed to satisfy any element needed for the giving of the charge, and the Supreme Court and unanimous Appellate Division correctly denied her application. (*S.L. Benfica Transp., Inc. v Rainbow Media, Inc.*, 13 AD3d 348; *People v Kitching*, 78 NY2d 532; *People v Gonzalez*, 68 NY2d 424; *Getlin v St. Vincent's Hosp. & Med. Ctr. of N.Y.*, 117 AD2d 707; *Batchu v 5817 Food Corp.*, 56 AD3d 402; *DeFreese v Grau*, 192 AD2d 1019.)

OPINION OF THE COURT

FIGOTT, J.

We hold that when a missing witness charge is requested in a civil case, the uncalled witness's testimony may properly be considered cumulative only when it is cumulative of testimony

or other evidence favoring the party controlling the witness. It may not be considered cumulative simply because it would repeat or be consistent with an opposing party's evidence.

I

On February 13, 2006, plaintiff Theresa DeVito, who was in her late 70s, was injured in a motor vehicle accident in New York City; a van operated by Dennis Feliciano and owned by Paragon Cable Manhattan "rear-ended" the car in which plaintiff was a passenger and her daughter Margaret was the driver. Plaintiff alleges that, as a result of the collision, she suffered serious injuries as defined in Insurance Law § 5102 (d), specifically fractures of her nose and back.

Plaintiff was taken by ambulance to a hospital, complaining of back pain. The hospital's emergency department discharge checklist contained negative notations with respect to head trauma, facial trauma, and ear, nose and throat problems, and indicated that she walked with a steady gait. No X rays were taken of plaintiff's nose or back at that time.

According to plaintiff, she suffered back, head, and nasal pain in the weeks that followed her accident. Her primary care physician referred her to an ear, nose and throat (ENT) specialist, Dr. Ashutosh Kacker. As Dr. Kacker later recalled, plaintiff exhibited no pain upon palpation of her nose when examined on March 13, 2006, one month post accident. However, Dr. Kacker referred her for a CT scan, which indicated a nondisplaced fracture of the nose.

Approximately two months after the accident, plaintiff went to the emergency department at a hospital near her home in New Hampshire, again complaining of back pain. An MRI revealed a compression fracture of the T12 vertebra.

Plaintiff commenced this action against Feliciano and Paragon Cable Manhattan in 2006, alleging that their negligence caused her to suffer serious injuries within the meaning of Insurance Law § 5102 (d). These injuries, plaintiff alleges, include nasal and T12 fractures.

In June 2008, plaintiff consulted with Dr. Silvester Lango, an orthopedic surgeon, who ordered further MRI scans, and confirmed the T12 fracture. Given plaintiff's age, Dr. Lango recommended that she consult pulmonary and heart specialists to determine whether she should undergo back surgery, which she declined.

Plaintiff was examined by four physicians designated by defendants pursuant to CPLR 3121, a neurologist, an orthopedist, an ENT specialist, and a radiologist.

Following discovery and depositions, plaintiff proceeded to a jury trial on damages in December 2008. Medical records from the two hospitals were admitted into evidence. The records from the hospital in New Hampshire indicated that in October 2005, four months before the motor vehicle accident, plaintiff had fallen and sustained a minor concussion and a fractured left wrist.

At the trial, both plaintiff and her daughter Margaret testified as to her medical condition. Plaintiff volunteered that she had fallen a couple of times since the accident, but did not mention the October 2005 fall that preceded it. Her daughter, meanwhile, was asked specifically about her mother's October 2005 fall, and denied any knowledge of it.

Dr. Lango, the orthopedic surgeon, testified on behalf of plaintiff, telling the jury that plaintiff had sustained a T12 fracture; that a motor vehicle accident of the type alleged "would be the competent producing cause" of such an injury; and that both plaintiff's T12 fracture and her nasal fracture were permanent injuries.

On cross-examination, however, Dr. Lango acknowledged that plaintiff was "not a good historian" of her health, in that she would not give him "all the details," and that his determination "was based on limited and . . . incorrect information" (as defense counsel put it), insofar as plaintiff had not told him about her October 2005 fall. Moreover, on re-cross-examination, Dr. Lango conceded that, based on the records from the New York hospital, it appeared that plaintiff had not suffered an injury to her nose on the date of the car accident. But Dr. Lango found no inconsistency between plaintiff's steady gait at the hospital a few hours after the motor vehicle accident and the allegation that she had suffered a T12 fracture in the accident.

Dr. James B. Naidich, a radiologist, also testified on behalf of plaintiff. Reviewing the CT scan and MRI, Dr. Naidich testified that plaintiff suffered from a fractured nose and a T12 compression fracture, superimposed on arthritic changes, and that both fractures were the result of the motor vehicle accident.

Dr. Naidich declined to speculate whether a person of plaintiff's age would have been able to walk with a steady gait if she had suffered a compression fracture only hours before.

Informed on cross-examination of plaintiff's October 2005 fall, Dr. Naidich testified that "[t]he mechanism of the injury in February [2006] was more likely to cause a compression fracture than a patient who fell onto her outstretched hand and probably struck her head if she had a concussion." He further testified that, given the extent of the compression shown on the MRI, the T12 fracture was "less likely" to have occurred in October 2005 than in February 2006.

Regarding the nasal fracture, Dr. Naidich testified that he would be "uneasy about . . . dismissing" plaintiff's allegations simply because the New York hospital's emergency department records did not indicate nasal problems. However, Dr. Naidich conceded on re-cross-examination that it is possible that plaintiff sustained her nasal fracture at some point before the date of the car accident.

For its part, the defense read into the record portions of a transcript of the deposition of Dr. Kacker, plaintiff's ENT specialist. Dr. Kacker had testified that when he examined plaintiff on March 13, 2006, she had shown no pain on palpation of the nose. His testimony was that nasal pain would "[p]robably" be expected if a patient had suffered a fracture of the nasal bone only a month before, and that he could not say with certainty that plaintiff's nasal fracture had been caused by the car accident. Dr. Kacker had also testified that his notes about plaintiff included a comment that she was "not a very reliable historian."

Defendants declined to call any of the physicians who had examined plaintiff on their behalf. Plaintiff's counsel, in turn, requested a missing witness charge, under Pattern Jury Instructions (PJI) 1:75. A discussion followed outside the presence of the jury, during which Supreme Court mentioned a citation in the PJI to *Getlin v St. Vincent's Hosp. & Med. Ctr. of N.Y.* (117 AD2d 707 [2d Dept 1986]). In *Getlin*, the Appellate Division ruled that a trial court properly refused to give a PJI 1:75 charge because the uncalled witness's testimony would "have been merely cumulative of the testimony of the plaintiff's treating physician and . . . experts" (*id.* at 709). Supreme Court, addressing plaintiff's counsel, suggested that the defense physicians' testimony "would be cumulative to what your doctors have already said." The court denied the request for an uncalled witness charge, but permitted counsel to argue the issue on summation.

Defense counsel's closing arguments focused on "a thread of dishonesty" throughout plaintiff's case, particularly with reference to plaintiff's October 2005 fall.

Plaintiff's counsel, in his summation, exhorted the jury to draw the strongest inference against the defendants from the absence of their physician witnesses. "[D]on't you think if these doctors had something to tell you that could help their case, that could show my client didn't suffer these injuries as a result of this accident, don't you think they would be here?" he asked, urging the jury "to draw the strongest inference based on the [failure] to call witnesses."

Following deliberations, the jury returned a verdict in defendants' favor, finding that the motor vehicle accident was not a substantial factor in bringing about plaintiff's nasal and T12 fractures.

The Appellate Division affirmed Supreme Court's judgment dismissing plaintiff's complaint (84 AD3d 645 [2011]), holding that plaintiff had failed to satisfy the elements that are a prerequisite for receiving a missing witness charge and citing, *inter alia*, *Getlin v St. Vincent's Hosp. & Med. Ctr. of N.Y.* We granted plaintiff leave to appeal from the Appellate Division's order (19 NY3d 813 [2012]) and now reverse.

II

An "uncalled witness" or "missing witness" charge instructs a jury that it may draw an adverse inference based on the failure of a party "to call a witness who would normally be expected to support that party's version of events" (*People v Savinon*, 100 NY2d 192, 196 [2003]). The charge, found in Pattern Jury Instructions at 1:75, advises a jury that if a party fails to offer a reasonable explanation for its failure to call a witness to testify on a question, then the jury "may, although [it is] not required to, conclude that the testimony of [the witness] would not support [that party's] position on the question . . . and would not contradict the evidence offered by [the opposing party] on this question" (PJI 1:75). The jury is instructed that it "may draw the strongest inference that the opposing evidence permits against a witness who fails to testify in a civil proceeding" (*Matter of Nassau County Dept. of Social Servs. v Denise J.*, 87 NY2d 73, 79 [1995]; *see* PJI 1:75).

[1] The preconditions for this charge, applicable to both criminal and civil trials, may be set out as follows: (1) the witness's

knowledge is material to the trial; (2) the witness is expected to give noncumulative testimony; (3) the witness is under the “control” of the party against whom the charge is sought, so that the witness would be expected to testify in that party’s favor; and (4) the witness is available to that party (*see Savinon*, 100 NY2d at 197; *People v Macana*, 84 NY2d 173, 177 [1994]; *People v Gonzalez*, 68 NY2d 424, 428 [1986]; *see also e.g. Brueckner v Simpson*, 206 AD2d 448 [2d Dept 1994]). Here, the defendants do not deny that their witnesses’ knowledge was material, or that their relationship with the uncalled witnesses makes it natural to expect that the witnesses would testify in their favor; and they do not deny the uncalled witnesses’ availability. Rather, defendants argue that the testimony of the uncalled witnesses would have been “cumulative of the plaintiff’s treating physician and plaintiff’s radiology expert,” relying on *Getlin*. We reject, as a matter of law, defendants’ analysis of whether the uncalled witnesses’ testimony would have been cumulative.

The appropriate analysis is found in *Leahy v Allen* (221 AD2d 88 [3d Dept 1996]), in which the Third Department held that “one person’s testimony properly may be considered cumulative of another’s only when both individuals are testifying in favor of the same party” (*id.* at 92), noting that to hold

“otherwise would lead to an anomalous result. Indeed, if the testimony of a defense physician who had examined a plaintiff and confirmed the plaintiff’s assertion of a serious injury were deemed to be cumulative to the evidence offered by the plaintiff, thereby precluding the missing witness charge, there would never be an occasion to invoke such charge” (*id.*).

Accordingly, our holding is that an uncalled witness’s testimony may properly be considered cumulative only when it is cumulative of testimony or other evidence favoring the party controlling the uncalled witness.

In short, a witness’s testimony may not be ruled cumulative simply on the ground that it would be cumulative of the opposing witness’s testimony. Because the record indicates that the latter was Supreme Court’s rationale in this case, Supreme Court erred in denying plaintiff’s request for a missing witness charge.

III

[2] Nor can that error be deemed harmless. It is true that plaintiff's counsel conveyed to the jury, in his closing statements, much of the substance of the missing witness charge that plaintiff was denied, as it pertained to the present case. But a trial counsel's appeal to the jury during summation is not ordinarily a substitute for the appropriate jury charge by the court; the error here was not cured by the summation. It is also true that defense counsel, through vigorous cross-examination, was able to cast doubt upon plaintiff's claim that the fracture of her nose was caused by the February 2006 car accident. But the testimony leading to the conclusion that plaintiff's T12 fracture was caused by the February 2006 car accident was not so thoroughly challenged. We are unable to conclude that the evidence so clearly supported a verdict in favor of the defendants that Supreme Court's error did not prejudice a substantial right of the plaintiff.

Finally, we have considered defendants' remaining arguments, and we conclude that they lack merit.

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, and a new trial ordered.

[3 NE3d 617, 980 NYS2d 280]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUAN JOSE PEQUE, Also Known as JUAN JOSE PEQUE SICAJAN, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICHARD DIAZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL THOMAS, Also Known as NEIL ADAMS, Appellant.

Argued September 11, 2013; decided November 19, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 6, 2011. The Appellate Division affirmed a judgment of the Chemung County Court (James T. Hayden, J.), which had convicted defendant, upon a plea of guilty, of rape in the first degree.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 2, 2012. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendant, upon a plea of guilty, of criminal possession of a controlled substance in the third degree.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 15, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Richard L. Buchter, J.), which had convicted defendant, upon a plea of guilty, of attempted criminal sale of a controlled substance in the third degree.

People v Peque, 88 AD3d 1024, affirmed.

People v Diaz, 92 AD3d 413, modified.

People v Thomas, 89 AD3d 964, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Court's Failure to Advise Defendant of Deportation Consequences

1. In a criminal prosecution in which defendant, a noncitizen, legal permanent resident, pleaded guilty to a felony after he acknowledged his understanding

when the court stated, “And if you’re not here legally or if you have any immigration issues these felony pleas could adversely affect you,” defendant’s claim that his guilty plea must be vacated based on the trial court’s failure to inform him that his plea would subject him to deportation was reviewable, notwithstanding his failure to preserve the claim. A defendant must preserve a claim that a guilty plea is invalid by moving to withdraw the plea on the same grounds subsequently alleged on appeal or by filing a motion to vacate the judgment of conviction. No preservation is required, however, where a defendant has no practical ability to object to an error in a plea allocution which is clear from the face of the record. Here, the court provided defendant with inaccurate advice by implying that the plea would entail adverse immigration consequences only for someone who was in the country illegally or who had existing immigration issues, neither of which applied to defendant. Since defendant did not know about the possibility of deportation during the plea and sentencing proceedings, he had no opportunity to withdraw his plea based on the court’s failure to apprise him of potential deportation.

Crimes — Appeal — Preservation of Issue for Review — Court’s Failure to Advise Defendant of Deportation Consequences

2. In a criminal prosecution where, at the sentencing proceeding following defendant’s plea of guilty to first degree rape, defense counsel stated on the record that defendant was a noncitizen subject to deportation following the completion of his sentence and defendant asked the court to allow him to be deported within five years, defendant failed to preserve his claim that the plea was invalid based on the trial court’s failure to advise him of the deportation consequences of his plea. A defendant must preserve a claim that a guilty plea is invalid by moving to withdraw the plea on the same grounds subsequently alleged on appeal or by filing a motion to vacate the judgment of conviction. While an exception to the preservation requirement exists where a defendant has no practical ability to object to an error in a plea allocution which is clear from the face of the record, the exception did not apply here. Defendant knew of his potential deportation, and thus had the ability to tell the court, if he chose, that he would not have pleaded guilty if he had known about deportation and could have sought to withdraw his plea on that ground. Thus, he was required to preserve his claim regarding the involuntariness of his plea and his failure to do so prohibited review.

Crimes — Plea of Guilty — Due Process — Court’s Obligation to Notify Noncitizen Defendant of Deportation Consequences

3. Due process compels a trial court to apprise a defendant that, if the defendant is not an American citizen, he or she may be deported as a consequence of a guilty plea to a felony. Deportation is a plea consequence of such tremendous importance, grave impact and frequent occurrence that, as a matter of fundamental fairness, a defendant is entitled to notice that it may ensue from a plea.

Crimes — Plea of Guilty — Court’s Obligation to Notify Defendant of Deportation Consequences — Voluntariness of Plea

4. To the extent that *People v Ford* (86 NY2d 397 [1995]) stands for the proposition that a trial court’s complete omission of any discussion of deportation at a plea proceeding can never render a defendant’s plea involuntary, it is overruled. Under stare decisis principles, a case may be overruled only when there is a compelling justification for doing so. A compelling justification may arise when a preexisting rule, once thought defensible, no longer serves the ends of justice or withstands the cold light of logic and experience. *Ford* rested

largely on the weight of authority at the time, before the 1996 amendments to the Immigration and Nationality Act. However, the current immigration laws and the realities of the present-day immigration system have robbed *Ford* of much of its logical and experiential foundation. Given the nearly inevitable consequence of deportation, it no longer serves the ends of justice to perpetually uphold, without regard to the significance of deportation to the individual's decision to plead guilty, every guilty plea of a noncitizen defendant entered in ignorance of the likelihood of removal from this country.

Crimes — Plea of Guilty — Court's Failure to Notify Defendant of Deportation Consequences — Remedy

5. A trial court's failure to warn a noncitizen defendant that he or she may be deported as a result of a guilty plea to a felony does not entitle the defendant to automatic withdrawal or vacatur of the plea. The defendant may receive the plea back only upon a showing of prejudice. Thus, to overturn his or her conviction, the defendant must establish the existence of a reasonable probability that, had the court warned him or her of the possibility of deportation, he or she would have rejected the plea and opted to go to trial. Among the things the court should consider in determining whether the defendant has shown prejudice are the favorability of the plea, the potential consequences the defendant might face upon a conviction after trial, the strength of the People's case against the defendant, the defendant's ties to the United States and the defendant's receipt of any advice from counsel regarding potential deportation. The assessment should be made in a commonsense manner, with due regard for the significance that potential deportation holds for many noncitizen defendants. In addition, the defendant should make every effort to develop an adequate record of the circumstances surrounding the plea and sentencing.

Crimes — Plea of Guilty — Court's Failure to Notify Defendant of Deportation Consequences — Prejudice

6. Defendant, a noncitizen, legal permanent resident who pleaded guilty to a felony after he acknowledged his understanding when the court stated, "And if you're not here legally or if you have any immigration issues these felony pleas could adversely affect you," was entitled to remittal of his case to Supreme Court to allow him to move to vacate his plea and develop a record relevant to the issue of prejudice with regard to the court's failure to notify him of the immigration consequences of his plea. Due process compels a trial court to apprise a defendant that, if the defendant is not an American citizen, he or she may be deported as a consequence of a guilty plea to a felony. However, a court's failure to warn does not entitle the defendant to automatic vacatur of the plea. To overturn his or her conviction, the defendant must establish the existence of a reasonable probability that, had the court warned him or her of the possibility of deportation, he or she would have rejected the plea and opted to go to trial. Here, the court provided inaccurate advice to defendant by implying that the plea would entail adverse consequences only for someone who was in the country illegally or had existing immigration issues, neither of which applied to defendant. Thus, the trial court failed to tell defendant that he might be deported if he pleaded guilty and it did not assess prejudice to the defendant resulting from the deficiency in the plea allocution.

Crimes — Plea of Guilty — Court's Failure to Notify Defendant of Deportation Consequences — Prejudice

7. Defendant, a legal permanent resident of the United States who pleaded guilty to a felony in 1992, then absconded and faked his own death, but was

apprehended, returned to court in 2008 and sentenced after the court denied his motion to withdraw his guilty plea based on the court's failure to warn him that he might be deported as a result of his plea, was not entitled to vacatur of his conviction on that ground. Defendant's challenge to the voluntariness of his plea must be evaluated in light of the practical and legal relationship between a criminal conviction and deportation at the time he pleaded guilty in 1992. At that time, deportation was a far less certain consequence of most guilty pleas because the federal government deported far fewer convicts and possessed broader discretion to allow them to remain in the country. In 1992, deportation was an entirely collateral consequence of a guilty plea for which trial courts had no general duty to advise.

Crimes — Appeal — Matters Reviewable — Right to Counsel — Effective Representation

8. In a criminal prosecution where, at the sentencing proceeding on defendant's plea of guilty to first degree rape, defense counsel stated on the record that defendant was a noncitizen subject to deportation following the completion of his sentence and that he had advised defendant of his right to access the Guatemalan consulate, defendant's claim that his attorney was ineffective for failing to tell him that his guilty plea could result in deportation was unreviewable. Where a defendant's complaint about counsel is predicated on factors such as counsel's strategy, advice or preparation that do not appear on the face of the record, the defendant must raise his or her claim via a CPL 440.10 motion. Here, the plea and sentencing minutes do not reveal whether defense counsel misadvised or failed to advise defendant about the possibility of deportation before he pleaded guilty. Counsel's statements at sentencing indicate that he may have advised defendant on those matters prior to his plea. In light of the record evidence tending to contradict defendant's complaints about his lawyer, it was incumbent on defendant to substantiate his allegations about counsel's advice below by filing a CPL 440.10 motion.

Crimes — Right to Counsel — Effective Representation — Failure to Advise Defendant of Deportation Consequences of Plea

9. Defendant, a legal permanent resident of the United States, who pleaded guilty to a felony in 1992, then absconded and faked his own death, but was apprehended in 2008 at which time he made a motion to withdraw his guilty plea two days after the issuance of a public notice of the murder of his plea counsel, was not entitled to vacatur of his plea based on counsel's failure to advise him of the deportation consequences of his plea. The trial court did not abuse its discretion in finding that defendant's allegations regarding his attorney's advice were contradictory and incredible and that defendant generally lacked credibility because he absconded and faked his own death. The record of the plea proceeding did not reveal whether counsel had apprised defendant of the immigration consequences of his plea. Moreover, defendant's current claims belied his claims in support of the plea withdrawal motion and defendant's new counsel had no personal knowledge of plea counsel's advice.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Aliens and Citizens §§ 1847, 1851; AM JUR 2d, Appellate Review §§ 205, 575, 618, 619; AM JUR 2d, Criminal Law §§ 600–602, 609, 620, 689–693, 906, 1135–1139.
CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:63,

182:70, 182:71, 182:87, 182:229; CARMODY-WAIT 2d, Right to Counsel §§ 184:158, 184:162–184:167, 184:224, 184:225, 184:229; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:149, 207:150, 207:169–207:171.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.10, 21.3–21.6, 27.5.

McKINNEY'S, CPL 220.50 (7).

NY JUR 2d, Criminal Law: Procedure §§ 859, 864–870, 887, 1485, 1511, 1513, 1517, 1518, 3454–3457, 3461.

ANNOTATION REFERENCE

Ineffective assistance of counsel: misrepresentation, or failure to advise, of immigration consequences of guilty plea—state cases. 65 ALR4th 719.

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POINTS OF COUNSEL

Melissa A. Latino, Albany, for appellant in the first above-entitled action. I. Given that the trial court, as well as defense counsel, failed to properly advise appellant of the consequences of deportation prior to his plea of guilty, appellant did not enter a knowing, voluntary and intelligent plea. (*People v Santalucia*, 9 AD3d 740; *People v Ford*, 86 NY2d 397; *People v Fitzgerald*, 65 AD3d 747; *Padilla v Kentucky*, 559 US 356; *People v Marshall*, 66 AD3d 1115; *People v McDonald*, 1 NY3d 109.) II. Appellant did not receive effective assistance of counsel granted him pursuant to the Sixth Amendment to the United States Constitution. (*People v Eastman*, 85 NY2d 265; *United States v Orocio*, 645 F3d 630; *Strickland v Washington*, 466 US 668; *People v Nunez*, 30 Misc 3d 55; *People v Reynoso*, 88 AD3d 1162; *People v Garcia*, 29 Misc 3d 756; *Hill v Lockhart*, 474 US 52; *McMann v Richardson*, 397 US 759.) III. Appellant's sentence was unduly harsh and excessive, especially in light of deportation.

Weeden A. Wetmore, District Attorney, Elmira (*Susan Rider-Ulacco* of counsel), for respondent in the first above-entitled action. I. The trial court properly accepted defendant's guilty plea. (*People v Toxey*, 86 NY2d 725, 839; *People v Lopez*, 71 NY2d 662; *People v Lopez*, 6 NY3d 248; *People v Seaberg*, 74 NY2d 1; *People v Ford*, 86 NY2d 397; *People v Owusu*, 93 NY2d 398;

People v Finnegan, 85 NY2d 53; *People ex rel. Harris v Sullivan*, 74 NY2d 305; *People v Heine*, 9 NY2d 925; *Bright Homes v Wright*, 8 NY2d 157.) II. Defendant received the effective assistance of counsel. (*People v Rivera*, 71 NY2d 705; *People v Droz*, 39 NY2d 457; *People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Jackson*, 48 AD3d 891, 10 NY3d 841; *Strickland v Washington*, 466 US 668; *People v Harnett*, 16 NY3d 200.) III. Defendant's sentence was neither harsh nor excessive. (*People v Thompson*, 60 NY2d 513; *People v Rytel*, 284 NY 242; *People v Potkowski*, 298 NY 299.)

Richard M. Greenberg, *Office of the Appellate Defender*, New York City (*Rosemary Herbert* of counsel), for appellant in the second above-entitled action. I. Where the trial court failed to warn Richard Diaz that he would be automatically deported as a consequence of his conviction, his guilty plea was not knowing, intelligent and voluntary. (*Matter of Chaipis v State Liq. Auth.*, 44 NY2d 57; *Brady v United States*, 397 US 742; *Boykin v Alabama*, 395 US 238; *Kercheval v United States*, 274 US 220; *People v Harris*, 61 NY2d 9; *People v Nixon*, 21 NY2d 338; *North Carolina v Alford*, 400 US 25; *People v Ford*, 86 NY2d 397; *People v Gravino*, 14 NY3d 546.) II. Where the only information regarding the immigration consequences of Richard Diaz's guilty plea was inaccurate and misleading, Mr. Diaz's guilty plea was not knowing, intelligent and voluntary. (*Matter of Chaipis v State Liq. Auth.*, 44 NY2d 57; *North Carolina v Alford*, 400 US 25; *People v Harris*, 61 NY2d 9; *Zhang v United States*, 506 F3d 162; *People v Gravino*, 14 NY3d 546.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Vincent Rivellese* and *Hilary Hassler* of counsel), for respondent in the second above-entitled action. Defendant's guilty plea was knowing, intelligent and voluntary; *Padilla v Kentucky* (559 US 356 [2010]) does not impose new duties upon trial courts taking guilty pleas, and the court in this case did not misinform defendant about the immigration consequences of his plea. (*People v Fiumefreddo*, 82 NY2d 536; *People v Francis*, 38 NY2d 150; *People v Nixon*, 21 NY2d 338; *People v Harris*, 61 NY2d 9; *People v Harnett*, 16 NY3d 200; *People v Gravino*, 14 NY3d 546; *People v Ford*, 86 NY2d 397; *Matter of Randall v Rothwax*, 161 AD2d 70, 78 NY2d 494; *People v Lopez*, 71 NY2d 662.)

Lynn W.L. Fahey, *Appellate Advocates*, New York City, for appellant in the third above-entitled action. I. The court failed to establish that appellant pleaded guilty knowingly, intelligently,

and voluntarily when, despite appellant's statement that he was not a United States citizen, it failed to inform him that his plea could have adverse immigration consequences. (*Padilla v Kentucky*, 559 US 356; *People v Callahan*, 80 NY2d 273; *People v Hansen*, 95 NY2d 227; *People v Seaberg*, 74 NY2d 1; *Fong Haw Tan v Phelan*, 333 US 6; *Delgadillo v Carmichael*, 332 US 388; *Ng Fung Ho v White*, 259 US 276; *Galvan v Press*, 347 US 522; *Klapprott v United States*, 335 US 601; *Bridges v Wixon*, 326 US 135.) II. Appellant was entitled to a hearing on his claim that he was denied his Sixth Amendment right to the effective assistance of counsel by his attorney's failure to inform him of the immigration consequences of his guilty plea. (*People v Ford*, 86 NY2d 397; *Padilla v Kentucky*, 559 US 356; *Strickland v Washington*, 466 US 668; *Jones v Barnes*, 463 US 745; *Hill v Lockhart*, 474 US 52; *McMann v Richardson*, 397 US 759; *Von Moltke v Gillies*, 332 US 708; *INS v St. Cyr*, 533 US 289; *Libretti v United States*, 516 US 29; *Matter of Kelvin D.*, 40 NY2d 895.)

Richard A. Brown, District Attorney, Kew Gardens (*Jennifer Hagan*, *Robert J. Masters* and *John M. Castellano* of counsel), for respondent in the third above-entitled action. I. Defendant forfeited his right to rely on any change in the law that occurred after the date of his initial fraud on the plea court. (*Padilla v Kentucky*, 559 US 356; *People v Avila*, 177 AD2d 426; *United States v Campbell*, 778 F2d 764; *People v Ford*, 86 NY2d 397; *Fruchtman v Kenton*, 531 F2d 946; *United States v Russell*, 686 F2d 35; *United States v Mastrangelo*, 693 F2d 269; *People v Geraci*, 85 NY2d 359; *Reynolds v United States*, 98 US 145.) II. The Appellate Division correctly held that the lower court was not required to advise defendant about the potential immigration consequences of his guilty plea. (*Padilla v Kentucky*, 559 US 356; *INS v St. Cyr*, 533 US 289; *Boykin v Alabama*, 395 US 238; *People v Hill*, 9 NY3d 189; *Brady v United States*, 397 US 742; *People v Harnett*, 16 NY3d 200; *People v Ford*, 86 NY2d 397; *People v Avila*, 177 AD2d 426; *United States v Campbell*, 778 F2d 764.) III. Defendant's claim that his attorney failed to advise him of the potential immigration consequences of his plea is based on matters dehors the record and, in any event, the Appellate Division correctly held that the lower court properly denied defendant's motion to withdraw his plea without a hearing. (*People v Cass*, 18 NY3d 553; *People v Kim*, 91 NY2d 407; *People v Brown*, 14 NY3d 113; *People v Fiumefreddo*, 82 NY2d 536; *People v Baret*, 11 NY3d 31; *People v Tinsley*, 35 NY2d 926; *People v Frederick*, 45 NY2d 520; *People v Ramos*, 63 NY2d 640; *People v Gruden*, 42 NY2d 214; *People v Avila*, 177 AD2d 426.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Craig L. Siegel*, *Carl D. Duffield*, *Ashley S. Miller* and *Anna K. Ostrom* of counsel), and *Dawn Seibert* for Immigrant Defense Project, amicus curiae in the first, second and third above-entitled actions. I. Significant changes in the law justify the Court reexamining and overruling *People v Ford* (86 NY2d 397 [1995]). (*People v Taylor*, 9 NY3d 129; *People v Bing*, 76 NY2d 331; *People v Hobson*, 39 NY2d 479; *Bing v Thunig*, 2 NY2d 656; *Helvering v Hallock*, 309 US 106; *People v Damiano*, 87 NY2d 477; *People v Berrios*, 28 NY2d 361; *People v Ressler*, 17 NY2d 174; *United States v Parrino*, 212 F2d 919; *Padilla v Kentucky*, 559 US 356.) II. Deportation has become a sufficiently definite, immediate, and largely automatic consequence of conviction that trial courts should be constitutionally required to notify noncitizens about its possibility before accepting a plea of guilty to a felony offense. (*Padilla v Kentucky*, 559 US 356; *People v Ford*, 86 NY2d 397; *United States v Graham*, 169 F3d 787; *Brooks v Holder*, 621 F3d 88; *Vargas-Sarmiento v United States Dept. of Justice*, 448 F3d 159; *Perez v Greiner*, 296 F3d 123; *United States v Fernandez-Antonia*, 278 F3d 150; *Mugalli v Ashcroft*, 258 F3d 52; *Fuentes-Cruz v Gonzales*, 489 F3d 724.) III. Due process requires automatic vacatur of a plea-based conviction where a trial court fails to notify a noncitizen defendant about the possibility of deportation. (*People v Van Deusen*, 7 NY3d 744; *People v Coles*, 62 NY2d 908; *People v Grant*, 45 NY2d 366; *People v Crimmins*, 36 NY2d 230; *United States v Akinsade*, 686 F3d 248; *People v Ford*, 86 NY2d 397; *Brady v United States*, 397 US 742; *Strickland v Washington*, 466 US 668; *Zhang v United States*, 506 F3d 162.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In these criminal appeals, we are called upon to decide whether, prior to permitting a defendant to plead guilty to a felony, a trial court must inform the defendant that, if the defendant is not a citizen of this country, he or she may be deported as a result of the plea. Our resolution of this issue is grounded in the right to due process of law, the bedrock of our constitutional order. That guarantee, most plain in its defense of liberty yet complex in application, requires us to strike a careful balance between the freedom of the individual and the orderly administration of government.

Upon review of the characteristics of modern immigration law and its entanglement with the criminal justice system, a

majority of this Court, consisting of Chief Judge Lippman, Judges Graffeo, Read, Rivera and me, finds that deportation is a plea consequence of such tremendous importance, grave impact and frequent occurrence that a defendant is entitled to notice that it may ensue from a plea. We therefore hold that due process compels a trial court to apprise a defendant that, if the defendant is not an American citizen, he or she may be deported as a consequence of a guilty plea to a felony.¹ In reaching this conclusion, we overrule the limited portion of our decision in *People v Ford* (86 NY2d 397 [1995]) which held that a court's failure to advise a defendant of potential deportation never affects the validity of the defendant's plea. However, a separate majority, consisting of Judges Graffeo, Read, Smith and me, reaffirms the central holding of *Ford* regarding the duties of a trial court and the distinction between direct and collateral consequences of a guilty plea, and we make clear that our precedent in this area is not otherwise affected by today's decision. Judges Graffeo, Read, Smith and I further hold that, in light of the Court's conclusion that a trial court must notify a pleading noncitizen defendant of the possibility of deportation, the trial court's failure to provide such advice does not entitle the defendant to automatic withdrawal or vacatur of the plea. Rather, to overturn his or her conviction, the defendant must establish the existence of a reasonable probability that, had the court warned the defendant of the possibility of deportation, he or she would have rejected the plea and opted to go to trial (*see* n 1, *supra*).²

1. Judge Pigott, in an opinion joined by Judge Smith, dissents from the Court's due process holding and concludes that a defendant has only a Sixth Amendment right to advice from counsel concerning deportation, but does not have a due process entitlement to a warning about the possibility of deportation from the trial court (*see* dissenting in part op at 204-205). While Judge Smith agrees with Judge Pigott that the court's failure to warn a defendant about the possibility of deportation does not implicate due process, he nonetheless agrees with Judges Graffeo, Read and me to the extent that, if this were indeed a failure to mention a particularly unique and significant plea consequence in violation of a due process obligation as described by the Court today, the appropriate remedy would be remittal to the trial court to afford the defendant an opportunity to demonstrate prejudice and not automatic vacatur of the plea. Thus, Judge Smith concurs that, given the majority's view that there has been a due process violation, the appropriate remedy in *People v Diaz* is a remittal to allow defendant to show prejudice.

2. In a dissenting opinion in which Judge Rivera largely concurs, Chief Judge Lippman determines that *Ford's* analytical framework regarding plea

(n. cont'd)

I

Because the disposition of these appeals varies with the facts of each one, I begin by reviewing the factual background and procedural history of each case.

People v Peque

Shortly after midnight on June 20, 2009, defendant Peque, a native of Guatemala, was arrested for allegedly raping a bartender in a bathroom stall at an inn. Defendant was later indicted on one count of rape in the first degree (*see* Penal Law § 130.35 [1]). At arraignment, defendant told the court that he was from Guatemala City and lacked a Social Security number, and during their bail application, the People informed the court that, in prison, defendant had made statements indicating he was in the United States unlawfully.

After a series of later court appearances and plea negotiations, defendant pleaded guilty to first-degree rape in exchange for a promised sentence of a 17½-year determinate prison term to be followed by five years of postrelease supervision. Defendant indicated that he had discussed his plea with his attorney, and when the court asked defendant, “Is there anything at this point in the process that you do not understand,” he replied, via an interpreter, “No, everything is clear.” The court accepted defendant’s guilty plea without advising him that his first-degree rape conviction might result in his deportation because it qualified as a conviction for an “aggravated felony” under federal immigration statutes (*see* 8 USC §§ 1101 [a] [43] [A]; 1227 [a] [2]).

At sentencing, the court asked defense counsel whether there was “any legal reason sentence should not be pronounced,” and counsel responded, “Not that I’m aware, Judge.” Counsel then stated for the record that defendant was “subject to deportation following the completion of his sentence” and that counsel nonetheless wished for the court “to ratify the sentence as agreed upon.” Counsel also mentioned that he had informed defendant of his “right of access to the Guatemalan consulate,” which defendant had declined to exercise. Defendant, in turn, said, “I

consequences does not apply to deportation, and that a trial court’s failure to warn a defendant that deportation may result from his or her guilty plea mandates automatic vacatur of the plea without any showing of prejudice (*see* dissenting op at 208-210). In a separate opinion, Judge Rivera expresses the same view, but joins the Court’s disposition of defendant Thomas’s appeal (*see* op of Rivera, J., at 218-219).

will ask your Honor to have mercy and allow me to be deported to my country within five years.” Noting that it had no control over the immigration process, the court sentenced defendant as promised.

Defendant appealed, asserting that his guilty plea was not knowing, intelligent and voluntary because the trial court had not mentioned the possibility of deportation at the time of the plea. Defendant also claimed that his lawyer had been ineffective for not apprising him that he could be deported if he pleaded guilty. The Appellate Division affirmed defendant’s conviction (88 AD3d 1024, 1024-1025 [3d Dept 2011]). Relying on *Ford*, the Appellate Division found that “[i]nasmuch as a defendant’s potential for deportation is considered a collateral consequence of a criminal conviction, County Court’s failure to advise defendant of such consequence does not render the plea invalid” (88 AD3d at 1025). The Court rejected defendant’s ineffective assistance of counsel claim as unreviewable because it “involves matters largely outside of the record and is more appropriately addressed by a CPL article 440 motion” (*id.*). A Judge of this Court granted defendant leave to appeal (19 NY3d 977 [2012]), and we now affirm.

People v Diaz

On the night of October 11, 2006, defendant Diaz, who was a legal permanent resident of the United States originally from the Dominican Republic, was allegedly riding in the back of a taxicab with codefendant Castillo Morales. Police officers stopped the cab and, after searching the back seat, recovered a bag containing a two-pound brick of cocaine. The officers arrested defendant and Morales, and thereafter, both men were indicted on one count of criminal possession of a controlled substance in the first degree (*see* Penal Law § 220.21 [1]) and one count of criminal possession of a controlled substance in the third degree (*see* Penal Law § 220.16 [1]).

At a court appearance held for consideration of the People’s bail application, defense counsel opposed setting bail, noting that defendant was not a flight risk because he had a green card. Later, immediately prior to the scheduled start of a suppression hearing, defendant agreed to accept the People’s plea offer of a 2¹/₂-year determinate prison term plus two years of postrelease supervision in exchange for his plea of guilty to third-degree drug possession. After conducting a standard plea allocution, the court said, “And if you’re not here legally or if you have any immigration issues these felony pleas could

adversely affect you,” adding, “Do you each understand that?” Defendant replied, “Yes.” At sentencing, the court imposed the negotiated sentence. At no point did the court state that defendant could be deported based on his conviction of a removable controlled substances offense (*see* 8 USC § 1227 [a] [2] [B] [i]).

Defendant completed his prison term, and upon his release to postrelease supervision, United States Immigration and Customs Enforcement (ICE) initiated proceedings to remove him from the country based on his drug conviction. ICE initially detained defendant pending the outcome of those proceedings. However, defendant appealed his conviction and challenged the validity of his guilty plea, alleging that the court’s failure to warn him of the possibility of deportation rendered his plea involuntary. As a result, ICE conditionally released defendant pending the resolution of his appeal, and he completed his term of postrelease supervision. While his appeal was pending, defendant also moved, pursuant to CPL 440.10, to vacate his conviction on the ground that his attorney had been ineffective for failing to advise him of the immigration consequences of his guilty plea. After a hearing, Supreme Court denied that motion, and the Appellate Division subsequently denied defendant permission to appeal from the hearing court’s decision.

On defendant’s direct appeal, the Appellate Division affirmed his conviction (92 AD3d 413, 413-414 [1st Dept 2012]). The Court found that defendant had failed to preserve his challenge to the validity of his guilty plea (*id.* at 413). As an alternative holding, the Court rejected defendant’s claim on the merits (*id.*). The Court determined that, “[w]hile the duty to advise a defendant of the possibility of deportation before accepting a plea of guilty is imposed on the trial courts by statute (CPL 220.50 [7]), the court’s ‘failure to do so does not affect the voluntariness of a guilty plea’ ” (*id.* at 413-414, quoting *Ford*, 86 NY2d at 404 n). The Court further held that “the duties of a trial court upon accepting a guilty plea are not expanded by *Paddilla v Kentucky* (559 US 356 [2010]), which deals exclusively with the duty of defense counsel to advise a defendant of the consequences of pleading guilty when it is clear that deportation is mandated” (*id.* at 414). Finally, in the Court’s estimation, the trial court’s warning about immigration matters “sufficed to apprise defendant that the consequences of his guilty plea extended to his immigration status” (*id.*). A Judge of this Court granted defendant leave to appeal (19 NY3d 972 [2012]),

and we now conditionally modify the Appellate Division's decision and remit the matter to Supreme Court to afford defendant the opportunity to move to vacate his plea.

People v Thomas

On February 15, 1992, defendant Thomas, a legal permanent resident of the United States originally from Jamaica, was arrested for selling cocaine to two individuals. He was later charged in a superior court information with two counts of criminal sale of a controlled substance in the third degree (see Penal Law § 220.39 [1]).

On February 20, 1992, defendant appeared with counsel in Supreme Court, waived indictment and pleaded guilty to one count of attempted criminal sale of a controlled substance in the third degree. In exchange for defendant's plea, the court promised to sentence him to 30 days in jail plus five years of probation. However, the court conditioned defendant's receipt of that sentence upon his return to court for sentencing, abstinence from committing further crimes and cooperation with the Department of Probation. At the plea proceeding, the court asked defendant whether he was a citizen of the United States. Defendant answered that he was not a United States citizen and was from Jamaica.

While defendant was at liberty pending sentencing, he failed to show up for a scheduled court appearance, and the court issued a bench warrant for his arrest. On April 28, 1992, defendant's attorney appeared in court and gave the trial judge a copy of defendant's death certificate, which indicated that defendant had committed suicide. The court vacated the bench warrant as abated by death.

About 16 years later, on February 28, 2008, defendant arrived at JFK International Airport and, using an alias, asked customs officials for admission to the United States as a returning lawful permanent resident. A few days later, the United States Department of Homeland Security ran defendant's fingerprints and discovered his true identity. The Department of Homeland Security notified the People of defendant's return to the country, and the People then informed the court of this turn of events. The court restored the case to its calendar and issued a bench warrant for defendant's arrest.

Two days after the issuance of a public notice of the murder of the lawyer who had represented defendant at the time of his plea, defendant moved to withdraw his guilty plea with the as-

sistance of a new attorney. Defendant asserted that the court's failure to warn him that he might be deported as a result of his plea rendered his plea involuntary. Defendant also contended that his previous lawyer had been ineffective for failing to provide advice on the immigration consequences of his plea. In support of the motion, defense counsel submitted an affirmation stating that defendant's previous attorney had not advised defendant at all concerning the possibility of deportation. By contrast, defendant himself averred that his attorney had specifically promised him he would not be subject to deportation if he pleaded guilty.

The trial court denied defendant's plea withdrawal motion. The court found that defendant's allegations regarding his attorney's advice were contradictory and incredible, and that defendant generally lacked credibility because he had absconded and faked his own death. Thus, the court opined, defendant had not credibly established that his attorney's advice had been deficient at the time of his plea or that he had been prejudiced by his attorney's allegedly poor performance. Citing *Ford*, the court concluded that defendant was not entitled to withdraw his plea based on the court's or counsel's failure to apprise him of potential deportation. The court then sentenced defendant to an indeterminate prison term of from 2 to 6 years.

Defendant appealed, renewing his complaints about counsel's advice and the voluntariness of his guilty plea. While defendant's appeal was pending, the Department of Homeland Security charged him with being subject to removal from the United States based on his conviction in this case. Upon learning of defendant's appeal, the federal agency amended the charges to seek defendant's removal based on his failure to disclose his conviction when he applied for an immigrant visa. Defendant was paroled to ICE custody, and an immigration judge later ordered his removal from the country.

Thereafter, the Appellate Division affirmed defendant's conviction (89 AD3d 964, 964-965 [2d Dept 2011]). The Court concluded that defendant's ineffective assistance claim was unpreserved and premised on incredible allegations regarding matters outside the record (*see id.* at 964-965). Finding *Ford* to be controlling, the Court also held that defendant was not entitled to withdraw his guilty plea due to the trial court's failure to mention potential deportation at the plea proceeding (*see* 89 AD3d at 965). A Judge of this Court granted defendant leave to appeal (19 NY3d 1002 [2012]), and we now affirm.

IIA

Each defendant maintains that his guilty plea must be vacated because the trial court did not inform him that his plea would subject him to deportation, thereby failing to provide constitutionally mandated notice of a critically important consequence of the plea. However, before we may reach defendants' claims, we must determine whether those claims have been preserved as a matter of law for our review (*see* NY Const art VI, § 3 [a]; CPL 470.05 [2]; *People v Hawkins*, 11 NY3d 484, 491-492 [2008]).

Generally, in order to preserve a claim that a guilty plea is invalid, a defendant must move to withdraw the plea on the same grounds subsequently alleged on appeal or else file a motion to vacate the judgment of conviction pursuant to CPL 440.10 (*see* CPL 220.60 [3]; 440.10; *People v Clarke*, 93 NY2d 904, 906 [1999]; *People v Toxey*, 86 NY2d 725, 726 [1995]; *People v Lopez*, 71 NY2d 662, 665 [1988]). Under certain circumstances, this preservation requirement extends to challenges to the voluntariness of a guilty plea (*see People v Murray*, 15 NY3d 725, 726 [2010]; *Toxey*, 86 NY2d at 726).

However, under *People v Lopez*, where a deficiency in the plea allocution is so clear from the record that the court's attention should have been instantly drawn to the problem, the defendant does not have to preserve a claim that the plea was involuntary because "the salutary purpose of the preservation rule is arguably not jeopardized" (71 NY2d at 665-666). And, in *People v Louree* (8 NY3d 541 [2007]) we concluded that a defendant need not move to withdraw a guilty plea in order to obtain appellate review of a claim that the trial court's failure to inform the defendant of the postrelease supervision component of the defendant's sentence rendered the plea involuntary (*see id.* at 545-547). We carved out that exception to the preservation doctrine because of the "actual or practical unavailability of either a motion to withdraw the plea" or a "motion to vacate the judgment of conviction," reasoning that "a defendant can hardly be expected to move to withdraw his plea on a ground of which he has no knowledge" (*id.* at 546). Taken together, *Lopez* and *Louree* establish that where a defendant has no practical ability to object to an error in a plea allocution which is clear from the face of the record, preservation is not required. At the same time, there are significant constraints on this exception to the

preservation doctrine. Recognizing as much, in *People v Murray*, we held that the defendant had to preserve his claim that the trial court's imposition of a nonconforming term of postrelease supervision rendered his guilty plea involuntary because the court had mentioned the nonconforming postrelease supervision term at sentencing, thereby providing the defendant with an opportunity to challenge the voluntariness of his plea (*see Murray*, 15 NY3d at 726-727).

[1] Here, in *Diaz*, the trial court never alerted defendant that he could be deported as a result of his guilty plea. In fact, the court provided defendant with inaccurate advice, as the court implied that defendant's plea would entail adverse immigration consequences only for someone who was in the country illegally or had existing immigration issues—circumstances which did not apply to defendant. Since defendant did not know about the possibility of deportation during the plea and sentencing proceedings, he had no opportunity to withdraw his plea based on the court's failure to apprise him of potential deportation. Thus, defendant's claim falls within *Lopez's* and *Louree's* narrow exception to the preservation doctrine.

[2] By contrast, in *Peque*, because defendant knew of his potential deportation, and thus had the ability to tell the court, if he chose, that he would not have pleaded guilty if he had known about deportation, he was required to preserve his claim regarding the involuntariness of his plea.³ At sentencing, defendant plainly knew that he might be deported as a result of his guilty plea, and he even implored the court “to have mercy and allow [him] to be deported to [his] country within five years.” Given his awareness of the deportation issue at that point, defendant could have sought to withdraw his plea on that ground. The salutary purpose of the preservation doctrine, including the development of a full record and the efficient resolution of claims at the earliest opportunity, is served by requiring preservation in his case. In light of defendant's failure to raise the deportation issue below or move to withdraw his plea, we cannot entertain his newly minted challenge to its validity.

In *Thomas*, defendant fully preserved his claim that the trial court should have informed him that he could be deported as a

3. In their respective opinions, the Chief Judge and Judge Rivera disagree with the Court's conclusion that defendant Peque had to preserve his claim and failed to do so, and therefore they do not join in this section of our opinion with respect to Peque (*see* Lippman, Ch. J., dissenting op at 216; *see also* op of Rivera, J., at 218-219 n).

result of his guilty plea, and therefore defendant's challenge to his plea is properly before us.

B

The State and Federal Constitutions guarantee that the State shall not deprive any person of his or her liberty without due process of law (*see* US Const 14th Amend; NY Const, art I, § 6). To ensure that a criminal defendant receives due process before pleading guilty and surrendering his or her most fundamental liberties to the State, a trial court bears the responsibility to confirm that the defendant's plea is knowing, intelligent and voluntary (*see United States v Ruiz*, 536 US 622, 629 [2002]; *Boykin v Alabama*, 395 US 238, 243-244 [1969]; *Louree*, 8 NY3d at 544-545; *Ford*, 86 NY2d at 402-403). In particular, it "must be clear that 'the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant' " (*Ford*, 86 NY2d at 403, quoting *North Carolina v Alford*, 400 US 25, 31 [1970]; *see People v Gravino*, 14 NY3d 546, 553 [2010]). To that end, while the court need not inform the defendant of every possible repercussion of a guilty plea prior to its entry (*see Ruiz*, 536 US at 629-630; *Gravino*, 14 NY3d at 553), the court must advise the defendant of the direct consequences of the plea (*see People v Catu*, 4 NY3d 242, 244 [2005]; *Ford*, 86 NY2d at 403; *see also Brady v United States*, 397 US 742, 755 [1970]). On the other hand, the court generally has no obligation to apprise the defendant of the collateral consequences of the plea (*see Gravino*, 14 NY3d at 553; *Ford*, 86 NY2d at 403).

A direct consequence of a guilty plea is one "which has a definite, immediate and largely automatic effect on [the] defendant's punishment" (*Ford*, 86 NY2d at 403; *see People v Monk*, 21 NY3d 27, 32 [2013]; *see also United States v Youngs*, 687 F3d 56, 60 [2d Cir 2012]; *United States v Delgado-Ramos*, 635 F3d 1237, 1239-1240 [9th Cir 2011]), whereas a collateral consequence is one "peculiar to the individual's personal circumstances and one not within the control of the court system" (*Ford*, 86 NY2d at 403; *see People v Belliard*, 20 NY3d 381, 385 [2013]). Examples of direct consequences include the forfeiture of trial rights (*see Boykin*, 395 US at 243-244), the imposition of a mandatory term of imprisonment that results from an unconditional guilty plea (*see id.* at 244 n 7; *Jamison v Klem*, 544 F3d 266, 277 [3d Cir 2008]; *People v Harnett*, 16 NY3d 200, 205 [2011]), and the imposition of mandatory postrelease

supervision (see *Catu*, 4 NY3d at 244-245). By contrast, “[i]llustrations of collateral consequences are loss of the right to vote or travel abroad, loss of civil service employment, loss of a driver’s license, loss of the right to possess firearms[,] . . . an undesirable discharge from the Armed Services” (*Ford*, 86 NY2d at 403 [citations omitted]), the imposition of a prison term upon revocation of postrelease supervision (see *Monk*, 21 NY3d at 33), sex offender registration under the Sex Offender Registration Act (SORA) (see *Gravino*, 14 NY3d at 559), and civil confinement under the Sex Offender Management and Treatment Act (SOMTA) (see *Harnett*, 16 NY3d at 206).

Furthermore, in *Ford*, this Court held that “[d]eportation is a collateral consequence of conviction because it is a result peculiar to the individual’s personal circumstances and one not within the control of the court system” (*Ford*, 86 NY2d at 403). Likewise, certain federal circuit courts have held that a court need not advise a pleading defendant of the possibility of deportation because deportation is a collateral consequence of a guilty plea (see e.g. *Delgado-Ramos*, 635 F3d at 1241; *Santos-Sanchez v United States*, 548 F3d 327, 336-337 [5th Cir 2008]; *El-Nobani v United States*, 287 F3d 417, 421 [6th Cir 2002]; *United States v Gonzalez*, 202 F3d 20, 27 [1st Cir 2000]). Additionally, shortly before this Court’s decision in *Ford* and after the defendant’s guilty plea in that case, the Legislature passed CPL 220.50 (7). That statute requires a court to inform a noncitizen defendant that a guilty plea may subject the defendant to deportation, but it also states that “[t]he failure to advise the defendant pursuant to this subdivision shall not be deemed to affect the voluntariness of a plea of guilty or the validity of a conviction” (*id.*).

Here, defendants’ convictions upon their guilty pleas rendered them subject to deportation, and in each case, the trial court did not alert the defendant to that circumstance. Defendants claim that recent changes in federal immigration law have transformed deportation into a direct consequence of a noncitizen defendant’s guilty plea, and that therefore the courts’ failure here to mention the possibility of deportation rendered their pleas involuntary. Defendants thus urge us to overrule so much of *Ford* as holds otherwise. In opposition, the People maintain that, because federal authorities retain a significant degree of discretion in determining whether to deport a convicted felon, deportation remains a strictly collateral consequence of a guilty

plea which does not have to be set forth during the plea allocution. The parties' arguments necessitate an examination of the evolving relationship between the immigration system and a New York criminal conviction before and after *Ford*.

C

As early as the mid-seventeenth century, the Dutch colony that would become New York experienced widespread immigration. By the late 1650s, non-Dutch European immigrants comprised about half the colony's population, and it appears that there were few, if any, legal restrictions on immigration at that time (*see* Milton M. Klein et al., *The Empire State: A History of New York* 45, 49-51 [2001] [hereinafter "Klein"]). This situation essentially continued through British rule of the colony and New York's early days as a state in post-revolutionary America (*see* Klein 153-154, 157-159, 308-311). During that span of history, immigrants contributed significantly to the constitutional tradition underlying today's decision. In the seventeenth century, the original foreign-born colonists brought with them the common-law tradition of individual rights, and in 1821, naturalized immigrants in certain progressive counties of the State provided the population, clout and votes needed to call for a constitutional convention, resulting in New York's becoming the first state to add a due process clause to its constitution (*see* J. Hampden Dougherty, *Constitutional History of the State of New York* 29, 42-43, 97-99 [1915]; Peter J. Galie & Christopher Bopst, *The New York State Constitution* 68-69 [2d ed 2012]).

Immigration laws began to change in the mid-nineteenth century. Prior to that time, New York City modestly regulated immigration, imposing various capitations on merchant shipmasters who transported impoverished immigrants to this country by sea and requiring those shipmasters to report certain identification information about their immigrant passengers to the Mayor (*see* Hidetaka Hirota, *The Moment of Transition: State Officials, the Federal Government, and the Formation of American Immigration Policy*, 99 J Am Hist 1092, 1095 [2013] [hereinafter "Hirota"]); *see also Henderson v Mayor of New York*, 92 US 259, 265-275 [1875] [describing New York City's immigration laws and striking down some of them as violative of the federal government's exclusive power to regulate commerce with foreign nations under the Federal Constitution]). In 1847, however, New York State passed laws which excluded from entry to the State any foreigner "likely to become

permanently a public charge” as a penalty for a shipmaster’s nonpayment of a bond for such a person (Hirota, 99 J Am Hist at 1095). Furthermore, in 1882, the State successfully lobbied Congress to pass the Immigration Act, which prohibited entry into the United States of “convict[s]” (22 US Stat 214 [1882]; see Hirota, 99 J Am Hist at 1097-1098).

Even after the onset of federal regulation of immigration, removal from the country was largely discretionary and relatively uncommon. When Congress passed the Immigration Act of 1917, it authorized for the first time the deportation of noncitizens who had been convicted of crimes of “moral turpitude” and had served a sentence of a year or more in prison (39 US Stat 874, 889-890 [1917]). Under the 1917 Act, a state sentencing court had discretion to grant a noncitizen defendant a judicial recommendation against deportation, or JRAD, which prevented the federal government from deporting the defendant (see 39 US Stat at 889-890). New York officials also saw fit to extend discretionary relief to alien convicts to prevent their deportation. As noted in the Poletti Committee’s report in preparation for the State’s constitutional convention of 1938, the Governor would sometimes, where the facts warranted it, pardon a prisoner to “restore citizenship . . . or to prevent deportation or to permit naturalization” (*Problems Relating to Executive Administration and Powers*, 1938 Rep of NY Constitutional Convention Comm, vol 8 at 66 [1938]).

Executive discretion in the immigration field, however, did not remain untrammelled for long. By successive revisions to the Immigration and Nationality Act (INA) in 1952 and 1990, Congress first curtailed and then eliminated the availability of JRADs, while preserving the United States Attorney General’s discretion to grant relief from deportation (see 66 US Stat 163, 201-208 [1952]; 104 US Stat 4978, 5050-5052 [1990]). In 1996, Congress finally stripped the Attorney General of his discretion to prevent a noncitizen defendant’s deportation (see 110 US Stat 3009-546, 3009-567, 3009-594, 3009-596, 3009-597 [1996]). And, under the current version of the INA, an alien may be deported for a wide array of crimes, including most drug offenses, “aggravated felonies,” domestic violence crimes, and any crime for which a sentence of more than a year is authorized (see 8 USC §§ 1101 [a] [43]; 1227 [a] [2]). Therefore,

“[u]nder contemporary law, if a noncitizen has committed a removable offense after the 1996 effective

date of these amendments, his removal is practically inevitable but for the possible exercise of limited remnants of equitable discretion vested in the Attorney General to cancel removal for noncitizens convicted of particular classes of offenses” (*Padilla*, 559 US at 363-364; *see generally* 8 USC § 1227; 110 US Stat 1214 [1996]).

Changes in immigration enforcement have also increased the likelihood that a noncitizen defendant will be deported after a guilty plea. For example, at the time of the passage of the 1996 amendments to the INA, the number of annual deportations resulting from criminal convictions stood at 36,909 (*see* Department of Homeland Security, 1996 Yearbook of Immigration Statistics, Annual Report on Immigration Enforcement Actions at 171 [1997], available at <http://www.dhs.gov/archives> [accessed Sept. 18, 2013]). Thereafter, the federal government deported an ever-growing number of individuals each year, and in 2011, the United States removed 188,382 noncitizens based on their criminal convictions (*see* Department of Homeland Security, 2011 Yearbook of Immigration Statistics, Annual Report on Immigration Enforcement Actions at 5-6 [2012], available at http://www.dhs.gov/sites/default/files/publications/immigration-statistics/enforcement_ar_2011.pdf [accessed Sept. 18, 2013]; *see also* Douglas S. Massey & Karen A. Pren, *Unintended Consequences of US Immigration Policy: Explaining the Post-1965 Surge from Latin America*, 38 Population & Dev Rev [Issue 1] 1, 15-16 [2012]). And, since 1995, the Institutional Removal Program, a joint initiative of New York and federal authorities, has enabled New York to transfer thousands of convicted foreign-born criminals from state custody to ICE custody prior to the expiration of their prison terms (*see* Correction Law § 5 [4]; Executive Law § 259-i [2] [d] [i]; New York State Department of Corrections and Community Supervision, Research Report: The Foreign-Born under Custody Population and the IRP at 1, 9-11 [2012], available at http://www.doccs.ny.gov/Research/Reports/2013/ForeignBorn_IRP_Report_2012.pdf [accessed Sept. 18, 2013]; *see also* brief of Immigrant Defense Project, as amicus curiae, at 15-20).

Present-day immigration law and enforcement practice impose what can only be described as an enormous penalty upon noncitizen convicts. Once state and federal authorities identify a defendant as a potentially removable alien, ICE may detain the defendant until administrative or judicial review

causes him to be released or adjudged deportable, and that detention will last at least several days and, in some cases, for months or years before the defendant's removal status is finally settled (see 8 USC § 1226 [c] [1]; *Demore v Kim*, 538 US 510, 529 [2003] [noting average detention period of 47 days]; see also Amnesty International, *Jailed without Justice: Immigration Detention in the USA* at 1, 22 [2009] [describing an alien convict's four-year detention during removal proceedings], available at <http://www.amnestyusa.org/pdfs/JailedWithoutJustice.pdf> [accessed Sept. 21, 2013]; Joren Lyons, *Recent Development: Mandatory Detention During Removal Proceedings: Challenging the Applicability of Demore v Kim to Vietnamese and Laotian Detainees*, 12 Asian LJ 231, 231-232 [2005] [recounting an immigrant convict's 16-month detention]). If an immigration judge orders the defendant's deportation, ICE can automatically hold the defendant in custody for another 90 days and may continue to confine the defendant beyond that period subject to a judicial determination that further detention is reasonably necessary to secure the defendant's removal (see *Zadvydas v Davis*, 533 US 678, 682-684, 699-701 [2001]). Additionally, immigrant detention resembles criminal incarceration, and the conditions of that detention are such that "in general, criminal inmates fare better than do civil detainees" (Dora Schriro, *Improving Conditions of Confinement for Criminal Inmates and Immigrant Detainees*, 47 Am Crim L Rev 1441, 1445 [2010]).⁴

Of course, a convicted noncitizen defendant's actual removal from the country exacts the greatest toll on the defendant and his or her family. Once the federal government forces the defendant beyond our borders, the defendant loses the precious rights and opportunities available to all residents of the United States. After being removed from the country, the defendant rarely, if ever, has further in-person contact with any family members remaining in America. Additionally, deportation effectively strips the defendant of any employment he or she had in this country, thus depriving the defendant and his or her family of critical financial support. And, the defendant must begin life anew in a country that, in some cases, is more foreign to the defendant than the United States.

4. We commend the defendants' attorneys, the prosecutors and counsel for amicus for their excellent work in bringing a wealth of authorities, research, data and scholarly articles to our attention to assist us in our resolution of these appeals.

Despite those severe qualities, deportation is not technically a criminal punishment for past behavior, but rather a civil penalty imposed upon noncitizens whose continuing presence in the country is deemed undesirable by the federal government based on their misconduct or other aggravating circumstances (*see Padilla*, 559 US at 365; *INS v. St. Cyr*, 533 US 289, 324 [2001]; *INS v. Lopez-Mendoza*, 468 US 1032, 1038 [1984]; *Morris v. Holder*, 676 F3d 309, 317 [2d Cir 2012]). However, in *Padilla v. Kentucky*, the United States Supreme Court recognized that deportation could not be neatly confined to the realm of civil matters unrelated to a defendant's conviction.

Specifically, the Court held that, because deportation is so closely related to the criminal process and carries such high stakes for noncitizen defendants, a defense attorney deprives a noncitizen defendant of his or her Sixth Amendment right to the effective assistance of counsel by failing to advise, or by misadvising, the defendant about the immigration consequences of a guilty plea (*see* 559 US at 366-374). In discussing the significance of the possibility of deportation and the need for competent advice from counsel on the subject, the Court observed, "Our law has enmeshed criminal convictions and the penalty of deportation for nearly a century . . . [a]nd, importantly, recent changes in our immigration law have made removal nearly an automatic result for a broad class of noncitizen offenders" (*id.* at 365-366). The Court continued, "Deportation as a consequence of a criminal conviction is, because of its close connection to the criminal process, uniquely difficult to classify as either a direct or a collateral consequence" of a guilty plea for Sixth Amendment purposes (*id.* at 366).

In determining whether the Supreme Court's discussion of the character of deportation holds true for due process purposes, it is necessary to account for the distinct nature of the right to due process and the right to the effective assistance of counsel at issue in *Padilla*. Although both of those rights exist to preserve the defendant's entitlement to a fair trial or plea proceeding, they operate in discrete ways in the plea context. The right to effective counsel guarantees the defendant a zealous advocate to safeguard the defendant's interests, gives the defendant essential advice specific to his or her personal circumstances and enables the defendant to make an intelligent choice between a plea and trial, whereas due process places an independent responsibility on the court to prevent the State from accepting a guilty plea without record assurance that the

defendant understands the most fundamental and direct consequences of the plea (see *Alford*, 400 US at 31; *Strickland v Washington*, 466 US 668, 684-687 [1984]; *Hill v Lockhart*, 474 US 52, 56-58 [1985]; *People v Angelakos*, 70 NY2d 670, 672-674 [1987]; *People v Harris*, 61 NY2d 9, 18-19 [1983]). Given the distinct duties of counsel and the court under these two constitutional doctrines, *Padilla*'s legal classification of deportation as a plea consequence necessitating counsel's advice under the Sixth Amendment does not inexorably compel the conclusion that deportation implicates the court's responsibility to ensure the voluntariness of a guilty plea.

Nonetheless, the *Padilla* Court's factual observation about the nature of deportation rings true in both the due process and effective assistance contexts; it is difficult to classify deportation as either a direct or collateral consequence of a noncitizen defendant's guilty plea.⁵ On the one hand, deportation is not always an immediate consequence of an alien defendant's guilty plea because the federal government must await the defendant's release from state custody and the outcome of a removal hearing before deporting the defendant. And, immigration authorities may not even initiate that process, much less complete it, until many years after the defendant's criminal conviction. Furthermore, deportation is not a part of the defendant's criminal punishment and sentence, making it distinct from other direct consequences of a guilty plea such as the imposition of postrelease supervision. So, too, deportation, like most collateral consequences, remains a matter "not within the control of the court system" (*Ford*, 86 NY2d at 403).

However, under current federal law, deportation is a virtually automatic result of a New York felony conviction for nearly every noncitizen defendant (see *Padilla*, 559 US at 363-366), and New York defendants are often released to ICE custody even before they finish serving their prison sentences. Significantly, deportation has punitive qualities not entirely unlike the core components of a criminal sentence. Judges Graffeo, Read and I conclude that those circumstances cause deportation to

5. Chief Judge Lippman and Judge Rivera conclude that the direct/collateral framework does not apply to deportation, and that regardless of deportation's particular classification as a plea consequence, it is sufficiently important to warrant the court's advisement on the matter (see Lippman, Ch. J., dissenting op at 207, 208-209; see also op of Rivera, J., at 219). Accordingly, they do not agree with us that deportation is a technically collateral consequence of a guilty plea, and they do not join this opinion to the extent it contradicts the views expressed in their respective opinions.

resemble in many respects a direct consequence of a guilty plea, even though we concur with Judges Pigott and Smith that it is technically on the collateral side of the direct/collateral divide.⁶

We have previously contemplated the existence of such a peculiar consequence of a guilty plea, though we had not actually encountered one until now. And, in prior decisions, we discussed how a trial court must address these most uncommon consequences at a plea proceeding. Particularly, we stated that there may be a “rare” case where a court must inform the defendant of “a consequence that, although collateral for purposes of due process, was of such great importance to him that he would have made a different decision had that consequence been disclosed” (*Gravino*, 14 NY3d at 559; see *Harnett*, 16 NY3d at 207). This is that rare case.

As discussed, deportation is an automatic consequence of a guilty plea for most noncitizen defendants; absent some oversight by federal authorities, a defendant duly convicted of almost any felony will inevitably be removed from the United States. Unlike SORA registration, SOMTA confinement or other collateral consequences, the deportation process deprives the defendant of an exceptional degree of physical liberty by first detaining and then forcibly removing the defendant from the country. Consequently, the defendant may not only lose the blessings of liberty associated with residence in the United States, but may also suffer the emotional and financial hardships of separation from work, home and family. Given the severity and inevitability of deportation for many noncitizen defendants, “deportation is an integral part—indeed, sometimes the most important part—of the penalty that may be imposed on noncitizen defendants who plead guilty to specified crimes” (*Padilla*, 559 US at 364). Thus, a noncitizen defendant convicted of a removable crime can hardly make “a voluntary and intelligent choice among the alternative courses of action open to the defendant” (*Ford*, 86 NY2d at 403) unless the court informs

6. Judges Pigott and Smith agree that deportation is not a direct consequence of a guilty plea, but they would go further and hold that deportation is a strictly collateral consequence of a guilty plea, such that a trial court’s failure to mention deportation can never invalidate a guilty plea (see Pigott, J., dissenting in part op at 204-205). As already noted, Chief Judge Lippman and Judge Rivera find the distinction between direct and collateral consequences to be inapplicable to this case. Accordingly, with the exception of the Chief Judge’s and Judge Rivera’s concurrence in the last paragraph of this section of this opinion regarding the necessity of a trial court’s advisement about deportation, those four Judges do not join the remainder of this section.

the defendant that the defendant may be deported if he or she pleads guilty.

But, the People protest, that is not the case. In their view, deportation remains a strictly collateral consequence of a guilty plea, about which a trial court has no duty to inform a defendant. They observe that ICE retains considerable discretion to decline to enforce federal immigration laws against any particular defendant, making deportation such an uncertain outcome that the court should never be compelled to notify a defendant of the possibility of it. However, the roughly 188,000 noncitizen convicts who are deported each year would probably beg to differ on this point, and rightly so. After all, although New York courts have no role in ICE's enforcement decisions, they do render judgments of conviction which routinely ensure the defendants' eventual transfer, by way of state correctional authorities, into federal custody, where they will almost certainly be deported. At bottom, the factors cited by the People merely show that deportation does not fit squarely within the direct consequences mold. Although that is true, fundamental fairness still requires a trial court to make a noncitizen defendant aware of the risk of deportation because deportation frequently results from a noncitizen's guilty plea and constitutes a uniquely devastating deprivation of liberty.

The People assure us there is no need for the trial court to tell a noncitizen defendant about the possibility of deportation because *Padilla* now requires defense counsel to provide a noncitizen defendant with specific and detailed advice about a guilty plea's impact on his or her immigration status. However, "assuming defense counsel 'will' do something simply because it is required of effective counsel" is "an assumption experience does not always bear out" (*Moncrieffe v Holder*, 569 US —, —, 133 S Ct 1678, 1692 [2013]). More to the point, while counsel's participation in the relevant proceedings may tend to support the validity of the plea (see *People v Harris*, 61 NY2d 9, 16 [1983]; *People v Nixon*, 21 NY2d 338, 353 [1967]), the court has an independent obligation to ascertain whether the defendant is pleading guilty voluntarily (see *People v Francis*, 38 NY2d 150, 153-154 [1975]), which the court must fulfill by alerting the defendant that he or she may be deported.

[3] In short, Chief Judge Lippman, Judges Graffeo, Read, Rivera and I conclude that deportation constitutes such a substantial and unique consequence of a plea that it must be mentioned by the trial court to a defendant as a matter of fundamental fairness.

D

Because the Court's conclusion regarding a trial court's duty is at odds with *Ford*'s pronouncement that a court's failure to warn a defendant about potential deportation never impacts the validity of the defendant's guilty plea, that aspect of *Ford* must be reexamined in light of the doctrine of stare decisis.

"Stare decisis is the doctrine which holds that common-law decisions should stand as precedents for guidance in cases arising in the future" and that a rule of law "once decided by a court, will generally be followed in subsequent cases presenting the same legal problem" (*People v Damiano*, 87 NY2d 477, 488 [1996, Simons, J., concurring]). Stare decisis promotes predictability in the law, engenders reliance on our decisions, encourages judicial restraint and reassures the public that our decisions arise from a continuum of legal principle rather than the personal caprice of the members of this Court (*see People v Taylor*, 9 NY3d 129, 148 [2007]).

Under stare decisis principles, a case "may be overruled only when there is a compelling justification for doing so" (*People v Lopez*, 16 NY3d 375, 384 n 5 [2011]; *see Taylor*, 9 NY3d at 148-149; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785, 787 [2000]). Such a compelling justification may arise when the Court's prior holding "leads to an unworkable rule, or . . . creates more questions than it resolves" (*Taylor*, 9 NY3d at 149); adherence to a recent precedent "involves collision with a prior doctrine more embracing in its scope, intrinsically sounder, and verified by experience" (*People v Hobson*, 39 NY2d 479, 487 [1976], quoting *Helvering v Hallock*, 309 US 106, 119 [1940]); or "a preexisting rule, once thought defensible, no longer serves the ends of justice or withstands the cold light of logic and experience" (*Policano v Herbert*, 7 NY3d 588, 604 [2006] [internal quotation marks and citation omitted]). In determining the precedential effect to be given to a prior decision, this Court must consider "the exercise of restraint in overturning established well-developed doctrine and, on the other hand, the justifiable rejection of archaic and obsolete doctrine which has lost its touch with reality" (*Hobson*, 39 NY2d at 487).

As noted above, in *Ford*, we concluded that, because deportation was a collateral consequence of a guilty plea, the trial court did not have to advise the defendant of the possibility of deportation during the plea allocution (*see* 86 NY2d at 403-404). Specifically, after setting forth the general factors distinguishing direct

and collateral consequences and providing some illustrative examples, we stated

“Deportation is a collateral consequence of conviction because it is a result peculiar to the individual’s personal circumstances and one not within the control of the court system. Therefore, our Appellate Division and the Federal courts have consistently held that the trial court need not, before accepting a plea of guilty, advise a defendant of the possibility of deportation. We adopt that rule and conclude that in this case the court properly allocated defendant before taking his plea of guilty to manslaughter in the second degree.” (*Id.* [citations omitted].)

Thus, we determined, “The [plea] court was under no obligation to inform the defendant of any possible collateral consequences of his plea, including the possibility of deportation, nor was defendant denied effective assistance of counsel” due to counsel’s lack of advice on the subject (*id.* at 405). Accordingly, *Ford* rested largely on the weight of authority at the time, i.e., prior to the 1996 amendments to the INA, which held deportation to be a collateral consequence of a guilty plea (*see e.g. United States v Parrino*, 212 F2d 919, 921-922 [2d Cir 1954]).

[4] However, the weight of authority and the will of Congress have shifted since our decision in *Ford*. To the extent *Ford* stands for the proposition that the court’s complete omission of any discussion of deportation at the plea proceeding can never render a defendant’s plea involuntary, that discrete portion of our opinion in *Ford* “no longer serves the ends of justice or withstands the cold light of logic and experience” (*Policano*, 7 NY3d at 604). *Ford*’s discussion of deportation was rooted in a legal and practical landscape that no longer exists, and the realities of the present-day immigration system have robbed it of much of its logical and experiential foundation. Given the nearly inevitable consequence of deportation, it no longer serves the ends of justice to perpetually uphold, without regard to the significance of deportation to the individual’s decision to plead guilty, every guilty plea of a noncitizen defendant entered in ignorance of the likelihood of removal from this country. We therefore overrule only so much of *Ford* as suggests that a trial

court's failure to tell a defendant about potential deportation is irrelevant to the validity of the defendant's guilty plea.⁷

In taking this extraordinary step, Judges Graffeo, Read and I do not treat as inconsequential the considerable reliance which *Ford's* assessment of deportation has engendered among prosecutors and trial courts throughout the State. Certainly, our repeated approving citations of *Ford* provided no reason to doubt the continued vitality of its pronouncement with respect to the immigration consequences of a guilty plea. So, too, we are mindful that *Ford's* discussion of deportation reinforced the repose afforded to the People by a noncitizen defendant's guilty plea. And, for nearly two decades, trial courts have relied on *Ford's* characterization of deportation as a collateral consequence of a plea to avoid potentially time-consuming litigation regarding the possibility of deportation. However, those significant reliance interests cannot overcome the fundamental injustice that would result from completely barring a noncitizen defendant from challenging his or her guilty plea based on the court's failure to advise the defendant that he or she might be deported as a result of the plea.

To avoid any confusion about the scope of our decision, we emphasize that it is quite narrow. Nothing in this opinion should be construed as casting doubt on the long-standing rule that, almost invariably, a defendant need be informed of only the direct consequences of a guilty plea and not the collateral consequences. We continue to adhere to the direct/collateral framework, and we do not retreat from our numerous prior decisions holding a variety of burdensome consequences of a guilty plea to be strictly collateral and irrelevant to the voluntariness of a plea (see *Monk*, 21 NY3d at 32; *Belliard*, 20 NY3d at 385; *Harnett*, 16 NY3d at 205-206; *Gravino*, 14 NY3d at 553-554). Indeed, the Court's decision in the instant appeals arises from the truly unique nature of deportation as a consequence of a guilty plea; there is nothing else quite like it.

7. Chief Judge Lippman and Judge Rivera concur in the Court's decision to overrule this specific portion of *Ford's* holding, but unlike a majority of this Court, comprised of Judges Graffeo, Read, Smith, Pigott and me, they doubt the validity of our precedents following *Ford* (compare Lippman, Ch. J., dissenting op at 211 [stating that *Ford* "is in its two principal holdings, if not in its ratio decidendi, no longer viable"], with Pigott, J., dissenting in part op at 205 ["creat(ing) no new law"]). Therefore, the Chief Judge and Judge Rivera do not join the remainder of this section of this opinion.

E

[3] As the Court⁸ recognizes today, to protect the rights of the large number of noncitizen defendants pleading guilty to felonies in New York, trial courts must now make all defendants aware that, if they are not United States citizens, their felony guilty pleas may expose them to deportation.⁹ Mindful of the burden this rule imposes on busy and calendar-conscious trial courts, they are to be afforded considerable latitude in stating the requisite advice. As this Court has repeatedly held, “trial courts are not required to engage in any particular litany during an allocution in order to obtain a valid guilty plea” (*People v Moissett*, 76 NY2d 909, 910 [1990]). As long as the court assures itself that the defendant knows of the possibility of deportation prior to entering a guilty plea, the plea will be deemed knowing, intelligent and voluntary.

The trial court must provide a short, straightforward statement on the record notifying the defendant that, in sum and substance, if the defendant is not a United States citizen, he or she may be deported upon a guilty plea. The court may also wish to encourage the defendant to consult defense counsel about the possibility of deportation. In the alternative, the court may recite the admonition contained in CPL 220.50 (7) that “if the defendant is not a citizen of the United States, the defendant’s plea of guilty and the court’s acceptance thereof may result in the defendant’s deportation, exclusion from admission to the United States or denial of naturalization pursuant to the laws of the United States.” Again, these examples are illustrative, not exhaustive, of potentially acceptable advisements regarding deportation.

F

As explained above, a majority of the Court, including Chief Judge Lippman, Judges Graffeo, Read, Rivera and me, concludes that due process requires a trial court to warn a defendant that, if the defendant is not a citizen of this country, the defendant may be deported as a result of a guilty plea to a felony. A separate majority of the Court, comprised of Judges Graffeo, Read,

8. The Court here refers to Chief Judge Lippman, Judges Graffeo, Read, Rivera and me.

9. Given that defendants were convicted of felonies here, we have no occasion to consider whether our holding should apply to misdemeanor pleas.

Smith and me, now turns to the question of the proper remedy.¹⁰ In this section of the opinion, this remedial majority describes the general parameters of the proper remedy of the relevant due process violation, and in section G, *infra*, we apply that remedy to defendants in these cases.

[5] The failure to apprise a defendant of deportation as a consequence of a guilty plea only affects the voluntariness of the plea where that consequence “was of such great importance to him that he would have made a different decision had that consequence been disclosed” (*Gravino*, 14 NY3d at 559). Therefore, in order to withdraw or obtain vacatur of a plea, a defendant must show that there is a reasonable probability that he or she would not have pleaded guilty and would have gone to trial had the trial court informed the defendant of potential deportation.¹¹

10. Again, Judge Smith does not concur in the Court’s due process holding, but rather concurs only in the remedy which this opinion specifies in light of that holding.

11. Judge Pigott’s opinion dissenting in part reaches “a very similar conclusion” to our own and “would create no new law” (Pigott, J., dissenting in part *op* at 205), but the dissent faults us for, in its view, implicitly “contradict[ing]” our decisions in *Gravino* and *Harnett* (*id.* at 205) and failing to provide noncitizen defendants with any practical benefit beyond that to which they are already entitled under *Padilla* (*id.* at 206). But, as stated at length above, our decision does nothing to disturb *Gravino*, *Harnett* or our settled jurisprudence in this area; as was the case with SORA registration or SOMTA confinement at issue in those decisions, the direct or collateral character of deportation, and the necessity of the trial court’s advice with respect to it, depends on its particular qualities.

In addition, our decision here provides noncitizen defendants with a significant practical benefit in addition to *Padilla*’s mandate. After all, a defendant challenging his plea under *Padilla* must possess an adequate record of both counsel’s deficient performance and prejudice, and because counsel’s advice or omissions with respect to the immigration consequences of a plea are often outside the record on direct appeal, the defendant must usually resort to a postjudgment motion to satisfy the performance prong of *Padilla*, not to mention the prejudice prong. By contrast, the defendant may raise a due process claim on direct appeal based on the court’s failure to mention deportation as a consequence of the plea, which will be apparent on the face of the record. Thus, the defendant will be entitled to a remittal to attempt to establish prejudice stemming from the readily apparent error. So, too, in some cases, the record on direct appeal may reveal factors which would have strongly compelled the defendant to reject the plea in an effort to avoid deportation, and thus the defendant could establish prejudice for due process purposes on direct appeal, without remittal, even though he could not show that his attorney was ineffective under *Padilla*. Indeed, there may be a variety of cases involving an ineffective assistance claim under *Padilla* and a due process

(n. cont’d)

In determining whether the defendant has shown such prejudice, the court should consider, among other things, the favorability of the plea, the potential consequences the defendant might face upon a conviction after trial, the strength of the People's case against the defendant, the defendant's ties to the United States and the defendant's receipt of any advice from counsel regarding potential deportation. This assessment should be made in a commonsense manner, with due regard for the significance that potential deportation holds for many noncitizen defendants. To aid in this undertaking, where possible, the defendant should make every effort to develop an adequate record of the circumstances surrounding the plea at sentencing, which will permit the trial court to efficiently determine the plea's validity and enable appellate review of the defendant's claim of prejudice.¹²

Chief Judge Lippman, with whom Judge Rivera joins, maintains that we are unfaithful to our *Catu* line of cases because we do not mandate automatic vacatur of a plea as the result of the court's failure to mention the possibility of deportation at the plea allocution (*see* Lippman, Ch. J., dissenting op at 209-212; *see also* op of Rivera, J., at 218-219). However, we are simply adhering to *Gravino* and *Harnett*, not departing from *Catu*. *Gravino* and *Harnett* make clear that when a uniquely significant plea consequence, while technically collateral, impacts the voluntariness of a defendant's plea, the defendant may receive his plea back only upon a showing of prejudice (*see Harnett*, 16 NY3d at 206-207; *Gravino*, 14 NY3d at 559). By contrast, the defendant is entitled to automatic vacatur of the

claim under the instant decision where a showing sufficient to warrant vacatur of the plea under one of those two doctrines will not satisfy the requirements of the other one. Accordingly, while we exercise restraint in balancing defendants' liberty and the State's interests to resolve the instant appeals, our decision is not the empty gesture that Judge Pigott's opinion mistakes it for.

12. In light of our conclusion that a trial court's failure to inform a defendant of potential deportation may render his or her guilty plea involuntary under certain circumstances, CPL 220.50 (7) cannot be read to deny vacatur of a plea when due process commands that relief. Rather, the statutory language stating that the court's failure to inform the defendant of potential deportation "shall not be *deemed* to affect the voluntariness of a plea of guilty" (*id.* [emphasis added]) can be plausibly read as an instruction to the court that it may not automatically "deem" the plea to be invalid based on the court's inadequate advice alone but rather must determine whether the defendant has been prejudiced before concluding that the plea was in fact involuntary. Indeed, we adopt this interpretation in large part to avoid constitutional concerns (*see Tauza v Susquehanna Coal Co.*, 220 NY 259, 267 [1917]).

plea only where, as in *Catu*, the court fails to mention a direct consequence of the defendant's plea (see *Catu*, 4 NY3d at 245). Here, as we have explained, deportation is a consequence of the sort described in *Gravino* and *Harnett* rather than a direct consequence, and to obtain vacatur of a plea based on the court's failure to mention deportation at the plea proceeding, a noncitizen defendant must demonstrate that he or she was prejudiced by the court's omission. Thus, our opinion is consistent with *Gravino*, *Harnett* and *Catu*.

In the Chief Judge's view, we are "telescop[ing]" the remedy for a due process violation and the ineffective assistance of counsel (Lippman, Ch. J., dissenting op at 211). But, to the extent our remedial approach to the instant appeals resembles the remedy for an attorney's constitutionally deficient performance, that makes eminent sense because, as we have previously observed, "the issue of whether [a] plea was voluntary," a matter of core concern for due process purposes, "may be closely linked to the question of whether a defendant received the effective assistance of counsel" (*Harnett*, 16 NY3d at 207). Thus, while the remedy for a due process violation as identified by the Court in these appeals is not coextensive with *Padilla*'s remedial rule in the ineffective assistance context, the two doctrines are similar.

G

As previously noted, defendant Peque did not preserve his claim that his plea was involuntary, and therefore we consider the application of the principles delineated above only in *Diaz* and *Thomas*.

[6] In *Diaz*, the trial court clearly failed to tell defendant that he might be deported if he pleaded guilty. Thus, if defendant has been prejudiced by that error, he is entitled to vacatur of his plea. Given that Supreme Court did not address the deficiency in the plea allocution at all, much less assess prejudice, defendant is entitled to a remittal to that court to allow him to move to vacate his plea and develop a record relevant to the issue of prejudice. Likewise, in future cases of this kind, where the deficiency in the plea allocution appears on the face of the record, the case should be remitted to the trial court to allow the defendant to file a motion to vacate the plea. Upon a facially sufficient plea vacatur motion, the court should hold a hearing to provide the defendant with an opportunity to demonstrate prejudice. In the instant case, if defendant can demonstrate that he

was prejudiced by the defect in the plea allocution upon remittal to Supreme Court, the court must vacate his plea. In the absence of a showing of prejudice, the court should amend the judgment of conviction to reflect its ruling on defendant's plea vacatur motion and otherwise leave the judgment undisturbed.¹³

[7] Unlike defendant Diaz, however, defendant Thomas cannot obtain relief based on the trial court's plea allocution in his case. Specifically, defendant Thomas's challenge to the voluntariness of his plea must be evaluated in light of the practical and legal relationship between a criminal conviction and deportation at the time he pleaded guilty in 1992. As discussed in detail above, at that time, deportation was a far less certain consequence of most defendants' guilty pleas because the federal government deported far fewer convicts and possessed far broader discretion to allow them to remain in the United States. Indeed, in acknowledgment of the federal government's broad discretion and latitude pertaining to deportation of immigrants around the time of defendant's plea, this Court and many federal courts recognized the strictly collateral nature of the immigration consequences of a guilty plea and held that a trial court did not have to advise a noncitizen defendant that his or her plea might subject the defendant to deportation (*see e.g. Ford*, 86 NY2d at 403-405; *United States v Littlejohn*, 224 F3d 960, 965 [9th Cir 2000]; *Gonzalez*, 202 F3d at 27; *United States v United States Currency in the Amount of \$228,536.00*, 895 F2d 908, 915 [2d Cir 1990]; *United States v Romero-Vilca*, 850 F2d 177, 179 [3d Cir 1988]; *Fruchtman v Kenton*, 531 F2d 946, 948-949 [9th Cir 1976]). That being so, trial courts then had no general duty to advise noncitizen defendants of the possibility of deportation as a consequence of their guilty pleas. And, here, the court had every reason to believe that defendant could avoid deportation as a result of his plea, notwithstanding that,

13. As mentioned above, defendant Diaz previously filed a CPL 440.10 motion seeking relief under *Padilla*, and Supreme Court denied the motion because defendant did not establish that he was prejudiced by his attorney's failure to inform him that his guilty plea could lead to his deportation. Notably, though, the Appellate Division denied defendant permission to appeal from the lower court's decision, and therefore we have no occasion to consider the denial of defendant's postjudgment motion in determining whether he should be granted relief on direct appeal. Furthermore, the People do not argue that the court's rejection of defendant's claim under *Padilla* should estop him from seeking to establish that the court's failure to warn him about potential deportation caused him prejudice. Accordingly, on these specific facts, defendant's prior postjudgment motion does not warrant an affirmance of his conviction without a remittal.

unbeknownst to the court, he had not resided in the United States for a sufficient period of time to avail himself of the Attorney General's discretionary power to exempt him from deportation (*see* 8 USC § 1182 [c] [1994]). Thus, defendant Thomas is not entitled to vacatur of his plea based on the trial court's failure to advise defendant of what was, at the time, an entirely collateral consequence of his plea.

III

Relying on *Padilla*, defendants Peque and Thomas additionally contend that their attorneys were ineffective for failing to tell them that their guilty pleas could result in deportation.¹⁴ We must first determine whether those claims are properly before us on direct appeal. In that regard, we have admonished defendants claiming ineffective assistance of counsel to develop a record sufficient to allow appellate review of their claims (*see People v Haffiz*, 19 NY3d 883, 885 [2012]; *People v McLean*, 15 NY3d 117, 121 [2010]). Where a defendant's complaint about counsel is predicated on factors such as counsel's strategy, advice or preparation that do not appear on the face of the record, the defendant must raise his or her claim via a CPL 440.10 motion (*see People v Denny*, 95 NY2d 921, 923 [2000]; *People v Love*, 57 NY2d 998, 1000 [1982]).

[8] In *Peque*, the plea and sentencing minutes do not reveal whether defense counsel misadvised or failed to advise defendant about the possibility of deportation before he pleaded guilty. At sentencing, counsel stated that defendant would be subject to deportation as a result of his plea and that counsel had informed defendant of his right to access the Guatemalan consulate, thereby indicating that counsel may have advised defendant on those matters prior to his plea. In light of the record evidence tending to contradict defendant's current complaints about his lawyer, it was incumbent on defendant to substantiate his allegations about counsel's advice below by filing a CPL 440.10 motion, and his failure to file a postjudgment motion renders his claim unreviewable (*see Haffiz*, 19 NY3d at 885 [because the defendant's *Padilla* claim was "predicated on

14. Because Chief Judge Lippman would reverse Peque's and Thomas's convictions on due process grounds, he does not express any view of their ineffective assistance claims. For the same reason, Judge Rivera does not address Peque's ineffective assistance claim, but she concurs with the Court's disposition of Thomas's due process and ineffective assistance claims (*see op of Rivera, J.*, at 218).

hearsay matters and facts not found in the record on appeal,” it should have been “raised in a postconviction application under CPL article 440”).¹⁵

[9] In *Thomas*, the limited record here and the trial court’s credibility determinations doom defendant’s claim. The record of the plea proceeding does not reveal whether defense counsel apprised defendant of the immigration consequences of his guilty plea. In support of his plea withdrawal motion, defendant averred that counsel had spoken with him about the immigration consequences of his plea and had misled him on that score, thus belying his current assertion that counsel completely failed to advise him about immigration issues. Additionally, defendant’s newly retained attorney did not have personal knowledge of his prior counsel’s advice, and therefore new counsel’s allegation that predecessor counsel had failed to advise defendant about deportation did not reliably establish the nature of predecessor counsel’s advice. Furthermore, the court did not abuse its discretion by discrediting defendant’s contradictory allegations about counsel’s performance (see *People v Baret*, 11 NY3d 31, 33-34 [2008]), and there is “no basis for disturbing the conclusion of both courts below” that defendant’s claim was “too flimsy to warrant further inquiry” or vacatur of his plea (*id.* at 34).

IV

Accordingly, in *People v Diaz*, the order of the Appellate Division should be modified by remitting the matter to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed. In *People v Peque* and *People v Thomas*, the order of the Appellate Division should be affirmed.

PIGOTT, J. (concurring in *People v Peque* and *People v Thomas*, and dissenting in *People v Diaz*).

I

In my view, the majority (for want of a better word), seeking a middle ground between the diametrically opposed positions of

15. Defendant Peque also asks us to reduce his sentence as a matter of discretion in the interest of justice. However, because defendant received a lawful and statutorily authorized sentence in this noncapital case, his claim is beyond our purview, as only an intermediate appellate court is authorized to grant the discretionary sentencing relief which he seeks (see CPL 470.15 [6] [b]; *People v Discala*, 45 NY2d 38, 44 [1978]).

the People and the defendants in these cases, creates no new law, and simply leaves us where we were before. One majority, comprised of Chief Judge Lippman, and Judges Graffeo, Read, Rivera and Abdus-Salaam, concludes that the risk of deportation “must be mentioned by the trial court to a defendant as a matter of fundamental fairness” (op of Abdus-Salaam, J., at 193). Then, a different majority, Judges Graffeo, Read, Smith and Abdus-Salaam, which refers to itself as the “remedial majority” (*id.* at 198), takes away with one hand what had been given with the other. A court’s failure to warn of the possibility of deportation does *not* automatically invalidate the plea (unlike the failure to warn a defendant of direct consequences of his plea, such as postrelease supervision). Rather, according to the remedial majority, a defendant’s recourse is merely “a hearing to provide the defendant with an opportunity to demonstrate prejudice” (*id.* at 200). But that remedy was already available to defendants under CPL 440.10. In short, the remedial majority’s analysis takes us nowhere new.

I would take a more straightforward approach. Deportation is a collateral consequence of a guilty plea, as the remedial majority concedes. We can infer from this that a defendant has no constitutional right to be informed by a state trial court judge of the possibility that the federal government may deport him or her.* However, under *Padilla v Kentucky* (559 US 356 [2010]), the Sixth Amendment requires a defendant’s *counsel* to “inform her client whether his plea carries a risk of deportation” (559 US at 374). “Whether he is entitled to relief depends on whether he has been prejudiced” (*id.* at 360), and, in showing prejudice, defendant must demonstrate that, in addition to his counsel’s failure to give the required advice, he was not informed by the trial court of the risk of deportation. If defendant can show that neither his counsel nor the trial court informed him of the possibility of deportation, and that he would not have pleaded guilty

* Such a warning is required by a statute, CPL 220.50 (7), which courts should, of course, follow, even if failure to do so is not reversible error. The statute was added

“as a component of budget legislation designed to reduce prison population by facilitating deportation of convicted felons who are not citizens of the United States. The admonition the court is required to impart . . . is aimed at diluting the effectiveness of arguments made by aliens at deportation hearings that they would not have pleaded guilty had they known the conviction would result in loss of the privilege of remaining in this country” (Peter Preiser, McKinney’s Cons Laws of NY, Book 11A, CPL 220.50 at 167).

had he been so informed, he will prevail at his postjudgment proceeding.

In short, I would reach a very similar conclusion to the remedial majority's, and, like the remedial majority, I would create no new law, but I would follow a far more direct path, based strictly on *Padilla*. The remedial majority's analysis gives defendants no practical benefit that *Padilla* does not already give them.

II

Another, equally fundamental weakness affects the “majority” opinion. The majority comprised of Chief Judge Lippman, and Judges Graffeo, Read, Rivera and Abdus-Salaam does not agree on a rationale for its due process holding. Although Judge Abdus-Salaam does not say so expressly, no precedential analysis emerges from her opinion.

Judges Graffeo, Read and Abdus-Salaam “reaffirm[] the central holding of [*People v*] *Ford* [(86 NY2d 397 [1995])] regarding . . . the distinction between direct and collateral consequences of a guilty plea” (op of Abdus-Salaam, J., at 176; *see id.* at 196). The same Judges also reaffirm *Ford*'s holding that deportation is a collateral consequence of a guilty plea, adding only the qualifier “technically” before “collateral” (*id.* at 191 n 5, 191-192, 199), but never retreating from the basic premise.

So far, I have no quarrel; Judge Smith and I agree with Judges Graffeo, Read and Abdus-Salaam that deportation is a collateral consequence of a guilty plea. However, the plurality consisting of Judges Graffeo, Read and Abdus-Salaam (*see* op of Abdus-Salaam, J., at 191-192) then attempts to treat deportation as a sui generis consequence that is at once collateral and uniquely significant. In doing so, the plurality fails to do justice to the severity of collateral consequences such as SORA registration and SOMTA confinement. A person who has been civilly confined, possibly for the rest of his life, under Mental Hygiene Law article 10, would be surprised to learn that three members of our Court believe that he has not been “deprive[d] . . . of an exceptional degree of physical liberty” (op of Abdus-Salaam, J., at 192). In my view, the plurality's position contradicts our holdings in *People v Gravino* (14 NY3d 546 [2010] [SORA registration is a significant, but a collateral, consequence of a conviction]) and *People v Harnett* (16 NY3d 200 [2011] [same with respect to SOMTA commitment]).

III

I agree that the Appellate Division orders in *People v Peque* and *People v Thomas* should be affirmed. However, with respect to *People v Diaz*, I do not agree that “the trial court clearly failed to tell defendant that he might be deported if he pleaded guilty” (op of Abdus-Salaam, J., at 200), the view taken by Chief Judge Lippman, and Judges Graffeo, Read, Rivera and Abdus-Salaam. Supreme Court told Diaz, “if you’re not here legally *or if you have any immigration issues* these felony pleas could adversely affect you” (emphasis added), and the court elicited an acknowledgment that Diaz understood this. Although Diaz was a legal permanent resident of the United States, he was not a citizen. As such, he was not able to vote in United States elections, or remain outside the United States for lengthy periods of time, without running the risk of his permanent residency being deemed abandoned. In the circumstances, I believe that the reference to “immigration issues” was sufficient to make Diaz aware that the trial court’s warning applied to him. It might have been preferable for Supreme Court to advise Diaz that, even if he was in the United States legally, a guilty plea might result in his deportation if he was not a United States citizen. But I cannot accept that, as a matter of law, Supreme Court’s words implied that a guilty plea would not entail adverse immigration consequences for Diaz.

IV

Nor should Diaz be permitted a second bite of the apple. Supreme Court denied Diaz’s CPL 440.10 motion, agreeing with Diaz that his defense attorney had been ineffective, but holding that Diaz had not met his burden of showing prejudice, i.e. showing that he would not have pleaded guilty if warned by counsel of the risk of deportation. The Appellate Division denied Diaz leave to appeal Supreme Court’s order, and consequently the proceeding did not reach us. Now the remedial majority remits the direct appeal to the trial court to, once again, “allow [defendant] to move to vacate his plea and develop a record relevant to the issue of prejudice” (op of Abdus-Salaam, J., at 200). But Diaz has already had his 440.10 proceeding (*see id.* at 179), and failed to establish any prejudice. It is therefore difficult to see what proceeding the remedial majority imagines should now occur.

V

For these reasons, I cannot join Judge Abdus-Salaam’s opinion. I would affirm in all three appeals (*but see People v Hernandez*, 22 NY3d 972, 977 [2013, Pigott, J., dissenting and voting to vacate defendant’s plea following a CPL 440.10 proceeding] [decided today]).

Chief Judge LIPPMAN (dissenting). I respond to the opinion subscribed to by three Judges, whom I refer to as the plurality, because that is the only writing offering reasons for the results announced in the above-captioned appeals. Although I would join a writing finding a due process entitlement on the part of a noncitizen defendant to be advised by the court of the possible immigration consequences of pleading guilty *and* making relief available when that entitlement is not honored, the plurality opinion does not meet the latter condition and I accordingly do not join it. I do, however, agree with the Judges who have signed the plurality opinion and with Judge Rivera, that deportation is such an important plea consequence that “it must be mentioned by the trial court to a defendant as a matter of fundamental fairness” (plurality op at 193).

The United States Supreme Court acknowledged in *Padilla v Kentucky* (559 US 356 [2010]) that “[d]eportation as a consequence of a criminal conviction is, because of its close connection to the criminal process, uniquely difficult to classify as either a direct or a collateral consequence” (*id.* at 366). The Court, accordingly, declined to use the direct/collateral distinction to ascertain whether deportation was a conviction consequence of which a pleading noncitizen defendant was required to be advised. Instead, the Court took note of certain realities whose crucial bearing upon a noncitizen’s decision whether to enter a plea of guilty were, by the time of the Court’s decision, undeniable. Prominent among these was that deportation had, since the mid-1990s, become for noncitizen defendants a virtually automatic consequence of convictions falling within several very broad penal categories, and that deportation was a particularly harsh superadded exaction—one that the Court did not shrink from referring to as a “penalty” (559 US at 364). Indeed, the Court had already recognized that deportation was a conviction consequence often more dreaded by noncitizen defendants than any prison sentence that might be imposed, either pursuant to a plea agreement or after trial (*see* 559 US at

368, citing *INS v. St. Cyr*, 533 US 289, 322 [2001]). In holding then that the constitutionally effective representation of a noncitizen contemplating the entry of a guilty plea required the provision of accurate advice as to the immigration consequences of the conviction that would ensue, the Court was driven by the recognition that a plea entailing deportation very often will be impossible to characterize as voluntary where that uniquely important consequence has not been disclosed to the defendant—that such pleas are categorically different from “the vast majority . . . [in which] the overwhelming consideration for the defendant is whether he will be imprisoned and for how long” (*People v. Gravino*, 14 NY3d 546, 559 [2010]).

The question now presented is whether, after *Padilla*, the description of deportation as a direct or a collateral plea consequence retains viability as a means of defining, not counsel’s, but the court’s duty in assuring the voluntariness of a plea. The plain answer to this question must be that it does not. If deportation is “uniquely difficult to classify as either a direct or a collateral consequence,” logically it is so for all purposes, not simply for the purpose of determining what advice counsel must give in satisfaction of the Sixth Amendment requirement of effective representation.

Once it is settled that the relevant inquiry is not whether deportation may be formally categorized as a direct or collateral consequence, but whether it is, as the *Padilla* Court observed, a consequence so certain, potentially pivotal and prevalent as to make its disclosure essential to assuring that the guilty plea of a noncitizen is knowing, intelligent and voluntary, it should be clear that the court’s allocutional obligations in taking a noncitizen’s plea are fully implicated. The realities shaping the court’s obligations, with respect to the conviction consequence of deportation, are not essentially different from those to which counsel must be responsive in advising a noncitizen defendant.

It is by now practically self-evident that the judicial obligation in taking a plea—i.e., assuring on the record that the defendant fully understands what the plea connotes and its consequences (see *Boykin v. Alabama*, 395 US 238, 244 [1969]), or, in other words, that “the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant” (*North Carolina v. Alford*, 400 US 25, 31 [1970], citing *Boykin*, 395 US at 242)—cannot realistically be met in the case of a noncitizen defendant unless the court’s canvass extends to ascertaining that the plea is made with the awareness that it may well result in the pleader’s deportation.

The plurality, wisely, does not avoid this conclusion; to do so would, in a very large number of cases, be to reduce to a painfully obvious fiction the notion so favored by the law that the taking of a plea in open court serves as an effective procedural bulwark against an uninformed and thus involuntary surrender of basic constitutional protections to which the defendant would otherwise be entitled prior to any adjudication of guilt (*see e.g. Brady v United States*, 397 US 742, 747 n 4 [1970] [“the record must affirmatively disclose that a defendant who pleaded guilty entered his plea understandingly and voluntarily”]; *Boykin*, 395 US at 242 [“prosecution (must) spread on the record the prerequisites of a valid waiver”]; *Carnley v Cochran*, 369 US 506, 516 [1962] [“The record must show . . . that an accused . . . intelligently and understandingly rejected (a constitutional right). Anything less is not waiver”]; *and see People v Cornell*, 16 NY3d 801, 802 [2011] [“due process requires that the record must be clear that the plea represents a voluntary and intelligent choice among . . . alternative courses of action” (internal quotation marks and citations omitted)]; *People v Louree*, 8 NY3d 541, 544-545 [2007]; *see also* plurality op at 184). Yet, while recognizing that the court has an independent due process obligation to notify a noncitizen defendant that his or her plea may result in deportation (plurality op at 176 [“We . . . hold that due process compels a trial court to apprise a defendant that, if the defendant is not an American citizen, he or she may be deported as a consequence of a guilty plea to a felony”])—a proposition with which I certainly agree—the plurality affords no remedy where that condition of due process has not been met, and in fact not one of the present appellants will in the end obtain relief.

If a plea proceeding fails of its essential purpose—if it does not create a record from which the knowing and voluntary nature of the defendant’s waiver and concomitant choice between available alternative courses of action may be readily understood—the plea is infirm. And, in that case, the appropriate response is to permit the plea’s withdrawal, not to cast about for a means of deeming the infirmity harmless (*see McCarthy v United States*, 394 US 459, 466 [1969] [“if a defendant’s guilty plea is not equally voluntary and knowing, it has been obtained in violation of due process and is therefore void”]). We have, in fact, permitted withdrawal as a matter of course where the defect in the plea amounts to a due process violation. In *People v Catu* (4 NY3d 242 [2005]), for example, we said:

“Because a defendant pleading guilty to a determinate sentence must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action, *the failure of a court to advise of postrelease supervision requires reversal of the conviction. The refusal of the trial court and Appellate Division to vacate defendant’s plea on the ground that he did not establish that he would have declined to plead guilty had he known of the postrelease supervision was therefore error* (see also *People v Coles*, 62 NY2d 908, 910 [1984] [‘harmless error rules were designed to review trial verdicts and are difficult to apply to guilty pleas’]).

“*In light of this result, we do not reach defendant’s alternative claim of ineffective assistance of counsel*” (*id.* at 245 [emphasis supplied]).

The Court’s¹ present approach to dealing with a due process violation identical in kind to that addressed by *Catu*, although practically far more consequential, is precisely contrary to that deemed “require[d]” in *Catu*. The defendant’s remedy now is said to lie in a postconviction motion in which it will be up to him or her—often without the aid of counsel and in a non-native tongue²—to navigate the postconviction relief maze in order to prove a circumstance that should have been, but was not, negated by the accepted plea—namely, that the plea was entered in ignorance of its deportation consequence, which, if disclosed, would, with reasonable probability, have caused its rejection. In short, having demonstrably been denied due process, a defendant is, under today’s decision, relegated to a claim that reduces to one for ineffective assistance—a claim that would, in the vast majority of cases, have been obviated by a constitutionally adequate plea. It was, of course, in recognition of the primacy of the plea court’s due process obligation, that *Catu* premised the right to plea withdrawal exclusively on the plea court’s default, and consequently did not reach *Catu*’s ineffective assistance claim. While the plurality stresses that the judicial obligation in

1. I refer here to the approach shared by the plurality and the dissenters for whom Judge Pigott has written, for as Judge Pigott has noted, those approaches are in their resolution practically indistinguishable. Neither affords noncitizen defendants relief from pleas that fail to establish the defendants’ awareness of their deportation consequence.

2. We speak here of what *Padilla*, with doubtless accuracy, described as the “class . . . least able to represent themselves” (559 US at 370-371).

taking a plea is independent of the obligation of counsel to provide accurate advice as to a plea's immigration consequence (plurality op at 193), the net effect of its decision is remedially to telescope the two, so that a due process claim based on a judicial default will not occasion relief except where there is also an attendant meritorious *Padilla* claim. The plurality acknowledges that this is so but says that it is appropriate since in *People v Harnett* (16 NY3d 200 [2011]) it was observed in a purely theoretical aside that "the issue of whether the plea was voluntary may be closely linked to the question of whether a defendant received the effective assistance of counsel" (*id.* at 207). But the issue of whether a plea is actually voluntary, appropriately implicated in determining whether a plea should in fairness be vacated where the plea is not facially deficient—the circumstance to which the above-quoted language from *Harnett* speaks—is not the issue presented here. The issue posed in the present appeals is instead whether the plea itself comports with due process when its canvass does not extend to its immigration consequence. Having evidently held that it does not, it makes no sense at all to then require, as a condition of relief, that a defendant whose plea was facially deficient prove a negative—namely, that the due process denial was not harmless. Due process violations are presumptively prejudicial—that is why they are so classified. The accommodation of the contrary, illogical premise, could not have been within *Harnett's* contemplation.

The delicacy with which the plurality treats *People v Ford* (86 NY2d 397 [1995])—a decision which, after *Padilla*, is in its two principal holdings, if not in its ratio decidendi, no longer viable—stands in strikingly awkward contrast to its abandonment of the remedial course charted in and required by *Catu*. Perhaps the plurality reasons that because deportation does not precisely fit the description of a direct conviction consequence and is, in its view "technically" a collateral consequence (plurality op at 192), that it is not governed by *Catu*. But this simply revives the direct/collateral distinction as a meaningful tool in characterizing deportation as a plea consequence. Not only is this use of the distinction demonstrably inapt after *Padilla*, it is utterly inconsistent with the plurality's correct conclusion that due process requires the plea to establish that a noncitizen defendant was advised of its possible deportation consequence. If, in fact, it continues to be material—even after *Padilla*—that deportation is not, strictly speaking, a "direct" conviction consequence within the meaning of *Ford*, it should follow that a plea court's nondisclosure of that consequence does not rise to

the level of a due process defect. But, that is a conclusion that the plurality, with ample empirical and legal justification, rightly eschews.

The plurality does not, however, eschew the remedial path hypothetically sketched in *Gravino* (14 NY3d at 559) and *Harnett* (16 NY3d at 207). Traveling it, however, is, as noted, inappropriate where the plea is affected by a due process deficiency such as the one the plurality identifies today. Plainly, the address of a due process violation was not what was intended when it was suggested in *Gravino* that a court might, as an “exercise [of] discretion” (14 NY3d at 559) vacate a plea if various conditions were met, among them that the defendant proved that, but for the nondisclosure of a consequence “of such great importance to him” (*id.*; and see *Harnett*, 16 NY3d at 207), he would not have pleaded guilty. The relief adverted to in *Harnett* and *Gravino* did not depend upon or respond to a default by the court in establishing the voluntariness of the plea; its purpose was rather to allow for a remedy precisely in those situations where the defendant was materially uninformed as to a plea consequence which, although of “great importance to him,” was not one about which the plea court was obliged to warn. In the cases before us, by contrast, we deal with judicial omissions incompatible with due process and bearing critically upon the very basis of the plea. The remedy in that latter circumstance is not “discretionary” as per *Gravino*’s dicta, it is “required” as per *Catu*’s holding.

Today’s plurality decision speaks eloquently of the severity of deportation as a conviction consequence (plurality op at 192-193), but in the end treats removal as just another collateral consequence that may be of “great importance” to a defendant, leaving the defendant to prove to the satisfaction of the court that took the plea, that the plea was uninformed as to the important consequence, and that, had that consequence been disclosed, the plea would not have been entered—or, at least, that the plea’s rejection would have been reasonably probable. Thus, although the Court now roots the judicial obligation to inform a pleading noncitizen of immigration consequences in due process, as a practical matter judges and defendants remain just as they were—a judge’s default in informing a noncitizen defendant that he may be deported will only be rectified in the context of a claim for what is essentially ineffective assistance of counsel, which is to say in the context of a claim that, of course, already exists, but is extraordinarily difficult to make

out (*see e.g. People v Hernandez*, 22 NY3d 972 [2013] [no reasonable probability that a defendant with six young children in this country would have rejected a plea to preserve a possibility of avoiding deportation])). The disjunction between the right recognized and the remedy offered is palpable. If due process requires a warning “to protect the rights of the large number of noncitizen defendants pleading guilty to felonies in New York” (plurality op at 197), it must be that the failure to give the warning is at least presumptively prejudicial. Here, however, the plurality illogically and unfairly places upon the demonstrably unwarned members of the vulnerable noncitizen class the formidable burden of proving individual prejudice.

In advocating the conceptually straightforward and until now legally uncontroversial notion, that a guilty plea unequal to the basic due process purpose of demonstrating that its entry was knowing and voluntary should be permitted to be withdrawn, I acknowledge the inevitable concern that its embrace in the present context would provoke a stampede to the courthouse. That concern, rationally assessed, I believe is exaggerated. New York has required by statute, now for some 18 years, that judges warn noncitizens of their pleas’ potential immigration consequences (*see* CPL 220.50 [7]). It cannot be presumed that the statute has been pervasively ignored (*see Padilla*, 559 US at 372 [“For at least the past 15 years, professional norms have generally imposed an obligation on counsel to provide advice on the deportation consequences of a client’s plea . . . We should, therefore, presume that counsel satisfied their obligation to render competent advice at the time their clients considered pleading guilty”]). But, if it has been, that is all the more reason to doubt the efficacy of substituting one toothless command³ for another, as the plurality today proposes. Nor is there reason to believe that noncitizen defendants will rush to scuttle pleas that were genuinely advantageous, notwithstanding an unallocated deportation consequence (*see Padilla*, 559 US at 372-373). Moreover, inasmuch as *Padilla* broke new ground “by

3. After requiring that noncitizen defendants be warned as to the possible immigration consequences of their contemplated pleas, CPL 220.50 (7) adds the proviso that the failure to give the prescribed warning “shall not be deemed to affect the voluntariness of a plea of guilty.” That the plurality ultimately finds this proviso compatible with its notion of what due process avails a pleading defendant (plurality op at 199 n 12) is strikingly indicative of how very narrow its decision is.

breaching the previously chink-free wall between direct and collateral consequences” (*Chaidez v United States*, 568 US —, —, 133 S Ct 1103, 1110 [2013]), there is strong reason to suppose that any remedy stemming from the demise of that “chink-free wall” would be limited to cases still on direct appeal (*see id.*). Finally, in the long term, affording noncitizens prompt and effective relief from pleas that manifestly fail to provide the assurance of voluntariness that due process requires, will reduce rather than increase postconviction claims and thus protect rather than subvert the finality of plea-based judgments of conviction.

The conscientious provision of the already statutorily prescribed judicial warning—which all of the present appellants agree is adequate—would itself obviate the overwhelming majority of postconviction claims relating to undisclosed immigration consequences. And, in those presumably rare cases where, despite the remedy of plea withdrawal, there was a judicial default, all of the concerned parties would be spared complicated and prolonged motion practice; the defendant would simply, logically, fairly and expeditiously be given his or her plea back and proceed to trial on the indictment. I note that several jurisdictions have such a rule (*see* RI Gen Laws § 12-12-22 [c]; Cal Penal Code § 1016.5 [b]; Conn Gen Stat Ann § 54-1j [c]; DC Code § 16-713 [b]; Mass Gen Laws ch 278, § 29D; Ohio Rev Code Ann § 2943.031 [D]; Vt Stat Ann tit 13, § 6565 [c] [2]; Wash Rev Code § 10.40.200 [2]; Wis Stat Ann § 971.08 [2]); the sky has not fallen as a result.

The literal-minded application of the direct/collateral distinction, *Padilla* notwithstanding, has given rise to a state of affairs where a court must, on pain of reversal, inform a pleading defendant of a term of postrelease supervision (PRS) but may, without consequence, fail to disclose to the same defendant that the plea will result in deportation, an outcome not merely overshadowing but usually nullifying the term of postrelease supervision.⁴ An analytic paradigm that would yield such an objectively skewed ordering of interests and corresponding

4. The nullifying effect of deportation upon a PRS term was, of course, the circumstance about which defendant Peque’s attorney wondered aloud, when the deportation issue surfaced at Peque’s sentencing. He said, “Mr. [Peque] is subject to deportation following the completion of his sentence. I’m not sure how that’s going to impact, assuming the Court imposes the sentence that’s been agreed upon, I’m not sure how that will affect the post-release supervision aspect of it.”

judicial concerns cannot and will not be viewed except as unmoored from the considerations of fundamental fairness that ought to animate our jurisprudence in passing upon pleas, the means by which guilt is established in the vast majority of criminal cases. Nothing in today's very long plurality decision functions to diminish this signal anomaly one whit. Calling the court's failure to advise of an immigration consequence a due process denial without affording the defendant a remedy for that denial amounts to no more than a verbal gesture. While the plurality insists that our precedents do not allow more, that is transparently incorrect. As noted, this Court has been clear as to the remedy required when a plea court fails to establish on the record, to the extent that due process requires, that a plea is a knowing and intelligent choice between available alternative courses of action. The notion, then, that the plurality is somehow constrained to withhold relief for the nonperformance of the "distinct" and "independent" judicial due process obligation it has postulated is altogether puzzling. It would be one thing if, like Judge Pigott, the plurality simply found that, *Padilla* notwithstanding, *Ford* remained good law for the proposition that judges have no due process duty to advise pleading noncitizens of immigration consequences. But, having found to the contrary, the failure to afford any logically and legally responsive remedy to noncitizen defendants left unwarned by the court as to the possible immigration consequences of their pleas represents a perplexing election—one that is in no way explained post-*Padilla* by clinging, practically as an article of faith, to an orthodoxy that, as the plurality opinion acknowledges at length, time and circumstance have overwhelmed, at least with respect to the characterization of immigration consequences for plea purposes.

Given the plurality's indisposition to navigate the not so complicated route from its understanding of what due process requires of a court taking a plea, to a logical and efficacious remedy when the standard it has set has not been met—indeed, its evident determination instead to follow a tortuous path influenced by what is, in the present context, a thoroughly discredited formalism—a legislatively prescribed remedy will be necessary to untie the Gordian knot now fashioned and protect the adjudicative rights of noncitizen criminal defendants.

I would reverse in each of the cases before us.

In *Peque*, although there was some fairly random mention of deportation at the sentencing proceeding (*see* n 4, *supra*), there was no judicial advisement at either plea or sentence as to the prospect of deportation, and Peque was manifestly confused as to what his plea involved. I do not, moreover, believe it reasonable to require preservation in this context. The purpose of the judicial advisement here at issue is to assure that the defendant is aware of the plea consequence. A preservation requirement presumes knowledge that would make the advisement unnecessary—a classic “Catch-22,” particularly inappropriate when dealing with the class of defendants “least able to represent themselves” (*Padilla*, 559 US at 370-371) and where a meritorious claim for plea withdrawal—at least under the plurality formulation—presupposes that the defendant has been ineffectively represented.⁵

The advisement provided in connection with defendant Diaz’s plea was, I believe, affirmatively misleading as to the likelihood of any immigration consequence and, on that ground, Diaz should be permitted to withdraw his plea and face trial on the indictment charging an A-I drug felony; if that is a risk he wishes to take to preserve the possibility of remaining in this country where he has resided legally for most of his life and has an infant child, he should be permitted to do so.

I would note in passing that Diaz’s case illustrates the extreme procedural difficulty of obtaining relief by the means now prescribed. Although the plurality acknowledges that the “trial court clearly failed to tell [Diaz] that he might be deported” (plurality op at 200), and purports to afford him the possibility of relief, it logically precludes him from prevailing in any ensuing litigation, since the showing of prejudice it requires has already been made and found wanting; Diaz’s CPL 440.10 motion was denied on the ground that he failed to satisfy the

5. In view of this latter circumstance, the utility of the plurality’s advice that a noncitizen defendant seeking plea withdrawal for nonadvisement as to an immigration consequence “should make every effort to develop an adequate record of the circumstances surrounding the plea at sentencing” (plurality op at 199) is dubious. If counsel has, by hypothesis, been ineffective it does not seem reasonable to expect the same attorney to make a record as to the very matter as to which the representation was deficient. If, as the plurality points out, it is not generally prudent to assume that “defense counsel ‘will’ do something simply because it is required of effective counsel” (*Moncrieffe v Holder*, 569 US —, —, 133 S Ct 1678, 1692 [2013]) (plurality op at 193), surely it cannot be prudent to suppose that ineffective counsel will do something because it is required of effective counsel.

Strickland prejudice prong, and leave to appeal was thereafter denied by an Appellate Division Justice. Like Diaz, all defendants alleging a due process violation by reason of an inadequate plea, in order to obtain relief, would, under today's plurality decision, be compelled to split their claim between a direct appeal and a separate 440.10 proceeding—a complication that is pointless, since a defendant under current law, which the plurality does not alter in any practical respect, can in the end only obtain relief via a 440.10 claim for ineffective representation. Rather than temporize, I would afford Diaz actual relief from a plea that was not demonstrably knowing and voluntary.

Finally, as to defendant Thomas, inasmuch as his case is on direct appeal, I believe he is entitled to the benefit of our current jurisprudence. His postplea fraud upon the court logically has no bearing upon whether his plea was knowing, intelligent and voluntary, and there is no ground advanced by the plurality or the People to except from the rule that, ordinarily, a direct appeal from a judgment of conviction will be governed by the law as it exists at the time the appeal is decided (*see People v Jean-Baptiste*, 11 NY3d 539, 542 [2008])—a bright line demarcation we have adhered to, even where there has been lengthy delay attributable to the appellant (*see e.g. People v Martinez*, 20 NY3d 971 [2012]).

The People, I note, really do not identify any relevant prejudice traceable to defendant's fabrication of his demise. Thomas has already served his enhanced sentence. Even if his plea withdrawal motion is granted, and the People are unable to re prosecute him for lack of witnesses or physical evidence,⁶ he will have been amply punished for his criminal conduct and for his chicanery. There is nonetheless a real and persisting issue as to the validity the plea upon which this punishment was based, and, in that connection, the People can claim no vested interest in the application of outdated precedent, or, in other words, the retention of the pre-*Padilla* legal context. This is especially so since *Padilla* was remedial; it responded to circumstances existing long before its issue in 2010 (*see Padilla*, 559 US at 362-363). Indeed, by 1992, the year of defendant's plea, deportation had become mandatory for noncitizens convicted of crimes falling into several broadly defined categories, one of which was for drug offenses; with a few closely drawn exceptions not applicable

6. It is noted that while the People raise these impediments to re prosecution on appeal in a general way, they have never made any concrete allegation that they would be unable to proceed against defendant on the sale counts with which he was initially charged.

cable to defendant, virtually all drug convictions by that time entailed automatic removal.⁷

The People, whose interest properly lies not simply in winning this appeal but doing justice, can claim no prejudice from *Padilla*'s application to Thomas's case. To the extent that the decision's "new rule" retroactively applied may unduly impair the finality of convictions, that has been dealt with by the Supreme Court in *Chaidez*, which limits *Padilla*'s backward reach to cases that have not become final, i.e., those, like defendant's, still on direct appeal (568 US at —, 133 S Ct at 1113).

In my view, Thomas's right to relief is made out by the record of his plea proceeding at which, five days after his alleged wrongdoing and before being indicted, Thomas, then a 21-year-old novice to the criminal justice system, entered a plea to attempted criminal sale of a controlled substance in the third degree in exchange for a disarmingly attractive 30-day jail sentence without being advised by the court, or indeed by anyone present, that, upon his release, he would be deported. It is, I believe, clear that Thomas's was not a knowing and voluntary plea.

RIVERA, J. (dissenting in *People v Peque* and *People v Diaz*, and concurring in *People v Thomas*). I concur with Judge Abdus-Salaam's opinion in *People v Thomas* that "defendant Thomas's challenge to the voluntariness of his plea must be evaluated in light of the practical and legal relationship between a criminal conviction and deportation at the time he pleaded guilty in 1992" (op of Abdus-Salaam, J., at 201), and as such, defendant is not entitled to relief for the reasons stated therein.

I join the Chief Judge's dissent in *People v Peque* and *People v Diaz* in all respects because I believe the trial court's failure to advise a noncitizen that the plea may potentially subject defendant to deportation requires automatic vacatur.* I write separately because, in addition to all of the arguments so cogently and comprehensively discussed in the Chief Judge's dissent, to the extent Judge Abdus-Salaam's opinion grounds its

7. As defendant observes, the immigration consequences of his plea to an attempted drug sale were dictated by 8 USC § 1251 (a) (2) (B) (i), a statute materially identical to its successor, 8 USC § 1227 (a) (2) (B) (i), the provision that applied to Padilla, and which was described by the Supreme Court as "succinct, clear, and explicit" (559 US at 368).

* I also agree with the Chief Judge's dissent in *Peque* that requiring preservation is not reasonable. In my opinion, defendant should not be penalized by demanding preservation when at the time that defendant Peque entered a

(n. cont'd)

due process analysis on the immigration status of noncitizen defendants, then violation of these defendants' rights as so recognized mandates a status-based response. The "reasonable probability" test, however, is not status-based, but rather an individualized multifactor balancing test under which the defendant must establish prejudice.

If deportation implicates due process for a noncitizen defendant, based solely on, and because of, that very immigration status and its attendant devastating consequences, then those consequences are no less consequential as an individualized matter. By locating noncitizen defendants in a rarefied criminal justice system—one that recognizes immigration status as the basis for a due process claim, but which simultaneously denies a status-based remedy—the opinion constructs an ultimately flawed legal framework.

Judges GRAFFEO and READ concur with Judge ABDUS-SALAAM; Judge PIGOTT concurs in result in an opinion in which Judge SMITH concurs; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judge RIVERA concurs in a separate opinion.

In *People v Peque*: Order affirmed.

Judges GRAFFEO and READ concur with Judge ABDUS-SALAAM; Judge SMITH concurs in result; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judge RIVERA concurs in a separate opinion; Judge PIGOTT dissents and votes to affirm in an opinion.

In *People v Diaz*: Order modified by remitting to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

Judges GRAFFEO and READ concur with Judge ABDUS-SALAAM; Judge PIGOTT concurs in result in an opinion in which Judge SMITH concurs; Judge RIVERA concurs in result in a separate opinion; Chief Judge LIPPMAN dissents and votes to reverse in an opinion.

In *People v Thomas*: Order affirmed.

plea the law in New York specifically foreclosed the relief he now seeks (*see People v Ford*, 86 NY2d 397, 403-404 [1995] [finding deportation is a collateral consequence of a guilty plea and therefore the court has no duty to inform defendant of such consequence during allocution]; *see also* CPL 220.50 [7] [failure to advise defendant that guilty plea could result in deportation "shall not be deemed to affect the voluntariness of a plea of guilty or the validity of a conviction"]).

[3 NE3d 1128, 980 NYS2d 880]

LINDA P. NASH, Appellant, v THE PORT AUTHORITY OF NEW YORK
AND NEW JERSEY, Respondent.

Argued October 9, 2013; decided November 26, 2013

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 8, 2013. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Milton A. Tingling, J.; op 2012 NY Slip Op 33401[U] [2012]), which had granted defendant's motion to vacate the judgment of that court which was in plaintiff's favor.

Nash v Port Auth. of N.Y. & N.J., 102 AD3d 420, reversed.

HEADNOTES

Judgments — Vacatur of Judgment — Judgment Based on Subsequently Invalidated Order — Application to Final Judgment

1. Supreme Court had jurisdiction to vacate, under CPLR 5015 (a) (5), a judgment it rendered in favor of plaintiff in her action against defendant Port Authority for injuries she sustained in the 1993 World Trade Center bombing, based upon the Court of Appeals reversal of the judgment and the liability order entered in a case which was jointly tried with plaintiff's case on the issue of liability, notwithstanding that plaintiff's judgment previously became final upon defendant's failure to appeal the Appellate Division's affirmance of her judgment within the requisite time period. Pursuant to CPLR 5015 (a) (5), the "court which rendered a judgment or order may relieve a party from it upon such terms as may be just, on motion of any interested person" on the ground of "reversal, modification or vacatur of a prior judgment or order upon which it is based." That section is applicable where, as here, the reversed, modified or vacated judgment or order is the basis for a later judgment, i.e., where it was actually entered in the same lawsuit as, and led directly to, the later judgment. With regard to the judgment sought to be vacated, section 5015 does not distinguish between final and nonfinal judgments, but applies to both judgments that are still in the appellate process and those in which appellate review has been exhausted. Motions made pursuant to CPLR 5015 (a) (5) contain no limitation of time, only a requirement that the time within which the motion is made be reasonable, as determined by the court in its discretion.

Judgments — Vacatur of Judgment — Judgment Based on Subsequently Invalidated Order or Judgment — Exercise of Discretion

2. Supreme Court erred in vacating a judgment it rendered in favor of plaintiff in her action against defendant Port Authority for injuries she sustained in the 1993 World Trade Center bombing based solely on its finding that the decision in *Matter of World Trade Ctr. Bombing Litig.* (17 NY3d 428 [2011]), a case which was jointly tried with plaintiff's case on the issue of liability, "eviscerate[d] any judgment, holding or finding of liability involving tortious liability on behalf of the Port Authority" and "required" the court to

find defendant insulated from liability. Pursuant to CPLR 5015 (a) (5), the “court which rendered a judgment or order may relieve a party from it upon such terms as may be just, on motion of any interested person” on the ground of “reversal, modification or vacatur of a prior judgment or order upon which it is based.” That section makes clear that the motion court’s determination to vacate a judgment is a discretionary one. In exercising its discretion, the motion court should consider the facts of the particular case, the equities affecting each party and others affected by the judgment or order, and the grounds for the requested relief. Here, Supreme Court appeared to believe that once the Court of Appeals’ holding reversed the earlier liability determination to which plaintiff was a party, it had no choice but to grant the vacatur motion. Thus, it exercised no discretion because it erroneously perceived that it had no discretion.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Judgments §§ 671, 707, 713.
CARMODY-WAIT 2d, Motions and Orders § 8:149; CARMODY-WAIT 2d, Judgments §§ 63:255, 63:256.
MCKINNEY’S, CPLR 5015 (a) (5).
NY JUR 2d, Judgments §§ 29, 205, 210, 218.
SIEGEL, NY PRAC § 431.

ANNOTATION REFERENCE

See ALR Index under Judgments, Orders, and Decrees; Vacation and Modification of Judgment or Verdict.

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POINTS OF COUNSEL

Louis A. Mangone, New York City, for appellant. I. When the Port Authority of New York and New Jersey decided, very deliberately, to not seek leave to appeal the Appellate Division’s affirmance of Linda P. Nash’s final judgment to this Court it also, very deliberately (a) allowed Ms. Nash’s final judgment to become res judicata on the merits of her claim against it, to wit, “a conclusive determination” of all “questions of both law and fact there litigated,” “the legal effect” of which could not be “destroy[ed] or diminish[ed]” even if it “was erroneous,” (b) waived and abandoned its pursuit of an order reversing the April 29, 2008 interim order of the Appellate Division in Ms. Nash’s case, and all claims of error in her final judgment, (c) deprived this and all other courts of subject matter jurisdiction

to “destroy or diminish” it, and (d) put an end to Ms. Nash’s case. (*Lacks v Lacks*, 41 NY2d 71; *Slater v American Min. Spirits Co.*, 33 NY2d 443; *Sears, Roebuck & Co. v 9 Ave.-31 St. Corp.*, 274 NY 388; *Bray v Cox*, 38 NY2d 350; *Matter of Huie [Furman]*, 20 NY2d 568; *Deeves v Fabric Fire Hose Co.*, 19 AD2d 735, 14 NY2d 633; *Matter of Haverstraw Park v Runcible Props. Corp.*, 33 NY2d 637; *Ocean Acc. & Guar. Corp. v Otis El. Co.*, 291 NY 254; *Pollak v Port Morris Bank*, 257 NY 287; *People v Thomas*, 47 NY2d 37.) II. This Court’s September 22, 2011 decision in *Ruiz* (17 NY3d 428 [2011]) was not a decision in Linda P. Nash’s case, where the Port Authority of New York and New Jersey voluntarily abandoned its pursuit of an order reversing the Appellate Division’s April 29, 2008 interim order that separately affirmed the Port Authority’s liability to her on her claim, did not, and could not have been, intended to apply to Ms. Nash’s previously affirmed final judgment, and could not serve as a predicate for any motion for relief from Ms. Nash’s affirmed final judgment under CPLR 5015 (a) (5). (*Parker v Rogerson*, 35 NY2d 751; *Deeves v Fabric Fire Hose Co.*, 14 NY2d 633; *Matter of Huie [Furman]*, 20 NY2d 568; *Sears, Roebuck & Co. v 9 Ave.-31 St. Corp.*, 274 NY 388; *Gager v White*, 53 NY2d 475; *Firestone Tire & Rubber Co. v Risjord*, 449 US 368; *Matter of McKenna v County of Nassau, Off. of County Attorney*, 61 NY2d 739; *Glicksman v Board of Educ./Cent. School Bd. of Comsewogue Union Free School Dist.*, 278 AD2d 364; *People v Thomas*, 47 NY2d 37; *Slater v American Min. Spirits Co.*, 33 NY2d 443.)

Weil, Gotshal & Manges LLP, New York City (Gregory Silbert, Richard A. Rothman and Karin Portlock of counsel), and *Goldberg Segalla LLP*, Garden City for respondent. I. The Supreme Court properly granted the Port Authority of New York and New Jersey’s motion to vacate the judgment. (*Lacks v Lacks*, 41 NY2d 71; *Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Maddux v Schur*, 53 AD3d 738; *Patron v Patron*, 40 NY2d 582; *Alliance Prop. Mgt. & Dev. v Andrews Ave. Equities*, 70 NY2d 831; *People v Guay*, 18 NY3d 16; *Matter of Huie [Furman]*, 20 NY2d 568; *Levitt v County of Suffolk*, 166 AD2d 421; *Matter of Grossman v Ilowitz*, 72 AD3d 821; *Dupkanicova v James*, 17 AD3d 627.) II. Linda P. Nash’s remaining assertions would not constitute error as a matter of law and are false in any event.

OPINION OF THE COURT

PIGOTT, J.

In *Matter of World Trade Ctr. Bombing Litig.* (17 NY3d 428 [2011]) (*Ruiz*), we held that the governmental immunity doc-

trine insulated the Port Authority of New York and New Jersey (Port Authority) from tortious liability for injuries sustained in the 1993 World Trade Center bombing (*id.* at 455). Four days after our decision in *Ruiz* was published, the Port Authority moved by order to show cause to vacate the \$4.4 million judgment of plaintiff, Linda P. Nash, which had been entered on January 15, 2010. The Nash judgment had become final as of July 13, 2011 due to the failure of the Port Authority to appeal to this Court from the order of the Appellate Division entered June 2, 2011 affirming that judgment (85 AD3d 414 [1st Dept 2011]).

The Port Authority moved to vacate the judgment pursuant to CPLR 5015 and Supreme Court’s “inherent powers.” As relevant here, CPLR 5015 (a) provides that “[t]he court which rendered a judgment or order may relieve a party from it upon such terms as may be just, on motion of any interested person . . . upon the ground of: . . . (5) reversal, modification or vacatur of a prior judgment or order upon which it is based.” Supreme Court granted the Port Authority’s motion to vacate the judgment, stating that the *Ruiz* holding “eviscerate[d] any judgment, holding or finding of liability” against the Port Authority, and “require[d]” Supreme Court to find that the Port Authority was “insulated from tortious liability” (2012 NY Slip Op 33401[U], *1 [2012]).

A divided Appellate Division affirmed, with the majority holding that Supreme Court “did not abuse its discretion by vacating [Nash’s] final judgment,” given this Court’s determination in *Ruiz* (102 AD3d 420, 421 [1st Dept 2013]). The dissenting Justices, however, reasoned that because Nash’s judgment had become final once the Port Authority failed to appeal from the June 2, 2011 order, it could not avoid its enforcement and had abandoned any claim that it was not liable to Nash (*id.* at 424). Nash then appealed to this Court as of right.

Nash claims that Supreme Court lacked jurisdiction to vacate her judgment under CPLR 5015 (a) (5) because the Port Authority failed to timely appeal to this Court from the June 2, 2011 Appellate Division order affirming her judgment on both liability and damages, thereby rendering her judgment a final one beyond the scope of review. Both parties, as well as the majority and dissent in the Appellate Division, rely on *McMahon v City of New York* (105 AD2d 101 [1st Dept 1984]) in support of their respective arguments. In *McMahon*, the City sought to

vacate the judgment, which was based on the same liability determination following a joint trial on liability, that we reversed in *O'Connor v City of New York* (58 NY2d 184 [1983]). Our decision in *O'Connor* was released while McMahon's appeal to the Appellate Division on an issue related to damages was still pending. However, under the facts of this case, *McMahon* is inapplicable.

In *McMahon*, the City failed to take any further action on the pending *McMahon* appeal. Instead, with two days remaining on its time to perfect, the City moved to reargue the original liability determination and for an extension of time to perfect its appeal. The Appellate Division denied that motion "without prejudice to applications for appropriate postjudgment relief in the Supreme Court in light of *O'Connor v City of New York*" (*McMahon*, 105 AD2d at 103-104). The City then moved to vacate the judgment pursuant to CPLR 5015 (a) (5). The motion court denied the motion because the Appellate Division had dismissed the *McMahon* appeal. However, the Appellate Division reversed, granted the motion to vacate and dismissed the complaint, stating that "the *McMahon* case was still in the direct appeal process" and the court's "without prejudice" language specifically gave the City the opportunity to make a postjudgment motion (*id.* at 103-104). The dismissal of the appeal itself did not prohibit the City from seeking whatever postjudgment relief it could obtain from Supreme Court, including relief pursuant to CPLR 5015 (a).

Here, we agree with Nash that her judgment had, in fact, become final when the Port Authority failed to appeal within the requisite time period. But the discussion does not end there. Although a court determination from which an appeal has not been taken should "remain inviolate," that rule applies "[a]bsent the sort of circumstances mentioned in CPLR 5015" (*Matter of Huie [Furman]*, 20 NY2d 568, 572 [1967]; see *Lacks v Lacks*, 41 NY2d 71, 74-75 [1976] [stating that objections made pursuant to CPLR 5015 (a) (4) survive a final judgment]; see also Third Preliminary Rep of Advisory Comm on Prac and Pro, 1959 NY Legis Doc No. 17 at 204-205 [stating that proposed CPLR 50.5 (a), later renumbered 5015 (a), applies to "(the) setting aside (of) final judgments"]). Moreover, as Professor Siegel has observed,

"[i]f a judgment for which preclusive effect is sought is itself based on an earlier judgment . . . , and the

earlier one has been vacated or reversed or otherwise undone, it is of course *divested of its finality* and the remedy to cancel the second judgment is a motion to vacate it on the ground of the undoing of the first” (Siegel, NY Prac § 444 at 776 [5th ed 2011] [emphasis supplied], citing CPLR 5015 [a] [5]).

Paragraph (5) of section 5015 (a) is applicable where the reversed, modified or vacated judgment or order is the basis for a later judgment—not where it merely compelled the result as a matter of collateral estoppel or stare decisis, *but where it was actually entered in the same lawsuit as, and led directly to, the later judgment*. Thus, section 5015 (a) (5) applies in a case like this one where a joint trial on liability results in a single order entered in two cases, and where, after a separate trial on damages in one of the cases, that order is reversed on appeal. Here, when *Ruiz* was appealed to this Court pursuant to CPLR 5602 (a) (1) (ii) (bringing up for review the liability order previously entered in both *Ruiz* and *Nash*), Nash submitted a brief and participated in the June 1, 2011 argument. However, after the judgment in her appeal became final on July 13, 2011, she chose not to participate when the *Ruiz* appeal was reargued in August 2011.

[1] Section 5015 applies not only to judgments that are still in the appellate process, as in *McMahon*, but also to those in which appellate review has been exhausted. Save for the one-year requirement in section 5015 (a) (1) concerning excusable defaults, motions made pursuant to paragraphs (2), (3) and (5) contain no limitation of time, only a requirement that the time within which the motion is made be “reasonable” (David D. Siegel, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C5015:3). The determination as to whether such a motion has been made within a reasonable time is within the motion court’s discretion (*see* Third Preliminary Rep of Advisory Comm on Prac and Pro, 1959 Legis Doc No. 17 at 205). Notably, section 5015 does not distinguish between final and nonfinal judgments, or those that have or have not exhausted the appeals process. Therefore, Nash’s contentions that Supreme Court was precluded from entertaining the motion or lacked jurisdiction to vacate the judgment are without merit.

Here, the prior liability order upon which Nash’s judgment was based was reversed by this Court in *Ruiz*. Nonetheless, section 5015 (a) makes clear that the motion court’s determination to vacate a judgment is a discretionary one. It “may relieve” a

litigant from a judgment “upon such terms as may be just.” This language applies to all five of the enumerated CPLR 5015 (a) paragraphs, in addition to qualifying the court’s common-law ability to grant relief from a judgment in the interests of justice (*see Ladd v Stevenson*, 112 NY 325, 332 [1889]). In exercising its discretion, the motion court should “consider the facts of the particular case, the equities affecting each party and others affected by the judgment or order, and the grounds for the requested relief” (Weinstein-Korn-Miller, NY Civ Prac ¶ 5015.03 at 50-284).

[2] Here, Supreme Court’s only finding was that this Court’s decision in *Ruiz* “eviscerate[d] any judgment, holding or finding of liability involving tortious liability on behalf of the Port Authority,” and therefore “require[d]” Supreme Court to find the Port Authority insulated from tortious liability pursuant to CPLR 5015 (a) (5) (2012 NY Slip Op 33401[U], *1 [2012]). It also appeared to believe that once the Port Authority had demonstrated that the *Ruiz* holding reversed the earlier liability determination to which Nash was a party, Supreme Court had no choice but to grant the Port Authority’s vacatur motion. That was error.

Our holding in *Ruiz* did not divest Supreme Court of its authority to review the equities with respect to these parties in determining whether to vacate the judgment, nor did it mandate that the court considering a CPLR 5015 (a) motion grant the motion by rote. Similarly, the Appellate Division, which possessed the authority to review Supreme Court’s determination, could have conducted its own independent analysis of the pertinent facts, but it failed to do so, holding only that “[t]he motion court did not abuse its discretion by vacating a final judgment” pursuant to CPLR 5015 (a) (5) (102 AD3d at 421). But, here, Supreme Court exercised *no* discretion, “because it erroneously perceived that it had no discretion to exercise” (*see People v Cronin*, 60 NY2d 430, 433 [1983]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter should be remitted to Supreme Court for further proceedings in accordance with this opinion.

GRAFFEO, J. (dissenting in part). All six of us agree that the Appellate Division order affirming the vacatur of plaintiff’s judgment must be reversed. The majority concludes that the appropriate corrective action is to remit this case to Supreme

Court to permit consideration of the Port Authority's vacatur application anew. Because I believe that Supreme Court lacked discretion to vacate the *Nash* judgment under the circumstances presented, I would reverse the order of the Appellate Division and deny the motion to vacate. In my view, the majority misunderstands the purpose of CPLR 5015 (a) (5) and interprets the statute in a manner that offends well-settled principles concerning the finality of judgments for which appellate rights have been exhausted.

I begin with some fundamentals. A party that appeals in a particular case can obtain relief while a party that fails to do so cannot, even if the nonappealing party had preserved the same meritorious argument and would have prevailed had an appeal been taken (*Hecht v City of New York*, 60 NY2d 57 [1983]; *People v Caminito*, 3 NY2d 596 [1958], *cert denied sub nom. Noia v People of the State of New York*, 357 US 905 [1958] [where defendant did not appeal, he could not bring coram nobis proceeding seeking vacatur of conviction raising issue on which codefendants had prevailed on appeal]). We generally do not reward litigants for failing to assert arguments in a timely fashion—with few exceptions, claims not promptly advanced are deemed waived or forfeited and this proposition applies to the right to seek reversal of a judgment on the ground that it is erroneous on the facts or law (i.e., the type of argument made on direct appeal).

Once a judgment is final (either because appellate rights have been exhausted or a party has failed to timely pursue them), it is generally binding as between the parties with respect to any legal or factual issue they had a full and fair opportunity to litigate (*see generally Bray v Cox*, 38 NY2d 350 [1976] [dismissal of interlocutory appeal for failure to prosecute bars later attempt to raise the same issue on appeal from final judgment]; *Slater v American Min. Spirits Co.*, 33 NY2d 443 [1974] [a party cannot seek reargument or renewal after the time to appeal the order has expired]). Simply stated, when a party allows its appellate rights to lapse, it forfeits the right to challenge any issue it could have raised on direct appeal. The majority does not explain why these principles are inapplicable here—I find them to be dispositive. From the moment the Port Authority's time to pursue an appeal from the Appellate Division order affirming the *Nash* judgment expired, it was foreclosed from pursuing (through a vacatur application or otherwise) any issue that it could have raised in that appeal—including the governmental function immunity defense.

Nothing in CPLR 5015 (a) suggests otherwise. That statute permits a party to seek vacatur of a judgment or order on one of five grounds: (1) excusable default; (2) newly discovered evidence; (3) fraud, misrepresentation or other misconduct of the adverse party; (4) the issuing court lacked subject matter jurisdiction over the controversy; or—as relevant here—(5) “reversal, modification or vacatur of a prior judgment or order upon which it is based.” In a case where a motion is brought under one of the first three paragraphs, the grounds for vacatur will, by definition, be distinct from any argument the losing party could have raised in a direct appeal from the judgment (if one was available). A default judgment is not appealable (*see* CPLR 5511; *see Lauer v City of Buffalo*, 53 AD3d 213 [4th Dept 2008]) and cannot be vacated absent the creation of a factual record explaining the circumstances giving rise to the default and supplying a good excuse. Likewise, a judgment cannot be attacked on direct appeal on the basis of newly-discovered evidence or fraud—these grounds for vacatur must be adjudicated in a collateral proceeding (rather than an appeal) because they also require development of a new factual record.

When vacatur is sought on grounds that could not have been asserted in a direct appeal from the judgment, judgment finality principles would not bar such an application, even if appellate rights have lapsed, because the proponent of the motion could not have had a full and fair opportunity to litigate the issue in the prior proceeding. Particularly where a judgment has been obtained by fraud, it would be perverse to preclude a collateral attack under CPLR 5015 (a) on the rationale that the party against whom the judgment was obtained exhausted appellate rights prior to discovering the misconduct.

It follows, therefore, that a vacatur application can sometimes properly involve a final judgment (one for which appellate rights have expired)—without offending well-settled law. That is why it is no surprise that the majority is able to cite statements by the drafters of the provision and this Court indicating, as a general proposition, that CPLR 5015 (a) can result in “[the] setting aside [of] final judgments” (*see* Third Preliminary Rep of Advisory Comm on Prac and Pro, 1959 Legis Doc No. 17 at 204-205 [referencing predecessor to CPLR 5015 (a)]; *see also Matter of Huie [Furman]*, 20 NY2d 568, 572 [1967]).

This truism is also evident from our analysis in *Lacks v Lacks* (41 NY2d 71 [1976]), in which we entertained a CPLR 5015 (a) (4) vacatur application even though the proponent had exhausted

her right to challenge the judgment on appeal. We did not, however, rely on any broad holding that all judgments are subject to vacatur regardless of the circumstances as the majority now suggests. Rather, in *Lacks* we focused on the fact that the proponent alleged that the court issuing the judgment lacked subject matter jurisdiction, explaining: “it is blackletter law that a judgment rendered without subject matter jurisdiction is void, and that the defect may be raised at any time and may not be waived” (*id.* at 75). Since subject matter jurisdiction is a nonwaivable jurisdictional defect, it presents a limited exception to the finality principles addressed above and, hence, there is no bar to adjudication of that question at any time, even after appellate rights have lapsed. No comparable issue is presented here.

The controversy in this case—whether the Port Authority could vacate the *Nash* judgment based on a legal issue that could have been adjudicated on direct appeal, despite expiration of its appellate rights—presents a question of first impression. But the majority does not directly address the issue, stating, in conclusory fashion, that all final judgments are subject to vacatur under CPLR 5015 (a). I see nothing in the statute indicating that the general rules relating to judgment finality do not apply when, as is the case here, a party seeks to vacate a judgment on grounds that could have been raised on direct appeal and for which appellate rights have lapsed; CPLR 5015 (a) (5) does not include a “notwithstanding” clause suggesting a legislative intent to permit vacatur in every circumstance, even if it would otherwise be barred by law.

Unlike subject matter jurisdiction—an issue that is nonwaivable and can be raised by any party at any time in any forum—the Port Authority sought vacatur of the *Nash* judgment based on an issue that was waivable (a defense founded on governmental function immunity), that had actually been litigated during the *Nash* action, and that would have been reviewable on direct appeal (indeed, the Port Authority’s arguments were considered and rejected by the Appellate Division in two interlocutory appeals). The Port Authority could have asserted its challenge to the governmental function immunity defense in this Court in an appeal from the *Nash* judgment had it timely filed a motion for leave to appeal from the First Department’s order of affirmance—but it failed to do so. In other contexts, courts have held that a party that neglected to timely pursue an appeal cannot circumvent appellate time restrictions by pursuing a CPLR

5015 (a) motion requesting the same relief that would have been available in a timely appeal (see *Pergamon Press v Tietze*, 81 AD2d 831 [2d Dept 1981], *appeal dismissed* 54 NY2d 605 [1981]). A party whose appellate rights have terminated should not be permitted to revive them via a vacatur application.

Nor should a party who failed to appeal be permitted to upset a judgment using an order obtained in an appeal from a judgment involving a different party—and nothing in CPLR 5015 (a) (5) is to the contrary. The statute permits vacatur of a judgment based on “reversal, modification or vacatur of a prior judgment or order *upon which it is based*”—language suggesting that the judgment reversed should involve the same parties, if not the same lawsuit. This view of the statute is consistent with precedent. In most of the Appellate Division cases addressing this provision, the party that secured the judgment under attack was also a party to the appeal or other proceeding that resulted in reversal of the prior underlying order (see e.g. *Matter of Grossman v Ilowitz*, 72 AD3d 821 [2d Dept 2010], *lv denied* 20 NY3d 853 [2012]; *Dupkanicova v James*, 17 AD3d 627 [2d Dept 2005]; *Aces Mech. Corp. v Cohen Bros. Realty & Constr. Corp.*, 136 AD2d 503 [1st Dept 1988]). The legal issue underlying the reversal order was litigated on the merits by that party in an appropriate forum—an appeal or other noncollateral proceeding. CPLR 5015 (a) (5) simply provided an efficient vehicle for the opposing litigant to apply that result to a subsequent judgment in the same case or a related proceeding involving the same party.

In this case, CPLR 5015 (a) (5) is being applied far more expansively to permit the Port Authority to potentially vacate a judgment obtained by Nash using an appellate reversal secured in an appeal from a judgment issued in a different plaintiff’s case—the *Ruiz* appeal (see *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428 [2011], *cert denied* 133 S Ct 133 [2012]). There is only one other appellate decision in which CPLR 5015 (a) (5) was interpreted to allow such a result—*McMahon v City of New York* (105 AD2d 101 [1st Dept 1984]). Similar to this case, *McMahon* involved a mass tort claim in which there was a joint order on liability that was later reversed in an appeal involving another plaintiff’s judgment. Even assuming it was correctly decided, *McMahon* is distinguishable because it does not present the same finality concerns that arise here.

The *McMahon* judgment was the subject of a pending direct appeal at the time we reversed the judgment in the other

case—a fact heavily emphasized by the Appellate Division. Whether defendant perfected its appeal, or instead sought vacatur in a CPLR 5015 (a) proceeding, the result in *McMahon* would have been the same because appeals are generally decided based on the law in effect at the time they are heard. Under the doctrine of stare decisis, the defendant in *McMahon* (whose appeal was still pending) was entitled to the benefit of the more favorable precedent secured in the other case—it therefore made little difference whether that relief was obtained by perfecting the appeal or bringing a motion to vacate. Here, in contrast, the Port Authority was not entitled to take advantage of the precedent emanating from our decision in *Ruiz* because it allowed its appellate rights to lapse before we issued our ruling. Having failed to timely appeal, the Port Authority should not be permitted to benefit from a change in the law that occurred after the *Nash* judgment became final.

Moreover, to permit the Port Authority to vacate the final judgment in *Nash* based on relief it secured in *Ruiz* is the functional equivalent of granting relief to a nonappealing party. *Ruiz* and *Nash* brought separate actions against the Port Authority; although the cases were tried jointly for purposes of determining liability, they were never consolidated. The Port Authority’s appeal from the *Ruiz* judgment brought up for review the prior interlocutory verdict on liability but only to the extent that order necessarily affected the *Ruiz* judgment (CPLR 5501 [a] [1])—any interests other parties might have had in the validity of the interlocutory order were simply not before us.

The Port Authority’s assertion that our decision crediting the governmental immunity argument in the *Ruiz* appeal meant that the underlying liability determination was “extinguished” for all plaintiffs misunderstands appellate practice and our Court’s jurisdiction. If we were to follow that view to its logical conclusion, the Port Authority could use the *Ruiz* reversal to vacate judgments obtained against any plaintiff, years after the fact without limitation—even if it failed to appeal in any other case. This use of the statute was surely not intended by the drafters of CPLR 5015 (a) (5) and would raise significant due process concerns. On the other hand, there is no unfairness in requiring a party who failed to timely appeal to pay a judgment, even if it is later determined that some legal flaw in an earlier interlocutory order would have yielded relief had an appeal been timely pursued. Such a result is consistent both with the doctrine of finality and the plain language of CPLR 5015 (a) (5).

For all of these reasons, I conclude that Supreme Court lacked authority to vacate the *Nash* judgment under the circumstances presented, rendering a remittal inappropriate. Even were that not the case, vacatur of this judgment would not be warranted. Although plaintiff suffered her traumatic brain injuries in 1993—more than 20 years ago—she has yet to see a penny of her \$5.2 million damages award. She is now nearly 70 years old—but the majority nonetheless remits this matter to give the Port Authority yet another opportunity to prevail on an issue that it forfeited when it failed to timely appeal the Appellate Division order of affirmance in July 2011. The Port Authority could (and should) have protected its interests by simply filing a motion for leave to appeal and I find no reasonable excuse for its failure to do so. Despite the fact that counsel for Nash filed a brief and participated in the first oral argument, I do not credit the contention that the Port Authority believed that we had therefore declared plaintiff a “party respondent” to the *Ruiz* appeal since our Court did not issue an order to that effect and would have had no statutory basis to do so (as the Port Authority noted at the time). The equities are in plaintiff’s favor—but I fear there may still be no end in sight for Mrs. Nash. For all of these reasons, I respectfully dissent.

Judges READ, SMITH and SCUDDER* concur with Judge PIGOTT; Judge GRAFFEO dissents in part in an opinion in which Judge PETERS* concurs; Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM taking no part.

Order reversed, with costs, and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

* Designated pursuant to NY Constitution, article VI, § 2.

[3 NE3d 674, 980 NYS2d 337]

In the Matter of STATE OF NEW YORK, Respondent, v NELSON D.,
Appellant.

Argued October 15, 2013; decided November 26, 2013

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 8, 2012. The Appellate Division affirmed an amended order of the Supreme Court, Bronx County (Michael A. Gross, J.), which had directed that respondent, as a sex offender requiring strict and intensive supervision and treatment, reside at the Valley Ridge Center for Intensive Treatment.

Matter of State of New York v Nelson D., 100 AD3d 418, reversed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Strict and Intensive Supervision and Treatment — Confinement

1. Mental Hygiene Law article 10 does not permit confinement where a detained sex offender, determined to suffer from the type of mental abnormality that subjects him to civil management, is designated as a sex offender requiring strict and intensive supervision and treatment (SIST). During the dispositional phase of trial for an offender requiring civil management, a judge must order confinement at a secure treatment facility if the State meets its burden of establishing by clear and convincing evidence that the sex offender has a mental abnormality that makes him likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility (Mental Hygiene Law § 10.07 [f]). If the State fails to meet its burden, then the judge must order a regimen of SIST in accordance with section 10.11. According to the plain language of article 10, the two mutually exclusive dispositional outcomes are confinement or an outpatient SIST regimen. A sex offender who requires SIST is plainly defined as an offender who is not “a dangerous sex offender requiring confinement” (§ 10.03 [r]). Because the essential aspect of confinement is the inability to leave at will from government custody, article 10 cannot be read to suggest that confinement is not “confinement” as long as the offender is committed to a facility other than a secure facility. While the list of recommended supervision requirements for an offender in the SIST program includes “specification of residence or type [of] residence” (§ 10.11 [a] [1]), those requirements are only applicable to those who are not confined and refer to ways of supervising, tracking, and controlling the offender. The reference relates to the types of locations that further the necessary supervision requirements, not the location of the offender’s confinement. Thus, the court order directing that respondent, as a sex offender requiring SIST, be placed at an inpatient facility operated by the Office for People with Developmental Disabilities, was a violation of article 10.

**Crimes — Sex Offenders — Civil Commitment or Supervision —
Strict and Intensive Supervision and Treatment — Confinement —
Procedural Protections**

2. Involuntary commitment, as part of a strict and intensive supervision and treatment (SIST) plan ordered for respondent, a detained sex offender found to suffer from the type of mental abnormality that subjected him to civil management, deprived him of the statutorily prescribed procedures mandated for confinement under Mental Hygiene Law article 10. Under Mental Hygiene Law § 10.09, a confined dangerous sex offender is entitled to annual review of his placement, the right to an independent psychiatric examiner at State cost, a hearing where the State must establish the lawfulness of the continued confinement, and the right to petition the court for discharge at any time. A sex offender in a SIST program, however, may seek modification or termination of SIST and its conditions only once every two years, and the offender bears the burden of showing that the modifications are warranted (§ 10.11 [f], [g]). There is a demonstrably meaningful difference in the infringement of liberty where confinement in a secure facility permits a sex offender to seek reconsideration at any time, but an offender subject to SIST, who is involuntarily committed, must wait two years before consideration of the specifics of the SIST order, all the while confined against his or her will in a government institution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 125, 127–129.

McKINNEY'S, Mental Hygiene Law §§ 10.03 (r); 10.07 (f);
10.09, 10.11.

NY JUR 2d, Penal and Correctional Institutions §§ 47–52.

ANNOTATION REFERENCE

See ALR Index under Commitment; Incompetent or
Insane Persons; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Marvin Bernstein, Mental Hygiene Legal Service, New York City (Diane Goldstein Temkin, Karen Gomes Andreasian, Sadie Zea Ishee and Deborah P. Mantell of counsel), for appellant. I. Involuntary inpatient commitment pursuant to the outpatient strict and intensive supervision and treatment statute, Mental Hygiene Law § 10.11, violates a Mental Hygiene Law article 10 respondent's substantive due process rights. (*Kansas v Hendricks*, 521 US 346; *Foucha v Louisiana*, 504 US 71; *Matter of*

State of New York v Rashid, 25 Misc 3d 318, 68 AD3d 615, 16 NY3d 1; *O'Connor v Donaldson*, 422 US 563; *Jackson v Indiana*, 406 US 715; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Matter of State of New York v Myron P.*, 20 NY3d 206; *State of N.Y. ex rel. Harkavy v Consilvio*, 8 NY3d 645; *Rodriguez v City of New York*, 72 F3d 1051; *Matter of Harry M.*, 96 AD2d 201.) II. By circumventing New York's inpatient commitment procedures, the court deprived Nelson D. of procedural safeguards that would have met due process standards. (*People v David W.*, 95 NY2d 130; *Kansas v Hendricks*, 521 US 346; *Matter of Sidney JJ.*, 30 AD3d 959; *Matter of Harry M.*, 96 AD2d 201; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Project Release v Prevost*, 722 F2d 960; *Matter of David B.*, 97 NY2d 267; *Matter of State of New York v Johnson*, 94 AD3d 1536; *Mathews v Eldridge*, 424 US 319; *O'Connor v Donaldson*, 422 US 563.)

Eric T. Schneiderman, Attorney General, New York City (*Leslie B. Dubeck*, *Barbara D. Underwood* and *Richard Dearing* of counsel), for respondent. The civil management order comports with due process. (*Matter of State of New York v Myron P.*, 20 NY3d 206; *People v Knox*, 12 NY3d 60; *Kansas v Hendricks*, 521 US 346; *Kansas v Crane*, 534 US 407; *Matter of State of New York v Enrique T.*, 93 AD3d 158; *Matter of David B.*, 97 NY2d 267; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Mills v Rogers*, 457 US 291; *Matter of George L.*, 85 NY2d 295.)

OPINION OF THE COURT

RIVERA, J.

In this Mental Hygiene Law article 10 proceeding, respondent Nelson D. (Nelson D.) appeals from an Appellate Division order that affirmed an amended Supreme Court order directing his involuntary commitment at the Valley Ridge Center for Intensive Treatment (Valley Ridge) pursuant to his designation as a sex offender requiring strict and intensive supervision and treatment (SIST). We conclude that article 10 does not permit confinement as part of SIST, and therefore we reverse.

I.

The State filed an article 10 petition seeking to subject Nelson D., a convicted sex offender who suffers from mental retardation, to civil management. After a jury concluded that Nelson D. suffers from a mental abnormality as defined by the statute, Supreme Court held a dispositional hearing in accordance

with article 10 to determine whether Nelson D. is a “dangerous sex offender requiring confinement or a sex offender requiring strict and intensive supervision” (Mental Hygiene Law § 10.07 [f]).

At the hearing, the State and Nelson D. presented testimony of their respective experts discussing his condition and an appropriate dispositional outcome. Both experts stated that Nelson D. did not require confinement at a secure facility and that a SIST regimen was an appropriate outcome. However, the State’s expert recommended SIST in a structured setting, such as Valley Ridge, an inpatient facility operated by the Office for People with Developmental Disabilities (OPWDD). Nelson D.’s expert stated that Valley Ridge was too confining for a person with Nelson D.’s mental challenges.

Based on the testimony of the experts, the court concluded that the State failed to meet its statutory burden to establish by clear and convincing evidence that Nelson D. is a dangerous sex offender requiring confinement. Consequently, the court found that Nelson D. required SIST under Mental Hygiene Law § 10.11. The court ordered that he be released to the OPWDD to receive proper treatment corresponding to his cognitive functioning, and directed the parties to negotiate the remainder of the terms of SIST and submit a proposed settlement order.

Negotiations between the State and Nelson D. eventually broke down. Unable to come to a mutually acceptable resolution, the State and Nelson D. submitted their respective proposed orders for SIST to the court. The State argued that Nelson D. requires confinement and a SIST plan that includes placement in the custody of OPWDD. In support of its recommendation, the State submitted recommendations from the Department of Corrections and Community Supervision (DOCCS) and the Office of Mental Health (OMH) for placement at Valley Ridge. The State also submitted the OPWDD recommendation that Nelson D. be placed in a highly structured, all-male treatment program under 24-hour supervision. Nelson D. objected to placement at Valley Ridge as a condition of SIST, arguing it constituted civil commitment, inconsistent with article 10. Nelson D. requested a SIST plan involving community group housing, which he argued would be tailored to his needs and provide appropriate supervision, and thus comport with SIST under article 10.

Supreme Court rejected Nelson D.’s proposal. The court concluded that placement at Valley Ridge did not constitute

confinement because it is not a “secure treatment facility,” which is the only recognized facility authorized for confinement under article 10.¹ The court found that a SIST disposition with placement at Valley Ridge was consistent with the recommendations from OPWDD, DOCCS, OMH, and the Division of Parole, and ordered Nelson D.’s placement at Valley Ridge.²

The Appellate Division, First Department, affirmed, concluding that the Valley Ridge placement was permissible under section 10.11 of the Mental Hygiene Law, and that such placement did not violate Nelson D.’s substantive due process rights because it was an appropriate SIST regimen as authorized under article 10 (100 AD3d 418 [1st Dept 2012]).

II.

On appeal to this Court, Nelson D. argues that involuntary inpatient commitment pursuant to outpatient SIST violates his substantive due process rights. He also argues that the court’s purported circumvention of the State’s inpatient commitment procedures deprived him of procedural safeguards that would have otherwise met due process standards. The State counters that the jury verdict for mental abnormality satisfies substantive due process requirements, and that Nelson D.’s procedural due process argument is unpreserved, and, alternatively, lacks merit because he has received ample process under article 10 of the Mental Hygiene Law.

We conclude that article 10 provides for only two dispositional outcomes, confinement or an outpatient SIST regime. Therefore, we agree with Nelson D. that, absent a finding of the type of condition that statutorily subjects him to confinement, his placement at Valley Ridge constitutes involuntary confinement, in violation of the plain language of Mental Hygiene Law article 10. We also agree that involuntary commitment, as part of a SIST plan, deprives Nelson D. of the statutorily prescribed procedures mandated for confinement under article 10. Therefore, the Appellate Division order should be reversed.³

Our decision is based on the plain language of article 10 which

1. The trial court noted only two such facilities in the state: Central New York Psychiatric Center and St. Lawrence Psychiatric Center.

2. The order states that Nelson D. was to be placed at Valley Ridge, and “thereafter” reside at any other OPWDD facility that would appropriately address his treatment and clinical needs.

3. At the time of this appeal Nelson D. had been transferred out of Valley Ridge to another OPWDD facility. Nevertheless, he continues to be subject to

(n. cont’d)

resolves the issues presented on appeal. Therefore, we have no occasion to address the substantive constitutional arguments raised by Nelson D. By relying on the statutory text, we adhere to the well established rule that a court should not address a constitutional question if the matter can be disposed of on some other basis (*see People v Felix*, 58 NY2d 156, 161 [1983] [“It is hornbook law that a court will not pass upon a constitutional question if the case can be disposed of in any other way”]; McKinney’s Cons Laws of NY, Book 1, Statutes § 150 [a], Comment [“Ordinarily a court will not pass on a constitutional question if there is any other way of disposing of the case”]).

III.

A.

Under Mental Hygiene Law article 10, a judge is authorized to order one of two dispositional outcomes after a trial determination that a detained sex offender suffers the type of mental abnormality that subjects him to civil management (*see* Mental Hygiene Law § 10.07 [f]; *Matter of State of New York v Myron P.*, 20 NY3d 206, 212 [2012] [“Article 10 has two dispositional choices—either confinement or strict and intensive supervision and treatment”]; *State of N.Y. ex rel. Harkavy v Consilvio*, 8 NY3d 645, 652 [2007] [*Harkavy II*] [“Mental Hygiene Law article 10 provides that patients who are categorized as ‘dangerous sex offender(s) requiring confinement’ must be placed in secure facilities . . . ; all other patients must be released for outpatient treatment and supervision” (footnote and citations omitted)]). During this dispositional phase, the State bears a heavy burden to establish “by clear and convincing evidence that the respondent [sex offender] has a mental abnormality involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the respondent is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility” (Mental Hygiene Law § 10.07 [f]). If the State meets its burden, the judge orders confinement, and the respondent “shall be committed to a secure treatment facility for care, treatment, and control until such time as he or she no longer requires confinement” (*id.*). If the State fails to meet its burden, and the judge determines that the sex offender does not meet the statutory definition of a

Supreme Court’s order, and therefore his right to a proper placement in accordance with article 10 remains in jeopardy.

dangerous sex offender requiring confinement, as in the case of Nelson D., then the judge must order a regimen of SIST (*see id.*; *see also Myron P.*, 20 NY3d at 213; *Harkavy II*, 8 NY3d at 651). In such case, “the respondent [sex offender] shall be subject to a regimen of strict and intensive supervision and treatment in accordance with section 10.11 of this article” (Mental Hygiene Law § 10.07 [f]). Thus, according to the plain language of article 10, these are mutually exclusive dispositional outcomes, textually structured as disjunctive options of confinement *or* SIST.

Moreover, these dispositional outcomes are designed to address the treatment needs of the two categories of sex offenders requiring civil management. The statutorily circumscribed dispositions for these two categories of sex offenders do not overlap. As plainly stated in the definitional section of article 10, a sex offender who requires SIST is an offender who is not “a dangerous sex offender requiring confinement” (*id.* § 10.03 [r]).

We have previously recognized that article 10 is limited to these two dispositional outcomes, depending on the dangerous nature of the offender. In *Harkavy II*, we said that while dangerous sex offenders are consigned to confinement within a secure facility in accordance with the statute, “[a]ll other patients suffering from a mental abnormality are released for outpatient treatment by OMH and supervision by the Division of Parole” (*Harkavy II*, 8 NY3d at 651). In *Myron P.*, we again recognized that confinement and SIST are different options, and that the legislature had authorized trial judges to determine “whether the individual’s dangerousness necessarily requires retention or the individual could safely be treated and/or supervised on an outpatient basis” (*Myron P.*, 20 NY3d at 213).

The State argues that the court’s dispositional options are not limited to confinement versus nonconfinement, but rather to confinement as specifically defined in article 10 within a designated secure treatment facility, versus supervision and treatment in any setting, including some other, less secure facility, where Nelson D.’s freedom, nonetheless, may be restricted. The State argues that civil management inherently requires restraints on liberty, including involuntary placement, be it in a secure facility or other government institution.

We cannot accept the State’s qualification of civil management given that the basic and undeniable character of confinement is the inability to leave at will from government custody.

That essential aspect of confinement belies a reading of article 10 that confinement is not “confinement” as long as the offender is committed to a facility other than a “secure facility.” Certainly, if the legislature meant to permit confinement as part of SIST, it would not have been so careful and deliberate in distinguishing confinement from SIST throughout article 10 (see Mental Hygiene Law §§ 10.03 [e], [q], [r]; 10.07 [f]; 10.11). The State misinterprets the plain language of article 10, and the clear statutory distinction between confinement, with its attendant restraint on liberty and freedom, and SIST, with its outpatient-based restrictive supervision.

The State also ignores the fact that the judicial dispositional outcomes are delimited by the statutory distinction between categories of sex offenders, which provide the foundation for the article 10 civil management structure. Under article 10, commitment is sanctioned when there is a finding that the sex offender suffers from the type of mental abnormality that renders the sex offender dangerous and unable to control his conduct (see *id.* § 10.07 [f]). Absent this determination of a sex offender’s mental condition, there cannot be a judicially imposed period of confinement.⁴

The legislative findings in support of article 10 constitutionally permissible civil management recognize that confinement is relegated to “extreme cases” for “the most dangerous [sex] offenders” (*id.* § 10.01 [b]; see also *Kansas v Hendricks*, 521 US 346, 357 [1997] [“States have in certain narrow circumstances provided for the forcible civil detainment of people who are unable to control their behavior and who thereby pose a danger to

4. The dissent contends that because SIST must, by necessity, require some restraint of liberty, a SIST plan may also validly include confinement to an inpatient facility. This is exactly what the statute does not provide. Article 10 sets forth two dispositional choices, confinement or SIST, and we have said that SIST is “outpatient treatment by OMH and supervision by the Division of Parole” (*Harkavy II*, 8 NY3d at 651; see also *Myron P.*, 20 NY3d at 213 [noting that confinement is the sole dispositional outcome under article 9, but article 10 provides for confinement or SIST]). Moreover, to hold that because a court may impose restrictions as part of a SIST regimen, a court is also free to impose confinement, would upend the therapeutic basis of article 10, and allow the State to avoid its statutorily mandated burden to prove by clear and convincing evidence that a sex offender requires confinement because of the offender’s mental abnormality. To the extent the dissent invites us to consider what would constitute a lawful SIST plan, we need not opine on the legality of any hypothetical SIST regimen. A SIST plan is dependent on the unique treatment needs of the individual sex offender. We only determine, as a statutory matter, that confinement is not a proper component of SIST under article 10.

the public health and safety”]; *Heller v Doe by Doe*, 509 US 312, 332 [1993] [“the state has a legitimate interest under its *parens patriae* powers in providing care to its citizens who are unable . . . to care for themselves, as well as authority under its police power to protect the community from any dangerous mentally retarded persons” (internal quotation marks and citation omitted)]; *Allen v Illinois*, 478 US 364, 373 [1986] [same]; *Minnesota ex rel. Pearson v Probate Court of Ramsey Cty.*, 309 US 270, 274-275 [1940] [“Whether the legislature could have gone farther is not the question. The class it did select is identified by the state court in terms which clearly show that the persons within that class constitute a dangerous element in the community which the legislature in its discretion could put under appropriate control”]). Article 10 specifically provides for confinement solely for a sex offender with a mental abnormality “involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility” (Mental Hygiene Law § 10.03 [e]). Here, the court found exactly the opposite. The court concluded that Nelson D. did not meet the definition of a dangerous sex offender requiring confinement under article 10, but rather that he “is a sex offender requiring a regimen of [SIST] in accordance with [Mental Hygiene Law] § 10.11.”

The State also argues that Nelson D.’s involuntary confinement at Valley Ridge is within the court’s statutory authority because article 10 requires the court to order DOCCS to develop, in consultation with the Commissioner of OPWDD, recommended supervision requirements, which may include “specification of residence or type [of] residence” (Mental Hygiene Law § 10.11 [a] [1]). Although the State’s argument is anchored in the statutory language, a close reading of Mental Hygiene Law § 10.11 (a) (1) does not support this interpretation. The reference to “residence” in section 10.11 (a) (1) is part of a longer nonexhaustive list of recommended supervision requirements set forth in that section.⁵ These requirements are only applicable to those offenders who are under a SIST regimen, and thus, by definition, those who are not confined. Moreover, the

5. Other items on the list include electronic monitoring, global positioning satellite tracking, polygraph monitoring, prohibition of contact with identified past or potential victims, strict and intensive supervision by a parole officer, and “any other lawful and necessary conditions that may be imposed by a court” (Mental Hygiene Law § 10.11 [a] [1]).

requirements set forth in section 10.11 (a) (1) are in the nature of nonconfinement conditions. They refer to ways of supervising, tracking and controlling the offender in a SIST program. In this context, the reference to “specification of residence or type [of] residence” is best understood to relate to the types of locations that further the necessary supervision requirements, not the location of the offender’s confinement, because, simply stated, confinement cannot be a proper part of a SIST program. Thus, “residence” in this section refers to whether the offender’s living arrangements prohibit or permit certain types of conduct, or otherwise provide for certain services.

The State appears to argue that article 10 contemplates a category of sex offender, one that is not found to be dangerous and subject to confinement in a secure facility, but one that has a mental abnormality that requires strict and intensive supervision provided through involuntary confinement in a government institution. The State’s argument ignores that the defining characteristic of confinement is restraint of liberty, and that its interpretation of the statute is not supported by the text. Moreover, article 10 neither anticipates nor provides for the type of placement advocated by the State because it only provides for confinement or SIST, and does not merge the two.⁶

B.

Nelson D. also argues that a SIST plan that includes commitment to Valley Ridge denies him the full range of procedural protections contained in the Mental Hygiene Law that are designed to avoid the continuation of confinement beyond its lawful limits. The State responds that this argument is unpreserved and without merit. The record, however, belies the State’s claim of lack of preservation because Nelson D. asserted violations of his substantive and procedural rights in the proposed findings he submitted to the Supreme Court.

6. The dissent argues that our decision will result in confinement of persons who would be better suited to SIST with inpatient restrictions because courts seeking to avoid a decision at odds with our holding will order confinement, “even if they are not ‘likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility’ ” (*see* dissenting op at 245, quoting Mental Hygiene Law §§ 10.03 [e]; 10.07 [f]). However, a court’s determination of what should be the proper article 10 civil management outcome is based solely on a court’s findings after a dispositional hearing (*id.* § 10.07 [f]). Where the court determines there is no clear and convincing evidence that the respondent requires confinement, a court cannot order this disposition.

On the merits, given the procedural framework of article 10, it is undeniable that if Nelson D. is confined as part of a SIST plan and denied procedures available to designated sex offenders confined to a secure facility, such denial would be a violation of statutory requirements intended to protect against unlawful confinement (*see* Mental Hygiene Law §§ 10.09, 10.11). Under article 10, a confined dangerous sex offender is entitled to annual review of his placement (*id.* § 10.09 [b]), the right to an independent psychiatric examiner at state cost, and a hearing, where the burden is on the State to establish the lawfulness of the continued confinement (*id.* § 10.09 [d]). Moreover, a confined sex offender “may at any time petition the court for discharge and/or release to the community” as part of a SIST plan (*id.* § 10.09 [f]).

In comparison, while in SIST, the sex offender may seek modification or termination of SIST and its conditions, but only once every two years (*id.* § 10.11 [f]). As a result, the offender must wait at least two years before filing his or her first petition. While the State continues to bear the burden of showing, by clear and convincing evidence, that the offender continues to be a sex offender requiring civil management (*id.* § 10.11 [h]), when a sex offender files a modification petition, “[a sex offender] seeking modification shall have the burden of showing that those modifications are warranted, and the court shall order such modifications to the extent that it finds that the party has met that burden” (*id.* § 10.11 [g]).

There is a demonstrably meaningful difference in the infringement of liberty where confinement in a secure facility permits the sex offender to seek reconsideration at any time, but an offender subject to SIST, who is involuntarily committed, must wait two years before consideration of the specifics of the SIST order, all the while confined against his will in a government institution.

The Appellate Division order should be reversed, without costs, and case remitted to Supreme Court for further proceedings in accordance with this opinion.

PIGOTT, J. (dissenting). I disagree with the majority’s view that confinement in an inpatient facility (of which Valley Ridge Center for Intensive Treatment is one) can never be part of a “regimen of strict and intensive supervision and treatment” (SIST) (Mental Hygiene Law § 10.11). Moreover, I believe that the majority’s decision will have the effect that more, rather

than fewer, article 10 sex offenders will be judged to be “dangerous sex offender[s] requiring confinement” in a designated secure treatment facility (Mental Hygiene Law § 10.07 [f]), even when they might be successfully supervised and treated in the community under SIST. Therefore, I dissent.

Under Mental Hygiene Law § 10.11 (a) (1), a court ordering the release of an individual to a regimen of SIST shall order the Department of Corrections and Community Supervision (DOCCS) to recommend supervision requirements, to “be developed in consultation with” the Office of Mental Health or the Office for People With Developmental Disabilities, that “may include . . . any . . . lawful and necessary conditions that may be imposed by a court.” Moreover, Mental Hygiene Law § 10.11 (a) (1) provides a nonexhaustive list of such requirements, which includes “specification of residence or type [of] residence.” It is clear that the legislature intended to give courts wide latitude in setting conditions of SIST, including specification of the type of residence—or even what particular residence—a sex offender must live in.

The majority holds that involuntary confinement in a government institution cannot be a condition of SIST because such confinement is a “restraint of liberty” (majority op at 242) and, in the majority’s view, Mental Hygiene Law article 10 only restrains a sex offender’s liberty when he or she is determined to be a “dangerous sex offender requiring confinement.” But most, if not all, of the items in the nonexhaustive list of possible SIST conditions restrain a sex offender’s liberty to some degree. A sex offender is not unrestrained if he is being tracked via GPS, electronically monitored every time he accesses a computer, and intensively supervised on a daily basis by his parole officer.

Moreover, the majority does not make clear whether it would be acceptable for a court to, say, place a sex offender, against his will, in a state-owned halfway house with a strictly enforced nighttime curfew. Does that count as being involuntarily confined in a government institution, so that it cannot be ordered as a SIST condition under the majority’s holding? After all, the sex offender in this scenario is subject to involuntary confinement at night. Alternatively, is this an acceptable SIST requirement because the sex offender is free to leave the halfway house during daylight hours?

Because the majority does not answer these questions, the short-term effect of the Court’s holding may be that more article

10 sex offenders will be relegated to confinement in the designated secure treatment facilities, even if they are not “likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility” (Mental Hygiene Law § 10.03 [e]; *see* § 10.07 [f]). Courts will fear that placing article 10 sex offenders in a halfway house or group home, with a curfew and a considerable degree of supervision by employees of the residence (as well as by DOCCS), would be in violation of the Court’s holding here.

Under the majority’s ruling, Nelson D. himself must be released from the Broome Developmental Center in Binghamton, where he currently resides (unless the State seeks to keep him there under Mental Hygiene Law article 15 because he suffers from intellectual disability). But many sex offenders who might otherwise be safely housed in community dwellings may instead find themselves confined in the designated secure treatment facilities. It does not make sense to think that the legislature intended this result.

Chief Judge LIPPMAN and Judges GRAFFEO and ABDUS-SALAAM concur with Judge RIVERA; Judge PIGOTT dissents in an opinion in which Judges READ and SMITH concur.

Order reversed, without costs, and case remitted to Supreme Court, Bronx County, for further proceedings in accordance with the opinion herein.

[3 NE3d 682, 980 NYS2d 345]

MARIA AUQUI, as Guardian of the Property of JOSE VERDUGO, et al., Respondents, v SEVEN THIRTY ONE LIMITED PARTNERSHIP et al., Appellants.

Argued November 12, 2013; decided December 10, 2013

SUMMARY

REARGUMENT of an appeal, taken by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 5, 2011. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Carol R. Edmead, J.; op 2009 NY Slip Op 32302[U] [2009]), as had granted defendants' motion to preclude plaintiffs from litigating the issue of plaintiff Jose Verdugo's accident-related disability beyond January 24, 2006, and (2) denied the motion. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?" Following the reversal by the Court of Appeals upon the original appeal (20 NY3d 1035 [2013]), the Court of Appeals granted motions for reargument (21 NY3d 995, 998 [2013]).

Auqui v Seven Thirty One Ltd. Partnership, 20 NY3d 1035, vacated.

Auqui v Seven Thirty One Ltd. Partnership, 83 AD3d 407, affirmed.

HEADNOTE

Administrative Law — Collateral Estoppel — Preclusive Effect of Workers' Compensation Board Finding as to Duration of Disability — Identity of Issue

A Workers' Compensation Board determination that plaintiff, who was injured during the course of his employment as a food delivery person when he was struck in the head by a piece of plywood that had fallen from a building under construction, had no further causally-related disability and no further need for treatment, was not entitled to collateral estoppel effect in plaintiff's personal injury action against the building owner and contractors. Quasi-judicial determinations of administrative agencies are entitled to collateral estoppel effect where the issue a party seeks to preclude in a subsequent civil action is identical to a material issue that was necessarily decided by the administrative tribunal and where there was a full and fair opportunity to litigate before the tribunal. Here, defendants failed to establish that the issue decided in the workers' compensation proceeding was identical to that presented in the negligence action. In a workers' compensation proceeding, the purpose of awarding benefits is to provide funds on an expedited basis that will function as a substitute for an injured employee's wages. As used in the

Workers' Compensation Law, the term "disability" generally refers to the inability to work and the focus of the law is on a claimant's ability to perform the duties of employment. In contrast, a negligence action is intended to make an injured party whole for the enduring consequences of his or her injury and is focused on the larger question of the impact of the injury over plaintiff's lifetime. Although there is some overlap between the issues being determined in the two proceedings, based on the focus and scope of each action, it cannot be said that the issues are identical. Given the expedited nature of workers' compensation proceedings, parties may not have the means to litigate the matter beyond the issue presented to the Board. Here, plaintiff did not obtain neuropsychiatric testing for the workers' compensation hearing, which his physicians had deemed necessary to diagnose his particular type of injury and which he would seek to submit to a jury in the personal injury action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 374, 375; AM JUR 2d, Workers' Compensation §§ 47–49.
CARMODY-WAIT 2d, Judgments §§ 63:517, 63:522–63:525, 63:527.
NY JUR 2d, Administrative Law §§ 288–290; NY JUR 2d, Judgments §§ 345, 354; NY JUR 2d, Workers' Compensation §§ 746, 747, 750, 752.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Collateral Estoppel; Workers' Compensation.

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POINTS OF COUNSEL

Mauro Lilling Naparty LLP, Woodbury (*Richard J. Montes* and *Matthew W. Naparty* of counsel), and *Fabiani Cohen & Hall, LLP*, New York City, for appellants. I. This Court should adhere to its February 14, 2013 decision to preclude the plaintiffs from litigating the issue of Jose Verdugo's accident-related disability after January 24, 2006, but correct that portion implying a continuing claim for post-traumatic stress disorder. II. This Court correctly held that collateral estoppel precludes plaintiffs from relitigating the Workers' Compensation Board's factual determination that the plaintiff was no longer disabled after January 24, 2006. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Matter of Abady*, 22 AD3d

71; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Mahl v Citibank*, 234 AD2d 348; *Matter of Evans v Monaghan*, 306 NY 312; *Liss v Trans Auto Sys.*, 68 NY2d 15; *O'Connor v Midiria*, 55 NY2d 538; *Werner v State of New York*, 53 NY2d 346; *Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147.) III. Many of the arguments raised by plaintiffs and their amici in support of reargument are not properly before this Court. (*Hecker v State of New York*, 20 NY3d 1087; *Foley v Roche*, 68 AD2d 558; *People v D'Alessandro*, 13 NY3d 216; *People v Bachert*, 69 NY2d 593; *Matter of City of Buffalo [Cosgrove]*, 57 AD2d 47; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272; *Mouradian v Astoria Fed. Sav. & Loan*, 91 NY2d 124; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *Parklane Hosiery Co. v Shore*, 439 US 322; *O'Rourke v Long*, 41 NY2d 219.)

Law Offices of Annette G. Hasapidis, South Salem (Annette G. Hasapidis of counsel), and *Schwartz Goldstone & Campisi, LLP*, New York City (Herbert Rodriguez, Jr., of counsel), for respondents. I. The collateral estoppel doctrine is inapplicable because there is no identity of issues. (*Matter of Halyalkar v Board of Regents of State of N.Y.*, 72 NY2d 261; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Matter of Winfield v New York Cent. & Hudson Riv. R.R. Co.*, 216 NY 284; *New York Central R. Co. v White*, 243 US 188; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Rubeis v Aqua Club, Inc.*, 3 NY3d 408; *Matter of Marhoffer v Marhoffer*, 220 NY 543; *Matter of Zamora v New York Neurologic Assoc.*, 19 NY3d 186; *Matter of Rubenstein v Pechter Baking Co.*, 224 App Div 324, 249 NY 433; *Matter of Ramroop v Flexo-Craft Print., Inc.*, 11 NY3d 160.) II. The *Auqui* (20 NY3d 1035 [2013]) rule will defeat the very purpose of the workers' compensation scheme, by forcing workers to forgo compensation and to restrict carriers from seeking reimbursement from third-party tortfeasors. (*Matter of Russo v New York City Dept. of Correction*, 9 AD3d 528; *Matter of Marhoffer v Marhoffer*, 220 NY 543.) III. The *Auqui* (20 NY3d 1035 [2013]) ruling abrogates tort law and has the unintended consequence of redistributing losses from the tortfeasor to the injured worker and the employer's carrier. (*Matter of Engel v Calgon Corp.*, 114 AD2d 108; *Barnett v Ives*, 265 AD2d 865.) IV. The collateral estoppel doctrine is inapplicable because there is no finality to a ruling that plaintiff suffers from no further causally-related disability. The Workers' Compensation Board and Workers' Compensation Law Judges have continuing jurisdiction to reopen cases and modify awards when a worker's ability to return to work changes in light of the claimant's medical condition.

(*People v Greenberg*, 21 NY3d 439; *Matter of Carolan v Hoe & Co.*, 225 App Div 393.) V. The collateral estoppel doctrine is inapplicable because plaintiffs were denied a full and fair opportunity to litigate plaintiff's inability to work in light of his severe brain injury when the Workers' Compensation Law Judge denied their physicians' requests for neuropsychiatric testing to prove plaintiff's permanent neuropsychiatric injuries. (*Wunderlich v Hampton Design & Constr. Group*, 5 AD3d 158; *Empire State Shipping Serv., Ltd. v Hanover Ins. Co.*, 89 AD3d 431; *Howard S. v Lillian S.*, 62 AD3d 187, 14 NY3d 431; *Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Cunningham v State of New York*, 60 NY2d 248.) VI. The *Auqui* (20 NY3d 1035 [2013]) ruling, as applied in *Casas v Consolidated Edison Co. of N.Y., Inc.* (105 AD3d 471 [1st Dept 2013]), illustrates that the Workers' Compensation Board determination of no further causally-related disability should not be subject to the collateral estoppel doctrine. (*Broida v Bancroft*, 103 AD2d 88.) VII. Defendants' arguments undermine sound public policy and are legally flawed. (*Hinchey v Sellers*, 7 NY2d 287; *Southern Pacific R. Co. v United States*, 168 US 1; *United States v Moser*, 266 US 236; *Friedman v State of New York*, 24 NY2d 528; *American Home Assur. Co. v International Ins. Co.*, 90 NY2d 433.) VIII. Defendants' request for reargument is moot if this Court adopts plaintiffs' position on reargument. Plaintiffs do not dispute defendants position in the event that this Court declines to revisit or disturb its earlier determination.

New York State Trial Lawyers Association, New York City (Robert Danzi of counsel), for New York State Trial Lawyers Association, amicus curiae. The collateral estoppel doctrine cannot be applied to preclude plaintiffs' proof of proximate cause because whether plaintiff suffered a further causally-related disability presents a question of fact for a jury; accordingly, on reargument, this Court should recall its prior decision and affirm the majority Appellate Division decision. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *B. R. DeWitt, Inc. v Hall*, 19 NY2d 141; *Matter of Juan C. v Cortines*, 89 NY2d 659; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Gilberg v Barbieri*, 53 NY2d 285; *Bansbach v Zinn*, 1 NY3d 1; *Jeffreys v Griffin*, 1 NY3d 34; *Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *Matter of Halyalkar v Board of Regents of State of N.Y.*, 72 NY2d 261.)

Colleran, O'Hara & Mills L.L.P., Garden City (Edward J. Groarke and Jennifer D. Weekley of counsel), for New York State

AFL-CIO and others, amici curiae. I. Tort recovery rights of New York's injured workers should not be truncated by improper application of the collateral estoppel doctrine to final determinations of the Workers' Compensation Board. (*Akgul v Prime Time Transp.*, 293 AD2d 631; *O'Gorman v Journal News Westchester*, 2 AD3d 815; *Gilberg v Barbieri*, 53 NY2d 285; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Matter of Engel v Calgon Corp.*, 114 AD2d 108, 69 NY2d 753; *Dietrick v Kemper Ins. Co. [American Motorists Ins. Co.]*, 76 NY2d 248.) II. New York's injured workers should not be deprived of their constitutionally protected right to a jury trial on their personal injury claims merely because they participate in the workers' compensation system.

David M. Schrauer, Albany, for New York State Bar Association, amicus curiae. I. Workers' Compensation Board determinations of further causally-related disability should not have preclusive effect. (*Brugman v City of New York*, 102 AD2d 413; *Werner v State of New York*, 53 NY2d 346; *O'Connor v Midiria*, 55 NY2d 538; *O'Gorman v Journal News Westchester*, 2 AD3d 815; *Akgul v Prime Time Transp.*, 293 AD2d 631; *Matter of Engel v Calgon Corp.*, 114 AD2d 108, 69 NY2d 753; *Jeffreys v Griffin*, 1 NY3d 34; *Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Ott v Barash*, 109 AD2d 254; *Casas v Consolidated Edison Co. of N.Y., Inc.*, 105 AD3d 471.) II. Allowing the *Auqui* decision (20 NY3d 1035 [2013]) to stand as decided would undermine the workers' compensation system. (*Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Shanahan v Monarch Eng'g Co.*, 219 NY 469.)

Pasternack, Tilker, Ziegler, Walsh, Stanton & Romano LLP, Brooklyn (*Michael K. Gruber* of counsel), for Workers' Injury Law & Advocacy Group, amicus curiae. I. The "realities of litigation" in a workers' compensation proceeding should preclude the application of collateral estoppel. (*Gilberg v Barbieri*, 53 NY2d 285; *People v Plevy*, 52 NY2d 58.) II. Workers' Compensation Board determinations regarding disability are mixed questions of law and fact which should not be given preclusive effect in subsequent proceedings. (*Matter of Engel v Calgon Corp.*, 114 AD2d 108.) III. Applying collateral estoppel to disability determinations of the Workers' Compensation Board has far-reaching consequences for the rights of injured workers. (*Gilberg v Barbieri*, 53 NY2d 285; *B. R. DeWitt, Inc. v Hall*, 19 NY2d 141; *Casas v Consolidated Edison Co. of N.Y., Inc.*, 105 AD3d 471.)

McGaw, Alventosa & Zajac, Jericho (Andrew Zajac, Dawn C. DeSimone, Brendan T. Fitzpatrick, Seamus G. Flaherty and Jonathan T. Uejio of counsel), and *Brian Rayhill, Elmsford*, for Defense Association of New York, Inc., amicus curiae. I. This Court properly held that the decision of the Workers' Compensation Board was entitled to collateral estoppel effect. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *Academic Health Professionals Ins. Assn. v Lester*, 30 AD3d 328; *Patco Homes v Boyle*, 260 AD2d 455; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Altegra Credit Co. v Tin Chu*, 29 AD3d 718; *Kaufman v Village of Mamaroneck*, 18 AD3d 505; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Bernstein v Birch Wathen School*, 71 AD2d 129, 51 NY2d 932; *O'Gorman v Journal News Westchester*, 2 AD3d 815; *Hughes v Gibson Courier Servs. Corp.*, 218 AD2d 684.) II. Sufficient safeguards exist in proceedings before the Workers' Compensation Board to warrant the application of collateral estoppel. (*Matter of Camperlengo v Barell*, 78 NY2d 674; *Ryan v New York Tel. Co.*, 62 NY2d 494; *Botwinick v Ogden*, 59 NY2d 909; *O'Rourke v Long*, 41 NY2d 219; *Jeffreys v Griffin*, 1 NY3d 34; *Matter of Halyalkar v Board of Regents of State of N.Y.*, 72 NY2d 261; *Pommells v Perez*, 4 NY3d 566.)

Bevan, Mosca, Giuditta & Zarillo, P.C., New York City (Anthony J. Zarillo, Jr., of counsel), for Federation of Defense and Corporate Counsel, amicus curiae. Issue preclusion applies to necessary determinations that were actually litigated before the Workers' Compensation Board. (*Brugman v City of New York*, 102 AD2d 413, 64 NY2d 1011; *Wickham Contr. Co., Inc. v Board of Educ. of City of N.Y.*, 715 F2d 21; *United States v Utah Constr. & Mining Co.*, 384 US 394; *Ryan v New York Tel. Co.*, 62 NY2d 494; *Dodd v Hood Riv. County*, 136 F3d 1219, 525 US 923; *Barna v Morgan*, 341 F Supp 2d 164; *EZ Loader Boat Trailers, Inc. v Cox Trailers, Inc.*, 746 F2d 375; *Levich v Liberty Cent. School Dist.*, 361 F Supp 2d 151; *Babineaux v Ford Motor Co.*, 95 F3d 1148.)

Dennis M. Brown, County Attorney, Hauppauge (Christopher A. Jeffreys of counsel), for County of Suffolk, amicus curiae. The necessary findings of the Workers' Compensation Law Judge and Workers' Compensation Board collaterally estop a workers' compensation claimant from relitigating those necessary findings in a subsequent personal injury action. (*Brugman v City of New York*, 102 AD2d 413; *Ashcraft Excavating Co. v Clark*, 79 AD2d 722; *Hinchey v Sellers*, 7 NY2d 287; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Ryan v New*

York Tel. Co., 62 NY2d 494; *Matter of Abady*, 22 AD3d 71; *Rigopolous v American Museum of Natural History*, 297 AD2d 728; *Lee v Jones*, 230 AD2d 435, 91 NY2d 802; *Matter of Maresco v Rozzi*, 162 AD2d 534; *Matter of Engel v Calgon Corp.*, 114 AD2d 108, 69 NY2d 753.)

McElroy, Deutsch, Mulvaney & Carpenter, LLP, New York City (*Mark A. Rosen* of counsel), for Real Estate Board of New York and others, amici curiae. I. There was no misapprehension of fact or misapplication of law as this Court applied long-standing and well-established rules regarding the collateral estoppel effect of factual determinations by the Workers' Compensation Board and correctly held that plaintiffs are precluded from relitigating the issue of an ongoing disability. (*Matter of Evans v Monaghan*, 306 NY 312; *University of Tennessee v Elliott*, 478 US 788; *Liss v Trans Auto Sys.*, 68 NY2d 15; *O'Connor v Midiria*, 55 NY2d 538; *Werner v State of New York*, 53 NY2d 346; *Matter of Sillitti v Liberty Travel, Inc.*, 83 AD3d 1169; *Matter of Harrington v Whitford Co.*, 302 AD2d 645.) II. Reversal of this Court's February 14, 2013 decision would be fundamentally unfair and unduly prejudicial to defendants and similarly situated defendants and would likely establish dangerous precedent. (*Kaufman v Eli Lilly & Co.*, 65 NY2d 449.) III. The hypothetical concerns raised by plaintiffs and other amici have no foundation, nor is plaintiffs' motion the appropriate vehicle to address these issues. (*Parklane Hosiery Co. v Shore*, 439 US 322; *Werner v State of New York*, 53 NY2d 346; *Ryan v New York Tel. Co.*, 62 NY2d 494.)

Andrew Friedman, Center for Popular Democracy, Brooklyn, amicus curiae. I. The Workers' Compensation Law Judge's determination of plaintiff's disability is a mixed question of law and fact imbued with policy considerations and as such should not be granted preclusive effect in plaintiffs' third-party action. (*Hinchey v Sellers*, 7 NY2d 287; *Matter of Engel v Calgon Corp.*, 114 AD2d 108, 69 NY2d 753; *Matter of Albano v Kirby*, 36 NY2d 526; *Hunter v New York, Ontario & W. R.R. Co.*, 116 NY 615.) II. Allowing Workers' Compensation Board determinations on disability to have preclusive effect will disproportionately impact New York's low-income and immigrant workforce. (*Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Shanahan v Monarch Eng'g Co.*, 219 NY 469.)

Magdalena Barbosa, Jackson Heights, for Make the Road New York, amicus curiae. I. This Court's prior holding negates

the very purpose of the Workers' Compensation Law by decreasing the likelihood that injured workers will pursue valid claims. (*Matter of Johannesen v New York City Dept. of Hous. Preserv. & Dev.*, 84 NY2d 129; *Matter of Post v Burger & Gohlke*, 216 NY 544.) II. Determinations of the Workers' Compensation Board addressing the duration of an injured worker's disability should not have preclusive effect because they lack finality. (*Brugman v City of New York*, 102 AD2d 413; *Ott v Barash*, 109 AD2d 254; *Casas v Consolidated Edison Co. of N.Y., Inc.*, 105 AD3d 471, 21 NY3d 999.)

Advocates for Justice, New York City (Arthur Z. Schwartz of counsel), for The Black Institute, amicus curiae. I. Identity of issues, a necessary condition for the application of collateral estoppel, is lacking. (*Brugman v City of New York*, 102 AD2d 413; *Jeffreys v Griffin*, 1 NY3d 34; *Matter of Balcerak v County of Nassau*, 94 NY2d 253.) II. Collateral estoppel's prerequisite of fairness to the litigants dictates that the doctrine not be applied in this particular case. (*D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Jeffreys v Griffin*, 301 AD2d 232; *Surace v Danna*, 248 NY 18; *Matter of Post v Burger & Gohlke*, 216 NY 544; *New York Central R. Co. v White*, 243 US 188.)

Advocates for Justice, New York City (Arthur Z. Schwartz of counsel), for New York Communities for Change, amicus curiae. I. The court erred in applying collateral estoppel because there is no identity of issue between the prior action and present action. (*Matter of Evans v Monaghan*, 306 NY 312; *Brugman v City of New York*, 102 AD2d 413, 64 NY2d 1011; *Matter of Guimaraes [New York City Bd. of Educ.—Roberts]*, 68 NY2d 989; *Matter of Balcerak v County of Nassau*, 94 NY2d 253.) II. The court erred in applying collateral estoppel because duration of disability is a mixed question of law and fact. (*Matter of Engel v Calgon Corp.*, 114 AD2d 108, 69 NY2d 753; *Matter of Keeley v Jamestown City School Dist.*, 295 AD2d 876; *Matter of Mitchell v New York City Tr. Auth.*, 244 AD2d 723.) III. Allowing Workers' Compensation Board determinations of duration of disability to have preclusive effect will disproportionately impact New York's low-income communities. (*Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Shanahan v Monarch Eng'g Co.*, 219 NY 469.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether the determination of the Workers' Compensation Board, finding that plaintiff

had no further causally-related disability and no further need for treatment, was entitled to collateral estoppel effect in plaintiff's personal injury action. We find that there is no identity of issue and that collateral estoppel therefore should not be applied.

On December 24, 2003, Jose Verdugo (hereinafter plaintiff)* was injured during the course of his employment as a food delivery person, when he was struck in the head by a sheet of plywood that fell to the sidewalk from a building under construction on Lexington Avenue, near 59th Street in Manhattan. Defendant Seven Thirty One Limited Partnership was the owner of the premises. Defendant Bovis Lend Lease LMB was the construction manager for the project and defendant North Side Structures, Inc. was the concrete superstructure subcontractor. Following the accident, plaintiff began receiving workers' compensation benefits for injuries to his head, neck and back, as well as for post-traumatic stress disorder and depression. He commenced this personal injury action in 2004.

In December 2005, the insurance carrier for plaintiff's employer moved to discontinue plaintiff's workers' compensation benefits and the parties proceeded to a hearing before an administrative law judge (ALJ). Each side was permitted to introduce expert medical testimony, which was subject to cross-examination. The ALJ ultimately found that plaintiff had "no further causally related disability since January 24, 2006."

Plaintiff sought administrative review and, as relevant here, the Workers' Compensation Board Panel affirmed, finding record support for the ALJ's credibility determinations. The Panel agreed that plaintiff had no further causally-related disability and found that he had "no further need for treatment."

Subsequently, in this negligence action, defendants moved for an order estopping plaintiff from "relitigating" the issue of causally-related disability beyond January 24, 2006, arguing that the matter had been finally determined by the Workers' Compensation Board. Supreme Court granted the motion, finding that plaintiff had a full and fair opportunity to address the issue before the Board and precluded him from further litigating that issue.

The Appellate Division reversed, finding that the determination of the Workers' Compensation Board was one of ultimate

* The named plaintiffs are Maria Auqui, as guardian of the property of Jose Verdugo, and Maria Verdugo, Jose Verdugo's wife.

fact and thus did not preclude plaintiff from litigating the issue of his ongoing disability (83 AD3d 407 [1st Dept 2011]). Two Justices dissented and would have affirmed. The dissent agreed with Supreme Court that the issue of the duration of plaintiff's disability was the same in both proceedings and that plaintiff had a full and fair opportunity to litigate the issue before the Board. The Appellate Division granted defendants' motion for leave to appeal to this Court, certifying the following question for our review: "[w]as the order of this Court, which reversed the order of the Supreme Court, properly made?" (2011 NY Slip Op 89173[U] [2011].) We affirm and answer the certified question in the affirmative.

The quasi-judicial determinations of administrative agencies are entitled to collateral estoppel effect where the issue a party seeks to preclude in a subsequent civil action is identical to a material issue that was necessarily decided by the administrative tribunal and where there was a full and fair opportunity to litigate before that tribunal (*Jeffreys v Griffin*, 1 NY3d 34, 39 [2003]). Whether collateral estoppel should be applied in a particular case turns on " 'general notions of fairness involving a practical inquiry into the realities of the litigation' " (*Jeffreys*, 1 NY3d at 41, quoting *Matter of Halyalkar v Board of Regents of State of N.Y.*, 72 NY2d 261, 268 [1988]). We have also recognized that collateral estoppel, a flexible doctrine, " 'is applied more flexibly' " in the context of the determinations of administrative agencies (*Jeffreys*, 1 NY3d at 40, quoting *Allied Chem. v Niagara Mohawk Power Corp.*, 72 NY2d 271, 276 [1988]). To that end, "among the factors bearing on whether an administrative decision is 'quasi-judicial' are 'whether the procedures used in the administrative proceeding . . . were sufficient both quantitatively and qualitatively, so as to permit confidence that the facts asserted were adequately tested, and that the issue was fully aired' " (*Jeffreys*, 1 NY3d at 40-41, quoting *Allied Chem.*, 72 NY2d at 276-277). It is the party seeking to invoke collateral estoppel who bears the burden of establishing identity of issue (*see Jeffreys*, 1 NY3d at 39).

Here, defendants have failed to meet their burden of establishing that the issue decided in the workers' compensation proceeding was identical to that presented in this negligence action. We have observed that the Workers' Compensation Law "is the State's most general and comprehensive social program, enacted to provide all injured employees with some scheduled compensation and medical expenses, regardless of fault for ordinary and

unqualified employment duties” (*Matter of Balcerak v County of Nassau*, 94 NY2d 253, 259 [1999]). The purpose of awarding such benefits is to provide funds on an expedited basis that will function as a substitute for an injured employee’s wages (*see Surace v Danna*, 248 NY 18, 20-21 [1928, Cardozo, Ch. J.] [the Workers’ Compensation Law was enacted to save the injured worker “from becoming one of the derelicts of society, a fragment of human wreckage”]). We have observed that the term “disability,” as used in the Workers’ Compensation Law, “generally refers to inability to work” (*Rubeis v Aqua Club, Inc.*, 3 NY3d 408, 417 [2004]). In addition, the Board uses the term “disability” in order to make classifications according to degree (total or partial) and duration (temporary or permanent) of an employee’s injury (*see* Martin Minkowitz, Practice Commentaries, McKinney’s Cons Laws of NY, Book 64, Workers’ Compensation Law § 15 at 44). The focus of the act, plainly, is on a claimant’s ability to perform the duties of his or her employment.

By contrast, a negligence action is much broader in scope. It is intended to make an injured party whole for the enduring consequences of his or her injury—including, as relevant here, lost income and future medical expenses. Necessarily, then, the negligence action is focused on the larger question of the impact of the injury over the course of plaintiff’s lifetime. Although there is some degree of overlap between the issues being determined in the two proceedings, based on the scope and focus of each type of action, it cannot be said that the issues are identical.

In a similar vein, we previously found that there was no identity of issue between a Workers’ Compensation Board determination that an injury was work-related and an application for enhanced benefits under General Municipal Law § 207-c (*see Balcerak*, 94 NY2d at 258). While recognizing that both types of proceedings required a determination that the injury had been sustained in the course of the claimant’s employment, we observed that the purposes behind the two legislative schemes were very different. Workers’ compensation benefits are intended to be dispensed regardless of fault, for any injury arising out of and in the course of one’s employment (*see Balcerak*, 94 NY2d at 259). Section 207-c benefits, on the other hand, are more expansive, but apply to a narrower class of work-related injury, relative to the performance of law enforcement duties (*see Balcerak*, 94 NY2d at 260). We further noted that separate

bodies were charged with making each type of determination and that “[t]he burdens, procedures and prescribed benefits [were] also significantly distinct” (*Balcerak*, 94 NY2d at 261). Related concerns are reflected here, where the jury is charged with determining the broader question of plaintiff’s total loss, as opposed to the Workers’ Compensation Board’s narrower focus on the employee’s ability to work.

In addition, in *Matter of Bissell v Town of Amherst* (18 NY3d 697 [2012]), we recognized certain distinctions between the workers’ compensation process and negligence actions, in the context of the carrier’s obligation to pay its share of litigation costs.

“In a third-party action, the injured employee will have only one opportunity to obtain a recovery for future medical expenses, and the jury assessing the medical evidence will have the chance to make but one award for such expenses, if any. By contrast, in the workers’ compensation context it is possible to wait and see what happens, and to require the carrier to pay its share of litigation costs when that share can be accurately calculated—i.e., when the actual medical expenses that the carrier has been relieved from paying are known. Moreover, whether the claimant is entitled to medical treatment pursuant to the Workers’ Compensation Law is a determination that must be made by the Workers’ Compensation Board, and such determination is not dependent upon the jury’s verdict in the third-party action” (*Bissell*, 18 NY3d at 702).

Given the realities of these distinct proceedings, the finder of fact in a third-party negligence action, in its attempt to ascertain the extent of plaintiff’s total damages, should not be bound by the narrow findings of the Board regarding the duration of plaintiff’s injury or his need for further medical care.

Moreover, based on the expedited nature of workers’ compensation proceedings, parties may not have the means to litigate the matter beyond the issue presented to the Board (*see e.g. Gilberg v Barbieri*, 53 NY2d 285, 293 [1981]). Notably, here, plaintiff did not obtain neuropsychiatric testing for the workers’ compensation hearing, which his physicians had deemed necessary to diagnose his particular type of injury and which he will seek to submit to a jury in the personal injury action.

We stress that this holding should not be read to impair the general rule that the determinations of administrative agencies

are entitled to collateral estoppel effect (*see e.g. ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208, 226 [2011]). That rule is well-settled and should continue to be applied where, unlike here, there is identity of issue between the prior administrative proceeding and the subsequent litigation.

Accordingly, upon reargument, this Court's decision of February 14, 2013 should be vacated, the remittitur recalled, the order appealed from affirmed, with costs, and the certified question answered in the affirmative.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Upon reargument, this Court's decision of February 14, 2013 vacated, the remittitur recalled, the order appealed from affirmed, with costs, and the certified question answered in the affirmative.

[3 NE3d 657, 980 NYS2d 320]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARTIN
HEIDGEN, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TALIJAH
TAYLOR, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRANK-
LIN MCPHERSON, Appellant.

Argued October 8, 2013; decided November 21, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 13, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Alan L. Honof, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree (two counts), assault in the first degree (three counts), and operating a vehicle while under the influence of alcohol (two counts).

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 8, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Richmond County (Robert J. Collini, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, reckless endangerment in the first degree, and operating a motor vehicle while under the influence of alcohol or drugs.

APPEAL, in the third above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 1, 2011. The Appellate Division affirmed a judgment of the Nassau County Court (George R. Peck, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, vehicular manslaughter in the first degree, aggravated driving while intoxicated, operating a motor vehicle while under the influence of alcohol, criminal possession of a weapon in the second degree, and criminal possession of a controlled substance in the seventh degree.

People v Heidgen, 87 AD3d 1016, affirmed.

People v Taylor, 98 AD3d 593, affirmed.

People v McPherson, 89 AD3d 752, affirmed.

HEADNOTES**Crimes — Murder — Depraved Indifference Murder — Sufficiency of Evidence**

1. In a prosecution arising from a motor vehicle accident that occurred when the intoxicated defendant drove on the wrong side of the road at a high rate of speed and crashed head-on into another vehicle, killing the other driver and a passenger and seriously injuring other passengers, there was legally sufficient evidence that defendant had the requisite mental state of depraved indifference so as to support defendant's convictions for depraved indifference murder. The jury could have determined that defendant was unhappy and self-destructive. Defendant's friends who observed him at a party he attended shortly before the accident thought that he was intoxicated but not so intoxicated that he was incoherent, unsteady on his feet or slurring his speech. Defendant drove the wrong way on the highway for over two miles without reacting to other drivers coming at him, car horns, or wrong way signage. More than one witness testified that defendant appeared to follow, or track, the headlights of oncoming vehicles. In addition, a toxicologist testified that defendant's blood alcohol level would have caused delayed reaction time, but that it would not have rendered him incapable of reacting at all. Based on that evidence, the jury could have found that, despite defendant's intoxication, he perceived his surroundings. The jury could have reasonably concluded that defendant drove, knowing that he was on the wrong side of the road and with an appreciation of the grave risks involved in that behavior.

Crimes — Assault — Depraved Indifference Assault

2. In a prosecution arising from a motor vehicle accident that occurred when the intoxicated defendant drove on the wrong side of the road at a high rate of speed and crashed head-on into another vehicle, killing the other driver and a passenger and seriously injuring other passengers, there was legally sufficient evidence that defendant had the requisite mental state of depraved indifference so as to support defendant's convictions for assault in the first degree (*see* Penal Law § 120.10 [3]). The jury could have determined that defendant was unhappy and self-destructive. Defendant's friends who observed him at a party he attended shortly before the accident thought that he was intoxicated but not so intoxicated that he was incoherent, unsteady on his feet or slurring his speech. Defendant drove the wrong way on the highway for over two miles without reacting to other drivers coming at him, car horns, or wrong way signage. More than one witness testified that defendant appeared to follow, or track, the headlights of oncoming vehicles. In addition, a toxicologist testified that defendant's blood alcohol level would have caused delayed reaction time, but that it would not have rendered him incapable of reacting at all. Based on that evidence, the jury could have found that, despite defendant's intoxication, he perceived his surroundings. The jury could have reasonably concluded that defendant drove, knowing that he was on the wrong side of the road and with an appreciation of the grave risks involved in that behavior.

Crimes — Murder — Depraved Indifference Murder

3. In a prosecution arising from a motor vehicle accident that occurred when the intoxicated defendant drove on the wrong side of the road at a high rate of speed in the dark without headlights, struck and killed a pedestrian who was crossing the street, continued to drive the wrong way without slowing down, and struck another vehicle, injuring that vehicle's occupants, there was legally sufficient evidence that defendant had the requisite mental state

of depraved indifference so as to support defendant's conviction for depraved indifference murder. After taking Ecstasy, drinking beer and smoking marijuana defendant buckled her seat belt and set out to drive as fast as she could go, proceeding at speeds in excess of 80 miles per hour on a local road, without lights, at times on the wrong side of the street. Her statements to police revealed that she had perceived at least some of the obstacles in her path, notably the pedestrian victim prior to striking him. Defendant's behavior was frenzied, but she was aware of her surroundings. The jury could have concluded that defendant recklessly engaged in conduct that created a grave risk of death to others, with an utter disregard for whether any harm came to those she imperiled.

Crimes — Reckless Endangerment — Depraved Indifference Reckless Endangerment

4. In a prosecution arising from a motor vehicle accident that occurred when the intoxicated defendant drove on the wrong side of the road at a high rate of speed in the dark without headlights, struck and killed a pedestrian who was crossing the street, continued to drive the wrong way without slowing down, and struck another vehicle, injuring that vehicle's occupants, there was legally sufficient evidence that defendant had the requisite mental state of depraved indifference so as to support defendant's conviction for reckless endangerment in the first degree. After taking Ecstasy, drinking beer and smoking marijuana defendant buckled her seat belt and set out to drive as fast as she could go, proceeding at speeds in excess of 80 miles per hour on a local road, without lights, at times on the wrong side of the street. Her statements to police revealed that she had perceived at least some of the obstacles in her path, notably the pedestrian victim prior to striking him. Defendant's behavior was frenzied, but she was aware of her surroundings. The jury could have concluded that defendant recklessly engaged in conduct that created a grave risk of death to others, with an utter disregard for whether any harm came to those she imperiled. As defendant herself observed, there was no change in her mental state between the time she struck the pedestrian and when she hit the other vehicle. Rather, after colliding with the pedestrian, she proceeded at full speed on the wrong side of the road, ran a red light, and struck the other vehicle while it was stopped at the light.

Crimes — Murder — Depraved Indifference Murder

5. In a prosecution arising from a motor vehicle accident that occurred when the intoxicated defendant drove on the wrong side of the road at a high rate of speed and crashed head-on into another vehicle, killing the other driver, defense counsel's failure to move to dismiss the charge of depraved indifference murder did not constitute ineffective assistance of counsel, as such a motion would not have been successful. Just before the accident defendant became enraged after losing something and fired off several gunshots. He then drove at excessive speed, in the wrong direction on the parkway for about five miles without applying his brakes and several oncoming cars swerved to avoid him. He also passed numerous signs that should have alerted him that he was traveling in the wrong direction. In addition, he did not slow down or pull over in response to a truck driver sounding his air horn. There was, under the circumstances, ample evidence supporting the conclusion that defendant was aware that he was driving on the wrong side of the road and continued to do so with complete disregard for the lives of others. Therefore, although the motion to dismiss should have been made, defendant was not prejudiced and otherwise received meaningful representation, and as there was no reasonable probability that the result would have been different, defendant's claim also failed under the federal standard.

Motor Vehicles — Chemical Tests — Consent for Blood Test

6. In a prosecution for operating a vehicle while under the influence of alcohol and other crimes, there was record support for the affirmed determination of the suppression court that it was unnecessary to obtain defendant's consent before drawing his blood because it would have been impossible to do so, given his complete disorientation.

Motor Vehicles — Chemical Tests — Timeliness of Blood Test

7. In a prosecution for operating a vehicle while under the influence of alcohol and other crimes, there was record support for the affirmed determination of the suppression court that defendant was arrested at the scene pursuant to probable cause, not 10 hours later as alleged by defendant, and therefore the blood sample drawn by an emergency room nurse at the request of the police was timely under Vehicle and Traffic Law § 1194 (2) (a) (1). That statute authorizes the police to obtain a blood sample within two hours of a person's arrest for driving under the influence of alcohol.

Crimes — Appeal — Preservation of Issue for Review — Necessity of Warrant for Blood Test

8. In a prosecution for operating a vehicle while under the influence of alcohol and other crimes, defendant's argument that the drawing of his blood while he was incapacitated, under a statutory presumption of consent, violated his Fourth Amendment rights was unpreserved for review by the Court of Appeals. Defendant's blood was taken pursuant to a statutory presumption of consent to chemical testing that applies to all persons who operate vehicles within the state (*see* Vehicle and Traffic Law § 1194 [2] [a]). Although defendant raised several arguments at the suppression hearing concerning the validity of his blood test—whether the blood had been drawn by a licensed professional nurse, whether it was drawn within the statutory time limits and whether he was capable of consent—the current argument was not one of them. In the midst of an argument that defendant should have been asked for his consent, counsel's statement that "they should have called the district attorney's office, or certainly secured a warrant, and they didn't" did not amount to an argument that the drawing of defendant's blood while he was incapacitated, under a statutory presumption of consent, violated his Fourth Amendment rights.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 575; AM JUR 2d, Assault and Battery §§ 16, 21; AM JUR 2d, Automobiles and Highway Traffic §§ 346, 347, 350, 351, 988, 989, 991; AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Homicide §§ 44, 88.

CARMODY-WAIT 2d, Search and Seizure § 173:95; CARMODY-WAIT 2d, Physical Examinations and Tests §§ 175:2, 175:4, 175:5, 175:8; CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:231; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:149, 207:150, 207:169–207:172.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.10, 27.5.

NY JUR 2d, Automobiles and Other Vehicles §§ 566, 911, 912, 916, 923; NY JUR 2d, Criminal Law: Procedure §§ 711, 714, 859, 864–866, 3454–3457, 3471, 3472; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 423, 432, 449–454, 512, 599, 604, 605.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting “depraved indifference.” 25 ALR4th 311.

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POINTS OF COUNSEL

Jillian S. Harrington, Monroe Township, New Jersey, for appellant in the first above-entitled action. I. The People failed as a matter of law to prove Martin Heidgen’s guilt of crimes involving a depraved indifference to human life beyond a reasonable doubt. (*People v Suarez*, 6 NY3d 202; *People v Payne*, 3 NY3d 266; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Feingold*, 7 NY3d 288; *People v Squires*, 68 AD3d 900; *People v Beriguete*, 51 AD3d 939; *People v Mendez*, 34 AD3d 697; *People v Soto*, 8 AD3d 683; *People v Hines*, 97 NY2d 56.) II. Martin Heidgen was denied his right to a fair trial as a result of the trial court’s decision to permit DNA testing in the middle of trial and then reverse its own decision and admit the previously excluded blood sample purported to be Mr. Heidgen’s. (*People v Julian*, 41 NY2d 340; *People v Finkle*, 192 AD2d 783; *People v Rivera*, 184 AD2d 153; *People v Alomar*, 55 AD3d 617.) III. Martin Heidgen’s blood was illegally obtained and improperly admitted into evidence at trial. (*Schmerber v California*, 384 US 757; *People v Allen*, 73 NY2d 378; *People v Kates*, 53 NY2d 591.) IV. The trial court erred in precluding the defense from presenting the testimony of a police accident reconstructionist. (*Boddie v Connecticut*, 401 US 371; *People v Berk*, 88 NY2d 257; *People v Gray*, 86 NY2d 10; *Matott v Ward*, 48 NY2d 455; *People v Negron*, 91 NY2d 788; *People v Crimmins*, 36 NY2d 230; *People v Lazartes*, 23 AD3d 400.) V. Martin Heidgen’s right to a fair trial was violated by the trial court’s failure to address certain instances of juror misconduct and his erroneous finding that others were unsubstantiated. (*Turner v Louisiana*, 379 US 466;

People v Brown, 48 NY2d 388; *Irvin v Dowd*, 366 US 717; *People v De Lucia*, 20 NY2d 275; *Parker v Gladden*, 385 US 363; *United States v Weiss*, 752 F2d 777; *United States v Beach*, 296 F2d 153; *People v Maragh*, 94 NY2d 569; *People v Friedgood*, 58 NY2d 467; *People v Arnold*, 96 NY2d 358.)

Kathleen M. Rice, District Attorney, Mineola (*Maureen McCormick*, *Tammy J. Smiley* and *Judith R. Sternberg* of counsel), for respondent in the first above-entitled action. I. Because defendant failed to timely object to the sufficiency of the evidence, that issue has not been preserved as a matter of law and is not reviewable in this Court. In any event, the evidence was legally sufficient to establish defendant's guilt of depraved indifference murder and assault. (*People v Kolupa*, 13 NY3d 786; *People v Lane*, 7 NY3d 888; *People v Hines*, 97 NY2d 56; *People v Kirkpatrick*, 32 NY2d 17; *People v Weakfall*, 87 AD3d 1353; *People v Dancy*, 87 AD3d 759; *Montgomery v Wood*, 727 F Supp 2d 171; *People v Abarrategui*, 306 AD2d 20; *People v Beriguete*, 51 AD3d 939; *People v Hawkins*, 11 NY3d 484.) II. Whether a sample of defendant's blood was legally drawn and tested following the collision presents a mixed question of law and fact and, because there was support in the record for the trial court's decision, that issue is not reviewable in this Court. (*People v Goodell*, 79 NY2d 869; *People v Bagley*, 211 AD2d 882; *People v Kates*, 53 NY2d 591; *People v Dixon*, 149 AD2d 75; *People v Harper*, 7 NY3d 882; *People v Danielson*, 9 NY3d 342.) III. The trial court reasonably exercised its discretion when it ordered mid-trial DNA testing of defendant's blood. (*People v Julian*, 41 NY2d 340; *People v Connelly*, 35 NY2d 171; *People v Sansalone*, 208 Misc 491; *People v Miller*, 174 AD2d 901; *Schmerber v California*, 384 US 757; *People v Finkle*, 192 AD2d 783; *People v Patterson*, 78 NY2d 711; *People v Colavito*, 87 NY2d 423; *People v Jenkins*, 98 NY2d 280; *People v Valencia*, 14 NY3d 927.) IV. The trial court did not err in refusing to qualify as an expert reconstructionist a witness who declared himself not to be such an expert. (*Matott v Ward*, 48 NY2d 455; *People v Brown*, 67 NY2d 555; *Sitaras v Ricciardi & Sons*, 154 AD2d 451; *People v Stephens*, 84 NY2d 990; *People v Iannelli*, 69 NY2d 684; *Beeley v Spencer*, 309 AD2d 1303; *People v Hanright*, 187 AD2d 1021; *Lombard v Dobson*, 16 AD2d 1031; *Werner v Sun Oil Co.*, 65 NY2d 839; *Crawford v Koloniaris*, 199 AD2d 235.) V. The trial court did not abuse its discretion when it limited the scope of the hearing on defendant's motion to set aside the verdict, and the court's findings of fact following the hearing were supported by the record. (*People v Samandarov*, 13 NY3d 433; *People v*

Irizarry, 83 NY2d 557; *People v Testa*, 61 NY2d 1008; *People v Maragh*, 94 NY2d 569; *People v De Lucia*, 20 NY2d 275; *People v Clark*, 81 NY2d 913; *People v Brown*, 48 NY2d 388; *People v Rodriguez*, 71 NY2d 214; *People v Harrell*, 284 AD2d 248.)

Lynn W.L. Fahey, Appellate Advocates, New York City (*Erica Horwitz* of counsel), for appellant in the second above-entitled action. The evidence was legally insufficient to prove that appellant, who took Ecstasy to “concentrate” better and “feel close” to her long deceased father, possessed a depraved indifference mens rea when, several hours later, she drove naked, speeding on the wrong side of the street and without lights, apparently oblivious to the danger she posed to herself and others, and killed a pedestrian and, moments later, hit another car. (*People v Suarez*, 6 NY3d 202; *Jackson v Virginia*, 443 US 307; *In re Winship*, 397 US 358; *People v Valencia*, 14 NY3d 927; *People v Feingold*, 7 NY3d 288; *People v Lewie*, 17 NY3d 348; *People v Jean-Baptiste*, 11 NY3d 539; *People v Bussey*, 19 NY3d 231; *People v Baker*, 14 NY3d 266.)

Daniel M. Donovan, Jr., District Attorney, Staten Island (*Anne Grady* and *Morrie I. Kleinbart* of counsel), for respondent in the second above-entitled action. Defendant’s arguments are little else than a thinly disguised effort to obtain weight of the evidence review, unavailable in this Court. In any case, the evidence amply supported the jury’s finding that defendant acted with depraved indifference when she struck Larry Simon and Jeanette and Vincent Cavalieri. (*People v Suarez*, 6 NY3d 202; *People v Russell*, 91 NY2d 280; *People v Feingold*, 7 NY3d 288; *People v Lewie*, 17 NY3d 348; *People v Ramos*, 19 NY3d 133; *People v Bauman*, 12 NY3d 152; *People v Barboni*, 21 NY3d 393; *People v Valencia*, 14 NY3d 927; *People v Harris*, 98 NY2d 452; *People v Butler*, 84 NY2d 627.)

Edelstein & Grossman, New York City (*Jonathan I. Edelstein* of counsel), for appellant in the third above-entitled action. I. Defendant’s trial counsel was ineffective for not moving to dismiss the depraved indifference murder charge on *People v Feingold* (7 NY3d 288 [2006]) grounds. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Kyles v Whitley*, 514 US 419; *Rosario v Ercole*, 617 F3d 683; *Lockhart v Fretwell*, 506 US 364; *People v Murray*, 300 AD2d 819; *People v Stultz*, 2 NY3d 277; *Henry v Poole*, 409 F3d 48; *People v Ennis*, 11 NY3d 403; *People v Carter*, 7 NY3d 875.) II. Defendant’s trial counsel was otherwise ineffective. (*Strickland v Washington*, 466 US

668; *People v Baldi*, 54 NY2d 137; *People v Feingold*, 7 NY3d 288; *People v Droz*, 39 NY2d 457; *People v Hoyte*, 185 Misc 2d 587, 294 AD2d 263; *People v Ryan*, 82 NY2d 497; *Jelinek v Costello*, 247 F Supp 2d 212; *People v Turner*, 5 NY3d 476; *People v Gutierrez*, 57 AD3d 1006; *People v Pacheco*, 50 AD3d 1063.) III. The evidence of depraved indifference murder and second-degree weapon possession was legally insufficient. (*People v Gray*, 86 NY2d 10; *United States v Gjurashaj*, 706 F2d 395; *United States v Allen*, 127 F3d 260; *United States v Hoy*, 137 F3d 726; *People v Robinson*, 36 NY2d 224; *United States v South*, 28 F3d 619; *People v Ficarrota*, 91 NY2d 244; *People v Ford*, 66 NY2d 428; *People v Cleague*, 22 NY2d 363; *People v Moore*, 291 AD2d 336.)

Kathleen M. Rice, District Attorney, Mineola (*Maureen McCormick*, *Tammy J. Smiley* and *Jason R. Richards* of counsel), for respondent in the third above-entitled action. I. In a case that offered virtually no viable defense, trial counsel nonetheless provided meaningful representation, fully satisfying defendant's constitutional right to the effective assistance of counsel. (*Strickland v Washington*, 466 US 668; *Kyles v Whitley*, 514 US 419; *People v Georgiou*, 38 AD3d 155; *People v Turner*, 5 NY3d 476; *People v Benevento*, 91 NY2d 708; *People v Stultz*, 2 NY3d 277; *People v Henry*, 95 NY2d 563; *People v Baldi*, 54 NY2d 137; *People v Hobot*, 84 NY2d 1021; *People v Walker*, 35 AD3d 512.) II. Jettisoning the Court's rule of preservation in favor of a federal model in order to review defendant's legal insufficiency claims, which are meritless in any event, would violate the State Constitution and diminish the truth-seeking function of the State's criminal courts. (*People v Gray*, 86 NY2d 10; *United States v Gjurashaj*, 706 F2d 395; *People v Hawkins*, 11 NY3d 484; *Skelos v Paterson*, 13 NY3d 141; *People v Whipple*, 97 NY2d 1; *People v Maloy*, 36 AD3d 1017; *People v Hollis*, 255 AD2d 615; *People v Feingold*, 7 NY3d 288.)

Frank A. Sedita, III, District Attorney, Buffalo, and *Anthony Girese*, District Attorney, Bronx (*Courtney Robbins* and *Joseph McCormack* of counsel), for District Attorneys Association of the State of New York, amicus curiae in the first, second and third above-entitled actions. I. As each jury was instructed that intoxication may negate a depraved indifference mens rea, each jury's factual determination of guilt must stand. (*People v Valencia*, 14 NY3d 927; *People v Baker*, 14 NY3d 266; *People v Schompert*, 19 NY2d 300; *People v Leonardi*, 143 NY 360; *People v Danielson*, 9 NY3d 342.) II. The evidence in each case is legally

sufficient as a matter of law under *People v Feingold* (7 NY3d 288 [2006]) to establish each appellant's guilt of depraved indifference murder. (*People v Lewie*, 17 NY3d 348; *People v Suarez*, 6 NY3d 202; *People v Gomez*, 65 NY2d 9; *People v Moquin*, 142 AD2d 347.) III. Intoxication should not negate the mens rea of depraved indifference. (*Montana v Egelhoff*, 518 US 37; *People v Perry*, 61 NY2d 849; *People v Le Grand*, 61 AD2d 815; *People v Lee*, 300 NY 422.) IV. The holding in *People v Feingold* (7 NY3d 288 [2006]) is difficult to harmonize with the Penal Law, thus making its application uncertain. (*People v Suarez*, 6 NY3d 202; *People v Payne*, 3 NY3d 266; *People v Prindle*, 16 NY3d 768; *People v Lewie*, 17 NY3d 348; *People v Matos*, 19 NY3d 470.) V. The legislative adoption of aggravated vehicular homicide does not supplant depraved indifference murder. (*People v Eboli*, 34 NY2d 281; *People v Bergerson*, 17 NY2d 398.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendants in these three appeals challenge their convictions of depraved indifference murder. Each defendant drove in an outrageously reckless manner while intoxicated by alcohol or drugs and caused the death of at least one other person. Defendants maintain that the evidence was not legally sufficient to support their convictions—specifically, that there was insufficient proof that they had the requisite mental state of depraved indifference. Although intoxicated driving cases that present circumstances evincing a depraved indifference to human life are likely to be few and far between, we find that the evidence in each of these unusually egregious cases was legally sufficient to support the convictions.

People v Heidgen

At about 4:30 p.m. on July 1, 2005, defendant Martin Heidgen met a friend for drinks at a Manhattan bar. When the friend left about three hours later, defendant, who remained at the bar, had already consumed six beers. Later that night, between 11:00 p.m. and midnight, defendant drove to a party at a friend's house in Merrick. Defendant proceeded to consume several additional alcoholic beverages at the party. Although he appeared to be intoxicated or “buzzed,” defendant was not unsteady on his feet or slurring his words. Defendant left the party after about an hour and a half, without saying goodbye. It was not only well-known among their group of friends that there would

always be a place to stay or a designated driver available if necessary, but one friend testified that she had had a specific conversation with defendant to that effect about a week prior to the party.

Just before 2:00 a.m., witnesses saw defendant driving north on the southbound side of the Meadowbrook Parkway. One witness testified that she pulled over when she saw defendant's headlights coming at her and honked her horn three times, but that defendant did not deviate from the center lane or reduce his speed, which she estimated at about 70 to 75 miles per hour. A second witness testified that, when he saw defendant's pickup truck approaching, the witness drifted slightly to the left and that "it appeared as if [defendant's] car was drifting with me." After defendant passed him, the witness looked in his rearview mirror and observed that defendant's brake lights were not illuminated. The witness estimated defendant's speed at between 70 and 80 miles per hour.

A third witness testified that he had been driving his motorcycle on the northbound side of the Meadowbrook Parkway, when he saw defendant's vehicle on the wrong side of the road. He testified that he rode next to defendant—separated by the guardrail—and that they were traveling at about 70 miles per hour. Despite the witness's "loud" motorcycle at his side, defendant only looked straight ahead and appeared "very intent at driving." The witness lost sight of defendant's car when the guardrail was replaced by a median of trees and bushes.

After traveling about 2¹/₂ miles on the wrong side of the parkway, past multiple "wrong way" signs and the backs of several other road signs, defendant crashed head-on into a limousine that was bringing several family members home from a wedding. Both the driver, Stanley Rabinowitz, and seven-year-old passenger, Katie Flynn, were killed on impact. Several other family members sustained grievous physical injuries. One of the passengers in the limousine, Christopher Tangney, a former Nassau County Police Officer, testified to what he had observed through the vehicle's windshield. Tangney testified that they saw defendant coming at them, but that Rabinowitz was unable to move out of the left lane because there was another car next to them. Tangney estimated defendant's speed at about 65 miles per hour and observed that, when the limousine attempted to move to the right, defendant "seemed to follow us, the headlights."

Reverend Steed Davidson testified that he had been driving in the center lane at about 55 miles per hour and that the limousine had just finished passing him on the left when the crash occurred. Davidson testified that he saw defendant's headlights coming toward him, but was unable to react before impact. Davidson did not see defendant's vehicle swerve or slow down before the crash.

Defendant was arrested at the scene¹ and transported to the hospital. He smelled of alcohol and was generally characterized as either unresponsive or incoherent by police officers and medical professionals. At the request of the State Police, the emergency room nurse obtained a blood sample from defendant which revealed a blood alcohol concentration of .28%.²

Dr. Closson, a forensic toxicologist, testified for the prosecution that defendant's blood alcohol concentration meant that he would have had difficulty processing stimuli in the environment, that his cognitive abilities would have been impeded and that he could have had blurry, "tunnel vision," which would have reduced his peripheral vision. The blood alcohol concentration could have contributed to the disregard of substantial, or even grave, risks. Closson testified that a "divided attention activity," such as driving, would have presented difficulties because persons under the influence of alcohol are more likely to focus on one task than on performing several activities simultaneously. In addition, defendant's reaction time would have been decreased—although it would have decreased as a matter of seconds, rather than minutes, and would not have caused him to fail to perceive or react to his surroundings at all. Dr. Closson testified that the .28% reading meant that defendant had approximately 14 drinks in his system at the time of the test, but gave a "conservative estimate" that defendant had consumed at least 20 drinks in all.

1. Defendant was not advised that he was under arrest until about 10 hours later.

2. Defendant's pretrial motion to suppress the blood evidence, because it was obtained in violation of the time limits in Vehicle and Traffic Law § 1194 (2) (a) (1) and without his consent, was denied. During the course of the trial, the court precluded the blood evidence as inadmissible and unreliable due to defects in the chain of custody and inconsistent testimony from the officer who had secured the sample. However, the court granted the People's subsequent application pursuant to CPL 240.40 (2) (b) (v), requiring defendant to submit to a buccal swab for the purpose of comparing his DNA with the blood evidence. Defendant's DNA sample was ultimately determined to be a match and the court therefore allowed further testimony concerning the blood evidence.

Defendant was advised that he was under arrest at about 12:30 p.m. on July 2, although at that time he was not told that two people had been killed in the crash. Defendant told police that he had gotten into an argument over the telephone with his ex-girlfriend in Arkansas and that he went into “self-destruct mode.” He related that he was “very upset and depressed” and had consumed a fifth of “Old Parr Scotch” before going out and driving around. Defendant complained that he had financial problems and that everything was going wrong since he had moved to New York from Arkansas. He also told the officers that his grandmother had recently passed away. In response to multiple police inquiries on the subject, defendant denied that he had been trying to hurt himself.

A letter that defendant wrote to one of his friends from prison explained that the statements he had made to the police were false. He noted that he had not spoken with his ex-girlfriend at all that night and that he did not have any financial problems. In addition, he pointed out that portions of his statement were lines from the movies *Ocean’s Eleven* and *Pulp Fiction*. He further stated that the empty bottle of “Old Parr Scotch” in his apartment had been empty for months prior to the accident. Defendant indicated that he constructed this story in order to protect the hosts of the party and to portray himself as a person “worthy of leniency.”

The defense retained an engineer, Steven Schneider, who was qualified as an accident reconstruction expert.³ Schneider calculated that the limousine had been traveling at 49 miles per hour on impact. He further estimated that defendant’s vehicle had been traveling somewhere between 27 and 38 miles per hour. The People did not call an expert and instead relied upon the testimony of lay eyewitnesses regarding defendant’s speed.

The jury was instructed that, when determining whether defendant had acted with depraved indifference to human life, it should consider whether he was too intoxicated to be able to form the requisite mental state. Defendant was convicted after trial of two counts of murder in the second degree, three counts

3. Defendant sought to have the State Police officer who conducted the reconstruction in this case testify as an expert, but the People opposed the officer’s qualifications concerning the type of accident that occurred here—an angular head-on collision. The court refused to qualify the officer as an expert witness, noting that the officer had never been qualified as an expert in any court and did not consider himself an expert in the type of calculations necessary in this case.

of assault in the first degree and two counts of operating a vehicle while under the influence of alcohol. The court denied defendant's posttrial motion to set aside the verdict, rejecting defendant's arguments asserting juror misconduct and that the People failed to prove beyond a reasonable doubt that he had the state of mind of depraved indifference to human life.

The Appellate Division affirmed, finding the evidence legally sufficient to support the conviction (87 AD3d 1016 [2d Dept 2011]). The Court also determined that the allegations of juror misconduct in defendant's CPL 330.30 motion were properly rejected. One Justice dissented in part and would have modified to reduce the convictions of murder in the second degree to manslaughter in the second degree and the convictions of assault in the first degree to assault in the second degree. The dissent would have found the evidence legally insufficient to support a finding of depraved indifference to human life, since the People failed to establish that defendant was aware of, and indifferent to, the grave risks presented by his conduct. The dissent would have found defendant "too inebriated to form such a mens rea" (87 AD3d at 1034). The dissenting Justice granted defendant leave to appeal to this Court (17 NY3d 957 [2011]) and we now affirm.

People v Taylor

On October 18, 2006, defendant Taliyah Taylor spent most of the evening attempting to record a song she had written in honor of her late father, who had died when she was a child. Unable to recall the last verse of the song, she took Ecstasy at about 6:30 p.m. in order to help her focus and to feel closer to her father. She also drank one beer and smoked marijuana. A few hours later, defendant left the recording session, taking her young nephew with her "to get the evil off of [him]." She brought him to her mother's house, where she removed his clothing. Taylor also removed her own clothing to show that she had nothing to hide and should be accepted as she was. Defendant ran outside, still naked, attempting "to get away from everything, all the problems, all the hate, all the greed." Over her girlfriend's vigorous objections, Taylor then took the friend's car, later explaining that she wanted to drive "as fast as the car would take her."

At about 10:45 p.m., defendant drove on Forest Avenue in Staten Island (a local road with a posted speed limit of 35 miles per hour) at speeds between 80 and 90 miles per hour, without

headlights, on the wrong side of the road, and struck a pedestrian, Larry Simon, who was crossing the street. Defendant, who was wearing her seat belt, did not slow down, sound her horn or make any attempt to swerve. Simon was killed instantly, sustaining injuries that were more consistent with having been hit by a subway train than by a car. Without slowing, defendant continued driving in the lane for oncoming traffic, ran a red light and struck a vehicle that was stopped at that light, injuring the vehicle's occupants. Defendant's car then flipped over, before coming to rest in a parking lot.

Bystanders helped defendant from the vehicle and she began jumping up and down, chanting "money, power, respect." When the police arrived at the scene, defendant tried to drive away in an unattended squad car, but was stopped and arrested. When asked for her pedigree information, defendant gave her girlfriend's name instead of her own on three separate occasions. The emergency medical personnel generally characterized defendant as alert and coherent, though under the influence of drugs or alcohol. A blood test performed after midnight showed the presence of methylenedioxymphetamine (MDA)⁴ in a concentration that indicated defendant was still actively under the influence of the drug.

The forensic toxicologist testified that MDA is a central nervous system stimulant that, at higher dosages, can have hallucinogenic effects. He observed that individuals under the influence of MDA often exhibit enhanced risk-taking behavior and that they would have difficulty with a multi-task activity such as operating a motor vehicle—they might either switch tasks too quickly or focus on one task to the exclusion of others. Although cannabinoids were detected in an initial screening test, their presence was not confirmed by any followup testing. However, the toxicologist testified that cannabinoids are also hallucinogenic compounds and could have an additive or synergistic effect if taken with MDA.

One of the police officers testified that defendant told him that, "as she was driving, things were coming at her fast and she made the side to side motion also like she is avoiding things." When asked if she remembered hitting the pedestrian, she told the officer that "she saw him and then he was gone."

4. MDA is in the same chemical class as, and is a metabolite of, methylenedioxymethamphetamine (MDMA or Ecstasy). The forensic toxicologist testified that, as between MDA and MDMA, there would be "no significant difference in the effects" on the user.

She also related “that it was like she was in a movie, but she knew she wasn’t in a movie.”

The court denied defense counsel’s motion to dismiss the depraved indifference murder charge, rejecting the argument that the People did not establish the necessary state of mind. The jury was instructed that it could consider whether defendant was too intoxicated to be capable of forming the mental state of depraved indifference. Defendant was convicted of murder in the second degree, reckless endangerment in the first degree and operating a motor vehicle while under the influence.

The Appellate Division affirmed, finding legally sufficient evidence to support the conviction (98 AD3d 593 [2d Dept 2012]). A Judge of this Court granted defendant leave to appeal (20 NY3d 1065 [2013]) and we now affirm.

People v McPherson

At about 3:15 a.m. on October 19, 2007, defendant Franklin McPherson left a nightclub with his cousin, his girlfriend and one of her friends, and began arguing with his girlfriend in the parking lot. He was apparently upset that he had lost something and was seen searching through the trunk of his car. Witnesses then heard several gunshots and defendant drove away with his cousin in the car. Police later found five 9 millimeter shell casings in the parking lot.

At 3:30 a.m., defendant’s car was seen driving west in the eastbound lanes of the Southern State Parkway at speeds of about 70 to 75 miles per hour. He traveled about five miles in the wrong direction, passing eight “wrong way” signs and the backs of 21 large signs that could only be read by eastbound drivers. A construction worker in the right-hand, eastbound lane, testified that when he saw defendant driving toward him, he blew his Mack truck’s air horn for three or four seconds, but defendant just kept going. Other witnesses testified that cars were veering out of defendant’s way but that defendant made no attempt to brake or to avoid other vehicles.

Near exit 13, defendant crashed head-on into a Jeep without slowing down, killing the Jeep’s driver, Leslie Burgess, instantly. Defendant was placed under arrest and his blood alcohol content was measured at .19%. In a subsequent inventory search of his vehicle, police found 9 millimeter ammunition in the trunk, as well as an unloaded 9 millimeter handgun in the car. The gun was later determined to be the same one that had fired the

shots in the parking lot earlier that evening. A small plastic bag containing cocaine was also found inside defendant's vehicle.

Defense counsel argued to the jury during opening and closing statements that they had to determine whether McPherson had been capable of perceiving the risk presented by his behavior and purposely ignored that risk. In addition, when discussing how to formulate an appropriate jury charge on depraved indifference, the trial court specifically raised *People v Feingold* (7 NY3d 288 [2006]) and asked the parties whether the holding of that case was applicable if defendant was oblivious to his surroundings by virtue of his voluntary intoxication. Defense counsel, however, failed to move to dismiss the depraved indifference murder charge on that basis. The jury was instructed that it must consider whether defendant was intoxicated to such a degree that he was incapable of forming the mental state of depraved indifference.

Defendant was convicted of murder in the second degree, vehicular manslaughter in the first degree, aggravated driving while intoxicated, operating a motor vehicle while under the influence of alcohol, criminal possession of a weapon in the second degree and criminal possession of a controlled substance in the seventh degree. The Appellate Division affirmed, finding defendant's argument that the evidence was legally insufficient to support his conviction unpreserved for review and, in any event, without merit (89 AD3d 752 [2d Dept 2011]). The Court also rejected the argument that defendant received ineffective assistance of counsel.

One Justice dissented and would have modified, in the interest of justice, by reducing the second degree murder conviction to manslaughter in the second degree. The dissent would have found that the People failed to prove that defendant was aware that he was driving the wrong way on the highway and disregarded the grave risk of death to others. The dissenting Justice granted defendant leave to appeal to this Court (19 NY3d 969 [2012]) and we now affirm.

Depraved Indifference

As we held in *People v Feingold* (7 NY3d 288 [2006]), depraved indifference is a culpable mental state. That mental state "is best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn't care whether grievous harm results or not" (*Feingold*, 7 NY3d at 296 [internal quotation marks and

citation omitted]). Circumstantial evidence can be used to establish the necessary mens rea (see *Feingold*, 7 NY3d at 296).

The defendant in *Feingold* had been convicted of reckless endangerment in the first degree—recklessly engaging in conduct that creates a grave risk of death to others, under circumstances evincing a depraved indifference to human life. *Feingold* had attempted suicide by blowing out the pilot light of his stove and turning on the gas. However, a spark from the refrigerator caused an explosion, resulting in structural damage to his apartment building. Although we recognized that, viewed in the light most favorable to the People, the evidence could have supported the conclusion that defendant had the necessary mens rea, the trial judge’s express finding that the defendant’s state of mind did not reflect depraved indifference foreclosed such a determination in that case (see *Feingold*, 7 NY3d at 295).

More recently, in *People v Valencia* (14 NY3d 927 [2010]), we addressed a fact pattern similar to the cases at issue. After spending the evening drinking at a friend’s house, the defendant drove in the wrong direction on a Long Island parkway at a high rate of speed, for about four miles. He crashed into two oncoming vehicles, causing serious physical injury to the drivers. Valencia’s blood alcohol concentration was measured at .21%. We held that there was legally insufficient evidence to support the conviction for first degree (depraved indifference) assault, noting that “[t]he trial evidence established only that defendant was extremely intoxicated and did not establish that he acted with the culpable mental state of depraved indifference” (14 NY3d at 927-928).

Valencia is, however, distinguishable from the present cases. There, the trial judge, as the factfinder, determined that the defendant had been “oblivious” to the risks caused by his drunk driving at the time of the offense, but nevertheless convicted him of depraved indifference assault based simply on his earlier acts of drinking to the point of extreme intoxication, despite defendant’s awareness that he would be driving in that condition later that evening (see 14 NY3d at 928 [Grafteo, J., concurring]). To the contrary, in each of the instant appeals, the jury was asked to decide whether the defendant was incapable of forming the requisite mental state by reason of his or her intoxication and each jury rejected the argument that defendant’s impairment rose to that level. Further, none of the instant appeals presents the question of whether the mens rea of depraved indifference must be contemporaneous with the actus reus of the offense.

In *People v Prindle* (16 NY3d 768 [2011]), the defendant led the police on a high speed chase after attempting to steal two snow plows and ultimately crashed into another vehicle, killing one of its occupants. We reduced the defendant's depraved indifference murder conviction to manslaughter in the second degree. Observing that the jury had been instructed, without objection, according to the pre-*Feingold* standard of *People v Register* (60 NY2d 270 [1983]), we found that the evidence was legally insufficient to support the determination that defendant had demonstrated a depraved indifference to human life (see *Prindle*, 16 NY3d at 771). We compared *Prindle*'s case to *People v Gomez* (65 NY2d 9, 12 [1985]), where, after striking two cars, the defendant drove on the sidewalk, struck and killed one child, refused his passenger's pleas to apply the brakes, continued to accelerate and struck another child on the sidewalk. By contrast, *Prindle*, although plainly driving in an unsafe manner, had been actively attempting to avoid hitting other vehicles.

These cases demonstrate that cases involving a depraved indifference to human life are highly fact-specific and dependent upon the individual defendant's particular mental state—a factor that may be extremely difficult to establish. Indeed, intoxicated driving cases in general, although clearly examples of dangerous behavior, are not thought of as “quintessential” cases of depraved indifference—such as,

“firing into a crowd; driving an automobile along a crowded sidewalk at high speed; opening the lion's cage at the zoo; placing a time bomb in a public place; poisoning a well from which people are accustomed to draw water; opening a drawbridge as a train is about to pass over it and dropping stones from an overpass onto a busy highway” (*People v Suarez*, 6 NY3d 202, 214 [2005] [citations omitted]).

Recognizing that “it is important that law enforcement and prosecutors have the tools necessary to properly charge and convict [those] who have committed a DWI resulting in personal injury or death” (Senate Introducer Mem in Support, Bill Jacket, L 2007, ch 345 at 8), the legislature has enacted the aggravated vehicular homicide and assault statutes (Penal Law §§ 125.14, 120.04-a), which provide for enhanced punishment of those individuals who cause death or serious physical injury while operating a motor vehicle while intoxicated, when, for example, the individual has a blood alcohol content of at least .18. These statutes, however, do not foreclose the possibility of

prosecution for depraved indifference murder where egregious circumstances warrant that charge, as they do here.

“A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt” (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks and citations omitted]). The reviewing court must “marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof” (*Danielson*, 9 NY3d at 349).

[1, 2] When viewed in the light most favorable to the People, there was legally sufficient evidence to support Heidgen’s convictions for depraved indifference murder. The jury could have determined that defendant was unhappy and self-destructive. Defendant’s friends who observed him at the party thought that he was intoxicated but not so intoxicated that he was incoherent, unsteady on his feet or slurring his speech. Heidgen drove the wrong way on the highway for over two miles without reacting to other drivers coming at him, car horns, or wrong way signage. Perhaps most significantly, more than one witness testified that defendant appeared to follow, or track, the headlights of oncoming vehicles. In addition, the toxicologist testified that defendant’s blood alcohol level would have caused delayed reaction time, but that it would not have rendered him incapable of reacting at all. Based on this evidence, the jury could have found that, despite defendant’s intoxication, he perceived his surroundings. The jury could have reasonably concluded that defendant drove, knowing that he was on the wrong side of the road and with an appreciation of the grave risks involved in that behavior.⁵ One who engages in what amounts to a high speed game of chicken, with complete disregard for the value of the lives that are thereby endangered, is undoubtedly an individual whose culpability is the equivalent of an intentional murderer.

[3] The evidence is likewise legally sufficient to support Taylor’s conviction for depraved indifference murder. Taylor

5. [2] Similarly, the evidence is legally sufficient to support defendant’s convictions for assault in the first degree (*see* Penal Law § 120.10 [3] [“A person is guilty of assault in the first degree when . . . (u)nder circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes serious physical injury to another person”]).

buckled her seat belt and set out to drive as fast as she could go. She proceeded at speeds in excess of 80 miles per hour on a local road, without lights, at times on the wrong side of the street. Her statements to police revealed that she had perceived at least some of the obstacles in her path, notably the pedestrian victim prior to striking him. Taylor's behavior was obviously frenzied,⁶ but it is also clear that she was aware of her surroundings. From the above evidence, the jury could have concluded that defendant recklessly engaged in conduct that created a grave risk of death to others, with an utter disregard for whether any harm came to those she imperiled.

[4] For the same reasons, the evidence was legally sufficient to establish that Taylor was guilty of reckless endangerment in the first degree. As defendant herself observes, there was no change in her mental state between the time she struck the pedestrian and when she hit the other vehicle. Rather, after colliding with pedestrian Simon, she proceeded at full speed.

[5] In *McPherson*, the depraved indifference argument arises in the context of an ineffective assistance of counsel claim. Defendant's trial took place in 2008, approximately two years after this Court's decision in *Feingold* which, as noted above, conclusively established depraved indifference as a culpable mental state. Indeed, when discussing how to formulate the jury charge, the trial court specifically raised *Feingold* to the parties—in particular, whether the holding applied if the defendant had been oblivious to his surroundings because he was voluntarily intoxicated. Under these circumstances, even if a reasonable defense lawyer might have questioned whether a motion to dismiss on this basis was “a clear winner,” he or she could not have reasonably determined that the argument was “so weak as to be not worth raising” (*People v Turner*, 5 NY3d 476, 483 [2005]). Defense counsel should have moved to dismiss the charge of depraved indifference murder.

Nonetheless, defendant failed to establish that he received ineffective assistance of counsel. In evaluating an ineffective assistance of counsel claim, we have looked to the fairness of the proceedings as a whole, or whether defendant received meaningful representation. We have recognized that “a defendant's showing of prejudice [is] a significant but not indispensable element” in determining whether the standard of meaningful

6. Defendant had initially given notice of her intention to present a psychiatric defense, but that defense was abandoned during trial.

representation was achieved (*People v Stultz*, 2 NY3d 277, 284 [2004]).

Here, a motion to dismiss would not have been successful. The People established that defendant became enraged after losing something and fired off several gunshots. He then drove at excessive speed, in the wrong direction on the parkway for about five miles. During that time—more than four minutes—defendant did not appear to apply his brakes and several oncoming cars swerved to avoid him. He also passed numerous signs that should have alerted him that he was traveling in the wrong direction. In addition, he did not slow down or pull over in response to a truck driver sounding his air horn. There was, under the circumstances, ample evidence supporting the conclusion that defendant was aware that he was driving on the wrong side of the road and continued to do so with complete disregard for the lives of others. Therefore, although the motion to dismiss should have been made, we are persuaded that defendant was not prejudiced and otherwise received meaningful representation. Since there was no reasonable probability that the result would have been different, defendant's claim also fails under the federal standard (see *Strickland v Washington*, 466 US 668, 694 [1984]).

Perhaps the most difficult aspect of all of these cases is whether there was sufficient evidence that the defendants were aware of and appreciated the risks caused by their behavior—specifically, as to Heidgen and McPherson, that they knew they were driving on the wrong side of the parkway and proceeded regardless. However, as noted above, each jury rejected the conclusion that the defendant was too intoxicated to form the requisite intent. Despite defendants' seemingly inexplicable behavior, the People simply are not required to provide a motive for their conduct. Rather, depraved indifference can be proved circumstantially. Here, in each case, a rational jury could have found that the defendant, emboldened by alcohol or drugs, appreciated that he or she was engaging in conduct that presented a grave risk of death and totally disregarded that risk, with catastrophic consequences.

[6, 7] One of Heidgen's additional arguments merits further discussion. He asserts that his blood was illegally drawn without his consent or a warrant, and should have been suppressed. The suppression court found that it was unnecessary to obtain defendant's consent before drawing his blood because it would

have been impossible to do so, given his complete disorientation. This finding was undisturbed by the Appellate Division and there is support in the record for the determination (see *People v Harper*, 7 NY3d 882, 883 [2006]).⁷

Defendant also maintains that the police should have obtained a warrant before drawing his blood and that, under recent United States Supreme Court precedent, they were required to do so (see *Missouri v McNeely*, 569 US —, 133 S Ct 1552 [2013]). In *McNeely*, the Supreme Court held that the natural dissipation of alcohol from the blood does not constitute a per se exigency justifying an exception to the warrant requirement of the Fourth Amendment—rather, whether a warrantless blood test was reasonable is dependent on the circumstances of the particular case (see 569 US at —, 133 S Ct at 1563).

[8] We note that, unlike the defendant in *McNeely*, Heidgen did not refuse to consent to the blood test. His blood was taken pursuant to a statutory presumption of consent to chemical testing that applies to all persons who operate vehicles within the state (see Vehicle and Traffic Law § 1194 [2] [a]). Although defendant raised several arguments at the suppression hearing concerning the validity of his blood test—whether the blood had been drawn by a licensed professional nurse, whether it was drawn within the statutory time limits and whether he was capable of consent—the current argument was not one of them. In the midst of an argument that Heidgen should have been asked for his consent, counsel at one point stated that “they should have called the district attorney’s office, or certainly secured a warrant, and they didn’t.” This in no way amounts to an argument that the drawing of defendant’s blood while he was incapacitated, under a statutory presumption of consent, violated his Fourth Amendment rights. Under the circumstances, we find the current argument unpreserved for our review.

We have considered defendants’ remaining arguments and find them to be without merit.

7. [7] Relatedly, defendant argues that his blood was drawn in violation of the requirements in Vehicle and Traffic Law § 1194 (2) (a) (1), authorizing the police to obtain a blood sample within two hours of a person’s arrest for driving under the influence of alcohol. This argument is dependent on defendant’s assertion that he was not formally arrested until about 10 hours after the accident. However, the suppression court found that defendant was arrested at the scene pursuant to probable cause and the Appellate Division did not upset this finding. There is record support for that determination, rendering it beyond our further review. The blood test was therefore timely under the Vehicle and Traffic Law.

Accordingly, the order of the Appellate Division in each case should be affirmed.

SMITH, J. (dissenting). We have said several times that depraved indifference to human life is a very unusual state of mind (*see People v Lewie*, 17 NY3d 348, 359 [2011]; *People v Suarez*, 6 NY3d 202, 212 [2005]; *People v Payne*, 3 NY3d 266, 270 [2004]). But experience shows that juries, especially in cases with inflammatory facts, will often find depraved indifference where the evidence does not support it, and as a result we have reversed many convictions in recent years because the proof of this mens rea was insufficient (*see People v Barboni*, 21 NY3d 393, 408 n [2013, Smith, J., concurring] [collecting cases]).

Cases in which intoxicated drivers kill innocent people are among the most inflammatory, and thus among the most likely to generate depraved indifference murder convictions where a conviction of a lesser (but still serious) crime is all that is warranted. These three cases, to my mind, exemplify that problem. The majority says “intoxicated driving cases that present circumstances evincing a depraved indifference to human life are likely to be few and far between” (majority op at 267)—yet today it affirms all three of these convictions. In doing so, it departs from the rigor we have previously shown and makes it more difficult to attain our long-sought goal of reserving convictions of this crime for the very few cases that warrant them.

I find the evidence in all three cases insufficient to support murder convictions. My reasoning differs as between the *Heidgen* and *McPherson* cases on the one hand, and *Taylor* on the other.

I

Heidgen and *McPherson* are very similar cases. (In *McPherson*, a preservation problem complicates the analysis, but I agree with the majority that, for the reasons it explains, *McPherson* ultimately turns, as does *Heidgen*, on whether the evidence of depraved indifference was sufficient.) In both cases, a man became extremely drunk, drove for miles the wrong way on a divided highway, and caused a fatal accident. The simplest and likeliest inference from the evidence is that both men were so drunk that they did not know what they were doing. Why, after all, would anyone do such a dangerous thing on purpose?

Of course, Heidgen’s and McPherson’s drunkenness does not excuse what they did. They were unforgivably reckless in get-

ting on the highway at all in the condition they were in, and the consequences of their recklessness were horrible. They were unquestionably guilty of manslaughter in the second degree, a class C felony punishable by up to 15 years in prison (Penal Law §§ 125.15 [1]; 70.00 [2] [c]), and under today's statutes they would also be guilty of aggravated vehicular homicide, a class B felony punishable by up to 25 years (Penal Law §§ 125.14 [1], [4]; 70.00 [2] [b]). But it is clear, and the majority implicitly recognizes, that unless these two defendants knew they were driving the wrong way they were not guilty of depraved indifference murder. In the absence of such knowledge, their conduct does not show "depraved indifference to human life" (Penal Law § 125.25 [2]), which we have defined to mean "an utter disregard for the value of human life—a willingness to act . . . because one simply doesn't care whether grievous harm results or not" (majority op at 274, quoting *People v Feingold*, 7 NY3d 288, 296 [2006]; see *People v Valencia*, 14 NY3d 927 [2010]).

The majority decides that the jury could have found that Heidgen and McPherson "knew they were driving on the wrong side of the parkway and proceeded regardless" (majority op at 279). I agree that, if that happened, these defendants could be found guilty of depraved indifference murder; and perhaps it did happen—but I do not see how a rational jury could find beyond a reasonable doubt that it did. Anyone who knowingly drives the wrong way on a divided highway must either have chosen a bizarre way of committing suicide or else be prey to some grandiose illusion that all the other cars will get out of his way. These records contain no more than hints that either Heidgen or McPherson was in such an extraordinary state of mind.

As to Heidgen, there is some evidence that he had been feeling depressed, but there is also much uncontroverted evidence that he seemed cheerful on the evening in question. He told police after the accident that he had been in "self-destruct mode"; but in the same conversation he forcefully denied that he was trying to harm himself ("No, not under any circumstances"). Drunk driving is itself self-destructive behavior, and I see no basis for inferring that Heidgen's reference to his own self-destructiveness meant anything more than this.

The majority relies more heavily on the testimony of two witnesses that, the majority says, would justify a finding that Heidgen engaged "in what amounts to a high speed game of chicken" (majority op at 277). One of the witnesses said that, when the

witness's own car "drifted a little to the left . . . it appeared as if [Heidgen's] car was drifting with me." Another, a passenger in the limousine that Heidgen crashed into, testified that Heidgen's car "moved . . . toward us . . . seemed to follow us." This *could* mean that Heidgen was deliberately aiming his car at the others, but I do not see how a reasonable juror could infer, with the confidence necessary to support a criminal conviction, that that is what he was doing. It is an extremely unusual thing to do.

As to McPherson, the evidence of a depraved state of mind is even thinner. It is a fair inference from the record that, before he started to drive, McPherson was angry at his girlfriend and fired several gunshots (not, so far as the record shows, at anyone or anything in particular). This simply does not prove that McPherson was either suicidal or on a near-insane pursuit of thrills—as he would have to be to drive knowingly the wrong way. It is much more likely that, in his drunken rage, he did not focus on his surroundings after he started driving.

As to both Heidgen and McPherson, the majority suggests that the very fact that they did drive the wrong way for miles, ignoring many signs and other events that should have alerted them, supports an inference that they knew what they were doing. To me, it supports more strongly the inference that—as blood tests proved—they were very drunk. Ignoring warnings that would alert a sober person is what drunk people do. I do not doubt that, as the majority says, a drunk person is not biologically incapable of perceiving and reacting to his surroundings, but anyone who has ever met one knows that they often fail to do so.

I find the *Heidgen* and *McPherson* cases to be indistinguishable from *People v Valencia* (14 NY3d 927 [2010]), another case involving a drunken wrong-way driver. The majority distinguishes *Valencia* on the ground that there was, in that case, a finding of fact that defendant was oblivious to the risks he was running (majority op at 275). But our memorandum in *Valencia* does not rely on, or even mention, that finding; it says the evidence was "insufficient" to support a finding of depraved indifference. If it was insufficient there, it is insufficient here.

There is, of course, one conspicuous difference between these two cases and *Valencia*: *Valencia* did not kill anyone. The conviction we reversed in *Valencia* was for depraved indifference assault. In these cases, three people died, one of them a young

child. Heidgen and McPherson are at fault for these deaths, and deserve severe punishment. But they are not—or at least, were not proved to be—murderers. They did not kill their victims intentionally, and—drawing all reasonable inferences in favor of the People—there is no more than a possibility that they did so with depraved indifference to human life. Their convictions should be reduced to manslaughter in the second degree.

II

I would also reduce Taylor's conviction, but hers is a different sort of case.

While we can only guess what was in Heidgen's and McPherson's minds when they committed their crimes, there is considerable evidence of what Taylor was thinking. While recording a song in tribute to her long-deceased father, she took Ecstasy and drank beer to help her feel "closer to her father" and "concentrate more." Then, after becoming annoyed with a friend, she left the recording session, taking her nephew with her to "get like the evil off" the child. She took the boy to her mother's house, where she removed first his clothes and then her own. After an argument with her mother, she left the house, still naked, trying "to get away from everything, all the problems, all the hate, all the greed." She got into a car, wanting to drive it "as fast as the car would take her, as fast as she could." She believed that "God wanted her to drive naked." As she was driving she observed that "things were coming at her fast." She eventually hit and killed a pedestrian: She later remembered "him being there and then being gone." After she hit another car and hers turned over, she was found with her eyes shut, saying "money, power, respect"—a chant she resumed after leaving the car, while jumping up and down. Then she got into a police car and tried unsuccessfully to drive it away.

On this record, a reasonable juror could infer beyond a reasonable doubt that Taylor chose to drive at a very high speed, that she knew that she might hit someone, and that she was unmoved by that risk. If she were not so obviously mentally impaired, it might be reasonable to conclude from these facts that she was depravedly indifferent to human life. But in my view, those words simply cannot be applied to someone so unhinged.

I do not suggest that Taylor was legally insane (though I am somewhat surprised she did not raise an insanity defense), or

that she had an extreme emotional disturbance as that term is used in the Penal Law (§ 125.25 [1] [a]; such a disturbance reduces what would otherwise be intentional murder to manslaughter, but is not mentioned in the depraved indifference murder statute). Still, it is hardly debatable that, even by comparison with other intoxicated drivers, Taylor was in a highly abnormal condition. Depraved indifference—the willingness to risk harm because one simply does not care—is a more clear-sighted and cold-blooded state of mind than the one this record shows. I would therefore reduce Taylor’s conviction, as well as Heidgen’s and McPherson’s, to second degree manslaughter.

READ, J. (dissenting). Judge Smith amply demonstrates that the evidence in these three cases is insufficient to support murder convictions under our depraved indifference murder jurisprudence as it has stood at least since *People v Feingold* (7 NY3d 288 [2006]) overruled *People v Register* (60 NY2d 270 [1983], *cert denied* 466 US 953 [1984]). We have elsewhere recounted the stepwise progression of our retreat from *Register* (see generally *Feingold*, 7 NY3d at 290-294; *Policano v Herbert*, 7 NY3d 588 [2006]), and there is no need to repeat that narrative here. Suffice it to say that jettisoning *Register* was controversial. Only three of the current members of the Court participated in the relevant decisions; and two of the three were not persuaded that overruling *Register* was wise or necessary, at least not initially (see *People v Suarez*, 6 NY3d 202, 219 [2005, Read, J., concurring in result on constraint; Graffeo, J., dissenting]). But the Court ultimately decided that depraved indifference is a culpable mental state; that recklessness, no matter how extreme, is not enough by itself to support a conviction for the crime of depraved indifference murder. Under *Register*, by contrast, a conviction for depraved indifference murder hinged upon an objective assessment of the degree of risk presented by the defendant’s reckless conduct.

Essentially, the majority has resurrected the *Register* standard for cases in which intoxicated drivers kill innocent people, or at least has done so here in order to salvage these three convictions. But any departure from *Feingold* for drunk driving cases is contrary not only to our precedent, but also to legislative intent. The legislature in 2007—just a year after we decided *Feingold*—amended the Penal Law to create the new crime of aggravated vehicular homicide, a class B felony with a penalty of up to 25 years in prison (see Penal Law § 125.14; see also L

2007, ch 345).^{*} This crime occurs when an individual kills someone while driving with ability impaired by alcohol or drugs, along with the presence of at least one of the following factors: a blood alcohol content of .18 or higher; a DWI conviction within the previous 10 years; the crash caused the death of more than a single person; the crash killed one person and severely injured another; a previous conviction under Penal Law articles 120 or 125 involving the operation of a motor vehicle; the crash caused the death of a passenger in the offender's vehicle who was a child of 15 years of age or less; or the offender was driving with a suspended or revoked license from any state.

In fashioning this crime, the legislature was, at least in part, responding to prosecutors' pleas that "[r]ecent court decisions [i.e., *Feingold* and the decisions leading up to it] ha[d] so limited the application of the depraved indifference statutes to vehicular crimes as to make them inapplicable"; and "[p]erversely," a driver might as a result try to defend against such a charge by using a claim of extreme intoxication to negate the newly required culpable mental state (*id.* at 15-16, June 15, 2007 letter from District Attorneys Association of the State of New York [emphasis added]; see also Paul Shechtman, *The Meaning of Depraved-Indifference Murder: New Legislation?*, NYLJ, Apr. 4, 2005 at 26, col 1 [exploring the implications of the Court's evolving depraved indifference jurisprudence for the intoxication defense]).

In sum, the legislature has addressed the proper standards for assessing the culpability of drunk drivers who cause fatalities, and the proper measure of their punishment. And it did not choose to do so by amending the second-degree murder statute, which the majority now reinterprets so as to uphold these convictions for depraved indifference murder.

Judges GRAFFEO, PIGOTT, RIVERA and ABDUS-SALAAM concur with Chief Judge LIPPMAN; Judge SMITH dissents in an opinion in which Judge READ concurs in a separate opinion.

In each case: Order affirmed.

^{*} The fatalities in these three cases predated the statute's effective date.

[3 NE3d 1121, 980 NYS2d 873]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v KEVIN W.,
Respondent.

Argued October 10, 2013; decided November 21, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 10, 2012. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (Darrell L. Gavrin, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree and resisting arrest, (2) granted that branch of defendant's omnibus motion which was to suppress physical evidence, (3) dismissed the indictment, and (4) remitted the matter to Supreme Court for the purpose of entering an order in its discretion pursuant to CPL 160.50. The appeal to the Appellate Division had brought up for review a prior order of that Supreme Court (Michael B. Aloise, J.), which denied, after a hearing, that branch of defendant's omnibus motion.

People v Kevin W., 91 AD3d 676, affirmed.

HEADNOTE

Crimes — Suppression Hearing — Reopening Hearing in Pretrial Setting — Full and Fair Opportunity to Present Evidence

In the pretrial setting, a trial judge is precluded from reopening a suppression hearing to give the People an opportunity to shore up their evidence or legal position absent a showing that they were deprived of a full and fair opportunity to be heard. While there is a strong public policy interest in holding culpable individuals responsible and protecting legitimate police conduct, finality is important and parties are expected to be prepared for relevant proceedings with their best evidence. Thus, in a prosecution for weapon possession and resisting arrest wherein defendant's suppression motion was initially granted based on a finding that the evidence failed to establish a sufficient justification for the stop and detention, Supreme Court erred in reopening the suppression hearing, upon the People's motion to reargue, to allow the People to examine a police officer who had not been called to testify at the first hearing. The Judicial Hearing Officer never mandated that that police officer testify; rather, he held that the testimony of the officer who did testify did not satisfy the People's burden to justify the stop and seizure. While titling their motion as requesting reargument and insisting that the hearing officer applied the existing law incorrectly to the evidence presented, the People sought to reopen the hearing to advance additional evidence without explaining how they had been denied a full and fair opportunity the

first time around. The prosecutor knew before the first hearing the evidentiary burden and that the second officer possessed relevant information. There was no evidence in the record as to any legitimate explanation why he was not called to testify at the first hearing. Nothing about the initial hearing robbed the People of a full and fair opportunity to justify the stop and seizure.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 210; AM JUR 2d, Arrest §§ 32–35, 129; AM JUR 2d, Evidence §§ 664, 667; AM JUR 2d, Motions, Rules, and Orders § 40.

CARMODY-WAIT 2d, Arrests or Other Detention; Post-Arrest Procedure § 177:80; CARMODY-WAIT 2d, Pretrial Motions §§ 189:296–189:298.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1, 3.3, 10.1, 10.5, 10.6.

NY JUR 2d, Criminal Law: Procedure §§ 895, 1619, 1620, 1622.

ANNOTATION REFERENCE

See ALR Index under Arrests; Criminal Procedure Rules; Exclusion of Evidence; Reconsideration or Reopening of Proceedings.

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POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Danielle S. Fenn and John M. Castellano of counsel), for appellant. I. The Appellate Division erred in holding that the suppression court was without power to reconsider its adoption of a judicial hearing officer's recommendation or order the taking of additional evidence. In any event, the evidence at the initial hearing warranted denial of suppression. (*People v Petralia*, 62 NY2d 47; *People v Hollman*, 79 NY2d 181; *People v De Bour*, 40 NY2d 210; *People v Roque*, 99 NY2d 50; *People v Harrison*, 57 NY2d 470; *People v Cantor*, 36 NY2d 106; *People v Sobotker*, 43 NY2d 559; *People v Yancy*, 86 NY2d 239; *People v McRay*, 51 NY2d 594; *People v Woods*, 98 NY2d 627.) II. The Appellate Division incorrectly reversed the resisting arrest conviction based on its determination that the police lacked probable cause when the jury properly considered the testimony of both officers. (*People v Sala*, 95 NY2d 254.)

Lynn W.L. Fahey, Appellate Advocates, New York City (*Joshua M. Levine* of counsel), for respondent. I. The Appellate Division correctly ruled that the lower court erred in reopening the suppression hearing. (*People v Havelka*, 45 NY2d 636; *People v Burts*, 78 NY2d 20; *People v Bryant*, 37 NY2d 208; *People v Crandall*, 108 AD2d 413, 69 NY2d 459; *People v Dodt*, 61 NY2d 408; *People v Payton*, 51 NY2d 169, 445 US 573; *People v Ynoa*, 223 AD2d 975; *People v Travis*, 162 AD2d 807; *People v Provost*, 50 AD2d 1087; *People v Broughton*, 163 AD2d 404.) II. This Court lacks jurisdiction to revisit the Appellate Division's finding that the first suppression ruling was correct. In any event, the Appellate Division correctly held that the first suppression decision was right, and even the evidence added in the second hearing was insufficient to establish the requisite reasonable suspicion. (*People v William*, 19 NY3d 891; *People v Francois*, 14 NY3d 732; *People v Quinones*, 12 NY3d 116; *People v Silvestry*, 11 NY3d 902; *People v Allen*, 9 NY3d 1013; *People v Pines*, 99 NY2d 525; *People v Reyes*, 90 NY2d 916; *People v Madera*, 82 NY2d 775; *People v Castro*, 70 NY2d 943; *Terry v Ohio*, 392 US 1.) III. The Appellate Division correctly held that, because the initial, correct hearing ruling determined that the police lacked reasonable suspicion, the resisting arrest conviction could not be sustained. (*People v Jensen*, 86 NY2d 248; *People v Alejandro*, 70 NY2d 133; *People v Peacock*, 68 NY2d 675; *People v Parker*, 33 NY2d 669; *People v De Bour*, 40 NY2d 210; *People v Howard*, 50 NY2d 583; *People v Bilsky*, 95 NY2d 172; *People v Evans*, 94 NY2d 499; *People v Nieves*, 67 NY2d 125; *Jackson v Virginia*, 443 US 307.)

OPINION OF THE COURT

READ, J.

In *People v Havelka* (45 NY2d 636 [1978]), we held that the People, if afforded a full and fair opportunity to present evidence of the dispositive issues at a suppression hearing, are not entitled to a remand after appeal for a reopened hearing. We hold that the principles underlying *Havelka* have equivalent force in the pretrial setting, and preclude a trial judge from reopening a suppression hearing to give the People an opportunity to shore up their evidentiary or legal position absent a showing that they were deprived of a full and fair opportunity to be heard.

I.

On November 1, 2006, Police Officer Jamal Gungor and Sergeant Chester Indiviglio of the New York City Police

Department's Transit Division were assigned to conduct an anti-crime patrol at the Halsey Street subway station on the L line in Bushwick, Brooklyn. Two days earlier, a gunpoint robbery had taken place on the platform there. The perpetrators were described simply as two black males between 18 and 22 years of age, one light-skinned and approximately five feet six inches to five feet seven inches tall; the other dark-skinned and approximately six feet to six feet one inch tall. The officers, in plainclothes, set out from their home precinct in the Broadway Junction subway station at around 3:30 p.m. and headed to the L train platform. Halsey Street is three stops from Broadway Junction.

While the officers waited on the platform, which was crowded with young people on their way home from school, Sergeant Indiviglio pointed out to Officer Gungor defendant Kevin W., then 17 years old, and another young man, who turned out to be defendant's four-years-older brother, Richard. When the train arrived, the officers boarded with defendant and Richard. Officer Gungor sat on the same bench as the two young men, about five or six feet away. Sergeant Indiviglio sat on the bench opposite, roughly across from Officer Gungor.

The brothers got off the train at the Halsey Street station, followed by the two officers. The officers immediately hailed them, identified themselves as police officers and showed them their shields; they told defendant and Richard that they wanted to ask some questions. Sergeant Indiviglio approached Richard; Officer Gungor, defendant. Defendant refused to show identification. He insisted he had done nothing wrong, told Officer Gungor not to touch him and tried to walk away. Officer Gungor asked defendant to lean against the wall and produce identification and had his hands out towards defendant, which, according to his later testimony, was intended to keep some distance between them and to appeal for calm. Defendant pushed Officer Gungor's hands aside.

At some point, defendant appeared to reach for his waistband. This movement caused Officer Gungor to fear for his safety. He grabbed defendant's left arm and attempted to push him against the wall and apply handcuffs. Defendant resisted. Seeing this scuffle develop, Sergeant Indiviglio forced Richard up against the wall, told him to stay put and turned to help Officer Gungor. But Richard immediately took off, tossing an object onto the platform as he fled the subway station and ran out into the street.

Still trying to restrain defendant, Officer Gungor grabbed at his loose-fitting hooded sweatshirt. Defendant managed to chuck the sweatshirt and his backpack or book bag, and ran off in the same direction as his brother. The officers pursued, leaving the bag and sweatshirt on the platform. Officer Gungor stopped briefly, though, to pick up the object discarded by Richard, which turned out to be an inoperable pistol. He also radioed for assistance.

While the officers were engaged in their ultimately unsuccessful pursuit of the two young men, Transit Division Police Officer Keecha Patrick-Santos arrived at the Halsey Street station. The platform was empty except for defendant's sweatshirt and bag. Officer Patrick-Santos retrieved the bag and opened it. Inside were several items, including a legal pad with notes, a photograph of defendant and a loaded pistol, later determined to be operable.

The bag's contents were later examined by Detective David Sanchez, the Transit Division officer assigned to investigate the Halsey Street station robbery. Using the legal pad notes and the photograph, Detective Sanchez identified defendant and arrested him at his home the following day, November 2, 2006.¹ Defendant was charged with second-degree criminal possession of a weapon (Penal Law § 265.03 [3]) and resisting arrest (Penal Law § 205.30). Detective Sanchez created a photo array which included defendant's image and showed it to Officer Gungor and Sergeant Indiviglio. They both identified defendant in the photo array. They also both identified him in a subsequent lineup.²

Defendant moved to suppress the contents of the bag and the identifications, and on May 15, 2007, a *Mapp/Wade* hearing was held before a judicial hearing officer (JHO). The People called Officer Gungor to describe the encounter with defendant and Richard; they did not call Sergeant Indiviglio. Officer Gungor testified that while he and his partner were waiting on the platform, Sergeant Indiviglio observed defendant and Richard

1. Richard fled the jurisdiction and was not arrested in connection with this case until May 2007. He was initially charged with two counts of second-degree criminal possession of a weapon (Penal Law § 265.03 [1] [b]; [3]) and resisting arrest (Penal Law § 205.30). As the gun Richard allegedly threw away was inoperable, he was ultimately charged with resisting arrest and pleaded guilty to disorderly conduct (Penal Law § 240.20).

2. The two victims of the Halsey Street station robbery did not identify defendant in a lineup. Neither defendant nor his brother was ever charged in connection with that crime.

“acting a little suspicious,” and pointed them out to Officer Gungor, who had not noticed them before. Officer Gungor described their behavior as “[c]anvassing the area”; he did not claim that defendant and Richard matched the descriptions of the Halsey Street station robbery suspects.

According to Officer Gungor, Sergeant Indiviglio “made eye contact” with him on the train in a way to suggest that the sergeant thought defendant and Richard were armed, and that Officer Gungor should not move until the two young men got off the train. Further, Officer Gungor stated that, aside from occasional glances, he tried not to look at defendant and Richard, and so did not see any of the behavior prompting Sergeant Indiviglio’s suspicions.

In a report dated July 25, 2007, the JHO recommended suppression of the physical evidence, but not the identifications. He characterized Officer Gungor’s testimony as “sketchy” and “undeveloped,” such that he was “unable to determine whether Sergeant Indiviglio believed one of the men to be armed, or whether such belief would be reasonable under the circumstances.” As a result, “there existed at the critical juncture no more than a founded suspicion of criminality, justifying exercise of the right of inquiry.” And because defendant was entitled to refuse to cooperate with an inquiry, Officer Gungor should not have forcibly detained him. Rejecting the People’s argument that defendant abandoned the bag, the JHO concluded that the physical evidence (notably, the gun) seized by the police was the product of an illegal stop.

In a decision and order dated August 1, 2007, Supreme Court adopted the JHO’s findings of fact and conclusions of law, and granted suppression. On September 25, 2007, the People moved to reargue. The People’s motion papers contained extensive legal argument that the stop was lawful, based on Officer Gungor’s testimony. At an appearance on October 25, 2007, defense counsel indicated that he would not be submitting a response because the People had not advanced any new arguments.

At a subsequent appearance on January 23, 2008, Supreme Court, referring to the People’s motion to reargue, stated that he would send the motion back to the JHO and “give the DA an opportunity to call Sergeant Indiviglio.”³ Defense counsel did not immediately react upon hearing this, but he objected

3. The record does not indicate when or how the People requested permission to call Sergeant Indiviglio.

vehemently at the next court date on February 6, 2008. Stating that he might have been laboring under “a misapprehension of what was going on,” defense counsel pointed out that the People had filed only a motion to reargue, not a motion for renewal or reopening. The judge commented that he had “treated the motion to reargue as a motion to reargue,” but that “[t]o cut to the chase, there was another witness that [the assistant district attorney] wanted to call.”⁴

Later that same day, Sergeant Indiviglio testified before the JHO that he noticed defendant and Richard on the platform

“looking around the station, looking at people. And when they saw me, they seemed to look at me [a] lot in a suspicious manner, kept looking at me, nudging each other, looking at me, which raised my suspicion, what these guys were looking at and why they were looking at me.”

He stated that the two young men matched the description of the Halsey Street station robbers, and that when they boarded the train, he positioned himself where he could readily see them because he “felt fear for [his] safety and [his] partner and other people on the train.”

Sergeant Indiviglio testified that he was apprehensive because of “the way they were acting, nudging [each other], looking at me.” Then, after the train started to move, he “saw Richard make a gesture with his hand, with his fingers, and like a gun, like, I guess, somebody had a gun, pretending they had a gun.” Sergeant Indiviglio added that he told Officer Gungor as they were boarding the train that he wanted to stop the two young men and ask them some questions. After observing Richard’s “gun signal,” he decided a stop, question and frisk was in order, which he indicated to Officer Gungor as they got off the train at the Halsey Street station. According to Sergeant Indiviglio, the brothers were instantly “combative” after he and his partner identified themselves, and Richard pushed him before he attempted to conduct a frisk.

The JHO issued a report dated March 26, 2008, in what he labeled a “[r]eopened Mapp hearing,” recommending denial of

4. An undated, handwritten notation appears on the back of the motion to reargue, indicating that the hearing was being “re-opened.” At the outset of the second hearing, the JHO stated as follows: “I understand that [Supreme Court] granted a motion to *reopen* the hearing in order for the district attorney to produce another witness; is that correct?” (emphasis added). Both attorneys responded in the affirmative.

the suppression motion. Noting that in his earlier report he had found “insufficient justification” for Officer Gungor’s detention of defendant, he concluded that the “additional facts provided by Sergeant Indiviglio’s testimony,” combined with the evidence from the earlier hearing, “viewed in . . . totality,” established reasonable suspicion and justified Officer Gungor’s actions.

In a decision and order dated March 31, 2008, Supreme Court adopted the JHO’s findings of fact and conclusions of law, and denied suppression. Defendant was subsequently convicted at a jury trial of second-degree weapon possession and resisting arrest. On February 18, 2009, Supreme Court adjudicated defendant a youthful offender and sentenced him to five years’ probation and community service.

In January 2012, the Appellate Division reversed the judgment on the law, granted suppression, dismissed the indictment and remitted the matter to Supreme Court for purposes of entering an order in its discretion pursuant to Criminal Procedure Law § 160.50 (91 AD3d 676 [2d Dept 2012]).⁵ Citing *Havelka*, the court held that Supreme Court erred when it reopened the suppression hearing because the People had been given a full and fair opportunity to present their evidence the first time around.

The Appellate Division concluded that Supreme Court should have granted reargument rather than reopening and, upon reargument, adhered to its initial suppression order because the police lacked reasonable suspicion to stop defendant. And without the gun, the evidence was insufficient to prove defendant’s guilt of the weapon possession crime, and there was no probable cause to arrest him or an “authorized arrest,” essential elements of the crime of resisting arrest. A Judge of this Court granted the People leave to appeal (19 NY3d 1027 [2012]), and we now affirm.

II.

In *People v Crandall* (69 NY2d 459, 463 [1987]), we explained that, under an “unbroken thread of precedents,” notably including *Havelka*, a case should be sent back for a second *Mapp* hearing when an appellate court determines that the hearing court

5. Section 160.50 provides generally for record sealing and the return of photographs and fingerprints upon termination of a criminal action or proceeding in a defendant’s favor.

denied suppression on a legally erroneous basis. There, the invalidity of an “oral search warrant” on which the suppression court relied was not established until Crandall’s appeal. Because the People relied on the presumptive validity of the warrant, they did not offer evidence to sustain an alternative basis for the search. The Appellate Division remitted to allow them to present this evidence, and we affirmed because there was “no incentive or necessity” for the People to do more than they had done at the initial hearing (*id.* at 466). It was the “magistrate’s erroneous decision in issuing the ‘oral search warrant’ ” that allowed the People to introduce additional evidence in support of an alternative theory (*id.* at 467). Thus, *Crandall* embodies the general principle that it would be unfair to punish the People for not presenting valid theories or sufficient evidence to justify a search or seizure when good cause exists for the omission. *Havelka* represents the corollary proposition.

In *Havelka*, the suppression motion was denied but the Appellate Division reversed, concluding that the evidence was insufficient, and remanded for a new hearing (*Havelka*, 45 NY2d at 641-642). There was no suggestion that the People had been deprived of a full and fair opportunity to make their case in the initial hearing. The suppression court did not, for example, mislead the People by permitting them to argue an invalid theory or misstate the requirements to be proved. We concluded that a new hearing was not warranted because the evidence initially presented was simply insufficient—i.e., the People have no right to “ ‘a second chance to succeed where once they had tried and failed’ ” (*id.* at 643, quoting *People v Bryant*, 37 NY2d 208, 211 [1975]). As we further explained,

“[d]enial of a rehearing under these circumstances accords with a system that offers a single opportunity for the presentation and resolution of factual questions. If such a practice were not followed, the defendant, having prevailed at the hearing, would be haunted by the specter of renewed proceedings. Success at a suppression hearing would be nearly meaningless, for a second and perhaps a third hearing, could later be ordered” (*Havelka*, 45 NY2d at 643).

Additionally, the People would benefit from implicit and explicit direction from the court about the weaknesses of their case, and so could tailor the presentation accordingly at the subsequent proceeding (*see id.*; *Crandall* at 467; *see also People v Dodt*, 61 NY2d 408, 418 [1984]).

The People contend that *Havelka* and related cases “do no[thing] more than prohibit an appellate court from re-opening a hearing after conviction during the pendency of an appeal” and “do not apply in the pretrial context.” As we said in *Havelka*, though, “[i]t is the purpose of the rule, rather than the rule itself, to which we are ultimately bound” (*Havelka*, 45 NY2d at 642). The truth-seeking function of a suppression hearing is critical, and there is a strong public policy interest in holding culpable individuals responsible and protecting legitimate police conduct. Finality is important, too, and parties are expected to be prepared for relevant proceedings with their best evidence. Our rule in *Havelka* balances these sometimes competing considerations, which are as evident in the pretrial context as they are on the appeal of a suppression court’s decision.

III.

The People argue that the JHO’s first ruling required, as a matter of law, that Sergeant Indiviglio testify; they contend that because the law makes no such demand, they did not think calling the sergeant was necessary. Analogizing this case to *Crandall*, the People then assert they were denied a fair hearing because the JHO incorrectly applied the law and they were misled into thinking that their evidence would be sufficient.

This is simply not the most natural reading of the JHO’s report. While he noted that Officer Gungor did not personally witness the suspicious gestures the brothers allegedly made, his ruling ultimately concluded that the proffered testimony was “sketchy” and “undeveloped,” and did not establish why Sergeant Indiviglio may have believed defendant and Richard were armed, or whether any such belief was reasonable. In short, the JHO never mandated that Sergeant Indiviglio testify; rather, he held that Officer Gungor’s testimony did not satisfy the People’s burden to justify the stop and seizure.

As defendant points out, the People had two options: to appeal Supreme Court’s decision directly (*see* CPL 450.20 [8]; 450.50), or move to reargue. The People ostensibly chose the latter; they titled their motion as requesting reargument, and insisted that the JHO applied the existing law incorrectly to the evidence presented. Nonetheless, the People sought to reopen the hearing to advance additional evidence, without explaining how they had been denied a full and fair opportunity the first time around, and Supreme Court agreed to a do-over.

The People were certainly aware before the first hearing that Sergeant Indiviglio possessed relevant information. There may

have been some perfectly legitimate reason he was not called, but there is no evidence in the record as to what it might have been. It is also possible, of course, that the People simply miscalculated, inaccurately figuring that Officer Gungor's testimony alone would be good enough to persuade the JHO.

In sum, nothing about the initial hearing robbed the People of a full and fair opportunity to justify the stop and seizure. This case involved a routine weapons possession charge and application of *People v De Bour* (40 NY2d 210 [1976]). The prosecutor certainly knew what his evidentiary burden was and had full access to all the evidence available to establish it (i.e., the officers). Indeed, at the reopened hearing Sergeant Indiviglio added few new facts to the account of the stop, but did supply several choice details concerning his state of mind at each stage of the encounter. It is impossible to know if he would have testified in the same vein if he had been called at the first hearing. But the nature of his later testimony underscores the risk of presentations shaped, whether deliberately or subconsciously, by hindsight.

We have examined the People's other arguments and consider them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed.

SMITH, J. (dissenting). The rule of *People v Havelka* (45 NY2d 636 [1978]) applies when a motion to suppress evidence has been denied, the defendant has been convicted, and an appellate court later finds that the evidence at the suppression hearing failed to justify the challenged police action. *Havelka* holds that in such a case, the People should not ordinarily be given a second chance to make a better record at another suppression hearing. This case is different: It involves not an appellate reversal after conviction, but a suppression court's discretionary decision, before trial, to reconsider its own order granting suppression and to redo the hearing. I would not extend the *Havelka* rule to this sort of case.

Havelka states the principle that there should ordinarily be only a "single opportunity for the presentation and resolution of factual questions" (45 NY2d at 643). But this principle has never been an absolute bar to a trial-level court's grant of a party's request for a second chance to make his or her case at a pretrial hearing. Such requests are rarely successful; like other motions for reconsideration of judges' rulings, they are usually

doomed because trial judges can and do expect parties to present their case adequately the first time. But to forbid trial courts from allowing a second chance is to introduce unnecessary rigidity into the system. When—as in this case—a judge is persuaded that the undesirability of altering a pretrial ruling is outweighed by the likelihood that the judge may have been led to a wrong result by an inadequate record, the court's choice to reopen a hearing should rarely be disturbed.

The basically benign nature of this sort of do-over can be illustrated by imagining that the positions of the parties here were reversed. Suppose defendant's motion to suppress had initially been denied after a hearing, and defendant had asked the court to reconsider its denial. Suppose defendant said, in support of his request, that he had mistakenly failed to call a witness who could provide the court with important information. The court might well deny the request for reconsideration, and it would almost certainly not be an abuse of discretion for it to do so. But if the court did choose to reconsider, to hold a new hearing, and to grant suppression, it is very unlikely that an appellate court would reverse its decision, unless it thought suppression was wrong on the merits. I recognize that the same rules do not always apply to the defendant and to the People; there are many occasions in criminal law where the playing field is tilted, quite properly, in the defendant's favor. But I cannot see why this should be one of them.

In *Havelka*, part of the basis for our decision was “the potential for abuse and injustice” (45 NY2d at 643). As we explained:

“ ‘A remand with the benefit of hindsight derived from an appellate court opinion offers too facile a means for establishing probable cause after the event’ (*People v Hendricks*, 25 NY2d 129, 138). Tailoring the evidence at the rehearing to fit the court's established requirements, whether done unconsciously or otherwise, would surely be a considerable danger. A procedure which fails to shield a criminal defendant from abuses so inimical to the rights guaranteed him should not be tolerated” (*id.* at 643-644).

I cannot say that the sort of abuse that we worried about in *Havelka* is impossible in a case like the present one. Probably, the risk of “tailoring the evidence” exists almost every time the

result of a trial or hearing is set aside, and a new trial or hearing ordered. I do not think the risk is as great in this situation, however, as in *Havelka* and similar cases.

Where, as in *Havelka*, suppression has been denied, the defendant has been convicted, and an appellate court then sends the case back for a new suppression hearing, there may be institutional impulses to make the second hearing come out the way the first one did. When a conviction, probably obtained after much time and trouble, is in danger, there is a strong temptation for police and prosecutors to preserve it by tailoring testimony, and there exists also the natural inclination of the suppression-court judge to adhere to the ruling he or she has already made. But where, as in this case, a judge is asked to reconsider his or her own order, the institutional impulse pushes the other way; a judge's natural response in most such cases is "no."

I see no reason not to rely on the good sense of trial-level judges in deciding whether a pretrial hearing already held should be reopened. I would therefore reverse the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO, PIGOTT, RIVERA and ABDUS-SALAAM concur with Judge READ; Judge SMITH dissents and votes to reverse in an opinion.

Order affirmed.

[3 NE3d 694, 980 NYS2d 357]

In the Matter of JAMES HOLMES, Respondent, v JANA WINTER,
Appellant.

Argued November 12, 2013; decided December 10, 2013

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 20, 2013. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Larry R. Stephen, J.), which had compelled respondent to testify before the District Court of Arapahoe County, Colorado, in a criminal proceeding against petitioner.

Matter of Holmes v Winter, 110 AD3d 134, reversed.

HEADNOTE

Crimes — Witnesses — Subpoena — Compelling Journalist to Testify in Out-of-State Criminal Proceeding

It would violate New York public policy for a New York court to issue a subpoena directing a New York reporter to appear at a judicial proceeding in another state where there is a substantial likelihood that he or she will be directed to disclose the names of confidential sources or face being held in contempt of court. New York's Shield Law provides an absolute privilege that prevents a journalist from being compelled to identify confidential sources who provided information for a news story (Civil Rights Law § 79-h [b]). New York public policy as embodied in the New York Constitution (art I, § 8) and the current statutory scheme provides a mantle of protection for those who gather and report the news and their confidential sources. Although, as a general rule, a claim that the evidence sought will be inadmissible in the demanding state based on the applicability of a privilege is not a proper basis for a sending state to deny the subpoena request under the Uniform Act to Secure the Attendance of Witnesses from Without a State in Criminal Proceedings (CPL 640.10 [2]), a strong public policy of this State might justify the refusal of relief under CPL 640.10 even if the "material and necessary" test set forth in the statute is satisfied. Accordingly, Supreme Court should have denied the subpoena application made by petitioner, the defendant in a Colorado murder prosecution, to compel respondent, a New York-based investigative reporter who wrote an article about certain evidence in the Colorado prosecution to testify and provide evidence in Colorado. It was clear from the certificate issued by the Colorado court that the only purpose of requiring respondent to appear in Colorado was to compel her to reveal the identities of the individuals who supplied the information she reported in the news story—information obtained in exchange for a promise of confidentiality. Absent that information, there was no material or necessary testimony respondent could offer in connection with the Colorado proceeding.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1061, 1064; AM JUR 2d, Process § 38; AM JUR 2d, Witnesses §§ 15, 525–531.
CARMODY-WAIT 2d, Disclosure §§ 42:163, 42:164; CARMODY-WAIT 2d, Subpoenas; Notice to Produce §§ 54:247–54:249; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:243–195:245; CARMODY-WAIT 2d, Securing Attendance of Witnesses § 196:64.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.3.
MCKINNEY'S, Civil Rights Law § 79-h (b); CPL 640.10 (2); NY Const, art I, § 8.
NY JUR 2d, Criminal Law: Procedure §§ 2420, 2421; NY JUR 2d, Disclosure § 130; NY JUR 2d, Newspapers §§ 33–35, 37.

ANNOTATION REFERENCE

Privilege of newsgatherer against disclosure of confidential sources or information. 99 ALR3d 37.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: shield /2 law & subpoena /s reporter journalist /s state jurisdiction

POINTS OF COUNSEL

Hogan Lovells US LLP, Washington, D.C. (*Christopher T. Handman*, of the District of Columbia bar, admitted pro hac vice, and *Sean M. Marotta* of counsel), and *Hogan Lovells US LLP*, New York City (*Dori Ann Hanswirth*, *Theresa M. House*, *Nathaniel S. Boyer* and *Benjamin A. Fleming* of counsel), for appellant. I. The subpoena should be quashed because compelling Jana Winter to reveal her confidential sources would violate New York's public policy. (*People v McCartney*, 38 NY2d 618; *Matter of Codey [Capital Cities, Am. Broadcasting Corp.]*, 82 NY2d 521; *New York v O'Neill*, 359 US 1; *Russian Socialist Federated Soviet Republic v Cibrario*, 235 NY 255; *J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Debra H. v Janice R.*, 14 NY3d 576; *Boudreaux v State of La., Dept. of Transp.*, 11 NY3d 321; *Straus & Co. v Canadian Pac. Ry. Co.*, 254 NY 407; *Farrington v Pinckney*, 1 NY2d 74.) II. The Appellate Division erred as a matter of law by holding that the hardship Jana

Winter will face if required to burn her sources is irrelevant to CPL 640.10 (2)'s "undue hardship" analysis. (*Matter of Codey [Capital Cities, Am. Broadcasting Corp.]*, 82 NY2d 521; *Matter of Tran v Kwok Bun Lee*, 29 AD3d 88; *Matter of Beach v Shanley*, 62 NY2d 241.)

Arshack, Hajek & Lehrman, PLLC, New York City (*Daniel N. Arshack* of counsel), and *Green & Willstatter*, White Plains (*Richard D. Willstatter* of counsel), for respondent. I. Under CPL 640.10, the application of journalist shield laws and their foundational policies are irrelevant to the sending court's decision to issue a subpoena. (*New York v O'Neill*, 359 US 1; *Branzburg v Hayes*, 408 US 665; *Matter of Codey [Capital Cities, Am. Broadcasting Corp.]*, 82 NY2d 521; *People v McCartney*, 38 NY2d 618; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) II. Civil Rights Law § 79-h does not establish any special class of citizens who are immune from being directed to appear in other states' criminal proceedings pursuant to CPL 640.10. (*People v Hawkins*, 157 NY 1; *Matter of Pitman*, 26 Misc 2d 332; *Rodriguez v United States*, 480 US 522; *Matter of Beach v Shanley*, 62 NY2d 241; *Connecticut Mut. Life Ins. Co. v Union Trust Co.*, 112 US 250; *Washington v Texas*, 388 US 14; *Chambers v Mississippi*, 410 US 284; *New York v O'Neill*, 359 US 1; *People v McCartney*, 38 NY2d 618; *Debra H. v Janice R.*, 14 NY3d 576.) III. The trial court's finding that Jana Winter failed to show she would suffer "undue hardship" within the meaning of CPL 640.10 was correct and well within the discretion of the Supreme Court as considerations of privilege are irrelevant to that determination and Winter's repeated appearances in Colorado have not caused her any hardship. (*Matter of Codey [Capital Cities, Am. Broadcasting Corp.]*, 82 NY2d 521; *In re Grand Jury Subpoena, Judith Miller*, 438 F3d 1141; *McKevitt v Pallasch*, 339 F3d 530.)

Levine Sullivan Koch & Schulz, LLP, New York City (*Katherine M. Bolger* of counsel), for Reporter's Committee for the Freedom of the Press and others, amici curiae. I. This Court should uphold the public policy interests in protecting journalists from compelled disclosure of confidential sources. (*McIntyre v Ohio Elections Comm'n*, 514 US 334; *Immuno AG v Moor-Jankowski*, 77 NY2d 235; *O'Neill v Oakgrove Constr.*, 71 NY2d 521; *Matter of Beach v Shanley*, 62 NY2d 241; *Matter of Codey [Capital Cities, Am. Broadcasting Corp.]*, 82 NY2d 521; *Gonzales v National Broadcasting Co., Inc.*, 194 F3d 29; *Matter of Consumers Union of U. S., Inc.*, 495 F Supp 582.) II. Confidential

sources are essential to New York journalists' newsgathering both within the state and beyond. (*New York Times Co. v United States*, 403 US 713.) III. The subpoena places an "undue burden" on appellant.

OPINION OF THE COURT

GRAFFEO, J.

New York's Shield Law provides an absolute privilege that prevents a journalist from being compelled to identify confidential sources who provided information for a news story. In this case, the issue is whether it would violate New York public policy for a New York court to issue a subpoena directing a New York reporter to appear at a judicial proceeding in another state where there is a substantial likelihood that she will be directed to disclose the names of confidential sources or face being held in contempt of court.

Petitioner James Holmes is charged with multiple counts of murder, among other offenses, arising from a mass shooting at a midnight screening of a "Batman" movie at an Aurora, Colorado movie theater. Twelve people were killed during the incident and 70 others were wounded. Holmes was arrested at the scene soon after the violence ended. Anticipating that the shootings would generate widespread media attention, the state court presiding over the criminal charges—the District Court for the County of Arapahoe—immediately issued an order limiting pretrial publicity in the case by either side, including law enforcement.

On July 23, 2012, while executing a search warrant, the police took possession of a notebook that Holmes had mailed to a psychiatrist at the University of Colorado before the shootings. Holmes asserted that the notebook, which apparently contained incriminating content, would be inadmissible at trial because it constituted a privileged communication between a patient and a psychiatrist. Two days later, the District Court issued a second order addressing pretrial publicity, precluding any party, including the police, from revealing information concerning the discovery of the notebook or its contents. That same day, respondent Jana Winter—a New York-based investigative reporter employed by Fox News—published an online article entitled: *Exclusive: Movie Massacre Suspect Sent Chilling Notebook to Psychiatrist Before Attack*. In the article, Winter described the contents of the notebook and indicated that she learned about it from two unidentified law enforcement sources. Other news

outlets also published stories revealing the existence of the notebook.

In October 2012, Holmes filed a motion for sanctions in the District Court, alleging that law enforcement had violated the pretrial publicity orders by speaking to Winter and maintaining that their actions undermined his right to a fair and impartial jury. The District Court then conducted a hearing to investigate the leak. Holmes called 14 police officers who had come in contact with the notebook or had learned about it prior to the publication of the Winter article. All the officers testified that they had not leaked the information to Winter and did not know who had.

After the hearing, Holmes sought a certificate under Colorado's version of the Uniform Act to Secure the Attendance of Witnesses from Without a State in Criminal Proceedings (Colo Rev Stat § 16-9-203)—the first step in the two-part process for compelling an out-of-state witness, such as Winter, to testify or otherwise provide evidence in Colorado. Holmes explained that he sought Winter's testimony and any notes she had created in relation to the article because she "appears to be the only witness that can provide the court with the name of the law enforcement agents that leaked privileged information." In January 2013, the District Court issued the requested certificate, finding that there was no other witness "that could provide the names of the law enforcement agents who may have provided information to Jana Winter" and that potential violation of the pretrial publicity order was a serious matter. The court also noted that Winter's article had described her sources as two law enforcement officers and, since all of the officers who dealt with the notebook had denied having spoken to Winter, the crime of perjury in the first degree "may be implicated." Thus, the Colorado court found Winter to be a "material and necessary" witness in the sanction proceeding and therefore requested that she spend three days in travel and testimony in the District Court at a specified date and time.

Since Winter works and lives in New York, Holmes then commenced this proceeding in New York Supreme Court pursuant to CPL 640.10 (2), New York's codification of the reciprocal Uniform Act to Secure the Attendance of Witnesses from Without a State in Criminal Proceedings, seeking the issuance of a subpoena compelling Winter to testify and provide evidence in Colorado. Anticipating that Winter would invoke the New York Shield Law, Holmes relied on our decision in *Matter of*

Codey (*Capital Cities, Am. Broadcasting Corp.*) (82 NY2d 521 [1993]) for the proposition that any issue relating to a claim of privilege could not be decided by a New York court when New York is the “sending state” under CPL 640.10 (2). Instead, Holmes maintained that privilege issues should be addressed exclusively by the Colorado court, the “demanding state,” upon Winter’s appearance there.

Winter opposed the subpoena application, disputing that her testimony was “material and necessary” in the Colorado case given that she was only one of a group of reporters that published articles referencing Holmes’s notebook. She also argued that requiring her to testify and reveal her sources in Colorado would constitute an “undue hardship” under CPL 640.10 because such disclosure would severely compromise her ability to function as an investigative reporter and pursue her chosen livelihood. This contention was supported by the affidavit of an expert witness who explained the importance of confidential sources to investigative journalism and opined that revelation of sources could end Winter’s career.

Winter further argued that the identity of her sources is absolutely privileged under New York’s Shield Law. Given the nature of the testimony sought by the District Court and the fact that Colorado provides significantly less protection to journalists in this regard, Winter asserted that it would violate public policy for a New York court to issue a subpoena directing her to appear in Colorado for the purpose of divulging privileged confidential sources. She noted that *Codey* suggested that privilege issues may be considered, even when New York is the “sending state,” if issuance of a subpoena would violate a strong public policy—which she maintained was the situation here.

Supreme Court granted Holmes’s application and issued a subpoena directing Winter to appear in Colorado, holding that she was a material and necessary witness and that compliance with the subpoena posed no undue hardship because Holmes’s defense team would pay her expenses and she was to remain in Colorado for no longer than three days. The court reasoned that the other issues Winter had raised, including her claim of privilege, were beyond the scope of a subpoena application under CPL 640.10 (2) and should be resolved by the District Court in Colorado.¹

1. After Supreme Court issued the subpoena, Winter complied under protest, appearing in Colorado on three occasions in which she asserted that

(n. cont’d)

The Appellate Division affirmed in a divided decision (110 AD3d 134 [2013]). The majority adopted Supreme Court’s view that the only issues to be resolved by a New York court in its capacity as a “sending state” under CPL 640.10 (2) is whether Holmes established that Winter was a material and necessary witness in the Colorado proceeding and whether compelling her to testify would result in undue hardship. As to the latter, the majority viewed the concept narrowly as encompassing only “familial, monetary, or job-related hardships” pertaining to the time, expense and inconvenience associated with the trip to the other jurisdiction—which did not include any consequences flowing from the testimony the witness would be required to give (110 AD3d at 137). Relying on *Codey*, the majority reasoned that it would be inefficient and inconsistent with the reciprocal scheme for the “sending state” to entertain issues relating to admissibility and privilege of the testimony sought. Thus, the majority declined to entertain Winter’s Shield Law argument, although it noted that the record did not establish “with absolute certainty” that the Colorado District Court would require her to disclose the identity of confidential sources (110 AD3d at 138).

A two-Justice dissent concluded that the subpoena application should have been denied. Although recognizing the general rule that issues relating to admissibility and privilege are not entertained by the “sending state” in the CPL 640.10 (2) context, the dissent maintained that language in a footnote in *Codey* supported recognition of an exception in cases where the prospective witness makes a compelling claim that issuance of the subpoena would violate a strong public policy of this state. On the merits, the dissent determined that Winter should be able to claim the protections of the New York Shield Law to avoid issuance of the subpoena because Colorado’s Shield Law contains significantly less protection in relation to confidential sources and there was a substantial possibility—indeed, a near certainty—that the District Court would require Winter to disclose her sources or be held in contempt. Finally, even absent

the information sought was privileged under the New York and Colorado Shield Laws. Colorado has deferred resolution of Winter’s privilege claim pending disposition of several other related issues. At this juncture, her case continues to present a live controversy since an order of this Court reversing the Appellate Division and dismissing Holmes’s CPL 640.10 (2) application will result in nullification of the subpoena, meaning that Winter will have no continuing legal obligation to return to Colorado and give further testimony—regardless of Colorado’s resolution of the privilege issue.

consideration of the privilege issue, the dissent found that Winter had established “undue hardship” under the statute because she demonstrated, through uncontradicted evidence, that issuance of the subpoena would put her in an impossible situation: she would be forced to choose between incarceration (if she refused to divulge the information) or loss of her livelihood (if she provided the information sought by the Colorado court).

Winter appeals as of right on the two-Justice dissent at the Appellate Division (CPLR 5601 [a]). In this Court, she continues to argue that issuance of the subpoena under the circumstances presented here is antithetical to New York’s well-established public policy in favor of protecting the anonymity of confidential sources, as embodied in the New York Constitution and the New York Shield Law. We therefore begin by examining that public policy.

Article I, § 8 of the New York Constitution and
the New York Shield Law

New York has a long tradition, with roots dating back to the colonial era, of providing the utmost protection of freedom of the press. Our recognition of the importance of safeguarding those who provide information as part of the newsgathering function can be traced to the case of “John Peter Zenger who . . . was prosecuted for publishing articles critical of the New York colonial Governor after he refused to disclose his source” (*Matter of Beach v Shanley*, 62 NY2d 241, 255 [1984, Wachtler, J., concurring]). A jury comprised of colonial New Yorkers refused to convict Zenger—an action widely viewed as one of the first instances when the connection between the protection of anonymous sources and the maintenance of a free press was recognized in the new world. In acknowledging the critical role that the press would play in our democratic society, New York became a hospitable environment for journalists and other purveyors of the written word, leading the burgeoning publishing industry to establish a home in our state during the early years of our nation’s history.

Article I, § 8 of the New York Constitution—our guarantee of free speech and a free press—was adopted in 1821, before the First Amendment was rendered applicable to the states (*O’Neill v Oakgrove Constr.*, 71 NY2d 521, 529 [1988]). The drafters chose not to model our provision after the First Amendment, deciding instead to adopt more expansive language:

“Every citizen may freely speak, write and publish his or her sentiments on all subjects . . . and no law shall be passed to restrain or abridge the liberty of speech or of the press” (NY Const, art I, § 8).

This was in keeping with “the consistent tradition in this State of providing the broadest possible protection to ‘the sensitive role of gathering and disseminating news of public events’ ” (*O’Neill*, 71 NY2d at 529, quoting *Beach*, 62 NY2d at 256).

In furtherance of this historical tradition, the legislature adopted the Shield Law in 1970. Among other protections, the statute grants an absolute privilege precluding reporters from being compelled to reveal the identity of confidential sources:

“Notwithstanding the provisions of any general or specific law to the contrary, no professional journalist or newscaster . . . shall be adjudged in contempt by any court in connection with any civil or criminal proceeding . . . for refusing or failing to disclose any news obtained or received in confidence or the identity of the source of any such news coming into such person’s possession in the course of gathering or obtaining news for publication” (Civil Rights Law § 79-h [b], as added by L 1970, ch 615, as amended by L 1975, ch 316; L 1981, ch 468, § 2; L 1990, ch 33, § 1).

Information subject to the privilege is “inadmissible in any action or proceeding or hearing before any agency” (Civil Rights Law § 79-h [d]). The Shield Law therefore prohibits a New York court from forcing a reporter to reveal a confidential source, both by preventing such a directive from being enforced through the court’s contempt power and by rendering any evidence that is covered by the provision inadmissible.

Another subdivision of the statute largely codified our decision in *O’Neill v Oakgrove Constr.* (*supra*, 71 NY2d 521 [1988]), which recognized that article I, § 8 provides reporters with a “qualified privilege” against compelled disclosure of “nonconfidential news”—information that was not received in confidence—unless the party seeking disclosure establishes that the news “(i) is highly material and relevant; (ii) is critical or necessary to the maintenance of a party’s claim, defense or proof of an issue material thereto; and (iii) is not obtainable from any alternative source” (Civil Rights Law § 79-h [c], as added by L 1990, ch 33, § 2).

It is clear from the legislative history of these provisions that the legislature believed that such protections were essential to

maintenance of our free and democratic society. Prior to the adoption of the first statute in 1970, lawmakers considered affidavits prepared by several luminaries of the profession—including Walter Cronkite, Eric Sevareid and Mike Wallace—emphasizing the critical importance of protecting the anonymity of confidential sources in order to assure a continued flow of information to reporters and, thus, to the public (*see* Bill Jacket, L 1970, ch 615 at 66-76).² The views expressed by these reporters were echoed by Governor Nelson Rockefeller in his memorandum approving the legislation. There he emphasized that “[t]he threat to a news[person] of being charged with contempt and being imprisoned for failing to disclose his [or her] information or . . . sources can significantly reduce his [or her] ability to gather vital information” (Governor’s Approval Mem, Bill Jacket, L 1970, ch 615 at 91, 1970 Legis Ann at 508). The Governor described freedom of the press as “one of the foundations upon which our form of government is based,” concluding that “[a] representative democracy, such as ours, cannot exist unless there is a free press both willing and able to keep the public informed of all the news” (*id.*). Moreover, it is evident from the approval memorandum that he and the legislature intended the statute to provide the highest level of protection in the nation: “This ‘Freedom of Information Bill for Newsmen’ will make New York State—the Nation’s principal center of news gathering and dissemination—the only state that clearly protects the public’s right to know” (*id.*).

This articulated legislative purpose to protect against incursions on press freedom was repeatedly reaffirmed in the years after the original Shield Law was enacted when the statute was

2. The affidavits were prepared in connection with a motion to quash a subpoena in a case that was pending when the Shield Law was under consideration by the legislature and which involved an investigative reporter from the New York Times who was subpoenaed by a federal grand jury in California to testify concerning knowledge he obtained about the Black Panther organization. Two lower courts held that the First Amendment protected the reporter from being compelled to reveal his sources or disclose information provided to him in confidence, differing only on whether the reporter could avoid appearing at the grand jury altogether (*Caldwell v United States*, 434 F2d 1081 [9th Cir 1970] [reporter could not be compelled to appear at grand jury], *vacating* 311 F Supp 358 [ND Cal 1970] [although required to appear at grand jury, reporter was entitled to protective order precluding questioning concerning confidential sources or information]). However, deciding the case with *Branzburg v Hayes* (408 US 665 [1972]), the United States Supreme Court disagreed, holding that the reporter could not rely on the First Amendment to avoid appearing and giving evidence in response to a grand jury subpoena.

amended several times in an effort to strengthen its provisions, often in response to judicial decisions that the legislature viewed as affording inadequate protections to reporters. For example, in 1981 the legislature passed amendments intended to “correct loopholes and fill gaps in the existing statute,” indicating this was necessary because “[c]ase history makes it abundantly clear that the courts have been all too often disinclined to follow the letter or even the spirit of the existing law” (*Beach*, 62 NY2d at 250, quoting Assembly Sponsor’s Mem, Bill Jacket, L 1981, ch 468 at 4).

As a result, New York public policy as embodied in the Constitution and our current statutory scheme provides a mantle of protection for those who gather and report the news—and their confidential sources—that has been recognized as the strongest in the nation. And safeguarding the anonymity of those who provide information in confidence is perhaps the core principle of New York’s journalistic privilege, as is evident from our colonial tradition, the constitutional text and the legislative history of the Shield Law.

This is reflected in our decision in *Matter of Beach v Shanley*, which involved a controversy between a television reporter and a grand jury that was investigating the unauthorized disclosure of a sealed report issued by a prior grand jury. In exchange for an express promise to keep his identity secret, a source apparently told the reporter that the earlier grand jury had recommended the removal of the local sheriff in connection with an investigation into the illegal retention and sale of guns. When this information was revealed in a news broadcast, the second grand jury was convened to determine whether the contents of the sealed report had been disclosed to the reporter by a grand juror, public official or other public employee in violation of Penal Law § 215.70—conduct that constitutes a class E felony. Subpoenas were issued to the reporter seeking his testimony and notes on the source of the news report.

After reviewing the history of the Shield Law and considering its language, we reversed the order of the Appellate Division, which had directed the reporter’s appearance at the grand jury, and ordered that the subpoenas should have been quashed. We explained:

“The inescapable conclusion is that the Shield Law provides a broad protection to journalists without any qualifying language. It does not distinguish between criminal and civil matters, nor does it except

situations where the reporter observes a criminal act . . . Although this may thwart a grand jury investigation, the statute permits a reporter to retain his or her information, even when the act of divulging the information was itself criminal conduct. Even if one were to be in disagreement with the wisdom of the policy underlying section 79-h and no matter how heinous the crime under investigation, the courts are not free to ignore the mandate of the Legislature and substitute a policy of their own” (*Beach*, 62 NY2d at 251-252 [internal quotation marks and citations omitted]).

Beach was decided on purely statutory grounds under the doctrine of constitutional avoidance, although then-Judge Wachtler noted in a concurrence that the protection of confidential sources was “essential to the type of freedom of expression traditionally expected in this State and should be recognized as a right guaranteed by the State Constitution” (*id.* at 256 [Wachtler, J., concurring]). In *O’Neill*, we later confirmed that article I, § 8 also encompasses a journalist’s privilege as part of the guarantee of free speech and a free press.

It is therefore evident based on the New York Constitution, the Shield Law and our precedent that a New York court could not compel Winter to reveal the identity of the sources that supplied information to her in relation to her online news article about Holmes’s notebook. Holmes does not argue otherwise but relies on our decision in *Matter of Codey (Capital Cities, Am. Broadcasting Corp.)* (*supra*, 82 NY2d 521 [1993]) for the proposition that, when New York functions as the “sending state” in relation to a CPL 640.10 (2) application, issues concerning testimonial privilege—including the applicability of the absolute privilege afforded by the Shield Law—simply cannot be considered by a New York court. We next address this issue.

CPL 640.10 and Codey

CPL 640.10 (2) is New York’s codification of the Uniform Act to Secure the Attendance of Witnesses from Without a State in Criminal Proceedings, which has been adopted by all 50 states. The Uniform Act creates a two-step procedure for compelling the appearance of a witness located in another jurisdiction. First, the relevant court in the demanding state—the jurisdiction that seeks the witness’s testimony—must issue a “certificate” finding “that there is a criminal prosecution pending in

such court . . . , that a person being within this state is a material witness in such prosecution . . . and that his [or her] presence will be required for a specified number of days” (CPL 640.10 [2]). Next, if the witness whose testimony is sought is present in New York, meaning New York is the “sending state,” the certificate is presented to a Supreme Court Justice or a County Court Judge in the county where the witness is located and that court conducts a hearing to determine whether to issue a subpoena directing the witness to appear in the demanding state. A subpoena is appropriate, however, only if the New York court determines

“that the witness is material and necessary, that it will not cause undue hardship to the witness to be compelled to attend and testify in the prosecution . . . , and that the laws of the [demanding] state . . . will give to him [or her] protection from arrest and the service of civil and criminal process” (CPL 640.10 [2]).

The latter clause prevents the witness from being subjected to arrest for any unrelated outstanding warrant or from being served with process while answering the subpoena—but it has not been interpreted as protecting the witness from being held in contempt for failing to give testimony in the demanding state.

In *Codey*, a New York news organization was subpoenaed by a New Jersey grand jury that was investigating illegal point shaving and gambling activities associated with collegiate basketball. The news organization had previously broadcast a story that contained brief excerpts of an interview with an unidentified player who was disguised in the report to preserve his anonymity and who provided information relevant to the investigation. The player later revealed his identity to the grand jury and decided to cooperate in the investigation but he could not recall everything that he had said during the 30-minute videotaped interview with the reporter, only a small portion of which had been aired during the broadcast. Thus, the grand jury sought to obtain videotaped outtakes of the interview and the reporter’s notes. Invoking CPL 640.10 (2) in an effort to secure the attendance of the New York reporter at its proceedings in New Jersey, the New Jersey grand jury obtained the requisite certificate and commenced a proceeding in the New York county where the news organization was based requesting issuance of a subpoena. In response, the broadcaster contended that the material sought was privileged under the New Jersey Shield Law, maintaining

that New Jersey grants an absolute privilege protecting information of the type sought there.

Supreme Court issued the subpoena, without deciding the privilege issue. But the Appellate Division reversed, reasoning that New York—which was functioning as the sending state—must resolve the reporter’s claim that the information sought was privileged in the demanding state because, if the claim had merit, the evidence would be inadmissible in the demanding state and therefore could not be material or necessary to the criminal investigation. The Appellate Division then analyzed New Jersey’s Shield Law, concluding that the requested information was protected by an absolute privilege, similar to the privilege granted under New York’s Shield Law.

On appeal, we reversed and directed that the subpoena should be reinstated, holding that the Appellate Division had erred in considering the news organization’s claim that the information was privileged under New Jersey law. We determined that the inquiry conducted by the sending state to determine whether the information sought is “material and necessary” within the meaning of CPL 640.10 (2) is limited and does not encompass the concepts of admissibility, disclosability or privilege. Indicating that “[i]t would be inefficient and inconsistent with the over-all purpose and design of this reciprocal statutory scheme to permit the sending State’s courts to resolve questions of privilege on a CPL 640.10 (2) application” (*Codey*, 82 NY2d at 529), we concluded that “evidentiary questions such as privilege are best resolved in the State—and in the proceeding—in which the evidence is to be used” (*id.* at 530). We explained that

“[i]n view of the sensitivity of privilege issues to local policy concerns and particularized legal rules, it would make little sense to construe CPL 640.10 (2) as authorizing the courts of this State to determine questions of privilege that arise out of the law of another jurisdiction and which relate to specific criminal proceedings pending in that other jurisdiction” (*id.*).

In *Codey*, we articulated the general rule that a claim that the evidence sought will be inadmissible in the demanding state based on the applicability of a privilege is simply not a proper basis for a sending state, such as New York, to deny the subpoena request under the Uniform Act. In this case, the

Appellate Division majority understandably relied on this proposition when denying Winter relief. However, we also clarified in *Codey* that

“[o]ur holding should not be construed as foreclosing the possibility that in some future case a strong public policy of this State, even one embodied in an evidentiary privilege, might justify the refusal of relief under CPL 640.10 even if the ‘material and necessary’ test set forth in the statute is satisfied” (*id.* at 530 n 3).

Winter argues that this is such a “future case” and we agree.

We begin with the observation that this case is distinguishable from *Codey* in several critical respects. Here, Winter relies on the journalist’s privilege embodied in the New York Shield Law. In *Codey*, the news organization argued that the reporter’s testimony, along with the video outtakes and notes, were privileged under the law of New Jersey which, like New York, offers substantial protection to reporters in relation to unpublished materials. This distinction is significant for two reasons. First, since the reporter in *Codey* was relying on another state’s law, it made sense that the other state should resolve any issue that arose concerning the applicability of the privilege. We emphasized this in the decision when we noted that privilege issues raise “local policy concerns,” which militated against a New York court “determin[ing] questions of privilege that arise out of the law of another jurisdiction” (*Codey*, 82 NY2d at 530).

Second, because there was no claimed disparity between the protection afforded in the demanding state and that provided in New York in relation to the information sought, no comparable public policy issue was presented in *Codey*. There the reporter did not argue that he needed the protection of the New York courts because New Jersey would resolve the privilege issue in a manner offensive to a strong public policy of this State—he contended just the opposite, asserting that New York should decline to issue the subpoena because the videotaped outtakes were privileged under New Jersey law. In contrast, here Winter makes a compelling argument that the promise of confidentiality she provided to her sources will not be honored by the Colorado courts. Colorado offered no privilege to reporters until 1990 and its current Shield Law grants only qualified, as opposed to absolute, protection—even in relation to the identity of

sources of confidential news.³ Essentially, the Colorado courts employ a balancing test to determine whether a reporter can be required to reveal an anonymous source—a procedure in stark contrast to the absolute privilege cloaking that information in New York.

This brings us to perhaps the most important factual distinction between this case and *Codey*. In *Codey*, the New Jersey grand jury did not subpoena the reporter for the purpose of compelling him to reveal the identity of a confidential source. The basketball player who had been interviewed on condition of anonymity had come forward of his own accord and New Jersey authorities already knew who he was—they sought to obtain the video outtakes from the interview because he could not recall everything he had said to the reporter. To be sure, non-published material such as this receives significant protection in New York (and apparently also in New Jersey), even when the source is known. But we cannot ignore the obvious distinction between the material sought in *Codey* and the testimony at issue here.

It is clear from the certificate issued by the District Court in this case that the only purpose of requiring Winter to appear in Colorado is to compel her to reveal the identities of the individuals who supplied the information she reported in the news story—information obtained in exchange for a promise of confidentiality. Disclosure of this information will enable the District Court to determine the origin of the leaks, presumably so that the individuals involved can be sanctioned for violation of the nondisclosure order and perhaps even prosecuted for perjury. This is a valid objective in light of the apparent breach of the District Court’s pretrial “gag” order. But this predictable chain of events is precisely the harm sought to be avoided under our Shield Law for it is fear of reprisal of this type that closes

3. Under Colorado law, the qualified privilege protecting the identity of confidential sources can be abrogated if the party seeking the information can prove, by a preponderance of the evidence, that (1) “the news information is directly relevant to a substantial issue involved in the proceeding,” (2) “the news information cannot be obtained by any other reasonable means,” and (3) “a strong interest of the party seeking to subpoena the newsperson outweighs the interests under the first amendment to the United States constitution of such newsperson in not responding to a subpoena and of the general public in receiving news information” (Colo Rev Stat § 13-90-119 [3]). As Winter points out, when issuing the certificate, the Colorado court also essentially concluded that the first two prongs are met here—it found that Winter’s testimony was probative of the issue to be resolved (who leaked the information) and that the information sought could not be secured by any other means.

mouths, causing news sources to dry up and inhibiting the future investigative efforts of reporters. The District Court is understandably troubled by the violation of the restrictions it imposed on pretrial disclosure, but the New York Shield Law “permits a reporter to retain his or her information, even when the act of divulging the information was itself criminal conduct” (*Beach*, 62 NY2d at 252).

As we have explained, protection of the anonymity of confidential sources is a core—if not *the* central—concern underlying New York’s journalist privilege, with roots that can be traced back to the inception of the press in New York. Although there are uncertainties concerning the application of the outer reaches of our statute, particularly the scope of the qualified privilege for nonconfidential news which must be determined on a case-by-case basis (*see e.g. People v Combest*, 4 NY3d 341 [2005] [criminal defendant met his burden under Shield Law to compel production of nonconfidential videotapes of defendant’s interrogation by police made by documentary film crew]), there is no principle more fundamental or well-established than the right of a reporter to refuse to divulge a confidential source. And that concern is directly implicated here given that the only purpose for Winter’s testimony is to ascertain who leaked the information regarding the discovery of the notebook. Indeed, absent that information, there is no material or necessary testimony Winter could offer in connection with the Colorado proceeding.

Moreover, as a New York reporter, Winter was aware of—and was entitled to rely on—the absolute protection embodied in our Shield Law when she made the promises of confidentiality that she now seeks to honor. Given that this is the case, and in light of the significant disparity between New York and Colorado law, she was entitled to have the Shield Law issue adjudicated in New York before the subpoena was issued, even though it relates to testimony sought in the courts of another state. We therefore conclude that an order from a New York court directing a reporter to appear in another state where, as here, there is a substantial likelihood that she will be compelled to identify sources who have been promised confidentiality would offend our strong public policy—a common-law, statutory and constitutional tradition that has played a significant role in this State becoming the media capital of the country if not the world.

Permitting a New York court to consider the privilege issue raised here in the context of a CPL 640.10 (2) proceeding will

not, as Holmes suggests, have the effect of expanding the territorial effect of New York law beyond our borders—and this is true even if we assume that Winter was in Colorado when she spoke with her confidential sources. The outcome of this case does not (and should not) turn on whether Winter received the information while she was in Colorado or obtained it over the telephone or via computer while sitting in her New York office. A rule predicated on where a New York reporter was located when she learned of an anonymous tip would lead to arbitrary results and would ignore several practical realities, including the widespread use of cutting-edge communication technology to facilitate the newsgathering process and the global nature of today's news market (it is now possible for a journalist based in New York to cover a California story while on assignment in Singapore through the use of email, text messaging and the like). New York journalists should not have to consult the law in the jurisdiction where a source is located or where a story “breaks” (assuming either is ascertainable) in order to determine whether they can issue a binding promise of confidentiality.

The dissent apparently views this case as presenting a conflict of laws issue and would resolve it pursuant to Restatement (Second) of Conflict of Laws § 139. Under that provision—which we have never applied—if there is a disparity between the laws in two states such that a communication is privileged in one but not the other, the general rule is that the privilege will not be honored by the court of the “forum” state (the court where the evidence is sought to be admitted).⁴ We cited the Restatement in *Codey* in support of the proposition that in most instances privilege issues should be resolved in the courts of the demanding jurisdiction (*Codey*, 82 NY2d at 530)—a view that we do not retreat from today. But we certainly did not apply the Restatement analysis, which affords significance to the location where

4. Subsection (1) directs that evidence that was not privileged in the state “which has the most significant relationship with the communication will be admitted,” even if the evidence would be privileged in the “forum” state—the jurisdiction where the judicial proceeding is underway—unless to do so would violate a strong public policy of the forum state. Likewise, under subsection (2), evidence that is privileged in the state “which has the most significant relationship with the communication” but that is not privileged in the forum jurisdiction should also be admitted “unless there is some special reason why the forum policy favoring admission should not be given effect.” The Restatement therefore reflects a policy favoring the admissibility of privileged testimony in the event of a conflict.

the communication occurred, among other factors.⁵ We need not decide whether section 139 reflects a policy that should be adopted in New York in other contexts—plainly, New York law governs here since we are applying New York statutory and decisional law (CPL 640.10 [2] and *Codey*) to determine whether a New York court should issue a subpoena. It is enough to note that the provision was clearly not designed to resolve controversies involving journalist shield laws (a type of privilege not mentioned in the commentary), nor does it supply a workable rule that would be consistent with New York public policy.⁶

And lest there be any confusion, we reiterate that the issue we confront is whether a New York court should issue a subpoena compelling a New York journalist to appear as a witness in another state to give testimony when such a result is inconsistent with the core protection of our Shield Law. Thus, the narrow exception we recognize today, which permits a New York court to consider and apply New York's journalist's privilege in relation to issuance of its own process—a subpoena—in a narrow subset of cases, is not tantamount to giving a New York law extraterritorial effect.

This is not the first time that we have relied on the Shield Law to recognize an exception to the typical rules governing subpoenas. In *Beach* we held that a grand jury subpoena should

5. If we had, we would surely have mentioned in *Codey* that the videotaped interview between the North Carolina State University basketball player and the New York reporter occurred at a hotel in Albany, New York—a fact that the dissent would apparently view as important if not dispositive, even though the law of the forum state always governs under the Restatement.

6. Although the inquiry is not dispositive under the Restatement because the law of the forum state is paramount, section 139 suggests that the focus should be on the “state which has the most significant relationship with the communication,” noting in Comment *e* that this “will usually be the state where the communication took place” unless there was a “prior relationship between the parties to the communication” in which case “the state of most significant relationship will be that where the relationship was centered” (Restatement [Second] of Conflict of Laws § 139, Comment *e*). But there is also an exception to this exception, because the latter rule will not apply if “the state where the communication took place has substantial contacts with the parties and the transaction” (*id.*). In order to navigate this complicated test, the court would have to know the identity of both parties to the communication, the nature and scope of their prior relationship (if any), and the location of the conversation (which raises its own problems, as noted above, since they may not have been in the same place). In a case such as this involving an attempt to discover the identity of a confidential source, the standard would be impossible to apply because most of the information needed to apply the test would be the very same information the reporter seeks to protect as privileged under the Shield Law.

have been quashed where the only testimony sought was the identity of a broadcast reporter's confidential source. This deviated from the general rule governing subpoenas ad testificandum, which is that a claim of privilege cannot be asserted until the witness appears before the requisite tribunal and is presented with a question that implicates protected information. We declined to apply that rule in *Beach* because "the entire focus of the Grand Jury's inquiry would be on the identity of [the reporter's] confidential source," reasoning that no legitimate purpose would be served by requiring the witness to go through the formality of appearing before the grand jury only to refuse to answer questions concerning the information sought (*Beach*, 62 NY2d at 248). Compelling a reporter to appear in court to respond to a subpoena that seeks information that is clearly cloaked with an absolute privilege can itself be viewed as a significant incursion into the press autonomy recognized in article I, § 8 and the Shield Law. Our approach was consistent with the reality that "[t]he nature of the press function makes it a more likely target for subpoenas which, in turn, will generate cost and diversion in time and attention from journalistic pursuits" (*O'Neill*, 71 NY2d at 533 [Bellacosa, J., concurring] ["Journalists should be spending their time in newsrooms, not in courtrooms as participants in the litigation process"]). The same concerns inform our decision in this case.

Application of a limited public policy exception in these unusual circumstances should not upset the *Codey* rule, which we reaffirm: absent a threatened violation of an extremely strong and clear public policy of this State such as is present here, New York courts adjudicating CPL 640.10 (2) applications should decline to resolve admissibility issues, including privilege claims, so that they can be decided in the demanding state. Because the exception will rarely be applicable, we do not anticipate that today's holding will be interpreted as an erosion of the doctrine of comity or as otherwise significantly impairing the procedure for securing the attendance of out-of-state witnesses. To obtain relief, a party seeking to avoid issuance of a subpoena under CPL 640.10 (2) will have to establish that a strong public policy is implicated and that there is a substantial likelihood that an order compelling the witness's appearance and testimony in the other jurisdiction would directly offend that policy. Even in Shield Law cases similar to this one, this standard will be difficult to meet since many jurisdictions offer comparable protections in relation to the identity of confidential

sources;⁷ when the demanding state falls into this category, the privilege issue could be deferred for resolution by the other jurisdiction under *Codey* without offending New York's public policy. Moreover, before the exception may be invoked, the record must indicate that the prospective witness reasonably relied on the protections afforded under New York law when engaged in the conduct that gave rise to the subpoena request. The standard we set today is high and will, we suspect, seldom be met. Here, however, where there is a substantial likelihood that a New York reporter will be compelled to divulge the identity of a confidential source (or face a contempt sanction) if required to appear in the other jurisdiction—a result that would offend the core protection of the Shield Law, a New York public policy of the highest order—all of these hurdles have been cleared. We therefore conclude that the subpoena application should have been denied.

In light of our resolution of the privilege issue, we have no occasion to address Winter's alternative argument that her statutory claim of undue hardship afforded a separate basis for relief.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the petition dismissed.

SMITH, J. (dissenting). I agree with the majority that New York's Shield Law reflects a strong public policy of the state to protect confidential sources, and that that policy would justify, in a proper case, a refusal to issue a subpoena under the Uniform Act to Secure the Attendance of Witnesses from

7. For example, it appears that at least 16 states have adopted privilege statutes that provide absolute protection to a reporter's confidential sources: Alabama, Arizona, California, Delaware, District of Columbia, Indiana, Kentucky, Maryland, Montana, Nebraska, Nevada, New York, Ohio, Oklahoma, Oregon, Pennsylvania (see The Committee on Communications and Media Law, New York City Bar Association, *The Federal Common Law of Journalists' Privilege: A Position Paper*, 60 The Record [No. 1] 214-235 at 228 [2005]). Several others provide strong—though not absolute—protection, adopting standards that preclude a reporter from being required to divulge a source except in very limited circumstances. For example, in Arkansas revelation of a source cannot be compelled absent proof that “the article was written, published, or broadcast in bad faith, with malice, and not in the interest of the public welfare” (Ark Code Ann § 16-85-510). West Virginia recently enacted a provision precluding a reporter from being required to divulge the identity of a source (without his or her consent) “unless such testimony or information is necessary to prevent imminent death, serious bodily injury or unjust incarceration” (W Va Code § 57-3-10 [b] [1]). Although we may lead the states in relation to the scope of our journalist privilege, New York is not alone in its recognition of the need to protect sources.

Without a State in Criminal Proceedings. I do not think this is a proper case, however, because the allegedly privileged communications took place wholly in Colorado, and the New York Shield Law does not apply to them.

While the record does not say where Jana Winter was when she spoke to her Colorado law enforcement sources, her brief in this Court concedes that she was in Colorado. (Even without that concession, we would not assume otherwise from a silent record; it is Winter's burden to establish the existence of a privilege.) The majority holds the Colorado location of the communications to be irrelevant, apparently on the ground that Winter's office is located in New York. The majority is holding, in substance, that a New York reporter takes the protection of New York's Shield Law with her when she travels—presumably, anywhere in the world. This seems to me an excessive expansion of New York's jurisdiction, one that is unlikely to be honored by other states or countries or to attain the predictability that the majority says is its goal.

According to the Restatement (Second) of Conflict of Laws (Restatement), the question of whether a particular communication is privileged should be decided either by the “law of the forum” or the “law of the state which has the most significant relationship with the communication” (Restatement § 139). Here, under the Restatement rule, there is no conflict to resolve, because Colorado is both the forum—i.e., the location of the proceeding in which a party seeks to offer an allegedly privileged communication in evidence—and the state with the most significant relationship. A comment to the Restatement says that, “[t]he state which has the most significant relationship with a communication will usually be the state where the communication took place” (Restatement § 139, Comment *e*), and I see no reason why this case should be an exception.

I am therefore unpersuaded by the majority's claim that Winter “was entitled to rely on” the absolute protection of the New York Shield Law (majority op at 316). Another Restatement comment (§ 139, Comment *c*) says that “if [the parties to the communication] relied on any law at all, they would have relied on the local law of the state of most significant relationship.” Winter chose to leave New York, fly to Colorado, and have conversations in Colorado with her sources. She and her sources could reasonably expect the question of whether their communications were privileged to be governed by Colorado law, just as it would be if Winter were a New York lawyer who

had flown out to meet a Colorado client, or a wife who went to Colorado to talk to her husband.

The majority makes the superficially appealing argument that New York journalists and their sources cannot safely assume that their conversations will be confidential unless the New York Shield Law follows the journalist everywhere (majority op at 316-317). It is true that the universal application of New York law would enhance certainty—but that is a result that New York courts do not have the power to achieve. The majority says: “New York journalists should not have to consult the law in the jurisdiction where a source is located . . . in order to determine whether they can issue a binding promise of confidentiality” (majority op at 317)—but they will always have to do that, despite today’s decision, because they cannot be assured that New York courts will decide every case. If Winter had been subpoenaed when she was in Colorado—or if she were to be subpoenaed at some later date, when she travels to Colorado again—no New York court would be involved, and if a Colorado court chose to enforce the subpoena she would have to choose between disclosing her sources and committing contempt. There is nothing the New York courts can do about that.

The simple fact that no one jurisdiction can rule the world is the reason conflict of laws rules exist. The majority’s choice to ignore those rules in this case seems to me unjustified, and unlikely to produce either harmony among judicial systems or predictable results in cases that involve a claim of journalist-source privilege.

Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM concur with Judge GRAFFEO; Judge SMITH dissents and votes to affirm in an opinion in which Judge PIGOTT concurs; Judge READ dissents and votes to affirm for the reasons stated in the opinion by Justice Darcel D. Clark at the Appellate Division (110 AD3d 134).

Order reversed, without costs, and petition dismissed.

[3 NE3d 1139, 980 NYS2d 891]

In the Matter of GLEN R. GEORGE, a Justice of the Middletown
Town Court, Delaware County, Petitioner. STATE COMMISSION
ON JUDICIAL CONDUCT, Respondent.

Argued November 14, 2013; decided December 10, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated May 1, 2013. The Commission determined that petitioner should be removed from the office of Justice of the Middletown Town Court, Delaware County.

HEADNOTE

Judges — Removal from Office — Failure to Disclose Social and Professional Relationships — Ex Parte Communications

A determination of the State Commission on Judicial Conduct that petitioner Town Justice should be removed from office was accepted. Petitioner presided over a case involving his longtime friend and former employer without the presence of a representative from the District Attorney's office and without having disclosed the relationship. Petitioner dismissed that case based on a technical defect in the information without giving notice to the People or the officer who issued the ticket. Although the charge against the friend was relatively minor, the Rules Governing Judicial Conduct (22 NYCRR 100.3 [E] [1]) provide that a judge shall disqualify himself in a proceeding in which the judge's impartiality might reasonably be questioned. Moreover, the instance of misconduct was aggravated by the fact that the Commission had previously cautioned petitioner with respect to his decision to preside over four cases involving that same friend's daughter-in-law, which put him on notice of the potential appearance of bias and favoritism from sitting on a case involving a member of that family. In a second instance of misconduct, petitioner violated 22 NYCRR 100.3 (B) (6) by communicating ex parte with a nonresident prospective litigant who sought to pursue an action against a longtime town resident with whom petitioner was friendly. Petitioner discussed the case with the prospective litigant and made statements suggesting that the claim lacked merit, never indicating that he planned to recuse himself from the case. The litigant reasonably came away with the impression that petitioner was biased against his position and that he could not receive fair consideration of his claim in that court. Removal from office was the appropriate sanction, notwithstanding that petitioner had served his community for nearly three decades, inasmuch as the two independent charges involved serious misconduct directly relating to petitioner's fulfillment of his judicial duties.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 16, 19, 112, 113, 148.

CARMODY-WAIT 2d, Officers of Court §§ 3:87, 3:107–3:109, 3:111, 3:113, 3:138, 3:139, 3:145, 3:148.

22 NYCRR 100.3 (B), (E).

NY JUR 2d, Courts and Judges §§ 336, 338, 359, 360, 439, 444, 447, 466.

ANNOTATION REFERENCE

Disciplinary action against judge for engaging in ex parte communication with attorney, party, or witness. 82 ALR4th 567.

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Query: town /2 justice & remov! /3 office & disclos! /4 relation! & “ex parte”

POINTS OF COUNSEL

Law Offices of Thomas K. Petro, Kingston (*Thomas K. Petro* of counsel), for petitioner. The facts of the case and the record of the case do not support the Commission on Judicial Conduct’s determination to remove Judge George as Justice of the Middletown Town Court, and the sanction should be modified to a censure. (*Matter of Cunningham*, 57 NY2d 270; *Matter of Reedy*, 64 NY2d 299; *Matter of Conti*, 70 NY2d 416; *Matter of Bulger v State Commn. on Jud. Conduct*, 48 NY2d 32; *Matter of Assini*, 94 NY2d 26; *Matter of McGee v State Commn. on Jud. Conduct*, 59 NY2d 870; *Matter of Cohen [State Commn. on Jud. Conduct]*, 74 NY2d 272; *Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658.)

Robert H. Tembeckjian, Albany (*Edward Lindner*, *Mary C. Farrington* and *S. Peter Pedrotty* of counsel), for respondent. I. Petitioner committed serious misconduct when he: (1) ignored the Commission on Judicial Conduct’s prior caution, failed to disqualify himself from *People v Johnson* and dismissed the charge without notice to the prosecution and (2) twice dissuaded a litigant from filing a claim in his court. (*Matter of Young [State Commn. on Jud. Conduct]*, 19 NY3d 621; *Interboro Mut. Indem. Ins. Co. v Karpowic*, 116 Misc 2d 947; *Matter of Duckman*, 92 NY2d 141; *People v Key*, 45 NY2d 111; *Matter of Conti*, 70 NY2d 416; *Matter of Assini*, 94 NY2d 26; *Matter of Robert*, 89 NY2d 745; *Matter of Lenney*, 71 NY2d 456; *Matter of LaBombard [State Commn. on Jud. Conduct]*, 11 NY3d 294; *Matter of Fabrizio*, 65 NY2d 275.) II. Petitioner should be removed from office.

(*Matter of Conti*, 70 NY2d 416; *Matter of Reedy*, 64 NY2d 299; *Matter of Edwards*, 67 NY2d 153; *Matter of Bulger v State Commn. on Jud. Conduct*, 48 NY2d 32; *Matter of Mulroy*, 94 NY2d 652; *Matter of Roberts*, 91 NY2d 93; *Matter of Skinner*, 91 NY2d 142; *Matter of Fabrizio*, 65 NY2d 275; *Matter of Vonder-Heide [State Commn. on Jud. Conduct]*, 72 NY2d 658; *Matter of Young [State Commn. on Jud. Conduct]*, 19 NY3d 621.)

OPINION OF THE COURT

Per Curiam.

Petitioner Glen R. George has been a non-lawyer Justice of the Middletown Town Court, Delaware County, since 1985. He commenced this proceeding to review a determination of the State Commission on Judicial Conduct sustaining two charges of misconduct and determining that he should be removed from office. Upon our plenary review of the record, we sustain the finding of misconduct and conclude that removal is the appropriate sanction.

In its Formal Written Complaint, the Commission brought two charges, each involving allegations of misconduct while petitioner was acting in his judicial capacity. The first arose from his long-standing relationship with Lynn Johnson, who appeared in petitioner's court after being issued a traffic ticket for a seat-belt infraction. Petitioner, a retired State Trooper, had worked for a local family-run company founded by Johnson from 1982 until 1990 and again from 1999 to 2009. Johnson sold the company to two of his sons in 1997 but continued to be employed there as a paid consultant after his children assumed ownership. Petitioner and Johnson had known each other since childhood, having attended school together, and had a social as well as employer-employee relationship that spanned several decades.¹

Johnson's appearance in the Middletown Town Court in connection with the seat-belt violation occurred the day after petitioner retired from the most recent of his two stints of employment with the Johnson family company. The prosecutor assigned to that court was not scheduled to be present that day

1. For example, petitioner officiated at the wedding of one of Johnson's sons and had been a guest at other Johnson family weddings as well as Johnson's 50th birthday celebration. When petitioner was home recuperating after a major surgery, Johnson visited him several times. Petitioner indicated that he also developed a close relationship with Johnson's sons after they took over the company.

and, as a result, the District Attorney's office was not represented. When Johnson's case was called, petitioner presided over the matter despite his social and professional relationship with Johnson and without adjourning the case so that he could disclose that relationship to the District Attorney's office.

During the proceeding, Johnson claimed that there was a discrepancy in the vehicle information listed on the traffic ticket. Johnson—who restored cars as a hobby and owned many vehicles—asserted that he had been driving a red Mercedes Benz at the time of the stop (as the ticket indicated) but he alleged that the model year for his vehicle was 1976—not 2000, the model year listed on the ticket. To support this contention, Johnson proffered a title document indicating that he owned a 1976 Mercedes Benz. Crediting Johnson's allegation, petitioner apparently concluded that the State Trooper—who was also not in attendance—had erred when recording the model year of the vehicle. Petitioner then cited this purported defect as the basis to dismiss the seat-belt violation against Johnson *sua sponte*, without notifying the prosecutor or the State Trooper. Consequently, the prosecutor had no opportunity to object to that disposition, to request a hearing concerning the factual dispute relating to the vehicle Johnson was driving at the time of the stop, or to seek leave to amend the ticket to correct the purported error.²

The second charge of misconduct involved *ex parte* communications petitioner had with a prospective litigant in which petitioner discussed the merits of the case in a manner that discouraged the litigant from commencing a small claims action in his court. The prospective litigant, a resident of Long Island,

2. The dissent asserts that “there is no allegation of any legal error made by Judge George” (dissenting op at 331)—but this is not true. The Commission found that petitioner's dismissal of the charge without providing the District Attorney notice or an opportunity to be heard violated Criminal Procedure Law §§ 170.45 and 210.45, which require that the People be given “reasonable notice” prior to dismissal of a simplified traffic information. At the hearing, petitioner acknowledged the error. Of course, legal error is not a basis for removal of a judge. It is generally relevant only to the extent that it may, in some cases, support an inference of bias or favoritism. The dissent's suggestion that “[n]o one disputes” (dissenting op at 331) that the ticket issued to Johnson was defective finds no support in the record. Because neither the District Attorney nor the Trooper was present to oppose or otherwise respond to Johnson's factual allegation relating to the vehicle he was driving at the time of the motor vehicle stop, the validity of his statement was not tested in the adversarial process. In any event, even assuming the ticket contained a clerical error as Johnson alleged, this would not excuse petitioner's conduct.

owned vacation property in Middletown. In February 2010, he went to Middletown Town Court intending to initiate a proceeding against his neighbor, a longtime resident of the town that petitioner had known for decades and with whom petitioner was friendly. The prospective litigant approached the Court Clerk and explained the nature of his dispute, claiming that the neighbor was wrongfully diverting water onto his property, causing damage. Having overheard the allegations, petitioner injected himself into the conversation, expressing the view that the neighbor was the “senior property holder” and was therefore permitted to divert water onto the litigant’s property, further speculating that the deeds relating to the adjoining properties likely permitted such activity. Discouraged, the litigant did not complete the process for initiation of a claim at that time.

The controversy over water diversion apparently continued to persist between the landowners and, 11 months later, the litigant called the Middletown Town Court with the intention of filing a small claims action against his neighbor. Because the Court Clerk was busy, petitioner answered the telephone. When the litigant identified himself and explained the nature of the inquiry, petitioner did not transfer him to the clerk or tell him to call back later. Instead, petitioner again discussed the merits of the case with the litigant, asking who bought the parcel first and who had the “senior parcel.” Upon being informed that the neighbor owned the property first, petitioner repeated his prior opinion that the neighbor had a right to divert water onto the litigant’s property. Believing that petitioner had a prejudicial view of the claim in favor of the neighbor, a “local,” the litigant again decided not to pursue the claim.

Four months later, however, after he filed a complaint against petitioner with the Commission on Judicial Conduct, the litigant again contacted the Town Court. This time, when petitioner answered the telephone, the litigant stated that he was bringing a small claims action against his neighbor and that he did not want petitioner to preside over the matter. Petitioner responded that the claim could be filed a few days hence before the other Middletown Town Justice. The Court Clerk subsequently informed the litigant that petitioner disqualified himself from the litigant’s case because he knew about the complaint filed with the Commission. When the litigant told his neighbor that petitioner would not be hearing the case, the neighbor apparently ceased diverting water onto his land, rendering further judicial proceedings unnecessary.

After a hearing and a referee report sustaining both charges, the Commission issued a determination finding that petitioner's conduct violated the Rules Governing Judicial Conduct, particularly (22 NYCRR) sections 100.2 and 100.3, warranting his removal from office. Petitioner seeks review of that determination pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44.

In this Court, petitioner contends that his conduct, though evidencing poor judgment, was not sufficiently egregious to justify removal from office. He characterizes the traffic infraction against Johnson as a "minor" matter that was so inconsequential that his dismissal of the charge could not be viewed as conferring any "material benefit" upon Johnson. He attempts to distinguish that proceeding from other "ticket-fixing" cases where speeding tickets were dismissed or reduced to zero point infractions, permitting defendants to avoid the imposition of points or increases in insurance premiums. Petitioner notes that he engaged in no subterfuge, dismissing the ticket in open court, and alleges that he notified the Assistant District Attorney assigned to his court of the disposition after the fact (the Assistant District Attorney had no recollection of having received such notice and characterized the court's dismissal of the claim in his absence as "out of the ordinary"). Finally, petitioner claims that he treated Johnson just as he would any other litigant, maintaining that he has always been a "stickler" when it comes to clerical errors on traffic tickets, and the record failed to demonstrate that he gave Johnson preferential treatment.

We find petitioner's arguments to be unpersuasive. Although the charge against Johnson was relatively minor, petitioner's decision to hear a case involving a friend and former employer without even disclosing the existence of the personal relationship to the District Attorney was, under the circumstances presented here, no small matter. The Rules Governing Judicial Conduct direct that "[a] judge shall disqualify himself or herself in a proceeding in which the judge's impartiality might reasonably be questioned" (22 NYCRR 100.3 [E] [1]). A judge's perception of the nature or seriousness of the subject matter of the litigation has no bearing on the duty to recuse or disclose a relationship with a litigant or attorney when necessary to avoid the appearance of bias or favoritism. Indeed, although petitioner denies giving Johnson preferential treatment, he does not defend his decision to sit on the case and acknowledges in his brief that he made the "wrong choice."

Were this an isolated incident it might be viewed as an uncharacteristic lapse in judgment. However, here there is a significant aggravating factor. In 2000, the Commission on Judicial Conduct issued a Letter of Dismissal and Caution to petitioner with respect to his decision to preside over four cases involving Johnson's then daughter-in-law. Petitioner knew the daughter-in-law, not only by virtue of his friendship with Lynn Johnson but also because she routinely visited the workplace during petitioner's employment with the firm. In the first case, which involved a charge of driving while intoxicated, petitioner accepted a guilty plea to a reduced charge and imposed a sentence of a fine and three years' probation. Thereafter, petitioner sat on three cases in which the daughter-in-law was charged with violating the conditions of her probation, on one occasion taking her into a private conference room for an ex parte discussion in which he offered to assist her with her alcohol abuse problem because of their "friendship," providing her with a home telephone number where he could be reached at any time.

After investigating charges against petitioner relating to the daughter-in-law's cases, the Commission dismissed the proceeding without making a determination of misconduct, privately advising petitioner:

"Because of your long relationship with the Johnson family, you should have considered whether presiding over [those] cases gave the appearance that you could not be impartial. You should have at least disclosed the relationship on the record and entertained objections to your presiding. It was especially important to do so after you had offered to personally counsel Ms. Johnson."

If petitioner had not already been aware of the potential appearance of bias and favoritism emanating from a decision to sit on a case involving a member of the Johnson family, the Commission put him on notice of that concern. Yet, despite the Letter of Caution, petitioner indicated during the investigatory interview and at the hearing that he presided over Lynn Johnson's case without even considering recusing himself or adjourning the matter so that he could disclose their personal and business relationship to the opposing party.³ Showing no

3. Petitioner later testified: "I felt--I still feel that a ten-plus year separation from employer-employee relation was more than sufficient to avoid the

(n. cont'd)

sensitivity to the aroma of favoritism such a favorable disposition could engender, petitioner then sua sponte dismissed the charge without the knowledge or consent of the District Attorney's office, following a procedure that was apparently unusual in that jurisdiction. Given the circumstances, petitioner's actions raise a substantial question concerning his ability or willingness to conform his behavior to the requirements of the Rules Governing Judicial Conduct.

These concerns are compounded in this case by the second misconduct incident, the facts of which are largely undisputed. At the hearing before the Referee, petitioner admitted that he had at least one *ex parte* conversation with the prospective litigant concerning the substance of the water diversion claim and that, in the course of that discussion, he made statements suggesting that the litigant's claim lacked merit. Such conduct is antithetical to the role of a judge, which is evident from the Rules Governing Judicial Conduct, which declare that "[a] judge shall not initiate, permit, or consider *ex parte* communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding" (22 NYCRR 100.3 [B] [6]). Before the litigant even had an opportunity to initiate a claim and prior to any party advancing a legal argument, petitioner expressed his views concerning the outcome of the proceeding, thereby discouraging the litigant from pursuing relief.

Petitioner attempted to justify his conduct at the hearing by indicating that he never intended to preside over the case and simply questioned the litigant to determine whether the dispute involved a matter appropriately pursued in small claims court. But petitioner did not advise the litigant that he planned to recuse himself and, even if he had, it would still have been inappropriate for him to gratuitously offer his opinion concerning the merits of an impending claim. Indeed, petitioner's comments temporarily resulted in the litigant abandoning the claim.

appearance of any impropriety." If there had been nothing more than an arm's length employer-employee relationship that ended more than a decade before, petitioner would have been right. But assuming this was his justification at the time, petitioner failed to account for his continuing contacts with Johnson and his family. He and Johnson remained friendly after Johnson sold the business to his sons and they were colleagues during petitioner's second period of employment with the company since Johnson stayed on as a paid consultant (petitioner's employment with the company ceased the day before the court appearance). The record amply demonstrates petitioner's social and professional ties to Johnson and his family, which can fairly be characterized as ongoing when petitioner presided over the traffic matter.

Although the litigant came to the courthouse seeking adjudication of a dispute by a neutral and unbiased magistrate, petitioner responded by advocating the position of the prospective opponent, a “local” petitioner had known for decades. Whether accurate or not, the litigant reasonably came away with the impression that petitioner was biased against his position and that he could not receive fair consideration of his claim in the Middletown Town Court.

When assessing the appropriate sanction in a judicial misconduct case, we consider not only the number and nature of the transgressions but also the length of a judge’s public service. Here, we are mindful of the fact that petitioner has served his community for nearly three decades. Nonetheless, although the dissent apparently feels otherwise, the two independent charges involve serious misconduct relating directly to petitioner’s fulfillment of his judicial duties. And the first charge is significantly aggravated by petitioner’s failure to heed a prior warning from the Commission. Hypertechnical arguments—such as the view that petitioner had no duty to recuse himself or disclose the relationship because Johnson sold the company to his sons in 1997 or because the Commission did not specifically direct petitioner to recuse himself in future cases involving the Johnson family—fail to appreciate a judge’s continuing obligation to avoid even the appearance of impropriety. Under the circumstances, despite petitioner’s long tenure on the bench and commendable record as a State Trooper, we concur with the Commission that removal is the appropriate sanction.

Accordingly, the determined sanction of removal should be accepted, without costs.

PIGOTT, J. (dissenting). The misconduct of which Judge George is accused does not warrant the sanction of removal from office. “Removal is an extreme sanction and should be imposed only in the event of truly egregious circumstances. Indeed, we have indicated that removal should not be ordered for conduct that amounts simply to poor judgment, or even extremely poor judgment” (*Matter of Cunningham*, 57 NY2d 270, 275 [1982] [citations omitted]).

Here, there is no allegation of any legal error made by Judge George in dismissing the summons in question. No one disputes that the ticket issued to Lynn Johnson for a seat belt violation¹

1. A violation of Vehicle and Traffic Law § 1229-c (3) is considered an “equipment violation” and attaches no points to a defendant’s license.

was defective for describing the wrong vehicle. Nor is there any allegation that the dismissal itself proves, or even suggests, favoritism by Judge George, who by all accounts was “a stickler for errors” on tickets. And there is no suggestion that Johnson appeared in Judge George’s court because they knew each other, or that Johnson was even aware that Judge George would be presiding. He appeared at the specific time and date on which his matter was “scheduled to be handled,” bearing a ticket stating that “failure to respond” could result in a default judgment.

Instead, the majority and the Commission on Judicial Conduct believe that Judge George committed misconduct simply by presiding over this routine matter at all. On its own, as the majority admits, Judge George’s failure to recuse himself from the Lynn Johnson matter could be regarded as a “lapse in judgment,” which would not warrant removal from the bench (majority op at 329). The sole aggravating factor that the majority can dredge up from the record, to justify the sanction of removal, is that Judge George had previously been warned about hearing cases involving the Johnson family. Judge George had offered to counsel a member of that family, who was a defendant in his court, about alcohol abuse issues. At that time, nine years before, Judge George had been privately advised that he “should have considered whether presiding over . . . cases [involving Johnson’s family] gave the appearance that [he] could not be impartial.”

However, significantly, the Commission, on the previous occasion, dismissed proceedings against Judge George without making a determination of misconduct. Moreover, Judge George was not told that he could not preside over any future matter involving the Johnson family; the warning was expressed in the past tense, and in a tone of mild reproof. Perhaps the Commission appropriately realized at that time that in a town of approximately 3,800 people, it is inevitable that the Town Justice would be familiar to all of its citizens and an integral part of the community.

The majority inaccurately characterizes Judge George as saying at his Commission hearing that he had presided over Johnson’s case “without even considering recusing himself” (majority op at 329). The record indicates that Judge George implied in his testimony that he did consider recusal, but decided that the appearance of impropriety had diminished, so that recusal was not necessary. “I felt,” he testified, “that a

ten-plus year separation from employer-employee relation was more than sufficient to avoid the appearance of any impropriety.”²

In these circumstances, I do not believe that the private caution, issued several years before, can be used to elevate Judge George’s “lapse in judgment” to “truly egregious” conduct warranting removal.

Nor do I think that Judge George’s casual conversation with a litigant concerning the merits of a water diversion claim that Judge George never intended to preside over even comes close to conduct that warrants removal, however ill-judged it may have been. The majority seems to agree, because it describes this conversation merely as “compound[ing]” its concerns about Judge George’s behavior (majority op at 330). Giving well-intentioned advice to litigants ex parte is inappropriate judicial conduct but it is not in itself ground for removal.

My strongest disagreement with the majority is that it gives no serious consideration to the question whether a lesser sanction than removal is appropriate. Although there is not the slightest suggestion that Judge George’s “continued performance in judicial office presently threatens the proper administration of justice or that he has irredeemably damaged public confidence in his own impartiality or that of the state judiciary as a whole” (*Matter of Watson*, 100 NY2d 290, 304 [2003]), the majority blindly follows the Commission’s determination that removal is appropriate, on the basis that “serious misconduct” is involved (majority op at 331).

However, even “[c]oncluding that petitioner committed serious misconduct does not . . . end our inquiry. We also must determine whether the misconduct warranted the extreme sanction of removal” (*Matter of Skinner*, 91 NY2d 142, 144 [1997]). Here, as in *Matter of Skinner*, “[s]everal factors . . . suggest that the sanction of removal is unduly severe. First, petitioner, now in his seventies, has for . . . decades been the elected choice of the voters to hold the office of Town Justice Second, there is no indication that petitioner was motivated by personal profit, vindictiveness or ill will” (91 NY2d at 144 [citations omitted]). Put another way, Judge George “was not motivated by personal gain, and totally absent from his conduct was any

2. According to the Commission’s determination, Judge George worked at Johnson’s drilling company from 1982 to 1990 and from 1999 to 2009. Johnson sold his business to his sons in 1997. It follows that Johnson had not been Judge George’s employer since 1990, almost 20 years before the proceeding at issue here.

element of venality, selfish or dishonorable purpose” (*Matter of Kiley*, 74 NY2d 364, 370 [1989]). Finally, Judge George has never been accused of any deception or cover-up of his actions. Indeed, the proceeding involving Johnson was recorded, both via audio-tape and in written form, and the evidence showing that the ticket was defective was placed in the court’s files. Given all of these mitigating circumstances, Judge George’s conduct should not result in removal from office (*see Skinner*, 91 NY2d at 144).

While I accept that removal may sometimes be “appropriate when the circumstances indicate a lack of judicial temperament, even in the absence of proof of venal motives” (*Matter of Cohen [State Commn. on Jud. Conduct]*, 74 NY2d 272, 278 [1989]), this is not such a case. In *Cohen*, “a Judge, for a number of years, . . . acted as if his decisions could be influenced by personal gain, [so that] removal of the individual [was] necessary to remove the stain from the judiciary” (*id.*). The majority does not suggest that this case is remotely similar.

Following 20 years of distinguished service as a New York State trooper and now 28 years as a town justice (48 years of public service in all), and after having been repeatedly reelected by the citizens of Middletown, Judge George will be removed from the bench, in the very month in which he was to retire, because of a churlish and overreaching decision of the Judicial Conduct Commission, which, regrettably, the Court endorses. I would reject the Commission’s sanction of removal and impose instead the sanction of admonition.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur; Judge PIGOTT dissents and votes to impose the sanction of admonition in an opinion.

Determined sanction accepted, without costs, and Glen R. George removed from the office of Justice of the Middletown Town Court, Delaware County.

[3 NE3d 687, 980 NYS2d 350]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DONALD
O'TOOLE, Respondent.

Argued November 14, 2013; decided December 10, 2013

SUMMARY

APPEAL by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 7, 2012. The Appellate Division reversed, on the law, a judgment of the Supreme Court, New York County (Lewis Bart Stone, J.), which had convicted defendant, upon a jury verdict, of robbery in the second degree.

People v O'Toole, 96 AD3d 435, affirmed.

HEADNOTE

Crimes — Collateral Estoppel — Issues of Evidentiary Fact Resolved in Defendant's Favor at Earlier Trial

Defendant's acquittal of a charge of first degree robbery that was based on the alleged display of a firearm barred the People from introducing, at a later trial for second degree robbery, evidence that a firearm was displayed. At the second trial defendant's motion to preclude the People from introducing evidence that his alleged accomplice used a gun in the robbery was denied and the victim testified, as he did in the first trial, that defendant's alleged accomplice pointed a gun at him. The doctrine of collateral estoppel can be applied to issues of evidentiary fact, defined as facts other than those facts essential to the second judgment. When an issue of evidentiary fact has been resolved in a defendant's favor by a jury, the People may not, at a later trial, present evidence that contradicts the first jury's finding. Here, the first jury acquitted defendant of first degree robbery under Penal Law § 160.15 (4) and convicted him of second degree robbery under Penal Law § 160.10 (1), and it could not logically have done so without finding that the People had failed to prove beyond a reasonable doubt that the robbery involved the display of a firearm.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Judgments §§ 487–494, 650, 652; AM JUR 2d, Robbery §§ 24, 74.
CARMODY-WAIT 2d, Judgments § 63:555; CARMODY-WAIT 2d, Exemption from Prosecution of Previous Prosecution §§ 185:115–185:118, 185:121, 185:122.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 25.3.
MCKINNEY'S, Penal Law §§ 160.10 (1); 160.15 (4).
NY JUR 2d, Criminal Law: Procedure §§ 1994–1998, 2000, 2001; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 983–986, 994.

ANNOTATION REFERENCE

See ALR Index under Collateral Estoppel; Criminal Procedure Rules; Robbery.

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Query: robbery /s display! & collateral! /2 estop! & acquit!

POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (Timothy C. Stone and Susan Gliner of counsel), for appellant. Because the essential element of “force” with respect to both the first and second degree robbery charges filed against defendant was predicated on the display of a gun by defendant’s accomplice, when defendant was initially acquitted on the first charge and convicted on the second, the People could not properly be collaterally estopped from presenting evidence about the display of the gun at a retrial of the second degree robbery conviction. (*People v Scarola*, 71 NY2d 769; *People v Lewis*, 69 NY2d 321; *People v Hines*, 97 NY2d 56; *People v Berkowitz*, 50 NY2d 333; *People v Acevedo*, 69 NY2d 478; *People v Aguilera*, 82 NY2d 23; *People v Plevy*, 52 NY2d 58; *Montana v United States*, 440 US 147; *Duffy v Vogel*, 12 NY3d 169; *Bansbach v Zinn*, 1 NY3d 1.)

Steven Banks, The Legal Aid Society, New York City (Katheryne M. Martone of counsel), for respondent. The Appellate Division correctly determined that, in light of the first jury’s acquittals of all counts involving a gun and extortion attempts, the trial court erred in permitting evidence of the alleged display of a firearm during the robbery and demands for protection money. (*People v Acevedo*, 69 NY2d 478; *Ashe v Swenson*, 397 US 436; *Dowling v United States*, 493 US 342; *Yeager v United States*, 557 US 110; *United States v Oppenheimer*, 242 US 85; *United States v Kramer*, 289 F2d 909; *Sealfon v United States*, 332 US 575; *People v Goodman*, 69 NY2d 32; *People v Berkowitz*, 50 NY2d 333; *People v Tucker*, 55 NY2d 1.)

OPINION OF THE COURT

SMITH, J.

We hold that on the facts of this case defendant’s acquittal of a charge of first degree robbery that was based on the alleged display of a firearm barred the People from introducing, at a later trial for second degree robbery, evidence that a firearm was displayed.

I

Defendant was charged with first and second degree robbery and other crimes. The first degree charge was brought under Penal Law § 160.15 (4), which is applicable when a person “forcibly steals property” and “he or another participant in the crime . . . [d]isplays what appears to be a pistol, revolver, rifle, shotgun, machine gun or other firearm.” The second degree charge was based on Penal Law § 160.10 (1). Under that statute, the second degree crime is committed when a person “forcibly steals property and . . . is aided by another person actually present.”

At defendant’s first trial, Phillip Horsey, the manager of a barber shop, testified that defendant told him he was entitled to “money from the shop,” and that if he did not get it he would “close the shop.” About an hour after this conversation, according to Horsey’s testimony, a large man walked into the barber shop and handed Horsey a telephone. When Horsey picked up the phone, he heard defendant’s voice telling him to “[g]ive my man the jewels.” Horsey then turned to face the man from whom he had taken the phone, and saw that the man was pointing a gun at his stomach. Horsey, followed by the armed man, walked out the door and encountered defendant in front of the shop. After some conversation, Horsey gave defendant a valuable gold chain.

The jury at the first trial acquitted defendant of first degree robbery and convicted him of second degree robbery. The Appellate Division reversed (on an issue not relevant here) and ordered a new trial on the second degree robbery charge (*People v O’Toole*, 39 AD3d 419 [1st Dept 2007]).

At the second trial, defendant moved to preclude the People from introducing evidence that his alleged accomplice used a gun in the robbery. The trial court denied the motion, and Horsey testified at the second trial, as he did at the first, that the large man pointed a gun at him. Defendant was again convicted of second degree robbery. The Appellate Division again reversed, holding that the People were collaterally estopped by the earlier verdict from presenting evidence of the gun (*People v O’Toole*, 96 AD3d 435 [1st Dept 2012]). A Judge of this Court granted the People leave to appeal (20 NY3d 934 [2012]), and we now affirm.

II

This case is controlled by our holding in *People v Acevedo* (69 NY2d 478, 480 [1987]) that “the doctrine of collateral estoppel can be applied to issues of ‘evidentiary’ fact.” As we explained in *Acevedo*, in the analysis of collateral estoppel issues, facts essential to the second judgment are considered “ultimate” facts; other facts are only “evidentiary” (*id.* at 480 n 1). Under *Acevedo*, when an issue of evidentiary fact has been resolved in a defendant’s favor by a jury, the People may not, at a later trial, present evidence that contradicts the first jury’s finding.

The facts of *Acevedo* illustrate the principle. Acevedo was first tried for, and acquitted of, robbing a man named Jakiela. Both Jakiela and Acevedo testified at the first trial, giving totally inconsistent versions of their interactions on the morning in question: Jakiela testified to a robbery at a gas station, Acevedo to a sexual encounter in a park. Later, defendant was tried for robbing another man on the same morning, and Jakiela was called as a People’s witness. He again testified that he had seen Acevedo that morning at the gas station, not the park. We held that the use of this testimony at the second trial was impermissible because, giving a “practical, rational reading to the record of the first trial,” it was apparent that the first jury had rejected Jakiela’s version of events (*id.* at 487-488).

Here, as in *Acevedo*, we see no “practical, rational” escape from the conclusion that the jury’s finding at the first trial was inconsistent with evidence presented by the People at the second one. The first jury acquitted defendant of first degree robbery and convicted him of second degree robbery. It could not logically have done so without finding that the People had failed to prove beyond a reasonable doubt that the robbery involved the display of a firearm. The dissent would distinguish *Acevedo* on the ground that in that case the first jury affirmatively found Acevedo’s testimony to be true and Jakiela’s untrue, whereas here the first jury found only reasonable doubt about Horsey’s testimony that he was robbed at gunpoint; but the distinction is a false one. In any criminal case, an acquittal is only a finding of reasonable doubt, not a finding that defendant is in fact innocent. The first jury’s acquittal in *Acevedo* implied only that the jury was not convinced beyond a reasonable doubt that Jakiela was telling the truth, and our comment that the jury “concluded that Jakiela’s testimony was incredible” (69 NY2d at 488) meant no more than this.

The People, while arguing that *Acevedo* is distinguishable, also suggest that we should overrule it. The *Acevedo* holding has, the People argue, been undermined by the United States Supreme Court's decision in *Dowling v United States* (493 US 342 [1990]). But *Acevedo* and *Dowling* are not inconsistent. *Dowling* decided that the Due Process and Double Jeopardy Clauses of the Federal Constitution do not require the application of collateral estoppel where "the prior acquittal did not determine an ultimate issue in the present case" (*id.* at 348). *Acevedo* did not purport to decide any federal or state constitutional question. It held only that, as a matter of New York law, collateral estoppel applies to issues of evidentiary as well as ultimate fact. *Dowling* furnishes no reason to abandon that holding.

It is nonetheless true, as the People and the dissent point out, that the application of *Acevedo* can cause practical problems. There is force to the People's argument, paraphrased by the dissent, that the facts they sought to prove at the second trial "were the facts the victim told police, and . . . they should not be required to put on a case pretending the facts were any different" (dissenting op at 340). The likelihood that such problems will arise leads us to suggest that collateral estoppel should be applied sparingly in criminal cases—as it has been to date; this is the first case since *Acevedo*, decided 26 years ago, in which we have held the doctrine applicable.

But here, the problems *Acevedo* presents could have been—and could still be, at a retrial—handled without unreasonable difficulty. The People could refrain from asking Horsey questions that call for testimony about the firearm, and could warn Horsey not to volunteer it. If it becomes apparent, in this case or any other, that the *Acevedo* rule cannot practicably be followed if a necessary witness is to give truthful testimony, then collateral estoppel should not be applied. Nor should defense counsel be allowed to take unfair advantage of the dilemma that *Acevedo* creates for the People. Nothing in *Acevedo*, or in our opinion today, bars the People from walking through any door that defendant may open (*see People v Massie*, 2 NY3d 179 [2004]; *People v Melendez*, 55 NY2d 445 [1982]).

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (concurring). I concur in the result and agree that *People v Acevedo* (69 NY2d 478 [1987]) controls the decision on

this appeal so that the People were barred by collateral estoppel from introducing evidence of the displayed firearm at the second trial. I part ways with the majority where it advocates “that collateral estoppel should be applied sparingly in criminal cases” (majority op at 339).

The rule announced in *Acevedo* that collateral estoppel applies to both evidentiary and ultimate facts ensures fairness to the defendant and remains as important and vital today as the day it was decided. The majority points only to the practical application of collateral estoppel to justify retreat from the doctrine in the criminal context (*see* majority op at 339). Yet, those concerns proved unavailing in *Acevedo* where we adopted a broad interpretation of collateral estoppel even while recognizing that “[t]he governing principles are more easily articulated than applied” (*Acevedo*, 69 NY2d at 487). We did so because a “[d]efendant, having once been acquitted by a jury, should not at a subsequent trial be subjected to the burden of meeting issues that were already necessarily decided in [defendant’s] favor” (*id.* at 485, citing *People v Goodman*, 69 NY2d 32, 37 [1986]).

I cannot join in the majority’s suggestion that *Acevedo* should be relegated to the margins of legal doctrine, or altogether dismissed. Instead, I remain convinced of the wisdom of a prohibition against anyone being forced to defend against “‘charges or factual allegations which [he or she] overcame in [an] earlier trial’” (*Acevedo*, 69 NY2d at 487, quoting *Wingate v Wainwright*, 464 F2d 209, 214 [1972]).

PIGOTT, J. (dissenting). In a retrial of defendant Donald O’Toole on a charge of robbery in the second degree (Penal Law § 160.10 [1] [aided by another person actually present]), the People sought to offer into evidence testimony that the person who was “actually present” with O’Toole appeared to have a gun, and that O’Toole twice attempted to extort protection money from Phillip Horsey, the robbery victim. The evidence was not to be offered to prove robbery in the first degree; defendant had been acquitted of that charge. It was, however, important to the People because those were the facts the victim told police, and, they argued, they should not be required to put on a case pretending the facts were any different. O’Toole moved to preclude that evidence, on the ground that it amounted to factual findings resolved in his favor at the first trial. Supreme Court denied his motion, concluding that specific factual findings could not be gleaned from the jury’s verdict. In my view,

Supreme Court's decision was correct. I would reverse the order of the Appellate Division.

In *People v Acevedo* (69 NY2d 478 [1987]), we applied the doctrine of collateral estoppel to preclude the People from relitigating a defendant's presence at the location of an alleged robbery, in a separate trial of the same defendant for a different robbery. It was the first time we had upheld the application of collateral estoppel in a criminal case (*see People v Aguilera*, 82 NY2d 23, 29 [1993]); and there was a good reason for it.

The defense at Acevedo's first trial—where it was alleged that he had robbed one Jakiela and in which he was acquitted of robbery and criminal possession of a weapon—had several unusual aspects, which influenced our decision in that appeal, and which the majority now ignores.

Acevedo's alleged robbery victim, Jakiela, testified that Acevedo and a knife-wielding companion accosted him at a gas station in Buffalo and forced him to hand over cash and a gold ring. Acevedo, however, testified that Jakiela had concocted a false accusation for the purpose of revenge. According to Acevedo, Jakiela had made a sexual advance to him when the two men were smoking marijuana together one night in Acevedo's car, in a local park. Acevedo testified that he had forced Jakiela to get out of the car and walk some distance in the cold to his own vehicle, eliciting a vow by Jakiela to "get" Acevedo.

Crucially, defense counsel at Acevedo's first trial did not contend that the People had failed to prove any particular element of the crimes, and did not challenge the complainant's ability to identify defendant as one of his assailants (*see* 69 NY2d at 488). Instead, the defense focused entirely on Jakiela's lack of credibility (*see id.* at 482-483). In fact, as noted by the prosecution, "if Mr. Jakiela's testimony is to be believed, the Defendant is guilty, [and his counsel] makes no bones about that" (*id.* at 482). In other words, as we summarized, "[b]oth the People and the defendant posited the case as an all-or-nothing proposition" (*id.* at 487-488), based on whether the jury believed Acevedo or Jakiela.

The *Acevedo* jury acquitted defendant on both counts, and, we decided, the jury must necessarily have concluded that Jakiela's testimony was incredible, and that "defendant and Jakiela encountered each other in the park (as related by defendant), not at the gas station (as related by Jakiela)" (69 NY2d at 487). "Unlike many other criminal cases, this one was devoid of

alternative possibilities” (*id.*). We concluded that, in Acevedo’s second trial, involving a separate alleged robbery that same night, the People could not introduce Jakiela’s testimony that Acevedo had been at the gas station, since that issue had been necessarily decided in Acevedo’s favor at the first.

As we made clear in *Acevedo*, “[d]efendant’s burden to show that the jury’s verdict in the prior trial *necessarily* decided a particular factual issue raised in the second prosecution is a heavy one indeed, and as a practical matter severely circumscribes the availability of collateral estoppel in criminal prosecutions” (69 NY2d at 487). This is in large part because criminal verdicts are general ones; it is usually not possible to ascertain whether a certain factual finding led to the acquittal, unlike a civil trial verdict, with its specific interrogatories answered by the jury.

In *Acevedo*, we could reach the conclusion that the first jury must necessarily have found that Acevedo was not at the gas station because the dispositive issue for the jury was credibility. We reasoned that, “by acquitting defendant . . . , the jury *necessarily* concluded that Jakiela’s testimony was incredible” (69 NY2d at 488) and that no gas station robbery ever occurred. As we took care to explain, the jury must have reached this affirmative factual finding because the case was “devoid of alternative possibilities” (*id.* at 487).

That is not the case here. The jury in O’Toole’s first trial could have based its decision that O’Toole was not guilty of first-degree robbery on a number of grounds other than an affirmative finding that his companion did not display what appeared to be a firearm. Most obviously, as Supreme Court noted, the jury could have acquitted because reasonable doubt prevented it from reaching an affirmative finding one way or the other.

It is possible, for example, that the *O’Toole* jury decided that the People had not shown beyond a reasonable doubt that O’Toole’s accomplice displayed a firearm, but at the same time decided that there was sufficient evidence to prove that O’Toole forcibly stole Horsey’s gold chain by using his accomplice’s large physical size and proximity to Horsey (and Horsey’s child) as a threat. If so, the jury could rationally have acquitted O’Toole of first-degree robbery (Penal Law § 160.15 [4] [displays what appears to be a firearm]), but convicted him of second-degree robbery (Penal Law § 160.10 [1] [aided by another person actually

present])). The jury would then have reached its verdicts without affirmatively finding that there was no firearm.

Nor would such a jury finding be irrational or surprising. The jury may reasonably have been skeptical that a gun was displayed, given the public nature of a barber shop; the jurors may have concluded that Horsey was embellishing, either to save face or to try to strengthen the prosecution's case. Or, in light of skepticism by some jurors, the jury may have reached a compromise verdict, by agreeing on the second-degree robbery conviction.

But a jury's decision that a factual proposition has not been proven beyond a reasonable doubt is not the same as a jury's affirmative finding that the proposition is not true. Put another way, being doubtful that there was a gun is not the same as finding that there was no gun. Collateral estoppel would be justified only if it were clear that the jury must necessarily have found that there was no gun.

This does not mean that defendant would not have benefitted from his acquittal. He would not have been recharged or retried on a first-degree robbery charge. No matter what the proof, he could not have been convicted of more than second-degree robbery.

Similar reasoning requires a reversal also with respect to the evidence that O'Toole tried to extort protection money from Horsey, which O'Toole also sought to preclude in his second trial. The first jury, in acquitting O'Toole of attempted second-degree grand larceny, did not necessarily reach an affirmative finding that there was no extortion; the jury may simply have decided that the People did not prove the elements of the crime beyond a reasonable doubt.

In my view, a strict and narrow interpretation of our holding in *Acevedo* is required. Although the majority takes a different approach, there is one thing we agree on: "collateral estoppel should be applied sparingly in criminal cases" (majority op at 339).

Judges GRAFFEO, READ and ABDUS-SALAAM concur with Judge SMITH; Judge RIVERA concurs in result in an opinion in which Chief Judge LIPPMAN concurs; Judge PIGOTT dissents and votes to reverse in an opinion.

Order affirmed.

[3 NE3d 1151, 980 NYS2d 903]

HERBERT KOLBE et al., Appellants, v CHRISTINE J. TIBBETTS, as
Superintendent of Schools of the Newfane Central School
District, et al., Respondents.

Argued November 14, 2013; decided December 12, 2013

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 21, 2012. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, Niagara County (Catherine R. Nugent Panepinto, J.), which had (a) granted plaintiffs' motion for summary judgment; (b) denied defendants' cross motion for summary judgment; (c) declared that defendants are obligated to maintain health insurance coverage equivalent to that in effect at the time each plaintiff retiree retired; (d) ordered defendants to reinstate the health insurance that was in effect at the time each plaintiff retiree retired; (e) ordered defendants to account and pay to each plaintiff retiree all expenditures made by each plaintiff retiree, in excess of what each plaintiff was obligated to pay under the terms of the coverage in effect at the time each retiree retired, together with interest at 9%; and (f) ordered defendants to pay costs and disbursements of the action; (2) denied the motion; (3) granted the cross motion; (4) vacated the third through sixth decretal paragraphs; and (5) granted judgment in favor of defendants as follows: "It is adjudged and declared that defendants are not obligated to maintain health insurance coverage equivalent to that in effect at the time each plaintiff retired."

Kolbe v Tibbetts, 101 AD3d 1623, modified.

HEADNOTES

Civil Service — Retirement and Pension Benefits — Health Insurance Benefits

1. The collective bargaining agreements (CBAs) in effect when plaintiffs retired from their employment with defendant school district established a vested right to a continuation of the same health coverage under which plaintiffs retired, until they reached age 70. A provision in the CBAs concerning health insurance benefits afforded retirees who retired as full-time employees under the New York State Employees' Retirement System the right to use accumulated sick leave as a credit against health insurance premiums during retirement "until the employee reaches age 70," and also stated that "[t]he coverage provided shall be the coverage which is in effect for the unit at such time as the employee retires." The plain meaning of that provision

unambiguously established that plaintiffs had a vested right to the “same coverage” during retirement as they had when they retired, until they reached age 70. The phrase “at such time as the employee retires” was most logically read to qualify the immediately preceding phrase, “the coverage which is in effect for the unit.” Moreover, the phrase “[t]he coverage provided shall be” evinced the mandatory nature of the obligation, insulating it from unilateral alteration. As to duration, an inference could be drawn that the parties intended the right to continued coverage to operate for the same period as the section as a whole, i.e., until the employee reached 70, given the close proximity of the right to coverage language to the durational language. As each CBA is typically effective for only a few years, a construction of the operative sentence in the retirees’ health insurance benefit provision that would limit it to the duration of the agreement would potentially render the benefit inconsequential. However, because issues of fact remained as to the intended scope of plaintiffs’ right, remittal for further factual development was required to determine whether the challenged increases in co-pays for prescription drugs amounted to a breach of contract.

Civil Service — Retirement and Pension Benefits — Health Insurance Benefits

2. The Insurance Moratorium Law (L 1994, ch 729, as extended by L 2009, ch 30) did not allow defendant school district to modify plaintiff retirees’ health insurance coverage in conjunction with a corresponding modification that was made for active employees in the collective bargaining agreement (CBA) that went into effect after plaintiffs retired. The CBAs in effect when plaintiffs retired from their employment with defendant established a vested right to a continuation of the same health coverage under which plaintiffs retired, until they reached age 70. The legislature’s silence in the Insurance Moratorium Law regarding contracted-for health insurance coverage should not be read as an intention to abrogate plaintiffs’ contractual rights. The Insurance Moratorium Law’s primary purpose was to prevent school districts from eliminating or reducing retiree health insurance benefits that were voluntarily conferred as a matter of school district policy, not rights negotiated in the collective bargaining context.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Labor and Labor Relations §§ 2266, 2382; AM JUR 2d, Pensions and Retirement Funds §§ 63, 188–190, 231, 419, 815.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 408, 462; NY JUR 2d, Employment Relations §§ 672, 673; NY JUR 2d, Pensions and Retirement Systems § 78.

ANNOTATION REFERENCE

See ALR Index under Collective Bargaining; Pensions and Retirement; Schools and Education.

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POINTS OF COUNSEL

Paul S. Bamberger, Civil Service Employees Association, Inc., Albany, and Reden & O'Donnell, LLP, Buffalo (Terry M. Sugrue and Joseph E. O'Donnell of counsel), for appellants. I. The word placement, sentence structure, punctuation and context of collective bargaining agreement section 6.5.3's "coverage provided" clause unambiguously demonstrate that "the coverage which is in effect for the unit" is qualified by "at such time as the employee retires," thereby establishing that the coverage provided to retirees shall be the same coverage as was in effect when the employees retired. (*Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *Atwater & Co. v Panama R.R. Co.*, 246 NY 519; *Corhill Corp. v S.D. Plants, Inc.*, 9 NY2d 595; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Matter of Jacob*, 86 NY2d 651.) II. The "coverage provided" clause of collective bargaining agreement section 6.5.3 continues to operate during retirement for the same period of time that the rest of section 6.5.3 operates: until the employee reaches age 70. (*Eighth Ave. Coach Corp. v City of New York*, 286 NY 84; *Greenfield v Philles Records*, 98 NY2d 562.) III. Health insurance "coverage" provided to the unit expressly includes specific co-pay amounts. IV. The defendants' alternative interpretations of collective bargaining agreement section 6.5.3 are without merit. (*Greenfield v Philles Records*, 98 NY2d 562.) V. Pursuant to settled principles of law involving the interpretation of collective bargaining agreements, it is clear that plaintiffs' health insurance coverage from the collective bargaining agreements in effect when they retired may not be diminished without their consent. (*Hudock v Village of Endicott*, 28 AD3d 923; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Myers v City of Schenectady*, 244 AD2d 845; *Di-Battista v County of Westchester*, 35 Misc 3d 1205[A], 2008 NY Slip Op 52731[U]; *International Union, United Auto., Aerospace, & Agric. Implement Workers of Am. [UAW] v Yard-Man, Inc.*, 716 F2d 1476; *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157.) VI. Defendants' remaining defenses should be dismissed and the judgment and order of the trial court should be reinstated for the reasons stated by the trial court. (*Matter of Duchnowski*, 31 NY2d 991.)

Hodgson Russ LLP, Buffalo (Karl W. Kristoff and Jeffrey T. Fiut of counsel), for respondents. I. The Appellate Division cor-

rectly held that the collective bargaining agreements permit defendants to modify the plaintiffs' prescription co-pays. (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Matter of Giblin v Village of Johnson City*, 75 AD3d 887; *Schron v Troutman Sanders LLP*, 20 NY3d 430; *Goldman v White Plains Ctr. for Nursing Care, LLC*, 11 NY3d 173; *Persky v Bank of Am. N.A.*, 261 NY 212; *Telaro v Telaro*, 25 NY2d 433; *Wilkins v Huber*, 303 AD2d 986; *Della Rocco v City of Schenectady*, 252 AD2d 82.) II. New York State law permits defendants to modify plaintiffs' prescription co-pays. (*Sega v State of New York*, 60 NY2d 183; *Henry Modell & Co. v Minister, Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456; *Matter of City of Yonkers v Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO*, 20 NY3d 651; *Citigifts, Inc. v Pechnik*, 112 AD2d 832, 67 NY2d 774; *Clark v Cuomo*, 66 NY2d 185.) III. The Appellate Division order should be affirmed because plaintiffs have not established damages. (*Gordon v Dino De Laurentiis Corp.*, 141 AD2d 435; *Lexington 360 Assoc. v First Union Natl. Bank of N. Carolina*, 234 AD2d 187; *R.P. Brennan Gen. Contrs. & Bldrs., Inc. v CPS 1 Realty, LP*, 63 AD3d 619; *Van Wagner Adv. Corp. v S & M Enters.*, 67 NY2d 186; *Zuckerman v City of New York*, 49 NY2d 557.)

Lisa M. King, Albany, *Rita J. Strauss* and *John F. Kershko*, for New York State Public Employees Federation, AFL-CIO, amicus curiae. The Appellate Division committed error of law by misinterpreting the parties' contract, and that misinterpretation deprives retirees of vested health insurance benefits. (*International Union, United Auto., Aerospace, & Agric. Implement Workers of Am. [UAW] v Yard-Man, Inc.*, 716 F2d 1476, 465 US 1007; *Bidlack v Wheelabrator Corp.*, 993 F2d 603; *Bazzone v Automotive Indus. Welfare Fund*, 860 F2d 1088; *Myers v City of Schenectady*, 244 AD2d 845, 91 NY2d 812; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Hudock v Village of Endicott*, 28 AD3d 923; *Williams v Village of Endicott*, 91 AD3d 1160; *Matter of Warner v Board of Educ., Cobleskill-Richmondville Cent. Sch. Dist.*, 108 AD3d 835; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272.)

D. Jeffrey Gosch, Syracuse, for Civil Service Employees Association, Inc., Local 1000, AFSCME, AFL-CIO, amicus curiae. I. All New York cases that have construed contractual retiree health insurance language similar to the language at issue here have held such language requires the benefits be vested for life.

(*Myers v City of Schenectady*, 244 AD2d 845, 91 NY2d 812; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Hudock v Village of Endicott*, 28 AD3d 923; *Williams v Village of Endicott*, 91 AD3d 1160; *Matter of Warner v Board of Educ., Cobleskill-Richmondville Cent. Sch. Dist.*, 108 AD3d 835; *DiBattista v County of Westchester*, 35 Misc 3d 1205[A], 2008 NY Slip Op 52731[U]; *Millington v Village of S. Glens Falls*, 30 Misc 3d 405; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157.) II. Even federal courts, including the Second Circuit, have held that contractual retiree health insurance is vested for the life of the retiree, unless there is clear evidence of a contrary intent. (*American Fedn. of Grain Millers, AFL-CIO v International Multifoods Corp.*, 116 F3d 976; *Schonholz v Long Is. Jewish Med. Ctr.*, 87 F3d 72; *Joyce v Curtiss-Wright Corp.*, 171 F3d 130; *International Union, United Auto., Aerospace, & Agric. Workers of Am. [UAW] v Yard-Man, Inc.*, 716 F2d 1476; *New York State Corr. Officers & Police Benevolent Assn., Inc. v State of New York*, 911 F Supp 2d 111; *Bazzone v Automotive Indus. Welfare Fund*, 860 F2d 1088; *Noe v PolyOne Corp.*, 520 F3d 548.) III. The Fourth Department majority's decision departs from established precedent and therefore should be reversed. (*Myers v City of Schenectady*, 244 AD2d 845, 91 NY2d 812; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Williams v Village of Endicott*, 91 AD3d 1160; *Matter of Baker v Board of Educ.*, 29 AD3d 574, 7 NY3d 708; *Matter of Jones v Board of Educ. of Watertown City School Dist.*, 30 AD3d 967; *Matter of Warner v Bethlehem Cent. School Dist.*, 72 AD2d 824; *Dye v New York City Tr. Auth.*, 88 AD2d 899; *Antinore v State of New York*, 49 AD2d 6, 40 NY2d 921; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326.)

Timothy G. Kremer, Latham, Jay Worona and *Pilar Sokol*, for New York State School Boards Association, amicus curiae. The school district's actions at issue herein were permitted under statutory provisions that set out the conditions pursuant to which school districts may diminish retiree health care benefits in conformity with public policy.

OPINION OF THE COURT

Chief Judge LIPPMAN.

This case calls on us to decide whether certain collective bargaining agreements conferred upon plaintiff retirees a vested

right to the same health insurance coverage they had when they retired and, if so, whether unilateral modifications to that coverage are nonetheless permissible under either the contract terms or the New York Insurance Moratorium Law. We hold that the contracts establish a vested right to a continuation of the same health coverage under which plaintiffs retired, until they reach age 70, and that the Insurance Moratorium Law does not provide a basis for abrogating retirees' vested contractual rights. However, because issues of fact remain as to the intended scope of plaintiffs' right, remittal for further factual development is required to determine whether the challenged increases in co-pays for prescription drugs amount to a breach of contract.

Plaintiffs are four former noninstructional employees of the Newfane Central School District in Niagara County who retired between 2003 and 2008. Defendants are the Newfane Superintendent of Schools, the Newfane Board of Education and its President, and the Newfane Central School District (collectively, the District). During their employment, plaintiffs were members of a collective bargaining unit represented by the Civil Service Employees Association (CSEA) in negotiations concerning a series of collective bargaining agreements (CBAs) with the District. One of the plaintiffs retired while the 1999-2003 CBA was in effect; the other three plaintiffs retired under the 2003-2007 CBA.¹

Each CBA contained a section describing the health insurance plans available to employees, including the various co-pay amounts the insured would owe under each plan for prescription drugs. The 1999-2003 and 2003-2007 CBAs provided that employees could choose between designated insurance plans. Although two of the plans in the 1999-2003 contract were supplanted by a different plan in the 2003-2007 version, the co-pay amounts in both contracts were based on a two-tiered system assigning co-pays depending on a prescription drug's classification as either generic or brand-name. The co-pays ranged from \$0 to \$5.

1. Despite the fact that the successor CBA was retroactively effective to 2007, it is undisputed that even those plaintiffs who retired in 2008 effectively retired under the 2003-2007 CBA, since the subsequent CBA was not executed until 2010. This stipulation accords with the reality that these plaintiffs were not represented by the CSEA in the portion of the negotiations that took place after their retirement, and that the bargains struck in the 2007-2012 agreement would thus not be enforceable by them (*see Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157, 172 [1971]; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326, 332 [1998]).

The CBAs in effect when plaintiffs retired also provided that employees could opt into a “flexible spending” benefit program that allowed them to contribute pretax dollars into an account to be used for health care expenses, including co-pays. Contributions were capped at varying amounts, depending on an employee’s enrollment status. The 1999-2003 CBA established flexible spending maximums at \$215 for single enrollees, \$430 for couples, and \$480 for families. The 2003-2007 CBA increased these caps to \$250, \$500, and \$540, respectively.

In January 2010, well after plaintiffs had retired, the CSEA and the District executed a successor CBA, which was retroactively effective to 2007 and set to expire in 2012. The 2007-2012 CBA implemented changes to both the co-pay regime and the flexible spending benefit. The two-tiered co-pay system was converted to a three-tiered model with charges of \$7 for generic, \$15 for “preferred brand name,” and \$35 for “non-preferred brand name” prescription drugs. The new CBA also increased the caps on enrollees’ flexible spending contributions to \$325 (single), \$625 (couple), and \$700 (family). In addition, the 2007-2012 contract introduced an employer matching program under which the District would furnish \$1 for each dollar contributed by enrollees, up to \$50, \$75, and \$100, for each respective category.

Provisions concerning health insurance benefits for retirees were identical across the three CBAs. Section 6.4.6, entitled “Health Insurance for Retired Employees,” provided that “[r]etired employees shall be eligible to continue group health insurance upon payment of premium to the District five (5) days prior to the first of the month in which the premium is due.”² Section 6.5.3 provided that “[f]ull-time employees who retire from the Newfane Central School District under the New York State Employees’ Retirement System plan shall be entitled to receive credit toward group health insurance premiums (including District contribution toward Flexible spending account) for accumulated sick leave.” The premium credit was to be calculated as a percentage according to a formula and to be paid by the District “until the employee reaches age 70.” The same provision contained the sentence that gave rise to the present litigation, “[t]he coverage provided shall be the coverage which is in effect for the unit at such time as the employee retires.”

2. Because plaintiffs here fall within the confines of section 6.5.3, we need not address retirees’ rights governed by section 6.4.6.

By letters dated December 30, 2009, the District informed plaintiffs that their co-pays would now be governed by the three-tier system under the terms of the 2007-2012 CBA, resulting in an increase from their previous co-pay charges of between \$7 and \$30. Plaintiffs were also notified of the increased flexible spending caps, though the letter made no mention of the employer matching program.

Plaintiffs subsequently commenced this action for breach of contract, alleging that by increasing their co-pays, the District had violated the terms of the CBAs in effect when plaintiffs retired. They sought a declaratory judgment as to their rights under the CBAs, reinstatement of the co-pay rates in effect at the time of their retirement, and reimbursement for additional expenditures made as a result of the modifications.

The complaint alleged that the language in section 6.5.3, which applied to plaintiffs as full-time employee-members of the New York State Employees' Retirement System who retired with accumulated sick leave, entitled them to the same health insurance coverage they were receiving upon retirement, until they reached age 70, and that the co-pay increase violated that right. After Supreme Court denied its motion to dismiss, the District filed an answer asserting, insofar as relevant here, the affirmative defenses that plaintiffs failed to state a cause of action, that the CBAs in effect when plaintiffs retired had expired and were superseded by the 2007-2012 CBA, and that the challenged modifications were permissible under New York State law.

Plaintiffs then moved for summary judgment and submitted extrinsic evidence in the form of their own affidavits attesting that the parties intended for the District to maintain health insurance coverage for retirees until age 70 that was identical to the coverage in effect upon their retirement, along with the draft and final versions of the CBAs and predecessor agreements. The District cross-moved for summary judgment. Defendants argued, in relevant part, that the modifications to plaintiffs' health care benefits were permitted under chapter 30 of the 2009 Laws of New York State (Insurance Moratorium Law) because corresponding changes were made to the benefits of active employees. They also argued that the complaint failed to allege an injury since plaintiffs made no claim that the enhanced flexible spending benefit was insufficient to offset the more expensive co-pays. In support, the District submitted affidavits of the School District's Business Administrator and the

President of the Board of Education, both of whom were actively involved in the collective bargaining negotiations for the 2007-2012 CBA.

Supreme Court granted summary judgment for plaintiffs and denied defendants' cross motion for summary judgment. Finding the contract language unequivocal, the court held that plaintiffs' right to insurance coverage "equivalent to that in effect at the time each plaintiff retiree retired" had vested upon retirement, rejecting the District's argument that plaintiffs' right had expired with the CBAs under which they had retired. The court further held that the increased co-pays violated that right. The District was ordered to reinstate plaintiffs' prior health insurance plans and to compensate plaintiffs for the sums they expended in excess of their obligations under the reinstated coverage, plus interest and costs. The court also concluded that the Insurance Moratorium Law was not meant to affect contractual rights, but rather only prescribed "a bottom floor, beneath which school districts . . . were forbidden to go in diminishing benefits." Finally, acknowledging that plaintiffs' injury was indeterminate due to the potential offset provided by the increased flexible spending limits, the court found that summary judgment was proper despite the need for an accounting to calculate damages.

The Appellate Division reversed, denied plaintiffs' motion, granted defendants' cross motion for summary judgment, and dismissed the complaint (101 AD3d 1623 [4th Dept 2012]). The court found the contract did not prevent the District from increasing plaintiffs' co-pays because the language in section 6.5.3 "does not specify that an equivalent level of coverage will continue during retirement" (*id.* at 1624). With regard to the Moratorium Law, the court found that "[i]nasmuch as the benefits for represented employees were likewise reduced, defendants have complied with the statutory requirement that they not reduce plaintiffs' coverage below the level of coverage provided to active employees" (*id.*).

Two Justices dissented and, because they found the extrinsic evidence inconclusive, would have remitted the case for a hearing to consider the meaning of the terms "benefit" and "coverage" in sections 6.4.6 and 6.5.3 and whether such terms established different rights for retirees who retired with accumulated sick leave (*id.* at 1625-1626). Plaintiffs appealed to this Court as of right (*see* CPLR 5601 [a]).

As a general rule, contractual rights and obligations do not survive beyond the termination of a collective bargaining agreement (*Litton Financial Printing Div., Litton Business Systems, Inc. v NLRB*, 501 US 190, 207 [1991]). However, “[r]ights which accrued or vested under the agreement will, as a general rule, survive termination of the agreement” (*id.*), and we must look to well established principles of contract interpretation to determine whether the parties intended that the contract give rise to a vested right. “[A] written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). The language upon which plaintiffs base their claim reads as follows: “[t]he coverage provided shall be the coverage which is in effect for the unit at such time as the employee retires.”

[1] Contrary to the Appellate Division majority’s conclusion, the plain meaning of this provision unambiguously establishes that plaintiffs have a vested right to the “coverage which [was] in effect for the unit at such time as [they] retire[d],” until they reach age 70. It is well established that when reviewing a contract, “[p]articular words should be considered, not as if isolated from the context, but in the light of the obligation as a whole and the intention of the parties manifested thereby” (*Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398, 404 [2009]). The phrase “at such time as the employee retires” is most logically read to qualify the immediately preceding phrase, “the coverage which is in effect for the unit.” Moreover, the phrase “[t]he coverage provided *shall* be” evinces the mandatory nature of the obligation, insulating it from unilateral alteration. As to duration, this sentence appears in the same CBA section affording retirees who retire as full-time employees under the New York State Employees’ Retirement System the right to use accumulated sick leave as a credit against health insurance premiums during retirement “until the employee reaches age 70.” Given the sentence’s placement, a clear inference can be drawn that the parties intended the right to continued coverage to operate for the same period as the section as a whole, i.e., until the employee reaches 70. Including the right to coverage in close proximity to this durational language is also evidence of an intent that it should vest upon retirement rather than terminate with the expiration of the CBA. Since each CBA is typically effective for only a few years, a construction of the operative sentence in section 6.5.3

that would limit it to the duration of the agreement has the potential of “render[ing] the benefit inconsequential, . . . as the plaintiffs no longer would be in a position to negotiate with the [District] over future benefits” (*Poole v City of Waterbury*, 266 Conn 68, 95, 831 A2d 211, 228 [2003]).

In construing this contract language differently, the Appellate Division placed undue emphasis on the absence of an express covenant that the “level of health coverage will not be reduced or that the annual cost will not increase” (101 AD3d at 1624), drawing the conclusion therefrom that the promise of continuing coverage necessarily expired along with the relevant CBA. That conclusion both conflicts with the most natural reading of the sentence and renders meaningless the durational provision “until the employee reaches age 70.” As the contract is clear on its face, there is no need for this Court to rule on whether New York applies an inference of vesting for retiree health insurance rights (see e.g. *International Union, United Auto., Aerospace, & Agric. Implement Workers of Am. [UAW] v Yard-Man, Inc.*, 716 F2d 1476 [6th Cir 1983]).

The crux of the parties’ disagreement, then, is not the existence but the scope of the vested right. Plaintiffs contend that their entitlement to the “coverage which is in effect for the unit at such time as the employee retires” obligates the District to provide plaintiffs with exactly the same plans described in the CBAs. Under this approach, “coverage” would encompass both benefits, such as covered procedures and network providers, as well as costs, including co-pays ranging from \$0 to \$5; this “coverage” would be locked in upon retirement and remain frozen until the insured’s 70th birthday. By extension, the limitations on plaintiffs’ contributions to their flexible spending accounts presumably would also remain fixed at the levels specified in the CBAs in effect upon their retirement for the same duration, and plaintiffs would be unable to benefit from the employer matching program introduced in the 2007-2012 CBA. Notably, the term “coverage” is not defined in either contract; nor is there an explanation of whether the term denotes identical benefits and/or costs. However, plaintiffs argue that their interpretation is reasonable since, once employees retire, they are no longer represented by the union in collective bargaining negotiations (see *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157, 172, 184 [1971] [holding that retiree benefits are a permissive, not mandatory, subject of collective bargaining]), and, as a result, it is “logical to assume that the bargaining unit

intended to insulate retirees from losing important insurance rights during subsequent negotiations by using language in each and every contract which fixed their rights to coverage as of the time they retired” (*Della Rocco v City of Schenectady*, 252 AD2d 82, 84 [3d Dept 1998]).

Defendants, on the other hand, argue that plaintiffs’ entitlement to the “same coverage” should be afforded a more flexible interpretation. Under this view, the contract language merely obligates defendants to provide *equivalent* coverage to that which was “in effect for the unit at such time as the employee retires,” allowing the District to modify retirees’ benefits so long as such modifications do not substantially alter the overall package. The District contends that agreeing to fixed medical coverage would have been contrary to the interests of both parties at the bargaining table. As recognized by the Sixth Circuit, flexible terms of coverage allow employers to account for constantly rising health care costs, since “it is the rare medical innovation that costs *less* than the one it replaces” (*Reese v CNH Am. LLC*, 694 F3d 681, 683-684 [6th Cir 2012]), as well as the reality that insurance plans do not remain static over time. The District also argues that inflexibility is equally unappealing for retirees, who “want eligibility for . . . up-to-date medical procedures and drugs” (*id.* at 684), and would presumably derive benefit from inflationary or otherwise negotiated increases to benefits such as flexible spending contributions.

In our view, the parties have advanced two plausible interpretations of the operative provision in section 6.5.3 of the CBAs, making it appropriate for the Court to consider extrinsic evidence outside the four corners of the contracts (*see W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). The documentary evidence submitted on summary judgment does not, however, resolve the ambiguity, particularly because the affidavits focus largely on whether, in negotiating the 2007-2012 CBA, the CSEA and the District intended for the co-pay modifications to apply to retirees. Neither the affidavits nor the final and draft versions of predecessor CBAs shed light on the nature and scope of the phrase in section 6.5.3 mandating that “[t]he coverage provided shall be the coverage which is in effect for the unit at such time as the employee retires.” Because an issue of fact remains as to whether the parties intended for the right to the “same coverage” to preclude any modifications to the benefits or their attendant costs, including prescription co-pays, it is necessary to remit the case to Supreme Court for a

hearing on this issue. Inquiry is required into the definitional breadth of “coverage” as well as the degree of precision with which the parties employed the phrase “in effect for the unit at such time as the employee retires.”

In connection with remittal, we would note that courts in some jurisdictions have had occasion to address the scope of a vested right to health coverage during retirement as a question of law, rather than fact (*see e.g. Poole, supra; Reese v CNH Am. LLC*, 694 F3d 681 [6th Cir 2012]; *Diehl v Twin Disc, Inc.*, 102 F3d 301 [7th Cir 1996]).³ What is evident, however, is that unions and employers are free to negotiate the terms of such provisions as they see fit and the terms of active employees’ health insurance coverage during retirement are properly subjects for collective bargaining. Determining the scope of the right conferred in the instant case thus requires further factual development regarding the parties’ intent.

Nevertheless, should the District successfully establish that the parties contemplated a vested right to *equivalent*, rather than *identical*, coverage until age 70, the reasoning of our sister courts is instructive in evaluating whether the modifications to plaintiffs’ co-pay charges violated their contractual right. In particular, a finding that the parties intended for coverage to evolve in tandem with fluctuations in the health care market and advances in medical technology would logically place the burden on plaintiffs to “demonstrate that the changes to their benefits are not substantially commensurate with the benefits provided under the agreements in effect at the time of the retirees’ retirement, when viewing the group of plaintiffs as a whole” (*Poole*, 266 Conn at 105, 831 A2d at 234). Stated another way, the “changes should be examined for their effect on the class of retirees as a whole, to determine if they have significantly reduced their general level of benefits” (*Diehl*, 102 F3d at 311). Scrutinizing the changes “in their totality for their effect upon the class of retirees as a group” (*id.* at 311), rather than evaluating any net cost increases or diminished benefits for individual plaintiffs in isolation, would ensure the efficient

3. It was also clearer in those cases that the parties contemplated future modifications to health coverage—due either to the inclusion of language suggesting that the employers retained the right to make alterations (*see Poole*, 266 Conn at 100-103, 831 A2d at 231-233; *Diehl*, 102 F3d at 309-310), or to past practices indicative of the parties’ understanding that reasonable modifications to benefits were permissible (*see Reese*, 694 F3d at 684; *see also Zielinski v Pabst Brewing Co., Inc.*, 463 F3d 615, 618-619 [7th Cir 2006]).

adjudication of claims and allow the District a reasonable framework within which to evaluate future modifications. Depending on findings as to the intended definition of “coverage,” whether modifications “substantially reduced the provision of services” and/or “substantially increased the cost” of health care should thus depend on the effect of the changes on “the group of plaintiffs as a whole” (*Poole*, 266 Conn at 107, 831 A2d at 235).

Here, the relevant “group” is the retirees who, like plaintiffs, qualify for continuing coverage under section 6.5.3 of the CBAs. If the District successfully demonstrates that the parties intended to create an entitlement to coverage equivalent to that which they received upon retirement, and the cost of co-pays is deemed a material aspect of the “coverage” promised, consideration should also be given to the increase in the flexible spending benefit insofar as it may offset the significance of the modification.

[2] Finally, we reject the District’s argument that, regardless of plaintiffs’ contractual right to the “same coverage,” the 2009 Insurance Moratorium Law allows the District to modify plaintiffs’ coverage because a corresponding modification was made in the 2007-2012 CBA for active employees. The statute provides, in relevant part, that,

“[f]rom on and after June 30, 1994 until May 15, 2010, a school district, board of cooperative educational services, vocational education and extension board or a school district . . . shall be prohibited from diminishing the health insurance benefits provided to retirees and their dependents or the contributions such board or district makes for such health insurance coverage below the level of such benefits or contributions made on behalf of such retirees and their dependents by such district or board *unless a corresponding diminution of benefits or contributions is effected* [sic] *from the present level during this period by such district or board from the corresponding group of active employees for such retirees*” (L 1994, ch 729, as extended by L 2009, ch 30 [emphasis supplied]).

The District’s interpretation of the statute relies on the erroneous conclusion that the legislature’s silence regarding contracted-for health coverage should be read as an intention to abrogate contractual rights. However, the Insurance Moratorium

Law's primary purpose was to prevent school districts from eliminating or reducing retiree health insurance benefits that were *voluntarily conferred* as a matter of school district policy, not rights negotiated in the collective bargaining context (*see* Assembly Mem in Support, Bill Jacket, L 1996, ch 83 at 6, 1996 McKinney's Session Laws of NY at 2049-2050). The 1994 final report of the Temporary Task Force on Health Insurance for Retired Educational Employees, which originally recommended the legislation, proposed amending the then-temporary law to apply to contractually vested rights. Specifically, the Task Force proposed that the legislature

“mak[e] it clear that any negotiated health insurance benefits for present employees upon retirement can be affected in the same manner as any retiree's health benefits can be under the present temporary legislation; i.e., *once retired a retiree's health insurance benefits may be diminished in a similar manner as negotiated for active employees without violation of the negotiated provision covering future retirees*” (Final Rep of Temp Task Force on Health Ins for Retired Educ Empls at 6 [Dec. 1, 1994] [emphasis supplied]).

Significantly, the legislature never adopted this proposal, or any of the Task Force's proposed amendments to the temporary statute then in effect, but instead enacted it into permanent law unchanged.

In light of this legislative history, as well as the statute's plain language, Supreme Court correctly concluded that the statute only prescribed “a bottom floor, beneath which school districts and certain boards were forbidden to go in diminishing benefits. It was not meant to eviscerate contractual obligations and decades of contract law.”

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendants' cross motion for summary judgment and, as so modified, affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order modified, without costs, by denying defendants' cross motion for summary judgment and, as so modified, affirmed.

[4 NE3d 346, 981 NYS2d 336]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CAVELL
CRAIG TYRELL, Appellant. (App Term No. 10-290.)

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CAVELL
CRAIG TYRELL, Appellant. (App Term No. 10-288.)

Argued November 13, 2013; decided December 12, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered July 16, 2012. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Kevin B. McGrath, Jr., J.), which had convicted defendant, upon his plea of guilty, of criminal sale of marihuana in the fourth degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered July 16, 2012. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Ruth Pickholz, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of marihuana in the fifth degree.

People v Tyrell, 36 Misc 3d 133(A), 2012 NY Slip Op 51309(U), reversed.

People v Tyrell, 37 Misc 3d 16, reversed.

HEADNOTES

Crimes — Appeal — Matters Reviewable — Waiver of Constitutional Rights

1. In the prosecution of defendant in two cases involving separate drug offenses, defendant's claims that his guilty plea in each case was invalid because the record did not affirmatively demonstrate the waiver of his right to a trial by jury, his right to confront his accusers, and the privilege against self-incrimination were reviewable on direct appeal, notwithstanding defendant's failure to raise the claims in a postallocation motion. Generally, in order to preserve a challenge to the factual sufficiency of a plea allocation there must have been a CPL 220.60 (3) motion to withdraw the plea before sentence is imposed or a CPL 440.10 motion to vacate the judgment of conviction. An exception to the general rule exists where the defendant has no practical ability to object to an error in the plea allocation which is clear from the face of the record. In addition, preservation is not required where the error is a mode of proceedings error. Here, defendant could not have brought the CPL 220.60

(3) motion in either case because the plea and sentence occurred during the same proceeding. Nor could he have brought a CPL 440.10 motion because the error in each case was clear from the face of the trial record. Putting aside any practical difficulties in defendant's ability to bring a postallocation motion, the complete absence of any indication that defendant waived his constitutional rights could be viewed as a mode of proceedings error.

Crimes — Plea of Guilty — Sufficiency of Allocution — Waiver of Constitutional Rights

2. Defendant's guilty pleas in two separate drug prosecutions were vacated where the records were silent as to defendant's waiver of his right to trial by jury, his right to confront his accusers, and the privilege against self-incrimination. A trial court need not follow any kind of rigid catechism in the taking of pleas, and a guilty plea will not be invalidated solely because the judge failed to specifically enumerate all the rights to which the defendant was entitled and to elicit from him or her a list of detailed waivers before accepting a plea. However, for a guilty plea to be knowing, voluntary and intelligent, the record must show, or there must be an allegation and evidence which show, that an accused intelligently and understandingly rejected his constitutional rights. Presuming waiver from a silent record is impermissible. Here, there was a complete absence of discussion of any of the pertinent constitutional rights in each case. Nor was there any indication that defendant spoke with his attorney regarding the constitutional consequences of taking a plea. In fact, the cases were both resolved during arraignment within days of arrest.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 600–602, 621, 624, 672–674, 687–695.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 181:12, 181:27, 181:60, 181:82; CARMODY-WAIT 2d, Postjudgment Motions § 205:7.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3–21.6.

McKINNEY'S, CPL 220.60 (3); 440.10.

NY JUR 2d, Criminal Law: Procedure §§ 1493, 1513, 1517, 1527, 3371, 3379.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea.

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Query: vacat! /5 plea & waiver /5 constitutional /s record & review

POINTS OF COUNSEL

Steven Banks, The Legal Aid Society, New York City (Harold V. Ferguson, Jr., of counsel), for appellant in the first and second

above-entitled actions. The Appellate Term erred when it held that appellant's plea proceeding demonstrated that appellant had pleaded guilty knowingly, intelligently and voluntarily. (*Boykin v Alabama*, 395 US 238; *People v Lopez*, 71 NY2d 662; *People v Harris*, 61 NY2d 9; *Brady v United States*, 397 US 742; *United States v Dominguez Benitez*, 542 US 74; *Bordenkircher v Hayes*, 434 US 357; *Hanson v Phillips*, 442 F3d 789; *Parke v Raley*, 506 US 20; *Henderson v Morgan*, 426 US 637; *People v Moore*, 71 NY2d 1002.)

Cyrus R. Vance, Jr., District Attorney, New York City (Ryan Gee and Patrick J. Hynes of counsel), for respondent in the first and second above-entitled actions. Defendant's complaints about his guilty plea are not preserved for appellate review. In any event, the existing record demonstrates that defendant pleaded guilty knowingly, voluntarily, and intelligently. (*People v McNair*, 13 NY3d 821; *People v Clarke*, 93 NY2d 904; *People v Johnson*, 82 NY2d 683; *People v Mackey*, 77 NY2d 846; *People v Mayers*, 74 NY2d 931; *People v Lopez*, 71 NY2d 662; *People v Boyd*, 12 NY3d 390; *People v Mox*, 20 NY3d 936; *People v Toxey*, 86 NY2d 725; *People v Serrano*, 15 NY2d 304.)

OPINION OF THE COURT

GRAFFEO, J.

In *Boykin v Alabama* (395 US 238 [1969]), the United States Supreme Court held that a defendant who enters a guilty plea must voluntarily and intelligently waive several federal constitutional rights, namely, the right to a trial by jury, the right to confront one's accusers and the privilege against self-incrimination. Because the records in the cases before us are silent as to defendant's waiver of these fundamental rights, the pleas must be vacated.

I

In the first of two appeals involving defendant Cavell Craig Tyrell (County index No. 570026/10), a police officer observed defendant and another person sell a small quantity of marihuana to two individuals in February 2009. The officer immediately stopped all four participants, recovering money and a small bag of marihuana from defendant, and another bag of marihuana from one of the buyers. Defendant was charged by misdemeanor complaint with criminal sale of marihuana in the fourth degree (Penal Law § 221.40) and criminal possession of marihuana in the fifth degree (Penal Law § 221.10 [1]).

Defendant appeared for arraignment, with counsel, two days after his arrest. The prosecutor offered a sentence of time served in exchange for a guilty plea. In response, defense counsel queried whether a “marijuana ACD” (adjournment in contemplation of dismissal) was available. The prosecutor answered in the negative. Defense counsel then stated that “[w]e have a disposition. At this time [defendant] authorizes me to withdraw his previously entered plea of not guilty and enter a plea of guilty to Penal Law Section 221.10, criminal possession of marijuana in the fifth degree.” The colloquy concluded with the court’s imposition of the sentence: “Time served. Enter judgment.”

Defendant appealed from the judgment of conviction and sentence, seeking vacatur of his plea on the basis that it was not voluntary, knowing and intelligent. Specifically, he asserted that the plea was invalid because the record did not affirmatively demonstrate the waiver of his *Boykin* rights.

The Appellate Term affirmed (37 Misc 3d 16 [App Term, 1st Dept 2012]), reasoning that defendant failed to preserve his *Boykin* claim for appellate review by not bringing a postallocution motion to withdraw the plea. As an “alternative holding,” the court found that the plea colloquy evinced a voluntary, knowing and intelligent plea. A Judge of this Court granted defendant leave to appeal (19 NY3d 1105 [2012]), and we now reverse.

II

In the second case (County index No. 570027/10), the same defendant was arrested in October 2009 following his participation in a buy-and-bust operation involving the sale of marihuana to an undercover officer. As a result, defendant was charged in a misdemeanor complaint with criminal sale of marihuana in the fourth degree (Penal Law § 221.40).

Later that same day, defendant appeared with counsel for arraignment. At the outset of the proceeding, the prosecutor offered defendant a sentence of 15 days in jail in exchange for a guilty plea to the crime charged. Defendant, through counsel, refused the offer. After a discussion regarding potential bail terms, defense counsel informed the court that defendant would be willing to plead guilty for time served. The court rejected the request, but offered a jail sentence of 10 days. Defense counsel responded that defendant was willing to accept that offer.

Defendant then stated that he agreed to plead guilty and acknowledged his participation in the drug sale. The court accepted defendant's plea and immediately imposed the 10-day jail sentence.

Defendant appealed from the judgment of conviction and sentence, arguing that his plea must be vacated because it was not entered voluntarily, knowingly and intelligently. As in the first case, he urged that the waiver of his *Boykin* rights was nonexistent.

Affirming the conviction (36 Misc 3d 133[A], 2012 NY Slip Op 51309[U] [App Term, 1st Dept 2012]), the Appellate Term concluded that defendant's claim was unpreserved because he did not file a CPL 220.60 (3) motion to withdraw or a CPL 440.10 motion to vacate. Alternatively, the court reviewed the plea minutes and determined that the plea was valid. A Judge of this Court granted defendant leave to appeal, and we now reverse.

III

[1] As a threshold matter, the People contend that the Appellate Term correctly found that defendant's claims are unpreserved in both cases. Relying on *People v Lopez* (71 NY2d 662 [1988]), the People maintain that defendant was required to file a postallocation motion to preserve his contentions and that his failure to do so renders us without authority to review them. Defendant counters that we should analogize these cases to *People v Louree* (8 NY3d 541 [2007]), where we held that a defendant can raise a *Catu** violation—i.e., a claim that the plea was involuntary because of the trial court's failure to inform defendant of a term of postrelease supervision—on direct appeal notwithstanding the absence of a postallocation motion. Under the particular circumstances of these cases, we conclude that defendant's *Boykin* claims are reviewable on direct appeal.

In *Lopez*, we stated that “in order to preserve a challenge to the factual sufficiency of a plea allocution there must have been a motion to withdraw the plea under CPL 220.60 (3) or a motion to vacate the judgment of conviction under CPL 440.10” (*Lopez*, 71 NY2d at 665). Subsequent case law has made clear that a postallocation motion is generally required to raise other “claim[s] that a guilty plea is invalid”—even those unrelated to the factual recitation—and that “[u]nder certain circumstances,

* *People v Catu* (4 NY3d 242 [2005]).

this preservation requirement extends to challenges to the voluntariness of a guilty plea” (*People v Peque*, 22 NY3d 168, 182 [2013]; see also *People v Clarke*, 93 NY2d 904, 906 [1999]; *People v Johnson*, 82 NY2d 683, 685 [1993]).

But in *Lopez* we carved out a narrow exception to the preservation requirement for the “rare case” in which “the defendant’s recitation of the facts underlying the crime pleaded to clearly casts significant doubt upon the defendant’s guilt or otherwise calls into question the voluntariness of the plea” (*Lopez*, 71 NY2d at 666). We also recognized a limited exception in *Louree*, concluding that a defendant can raise a *Catu* claim on direct appeal because of “the actual or practical unavailability of either a motion to withdraw the plea” or a “motion to vacate the judgment of conviction” (*Louree*, 8 NY3d at 546; see also *Peque*, 22 NY3d at 182-183 [“Taken together, *Lopez* and *Louree* establish that where a defendant has no practical ability to object to an error in a plea allocution which is clear from the face of the record, preservation is not required. At the same time, there are significant constraints on this exception to the preservation doctrine”]).

Here, whether we characterize these cases as falling within the *Lopez/Louree* exception or treat defendant’s claims as implicating rights of a constitutional dimension directed to the heart of the proceedings—i.e., a mode of proceedings error for which preservation is not required—defendant’s *Boykin* claims are reviewable on direct appeal. Contrary to the Appellate Term’s suggestion, defendant could not have brought a CPL 220.60 (3) plea withdrawal motion in either case because the plea and sentence occurred during the same proceeding (see CPL 220.60 [3] [providing that a motion to withdraw must be made “before the imposition of sentence”]). Likewise, he could not have filed a CPL 440.10 motion because the error in these cases was “clear from the face of the trial record” (*People v Stewart*, 16 NY3d 839, 840 [2011]; see also *People v Cooks*, 67 NY2d 100, 104 [1986]; CPL 440.10 [2] [c]). Putting aside any practical difficulties in defendant’s ability to bring a postallocation motion, the complete absence of any indication that defendant waived his *Boykin* rights could also be viewed as a mode of proceedings error for which preservation is not required. We need not, however, decide which category applies because on these records, defendant’s *Boykin* claims are clearly reviewable on direct appeal. We therefore turn to the merits.

IV

Defendant asserts that the records of the plea proceedings in both cases did not establish that he pleaded guilty voluntarily, knowingly and intelligently because there were no affirmative indicia of the waiver of his constitutional rights. The People respond that, taken as a whole and read in context, the plea colloquies were sufficient.

It is well settled that a guilty plea will be upheld if “it was entered voluntarily, knowingly and intelligently” (*People v Hafiz*, 19 NY3d 883, 884 [2012] [internal quotation marks and citation omitted]). When a defendant opts to plead guilty, he must waive certain constitutional rights—the privilege against self-incrimination and the rights to a jury trial and to be confronted by witnesses (see *Boykin*, 395 US at 243). But we have repeatedly rejected a formalistic approach to guilty pleas and have “steered clear of a uniform mandatory catechism of pleading defendants in favor of broad discretions controlled by flexible standards” (*People v Alexander*, 19 NY3d 203, 219 [2012] [internal quotation marks and citation omitted]). A guilty plea therefore will not be invalidated “solely because the Trial Judge failed to specifically enumerate all the rights to which the defendant was entitled and to elicit from him or her a list of detailed waivers before accepting the guilty plea” (*People v Harris*, 61 NY2d 9, 16 [1983]). Indeed, a valid waiver could be established where the record shows that the defendant consulted with his attorney about the constitutional consequences of a guilty plea (see *North Carolina v Alford*, 400 US 25, 29 n 3 [1970]; *Hanson v Phillips*, 442 F3d 789, 801 [2d Cir 2006]).

At the same time, our cases have held that to constitute a knowing, voluntary and intelligent plea, there must be “an affirmative showing on the record” that the defendant waived his constitutional rights (*People v Fiumefreddo*, 82 NY2d 536, 543 [1993]; see also *Boykin*, 395 US at 242 [requiring an “affirmative showing” that the guilty plea was “intelligent and voluntary”]; *Harris*, 61 NY2d at 17 [“To be sure, the record must show an intentional relinquishment or abandonment of a known right or privilege” (internal quotation marks and citations omitted)]). Consequently, a record that is “silent will not overcome the presumption against waiver by a defendant of constitutionally guaranteed protections” (*Harris*, 61 NY2d at 17). Succinctly put: “Presuming waiver from a silent record is impermissible. The record must show, or there must be an allegation and

evidence which show, that an accused intelligently and understandingly rejected his constitutional rights. Anything less is not waiver” (*id.* [internal quotation marks, ellipses, brackets and citation omitted]; *see also Boykin*, 395 US at 242 [same]).

[2] Applying these principles to the cases before us, we conclude that the records do not affirmatively demonstrate defendant’s understanding or waiver of his constitutional rights. In each case, there is a complete absence of discussion of any of the pertinent constitutional rights; none are addressed by the court, defense counsel or defendant. Nor is there any indication that defendant spoke with his attorney regarding the constitutional consequences of taking a plea—in fact, these cases were both resolved during arraignment within days of arrest. Put simply, the records in these cases are inadequate to uphold the judgments of conviction and, contrary to the dissent’s position, the pleas must be vacated (*see United States v Dominguez Benitez*, 542 US 74, 84 n 10 [2004] [“(W)hen the record of a criminal conviction obtained by guilty plea contains no evidence that a defendant knew of the rights he was putatively waiving, the conviction must be reversed”]; *Boykin*, 395 US at 244 [reversing the conviction “because the record does not disclose that the defendant voluntarily and understandingly entered his pleas of guilty” (internal quotation marks and citation omitted)]). Moreover, the People do not dispute that the accusatory instruments in both cases should be dismissed because defendant has already served his sentences (*see People v Hightower*, 18 NY3d 249, 253 [2011]; *People v Dreyden*, 15 NY3d 100, 104 [2010]; *compare People v Allen*, 39 NY2d 916, 917-918 [1976]).

Finally, contrary to the dissent’s assertion, we signal no retreat from the principle that trial courts retain broad discretion in the taking of pleas and need not follow any kind of rigid catechism. We merely apply the well-settled proposition that the record as a whole must contain an affirmative demonstration of the defendant’s waiver of his fundamental constitutional rights—a requirement the dissent neglects to mention. And although the dissent suggests that a defendant must establish prejudice even where the record is completely silent as to his waiver of constitutional rights, *Boykin* holds directly to the contrary.

. . .

Accordingly, in each case, the order of the Appellate Term should be reversed, defendant’s guilty plea vacated and the misdemeanor complaint dismissed.

SMITH, J. (dissenting). In *People v Nixon* (21 NY2d 338, 355 [1967]), we renounced what we referred to as “the catechism system” for taking guilty pleas. We held that “[i]t should never be enough to undo a plea because of some omission in inquiry at the time of plea without a showing of prejudice” (*id.*). We reaffirmed the *Nixon* holding in *People v Harris* (61 NY2d 9, 16-19 [1983]), saying that we did not read *Boykin v Alabama* (395 US 238 [1969]) to require a “ritualistic recitation of the rights waived upon a guilty plea.” Later, in *People v Lopez* (71 NY2d 662, 665 [1988]), we held that “in order to preserve a challenge to the factual sufficiency of a plea allocution there must have been a motion to withdraw the plea”; we made an exception only for the “rare case” where the record of the allocution “clearly casts significant doubt upon the defendant’s guilt or otherwise calls into question the voluntariness of the plea” and where the trial court has not eliminated that doubt by further inquiry (*id.* at 666).

Under *Nixon*, *Harris* and *Lopez*, the mere omission of a recital from the allocution does not lead automatically to the nullification of a guilty plea. There must be a showing, either on the record of the plea proceeding itself or in a motion to withdraw the plea, that it was not in fact knowingly, voluntarily and intelligently entered.

To date, our principal departure from the *Nixon/Harris/Lopez* approach has been in *People v Catu* (4 NY3d 242, 245 [2005]), in which we held that “the failure of a court to advise of post-release supervision requires reversal of the conviction,” regardless of whether defendant was prejudiced by the omission. I joined the *Catu* decision, and I do not suggest that we can or should overrule it. But it set us on a long and troubled journey that I would not, if I had the choice to make over, embark on again (*see e.g. People v Hill*, 9 NY3d 189 [2007]; *People v Sparber*, 10 NY3d 457 [2008]; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358 [2008]; *People v Williams*, 14 NY3d 198 [2010]; *People v Lingle*, 16 NY3d 621 [2011]; *People v Pignataro*, 22 NY3d 381 [decided Dec. 12, 2013]).

I now fear that we may be making a similar mistake. The majority seems to hold that at least some of the so-called “*Boykin* rights” must be recited in a plea allocution, and that if they are not the defendant is entitled to plea withdrawal, regardless of whether he was prejudiced by the omission or whether he has made a motion to withdraw his plea. I do not know how many

pleas will be put in jeopardy by this holding. Not many, I hope, because the recital of *Boykin* rights is customary, but, as these cases show, the custom is not always observed, especially where the case is a relatively minor one. Today's holding, especially if it is rigidly applied, has the potential to do real harm to the efficient administration of justice by invalidating freely-entered guilty pleas that result in entirely fair plea agreements.

And it is hard for me to imagine that today's holding will do any real good. I agree that the practice of reciting the *Boykin* rights on the record is well-advised, but its chief advantage lies in preventing false claims of the "if I had only known" variety by defendants who later change their minds about their pleas. Has any defendant ever really been misled into pleading guilty by a failure to recite the *Boykin* litany? I have never heard of a plea allocution in which a defendant, told, for example, that he is waiving his right to trial by jury, responded by saying: "Oh, I didn't know that, and now that I know it I'm not pleading guilty."

I find it most unlikely that this defendant was hoodwinked into pleading guilty by ignorance of his *Boykin* rights. He had a lawyer at each of the plea proceedings. I have quoted before (*People v Mox*, 20 NY3d 936, 940-941 [2012, Smith, J., dissenting]), and now quote again, the wise words of Judge Breitel in *Nixon* (21 NY2d at 354):

"[I]f independent and good advice in the interest of the defendant is the goal, it is more important that he consult with competent counsel than that a harried, calendar-conscious Judge be the one to perform the function in displacement of the lawyer."

There is nothing in the record of these two cases to suggest that defendant's counsel were not competent, or that defendant had no opportunity to consult with them before accepting a sentence of time served in one case, and 10 days in the other. The judgments entered on defendant's pleas should be affirmed.

Chief Judge LIPPMAN and Judges READ and RIVERA concur with Judge GRAFFEO; Judge SMITH dissents and votes to affirm in an opinion in which Judge PIGOTT concurs; Judge ABDUS-SALAAM taking no part.

In each case: Order reversed, defendant's guilty plea vacated and complaint dismissed.

[3 NE3d 1160, 980 NYS2d 912]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY ODDONE, Appellant.

Argued November 14, 2013; decided December 12, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 9, 2011. The Appellate Division affirmed a judgment of the Suffolk County Court (C. Randall Hinrichs, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Oddone, 89 AD3d 868, reversed.

HEADNOTES

Crimes — Witnesses — Expert Witness — Testimony Based on Personal Experience and Not Established Scientific Principle

1. In the prosecution of defendant for causing the death of a man by holding him in a headlock, the duration of which was an important issue at trial, the trial court did not err in permitting the doctor who performed an autopsy on the victim's body to testify that in his opinion the victim's neck had been compressed for "something in the range of 2, 3, 4 minutes." The witness inferred a 2-4 minute duration for the headlock principally from two facts: his own observation at the autopsy of "petechiae"—red spots caused by bursting of blood vessels—on and around the victim's eyes; and the observations of several witnesses that, by the time the incident ended, the victim's face had turned purple. The witness did not claim to rely on any established scientific principle. He made clear that his testimony was based on his personal "experience"—meaning what he had observed, heard and read about particular cases. Such evidence is not barred by *Frye v United States* (293 F 1013 [DC Cir 1923]). An opinion based on experience alone is ordinarily less reliable than one based on generally accepted science, but flaws in an expert's opinion can be exposed by cross-examination, and by the opinions of opposing experts. There will ordinarily be no unfairness as long as the jury is not misled into thinking that the expert's opinion reflects a generally accepted principle. The parties here appeared to agree that petechiae and discoloration are caused by neck compression; how long the neck must be compressed is a question that scientific studies do not seem to have answered. To allow a pathologist who has examined many dead bodies, and heard and read many accounts of how victims met their deaths, to express an opinion on the subject accords with common sense, and does not open the door to every expert's flight of fancy.

Crimes — Witnesses — Refreshing Recollection

2. In the prosecution of defendant for causing the death of a man by holding him in a headlock, the duration of which was an important issue at trial, the trial court erred when, following a defense witness's testimony that the duration of that part of the headlock she observed "could have been a minute or so," it denied defense counsel's request to refresh the witness's recollection

with a prior statement that put the same interval at “maybe 6 to 10 seconds.” When a witness, describing an incident more than a year in the past, says that it “could have” lasted “a minute or so,” and adds “I don’t know,” the inference that her recollection could benefit from being refreshed is a compelling one. More fundamentally, it was unfair to let the jury hear the “a minute or so” testimony—testimony damaging to the defense, from a defense witness’s own lips—while allowing the defense to make no use at all of an earlier, much more favorable, answer to the same question. Though the witness was not the central witness in the case, the error in limiting counsel’s examination of her was important enough to justify reversal.

Crimes — Witnesses — Expert Witness — Expert Testimony on Eyewitness Estimations

3. At the retrial of defendant on a charge of manslaughter in the first degree for causing the death of a man by holding him in a headlock, the duration of which was an important issue at the first trial, any application by defendant to admit expert testimony with respect to the accuracy of estimates by eyewitnesses of the duration of relatively short events must be approached with caution. One point that the expert had proposed to make at the first trial was that “[i]t is generally accepted in the field of forensic psychology that eyewitnesses routinely overestimate the duration of relatively short events lasting a few minutes or less,” citing “Vierordt’s Law.” There are cases in which it is unfair to deprive the jury of expert testimony about the reliability of eyewitness observations, but whether this was such a case was a debatable question. The proposition that estimates of the duration of brief incidents tend to err significantly on the high side is not one within the ken of the average juror, and the accuracy of witnesses’ estimates of duration was relevant here. However, testimony by an expert witness advising the jury on how to evaluate the testimony of fact witnesses is collateral to the main issues in the case, and the exploration of collateral issues tends to obscure the main issue in the minds of the jury. The decisive issue here was not the duration of the headlock, but whether defendant caused the victim’s death while intending to cause him serious physical injury. Yet the People chose to put in much evidence of duration, from fact and expert witnesses, and relied on it heavily. This might well have justified the trial court in allowing the witness to give the testimony, and a similar question may arise on retrial.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d, Evidence §§ 1232–1234; AM JUR 2d, Expert and Opinion Evidence §§ 32, 128, 157, 158, 275–277.
 CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:174–194:177, 194:183, 194:191; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:72, 195:117.
 LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
 NY JUR 2d, Criminal Law: Procedure §§ 2188–2195, 2199, 2294, 2295.

ANNOTATION REFERENCE

See ALR Index under Evidence Rules; Expert and Opinion Evidence; Eyewitnesses; Refreshed Recollection.

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POINTS OF COUNSEL

Wachtell, Lipton, Rosen & Katz, New York City (Marc Wolinsky, Bernard W. Nussbaum, George T. Conway, III, Charles D. Cording, Scott M. Danner, Dana J. Brusca and David Zhou of counsel), and *Sarita Kedia Law Offices, P.C.* (Sarita Kedia of counsel), for appellant. I. The trial court committed three legal errors that grossly distorted the evidence on a central issue in the case and denied Anthony Oddone a fair trial. (*People v Borges*, 69 NY2d 1031; *People v Crimmins*, 36 NY2d 230; *People v Tarantola*, 178 AD2d 768; *People v Wesley*, 83 NY2d 417; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Cronin*, 60 NY2d 430; *Marso v Novak*, 42 AD3d 377; *Muhammad v Fitzpatrick*, 91 AD3d 1353; *Rosati v Brigham Park Co-operative Apts.*, 36 Misc 3d 1214[A], 2012 NY Slip Op 51315[U].) II. The verdict must be set aside because Anthony Oddone was denied his right to an impartial jury. (*People v Branch*, 46 NY2d 645; *Dyer v Calderon*, 151 F3d 970; *People v Estella*, 68 AD3d 1155; *People v Maragh*, 94 NY2d 569; *People v Brown*, 48 NY2d 388; *People v De Lucia*, 20 NY2d 275; *Clyde Mattox v United States*, 146 US 140; *People v Buford*, 69 NY2d 290; *People v Borges*, 69 NY2d 1031; *People v Harris*, 19 NY3d 679.) III. The prosecutor's flagrant and deliberate misconduct in summation violated Anthony Oddone's Fifth Amendment right to remain silent and denied him a fair trial. (*Berger v United States*, 295 US 78; *People v Mirenda*, 23 NY2d 439; *People v Hetenyi*, 304 NY 80; *Griffin v California*, 380 US 609; *People v Ashwal*, 39 NY2d 105; *People v Fielding*, 158 NY 542; *Matter of Frank v Department of State of State of N.Y.*, 14 AD2d 139; *Walters v United States*, 256 F2d 840; *People v Carvalho*, 256 AD2d 1223; *People v King*, 73 AD2d 895.) IV. The trial court erred when it refused to give the jury an intoxication charge. (*People v Perry*, 61 NY2d 849; *People v Sirico*, 17 NY3d 744; *People v Rodriguez*, 76 NY2d 918; *People v Smith*, 43 AD3d 475; *People v Farnsworth*, 65 NY2d 734; *People v De Tore*, 34 NY2d 199.)

Thomas J. Spota, District Attorney, Riverhead (Anne E. Oh of counsel), for respondent. I. The trial court's evidentiary rulings were correct, not an abuse of discretion and should therefore be affirmed. (*People v Borges*, 69 NY2d 1031; *People v Carroll*, 95

NY2d 375; *People v Aska*, 91 NY2d 979; *Carmell v Texas*, 529 US 513; *People v Reed*, 40 NY2d 204; *People v Montanez*, 41 NY2d 53; *People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10.) II. Defendant was not deprived of his right to a fair and impartial jury. (*People v Borges*, 69 NY2d 1031; *People v Harris*, 19 NY3d 679; *People v Rickert*, 58 NY2d 122; *People v Brown*, 48 NY2d 388; *People v Harrell*, 284 AD2d 248; *People v Rodriguez*, 71 NY2d 214; *People v Genovese*, 10 NY2d 478; *People v Maragh*, 94 NY2d 569; *People v Testa*, 61 NY2d 1008; *People v Friedgood*, 58 NY2d 467.) III. The prosecutor's summation was proper in all respects and did not violate defendant's Fifth Amendment rights or deprive him of his right to a fair trial. (*People v Cona*, 49 NY2d 26; *People v Romero*, 7 NY3d 911; *People v Williams*, 46 NY2d 1070; *People v LaValle*, 3 NY3d 88; *People v Harris*, 98 NY2d 452; *People v Anonymous*, 96 NY2d 839; *People v Ashwal*, 39 NY2d 105; *People v Halm*, 81 NY2d 819; *People v Mirenda*, 23 NY2d 439; *People v Riback*, 13 NY3d 416.) IV. The trial court properly denied defendant's request for a jury instruction on intoxication. (*People v Perry*, 61 NY2d 849; *People v Farnsworth*, 65 NY2d 734; *People v Sirico*, 17 NY3d 744; *People v Gaines*, 83 NY2d 925; *People v Smith*, 43 AD3d 475.)

Karen Newirth, New York City, and *M. Chris Fabricant*, and *Dechert LLP* (*James M. McGuire*, *Steven A. Engel* and *Matthew L. Mazur* of counsel), for Innocence Project, Inc., amicus curiae. I. The trial court should have stricken Dr. Wilson's testimony in the absence of a showing that his opinions were based upon principles that are generally accepted in the relevant scientific community. (*People v Wesley*, 83 NY2d 417; *Parker v Mobil Oil Corp.*, 7 NY3d 434.) II. Dr. Penrod's proposed testimony was based upon generally accepted principles and would have aided the jury in its evaluation of the eyewitness testimony. (*People v Lee*, 96 NY2d 157; *People v Cronin*, 60 NY2d 430; *People v LeGrand*, 8 NY3d 449; *People v Abney*, 13 NY3d 251; *People v Santiago*, 17 NY3d 661; *People v Bedessie*, 19 NY3d 147; *People v Williams*, 20 NY3d 579; *People v Spicola*, 16 NY3d 441; *United States v Graves*, 465 F Supp 2d 450; *United States v Hines*, 55 F Supp 2d 62.)

Sharon McCarthy, New York City, and *Dorothy Heyl*, for New York City Bar Association, amicus curiae. I. Testimony on the effect on memory of post-event information satisfies the requirements of *Frye v United States* (293 F 1013 [DC Cir 1923]) and testimony on the tendency to overestimate duration should not

have been excluded without a *Frye* hearing. (*Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Magri*, 3 NY2d 562; *People v Wesley*, 83 NY2d 417; *People v Mooney*, 76 NY2d 827; *People v Drake*, 188 Misc 2d 210, 19 AD3d 209, 7 NY3d 28; *People v Beckford*, 141 Misc 2d 71; *People v Lewis*, 137 Misc 2d 84; *People v Brooks*, 128 Misc 2d 608; *People v LeGrand*, 8 NY3d 449; *People v Santiago*, 17 NY3d 661.) II. Studies on the tendency to overestimate the duration of a short, stressful event and the malleability of memory are “beyond the ken” of the average juror. (*People v Diaz*, 20 NY3d 569; *De Long v County of Erie*, 60 NY2d 296; *Selkowitz v County of Nassau*, 45 NY2d 97; *People v Cronin*, 60 NY2d 430; *People v Lee*, 96 NY2d 157; *People v Jones*, 73 NY2d 427; *People v Young*, 7 NY3d 40; *People v Abney*, 13 NY3d 251; *People v Beckford*, 141 Misc 2d 71.) III. The exercise of sound discretion in determining whether to allow expert testimony requires a careful analysis of the relevant factors, rather than application of a per se standard. (*People v Williams*, 56 NY2d 236; *People v Lee*, 96 NY2d 157; *People v Aphaylath*, 68 NY2d 945; *People v LeGrand*, 8 NY3d 449.)

OPINION OF THE COURT

SMITH, J.

Defendant was convicted of manslaughter in the first degree for causing the death of a man by holding him in a headlock. The duration of the headlock was an important issue at trial. Defendant argues that several of the trial court’s rulings in admitting and excluding evidence related to that issue were mistaken. As to one of those rulings—the court’s refusal to permit defendant to refresh his witness’s recollection with a statement the witness had previously given—we agree with defendant, and order a new trial.

I

The victim, Andrew Reister, was a bouncer in a bar. On the night in question, defendant and a young woman were in the bar, dancing on a table. Reister asked defendant to get off the table, defendant refused, and Reister pushed him off. There followed a fight. In short order, defendant got behind Reister and put his arms around his neck; one of defendant’s hands was grasping the other. After an interval, Reister fell to the floor and defendant fell on top of him, not releasing his grip, though Reister seemed to onlookers to be unconscious. Several people screamed at defendant to let Reister go, and some tried without success to pull defendant away. Finally, defendant let go and ran

out of the bar, leaving Reister unconscious on the floor. Reister was declared brain dead two days later.

Defendant was indicted for murder and relied on a defense of justification (self-defense). At his trial, the People asked seven of their witnesses to estimate the duration of the headlock. The estimates varied, but most put the total time, beginning when defendant's arms first went around Reister's neck and ending when he released him, at somewhere near three minutes. Two defense witnesses gave shorter estimates; by their telling, the headlock may have lasted less than a minute.

The jury acquitted defendant of murder, but convicted him of manslaughter in the first degree (causing death with the intent to cause serious physical injury [Penal Law § 125.20 (1)]) as a lesser included offense. The Appellate Division affirmed (*People v Oddone*, 89 AD3d 868 [2d Dept 2011]). A Judge of this Court granted leave to appeal (20 NY3d 1102 [2013]), and we now reverse and order a new trial.

II

Of the issues raised by defendant on this appeal, we find three—all related to what witnesses were or were not allowed to say about the duration of the headlock—that call for discussion. Defendant challenges the following evidentiary rulings:

(1) James Wilson, the doctor who performed an autopsy on Reister's body, was permitted to testify that in his opinion Reister's neck had been compressed for "something in the range of 2, 3, 4 minutes."

(2) When Megan Flynn, a defense witness, testified that the duration of the part of the incident she observed "could have been a minute or so," defense counsel was not allowed to refresh her recollection with a prior statement that put the same interval at "maybe 6 to 10 seconds."

(3) Steven Penrod, an expert in eyewitness observation, was not permitted to testify that eyewitnesses routinely overestimate, by a large margin, the duration of relatively brief events.

We reject defendant's attack on Wilson's testimony. We agree with defendant that the restriction placed on his questioning of Flynn was error requiring a new trial. Whether the exclusion of Penrod's testimony was an abuse of discretion is a close question that we do not need to decide, but we offer some observations about it for the guidance of the court at a retrial.

A. Wilson

Wilson, a deputy medical examiner, inferred a 2-4 minute duration for the headlock principally from two facts: his own observation at the autopsy of “petechiae”—red spots caused by bursting of blood vessels—on and around Reister’s eyes; and the observations of several witnesses that, by the time the incident ended, Reister’s face had turned purple. As to the petechiae, Wilson testified:

“Q. Could you tell us, Doctor in your experience how long it would take for this type of petechia to be present in Mr. Reister’s—around his eyes, in the skin surrounding his eyes?

“A. Well, in my experience and understanding of how this process occurs an injury of this sort would take matter of a few minutes, 2, 3 perhaps 4, with neck compression on type some kind of a struggle. So there may be slight variations in the pressure from time to time, but matter of a few minutes, something in the range of 2, 3, 4 minutes.”

Similarly, as to the discoloration of Reister’s face, Wilson testified:

“Q. In your opinion, Doctor, how long would it take for the blood in the veins that is not able—that is being squeezed and kept in the head, how long would it take in order for that purple cast or coloration to occur in Mr. Reister’s face?

“A. Well, in my opinion and experience the blood that is built up over a period of time, then loss of oxygen, to get very dark it would be a matter of a few minutes minimum, something in the order of 2, 3, 4 minutes.”

Defendant attacks this testimony as lacking a scientific basis. He does not dispute that petechiae and purple coloring can result from neck compression, but he says—and the People do not dispute—that no scientific studies have been published to show how lengthy a compression is required to produce those results. Thus, defendant argues, Wilson was advancing a scientific principle that had not gained general acceptance in its field, in violation of the rule of *Frye v United States* (293 F 1013 [DC Cir 1923]), which is followed by the courts of New York (*People v Wesley*, 83 NY2d 417 [1994]).

[1] The flaw in defendant's reasoning is that Wilson did not claim to rely on any established scientific principle. He made clear that his testimony was based on his personal "experience"—meaning what he had observed, heard and read about particular cases. Such evidence is not barred by *Frye* (see *Johnson v State*, 933 So 2d 568, 570 [Fla App 2006] ["An expert opinion based on personal training and experience is not subject to a *Frye* analysis"]; *Commonwealth v Devlin*, 365 Mass 149, 155, 310 NE2d 353, 357 [1974] ["Dr. Sosman's medical opinion . . . was not the product of a 'scientific theory' but was, rather, the product of years of experience"]).

Defendant argues in substance that an expert who is a scientist can express no opinion based on his own experience, but must rely only on published studies or texts. We reject the argument. It is true that an opinion based on experience alone is ordinarily less reliable than one based on generally accepted science. An expert may well overvalue his own experience, or even exaggerate or fabricate it. But these flaws can be exposed by cross-examination, and by the opinions of opposing experts—as the alleged flaws in Wilson's testimony were in this case. There will ordinarily be no unfairness as long as the jury is not misled into thinking that the expert's opinion reflects a generally accepted principle (see *Flanagan v State*, 625 So 2d 827, 828 [Fla 1993] [an expert's reliance on "some scientific principle or test . . . implies an infallibility not found in pure opinion testimony"]).

We acknowledge that it may not be possible to draw a neat line between scientific principles and experience-based testimony. Indeed, it has been observed that the many cases applying *Frye* to evidence based on scientific principles shed little light on exactly what a "scientific principle" is (see 22 Charles A. Wright & Kenneth W. Graham, Jr., *Federal Practice and Procedure: Evidence* § 5168.2 [2d ed Apr. 2013]). We do not imply that an expert is allowed to say anything he or she likes to a jury if the statement is prefaced by the words "in my experience." To allow an expert to say, based only on his or her alleged experience, that smoking does not cause lung cancer or that baldness is related to the phases of the moon would be to tolerate the admission of junk science and to undermine the basic purpose of *Frye*.

But Wilson's testimony in this case does not trigger a concern of that kind. The parties here appear to agree that petechiae and discoloration are caused by neck compression; how long the

neck must be compressed is a question that scientific studies do not seem to have answered. To allow a pathologist who has examined many dead bodies, and heard and read many accounts of how victims met their deaths, to express an opinion on the subject accords with common sense, and does not open the door to every expert's flight of fancy.

B. Flynn

Flynn, a waitress at the bar where the fatal event took place, saw part of the incident and later told an insurance company investigator that the part she saw lasted “for maybe 6 to 10 seconds.” The People interviewed her before trial but decided not to call her as a witness. The defense did call her, and asked essentially the same question the insurance investigator had asked: “[F]rom the time that you walked in to the time you saw the guy let go how long of a period of time was it?” On the witness stand, Flynn gave a different answer: “I didn’t have a watch. I wasn’t keeping track of time. But it could have been a minute or so. I don’t know.” Defense counsel tried to show Flynn her previous statement to refresh her recollection, but was not permitted to do so. The trial court ruled that Flynn had “given no indication she needs her memory refreshed.”

[2] In this, the trial court erred. When a witness, describing an incident more than a year in the past, says that it “could have” lasted “a minute or so,” and adds “I don’t know,” the inference that her recollection could benefit from being refreshed is a compelling one. More fundamentally, it was simply unfair to let the jury hear the “a minute or so” testimony—testimony damaging to the defense, from a defense witness’s own lips—while allowing the defense to make no use at all of an earlier, much more favorable, answer to the same question. The trial court suggested to defense counsel that this was “an effort to impeach your own witness,” but counsel had not yet got to the point of impeachment; she only wanted to refresh the witness’s recollection. And in any event, technical limitations on the impeachment of witnesses must sometimes give way, in a criminal case, to a defendant’s right to a fair trial (*Chambers v Mississippi*, 410 US 284 [1973]).

Though Flynn was certainly not the central witness in the case, we conclude that the error in limiting counsel’s examination of her was important enough to justify reversal. Indeed, the People do not argue that the error was harmless. It may be that her original “6 to 10 seconds” statement, if repeated on the

stand, would have been of little consequence, for Flynn saw only the last part of what occurred. But the testimony of a defense witness that that fragment of the event might have lasted as long as a minute gave significant support to the People. The prosecutor used—indeed, overstated—Flynn’s testimony in her closing argument: “Megan Flynn even told you, the defense’s own witness, told you it was one to two minutes.”

C. Penrod

Defendant sought to call Penrod, a psychology professor, “as an expert on the issue of eyewitness observations,” explaining in a detailed offer of proof, accompanied by an affidavit from Penrod, what he would testify to. Much of his proposed testimony was on matters within the ken of the average juror, and the trial court was plainly right to exclude it. But one point that Penrod proposed to make, relating to the accuracy of estimates of duration, cannot be put aside so readily. Penrod said in his affidavit: “It is generally accepted in the field of forensic psychology that eyewitnesses routinely overestimate the duration of relatively short events lasting a few minutes or less.”

Penrod offered specific support for this assertion, quoting another psychologist who had studied the topic:

“Theoretical and empirical investigation of duration estimations date back to the nineteenth century with Vierordt’s (1868) discovery that short intervals tend to be overestimated and longer ones underestimated. This finding is now commonly referred to as ‘Vierordt’s Law’. Consistent with this law, forensically related research has shown that witnesses tend to overestimate the duration of relatively short events lasting a few minutes or less . . . Yarmey and Yarmey (1997) found that witnesses in field situations (involving) . . . a 15-second interaction with a ‘culprit’ . . . overestimated this encounter by a 3 to 1 ratio.”

Citing *People v LeGrand* (8 NY3d 449 [2007]), defendant argues that the exclusion of expert testimony about “Vierordt’s Law” was error. *LeGrand*, as the trial court observed, is not directly in point. The issue in *LeGrand* was the reliability of an eyewitness’s identification of defendant as the person who committed the crime, and we held it an abuse of discretion to

exclude expert testimony about the reliability of such identifications where the case “turned solely on the accuracy of the witnesses’ identification,” for which there was “no corroborating evidence” (8 NY3d at 457). Here, defendant’s identity was never in issue.

[3] *LeGrand*, however, can be read to stand for the broader principle that there are cases in which it is unfair to deprive the jury of expert testimony about the reliability of eyewitness observations. Whether this is such a case is a debatable question. We must assume on this record that “Vierordt’s Law” is a generally accepted scientific principle; defendant sought, and was denied, a *Frye* hearing on that issue. The proposition that estimates of the duration of brief incidents tend to err significantly on the high side is not one within the ken of the average juror. And the accuracy of witnesses’ estimates of duration was undoubtedly relevant to this case.

On the other hand, applications to admit evidence of this kind—in essence, testimony by an expert witness advising the jury on how to evaluate the testimony of fact witnesses—must be approached with caution. Such testimony is collateral to the main issues in the case, and we have warned that the exploration of collateral issues tends “to obscure the main issue in the minds of the jury, to lead them away from the principal matters which require their attention and to protract trials to an unreasonable extent without any corresponding advantage to any one concerned” (*People v Harris*, 209 NY 70, 82 [1913]). This explains the limitations we placed on our holding in *LeGrand*, requiring the admission of testimony about eyewitness identifications only where uncorroborated identification evidence is of critical importance. Courts do not normally exclude relevant evidence merely because the case against the defendant is strong. But the overall strength of the case is important to issues arising under *LeGrand*, because where the eyewitness testimony is not crucial, expert testimony about the collateral issue of eyewitness reliability can be a harmful distraction.

Here, it can be argued that it was not crucial for the jury to decide how many seconds or minutes defendant held Reister in a headlock. The evidence that Reister fell unconscious, that defendant still maintained a grip on his neck, and that onlookers screamed for defendant to stop and tried to pull him away without result, would support a finding that, however long it was, it was far too long. The decisive issue in the case is not the

duration of the headlock, but whether defendant caused Reister's death while intending to cause him serious physical injury. The theory that defendant's purpose was only to defend himself might be rejected by a factfinder even in the absence of any evidence of duration.

Yet the People chose to put in much evidence of duration, from fact and expert witnesses, and relied on it heavily. This might well have justified the trial court in allowing Penrod to give the testimony defendant proffered. Whether it was an abuse of discretion to exclude that testimony is now—since we reverse the conviction on other grounds—an academic question. A similar question may arise on retrial, but because no two trials are ever identical the considerations governing the court's exercise of its discretion will not necessarily be the same. We decide only that the question should be addressed in light of the factors discussed in this opinion.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed and a new trial ordered.

[3 NE3d 1147, 980 NYS2d 899]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY S. PIGNATARO, Appellant.

Argued November 12, 2013; decided December 12, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 16, 2012. The Appellate Division affirmed a resentence of the Supreme Court, Erie County (John L. Michalski, J.), which, pursuant to Penal Law § 70.85, had resentedenced defendant to a determinate term of 15 years' imprisonment.

People v Pignataro, 93 AD3d 1250, affirmed.

HEADNOTE

Crimes — Plea of Guilty — Failure of Court to Pronounce Term of Postrelease Supervision — Resentence without Postrelease Supervision — Vacatur of Guilty Plea Not Constitutionally Required

Penal Law § 70.85, which authorizes a trial court to “re-impose,” with the People’s consent, an originally imposed determinate sentence of imprisonment without any term of postrelease supervision, is a constitutionally permissible legislative remedy for the defectiveness of a guilty plea pursuant to which a defendant is sentenced to a determinate term but the court failed to include a mandatory term of postrelease supervision. Accordingly, defendant, who pleaded guilty to attempted assault and was sentenced to a determinate sentence of incarceration without being informed of the required period of postrelease supervision, was not unconstitutionally deprived of his right to vacate his plea when he was resentedenced pursuant to section 70.85 to the same term of imprisonment without any postrelease supervision. Defendant’s plea was knowing and voluntary because the legislature had changed the sentencing laws governing pleas vulnerable to a challenge pursuant to *People v Catu* (4 NY3d 242 [2005]). Section 70.85 ensures that defendant, who is no longer subject to postrelease supervision, pleaded guilty with the requisite awareness of the direct consequences of his plea.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 625, 630, 689–693.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:70, 182:71, 182:88; CARMODY-WAIT 2d, Sentencing Procedures §§ 203:84, 203:86, 203:210.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3, 21.5, 26.7.

McKINNEY'S, Penal Law § 70.85.

NY JUR 2d, Criminal Law: Procedure §§ 1530, 2923, 2927, 3178.

ANNOTATION REFERENCE

See ALR Index under Guilty Pleas; Parole, Probation, and Pardon; Sentence and Punishment.

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Database: NY-ORCS

Query: vacate /4 guilty /2 plea & post-release /2 supervision & resentencing

POINTS OF COUNSEL

Charles J. Greenberg, Amherst, for appellant. Section 70.85 of the Penal Law is unconstitutional because it denied defendant of his right to withdraw his plea when produced for resentencing, thereby violating his due process and equal protection rights under the Fourteenth Amendment to the United States Constitution and article I, § 6 of the New York State Constitution. (*People v Boyd*, 12 NY3d 390; *People v Catu*, 4 NY3d 242; *People v Hill*, 9 NY3d 189; *People v Coles*, 62 NY2d 908; *People v Louree*, 8 NY3d 541; *People v Van Deusen*, 7 NY3d 744; *People v Verhow*, 83 AD3d 1528; *People v Cornell*, 16 NY3d 801; *People v Williams*, 82 AD3d 1576, 17 NY3d 810.)

Frank A. Sedita, III, District Attorney, Buffalo (*Michael J. Hillery* and *Donna A. Milling* of counsel), for respondent. Penal Law § 70.85 is constitutional. (*People v Catu*, 4 NY3d 242; *People v Hill*, 9 NY3d 189; *People v Foley*, 94 NY2d 668; *People v Bright*, 71 NY2d 376.)

Eric T. Schneiderman, Attorney General, New York City (*Jodi A. Danzig*, *Barbara D. Underwood* and *Roseann B. MacKechnie* of counsel), for Attorney General, intervenor. I. Penal Law § 70.85 protected defendant's right to due process by authorizing the trial court to re-impose exactly the sentence that it promised defendant when he pleaded guilty. (*People v Catu*, 4 NY3d 242; *People v Hill*, 9 NY3d 189; *People v Louree*, 8 NY3d 541; *People v Van Deusen*, 7 NY3d 744; *Earley v Murray*, 451 F3d 71, 462 F3d 147; *Wilson v McGinnis*, 413 F3d 196; *Santobello v New York*, 404 US 257; *People v Boyd*, 12 NY3d 390; *People v Chiacchiarini*, 91 AD3d 1118, 19 NY3d 863; *People v Torres*, 45 NY2d 751.) II. Defendant's facial challenge and equal

protection claim are unpreserved and meritless. (*People v Robinson*, 88 NY2d 1001; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Stuart*, 100 NY2d 412; *People v Davis*, 13 NY3d 17.)

OPINION OF THE COURT

RIVERA, J.

Defendant Anthony Pignataro challenges his resentencing under Penal Law § 70.85, claiming the statute is unconstitutional because it deprives him of his right to vacate his guilty plea. Finding no constitutional deprivation visited on the defendant by his resentencing under section 70.85, we affirm.

I.

In November 2000, defendant Anthony Pignataro pleaded guilty to attempted assault in the first degree (Penal Law §§ 110.00, 120.10), a class C violent felony offense, in full satisfaction of a multi-count indictment alleging he poisoned his wife. During his plea colloquy, the trial court told defendant that he would receive a 5-to-15-year determinate sentence of incarceration. However, the court did not inform him that Penal Law § 70.45 required a period of postrelease supervision (PRS) to follow all determinate sentences. In February 2001, the court orally sentenced defendant to the maximum 15-year sentence, without pronouncing the mandatory term of PRS. Defendant did not perfect his direct appeal but brought various postconviction proceedings in state and federal courts, challenging his plea as involuntary (*see e.g. People v Pignataro*, 20 AD3d 892 [4th Dept 2005]; *Pignataro v Poole*, 381 Fed Appx 46 [2d Cir 2010]). In the present appeal, defendant challenges a resentencing proceeding brought under Penal Law § 70.85 on the same grounds.

Defendant's argument on appeal has its legal genesis in a series of cases decided by this Court, beginning with *People v Catu* (4 NY3d 242 [2005]). In *Catu*, we held that a trial court has the constitutional duty to inform a defendant of a mandatory term of PRS before accepting a guilty plea (*id.* at 245). We concluded that when the court does not so inform the defendant, the plea cannot represent "a voluntary and intelligent choice among the alternative courses of action open to the defendant," and the defendant has a right to vacate the involuntary plea (*id.*). The error identified in *Catu* was the same error that infected defendant's guilty plea.

Following *Catu*, we have repeatedly reaffirmed that a defendant could vacate a plea when the trial court failed to mention a mandatory term of PRS during the plea allocution. In *People v Van Deusen* (7 NY3d 744, 746 [2006]), we held that a defendant may vacate a plea even when the term imposed at sentencing, including both imprisonment and PRS, amounted to less time than the maximum term contemplated at the plea colloquy. In *People v Hill* (9 NY3d 189, 192 [2007]), we rejected an attempt to impose PRS through a resentencing proceeding that reduced the period of incarceration so that the total sentence term equaled the period discussed at the plea allocution. In *Hill*, we clarified that a *Catu* error “violated the defendant’s due process rights—not the defendant’s sentencing expectations” (*id.* at 193). Accordingly, even a resentencing proceeding that gave the defendant the benefit of a plea bargain could not remedy the underlying constitutional violation (*id.*).

In 2008, the legislature enacted Penal Law § 70.85 to provide trial courts with another means to address *Catu* errors and “avoid the need for pleas to be vacated” (Governor’s Approval Mem, Bill Jacket, L 2008, ch 141 at 5-6, 2008 NY Legis Ann at 106). The statute authorizes a trial court to “re-impose,” with the People’s consent, “the originally imposed determinate sentence of imprisonment without any term of [PRS]” (Penal Law § 70.85). Section 70.85 thus makes an exception to Penal Law § 70.45 by allowing a determinate sentence without a term of PRS to stand as a legal sentence.

In May 2010, the People moved Supreme Court to resentence defendant under Penal Law § 70.85. In response, defendant challenged the proceeding as unconstitutional because it did not permit him to withdraw his involuntary plea, claiming he had an undeniable right to such relief under *Catu* and its progeny. He asked the court to vacate his plea or, alternatively, to adjourn the proceeding pending the resolution of his federal habeas corpus petition, which was then on appeal from the Western District of New York to the United States Court of Appeals for the Second Circuit. Supreme Court rejected defendant’s arguments, and resented him under section 70.85 to a determinate term of 15 years without PRS.¹

In June 2010, after Supreme Court resented defendant, the Second Circuit affirmed the District Court’s order dismissing

1. Supreme Court directed defendant’s sentence to run consecutive to a previous, unrelated sentence.

his federal habeas petition (*Pignataro v Poole*, 381 Fed Appx 46 [2d Cir 2010]). Following its earlier precedent, the Second Circuit held that the unimposed, mandatory period of PRS was not a direct consequence of defendant's conviction (*id.* at 49-50; see *Earley v Murray*, 451 F3d 71, 75-76 [2d Cir 2006]; *Earley v Murray*, 462 F3d 147, 149 [2d Cir 2006]). As a result, the Court concluded, defendant's plea had been knowing and voluntary, even though the trial court had not informed him of the mandatory PRS term (*Pignataro*, 381 Fed Appx at 49-50).

Meanwhile, defendant appealed Supreme Court's resentencing order to the Appellate Division, which affirmed in a memorandum opinion (*People v Pignataro*, 93 AD3d 1250 [4th Dept 2012]). Defendant appeals from the Appellate Division order, claiming that Penal Law § 70.85 is unconstitutional because it denies him the right to vacate his guilty plea. His appeal squarely presents this Court with the question of the constitutionality of section 70.85, which we left open in *People v Boyd* (12 NY3d 390 [2009]).² A Judge of this Court granted defendant leave to appeal, and we affirm.

II.

By now it is well established that the State Constitution requires a trial court to ensure that a defendant has a “full understanding of what the plea connotes and its consequences” (*People v Ford*, 86 NY2d 397, 402-403 [1995] [citations omitted]). A guilty plea made without notification from the court about the direct consequence of a PRS term violates the Constitution because it could not have been “a voluntary and intelligent choice among the alternative courses of action” (*Catu*, 4 NY3d at 245; see also *Van Deusen*, 7 NY3d at 745-746; *People v Louree*, 8 NY3d 541, 545-546 [2007]; *Hill*, 9 NY3d at 191-192; *Boyd*, 12 NY3d at 395-396). A court must remedy this constitutional defect by vacating the plea (*Catu*, 4 NY3d at 245; *Van Deusen*, 7 NY3d at 745-746; *Louree*, 8 NY3d at 545-546; *Hill*, 9 NY3d at 191-192).

Defendant interprets *Catu* and its progeny as foreclosing any remedy other than vacatur of his plea, and contends that the legislature lacks power to develop a statutory remedy for his defective plea. Defendant is mistaken and relies on a narrow reading of the case law.

2. In *Boyd*, we concluded that the constitutionality of section 70.85 “should be determined by Supreme Court in the first instance” (*Boyd*, 12 NY3d at 394).

Prior to the enactment of section 70.85, trial courts lacked a mechanism to impose a determinate sentence without a term of PRS (see Penal Law § 70.45; *People v Sparber*, 10 NY3d 457, 470 [2008]). Thus, courts had no legal authority to impose a sentence based on the defendant's understanding of available alternatives at the time of the plea. In order to save pleas from vacatur, courts resorted to imposing creative sentences that included PRS but attempted to honor defendants' sentencing expectations. This Court rejected those attempted remedies for *Catu* errors as they lacked a basis in law (see *Hill*, 9 NY3d at 191-192; see also *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358, 362-363 [2008]; *Sparber*, 10 NY3d at 470). No part of the analysis in our *Catu* line of cases, however, prevented the legislature from amending the sentencing laws for pleas defective under *Catu* such that a defendant who was not informed of mandatory PRS during the plea colloquy could be resentenced, upon the People's consent, without a PRS term. With Penal Law § 70.85, the legislature made such a change.

Defendant argues that even assuming that the legislature has the authority to design a remedy, it cannot cure his defective plea simply by giving him the benefit of his plea bargain. As defendant observes, we resoundingly rejected this approach in *Van Deusen* and *Hill* (see *Van Deusen*, 7 NY3d at 746; *Hill*, 9 NY3d at 192). Citing *Hill*, defendant contends that his plea was defective because the plea itself was involuntary, not because his sentencing expectations went unmet (see *Hill*, 9 NY3d at 192-193). Thus, he argues, no "benefit of the bargain," even one that fulfills the precise terms of defendant's original sentence, can rectify his constitutionally invalid plea.

The People, and intervenor State of New York, counter that section 70.85 merely permits Supreme Court to resentence defendant to the original sentence imposed as a result of his plea.³ In an effort to harmonize our decisions in *Van Deusen* and *Hill* with this argument, they contend that in those cases we merely prohibited resentencing to a sentence roughly equivalent, but still different, from the one originally pronounced during the

3. Alternatively, the State of New York asks us to adopt the reasoning used by the Second Circuit in rejecting defendant's habeas petition (see *Pignataro*, 381 Fed Appx at 50). The State asserts that PRS was not a direct consequence of defendant's conviction, and, thus, Supreme Court's failure to inform him of PRS did not violate the Constitution. This conclusion directly contradicts this Court's *Catu* line of cases, and, since the Second Circuit's interpretation of the Federal Constitution does not bind us (see *Flanagan v Prudential-Bache Sec.*, 67 NY2d 500, 506 [1986]), we decline the invitation to overrule our precedent.

defendant's plea allocution. In *Van Deusen*, the sentence included a combined term of incarceration and PRS that totaled less than the maximum potential period of incarceration for which defendant pleaded (*see Van Deusen*, 7 NY3d at 746). In *Hill*, the new sentence consisted of a period of imprisonment less than the determinate sentence originally imposed, followed by a period of PRS that together equaled the incarceratory period of the original sentence (*see Hill*, 9 NY3d at 192).

Here, the People and the State argue, defendant received the same sentence that he would have received under the plea agreement and not merely some rough equivalent. In fact, the trial court made no adjustments to his period of imprisonment and did not impose PRS. It thus represents a constitutional remedy for the *Catu* error.

This equivalency argument is unpersuasive as it is merely a creative reimagining of the benefit of the bargain approach to a *Catu* error. We are similarly unpersuaded by defendant's argument that section 70.85 provides nothing more than a statutory version of the types of remedies we have rejected in the past.

Mindful of the constitutional rights at issue in cases involving a *Catu* error, we find that section 70.85 is a constitutionally permissible legislative remedy for the defectiveness of the plea. Defendant's plea was knowing and voluntary because the legislature has changed the sentencing laws governing pleas vulnerable to a *Catu* challenge. Section 70.85 ensures that defendant, who is no longer subject to PRS, pleaded guilty with the requisite awareness of the direct consequences of his plea.

III.

On resentencing, Supreme Court exercised its discretion under Penal Law § 70.85 to enforce defendant's plea agreement by sentencing him to a 15-year determinate sentence without PRS.

For these reasons, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

Order affirmed.

[4 NE3d 320, 981 NYS2d 310]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MALIK HOWARD, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HILBERT STANLEY, Appellant.

Argued October 10, 2013; decided November 26, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 12, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Robert E. Torres, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 12, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Robert E. Torres, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree.

People v Howard, 92 AD3d 176, affirmed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Failure to Assert Affirmative Defense

1. In the prosecution of defendants on first-degree robbery and related charges, defendants were not deprived of effective representation at their trial by, among other alleged omissions, counsel's failure to assert as an affirmative defense that one of two weapons allegedly displayed during the robbery "was not a loaded weapon from which a shot, readily capable of producing death or serious physical injury, could be discharged" (Penal Law § 160.15 [4]). If the People had put forth no evidence of a gun other than the BB gun that was used during the robbery, it might have been difficult to justify counsel's failure to move to dismiss the first-degree count. But there was also testimony and argument about the "something" stuck into the victim's back at the same time the BB gun, which looked genuine, was being pressed against his face and neck. Something hard enough to be felt shoved up against a victim's back is legally sufficient evidence of a displayed firearm for purposes of first-degree robbery. Thus the evidence of "display" of a gun that was not a BB gun was sufficient, and defense counsel were not ineffective for neglecting to challenge the sufficiency of the evidence. Nor did the record show that counsel were ineffective for failure to put the affirmative defense before the jury. The choice not to do so could have been a reasonable defense strategy, as defendants'

attorneys pursued a misidentification defense at trial. Although a misidentification defense would not seem likely to have resulted in an acquittal, it was not possible from the trial record alone to reject all legitimate explanations for the tack taken by defense counsel.

Crimes — Identification of Defendant — Showup

2. In the prosecution of defendants on first-degree robbery and related charges, there was record support for the lower courts' determination that the robbery victim's showup identification of defendants approximately two hours after the crime and five miles from the crime scene was proper. A determination of whether a showup is reasonable under the circumstances and not unduly suggestive presents a mixed question of law and fact that is beyond the review powers of the Court of Appeals so long as record support exists for the determination made by the lower courts. Here, defendants were stopped by police officers who had heard a radio message about the robbery and observed defendants in a vehicle at a red light with open containers of beer. Upon smelling marijuana the officers searched the vehicle, and the victim's driver's license and other forms of identification were found inside as well as marijuana and an imitation pistol. The victim was brought to the scene where he immediately identified the defendants as the men who had robbed him. The lower courts reasonably found that none of the features of the showup rendered it more prejudicial than any other. Although the showup occurred about five miles from the crime scene, defendants had made their getaway in a car. The two-hour interval between the crime and the showup was not per se unacceptable. There was no discussion of the suspects with the police during the ride to the location where the showup took place, and no verbal suggestion from any police officer about the identity of the handcuffed suspects when the victim arrived. The police logically would have wanted to move as quickly as possible to find out whether they had apprehended the armed robbers in question, or just garden-variety drug dealers. A showup is not improper merely because the police already have probable cause to detain a suspect.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Evidence § 639.
- CARMODY-WAIT 2d, Eyewitness Identification Procedures §§ 174:29–174:31, 174:34, 174:40; CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:257.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 7.1, 7.4, 11.6, 11.7, 11.10.
- McKINNEY'S, Penal Law § 160.15 (4).
- NY JUR 2d, Criminal Law: Procedure §§ 685, 691, 859, 864–870, 878, 913, 916; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 985, 986, 991, 994, 1000, 1003, 1007.

ANNOTATION REFERENCE

Admissibility of evidence of show-up identification as affected by allegedly suggestive show-up procedures. 39 ALR3d 791.

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Query: counsel /5 ineffective /s affirmative /2 defense &
display /4 gun weapon

POINTS OF COUNSEL

Richard M. Greenberg, Office of the Appellate Defender, New York City (Rebekah J. Pazmiño and Eunice C. Lee of counsel), for appellant in the first above-entitled action. I. Malik Howard's trial attorney was ineffective for failing: (a) to challenge the first-degree robbery charge on legal insufficiency grounds, where the prosecution's evidence was that Mr. Howard displayed only a BB gun, which does not satisfy the display of a firearm element; and (b) to alert the court to the fact that its final instructions could result in an improper verdict as they did not indicate that the jury had to be unanimous with respect to its choice of the two potential display theories at issue, or that showing only a BB gun could not satisfy the display element. (People v Wilson, 283 AD2d 339; People v Jones, 54 AD2d 740; Strickland v Washington, 466 US 668; People v Benevento, 91 NY2d 708; People v Turner, 5 NY3d 476; People v Lopez, 73 NY2d 214; People v Baskerville, 60 NY2d 374; People v Groves, 282 AD2d 278; People v Washington, 229 AD2d 601; People v Simmons, 186 AD2d 95.) II. The court below erred in denying Malik Howard's motion to suppress a showup identification which was far too attenuated, both spatially and temporally, from the crime itself, was not prompted by either exigency or an unbroken chain of events, and involved procedures that were unduly suggestive. (People v Riley, 70 NY2d 523; People v Duuvon, 77 NY2d 541; People v Brisco, 99 NY2d 596; People v Wells, 221 AD2d 281; People v Gilford, 16 NY3d 864; People v McBride, 242 AD2d 482; People v Wall, 38 AD3d 1341; People v Andrews, 255 AD2d 328; People v Maybell, 198 AD2d 108; People v Ortiz, 90 NY2d 533.)

Steven Banks, The Legal Aid Society, New York City (Alan S. Axelrod of counsel), for appellant in the second above-entitled action. I. Appellant was deprived of the effective assistance of counsel where the record shows that counsel failed to take action that could only have benefitted appellant, including not specifically moving for dismissal or reduction of the insufficiently proved first-degree robbery charge, failing to request the court to charge the jury that the BB gun could not constitute the display of what appeared to be a pistol necessary to

make out first-degree robbery, and acquiescing in the court's presentation to the jury of two different theories under which they could convict of the top charge, which rendered that count duplicitous and resulted in an invalid verdict. (*People v Turner*, 5 NY3d 476; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Bell*, 48 NY2d 933; *People v Caban*, 5 NY3d 143; *People v Baskerville*, 60 NY2d 374; *People v Wilson*, 283 AD2d 339; *People v Fredericks*, 48 AD3d 827; *People v Keindl*, 68 NY2d 410; *People v Bauman*, 12 NY3d 152.) II. The court erred in refusing to suppress the showup identification of appellant, where the showup was not proximate to the commission of the crime in either time or space, the showup being conducted over two hours after the crime and a distance of five miles away, in the absence of any exigent circumstance to justify the showup, complainant having returned to his home and appellant already having been placed under arrest, and where the showup was unnecessarily suggestive. (*People v Duuvon*, 77 NY2d 541; *People v Johnson*, 81 NY2d 828; *People v Rivera*, 22 NY2d 453; *People v Riley*, 70 NY2d 523; *People v Brisco*, 99 NY2d 596; *People v Ortiz*, 90 NY2d 533; *People v Gilford*, 16 NY3d 864; *People v Wells*, 221 AD2d 281; *People v Colon*, 42 AD3d 411; *People v Adams*, 53 NY2d 241.)

Robert T. Johnson, District Attorney, Bronx (Lindsey J. Ramistella, Joseph N. Ferdenzi and Peter D. Coddington of counsel), for respondent in the first and second above-entitled actions. I. Defendants were not deprived of effective representation at trial. (*People v Parilla*, 8 NY3d 654; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v McDaniel*, 13 NY3d 751; *People v Taylor*, 1 NY3d 174; *People v Turner*, 5 NY3d 476; *People v Baldi*, 54 NY2d 137; *People v Stokes*, 25 AD3d 332; *People v Vasquez*, 20 NY3d 461; *People v Townsley*, 20 NY3d 294.) II. The showup identification was proper. (*People v Brisco*, 99 NY2d 596; *People v Gilford*, 16 NY3d 864; *People v Johnson*, 81 NY2d 828; *People v Duuvon*, 77 NY2d 541; *People v Hudson*, 71 AD3d 1046; *People v Maybell*, 198 AD2d 108; *People v Gatling*, 38 AD3d 239; *People v Berry*, 50 AD3d 1047; *People v Green*, 256 AD2d 85.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to apply settled law to the unique facts of a gunpoint robbery. We conclude that defendants Malik Howard (Howard) and Hilbert Stanley (Stanley) (collectively,

defendants) were not deprived of effective representation at trial by, among other alleged omissions, counsel's failure to assert as an affirmative defense that one of two weapons allegedly displayed during the robbery "was not a loaded weapon from which a shot, readily capable of producing death or other serious physical injury, could be discharged" (Penal Law § 160.15 [4]). We further conclude that record support exists for the lower courts' determination that the robbery victim's showup identification of defendants was proper.

I.

The Robbery and its Aftermath

On April 21, 2006, just before 3:00 a.m., 38-year-old Domingo Lopez (Lopez), an immigrant from the Dominican Republic, was walking home from the restaurant where he worked as a waiter when a gray car approached him from behind, proceeding at a slow speed. He was on Claflin Avenue near 195th Street in the Bronx, a short distance from his apartment building. Lopez paid little heed to the car at first, assuming the driver was looking for a parking space. Suddenly, though, he became aware of movement, turned and saw two men, both black, rushing towards him. One, a heavyset man with dreadlocks, wore a striped polo shirt and emerged from the car's driver's seat. The other, armed with a gun and wearing a sweatshirt with a hood, got out of the front passenger seat. Lopez observed two other black men in the car's back seat, where they remained.

The two men who left the car cornered Lopez. The man with the gun stood in front of him, pressing the gun to his head and neck; the other man pushed up against him from behind. As Lopez later testified,

"[o]ne of them, the thinner one or the skinnier one he had a gun in his hand . . . [He] was telling me to close my eyes and was touching my face. He told me to put my back and I felt the other person was touching me with something else on my back. I don't know. I cannot say it if was a gun or something else."

Working together, the two men tugged at Lopez's pants, rifling his pockets and ripping the back one in the process. They took Lopez's wallet from his back pocket, and \$60 from his front pocket. The wallet contained \$400 and various documents, including Lopez's driver's license from the Dominican Republic

and a learner's permit from New York State, a credit card and various identification cards. The night was clear and there was ambient light. Lopez got a good look at both robbers' faces.

After the robbers fled in the gray car, Lopez crossed the street to his apartment building and, upon reaching his residence, asked his teenaged stepdaughter to call 911. Lopez's native language is Spanish and, when he later testified through an interpreter, he characterized his command of English as "[a] little bit." His stepdaughter spoke Spanish and, apparently, much better English than he did.

Officer Judith Moreno and another uniformed police officer, responding to the 911 call, arrived at the scene of the robbery at roughly 3:00 a.m. to interview Lopez. The officers spoke English to Lopez, who communicated with them through his stepdaughter. Officer Moreno took handwritten notes, from which she later created a complaint report. This report included scant details about the robbers' appearance or the apparel they were wearing.

Lopez and his stepdaughter accompanied the officers as they drove around the area for awhile, looking for the robbers. When they did not spot them, Lopez and his stepdaughter returned home. In the meantime, the police broadcast a radio alert, reporting a gunpoint robbery at Claflin Avenue and 195th Street, which is in the 50th police precinct. The radio transmission, apparently based on the information given by Lopez through his stepdaughter to Officer Moreno, identified the suspects as four black males, armed and wearing hoodies, who escaped in a silver or gray late model car, possibly a Honda.¹

Sergeant Edward Murphy and Police Officers Frank Burns and Brendan Owens, who were assigned to a police unit organized to combat street-level violence, were patrolling in the nearby 47th precinct when they heard the radio message about the Claflin Avenue robbery, sometime soon after 3:00 a.m. These officers, who wore plain clothes and drove an unmarked car, immediately drove to the vicinity of the robbery, and fruitlessly canvassed the area for the perpetrators for about 20 to 30 minutes before giving up and returning to the 47th precinct. Then, at about 4:15 a.m., while stopped at a red light at 236th

1. The exact wording of the radio message is not clear as there is no transcription of it in the record, and by the time of trial, memories differed slightly. But it does seem that the make mentioned for the getaway car was Honda, and that the message stated there were four black men in the car and did not describe any apparel worn by any of them other than hoodies.

Street and White Plains Road, traveling northbound, they saw a silver, four-door Pontiac facing them, heading south. This location is roughly five miles from the site of the robbery.

Officer Burns observed Howard, who was a front-seat passenger, and Stanley, the car's driver, holding bottles of beer. The police made a U-turn and drove up behind the Pontiac. When Officer Burns saw Howard drinking from the bottle, Sergeant Murphy, who was driving, put on the dash lights, signaling defendants to pull over and stop, which they did, followed by the police. As Officer Burns approached the passenger side of the Pontiac, he saw Howard reach down underneath his seat and he smelled marijuana. Officer Burns asked Howard "if there was anything inside the vehicle," and Howard replied that "he had a nickel bag for personal use," which Officer Burns understood to mean a \$5 bag of marijuana. Officer Burns asked Howard to step out of the car, walk to the rear and stand near the bumper.

Meanwhile as Sergeant Murphy approached Stanley, the driver, he saw an open container of beer and, like Officer Burns, smelled marijuana. Sergeant Murphy directed Stanley to exit the vehicle and step to the rear. Both defendants stayed there with Officers Burns and Owens while Sergeant Murphy searched the interior of the car. He recovered two beer bottles and, from between the car's center console and driver's seat, a plastic wallet insert containing a driver's license and various other items of identification for Domingo Lopez of Claflin Avenue in the Bronx.

Sergeant Murphy, now strongly suspecting that defendants were involved in the Claflin Avenue robbery, handed the wallet insert to Officer Burns, and directed Officers Burns and Owens to return defendants to the vehicle. Sergeant Murphy then contacted the 50th precinct to see if the victim could be brought to White Plains Road. At the same time, Officers Burns and Owens searched the car's trunk, where they found a black knapsack. Officer Owens opened the knapsack, and discovered a large bag of marijuana and a black imitation pistol.

Lopez received a telephone call from a police officer with the 50th precinct at about 4:00 a.m. or 4:15 a.m., asking him in Spanish if he would go with the police "to see if the two people were there," which he understood to mean the "ones that robbed [him]." A police officer picked up Lopez and his stepdaughter. They conversed in Spanish about the robbery, but did not speak to the officer while on the way to White Plains

Road. When Lopez arrived at this destination at about 4:59 a.m., he became “very animated” when he saw Howard, explaining to Officer Burns that the “little guy, the little guy, he had the gun.” Lopez observed defendants from 15 to 20 feet away. Their hands were behind their backs, and Lopez believed them to be handcuffed. Howard was wearing a hooded sweatshirt, and Stanley, a striped shirt. Speaking through his stepdaughter, Lopez identified Stanley and Howard as the men who had robbed him.

The Charges and the Suppression Hearing

On May 2, 2006, the grand jury indicted defendants for first-degree robbery (two counts) (Penal Law § 160.15), second-degree robbery (Penal Law § 160.10), third-degree robbery (Penal Law § 160.05), fourth-degree grand larceny (Penal Law § 155.30), fourth-degree weapon possession (two counts) (Penal Law § 265.01), unlawful possession of an air-pistol or rifle (Administrative Code of City of NY § 10-131 [b] [1]), fourth-degree criminal possession of marijuana (Penal Law § 221.15) and unlawful possession of marijuana (Penal Law § 221.05). At the ensuing suppression hearing in March 2008, Stanley’s attorney argued to Supreme Court that there was no justification for the showup because of the absence of temporal or spatial proximity to the crime, exigent circumstances or an unbroken chain of events. He maintained that the showup was unduly suggestive, the traffic stop had been pretextual and the vehicle search was unjustified. Howard’s attorney echoed these arguments.

By decision and order dated April 7, 2008, Supreme Court denied defendants’ suppression motion. The judge concluded that the People had met their burden to establish the validity of the stop, based on the observed violation of the open container law (Administrative Code § 10-125), and the legality of the search, in view of the officers’ detection of the odor of marijuana. Further, he rejected defense counsels’ challenge to the temporal proximity of the showup procedure, citing *People v Wells* (221 AD2d 281 [1st Dept 1995], *lv denied* 87 NY2d 978 [1996] [a two-hour time lapse between the robbery and showup does not compel a conclusion of invalidity]). Supreme Court considered it a matter of no moment that the showup took place five miles from the site of the robbery, or that Lopez was aware he was going to view possible suspects and they may have been handcuffed.

The Trial

The trial commenced in late April 2008. Lopez, Officer Burns and Sergeant Murphy testified for the People as narrated earlier in this opinion. After the close of the People's case, both defense counsel moved for a trial order of dismissal, arguing as follows:

“[Stanley's attorney]: Judge, I'm going to make a motion for trial order of dismissal on the basis the People have not proved the case as presented in the indictment. I'm also going to reserve to make another [motion] after the close of the defense case.

“[Howard's attorney]: Judge, I would join in [the] application as to the entire indictment, but I'd like to specifically address two of the counts. There's actually three counts [sic]. That is the two counts criminal possession of a weapon, in the fourth degree, and unlawful possession of a pistol or rifle. Judge, as in the case of marijuana, we had experts who came in to testify that marijuana was marijuana. And here we have no experts to come in to [say] they've tested the weapon to determine [its] operability to see if it is an operable weapon to fit under [Penal Law § 265.01 (2)], both counts, and also there have been no experts to come in and actually say that that is an air pistol or rifle as defined in that section. Therefore, I'm moving to dismiss those three counts.

“[Stanley's attorney]: I'll join that application.”

The People consented to dismissal of all counts except count one (defendants acted in concert to commit first-degree robbery with what appears to be a pistol), and count three (defendants committed second-degree robbery acting in concert with each other, with another actually present). Howard then called Officer Moreno as a witness, who testified as described earlier in this opinion. There were no other defense witnesses.

In summation, both defense attorneys emphasized what they portrayed as significant problems in the identification of defendants as the robbers. Stanley's attorney emphasized that nowhere in Officer Moreno's handwritten interview notes was one of the robbers described as a heavyset man with dreadlocks, who wore a striped shirt; the radio message described the robbers as four black males, wearing hoodies; and if Lopez had, in fact, given a more detailed description to Officer Moreno when

she interviewed him right after the robbery, she would have recorded it.

He argued that the area where the robbery took place lacked street lights and was dimly lit, and, in any event,

“when someone is pointing a gun at your face, what you are looking at is that gun, and you are doing whatever the person with the gun is going to tell you to do, and you are not thinking about who is behind you or who came up. That is your focus, and that is why—that is exactly why Mr. Lopez had no descriptions of these people. Because he never got a look at them.”

Further, Stanley’s attorney contended that a photograph taken of Stanley after his arrest, and admittedly viewed by Lopez, was the real source of Lopez’s description of one of the robbers as a heavysset man with dreadlocks, who wore a striped shirt.

Stanley’s attorney dismissed the showup. He commented that by 4:00 a.m. Lopez had been up an additional two hours, after a long day at work and the stress of the robbery, and was shown two black males, handcuffed, surrounded by white police officers. He asked, “Who is he going to identify? What choice did he have?” and answered “Zero.”

Finally, Stanley’s attorney insinuated that the contents of Lopez’s wallet might have been planted by the police in the Pontiac. He had painstakingly elicited testimony on cross-examination about the way the police routinely prepare evidence vouchers. He pointed out that the voucher for the contents of Lopez’s wallet identified the “finder of property” as merely “NYPD” rather than an individual; characterized as “careful” Officer Burns’s testimony that “he did not recover, and . . . did not see anybody recover” the plastic wallet insert; and noted that while Sergeant Murphy claimed to have found this evidence in the Pontiac, his memo book, which would have contemporaneously documented any such discovery, had gone missing.

Howard’s attorney questioned whether Lopez could have seen the robbers exiting the car, having conceded he was not paying any attention until he heard footsteps behind him. Like Stanley’s attorney, he dwelt on the skimpiness of the descriptions recorded by Officer Moreno, except for the notation that the robbers drove a gray Honda. He intimated that there was something amiss about Sergeant Murphy’s inability to document that the

contents of Lopez's wallet were located in the Pontiac. Howard's attorney further suggested that the police officer who called Lopez up to arrange the showup, and who spoke to him in Spanish, in effect coached Lopez that the police had picked up the men who robbed him.

For his part, the prosecutor repeatedly referred to the evidence found in the Pontiac—Lopez's driver's licenses, credit card and other ID, which were tucked in between the driver's seat and the center console, and the "pellet gun" or "black imitation pistol" found in the trunk. He called Lopez a "working guy" who, as a waiter, was accustomed to paying attention to faces. In the prosecutor's telling to the jury, Lopez described the robbery as

"Stanley's behind him pressing something against his back. The skinny guy was in front [and] told [Lopez] to close [his] eyes, but [he] could see him. [Lopez] had [his] eyes open . . . And he states he saw the larger defendant Hilbert Stanley because he was coming towards [him]. [Lopez] was facing [Stanley] and that's when the thinner one told [him] to turn around. The larger one had braids and the striped shirt."

The prosecutor attributed any "inconsistencies or problems" with Lopez's testimony, as harped upon by defense counsel, not to Lopez's "ability to relate, to recall, to identify," but rather to "somewhat of a language barrier at times with the police officers."

Following deliberations, the jury found defendants guilty of one count of first-degree robbery (Penal Law § 160.15 [4]). Under that provision, "[a] person is guilty of robbery . . . when he forcibly steals property and when, in the course of the commission of the crime . . . he or another participant . . . [d]isplays what appears to be a pistol . . . or other firearm." It is an affirmative defense, however, that the object displayed "was not a loaded weapon from which a shot, readily capable of producing death or other serious physical injury, could be discharged" (*id.*). If the defendant proves the affirmative defense by a preponderance of the evidence, the crime is reduced to second-degree robbery (see *People v Lopez*, 73 NY2d 214, 219 [1989]). First-degree robbery is a B felony, with a determinate sentence range between 5 and 25 years in prison; second-degree robbery is a C felony, with a determinate sentence range between 3½ and 15 years in prison.

Howard absconded during trial and was initially sentenced in absentia to 25 years in prison, the maximum. Upon returning, he was sentenced as a second violent felony offender to a determinate prison term of 14 years plus five years of post-release supervision, to run consecutively with a 1½-to-3-year sentence for first-degree bail jumping.² Stanley was sentenced to a determinate prison term of 15 years, plus five years of post-release supervision.

The Appellate Division's Decision

The Appellate Division affirmed, with two Justices dissenting in part (92 AD3d 176 [1st Dept 2012]). On appeal, defendants argued that because the object displayed by Howard during the robbery was a BB gun, not a firearm, the affirmative defense in Penal Law § 160.15 (4) was made out as a matter of law, and their convictions should be reduced to second-degree robbery. They also claimed that Lopez's testimony that Stanley placed an object against his back was insufficient to support a conviction for first-degree robbery.

The court held that these arguments were unpreserved for appellate review because defendants neither asked the trial judge to instruct the jury on the affirmative defense in Penal Law § 160.15 (4) nor objected to its absence from the charge. Additionally, defendants neglected to object that the People's proof did not meet the "display" element of first-degree robbery. And the court declined to reach these arguments in the interest of justice.

As an alternative holding, the Appellate Division concluded that the verdict was supported by legally sufficient evidence, and was not against the weight of the evidence. The court noted that it was enough to establish the "display" element of first-degree robbery that, even though Lopez was not sure the object pushed into his back was a gun, he could have "reasonably . . . perceived Stanley's object to be a gun, particularly since [he] saw Howard holding a gun and at the same time felt Stanley place something against his back" (92 AD3d at 179-180). Thus,

2. As a second violent felony offender, Howard was exposed to a determinate sentence range of 10 to 25 years in prison upon his conviction for first-degree robbery. If the jury had convicted him of second-degree robbery, the applicable determinate sentence range would have been 7 to 15 years in prison. As noted previously, Howard was, in fact, sentenced to a prison term of 14 years for first-degree robbery; i.e., his sentence fell within the range for second-degree robbery.

the court distinguished other cases, relied on by the dissenters, where the People's evidence showed that "only one gun was used during the crime and there [was] no indication that another firearm was displayed" (*id.* at 181).

Addressing Howard's argument that his attorney was ineffective for failing to move for dismissal of the first-degree robbery charge, the Appellate Division remarked that "in light of the evidence about Stanley's actions, any such motion would have been unavailing" (*id.*). The court further commented that Stanley's claim that his counsel was ineffective for failing to pursue the affirmative defense was "not reviewable on direct appeal because it involve[d] matters of strategy outside the record," and that, to the extent the existing record permitted review, defendants received effective assistance of counsel (*id.*).

The dissenters would have reduced the convictions of both defendants to second-degree robbery in the interest of justice. In their view, the "undisputed evidence in the case" focused solely on the BB gun (*id.* at 182 [Freedman, J., dissenting]), and it was not enough for Lopez to describe the object in his back as merely "something," and to say that he did not know if it was a gun (*id.* at 184). One of the dissenting Justices granted Howard's motion for leave to appeal, and a Judge of this Court subsequently granted Stanley's related motion (19 NY3d 867 [2012]).

II.

Ineffective Assistance of Counsel

Defendants argue that their respective attorneys were ineffective for failing to request dismissal of the first-degree robbery count for insufficient evidence, ask the judge to give a jury charge on the affirmative defense that the "displayed" weapon was incapable of firing a deadly or dangerous shot and request a clarifying instruction as to whether the BB gun or the "something" pushed into Lopez's back was the basis for the first-degree robbery count. To establish lack of meaningful representation on the basis of a few discrete omissions, a defendant must show that his attorney did not raise a "clear-cut" or "dispositive" argument (*see People v Turner*, 5 NY3d 476, 481 [2005] [attorney ineffective for failure to raise a statute-of-limitations defense]). Defendants here are not claiming an overall pattern of ineffective assistance; indeed, they could not, as their attorneys put on a vigorous, if ultimately unsuccessful, misidentification defense.

[1] If the People had put forth no evidence of a gun other than the BB gun, it might be difficult to justify counsel's failure to move to dismiss the first-degree count. But while there was testimony about the BB gun, there was also testimony and argument about the "something" stuck into Lopez's back at the same time the BB gun, which looked genuine, was being pressed against his face and neck. Something hard enough to be felt shoved up against a victim's back is legally sufficient evidence of a displayed firearm for purposes of first-degree robbery (*see People v Baskerville*, 60 NY2d 374, 382 [1983] [towel wrapped around object was displayed firearm]; *Lopez*, 73 NY2d at 218 [finger in pocket could "reasonably be perceived as a firearm"]; *see also People v Groves*, 282 AD2d 278 [1st Dept 2001]). Thus the evidence of "display" of a gun that was not a BB gun was sufficient, and defense counsel were not ineffective for neglecting to challenge the sufficiency of the evidence.

Nor does this record show that counsel were ineffective for failure to put the affirmative defense before the jury. The choice not to do so could have been a reasonable defense strategy. Defendants' attorneys relentlessly pursued a misidentification defense at trial. Stanley's attorney, for example, began his opening statement by telling the jurors that "the wrong person got caught in the [police] net"; he single-mindedly directed his cross-examination at casting doubt on the identification of Stanley as one of the robbers; he began his summation by reminding the jurors that "[w]hen I first spoke to you in opening statements last week, I told you this was a rush to judgment. And that is what the People said in their opening, the net is cast. What I am here to tell you, the net caught the wrong people, caught the wrong person, my client, Hilbert Stanley." Putting on evidence that Stanley had no gun, but rather used his finger, for example, would have undermined the claim that he was simply not there at all.

Given Lopez's eyewitness testimony and, even more importantly, the discovery of the plastic wallet insert in the Pontiac soon after the robbery, a misidentification defense would not seem likely to have resulted in an acquittal, and, of course, it did not succeed. But we cannot say that this is the "rare case [where] it might be possible from the trial record alone to reject all legitimate explanations" for the tack taken by defense counsel (*see People v Rivera*, 71 NY2d 705, 709 [1988]). They did not have much to work with and, for all we know, their clients may have wanted to "go for broke." While it is impossible

to know what sentences the judge might have imposed if Howard and Stanley had been convicted of second- rather than first-degree robbery, in the end, they both received sentences within the range for the lesser crime. And, of course, defendants may raise their ineffective assistance claims in CPL 440.10 motions.

The Showup Identification

We have endorsed showup identifications following a defendant's arrest at or near the crime scene (see *People v Johnson*, 81 NY2d 828, 831 [1993]). They are also permitted where exigent circumstances exist; for example, the police need to know if they have the right person or should keep looking, or the victim has been mortally wounded and may not be around later to identify an attacker. And we have approved showups as part of an "unbroken chain of events" or ongoing investigation (see *People v Duuvon*, 77 NY2d 541 [1991]). Here, defendants complain that the showup did not fit within any of these parameters and was unduly suggestive.

[2] The showup occurred about five miles from the crime scene, but defendants made their getaway in a car (*cf. Duuvon* [defendant fled on foot]; *Johnson* [same]; *People v Brisco*, 99 NY2d 596 [2003] [same]; *People v Gilford*, 16 NY3d 864 [2011] [same]). The police stopped the Pontiac roughly one hour and 15 minutes after the crime; Lopez identified Howard and Stanley about 45 minutes later, after he was contacted by the police and transported to the location where defendants were stopped and arrested. While defendants suggest that a two-hour interval between the crime and a showup is per se unacceptable, we have never adopted any such bright-line rule. Neither has the Appellate Division (see *e.g. People v McBride*, 242 AD2d 482, 482 [1st Dept 1997] ["Although the investigatory showup was conducted some two hours after the robbery, this time lapse, by itself, does not compel a conclusion that it was improper"]; *Wells, supra*).

Further, the record shows there was no discussion of the suspects with the police during the ride to White Plains Road and 235th Street, where the showup took place (*cf. Johnson*, 81 NY2d at 830 [while transporting the complainant, a postman, back to the lobby of a building where he had been robbed earlier in the day while delivering mail, the police told him "that they knew the name of the person who had robbed him, had a suspect in custody, and were taking (him) back to the crime scene for a positive ID" (internal quotation marks omitted)]). When Lopez

saw defendants, they were obviously suspects and he believed they were handcuffed. But there was no verbal suggestion from any police officer about their identity. Indeed, there was no time for this since Lopez immediately recognized defendants as the two men who had robbed him. Viewing possible suspects is the entire point of a showup, and the lower courts reasonably found that none of the features of this showup rendered it more prejudicial than any other.

Defendants contend there were no exigent circumstances since Howard and Stanley were under arrest for other crimes anyway. But given that the police were looking for armed robbers, they logically would have wanted to move as quickly as possible to find out whether they had apprehended the Claflin Avenue perpetrators, or just garden-variety drug dealers. And we have said that a showup is not improper merely because the police already have probable cause to detain a suspect (*Duuvon*, 77 NY2d at 545).

While showups must be reasonable under the circumstances and not unduly suggestive (*see Brisco*, 99 NY2d at 597), we have repeatedly held that this determination presents a mixed question of law and fact. Mixed questions are beyond our review powers so long as record support exists for the determination made by the lower courts (*see People v Harrison*, 57 NY2d 470, 477 [1982]). This “rule applies where the facts are disputed, where credibility is at issue or *where reasonable minds may differ as to the inference to be drawn*” (*id.* [internal quotation marks omitted and emphasis added]); and “accords with the general principle long recognized in civil cases that *questions of the reasonableness of conduct can rarely be resolved as a matter of law even when the facts are not in dispute*” (*id.* at 478 [emphasis added]).

In sum, showups are by their nature fact-specific; no two are ever going to be exactly alike. And although it is possible to disagree with the lower courts here, it simply cannot be said that no record support exists for their unanimous determination that this showup was reasonable and not unduly suggestive. To the extent we indulge in second-guessing reasonable decisions made by the lower courts when applying the broad principles by which we have advised them to evaluate showups, we only sow confusion.

Finally, we have examined defendants’ other arguments and consider them to be without merit.

Accordingly, the orders of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). The legally dispositive facts adduced at the pretrial suppression hearing were that, two hours after the alleged robbery and five miles distant from the place of its commission, the codefendants, already under arrest for drug possession, were displayed to the complainant by several police officers, side-by-side, handcuffed, and next to a silver-toned vehicle similar to that in which the perpetrators had, according to the complainant's earlier report, arrived at and left the robbery scene. The complainant, having been advised in advance of the showup that the police "had a person with the characteristics [he] had given," did not fail on his arrival at the showup to identify the detained individuals as the persons who had robbed him.

Even if it were reasonable to suppose that "none of the features of this showup rendered it more prejudicial than any other" (majority op at 403), which it is not (*contrast e.g. People v Wells*, 221 AD2d 281, 281 [1st Dept 1995], *lv denied* 87 NY2d 978 [1996] [where "the police never indicated to the victim that there was a suspect in custody and made it appear to the victim that defendant was not in custody, and the victim, from a distance, was asked only generally to scan the block to see if she saw anyone whom she recognized"]], that would only beg the question. The majority offers no legally satisfactory answer, why identifications obtained in pursuance of such a patently suggestive and gratuitous display should not have been suppressed as risking convictions premised on irreparable misidentification.*

Showup identifications involving an encounter between a suspect or, as here, ostensibly linked suspects and a witness are inherently suggestive and thus strongly disfavored (*People v Riley*, 70 NY2d 523, 529 [1987]; *People v Ortiz*, 90 NY2d 533, 537

* Although at trial there was evidence from which the jury could have gathered that the complainant had in fact reliably identified defendants, there was no pretrial finding of independent source to support the admission of the complainant's identification testimony in the first instance, and that omission, we have held, mandates reversal: "The flaw [where identifications have been received at trial following an impermissibly suggestive identification procedure] cannot be retroactively cured because, simply put, the jury heard impermissible in-court identification evidence and the nature of this kind of defect cannot be sanitized after the irretrievable event has occurred. In such circumstances, nothing short of reversal and a new *Wade* hearing and new trial will suffice" (*People v Burts*, 78 NY2d 20, 23 [1991]).

[1997]; *People v Johnson*, 81 NY2d 828, 831 [1993]; and see *Stovall v Denno*, 388 US 293, 302 [1967] [“The practice of showing suspects singly to persons for the purpose of identification, and not as part of a lineup, has been widely condemned”]). We have, accordingly, found station house showups presumptively subject to suppression (see *People v Duuvon*, 77 NY2d 541, 544 [1991]). And, although we have been somewhat more lenient respecting the admissibility of showup identifications where there is a legitimate investigatory imperative or exigency to justify their use (see *id.*), we have been clear that this rationale is not so elastic as to permit geographically remote showups hours after the initial confrontation and after the suspect’s arrest. Indeed, although we may be said to have “endorsed” a closely defined category of showups in *People v Johnson* (81 NY2d at 831) (see majority op at 402), we were careful to qualify that “endorsement” by adding that “the emphasis must be upon the prompt and immediate nature of an identification after the crime has been committed, not, as the People argue, after the defendant has been arrested” (81 NY2d at 831 [emphasis supplied]).

Of course, whatever “endorsement” *Johnson* may have contained, it was not of the reviewed Appellate Division decision upholding the denial of Johnson’s motion seeking suppression of the complainant’s showup identification. In reversing that decision, necessarily upon the ground that it was not consonant with the legal standards governing the admissibility of showup identifications, we noted that “a showup hours after the crime, with both the complainant and the defendant transported to the crime scene, was improper. In those circumstances,” we said, “an appropriately conducted lineup was required” (*id.*). Apart from the circumstance that here, the complainant was transported not to, but away from, the crime scene—a circumstance surely not supportive of any conclusion that the showup was within the *Duuvon* dispensation for showups temporally and spatially near the crime—there is nothing to distinguish the present facts from those we found reversible in *Johnson*. In each case the showup followed the crime by hours and involved an arrested subject who could have, and should have, been placed in a lineup. If the mixed question doctrine was not an impediment to review in *Johnson*, neither can it be here. The police conduct was equally offensive to due process in both cases. The mixed question doctrine is abused when employed, as it is here, transparently, to shield from judicial scrutiny police conduct that is simply illegal.

The majority suggests that, even though the instant identification procedure occurred two hours and five miles distant from the crime, it may be accommodated within the *Duuvon* exception for temporally and spatially proximate showups (see *Duuvon*, 77 NY2d at 544) since the perpetrators left the crime scene in a car and because we have never adopted a separation of two hours as a bright line. But this suggestion takes no account of our case law implicitly holding that resort to a showup hours after a crime and subsequent to the defendant's arrest is not compatible with due process (see *Johnson*, *supra*). Moreover, the notion that significant spatial separation between the crime scene and the showup may be treated as de minimis because perpetrators use a car, particularly when paired with the majority's aversion to temporal limitations, raises the possibility of judicially countenanced showups not merely five miles, but 50 or 100 miles from the place of the crime, long after any legitimate investigatory need for the rapid confirmation or exclusion of an arrestee's status as a criminal suspect by means of a showup must have abated. This is a development plainly not, even remotely, within the contemplation of *Duuvon*, which involved a showup conducted three to four minutes after the crime and around the corner from its place of commission. Even *People v Brisco* (99 NY2d 596 [2003]), until now this Court's furthest temporal extension of the *Duuvon* proximity doctrine, approved a post-crime, pre-showup interval of no more than one hour. Today's decision does not so much extend *Duuvon* as leave it in the dust, turning what was conceived of as a narrow exception limited by the requirements of due process into a rationale for a proliferating, and from this Court's perspective largely unreviewable, reliance upon showups.

Indeed, the Court suggests that a showup is permissible whenever arrestees are suspected of non-"garden-variety" drug offenses significantly implicating public safety. The notion, however, that public safety is well served by routine resort to an inherently suggestive identification procedure, is puzzling. The use of a showup when the conduct of a properly constituted lineup is entirely feasible needlessly and substantially increases the risk of irreparable misidentification and, with it, the hazard that an innocent party will be convicted while the culprit remains at large. Of course, a prompt and immediate showup may be justified when, for example, the only alternative to its conduct is to let go a suspect detained without probable cause or when it is the only means of obtaining an identification from

an ailing or moribund witness. Certainly, there are true exigencies in whose light a lineup would be impracticable and which would render the considerable risks entailed by showups constitutionally tolerable. But, ordinarily, there can be no cognizable exigency premised, as the majority now posits, on the possibility that a party already arrested may *not* have committed an offense other than the one for which he or she has been taken into custody. If there is a question as to whether an arrestee may be identified as the perpetrator of an offense—either the one for which he has been arrested or some other—due process dictates that the inquiry must be satisfied where at all feasible by means of a procedure that is not inherently suggestive. There will, presumably, be few situations in which an arrestee necessarily bound for the station house to be booked, as the present defendants were, could not be placed in a lineup. The People, in any event, made no showing that conducting an appropriate lineup would have been unduly burdensome (*see Riley*, 70 NY2d at 530).

Inasmuch as this highly suggestive showup was not a constitutionally permissible surrogate for a fairly constituted lineup identification procedure, I would reverse the appealed order, grant defendants' omnibus motion to the extent of suppressing the showup identifications, and remand for a new trial, to be preceded by an independent source hearing (*see Burts*, 78 NY2d at 23).

Even if a reversal were not required in consequence of the illegal showup, I believe that it would be by reason of trial counsel's inexplicable failure to raise the statutory affirmative defense to first-degree robbery.

While trial counsel vigorously litigated the question of whether the complainant had correctly identified defendants, realistically there was, following the denial of defendants' suppression motion, little chance of an acquittal premised on misidentification. The discovery of the complainant's stolen driver's licence, credit cards and other identification in the vehicle occupied by defendants at the time of their apprehension was not plausibly explicable except by the hypothesis that those items had been placed there by someone involved with the robbery or the robbers; it was extremely powerful confirmation of the accuracy of the complainant's identifications. On the other hand, there did exist an entirely viable defense to the indictment's top

count—one expressly provided for in the first-degree robbery statute under which defendants were charged and which, if successfully interposed, would, as the majority explains (majority op at 398), have significantly reduced defendants' penal exposure.

As is now conceded, the BB gun allegedly brandished by defendant Howard during the robbery is not a "firearm" within the meaning of Penal Law § 160.15 (4), but rather an "imitation pistol" (see e.g. *People v Wilson*, 283 AD2d 339, 340 [1st Dept 2001]). Penal Law § 160.15 (4) specifically provides that "it is an affirmative defense [to first-degree robbery predicated upon the display of a firearm] that such pistol, revolver, rifle, shotgun, machine gun or other firearm *was not a loaded weapon from which a shot, readily capable of producing death or other serious physical injury, could be discharged*" (emphasis supplied).

Even if there had been a viable alternative factual theory to the BB gun display to support the indictment's first-degree robbery count, it is clear that that theory was far from ironclad. We have held that, to be a sufficient predicate for a first-degree robbery conviction, a firearm display must be reasonably perceived as such by the victim (*People v Baskerville*, 60 NY2d 374, 381 [1983]). Here, the complainant said that he could not tell whether the object held to his back was a gun or something else. While perhaps the inference that the object appeared to the complainant to be a gun remained available to the jury nonetheless, it was hardly compelling. The salient point is that, even if, as the Appellate Division held in the alternative, there was sufficient evidence to support the first-degree robbery conviction based on the back poke attributed to defendant Stanley (92 AD3d 176, 179 [2012]), there remains a reasonable probability that defendants would not have been convicted of first-degree robbery if defense counsel had only interposed the defense that literally stared out at them from the statute under which their clients were charged in the indictment's top count.

Moreover, the Appellate Division's evident assumption that the verdict was in fact alternatively premised on Stanley's "display" of the object poked in Lopez's back (see *id.*)—an assumption now evidently shared by the majority—was completely unwarranted. There is no ground to suppose that the jury's verdict was so founded. So far as the jury knew, or could have known given the trial court's charge, which made no mention of the section 160.15 (4) affirmative defense, the factual theory nearly exclusively stressed at trial—that the BB gun was displayed—remained entirely viable. The overwhelming likelihood

is that, if there was a unanimous verdict at all as to the display element, it was premised on the brandishing of the imitation gun—the factual theory that the affirmative defense would have nixed—and not the object stuck in Lopez’s back. But, to the extent that it may not have been, that raises more problems than it solves for the defense of this representational effort mounted by the majority. This is because the viability of an alternative factual theory upon which the jury could have premised their verdict casts into question whether the general verdict was unanimous. In the absence of any assertion of the affirmative defense, there was evidence to support a verdict on both the BB gun display theory and the back poke theory—or so the majority says. It is thus impossible to avoid the conclusion that the general verdict was duplicitous (*see People v Martinez*, 83 NY2d 26, 37 [1993]), and the majority conspicuously makes no effort to do so.

Contrary to the Appellate Division’s suggestion, now embraced by the majority, there was no conceivable strategic rationale for counsel’s failure to interpose the defense. At the very least, raising the defense would have succeeded in limiting the factual theory upon which the first-degree conviction was put to the jury, and in so doing avoided the possibility, which now cannot be ruled out, that the jury’s general verdict was not unanimous as to the factual ground for convicting on the top count. Moreover, moving for dismissal of the top count based on the statutory affirmative defense, as made out by the People’s proof, would not in any way have impaired the trial strategy of casting doubt upon the victim’s inculcating identifications. And, while the People defend counsel’s purported election to present an all or nothing defense, or, as the majority puts it, to “go for broke,” going for broke was never an option. It was not as if eliminating the top count or reducing the likelihood of a conviction on that count would have operated to make a not guilty verdict more likely; convicting for second-degree robbery (the second submitted count) was an option the jury would have had in any event. Of course, interposition of the defense would predictably have led to the submission of robbery in the second degree on a display theory, but a conviction of robbery in the second degree would undoubtedly have been a significantly better outcome for defendants than one for robbery in the first degree.

The inclusion of the affirmative defense in Penal Law § 160.15 (4) is all that distinguishes first-degree robbery based upon the display of an apparent firearm from second-degree robbery

based on the display of an apparent firearm (Penal Law § 160.10 [2] [b]). The legislature then has, for all practical purposes, left it, in the end, to defense counsel to assure that a client is not prosecuted excessively for a robbery involving the display of an imitation gun. The reasonable professional expectation reflected in the statute must be that counsel will interpose the defense when there is a basis to do so, thus giving effect to the statutory scheme's contemplated gradation in penal treatment. Counsel's failure to raise the defense was in the present legal and factual context a serious and inexplicable departure from prevailing, and indeed legislatively assumed, standards of professional practice. And, it is at least reasonably probable that had the defense been raised the outcome of the trial would have been significantly less adverse to defendants (*see Strickland v Washington*, 466 US 668, 694 [1984]). Indeed, raising the affirmative defense to first-degree robbery, which, with respect to the BB gun display, was entirely made out by the People's proof, was likely the single most obvious and efficacious act of advocacy counsel could have performed for clients whose prospects of outright acquittal by the time of trial were, dispassionately viewed, exceedingly dim. It is true that what is fundamentally at issue is one error, and the proper focus in evaluating a claim of ineffective representation is upon the total representational effort. Nonetheless, we have recognized that a single clear-cut error may be profoundly prejudicial and thus itself a sufficient ground for an ineffective assistance claim (*People v Turner*, 5 NY3d 476 [2005]). Here, the failure of counsel to interpose the obvious and plainly meritorious affirmative defense more than likely resulted in an insufficiently supported and/or non-unanimous verdict. On this account as well, then, there should be a reversal and a new trial.

ABDUS-SALAAM, J. (dissenting). Like the majority, I conclude that defendants received the effective assistance of counsel. Defense counsels reasonably declined to file a motion to dismiss the first-degree robbery charges, on the ground that the BB gun held by one of the robbers did not satisfy the display element of first-degree robbery, because such a motion would have failed insofar as the object pushed against the victim's back could have been perceived as a firearm, thus rendering the evidence of the display element legally sufficient (*see* Penal Law § 160.15 [4]; *People v Baskerville*, 60 NY2d 374, 382 [1983]). By forgoing unavailing tactics and attacking the victim's identification of their clients as the robbers, counsels provided defendants with a

competent “go for broke” defense, which, if credited, would have resulted in their acquittal on all the robbery and larceny charges. Therefore, counsels’ performance, “viewed in totality and as of the time of the representation,” provided defendants with meaningful representation (*see People v Baldi*, 54 NY2d 137, 147 [1981]).

Nonetheless, I dissent from the majority’s decision to uphold the showup identification of defendants. As Chief Judge Lippman explains in detail in his well-reasoned dissent (*see* dissenting op at 404-406), the showup was plainly unlawful under our decision in *People v Johnson* (81 NY2d 828 [1993]), wherein we invalidated a showup as a matter of law on a record that is not materially distinguishable from the one presented here (*see id.* at 829-831). Thus, as the Chief Judge rightly observes, “[i]f the mixed question doctrine was not an impediment to review in *Johnson*, neither can it be here,” and the showup in this case was “simply illegal” (dissenting op at 405).

The majority insists that the mixed question doctrine insulates the showup from our review because “*reasonable minds may differ as to the inference to be drawn*” from these facts (majority op at 403). However, even accepting the entirety of the hearing court’s factual findings, none of the inferences that reasonably may be drawn from those settled facts can support the conclusion that this showup was lawful. Specifically, the hearing court found that, prior to the showup, the arresting officers ceased their immediate canvassing for suspects, returned to their routine patrol and then arrested defendants on drug charges about two hours after the crime and five miles away from the scene. About 15 minutes *after* the arrest, the officers conducted the showup.

From these facts, one simply cannot infer that the police conducted the showup in “one unbroken chain of events—crime, escape, pursuit, apprehension and identifications” (*People v Duuvon*, 77 NY2d 541, 544-545 [1991]), that they were responding to “exigent circumstances requir[ing] immediate identification” (*People v Riley*, 70 NY2d 523, 529 [1987]), or that they otherwise conducted a showup of a “prompt and immediate nature” (*Johnson*, 81 NY2d at 831). Rather, the most charitable inference available is that, within hours of the crime, the officers came upon two men they reasonably believed were involved in the robbery, and after arresting defendants on charges for which they easily could have been held until a court-ordered lineup could be arranged, the officers decided to expedite their

investigation using an inherently suggestive showup identification. Although the showup was certainly convenient and may have been helpful in the broader police investigation, we have never held that such factors can justify a showup absent exigent circumstances or a closer spatial and temporal proximity to the crime.

In addition, the majority's opinion erodes the principles underlying the limited judicial acceptance of showups. In that regard, showups are permitted in rare circumstances based on a finely-tuned balance of competing interests for due process purposes. The substantial infringement on the defendant's liberty interest in avoiding a wrongful prosecution based on misidentification is authorized only where the showup's close proximity to the crime renders it highly reliable or some urgent circumstance necessitates an especially prompt determination of the defendant's involvement in the crime, which serves strong state interests in promptly capturing the guilty and preventing the arrest of the innocent (*see Stovall v Denno*, 388 US 293, 301-302 [1967]; *Duuvon*, 77 NY2d at 545; *see also Simmons v United States*, 390 US 377, 384 [1968]). In other words, we tolerate, rather than routinely approve, showups where uncommonly compelling interests outweigh the individual's presumptive entitlement to be free from suggestive police arranged identification procedures.

In upholding a showup that is not founded on any such compelling need, the majority unmoors the limited allowance of showups from its original constitutional and jurisprudential underpinnings. Thus, the majority risks transforming what previously had been thought a necessary evil into a routinely sanctioned and likely preferred tool of law enforcement. To avoid that outcome, I would reverse the order of the Appellate Division, grant suppression of the showup identification, and remit the matter to Supreme Court for an independent source hearing and new trial.

Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judge RIVERA concurs; Judge ABDUS-SALAAM dissents and votes to reverse in a separate opinion.

In each case: Order affirmed.

[4 NE3d 336, 981 NYS2d 326]

EUJOY REALTY CORP., Respondent, v VAN WAGNER COMMUNICATIONS, LLC, Appellant.

Argued October 8, 2013; decided November 26, 2013

SUMMARY

APPEAL from a judgment of the Supreme Court, New York County, entered October 9, 2012, upon the parties' stipulation to an award of attorneys' fees. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 18, 2010. The Appellate Division, with two Justices dissenting, had (1) reversed, on the law, an order of the Supreme Court, New York County (Richard F. Braun, J.; op 2008 NY Slip Op 33675[U] [2008]), which had (a) denied plaintiff's motion for summary judgment, and (b) granted that part of defendant's cross motion which was for summary judgment dismissing the complaint; (2) granted plaintiff's motion for summary judgment; (3) denied defendant's motion in its entirety; and (4) remanded the matter for an assessment of counsel fees.

Eujoy Realty Corp. v Van Wagner Communications, LLC, 73 AD3d 546, affirmed.

HEADNOTES

Appeal — Preservation of Issue for Review

1. In an action by plaintiff landlord to recover the full annual basic rent for calendar year 2007 from defendant tenant, which had terminated the parties' billboard lease on January 8, 2007, the principal issues of law decided by the Appellate Division (in addition to the question of preservation itself)—i.e., whether defendant was indebted to plaintiff for the annual basic rent for 2007 under the terms of the lease and, relatedly, whether the lease's payment terms were modified by an oral agreement—were preserved for appellate review. In addition to its theory that the check for the basic rent was improperly stopped, plaintiff also alleged in the complaint that the annual basic rent for 2007 was due in advance on January 1, 2007 and fleshed out that allegation in its sole memorandum of law at Supreme Court. Even if plaintiff had, in fact, presented a new legal argument about the lease to Supreme Court in a reply brief, neither that court nor the Appellate Division would have been prohibited from considering it.

Contracts — Leases — Obligation to Pay Rent in Advance

2. Plaintiff landlord was entitled to recover the full annual basic rent for calendar year 2007 from defendant tenant, which had terminated the parties' billboard lease on January 8, 2007, as the terms of the lease obligated defendant to pay the full annual basic rent for 2007 to plaintiff on January 1, 2007, and the parties did not agree in the lease to apportion rent posttermination

except in other specified circumstances. The terms of schedule A of the lease spelled out that the full annual rent for each rental period was to be paid “in advance” on January 1 of each of the 15 years of the lease’s term, excluding the first year. The rent was described as “annual basic rent,” which reinforced that the parties intended for rent to be paid in annual installments. The only other reference in the lease to the amount and periodicity of the rent directed that “the annual rental rate” is “set forth in Schedule A” to the lease. Paragraph C of schedule A explicitly stated that defendant was not entitled to “the return” of any basic rent “paid in advance,” even if the lease was terminated prior to expiration of a rental period. Although defendant never fully paid the rent due on January 1 because it stopped payment of the check it sent in early January for the full amount of the 2007 rent, the basic rent for 2007 became due on the date assigned in the lease, January 1st of that year. Paragraph C envisaged apportionment of rent, but only where the lease was prematurely ended for specified reasons that did not include the permissible reason why defendant terminated the lease—new construction had substantially obstructed the view of the billboard from the nearby highway. Accordingly, defendant accrued a debt for the annual basic rent under the terms of the lease when it remained in possession of the billboard after January 1, 2007.

Contracts — Leases — Oral Modification

3. In an action by plaintiff landlord to recover the full annual basic rent for calendar year 2007 from defendant tenant, which had terminated the parties’ billboard lease on January 8, 2007, the terms of the lease that obligated defendant to pay the full annual basic rent for 2007 to plaintiff on January 1, 2007, were not modified by an oral agreement. Defendant alleged that the parties had orally agreed in late 2006 to modify payment terms and that plaintiff had “accepted” the lease termination along with a check for the prorated rent covering January 1 through 8, 2007. The lease, however, included a standard merger and “no oral modification” clause, the enforceability of which is codified in General Obligations Law § 15-301. A party can overcome such a clause by demonstrating either that the oral modification has in fact been acted upon to completion; or, where there is only partial performance, that the partial performance is unequivocally referable to the alleged oral modification. In addition, once a party to a written agreement has induced another’s significant and substantial reliance upon an oral modification, the first party may be estopped from invoking the statute to bar proof of that oral modification. Defendant’s payment of prorated rent in lieu of the annual basic rent was just as demonstrative of breach of contract as of completion of the purported oral modification. General Obligations Law § 15-301 becomes meaningless if a tenant’s nonpayment of the rent required by a lease is sufficient to prove an oral modification of payment terms, or estop the landlord from recovering the shortfall. Defendant does not escape section 15-301 or the “no oral modification” provision of the lease by simply saying it fully rather than partially performed an oral modification when making the prorated payment.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618; AM JUR 2d, Contracts § 514; AM JUR 2d, Landlord and Tenant §§ 71, 204, 207.

CALAMARI AND PERILLO, *CONTRACTS* (5th ed) § 19.37.
 CARMODY-WAIT 2d, Appeals in General § 70:94; CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:93, 71:111.
 MCKINNEY'S, General Obligations Law § 15-301.
 NY JUR 2d, Appellate Review §§ 563, 601, 604, 605; NY JUR 2d, Buildings, Zoning, and Land Controls § 314; NY JUR 2d, Contracts §§ 386, 486; NY JUR 2d, Landlord and Tenant §§ 345, 382, 919.
 WILLISTON ON *CONTRACTS* (4th ed) §§ 29:41, 29:42.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Billboards and Outdoor Advertising; Contracts; Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Scheichet & Davis, P.C., New York City (Victor P. Muskin and Khine Z. Aung of counsel), for appellant. I. Respondent's unpleaded claim for posttermination rent should be dismissed. (1251 Ams. Assoc. II, *L.P. v Rock 49th Rest. Corp.*, 13 Misc 3d 142[A], 2006 NY Slip Op 52282[U]; *Matter of Bombay Realty Corp. v Magna Carta*, 100 NY2d 124; *Ronnen v Ajax Elec. Motor Corp.*, 88 NY2d 582; *Herter v Mullen*, 159 NY 28; *Matter of Ryan*, 294 NY 85; *In re Roth & Appel*, 181 F 667; *Cornwell v Sanford*, 222 NY 248; *Banque Worms v BankAmerica Intl.*, 77 NY2d 362; *Bank of New York v Spiro*, 267 AD2d 339; *Werner v Padula*, 49 App Div 135.) II. Respondent's claim is barred by General Obligations Law § 7-103. (*Matter of People v Booke*, 58 AD2d 142; *Matter of Perfection Tech. Servs. Press [Cherno-Dalecar Realty Corp.]*, 22 AD2d 352, 18 NY2d 644.) III. Respondent's "due date" argument should not have been entertained. (*Lumbermens Mut. Cas. Co. v Morse Shoe Co.*, 218 AD2d 624; *Ritt v Lenox Hill Hosp.*, 182 AD2d 560.) IV. The majority's grant of summary judgment for respondent improperly adjudicated triable issues of fact under appellant's alternative claims. (*Rose v Spa Realty Assoc.*, 42 NY2d 338; *Joseph P. Day Realty Corp. v Lawrence Assoc.*, 270 AD2d 140; *Holt v Feigenbaum*, 52 NY2d 291; *Triple Cities Constr. Co. v Maryland*

Cas. Co., 4 NY2d 443; *Stendig, Inc. v Thom Rock Realty Co.*, 163 AD2d 46; *Riverside Research Inst. v KMGa, Inc.*, 108 AD2d 365; *Esteve v Abad*, 271 App Div 725; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395.)

Schnauffer & Metis, LLP, Hartsdale (*John C. Schnauffer* and *Peter Metis* of counsel), for respondent. I. No new theory of recovery was advanced by landlord before the motion court. (*Lumbermens Mut. Cas. Co. v Morse Shoe Co.*, 218 AD2d 624.) II. Tenant is obligated to pay the annual basic rent for 2007, notwithstanding termination of the sign lease on January 8, 2007. (*Madison Ave. Leasehold, LLC v Madison Bentley Assoc. LLC*, 8 NY3d 59; *34 W. 34th St. Corp. v Nehama Realty Corp.*, 7 Misc 2d 532; *Giles v Comstock*, 4 NY 270; *Matter of Ryan*, 294 NY 85; *Bottlers Seal Co. v Rainey*, 225 NY 369; *Werner v Padula*, 49 App Div 135, 167 NY 611; *Smathers v Standard Oil Co.*, 199 App Div 368, 233 NY 617; *Goldsmith v Schroeder*, 93 App Div 206; *Sperry v Miller*, 8 NY 336; *1251 Ams. Assoc. II, L.P. v Rock 49th Rest. Corp.*, 13 Misc 3d 142[A], 2006 NY Slip Op 52282[U].) III. Tenant was not entitled to a notice of default under article 43 of the lease before landlord could sue for the rent and the termination of the lease did not extinguish landlord's right to sue for the 2007 rent. (*219 Broadway Corp. v Alexander's, Inc.*, 46 NY2d 506; *Geraci v Jenrette*, 41 NY2d 660; *Sperry v Miller*, 8 NY 336; *Aronson v Markulin*, 39 Misc 2d 273; *Petrelli v Kagel*, 37 Misc 2d 246; *Hampton v Flessner*, 133 Misc 705.) IV. General Obligations Law § 7-103 does not apply to an annual installment of rent which the tenant is obligated to pay in advance on the first day of the year. (*34 W. 34th St. Corp. v Nehama Realty Corp.*, 7 Misc 2d 532.) V. Tenant's position on the no waiver clause of the lease is incorrect. (*Jeppaul Garage Corp. v Presbyterian Hosp. in City of N.Y.*, 61 NY2d 442; *Excel Graphics Tech. v CFG/AGSCB 75 Ninth Ave.*, 1 AD3d 65; *Monarch Info. Servs. v 161 William Assoc.*, 103 AD2d 703; *Dennis & Jimmy's Food Corp. v Milton Co.*, 99 AD2d 477, 62 NY2d 613; *Renali Realty Group 3 v Robbins MBW Corp.*, 259 AD2d 682; *Pollack v Green Constr. Corp.*, 40 AD2d 996, 32 NY2d 720.) VI. Tenant can neither factually nor as a matter of law establish an oral agreement which modifies or amends the lease or creates an estoppel. (*Joseph P. Day Realty Corp. v Lawrence Assoc.*, 270 AD2d 140; *Rose v Spa Realty Assoc.*, 42 NY2d 338.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to interpret a lease's payment terms. We conclude that the pertinent lease obligated defendant tenant

Van Wagner Communications, LLC (Van Wagner) to pay the full annual basic rent for calendar year 2007 to plaintiff landlord Eujoy Realty Corp. (Eujoy) on January 1, 2007. Although Van Wagner terminated the lease a week later, the parties did not agree in the lease to apportion rent posttermination except in specified circumstances not relevant here; and Van Wagner’s claim that the parties agreed orally to such apportionment is barred by the lease’s “no oral modification” clause.

I

Eujoy owns a building in Maspeth, Queens, with a steel frame structure for advertisements atop the roof. Van Wagner is in the outdoor advertising business in the New York City region and other major metropolitan areas in the United States. On October 18, 2000, Van Wagner leased Eujoy’s billboard for a period of 15 years, commencing December 1, 2000 and ending September 30, 2015. Schedule A of the lease,¹ which details the amount of “basic rent” for each year during the lease’s term, states as relevant to this appeal that

“[t]he basic rent . . . shall be in the following amounts and paid as follows:

“A. *Basic Rent* . . .

“*Lease Year 7*—The annual basic rent for the period January 1, 2007 through December 31, 2007 shall be \$96,243.00 which [Van Wagner] shall pay in advance on January 1, 2007 . . .

“C. *No Return of Basic Rent* . . .

“Should this Lease be terminated for any reason prior to the date of its expiration, [Van Wagner] *shall not be entitled to the return of . . . any basic rent paid in advance and covering a period beyond the date on which the Lease is terminated*, provided, however, that . . . should this Lease be terminated pursuant to either Article 9 [fire or casualty], 10 [condemnation] or 50 [the enactment of any law making the billboard’s use illegal], the basic rent

1. The parties created their agreement by customizing the standard form lease copyrighted by the Real Estate Board of New York, Inc.

shall be paid through the date of termination and basic rent paid on account of any period subsequent to termination of the Lease shall be returned to [Van Wagner]" (emphasis added).

Van Wagner considered Eujoy's billboard desirable for advertising because of its visibility to passing traffic on the nearby Long Island Expressway (LIE). The parties therefore executed article 53, a second rider to the agreement, to give Van Wagner the right to terminate the lease if this view was ever "substantially obstruct[ed]" by "the erection of a new building or the increase in height of a building between the location of [the billboard] and the [LIE]."

In early January 2007, Van Wagner forwarded Eujoy a check for \$96,243, the annual basic rent for the year; the check was dated January 2, 2007. Van Wagner quickly stopped payment, however, later claiming that "due to an internal oversight," this check was "accidentally" and "erroneously" issued. Then on January 16, 2007, Van Wagner's executive vice-president wrote a letter to Eujoy's co-owner to confirm his conversation with her brother, another co-owner, of January 10, 2007 advising him that Van Wagner had terminated the lease, effective January 8, 2007, pursuant to article 53. A check for \$2,109.43, representing rent for the period of January 1 through January 8, 2007, was enclosed with this letter.

By complaint dated October 17, 2007, Eujoy sought, in a first cause of action, the balance of the basic rent for 2007 (\$96,243.00 - \$2,109.43 = \$94,133.57); and, in a second cause of action, asked for reasonable legal fees and costs incurred because of Van Wagner's default on its alleged payment obligation under the lease. Eujoy asserted that schedule A required Van Wagner to pay the basic rent for 2007 in advance on January 1, 2007. In its answer dated November 16, 2007, Van Wagner advanced several affirmative defenses. These included assertions that the lease, and therefore Van Wagner's obligation to pay rent, terminated as of January 8, 2007; and that it properly stopped payment, and the lease did not entitle Eujoy to rent not already received for a period after a valid termination.

On December 19, 2007, Eujoy moved for summary judgment for the balance of the basic rent for 2007, and a hearing to assess attorneys' fees. Eujoy relied on the lease, arguing that "[t]he parties did not stipulate to apportion rent paid in advance and for the period following termination of [the lease] pursuant

to Article 53’; and that article 19 of the lease entitled it to reimbursement of its reasonable attorneys’ fees and costs.²

On January 31, 2008, Van Wagner cross-moved for summary judgment to dismiss the complaint “based on the lease,” or, alternatively, for permission to amend its answer to add an affirmative defense of estoppel. In support of the cross motion, Van Wagner’s executive vice-president submitted an affidavit in which he claimed that sometime in 2006 it became apparent that construction then underway would eventually block sight of the billboard from the LIE; and that he discussed this development several times by telephone with Eujoy’s co-owner late in the year, informing her that Van Wagner would “soon be compelled” to invoke article 53 to terminate the lease. Further, the view of the billboard from the LIE was substantially impaired long before 2007 and Van Wagner, which had already “prepared” an alternative location, might have terminated the lease much earlier than it eventually did. Van Wagner, however, “agreed [to] keep the advertisements posted . . . , and thus pay rent to [Eujoy], for as long as [Van Wagner] could collect revenues from [its] customer,” out of “consideration of the cordial relationship [Van Wagner] had maintained with [Eujoy] over the years, and in order to keep [Eujoy’s] stream of rent revenues flowing for as long as possible.” He added that because Eujoy “accepted the benefits of [Van Wagner’s] extended use of the [billboard] through January 8, 2007 and agreed that the Lease would terminate as of that date . . . , it should not be entitled to collect rent for any subsequent period”; and if Van Wagner had “known that [Eujoy] would assert the claim it makes in this action, [Van Wagner] never would have extended [its] use of the [billboard] into 2007.”

In sum, Van Wagner suggested that Eujoy agreed to prorate rent in exchange for Van Wagner’s commitment not to invoke article 53 to terminate the lease in late 2006, as it was entitled to do. In response, Eujoy’s co-owner submitted an affidavit

2. Article 19, part of the form lease, states that
“[i]f Owner, . . . in connection with any default by Tenant in the covenant to pay rent hereunder, makes any expenditures or incurs any obligations for the payment of money, including but not limited to attorney’s fees, in instituting, prosecuting or defending any action or proceedings, then Tenant will reimburse Owner for such sums so paid or obligations incurred with interest and costs If Tenant’s lease term shall have expired at the time of making of such expenditures or incurring such obligations, such sums shall be recoverable by Owner as damages.”

denying the conversations described by Van Wagner's executive vice-president ever took place. She added that Van Wagner was not doing Eujoy any favors by refraining from terminating the lease in late 2006 since Van Wagner had already paid the annual basic rent for 2006 at the beginning of January of that year.

But Van Wagner's motion papers focused on the stop payment order in relation to paragraph C of schedule A. That is, Van Wagner maintained that although this provision "means that rent *paid in advance* may not be recovered upon termination of the lease unless the termination is on a ground specified in that clause," here no rent was, in fact, paid in advance because Van Wagner's stop payment order prevented this from happening. Van Wagner also rejected what it characterized as Eujoy's "due date theory," a "fallback argument" that the stop payment order was "irrelevant" because "by virtue of [Van Wagner's] continued occupancy on January 1, 2007, [Eujoy] became entitled to rent for the entire year." According to Van Wagner, Eujoy's reasoning was flawed since, in light of the stop payment order, Van Wagner did not pay any post-termination rent for Eujoy to retain and, in any event, the parties agreed to and acted upon the alternative payment arrangements described by Van Wagner's executive vice-president.

In an opinion dated July 31, 2008, Supreme Court denied Eujoy's motion and granted Van Wagner's cross motion to dismiss the complaint. The court accepted Van Wagner's interpretation of the lease in toto, concluding that although "[p]aragraph C of schedule A gave [Eujoy] the right to keep any basic rent that was paid in advance pursuant to paragraph A for the subject lease year 7," Van Wagner "*did not pay any such rent because [it] stopped payment on the rent check before [Eujoy] cashed it*" (2008 NY Slip Op 33675[U], *1 [Sup Ct, NY County 2008] [emphasis added]). Eujoy appealed.

In May 2010, the Appellate Division, with two Justices dissenting, reversed Supreme Court's order; granted Eujoy's motion for summary judgment; denied Van Wagner's cross motion in its entirety; and remanded the matter for determination of attorneys' fees (73 AD3d 546 [1st Dept 2010]). The court read schedule A of the lease to require Van Wagner to pay Eujoy the basic rent for 2007 in advance, on January 1st of that year, and did not credit Van Wagner's claim that this contractual obligation was altered by an oral agreement. In the latter regard, the court observed that

“the lease includes ‘no oral modification’ and ‘no waiver’ clauses, and the record contains no evidence of partial performance by [Van Wagner] that is ‘unequivocally referable to the alleged oral agreement’ (*Teri-Nichols Inst. Food Merchants, LLC v Elk Horn Holding Corp.*, 64 AD3d 424, 425 [2009], *lv dismissed* 13 NY3d 904 [2009]). Rather, [Van Wagner] continued to rent the structure as per the lease. [Van Wagner’s] unilateral act of terminating the lease . . . and then deeming its rent obligation to be limited to a pro rata amount does not establish a modification, ‘since, if such unilateral conduct were sufficient, the requirement that modifications be in a writing signed by the landlord would be rendered a nullity’ (*Joseph P. Day Realty Corp. v Lawrence Assoc.*, 270 AD2d 140, 142 [2000])” (73 AD3d at 548).

Further, Van Wagner did “not demonstrate that principles of equitable estoppel are applicable . . . , since [Eujoy] engaged in no conduct that was ‘otherwise . . . [in]compatible with the agreement as written’ ” (*id.*, quoting *Rose v Spa Realty Assoc.*, 42 NY2d 338, 344 [1977]).

The dissenters took the position that Eujoy had only argued to the motion court that Van Wagner’s check for the basic rent for 2007 was “improperly stopped,” and did not rely “upon the terms of the lease itself” (*id.* at 551 [Tom, J.P., and Freedman, J., dissenting]). Putting aside considerations of preservation, the dissenters concluded on the merits that General Obligations Law § 7-103, which prohibits the commingling by a landlord of funds deposited by a tenant as security or prepaid rent, would prevent Eujoy’s recovery, and that Eujoy violated the lease’s default provisions by failing to give Van Wagner notice that it was in breach.³

On September 14, 2010, we dismissed Van Wagner’s motion for leave to appeal on the ground of nonfinality (*see* 15 NY3d 819 [2010]). Judgment was entered in Supreme Court on October 9, 2012 upon the parties’ stipulation to an award of attorneys’ fees. As a result, the appeal comes to us as of right because of the two-Justice dissent (*see* CPLR 5601 [a]), bringing the Appellate Division’s order up for our review. We now affirm.

3. Van Wagner did not raise General Obligations Law § 7-103 or the lease’s default provisions at Supreme Court.

IIPreservation

Van Wagner contends (and the dissenters in the Appellate Division agreed) that Eujoy's

“complaint . . . alleged merely that [Van Wagner's] delivery of a check for the full year's rent, even if accidental, and even though stopped, amounted to payment of the rent that [Van Wagner] recovered by virtue of the stop [payment] order. The complaint alleged that the stop payment order thus amounted to recovery of advance rent in violation of the ‘no refund’ clause in [paragraph C of schedule A of] the lease.”

But Eujoy never relied exclusively on this theory of recovery. Notably, paragraph five of its complaint alleges as follows: “5. The annual basic rent *under the Lease* for the period January 1, 2007 through December 31, 2007 was \$96,243.00 *which [Van Wagner] was obligated to pay in advance on January 1, 2007*” (emphases added). Eujoy fleshed out this allegation in its sole memorandum of law at Supreme Court, which both replied to Van Wagner's opposition to its motion for summary judgment, and opposed Van Wagner's cross motion for summary judgment. Indeed, Point II of Eujoy's brief is captioned “The Lease Obligated [Van Wagner] to Pay the Annual Basic Rent for 2007 in Advance on January 1, 2007.” Van Wagner countered in a reply memorandum of law in further support of its cross motion.

[1] In short, while Van Wagner insists that Eujoy's “due date theory” of the lease was not pleaded, this is simply not the case. And even if Eujoy had, in fact, presented a new legal argument about the lease to Supreme Court in a reply brief, neither that court nor the Appellate Division would have been prohibited from considering it. In the cases relied upon by Van Wagner to say otherwise, the First Department, in effect, declined to endorse sloppy and potentially prejudicial motion practice by entertaining facts presented for the first time in a reply *affidavit* “to which the [nonmoving party] had no right to reply without court permission” (*Lazar v Nico Indus.*, 128 AD2d 408, 410 [1st Dept 1987]; *see also Ritt v Lenox Hill Hosp.*, 182 AD2d 560, 562 [1st Dept 1992] [it does not “avail (the moving party) to shift to (the nonmoving party), by way of reply affidavit, the burden to demonstrate a material issue of fact at a time when

(the nonmoving party) has neither the obligation nor the opportunity to respond absent express leave of court”]; *Dannasch v Bifulco*, 184 AD2d 415 [1st Dept 1992] [same]; *Lumbermens Mut. Cas. Co. v Morse Shoe Co.*, 218 AD2d 624 [1st Dept 1995] [same]; *Azzopardi v American Blower Corp.*, 192 AD2d 453, 453-454 [1st Dept 1993] [the plaintiffs’ failure to present the facts adduced on the motion to renew “in connection with the original motion (for summary judgment) was clearly justified since they had not had an opportunity to respond to a claim raised for the first time in the reply papers”]).

The principal issues of law decided by the Appellate Division (in addition to the question of preservation itself)—i.e., whether Van Wagner is indebted to Eujoy for the annual basic rent for 2007 under the terms of the lease and, relatedly, whether the lease’s payment terms were modified by an oral agreement—are preserved for appellate review. This is critical because, as we have elsewhere explained, when an issue is not preserved in Supreme Court, the Appellate Division’s consideration of it “must be deemed an exercise of its interest[] of justice jurisdiction,” and “[w]e have no power to review either the Appellate Division’s exercise of its discretion to reach [an unpreserved] issue, or the issue itself” (*Hecker v State of New York*, 20 NY3d 1087, 1087 [2013]).⁴

Rent Paid in Advance

Under the common law, rent is consideration for the right of use and possession of the leased property that a landlord does not earn until the end of the rental period (*In re Roth & Appel*, 181 F 667, 669 [2d Cir 1910]; 1 Friedman & Randolph, Friedman on Leases § 5:1.1 [5th ed 2013]). This presumption may be altered, however, by the express terms of the parties’ lease such that rent is to be paid at the beginning of the rental period rather than the end (see *Giles v Comstock*, 4 NY 270, 272 [1850]; *Chemical Bank v Evans & Hughes Realty*, 205 AD2d 573, 574 [2d Dept 1994]; 1 Robert F. Dolan, Rasch’s Landlord and Tenant—Summary Proceedings § 12:23 [4th ed 1998]; 1 Friedman

4. Although Van Wagner clearly assumes that it would prevail if the “due date theory” were, in fact, unpreserved, this is not necessarily (or perhaps even likely) the case. If we agreed with Van Wagner on this score, we would remit the matter to the Appellate Division (see *Matter of New York State Off. of Victim Servs. v Raucci*, 20 NY3d 1049 [2013]). That Court could then elect to exercise its interest of justice jurisdiction to reach the unpreserved issue and again decide against Van Wagner on the merits. As noted earlier, we would have no power to review these decisions (see *Hecker*).

& Randolph § 5:1.1). When a lease sets a due date for rent, that date is the date on which the tenant's debt accrues (*see* 1 Friedman & Randolph § 5:1.1; *see also* *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573, 578 [1979] ["A covenant to pay rent at a specified time . . . is an essential part of the bargain"]). Rent paid "in advance" (i.e. at the beginning of the term) is unrecoverable if the lease is terminated before the completion of the term, unless the language of the lease directs otherwise (*see* *1251 Ams. Assoc. II, L.P. v Rock 49th Rest. Corp.*, 13 Misc 3d 142[A], 2006 NY Slip Op 52282[U], *1 [App Term 2006]; *Bernstein v Englander*, 25 NYS2d 319, 319 [App Term 1941]; 1 Dolan § 12:23; 1 Friedman & Randolph § 5:1.1).

These rules reflect the strong preference for freedom of contract in the creation of leases, and although it may seem harsh for tenants, the courts assume that the parties have knowingly bargained for the provisions of their agreement. This is especially true in the case of arm's length commercial contracts negotiated by sophisticated and counseled entities (*see* *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]). Courts will give effect to the contract's language and the parties must live with the consequences of their agreement. "If they are dissatisfied . . . , 'the time to say so [is] at the bargaining table' " (*id.*, quoting *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373, 382 [1986]).

[2] Here, the terms of schedule A of the lease spell out that the full annual rent for each rental period is to be paid "in advance" on January 1 of each of the 15 years of the lease's term, excluding the first year. The rent is described as "annual basic rent," which reinforces that the parties intended for rent to be paid in annual installments. The only other reference in the lease to the amount and periodicity of the rent appears in the preamble, which directs that "the annual rental rate" is "set forth in Schedule A" to the lease.

Next, paragraph C of schedule A explicitly states that Van Wagner is not entitled to "the return" of any basic rent "paid in advance," even if the lease is terminated prior to expiration of a rental period. This language embodies the general rules discussed earlier. It is true that Van Wagner never fully paid the rent due on January 1 because it stopped payment of its first check. But that does not change the fact that the basic rent for 2007 became due on the date assigned in the lease, January 1st of that year. Paragraph C envisages apportionment of rent, but only where the lease is prematurely ended for specified

reasons—i.e., pursuant to articles 9 (fire or casualty), 10 (condemnation) or 50 (the enactment of any law making the billboard’s use illegal). Here, though, Van Wagner invoked article 53 to terminate the lease. In sum, Van Wagner accrued a debt for the annual basic rent under the terms of the lease when it remained in possession of the billboard after January 1, 2007, and there is nothing in the law or the language of the agreement that relieves it of that debt.

Alleged Oral Modification of the Lease

Van Wagner urges in the alternative that, however the lease may be interpreted, the parties orally agreed in late 2006 to modify payment terms, as described by its executive vice-president. The lease includes a standard merger and “no oral modification” clause.⁵ The enforceability of such provisions is codified in General Obligations Law § 15-301 (1), which guarantees that any

“written agreement [that] include[s] a proscription against oral modification . . . ‘cannot be changed by an executory agreement unless such executory agreement is in writing and signed by the party against whom enforcement . . . is sought.’ Put otherwise, if the only proof of an alleged agreement to deviate from a written contract is the oral exchanges between the parties, the writing controls. Thus, the authenticity of any amendment is ensured” (*Rose*, 42 NY2d at 343, quoting General Obligations Law § 15-301 [1]).

As we explained in *Rose*, a party can overcome such a clause and enforce an oral modification to a written agreement by demonstrating either that the oral modification “has in fact been acted upon to completion”; or, where there is only partial performance, that “the partial performance [is] unequivocally referable” to the alleged oral modification (42 NY2d at 343; *see also Walter v Hoffman*, 267 NY 365, 368 [1935]; 1 Robert F.

5. Article 21, part of the form lease, states that
“[a]ll understandings and agreements heretofore made between the parties hereto are merged in this contract, which alone fully and completely expresses the agreement between Owner and Tenant and any executory agreement hereafter made shall be ineffective to change, modify, discharge or affect an abandonment of it in whole or in part, unless such executory agreement is in writing and signed by the party against whom enforcement of the change, modification, discharge or abandonment is sought.”

Dolan, Rasch's Landlord and Tenant—Summary Proceedings § 12:17 [4th ed 1998]). This analysis has also been applied to the statute of frauds and its codification at General Obligations Law § 5-703 (see *Messner Vetere Berger McNamee Schmetterer Euro RSCG v Aegis Group*, 93 NY2d 229, 235 [1999]).

Additionally, there is “another qualification to the mandates of section 15-301 [which is] [a]nalytically distinct from the doctrine of partial performance”; namely,

“the principle of equitable estoppel. Once a party to a written agreement has induced another's significant and substantial reliance upon an oral modification, the first party may be estopped from invoking the statute to bar proof of that oral modification. Comparable to the requirement that partial performance be unequivocally referable to the oral modification, so, too, conduct relied upon to establish estoppel must not otherwise be compatible with the agreement as written” (*Rose*, 42 NY2d at 344 [citations omitted]).

When the parties dispute whether an oral agreement has been formed, it is the conduct of the party advocating *for* the oral agreement that is “determinative,” although the conduct of both parties may be relevant (see *Messner*, 93 NY2d at 237-238; see also *Imperator Realty Co. v Tull*, 228 NY 447, 456-457 [1920, Cardozo, J., concurring]). This is because the equity doctrine is designed to prevent a party from inducing full or partial performance from another and then claiming the sanctuary of the statute of frauds or section 15-301 when suit is brought (see *Messner*, 93 NY2d at 237-238).

[3] In this case, Van Wagner depicts the facts as consistent with its claim of a fully performed oral modification because “no sensible businessperson” would have terminated the lease on January 8, 2007 “if liable for a full year's rent as a result of a week's occupancy,” and Eujoy “accepted” the termination along with a check for the prorated rent. As for Eujoy's conduct, article 53 of the lease clearly gave Van Wagner the right to terminate the lease in the event new construction substantially obstructed the view of the billboard from the LIE. Eujoy's acquiescence to termination on this ground was, therefore, compatible with the lease. So, too, Eujoy's acceptance of Van Wagner's check for \$2,109.43 since the lease includes a standard

“no waiver” provision.⁶ As for Van Wagner’s conduct, it might also be said that “no sensible businessperson” would neglect to reduce a lease modification to writing. Regardless, Van Wagner’s payment of prorated rent in lieu of the annual basic rent was just as demonstrative of breach of contract as of completion of the purported oral modification. General Obligations Law § 15-301 becomes meaningless if a tenant’s nonpayment of the rent required by a lease is sufficient to prove an oral modification of payment terms, or estop the landlord from recovering the shortfall (*see Joseph P. Day Realty Corp. v Lawrence Assoc.*, 270 AD2d at 142). And Van Wagner does not escape section 15-301 or the “no oral modification” provision of the lease by simply saying it fully rather than partially performed an oral modification when making the prorated payment.

We have examined Van Wagner’s other arguments and consider them, to the extent preserved, to be unavailing. Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

SMITH, J. (concurring). I join the majority opinion except for its unnecessary restatement of an erroneous preservation rule.

The majority says that if Eujoy’s argument were, as Van Wagner argues, unpreserved, that might benefit not Van Wagner but Eujoy (majority op at 423 n 4). This oddity would result from following a very odd rule—one that, as I have explained elsewhere, is without justification (*see Hecker v State of New York*, 20 NY3d 1087, 1088-1089 [2013, Smith, J., concurring]). I continue to hope that the day will come when the rule is abandoned.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur with Judge READ; Judge SMITH in a separate

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6. Article 25, part of the form lease, states that
“[n]o payment by Tenant or receipt by Owner of a lesser amount than the monthly rent herein stipulated shall be deemed to be other than on account of the earliest stipulated rent, nor shall any endorsement or statement of any check or any letter accompanying any check or payment as rent be deemed an accord and satisfaction, and Owner may accept such check or payment without prejudice to Owner’s right to recover the balance of such rent or pursue any other remedy in this lease provided.”

Van Wagner makes much of the fact that this provision says “monthly” rent. But the preamble defines rent for purposes of the lease only in terms of the categories of rent set out in schedule A; i.e., annual basic rent and “additional rent” totaling \$200,000, to be paid to Eujoy in equal installments of \$100,000 upon execution of the lease and on October 1, 2001.

opinion in which Judge PIGOTT concurs; Judge ABDUS-SALAAM taking no part.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[5 NE3d 5, 982 NYS2d 34]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANDRE
COLLIER, Appellant.

Argued November 13, 2013; decided December 12, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from two orders of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 2, 2010 and January 5, 2012. The Appellate Division order entered December 2, 2010 modified, on the law, an order of the Albany County Court (Thomas A. Breslin, J.), which had denied, without a hearing, defendant's motion pursuant to CPL 440.10 and 440.20 to (1) vacate the judgment convicting him of robbery in the first degree (two counts), and (2) set aside his sentence, as a second felony offender, to consecutive terms of 25 years and 5 years, each to be followed by five years of post-release supervision. The modification consisted of vacating defendant's sentence. The Appellate Division affirmed the order as modified. The Appellate Division order entered January 5, 2012 affirmed a judgment of Albany County Court (Thomas A. Breslin, J.), which had resentenced defendant, following his conviction for robbery in the first degree (two counts), to concurrent terms of 25 years and 10 years, each to be followed by five years of postrelease supervision.

People v Collier, 79 AD3d 1162, affirmed.

People v Collier, 91 AD3d 987, affirmed.

HEADNOTE

Crimes — Sentence — Promised Sentence in Plea Agreement — Resentencing to Correct Illegal Sentence

In a criminal prosecution where defendant challenged consecutive determinate sentences of 25 years and 5 years of imprisonment imposed following his guilty plea to two counts of first-degree robbery, contending that his five-year sentence was illegal since, as a second felony offender, his minimum legal sentence for first-degree robbery was 10 years, the trial judge's modification of defendant's sentence to concurrent determinate prison terms of 25 years and 10 years was proper. A guilty plea induced by an unfulfilled promise either must be vacated or the promise honored. The choice rests in the discretion of the sentencing court. When a defendant possesses sufficient information about his promised sentence to make an informed choice at the time of plea allocution, the guilty plea is voluntary. Specific performance of a plea bargain does not foreclose technical divergence from the precise terms so long as defendant's reasonable expectations are met. Compliance is to be tested against an objective reading of the bargain. Here, the sentencing court

had good reason to reject defendant's request to withdraw his plea. Six years had passed since the robberies and it may have been difficult for the People to locate witnesses and obtain their cooperation for trial. Moreover, defendant's resentencing comported with his reasonable expectation that he would receive a minimum determinate prison term of 25 years and a maximum determinate prison term of 30 years in exchange for his plea. After resentencing, defendant achieved the best outcome allowed by his plea since the court reduced his maximum incarceratory term from 30 to 25 years. Thus, defendant clearly received the benefit of his bargain.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 628, 687–694, 700–702, 835, 858.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:53, 182:54, 182:60, 182:87, 182:94.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.1–21.5, 26.3.

NY JUR 2d, Criminal Law: Procedure §§ 1509, 1517, 1524, 2927, 3161–3163.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Guilty Pleas; Plea Bargaining; Sentence and Punishment.

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POINTS OF COUNSEL

Claude Castro & Associates PLLC, New York City (*Claude Castro* and *D. Paul Martin* of counsel), for appellant. I. The trial court and the Third Department erred by denying appellant's request to withdraw his plea and then imposing a greater sentence than appellant had agreed to in his plea bargain. (*People v Taveras*, 10 NY3d 227; *People v Martin*, 278 AD2d 743; *People v Hill*, 9 NY3d 189; *People v Van Deusen*, 7 NY3d 744; *People v Rivera*, 51 AD3d 1267; *People v Donnelly*, 80 AD3d 797; *People v Armstead*, 52 AD3d 966; *People v Bruning*, 45 AD3d 1179; *People v Kinch*, 15 AD3d 780; *People v Cameron*, 83 NY2d 838.) II. The trial court and the Third Department erred by rendering appellant's plea bargain involuntary and unconstitutional. (*People v Hill*, 9 NY3d 189; *People v Van Deusen*, 7 NY3d 744; *People v Rowland*, 8 NY3d 342.)

P. David Soares, District Attorney, Albany (Steven M. Sharp of counsel), for respondent. Since defendant received the full benefit of his bargain, his guilty plea should not be disturbed. (People v Prescott, 66 NY2d 216; People v Taylor, 65 NY2d 1; People v Frederick, 45 NY2d 520; People v Miller, 42 NY2d 946; People v Fiumefreddo, 82 NY2d 536; People v Cornell, 16 NY3d 801; People v Seaberg, 74 NY2d 1; People v Francabandera, 33 NY2d 429; People v Lopez, 28 NY2d 148; People v Cameron, 83 NY2d 838.)

OPINION OF THE COURT

READ, J.

By indictment dated February 8, 2005, the grand jury accused defendant Andre Collier of five first-degree robberies (Penal Law § 160.15 [3]). Each count of the indictment related to a holdup at a different store in the Albany area during a two-month period in the fall of 2004. Defendant was alleged to have displayed and threatened the immediate use of a knife to force employees of these stores to turn over monies in the cash register.

At a hearing on April 22, 2005, defendant was offered a plea bargain requiring him to plead guilty to two counts of robbery in the first degree (the first and fifth counts of the indictment) in satisfaction of the full indictment and several unindicted robberies. Under the terms of the proposed plea agreement, as described by County Court, defendant would be sentenced to a determinate term of 25 years in prison on the first count of the indictment, and five years on the fifth count, each to be followed by five years of postrelease supervision. Further, the judge retained discretion to direct these sentences to run either concurrently or consecutively, based upon his evaluation of the information in the yet-to-be-prepared presentence report. Defendant agreed to these terms and conditions and pleaded guilty.

On June 17, 2005, defendant appeared for sentencing, and County Court declared him to be a second felony offender. Based on his review of the presentence report, the judge imposed the agreed-upon 25-year and five-year determinate sentences consecutively rather than concurrently. Defendant appealed, arguing that his sentence was excessive. On June 26, 2008, the Appellate Division affirmed the judgment, holding that defendant was “precluded from challenging the sentence imposed as harsh and excessive” because he had knowingly, intelligently and voluntarily waived his right to appeal (52 AD3d 1121, 1122 [3d Dept 2008], *lv denied* 11 NY3d 786 [2008]).

Defendant then moved pro se pursuant to CPL article 440 to vacate the judgment of conviction and set aside his sentence on the ground the five-year sentence he received to satisfy count five of the indictment was illegal. In support of his motion, defendant enclosed a letter from a prison official indicating that, as a second felony offender, his minimum legal sentence for first-degree robbery was 10 years. In a decision and order dated August 10, 2009, County Court denied the motion without a hearing. The judge noted that defendant had not suffered any prejudice by virtue of the alleged error, which, in fact, benefited him. He additionally concluded that defendant had waived this issue by not raising it on direct appeal. Defendant appealed the judge's order.

On December 2, 2010, the Appellate Division agreed that defendant's five-year sentence on count five of the indictment was illegal, and held that he was not barred from raising this issue in a CPL article 440 motion even though it could have been raised on direct appeal (79 AD3d 1162 [3d Dept 2010]). The court vacated defendant's sentence and remitted the matter to County Court for the judge to "resentence defendant in a manner that ensures that he receives the benefit of his sentencing bargain or permit both parties the opportunity to withdraw from the plea agreement" (*id.* at 1163).

At the resentencing hearing on January 13, 2011, defendant asked to withdraw his plea; the People, however, requested that County Court resentence defendant. By this time, six years had elapsed since the robberies charged in the indictment. Voicing his intention to "impose a sentence that clearly ensures that [defendant] receives the benefit of the sentencing bargain," the judge sentenced him to concurrent determinate prison terms of 25 years on the first count of the indictment and 10 years on the fifth count, each to be followed by five years of postrelease supervision.

On appeal, defendant argued that County Court could not legally resentence him to 10 years in prison on the fifth count of the indictment because he originally pleaded guilty to this crime in exchange for a five-year incarceratory term. The Appellate Division disagreed, observing that

"defendant actually received a lesser sentence under the resentence than the one he agreed to under the plea agreement because County Court directed that the sentences run concurrently, instead of consecutively, thereby reducing his aggregate prison exposure

from 30 to 25 years. Thus, defendant received a sentence that was better than ‘the benefit of his bargain’ upon resentencing, and County Court was not required to allow him to withdraw his plea” (91 AD3d 987, 988 [3d Dept 2012]).

A Judge of this Court granted defendant leave to appeal (19 NY3d 1024 [2012]), and we now affirm.

“[A] guilty plea induced by an unfulfilled promise either must be vacated or the promise honored” (*People v Selikoff*, 35 NY2d 227, 241 [1974], *cert denied* 419 US 1122 [1975], citing *Santobello v New York*, 404 US 257, 260 [1971]; accord *People v Esposito*, 32 NY2d 921, 923 [1973]). “The choice rests in the discretion of the sentencing court” and “there is no indicated preference for one course over the other” (*Selikoff*, 35 NY2d at 239; see also *Santobello*, 404 US at 263 [“The ultimate relief to which petitioner is entitled we leave to the discretion of the state court, which is in a better position to decide whether the circumstances of this case require only that there be specific performance of the agreement on the plea, . . . or whether, in the view of the state court, the circumstances require granting the relief sought by petitioner, *i.e.*, the opportunity to withdraw his plea of guilty”]).

The sentencing court may have good reason to reject a defendant’s request to withdraw his plea. Where, as here, years have gone by since the original plea, it may be difficult for the People to locate witnesses, obtain their renewed cooperation and proceed to trial on the “then stale indictment[]” (*Selikoff*, 35 NY2d at 240 [discussing *Esposito*, *supra*]). Under these circumstances, allowing a defendant to withdraw his plea would give him “more than he was entitled” to under the bargain he struck (*id.*). Thus, the People “can hold a defendant to an agreed sentence rather than allow vacation of the plea when it would otherwise be prejudiced” (*People v McConnell*, 49 NY2d 340, 349 [1980]).

Moreover, specific performance of a plea bargain does not foreclose “technical divergence from the precise terms of the plea agreement” so long as the defendant’s reasonable expectations are met (*Paradiso v United States*, 689 F2d 28, 31 [2d Cir 1982]). And a defendant’s subjective view of the plea bargain is not controlling: “[c]ompliance with a plea bargain is to be tested against an *objective* reading of the bargain, and not against a defendant’s subjective interpretation thereof” (*People v Cataldo*,

39 NY2d 578, 580 [1976] [emphasis added]; *see also Paradiso*, 689 F2d at 31 [“In determining what is reasonably due a defendant (t)he dispositive question . . . is what the parties to (the) plea agreement *reasonably* understood to be the terms of the agreement” (emphasis added and internal quotation marks omitted))].

Thus, if the originally promised sentence cannot be imposed in strict compliance with the plea agreement, the sentencing court may impose another lawful sentence that comports with the defendant’s legitimate expectations. Again, “the reasonable understanding and expectations of the parties, rather than technical distinctions in semantics, control the question of whether a particular sentence imposed violates a plea agreement” (*Gammarano v United States*, 732 F2d 273, 276 [2d Cir 1984]; *see also Paradiso*, 689 F2d at 31 [where the “sentence actually received” was “less severe than the maximum bargained for, (the defendant was) in no position to complain that his expectations were frustrated”]; *People v Williams*, 87 NY2d 1014 [1996] [upholding a sentence modification that corrected an illegal sentence by *increasing* the indeterminate incarceration term of 3½ to 7 years to 3½ to 10½ years because the judge advised the defendant during the plea proceedings that he could receive up to 15 years in prison]).

In light of these principles, we conclude that the judge’s modification of defendant’s sentence was proper. Simply put, the resentencing comported with defendant’s reasonable expectation that he would receive a minimum determinate prison term of 25 years and a maximum determinate prison term of 30 years in exchange for his plea. County Court did not resentence defendant in conformity with the technical terms of the plea agreement with respect to the fifth count of the indictment. But defendant, in fact, achieved the best outcome allowed by his plea since County Court, upon resentencing, reduced his maximum incarceration term from 30 to 25 years in order to cure the illegality in the sentence originally imposed to resolve the fifth count. Thus, defendant clearly received the benefit of his bargain.

Defendant insists otherwise. He takes the position that his “aggregate prison exposure” is “irrelevant” even if more favorable than what he originally agreed to and received because his “two sentences [were] separate and distinct and operate[d] independent[ly] [of] each other.” And since the original “plea bargain [could not] be legally fulfilled” with respect to the five-

year sentence on the fifth count of the indictment, “both sentences must be vacated and [defendant] must [be] given the opportunity to withdraw his plea in its entirety.” The dissent likewise contends that defendant’s plea must be vacated because he “pleaded guilty without knowledge that his bargained-for five-year sentence was half the minimum prescribed by law” (dissenting op at 437). But as already discussed, once a defendant has pleaded guilty a reviewing court must make an objective determination of whether the ultimate sentence fulfilled the sentencing promise—here, a minimum determinate prison term of 25 years and a maximum determinate prison term of 30 years. The defendant’s subjective interpretation of the agreement does not control (see *Cataldo*, 39 NY2d at 580; *Paradiso*, 689 F2d at 31).

Defendant also claims that *People v Catu* (4 NY3d 242 [2005]) and its progeny prescribe plea vacatur because his due process rights were violated, and the dissent agrees (see dissenting op at 436). In *Catu*, the trial court did not advise the defendant during the plea colloquy that he was subject to a mandatory period of supervision after his release from prison, a direct consequence of his plea. Because a defendant pleading guilty must be aware of the direct consequences of a plea in order to knowingly, voluntarily and intelligently choose among alternative courses of action, the *Catu* court’s failure to apprise the defendant of post-release supervision required reversal of the conviction and vacatur of the plea.*

As we subsequently made clear in *People v Hill* (9 NY3d 189 [2007]), though, there is a difference between due process rights and sentencing expectations. When, as here, the defendant possesses sufficient information about his promised sentence to make an informed choice at the time of the plea allocution, “the defendant’s guilty plea is voluntary [and] so either the plea’s vacatur or specific performance of the promise is appropriate. A *Catu* error, by contrast, affects the voluntariness of [a] defendant’s guilty plea, and thus makes vacatur the appropriate remedy” (*id.* at 191 n 1 [distinguishing *Selikoff*]).

Accordingly, the orders of the Appellate Division should be affirmed.

* As we discussed in *People v Pignataro* (22 NY3d 318 [2013]), the legislature eventually enacted Penal Law § 70.85 to allow a sentencing court to honor the bargain originally knowingly, voluntarily and intelligently struck by the defendant with the People. Section 70.85 did not “remov[e] PRS as a direct consequence of [the defendant’s] plea” (see dissenting op at 438 n).

Chief Judge LIPPMAN (dissenting). Because defendant's guilty plea was obtained in violation of his due process rights, vacatur of the plea is the proper remedy for the constitutional deprivation. Accordingly, I dissent.

For a guilty plea to comport with due process, defendant must "possess[] the requisite information to make an informed choice" (*People v Hill*, 9 NY3d 189, 191 n 1 [2007]). Acknowledging this bedrock principle of our criminal justice system, the majority nonetheless determines that the illegal sentence here violated defendant's "sentencing expectations," rather than his due process rights (majority op at 435), drawing the inexplicable conclusion that defendant's choice to waive his fundamental rights was knowing and voluntary, despite his ignorance that the imposition of the promised five-year sentence was a legal impossibility.

Contrary to the majority's contention, this case raises the same constitutional concerns addressed in our jurisprudence involving plea allocutions where courts failed to inform defendant of a mandatory term of postrelease supervision (PRS). The constitutional principle underlying our PRS cases is that, without knowledge of a direct consequence of her criminal conviction, a defendant's "plea cannot be deemed knowing, voluntary and intelligent" (*Hill*, 9 NY3d at 191; *see also People v Catu*, 4 NY3d 242, 245 [2005]). The appropriate remedy for a constitutionally defective plea is automatic vacatur (*Hill*, 9 NY3d at 191 n 1; *People v Louree*, 8 NY3d 541, 545 [2007]; *People v Van Deusen*, 7 NY3d 744, 746 [2006]; *Catu*, 4 NY3d at 245; *McCarthy v United States*, 394 US 459, 466 [1969] ["if a defendant's guilty plea is not equally voluntary and knowing, it has been obtained in violation of due process and is therefore void"]). This is true despite the theoretical feasibility under the law of resentencing defendant to a combined period of incarceration and PRS equal to or less than the maximum potential term to which defendant agreed (*see Louree*, 8 NY3d at 545; *Van Deusen*, 7 NY3d at 746; *see also People v Rowland*, 8 NY3d 342, 345 [2007]; *People v Pichardo*, 1 NY3d 126, 130 [2003]). Harmless error analysis, including the majority's assessment of whether specific performance effectively "cured" the defect, has no place in this context because when a plea is obtained in violation of defendant's due process rights, "no later events [can] rescue it" (*People v Boyd*, 12 NY3d 390, 396 [2009, Pigott, J., dissenting]; *see also Hill*, 9 NY3d at 192; *People v Coles*, 62 NY2d 908, 910 [1984]).

We are equally bound to apply this constitutional principle in circumstances where a plea bargain includes an illegal sentence. Only recently this Court reiterated that “the imposition of a mandatory term of imprisonment” is a direct consequence of an unconditional guilty plea (*People v Peque*, 22 NY3d 168, 184 [2013], citing *Boykin v Alabama*, 395 US 238, 244 n 7 [1969], *Jamison v Klem*, 544 F3d 266, 277 [3d Cir 2008], and *People v Harnett*, 16 NY3d 200, 205 [2011]). Similarly, in *Harnett* we recognized that “[t]he direct consequences of a plea—those whose omission from a plea colloquy makes the plea *per se invalid*—are essentially the core components of a defendant’s sentence: *a term of probation or imprisonment*, a term of post-release supervision, a fine” (16 NY3d at 205 [emphasis added]). Defendant here pleaded guilty without knowledge that his bargained-for five-year sentence was half the minimum prescribed by law, rendering his defective plea indistinguishable from that of a defendant unaware of a term of mandatory PRS. Both scenarios involve an accused who is uninformed of a direct consequence of her plea, and in both cases vacatur of the guilty plea is mandatory (*see People v Cameron*, 83 NY2d 838, 840 [1994] [when the “sentence pursuant to the plea agreement . . . was (not) authorized by law . . . the sentence must be reversed and the case remitted for resentencing with the opportunity for both parties to withdraw from the plea agreement” (citation omitted)]).

In holding otherwise, the majority effectively sanctions the coexistence of two incompatible rules: where the plea is to a single count, conditioned on an illegal sentence, vacatur is required; where, on the other hand, the plea is to multiple counts, only one of which held out the promise of an illegal sentence, a court-imposed increase of that sentence will be allowed so long as defendant’s aggregate exposure to incarceration is not increased. Deciding which rule applies depends on the constitutionally irrelevant question of whether a defendant’s plea bargain includes an illegal sentence in isolation or as part of a package deal. While perhaps attractively pragmatic, the second rule blatantly ignores that “the constitutional defect lies in the plea itself and not in the resulting sentence” (*Hill*, 9 NY3d at 191). By denying the constitutional dimensions of the injury, the majority blurs a distinction we have taken care to delineate in the past between a constitutionally defective plea and a plea induced by a promise that goes unfulfilled. In the latter case, the sentencing court surely has the discretion to vacate

the plea or to give defendant specific performance of the plea bargain (*People v Selikoff*, 35 NY2d 227, 241 [1974], *cert denied* 419 US 1122 [1975]). But where a plea is unknowing and thus involuntary due to an illegal sentence, only vacatur will remedy the violation of defendant's due process rights.* Because here defendant's plea bargain included the promise of an illegal sentence, it was necessarily unknowing, and the majority effects a significant and troubling departure from precedent by failing to vacate his plea.

Judges GRAFFEO, SMITH, PIGOTT and ABDUS-SALAAM concur with Judge READ; Chief Judge LIPPMAN dissents in an opinion in which Judge RIVERA concurs.

Orders affirmed.

* This dissent is consistent with *People v Pignataro* (22 NY3d 381 [2013]). In reaching a different result, that decision turned on the presence of legislative action. By removing PRS as a direct consequence of Pignataro's plea (*see* Penal Law § 70.85), the legislature effectively eliminated the factor responsible for the plea's constitutional infirmity. Here, the legislature has not reduced the mandatory minimum sentence applicable to count five from 10 to 5 years. Accordingly, the five-year sentence remains illegal and the plea involuntary.

[5 NE3d 11, 982 NYS2d 40]

MARCIA L. CARONIA et al., Appellants, v PHILIP MORRIS USA,
INC., Respondent.

Argued November 13, 2013; decided December 17, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Under New York Law, may a current or former longtime heavy smoker who has not been diagnosed with a smoking-related disease, and who is not under investigation by a physician for such a suspected disease, pursue an independent equitable cause of action for medical monitoring for such a disease? (2) If New York recognizes such an independent cause of action for medical monitoring, (A) What are the elements of that cause of action? (B) What is the applicable statute of limitations, and when does that cause of action accrue?”

HEADNOTES

Torts — Actionable Wrong — Independent Equitable Cause of Action for Medical Monitoring

1. To the extent that *Osarczuk v Associated Univs., Inc.* (36 AD3d 872, 878 [2d Dept 2007]), *Allen v General Elec. Co.* (32 AD3d 1163, 1165-1166 [4th Dept 2006]), and *Dangler v Town of Whitestown* (241 AD2d 290 [4th Dept 1998]), or any other case, can be read as recognizing an independent equitable cause of action for medical monitoring absent allegation of any physical injury, they should not be followed.

Torts — Actionable Wrong — Independent Equitable Cause of Action for Medical Monitoring

2. An independent equitable cause of action for medical monitoring does not lie absent any allegation of present physical injury. The requirement that a plaintiff sustain physical harm before being able to recover in tort is a fundamental principle of New York State’s tort system, and a threat of future harm is insufficient to impose liability against a defendant in a tort context. Medical monitoring is an element of damages that may be recovered only after a physical injury has been proven—a form of remedy for an existing tort. The Court of Appeals has the authority to recognize a new tort cause of action, but that authority must be exercised responsibly, keeping in mind that a new cause of action will have both foreseeable and unforeseeable consequences, most especially the potential for vast, uncircumscribed liability. Although there are significant policy reasons that favor recognizing an independent medical monitoring cause of action, there are a number of policy reasons that

mitigate against it. Moreover, it is speculative, at best, whether asymptomatic plaintiffs will ever contract a disease; allowing them to recover medical monitoring costs without first establishing physical injury would lead to the inequitable diversion of money away from those who have actually sustained an injury as a result of the exposure. Also, there is no framework concerning how such a medical monitoring program would be implemented and administered. The legislature is in the better position to study the impact and consequences of creating such a cause of action, including the costs of implementation and the burden on the courts in adjudicating such claims.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Damages §§ 193, 500; AM JUR 2d, Torts § 9.
NY JUR 2d, Damages §§ 62, 92, 205; NY JUR 2d, Torts § 9.
PROSSER AND KEETON, TORTS (5th ed) § 4.

ANNOTATION REFERENCE

Recovery of damages for expense of medical monitoring to detect or prevent future disease or condition. 17 ALR5th 327.

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POINTS OF COUNSEL

Phillips & Paolicelli LLP, New York City (*Victoria E. Phillips*, *Steven J. Phillips*, *Aryeh L. Taub* and *Lisa W. Davis* of counsel), for appellants. I. Plaintiffs' cause of action seeking medical surveillance is cognizable and timely under New York law. (*McKenna v Levy*, 182 App Div 678; *Williams v Supreme Council*, 80 App Div 402; *Strusburgh v Mayor of City of N.Y.*, 87 NY 452; *Rozell v Rozell*, 281 NY 106; *Gallagher v Samples*, 6 AD3d 659; *Friends for All Children, Inc. v Lockheed Aircraft Corp.*, 746 F2d 816; *In re Paoli R.R. Yard PCB Litig.*, 916 F2d 829; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308.) II. Plaintiffs' claims sounding in negligence and strict liability were wrongly dismissed based on a misreading of both black letter New York law and record evidence. (*Kaufman v Cohen*, 307 AD2d 113; *Bano v Union Carbide Corp.*, 361 F3d 696; *Glod v Morrill Press Div. of Engraph*, 168 AD2d 954; *Roman v Radio Frequency Co.*, 207 AD2d 1012; *In re Paoli R.R. Yard PCB Litig.*, 916 F2d 829; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87

NY2d 36; *LaBello v Albany Med. Ctr. Hosp.*, 85 NY2d 701; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *City of New York v State of New York*, 40 NY2d 659.) III. Plaintiffs' breach of warranty claims were improperly dismissed. (*Anderson v Hedstrom Corp.*, 76 F Supp 2d 422; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Liriano v Hobart Corp.*, 92 NY2d 232; *Codling v Paglia*, 32 NY2d 330; *Denny v Ford Motor Co.*, 87 NY2d 248; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Adamo v Brown & Williamson Tobacco Corp.*, 11 NY3d 545.)

Latham & Watkins LLP, Boston, Massachusetts (*Kenneth J. Parsigian* of counsel), for respondent. I. This Court should not create a cause of action for medical monitoring. (*Ortega v City of New York*, 9 NY3d 69; *Madden v Creative Servs.*, 84 NY2d 738; *Tobin v Grossman*, 24 NY2d 609; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Sabetay v Sterling Drug*, 69 NY2d 329; *Trombetta v Conkling*, 82 NY2d 549; *Schiavone Constr. Co. v Mayo Corp.*, 56 NY2d 667; 532 *Madison Ave. Gourmet Foods v Finlandia Ctr.*, 96 NY2d 280; *Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282.) II. Any medical monitoring cause of action should be carefully tailored to avoid uncabined liability. (*Boyle v Kelley*, 42 NY2d 88; *Lichtyger v Franchard Corp.*, 18 NY2d 528; *Abusio v Consolidated Edison Co. of N.Y.*, 238 AD2d 454; *Baity v General Elec. Co.*, 86 AD3d 948; *Marden v Maurice Villency, Inc.*, 29 AD3d 402; *Gonzalez v Delta Intl. Mach. Corp.*, 307 AD2d 1020; *Ramirez v Sears, Roebuck & Co.*, 286 AD2d 428; *In re Paoli R.R. Yard PCB Litig.*, 35 F3d 717; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Yondola v Trabulsy*, 22 AD3d 483.) III. Any medical monitoring claim recognized by this Court should be subject to a three-year limitations period that accrues when a plaintiff actually suffers an increased risk of disease. (*Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Snyder v Town Insulation*, 81 NY2d 429; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *MRI Broadway Rental v United States Min. Prods. Co.*, 92 NY2d 421; *LaBello v Albany Med. Ctr. Hosp.*, 85 NY2d 701; *Ackerman v Price Waterhouse*, 84 NY2d 535; *Barnes v American Tobacco Co. Inc.*, 984 F Supp 842, 161 F3d 127; *Engel v CBS, Inc.*, 93 NY2d 195; *Matter of Southeast Banking Corp.*, 93 NY2d 178; *Williams v Walsh*, 558 F2d 667.) IV. This Court should reject plaintiffs' invitation to opine on issues already decided by the Second Circuit. (*McCarthy v Olin Corp.*, 119 F3d 148; *Houston v Hill*, 482 US 451; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*,

344 F3d 211; *Rooney v Tyson*, 91 NY2d 685; *Matter of Southeast Banking Corp.*, 93 NY2d 178; *Kramer v Phoenix Life Ins. Co.*, 15 NY3d 539; *Tri-State Empl. Servs., Inc. v Mountbatten Sur. Co., Inc.*, 295 F3d 256; *Akins v Glens Falls City School Dist.*, 53 NY2d 325; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Engel v CBS, Inc.*, 93 NY2d 195.)

Product Liability Advisory Council, Inc., Reston, Virginia (Hugh F. Young, Jr., of counsel), *Reed Smith LLP*, New York City (Daniel K. Winters of counsel), *Reed Smith LLP*, Philadelphia, Pennsylvania (James M. Beck of counsel), and *Reed Smith LLP*, Pittsburgh, Pennsylvania (David J. Bird of counsel), for Product Liability Advisory Council, Inc., amicus curiae. I. Creation of an expansive new theory of tort liability should only result from legislative action, not judicial decree. (*Ortega v City of New York*, 9 NY3d 69; *McKenna v Levy*, 182 App Div 678; *Williams v Supreme Council*, 80 App Div 402; *Williams v Village of Port Chester*, 72 App Div 505; *Wayte v Bowker Chem. Co.*, 180 App Div 568; *Tobin v Grossman*, 24 NY2d 609; *Bovsun v Sanperi*, 61 NY2d 219; *Trombetta v Conkling*, 82 NY2d 549; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27.) II. The Court should follow the majority rule and decline to create an independent cause of action for medical monitoring absent present physical injury. (*Ball v Joy Tech., Inc.*, 958 F2d 36; *Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282; *Schiavone Constr. Co. v Mayo Corp.*, 56 NY2d 667; *O'Brien v City of Syracuse*, 54 NY2d 353; *Hartford Acc. & Indem. Co. v Village of Hempstead*, 48 NY2d 218; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Norwood v Raytheon Co.*, 414 F Supp 2d 659; *Cook v Rockwell Intl. Corp.*, 755 F Supp 1468.) III. The U.S. Supreme Court and numerous federal and state courts have not allowed actions for medical monitoring. (*Metro-North Commuter R. Co. v Buckley*, 521 US 424; *Norfolk & Western R. Co. v Ayers*, 538 US 135; *June v Union Carbide Corp.*, 577 F3d 1234; *In re Hanford Nuclear Reservation Litig.*, 534 F3d 986; *Syms v Olin Corp.*, 408 F3d 95; *Pisciotta v Old Natl. Bancorp.*, 499 F3d 629; *Burton v R.J. Reynolds Tobacco Co.*, 884 F Supp 1515; *McCormick v Halliburton Co.*, 895 F Supp 2d 1152; *Norwood v Raytheon Co.*, 414 F Supp 2d 659.) IV. Plaintiffs' proposed cause of action would be inconsistent with this Court's precedents. (*Greenberg, Trager & Herbst, LLP v HSBC Bank USA*, 17 NY3d 565; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Frank v DaimlerChrysler Corp.*, 292 AD2d 118; *Schiavone Constr. Co. v Mayo Corp.*, 56 NY2d 667; *Bellevue*

S. Assoc. v HRH Constr. Corp., 78 NY2d 282; *Snyder v Town Insulation*, 81 NY2d 429.)

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (Sheila L. Birnbaum, Douglas W. Dunham, Ellen P. Quackenbos and Douglas E. Flemming, III, of counsel), for American Chemistry Council and another, amici curiae. I. Traditional tort law and sound public policy do not support the recognition of medical monitoring claims absent manifest physical injury. (*Kimbar v Estis*, 1 NY2d 399; *Norfolk & Western R. Co. v Ayers*, 538 US 135; *Metro-North Commuter R. Co. v Buckley*, 521 US 424.) II. The medical monitoring tort invites enormous numbers of speculative claims. (*In re Paoli R.R. Yard PCB Litig.*, 916 F2d 829; *Consolidated Rail Corporation v Gottshall*, 512 US 532; *Ortega v City of New York*, 9 NY3d 69; *Ball v Joy Mfg. Co.*, 755 F Supp 1344, 958 F2d 36; *Redland Soccer Club, Inc. v Department of Army of U.S.*, 55 F3d 827; *Rainer v Union Carbide Corp.*, 402 F3d 608; *Dumontier v Schlumberger Tech. Corp.*, 543 F3d 567; *Stoleson v United States*, 708 F2d 1217; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *Atchison, T. & S. F. R. Co. v Buell*, 480 US 557.) III. Permitting medical monitoring claims by asymptomatic plaintiffs would divert resources from those who are actually injured. (*Metro-North Commuter R. Co. v Buckley*, 521 US 424; *Ball v Joy Mfg. Co.*, 755 F Supp 1344.) IV. The recognition of new causes of action should be left to the legislature. (*Woods v Lancet*, 303 NY 349; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Metro-North Commuter R. Co. v Buckley*, 521 US 424.)

Jones Day, New York City (Sharyl A. Reisman of counsel), *Jones Day*, Boston, Massachusetts (Traci L. Lovitt of counsel), *Jones Day*, Washington, D.C. (Mary Ellen Powers of counsel), *Jones Day*, Houston, Texas (Nancy MacKimm of counsel), *National Chamber Litigation Center, Inc.*, Washington, D.C. (Kathryn Comerford Todd, Steven P. Lehotsky and Sheldon Gilbert of counsel), *American Coatings Association, Inc.* (Thomas J. Graves of counsel), *Hollingsworth LLP* (Eric G. Lasker of counsel), *National Association of Manufacturers* (Linda Kelly, Quentin Riegel and Patrick Forrest of counsel), and *Pharmaceutical Research and Manufacturers of America* (James M. Spears and Melissa B. Kimmel of counsel) for Business Council of New York State, Inc., and others, amici curiae. I. The proposed cause of action is contrary to New York tort law. (*Strohm v New York, Lake Erie & W. R.R. Co.*, 96 NY 305; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Kronos, Inc. v AVX Corp.*, 81 NY2d 90;

Barrell v Glen Oaks Vil. Owners, Inc., 29 AD3d 612; *Sharma v Udwadia*, 309 AD2d 1250; *Cillo v Resjefal Corp.*, 16 AD3d 339; *Frank v DaimlerChrysler Corp.*, 292 AD2d 118; *Schiavone Constr. Co. v Mayo Corp.*, 56 NY2d 667; *Cedar & Wash. Assoc., LLC v Bovis Lend Lease LMB, Inc.*, 95 AD3d 448.) II. Authorizing medical monitoring claims based on increased risk would massively expand potential liability in New York. (*In re St. Jude Med., Inc.*, 425 F3d 1116; *Hirsch v CSX Transp., Inc.*, 656 F3d 359; *June v Union Carbide Corp.*, 577 F3d 1234; *In re Marine Asbestos Cases*, 265 F3d 861; *Norwood v Raytheon Co.*, 414 F Supp 2d 659; *Pisciotta v Old Natl. Bancorp.*, 499 F3d 629; *In re Methyl Tertiary Butyl Ether [MTBE] Prods. Liab. Litig.*, 476 F Supp 2d 275; *Metro-North Commuter R. Co. v Buckley*, 521 US 424; *Ivory v International Bus. Mach. Corp.*, 37 Misc 3d 1221[A], 2012 NY Slip Op 52123[U]; *Van Wert v Randall*, 35 Misc 3d 1202[A], 2012 NY Slip Op 50534[U].) III. The legislature should decide whether to create a new equitable medical monitoring cause of action. (*George v Mt. Sinai Hosp.*, 47 NY2d 170; *Liff v Schildkrout*, 49 NY2d 622; *Becker v Schwartz*, 46 NY2d 401; *Donohue v Copiague Union Free School Dist.*, 47 NY2d 440; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Madden v Creative Servs.*, 84 NY2d 738; *Ortega v City of New York*, 9 NY3d 69; *Jensen v General Elec. Co.*, 82 NY2d 77.)

Kelner & Kelner, New York City (Joshua D. Kelner of counsel), for American Legacy Foundation and another, amici curiae. I. The scientific and medical acceptance of the efficacy and clinical value of low-dose computed tomography in the early detection and treatment of lung cancer establishes a key element of medical surveillance claims, and that such claims are timely. (*Friends for All Children, Inc. v Lockheed Aircraft Corp.*, 746 F2d 816; *In re Paoli R.R. Yard PCB Litig.*, 916 F2d 829.) II. Overwhelming scientific evidence establishes that low-dose computed tomography is an effective surveillance mechanism for the early detection of smoking-attributable lung cancers, which is critical to making effective treatment possible. III. Fairness and equity demand that the tobacco industry be held accountable and made to provide high quality surveillance to redress the harm it has caused, especially with regard to those vulnerable populations it continues to target.

OPINION OF THE COURT

PIGOTT, J.

The United States Court of Appeals for the Second Circuit has asked us to determine whether this State recognizes an

independent equitable cause of action for medical monitoring and, if so, what the elements, appropriate statute of limitations and accrual date are for that particular cause of action.

I

Plaintiffs, who are all over the age of 50, are current and/or former smokers of Marlboro cigarettes with histories of 20 pack-years¹ or more. None of the plaintiffs has been diagnosed with lung cancer, nor are they currently “under investigation by a physician for suspected lung cancer.” Plaintiffs commenced this putative class action against Philip Morris USA, Inc. in federal court asserting claims sounding in negligence, strict liability and breach of the implied warranty of merchantability. Plaintiffs requested equitable relief, namely, the creation of a court-supervised program, at Philip Morris’s expense, that would provide them with Low Dose CT Scanning of the chest (LDCT), which plaintiffs claim is a type of medical monitoring that assists in the early detection of lung cancer. At the completion of discovery, the District Court granted Philip Morris summary judgment with regard to plaintiffs’ negligence and strict liability claims, but ordered further briefing concerning the breach of implied warranty claim and on the issue whether our Court would recognize an independent cause of action for medical monitoring (*see Caronia v Philip Morris USA, Inc.*, 2010 WL 520558, *1, 2010 US Dist LEXIS 12168, *2-3 [ED NY Feb. 11, 2010]).

In the interim, plaintiffs served a fourth amended complaint asserting, in addition to their prior causes of action, a separate, equitable cause of action for medical monitoring, seeking the establishment of the medical monitoring program. The District Court dismissed the breach of implied warranty and medical monitoring claims, holding that although this Court would likely recognize the latter claim, plaintiffs “failed to plead that Philip Morris’s allegedly tortious conduct is the reason that they must now secure a monitoring program that includes LDCT scans” (*Caronia v Philip Morris USA, Inc.*, 2011 WL 338425, *3, 2011 US Dist LEXIS 12610, *8-9 [ED NY Jan. 13, 2011]). The United States Court of Appeals for the Second Circuit affirmed the dismissal of plaintiffs’ negligence, strict liability and breach of implied warranty claims, but, acknowledging that this Court has not considered whether an independent cause of action for

1. A “pack-year” is the equivalent of smoking one pack of cigarettes a day for a year.

medical monitoring exists in New York, certified the following questions of law:

“(1) Under New York Law, may a current or former longtime heavy smoker who has not been diagnosed with a smoking-related disease, and who is not under investigation by a physician for such a suspected disease, pursue an independent equitable cause of action for medical monitoring for such a disease?

“(2) If New York recognizes such an independent cause of action for medical monitoring,

“(A) What are the elements of that cause of action?

“(B) What is the applicable statute of limitations, and when does that cause of action accrue?” (715 F3d 417, 450 [2013]).

We answer the first certified question in the negative, and decline to answer the second certified question as academic.

II

Plaintiffs do not claim to have suffered physical injury or damage to property. They assert, rather, that they are at an “increased risk” for developing lung cancer and would benefit from LDCT monitoring, which they claim would allow them to discover the existence of cancers at an earlier stage, leading to earlier treatment.

A threat of future harm is insufficient to impose liability against a defendant in a tort context (*see* Prosser & Keeton, Torts § 30 at 165 [5th ed 1984]). The requirement that a plaintiff sustain physical harm before being able to recover in tort is a fundamental principle of our state’s tort system (*see Kimbar v Estis*, 1 NY2d 399, 403 [1956] [no action will lie in negligence absent a “resultant injury to plaintiff”]; *see also Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 106-107 [1983] [plaintiff must sustain injury or damage before being able to recover under a strict products liability theory]). The physical harm requirement serves a number of important purposes: it defines the class of persons who actually possess a cause of action, provides a basis for the factfinder to determine whether a litigant actually possesses a claim, and protects court dockets from being clogged with frivolous and unfounded claims.

Having alleged no physical injury or damage to property in their complaint, plaintiffs’ only potential pathway to relief is for

this Court to recognize a new tort, namely, an equitable medical monitoring cause of action. Plaintiffs claim that such a cause of action is “consistent with existing New York law,” pointing to *Askey v Occidental Chem. Corp.* (102 AD2d 130 [4th Dept 1984]), a case involving a motion by plaintiffs seeking class certification to bring toxic exposure claims against a landfill owner, and, in particular, seeking recovery of future medical monitoring costs (*id.* at 131). Certain of the *Askey* plaintiffs alleged actual injury from the exposure, while others, like plaintiffs here, claimed only an increased risk of developing cancer or other diseases. The latter plaintiffs sought the imposition of a constructive trust on the owner’s property to cover medical monitoring costs (*id.* at 132-133). Addressing the plaintiffs who had alleged no injury, the Appellate Division stated that “damages resulting from the enhanced risk of cancer and the threat of future harm not yet realized are *not compensable in a tort action . . .*, [but that] there is a basis in law to sustain a claim for medical monitoring as an element of *consequential damage*” (*id.* at 135 [emphasis supplied]). The *Askey* court derived its rationale from our holding in *Schmidt v Merchants Despatch Transp. Co.* (270 NY 287 [1936], *rearg denied* 271 NY 531 [1936]), which involved a worker who sued his employer for exposure to a toxic dust that resulted in his contracting an incurable lung disease (*id.* at 297).

The issue in *Schmidt*, however, involved when the cause of action from the toxic exposure accrued. This Court concluded that the *injury* to the plaintiff occurred “when the alleged negligence of the defendant caused the plaintiff to inhale the deleterious dust,” making the defendant responsible for any damages that flowed from that injury (*id.* at 301). Even in *Schmidt*, however, this Court required some injury or damage to the plaintiff before he could recover. Having concluded that the injury or damage occurred at the time of “invasion” of the plaintiff’s “personal or property rights,” we addressed the issue of damages, holding that

“[c]onsequential damages may flow later from an injury too slight to be noticed at the time it is inflicted. No new cause of action accrues when such consequential damages arise. *So far as consequential damages may be reasonably anticipated*, they may be included in a recovery *for the original injury*, though even at the time of the trial they may not yet exist” (*id.* at 300-301 [emphasis supplied]).

The *Askey* court, relying on *Schmidt*, concluded that the plaintiffs exposed to the landfill toxins had “an increased risk of invisible genetic damage and a present cause of action for their injury,” and could recover “‘reasonably anticipated’ consequential damages,” including medical monitoring, so long as the plaintiffs could “establish with a reasonable degree of medical certainty that such expenditures [were] ‘reasonably anticipated’ to be incurred by reason of their exposure” (*Askey*, 102 AD2d at 137). The accrual rule set forth in *Schmidt*, and referenced in *Askey*, was replaced by CPLR 214-c, which requires a plaintiff to initiate a cause of action for personal injury damages caused by the latent effects of exposure to harmful substances within three years from the date the injury was discovered or could have been discovered “through the exercise of reasonable diligence.”

Neither *Schmidt* nor *Askey* questioned this State’s long-held physical harm requirement; rather, they merely accepted, for accrual purposes, that the injury accrued at the time of exposure. In light of section 214-c’s enactment in 1986 (well after *Askey* and *Schmidt*), the *Askey* court’s holding that persons who are exposed to toxins may recover all “‘reasonably anticipated’ consequential damages,” including the cost of future medical monitoring to “permit the early detection and treatment of maladies” (*Askey*, 102 AD2d 137), must be viewed in its proper context. Given that the injuries in *Askey* and *Schmidt* were deemed (for accrual purposes) to have been sustained at the time of *exposure*, it is understandable why the Courts in those cases would have concluded that any and all damages flowing from those “injuries,” including damages for medical monitoring, would be potentially recoverable as consequential damages.

The Appellate Divisions have consistently found that medical monitoring is an element of damages that may be recovered only after a physical injury has been proven, i.e., that it is a form of remedy for an *existing* tort. For instance, in *Abusio v Consolidated Edison Co. of N.Y.* (238 AD2d 454 [2d Dept 1997], *lv denied* 90 NY2d 806 [1997]), where the plaintiffs brought a negligence cause of action arising out of exposure to toxins, the Court concluded that the trial court properly set aside the damage awards for emotional distress and medical monitoring, holding that although plaintiffs established that they were exposed to toxins, they failed to establish that they had a “rational basis” for their fear of contracting the disease, i.e., they failed

to establish a “clinically demonstrable presence of [toxins] in the plaintiff’s body, or some indication of [toxin]-induced disease, i.e., some physical manifestation of [toxin] contamination” (*id.* at 454-455).

[1] Courts have followed the test enunciated in *Abusio* in a number of cases where medical monitoring was sought as an element of damages (*see Osarczuk v Associated Univs., Inc.*, 36 AD3d 872, 878 [2d Dept 2007] [remitting case to trial court for consideration of the plaintiffs’ motion as it related to causes of action seeking damages and equitable relief for personal injuries and property damage]; *Allen v General Elec. Co.*, 32 AD3d 1163, 1165-1166 [4th Dept 2006] [in order to obtain medical monitoring damages, plaintiff must establish “clinically demonstrable presence” of toxins in the body or evidence of toxin-induced disease]; *Dangler v Town of Whitestown*, 241 AD2d 290 [4th Dept 1998] [medical monitoring considered as damages]). In each of these cases, the plaintiffs alleged either personal injury or property damage or both.²

Federal courts sitting in New York have surmised, in reliance on *Askey* and *Abusio*, that this Court would recognize an independent equitable medical monitoring cause of action where a plaintiff’s only “injury” is the “financial burden associated with periodic medical monitoring” (*Abbatiello v Monsanto Co.*, 522 F Supp 2d 524, 538-539 [SD NY 2007]), or where the plaintiff alleges absolutely no injury at all (*see Gibbs v E.I. DuPont De Nemours & Co., Inc.*, 876 F Supp 475, 478-479 [WD NY 1995]; *Beckley v United States*, 1995 WL 590658, *4, 1995 US Dist LEXIS 14599, *11 [SD NY 1995]; *but see In re World Trade Ctr. Disaster Site Litig.*, 2006 WL 3627760, *3, 2006 US Dist LEXIS 93639, *9 [SD NY 2006] [holding that medical monitoring damages may be recovered “if causes of action are otherwise proved and if the remedies are held to be appropriate and in accordance with the law” but that medical monitoring does not constitute an independent cause of action]). *Askey* and *Abusio*, however, necessitate that the plaintiff sustain a physical injury before he or she may recover consequential damages for medical monitoring.

The highest courts in our sister states are divided on whether an independent cause of action for medical monitoring should

2. [1] To the extent that any of these, or other, cases can be read as recognizing an independent cause of action for medical monitoring absent allegation of any physical injury or property damage, they should not be followed.

lie absent any allegation of present physical injury or damage to property. Some have refused to recognize such equitable claims for the imposition of a court-supervised medical monitoring program absent such injury or harm (*see Henry v Dow Chem. Co.*, 473 Mich 63, 75-76, 701 NW2d 684, 690 [2005] [reaffirming “the principle that a plaintiff must demonstrate a present physical injury to person or property in addition to economic losses that result from that injury in order to recover under a negligence theory” (emphasis omitted)]; *see also Lowe v Philip Morris USA, Inc.*, 344 Or 403, 414-415, 183 P3d 181, 187 [2008] [“negligent conduct that results only in a significantly increased risk of future injury that requires medical monitoring does not give rise to a claim for negligence”]). Others, however, have dispensed with the physical injury requirement and have recognized an independent medical monitoring cause of action (*see Donovan v Philip Morris USA, Inc.*, 455 Mass 215, 225-227, 914 NE2d 891, 901-903 [2009] [concluding that the cause of action is in tort, not equity]; *Bower v Westinghouse Elec. Corp.*, 206 W Va 133, 140-142, 522 SE2d 424, 431-433 [1999] [holding that a plaintiff who does not allege a present physical injury may recover future medical monitoring costs]; *Redland Soccer Club, Inc. v Department of the Army & Dept. of Defense of the U.S.*, 548 Pa 178, 195-196, 696 A2d 137, 145-146 [1997] [stating that the injury in a medical monitoring claim is an economic one]; *Burns v Jaquays Min. Corp.*, 156 Ariz 375, 380, 752 P2d 28, 33 [Ct App 1988]).

Plaintiffs ask us to follow the second line of cases—*Donovan* in particular—and recognize a cause of action for medical monitoring because Philip Morris’s “wrong,” i.e., its alleged failure to design a safer cigarette that delivers lower amounts of tar, should not be without a remedy. Although “the desire to provide an avenue to redress wrongs is . . . an important consideration underlying our tort jurisprudence, the recognition that there has been an interference with an interest worthy of protection has been the beginning, not the end, of our analysis” (*Ortega v City of New York*, 9 NY3d 69, 78 [2007]). This Court undoubtedly has the authority to recognize a new tort cause of action, but that authority must be exercised responsibly, keeping in mind that a new cause of action will have both “foreseeable and unforeseeable consequences, most especially the potential for vast, uncircumscribed liability” (*Madden v Creative Servs.*, 84 NY2d 738, 746 [1995] [citations omitted]).

“Tort liability . . . depends on balancing competing interests: the question remains who is legally bound

to protect plaintiffs' right at the risk of liability. . . . To identify an interest deserving protection does not suffice to collect damages from anyone who causes injury to that interest . . . Not every deplorable act . . . is redressable in damages" (*id.* at 746 [citation, internal quotation marks and brackets omitted]).

[2] We do not deny that there are significant policy reasons that favor recognizing an independent medical monitoring cause of action. There is certainly "an important public health interest in fostering access to medical testing" for those whose exposure has resulted in an increased risk of disease, and such testing could lead to early detection and treatment, not only mitigating future illness but also reducing the cost to the tortfeasor (*Bower*, 206 W Va at 140, 522 SE2d at 431, quoting *Potter v Firestone Tire & Rubber Co.*, 6 Ca1 4th 965, 1008, 863 P2d 795, 824 [1993]). However, "the potential systemic effects of creating a new, full-blown, tort law cause of action" cannot be ignored (*Metro-North Commuter R. Co. v Buckley*, 521 US 424, 443-444 [1997] [refusing to recognize a tort claim for medical monitoring costs where the plaintiff was exposed to asbestos but had not manifested symptoms of a disease]). For instance, dispensing with the physical injury requirement could permit "tens of millions" of potential plaintiffs to recover monitoring costs, effectively flooding the courts while concomitantly depleting the purported tortfeasor's resources for those who have actually sustained damage (*id.* at 442-444).³ Moreover, it is speculative, at best, whether asymptomatic plaintiffs will ever contract a disease; allowing them to recover medical monitoring costs without first establishing physical injury would lead to the inequitable diversion of money away from those who have actually sustained an injury as a result of the exposure.

3. Contrary to the dissent's contention (dissenting op at 456), the concern that a medical monitoring cause of action would promote frivolous claims is not "unfounded." For instance, in West Virginia, shortly after the state's highest court decided *Bower*, a class action lawsuit was filed against cigarette manufacturers on behalf of 250,000 West Virginia smokers seeking damages for medical monitoring notwithstanding the fact that they had not been diagnosed with any smoking-related disease (see Victor E. Schwartz et al., *Medical Monitoring: The Right Way and the Wrong Way*, 70 Mo L Rev 349, 382 n 190 [2005]; see also *In re West Virginia Rezulin Litig.*, 214 W Va 52, 73, 585 SE2d 52, 73 [2003] [relying on *Bower* in holding that the lower court erred in denying class certification of 5,000 plaintiffs seeking medical monitoring damages]).

From a practical standpoint, it cannot be overlooked that there is no framework concerning how such a medical monitoring program would be implemented and administered. Courts generally lack “the technical expertise necessary to effectively administer a program heavily dependent on scientific disciplines such as medicine, chemistry, and environmental science” (*Henry*, 473 Mich at 91-92, 701 NW2d at 698-699). The legislature is plainly in the better position to study the impact and consequences of creating such a cause of action, including the costs of implementation and the burden on the courts in adjudicating such claims (*see Schwartz, Medical Monitoring: The Right Way and the Wrong Way*, 70 Mo L Rev at 382-385).⁴

III

We conclude that the policy reasons set forth above militate against a judicially-created independent cause of action for medical monitoring. Allowance of such a claim, absent any evidence of present physical injury or damage to property, would constitute a significant deviation from our tort jurisprudence. That does not prevent plaintiffs who have in fact sustained physical injury from obtaining the remedy of medical monitoring. Such a remedy has been permitted in this State’s courts as consequential damages, so long as the remedy is premised on the plaintiff establishing entitlement to damages on an already existing tort cause of action. Accordingly, we answer the first certified question in the negative, and we decline to answer the second certified question as academic.

Chief Judge LIPPMAN (dissenting). Rarely are we presented with a case more worthy of the age-old maxim that equity will not suffer a wrong without a remedy. Where, as here, it is within the Court’s power to provide a vehicle for plaintiffs to seek equitable relief capable of forestalling profound suffering and death, judicial hesitance and legislative deference only serve to thwart the ends of justice. Because I believe that overall fairness demands that New York recognize an independent equitable medical monitoring cause of action for smokers who can prove that their enhanced risk of cancer was caused by the

4. The state legislature in Louisiana, one year after its highest court recognized an independent cause of action for medical monitoring in *Bourgeois v A.P. Green Indus., Inc.* (716 So 2d 355 [La 1998]) which did not require the plaintiff to establish any physical harm, amended its civil code to eliminate medical monitoring as a compensable item of damage absent manifest physical injury or damage (*see* La Civ Code Ann art 2315).

wrongful conduct of tobacco companies, I dissent and would answer the first certified question in the affirmative.¹

Relief in the form of medical monitoring has developed in response to “a world in which people regularly encounter environmental toxins, the effects of which are largely unknown” (*Recent Cases, Supreme Judicial Court of Massachusetts Recognizes Cause of Action for Medical Monitoring of Tobacco Users*, 123 Harv L Rev 1771, 1771 [2010]), and the “growing recognition that exposure to toxic substances . . . may cause substantial injury which should be compensable even if the full effects are not immediately apparent” (*Donovan v Philip Morris USA, Inc.*, 455 Mass 215, 225, 914 NE2d 891, 901 [2009], citing *Hansen v Mountain Fuel Supply Co.*, 858 P2d 970, 977 [Utah 1993]). It is undisputed in the scientific community and conceded by defendant Philip Morris—albeit only since 1999—that cigarettes are a lethal and addictive product which contain cancer-causing carcinogens. Lung cancer is the leading cause of cancer death in the United States, and smoking is responsible for between 80 and 90 percent of lung cancer deaths. Moreover, the high mortality rate in lung cancer patients is largely due to the latent nature of the disease, whose symptoms typically manifest only after the cancer has metastasized, at which point survival rates are in the single digits. However, advances in imaging technology have resulted in the development of Low-Dose Computerized Tomography scanning of the chest (LDCT), a monitoring method widely acknowledged in the medical community as allowing for the detection of lung cancer tumors at a much earlier stage than previously possible. LDCT can detect cancer when it is still localized, at a point when surgery and/or chemotherapy have vastly higher success rates. The significance of this technological advancement cannot be overstated. It is a critical development in our society’s medical knowledge that has the potential of transforming lung cancer into a survivable disease.

Furthermore, plaintiffs have submitted expert evidence attesting that Marlboro cigarettes expose smokers to excessive and unreasonably dangerous levels of carcinogens. These experts also contend that, since the time Marlboro cigarettes were first sold, it was technologically feasible for Philip Morris to design a cigarette which delivered a dramatically lower

1. In light of the Court’s disposition, it is unnecessary for me to formally reach the second certified question. However, in the course of responding to the majority opinion, I will of necessity discuss particular features of the proposed cause of action that would make it both administratively manageable and effective in achieving its equitable purpose.

amount of tar but were equally “pleasurable,” reducing exposure to carcinogenic agents by 100 fold without reducing the product’s “utility.”²

We are thus presented with a defendant who has allegedly engaged in long-term and continuing misconduct and plaintiffs who, as a proximate result of that wrongdoing, have allegedly reached a risk level threshold for lung cancer at which medical experts believe LDCT screening is “reasonable and necessary” to facilitate early detection so as to avert terrible suffering and near-certain death. Legal recovery eludes these plaintiffs, however, because they do not manifest the kind of physical, symptomatic injury traditionally required for a valid tort claim. Furthermore, plaintiffs are unlikely to manifest symptoms of lung cancer unless and until the disease is at an advanced stage, at which point mortality rates are high and the only treatments available would be aimed at extending their lives, not saving them.

It is difficult to envision a scenario more worthy of the exercise of this Court’s equitable powers. Indeed, it is contrary to the spirit of New York law to deny these plaintiffs an opportunity to seek relief in equity where the policy justifications for the proposed medical monitoring cause of action are so compelling. First, monitoring claims promote the “important public health interest in fostering access to medical testing for individuals whose exposure to toxic chemicals creates an enhanced risk of disease, particularly in light of the value of early diagnosis and treatment for many cancer patients” (*Potter v Firestone Tire & Rubber Co.*, 6 Cal 4th 965, 1008, 863 P2d 795, 824 [1993]; accord *Meyer ex rel. Coplin v Fluor Corp.*, 220 SW3d 712, 718 [Mo 2007]; *Bower v Westinghouse Elec. Corp.*, 206 W Va 133, 140, 522 SE2d 424, 431 [1999]; *Redland Soccer Club, Inc. v Department of the Army & Dept. of Defense of the U.S.*, 548 Pa 178, 194, 696 A2d 137, 145 [1997]; *Ayers v Township of Jackson*, 106 NJ 557, 603, 525 A2d 287, 311 [1987]). Second, implementing a medical monitoring program has

2. Specifically, plaintiffs’ experts contend that it was feasible for Philip Morris to make design improvements that would have reduced Marlboros’ excessive carcinogenicity by increasing a smoker’s “resistance to draw,” utilizing a less carcinogenic “filler” tobacco, reducing the protein content of tobacco, avoiding its over-fertilization, reducing or eliminating the use of flue curing, and reducing the use of sugars in Marlboros.

economic benefits not only for plaintiffs,³ but also for tobacco companies, since the cost of monitoring and treatment upon early detection pales in comparison to the expenses of treatment post-diagnosis, not to mention those incurred by defendants in wrongful death suits (*see Ayers*, 106 NJ at 604, 525 A2d at 312 [“The availability of a substantial remedy before the consequences of the plaintiffs’ exposure are manifest may also have the beneficial effect of preventing or mitigating serious future illnesses and thus reduce the overall costs to the responsible parties”]; *accord Burns v Jaquays Min. Corp.*, 156 Ariz 375, 380, 752 P2d 28, 33 [1987]). Third, requiring defendant to cover the costs of reasonably necessary medical monitoring would serve an important deterrence function. As evidenced by the District Court’s dismissal of plaintiffs’ negligence, strict liability and breach of warranty claims, the burdens of proof for injury, causation and timeliness in tort make the threat of legal action ineffective at deterring the kind of misconduct alleged here. This is especially true since, by the time lung cancer symptoms manifest, the long period of latency erects obstacles to establishing the causal connection between the tortious conduct and the onset of plaintiffs’ disease (*see Ayers*, 106 NJ at 604, 525 A2d at 312; Arvin Maskin et al., *Medical Monitoring: A Viable Remedy for Deserving Plaintiffs or Tort Law’s Most Expensive Consolation Prize?*, 27 Wm Mitchell L Rev 521, 526-527 [2000] [“the longer the latency period, the more likely that plaintiffs will have exercised other lifestyle or occupational choices that arguably could have contributed to their illness, rendering a verdict against the defendants less likely”]). Finally, it is just to shift the cost of medical monitoring onto the tortfeasor because “it would be inequitable for an individual wrongfully exposed to dangerous toxins, but unable to prove that cancer or disease is likely, to have to pay the expense of medical monitoring when such intervention is clearly reasonable and necessary” (*Potter*, 6 Cal 4th at 1008, 863 P2d at 824 [citations omitted]).

In sum, where a defendant’s alleged misconduct causes severe harm, and the opportunity exists to save lives and alleviate

3. Though not addressed by the majority, Philip Morris is unpersuasive in arguing that, due to promised coverage of preventive procedures under the Affordable Care Act, it is a foregone conclusion that plaintiffs and the class they seek to represent will soon obtain free access to LDCT monitoring. To the extent that this not-yet-effective legislation may provide widespread coverage for LDCT monitoring, the potential for an offset against plaintiffs’ recovery under the collateral source rule should not preclude liability.

suffering, countervailing public policy considerations must be extraordinarily compelling to justify such an “absolute failure of justice” (*Strusburgh v Mayor of City of N.Y.*, 87 NY 452, 456 [1882]). The majority’s justifications fall short of the mark.

In refusing to recognize an independent equitable action for medical monitoring, the majority raises the specter of a flood of frivolous claims brought by asymptomatic plaintiffs, leading to the “inequitable diversion of money away from those who have actually sustained an injury as a result of the exposure” (majority op at 451). This fear is unfounded.⁴ As an initial matter, the surest way to safeguard against frivolous claims and limitless liability is to carefully tailor the elements of a cause of action, which is by no means an insurmountable challenge here. The first step is to prescribe an alternatively defined injury requiring definite and identifiable proof. Plaintiffs urge us to define the injury as the enhanced risk of cancer recognized by medical experts according to specifically defined thresholds of age (at least 50 years old) and exposure to carcinogens (at least 20 pack-years). Such an approach neither opens the litigation floodgates nor unduly burdens the courts. Indeed, linking the injury element to standards recognized in the scientific community is a familiar judicial exercise in the context of claims related to latent injury due to exposure to toxic substances. For example, in *Giordano v Market Am., Inc.* (15 NY3d 590, 601 [2010]), this Court was called upon to interpret CPLR 214-c’s requirement that a plaintiff “‘allege and prove that technical, scientific or medical knowledge and information sufficient to ascertain the cause of his injury had not been discovered, identified or determined’ before the expiration of the otherwise-

4. The majority’s reliance on problems related to medical monitoring litigation in West Virginia after *Bower v Westinghouse Elec. Corp.* (206 W Va 133, 522 SE2d 424 [1999]) is misplaced. *Bower* failed to adequately delineate the elements of the recognized cause of action (see *Maskin, supra* at 538 [discussing weaknesses of the *Bower* approach]). Unlike the limitations proposed here, *Bower* did not require plaintiffs to prove that their enhanced risk of disease correlated to a threshold risk level recognized by the medical community as rendering monitoring reasonable and necessary. Nor did *Bower* require plaintiffs to demonstrate the existence of an effective treatment in order to justify medical monitoring. Finally, the remedy in *Bower* is not limited to a court-administered fund for a monitoring program, but rather allows for lump-sum awards. That West Virginia does not represent an ideal model for an independent equitable action for medical monitoring does not militate against recognition of such a claim that is subject to appropriate limitations (see Victor E. Schwartz et al., *Medical Monitoring: The Right Way and the Wrong Way*, 70 Mo L Rev 349, 366-368 [2005]).

applicable limitation period” (*id.* at 600). This Court determined that “the test is one of general acceptance of that [causal] relationship in the relevant technical, scientific or medical community” (*id.* at 601). We rejected the argument that courts are ill-equipped to determine whether the element of causation had been proven based on such expert testimony since “[the] test is familiar to New York lawyers and judges. Our courts follow *Frye v United States* (293 F 1013 [DC Cir 1923]) in making ‘general acceptance’ the test for admitting expert testimony about scientific principles or discoveries” (*id.*, citing *People v LeGrand*, 8 NY3d 449, 457 [2007] and *People v Wesley*, 83 NY2d 417, 422 [1994]). Just as courts are capable of applying the “general acceptance” standard to discern whether a plaintiff has satisfied the causality requirement under CPLR 214-c, so too are we equipped to apply analogous standards based on contemporary scientific principles to “determine whether a litigant actually possesses a claim” (majority op at 446) in equity for medical monitoring (*see Donovan*, 455 Mass at 226-227, 914 NE2d at 902 [enumerating elements of a cause of action for medical monitoring and noting that “(p)roof of these elements usually will require competent expert testimony”]; *In re Paoli R.R. Yard PCB Litig.*, 916 F2d 829, 852 [3d Cir 1990], *cert denied* 499 US 961 [1991]; *Ayers*, 106 NJ at 606, 525 A2d at 312; *Hansen*, 858 P2d at 979-980).

Beyond circumscribing the alternative injury requirement, the claim’s scope would be further curtailed by the other enumerated elements. For instance, plaintiffs would still have the burden of proving defendant’s tortious conduct, however defined (*see Donovan*, 455 Mass at 226, 914 NE2d at 902 [negligence]; *Hansen*, 858 P2d at 979 [same]; *Potter*, 6 Cal 4th at 974, 863 P2d at 800 [same]; *Redland*, 548 Pa at 195-196, 696 A2d at 145-146 [same]; *Bower*, 206 W Va at 139, 140, 522 SE2d at 430, 431 [“tortious conduct”]; *Abbatiello v Monsanto Co.*, 522 F Supp 2d 524, 539 [SD NY 2007] [predicting that this Court would recognize an independent action for medical monitoring and would allow plaintiffs to prove wrongdoing sounding in negligence, strict liability, abnormally dangerous activities, nuisance, or trespass]). Furthermore, despite the uncontroverted medical evidence that nicotine’s addictive qualities, combined with the additives in cigarettes which enhance those propensities, put the addictive nature of cigarettes on par with cocaine and heroin (*see e.g. Evans v Lorillard Tobacco Co.*, 465 Mass 411, 420, 990 NE2d 997, 1009 [2013]), smoking cigarettes

undeniably involves a conscious (not to mention legal) act of exposure to carcinogens. Heavy smokers are thus different from individuals whose exposure to toxic substances is wholly inadvertent. In this sense, smokers' claims for medical monitoring could be further restricted by the availability of tort defenses such as contributory negligence (*see Donovan*, 455 Mass at 226 n 11, 914 NE2d at 901 n 11; *Potter*, 6 Cal 4th at 974, 863 P2d at 801 [comparative fault principles may apply in smoking context]; *Dangler v Town of Whitestown*, 241 AD2d 290, 294 [4th Dept 1998] [a jury may be entitled to consider plaintiffs' "voluntary exposure to carcinogens, for example, by smoking"]).

The majority's position that the proposed cause of action threatens a deluge of frivolous claims is also undermined by the fact that plaintiffs would need to prove: (1) the existence of an efficacious method of screening for early detection which not only (2) conforms with the medical standard of care but (3) is also reasonably necessary given the enhanced risk of cancer (*see e.g. Hansen*, 858 P2d at 979-980). In this case, these requirements would, among other things, necessitate proof that, had Philip Morris marketed and sold "safer" cigarettes, plaintiffs would have smoked them. A recent case of this Court evidences the difficulty of supplying such proof (*Adamo v Brown & Williamson Tobacco Corp.*, 11 NY3d 545 [2008] [plaintiffs failed to establish tobacco manufacturer's liability in a product liability action where there was no proof that the proposed alternative design (a "safer" cigarette) was equivalent in "function" or "utility" in terms of providing smokers with equivalent satisfaction]). When properly tailored, the cause of action would set a high bar for plaintiffs to meet, dispelling concerns of any onslaught of meritless litigation.

Nor is the majority warranted in its fear that recognizing an appropriately tailored cause of action for medical monitoring for plaintiff smokers would expose defendants to boundless liability. Notably, this concern has been voiced in the toxic tort context primarily regarding the availability of lump-sum money damages, rather than injunctive relief (*see e.g. Ayers*, 106 NJ at 609-610, 525 A2d at 314 [upholding the jury's lump-sum award but noting the court's preference for relief in the form of a court-administered fund for medical monitoring]; Victor E. Schwartz et al., *Medical Monitoring: The Right Way and the Wrong Way*, 70 Mo L Rev 349, 369-373 [2005] [arguing that "(l)ump-sum awards are starkly at odds with the traditional scientific goal of medical monitoring and surveillance: detecting the onset of

disease,” and noting that the lack of assurance that such damages will be spent on surveillance presents the danger of a windfall recovery]).

In particular, the majority relies on *Metro-North Commuter R. Co. v Buckley* (521 US 424 [1997]), where asymptomatic plaintiffs who had been exposed to asbestos sued their employer under the Federal Employers’ Liability Act (45 USC § 51 *et seq.*) for negligent infliction of emotional distress, seeking, *inter alia*, compensatory damages for future medical monitoring. In denying plaintiffs money damages, the Supreme Court pointed out that cases permitting recovery of a monitoring remedy without proof of manifest injury were based on equitable or injunctive decrees (*id.* at 440-441, citing *Ayers*, 106 NJ at 608, 525 A2d at 314; *Hansen*, 858 P2d at 982; *Potter*, 6 Cal 4th at 1010, 863 P2d at 825; *Burns*, 156 Ariz at 381, 752 P2d at 34). The Supreme Court’s cautions as to runaway liability thus have little bearing on the certified question before this Court, which concerns the availability of an *equitable* remedy in an independent *equitable* cause of action. Indeed, Justice Ginsburg’s dissent observed that “non-injured” claimants were at liberty to seek an equitable remedy (*Metro-North*, 521 US at 455-456 [Ginsburg, J., dissenting] [“(Plaintiff) may replead a claim for relief and recover for medical monitoring, but he must receive that relief in a form other than a lump sum”]).⁵

Finally, establishing a court-administered fund to finance a medical surveillance program is a “highly appropriate exercise of the Court’s equitable powers” (*Ayers*, 106 NJ at 608, 525 A2d at 608). In reaching a contrary conclusion, the majority claims that courts lack the requisite expertise to administer a program “dependent on scientific disciplines” and that “there is no framework concerning how such a medical monitoring program would be implemented and administered” (majority op at 452). In fact, valuable guidance on the administration of medical monitoring programs has been provided by the courts that have

5. *Askey v Occidental Chem. Corp.* (102 AD2d 130 [4th Dept 1984]), *Abusio v Consolidated Edison Co. of N.Y.* (238 AD2d 454 [2d Dept 1997]) and their progeny similarly addressed medical monitoring as an aspect of consequential damages in an action at law. As such, those cases are inapposite to the questions certified to the Court, and the majority’s analysis of them is misdirected. The relevance of *Askey* here is that New York courts have recognized the desirability of providing equitable relief in the form of monitoring, while acknowledging the difficulties inherent in pursuing it as a remedy in a traditional tort action. An independent equitable cause of action for medical monitoring would resolve this dilemma.

granted such relief. For example, almost 15 years ago a Florida appellate court outlined specific guidelines to follow in running a medical monitoring fund (see *Petito v H.H. Robins Co., Inc.*, 750 So 2d 103, 107 [Fla Dist Ct App 1999]). In adopting the *Petito* framework, the Court of Appeals of Maryland recently summarized the following steps that may be appropriate for courts to follow if plaintiffs can demonstrate an entitlement to medical monitoring relief:

“(1) appoint a plan administrator; (2) with the administrator’s advice, approve an advisory panel of persons qualified and knowledgeable in the relevant medical field or fields to supervise, among other things, the persons who consume or undergo medication and treatment, and select a list of skilled and neutral examining physicians to perform the medical tests; (3) establish a time frame for those eligible to obtain the monitoring; and (4) authorize the plan administrator to pay the reasonable amounts of claims based on submitted reports and findings by the monitoring physicians” (*Exxon Mobil Corp. v Albright*, 433 Md 303, 388, 71 A3d 30, 81 [2013], citing *Petito*, 750 So 2d at 106).

These and similar guidelines provide useful roadmaps for administering a medical monitoring program.

The common law must evolve with advances in scientific understanding to fashion relief and provide redress for wrongs newly understood, particularly when such relief can prevent devastating disease and death. In equity, “there is often an element of discretion, but never a discretion that is absolute as not to bend before the blast of extraordinary circumstances” (*Evangelical Lutheran Church v Sahlem*, 254 NY 161, 167 [1930, Cardozo, Ch. J.]). In the face of such circumstances, the majority resolutely stands frozen in time as it denies plaintiffs the opportunity to take advantage of life-saving technology. This result is indefensible when equitable relief is well within the province of this Court.

Judges GRAFFEO, READ and ABDUS-SALAAM concur with Judge PIGOTT; Chief Judge LIPPMAN dissents in an opinion in which Judge RIVERA concurs; Judge SMITH taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this Court’s

Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, first certified question answered in the negative and second certified question not answered as academic.

[5 NE3d 972, 982 NYS2d 809]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TORREL SMITH, Appellant.

Argued November 13, 2013; decided December 17, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 15, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Westchester County (Barbara Gunther Zambelli, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree.

People v Smith, 95 AD3d 1145, affirmed.

HEADNOTES

Appeal — Preservation of Issue for Review

1. In a robbery prosecution, defendant's argument that the testimony of two police officers regarding the victim's description of one of the robbers, given to the police shortly after the crime, improperly bolstered the victim's testimony as to the description of the robber he gave to the police was preserved for review on appeal. Regardless of whether defendant's objection to the testimony was sufficiently explicit, the trial court, in response to defendant's protest, "expressly decided the question raised on appeal," thus preserving the issue for review (CPL 470.05 [2]).

Crimes — Identification of Defendant — Improper Bolstering of Identification Evidence

2. A police officer's testimony to a victim's description of the perpetrator, where it does not tend to mislead the jury, may be admissible under the *Huertas* rule that a crime victim can testify to his or her own description of the perpetrator, given to the police shortly after the crime (*People v Huertas*, 75 NY2d 487 [1990]). There is no justification for limiting the *Huertas* rule to a witness's account of his or her own previous statement. A statement that is not hearsay when the declarant testifies to it does not become hearsay when someone else does so. However, a court retains discretion to exclude evidence of prior consistent statements when it reasonably finds that evidence to be more prejudicial than probative. Accordingly, in the robbery prosecution of defendant, testimony by two police officers regarding the description of one of the robbers given to them by the victim on the night of the crime did not improperly bolster the testimony of the victim, who had identified defendant as one of the two men who had robbed him and testified about the description he had given the police. The brief recitation by the officers of the victim's description was not likely to give the jury the false impression that there was an impressive amount of testimony corroborating the victim's account and the defendant was not prejudiced by the admission of this evidence.

Crimes — Identification of Defendant — Improper Bolstering of Identification Evidence

3. *People v Huertas* (75 NY2d 487 [1990]), which held that a crime victim could testify to his or her own description of the attacker, given to the police

shortly after the crime, extends to cases in which the witness who recounts the description in court is not the same witness who gave the description initially. *People v Williams* (206 AD2d 917 [4th Dept 1994]), which holds otherwise, should not be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 618, 623, 703; AM JUR 2d, Evidence §§ 310, 574.
CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:232, 194:236, 194:237; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:33.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
MCKINNEY'S, CPL 470.05 (2).
NY JUR 2d, Criminal Law: Procedure §§ 2077–2079, 2149, 2244, 2674, 3454, 3455, 3462.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Description and Identification; Evidence Rules.

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POINTS OF COUNSEL

The Legal Aid Society of Westchester County, White Plains (Salvatore A. Gaetani and John F. Ryan of counsel), for appellant. I. The issue of whether the trial court's ruling was an unwarranted extension of *People v Huertas* (75 NY2d 487 [1990]) is preserved for this Court's review since in response to defendant's objections and the arguments of the parties, the trial court, relying on *Huertas*, expressly decided the question raised on appeal. (*People v Ragunauth*, 24 AD3d 472; *People v Linton*, 62 AD3d 722; *People v Ayala*, 298 AD2d 397; *People v Prado*, 4 NY3d 725; *People v Hawkins*, 11 NY3d 484; *People v Edwards*, 95 NY2d 486; *People v Jeanty*, 94 NY2d 507; *People v Ayala*, 142 AD2d 147, 75 NY2d 422; *People v Feingold*, 7 NY3d 288; *People v Payne*, 3 NY3d 266.) II. In this one-witness identification case where the complainant testified about the description of the perpetrator he gave police, the trial court's ruling that allowed police testimony about the description they received from the complainant extended the rule in *People v Huertas* (75 NY2d 487 [1990]) beyond its legitimate purpose.

This constituted impermissible bolstering, abrogated the rule in *People v Caserta* (19 NY2d 18 [1966]), and deprived Torrel Smith of a fair trial under both the State and Federal Constitutions. (*People v Walker*, 70 AD3d 870; *People v Linton*, 62 AD3d 722; *People v Bryan*, 50 AD3d 1049; *People v Ayala*, 298 AD2d 397; *People v Oliver*, 14 AD3d 437; *People v Roman*, 5 AD3d 311; *People v Victor*, 271 AD2d 556; *People v Ragsdale*, 68 AD3d 897; *People v Nealy*, 32 AD3d 400.)

Janet DiFiore, District Attorney, White Plains (*Maria I. Wager*, Steven A. Bender and Richard Longworth Hecht of counsel), for respondent. I. Defendant's claim that the trial court committed reversible error and denied him a fair trial by improperly extending this Court's precedent when it allowed two police witnesses to recount the description of the perpetrator, given to them by the victim, shortly after the crime, is not preserved for this Court's review. (*People v Huertas*, 75 NY2d 487; *People v Vidal*, 26 NY2d 249; *People v West*, 56 NY2d 662; *People v Qualls*, 55 NY2d 733; *People v Garcia*, 83 NY2d 817; *People v Gonzalez*, 55 NY2d 720; *People v Fleming*, 70 NY2d 947; *People v Prado*, 4 NY3d 725; *People v Dekle*, 56 NY2d 835.) II. Police witnesses can properly recount another witness' description of the perpetrator, given to them after the crime, because such evidence is offered for a legitimate nonhearsay purpose. Because the evidence is not being offered for its truth, it does not bolster the witness' identification, as defendant contends. (*People v Huertas*, 75 NY2d 487; *People v Caserta*, 19 NY2d 18; *People v Buie*, 86 NY2d 501; *People v Morales*, 37 NY2d 262; *People v McDaniel*, 81 NY2d 10; *People v Tosca*, 98 NY2d 660; *Matter of Danny R.*, 50 NY2d 1026; *People v Figueroa*, 35 AD3d 204; *People v Oliver*, 14 AD3d 437; *People v Griffin*, 173 AD2d 216.)

OPINION OF THE COURT

SMITH, J.

We held in *People v Huertas* (75 NY2d 487 [1990]) that a crime victim could testify to her own description of her attacker, given to the police shortly after the crime. We now hold that a police officer's testimony to a victim's description, where it does not tend to mislead the jury, may also be admissible under the *Huertas* rule.

I

Defendant was convicted of robbing Hector Velez. A video recording that shows Velez being robbed by two men was admitted

into evidence, but the face of the man alleged to be defendant does not appear clearly on the video. Velez identified defendant at trial as one of the robbers and also testified, without objection, to a description he had given the police on the night of the crime of a black man “about 5'6, short hair, round face, thick eyebrows” and wearing a white shirt. The description fits defendant, but in the video the man alleged to be defendant is wearing a blueish-gray shirt. Velez testified that, before he saw the video, he realized that his description of the shirt was in error, and corrected it.

Two police officers also testified, over objection, that Velez had given a description on the night of the crime. The officers’ accounts of the description were brief, and consistent with Velez’s. One said that Velez had described a man “between 5'6 to 5'7 in height wearing shorts and . . . a white T-shirt.” The other said only that Velez had described “a short black male, dark skinned.”

On appeal to the Appellate Division, defendant argued that the officers’ testimony had improperly bolstered that of Velez. The Appellate Division affirmed, holding that this argument was unpreserved and, as an alternative holding, that it failed on the merits (*People v Smith*, 95 AD3d 1145 [2012]). A Judge of this Court granted leave to appeal (20 NY3d 989 [2012]), and we now affirm.

II

[1] We disagree with the Appellate Division’s holding on preservation. Regardless of whether defendant’s objection to the testimony was sufficiently explicit, the trial court, in response to defendant’s protest, “expressly decided the question raised on appeal,” thus preserving the issue for review (CPL 470.05 [2]). The Appellate Division was correct, however, in rejecting defendant’s argument on the merits.

The term “bolstering” is used to describe the presentation in evidence of a prior consistent statement—that is, a statement that a testifying witness has previously made out of court that is in substance the same as his or her in-court testimony. As we explained in *People v Buie* (86 NY2d 501, 509-511 [1995]), such statements are generally excluded by the hearsay rule, unless a hearsay exception is applicable. Prior consistent statements will often be less prejudicial to the opposing party than other forms of hearsay, since by definition the maker of the statement has

said the same thing in court that he said out of it, and his credibility can be tested by cross-examination. Thus, in many cases, the admission of purely redundant hearsay creates no greater evil than waste of time. We have warned, however, that the admission of prior consistent statements may, by simple force of repetition, give to a jury an exaggerated idea of the probative force of a party's case (see *People v Trowbridge*, 305 NY 471, 477 [1953]; *People v Caserta*, 19 NY2d 18, 21 [1966]).

Trowbridge and *Caserta* involved a particular kind of prior consistent statement: a previous identification of the defendant by an eyewitness to a crime. Under CPL 60.30, testimony to such an identification by the witness who made it is admissible, as an exception to the hearsay rule. Interpreting a predecessor statute to CPL 60.30, we held in *Trowbridge*, and reaffirmed in *Caserta*, that this exception extends no further than the language of the statute creating it. Testimony by one witness (e.g., a police officer) to a previous identification of the defendant by another witness (e.g., a victim) is inadmissible.

Huertas involved a different kind of prior consistent statement: a witness's description, given shortly after the crime, of the person who committed it. *Huertas* held testimony about a description to be admissible not under any exception to the hearsay rule, but because the testimony is not hearsay at all. It is admitted not for the truth or accuracy of the prior description, but as "evidence that assists the jury in evaluating the witness's opportunity to observe at the time of the crime, and the reliability of her memory at the time of the corporeal identification" (*Huertas*, 75 NY2d at 493). While the distinction *Huertas* makes has been criticized (see Martin, Capra and Rossi, New York Evidence Handbook § 8.2.4 at 670-671 [2d ed]), defendant does not ask us to retreat from *Huertas*'s holding, and we take this occasion to reaffirm it. As a general matter, evidence as to how a witness described the offender when the witness's memory was fresh is much more likely to advance than to hinder accurate fact-finding.

[2, 3] The issue here is whether the rule of *Huertas*, like CPL 60.30's hearsay exception for prior eyewitness identifications, is limited to a witness's account of his or her own previous statement. We see nothing to justify such a limitation. A statement that is not hearsay when the declarant testifies to it does not become hearsay when someone else does so. Indeed, we recognized in *People v Rice* (75 NY2d 929, 931 [1990]), decided the same day as *Huertas*, that the rule of *Huertas* might make

admissible “testimony of the complainant *and police officers* concerning a description of the perpetrator given by the complainant” (emphasis added). Several Appellate Division decisions correctly recognize that *Huertas* extends to cases in which the witness who recounts the description in court is not the same witness who gave the description initially (e.g. *People v Linton*, 62 AD3d 722, 723 [2d Dept 2009]; *People v Ragunauth*, 24 AD3d 472, 473 [2d Dept 2005]; *People v Guerra*, 168 AD2d 394, 395 [1st Dept 1990]). *People v Williams* (206 AD2d 917 [4th Dept 1994]), which holds otherwise, should not be followed.

Our holding today should not be interpreted as giving carte blanche to the presentation of redundant police testimony that accomplishes no useful purpose. We remarked in *Rice* that a recognition that police testimony to a victim’s description might be admissible “does not constitute a holding that four witnesses may give this identical evidence” (75 NY2d at 931 n). A court retains discretion to exclude evidence of prior consistent statements when it reasonably finds that evidence to be more prejudicial than probative. But here, the brief recitation by two officers of Velez’s description of a man who robbed him was not likely to give the jury the false impression that there was “an impressive amount of testimony” corroborating Velez’s account (see *Caserta*, 19 NY2d at 21). We see no prejudice to defendant from its admission.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). I disagree with the majority’s conclusion that *People v Huertas* (75 NY2d 487 [1990]) may be interpreted to permit admission of police officers’ testimony of a crime victim’s description of the perpetrator. I see no basis upon which to conclude such evidence constitutes anything other than bolstering of the victim’s testimony. Therefore, I dissent.

Our case law provides that a prior consistent statement is inadmissible unless it is offered not for its truth, but for some other relevant purpose, or fits within a proper hearsay exception (see e.g. *id.*). Otherwise, such prior consistent statement constitutes bolstering which is prohibited because “untrustworthy testimony does not become less so merely by repetition” (*People v McDaniel*, 81 NY2d 10, 16 [1993] [citing *People v McClean*, 69 NY2d 426, 428 (1987)]).

The decision in *Huertas* permitted prior descriptive statements by the victim because in that case such statements were

offered for the nonhearsay purpose of assessing the victim's observations and the reliability of her memory. The *Huertas* analysis focused on the victim's ability to construct a mental image of the perpetrator and whether that image differed at the time the victim made a "corporeal identification" of the defendant. That evidence aided the jury in assessing the victim's opportunity to observe the perpetrator at the moment of the crime, and, therefore, was admissible as relevant to the question of the victim's memory (*Huertas*, 75 NY2d at 493).*

The majority articulates no basis to ignore this prior case law in order to permit admission of a police officer's testimony about the victim's out-of-court description of the perpetrator, other than the majority's conclusion that there is "nothing to justify" a limitation on *Huertas* as applied to police testimony of the description given by the victim (majority op at 466). Yet, certainly there is a limitation, for, as the majority recognizes, in *People v Caserta*, we stated clearly the risk of bolstering associated with the admission of prior consistent statements that give the appearance of an exaggerated amount of evidence in support of the victim's identification (19 NY2d 18, 21 [1966]; see also *People v Trowbridge*, 305 NY 471, 477 [1953] ["Numerous repetitions by various witnesses of the fact that on a particular occasion an identification was made by a complainant . . . (are) capable of exaggerating . . . the probative value of properly received substantive proof of identity"]).

Here, the victim's prior statements arguably assisted the jury in assessing whether he had ample opportunity to observe the perpetrator, a permissible nonhearsay purpose under *Huertas*. In contrast, the police officers' repetition of this testimony in no way furthered the jurors fact-finding with respect to the victim's observation of the perpetrator. That is unless, as the majority states, "evidence as to how a witness described the offender when the witness's memory was fresh is much more likely to

* The *Huertas* case, like *People v Rice* (75 NY2d 929 [1990]) decided the same day, involved a prosecution for rape, historically the type of prosecution where challenges to the testimony of female victims were commonplace. Arguably admission of the victim's description testimony serves, regardless of its potential prejudice, a unique role in addressing the gendered treatment of rape identifications (see e.g. Francis X. Shen, *How We Still Fail Rape Victims: Reflecting on Responsibility and Legal Reform*, 22 Colum J Gender & L 1 [2011] [discussing various scientific studies tending to show that for numerous reasons, rape victims, sadly, are too often not believed]). Of course, defendant's case does not present similar concerns which might justify, on narrow grounds, admission of the police officers' testimony.

advance than to hinder accurate fact-finding” (majority op at 466). Which is simply to state that the likelihood of the description’s accuracy is greater when the description is provided closer to the time of the attack. If that is the purpose of the testimony then it is hearsay, because it is admitted for its truth. If that is not the purpose, then a police officer’s testimony that the victim provided a description of the attacker, and repeats that description for the jury, is nothing less than bolstering in its most basic sense because it “tends to give the idea to [the] jury that there is an impressive amount of testimony to identification when such is really not the fact” (*Caserta*, 19 NY2d at 21).

The majority states that its decision should not be read “as giving carte blanche to the presentation of redundant police testimony that accomplishes no useful purpose” (majority op at 467), but I can see no other result from the decision. Even if a court has discretion to exclude such evidence “when it reasonably finds [it is] more prejudicial than probative” (*id.*), it will continue to grapple with the question as to how many times a juror may hear testimony from persons other than the victim about the victim’s description, before the testimony constitutes bolstering. Apparently, after today’s decision, it requires at least three times (*id.* at 467).

I dissent.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and ABDUS-SALAAM concur with Judge SMITH; Judge RIVERA dissents in an opinion.

Order affirmed.

[5 NE3d 976, 982 NYS2d 813]

WILLIAM J. JENACK ESTATE APPRAISERS AND AUCTIONEERS, INC.,
Appellant, v ALBERT RABIZADEH, Respondent.

Argued November 13, 2013; decided December 17, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 19, 2012. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Orange County (Catherine M. Bartlett, J.), entered (a) upon an order of that court (David S. Ritter, J.), which had denied defendant's motion for summary judgment dismissing the complaint and granted plaintiff's cross motion for summary judgment on the issue of liability for breach of contract, and (b) upon an interlocutory judgment of that court (David S. Ritter, J.), rendered in favor of plaintiff and against defendant on the issue of liability, and which had, after a nonjury trial on the issue of damages, awarded plaintiff the principal sum of \$402,398; (2) granted defendant's motion for summary judgment dismissing the complaint; (3) denied plaintiff's cross motion for summary judgment on the issue of liability; (4) modified the order; (5) vacated the interlocutory judgment; and (6) dismissed the complaint.

William J. Jenack Estate Appraisers & Auctioneers, Inc. v Rabizadeh, 99 AD3d 270, reversed.

HEADNOTE

Frauds, Statute of — Sufficiency of Memorandum — Absentee Bidder at Public Auction

In a breach of contract action arising from the sale of an item for \$400,000 at a public auction run by plaintiff, at which defendant, as an absentee bidder, had submitted the highest bid for the item and then failed to pay, the sale of the item to defendant was sufficiently memorialized in a writing that satisfied the statute of frauds. In the case of a public auction for the sale of an item for \$500 or more, a bid may satisfy the statute of frauds where there exists an appropriate memorandum that specifies the nature and price of the property sold, the terms of the sale, the name of the purchaser, and the name of the person on whose account the sale was made (General Obligations Law § 5-701 [a] [6]). The required writing need not be contained in one single document, and, in the case of a public auction, a court may look to documents relevant to the bidding and the auction. Here, at the close of bidding, plaintiff's clerk recorded the amount of defendant's winning bid on a clerking sheet that set forth plaintiff's name at the top and also listed the item auctioned, the item's lot number, catalogue description, and defendant's assigned bidding number

to reflect him as the buyer. That sheet alone did not satisfy the statutory requirements as it did not include the bidder's name. However, the clerking sheet along with the absentee bidder form that defendant filled out and signed, and which contained defendant's name, phone numbers, addresses, credit card number and a list of items on which he intended to bid, provided the necessary information to establish the name of defendant as the buyer. While the actual seller's name was not provided on any documentation, the requirement of the name of the person on whose account the sale was made was satisfied by the clerking sheet, which listed plaintiff as the auctioneer who served as the agent of the seller. Section 5-701 (a) (6) does not reference the "seller," making it clear that the seller's name need not be provided to satisfy the statute. The statute of frauds was not enacted as a means of evading a just obligation, as defendant attempted to do here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Auctions and Auctioneers §§ 37, 38, 43; AM
JUR 2d, Statute of Frauds §§ 101, 270, 273.
CALAMARI AND PERILLO, CONTRACTS (5th ed) §§ 19.32,
19.33.
MCKINNEY'S, General Obligations Law § 5-701 (a) (6).
NY JUR 2d, Frauds, Statute of §§ 13, 158–162, 232–236.
WILLISTON ON CONTRACTS (4th ed) §§ 4:12, 29:29–29:34.

ANNOTATION REFERENCE

See ALR Index under Auctions; Frauds, Statute of.

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POINTS OF COUNSEL

Ostrer & Hoovler, P.C., Chester (*Benjamin Ostrer and Cynthia Dolan* of counsel), for appellant. I. The Second Department departed from this Court's holding in *Hicks v Whitmore* (12 Wend 548 [1834]), in requiring a literal application of General Obligations Law § 5-701 (a) (6) by requiring that only the consignor's name would satisfy the statute. (*Mentz v Newwitter*, 122 NY 491; *Matter of Peaslee*, 13 NY3d 75.) II. The entry of the agent's name upon the auction clerk's records was erroneously held to be insufficient to satisfy the statute of frauds or General Obligations Law § 5-701 (a) (6). (*Hicks v Whitmore*, 12 Wend 548; *Cristallina v Christie, Manson & Woods Intl.*, 117 AD2d 284.) III. In confining its reading of General Obligations Law § 5-701 solely to the primary and explicit sense of the words

utilized by the legislature, the Appellate Division failed to allow resort to multiple documents and thereby approved a misuse of the statute of frauds. (*Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48.) IV. The statute of frauds was improperly invoked. (*Thompson v Simpson*, 128 NY 270; *Morris Cohon & Co. v Russell*, 23 NY2d 569.) V. As the legally responsible party, the auctioneer satisfied the requirement of General Obligations Law § 5-701 with respect to the sale of lot No. 193 by including itself on the clerking sheets. (*Meyer v Redmond*, 205 NY 478; *Highland Capital Mgt. LP v Schneider*, 460 F3d 308; *Tallman v Franklin*, 14 NY 584; *Dulman v Fein & Co.*, 66 AD2d 809; *Marks v Cowdin*, 226 NY 138.)

Michael S. Winokur, Flushing, for respondent. I. The Appellate Division correctly reversed the lower court and correctly determined that the evidence presented by plaintiff on the motion to dismiss failed to show compliance with the statute of frauds. (*Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48.) II. The contract alleged in the complaint is unenforceable because the memorandum of sale entered in the sale book did not contain the name of the person on whose behalf the sale was made as required by General Obligations Law § 5-701 (a) (6). (*Hicks v Whitmore*, 12 Wend 548; *Peltier v Collins*, 3 Wend 459; *People v Finnegan*, 85 NY2d 53; *Mentz v Newwitter*, 122 NY 491; *Ward v Hasbrouck*, 7 Bedell 407; *Price v Durin*, 56 Barb 647; *Foxley v Sotheby's Inc.*, 893 F Supp 1224; *Hessel v Christie's Inc.*, 399 F Supp 2d 506; *Hagedorn v Lang*, 34 App Div 117; *Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48.) III. The auctioneer in the within case was not the person on whose account the item was put up for sale. (*Cristallina v Christie, Manson & Woods Intl.*, 117 AD2d 284; *Mickle v Christie's, Inc.*, 207 F Supp 2d 237; *Meyer v Redmond*, 205 NY 478; *Dulman v Fein & Co.*, 66 AD2d 809; *Tallman v Franklin*, 14 NY 584.) IV. The decision of the Appellate Division which reversed the lower court does not interfere with the practice of auction houses of not publicizing the names of sellers. (*Hicks v Whitmore*, 12 Wend 548.)

Cahill Partners LLP, New York City (*John R. Cahill* and *Ronald W. Adelman* of counsel), for Sotheby's, Inc. and another, amici curiae. I. Because there is a signed agreement, General Obligations Law § 5-701 (a) (6) is inapplicable. II. The auction sale in this case would have been enforceable even in the absence of a writing signed by defendant. (*Hessel v Christie's Inc.*, 399 F Supp 2d 506; *Callimanopulos v Christie's Inc.*, 621 F

Supp 2d 127; *Burling v Brinn*, 116 Misc 130; *Brown v Farmers' Loan & Trust Co.*, 117 NY 266; *Morris Cohon & Co. v Russell*, 23 NY2d 569; *Vom Lehn v Astor Art Galleries*, 86 Misc 2d 1; *Lindt v Henshel*, 25 NY2d 357; *Finnish Fur Sales Co., Ltd. v Juliette Shulof Furs, Inc.*, 770 F Supp 139; *Matter of Premier Container Corp. [Leinwand]*, 95 Misc 2d 859; *Hicks v Whitmore*, 12 Wend 548.)

OPINION OF THE COURT

RIVERA, J.

William J. Jenack Estate Appraisers and Auctioneers, Inc. (Jenack) appeals from an order of the Appellate Division granting defendant Albert Rabizadeh (Rabizadeh) summary judgment, and dismissing the complaint in its entirety. We reverse because the Appellate Division erred in concluding that Jenack failed to comply with the statutory requirement of a writing in support of its breach of contract claim.

Jenack sells fine art and antiques at public auctions. The underlying dispute arises from Jenack's claim for damages resulting from Rabizadeh's failure to pay for an item offered at a Jenack public auction. The central issue in contention between the parties is whether the sale of the auction item to Rabizadeh is memorialized in a writing that satisfies the statute of frauds.

As is common practice in public auction houses, Jenack permits bidding online and by telephone, or "absentee bidding," in addition to traditional in-person bidding, for items numbered and described on its website and in its published auction catalogue. At all times relevant to this appeal, Jenack's website set forth information about the auction process, as well as terms of sales for absentee bidders. The website stated, under the subsection titled "Bid Forms," that "[i]f you are unable to attend the auction in person, and wish to place absentee bids, we will be happy to bid on your behalf, according to the Terms & Conditions of sale." It further stated that "[y]our credit card guarantees the good will of your bidding!" It informed any and all prospective bidders of payment obligation by stating "if your bid is successful you are legally responsible to make payment according to the terms set forth here."

To facilitate absentee bidding, and in order for Jenack to serve on behalf of an absentee customer, Jenack required the prospective bidder to submit in advance an "Absentee Bid Form" posted on the website. At the top of the form, Jenack

notified bidders that payment was due within five days of a successful bid. Directly above the signature line, the form included a preprinted notification that “[b]ids will not be executed without signature. Signature denotes that you agree to our terms.”

Several days prior to a September 21, 2008 auction, Rabizadeh submitted a signed, absentee bidder form wherein he provided, as required by Jenack, his name, email address, telephone numbers, fax number, address, credit card number, and a list of items that Rabizadeh intended to bid on by telephone. Rabizadeh’s list included the item at issue in this case, designated by Jenack as “Item 193,” and described in the online and printed catalogue as a “Fine Russian silver/enamel covered box with gilt interior, signed I.P. Khlebnikov, 19th Century Height 1 1/2”; top 1/2 x 3 5/8 (Estimate \$4000-\$6000).” Upon receipt of this form, Jenack assigned bidder number 305 to Rabizadeh, and included this number on the top of the form.

At the September auction, Rabizadeh submitted a \$400,000 bid on item 193, and successfully outbid a competing bidder. At the close of the bidding for this item, the chief clerk recorded the winning bid on Jenack’s “clerking sheet.” This clerking sheet sets forth in a preprinted tabulated column format, a running list of the items presented at the public auction, with a separate line for each item that includes the item’s lot number, catalogue description, and the number assigned by Jenack to the consignor. At the top of the clerking sheet Jenack’s name and title are set forth as “William J. Jenack Appraisers/Auctioneers.” On the line for item 193, the chief clerk filled in Rabizadeh’s previously assigned bidding number to reflect him as the buyer, and the amount of his winning bid, \$400,000.

Shortly after the auction, Jenack, who was in possession of item 193, sent Rabizadeh an invoice for \$497,398, which reflected the bidding price, the 15% “buyer’s premium” and applicable taxes. When Rabizadeh failed to pay, Jenack commenced this action for breach of contract, seeking damages, including the bid price and buyer’s premium.

Rabizadeh moved for summary judgment claiming, as relevant here, that he was not liable for any monies to Jenack related to the auction because there was no writing memorializing any contract between Jenack and Rabizadeh, as required by the statute of frauds. Jenack responded by cross-moving for summary judgment, asserting that the clerking sheet and related

bidding documents complied with General Obligations Law § 5-701 (a) (6). Supreme Court denied Rabizadeh's motion and granted Jenack summary judgment on liability. After a non-jury trial on the issue of damages, Supreme Court entered judgment in favor of Jenack for the principal sum of \$402,398.

Rabizadeh appealed. The Appellate Division, Second Department, reversed, concluding that Rabizadeh demonstrated prima facie that Jenack failed to comply with General Obligations Law § 5-701 (a) (6) because the clerking sheet did not include "the name of the person on whose account the sale was made," as required by the statute, and Jenack failed to raise a triable issue as to this matter (99 AD3d 270, 278 [2012]). This Court granted Jenack leave to appeal (20 NY3d 856 [2013]).

On appeal, Jenack contends that there was a bid agreement between the parties, pursuant to that agreement Rabizadeh submitted the winning bid at the September auction and that the documents related to Rabizadeh's \$400,000 bid satisfy the statute of frauds. Jenack and Rabizadeh dispute whether the clerking sheet constitutes the writing required by General Obligations Law § 5-701 (a) (6), and whether any other document commemorates an agreement between them to purchase item 193.

This appeal comes to us in the posture of a summary judgment motion; thus we must consider whether Rabizadeh has met his burden to establish "a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]; see also CPLR 3212 [b]). This burden is a heavy one and on a motion for summary judgment, "facts must be viewed in the light most favorable to the non-moving party" (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012] [citation and internal quotation marks omitted]). Where the moving party fails to meet this burden, summary judgment cannot be granted, and the non-moving party bears no burden to otherwise persuade the court against summary judgment (*id.*). Indeed, the moving party's failure to make a prima facie showing of entitlement to summary judgment requires a denial of the motion, regardless of the sufficiency of the opposing papers (*id.*).

To successfully establish his entitlement to summary judgment based on his claim that there is no writing reflecting the sale agreement for item 193, Rabizadeh must show that the record is bereft of documentation establishing such agreement, as

provided for under the law. Based on the record in this case, we conclude that Rabizadeh has not met his burden because there exists sufficient documentation of a statutorily adequate writing.

The statute of frauds is designed to protect the parties and preserve the integrity of contractual agreements. It is meant “to guard against the peril of perjury; to prevent the enforcement of unfounded fraudulent claims” (*Morris Cohon & Co. v Russell*, 23 NY2d 569, 574 [1969]). The statute “decrease[s] uncertainties, litigation, and opportunities for fraud and perjury,” and primarily “discourage[s] false claims” (73 Am Jur 2d, Statute of Frauds § 403). “In short, the purpose of the Statute of Frauds is simply to prevent a party from being held responsible, by oral, and perhaps false, testimony, for a contract that the party claims never to have made” (*id.*).

Only certain types of agreements must comply with the statute of frauds. In general, a contract for the sale of goods at a price of \$500 or more must comply with the signed writing requirement of UCC 2-201 (1). As relevant to this case, the General Obligations Law sets forth a special provision for the auctioning of such goods:

“§ 5-701. Agreements required to be in writing

“a. Every agreement, promise or undertaking is void, unless it or some note or memorandum thereof be in writing, and subscribed by the party to be charged therewith, or by his lawful agent . . .

“6. Notwithstanding section 2-201 of the uniform commercial code, if the goods be sold at public auction, and the auctioneer at the time of the sale, enters in a sale book, a memorandum specifying the nature and price of the property sold, the terms of the sale, the name of the purchaser, and the name of the person on whose account the sale was made, such memorandum is equivalent in effect to a note of the contract or sale, subscribed by the party to be charged therewith.”

Thus, in the case of a public auction, a bid may satisfy the statute of frauds where there exists an appropriate writing “signed by the party against whom enforcement is sought” (*see* UCC 2-201 [1]), or a memorandum in satisfaction of General Obligations Law § 5-701 (a) (6). Here, the dispute is centered on whether there is compliance with the latter.

It is well established that the statutorily required writing need not be contained in one single document, but rather may be furnished by “piecing together other, related writings” (*Henry L. Fox Co. v Kaufman Org.*, 74 NY2d 136, 140 [1989], citing *Crabtree v Elizabeth Arden Sales Corp.*, 305 NY 48 [1953]). Therefore, in determining whether there is compliance with General Obligations Law § 5-701 (a) (6), a court may look to documents relevant to the bidding and the auction.

The Appellate Division properly concluded that the clerking sheet, on its face and in isolation, does not satisfy the requirements of General Obligations Law § 5-701 (a) (6), because this provision requires the disclosure of the name of the buyer and the name of “the person on whose account the sale was made.” We are unpersuaded by Jenack’s arguments that this requirement can be satisfied by Jenack’s insertion of numbers in place of those names.

We construe the terms of a statute that are clear and unambiguous, “so as to give effect to the plain meaning of the words used” (*Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198, 204 [1995] [internal quotation marks and citation omitted]; accord *McKinney’s Cons Laws of NY*, Book 1, Statutes § 94, Comment at 194 [1971 ed]). The General Obligations Law states clearly that the memorandum must include names. It makes no provision for an alternative to a name, including some other mode of identification designed by an auction house to facilitate the auction process, such as, in this case, numeric identifiers. To allow for numbers, rather than names, would also undermine the purpose of the statute by increasing the possibility of fraud. Thus, the numbers assigned by Jenack to represent the buyer and seller/consignor on the clerking sheet do not satisfy General Obligations Law § 5-701 (a) (6).

Our analysis does not end with our conclusion that the clerking sheet in this case by itself fails to satisfy the requirements of the General Obligations Law because we must consider whether there are “related writings” that supply the required names, and which may be read, along with the clerking sheet, to provide the information necessary to constitute a memorandum in accordance with General Obligations Law § 5-701 (a) (6). We agree with the Appellate Division that the absentee bidder form, along with the clerking sheet, provide the necessary information to establish the name of Rabizadeh as the buyer. This conclusion is inescapable given that each of the documents

contained information pertaining to the terms of the sale as required by the statute. Both contain the item number, the bidder number, the auctioneer, and a detailed description of the item.

In addition to the buyer's name, the General Obligations Law requires disclosure of "the name of the person on whose account the sale was made." Jenack urges a reading of the statute that would not require disclosure of the seller's identity, and that would permit it to continue to honor a seller's request to remain anonymous throughout the consignment and bidding process. Jenack and amici argue that the auction business is important to New York State and that it is a time honored and necessary custom and practice of auction houses to maintain the confidentiality of the seller. It is their contention that a requirement that the seller's identity be divulged would undermine the industry. However, the General Obligations Law does not reference the "seller," making it clear that the seller's name need not be provided in order to satisfy the requirement of "the name of the person on whose account the sale was made."¹

More than a century and a half ago, the New York Supreme Court of Judicature, then the highest common-law court in the state, held "the legislature intended it should not be necessary to insert the name of the real owner, but that it should be sufficient to insert the name of any person having legal authority to sell" (*Hicks v Whitmore*, 12 Wend 548, 553 [1834]; *see also* 12 Wend at 548 ["(t)he entry in the sale book of the name of an agent, factor, consignee, or of any person having legal authority to sell, is a compliance with the requirement of the statute that 'the name of the person on whose account the sale is made' shall be entered"]). It is well settled that an auctioneer serves as a consignor's agent (*City of New York v Union News Co.*, 169 App Div 278, 281 [1st Dept 1915], *affd* 222 NY 263 [1918]; *see also Cristallina v Christie, Manson & Woods Intl.*, 117 AD2d 284, 292 [1st Dept 1986]; *Mentz v Newwitter*, 122 NY 491, 494 [1890]; 10 Williston on Contracts § 29:40 [4th ed]). Obviously, requiring the name of an agent in cases where the seller wishes to remain anonymous in no way undermines the industry practice, because the seller need not be divulged without the seller's consent.

1. Of course, if Jenack had other written documentation of this transaction that provided the seller's name, that certainly would satisfy the statute, but there is no such documentation in the record.

Here, the clerking sheet lists Jenack as the auctioneer, and as such it served as the agent of the seller. The clerking sheet, therefore, provides “the name of the person on whose account the sale was made” and satisfies General Obligations Law § 5-701 (a) (6).² Nothing in the record suggests that Jenack served as anything other than the seller’s agent. Thus, Jenack established an enforceable agreement and Supreme Court properly granted summary judgment on liability.

It bears repeating in such a case as this that

“ ‘The Statute of Frauds was not enacted to afford persons a means of evading just obligations; nor was it intended to supply a cloak of immunity to hedging litigants lacking integrity; nor was it adopted to enable defendants to interpose the Statute as a bar to a contract fairly, and admittedly, made’ ” (*Morris Cohon & Co. v Russell*, 23 NY2d 569, 574 [1969], citing 4 Williston on Contracts § 567A at 19-20 [3d ed]).

Using the statute of frauds as a “means of evading” a “just obligation” is precisely what Rabizadeh attempts to do here, but the law and the facts foreclose him from doing so. Rabizadeh took affirmative steps to participate in Jenack’s auction, including executing an absentee bidder form with the required personal information. He then successfully won the bidding for item 193, closing out other interested bidders, with his \$400,000 bid. He cannot seek to avoid the consequences of his actions by ignoring the existence of a documentary trail leading to him.

Accordingly, the order of the Appellate Division should be reversed, with costs, and judgment of the Supreme Court reinstated.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

Order reversed, with costs, and judgment of Supreme Court, Orange County, reinstated.

2. The Appellate Division refused to consider this argument because it concluded that Jenack failed to raise whether inclusion of Jenack’s name or the name of an agent of the consignor on the clerking sheets satisfied section 5-701 (a) (6). However, the argument was not wholly unapparent from Jenack’s assertions before Supreme Court. In opposition to Rabizadeh’s summary judgment motion and in support of its cross motion for summary judgment, Jenack relied on its complaint and the clerking sheets to establish that item 193 was in Jenack’s possession as agent for the consignor, and that it served on behalf of the seller. Jenack’s cross motion for summary judgment also asserted that the clerking sheets satisfied the statute, citing *Hicks*.

[5 NE3d 578, 982 NYS2d 431]

JOHN DOE, Appellant, v GUTHRIE CLINIC, LTD., et al., Respondents.

Argued November 12, 2013; decided January 9, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Whether, under New York law, the common law right of action for breach of the fiduciary duty of confidentiality for the unauthorized disclosure of medical information may run directly against medical corporations, even when the employee responsible for the breach is not a physician and acts outside the scope of her employment?”

HEADNOTES

Torts — Breach of Fiduciary Duty — Disclosure of Confidential Information — Action against Medical Corporation

1. The common-law right of action for breach of the fiduciary duty of confidentiality for the unauthorized disclosure of medical information may not run directly against a medical corporation when the employee responsible for the breach acts outside the scope of his or her employment. A medical corporation is generally not liable for a tort of an employee when such an action is not within the scope of employment, and absolute liability may not be imposed upon it for an employee’s dissemination of a patient’s confidential medical information. A medical corporation’s duty of safekeeping such information is limited to those risks that are reasonably foreseeable and to actions within the scope of employment. In cases where an injured plaintiff’s cause of action fails because the employee is acting outside the scope of employment, a direct cause of action against the medical corporation for its own conduct, be it negligent hiring, supervision or other negligence, may still be maintained. A medical corporation may also be liable in tort for failing to establish adequate policies and procedures to safeguard the confidentiality of patient information or to train their employees to properly discharge their duties under those policies and procedures. Those potential claims provide the requisite incentive for medical providers to put in place appropriate safeguards to ensure protection of a patient’s confidential information.

Torts — Breach of Fiduciary Duty — Disclosure of Confidential Information — Action against Medical Corporation

2. A medical corporation’s duty of safekeeping a patient’s confidential medical information is limited to those risks that are reasonably foreseeable and to actions within the scope of employment. Absolute liability may not be imposed

upon a medical corporation for an employee's dissemination of a patient's confidential medical information, and, to the extent that this rationale may have been employed in *Doe v Community Health Plan—Kaiser Corp.* (268 AD2d 183 [3d Dept 2000]), that decision is rejected.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 177, 373, 378–384; AM JUR 2d, Fraud and Deceit §§ 34–39; AM JUR 2d, Negligence §§ 1103, 1108; AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 143–147.

NY JUR 2d, Disclosure §§ 114; NY JUR 2d, Employment Relations §§ 415–418, 421, 422; NY JUR 2d, Fraud and Deceit §§ 16, 17; NY JUR 2d, Physicians, Surgeons, and Other Healers § 198.

PROSSER AND KEETON, TORTS (5th ed) §§ 53, 69, 80.

ANNOTATION REFERENCE

Physician's tort liability for unauthorized disclosure of confidential information about patient. 48 ALR4th 668.

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POINTS OF COUNSEL

Brown & Hutchinson, Rochester (*T. Andrew Brown* of counsel), for appellant. I. Two bases of redress for the breach of the fiduciary duty of patient confidentiality exist extending to medical corporations in New York: strict liability and vicarious liability. (*Doe v Community Health Plan—Kaiser Corp.*, 268 AD2d 183; *West v American Telephone & Telegraph Co.*, 311 US 223; *Erie R. Co. v Tompkins*, 304 US 64; *Russel v Todd*, 309 US 280.) II. Strict liability applies to medical corporations for breaches of confidential personal health information. (*Doe v Community Health Plan—Kaiser Corp.*, 268 AD2d 183; *West v American Telephone & Telegraph Co.*, 311 US 223; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *MacDonald v Clinger*, 84 AD2d 482; *Cornell v State of New York*, 46 NY2d 1032; *Stewart v Brooklyn & Crosstown R.R. Co.*, 90 NY 588; *de Wolf v Ford*, 193 NY 397; *Stone v Eisen Co.*, 219 NY 205; *Petrone v Fernandez*, 12 NY3d 546; *Aaron v Ward*, 203 NY 351.) III. Vicarious liability for medical corporations applies to breaches of confidential

personal health information, even if strict liability does not. (*Riviello v Waldron*, 47 NY2d 297; *Petrescu v College Racquet Club, Inc.*, 40 AD3d 947; *Powers v New York Cent. R.R. Co.*, 251 F2d 813; *Essig v United States*, 675 F Supp 84; *Murray v Watervliet City School Dist.*, 130 AD2d 830.)

Morgan, Lewis & Bockius LLP, New York City (*Martha B. Stolley* and *Heather L. Hopkins* of counsel), for respondents. I. This Court should reject John Doe's invitation to break from well-settled precedent and impose strict liability on an employer for its employee's breach of fiduciary duty when acting outside the scope of employment. (*Indiana Harbor Belt R. Co. v American Cyanamid Co.*, 916 F2d 1174; *Tighe v Ginsberg*, 146 AD2d 268; *Cornell v State of New York*, 46 NY2d 1032; *Pekelnaya v Alyn*, 25 AD3d 111; *Riley v Standard Oil Co. of N.Y.*, 231 NY 301; *Adams v New York City Tr. Auth.*, 88 NY2d 116; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *Stewart v Brooklyn & Crosstown R.R. Co.*, 90 NY 588; *de Wolf v Ford*, 193 NY 397; *Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282.) II. The issue of vicarious liability raised by John Doe is not encompassed within the question certified by the Second Circuit and not properly before this Court. (*Rooney v Tyson*, 91 NY2d 685; *Commodity Futures Trading Commn. v Walsh*, 17 NY3d 162; *Penguin Group [USA] Inc. v American Buddha*, 16 NY3d 295; *Suarez v Bakalchuk*, 66 AD3d 419; *Nicollette T. v Hospital for Joint Diseases/Orthopaedic Inst.*, 198 AD2d 54; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247.)

OPINION OF THE COURT

PIGOTT, J.

The United States Court of Appeals for the Second Circuit has certified the following question for our consideration: "Whether, under New York law, the common law right of action for breach of the fiduciary duty of confidentiality for the unauthorized disclosure of medical information may run directly against medical corporations, even when the employee responsible for the breach is not a physician and acts outside the scope of her employment?" We answer the question in the negative.

On July 1, 2010, "John Doe" was being treated for a sexually transmitted disease (STD) at the Guthrie Clinic Steuben, a private medical facility. A nurse employed by the Clinic recognized Doe as the boyfriend of her sister-in-law. The nurse accessed Doe's medical records and learned that he was being treated for the STD. While Doe was still awaiting treatment, she sent text messages to her sister-in-law informing her of

Doe's condition. The sister-in-law immediately forwarded the messages to Doe; according to Doe, the messages suggested that staff members were making fun of his medical condition.

Five days after his visit to the Clinic, Doe called to complain of the nurse's behavior. He met with an administrator of the Clinic, and the nurse was fired. Thereafter, the President and CEO of Guthrie Clinic, Ltd. sent a letter to Doe confirming that there had been an unauthorized disclosure of Doe's confidential health information, that appropriate disciplinary actions had been carried out, and that steps had been taken to prevent such a breach from occurring in the future.

Doe subsequently filed this action in federal court against defendants, various affiliated entities that allegedly "owned, possessed, operated, staffed and/or otherwise controlled" the clinic. In his complaint, Doe asserted eight causes of action: (1) common-law breach of fiduciary duty to maintain the confidentiality of personal health information, (2) breach of contract, (3) negligent hiring, training, retention and/or supervision of employees, (4) negligent infliction of emotional distress, (5) intentional infliction of emotional distress, (6) breach of duty to maintain the confidentiality of personal health information under CPLR 4504, (7) breach of duty to maintain the confidentiality of personal health information under Public Health Law § 4410, and (8) breach of duty to maintain the confidentiality of personal health information under Public Health Law § 2803-c.

The United States District Court for the Western District of New York granted the defendants' motion to dismiss all eight claims (2012 WL 531026, 2012 US Dist LEXIS 20507 [US Dist Ct, WD NY Feb. 17, 2012]).

Doe appealed the dismissal of the first five of the eight causes of action. The United States Court of Appeals for the Second Circuit affirmed the dismissal of four of the remaining five causes of action, reserving decision on his claim of breach of fiduciary duty, which is the only subject of this certified question (519 Fed Appx 719 [2d Cir 2013]).

In a separate opinion (710 F3d 492 [2d Cir 2013]), the Second Circuit found that the nurse's actions were not foreseeable to defendants, nor were her actions taken within the scope of her employment (*id.* at 495). The court explained that in his complaint Doe himself alleged that the nurse was motivated by purely personal reasons and "[t]hose reasons had 'nothing to do with [Doe's] treatment and care'" (*id.* at 495-496, citing Doe

complaint at ¶ 25). “As such,” the court held, the nurse’s “actions cannot be imputed to the defendants on the basis of *respondeat superior*” (*id.* at 496). The court certified the question to this Court, however, whether Doe may assert a specific and legally distinct cause of action against defendant for breach of the fiduciary duty of confidentiality, even when *respondeat superior* liability is absent (*id.* at 498).

Generally, a hospital or medical corporation may be held vicariously liable for the wrongful acts of its employees (*see e.g. Hill v St. Clare’s Hosp.*, 67 NY2d 72, 79 [1986]). However, “[u]nder the doctrine of *respondeat superior*, an employer may be vicariously liable for the tortious acts of its employees only if those acts were committed in furtherance of the employer’s business and within the scope of employment” (*N.X. v Cabrini Med. Ctr.*, 97 NY2d 247, 251 [2002]). Thus, a medical corporation is generally not liable for a tort of an employee when such an action is not within the scope of employment.

We have, in other circumstances, declined to hold a medical corporation to a “heightened duty” for an employee’s misconduct. For instance, in *N.X. v Cabrini Med. Ctr.*, where a physician employed by the defendant hospital committed a sexual assault on a sedated patient, this Court rejected the attempt to hold the hospital strictly liable. We declined to recognize a heightened duty on the part of the hospital, explaining:

“A hospital has a duty to safeguard the welfare of its patients, even from harm inflicted by third persons, measured by the capacity of the patient to provide for his or her own safety This sliding scale of duty is limited, however; it does not render a hospital an insurer of patient safety or require it to keep each patient under constant surveillance As with any liability in tort, the scope of a hospital’s duty is circumscribed by those risks which are reasonably foreseeable” (*id.* at 252-253).

Since the sexual assault committed by the hospital employee was “not in furtherance of hospital business” and was “a clear departure from the scope of employment, having been committed for wholly personal motives” (*id.* at 251), we concluded that the hospital could not be held vicariously liable.

[1, 2] Here, Doe urges us to impose absolute liability on the medical corporation for an employee’s dissemination of a patient’s confidential medical information. We decline to do so,

and, to the extent that this rationale may have been employed in *Doe v Community Health Plan—Kaiser Corp.* (268 AD2d 183 [3d Dept 2000]), we reject that decision. For the same reasons stated in *Cabrini*, a medical corporation's duty of safekeeping a patient's confidential medical information is limited to those risks that are reasonably foreseeable and to actions within the scope of employment.

The dissent, in accepting Doe's argument would impose strict liability on medical corporations for *any* disclosure by an employee, an approach that is unnecessary and against precedent.* In cases where an injured plaintiff's cause of action fails because the employee is acting outside the scope of employment, a direct cause of action against the medical corporation for its own conduct, be it negligent hiring, supervision or other negligence, may still be maintained (see *Judith M. v Sisters of Charity Hosp.*, 93 NY2d 932, 934 [1999]). A medical corporation may also be liable in tort for failing to establish adequate policies and procedures to safeguard the confidentiality of patient information or to train their employees to properly discharge their duties under those policies and procedures. These potential claims provide the requisite incentive for medical providers to put in place appropriate safeguards to ensure protection of a patient's confidential information. Those causes of action in the present case have already been resolved by the federal courts and we therefore do not address them.

Accordingly, the certified question should be answered in the negative.

RIVERA, J. (dissenting). Patients, who have little say in the matter, disclose their personal information to medical corporations trusting that it will be kept private. In answering the certified question in the negative, the majority limits a patient's

* Subjecting hospitals and other health care entities to strict liability for the acts of an employee that were not only unauthorized, but motivated entirely by personal reasons is contrary to well-established precedent (see *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247, 252-253 [2002]; *Cornell v State of New York*, 46 NY2d 1032 [1979]). While the dissent finds our holding too "narrow" (see dissenting op at 486), the dissent's reasoning is flawed for the opposite reason; it is too broad. If the dissent's view is taken to its logical conclusion, a medical provider may be held liable in negligence for *any* inadvertent disclosure by an employee. As an example, if a receptionist of a private physician discloses at a cocktail party that a patient was in to see the doctor for a particular ailment, perhaps unbeknownst to the patient's family because he did not want to worry them, under the dissent's rule, the medical corporation would be required to respond in damages for that disclosure.

remedy even in cases where a corporation has failed in its duty to protect confidential information. I believe that a medical corporation's duty extends beyond an employee's conduct within the scope of employment, and I would answer the certified question in the affirmative.

The majority's narrow conception of a medical corporation's duty undermines New York's public policy to protect the confidentiality of patients' medical records (*see* Public Health Law § 2803-c [1], [3] [f]). The ease with which confidential patient information can now spread through personal digital devices and across social networks demands a strong legal regime to protect a patient's confidentiality. A cause of action directly against a medical corporation, unhampered by questions as to whether an employee's conduct occurred within the scope of employment, ensures the fullest protections for patients and best addresses the current realities of medical service delivery.

Comprehensive medical records are crucial to ensuring proper medical care. Medical providers, including corporate medical providers, require private medical data from patients to ensure proper treatment. A patient reveals personal data for purposes of receiving medical services, with the understanding that the patient retains a right to confidentiality in such information. Technological advances have made it possible to collect and house patient data in ways easily accessible to a patient's doctor and other health care provider staff. Computers and cellular devices have transformed medical record keeping and health care service provision, making access to such data fast and easy. While such access surely benefits both the patient and the provider, it also increases the potential for instantaneous and extensive unauthorized disclosure of confidential patient information by a range of staff personnel. Societal interest in maintaining patient privacy in medical records is served through a robust tort system, responsive to the realities of the ease of disclosure.

In some circumstances, we have limited a medical corporation's liability for the negligence of its employees under a theory of respondeat superior (*see e.g. N.X. v Cabrini Med. Ctr.*, 97 NY2d 247, 251-252 [2002]; *Judith M. v Sisters of Charity Hosp.*, 93 NY2d 932, 933-934 [1999]; *Hill v St. Clare's Hosp.*, 67 NY2d 72, 79 [1986]; *Suarez v Bakalchuk*, 66 AD3d 419, 419 [1st Dept 2009]; *Doe v Westfall Health Care Ctr.*, 303 AD2d 102, 110 [4th Dept 2002]; *see also* majority op at 484). Respondeat superior is a theory of vicarious liability that originally developed under

the assumption that a master could control the conduct of an agent (see *Mott v Consumers' Ice Co.*, 73 NY 543, 546-547 [1878]; Restatement [Second] of Agency § 219, Comment *a*). The modern theory of respondeat superior gives the injured plaintiff a means to recover a remedy from well-insured employers and provides incentives for employers to hire careful employees (see *Riviello v Waldron*, 47 NY2d 297, 302 [1979]; Restatement [Third] of Agency § 2.04, Comment *a*). Nonetheless, the law limits the employer's liability to acts "done while the servant was doing his master's work, no matter how irregularly, or with what disregard of instructions": acts done within the scope of employment (*Riviello*, 47 NY2d at 302 [citations omitted]). This limitation relieves an employer from liability for an employee's torts when the employer neither benefits from the tortious conduct nor has the means to control the employee's behavior.

Such limitations have no place in a negligence action against a medical corporation for disclosure of confidential medical records. As the majority notes, it is the medical corporation itself, not merely its employees, which owes the duty of confidentiality to the patient (see majority op at 485). New York's public policy would be furthered by permitting a cause of action for breach of medical confidentiality, even in cases where an employee has acted outside the scope of employment, because patients must reveal medical data in order to obtain care from the medical corporation and the patient has no way of protecting against its unauthorized disclosure or means of controlling who has access to it.*

Our decision in *N.X. v Cabrini Med. Ctr.* (97 NY2d 247 [2002]) recognized that a hospital owes a duty to keep patients safe, even from third parties and employees acting outside the scope of employment. In that case, a surgical resident sexually assaulted the plaintiff (*id.* at 249). We held that the hospital could not be held vicariously liable for the resident's wrongdoing

* The majority believes that claims based on vicarious liability and sounding in negligence limited to conduct within the scope of employment provide sufficient relief for a patient whose private information is wrongfully disclosed (majority op at 485). As the instant case well illustrates, those causes of action alone are inadequate to remedy a breach of the duty to maintain the confidentiality of personal data, and they provide cold comfort to a patient whose personal data is disclosed due to the status of the employee and regardless of the actions of the employer that facilitated disclosure. Our legal system must be responsive to a health care service system with its attendant comprehensive data collection, supported by technological advances that are vulnerable to access.

because he was acting outside the scope of his employment (*id.* at 251-252). However, that did not end the inquiry. We also held that “[a] hospital has a duty to safeguard the welfare of its patients, even from harm inflicted by third persons, measured by the capacity of the patient to provide for his or her own safety” (*id.* at 252) and limited “by those risks which are reasonably foreseeable” (*id.* at 253). In *Cabrini*, the hospital had an independent duty to prevent the employee who acted outside the scope of his employment from harming the plaintiff. Thus, the hospital could be liable for the breach of its duty through the inaction of its nursing staff in the face of obvious risks (*see id.* at 253-254). When a patient lays helpless in a hospital bed, entrusting his or her care to the hospital, the hospital has an independent duty to ensure his or her safety.

Similarly, a patient entrusts private medical information to the care of the medical corporation and its employees, over whom the patient has no control. The patient’s only surefire means to prevent accidental disclosure would be to forgo turning over the confidential information in the first place. This is not a realistic option because a patient cannot expect delivery of medical services without disclosing such data. Indeed, the medical profession encourages full disclosure by the patient of a comprehensive medical history (*see* AMA Code of Med Ethics Op 10.02 [2]). In order to receive treatment, a patient must reveal personal information; a patient withholds such data at his or her peril. Having turned over private information to ensure proper and adequate treatment, the patient is at the mercy of the medical corporation’s ability to protect its confidentiality. A hospital should owe a duty to keep a patient’s health information confidential, and a hospital should be directly liable for its own failure to prevent breaches of confidentiality by employees who act outside the scope of their employment.

In order to protect the patient’s privacy interests given the competing need to disclose, such a cause of action would provide a powerful incentive to medical corporations to implement protections against disclosures. Given the highly personal nature of medical data at risk of disclosure, the harm associated with dissemination of such sensitive private information, the ease with which employees of a medical corporation may access confidential data and disseminate it through the use of a commonly held and inexpensive device, a cellular telephone, and the inability of patients to protect themselves from employee

misconduct, such an incentive furthers the State's public policy in protecting the confidentiality of medical records.

The certified question should be answered in the affirmative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and ABDUS-SALAAM concur with Judge PIGOTT; Judge RIVERA dissents and votes to answer the certified question in the affirmative in an opinion.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question answered in the negative.

[5 NE3d 983, 982 NYS2d 820]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KATISHA
BEATY, Appellant.

Submitted September 10, 2013; decided January 16, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 8, 2012. The Appellate Division (1) affirmed a resentence of the Erie County Court (Michael F. Pietruszka, J.), which had imposed a determinate term of 23 years' imprisonment; and (2) granted a motion by defendant's counsel to be relieved of assignment.

People v Beaty, 96 AD3d 1515, reversed.

HEADNOTE

Crimes — Right to Counsel — Appellate Counsel — Non-Frivolous Appeal

The Appellate Division erred in granting the motion filed by defendant's appellate counsel in which he argued that there were no non-frivolous issues to be raised on defendant's behalf and asked to be relieved as counsel, as defendant's claims that Penal Law § 70.85 was unconstitutional as applied to her case and that she was denied effective assistance of counsel at every level were not wholly frivolous at the time counsel filed the motion. Appellate counsel may withdraw from representing a defendant if the appeal is "wholly frivolous" because a defendant whose appeal is frivolous has no right to have an advocate make his or her case to the appellate court. Here, upon the appeal of her resentence, pursuant to the then-recently enacted Penal Law § 70.85, to her original determinate sentence without a term of postrelease supervision, defendant was assigned counsel. Counsel informed defendant of a Court of Appeals decision that upheld a defendant's sentence under Penal Law § 70.85, but left open the constitutionality of that statute, stating that it should be decided by the sentencing court in the first instance. However, counsel filed the motion to be relieved as counsel and asked to be relieved despite that open issue.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 886; AM JUR 2d, Attorneys at Law §§ 181, 182; AM JUR 2d, Criminal Law §§ 1109, 1137–1139.

CARMODY-WAIT 2d, Officers of Court §§ 3:359–3:361, 3:449; CARMODY-WAIT 2d, Right to Counsel §§ 184:55, 184:162–184:166.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 27.2, 27.5.

McKINNEY'S, Penal Law § 70:85.

NY JUR 2d, Attorneys at Law § 83; NY JUR 2d, Criminal
Law: Procedure §§ 824, 826, 827, 3552.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Frivolous Appeals.

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Query: counsel /5 withdr*w /s frivolous /5 appeal

POINTS OF COUNSEL

Greenberg & Wilner, LLP, New York City (*Harvey L. Greenberg* of counsel), for appellant. I. The Fourth Department erred when it granted assigned counsel's motion to withdraw because (a) defendant's pro se brief included non-frivolous claims, and (b) defendant did not receive effective assistance of counsel when counsel chose not to serve as an advocate for his client, but rather disparaged the client's claims in front of the Court. (*People v Crawford*, 71 AD2d 38; *People v Vasquez*, 70 NY2d 1; *Anders v California*, 386 US 738; *North Carolina v Alford*, 400 US 25; *People v Brown*, 107 AD3d 1303; *People v Boyd*, 12 NY3d 390; *People v Van Deusen*, 7 NY3d 744; *People v Hill*, 9 NY3d 189; *People v Samms*, 95 NY2d 52.) II. The Fourth Department erred when it affirmed the 2010 Erie County Court's sentencing.

Frank A. Sedita, III, District Attorney, Buffalo (*Donna A. Milling* of counsel), for respondent. Defendant has failed to demonstrate that the Fourth Department erred in granting assigned counsel's motion to be relieved of assignment, or that she was denied the effective assistance of appellate counsel or the effective assistance of counsel at her re-sentence. (*People v Iannelli*, 69 NY2d 684, 482 US 914; *People v Ruz*, 70 NY2d 942; *Evitts v Lucey*, 469 US 387; *Douglas v California*, 372 US 353; *People v Stokes*, 95 NY2d 633; *Anders v California*, 386 US 738; *People v Gonzalez*, 47 NY2d 606; *People v Crawford*, 71 AD2d 38; *People v Rucker*, 67 AD3d 1126; *People v Boyd*, 12 NY3d 390.)

OPINION OF THE COURT

Per Curiam.

On November 13, 2000, defendant pleaded guilty to first-degree manslaughter for the shooting of Anton Bridgers on

March 18, 2000. She was sentenced to a determinate sentence of 23 years' incarceration. No mention of postrelease supervision (PRS) was ever made to defendant, either during the plea proceedings or at sentencing. After her incarceration, the Department of Correctional Services added a five-year PRS term to her certificate of commitment. The first time defendant learned of the PRS period was in August 2002, when her attorney wrote defendant to inform her. That attorney did not advise defendant as to whether she could raise an issue concerning the legality of the added PRS term on her then-pending appeal. Defendant's conviction was unanimously affirmed (303 AD2d 965 [4th Dept 2003], *lv denied* 100 NY2d 559 [2003]).

In September 2009, following this Court's decision in *People v Catu* (4 NY3d 242 [2005]), defendant filed a pro se motion pursuant to CPL 440.10, claiming, among other things, that her plea was defective and thus her sentence was illegal because she was never informed during her plea or sentencing proceeding that she would be required to serve an additional term of five years' PRS. She sought vacatur of both her plea and sentence. The People opposed the motion, but conceded that the sentence was illegal. The People consented, pursuant to the then-recently enacted Penal Law § 70.85, to the court re-sentencing defendant to the original determinate sentence of 23 years' incarceration without a term of PRS.

Defendant timely appealed the resentence and was assigned counsel, who reviewed the file and informed defendant of our decision in *People v Boyd* (12 NY3d 390 [2009]), where this Court upheld defendant Boyd's sentence under Penal Law § 70.85, but left open the constitutionality of that statute, stating that it should be decided by the sentencing court in the first instance. Despite this open issue, counsel filed a motion pursuant to *People v Crawford* (71 AD2d 38 [1979])* arguing that there were no non-frivolous issues to be raised on defendant's behalf and asking to be relieved as counsel. Defendant filed a pro se supplemental brief arguing that her sentence was illegal, and that she was denied effective assistance of counsel. The Appellate Division granted counsel's motion and affirmed the resentence, without addressing defendant's pro se contentions (96 AD3d 1515 [2012]).

The rule in *Crawford* permits appellate counsel to withdraw from representing a defendant if the appeal is "wholly frivo-

* See also *Anders v California*, 386 US 738 (1967).

lous” because a defendant whose appeal is frivolous has no right to have an advocate make his case to the appellate court (71 AD2d 38, 38 [1979]).

Defendant argues that her appeal was not wholly frivolous because she had two claims: (1) the claim that Penal Law § 70.85 is unconstitutional as applied to her case, and (2) that defendant was denied effective assistance of counsel at every level. We agree with defendant that the Appellate Division erred in granting the *Crawford* motion. Without expressing any opinion on the ultimate merits, at the time defendant’s appellate counsel filed his *Crawford* motion, the claims to that court were not wholly frivolous and, therefore, the court should have denied appellate counsel’s motion. As a result, a reversal and remittal for a de novo appeal is warranted (*see People v Stokes*, 95 NY2d 633 [2001]; *see generally People v Pignataro*, 22 NY3d 381 [2013]; *People v Catu*, 4 NY3d 242 [2005]).

The order of the Appellate Division should be reversed and the case remitted to the Appellate Division for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT, RIVERA and ABDUS-SALAAM concur.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order reversed and case remitted to the Appellate Division, Fourth Department, for further proceedings in accordance with the opinion herein.

[5 NE3d 985, 982 NYS2d 822]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVID
W. SCHREIER, Appellant.

Argued January 6, 2014; decided February 13, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 8, 2012. The Appellate Division affirmed a judgment of the Monroe County Court (John L. DeMarco, J.), which had convicted defendant, upon a nonjury verdict, of unlawful surveillance in the second degree.

People v Schreier, 96 AD3d 1453, affirmed.

HEADNOTES

Crimes — Unlawful Surveillance — Sufficiency of Evidence — Video Recording of Complainant at Home through Window — Surreptitious Conduct

1. There was legally sufficient evidence to support the element of unlawful surveillance in the second degree requiring the perpetrator to act “surreptitiously” where defendant, who stood outside the front door of his neighbor’s townhouse and used his compact video camera to film the complainant while she was naked in her second floor bathroom, acted in a furtive or stealthy manner in attempting to obtain the video without being discovered. A person is guilty of second-degree unlawful surveillance when he or she intentionally uses an imaging device to surreptitiously view, broadcast or record a person dressing or undressing or such person’s sexual or other intimate parts at a place and time when such person has a reasonable expectation of privacy and without such person’s knowledge or consent (Penal Law § 250.45 [1]). Applying the common meaning of the term “surreptitiously”—something done “by stealth” or “clandestinely”—the statute requires that the perpetrator make an effort to conceal his or her conduct or to escape detection. It is not necessary that the conduct be entirely imperceptible to all members of the general public, and whether the conduct is surreptitious depends upon the particular facts and circumstances. Here, although defendant was standing on complainant’s front step, potentially exposed to public view, the incident occurred at an early morning, predawn hour on Christmas Eve. Moreover, defendant held the small black camera in his black-gloved hand; used the zoom function; and, given the height of the decorative window in the front door through which he videoed complainant, apparently had to hold the camera over his head to get the proper angle.

Crimes — Unlawful Surveillance — Sufficiency of Evidence — Video Recording of Complainant at Home through Window — Reasonable Expectation of Privacy

2. There was legally sufficient evidence to support the element of unlawful surveillance in the second degree requiring the complainant to have been

viewed, broadcast or recorded “at a place and time when such person has a reasonable expectation of privacy” (Penal Law § 250.45 [1]) where defendant stood outside the front door of complainant’s townhouse and used his compact video camera to film her while she was naked in her second floor bathroom. For purposes of the statute, the legislature defined a “place and time when a person has a reasonable expectation of privacy” as a place and time when a reasonable person would believe that he or she could fully disrobe in privacy (Penal Law § 250.40 [1]), and one’s own bathroom is the quintessential example of a location where an individual should expect privacy. Given that the incident occurred at an early morning, predawn hour and that defendant apparently had to hold the camera over his head to obtain the necessary angle as a result of the height of the decorative window in the front door through which he videoed complainant, a reasonable person would have expected that complainant could disrobe with privacy in her bathroom. Although complainant had the bathroom door open and was videoed from her front step, there was no indication that she had any inkling that she could be seen from outside or needed to take any measures to shield herself from view.

Crimes — Unlawful Surveillance — Sufficiency of Evidence — Video Recording of Complainant at Home through Window — Reasonable Expectation of Privacy

3. In determining whether there was legally sufficient evidence to support defendant’s conviction for unlawful surveillance in the second degree under Penal Law § 250.45 (1), the reasonableness of the complainant’s expectation of privacy was evaluated using the express definition of “reasonable expectation of privacy” provided by the legislature for purposes of that statute (*see* Penal Law § 250.40 [1]) rather than using Fourth Amendment jurisprudence. The Fourth Amendment’s concern with protecting citizens from unreasonable government intrusions into their private matters had limited relevance in the context of a prosecution arising out of defendant’s filming of his neighbor from outside the front door of the neighbor’s townhouse while she was naked in her second floor bathroom.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Privacy §§ 1, 39; AM JUR 2d, Searches and Seizures §§ 468–472.

McKINNEY’S, Penal Law §§ 250.40 (1); 250.45 (1).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1974, 1975, 1984.50.

ANNOTATION REFERENCE

Criminal prosecution of video or photographic voyeurism.
120 ALR5th 337.

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Database: NY-ORCS

Query: unlawful /2 surveillance /5 second & expectation
/4 privacy

POINTS OF COUNSEL

Lipsitz Green Scime Cambria, LLP, Buffalo (*Timothy P. Murphy* of counsel), for appellant. The evidence was legally insufficient to convict appellant of second-degree unlawful surveillance under Penal Law § 250.45 (1). (*People v Malizia*, 62 NY2d 755; *People v Bleakley*, 69 NY2d 490; *People v Misevis*, 76 NY2d 777; *People v Ramos*, 19 NY3d 133; *Jackson v Virginia*, 443 US 307; *People v Finger*, 95 NY2d 894; *People v Gray*, 86 NY2d 10; *People v Newman*, 87 AD3d 1348; *Matter of Kayla F.*, 39 AD3d 983; *People v Church*, 31 AD3d 892.)

Sandra Doorley, District Attorney, Rochester (*Nicole M. Fantigrossi* of counsel), for respondent. The verdict was supported by legally sufficient evidence. (*People v Smith*, 6 NY3d 827, 548 US 905; *People v Contes*, 60 NY2d 620; *Matter of Kadeem W.*, 5 NY3d 864; *People v Steinberg*, 79 NY2d 673; *People v Barnes*, 50 NY2d 375; *People v Willis*, 79 AD3d 1739, 16 NY3d 864; *People v Byron*, 17 NY2d 64; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *People v Zapata*, 41 AD3d 109; *People v Thomas*, 36 NY2d 514.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether there is legally sufficient evidence to support defendant's conviction for the crime of unlawful surveillance in the second degree (Penal Law § 250.45). We find that each element of the offense was established beyond a reasonable doubt and therefore affirm.

Just before 7:30 a.m. on December 24, 2008, defendant stood outside the front door of his neighbor's townhouse and used his compact video camera to film complainant while she was naked in her second floor bathroom. Complainant had just emerged from the shower and had opened the bathroom door to allow the steam to dissipate and to be able to hear her sleeping child if he awoke. Defendant recorded her for several minutes as she saw to her personal hygiene. He used the camera's zoom feature and adjusted the focus in order to obtain closer views. When complainant happened to look at the front door, she noticed a red light and saw a black-gloved hand holding a camera. She then quickly shut the bathroom door and called the police.

The bathroom was located at the top of the stairs, almost directly in line with the front door to the townhouse. The front door was solid wood with a semi-circular, decorative window

near the top and a peephole at eye level, which allowed the occupants to see outside. The placement of the decorative window was such that a person of average height standing outside the door would not be tall enough to see through into the second floor bathroom.

Upon their arrival, the police observed footsteps in the snow, concentrated between complainant's door and defendant's townhouse, adjacent to hers. When the officers asked defendant about the incident, he ultimately admitted taking the video and gave the police his camera and a memory card. An investigator from the district attorney's office (who, like defendant, was six feet, two inches tall), testified that in order to obtain images of the bathroom through the window, he had to hold the camera over his head.

Defendant was convicted, after a nonjury trial, of unlawful surveillance in the second degree. County Court denied his motion for a trial order of dismissal (29 Misc 3d 1191 [Monroe County Ct 2010]). The Appellate Division affirmed, finding that the evidence established that defendant had surreptitiously recorded complainant for his own amusement or entertainment at a time and place where she had a reasonable expectation of privacy (96 AD3d 1453 [4th Dept 2012]). A Judge of this Court granted defendant leave to appeal (19 NY3d 1105 [2012]), and we now affirm.

As relevant here, a person is guilty of the crime of unlawful surveillance in the second degree when, for his or her own:

“amusement, entertainment, or profit, or for the purpose of degrading or abusing a person, he or she intentionally uses or installs, or permits the utilization or installation of an imaging device to surreptitiously view, broadcast or record a person dressing or undressing or the sexual or other intimate parts of such person at a place and time when such person has a reasonable expectation of privacy, without such person's knowledge or consent” (Penal Law § 250.45 [1]).

Defendant concedes that complainant was unaware of, and did not consent to, being observed and recorded. He argues, however, that legally sufficient evidence was lacking as to certain other statutory elements.

This legislation, known as Stephanie's Law (L 2003, ch 69), was enacted to combat “video voyeurism” (*see* William C.

Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 250.40 at 250). The woman for whom the law was named had been secretly recorded in her bedroom by her landlord, who had placed a hidden camera in a smoke detector (*see id.*). Although the genesis of the statute was a case involving a recording device that was hidden from all public view, there is no indication that the legislature intended that the term "surreptitiously" be read so narrowly.

Defendant maintains that there is insufficient evidence that the recording was surreptitiously made, within the meaning of the statute, because his conduct was out in the open and in full public view. The Penal Law provides definitions for several of the words and phrases relating to unlawful surveillance, but does not define the term "surreptitiously." Nor does the legislative history furnish any guidance regarding the significance of this particular term. We therefore apply its common meaning (*see e.g. People v Quinto*, 18 NY3d 409, 417 [2012])—something done "by stealth" or "clandestinely" (Merriam-Webster's Collegiate Dictionary [11th ed 2003], surreptitiously). The statute, then, requires that the perpetrator make an effort to conceal his conduct or to escape detection. In other words, the element of surreptitiousness is clearly not duplicative of the requirement that the recording be made without the victim's knowledge or consent. Contrary to defendant's argument, however, it is not necessary that the conduct be entirely imperceptible to all members of the general public. Rather, whether a defendant's actions can be considered surreptitious is dependent upon the particular facts and circumstances presented.

[1] Here, viewing the evidence in the light most favorable to the People, defendant's conduct was surreptitious in nature. Although he was standing on complainant's front step, potentially exposed to public view, it was at 7:30 a.m. on Christmas Eve. The argument that defendant's conduct was completely out in the open, for anyone who happened by to see, is undermined given the predawn hour.* Moreover, defendant was holding the

* Indeed, in its decision denying the motion for a trial order of dismissal, County Court found that it was still dark outside at the time of the offense (*see* 29 Misc 3d 1191, 1193 [2010]). Moreover, we can take judicial notice that sunrise was at 7:41 a.m. that day (*see* United States Naval Observatory, Astronomical Applications Department, Complete Sun and Moon Data for One Day, Form A - U.S. Cities or Towns, Dec. 24, 2008, Rochester, New York, http://aa.usno.navy.mil/data/docs/RS_OneDay.php [accessed Jan. 23, 2014]).

small black camera in his black-gloved hand. In addition, he apparently had to hold the camera over his head, in the air, in order to get the proper angle and used the zoom function. Under the circumstances, there is legally sufficient evidence that defendant was acting in a furtive or stealthy manner, attempting to obtain the video of complainant without being discovered—in other words, that he was acting surreptitiously.

Defendant also argues that complainant did not have a reasonable expectation of privacy because her unclothed body could be seen from a lawful public vantage point without the need for technological enhancement, such as a telephoto lens. The Penal Law defines a “place and time when such person has a reasonable expectation of privacy” as “a place and time when a reasonable person would believe that he or she could fully disrobe in privacy” (Penal Law § 250.40 [1]).

[2] One’s own bathroom must certainly be the quintessential example of a location where an individual should expect privacy. To be sure, complainant did have the bathroom door open and, as it turned out, was videoed from the front step. However, there is no indication that complainant had any inkling that she could be seen from outside or that she needed to take any measures to shield herself from view. Indeed, when she realized that she was being videoed, she immediately closed the bathroom door. Given the early morning hour, the height of the front door window and that the six feet, two inch defendant apparently had to hold the camera over his head in order to obtain the necessary angle, a reasonable person would expect that complainant could disrobe with privacy in her second floor bathroom. It cannot be that the legislature intended New Yorkers to have to shutter their own residences completely in order to garner the protection of this Penal Law provision. Defendant’s conduct was an unmistakable violation of complainant’s reasonable expectation of privacy and the evidence was legally sufficient to support this element of the offense.

[3] Defendant urges us to evaluate the reasonableness of complainant’s expectation of privacy using Fourth Amendment jurisprudence. We decline to do so. As noted above, the legislature expressly defined the “reasonable expectation of privacy” for purposes of this statute. Moreover, the Fourth Amendment’s concern with protecting citizens from unreasonable *government* intrusions into their private matters would appear to have limited relevance in this context (*see e.g. People v Adler*, 50 NY2d 730, 736-737 [1980]).

Defendant's remaining argument is without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[5 NE3d 993, 982 NYS2d 830]

NEW YORK HOSPITAL MEDICAL CENTER OF QUEENS, Appellant, v
MICROTECH CONTRACTING CORP., Respondent.

Argued January 6, 2014; decided February 13, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 26, 2012. The Appellate Division affirmed so much of an order of the Supreme Court, Suffolk County (William B. Rebolini, J.; op 2011 NY Slip Op 33671[U] [2011]), as had granted that branch of defendant's motion which was to dismiss the complaint pursuant to CPLR 3211 (a) (7). The following question was certified by the Appellate Division: "Was the decision and order of this Court dated September 26, 2012, properly made?"

New York Hosp. Med. Ctr. of Queens v Microtech Contr. Corp., 98 AD3d 1096, affirmed.

HEADNOTE

Workers' Compensation — Third-Party Action — Effect of Employee's Immigration Status upon Employer's Rights

In an action for common-law and contractual contribution and indemnification brought by plaintiff property owner against defendant contractor to recover any damages plaintiff incurred in underlying Labor Law litigation with two of defendant's employees, undocumented aliens not legally employable in the United States who were injured while performing demolition work on plaintiff's property, the employees' immigration status did not affect defendant's rights under Workers' Compensation Law § 11. Section 11 bars third-party lawsuits for contribution and indemnification against an injured employee's employer unless the employee suffered a "grave injury," limited to death and the exclusive list of disabilities defined in the statute, or the employer agreed to contribution and indemnification in a written contract entered into with the third party prior to the accident. As the case was presented, the employees did not suffer grave injuries, there was no preexisting agreement for contractual contribution or indemnification and plaintiff did not contend that the Immigration Reform and Control Act (8 USC § 1324a), which plaintiff claimed defendant had violated when it hired the employees, preempts Workers' Compensation Law § 11. Rather, plaintiff argued only that the employment contracts between defendant and the employees were illegal contracts that were unenforceable, and thus defendant was unable to defend the case on the ground that the injured workers were its employees and therefore the action was barred by section 11. Although New York courts typically do not assist parties in taking advantage of their own wrongs, or enforce illegal contracts, enforcement or recognition of rights arising from an illegal oral employment contract was not at issue here, and defendant was not raising any such employment contract as a defense to common-law contribution

or indemnification. Indeed, section 11 does not even require an underlying employment contract. Applying Workers' Compensation Law § 11 to the facts here, defendant was entitled to the safe harbor in section 11.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Aliens and Citizens § 2105; AM JUR 2d, Workers' Compensation §§ 18, 122, 131, 133, 434.
McKINNEY'S, Workers' Compensation Law § 11.
NY JUR 2d, Workers' Compensation §§ 16, 104, 112-114, 242.

ANNOTATION REFERENCE

Application of workers' compensation laws to illegal aliens. 121 ALR5th 523.

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Query: worker /2 compensation /s undocumented & contrib! indem!

POINTS OF COUNSEL

Mauro Lilling Naparty LLP, Woodbury (*Timothy J. O'Shaughnessy* and *Matthew W. Naparty* of counsel), for appellant. The order of the Appellate Division should be reversed and Microtech Contracting Corp.'s motion denied because Microtech's motion was based entirely on an illegal contract. (*Riggs v Palmer*, 115 NY 506; *Manning v Brown*, 91 NY2d 116; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Carmine v Murphy*, 285 NY 413; *International Spangles Corp. v Marrow Mfg. Corp.*, 294 NY 295; *Stone v Freeman*, 298 NY 268; *Spivak v Sachs*, 16 NY2d 163; *El Gemayel v Seaman*, 72 NY2d 701; *Richards Conditioning Corp. v Oleet*, 21 NY2d 895; *Morgan Munitions Supply Co. v Studebaker Corp. of Am.*, 226 NY 94.)

Wade Clark Mulcahy, New York City (*Dennis M. Wade* and *Cheryl D. Fuchs* of counsel), for respondent. I. It is not the role of the judiciary to read an exception into the Workers' Compensation Law when the legislature has clearly spoken as evidenced by the clear wording of the statute. (*Matter of Ramroop v Flexo-Craft Print., Inc.*, 11 NY3d 160; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Friedman*, 302 NY 75; *Morales v County of Nassau*, 94 NY2d 218; *Lawrence Constr. Corp. v State of New York*, 293 NY 634.) II. The New York

Hospital Medical Center of Queens' claim is barred by the Workers' Compensation Law because the language of the law is unambiguous and does not contain an exception where the employee is an illegal immigrant. III. This Court has already ruled that the Workers' Compensation Law applies where the employee is an illegal immigrant. (*Matter of Ramroop v Flexo-Craft Print., Inc.*, 11 NY3d 160; *Matter of Testa v Sorrento Rest.*, 10 AD2d 133, 8 NY2d 705; *Matter of Post v Burger & Gohlke*, 216 NY 544; *Coque v Wildflower Estates Devs., Inc.*, 31 AD3d 484; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Matter of Amoah v Mallah Mgt., LLC*, 57 AD3d 29.) IV. The workers' compensation bar applies even if the employment is "illegal," and an alleged violation of immigration law does not defeat the application of Workers' Compensation Law § 11. (*Noreen v Vogel & Bros.*, 231 NY 317; *Decker v Pouvaillsmith Corp.*, 207 App Div 853; *Matter of Blanchard v Integrated Food Sys.*, 220 AD2d 895; *Martinkowski v Carborundum Co./Electro-Min. Div.*, 108 Misc 2d 184.) V. Courts apply the workers' compensation bar even where the employer violates federal law. (*Lloyd Capital Corp. v Pat Henchar, Inc.*, 80 NY2d 124; *Rosasco Creameries, Inc. v Cohen*, 276 NY 274; *Charlebois v Weller Assoc.*, 72 NY2d 587; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Matter of Amoah v Mallah Mgt., LLC*, 57 AD3d 29; *De Canas v Bica*, 424 US 351.) VI. The New York Hospital Medical Center of Queens' argument is premised on an "illegal" contract. However, the Workers' Compensation Law applies even without a contract. Microtech Contracting Corp. is not asking this Court to enforce a contract, let alone an illegal one. (*Thompson v Grumman Aerospace Corp.*, 78 NY2d 553; *Vanderwerff v Victoria Home*, 299 AD2d 345; *Spivak v Sachs*, 16 NY2d 163; *McConnell v Commonwealth Pictures Corp.*, 7 NY2d 465; *International Spangles Corp. v Marrow Mfg. Corp.*, 294 NY 295; *Carmine v Murphy*, 285 NY 413; *Richards Conditioning Corp. v Oleet*, 21 NY2d 895; *Reiner v North Am. Newspaper Alliance*, 259 NY 250; *Sprung v Jaffe*, 3 NY2d 539; *Matter of Clarke v Town of Russia*, 283 NY 272.) VII. No public policy reason exists to support a rewriting of the Workers' Compensation Law. (*Morales v County of Nassau*, 94 NY2d 218; *Matter of Sackolwitz v Hamburg & Co.*, 295 NY 264; *People v Friedman*, 302 NY 75; *Lloyd Capital Corp. v Pat Henchar, Inc.*, 80 NY2d 124; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Morales v Gross*, 230 AD2d 7.) VIII. The New York Hospital Medical Center of Queens rightly abandons its argument that the Workers' Compensation Law is preempted by the Immigration Reform and Control Act (IRCA) because

this Court has already ruled that IRCA does not preempt state law. (*Matter of Ramroop v Flexo-Craft Print., Inc.*, 11 NY3d 160; *Matter of Amoah v Mallah Mgt., LLC*, 57 AD3d 29; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Madeira v Affordable Hous. Found., Inc.*, 469 F3d 219.)

OPINION OF THE COURT

READ, J.

In *Balbuena v IDR Realty LLC* (6 NY3d 338, 363 [2006]), we held that an injured employee's status as an undocumented alien does not preclude recovery of lost wages in a personal injury action against a landowner under the State's Labor Law. This appeal asks us to look at the other side of the coin and decide if an employer's statutory rights under the Workers' Compensation Law are extinguished merely because its injured employee is an undocumented alien; specifically, whether the employer may still invoke section 11's shield against third-party claims for common-law contribution and indemnification. We conclude that, under the facts and circumstances presented by this case, the employees' immigration status does not affect the employer's rights under Workers' Compensation Law § 11, and therefore affirm the Appellate Division.

I

In early 2008, plaintiff New York Hospital Medical Center (the hospital) engaged defendant Microtech Contracting (Microtech) to undertake demolition in a basement room housing an incinerator at the hospital's location in Flushing, Queens. On March 6, 2008, a Microtech "supervisor" met with brothers Luis and Gerardo Lema, and hired them to perform this work. The Lemas, originally from Ecuador, were undocumented aliens not legally employable in the United States.

After the men reached the worksite, the Microtech employee supplied the Lemas with a sledge hammer and a chipping gun (essentially a small jackhammer) and explained what they were supposed to do. The Lemas first broke apart and removed a cement platform and then began taking down a metal wall. The vibrations created by use of the tools given them evidently dislodged a metal chimney or flue attached to the wall between 11 and 20 feet above the floor. The chimney toppled, and struck and injured them both.

The brothers made claims for and received workers' compensation benefits, which Microtech's insurance carrier paid. Additionally, by complaint dated August 8, 2008, the Lemas sued the hospital for violations of the Labor Law. This is exactly the kind of lawsuit that *Balbuena* permits to go forward, at least absent proof that the undocumented alien tendered false work authorization documents to gain employment (*see Balbuena*, 6 NY3d at 363). In a decision dated November 19, 2010, Supreme Court granted the Lemas summary judgment on liability on their causes of action grounded in Labor Law §§ 240 (1) and 241 (6). According to the hospital's attorney, the parties entered into a high-low agreement at the ensuing damages trial, and after the verdict, the judgment was paid in keeping with this arrangement.

Meanwhile, by summons and complaint dated September 20, 2010, the hospital brought this action for common-law and contractual contribution and indemnification against Microtech to recover any damages it incurred in the Labor Law litigation with the Lemas. The hospital alleged that Microtech was performing the work on March 6, 2008 pursuant to an agreement and/or contract with it; that Microtech breached this contract and/or agreement and violated the Immigration Reform and Control Act (8 USC § 1324a) (IRCA) when it hired the Lemas;¹ that the Lemas were injured solely on account of Microtech's negligence; and that Workers' Compensation Law § 11 did not preclude its lawsuit against Microtech. Section 11 bars third-party lawsuits for contribution and indemnification against an injured employee's employer unless the employee suffered a "grave injury," limited to death and the exclusive list of disabilities defined in the statute, or the employer agreed to contribution and indemnification in a written contract entered into with the third party prior to the accident.²

1. IRCA makes it unlawful for a person or entity to hire an unauthorized alien for employment in the United States, either knowingly or without complying with the statute's verification requirements (*see* 8 USC § 1324a [a] [1] [A], [B]; *see generally Balbuena*, 6 NY3d at 353-354).

2. Specifically, section 11 states that
"[t]he liability of an employer [to pay workers' compensation benefits] shall be exclusive and in place of any other liability whatsoever, to such employee, his or her personal representatives, spouse, parents, dependents, distributees, or any person otherwise entitled to recover damages, contribution or indemnity, at common law or otherwise, on account of such injury or death or liability arising therefrom

(n. cont'd)

In lieu of answering, Microtech moved on November 24, 2010 to dismiss the hospital's complaint on the grounds of documentary evidence and failure to state a cause of action (*see* CPLR 3211 [a] [1], [7]). Microtech took the position that section 11 barred the hospital's action because documentary evidence (the bill of particulars in the underlying personal injury lawsuit and an unsigned purchase order postdating the accident) showed that the Lemas did not suffer a grave injury and that Microtech did not enter into the requisite written contract providing for contribution or indemnification.³ And without proof of a grave injury or contractual contribution or indemnification, Microtech argued, the hospital did not state a claim. Moreover, Microtech contended, noncompliance with IRCA (which it disputed) would not deprive it of the protection of section 11 since the Workers' Compensation Law applies to all workers within the state's borders regardless of their immigration status.

Solely for purposes of responding to Microtech's motion, the hospital did not argue that the Lemas suffered grave injuries or that Microtech had agreed in writing to contribution or indemnification. Moreover, the hospital stressed that its claim did not affect the relationship between Microtech and its employees, the Lemas. The hospital insisted, however, that Microtech should not be allowed to "hid[e] behind the language of

"For purposes of this section the terms 'indemnity' and 'contribution' shall not include a claim or cause of action for contribution or indemnification based upon a provision in a written contract entered into prior to the accident or occurrence by which the employer had expressly agreed to contribution to or indemnification of the claimant or person asserting the cause of action for the type of loss suffered.

"An employer shall not be liable for contribution or indemnity to any third person based upon liability for injuries sustained by an employee acting within the scope of his or her employment for such employer unless such third person proves through competent medical evidence that such employee has sustained a 'grave injury' which shall mean only one or more of the following: death, permanent and total loss of use or amputation of an arm, leg, hand or foot, loss of multiple fingers, loss of multiple toes, paraplegia or quadriplegia, total and permanent blindness, total and permanent deafness, loss of nose, loss of ear, permanent and severe facial disfigurement, loss of an index finger or an acquired injury to the brain caused by an external physical force resulting in permanent total disability."

3. Microtech conceded receipt of this purchase order solely for purposes of its motion to dismiss.

Workers' Compensation Law § 11 after violating a federal statute" since "New York courts have long held that they will not award a plaintiff the benefit of an illegal bargain."

On August 15, 2011, Supreme Court granted Microtech's motion to dismiss on the ground that the complaint did not state a cause of action. The judge reasoned that "[t]he exceptions to [section 11's] bar of claims for indemnity and contribution (against an employer providing Workers' Compensation benefits such as Microtech) do not include the circumstance accepted as true herein for purposes of this motion—essentially, that Microtech employed unauthorized aliens who were injured on the job." (2011 NY Slip Op 33671[U], *3-4 [2011].) The hospital appealed.

In the Appellate Division, the hospital again protested that Microtech may not "profit" from its violation of IRCA. Additionally, the hospital more clearly argued conflict preemption—i.e., that permitting an employer who knowingly hires undocumented workers to enjoy the tort immunity conferred by section 11 conflicts with IRCA's goal to discourage illegal immigration by decreasing employment opportunities for undocumented workers. Microtech made three responses. First, Microtech argued that section 11 barred the hospital's claim, as stated by Supreme Court. Next, Microtech countered that whereas hiring an undocumented worker knowingly or without verifying employment eligibility is unlawful and exposes an employer to penalties under IRCA, this circumstance does not make IRCA "conflict [with], contradict or supersede" New York's Workers' Compensation Law. According to Microtech, since it is well settled that the Workers' Compensation Law applies to undocumented aliens,⁴ the statute logically also covers the employer who hires undocumented workers. Finally, Microtech asserted

4. We have actually never addressed the precise question of whether, or under what circumstances, IRCA may preempt the Workers' Compensation Law. *Balbuena* dealt with alleged violations of the State's Labor Law. In support of our holding in *Balbuena*, we simply noted that courts in other states have held workers' compensation statutes, which like the State's Labor Law are intended to protect workers, to be "applicable to all persons within the state's borders, even those who are not entitled to be here" (*Balbuena*, 6 NY3d at 359 n 6). In *Matter of Ramroop v Flexo-Craft Print., Inc.* (11 NY3d 160 [2008]), as in this case, the parties did not dispute that an injured employee was entitled to workers' compensation benefits. As a result, the only issue before us in *Ramroop* was whether the employee's status as an undocumented worker prevented him from recovering "additional compensation" pursuant to Workers' Compensation Law § 15 (3) (v), and we held that it did.

(n. cont'd)

that it did not “profit” from the alleged IRCA violation because it paid premiums to its insurance carrier to obtain medical care and compensation benefits for its employees, including the Lemas.

The Appellate Division unanimously affirmed (98 AD3d 1096 [2d Dept 2012]). Citing repeatedly to *Balbuena*, the court acknowledged that “precluding [Microtech] from receiving the protections provided by Workers’ Compensation Law § 11 for its violations of the IRCA [might] support [that statute’s] ultimate goals . . . by punishing [Microtech] for failing to verify the [Lemas’] immigration status” (*id.* at 1100). Nonetheless, the court opined, “affording [Microtech] the economic protections of Workers’ Compensation Law § 11 . . . would not stand as an obstacle to the accomplishment or execution of the full purposes and objectives of Congress such that Workers’ Compensation Law § 11 should be considered preempted” (*id.* [internal quotation marks omitted]). Further, to rule in the hospital’s favor would “effectively deny [Microtech] the economic protections it acquired under the Workers’ Compensation Law in return for providing [the Lemas] with compensation for their injuries,” as well as “relieve [the hospital] of its responsibility to ensure a safe construction site for workers under the Labor Law” (*id.*). Accordingly, the Appellate Division held that the IRCA violations alleged did not abrogate the protection from third-party claims afforded to Microtech by section 11. By decision and order dated March 13, 2013, the Appellate Division denied the hospital’s motion to reargue, and instead granted leave to appeal to us and certified the following question, “Was the decision and order of [the Appellate Division] properly made?”

II

In the lower courts the parties contested whether IRCA preempts section 11’s shield against third-party claims for common-law contribution and indemnification, and the Appellate Division’s decision turned on its disposition of this issue. Before us, however, the hospital has chosen not to assert conflict preemption. Rather, as stated in its brief,

By contrast, the Appellate Division has explicitly held that IRCA does not preclude an injured worker who is an undocumented alien from collecting workers’ compensation benefits, even if the employee used fraudulent paperwork to obtain the work (*see Matter of Amoah v Mallah Mgt., LLC*, 57 AD3d 29 [3d Dept 2008]).

“the Hospital argues only that the employment contracts between Microtech and the Lemas were illegal contracts that are unenforceable in New York Courts. Thus, Microtech may not defend this case on the ground that the Lemas were its employees and therefore the action is barred by section 11 of the WCL. Microtech violated federal law when it hired the Lemas without asking for any documentation showing they were authorized to work in the United States.”⁵

It is true that New York courts typically do not assist parties in taking advantage of their own wrongs (*see e.g. Manning v Brown*, 91 NY2d 116 [1997]; *Riggs v Palmer*, 115 NY 506, 511 [1889]), or enforce illegal contracts (*Spivak v Sachs*, 16 NY2d 163 [1965]; *Stone v Freeman*, 298 NY 268 [1948]). But these principles are beside the point in this case: we are not being called upon to enforce or recognize rights arising from an illegal oral employment contract between Microtech and the Lemas, and Microtech is not raising any such employment contract as a defense to common-law contribution or indemnification. Indeed, section 11 does not even require an underlying employment contract (*see Workers’ Compensation Law* § 201 [in defining the terms “employee” and “employment” for the purposes of the Workers’ Compensation Law, the existence of a contract is not a requirement]). Instead, we are being asked to apply the statute to the facts presented.

In any event, we essentially rejected the hospital’s argument in *Balbuena*, where the dissent (citing many of the same cases relied upon by the hospital) would have denied recovery to the plaintiffs in their state Labor Law lawsuits on the ground that “the courts will not aid in achieving the purpose of an illegal transaction” (*Balbuena*, 6 NY3d at 363, 363-368 [Smith, J., dissenting]). If the illegality of the employment contract does not defeat the employee’s rights under an otherwise applicable state statute, as was the case in *Balbuena*, it is not clear why it would nonetheless annul the employer’s statutory rights.

Under New York’s workers’ compensation scheme, an employee receives medical benefits and compensation for workplace injuries, regardless of fault, paid for by the employer. In

5. In its reply brief, the hospital reemphasizes its stance that “because Microtech violated federal law when it hired the Lema brothers, the employment contract between Microtech and the Lemas cannot be enforced in Court and thus Microtech may not raise it as a defense to the hospital’s action for indemnification and/or contribution.”

exchange for this certain and swift remedy, the employee gives up the right to sue the employer for personal injuries. Over time, however, this trade-off was seriously compromised by our decision in *Dole v Dow Chem. Co.* (30 NY2d 143 [1972]). *Dole* allowed “a primary defendant in an action [to] seek unlimited contribution or indemnification from an employer as a third party . . . although a direct action against the employer would be barred by the exclusivity provisions of the workers’ compensation system” (Governor’s Approval Mem, Bill Jacket, L 1996, ch 635 at 54-55, 1996 NY Legis Ann at 459-460). As amended by the legislature in 1996, then, section 11 now explicitly limits an employer’s exposure to third-party liability to those situations where the employee suffers a grave injury, or the employer enters into a written contract of contribution or indemnification with the third party (*id.* at 55, at 460). As this case is presented to us, the Lemas did not suffer grave injuries, there was no preexisting agreement for contractual contribution or indemnification and the hospital does not contend that IRCA preempts section 11; therefore, Microtech is entitled to the safe harbor in section 11.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered upon the ground that it is unnecessary.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed, with costs, and certified question not answered upon the ground that it is unnecessary.

[5 NE3d 989, 982 NYS2d 826]

EXECUTIVE PLAZA, LLC, Appellant, v PEERLESS INSURANCE COMPANY, Respondent.

Argued January 6, 2014; decided February 13, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “If a fire insurance policy contains (1) a provision allowing reimbursement of replacement costs only after the property was replaced and requiring the property to be replaced ‘as soon as reasonably possible after the loss’; and (2) a provision requiring an insured to bring suit within two years after the loss; is an insured covered for replacement costs if the insured property cannot reasonably be replaced within two years?”

HEADNOTE

Limitation of Actions — Contractual Limitations Period — Reasonableness of Limitation Period

An insured under a fire insurance policy containing a provision that allows reimbursement of replacement costs only after the property was replaced and requires the property to be replaced “as soon as reasonably possible after the loss,” and a provision that requires the insured to bring suit within two years after the loss, is covered for replacement costs if the insured property cannot reasonably be replaced within two years. An agreement which modifies the statute of limitations by specifying a shorter, but reasonable, period within which to commence an action is enforceable, and there is nothing inherently unreasonable about a two-year period of limitation. The contractual period at issue in the policy issued by defendant insurer, however, was not reasonable if the property plaintiff insured lost when its office building was severely damaged by fire could not reasonably be replaced within two years from the date of the fire. It was neither fair nor reasonable to require a suit within two years from the date of the loss, while imposing a condition precedent to the suit—completion of replacement of the property—that could not be met within that two-year period. A “limitation period” that expires before suit can be brought is not really a limitation period at all, but simply a nullification of the claim. Nothing required defendant to insure plaintiff for replacement cost in excess of actual cash value, but having chosen to do so defendant could not insist on a limitation period that rendered the coverage valueless when the repairs to the damaged building were time-consuming.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1499, 1505, 1915, 1917, 1920, 1921; AM JUR 2d, Limitation of Actions §§ 79–81.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:16–13:18.
COUCH ON INSURANCE (3d ed) §§ 176:56–176:60, 176:64.
NY JUR 2d, Insurance §§ 854, 2197, 2520, 2523–2536; NY JUR 2d, Limitations and Laches §§ 328–331.
SIEGEL, NY PRAC § 39.

ANNOTATION REFERENCE

Construction and effect of property insurance provision permitting recovery of replacement cost of property. 1 ALR5th 817.

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POINTS OF COUNSEL

Jaroslawicz & Jaros LLC, New York City (*David Jaroslawicz* and *David Tolchin* of counsel), for appellant. I. The policy has no stated time limit on reconstruction, other than that it must be completed “as soon as reasonably possible.” (*Bakos v New York Cent. Mut. Fire Ins. Co.*, 83 AD3d 1485, 86 AD3d 933; *Stainless, Inc. v Employers Fire Ins. Co.*, 69 AD2d 27; *Miller v Continental Ins. Co.*, 40 NY2d 675; *Palmieri v Allstate Ins. Co.*, 445 F3d 179.) II. As the insured has no right to payment until the replacement is completed, its claim for reimbursement of replacement costs accrues when that condition has been met, not before. (*Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Cary v Koerner*, 200 NY 253; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Steen v Niagara Fire Ins. Co.*, 89 NY 315; *Martin v Edwards Labs., Div. of Am. Hosp. Supply Corp.*, 60 NY2d 417.) III. The inherent policy contradiction must be resolved in favor of the plaintiff insured. (*Thomas J. Lipton, Inc. v Liberty Mut. Ins. Co.*, 34 NY2d 356; *Ace Wire &*

Cable Co. v Aetna Cas. & Sur. Co., 60 NY2d 390; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Miller v Continental Ins. Co.*, 40 NY2d 675; *Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704; *Israel v Chabra*, 12 NY3d 158; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351.) IV. Any argument that plaintiff agreed not to sue is void as against public policy. (*Bersani v General Acc. Fire & Life Assur. Corp.*, 36 NY2d 457.) V. No ordinary business owner would reasonably believe the building had to be rebuilt entirely within two years of the fire or lose insurance coverage, no matter how devastating the fire was. (*Thomas J. Lipton, Inc. v Liberty Mut. Ins. Co.*, 34 NY2d 356; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *State Farm Mut. Auto. Ins. Co. v Langan*, 16 NY3d 349; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390.) VI. A policy that requires the insured to do the impossible offers terms less favorable than the standard fire policy and is not reasonable. (*Northville Indus. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 89 NY2d 621; *Lane v Security Mut. Ins. Co.*, 96 NY2d 1; *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507; *1303 Webster Ave. Realty Corp. v Great Am. Surplus Lines Ins. Co.*, 63 NY2d 227; *John J. Kassner & Co. v City of New York*, 46 NY2d 544.)

Robins, Kaplan, Miller & Ciresi L.L.P. (John N. Love, of the Massachusetts bar, admitted pro hac vice, of counsel) and *Mura & Storm, PLLC*, Buffalo (*Scott Storm* of counsel), for respondent. I. The suit limitation provision in the Peerless Insurance Company policy is based on the New York standard fire policy, and must be construed the same way. (*Fabozzi v Lexington Ins. Co.*, 601 F3d 88.) II. The two-year suit limitation period begins on the date of the fire. (*Proc v Home Ins. Co.*, 17 NY2d 239.) III. The two-year suit limitation is a clear and unambiguous expression of New York's public policy. (*Bargaintown D. C. v Bellefonte Ins. Co.*, 78 AD2d 206, 54 NY2d 700; *Medical Facilities v Pryke*, 62 NY2d 716; *1303 Webster Ave. Realty Corp. v Great Am. Surplus Lines Ins. Co.*, 63 NY2d 227; *Wydallis v United States Fid. & Guar. Co.*, 98 AD2d 642; *Ackerman v Price Waterhouse*, 84 NY2d 535; *Heilbrunn v German Alliance Ins. Co. of N.Y.*, 202 NY 610; *Gregoire v Putnam's Sons*, 298 NY 119; *Windsor Metal Fabrications v General Acc. Ins. Co. of Am.*, 94 NY2d 124.) IV. The *Bakos v New York Cent. Mut. Fire Ins. Co.* (83 AD3d 1485 [4th Dept 2011]) decision of the Appellate Division does not support Executive Plaza, LLC's position. (*Elfenbein v Gulf & W. Indus., Inc.*, 590 F2d 445; *Wynder v McMahon*, 360 F3d 73.) V. The "ordinance or law" provision supports the two-year suit

limitation rather than overruling it. (*Misicki v Caradonna*, 12 NY3d 511; *Devlin v Video Servs. Acquisition*, 188 AD2d 370.) VI. The suit limitation and replacement cost provisions work together. (*Northville Indus. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 89 NY2d 621; *County of Columbia v Continental Ins. Co.*, 83 NY2d 618; *Rentways, Inc. v O'Neill Milk & Cream Co.*, 308 NY 342; *Israel v Chabra*, 12 NY3d 158; *Jacobson Family Invs., Inc. v National Union Fire Ins. Co. of Pittsburgh, PA*, 102 AD3d 223; *Hartigan v Casualty Co. of Am.*, 227 NY 175; *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46, 66 NY2d 1020; *O'Keeffe v City of New York*, 173 NY 474.) VII. The Peerless Insurance Company policy provides terms more favorable than the standard fire policy. (*Woodhams v Allstate Fire & Cas. Co.*, 453 F Appx 108.) VIII. A reasonable business owner would read and understand the policy's two-year suit limitation provision. (*Katz v American Mayflower Life Ins. Co. of N.Y.*, 14 AD3d 195, *affd sub nom. Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561; *Blitman Constr. Corp. v Insurance Co. of N. Am.*, 66 NY2d 820; *Medical Facilities v Pryke*, 62 NY2d 716; *1303 Webster Ave. Realty Corp. v Great Am. Surplus Lines Ins. Co.*, 63 NY2d 227; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 46 NY2d 940; *In re Ambassador Group, Inc. Litig.*, 738 F Supp 57; *Cornellier v American Cas. Co.*, 389 F2d 641; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470.)

Amy Bach, San Francisco, California, and Anderson Kill PC., New York City (William G. Passannante of counsel), for United Policyholders, amicus curiae. I. The average policyholder would not reasonably expect the replacement cost provision to require replacement of the property within two years. (*Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *National Football League v Vigilant Ins. Co.*, 36 AD3d 207; *Bakos v New York Cent. Mut. Fire Ins. Co.*, 83 AD3d 1485; *Becker-Fineman Camps v Public Serv. Mut. Ins. Co.*, 52 AD2d 656.) II. Application of the two-year suit limitations clause to the policyholder's claim for replacement costs creates an ambiguity that must be resolved in favor of the policyholder. (*Campanile v State Farm Gen. Ins. Co.*, 161 AD2d 1052, 78 NY2d 912; *Saks v Nicosia Contr. Corp.*, 215 AD2d 832; *State Farm Mut. Auto. Ins. Co. v Bentley*, 262 AD2d 739; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321; *Lavanant v General Acc. Ins. Co. of Am.*, 79 NY2d 623; *Burriesci v Paul*

Revere Life Ins. Co., 255 AD2d 993.) III. Allowing insurance companies to deny coverage when policyholders acting reasonably cannot complete repairs within two years is against the purpose of insurance. (*Rubin v Empire Mut. Ins. Co.*, 57 Misc 2d 104, 32 AD2d 1, 25 NY2d 426; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485, 748 F2d 760; *Klos v Lotnicze*, 133 F3d 164; *First Fin. Ins. Co. v Allstate Interior Demolition Corp.*, 193 F3d 109; *Eagle Star Ins. Co. v International Proteins Corp.*, 45 AD2d 637, 38 NY2d 861; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187.) IV. Application of the two-year suit limitation to claims for replacement costs would render replacement cost coverage illusory in violation of public policy. (*Thomas J. Lipton, Inc. v Liberty Mut. Ins. Co.*, 34 NY2d 356; *Matter of Nationwide Mut. Ins. Co. v Davis*, 195 AD2d 561.)

Wilkofsky, Friedman, Karel & Cummins, New York City (Mark L. Friedman of counsel), for New York Public Adjusters Association, amicus curiae. I. Plaintiff's claim for the replacement cost holdback is governed by the six-year statute of limitations applicable to general contract actions. (*Ditch v Hartford Fire Ins. Co.*, 149 AD2d 957; *City of Poughkeepsie v Black*, 130 AD2d 541; *Guadagno v Colonial Coop. Ins. Co.*, 101 AD2d 947.) II. Executive Plaza, LLC's second lawsuit is timely as it relates back to the first. (*Vastola v Maer*, 48 AD2d 561; *McCarthy v Volkswagen of Am.*, 55 NY2d 543; *Pendleton v City of New York*, 44 AD3d 733.) III. Public policy mitigates against a policyholder being denied policy benefits which were bargained for. (*Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187; *Joseph R. Loring & Assoc. v Continental Cas. Co.*, 56 NY2d 848; *Lyon v Hersey*, 103 NY 264; *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573.) IV. Peerless Insurance Company's position exemplifies illusory coverage. (*Thomas J. Lipton, Inc. v Liberty Mut. Ins. Co.*, 34 NY2d 356; *Slayko v Security Mut. Ins. Co.*, 183 Misc 2d 688, 98 NY2d 289; *Matter of Nationwide Mut. Ins. Co. v Davis*, 195 AD2d 561; *Brockway-Smith Co. v Greene*, 179 AD2d 922; *Felix Contr. Corp. v Oakridge Land & Prop. Corp.*, 106 AD2d 488; *Tamco Corp. v Federal Ins. Co. of N.Y.*, 216 F Supp 767.) V. The inherent ambiguity in Peerless Insurance Company's policy is manifest. (*Palmieri v Allstate Ins. Co.*, 445 F3d 179; *State of New York v Home Indem. Co.*, 66 NY2d 669; *White v Continental Cas. Co.*, 9 NY3d 264; *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *PaineWebber Inc. v Bybyk*, 81 F3d 1193; *Reisman v Coleman*, 193 AD2d 659; *Woods v General Acc. Ins.*, 292 AD2d 802; *Belt Painting Corp. v TIG Ins. Co.*, 100

NY2d 377; *Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642; *In re Ambassador Group, Inc. Litig.*, 738 F Supp 57.) VI. The *Bakos v New York Cent. Mut. Fire Ins. Co.* (83 AD3d 1485 [4th Dept 2011]) decision is directly on point and supportive of Executive Plaza, LLC's position. (*Il Cambio, Inc. v U.S. Fid. & Guar. Co.*, 82 AD3d 650.)

OPINION OF THE COURT

SMITH, J.

This case involves a fire insurance policy that contains a clause limiting the time in which the insured may bring suit under the policy. The limitation period is two years, running from the date of the fire. The policy also says that the insured may recover the cost of replacing destroyed property—but only after the property has already been replaced. Thus, if (as happened in this case) the process of replacing the property takes more than two years, the insured's claim will be time-barred before it comes into existence.

Answering a question from the United States Court of Appeals for the Second Circuit, we hold that such a contractual limitation period, applied to a case in which the property cannot reasonably be replaced in two years, is unreasonable and unenforceable.

I

Plaintiff owned an office building in Island Park, New York, that was severely damaged in a fire on February 23, 2007. It cost more than a million dollars to restore the building to its previous condition. Plaintiff had \$1 million in insurance coverage from defendant, under a policy that gave the insured a choice between the payment of “actual cash value” and “replacement cost.” The policy said, however:

“We will not pay on a replacement cost basis for any loss or damage:

“(i) Until the lost or damaged property is actually repaired or replaced; and

“(ii) Unless the repairs or replacement are made as soon as reasonably possible after the loss or damage.”

The policy also had a “Legal Action Against Us” clause, saying:

“No one may bring a legal action against us under this insurance unless: . . .

“b. The action is brought within 2 years after the date on which the direct physical loss or damage occurred.”

Defendant paid plaintiff the “actual cash value” of the destroyed building, \$757,812.50. Plaintiff notified defendant that it would be making a replacement cost claim up to the \$1 million policy limit—i.e., it would be seeking another \$242,187.50. Defendant replied that, to collect that amount, plaintiff would have to provide “documentation verifying the completion of repairs.”

Plaintiff alleges that it acted reasonably to replace the damaged building, but was not able to do so before the second anniversary of the fire, February 23, 2009. On that date, plaintiff sued defendant in Supreme Court, seeking a declaratory judgment that defendant was liable for replacement costs up to the policy limit. Defendant removed the action to federal court, and successfully moved to dismiss it on the ground that, since plaintiff had not finished replacing the building, the action was premature (*Executive Plaza, LLC v Peerless Ins. Co.*, 2010 US Dist LEXIS 99602 [ED NY, Feb. 8, 2010, No. CV 09-1976]).

The replacement building was completed in October 2010, and plaintiff demanded payment of the unpaid portion of the policy limits. Defendant denied liability on the ground that the two-year period had expired, and plaintiff brought another action, the present one, against defendant in Supreme Court. Defendant again removed the case to federal court and again moved to dismiss. The United States District Court for the Eastern District of New York granted the motion, finding that the policy “unambiguously bars any and all suits commenced more than two years after the date of the damage or loss” (*Executive Plaza, LLC v Peerless Ins. Co.*, 2012 WL 910086, *6, 2012 US Dist LEXIS 36174, *16 [ED NY, Mar. 13, 2012, No. 11-CV-1716 (JS)(GRB)]). The District Court found “that the two-year limitation period in the Policy is reasonable, as New York courts have consistently upheld two-year limitations periods in insurance contracts as reasonable” (2012 WL 910086, *3, 2012 US Dist LEXIS 36174, *9-10).

Plaintiff appealed to the United States Court of Appeals for the Second Circuit, which certified the following question to us:

“If a fire insurance policy contains

“(1) a provision allowing reimbursement of replacement costs only after the property was replaced and

requiring the property to be replaced ‘as soon as reasonably possible after the loss’; and

“(2) a provision requiring an insured to bring suit within two years after the loss;

“is an insured covered for replacement costs if the insured property cannot reasonably be replaced within two years?” (*Executive Plaza, LLC v Peerless Ins. Co.*, 717 F3d 114, 118 [2d Cir 2013].)

We accepted certification (21 NY3d 975 [2013]) and now answer the question yes.

II

“[A]n agreement which modifies the Statute of Limitations by specifying a shorter, *but reasonable*, period within which to commence an action is enforceable” (*John J. Kassner & Co. v City of New York*, 46 NY2d 544, 551 [1979] [emphasis added]). We conclude that the contractual period at issue here—two years from the date of “direct physical loss or damage” (i.e., from the date of the fire)—is not reasonable if, as the Second Circuit’s question requires us to assume, the property cannot reasonably be replaced within two years.

It is true, as the District Court pointed out, that there is nothing inherently unreasonable about a two-year period of limitation. In fact, we have enforced contractual limitation periods of one year (*Blitman Constr. Corp. v Insurance Co. of N. Am.*, 66 NY2d 820 [1985]; *Sapinkopf v Cunard S.S. Co., Ltd.*, 254 NY 111, 114 [1930]) and six months (*Continental Leather Co. v Liverpool, Brazil & Riv. Plate Steam Nav. Co.*, 259 NY 621 [1932]; *Aron & Co. v Panama R.R. Co.*, 255 NY 513, 519 [1931]; see also *John J. Kassner*, 46 NY2d at 552). The problem with the limitation period in this case is not its duration, but its accrual date. It is neither fair nor reasonable to require a suit within two years from the date of the loss, while imposing a condition precedent to the suit—in this case, completion of replacement of the property—that cannot be met within that two-year period. A “limitation period” that expires before suit can be brought is not really a limitation period at all, but simply a nullification of the claim. It is true that nothing required defendant to insure plaintiff for replacement cost in excess of actual cash value, but having chosen to do so defendant may not insist on a “limitation period” that renders the coverage valueless when the repairs are time-consuming.

We have found no case in which we have squarely held that an otherwise reasonable limitation period may be rendered unreasonable by an inappropriate accrual date. We think, however, that the law was correctly stated in Judge Crane's dissenting opinion in *Continental Leather Co.*: "[T]he period of time within which an action must be brought . . . should be fair and reasonable, in view of the circumstances of each particular case. . . . The circumstances, not the time, must be the determining factor" (259 NY at 622-623). While that rule was stated in a dissent, the majority, in affirming without opinion, apparently disagreed not with the principle but with its application to the case. The Appellate Division opinion that we affirmed in *Continental Leather* stated essentially the same rule in saying that the issue was whether the plaintiff had "a reasonable opportunity to commence its action within the period of limitation" (*Continental Leather Co. v Liverpool, Brazil & Riv. Plate Steam Nav. Co., Ltd.*, 234 App Div 386, 387 [2d Dept 1932]).

Blitman also supports our holding here. In that case, we enforced an agreed-upon 12-month limitation period, rejecting the insured's argument that it was "commercially unreasonable" under the circumstances (66 NY2d at 823). But in doing so, we pointed out that the policy enabled the insured to "protect itself by . . . beginning an action before expiration of the limitation period" (*id.*). Here, the insured did begin an action on the last day of the limitation period—and the insurer successfully argued that that action was brought too soon. It is unreasonable for it now to say, as it in substance does, that a day later would have been too late.

Accordingly, the question certified should be answered in the affirmative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[6 NE3d 572, 983 NYS2d 454]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALIAS
STONE, Appellant.

Argued January 6, 2014; decided February 13, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 27, 2012. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Richard D. Carruthers, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree (two counts).

People v Stone, 98 AD3d 910, affirmed.

HEADNOTE

Crimes — Right to Representation Pro Se — Necessity of Inquiry into Mental Capacity of Defendant to Represent Himself or Herself

The trial court did not abuse its discretion in failing to undertake a particularized assessment of defendant's mental capacity when resolving defendant's request to proceed pro se during his criminal trial. When there is a basis to question a defendant's mental capacity, the trial court should consider that question as part of the searching inquiry designed to determine the efficacy of defendant's waiver of counsel, but it need not conduct a formal competency hearing prior to adjudicating a self-representation request. Here, when defendant expressed a desire to represent himself, the trial court had no reason to question his mental health, much less a basis to believe that defendant suffered from an illness severe enough to impact his ability to waive counsel and proceed pro se. Although a competency issue arose while defendant was awaiting sentencing, nothing in his extensive interaction with the trial court suggested defendant's mental capacity was compromised during the trial. The fact that a defendant later develops competency issues is not, without more, a basis to question his mental capacity at a prior time during the criminal proceeding. Defendant's statements expressing his distrust of his attorney and the inevitability of his conviction could not fairly be described as "red flags" that should have put the court on notice of a severe mental illness since defendants who wish to proceed pro se often express similar views. Moreover, defense counsel supported defendant's request to proceed pro se. The fact that defendant at times engaged in obstreperous conduct or emotional outbursts during the trial would not have alerted the court to a competency problem since disruptive behavior of that nature by a criminal defendant is commonplace and not necessarily indicative of mental impairment. Nor could such a condition be inferred from various missteps defendant purportedly made during the brief period of self-representation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1154, 1156–1158.

CARMODY-WAIT 2d, Right to Counsel §§ 184:80, 184:86,
184:87, 184:94.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.3.

NY JUR 2d, Criminal Law: Procedure §§ 835, 841, 846, 848.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Capacity or Incapacity;
Incompetent or Insane Persons; Pro Se.

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hearing

POINTS OF COUNSEL

Cravath, Swaine & Moore LLP, New York City (*Leah Friedman* of counsel), and *Richard M. Greenberg, Office of the Appellate Defender* (*Joseph M. Nursey* of counsel), for appellant. I. The trial court erred in allowing Alias Stone, who exhibited evidence of mental illness, to proceed pro se without first determining whether he was mentally competent to stand trial and mentally competent to represent himself. (*People v Armlin*, 37 NY2d 167; *People v Smyth*, 3 NY2d 184; *People v Tortorici*, 92 NY2d 757; *Johnson v Keane*, 974 F Supp 225; *United States v Auen*, 846 F2d 872; *Smith v Rock*, 554 F Supp 2d 505; *People v Reason*, 37 NY2d 351; *People v Thomas*, 73 AD3d 1223; *Indiana v Edwards*, 554 US 164; *Dusky v United States*, 362 US 402.) II. In light of the Supreme Court's decision in *Indiana v Edwards* (554 US 164 [2008]), where a defendant who exhibits evidence of mental illness makes a request to proceed pro se, the trial court should determine whether the defendant is mentally competent to represent himself, even if that defendant is mentally competent to stand trial. (*People v Armlin*, 37 NY2d 167; *People v Smyth*, 3 NY2d 184; *People v Mendez*, 1 NY3d 15; *Dusky v United States*, 362 US 402; *Drope v Missouri*, 420 US 162; *McKaskle v Wiggins*, 465 US 168.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Sheila O'Shea* and *Sylvia Wertheimer* of counsel), for respondent. The trial court was not obligated to sua sponte order a competency examination. (*Faretta v California*, 422 US 806; *Matter of Kathleen K. [Steven K.]*, 17 NY3d 380; *People v McIntyre*, 36 NY2d 10; *People v Rosen*, 81 NY2d 237; *People v Ryan*, 82 NY2d 497;

People v Smith, 68 NY2d 737; *People v Davis*, 49 NY2d 114; *People v Arroyo*, 98 NY2d 101; *People v Reason*, 37 NY2d 351; *People v Crampe*, 17 NY3d 469.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue presented in this case is whether defendant's constitutional rights were violated by the trial court's failure to sua sponte inquire into his mental capacity to represent himself prior to granting his application to proceed pro se.

Defendant was tried on two counts of burglary after he twice trespassed into secure areas of a Hilton Hotel, on one occasion stealing a cell phone. At his jury trial, defendant expressed distrust of his lawyer and asked to proceed pro se. He indicated that he believed that his attorney did not have his "best interest at heart" and wanted to sell him out. He said that he did not want to put his life in anyone else's hands but preferred instead to represent himself and do "the best I can on my own."

Over the course of two days, several lengthy colloquies ensued between the court, defendant and assigned counsel wherein the court repeatedly advised defendant of the perils of self-representation and attempted to persuade him to work with his assigned counsel. The case was adjourned to permit defendant to discuss the self-representation application with his attorney, who subsequently joined in defendant's request, explaining that there had been a breakdown in communication between him and his client and that defendant was "adamant" in his desire to proceed pro se. The court made one last attempt to convince defendant to permit defense counsel to continue his representation, to which defendant responded:

"Again, your Honor, with all due respect to you, you can call it paranoia or whatever, this system, I don't trust attorneys, lawyers, DAs. You have given me leeway, I see that you have given me more leeway than any judge that I had before, but I am scared. I don't want this to be my final chapter."

Noting that it was evident that defendant was an intelligent man, although lacking in legal training, the court ultimately granted his request to represent himself.

With defendant's consent, the court directed that assigned counsel remain available to defendant throughout the proceedings as stand-by counsel. Defendant represented himself

through jury selection,* an opening statement and part of the cross-examination of the People's first witness. But he then advised the court that he was "nervous," and wanted stand-by counsel to take over the defense, ending the period of pro se representation.

Defendant was convicted of two counts of burglary but acquitted of possession of burglar's tools. Sentencing was adjourned several times for reasons not apparent from the record. In the meantime, about two months after the trial concluded, a social worker hired by the defense to evaluate defendant for sentencing purposes sent a letter to the court identifying several mitigating circumstances in defendant's past, indicating that defendant had "developed a guarded, distrustful stance against the world" and also suggesting defendant might be suffering from an undiagnosed mental health problem.

Nine months later, the People advised the court that defendant's family members reported that he had developed some "psychiatric issues," prompting the court to order a CPL 730.30 examination. When interviewed by psychiatric experts, defendant was found to be disoriented and downcast, and to be experiencing auditory hallucinations as well as "a complex delusional system about his food being poisoned in prison." He was diagnosed with psychotic disorder, not otherwise specified, or major depressive disorder with psychotic features, and determined not fit to proceed to sentencing. The court adopted the finding of incapacity in January 2010 but, after defendant was treated with medication, his condition improved and, in April 2010, he was determined to have recovered his competency.

In May 2010, defendant appeared for sentencing with the same assigned counsel. The People detailed defendant's 25-year-history of theft offenses, including seven prior felonies, asking the court to impose the maximum consecutive sentence of 15 years plus five years postrelease supervision. Defense counsel emphasized defendant's abusive childhood and the fact that his thefts arose from his crack addiction and were nonviolent, arguing that a sentence of concurrent terms of five years in prison, plus five years postrelease supervision was appropriate. Despite the period of incompetency, defense counsel expressed no concern about defendant's present mental capacity, nor was any

* At the time the pro se request was granted, voir dire was underway and four jurors had been selected. When defendant took over the defense, the trial court granted his motion for a mistrial, dismissed the sworn jurors and permitted him to commence voir dire anew.

issue raised concerning defendant's mental competency during the trial. Defendant himself gave a lengthy personal statement in which he articulately described the depredations of his childhood and criticized the criminal justice system for its "policy of incarceration," noting that he had spent much of his life in prison and had never received help transitioning to civilian life. The court sentenced defendant to a term of seven years in prison plus five years postrelease supervision for each count, the sentences to run concurrently.

On appeal to the Appellate Division, citing the Supreme Court's decision in *Indiana v Edwards* (554 US 164 [2008]), defendant argued for the first time that his constitutional right to counsel was violated when the trial court permitted him to proceed pro se without first having him examined to determine whether he met a "heightened" competency standard necessary for self-representation. The Appellate Division unanimously rejected this argument (98 AD3d 910 [2012]). First, the court distinguished *Edwards*, noting that there, unlike here, a state trial court had denied a criminal defendant's request to proceed pro se and the question was whether that denial violated his Sixth Amendment right to represent himself—an issue not presented here where defendant's pro se application was granted. Second, the First Department further concluded that the issue of whether the trial court abused its discretion in failing to assess defendant's mental competency prior to permitting him to proceed pro se was not presented because there was no indication during trial that defendant suffered from a mental disorder; rather, defendant's mental status deteriorated after the trial concluded, while he was awaiting sentencing.

A Judge of this Court granted defendant leave to appeal and we now affirm.

Since defendant contends that his application to proceed pro se should have been denied on mental competency grounds, this case arises at the intersection of several constitutional rights, beginning with the most basic—the Due Process requirement that a criminal defendant may not be prosecuted unless competent to stand trial under the standard articulated in *Dusky v United States* (362 US 402, 402 [1960] [defendant must possess "a rational as well as factual understanding of the proceedings" and have "sufficient present ability to consult with his (or her) lawyer with a reasonable degree of rational understanding"]; see *Drope v Missouri*, 420 US 162 [1975]). In New York, this baseline mental capacity standard has been codified at CPL

730.10 (1). The People must establish competency to stand trial by a preponderance of the evidence (*People v Mendez*, 1 NY3d 15, 19 [2003]). But the burden arises only when there is some basis to question defendant's mental capacity because the People are otherwise entitled to rely on the presumption that a defendant is competent to proceed (*People v Gelikkaya*, 84 NY2d 456 [1994]).

Also implicated is the Sixth Amendment right of a criminal defendant to self-representation at trial, recognized in *Faretta v California* (422 US 806 [1975]), and the corresponding—and sometimes competing—requirement that the state provide defendant competent counsel to conduct his or her defense. It is well-settled that an application to proceed pro se must be denied unless defendant effectuates a knowing, voluntary and intelligent waiver of the right to counsel (*id.* at 835; *People v McIntyre*, 36 NY2d 10, 17 [1974]). To this end, trial courts must conduct a “searching inquiry” to clarify that defendant understands the ramifications of such a decision (*see People v Providence*, 2 NY3d 579 [2004]).

Defendant argues that *Indiana v Edwards* (554 US 164) imposed a new constitutional mandate on the states in relation to resolution of *Faretta* requests. In *Edwards*, the Supreme Court held that the United States Constitution permits a state to deny a defendant's request to proceed pro se in cases where defendant suffers from a severe mental illness and, though sufficiently competent to stand trial, “lacks the mental capacity to conduct his trial defense unless represented” (*id.* at 174). The defendant in *Edwards* was caught stealing a pair of shoes from an Indiana department store and the confrontation resulted in a gunfight with store security officers in which defendant wounded a bystander. From the outset of the criminal prosecution, defendant's competency to stand trial was at issue. He was a diagnosed schizophrenic with delusional thinking and the trial court conducted three competency proceedings before finding him fit to proceed. On the eve of trial, defendant asked to represent himself but the court denied the request as untimely. When the jury deadlocked on some of the charges, necessitating a retrial, defendant renewed his request to proceed pro se. Referring to the lengthy record of psychiatric reports arising from the prior competency hearings, the trial court noted that defendant still suffered from schizophrenia and denied the application, finding that defendant was competent to stand trial but not sufficiently competent to represent himself.

On appeal, defendant contended that the trial court's denial of his request to proceed pro se violated his Sixth Amendment right to represent himself under *Faretta*, an argument that was reluctantly credited by the Indiana Supreme Court. But the United States Supreme Court disagreed, holding that it is constitutionally permissible for a state to impose a "mental-illness-related limitation on the scope of the self-representation right" (*Edwards*, 554 US at 171). The Court explained:

"Mental illness itself is not a unitary concept. It varies in degree. It can vary over time. It interferes with an individual's functioning at different times in different ways . . . In certain instances an individual may well be able to satisfy *Dusky*'s mental competence standard, for he will be able to work with counsel at trial, yet at the same time he may be unable to carry out the basic tasks needed to present his own defense without the help of counsel" (*id.* at 175-176 [citations omitted]).

Thus, the Court concluded that a state may—without offending the Constitution—deny a minimally-competent defendant's request to proceed pro se based on a determination that, due to severe mental illness, he or she does not possess the competency for self-representation at trial.

Defendant submits that *Edwards* requires states to adopt a two-tiered competency standard—a baseline for competency to stand trial and a separate, heightened standard for competency to proceed pro se at trial—and compels a competency hearing before a defendant may be permitted to proceed pro se. But we do not view *Edwards* as imposing such a requirement—and our interpretation is in accord with the federal appellate courts that have addressed the issue (see e.g. *United States v Bernard*, 708 F3d 583 [4th Cir 2013], *cert denied* — US —, 134 S Ct 617 [2013]; *United States v Turner*, 644 F3d 713 [8th Cir 2011]; *United States v Berry*, 565 F3d 385 [7th Cir 2009]). Although a court has discretion to require representation by counsel in certain circumstances despite a request to proceed pro se, it does not follow that the Constitution is offended if that discretion is not exercised.

Nor did *Edwards* effectuate a substantial change in the law, at least not in New York. Prior to *Edwards*, the Supreme Court had never held that a state was precluded from assessing a defendant's mental capacity when adjudicating a *Faretta* request. And we have long recognized that a mentally-ill defendant,

though competent to stand trial, may not have the capacity to appreciate the demands attendant to self-representation, resulting in an inability to knowingly, voluntarily and intelligently waive the right to counsel and proceed pro se (*People v Reason*, 37 NY2d 351 [1975]). When there is a basis to question defendant's mental capacity, we indicated that the trial court should consider that question as part of the "searching inquiry" designed to determine the efficacy of defendant's waiver of counsel. To be sure, we did not characterize this as a distinct "competency inquiry," declining to define "separate and distinct levels of mental capacity" (*id.* at 353). But we went on to explain:

"By such rejection, however, we do not intend to suggest that mental capability of the defendant at the time of waiver is irrelevant. Quite the contrary. As in other instances of waiver, the determination that it was intelligent and voluntary, and thus legally effective, may well turn, even in major part, on the mental capability of the defendant at the time in the circumstances" (*id.* at 354).

Hence, under New York law a defendant's mental capacity may be taken into account in the *Faretta* context, although the trial court need not conduct a formal "competency" hearing prior to adjudicating a self-representation request.

Viewed as a whole, our analysis in *Reason* is compatible with *Edwards* where the Supreme Court held that it was permissible for the trial court to deny the severely-mentally-ill defendant's request to proceed pro se, even though no distinct "self-representation competency" inquiry had been conducted. Consistent with *Edwards*, New York courts can, in appropriate circumstances, deny a self-representation request if a severely-mentally-ill defendant who is competent to stand trial otherwise lacks the mental capacity to waive counsel and proceed pro se.

The inquiry then becomes whether the trial court in this case abused its discretion in declining to exercise that prerogative. Defendant maintains that it did, contending that defendant exhibited signs of severe mental illness during the trial which should have alerted the court to sua sponte assess his capacity for self-representation. But the Appellate Division disagreed and that determination is supported by the record.

Indeed, the situation presented in this case is significantly different from either *Edwards* or *Reason*. In each of those cases,

the trial court was aware at the time of the *Faretta* request that defendant suffered from a serious mental illness since issues had been raised concerning defendant's competency to stand trial, spawning multiple competency proceedings. In contrast, here, when defendant expressed a desire to represent himself, the trial court had no reason to question his mental health, much less a basis to believe that defendant suffered from an illness severe enough to impact his ability to waive counsel and proceed pro se. It is true that a competency issue arose while defendant was awaiting sentencing—but nothing in his extensive interaction with the trial court suggested defendant's mental capacity was compromised during the trial. And as we have already held, the fact that a defendant later develops competency issues is not, without more, a basis to question his mental capacity at a prior time during the criminal proceeding (see *Gelikkaya*, 84 NY2d at 460).

As an indication that he was suffering from delusions or other indicia of mental impairment, defendant points to the “paranoia” he expressed during the *Faretta* inquiry, noting that he repeatedly expressed his distrust of his attorney and that he believed conviction was inevitable. However, these statements cannot fairly be described as “red flags” that should have put the court on notice of a severe mental illness since defendants who wish to proceed pro se often express similar views. As we explained in *People v McIntyre*, “[f]requently, the *pro se* defendant is motivated by dissatisfaction with the trial strategy of defense counsel or a lack of confidence in his attorney” (36 NY2d at 16 [citations omitted])—concerns not unlike those articulated here. Given that the 45-year-old defendant had numerous prior convictions, the trial court undoubtedly interpreted his negative opinion of his attorney and the criminal justice system as a regrettable by-product of his personal experience as opposed to a signal that he suffered from a mental illness. It appears that defense counsel also viewed the comments in this light since, far from raising an issue concerning defendant's capacity for self-representation, counsel supported defendant's request to proceed pro se.

We are also unpersuaded that the fact that defendant at times engaged in obstreperous conduct or emotional outbursts during the trial should have alerted the court to a competency problem since disruptive behavior of this nature by a criminal defendant is commonplace and not necessarily indicative of mental impairment (see e.g. *People v Johnson*, 204 AD2d 188 [1st Dept 1994],

lv denied 83 NY2d 968 [1994]; *People v Rosebrough*, 199 AD2d 1024 [4th Dept 1993], *lv denied* 83 NY2d 857 [1994]). Nor can such a condition be inferred from various missteps defendant purportedly made during the brief period of self-representation. To the extent defendant's representation may have been inartful—and, in many respects, it was as capable as could be expected from a pro se defendant—there is no basis to interpret it as evidence of a serious mental illness rather than the lack of skill typical of a layperson untrained in trial tactics or procedure.

On this record, it cannot be said that the trial court abused its discretion in failing to undertake a particularized assessment of defendant's mental capacity when resolving defendant's request to proceed pro se. And since no claim is (or could be) made here that the court's "searching inquiry" was otherwise deficient, there is no basis to disturb the conviction on *Faretta* grounds. Defendant's related argument that the trial court should have ordered a CPL 730.30 examination to assess whether defendant possessed the baseline mental competency to stand trial has likewise been considered and determined to be without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[6 NE3d 1108, 983 NYS2d 752]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LANCE
J. REED, Appellant.

Argued January 6, 2014; decided February 13, 2014

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 6, 2012. The Appellate Division affirmed a judgment of the Monroe County Court (John R. Schwartz, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and robbery in the first degree (two counts).

People v Reed, 97 AD3d 1142, affirmed.

HEADNOTE

Crimes — Verdict — Sufficiency of Evidence — Circumstantial Evidence — Robbery

In a prosecution arising from the fatal shooting of a victim who had left his residence about an hour earlier with a large amount of cash, after which witnesses identified defendant as the driver of the getaway vehicle, the circumstantial evidence was sufficient to support the jury verdict convicting defendant of first-degree robbery and felony murder, notwithstanding that no witness saw anything being taken from the victim at the time of the shooting. The standard for review of a guilty verdict requires an appellate court, viewing the evidence in the light most favorable to the People, to decide whether a jury could rationally have excluded innocent explanations of the evidence offered by the defendant and find each element of the crime proved beyond a reasonable doubt. There was evidence that the victim was carrying cash, in a double-knotted grocery bag, about an hour before he was killed; that defendant arranged for the victim to drive to the vicinity of defendant's father's house; that defendant fled the scene of the shooting, along with the gunman, in his father's car; that one of the men bent over the victim's body before getting into the car; and that a double-knotted grocery bag was found, with its bottom torn out and contents removed, in the same car. Based on this evidence, it was permissible for the jury to infer beyond a reasonable doubt that defendant and his accomplices lured the victim to an area where a getaway car would be available for the purpose of robbing him of the cash he was carrying; that one of the men took the grocery bag from the victim; that the men tore the bag open at the bottom because it was tied at the top, and divided up the money in the car; and that the empty bag was left in the car.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 627; AM JUR 2d, Evidence §§ 317, 1390, 1400; AM JUR 2d, Homicide §§ 425, 433, 443, 444; AM JUR 2d, Robbery § 56.

CARMODY-WAIT 2d, Fundamentals of Criminal Evidence § 193:3; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:29, 194:30; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:134.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.10, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 2700, 3602.

ANNOTATION REFERENCE

See ALR Index under Circumstantial Evidence; Description and Identification; Felony-Murder Doctrine; Robbery.

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Query: sufficiency /4 evidence & circumstantial /p jury /s infer! & robbery

POINTS OF COUNSEL

Harris Beach PLLC, Pittsford (*Svetlana K. Ivy* of counsel), and *Timothy P. Donaher*, Public Defender, Rochester (*Drew R. DuBrin* of counsel), for appellant. I. The judgment convicting Lance Reed of robbery and felony murder premised on commission of robbery should be reversed because the evidence is legally insufficient to establish a forcible stealing of property. (*People v Danielson*, 9 NY3d 342; *People v Cintron*, 95 NY2d 329; *People v Contes*, 60 NY2d 620; *People v Broadwater*, 105 AD2d 1065; *People v Calabria*, 3 NY3d 80; *People v Ledwon*, 153 NY 10; *People v Giuliano*, 65 NY2d 766; *People v Raymond*, 56 AD3d 1306; *People v Kennedy*, 47 NY2d 196; *People v Way*, 59 NY2d 361.) II. Tonya McBride's identification of the plastic grocery bag, even if viewed in the light most favorable to the People, is insufficient to serve as the basis for a conviction because of the prevalence of Tops plastic bags in Rochester, and because of the speculative nature of McBride's identification.

Sandra Doorley, District Attorney, Rochester (*Nicole M. Fanti-grossi* of counsel), for respondent. The verdict was supported by legally sufficient evidence. (*People v Smith*, 6 NY3d 827, 548 US 905; *People v Bleakley*, 69 NY2d 490; *People v Malizia*, 62 NY2d 755, 469 US 932; *People v Contes*, 60 NY2d 620; *People v Grassi*, 92 NY2d 695; *People v Rush*, 242 AD2d 108, 92 NY2d 860; *People*

v Denis, 276 AD2d 237, 96 NY2d 782, 96 NY2d 861; *People v Simon*, 119 AD2d 602; *People v Bass*, 277 AD2d 488, 96 NY2d 780; *People v Kennedy*, 47 NY2d 196.)

OPINION OF THE COURT

PIGOTT, J.

Shawn Thomas, a Rochester-area drug dealer, died of gunshot wounds to the head and chest on April 7, 2007. Before he left home that afternoon, Thomas had shown his girlfriend a large quantity of cash and asked her to count out \$40,000. She did so, separating the \$40,000 into banded \$1,000 stacks and placing them in a plastic grocery bag bearing the logo of the Tops supermarket chain. She placed two knots in the top of the bag, tying the bag “real tight so you couldn’t take it out.” She then gave the bag to Thomas, who told her that he was going to re-up, which she took to mean that he was going to buy a supply of drugs for resale. Thomas left his home at around 1:00 p.m.

About an hour later the police responded to a residential neighborhood in Rochester, where Thomas lay dead of gunshot wounds in the middle of a street. His car was nearby. The police interviewed a number of neighborhood residents and passers-by who had been in the area. The interviews revealed that defendant Lance Jermaine Reed, whose father lived in the immediate vicinity, was present at the time of the shooting, and fled.

A witness who had been visiting defendant’s father at the time of the shooting recalled that defendant arrived at his father’s apartment at about 2:00 p.m. and asked to use his father’s car, a gray 1990 Lincoln Town Car with a dark blue roof. While defendant was in the apartment, the father’s visitor heard gunshots outside. Defendant told her, “those are firecrackers,” pushed her aside and bolted from the house. Looking outside, the visitor saw a man lying in the street.

Other neighborhood residents similarly heard gun shots and saw a man walk or run from defendant’s father’s apartment to a gray Lincoln Town Car with a dark blue top, get in the driver’s seat, and drive off. A mail carrier noticed someone lying in the middle of the street, and saw a man bend over the body quickly, get back up, and drive away in a car with a dark blue top. He wrote down part of the license plate number.

One eyewitness saw the actual shooting. He recalled that a masked man approached Thomas from behind and shot him in the head and twice more in the body, with a revolver, before getting into the rear seat of a Lincoln Town Car, also described as

gray with a blue top. The eyewitness saw two other men get into the car; one was defendant, whom the eyewitness identified at trial. Defendant was in the driver's seat. The men fled in the car.

The Lincoln, its plate number matching what the mail carrier had written down, was found in the parking lot of an apartment complex in the Rochester area, where defendant's sister lived. She described defendant as having arrived at her apartment in the afternoon of the shooting, looking "scared" and "disheveled" and breathing heavily. The police obtained permission to tow and search the vehicle.

Under the armrest between the front seats of the vehicle, the police found a plastic Tops grocery bag, tied at the top and "ripped out" at the bottom. The next day, April 8, Thomas's girlfriend identified the bag as the same one she had used to put the \$40,000 in. At trial, she would testify that she had recognized it by its two knots.

Rochester police questioned defendant on April 9, 2007. Defendant admitted that he had been with Thomas, whom he had known, just before the killing and that he had driven his father's Lincoln away from the scene immediately after the killing. Defendant told the police that Thomas had agreed to follow him to defendant's father's house, in his (Thomas's) car, with the intention of giving him a ride after defendant dropped off his father's car. Defendant said that he was dropping off the keys when he heard what sounded like firecrackers outside, and that, seeing Thomas lying in the middle of the street, he fled in the Lincoln because he did not "know what was going on." In subsequent interviews, defendant was less forthcoming. He was arrested nearly a year later, on April 2, 2008, and charged with two counts of first-degree robbery, and one count each of felony murder and second-degree criminal possession of a weapon.

At trial, the jury heard testimony by the witnesses from the neighborhood, including the eyewitness who identified defendant as the man he had seen driving the Lincoln from the scene, with the gunman in the backseat. In addition, Thomas's girlfriend testified about the events preceding his departure from home on April 7, 2007, and concerning her April 8, 2007 identification of the Tops bag found in the Lincoln as the same bag she had tied and put the cash in. However, no witness testified to seeing anything being taken from Thomas at the time of the shooting.

At the end of the People's case, defendant moved for a trial order of dismissal, under CPL 290.10 (1), contending that there was legally insufficient evidence of robbery and therefore of felony murder.

The jury found defendant guilty of two counts of first-degree robbery as an accessory and one count of second-degree murder as an accessory, acquitting him of the weapon possession charge. County Court then denied defendant's motion for a trial order of dismissal. The Appellate Division affirmed the judgment (97 AD3d 1142 [2012]). Two Justices dissented, one of whom granted defendant leave to appeal to this Court.

Defendant does not challenge the sufficiency of the evidence establishing that he was the driver of the getaway car following the killing. Rather, defendant contends that there was insufficient evidence of a robbery, in the course of which the killing occurred. In order to prove that defendant was guilty of first-degree robbery, the prosecution had to produce sufficient evidence that defendant, or someone whom he intentionally aided, forcibly stole Thomas's property. According to defendant, there was insufficient proof that anything was stolen from Thomas. He suggests that Thomas might have completed his planned purchase of drugs before he was attacked, so that he no longer had \$40,000 on his person.

The evidence that \$40,000 was taken from Thomas is circumstantial. However, it is well established that "[t]he standard of appellate review in determining whether the evidence before the jury was legally sufficient to support a finding of guilt beyond a reasonable doubt is the same for circumstantial and non-circumstantial cases" (*People v Grassi*, 92 NY2d 695, 697 [1999]; see also *People v Cabey*, 85 NY2d 417, 421 [1995]). That standard, of course, is whether, viewing the evidence in the light most favorable to the prosecution, "there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt" (*People v Danielson*, 9 NY3d 342, 349 [2007], quoting *People v Acosta*, 80 NY2d 665, 672 [1993]; see *Jackson v Virginia*, 443 US 307, 319 [1979]).

A jury, faced with a case in which the proof of a particular charge, or element thereof, consists entirely of circumstantial evidence, "must exclude to a moral certainty every other reasonable hypothesis" (*People v Marin*, 65 NY2d 741, 742 [1985];

see *People v Way*, 59 NY2d 361, 365 [1983]; *People v Bearden*, 290 NY 478, 480 [1943]). But an appellate court's duty, when reviewing the jury's finding, is not to determine whether it would have reached the same conclusion as the jury with respect to a proposed innocent explanation of the evidence (see *Grassi*, 92 NY2d at 699 ["Defendant has offered myriad innocent explanations or inferences that could be drawn by a jury to counter this evidence. That, however, is not the legal standard by which this Court is bound for reviewing a sufficiency of the evidence appeal"]). Rather, the appellate court, viewing the evidence in the light most favorable to the People, must decide whether a jury could rationally have excluded innocent explanations of the evidence offered by the defendant and found each element of the crime proved beyond a reasonable doubt.

Applying this standard of review, we conclude that a rational jury could have inferred beyond a reasonable doubt that the \$40,000 was stolen from Thomas by defendant and the men he aided. The jury heard evidence that Thomas was carrying \$40,000, in a double-knotted Tops grocery bag, about an hour before he was killed; that defendant arranged for Thomas, whom he knew, to drive to the vicinity of defendant's father's house; that defendant fled the scene of Thomas's shooting, along with the gunman, in his father's car; that one of the men bent over Thomas's body briefly before getting into the car; and that a double-knotted Tops grocery bag was found, with its bottom torn out and contents removed, under the driver's armrest of the same car.

Although innocent explanations may be suggested, it was permissible for the jury to infer beyond a reasonable doubt from this evidence that defendant, and the men whom he aided, lured Thomas to an area where a getaway car would be readily available for the purpose of robbing him of the large quantity of cash he was carrying; that one of the men took the grocery bag from Thomas immediately after he was shot; that the men tore the bag open at the bottom because it was tied tightly at the top, and divided up the money in defendant's father's car; and that defendant thoughtlessly left the empty bag in the car when he reached his sister's home. It was not irrational to reject the theory that Thomas no longer had \$40,000 on his person when he was attacked.

Defendant further argues that the Appellate Division erred in relying on Thomas's girlfriend's identification of the Tops bag as the same one she had knotted. Defendant insists that a

double-knotted Tops grocery bag is not visually distinctive, such that a person could no more identify it, as identical to one she had seen before, than she could recognize an individual penny or soda can as the same one she had seen before. We have no occasion to reach this issue, because the evidence was sufficient to prove robbery even without the witness's identification of the bag. That is, even if Thomas's girlfriend had not testified that the bag found in the car was the same one she had filled with cash, the fact that a grocery bag matching her *description* was found in the car was, alone, highly significant under the circumstances of this case. Given the testimony that Thomas was carrying a double-knotted Tops bag, stuffed with cash, shortly before he was killed, the evidence that a double-knotted Tops bag, emptied of its contents, was found in the car in which defendant fled from the scene, was sufficiently probative, without the identification by Thomas's girlfriend.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). Because the People failed to prove a crucial requisite element of felony murder and two counts of robbery in the first degree—that there was a forcible taking of property—I would find that the evidence was not legally sufficient to support the judgment of conviction. I therefore dissent.

“A person is guilty of robbery in the first degree when he forcibly steals property and when, in the course of the commission of the crime or of immediate flight therefrom, he or another participant in the crime,” as relevant here, causes serious physical injury to a nonparticipant in the crime or is armed with a deadly weapon (Penal Law § 160.15 [1], [2]). In order to be guilty of felony murder, the People must prove that, “[a]cting either alone or with one or more other persons, he commit[ted] or attempt[ed] to commit [first degree] robbery . . . and, in the course of and in furtherance of such crime or of immediate flight therefrom, he, or another participant . . . cause[d] the death of a [nonparticipant]” (Penal Law § 125.25 [3]). Here, there was ample evidence that a homicide took place. The absence of any evidence of a forcible taking, however, is fatal to defendant's convictions of the above offenses.

Our standard of review for legal sufficiency is well settled. Viewing the evidence in the light most favorable to the People, we must determine whether “there is a valid line of reasoning

and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt” (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks and citations omitted]). Moreover, “the People are entitled to the benefit of every *reasonable* inference to be drawn from the evidence” (*People v Cintron*, 95 NY2d 329, 332 [2000] [emphasis added]).

Although the legal sufficiency standard is highly deferential to the verdict reached by the jury after trial, there must be some limit to the inferences we will consider permissible based on the established facts. Here, seven people witnessed the shooting or its immediate aftermath and not one of them testified to seeing anything taken from the victim. In fact, they affirmatively stated that they did not see anything in the shooter’s hands other than the gun. It is true that the mail carrier saw the gunman bend over the body in the street, but he too maintained that he did not see the gunman do anything with his hands. Under these circumstances, the inference that a forcible taking occurred cannot reasonably be drawn.

The direct evidence does not merely have gaps that can be overcome by reasonable inferences drawn from the circumstantial evidence, but contradicts the People’s case. In addition to the eyewitnesses who failed to observe any taking, it was not proved that the victim was still in possession of the money at the time he was shot. When he left the apartment at 1:00 p.m., he told his girlfriend that he would return in a half-hour. He was shot over an hour later, at a time when he had expected that the drug transaction would have been completed and he would have already used the cash as payment. We are not concerned with positing innocent explanations for the evidence. Rather, we are concerned with whether the jury’s conclusion that there was a forcible taking of the victim’s property was sufficiently supported by the evidence.

It appears the majority would agree the evidence of taking would be insufficient but for the knotted Tops supermarket bag. But this is unquestionably a very common local item. The inferential leap required to find that the presence of a plastic bag in defendant’s car supports the conclusion that a forcible taking occurred is simply too great.

As County Court observed, the issue of whether there was legally sufficient evidence in this case is “an extremely difficult

and troubling” one. Since there was a failure of proof as to an essential element of the crimes, I would reverse defendant’s conviction and dismiss the indictment.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judges RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[5 NE3d 1269, 983 NYS2d 208]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v VICTOR
GONZALEZ, Appellant.

Argued January 9, 2014; decided February 13, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 10, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Caesar D. Cirigliano, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Gonzalez, 91 AD3d 453, reversed.

HEADNOTES

**Crimes — Disclosure — Notice of Intention to Offer Evidence —
Extreme Emotional Disturbance — Request for Jury Charge
Based Solely on People’s Evidence**

1. A criminal defendant is not required to provide CPL 250.10 notice of his or her intention to offer evidence in connection with the affirmative defense of extreme emotional disturbance (EED) where the defendant offers no evidence at trial but requests an EED jury charge based solely on evidence presented by the People. A defendant charged with murder in the second degree is entitled to a jury charge on EED where the evidence, viewed in the light most favorable to the defendant, is sufficient for the jury to find by a preponderance of the evidence that the defendant was “under the influence of extreme emotional disturbance for which there was a reasonable explanation or excuse” (Penal Law § 125.25 [1] [a]), even if the defendant did not testify or otherwise present evidence. A defendant is required to provide written notice of his or her intention to present psychiatric evidence, which is defined as “[e]vidence of mental disease or defect to be offered by the defendant in connection with the affirmative defense” (CPL 250.10 [1] [b]; [2]). The use of active terms in the statute suggests that the notice requirement applies where defendant affirmatively seeks to admit psychiatric evidence in support of an EED defense. Requesting an EED charge based on the People’s proof is not commensurate with offering evidence in connection with an EED defense for the purposes of triggering the notice requirement. The concern for preventing unfair surprise to the People is reduced when the request is based on the People’s own evidence. Moreover, requiring notice in such a case would be impracticable since defendants could only comply with the notice requirement if they revealed before trial that they intended to rely on the People’s evidence to support an EED defense.

**Crimes — Instructions — Issuance of Extreme Emotional Distur-
bance Charge Conditioned on People’s Presentation of Psychiat-
ric Testimony**

2. In a prosecution in which defendant, who was accused of bludgeoning his boss to death with a hammer and dismembering the body, did not put forth

any evidence in connection with an extreme emotional disturbance (EED) affirmative defense, but requested an EED jury charge based on the People's admission of his videotaped confession in which he stated several times that he had "lost [his] mind" and was "out of [his] mind," Supreme Court abused its discretion by conditioning the EED charge on the People's opportunity to introduce the testimony of their psychiatric expert who had examined defendant. The court construed defendant's request for an EED charge as the equivalent of an intent to proffer psychiatric evidence for which notice is required under CPL 250.10. However, the CPL 250.10 notice requirement does not apply where the defendant offers no evidence at trial but requests an EED jury charge based solely on evidence presented by the People. Because no notice was required, there was no statutory basis for allowing the People to use the psychiatric examination against defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 44; AM JUR 2d, Homicide §§ 105, 235, 514; AM JUR 2d, Trial §§ 1071–1074.

CARMODY-WAIT 2d, Pretrial Notice §§ 188:9, 188:10, 188:13, 188:14, 188:26; CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:62.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

McKINNEY'S, CPL 250.10; Penal Law § 125.25 (1) (a).

NY JUR 2d, Criminal Law: Procedure §§ 1737, 1739–1741, 2767; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 501, 536.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Incompetent or Insane Persons; Instructions to Jury; Physical and Mental Examinations.

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Database: NY-ORCS

Query: extreme /2 emotional /2 disturbance /p notice & request! /s charge instruction

POINTS OF COUNSEL

Davis Polk & Wardwell LLP, New York City (*Mathew S. Miller* of counsel), and *The Bronx Defenders*, Bronx (*V. Marika Meis* of counsel), for appellant. I. The trial court misapplied CPL 250.10 by construing appellant's request for an extreme emotional disturbance jury charge based solely on evidence introduced by the People as "[e]vidence . . . to be offered by the defendant" and statutory "notice," entitling the People to reopen their case and present psychiatric evidence to rebut their own evidence. (*People*

v McKenzie, 19 NY3d 463; *People v Moya*, 66 NY2d 887; *People v Harris*, 95 NY2d 316; *People v Almonor*, 93 NY2d 571; *People v Berk*, 88 NY2d 257; *People v Diaz*, 15 NY3d 40; *People v Wenzel*, 133 AD2d 716; *People v Davis*, 136 Misc 2d 1076; *People v Khan*, 68 NY2d 921; *People v Johnson*, 225 AD2d 464.) II. The trial court violated appellant's Fifth Amendment rights by conditioning allowance of the extreme emotional disturbance jury charge on the introduction of appellant's Fifth-Amendment-protected statements against him. (*Estelle v Smith*, 451 US 454; *Buchanan v Kentucky*, 483 US 402; *People v Diaz*, 3 Misc 3d 686; *People v Kruglik*, 256 AD2d 592; *New Jersey v Portash*, 440 US 450; *Brooks v Tennessee*, 406 US 605; *Battie v Estelle*, 655 F2d 692; *Brown v Butler*, 876 F2d 427; *United States v Trapnell*, 495 F2d 22; *People v Bagby*, 65 NY2d 410.)

Robert T. Johnson, District Attorney, Bronx (*Peter D. Coddington* of counsel), for respondent. Justice Cirigliano properly conditioned appellant's right to assert extreme emotional disturbance upon the prosecution's right to rebut that defense. (*People v Roche*, 98 NY2d 70; *People v Smith*, 1 NY3d 610; *People v McKenzie*, 19 NY3d 463; *People v Diaz*, 15 NY3d 40; *People v Moya*, 66 NY2d 887; *People v Wenzel*, 133 AD2d 716; *People v Almonor*, 93 NY2d 571; *People v Hall*, 18 NY3d 122; *People v Jenkins*, 44 AD3d 1, 11 NY3d 282; *People v Garguilio*, 57 AD3d 797.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

Under CPL 250.10, a defendant must provide notice of intent to offer evidence in connection with the affirmative defense of extreme emotional disturbance (EED). We have held that a defendant seeking to admit expert or lay testimony related to an EED defense must comply with the notice requirement before that defense may be submitted to the jury (see *People v Diaz*, 15 NY3d 40, 46-47 [2010]; *People v Berk*, 88 NY2d 257, 263 [1996]). The question presented here is whether CPL 250.10 applies where the defendant offers no evidence at trial but requests an EED jury charge based solely upon evidence presented by the People. We conclude that statutory notice is not required under these circumstances.

I.

On May 9, 2006, defendant bludgeoned his boss, Wilfredo Pinto Lebron, Jr., to death with a hammer and dismembered his

body. Police arrested defendant after Lebron's girlfriend discovered his severed torso in a garbage can outside her apartment building. Defendant subsequently confessed to killing Lebron and took police to the locations in the Hunts Point area of the Bronx where he had discarded the remaining body parts.

The following day, defendant signed a written statement prepared by a police detective that described how the crime had transpired. According to the statement, Lebron had first attacked defendant on the night of the killing by punching defendant in the face and breaking a wooden bookshelf across his back. A neighbor broke up the altercation, but when Lebron tried to instigate another fight, defendant went to his room to retrieve a hammer that, by his account, he needed to defend himself against Lebron. When Lebron confronted defendant again, he struck Lebron in the head with the hammer. Lebron tried to run into a bedroom, but defendant followed and hit Lebron's head several more times with the hammer until Lebron stopped moving. Defendant then dragged Lebron's body to the bathroom and dismembered it using knives from the kitchen. He placed the body parts into separate garbage bags and, after cleaning up the apartment, deposited the bags into different garbage cans in Hunts Point.

After executing the statement, defendant gave a videotaped confession to a Bronx County Assistant District Attorney. Defendant's account of the events was essentially the same as what he described in the written statement. However, defendant stated several times during the confession that he had "lost [his] mind" during the fight with Lebron and was "out of [his] mind" while he dismembered Lebron's body. Defendant further claimed that Lebron, who had been defendant's boss at his construction job, had physically and mentally abused him every day for weeks prior to the killing. Defendant was subsequently charged with murder in the second degree (Penal Law § 125.25), manslaughter in the first degree (*id.* § 125.20), removal of a body (Administrative Code of City of NY § 17-201), and dissection of the body of a human being (Public Health Law § 4210-a).

Before trial, defendant's attorney served on the People and filed with the court a notice of intent to proffer psychiatric evidence in connection with an EED defense (*see* CPL 250.10 [2]; *see id.* at [1] [b]). Defendant submitted to an examination by the People's psychiatrist, Dr. Goldsmith (*see id.* at [3]), and was also examined by his own psychiatrist. The psychiatric reports were later exchanged between the parties (*see id.* at [4]).

Subsequent to the examinations but prior to trial, defense counsel informed the prosecutor that defendant would not be presenting any psychiatric evidence at trial and that counsel would withdraw the CPL 250.10 notice. Defense counsel never formally withdrew the notice, however, and never informed the trial court of his intention to do so. When the prosecutor later told defense counsel that he would seek to introduce the video confession into evidence, defense counsel represented that defendant planned to assert a justification defense.

At trial, the People introduced defendant's written statement and the videotaped confession into evidence during their case-in-chief. The People also presented testimony from several witnesses, including the police detectives who interviewed defendant and a medical examiner who determined that Lebron's death was caused by a combination of 10 hammer blows to the head and two stab wounds to the heart.¹ The defense rested without presenting a case or cross-examining any of the People's witnesses regarding defendant's mental state.

At the charge conference conducted prior to summations, defense counsel requested that the jury be instructed on EED. The trial court agreed that the evidence presented by the People, in particular the videotaped confession, established the elements of an EED defense and defendant was therefore entitled to a jury instruction. The prosecutor opposed the request, stating that he had been led to believe that defendant's CPL 250.10 notice had been withdrawn and that defendant would rely on a justification defense rather than an EED defense. The prosecutor asserted that, now that defendant sought an EED charge, the People had the right to rebut that charge with testimony by Goldsmith, who had opined, based on his examination of defendant while the CPL 250.10 notice was still in effect, that defendant had killed Lebron out of anger but had not lost control of his actions. Defense counsel countered that the People were not permitted to rebut their own evidence, that CPL 250.10 does not apply where a defendant has offered no psychiatric evidence, and that the introduction of Goldsmith's testimony, to the extent that it relied on statements defendant had made during the psychiatric examination, would violate his Fifth Amendment privilege against self-incrimination.

The trial court ruled that it would submit an EED charge to the jury on the condition that, out of fairness, the People be

1. Defendant never confessed to stabbing Lebron while he was still alive, only to dissecting his dead body.

given the opportunity to call Goldsmith to rebut the EED defense. Defense counsel, in response to the court's ruling, withdrew his request for the charge, and the prosecutor subsequently declined to call Goldsmith, stating that he had no reason to do so if defendant was no longer requesting an EED charge. The jury later convicted defendant of second-degree murder.

Defendant moved to set aside the verdict, arguing, as relevant here, that the trial court erred by failing to give the EED charge when the People's evidence supported that charge, and by ruling that defendant was only entitled to the charge if the People were permitted to present Goldsmith's testimony. Supreme Court denied the motion, holding that defendant's request for an EED charge served, essentially, as CPL 250.10 notice that defendant intended to offer his videotaped statements in support of an EED defense, and thus, the People were entitled to call Goldsmith to rebut that defense (*see* 26 Misc 3d 687, 695 [Sup Ct, Bronx County 2009]).

The Appellate Division affirmed (91 AD3d 453 [1st Dept 2012]). The court agreed with the trial court that "defendant's request for an EED charge [w]as the equivalent of a 'notice of intent to proffer psychiatric evidence' under CPL 250.10" (91 AD3d at 454). The court explained that "[w]hen defendant requested the . . . charge based on his statements to the police, defendant 'offered' that evidence 'in connection with' the EED defense, notwithstanding the fact that defendant did not present a case or cross-examine the People's witnesses concerning his mental state" (*id.*). Noting that we had previously construed CPL 250.10 "as applicable to 'any mental health evidence to be offered by the defendant in connection with' a defense of extreme emotional disturbance," the court determined that "[t]his broad statutory mandate encompasses, in this case, the request for an EED charge based on the videotape that was in evidence" (*id.* at 455, quoting *People v Berk*, 88 NY2d 257, 265 [1996]). A Judge of this Court granted defendant leave to appeal (20 NY3d 1099 [2013]), and we now reverse.

II.

"The affirmative defense of extreme emotional disturbance serves to reduce the degree of criminal culpability for acts that would otherwise constitute murder" (*People v Diaz*, 15 NY3d 40, 44-45 [2010]; *see* Penal Law § 125.25 [1] [a]). If the defendant proves by a preponderance of the evidence (*see* Penal Law

§ 25.00 [2]) that the homicide was committed while the defendant was “under the influence of extreme emotional disturbance for which there was a reasonable explanation or excuse,” the jury may find the defendant guilty of first-degree manslaughter rather than second-degree murder (*id.* § 125.25 [1] [a]; *see id.* § 125.20 [2]; *Diaz, supra*).

A defendant is entitled to a jury charge on EED where the evidence, viewed in the light most favorable to the defendant, is sufficient for the jury “to find by a preponderance of the evidence that the elements of the affirmative defense are satisfied” (*People v Moye*, 66 NY2d 887, 889 [1985]; *accord People v Harris*, 95 NY2d 316, 320 [2000]; *People v White*, 79 NY2d 900, 903 [1992]). Accordingly, the trial court must grant the defendant’s request for an EED charge if the jury could reasonably conclude from the evidence that, at the time of the homicide, the defendant “was affected by an extreme emotional disturbance, and that [the] disturbance was supported by a reasonable explanation or excuse rooted in the situation as he perceived it” (*People v McKenzie*, 19 NY3d 463, 466 [2012], citing *People v Casassa*, 49 NY2d 668, 678-680 [1980], *cert denied* 449 US 842 [1980] [citation and footnote omitted]). This is true even if the “[d]efendant did not testify or otherwise present evidence” and the “request for an extreme emotional disturbance charge [i]s based entirely on proof elicited during the People’s case” (*McKenzie, supra* at 465).

Under CPL 250.10, a defendant must “serve[] upon the [P]eople and file[] with the court a written notice of his intention to present psychiatric evidence” in connection with the defenses of lack of criminal responsibility by reason of mental disease or defect (i.e., insanity), EED, and any other defense (CPL 250.10 [2]; *see id.* at [1] [a], [b], [c]). Once notice has been provided, the court may compel the defendant to submit to an examination by a psychiatrist or licensed psychologist retained by the People (CPL 250.10 [3]). We have held that, upon the trial court’s discretion, the People may use the examination to rebut the “psychiatric evidence” the defendant presents (*see Diaz*, 15 NY3d at 47). Failure to comply with the notice provision will preclude the defendant not only from admitting psychiatric evidence, but from “raising any defense predicated on a mental infirmity, including extreme emotional disturbance” (*Diaz*, 15 NY3d at 45; *see People v Almonor*, 93 NY2d 571, 581 [1999] [“The statute is not cast so as to allow a defense or affirmative defense to be introduced when notice is given; it is cast in terms that bar the defense *unless* notice is given”]).

[1] Here, defendant effectively withdrew the CPL 250.10 notice he submitted prior to trial and sought an EED charge based on the People's proof. The parties do not dispute that defendant's statements in the videotaped confession were sufficient to support the charge, as the trial court concluded,² or that defendant was entitled to an EED charge even though his request for the charge was based solely on evidence admitted by the People (*see McKenzie, supra*). The issue is whether CPL 250.10 applied where defendant presented no evidence of EED, and instead relied on the People's direct case to support the submission of his EED defense to the jury. The courts below treated defendant's request for an EED charge as the equivalent of CPL 250.10 notice because, in their view, defendant was essentially giving notice that he intended to "offer" his videotaped statements "in connection with" an EED defense (*see* CPL 250.10 [1] [b]). This conclusion was error.

As originally enacted, CPL 250.10 required that "a defendant serve advance notice of intent to *rely upon* the insanity defense" (Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 250.10 at 109-110 [emphasis added]; *see Berk*, 88 NY2d at 262). In 1980, the legislature amended the notice provision to require written notice where the defendant "inten[ds] to present psychiatric evidence," rather than simply "rely upon" an insanity defense (*see* L 1980, ch 548, § 7), so the amended statute would apply when a defendant sought to admit evidence to support that defense (*see* Executive Mem at 2, Bill Jacket, L 1980, ch 548 ["defendant must give notice of intent to *give evidence* of mental disease or defect" (emphasis added)]).³ When the legislature amended the statute again in 1982 to address EED, it did not return to the requirement that a defendant provide notice when relying upon a mental infirmity defense; it simply added EED to the types of psychiatric evidence that, when "offered by the defendant," triggers the notice requirement (*see* L 1982, ch 558, § 9; *Berk, supra*).

2. The prosecutor argued during the charge conference that defendant was not entitled to an EED charge because defendant's statements in the videotaped confession did not show that defendant had lost self-control when he killed Lebron. The People have abandoned this argument on appeal.

3. With the 1980 amendment, the legislature also added the provision authorizing the People to have a defendant examined by a mental health professional; thus, the title of the statute was changed from "Notice of defense of mental disease or defect" to the name it retains today: "Notice of intent to proffer psychiatric evidence; examination of defendant upon application of prosecutor" (L 1980, ch 548, § 7; CPL 250.10 [emphasis added]).

In its present form, CPL 250.10 requires notice when a defendant “*inten[ds] to present psychiatric evidence*” (*id.* at [2] [emphasis added]), which the statute broadly defines as “[e]vidence of mental disease or defect to be *offered by the defendant in connection with* the affirmative defense of,” as relevant to this appeal, “extreme emotional disturbance” (*id.* at [1] [b] [emphasis added]). The legislature did not specify what qualifies as mental health evidence “offered by the defendant”; however, to “offer evidence,” as that legal phrase is traditionally understood, means to put forth evidence and “demand its admission” (Black’s Law Dictionary 1081 [6th ed 1990]; *see* Black’s Law Dictionary [9th ed 2009], proffer [“To offer or tender (something, esp. evidence) for immediate acceptance”]). Additionally, the frequently used meaning of “present” is “to bring or introduce into the presence of someone” (Merriam-Webster’s Collegiate Dictionary 982 [11th ed 2003]). The legislature’s use of these “active” terms suggests that it intended the notice requirement to apply where the defendant affirmatively seeks to admit psychiatric evidence in support of an EED defense.

This interpretation comports with our broad construction of the notice provision. We have reiterated that CPL 250.10 “applies to *any* mental health evidence to be offered by the defendant in connection with” a mental infirmity defense (*Berk*, 88 NY2d at 265), and as such, “‘any’ mental health evidence offered by a defendant” requires notice to be admissible (*Diaz*, 15 NY3d at 47). This includes “expert or lay testimony, whether by the defendant or other persons,” that “seeks to establish a mental infirmity” defense (*id.*). Although construing the statute “broadly,” we have recognized that it applies only to mental health evidence “offered by a defendant” (*id.*), meaning that the defendant must be the proponent of the evidence for notice to be required (*Berk*, *supra* at 265 [notice required where defendant “sought to introduce expert testimony by a forensic psychologist”]; *see Diaz*, *supra* at 43 [notice required where “defendant testified on his own behalf and presented the testimony of a psychiatrist who had examined him”]; *see also Almonor*, 93 NY2d at 577 [holding that the trial court properly precluded the defendant from presenting psychiatric evidence “related to lack of assaultive intent” due to defective notice]).

Here, defendant did not “offer” or “present” evidence in connection with his EED defense. Specifically, defendant never put forth and demanded the admission of any evidence related to EED (*see Diaz*, *supra*; *Berk*, *supra*), nor did he cross-examine

any of the People's witnesses about EED or his mental health (*cf. People v Wenzel*, 133 AD2d 716, 716-717 [2d Dept 1987], *lv denied* 70 NY2d 939 [1987] [holding that defendant "endeavored to prove his (EED) defense by cross-examination of the People's witnesses" and this was considered "proof of the defense" for the purposes of CPL 250.10 (5)]). Rather, defendant relied on evidence admitted by the People during their direct case to support his request for an EED charge. Requesting an EED charge based on the People's proof is not commensurate with "offer[ing]" evidence "in connection with" an EED defense for the purposes of triggering the notice requirement. CPL 250.10 requires notice whenever a defendant intends to admit evidence establishing a mental infirmity defense (*Diaz, supra* at 47; *Berk, supra* at 265); a defendant merely relying on the People's proof simply does not come within the ambit of the statute. Accordingly, defendant's request for an EED charge should not have been construed as CPL 250.10 notice, as the courts below held, and defendant was not required to provide notice in order to receive the charge.

This result does not offend the important policy considerations underlying the notice requirement. "The statutory notice provision is grounded on principles of fairness and is intended 'to prevent disadvantage to the prosecution as a result of surprise' " occasioned by the defendant's sudden interposition of psychiatric evidence and an accompanying mental infirmity defense (*Diaz, supra* at 46, quoting *Berk*, 88 NY2d at 263). Although the statute states that psychiatric evidence is "inadmissible" without proper notice (CPL 250.10 [2]), we have construed the notice provision more broadly, holding that a defendant will be barred from even raising an EED defense unless he or she provides notice (*see Diaz, supra* at 45; *Almonor*, 93 NY2d at 581). This rule further protects the People from the prejudice caused by "surprise" mental health evidence (*see Diaz, supra* at 46-47). When defendant seeks an EED charged based on the People's proof, however, the concern for "preventing unfair surprise" is reduced (*Diaz, supra* at 46). There, the defendant is not attempting to introduce new mental health evidence, but is merely relying on evidence the People chose to admit.

Here, the videotaped confession contained statements that could support an EED charge, whereas defendant's written statement did not. Deciding which evidence to include in the case-in-chief is often a matter of strategy, and in this case, the People made the strategic decision to admit the videotape into

evidence. Of course, defense counsel employed a strategy as well by withdrawing the initial CPL 250.10 notice and waiting until the close of proof to request the EED charge based on the videotaped statements. Although the charge request came as a surprise to the People, particularly in light of the prosecutor's prior discussions with defense counsel, it was still based on the People's own evidence, and therefore was not so inherently disadvantageous as to justify expanding the notice requirement.

The People nevertheless maintain that we should interpret CPL 250.10 broadly to require that defendants give notice whenever they intend to rely on the prosecution's evidence to support an EED defense. Such a rule would be no different from requiring notice every time a defendant intends simply to *rely upon* an EED defense. CPL 250.10 does not require notice in these circumstances, and if the legislature had intended otherwise, it would not have removed comparable language from the statute, or it would have reinstated that language in the 1982 amendment that addressed EED.

Additionally, the People's rule would be impracticable in application. CPL 250.10 (2) requires that notice be given "before trial" and "not more than thirty days after entry of the plea of not guilty to the indictment." Under the People's view, defendants could only comply with the notice requirement if they revealed "before trial" that they intended to rely on the People's evidence to support an EED defense. Although the aim of CPL 250.10 is to "prevent[] unfair surprise" by permitting the People to adequately prepare for a mental infirmity defense (*Diaz*, 15 NY3d at 47), the legislature did not necessarily intend that a defendant be forced to disclose, ahead of trial, that his or her trial strategy depends entirely on evidence to be offered by the People. A defendant may not know at this early juncture what evidence the People intend to admit. As a result, most defendants would likely file late notice, which the statute allows at the trial court's discretion (*see* CPL 250.10 [2]), but the legislature did not intend to be the normal procedure.

III.

[2] Having determined that CPL 250.10 notice is not required where a defendant relies on the People's evidence to support an EED charge, we now consider whether the trial court abused its discretion here by, in exchange for issuing the EED charge,

permitting the People to introduce Goldsmith's testimony.⁴ Because no notice was required, there was no statutory basis for allowing the People to use the psychiatric examination against defendant. Thus, the trial court abused its discretion by conditioning the EED charge on the People's presentation of Goldsmith's testimony when it should have simply submitted that charge to the jury.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and RIVERA concur.

Order reversed and a new trial ordered.

4. The People argue that the trial court did not err by conditioning the EED charge on the People's presentation of Goldsmith's testimony because that testimony would not necessarily have relied on defendant's statements. But the People never made this claim before the trial court; rather, the prosecutor made clear that the People intended to call Goldsmith to testify that he had determined, based on his examination of defendant, that defendant did not suffer from EED at the time of the homicide.

[6 NE3d 586, 983 NYS2d 468]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHRISTOPHER MARTINEZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SELBIN MARTINEZ, Appellant.

Argued January 16, 2014; decided February 18, 2014

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 22, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Caesar D. Cirigliano, J.), which had convicted defendant, upon a jury verdict, of attempted robbery in the third degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 20, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Caesar D. Cirigliano, J.), which had convicted defendant, upon a jury verdict, of attempted robbery in the second degree.

People v Martinez, 95 AD3d 677, affirmed.

People v Martinez, 100 AD3d 537, affirmed.

HEADNOTE

Crimes — Disclosure — Failure to Produce *Rosario* Material — Adverse Inference Charge Not Warranted for Loss of Police Handwritten Complaint Report

The trial court in defendants' robbery prosecution did not abuse its discretion when it declined to give an adverse inference charge regarding the loss of the handwritten complaint report (commonly referred to as a "scratch 61") prepared by a police officer who responded to a 911 call reporting the robbery. Nonwillful, negligent loss or destruction of *Rosario* material does not mandate a sanction unless the defendant establishes prejudice. If prejudice is shown, the choice of the proper sanction is left to the sound discretion of the trial judge, who may consider the degree of prosecutorial fault. The officer placed the scratch 61 in a bin for typing, likely by a civilian employee of the police department, and the typewritten complaint report was provided to defendants. The typewritten report would have differed from the scratch 61 only if the typist made a mistake. Defendants did not establish that they were prejudiced by the loss of the scratch 61, as was their burden. Defendants faulted the trial judge for not analyzing prejudice when he denied their request for an adverse inference charge, but they did not even mention the word.

Instead, defense counsel requested the instruction simply because the scratch 61 could not be produced. The judge essentially (and correctly) ruled that inadvertent loss alone was insufficient to require a sanction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 263, 266, 285; AM JUR 2d, Trial § 1100.
CARMODY-WAIT 2d, Discovery §§ 187:127, 187:129–187:131;
CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:37.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 20.6, 24.8.
NY JUR 2d, Criminal Law: Procedure §§ 1649, 1723, 1729, 2754.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Disclosure; Discovery; Instructions to Jury.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Marisa K. Cabrera of counsel), for appellant in the first above-entitled action. I. The trial court's refusal to issue an adverse inference instruction for lost *Rosario* material requires reversal where the court based its ruling solely on the officer's lack of bad faith and where Christopher Martinez suffered prejudice. (*People v Rosario*, 9 NY2d 286; *People v Poole*, 48 NY2d 144; *People v Young*, 79 NY2d 365; *People v Banch*, 80 NY2d 610; *People v Washington*, 86 NY2d 189; *People v Kelly*, 62 NY2d 516; *People v Joseph*, 86 NY2d 565; *People v Wallace*, 76 NY2d 953; *People v Haupt*, 71 NY2d 929; *People v LaFontaine*, 92 NY2d 470.) II. The prosecution failed to prove Christopher Martinez's guilt beyond a reasonable doubt as a matter of law where the only evidence tying Mr. Martinez to the incident was the complaining witness's incredible testimony that he was able to recognize the brief backwards movement of the masked and silent perpetrator due to his occupation as a "repairman." (*Jackson v Virginia*, 443 US 307; *People v Reed*, 64 NY2d 1144; *People v Sandoval*, 34 NY2d 371; *People v Fratello*, 92 NY2d

565; *People v Brown*, 80 NY2d 729; *People v Way*, 59 NY2d 361; *Matter of Dorothy D.*, 49 NY2d 212; *People v Carter*, 63 NY2d 530.)

Robert T. Johnson, District Attorney, Bronx (*Ravi Kantha*, *Joseph N. Ferdenzi* and *Nancy D. Killian* of counsel), for respondent in the first above-entitled action. I. Defendant's conviction was supported by overwhelming evidence. (*People v Scarborough*, 49 NY2d 364; *People v Delamota*, 18 NY3d 107; *People v Rossey*, 89 NY2d 970; *People v Bleakley*, 69 NY2d 490; *People v Conway*, 6 NY3d 869; *People v Ford*, 66 NY2d 428; *People v Norman*, 85 NY2d 609; *People v Deegan*, 69 NY2d 976; *People v Lesiuk*, 81 NY2d 485; *People v Lee*, 221 AD2d 473.) II. The trial court did not abuse its discretion when it declined to issue an adverse inference charge regarding the loss of Officer Franco's handwritten complaint report, and in any event, any error in that regard was harmless. (*People v Stephens*, 84 NY2d 990; *People v Rosario*, 9 NY2d 286; *People v Consolazio*, 40 NY2d 446; *People v Raghelle*, 69 NY2d 56; *People v Wolf*, 284 AD2d 102; *People v Wallace*, 76 NY2d 953; *People v Haupt*, 128 AD2d 172, 71 NY2d 929; *People v Joseph*, 86 NY2d 565; *People v Jenkins*, 98 NY2d 280; *People v Brown*, 71 AD3d 1043.)

Richard M. Greenberg, Office of the Appellate Defender, New York City (*Rahul Sharma* and *Joseph M. Nursey* of counsel), for appellant in the second above-entitled action. I. The trial court erred in refusing to give a permissive adverse inference charge for the State's failure to preserve *Rosario* material, where there is a strong likelihood that the material contained statements contradicting the complainants' trial testimony. (*People v Joseph*, 86 NY2d 565; *People v Rosario*, 9 NY2d 286; *People v Banach*, 80 NY2d 610; *People v Wallace*, 76 NY2d 953; *People v Haupt*, 71 NY2d 929; *People v Malizia*, 62 NY2d 755; *People v Vilardi*, 76 NY2d 67; *People v Machado*, 90 NY2d 187; *People v Handy*, 20 NY3d 663; *People v Concepcion*, 17 NY3d 192.) II. The trial court prejudiced Selbin Martinez when, over the defense's objection, it erroneously instructed the jury that Armando Irizarry identified an alleged assailant as Selbin from a "portion of his face." (*People v Bell*, 38 NY2d 116; *People v De Jesus*, 42 NY2d 519; *People v Jamison*, 47 NY2d 882.) III. The evidence was legally insufficient to support Selbin Martinez's conviction for attempted robbery, where the only evidence of the offense was a complainant's contradicted testimony that one of the assailants said "give it up," and where the identification of Selbin was based largely upon an indescribable body movement. (*People v*

Carroll, 95 NY2d 375; *People v Piazza*, 48 NY2d 151; *People v Calabria*, 3 NY3d 80; *People v Foster*, 64 NY2d 1144.)

Robert T. Johnson, District Attorney, Bronx (*Ravi Kantha*, *Joseph N. Ferdenzi* and *Nancy D. Killian* of counsel), for respondent in the second above-entitled action. I. Defendant's conviction was supported by overwhelming evidence. (*People v Scarborough*, 49 NY2d 364; *People v Delamota*, 18 NY3d 107; *People v Rossey*, 89 NY2d 970; *People v Bleakley*, 69 NY2d 490; *People v Conway*, 6 NY3d 869; *People v Ford*, 66 NY2d 428; *People v Norman*, 85 NY2d 609; *People v Deegan*, 69 NY2d 976; *People v Lesiuk*, 81 NY2d 485; *People v Hawkins*, 11 NY3d 484.) II. The trial court did not abuse its discretion when it declined to issue an adverse inference charge regarding the loss of Officer Franco's handwritten complaint report, and in any event, any error in that regard was harmless. (*People v Stephens*, 84 NY2d 990; *People v Rosario*, 9 NY2d 286; *People v Consolazio*, 40 NY2d 446; *People v Ranghelle*, 69 NY2d 56; *People v Wolf*, 284 AD2d 102, 98 NY2d 105; *People v Wallace*, 76 NY2d 953; *People v Haupt*, 128 AD2d 172, 71 NY2d 929; *People v Joseph*, 86 NY2d 565; *People v Jenkins*, 98 NY2d 280; *People v Brown*, 71 AD3d 1043.) III. The trial court's identification charge was proper in all respects. (*People v Culhane*, 45 NY2d 757; *People v Saunders*, 64 NY2d 665; *People v Hudson*, 251 AD2d 124; *People v Woods*, 199 AD2d 176; *People v Bell*, 38 NY2d 116; *People v De Jesus*, 42 NY2d 519; *People v Jamison*, 47 NY2d 882; *People v Crimmins*, 36 NY2d 230; *People v Kello*, 96 NY2d 740.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to decide whether the trial judge abused his discretion when he declined to give an adverse inference charge regarding the loss of the handwritten complaint report (commonly referred to as a "scratch 61") prepared by a police officer who responded to a 911 call reporting a robbery. Defendants Selbin Martinez (Selbin) and Christopher Martinez (Christopher) (collectively, defendants) were subsequently convicted of attempted robbery in connection with this incident. For the reasons that follow, we conclude that the judge did not abuse his discretion.

I

On Friday, July 17, 2009, at roughly 4:00 p.m., 45-year-old Armando Irizarry, Sr. (Irizarry), a self-employed repairman,

returned from a job to his apartment on the 14th floor of a high-rise building on Havemeyer Avenue in the Bronx. The building is public housing owned by the New York City Housing Authority, and Irizarry had lived in the same apartment there for about seven years. He was well-acquainted with defendants, longtime residents of an apartment on the building's 13th floor. Through the years, he had engaged in casual conversation with them both.

Irizarry saw Christopher “[a]lmost every day . . . hanging out” in the hallway on the 14th floor, “either smoking cigarettes or talking to his friend,” who lived on that floor. Christopher and this friend were inseparable. Irizarry owns a Jack Russell terrier, a very nervous dog that “hated” Christopher. When Irizarry left his apartment with the dog to go downstairs and outside to walk her, the terrier would bark at Christopher, who invariably reacted by “run[ning] awkwardly . . . like hopping” as he “back[ed] up away from” the dog, scared. Irizarry also encountered Selbin a few times a week in the building. He noticed that Selbin, too, had “a particular way [of] walk[ing]” and holding his shoulders. Irizarry described himself as “really bad with people and faces,” which forced him “to rely on movements and physical characteristics to remember people.”

Upon arriving home, Irizarry received a call from his adult son, who had been waiting for him at a neighbor's apartment. Irizarry intended to return to work to finish up a job so that he could get paid for it the next day. But first, after his son “implied that he was hungry,” Irizarry ordered takeout from a Chinese restaurant and gave his son \$20 to pay for the food. At about 5:00, he accompanied his son into the 14th floor's well-lit hallway on the way to the elevator and downstairs to the lobby to pick up the food delivery.

Two elevators and adjacent stairwells A and B are located outside Irizarry's apartment. Because one of the elevators was typically out of order, Irizarry's son peered through the elevator windows to see which one was working at the time. Meanwhile, Irizarry heard noise in stairwell B. When he opened the stairwell's door out of curiosity, he spotted someone “all in black” crack the door on the floor below and “t[ake] a peek” at him, but he was not alarmed; he closed the door and headed back to the elevator. Suddenly, though, a man emerged from the stairwell, dressed from head to toe in black. His face hidden behind a ski mask that exposed only his mouth and eyes, the man also wore sunglasses, a hat and gloves. Armed with a

baseball bat, he was closely followed by a second man, similarly clad all in black, with his head and face concealed by a hood and a ski mask that exposed only his eyes. The second man carried a gun.

Irizarry “right away” recognized the first man as Selbin “because of the way he walks” and because he is “really slim and tall.” Assuming at first that Selbin was just joking around, Irizarry stepped up to him upon his approach and asked, “What’s up, Silence?,” a reference to Selbin’s nickname. In response, Selbin pushed Irizarry and told him to “Give it up.” Now fearful that Selbin and his companion intended harm and sensing that Selbin was ready to swing the bat at him, Irizarry pulled out from his pocket a sock in which he had stuffed a billiard ball. He always carried this makeshift weapon with him for protection.

Irizarry threatened Selbin with the billiard ball, and called out to his son to alert him to the danger. Selbin then walked toward Irizarry’s son, swinging the bat from side to side and signaling him to be quiet by putting a finger up to his mouth and vocalizing “Shh.” As Selbin made this gesture, he inadvertently revealed his mustache.¹ Irizarry’s son backed away from Selbin, edging toward the elevators and sliding in the direction of stairwell A.

At that point, Irizarry turned his attention to the other man so as “to put space between” that man’s gun and Irizarry’s son. As he advanced, brandishing his billiard ball, the gunman immediately retreated to stairwell B by running backward “just like . . . when he [saw Irizarry’s] Jack Russell dog. Exactly the same thing,” which is when and how Irizarry recognized Christopher.

Irizarry then grabbed his son and pulled him into stairwell A, and closed and blocked the door, which has a window. As Selbin tried to pry the door open and Irizarry, who is much heavier, resisted, Selbin’s ski mask shifted, uncovering his chin, nose and cheek. Afraid that Christopher might gain access to stairwell A from another floor and shoot him and his son, Irizarry opened the door slightly, swung “as hard as [he] could” and hit Selbin with the billiard ball, flooring him. Certain that Selbin was “dizzy, confused because [he] hit him hard,” Irizarry “decided to run for [his] life” and “drag[ged his] son with [him], all the way downstairs to the first floor,” where he called 911 at

1. Irizarry’s son, however, was unable to identify either perpetrator.

5:47 p.m. Irizarry told the operator that he thought he knew the perpetrators' identities, but he did not then name them.²

Irizarry's son had been holding the \$20 in his hand while waiting for the elevator, and at some point—he believes when his father jerked him into the stairwell—he dropped the money in the hallway. After making the 911 call, Irizarry and his son went back up to the 14th floor and looked for the \$20 to no avail. Before returning to Irizarry's apartment, they did, however, find a single lens from a pair of sunglasses on the floor in front of stairwell A. With this discovery, Irizarry deduced that he must have hit Selbin in the face with the billiard ball.

The day this happened, Police Officer Hairo Franco and his partner were working from 5:30 p.m. until 2:00 a.m. the next morning as part of a plainclothes police unit organized to combat street-level violence. They were patrolling the precinct when they received a radio call from the dispatcher telling them of a 911 call reporting a robbery at the Havemeyer address. They arrived at the building at 5:55 p.m. and went to Irizarry's apartment, where they spoke with him and his son. Irizarry gave the police a description of the perpetrators. He still did not identify either of them by name, however. Officer Franco called the "Viper" unit, responsible for monitoring the security cameras in the building, and learned that no one fitting the descriptions given by Irizarry had been seen leaving the premises. Officer Franco and his partner then canvassed the building, starting at the roof, but found no suspects.

After speaking with Officer Franco, Irizarry and his son were taken to the police station where they spoke to a detective. During this interview, Irizarry identified Selbin as one of the perpetrators. He told the police where Selbin lived, and at about 7:00 p.m. that evening, they arrived at defendants' apartment, where a young girl answered the door and indicated she was alone. When defendants' mother got home from work a few minutes later, the police told her they were looking for Selbin and asked for permission to check the apartment. She agreed. In one of the bedrooms, the officers moved an ironing board obstructing the closet door and discovered Selbin inside, huddling on the floor under a jumble of clothes; he sported a fresh

2. As related by Christopher's attorney, on the tape of the 911 call Irizarry is heard to say "I think I know who they are . . . Yeah they were wearing masks and a hat and glasses and everything . . . but I think I know who they are." As noted later, the jury heard the tape of the 911 call.

cut and lump on his forehead.³ Officer Franco placed Selbin under arrest. Christopher, who was in the apartment at the time, was arrested by another officer at 8:00 a.m. the next day.⁴

On July 29, 2009, the grand jury handed down a 17-count indictment accusing defendants of committing various crimes, including attempted robbery, assault, grand and petit larceny, criminal possession of stolen property and criminal weapon possession. At the ensuing joint jury trial in November 2010, Irizarry, his son and Officer Franco testified as narrated. The jury also heard the 911 tape and viewed a photograph taken by Officer Franco at the time of Selbin's arrest to show the condition of his forehead.

On cross-examination, Irizarry conceded that some of the details he recounted in his testimony seemingly differed from contemporaneous accounts based on information that he provided to law enforcement. For example, the detective who interviewed him at the precinct recorded that Irizarry stated that "none of the perpetrators said anything" to him, and the criminal complaint signed by Irizarry did not mention that either of the perpetrators swung a bat at him or his son. He explained these inconsistencies or omissions by saying he was in shock at the time and so may have forgotten to tell the police or the district attorney some details, or they may have neglected to record some details or they may not have fully understood him because of his accent.

Officer Franco on cross-examination acknowledged that the only "paperwork" or notes he created between the time he first arrived at the Havemeyer address and Selbin's arrest were to be found in his memo book. When he returned to the precinct after the arrest, he prepared a scratch 61, which he "put . . . in the bin where it gets filed." Asked if this was "[t]he same file as the other paperwork in this case that was turned over to the prosecutor," Officer Franco answered "No." He confirmed that he never gave the scratch 61, the handwritten complaint report, to the prosecutor and did not have it with him. Neither Officer Franco's memo book nor the typewritten complaint report set out any description of the perpetrators.

3. Irizarry testified at trial that he did not observe any cuts on Selbin's face when he saw him the previous day.

4. It is not evident from the record when exactly Irizarry named Christopher as the other perpetrator. At trial, Irizarry attributed his delay in identifying Selbin and Christopher by name to the shock and trauma he experienced in the immediate aftermath of his encounter with them, and fear of reprisal.

At the conclusion of the People's case, Christopher's attorney requested the scratch 61 prepared by Officer Franco. The prosecutor indicated that this document had never been turned over to the District Attorney's office, and, as she understood Officer Franco's testimony, he could not locate it. Christopher's attorney responded as follows:

“[Officer Franco] said he put it in the bin where it's supposed to go and—I would call upon for the production of that [sic]. And if that cannot be produced, I would ask that the jury be instructed that they can draw an adverse inference on that.”

The judge said he would consider this application, which Selbin's attorney joined.

Selbin presented no evidence; Christopher, however, demonstrated for the jury his manner of walking, running and hopping backward. After the close of evidence, the following exchange took place:

“[Christopher's attorney]: One quick thing. The scratch 61, Your Honor, is preserving [sic] on that application?

“THE COURT: I am not going to charge. There is a reason to be said he doesn't have it any more [sic], and therefore, I'm not going to give you an unfavorable inference charge.”

Both attorneys took exception.

During summations, the defense attorneys characterized Irizarry's testimony as incredible, and adduced various claimed or actual inconsistencies between his trial testimony and prior statements attributed to him. Christopher's attorney stressed that Irizarry identified his client as the gun-wielding perpetrator solely on the basis of a supposedly distinctive, “awkward[]” way of backing up. He argued that when Christopher demonstrated his manner of walking backwards for the jurors, they could see for themselves that his client did not move awkwardly. Neither attorney mentioned the lost scratch 61 (*cf. People v Haupt*, 71 NY2d 929, 931 [1988], discussed *infra*).

The trial judge submitted seven counts to the jury: two counts of attempted first-degree robbery (Penal Law §§ 160.15 [4]; 110.00 [attempted forcible stealing of property where a firearm is displayed]; Penal Law §§ 160.15 [3]; 110.00 [attempted forcible stealing of property involving the use or threatened use of a

dangerous weapon]), and a count each of attempted second-degree robbery (Penal Law §§ 160.10 [1]; 110.00 [attempted forcible stealing of property when aided by another person actually present]), attempted third-degree robbery (Penal Law §§ 160.05; 110.00 [attempted forcible stealing of property]), attempted second-degree assault (Penal Law §§ 120.05 [2]; 110.00 [attempting to cause physical injury to another person by means of a deadly weapon or dangerous instrument]), attempted grand larceny in the fourth degree (Penal Law §§ 155.30 [5]; 110.00 [attempting to steal property, regardless of its value, by taking it from the person of another]) and criminal possession of a weapon in the fourth degree (Penal Law § 265.01 [2] [knowingly possessing a dangerous or deadly weapon or instrument with intent to use it unlawfully against another]). As part of the identification charge, the judge instructed the jury that “[w]hen [Irizarry] testified about Selbin Martinez he said he recognized his manner of walking[,] body[] shape and saw a portion of his face.” Selbin’s attorney objected that the trial judge thereby erroneously instructed the jury that Irizarry made a facial identification of Selbin.

On November 19, 2010, the jury acquitted defendants of both counts of attempted first-degree robbery, and also acquitted Christopher of attempted second-degree robbery. The jury, however, convicted Selbin of attempted second-degree robbery, and Christopher of attempted third-degree robbery. On March 10, 2011, Supreme Court sentenced Selbin as a second felony offender to a determinate prison term of 4½ years, to be followed by five years of postrelease supervision; and Christopher to an indeterminate prison term of 1 to 3 years. Both defendants appealed.

In May 2012, a panel of the Appellate Division affirmed Christopher’s conviction and sentence, holding that the evidence was legally sufficient and the verdict was not against the weight of the evidence (95 AD3d 677 [1st Dept 2012]). The court noted that Irizarry saw Christopher almost daily and identified him “by a distinctive body movement, which [Irizarry] had seen [Christopher] make many times”; that “[a] distinctive gait or body movement may be a valid means of identification”; and that “the trial court granted [Christopher] permission to demonstrate his gait or body movements, and the jury had an opportunity to make its own judgment regarding their distinctiveness” (*id.* at 678). The Appellate Division further concluded that the trial judge properly exercised his discretion when he

declined to deliver an adverse inference charge with respect to the lost scratch 61, in light of the absence of evidence of bad faith or prejudice.

In November 2012, a different panel of the Appellate Division rejected Selbin's legal sufficiency and weight-of-the-evidence claims (100 AD3d 537 [1st Dept 2012]). The court noted that Irizarry told the jury that he recognized Selbin, whom "he had seen . . . in his apartment building on a regular basis for years," by virtue of his "body type and . . . manner of walking," and that, additionally, he "saw a portion of [Selbin's] face that was left exposed, and heard him speak during the incident" (*id.* at 537). Further, a few hours after the crime the police discovered Selbin in his apartment, "hiding in a closet underneath a pile of clothing" with "a bump and a fresh cut on his head," an injury that was consistent with Irizarry's testimony that he fended Selbin off with a blow to the head with a billiard ball (*id.* at 538). The Appellate Division again concluded that the trial judge properly exercised his discretion in declining to deliver an adverse inference charge with respect to the lost scratch 61.

A Judge of this Court granted Christopher's and Selbin's separate motions for leave to appeal (20 NY3d 987 [2012]; 20 NY3d 1063 [2013]). We now affirm.

II

In *People v Rosario* (9 NY2d 286 [1961], *cert denied* 368 US 866 [1961]), defendant, convicted of capital murder, contended that the trial judge committed reversible error in refusing to turn over the pretrial statements of three prosecution witnesses for purposes of cross-examination. At the time, our case law obligated the trial judge to inspect a prosecution witness's pretrial statements and disclose to the defense any material at variance with the witness's trial testimony (*see People v Walsh*, 262 NY 140, 149-150 [1933]). After making the requisite inspection, the trial judge in *Rosario* announced some "variances" between statements and testimony and told defense counsel that they might examine and use those portions of the statements containing these discrepancies.

Noting that in *Jencks v United States* (353 US 657, 667 [1957]), the United States Supreme Court had held that in federal prosecutions a defendant was entitled to inspect any statement made by a government witness bearing on the subject matter of the witness's testimony, we commented that

"[t]he procedure to be followed turns largely on policy considerations, and upon further study and

reflection this court is persuaded that a right sense of justice entitles the defense to examine a witness' prior statement, whether or not it varies from his testimony on the stand. As long as the statement relates to the subject matter of the witness' testimony and contains nothing that must be kept confidential, defense counsel should be allowed to determine for themselves the use to be made of it on cross-examination" (*Rosario*, 9 NY2d at 289; see also CPL § 240.45 [1] [a] [codifying our holding in *Rosario*]).

We ruled that the trial judge should have disclosed the requested statements in their entirety, and then considered whether the defendant was thereby prejudiced, "whether, in other words, there was a rational possibility that the jury would have reached a different verdict if the defense had been allowed the use of the witness' prior statements" (*Rosario*, 9 NY2d at 291). Applying this standard, we concluded that the judge's error did not prejudice the defendant (*id.*). Accordingly, we affirmed the conviction.

Over time, though, we "eschew[ed] harmless error analysis in cases arising during direct appeal in which the defendant was deprived of *Rosario* material at trial" in favor of a rule always requiring a new trial in this situation (*People v Banch*, 80 NY2d 610, 615 [1992]). We reasoned that "[h]armless error analysis in such cases would necessarily require weighing the potential impeachment value of the withheld material," but "[a]n appellate court . . . is ordinarily no better equipped than the trial court to make such an evaluation, and it was the inadequacy of the trial court in that regard—as compared to single-minded counsel for the accused—that compelled the *Rosario* holding" in the first place (*id.*). Thus, as stated in *People v Ranghelle* (69 NY2d 56, 63 [1986]), where

"the prosecution fails completely in its obligation to deliver [*Rosario*] material to defense counsel, the courts will not attempt to determine whether any prejudice accrued to the defense. The failure constitutes per se error requiring that the conviction be reversed and a new trial ordered . . . [T]he People's good-faith efforts to locate, identify and discover all

Rosario material does not excuse their failure to produce covered material.”⁵

The so-called “*Ranghelle* Rule” proved controversial within the Court (see *People v Jones*, 70 NY2d 547, 553 [1987] [Bellacosa, J., concurring on constraint of “(t)he recently declared coup de grace that failure to turn over *Rosario* (9 NY2d 286) material ‘constitutes per se error requiring that the conviction be reversed’ ” (quoting *Ranghelle*, 69 NY2d at 63)]), and the law enforcement community. Finally, the legislature, as part of the Sexual Assault Reform Act (L 2000, ch 1), amended the Criminal Procedure Law to add a new section 240.75 to “overturn[]” the *Ranghelle* Rule, “a top priority for law enforcement officials for more than 15 years” (see Governor’s Press Release, 2000 NY Legis Ann at 4). Section 240.75 prohibits reversal where a defendant has been deprived of *Rosario* material at a trial or other proceeding absent a reasonable possibility that the nondisclosure materially contributed to the result.⁶

Notably, the rule of per se reversal epitomized by *Ranghelle* never applied when *Rosario* material was lost or destroyed (see *Banch*, 80 NY2d at 616 [describing this situation as an exception to the *Ranghelle* Rule]). Rather, we required a showing of prejudice as a prerequisite to a sanction (see e.g. *People v Martinez*, 71 NY2d 937, 940 [1988]). Here, defendants argue that they were indeed prejudiced by the unavailability of the scratch 61, and so the trial judge abused his discretion when he declined to issue an adverse inference charge, the mildest sanction available. Additionally, Selbin urges that “there is a strong presumption that the defendant has been prejudiced to at least some degree” whenever *Rosario* material is lost or destroyed and, further, that this principle is implicit in our precedents, citing *People v Wallace* (76 NY2d 953, 955 [1990]) and *People v Joseph* (86 NY2d 565, 570-571 [1995]).

5. The *Rosario* material at issue in *Ranghelle* was a complaint report, which was given to defense counsel after the evidence closed and before summations.

6. Specifically, section 240.75 states that

“[t]he failure of the prosecutor . . . to disclose statements that are required to be disclosed [under the *Rosario* rule] shall not constitute grounds for any court to order a new pre-trial hearing or set aside a conviction, or reverse, modify or vacate a judgment of conviction in the absence of a showing by the defendant that there is a reasonable possibility that the non-disclosure materially contributed to the result of the trial or other proceeding.”

The defendant in *Martinez* was convicted of first-degree robbery as a result of an armed holdup of a cafe. Identification was the main issue in the case, and at the *Wade* hearing, the cafe's cashier testified that he had described the robber to police officers immediately after the robbery, and that they wrote down what he said. This was apparently a surprise to both the defense attorney and the prosecutor, who had not previously known that any undisclosed *Rosario* material might exist. The defendant moved to preclude the cashier from testifying on the ground that the written record of his statement to the police officers had not been served upon him.

The court then held a hearing at which an officer testified that on the night of the crime, she and her partner had responded to a radio call for a robbery in progress. When they arrived at the cafe, the cashier came to their car and provided a description of the robber. She saw her partner "writing for a few seconds," either in his memo book or a scratch 61, but did not see what he wrote; he immediately transmitted the cashier's description of the robber over the radio, and the tape of the radio transmission was provided to the defendant (*id.* at 939). The officer who jotted something down was unavailable to testify, and despite diligent efforts, the People were never able to find any notes or follow-up reports he may have created. The judge denied defendant's motion to preclude the cashier's testimony, but gave an adverse inference charge to the jury. The defendant was convicted, and appealed the judge's *Rosario* ruling.

We observed that

"it is no answer to a demand to produce that the material has been lost or destroyed. If the People fail to exercise care to preserve it *and defendant is prejudiced by their mistake*, the court must impose an appropriate sanction. The determination of what is appropriate is committed to the trial court's sound discretion, and while the degree of prosecutorial fault may be considered, *the court's attention should focus primarily on the overriding need to eliminate prejudice*" (*Martinez*, 71 NY2d at 940 [emphases added]).

Under the circumstances, we noted, the adverse inference charge overcame any "remote" possibility of prejudice owing to failure to turn over *Rosario* material, "if indeed there was any"

(*id.*). This case, then, does not, as defendants suggest, stand for the proposition that a judge must impose a sanction whenever *Rosario* material is lost or destroyed, even if the possibility of prejudice is remote; or that an adverse inference charge must be given for the “inadvertent destruction” of a scratch 61.

In *Haupt*, decided the same day as *Martinez*, the defendant was found mentally incompetent to stand trial and confined to a mental institution for 16 years before he was tried and convicted of murder. During the lengthy lapse of time between arrest and trial, evidence, some of which was *Rosario* material, was lost or destroyed “through inadvertence” (*Haupt*, 71 NY2d at 930). On appeal, the defendant claimed that he was thereby deprived of due process and a fair trial, and the ability to cross-examine witnesses by use of their prior statements; he sought dismissal of the indictment. The Appellate Division held that “under the circumstances, there was no basis for dismissal of the indictment or the imposition of some lesser sanction upon the prosecution because of these losses” (128 AD2d 172, 173 [2d Dept 1987] [emphasis added]).

On appeal, we commented that this was not a case like *Ranghelle* where the People did not turn over statements “in their possession or within their power to produce,” and the remedy was automatic reversal and a new trial (71 NY2d at 930). We decided that “[w]hen . . . the defendant claims that the loss of the evidence deprived him of a fair trial, the court must consider a number of factors including the proof available at trial, the significance of the missing evidence and whether the loss was intentional or inadvertent” (*id.* at 931). To the extent that any of the lost material “might have a bearing” on the “crucial issue” at trial in this case, which was the defendant’s sanity at the time of the shooting, “defense counsel on cross-examination and later on summation, noted its absence and emphasized the People’s responsibility for its loss and the potential impact on the defense” (*id.*). This was enough for us to conclude that the defendant was not entitled to dismissal of the charge.

Relying on *Haupt*, Christopher argues that “[i]n fashioning an appropriate sanction for the People’s failure to preserve evidence, courts should consider the proof available at trial, the significance of the missing evidence, and whether the loss was intentional or inadvertent” (emphasis added). In *Haupt*, though, consideration of these factors resulted in a determination there was no prejudice and so *no* sanction was warranted.

Finally, *Wallace* and *Joseph* are cases where we concluded that the defendants were prejudiced by the deliberate destruction

of *Rosario* material and so sanctions were called for. In *Wallace*, the *Rosario* material consisted of contemporaneous notes taken by an undercover officer to describe the individual from whom he bought drugs, and the arresting officer's notes recording that description as the undercover officer broadcast it to him. The officers destroyed the notes after the arrest. The defendant asked for an adverse inference charge, the trial judge denied the request and the Appellate Division affirmed, concluding there was no fault or prejudice. On appeal to us, the "sole argument [made was that the] defendant was not prejudiced by the discarding of this material and we limit[ed] our review to that question" (*Wallace*, 76 NY2d at 955). Disagreeing with the lower courts, we concluded that "[u]nder the facts of this case," the defendant was "impermissibly prejudiced" and therefore the trial judge abused his discretion when he declined to impose any sanction (*id.*).

In *Joseph*, we framed the issue as whether the People violate their *Rosario* obligations when a document subject to disclosure has been deliberately destroyed and "a testimonial reconstruction is required to establish its contents" (*Joseph*, 86 NY2d at 567). "Concluding that the fallibility of human memory makes the necessary flawless reconstruction all but impossible," we held that "a document that has been destroyed can never be deemed the 'duplicative equivalent'⁷ of one that exists and remains available for inspection" (*id.*). The unavailable *Rosario* materials in *Joseph* were envelopes in which the arresting officer placed vials of crack cocaine, and on which he wrote the arrestee's name (there were two arrestees—an accused buyer and an accused seller) and the time and location of the arrest. The arresting officer testified that he destroyed these envelopes after transferring the information on them to his online booking sheet and complaint report.

First, we concluded that the officer's testimony and the disclosed police reports were not duplicative equivalents of the discarded envelopes. Then we decided that, in light of the defense theory (misidentification of the buyer as the seller) and the facts of the case, the defendant had made a "colorable claim of prejudice" (*id.* at 571). We distinguished *Haupt* as a case

7. We never applied the rule of per se reversal in cases where the withheld *Rosario* material was the "duplicative equivalent" of other material made available to the defendant (see *People v Consolazio*, 40 NY2d 446, 454 [1976]; see also *Banch*, 80 NY2d at 616-617 [describing the duplicative-equivalent rule as another of the rare exceptions to per se reversal for *Rosario* violations]).

where “the relevance of the lost document was marginal,” and emphasized the deliberate nature of the envelopes’ destruction (*id.* at 571-572). Citing *Wallace*, we therefore held that

“[g]iven the articulable showing of prejudice that the defendant made, the unavailability of the documents from which a less conjectural showing might have been made and, finally, the circumstances of the documents’ loss, the trial court’s refusal to impose the limited sanction [of an adverse inference charge] constituted an abuse of discretion as a matter of law” (*id.* at 572).⁸

While the results of these cases differ, based on their particular facts, our rule is clear: nonwillful, negligent loss or destruction of *Rosario* material does not mandate a sanction unless the defendant establishes prejudice (*see Martinez*, 71 NY2d at 940; *Banch*, 80 NY2d at 616). If prejudice is shown, the choice of the proper sanction is left to the sound discretion of the trial judge, who may consider the degree of prosecutorial fault (*Martinez*, 71 NY2d at 940). The focus, though, is on the need to eliminate prejudice to the defendant (*id.*).

Here, defendants did not establish prejudice, as is their burden. Defendants fault the trial judge for not analyzing prejudice when he denied their request for an adverse inference charge, but they did not even mention the word. Instead, Christopher’s attorney requested the instruction simply because the scratch 61 could not be produced. The judge essentially (and correctly) ruled that inadvertent loss alone was insufficient to require a sanction.

Of course, it is difficult to imagine how defendants might have been prejudiced by the loss of the scratch 61, as the defense attorneys and the judge all no doubt knew. A scratch 61 is a handwritten complaint report that Officer Franco placed in a bin for typing, likely by a civilian employee of the police department. Defendants were provided the typewritten complaint report, which would have differed from the scratch 61 only if the typist made a mistake—i.e., the handwritten scratch 61 is not subject to editing before typing. Defendants therefore necessarily depend on a series of improbable events to create the

8. There was a vigorous dissent in this case. The dissenting judge would have held that the defendant did not, in fact, show prejudice as a result of the destruction of the envelopes, and therefore would have affirmed the defendant’s conviction (*see Joseph*, 86 NY2d at 573 [Levine, J., dissenting]).

prospect of prejudice. First, there must have been an error in transcription and that error must have resulted in omission from the complaint report of material that appeared in the scratch 61. Additionally, the omitted material must have contradicted something important that Irizarry said on the stand or in other statements made by or attributed to him. Based on such happenstance, Selbin suggests that perhaps “the scratch 61 stated that at some point Irizarry claimed that neither of the assailants said anything to him,” in which case the jury would have been less likely to believe that Selbin told him to “Give it up,” the only evidence of a threatened forcible taking. The dissent speculates that maybe the scratch 61 “contained a description of the gunman that did not match Christopher[’s appearance]” in which case “the People’s case against him would have crumbled” (dissenting op at 569).

If conjecture like this, built on a foundation of fortuity, is sufficient for a showing of prejudice, the loss or destruction of *Rosario* material is not just presumptively prejudicial, as Selbin advocates, it is per se prejudicial. And while Criminal Procedure Law § 240.75 does not directly apply in a case where the claim relates to the proper sanction when *Rosario* material has been lost to the defendant’s prejudice, its enactment clearly signals the legislature’s antipathy toward per se rules leading to the reversal of convictions for *Rosario* violations.

Finally, we have examined and consider to be without merit defendants’ claims that their respective attempted robbery convictions are not supported by legally sufficient evidence, and Selbin’s claim that the judge’s identification charge with respect to him was improper.

Accordingly, the orders of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting in part). I would find that the trial court erred in failing to give the requested adverse inference instruction as a minimal sanction for the failure to turn over the lost “scratch 61” report. This error was harmless as to Selbin Martinez in light of the overwhelming evidence of his guilt. However, given that the evidence against Christopher Martinez was far from overwhelming, the error cannot be considered harmless as to him. Therefore, I would reverse Christopher’s conviction.

Upon discovering that the police officer had filled out a handwritten “scratch 61” that had not been turned over to the

prosecution and which could not be located, defense counsel requested that the court give the jury an adverse inference instruction. The court denied the request. Defendants argue that the “scratch 61” was *Rosario* material and that, had it been produced, as is required, it would have provided additional grounds for cross-examination of complainant.

The People have an obligation to preserve *Rosario* material and to produce it upon demand (see *People v Martinez*, 71 NY2d 937, 940 [1988]). “If the People fail to exercise care to preserve it and defendant is prejudiced by their mistake, the court *must* impose an appropriate sanction” (*Martinez*, 71 NY2d at 940 [emphasis added]; see also *People v James*, 93 NY2d 620, 644 [1999]). When deciding upon a sanction, “the court’s attention should focus primarily on the overriding need to eliminate prejudice to the defendant” (*Martinez*, 71 NY2d at 940).

As the majority points out, the per se reversal (or *Ranghelle*) rule never applied to lost *Rosario* material (see majority op at 563). Rather, “some showing of prejudice is essential” in cases where *Rosario* material has not been appropriately preserved (see *People v Joseph*, 86 NY2d 565, 571 [1995]). However, we have also observed that, when the document at issue is in fact unavailable, it may be difficult for the defendant to articulate a concrete claim of prejudice, since he cannot know what information the lost document contained (see *Joseph*, 86 NY2d at 571). We therefore recognized that some degree of conjecture is inherent in an objection on this basis (see *Joseph*, 86 NY2d at 571). “Since it was the conduct of the police that resulted in the loss of the [document] and made it impossible to know whether the information [it] contained was consistent with the People’s position at trial, the People cannot now be heard to complain that the defendant’s showing of prejudice is not sufficiently definite and clear” (*Joseph*, 86 NY2d at 571 [citation omitted]).

The majority opinion cannot be squared with this reasoning. The majority simply concludes that, “it is difficult to imagine how defendants might have been prejudiced” (majority op at 567). This reflects a deficit of imagination: if, for example, the “scratch 61” contained a description of the gunman that did not match Christopher, the People’s case against him would have crumbled. Moreover, the majority’s ruling provides absolutely no incentive to retain these types of forms. Given the loss of the material, defendants are left to speculate as to what

value that document may have held. It simply is not a satisfactory result to penalize defendant for being unable to establish a concrete injury. Particularly in this case, where the document was prepared between the two defendants' arrests and complainant's identification of Christopher was so delayed, the handwritten complaint report might have been extremely useful. Moreover, the evidence against Christopher was thin and the sanction requested was a modest one. The trial court did not invoke lack of prejudice as a basis for its denial; it merely stated "there is a reason . . . he doesn't have it anymore." Under the circumstances, it was an abuse of discretion for the trial court to deny the requested charge. Similar to the situation presented in *Martinez*, although the prospect that Christopher suffered prejudice by the loss of the "scratch 61" might have been "remote," that possibility would have been obviated by the requested jury instruction (*see* 71 NY2d at 940).

Here, identification was the central issue. The only evidence against Christopher, aside from the nonincriminating fact that he is Selbin's brother, was complainant's testimony identifying Christopher by his "awkward" way of jumping back. The gunman's only feature that was not covered by a mask were his eyes, which complainant specifically testified he did not look at because he was focusing on the gun. The gunman did not make a sound, nor did he sustain any injury that linked him to the incident. Moreover, despite complainant's claim that he knew the gunman was Christopher, he did not provide Christopher's name to the police until after Selbin's arrest. In the absence of overwhelming evidence, "there is no occasion for consideration of any doctrine of harmless error" (*People v Crimmins*, 36 NY2d 230, 241 [1975]).

In *People v Christopher Martinez*: Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judges RIVERA and ABDUS-SALAAM concur.

Order affirmed.

In *People v Selbin Martinez*: Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge LIPPMAN concurs in result in a separate opinion in which Judges RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[6 NE3d 578, 983 NYS2d 460]

COUNTRY-WIDE INSURANCE COMPANY, Appellant, v PREFERRED TRUCKING SERVICES CORP. et al., Defendants, and FILIPPO GALLINA et al., Respondents.

Argued January 15, 2014; decided February 18, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 18, 2012. The Appellate Division affirmed so much of an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 2011 NY Slip Op 32214[U] [2011]), as had (1) granted the motion of defendants Filippo and Sherri Gallina for summary judgment to the extent of declaring (a) that plaintiff's disclaimer of coverage for its insured defendant Preferred Trucking Services Corp. (Preferred) was untimely, and (b) that plaintiff was obligated to indemnify Preferred up to the policy limit of \$500,000; and (2) denied plaintiff's cross motion for summary judgment declaring that it was not obligated to defend and indemnify Preferred in the underlying personal injury action.

Country-Wide Ins. Co. v Preferred Trucking Servs. Corp., 99 AD3d 582, reversed.

HEADNOTE

Insurance — Disclaimer of Coverage — Timeliness — Noncooperation by Insureds

Plaintiff insurer's disclaimer of its obligation to defend and indemnify defendant trucking company and its driver in an underlying personal injury action, based on defendants' failure to cooperate, was timely, as a matter of law, where the driver's unwillingness to cooperate only became clear less than a month before the insurer issued its disclaimer. Under a liability policy, an insurer must give written notice of disclaimer of liability or denial of coverage as soon as is reasonably possible (Insurance Law § 3420 [d] [2]), that is, once the insurer has sufficient knowledge of facts entitling it to disclaim or knows that it will disclaim. However, an insurer may not properly disclaim for noncooperation of an insured unless it has satisfied its burden of showing that it acted diligently in seeking to bring about the insured's cooperation; that the efforts employed by the insurer were reasonably calculated to obtain the insured's cooperation; and that the attitude of the insured, after his or her cooperation was sought, was one of willful and avowed obstruction. While it may have been clear for more than four months before issuance of the disclaimer that the trucking company would not be cooperative, the situation with respect to defendant driver remained opaque. After numerous attempts at reaching the driver, an investigator learned that he spoke little English, and once contacted by a Spanish-speaking investigator, the driver said that he

would cooperate. It was only a few weeks before the disclaimer that the driver told the investigator that he did not care about a scheduled deposition and thereafter gave no further response. Cooperation on the part of defendant trucking company could have occurred through its driver, inasmuch as he had personal knowledge of the accident and was in a position to provide a meaningful defense or testify in a way to bind the trucking company. Thus, where the driver punctuated periods of noncompliance with sporadic cooperation or promises to cooperate, plaintiff established that its delay was reasonable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1426, 1428.
CARMODY-WAIT 2d, Declaratory Judgments § 147:94.
COUCH ON INSURANCE (3d ed) § 198:47.
McKINNEY'S, Insurance Law § 3420 (d) (2).
NY JUR 2d, Insurance §§ 2052, 2122, 2124, 2125.

ANNOTATION REFERENCE

See ALR Index under Disclaimers; Insurance; Liability Insurance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: disclaim! /s (liab! /3 ins! /5 cover!) & noncooperat!

POINTS OF COUNSEL

Thomas Torto, New York City, for appellant. Since Preferred Trucking Services Corp.'s liability is vicarious, Country-Wide Insurance Company could not disclaim as to it so long as its driver was cooperating with the defense of the underlying action, regardless of whether Preferred Trucking's president was cooperating. (*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Matter of Allcity Ins. Co. [Jimenez]*, 78 NY2d 1054; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Allstate Ins. Co. v Gross*, 27 NY2d 263; 2540 *Assoc. v Assicurazioni Generali*, 271 AD2d 282; *DeSantis Bros. v Allstate Ins. Co.*, 244 AD2d 183; *Aetna Cas. & Sur. Co. v Brice*, 72 AD2d 927; *Fish King Enters. v Countrywide Ins. Co.*, 88 AD3d 639; *Matter of Allstate Ins. Co. v Cruz*, 30 AD3d 511; *Continental Cas. Co. v Stradford*, 11 NY3d 443.)

Alexander J. Wulwick, New York City, for respondents. I. Plaintiff's sole argument on appeal was not presented to the Supreme Court and was raised for the first time in the Appellate Division. Accordingly, it should be rejected as not having

been properly preserved for the Court's review. (*Wild v Catholic Health Sys.*, 21 NY3d 951; *Continental Cas. Co. v Stradford*, 11 NY3d 443; *Rios v Smith*, 95 NY2d 647; *Cummins v County of Onondaga*, 84 NY2d 322; *Haynes v Haynes*, 83 NY2d 954; *Matter of State of New York v Rashid*, 16 NY3d 1; *Harvey v Mazal Am. Partners*, 79 NY2d 218.) II. In the alternative, plaintiff's argument should be rejected on the merits, since it finds no factual support in the record. (*2540 Assoc. v Assicurazioni Generali*, 271 AD2d 282; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *George Campbell Painting v National Union Fire Ins. Co. of Pittsburgh, PA*, 92 AD3d 104.)

OPINION OF THE COURT

FIGOTT, J.

Filippo Gallina was injured during the unloading of a vehicle owned by Preferred Trucking Services Corp. and operated by Carlos Arias. In March 2007, Gallina and his wife commenced a personal injury action against Preferred Trucking, Arias, and other defendants. Preferred Trucking was insured by Country-Wide Insurance Company under a "business auto policy" with limits of \$500,000 per accident. The policy, a standard one, required that insureds cooperate with Country-Wide in its investigation or settlement of a claim or defense against a lawsuit.

Throughout the spring of 2007, Country-Wide made numerous attempts to contact both the president of Preferred Trucking, Andrew Markos, and the driver, Arias, with no success. Markos and Arias did not respond to the lawsuit either and, as a result, on September 21, 2007, the plaintiffs filed an application for a default judgment against Preferred Trucking and Arias. When their attorney faxed a copy of the motion to Country-Wide on October 4, 2007, the insurance company received its first formal notice of the lawsuit. On October 10, 2007, Country-Wide informed Preferred Trucking and Arias, by letters, that it was exercising its "right to issue a disclaimer of indemnity" and reserving its "right to disclaim any duty to defend" because of the insureds' failure to cooperate.

At this point, Markos contacted Country-Wide, once, expressing willingness to cooperate, but he then proved impossible to reach. The insurance company continued its efforts to contact Markos and Arias through the summer of 2008. Meanwhile, Cheven, Keely & Hatzis, a law firm retained by Country-Wide to defend its insureds, sent multiple letters to Arias, advising

him of a scheduled deposition and reminding him of the need to cooperate. On May 29, 2008, Supreme Court informed the parties that failure to submit to a deposition would preclude Preferred Trucking “from offering evidence in support of its claims or defenses.” Further futile efforts by Cheven, Keely & Hatzis to reach Markos and Arias ensued.

On July 7, 2008, a Country-Wide investigator visited Markos’s home for the sixth time. Markos’s wife said that her husband was not at home, but she would relay a message to him that he should call Country-Wide. Again, Markos failed to respond.

On July 28, 2008, a Country-Wide investigator was able to speak with Arias’s daughter, who told the investigator that Arias did not speak much English, but gave him her father’s cell phone number. On August 18, a Spanish-speaking Country-Wide investigator finally reached Arias; according to the investigator’s notes, Arias said he would cooperate. The following day, Cheven, Keely & Hatzis wrote to Arias, in Spanish, informing him of the upcoming deposition, now scheduled for September 9. Arias did not respond.

On October 13, 2008, the Spanish-speaking investigator again spoke to Arias, who now said that he did not “care about the EBT date,” because of a “family situation.” The investigator was unable to reach Arias by telephone over the next two days, although he left messages explaining in Spanish the urgent need for Arias to attend the deposition (or reschedule it). On October 16, 2008, Supreme Court granted the Gallinas’ motion to strike defendants’ answer for failure to appear.

On November 6, 2008, Country-Wide disclaimed its obligation to defend and indemnify Preferred Trucking and Arias, based upon refusal to cooperate in the defense. Subsequently, Supreme Court granted the motion of Cheven, Keely & Hatzis to be relieved as defendants’ counsel.

Supreme Court struck defendants’ answer, awarded judgment to the Gallinas, and directed an assessment of damages. An inquest was duly held and Supreme Court awarded the Gallinas \$2,550,000 in damages, by default, against Preferred Trucking, plus interest, costs and disbursements.

Country-Wide brought the present action against Preferred Trucking, Arias, the Gallinas, and others, seeking a declaration that it is not obligated to defend and indemnify Preferred Trucking and Arias in the underlying action. The Gallinas moved for

summary judgment, arguing, among other things, that Country-Wide's disclaimers were untimely as a matter of law. Country-Wide cross-moved for summary judgment.

Supreme Court granted the Gallinas' motion to the extent of declaring that Country-Wide is obligated to indemnify Preferred Trucking in the underlying action, granted Country-Wide's cross motion to the extent of declaring that Country-Wide is not obligated to indemnify Arias (and is obliged to indemnify Preferred Trucking only up to the policy limit), and otherwise denied Country-Wide's cross motion. Country-Wide appealed. (2011 NY Slip Op 32214[U] [2011].) The Gallinas did not cross-appeal.

On appeal, the parties dispute one question: whether Country-Wide's November 6, 2008 disclaimer was timely as a matter of law. The Appellate Division affirmed Supreme Court's order, insofar as appealed from, holding that the insurer's disclaimer on that date "was untimely, since it came approximately four months after it learned of the ground for the disclaimer" (99 AD3d 582, 582 [1st Dept 2012]).

We granted Country-Wide leave to appeal, and now reverse.

The governing statute in this area is Insurance Law § 3420, which provides, with respect to a liability policy issued or delivered in New York, that if

"an insurer shall disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident occurring within this state, it shall give written notice *as soon as is reasonably possible* of such disclaimer of liability or denial of coverage to the insured and the injured person or any other claimant" (Insurance Law § 3420 [d] [2] [emphasis added]).

The law protects both policyholders and injured parties who are made aware as soon as possible that the defendant's insurer has a ground for refusal of coverage.

We have clarified the application of the statute by holding that

"once the insurer has sufficient knowledge of facts entitling it to disclaim, or knows that it will disclaim coverage, it must notify the policyholder in writing as soon as is reasonably possible . . . [T]imeliness of an insurer's disclaimer is measured from the point in time when the insurer first learns of the grounds for disclaimer of liability or denial of coverage"

(*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64, 66, 68-69 [2003] [internal quotation marks and citation omitted]).

Moreover, “[a]n insurer who delays in giving written notice of disclaimer bears the burden of justifying the delay” (*id.* at 69).

The question whether an insurer disclaimed as soon as reasonably possible is necessarily case-specific. In some cases, very different from this one, the justification for disclaimer is “readily ascertainable from the face of the complaint in the underlying action” (*Fish King Enters. v Countrywide Ins. Co.*, 88 AD3d 639, 642 [2d Dept 2011]) or “all relevant facts supporting . . . a disclaimer [are] immediately apparent . . . upon . . . receipt of notice of the accident” (*Matter of Allstate Ins. Co. v Cruz*, 30 AD3d 511, 513 [2d Dept 2006]). In such cases, a disclaimer must be made rapidly. The present appeal, on the other hand, involves disclaimer for noncooperation by an insured. A determination as to whether such a disclaimer was made within a reasonable time is more complex because “an insured’s noncooperative attitude is often not readily apparent” (*Continental Cas. Co. v Stradford*, 11 NY3d 443, 449 [2008]). We have emphasized that “insurers must be encouraged to disclaim for noncooperation only after it is clear that further reasonable attempts to elicit their insured’s cooperation will be futile” (*id.* at 450).

The primary reason that we allow a longer period for disclaimer for noncooperation lies in a well-established principle of our case law, which is intended to facilitate the full compensation of injured victims suing for damages. This is the requirement that an insurer may not properly disclaim for noncooperation unless it has satisfied its burden, described in the precedent as “a heavy one indeed,” of showing “that it acted diligently in seeking to bring about the insured’s co-operation; that the efforts employed by the insurer were reasonably calculated to obtain the insured’s co-operation; and that the attitude of the insured, after his co-operation was sought, was one of willful and avowed obstruction” (*Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159, 168 [1967] [internal quotation marks and citations omitted]).

Country-Wide does not dispute that it knew or should have known in July 2008 that *Markos*, the president of Preferred Trucking, would not cooperate. Instead, Country-Wide contends that it was not in a position to know that *Arias*, the driver of the vehicle, would not cooperate until October 13, 2008, when he said he did not “care about the EBT date.”

Country-Wide's argument is compelling. The period at issue extends from July to October 2008. During most of this time, while it may have been clear that Markos would not be cooperative, the situation with respect to Arias remained opaque. One Country-Wide investigator made a breakthrough in that he reached Arias's daughter, who volunteered her father's contact number and explained that Arias spoke little English, possibly accounting for his failure to communicate with Country-Wide. Moreover, when a Spanish-speaking Country-Wide investigator finally reached him, Arias said he would cooperate. It was only in mid-October 2008 that Arias's unwillingness to cooperate became clear, when he told the investigator that he did not care about the deposition and thereafter gave no further response.

In these circumstances, in which Arias "punctuated periods of noncompliance with sporadic cooperation or promises to cooperate" (*Stradford*, 11 NY3d at 450), we hold that Country-Wide established as a matter of law that its delay was reasonable. The Gallinas fail to raise a triable issue of fact regarding whether Country-Wide knew or should have known that it would disclaim coverage as soon as it became clear that Markos would not cooperate. The named insured was Preferred Trucking, and its cooperation could occur through Arias, the driver. Arias, unlike Markos, had personal knowledge of the accident and was in a position to provide a meaningful defense, or, alternatively, testify in such a way as to bind Preferred Trucking. As Country-Wide argues, as long as it was still seeking Arias's cooperation in good faith, it could not disclaim.

Accordingly, the order of the Appellate Division should be reversed, with costs, and judgment granted declaring that Country-Wide is not obligated to defend and indemnify Preferred Trucking in the underlying action.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, and judgment granted declaring in accordance with the opinion herein.

[6 NE3d 1117, 983 NYS2d 761]

K2 INVESTMENT GROUP, LLC, et al., Respondents-Appellants, v
AMERICAN GUARANTEE & LIABILITY INSURANCE COMPANY,
Appellant-Respondent.

Argued January 7, 2014; decided February 18, 2014

SUMMARY

REARGUMENT of cross appeals, as of right and by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 3, 2012. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Ira Gammernan, J.H.O.), which had awarded money damages in favor of plaintiffs on their causes of action to enforce a default judgment, and dismissed their causes of action alleging defendants' bad faith failure to settle an underlying lawsuit. Following the affirmance by the Court of Appeals upon the original cross appeals (21 NY3d 384 [2013]), the Court of Appeals granted American Guarantee & Liability Insurance Company's motion for reargument (21 NY3d 1049 [2013]).

K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co., 91 AD3d 401, reversed.

HEADNOTES

Insurance — Duty to Defend and Indemnify — Breach of Duty to Defend Insured — Reliance on Policy Exclusions in Defending Suit for Indemnification

1. Defendant insurer, which breached its duty to defend its insured in a legal malpractice action that resulted in a default judgment against him, was not barred from relying on policy exclusions in defending against the indemnification action brought by plaintiffs after the insured assigned to them his rights against the insurer. *Servidone Constr. Corp. v Security Ins. Co. of Hartford* (64 NY2d 419 [1985]) held that where an insurer breached a contractual duty to defend its insured in a personal injury action and the insured thereafter concluded a reasonable settlement with the injured party, the insurer was not liable to indemnify the insured even if coverage was disputed. While *Servidone* involved a settlement rather than a judgment, a liability insurer's duty to indemnify does not depend on whether the insured settles or loses the case. Moreover, it is irrelevant that in a case involving a judgment it could be said that the issues in the suit brought against the insured are res judicata. Relitigation of the issues in the underlying case is not permitted after an insurer has breached its duty to defend. In *Servidone*, as here, the issue was whether the insurer may rely on policy exclusions that do not depend on facts established in the underlying litigation. Nor did *Servidone* make any distinction between cases in which the defense was based on non-coverage rather than predicated on an exclusion. Because plaintiffs had not

presented any indication that the *Servidone* rule had proved unworkable, or caused significant injustice or hardship since its adoption, there was no justification for overruling that case. In fact, several other jurisdictions have followed the *Servidone* approach.

Courts — Stare Decisis

2. The Court of Appeals vacated its prior decision in *K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.* (21 NY3d 384 [2013]) and adhered to the controlling precedent established in *Servidone Constr. Corp. v Security Ins. Co. of Hartford* (64 NY2d 419 [1985]), which held that where an insurer breached a contractual duty to defend its insured in a personal injury action and the insured thereafter concluded a reasonable settlement with the injured party, the insurer was not liable to indemnify the insured even if coverage was disputed. There was no justification for overruling *Servidone*. There has been no indication that the *Servidone* rule has proved unworkable, or caused significant injustice or hardship, since it was adopted in 1985. The rule of stare decisis, while it is not inexorable, is strong enough to govern this case.

Insurance — Exclusions — Lawyer's Professional Liability Policy — Applicability of Exclusion for Claims Arising from Insured's Status as Officer of Business

3. In an action for indemnification against defendant insurer, which had breached its duty to defend its insured in a legal malpractice action resulting in a default judgment against him, the applicability of “insured’s status” and “business enterprise” exclusions in the policy presented an issue of fact sufficient to defeat summary judgment. The policy stated that it did not apply to any claim based upon or arising out of, in whole or in part, the insured’s capacity or status as an officer, director, partner, trustee, shareholder, manager or employee of a business enterprise or the alleged acts or omissions by any insured for any business enterprise in which any insured has a controlling interest. The legal malpractice claims brought against defendant’s insured were based on allegations that, during his representation of plaintiffs in a transaction with a company of which he was a principal, he failed to record mortgages that the company had given to plaintiffs. It was fair to infer that the insured was at least a manager of the company and had a controlling interest in it. As a result, it could not be said as a matter of law that the malpractice claims did not arise in whole or in part out of the insured’s status as a manager, nor could it be said that they did not arise out of any of his acts or omissions on the company’s behalf. It was possible that the alleged malpractice occurred because the insured was serving two masters—plaintiffs, his clients, and the company of which he was a principal. Thus, it could fairly be said that the malpractice claims arose partly out of his law practice and partly out of his status with or activity for the company.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 694–696, 1402, 1406, 1413, 1532.
 COUCH ON INSURANCE (3d ed) §§ 1:35, 131:20, 131:23,
 131:24, 131:26.
 NY JUR 2d, Insurance §§ 1668, 1671, 1690, 2076–2078,
 2081, 2083, 2084, 2090, 2093, 2095, 2096, 2103.

ANNOTATION REFERENCE

Lawyers’ professional liability insurance. 92 ALR5th 273.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: legal /2 malpractice & breach! /5 duty /3 defend & indem!

POINTS OF COUNSEL

Coughlin Duffy, LLP, New York City (*Kevin T. Coughlin*, *Robert J. Kelly* and *Michael S. Chuven* of counsel), and *Steinberg & Cavaliere, LLP*, White Plains, for appellant-respondent. I. The lower court erred as a matter of law in affording the insured's status exclusion and business enterprise exclusion an unduly narrow scope. (*Fox v Employers' Liab. Assur. Corp., Ltd., of London*, 243 App Div 325, 267 NY 609; *Wenig v Glens Falls Indem. Co.*, 294 NY 195; *Holmes v Allstate Ins. Co.*, 33 AD2d 96; *Maurice Goldman & Sons v Hanover Ins. Co.*, 80 NY2d 986; *American Guar. & Liab. Ins. Co. v Timothy S. Keiter, P.A.*, 360 F3d 13; *Niagara Fire Ins. Co. v Pepicelli, Pepicelli, Watts & Youngs, P.C.*, 821 F2d 216; *Matter of Covert*, 97 NY2d 68; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467; *Regal Constr. Corp. v National Union Fire Ins. Co. of Pittsburgh, PA*, 15 NY3d 34.) II. The majority committed reversible error in limiting its consideration of relevant facts to the allegations contained in the legal malpractice claims that form the basis of the default judgment. (*Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Fitzpatrick v American Honda Motor Co.*, 78 NY2d 61; *Robbins v Michigan Millers Mut. Ins. Co.*, 236 AD2d 769; *Atlantic Mut. Ins. Co. v Terk Tech. Corp.*, 309 AD2d 22; *First State Ins. Co. v J & S United Amusement Corp.*, 67 NY2d 1044; *Rucaj v Progressive Ins. Co.*, 19 AD3d 270; *Lang v Hanover Ins. Co.*, 3 NY3d 350; *Hough v USAA Cas. Ins. Co.*, 93 AD3d 405.) III. The case law relied on by the majority supports a reversal of its decision. (*American Guar. & Liab. Ins. Co. v Moskowitz*, 58 AD3d 426; *Oot v Home Ins. Co. of Ind.*, 244 AD2d 62; *Niagara Fire Ins. Co. v Pepicelli, Pepicelli, Watts & Youngs, P.C.*, 821 F2d 216; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419.) IV. Respondents' summary judgment motion should have been denied because material questions of fact exist.

Law Offices of Michael A. Haskel, Mineola (*Michael A. Haskel* of counsel), for respondents-appellants. I. The order correctly affirmed the Supreme Court's grant of summary judgment to plaintiffs on their claims under Insurance Law § 3420 (a). (*Ramos v National Cas. Co.*, 227 AD2d 250; *Rosenberg v Litass*

Inv. Co., 212 AD2d 686; *Goldstein v Engel*, 240 AD2d 280; *Worldwide Asset Purch., LLC v Karafotias*, 9 Misc 3d 390; *Cobb v City of New York*, 272 AD2d 117; *Lang v Hanover Ins. Co.*, 3 NY3d 350; *Rucaj v Progressive Ins. Co.*, 19 AD3d 270; *Nelson v Kalathara*, 48 AD3d 528; *Hallman v Kantor*, 72 AD3d 895, 15 NY3d 706; *Mendoza v Schlossman*, 87 AD2d 606.) II. Instead of granting summary judgment dismissing the bad faith claims of plaintiffs, the order should have awarded summary judgment to plaintiffs on these claims. (*Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Ruder & Finn v Seaboard Sur. Co.*, 52 NY2d 663; *Sport Rock Intl., Inc. v American Cas. Co. of Reading, Pa.*, 65 AD3d 12; *Barkan v New York Schools Ins. Reciprocal*, 65 AD3d 1061; *Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435; *Panasia Estates, Inc. v Hudson Ins. Co.*, 39 AD3d 343, 10 NY3d 200; *Sukup v State of New York*, 19 NY2d 519; *Birsett v General Acc. Ins. Co. of Am.*, 226 AD2d 1027, 88 NY2d 1005; *Pavia v State Farm Mut. Auto. Ins. Co.*, 82 NY2d 445.) III. Summary judgment awarded in favor of Guarantee on the third and fourth causes of action was reversible error. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851.)

Chamberland D’Amanda Oppenheimer & Greenfield LLP, Rochester (*K. Wade Eaton* of counsel), and *Wiley Rein LLP*, Washington, D.C. (*Laura A. Foggan* and *Jennifer A. Williams* of counsel), for Complex Insurance Claims Litigation Association and another, amici curiae. I. “Automatic” indemnity is inconsistent with established principles of coverage law. (*Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Hough v USAA Cas. Ins. Co.*, 93 AD3d 405; *Bovis Lend Lease LMB Inc. v Garito Contr., Inc.*, 65 AD3d 872; *Flannery v Allstate Ins. Co.*, 49 F Supp 2d 1223; *Matter of Covert*, 97 NY2d 68; *Matijiw v New York Cent. Mut. Fire Ins. Co.*, 292 AD2d 865; *Robbins v Michigan Millers Mut. Ins. Co.*, 236 AD2d 769; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Ruder & Finn v Seaboard Sur. Co.*, 52 NY2d 663.) II. Adequate incentives already exist under New York law to enforce insurers’ defense obligations. (*Pavia v State Farm Mut. Auto. Ins. Co.*, 82 NY2d 445; *Federal Ins. Co. v North Am. Specialty Ins. Co.*, 83 AD3d 401; *Lang v Hanover Ins. Co.*, 3 NY3d 350; *Rucaj v Progressive Ins. Co.*, 19 AD3d 270; *Matychak v Security Mut. Ins. Co.*, 181 AD2d 957.) III. Important policy considerations weigh against “automatic” indemnity. (*Graf v Hope Bldg. Corp.*, 254 NY 1; *Dependable Janitorial Servs. v Transcontinental Ins.*

Co., 212 AD2d 946; *Republic Franklin Ins. Co. v Pistilli*, 16 AD3d 477; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Cooper Industries, Inc. v Leatherman Tool Group, Inc.*, 532 US 424; *BMW of North America, Inc. v Gore*, 517 US 559; *State Farm Mut. Automobile Ins. Co. v Campbell*, 538 US 408.)

Anderson Kill, P.C., New York City (William G. Passannante and Allen R. Wolff of counsel) and Amy Bach, San Francisco, California, for United Policyholders, amicus curiae. I. The Court's decision in *K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.* (21 NY3d 384 [2013]) applies a remedy that was clearly articulated in *Lang v Hanover Ins. Co.* (3 NY3d 350 [2004]) and progeny. (*Bowker v NVR, Inc.*, 39 AD3d 1162; *Republic Franklin Ins. Co. v Pistilli*, 16 AD3d 477; *State Farm Fire & Cas. Co. v Ricci*, 96 AD3d 1571; *Jimenez v New York Cent. Mut. Fire Ins. Co.*, 71 AD3d 637; *Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Endresz v Friedberg*, 24 NY2d 478; *Bing v Thunig*, 2 NY2d 656; *People v Hobson*, 39 NY2d 479; *United States Trust Co. of N.Y. v O'Brien*, 143 NY 284.) II. Many states take a similar approach to the *Lang v Hanover Ins. Co.* (3 NY3d 350 [2004]) rule as the remedy for an insurance company's breach of the duty to defend. (*Jones v Southern Mar. & Aviation Underwriters, Inc.*, 888 F2d 358; *Martin v Travelers Indem. Co.*, 450 F2d 542; *Ayers v C & D Gen. Contrs.*, 269 F Supp 2d 911; *Capitol Reproduction, Inc. v Hartford Ins. Co.*, 800 F2d 617.) III. American Guarantee & Liability Insurance Company and the insurance industry amici seek to limit the court's power to award policyholders the value of a contract's full performance. (*Wakeman v Wheeler & Wilson Mfg. Co.*, 101 NY 205; *Taylor v Bradley*, 39 NY 129; *Freund v Washington Sq. Press*, 34 NY2d 379; *Baker v Drake*, 53 NY 211; *Heary Bros. Lightning Protection Co., Inc. v Intertek Testing Servs., N.A., Inc.*, 9 AD3d 870, 4 NY3d 615; *Lang v Hanover Ins. Co.*, 3 NY3d 350.) IV. Speculative due process arguments are insufficient to overcome the Court's holding in *Lang v Hanover Ins. Co.* (3 NY3d 350 [2004]) and *K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.* (21 NY3d 384 [2013]). (*Liverpool, New York & Philadelphia S.S. Co. v Commissioners of Emigration*, 113 US 33; *Burton v United States*, 196 US 283; *United States v Vilches-Navarrete*, 523 F3d 1; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272.)

Hurwitz & Fine, P.C., Buffalo (Dan D. Kohane, Elizabeth A. Fitzpatrick, Steven E. Peiper and Diane F. Bosse of counsel), for

New York Insurance Association, Inc. and others, amici curiae. I. An insurer that rejects a valid request for defense is bound by facts necessarily decided in the underlying action, but the terms of the insurance policy determine the scope of coverage. (*Lang v Hanover Ins. Co.*, 3 NY3d 350; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 106 Misc 2d 118, 64 NY2d 419; *Lombardi, Walsh, Wakeman, Harrison, Amodeo & Davenport, P.C. v American Guar. & Liab. Ins. Co.*, 85 AD3d 1291; *Hanover Ins. Co. v Cowan*, 172 AD2d 490; *Halloway v State Farm Ins. Cos.*, 23 AD3d 617; *George A. Fuller Co. v United States Fid. & Guar. Co.*, 200 AD2d 255; *Colon v Aetna Life & Cas. Ins. Co.*, 66 NY2d 6; *Dreyer v New York Cent. Mut. Fire Ins.*, 106 AD3d 685; *Kaczmarek v Shoffstall*, 119 AD2d 1001.) II. Not only is the enhanced penalty imposed by this Court in its decision in this matter inconsistent with its prior holdings, it is not commensurate with the alleged breach. (*Lang v Hanover Ins. Co.*, 3 NY3d 350; *Flannery v Allstate Ins. Co.*, 49 F Supp 2d 1223; *Capitol Envtl. Servs., Inc. v North Riv. Ins. Co.*, 536 F Supp 2d 633; *Johnson v Studyvin*, 828 F Supp 877, 839 F Supp 1490; *Bucci v Essex Ins. Co.*, 323 F Supp 2d 84; *Servants of Paraclete, Inc. v Great Am. Ins. Co.*, 857 F Supp 822, 866 F Supp 1560; *Emhart Indus., Inc. v Home Ins. Co.*, 515 F Supp 2d 228; *Burroughs Wellcome Co. v Commercial Union Ins. Co.*, 713 F Supp 694; *Time Oil Co. v Cigna Prop. & Cas. Ins. Co.*, 743 F Supp 1400.)

Covington & Burling LLP, Washington, D.C. (*Elliott Schuler, William F. Greaney and Matthew Kudzin* of counsel), and *Covington & Burling LLP*, New York City (*P. Benjamin Duke* of counsel), for Coltec Industries Inc. and another, amici curiae. I. The duty to defend is a critical component of a liability policy. (*BP A.C. Corp. v One Beacon Ins. Group*, 33 AD3d 116; *Truax v State Farm Ins. Cos.*, 101 Misc 2d 1031; *Katz v Umansky*, 92 Misc 2d 285; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *International Paper Co. v Continental Cas. Co.*, 35 NY2d 322; *Feliberty v Damon*, 129 AD2d 207, 72 NY2d 112; *Transcare N.Y., Inc. v Finkelstein, Levine & Gittlesohn & Partners*, 23 AD3d 250; *Clarke v Fidelity & Cas. Co. of N.Y.*, 55 Misc 2d 327; *MBIA Inc. v Federal Ins. Co.*, 652 F3d 152.) II. An insurer that breaches its duty to defend should not be permitted to rely on policy exclusions to avoid its obligation to pay an adverse judgment. (*DeCapua v Dine-A-Mate, Inc.*, 292 AD2d 489; *Isadore Rosen & Sons v Security Mut. Ins. Co. of N.Y.*, 31 NY2d 342; *St.*

Louis Dressed Beef & Provision Co. v Maryland Casualty Co., 201 US 173; *George Campbell Painting v National Union Fire Ins. Co. of Pittsburgh, PA*, 92 AD3d 104; *Estee Lauder Inc. v OneBeacon Ins. Group, LLC*, 62 AD3d 33; *General Acc. Ins. Group v Cirucci*, 46 NY2d 862; *American Tr. Ins. Co. v Mendon Leasing Corp.*, 241 AD2d 436; *Cardinal v State of New York*, 304 NY 400; *Fieldston Prop. Owners Assn., Inc. v Hermitage Ins. Co., Inc.*, 16 NY3d 257; *Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131.) III. This Court's ruling is consistent with mainstream authority. (*Twin City Fire Ins. Co. v City of Madison, Miss.*, 309 F3d 901; *Tibbs v Great Am. Ins. Co.*, 755 F2d 1370; *Lunsford v American Guar. & Liab. Ins. Co.*, 18 F3d 653.)

OPINION OF THE COURT

SMITH, J.

American Guarantee & Liability Insurance Company contends, on reargument, that our prior decision in this case, *K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.* (21 NY3d 384 [2013]) (*K2-I*), erred by failing to take account of a controlling precedent, *Servidone Constr. Corp. v Security Ins. Co. of Hartford* (64 NY2d 419 [1985]). We hold that American Guarantee is correct.

I

A brief summary of the case will do for present purposes: Claims for legal malpractice were brought against American Guarantee's insured, Jeffrey Daniels, which American Guarantee—wrongly, it is now conceded—refused to defend. Daniels suffered a default judgment, and then assigned his rights against American Guarantee to the plaintiffs in the suit against him. Those plaintiffs brought the present case, seeking to enforce American Guarantee's duty to indemnify Daniels for the judgment. In defense, American Guarantee asserted that the loss was not covered, relying on two exclusions in the policy. (The facts are described in more detail in our *K2-I* opinion, 21 NY3d at 387-389.)

[1] In *K2-I*, we affirmed an order granting plaintiffs summary judgment, holding that American Guarantee's breach of its duty to defend barred it from relying on policy exclusions. We later granted reargument (21 NY3d 1049 [2013]), and we now vacate our prior decision and reverse the Appellate Division's order.

II

In *Servidone*—a case in which, as in this one, the insurer was relying on policy exclusions in defending against a suit for indemnification—we stated the question as follows:

“Where an insurer breaches a contractual duty to defend its insured in a personal injury action, and the insured thereafter concludes a reasonable settlement with the injured party, is the insurer liable to indemnify the insured even if coverage is disputed?”
(64 NY2d at 421.)

We answered the question in *Servidone* no. In *K2-I*, we held that “when a liability insurer has breached its duty to defend its insured, the insurer may not later rely on policy exclusions to escape its duty to indemnify the insured for a judgment against him” (21 NY3d at 387). The *Servidone* and *K2-I* holdings cannot be reconciled.

Plaintiffs suggest that the cases are distinguishable because in *Servidone* the insured had settled with the plaintiff in the underlying litigation, whereas here there was a judgment, not a settlement. We do not find the distinction persuasive. A liability insurer’s duty to indemnify its insured does not depend on whether the insured settles or loses the case. It is true that a judgment, unlike most settlements, is a binding determination of the issues in the underlying litigation. Thus it can be said here, as it could not in *Servidone*, that the issues in the suit brought against the insured are now *res judicata*. But that is irrelevant, because American Guarantee does not seek here, and the defendant in *Servidone* did not seek, to relitigate the issues in the underlying case. It is well established that such relitigation is not permitted after an insurer has breached its duty to defend (*see* the authorities discussed in *K2-I*, 21 NY3d at 390). The issue in *Servidone*, as here, is whether the insurer may rely on policy exclusions that do not depend on facts established in the underlying litigation.

Plaintiffs also rely, as we did in *K2-I*, on our decision in *Lang v Hanover Ins. Co.* (3 NY3d 350, 356 [2004]). We said in *Lang* that, when an insurer has refused to defend its insured, it “may litigate only the validity of its disclaimer” when it is later sued on a judgment obtained against the insured. But the issue we now face was not presented in *Lang*. We decided in *Lang* “that a judgment is a statutory condition precedent to a direct suit against the tortfeasor’s insurer” (*id.* at 352); we did not consider

any defense based on policy exclusions. The sentence on which plaintiffs rely was offered as support for our statement that

“an insurance company that disclaims in a situation where coverage may be arguable is well advised to seek a declaratory judgment concerning the duty to defend or indemnify the purported insured” (*id.* at 356).

That continues to be sound advice, but *Lang* should not be read as silently overruling *Servidone*.

The dissent would read *Servidone* as being limited to cases in which the defense was “based on noncoverage” rather than “predicated on an exclusion” (dissenting op at 589). It is true, as the dissent says, that we have made such a distinction in cases arising under Insurance Law § 3420, which imposes an obligation of timely disclaimer. It could hardly be clearer, however, that we were not making that distinction in *Servidone*. Describing the defense asserted by the insurer in that case, we said:

“Security responded that, *pursuant to an exclusion in the policy*, a loss based upon any obligation the insured had assumed by contract was *outside coverage*” (64 NY2d at 422 [emphasis added]).

Thus, “outside coverage,” as *Servidone* used the term, describes a loss to which a policy exclusion applies.

In short, to decide this case we must either overrule *Servidone* or follow it. We choose to follow it.

There is much to be said for the rule of *K2-I*, as our previous opinion shows; but, as the *Servidone* opinion shows, there is also much to be said for the *Servidone* rule. Several states follow the *Servidone* approach (e.g. *Sentinel Ins. Co., Ltd. v First Ins. Co. of Haw., Ltd.*, 76 Haw 277, 290-297, 875 P2d 894, 907-914 [1994]; *Polaroid Corp. v Travelers Indem. Co.*, 414 Mass 747, 760-766, 610 NE2d 912, 919-923 [1993]), while others adopt a rule like that of *K2-I* (e.g. *Employers Ins. of Wausau v Ehlco Liquidating Trust*, 186 Ill 2d 127, 150-154, 708 NE2d 1122, 1134-1136 [1999]; *Missionaries of Co. of Mary, Inc. v Aetna Cas. & Sur. Co.*, 155 Conn 104, 112-114, 230 A2d 21, 25-26 [1967]). A federal district judge, writing in 1999, said that “[t]he majority of jurisdictions which have considered the question” follow the *Servidone* rule (*Flannery v Allstate Ins. Co.*, 49 F Supp 2d 1223, 1227 [D Colo 1999]).

[2] Under these circumstances, we see no justification for overruling *Servidone*. Plaintiffs have not presented any indication that the *Servidone* rule has proved unworkable, or caused

significant injustice or hardship, since it was adopted in 1985. When our Court decides a question of insurance law, insurers and insureds alike should ordinarily be entitled to assume that the decision will remain unchanged unless or until the legislature decides otherwise. In other words, the rule of stare decisis, while it is not inexorable, is strong enough to govern this case.

III

[3] Having decided that American Guarantee is not barred from relying on policy exclusions as a defense to this lawsuit, we must also decide whether the applicability of the exclusions it relies on presents an issue of fact sufficient to defeat summary judgment. We conclude that it does.

The exclusions in question are the so-called “insured’s status” and “business enterprise” exclusions, contained in the following policy language:

“This policy shall not apply to any Claim based upon or arising out of, in whole or in part . . .

“D. the Insured’s capacity or status as:

“1. an officer, director, partner, trustee, shareholder, manager or employee of a business enterprise . . .

“E. the alleged acts or omissions by any Insured . . . for any business enterprise . . . in which any Insured has a Controlling Interest.”

The malpractice claims brought against Daniels, American Guarantee’s insured, were based on the allegation that he represented plaintiffs as lenders in a transaction with a borrower known as Goldan. The alleged malpractice consisted of Daniels’s failure to record mortgages that Goldan had given to plaintiffs. Daniels was one of two principals of Goldan; it is fair to infer that he was at least a “manager” of Goldan, and had a “Controlling Interest” in it, within the meaning of the policy. We cannot say on this record as a matter of law that the malpractice claims did not arise “in whole or in part” out of his status as a manager; nor can we say that they did not arise out of any of his “acts or omissions” on Goldan’s behalf. We therefore agree with the Appellate Division dissenters that plaintiffs’ motion for summary judgment should have been denied.

The Appellate Division majority’s rationale for granting summary judgment was, essentially, that a case arising out of the alleged attorney-client relationship between plaintiffs and Daniels

could not also arise out of Daniels's managerial status with, or acts or omissions for, Goldan. But the claims could arise out of both. Because the malpractice case was resolved on default, the record tells us little about the substance of the claims; it is at least possible, however, that the alleged malpractice occurred because Daniels was serving two masters—plaintiffs, his clients, and Goldan, the company of which he was a principal. If that is the case, it can fairly be said that the malpractice claims arose partly out of Daniels's law practice and partly out of his status with or activity for Goldan—precisely the situation that the insured's status and business enterprise exclusions seem to contemplate.

Accordingly, upon reargument, our prior decision should be vacated, the remittitur recalled, the order of the Appellate Division reversed, with costs, and plaintiffs' motion for summary judgment on their first and second causes of action seeking to enforce the default judgment in the underlying action denied.

GRAFFEO, J. (dissenting). I would adhere to the general principle that a breach of a liability insurer's duty to defend prohibits it from subsequently invoking policy exclusions to escape its corollary duty to satisfy a judgment entered against the insured by a third party (see *Lang v Hanover Ins. Co.*, 3 NY3d 350, 356 [2004]). This rule makes sense for several reasons. An insurer should be subjected to some legal consequence for breaching its duty to defend an insured. Prohibiting exclusions from being collaterally invoked provides an insurer with an incentive to appear on behalf of the policyholder in the underlying lawsuit, as it agreed to do in return for the payment of premiums. It also encourages the initiation of a declaratory judgment by an insurer that seeks judicial authorization to rely on a policy exclusion to avoid indemnification. Bringing all of the interested parties—injured plaintiffs; insured defendants; and insurance carriers—together in a judicial forum further contributes to the efficient resolution of factual issues for the benefit of litigants without unduly burdening the ability of injured parties to obtain recovery for covered losses.

A fundamental purpose of an insurance contract is to provide "litigation insurance" for the policyholder (see e.g. *Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131, 137 [2006], citing *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 310 [1984]). This is particularly true in the context of legal malpractice insurance coverage such as that purchased by Jeffrey Daniels in this case.

It is imperative that an insurer timely defend its insured. A contrary rule encourages unnecessarily repetitive judicial proceedings by allowing an insurer to wrongfully abandon its policyholder's defense, subsequently forcing the insured to later litigate the effect of a policy exclusion on the duty to indemnify.

At first glance, *Servidone Constr. Corp. v Security Ins. Co. of Hartford* (64 NY2d 419 [1985]) appears to adopt a different rule. Closer scrutiny, however, reveals that *Servidone* may have intended to endorse a more limited principle. Our insurance cases have long drawn a distinction between "noncoverage" and "exclusions" (see e.g. *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185, 188-189 [2000]; *Zappone v Home Ins. Co.*, 55 NY2d 131, 134 [1982]). Noncoverage involves the situation where an insurance policy does not contemplate coverage at its inception. For example, a homeowner's policy would not provide malpractice liability coverage. Exclusions, in contrast, involve claims that fall within the ambit of the policy's coverage parameters but are excepted by a particular contractual exclusion provision. Hence, a homeowner's policy might contain an exclusion for certain types of water damage to the house. The distinction between the two is not always easy to identify and in many cases the result is the same—the insured will not be entitled to indemnification.

But our precedents make clear that the classification of an insurer's defense as one based on noncoverage or one predicated on an exclusion can have significant legal ramifications. For example, we have held that the failure of a carrier to timely disclaim coverage under Insurance Law § 3420 (d) will preclude the carrier from later invoking a policy exclusion to deny coverage (see *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d at 188-189). In other words, the carrier will be obligated to indemnify the insured for the loss, despite the fact that the claim was expressly exempted under an exclusion clause. But an identical violation of Insurance Law § 3420 (d) will *not* bar the carrier from later raising a defense of noncoverage (see *id.* at 188 ["Disclaimer pursuant to section 3420 (d) is unnecessary when a claim falls outside the scope of the policy's coverage portion"]). The rationale for this result is that, "[u]nder those circumstances, the insurance policy does not contemplate coverage in the first instance, and requiring payment of a claim upon failure to timely disclaim would create coverage where it never existed" (*id.*; see also *Markevics v Liberty Mut. Ins. Co.*, 97

NY2d 646, 648-649 [2001]; *Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 10 NY3d 556, 565 [2008]).¹

Servidone acknowledged this concept, explaining that the “bargained-for coverage” could not be “enlarged . . . as a penalty for [the insurer’s] breach of the duty to defend” (64 NY2d at 424). As a result, the insurer could attempt to demonstrate that the loss at issue “was not within policy coverage” despite the breach (*id.* at 425). In so holding, *Servidone* contrasted earlier decisions in which our Court held that “an insurer cannot by virtue of its own breach escape liability for the reasonable settlement of a covered risk” where there was “no question that the loss was within the policy” (*id.* at 424, citing *Isadore Rosen & Sons v Security Mut. Ins. Co. of N.Y.*, 31 NY2d 342 [1972]; *Cardinal v State of New York*, 304 NY 400 [1952]).

Servidone did, however, refer to the insurer’s ability to invoke a “policy exclusion” notwithstanding its breach of the duty to defend (64 NY2d at 425 [emphasis added]). But I believe *Servidone* should be applied more restrictively—and thereby reconciled with our other precedent—to clarify that an insurer’s breach of the duty to defend prohibits it from avoiding indemnification on the basis of policy exclusions, but not from demonstrating that there never was coverage for the loss in the first instance.²

1. See also 1 Dunham, New Appleman New York Insurance Law 2d § 15.04 (1) (c) at 15-47 (“Most New York courts distinguish between a failure to disclaim on grounds of ‘noncoverage’ . . . which generally does not effect a waiver, and failure to disclaim based upon a policy exclusion, which generally does”).

2. A number of decisions from other jurisdictions (*see* majority op at 586) are similarly reconcilable under a rule that allows noncoverage (but not exclusions) to be raised even if the duty to defend is breached (*see e.g. Employers Ins. of Wausau v Ehlco Liquidating Trust*, 186 Ill 2d 127, 150-151, 708 NE2d 1122, 1135 [1999] [an insurer that breaches the duty to defend “is estopped from raising policy defenses to coverage” but may seek to prove that “there clearly was no coverage or potential for coverage”]; *Polaroid Corp. v Travelers Indem. Co.*, 414 Mass 747, 764, 610 NE2d 912, 922 [1993] [“agree(ing) with the Court of Appeals of New York that an insurer that wrongfully declines to defend a claim will have the burden of proving that the claim was not within its policy’s coverage”]; *Alabama Hosp. Assn. Trust v Mutual Assur. Socy. of Ala.*, 538 So 2d 1209, 1216 [Ala 1989] [“A failure of an insurer to defend a claim against an insured does not work an estoppel on the issue of coverage”]; *Flannery v Allstate Ins. Co.*, 49 F Supp 2d 1223, 1229 [D Colo 1999] [“I hold . . . that an insurer is not precluded from contesting coverage when it has breached its obligation to defend its insured”]).

Applying these principles here, it is apparent that American Guarantee must satisfy the judgment that was entered against its policyholder. Daniels purchased legal malpractice coverage from American Guarantee. A judgment premised on legal malpractice was secured against Daniels after American Guarantee refused to honor its obligation to defend him in that action. Assuming Daniels was insured against this particular claim under the terms of the malpractice policy, American Guarantee should not now be allowed to avoid satisfying the judgment on the ground that the claim in the underlying lawsuit actually fell under a policy exclusion. If, as the majority asserts, Daniels' liability for professional negligence may have partially arisen from his actions as both an attorney and a manager of Goldan—and was therefore precluded under the “insured’s status” or “business enterprise” exclusion clauses—American Guarantee should have fully participated in the underlying action and attempted to establish the basis for the exclusion. I believe that these issues should have been resolved in the original action rather than being delayed for years. The majority’s decision to authorize additional litigation and fact-finding will prolong final resolution of this matter even further.

Accordingly, I would affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges READ and RIVERA concur with Judge SMITH; Judge GRAFFEO dissents and votes to affirm the order appealed from in an opinion in which Judge PIGOTT concurs; Judge ABDUS-SALAAM taking no part.

Upon reargument, this Court’s decision of June 11, 2013 vacated, the remittitur recalled, order appealed from reversed, with costs, and plaintiffs’ motion for summary judgment on their first and second causes of action seeking to enforce the default judgment in the underlying action denied.

[6 NE3d 1113, 983 NYS2d 757]

In the Matter of JOHN GAIED, Appellant, v New York State
TAX APPEALS TRIBUNAL et al., Respondents.

Argued January 16, 2014; decided February 18, 2014

SUMMARY

APPEAL from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 27, 2012, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to Tax Law § 2016). The Appellate Division, with two Justices dissenting, (1) confirmed a determination of the New York State Tax Appeals Tribunal which had sustained a deficiency of personal income tax imposed under Tax Law article 22; and (2) dismissed the petition.

Matter of Gaied v New York State Tax Appeals Trib., 101 AD3d 1492, reversed.

HEADNOTE**Taxation — Personal Income Tax — Resident Individual — Maintenance of Permanent Place of Abode in New York**

In order for an individual who is domiciled in another state to qualify as a statutory resident of New York for purposes of personal income taxes, there must be some basis to conclude that a New York dwelling was utilized as his or her residence. Under Tax Law § 605 (b) (1) (B), New York taxes a “statutory resident,” which is someone “who is not domiciled in this state but maintains a permanent place of abode in this state and spends in the aggregate more than [183] days of the taxable year in this state.” The phrase “permanent place of abode” is defined as “a dwelling place of a permanent nature maintained by the taxpayer, whether or not owned by such taxpayer” (20 NYCRR 105.20 [e] [1]). There is no rational basis for the Tax Appeals Tribunal’s interpretation of the phrase “maintains a permanent place of abode” to mean that a taxpayer need not “reside” in the dwelling, but only maintain it. The legislative history and the regulations support the view that in order for a taxpayer to have maintained a permanent place of abode in New York, the taxpayer must, himself, have a residential interest in the property.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, State and Local Taxation §§ 470–472.

MCKINNEY’S, Tax Law § 605 (b) (1) (B).

20 NYCRR 105.20 (e) (1).

NY JUR 2d, Taxation and Assessment §§ 1128–1131, 1140–1143.

ANNOTATION REFERENCE

See ALR Index under Income Taxes; Residence or Domicile.

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Query: income /2 tax & statutory /2 resident /s permanent
/s abode

POINTS OF COUNSEL

Hodgson Russ LLP, Albany (*Timothy P. Noonan* and *Joshua K. Lawrence* of counsel), for appellant. I. Mr. John Gaied did not maintain a “permanent place of abode” under a proper interpretation of New York’s residency statute. (*Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.*, 83 NY2d 240; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669; *Matter of SIN, Inc. v Department of Fin. of City of N.Y.*, 71 NY2d 616; *Matter of Evans v Tax Appeals Trib. of State of N.Y.*, 199 AD2d 840; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Riley v County of Broome*, 95 NY2d 455; *Matter of Yellow Book of N.Y., Inc. v Commissioner of Taxation & Fin.*, 75 AD3d 931; *Matter of Sedacca v Mangano*, 18 NY3d 609; *Ferres v City of New Rochelle*, 68 NY2d 446; *Metropolitan Life Ins. Co. v Durkin*, 276 App Div 394, 301 NY 376.) II. The Third Department did not apply the same test that was employed by the New York State Tax Appeals Tribunal in *Matter of Gaied* (2011 NY Tax LEXIS 136 [NY St Tax Appeals Trib DTA No. 821727, June 16, 2011]). (*Matter of Evans v Tax Appeals Trib. of State of N.Y.*, 199 AD2d 840; *Matter of New York Times Co. v City of N.Y. Commn. on Human Rights*, 41 NY2d 345; *Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227.)

Eric T. Schneiderman, Attorney General, Albany (*Robert M. Goldfarb*, *Barbara D. Underwood* and *Andrew D. Bing* of counsel), for respondents. The New York State Tax Appeals Tribunal’s determination that petitioner qualified as a “statutory resident” of New York under Tax Law § 605 (b) (1) (B) is rational and supported by substantial evidence. (*Matter of Siemens Corp. v Tax Appeals Trib.*, 89 NY2d 1020; *Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227; *Matter of Orvis Co. v Tax Appeals Trib. of State of N.Y.*, 86 NY2d 165; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Tamagni v Tax Appeals Trib. of State of N.Y.*, 91 NY2d 530, 525 US 931; *Matter of Orens v Novello*, 99

NY2d 180; *Matter of El-Tersli v Commissioner of Taxation & Fin.*, 14 AD3d 808; *People ex rel. Mackall v Bates*, 278 App Div 724; *Matter of Smith v State Tax Commn.*, 68 AD2d 993; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222.)

OPINION OF THE COURT

PIGOTT, J.

On this appeal, we are asked to consider New York's "statutory resident" test (Tax Law § 605 [b] [1] [B]) and, more specifically, the standard to be applied when determining whether a person "maintains a permanent place of abode" in New York. Petitioner John Gaied contends that the question should turn on whether he maintained living arrangements for *himself* to reside at the dwelling. We agree with petitioner and hold that in order for an individual to qualify as a statutory resident, there must be some basis to conclude that the dwelling was utilized as the taxpayer's residence.

During the relevant time period, petitioner was domiciled in New Jersey. He owned an automotive service and repair business on Staten Island, New York and commuted daily to work, a distance of about 28 miles.

In November 1999, he purchased a multifamily apartment building on Staten Island, located in the same neighborhood as his business. Petitioner testified that his motivation for acquiring the building was two-fold: as a place for his elderly parents to live and as an investment property.

Starting in 1999, petitioner's parents lived in a first-floor apartment and relied on petitioner for their support. Petitioner claimed them as dependents on his federal, New Jersey, and New York tax returns. He paid the electric and gas bills for the apartment, and maintained a telephone number for the apartment in his name. However, he insists that he never lived at the apartment and did not keep any clothing or other personal effects there; nor did he have sleeping accommodations at the apartment. While he had keys to the apartment, he contends that he did not have unfettered access. He stayed at the apartment only on occasion, doing so at his parents' request to attend to their medical needs. On those occasions, he would sleep on a couch.

Petitioner leased the other two apartments in the building to tenants. During the years in question, 2001 through 2003, he

filed a federal Schedule E, which reported income and expenses from rental real estate associated with the property. He did not, however, produce records to substantiate the rental income or expenses reported. New York City voter registration records indicate that petitioner voted in general elections in New York in 2000.

In December 2003, petitioner sold his New Jersey residence in order to satisfy a large 2002 federal tax obligation. He placed his belongings in storage and stayed with an uncle in New Jersey while renovating the boiler room at the Staten Island property to make an additional apartment, where he began residing in 2004, after the tax years at issue.

For each of the tax years in question, petitioner filed nonresident income tax returns in New York. After an audit, the Department of Taxation and Finance issued a Notice of Deficiency indicating that he owed an additional \$253,062 in New York State and City income taxes, plus interest. The Department determined that he was a “statutory resident” of New York within the meaning of Tax Law § 605 (b) (1) (B) because he spent over 183 days in New York City and maintained a “permanent place of abode” at the Staten Island property during those years.

Petitioner sought a redetermination of the deficiency, conceding that he was in New York City more than 183 days during each year at issue but challenging the determination that he maintained a “permanent place of abode” at the Staten Island property. After a hearing, an Administrative Law Judge (ALJ) issued a determination sustaining the Notice (2009 WL 2491342, 2009 NY Tax LEXIS 86 [NY St Div of Tax Appeals DTA No. 821721, Aug. 6, 2009]) and thereafter, petitioner filed an exception.

The Tax Appeals Tribunal initially reversed the ALJ’s determination on the ground that petitioner did “not have living quarters at his parents’ apartment” and, therefore, he did not maintain a permanent place of abode (2010 WL 2801871, *8, 2010 NY Tax LEXIS 117, *23, available at <http://www.dta.ny.gov/pdf/archive/Decisions/821727.dec.pdf> at 14 [NY St Tax Appeals Trib DTA No. 821727, July 8, 2010]).

The Department moved for reargument, contending that the Tribunal’s decision failed to take into account precedent that, in order to qualify as a statutory resident under the Tax Law, a

taxpayer need not actually dwell in the permanent place of abode, but need only maintain it. Petitioner opposed the motion.

On reargument, the Tribunal, with one member dissenting, granted the Department's motion, affirmed the ALJ's decision and sustained the deficiency (NY St Tax Appeals Trib DTA No. 821727, June 16, 2011, available at <http://www.dta.ny.gov/pdf/archive/Decisions/821727.2.dec.pdf>). The Tribunal stated that its initial decision was "an improper departure from the language of the statute, regulations, and controlling precedent" and concluded that "where a taxpayer has a property right to the subject premises, it is neither necessary nor appropriate to look beyond the physical aspects of the dwelling place to inquire into the taxpayer's subjective use of the premises" (*id.* at 15-16). The Tribunal rejected petitioner's argument that the premises must be maintained for his personal use, finding that there is "no requirement that the petitioner actually dwell in the abode, but simply that he maintain it" (*id.* at 19). The Tribunal further found that petitioner had not established that the property was maintained exclusively for his parents' use. It found that petitioner stayed overnight on occasion to care for his father, listed the address under his name for the utility and telephone bills, listed the address as his on the other apartment leases, and had unfettered access to the apartment (rejecting, as did the ALJ, petitioner's testimony that he did not have unfettered access).

The dissent would have affirmed the Tribunal's original decision in petitioner's favor. He noted that the Tribunal construed the statute in its original decision "in a practical manner, generally referring to an individual doing whatever is necessary to continue one's living arrangements in a particular dwelling place" (*id.* at 20).

Petitioner brought this CPLR article 78 proceeding challenging the Tribunal's second determination. The Appellate Division, with two Justices dissenting, confirmed the determination, recognizing that although a "contrary conclusion would have been reasonable based upon the evidence presented," it was nevertheless "constrained to confirm, since [the court's] review is limited and the Tribunal's determination [was] amply supported by the record" (101 AD3d 1492, 1494 [3d Dept 2012]).

The dissent focused on the legislative intent of the statutory residence rules and noted that the paramount inquiry in determining whether a taxpayer is maintaining a permanent

place of abode in New York should be whether a taxpayer maintains “living arrangements” in a particular dwelling place (*id.* at 1495). Applying this analysis, the dissent would have found that petitioner did not live in the dwelling or have any personal residential interest there, and the Tribunal’s decision to hold him as a resident was “irrational and unreasonable” (*id.* at 1496).

Petitioner appealed from the Appellate Division’s order, pursuant to CPLR 5601 (a).

Tax Law § 601 and Administrative Code of the City of New York § 11-1701 impose, respectively, New York State and New York City personal income tax on state and city “resident individuals.” An individual may be taxed as a “resident” in one of two ways, the first one being the obvious: that he or she is domiciled in New York, i.e. the taxpayer’s permanent and primary home is located in New York (*see* Tax Law § 605 [b] [1] [A]).

The alternative test is found in Tax Law § 605 (b) (1) (B), which taxes a “statutory resident” or someone “who is not domiciled in this state but maintains a permanent place of abode in this state and spends in the aggregate more than [183] days of the taxable year in this state.”

It is the second test that is at issue here. Petitioner concedes that he was in New York City more than 183 days during each of the years at issue. Thus, whether petitioner is a statutory resident depends on whether he maintained a permanent place of abode in New York.

In *Matter of Tamagni v Tax Appeals Trib. of State of N.Y.* (91 NY2d 530 [1998]), this Court examined the legislative history of the tax statute, and noted that there had been “several cases of multimillionaires who actually maintain homes in New York and spend ten months of every year in those homes . . . but . . . claim to be nonresidents” (91 NY2d at 535, quoting Mem of Income Tax Bureau, Bill Jacket, L 1922, ch 425). We explained that the statutory residence provision fulfils the significant function of taxing individuals who are “really and [for] all intents and purposes . . . residents of the state” but “have maintained a voting residence elsewhere and insist on paying taxes to us as nonresidents” (*id.*). “In short, the statute is intended to discourage tax evasion by New York residents” (91 NY2d at 535).

The Tax Law does not define “permanent place of abode,” but the regulations define it as “a dwelling place of a permanent nature maintained by the taxpayer, whether or not owned

by such taxpayer, [which] will generally include a dwelling place owned or leased by such taxpayer's spouse" (20 NYCRR 105.20 [e] [1]). The regulations further provide that, by way of example, "a mere camp or cottage, which is suitable and used only for vacations, is not a permanent place of abode" (*id.*).

The Tax Tribunal has interpreted "maintains a permanent place of abode" to mean that a taxpayer need not "reside" in the dwelling, but only maintain it, to qualify as a "statutory resident" under Tax Law § 605 (b) (1) (B). Our review is limited to whether that interpretation comports with the meaning and intent of the statutes involved (*Matter of Siemens Corp. v Tax Appeals Trib.*, 89 NY2d 1020, 1022 [1997]). We conclude there is no rational basis for that interpretation. Notably, nowhere in the statute does it provide anything other than the "permanent place of abode" must relate to the taxpayer. The legislative history of the statute, to prevent tax evasion by New York *residents*, as well as the regulations, supports the view that in order for a taxpayer to have maintained a permanent place of abode in New York, the taxpayer must, himself, have a residential interest in the property.

Accordingly, the judgment of the Appellate Division should be reversed, with costs, and the matter remitted to that court with directions to remand to respondent New York State Tax Appeals Tribunal for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur.

Judgment reversed, with costs, and matter remitted to the Appellate Division, Third Department, with directions to remand to respondent New York State Tax Appeals Tribunal for further proceedings in accordance with the opinion herein.

[7 NE3d 496, 984 NYS2d 283]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
GUNTHER J. FLINN, Appellant.

Argued January 14, 2014; decided February 25, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 28, 2012. The Appellate Division affirmed a judgment of the Jefferson County Court (Kim H. Martusewicz, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, assault in the first degree, intimidating a victim or witness in the first degree (two counts), assault in the second degree, obstructing governmental administration in the second degree, resisting arrest, harassment in the second degree and disorderly conduct.

People v Flinn, 98 AD3d 1262, affirmed.

HEADNOTE

Crimes — Right to be Present at Trial — Waiver — Bench Conferences with Prospective Jurors

In a criminal prosecution, defendant validly waived his right to be present during bench conferences at which prospective jurors were questioned on voir dire. Defendant made an implicit waiver of that right when, after hearing the judge state that defendant was “welcome to attend” any conferences at the bench, he chose not to do so. Notwithstanding that the judge did not state that the defendant had the “right” to attend, it was important for defendant to understand that he was free to attend bench conferences if he wanted to, not whether his opportunity to attend was a right or privilege. In addition, defendant explicitly waived his right to be present during the voir dire bench conferences by his attorney’s statement to the court, at a bench conference, that he had discussed with defendant that he had the right to go up to the bench during the conferences and that defendant had waived that right. Although the lawyer’s statement waiving the right was not made in defendant’s hearing, a lawyer may be trusted to explain rights to his or her client and to report to the court the result of that discussion.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 998, 1007; AM JUR 2d, Estoppel and Waiver § 203; AM JUR 2d, Jury § 182; AM JUR 2d, Trial § 162.

CARMODY-WAIT 2d, Conduct of Trial, In General §§ 190:119, 190:135, 190:136, 190:139.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 34.2 (a).
NY JUR 2d, Criminal Law: Procedure §§ 2494, 2504, 2505,
2506.

ANNOTATION REFERENCE

Validity of jury selection as affected by accused's absence from conducting of procedures for selection and empaneling of final jury panel for specific case. 33 ALR 4th 429.

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Query: def! /p waiv! /3 right! & present /s (bench /3 conf!)

POINTS OF COUNSEL

Muldoon & Getz, Rochester (*Martin P. McCarthy, II*, of counsel), for appellant. I. Defendant's right to be present at all material stages of the proceedings was violated when no express or implied waiver of his right to attend bench conferences occurred. (*People v Sloan*, 79 NY2d 386; *People v Turaine*, 78 NY2d 871; *People v Anderson*, 16 NY2d 282; *People v Velasco* 77 NY2d 469; *People v Antommarchi*, 80 NY2d 247; *People v Mitchell*, 80 NY2d 519; *People v Vargas*, 88 NY2d 363; *People v Keen*, 94 NY2d 533; *People v Williams*, 15 NY3d 739; *People v McAdams*, 22 AD3d 885.) II. Defendant was unconstitutionally punished for exercising his right to a trial. (*United States v Goodwin*, 457 US 368; *Bordenkircher v Hayes*, 434 US 357; *People v Van Pelt*, 76 NY2d 156; *North Carolina v Pearce*, 395 US 711; *People v Simmons*, 29 AD3d 1024; *People v Rogers*, 56 AD3d 1173; *People v Miller*, 65 NY2d 502.)

Cindy F. Intschert, District Attorney, Watertown (*Patricia L. Dziuba* of counsel), for respondent. I. Because defendant effectively waived his right to be present during voir dire sidebars, a new trial is not required. (*Maurer v People*, 43 NY 1; *People ex rel. Lupo v Fay*, 13 NY2d 253; *People v Mullen*, 44 NY2d 1; *People v Antommarchi*, 80 NY2d 247; *People v Vargas*, 88 NY2d 363; *People v Spotford*, 85 NY2d 593; *People v Velasco*, 77 NY2d 469; *People v Keen*, 94 NY2d 533; *People v Williams*, 15 NY3d 739.) II. Because the court did not sentence defendant vindictively nor was the sentence harsh or excessive, a new trial is not required. (*People v Mitchell*, 104 AD2d 689; *People v Roman*, 84 AD2d 851; *People v Richard*, 65 AD2d 595; *People v Cotter*, 25 AD2d 609; *People v Farrar*, 52 NY2d 302; *People v*

Nicholson, 237 AD2d 973; *United States v Goodwin*, 457 US 368; *Bordenkircher v Hayes*, 434 US 357; *People v Van Pelt*, 76 NY2d 156.)

OPINION OF THE COURT

SMITH, J.

We hold that defendant validly waived his right under *People v Antommarchi* (80 NY2d 247, 249-250 [1992]) to be present during bench conferences at which prospective jurors were questioned on voir dire.

Defendant was tried for attempted murder and other crimes. Before beginning jury selection, the trial judge announced in defendant's hearing:

"If there are any conferences at the bench, I just remind everyone the defendant is welcome to attend them, I will leave that up to defense counsel and the defendant as to whether or not he wants to get up and attend any of those conferences."

A few minutes later, after one prospective juror had been excused for medical reasons, defense counsel said in a bench conference, held out of defendant's hearing:

"Your Honor, may I just put one thing on the record. Mr. Flinn is remaining at counsel table. I have discussed with him that he has the right to come up here during these discussions at the bench, and he has waived that right."

Voir dire proceeded, and a number of bench conferences were held at which prospective jurors' qualifications were discussed. There is no indication in the record that defendant attended, or asked to attend, any of these conferences. Defendant was convicted, and the Appellate Division affirmed (*People v Flinn*, 98 AD3d 1262 [4th Dept 2012]). A Judge of this Court granted leave to appeal (20 NY3d 986 [2012]), and we now affirm.

Defendant waived his *Antommarchi* right both implicitly and explicitly. He did so implicitly when, after hearing the trial judge say that he was "welcome to attend" the bench conferences, he chose not to do so. And he waived it explicitly by his lawyer's statement to the court.

The implicit waiver is not significantly different from the one we upheld in *People v Williams* (15 NY3d 739 [2010]). It is true that in *Williams* the trial court said not only that the defendant was "welcome" at sidebar conferences but also that he had "an absolute right" to attend them (*id.* at 740), but we think that in

context the two statements convey the same message: defendant was free to attend bench conferences if he wanted to do so. This was the important point for him to understand—not whether his opportunity to attend was a right or a privilege. It is hard to imagine how his decision not to attend could have been affected if the court here had used the word “right.”

As for the explicit waiver, we have repeatedly held that a lawyer may waive the *Antommarchi* right of his or her client (*People v Velasquez*, 1 NY3d 44, 47-50 [2003]; *People v Keen*, 94 NY2d 533, 538-539 [2000]; see also *People v Vargas*, 88 NY2d 363, 376 [1996] [because sidebar presence is a statutory, not a constitutional, right, “this Court has been more flexible regarding the acceptable form of voluntary waivers by defendants and their lawyers”]). Defendant seeks to distinguish these cases on the ground that here the lawyer’s statement waiving the right was not made in defendant’s hearing. But the premise of *Velasquez* and *Keen* is that a lawyer may be trusted to explain rights to his or her client, and to report to the court the result of that discussion. If that was not our assumption in those cases, we would not have found a valid waiver; we certainly did not rely on the client’s vigilance in listening to, or his diligence in correcting, his lawyer’s misstatements. Indeed, in *Velasquez*, while the client did hear the lawyer’s oral waiver, it is unlikely that he understood it. The only relevant words said in open court in *Velasquez* were “Waived” by the lawyer and “Antommarchi waived” by the court (1 NY3d at 47).

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). The trial court’s failure to properly inform defendant of his fundamental right to attend certain conferences, and to confirm and make a public record of defendant’s alleged waiver communicated to the court by counsel at sidebar and out of defendant’s presence, constitutes a violation of defendant’s rights as recognized by *People v Antommarchi* (80 NY2d 247 [1992]) and its progeny, and the majority’s opinion risks rendering our prior decisions meaningless. Therefore, I dissent.

A defendant’s fundamental right to be present during any material stage of trial includes the right to be present for sidebar discussions on juror bias, hostility or predisposition (CPL 260.20; *Antommarchi*, 80 NY2d at 250; *People v Dokes*, 79 NY2d 656, 661-662 [1992]). Violation of that right is reversible error

when a juror questioned outside of the defendant's presence is empaneled or subjected to defense counsel's peremptory challenge (*People v Davidson*, 89 NY2d 881, 882-883 [1996]).

A defendant may waive the fundamental *Antommarchi* right so long as the waiver is voluntary, knowing, and intelligent (*People v Keen*, 94 NY2d 533, 538-539 [2000]; *People v Vargas*, 88 NY2d 363, 375-376 [1996]). Waiver may be accomplished explicitly, by the defendant or through defense counsel, or implicitly, through defendant's failure to exercise the *Antommarchi* right after an adequate in-court appraisal (see *People v Velasquez*, 1 NY3d 44, 49-50 [2003]; *People v Williams*, 15 NY3d 739, 740 [2010]).

The majority concludes that defendant implicitly waived his right by failing to attend sidebar conferences probing juror bias. We have only recognized an implicit waiver of the *Antommarchi* right when the defendant has been informed of the right in time to exercise it during juror selection (see *Williams*, 15 NY3d at 740). Otherwise, defendant's waiver could not be voluntary, knowing, and intelligent. Here, the majority concludes that the trial court informed defendant of his right to attend sidebars probing juror bias when it said: "If there are any conferences at the bench, I just remind everyone the defendant is welcome to attend them[.] I will leave that up to defense counsel and the defendant as to whether or not he wants to get up and attend any of those conferences." According to the majority, this statement was sufficiently descriptive as to inform defendant of his fundamental *Antommarchi* right, and, according to the majority, defendant waived his right when he did not exercise it.

The majority considers it of no moment that, in this case, the court never used the legally familiar terminology associated with *Antommarchi*'s mandate, namely that defendant had a fundamental right he was entitled by statute to assert and that the court was obliged to recognize. Instead, the majority is persuaded that the word "welcome" as used by the court sufficiently apprised defendant of this statutory right. I cannot agree. The word "welcome" is defined as "received gladly into one's presence or companionship: admitted willingly to the company, house, or entertainment" or "freely or willingly permitted: cordially invited" (Webster's Third New International Dictionary [2002]). To recite the definition of "welcome" is to make obvious its inappropriateness to the task of informing defendant of a right, which is defined as "[s]omething that is due to a person by just claim, legal guarantee, or moral

principle[;] [a] power, privilege, or immunity secured to a person by law” (Black’s Law Dictionary 1436 [9th ed 2009]). Unlike a right, a welcome is a mere invitation, subject to revocation by the person who extended it. A right recognized as fundamental, such as the *Antommarchi* right, cannot be conveyed by a word or phrase that suggests that it is subject to revocation. A welcome is more properly left for informal gatherings than the courtroom, where a defendant’s future hangs in the balance and may very well turn on the proper understanding of the court’s directive.

Words have meaning, which must be derived from and understood by the context in which they are expressed. Words in one context may convey a meaning which makes the word wholly appropriate given the circumstances, but which in another setting may be judged as inappropriate. Here, a statement by which the court states as a general matter, and not directed to the defendant, that the defendant is “welcome” to attend bench conferences, simply cannot be equated with a statement made directly to defendant explicating a fundamental right and informing him of the opportunity to exercise that right. Absent the court’s adequate notification of that right to the defendant, any waiver cannot be knowing and voluntary and lacks legal significance.

Further, trial court’s statement that it was “up to defense counsel and the defendant as to whether or not he wants to get up and attend any of those conferences” suggests that the decision was not solely the defendant’s. A defendant’s right to control his or her own defense has deep roots in U.S. jurisprudence (see Erica J. Hashimoto, *Resurrecting Autonomy: The Criminal Defendant’s Right to Control the Case*, 90 B U L Rev 1147, 1163-1174 [2010]). After all, “[t]he defendant, and not his lawyer or the State, will bear the personal consequences of a conviction” (*Faretta v California*, 422 US 806, 834 [1975]). New York’s statutory right to be present at material stages of trial protects this autonomy interest and ensures a defendant the opportunity to meaningful participation in his or her own defense (*People v Dokes*, 79 NY2d 656, 660-661 [1992]). Defendant, not defense counsel, bears the sole authority to waive this right; otherwise, the guarantee of meaningful participation rings hollow.

The circumstances surrounding defense counsel’s attempted waiver on behalf of defendant provide an independent basis to reject such waiver’s legal sufficiency. Until today, we have not

recognized a defense counsel's waiver of *Antommarchi* rights made outside the defendant's presence and without a subsequent confirmation made in open court. With good reason. Such a waiver lacks any recognition by the defendant and confirmation by the court that it reflects a voluntary, knowing, and intelligent waiver of the right. Certainly, as the majority notes, counsel can be expected to "explain rights to his or her client, and to report to the court the result of that discussion" including defendant's decision to waive his rights (majority op at 602). What counsel cannot do is satisfy the court's duty to ensure that defendant's waiver meets our legal standards.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and ABDUS-SALAAM concur with Judge SMITH; Judge RIVERA dissents and votes to reverse in an opinion.

Order affirmed.

[9 NE3d 351, 986 NYS2d 1]

In the Matter of BALDWIN UNION FREE SCHOOL DISTRICT et al.,
Respondents, v COUNTY OF NASSAU, Appellant. (Matter No.
1.)

BARBARA HAFNER et al., Respondents, v COUNTY OF NASSAU et
al., Appellants. (Matter No. 2.)

In the Matter of TOWN OF NORTH HEMPSTEAD et al., Respon-
dents, v COUNTY OF NASSAU, Appellant. (Matter No. 3.)

Argued January 7, 2014; decided February 18, 2014

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 27, 2013. The Appellate Division (1) reversed, on the law, so much of a judgment (denominated order) of the Supreme Court, Nassau County (Thomas A. Adams, J.; op 2012 NY Slip Op 30079[U] [2012]), entered in two hybrid CPLR article 78 proceedings/declaratory judgment actions (matter Nos. 1 and 3) and a declaratory judgment action (matter No. 2), which were joined for discovery, trial and disposition, as had effectively granted summary judgment to defendants/respondents and defendants in all three matters, declaring that Local Law No. 18-2010 of the County of Nassau does not violate either the New York Constitution or Municipal Home Rule Law; (2) granted that branch of plaintiffs' cross motion in matter No. 2 which was for summary judgment declaring that Local Law No. 18-2010 of the County of Nassau violates the New York Constitution and the Municipal Home Rule Law; (3) upon searching the record, awarded petitioners/plaintiffs in matter Nos. 1 and 3 summary judgment declaring that Local Law No. 18-2010 of the County of Nassau violates the New York Constitution and the Municipal Home Rule Law; (4) denied the petitions in matter Nos. 1 and 3 as academic; and (5) declared that Local Law No. 18-2010 of the County of Nassau violates the New York Constitution and the Municipal Home Rule Law.

Matter of Baldwin Union Free Sch. Dist. v County of Nassau, 105 AD3d 113, affirmed.

HEADNOTE

Local Laws — Inconsistency with State Law — Tax Laws

Nassau County was prohibited by NY Constitution article IX and the Municipal Home Rule Law from passing Local Law No. 18-2010 of the County of

Nassau, which shifted the obligation to pay real property tax refunds from the County, as provided for in an amendment to the County's Administrative Code passed by the state legislature known as the County Guaranty, to its individual taxing districts, thereby superseding a special state tax law. The state legislature has not delegated to the County the prerogative to supersede a special state tax law, and that lack of authority is fatal to Local Law 18. The County Charter, as established by the legislature, does not vest in the County the right to repeal a special state tax law. Moreover, the Constitution bars the County from exercising its powers of local legislation to supersede the County Guaranty. In addition to the absence of constitutional or statutory authority allowing the County to enact Local Law 18, the Municipal Home Rule Law affirmatively prohibited the County from doing so. Local Law 18 is a charter law, and Municipal Home Rule Law § 34 (3) (a) specifies that such a law "shall not supersede" any "special law" of the State "relat[ing] to" the "judicial review or distribution" of tax proceeds or benefit assessments. Because the County Guaranty is a special state law which "relates to" the "distribution" of tax proceeds and benefits, the County could not enact Local Law 18 to supersede it. The County possesses substantial home rule powers, but the prerogative to impinge freely upon the State's constitutional power of taxation, by means of superseding a special state tax law, is not among them. Because Local Law 18 was designed to achieve that impermissible intrusion, it was declared unconstitutional, invalid, unenforceable and void.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 92-95, 315, 316, 328.

McKINNEY'S, Municipal Home Rule Law § 34 (3) (a); NY Const, art IX.

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 146, 151, 156, 157.

ANNOTATION REFERENCE

See ALR Index under Counties; Home Rule; Special, Local, and Private Legislation.

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POINTS OF COUNSEL

Rosenberg Calica & Birney LLP, Garden City (*Ronald J. Rosenberg, Lesley A. Reardon, Judah Serfaty* and *Edward M. Ross* of counsel), and *Nassau County Attorney's Office*, Mineola, for appellants in the three above-entitled matters. I. Nassau County possesses the authority and power under the Local Legislation Act (L 1936, ch 879; L 1937, ch 618; L 1939, ch 700)

and its Charter to change or supersede the special law creating the County Guaranty, which special law does not apply “alike to all counties” but only applies to the County of Nassau. (*Yatauro v Mangano*, 17 NY3d 420; *Matter of Gizzo v Town of Mamaroneck*, 36 AD3d 162; *Landmark Colony at Oyster Bay v Board of Supervisors of County of Nassau*, 113 AD2d 741; *Matter of Holland v Bankson*, 290 NY 267; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Matter of Meegan v Brown*, 16 NY3d 395; *Ferres v City of New Rochelle*, 68 NY2d 446; *Riley v County of Broome*, 95 NY2d 455; *Fire Dept. of City of Rochester v City of Rochester*, 23 AD2d 183, 16 NY2d 933.) II. The Appellate Division’s application of the 1963 version of NY Constitution, article IX, § 2 to limit the County of Nassau’s local legislative authority was patently erroneous. (*41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325; *Matter of Kelley v McGee*, 57 NY2d 522; *Matter of Heimbach v Mills*, 67 AD2d 731; *Rozler v Franger*, 61 AD2d 46; *Pearson v Pearson*, 81 AD2d 291; *County of Nassau v Incorporated Vil. of Woodsburgh*, 86 AD2d 856; *Matter of Main St. in Vil. of Sing Sing*, 98 NY 454.) III. Even if the 1963 version of NY Constitution, article IX, § 2 (c) (ii) applied, it does not prohibit the County of Nassau from enacting the Common Sense Act (Local Law No. 18-2010 of the County of Nassau) as a matter of law. (*Yatauro v Mangano*, 17 NY3d 420; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *City of White Plains v Del Bello*, 87 AD2d 483; *Sonmax, Inc. v City of New York*, 43 NY2d 253; *Matter of Fifth Ave. Off. Ctr. Co. v City of Mount Vernon*, 89 NY2d 735; *41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325.) IV. Even if NY Constitution, article IX, § 2 (c) (ii) (8) applied, the Common Sense Act (Local Law No. 18-2010 of the County of Nassau) is valid and proper based on this Court’s holding in *Sonmax, Inc. v City of New York* (43 NY2d 253 [1977]), which established that Municipal Home Rule Law § 10 (1) (ii) (a) (8) exempts local laws related to property taxes from having to be consistent with any other laws. (*DJL Rest. Corp. v City of New York*, 96 NY2d 91.)

Hamburger, Maxson, Yaffe, Knauer & McNally, LLP, Melville (David N. Yaffe and Richard Hamburger of counsel), for Baldwin Union Free School District and others, respondents in the first above-entitled matter. I. The Nassau County Charter did not delegate authority to enact local laws that supersede state laws relating to real property tax refund obligations or that affect the maintenance or support of public education. (*People v*

County of Westchester, 282 NY 224; *Browne v City of New York*, 241 NY 96; *Clark v LaGuardia*, 245 App Div 325; *County Sec. v Seacord*, 278 NY 34; *Carodix Corp. v Comiskey*, 265 App Div 450, 291 NY 737; *Queens Park Gardens, Inc. v County of Nassau*, 255 App Div 625, 280 NY 789.) II. Local Law No. 18-2010 of the County of Nassau violates the provisions of the NY Constitution and the Municipal Home Rule Law forbidding the enactment of local laws relating to the levy, collection, administration, distribution and judicial review of local taxes inconsistent with state special laws, and affecting the maintenance and support of public education. (*Town of Amherst v County of Erie*, 260 NY 361; *Matter of Rab Co. Highland House Apts. v Tompkins County Bd. of Assessment Review*, 68 AD2d 374; *Sonmax, Inc. v City of New York*, 43 NY2d 253; *Bugeja v City of New York*, 24 AD2d 151, 17 NY2d 606; *Matter of Gizzo v Town of Mamaroneck*, 36 AD3d 162; *New York Tel. Co. v Supervisor of Town of N. Hempstead*, 77 AD3d 121; *Lanza v Wagner*, 11 NY2d 317; *Matter of Divisich v Marshall*, 281 NY 170; *Board of Educ., Union Free School Dist. No. 4, Town of Greece v Board of Educ. of City of Rochester*, 23 AD2d 805; *People ex rel. Elkind v Rosenblum*, 184 Misc 916, 269 App Div 859, 295 NY 929.) III. The shifting of municipal tax refund obligations onto school districts is not a matter of local concern. (*Konz v Bedell*, 273 App Div 777, 298 NY 585; *City of New York v Village of Lawrence*, 250 NY 429.) IV. Local Law No. 18-2010 of the County of Nassau is irrational, arbitrary and capricious, and Nassau County's appeals to alleged fairness do not obviate the necessity of state action to repeal the County Guaranty. (*Matter of Bowery Sav. Bank v Board of Assessors of County of Nassau*, 80 NY2d 961; *Matter of Steel Los III/Goya Foods, Inc. v Board of Assessors of County of Nassau*, 10 NY3d 445; *Town of Amherst v County of Erie*, 260 NY 361; *Matter of Wadhams*, 249 App Div 271.) V. The enactment of Local Law No. 18-2010 of the County of Nassau also violates the law of legislative equivalency and the Statute of Local Governments. (*Matter of Moran v LaGuardia*, 270 NY 450; *Matter of Torre v County of Nassau*, 86 NY2d 421; *County Sec. v Seacord*, 278 NY 34; *Matter of County of Nassau v Nassau County Interim Fin. Auth.*, 33 Misc 3d 227.) VI. In the alternative, Local Law No. 18-2010 of the County of Nassau fails to specify whether and which portions of Laws of 2006, chapter 503, it intended to supersede, in violation of Municipal Home Rule Law § 22 (1), and it transfers a duty without a referendum, in violation of the NY Constitution and Municipal Home Rule Law § 33-a. (*Kamhi v Town of Yorktown*, 74 NY2d

423; *Turnpike Woods v Town of Stony Point*, 70 NY2d 735; *Matter of Town of Smithtown v Howell*, 31 NY2d 365.)

Catherine V. Battle, New York City, and *Richard E. Casagrande* for Barbara Hafner and another, respondents in the second above-entitled matter. I. The public policy reasons for or against the County Guaranty should have no impact on the Court's determination, as they are exclusively vested in the state legislature. (*City of New York v State of New York*, 94 NY2d 577; *Matter of Wadhams*, 249 App Div 271.) II. The overarching principles of law applicable to this case compel the conclusion that Nassau County does not possess the power to repeal the County Guaranty by local law. (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Seaman v Fedourich*, 16 NY2d 94; *Adler v Deegan*, 251 NY 467; *City of New York v Village of Lawrence*, 250 NY 429.) III. The evolution of Nassau County's power to enact local laws demonstrates that it was not given power to repeal the County Guaranty by local law. IV. The evolution of Nassau County's power to enact charter laws demonstrates that it was not given power to repeal the County Guaranty by charter law. (*Konz v Bedell*, 273 App Div 777.) V. There is no authority in the Nassau County Charter for the repeal of the County Guaranty by local law. (*City of New York v State of New York*, 94 NY2d 577; *Sonmax, Inc. v City of New York*, 43 NY2d 253; *County Sec. v Seacord*, 278 NY 34; *Weber v City of New York*, 18 Misc 2d 543; *Matter of Divisich v Marshall*, 281 NY 170; *Gunnison v Board of Educ. of City of New York*, 176 NY 11; *Matter of Fuhrmann v Graves*, 235 NY 77.) VI. The 1963 Constitution and the Municipal Home Rule Law prohibit the repeal of the County Guaranty by local law. (*Matter of Albano v Kirby*, 36 NY2d 526; *Matter of Board of Educ. of City School Dist. of City of N.Y. v City of New York*, 41 NY2d 535; *Bugeja v City of New York*, 24 AD2d 151, 17 NY2d 606; *Matter of Board of Co-op. Educ. Servs. of Nassau County v Gaynor*, 33 AD2d 701; *Board of Educ., Union Free School Dist. No. 4, Town of Greece v Board of Educ. of City of Rochester*, 23 AD2d 805; *Matter of Reuss v Katz*, 43 Misc 2d 921, 21 AD2d 968.) VII. Local Law No. 18-2010 of the County of Nassau, if not invalid, is nevertheless inoperable because of Nassau County's failure to conduct a referendum.

Jaspan Schlesinger LLP, Garden City (*Maureen T. Liccione* and *Andrew M. Mahony* of counsel), and *Robert V. Guido*, Lindenhurst, for Town of North Hempstead and others, respondents in the third above-entitled matter. I. The restrictions on enactment of local tax laws in NY Constitution, article IX, § 2 apply

to Nassau County. (*Matter of Dutcher v Hatch*, 19 AD2d 341; *Jackson v Nassau County Bd. of Supervisors*, 818 F Supp 509; *Yatauro v Mangano*, 17 NY3d 420; *Matter of Thomas v Bethlehem Steel Corp.*, 95 AD2d 118, 63 NY2d 150; *B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Brady v Village of Malverne*, 76 AD3d 691, 16 NY3d 806.) II. Nassau County has no authority to enact a tax law inconsistent with any state law. (*City of New York v State of New York*, 94 NY2d 577; *County Sec. v Seacord*, 278 NY 34; *Sonmax, Inc. v City of New York*, 43 NY2d 253; *New York Steam Corp. v City of New York*, 268 NY 137.) III. Local Law No. 18-2010 of the County of Nassau is unconstitutional because it is inconsistent with the Real Property Tax Law. (*Matter of O'Shea v Board of Assessors of Nassau County*, 8 NY3d 249.) IV. Local Law No. 18-2010 of the County of Nassau is void because it is impermissibly vague and has no rational relationship to its avowed purposes. (*Grossman v Baumgartner*, 17 NY2d 345; *Matter of Levine v Whalen*, 39 NY2d 510; *Williams v Mayor of Baltimore*, 289 US 36; *People v Abrahams*, 40 NY2d 277; *Long Is. Coll. Hosp. v Whalen*, 68 AD2d 274; *American Sugar Ref. Co. of N.Y. v Waterfront Commn. of N.Y. Harbor*, 55 NY2d 11; *Matter of Shanty Hollow Corp. v Poladian*, 23 AD2d 132, 17 NY2d 536; *Matter of Orchard Hgts., Inc. v Yancy*, 15 AD3d 854, 4 NY3d 710; *Connally v General Constr. Co.*, 269 US 385; *People v Stuart*, 100 NY2d 412.) V. Local Law No. 18-2010 of the County of Nassau violates NY Constitution, article IX, § 1 because it transfers county functions and duties to the town and special districts without a referendum. (*Matter of Heimbach v Mills*, 67 AD2d 731; *Rooney v City of Long Beach*, 42 AD2d 34; *Hausser v Giunta*, 88 NY2d 449.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In this case, we are presented with, essentially, the following question: may Nassau County pass a local law that shifts the obligation to pay real property tax refunds from the County to its individual taxing districts, thereby superseding a special state tax law? We answer this question in the negative. The State Constitution vests in the State and the counties only a definite and circumscribed set of powers. Beyond its constitutional authority, neither a county nor the State can act, regardless of the perceived wisdom of its conduct or the nobility of its aims. In the case before us, Nassau County ran afoul of these precepts by exceeding its statutory and constitutional authority in its attempt to supersede a special state tax law.

I

These two hybrid CPLR article 78 proceedings/declaratory judgment actions and one declaratory judgment action arise from the intersection of the State's constitutional taxation power, Nassau County's long history of substantial home rule and the State's passage, at the County's request, of a law that designates real property tax refunds as a county charge.

A

To understand some of the County's present claims regarding the scope and origin of its power to pass local legislation, we must look to the genesis of those powers in the early 20th century. In the late 1930s, Nassau County elected to adopt an alternative form of government established by state legislation, and the County acquired local legislative powers under a state-drafted Charter and Administrative Code pursuant to article IX, § 2 of the 1938 State Constitution (*see* L 1936, ch 879; L 1937, ch 618, § 2; L 1939, ch 700, §§ 1-2; Nassau County Charter §§ 150-153). Under the Charter as amended by the Administrative Code, the County could levy taxes and "provide by ordinance a plan, not inconsistent with the terms of this [charter], for the assessment of property for tax purposes . . . the levy of taxes, the collection of taxes, [and] the accrual of penalties" (Nassau County Charter § 2201 [L 1936, ch 879, § 2201]; *see* Nassau County Charter § 103 [6] [L 1936, ch 879, § 103 (6)]). As will be explained (*see infra* part III), section 151 of the Charter forms the crux of the County's appellate argument in the instant case. That section, entitled "Effect of local law on acts of State Legislature," stated that, "[i]n adopting a local law changing or superseding any provision of an act of the State Legislature which provision does not in terms and in effect apply alike to all counties" (Nassau County Charter § 151 [L 1937, ch 618, § 2]), otherwise known as a "[s]pecial law" of the State (NY Const, art IX, § 3 [d] [4]), "the County Legislature shall specify the chapter number, year of enactment, title of statute, section, subsection or subdivision, which it is intended to change or supersede, but the failure so to specify shall not affect the validity of such local law" (Nassau County Charter § 151 [L 1937, ch 618, § 2]).

In addition, at the time of the Charter's adoption, the County's Board of Assessors conducted real property tax assessments and maintained the tax rolls (*see generally* Nassau County Charter §§ 601-607 [L 1936, ch 879, §§ 601-607]). The

County Board of Supervisors would pay any real property tax refunds resulting from assessment errors to the taxpayers and then deduct the refunded amounts from the budgets of the taxing districts wherein the particular taxpayers resided (*see* Nassau County Charter § 122 [L 1936, ch 673, § 11]).

B

In 1948, the County Board of Supervisors sent a home rule message to the state legislature, requesting that the Administrative Code be amended to obligate the County, rather than the taxing districts, to pay any refunds resulting from the County's erroneous assessment of real property taxes. In response, the legislature enacted chapter 851 of the Laws of 1948, which amended the County's Administrative Code to provide as follows:

“Notwithstanding any provisions of this chapter, or any other general or special law to the contrary, any deficiency existing or hereafter arising from a decrease in an assessment or tax . . . or by reason of exemptions or reductions of assessments shall be a county charge.” (Nassau County Administrative Code § 6-26.0 [b] [3] [c] [L 1948, ch 851, § 2]).

The amendment also stated that, in a proceeding to review such tax assessments or refunds (also called a tax certiorari proceeding), the party challenging the assessment had to serve any papers in connection with such a proceeding on the County's Board of Assessors and *not* on “the clerk of any school district” (Nassau County Administrative Code § 6-17.3 [L 1948, ch 851, § 3]). The newly amended section of the Administrative Code was commonly called the “County Guaranty.”

That same year, the legislature amended the Nassau County Charter to set forth a new procedure for tax extension, whereby the County's assessors would project the taxes to be paid on a given property for the coming year (*see* Nassau County Charter § 607 [L 1948, ch 98, § 1]). The amended Charter also stated that “[a]ny surplus existing or hereafter arising from the extension of taxes in excess of amounts raised for the adopted budgets shall be credited to the county, and any deficiencies existing or hereafter arising from the extension of taxes for the adopted budgets shall be a county charge” (*id.*).

Explaining the purpose of the County Guaranty and the related amendments to the Charter, the County Attorney wrote to the Governor's counsel that, in light of the fact that it was the county government

“whose members [we]re charged with the duty of preparing the assessment roles and extending the taxes, it [wa]s deemed to be in the best interests of the County of Nassau that section 607 of the Nassau County Government Law be amended to provide that any surplus existing or [t]hereafter arising from taxes in excess of the amounts raised for the adopted budgets shall be credited to the county, and any deficiencies existing or [t]hereafter arising from the extension of taxes for the adopted budgets shall be a county charge.” (Letter from County Attorney, Feb. 25, 1948 at 2, Bill Jacket, L 1948, ch 98).

The County Attorney reiterated this point in a second letter to the Governor’s counsel (*see* Letter from County Attorney, Mar. 8, 1948 at 2, Bill Jacket, L 1948, ch 851). The legislation’s sponsor in the State Assembly wrote to the Governor’s counsel to express a similar intent to make the County responsible for the relevant refunds because the County had made the assessment errors which the refunds were meant to correct (*see* Assembly Sponsor’s Mem, Bill Jacket, L 1948, ch 851 at 7-10; *see also Matter of Steel Los III/Goya Foods, Inc. v Board of Assessors of County of Nassau*, 10 NY3d 445, 453-454 [2008] [summarizing legislative intent behind the Guaranty]).

After the passage of the County Guaranty, the legislature enacted the Real Property Tax Law, which remains in effect today and requires that, in counties other than Nassau County, real property tax refunds be charged to the individual taxing districts within each county (*see* RPTL 726 [1]). Regarding Nassau County, however, the RPTL leaves the County Guaranty and its tax certiorari notice provisions intact (*see* RPTL 712 [2-a]). Thus, under state law from 1948 until the present, Nassau County must pay all real property tax refunds owed by the taxing districts within the County, whereas virtually every other county may shift that obligation onto the relevant taxing districts.

C

In 1963, the legislature and New York voters amended the Constitution’s home rule provisions, upon which the County relies heavily in this case. In particular, article IX, § 2 of the Constitution provides that, subject to any other applicable provisions of the Constitution, the legislature “[s]hall enact, and may from time to time amend, a statute of local governments

granting to local governments powers including but not limited to those of local legislation and administration in addition to the powers vested in them by this article” (NY Const, art IX, § 2 [b] [1]).

Article IX, § 2 further states:

“In addition to powers granted in the statute of local governments or any other law, (i) every local government shall have power to adopt and amend local laws not inconsistent with the provisions of this constitution or any general law relating to its property, affairs or government and, (ii) every local government *shall have power to adopt and amend local laws* not inconsistent with the provisions of this constitution or any general law *relating to the following subjects*, whether or not they relate to the property, affairs or government of such local government, except to the extent that the legislature shall restrict the adoption of such a local law relating to other than the property, affairs or government of such local government: . . .

“The levy, collection and administration of local taxes authorized by the legislature and of assessments for local improvements, *consistent with laws enacted by the legislature.*” (NY Const, art IX, § 2 [c] and [c] [ii] [8] [emphasis added].)

Article IX, § 3 declares, among other things, that “[t]he provisions of this article shall not affect any existing valid provisions of acts of the legislature or of local legislation and such provisions shall continue in force until repealed, amended, modified or superseded in accordance with the provisions of this constitution” (NY Const, art IX, § 3 [b]).

Additionally, in 1963, the state legislature amended the Municipal Home Rule Law. As so amended, that statutory scheme now declares that, “[i]n addition to powers granted in the constitution, the statute of local governments or in any other law,” every local government “shall have [the] power to adopt and amend local laws not inconsistent with the provisions of the constitution or not inconsistent with any general law, relating to the following subjects,” including “[t]he collection of local taxes authorized by the legislature and of assessments for local improvements, which in the case of county, town or village local

laws shall be consistent with laws enacted by the legislature” (Municipal Home Rule Law § 10 [1] [ii] [a] [9]). The Municipal Home Rule Law also permits counties to amend their charters in a manner consistent with applicable state laws and the Constitution (*see* Municipal Home Rule Law § 33), contains a savings clause retaining the counties’ existing powers under previously enacted statutes (*see* Municipal Home Rule Law § 35), and continues all existing laws, local laws and charters not expressly repealed (*see* Municipal Home Rule Law § 56).

At the same time, the Municipal Home Rule Law specifically declares that, “[e]xcept in accordance with provisions of this chapter or with other laws enacted by the legislature, a county charter or charter law shall not supersede any general or special law enacted by the legislature . . . [w]hich relates to the imposition, judicial review or distribution of the proceeds of taxes or benefit assessments” (Municipal Home Rule Law § 34 [3] [a]). The Municipal Home Rule Law defines a “charter law” as “[a] local law providing, amending or repealing a county charter, or transferring a function or a duty pursuant to section thirty-three-a of this chapter” (Municipal Home Rule Law § 32 [2]).

Of course, just as it did at the time of the 1963 amendments to the Constitution and the Municipal Home Rule Law, the Constitution currently contains a taxation article, which is essential to one of plaintiffs’ arguments before this Court. Article XVI of the Constitution provides that “[t]he power of taxation shall never be surrendered, suspended or contracted away, except as to securities issued for public purposes pursuant to law,” and that “[a]ny laws which delegate the taxing power shall specify the types of taxes which may be imposed thereunder and provide for their review” (NY Const, art XVI, § 1). Under that article, “[t]he legislature shall provide for the supervision, review and equalization of assessments for purposes of taxation” (NY Const, art XVI, § 2).

D

In recent years, Nassau County’s finances seriously declined. In 2002, the County Comptroller announced that the County had more than \$2.8 billion in debt; the Comptroller blamed the debt burden in part on the unusually large number of tax certiorari proceedings in the county and in part on the County Guaranty (*see* Howard S. Weitzman, *Nassau County Must Stop Paying School Tax Refunds* [May 30, 2012], available at <http://>

www.nassaucountyny.gov/agencies/comptroller/Letters/5-30-02.html [last visited Jan. 21, 2014]). As this financial decline continued, in 2010, the county legislature enacted Local Law 18, which it called the Common Sense Act.¹ Local Law 18 purportedly amends the County’s Administrative Code by repealing the County Guaranty, deletes the section of the County Charter which requires the County to pay deficiencies arising from the extension process, and amends section 6-24.0 of the Administrative Code to state, “The County shall act in accordance with the provisions of the Real Property Tax Law with respect to the correction of assessment rolls and tax rolls” (Local Law No. 18-2010 of the County of Nassau § 3, available at <https://www.nassaucountyny.gov/agencies/legis/documents/locallaw18-10.pdf> [last visited Jan. 21, 2014]). Local Law 18 specifies that, 10 days after a tax petitioner has served the County with a petition and notice for tax review, the petitioner must also mail a copy of those papers to the superintendent of any school district wherein the petitioner’s property lies (*see id.* § 4). In sum and substance, Local Law 18 purportedly repeals the County Guaranty and allows the County to charge real property tax refunds back to the taxing districts.

II

After the passage of Local Law 18, various interested parties filed two hybrid CPLR article 78 proceedings/declaratory judgment actions and one declaratory judgment action in Supreme Court, Nassau County, challenging the validity of that local law. In the first action, numerous school districts and officials sued the County. In the second action, two taxpayers sued the County, its legislature and its executive. In the third action, various towns and special districts sued the County. In all actions, plaintiffs essentially sought a declaration that Local Law 18 was null, void and unenforceable because it violated, among other things, the Municipal Home Rule Law provisions limiting the powers of local government and the Constitution’s home rule and taxation articles. The County moved to dismiss the taxpay-

1. According to an affidavit submitted by one of the plaintiffs in this litigation, the County attempted to prepare a home rule message asking the state legislature to repeal the Guaranty (*see* affidavit of Lorraine Deller ¶¶ 6-11). However, the record does not show that Nassau County has ever formally submitted to the legislature a home rule message seeking the repeal of the County Guaranty.

ers' suit for lack of standing and answered the remaining complaints. The cases were consolidated for discovery and decision.

Supreme Court denied the petitions and effectively granted summary judgment to the County in all three actions (*see Matter of Baldwin Union Free Sch. Dist. v County of Nassau*, 2012 NY Slip Op 30079[U], *1-7 [Sup Ct, Nassau County 2012]). In light of its disposition of the case, the court denied as academic the County's motion to dismiss the taxpayer plaintiffs' suit for lack of standing (*see id.* at *7). Plaintiffs appealed.

In an opinion by Justice Lott, the Appellate Division, Second Department unanimously reversed Supreme Court's order, granted plaintiffs' summary judgment motions and entered a declaratory judgment that Local Law 18 violated the Constitution and the Municipal Home Rule Law (*see Matter of Baldwin Union Free Sch. Dist. v County of Nassau*, 105 AD3d 113, 114-120 [2d Dept 2013]). In particular, the Appellate Division found that article IX, § 2 (c) of the Constitution prohibited Nassau County from enacting local tax laws, such as Local Law 18, that were inconsistent with general or special state laws because that constitutional provision required local tax legislation to be "*consistent with laws enacted by the legislature*" (*id.* at 118, quoting NY Const, art IX, § 2 [c] [ii] [8]). The court further determined that, because Municipal Home Rule Law § 34 precluded the establishment of any charter law which superseded a special or general state law "'relat[ing] to the imposition, judicial review or distribution of the proceeds of taxes or benefit assessments,'" the County could not supersede the County Guaranty's distribution of tax refund charges by using Local Law 18 to charge tax over-assessments back to the taxing districts (*id.* at 118-119, quoting Municipal Home Rule Law § 34 [3] [a]).

Additionally, in the court's view, the County Charter did not authorize the County to enact Local Law 18 and repeal the County Guaranty because the County Charter granted the County only those taxation powers permitted under the home rule article of the Constitution, which banned local tax laws that were inconsistent with special state laws (*see id.* at 119). Thus, given the lack of authority for Local Law 18 in the County Charter, the Constitution's and the Municipal Home Rule Law's savings clauses did not preserve the County's nonexistent power to make charter laws altering the distribution of tax proceeds

and assessments (*see id.*). The County appeals to this Court as of right pursuant to CPLR 5601 (b) (1), and we now affirm.²

III

A

As limited by the State and Federal Constitutions' protection of individual rights and restriction of state power, the State Constitution establishes the state government as the preeminent sovereign of New York, and the three coordinate branches of the state government may exercise the entire legislative, executive and judicial power of the State, as entrusted to them by the people (*see* NY Const, art III, § 1; art IV, § 1; art VI; *see generally Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91, 97 [1987]; *People v De Jesus*, 54 NY2d 465, 468 [1981]; *Matter of City of New York*, 217 NY 45, 52-53 [1916]; *People v Morris*, 13 Wend 325, 337 [1835]). Given that the authority of political subdivisions flows from the state government and is, in a sense, an exception to the state government's otherwise plenary power, the lawmaking power of a county or other political subdivision "can be exercised only to the extent it has been delegated by the State" (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372, 376 [1989]; *see Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395, 399-401 [2003]).

Furthermore, because the Constitution expressly imbues the state government, rather than any locality, with "[t]he power of taxation" (NY Const, art XVI, § 1), state law governs the tax field unless the state legislature or the Constitution unambiguously delegates certain taxation authority to a political subdivision (*see* NY Const, art XVI, § 1; *Expedia, Inc. v City of N.Y. Dept. of Fin.*, 22 NY3d 121, 130 [2013, Pigott, J., dissenting]; *Matter of Board of Educ. of City School Dist. of City of N.Y. v City of New York*, 41 NY2d 535, 542 [1977]; *Sonmax, Inc. v City*

2. The Appellate Division did not address the standing issue raised by the County in Supreme Court, and before this Court, the County does not renew its claim that the taxpayer plaintiffs lack standing to bring a lawsuit challenging the validity of Local Law 18. In any event, it is beyond dispute that the municipal and official plaintiffs in the two other actions have standing to bring those suits, and thus we may properly rule on the validity of Local Law 18 in those actions without regard to the question of standing in the taxpayer plaintiffs' case. Under these circumstances, we decline to express any opinion on the standing issue or set forth any particular precedential ruling with respect to standing.

of *New York*, 43 NY2d 253, 257 [1977]; *People v County of Westchester*, 282 NY 224, 232 [1940]; *County Sec. v Seacord*, 278 NY 34, 37 [1938]). Indeed, “[t]he power of taxation, being a State function, the delegation of any part of that power to a subdivision of the State must be made in express terms,” and the delegation of any form of taxation authority “cannot be inferred” (*County Sec.*, 278 NY at 37). So, too, “[t]he authority of a municipality to abrogate State law is never implied or inferred,” but rather arises only from an “‘express grant, never from a general grant of power’” by the State (*County of Westchester*, 282 NY at 232, quoting *Jewish Consumptives’ Relief Socy. v Town of Woodbury*, 230 App Div 228, 234 [2d Dept 1930]); see *Matter of Kress & Co. v Department of Health*, 283 NY 55, 60 [1940]).

Perhaps the most significant delegation of state legislative authority is embodied in article IX of the Constitution, the home rule article (see NY Const art IX). Article IX “empower[s] municipalities to legislate in a wide range of matters relating to local concern,” and generally, “[s]o long as local legislation is not inconsistent with the State Constitution or any general law, localities may adopt local laws both with respect to their property, affairs or government, and with respect to other enumerated subjects, except to the extent that the legislature shall restrict the adoption of such a local law” (*Albany Area Bldrs. Assn.*, 74 NY2d at 376 [internal quotation marks and citations omitted]; see *New York State Club Assn. v City of New York*, 69 NY2d 211, 217 [1987]). As previously noted, article IX permits localities to make laws with respect to “[t]he levy, collection and administration of local taxes authorized by the legislature and of assessments for local improvements,” but such local laws must be “consistent with laws enacted by the legislature” (NY Const, art IX, § 2 [c] [ii] [8]; see *Sonmax, Inc.*, 43 NY2d at 257).

Under its Charter, Nassau County derives its ability to pass local legislation solely from article IX of the Constitution, and therefore the County cannot legislate in a manner inconsistent with the provisions of that article (see Nassau County Charter § 150 [1]). Although, within constitutional bounds, the Charter allows Nassau County to pass a tax plan by local ordinance and to provide for the administration of local real property taxes (see L 1936, ch 879; see also *41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325, 332 [1987]), the Municipal Home Rule Law proscribes the enactment of local charter legislation that “supersede[s] any general or special law enacted by the

legislature . . . [w]hich relates to the imposition, judicial review or distribution of the proceeds of taxes or benefit assessments” (Municipal Home Rule Law § 34 [3] [a]). Even in the face of these restrictions, though, the County’s laws, like the duly enacted laws of any legitimate legislative body, carry a strong presumption of constitutionality (*see 41 Kew Gardens Rd. Assoc.*, 70 NY2d at 333; *see generally Brightonian Nursing Home v Daines*, 21 NY3d 570, 575-577 [2013]).

For the reasons set forth below, we conclude that article IX of the Constitution and the Municipal Home Rule Law prohibited the County from passing Local Law 18. We therefore invalidate Local Law 18 without reaching plaintiffs’ remaining contentions.

B

To decide whether Nassau County acted within its authority in passing Local Law 18, we must first evaluate that enactment’s essential characteristics to determine its place within the constitutional framework described above.

The County does not dispute that, by enacting Local Law 18, it exercised the “power of taxation” within the meaning of article XVI of the Constitution. Thus, the County necessarily concedes that only a clearly expressed, rather than implied, grant of relevant legislative power could have authorized the passage of Local Law 18 and the repeal of the County Guaranty (*see Castle Oil Corp. v City of New York*, 89 NY2d 334, 339 [1996]; *County Sec.*, 278 NY at 37).

The County is right to acknowledge Local Law 18’s place within the realm of article XVI’s taxing power. The constitutional power of taxation extends not just to the collection of taxes or the setting of tax rates, but also to the administration of the tax system and the direct allocation of tax burdens and benefits (*see Castle Oil Corp.*, 89 NY2d at 338-340 [finding a law prohibiting the deduction of a petroleum tax from income tax liabilities to be an exercise of the constitutional power of taxation]; *Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293, 306-309 [1961] [same with respect to any agreement to either provide state tax credit as an offset against a race track company’s federal income taxes or hold only a certain amount of tax revenue in a special account for the benefit of the company]; *see also Matter of PNL Stillwater, LLC v Board of Assessors of Town of Stillwater*, 94 AD3d 1401, 1401-1403 [3d Dept 2012] [same for procedures for the assessment of taxes

and agreements to limit tax liability]). By requiring the taxing districts within Nassau County to pay real property tax refunds to the taxpayers, relieving the county government of that tax refund burden and specifying that the taxing districts shall be served with notice of tax certiorari proceedings, Local Law 18 directly alters the assignment of tax burdens and the administration of the tax system with respect to tax review proceedings. Thus, Local Law 18 is an exercise of the “power of taxation” which cannot stand unless the State has expressly delegated to the County the power to pass such a local tax law.

Local Law 18 also purports to supersede a special state law, the County Guaranty, and for that reason as well, Local Law 18 could be passed only pursuant to an express and unambiguous delegation of authority by the state legislature (*see County of Westchester*, 282 NY at 232; *Kress & Co.*, 283 NY at 60; *see also Matter of Niagara Mohawk Power Corp. v City of Fulton*, 8 AD2d 523, 527 [4th Dept 1959]). In passing Local Law 18, the county legislature stated its intent to repeal the County Guaranty passed by the state legislature (*see* Local Law No. 18-2010 of the County of Nassau § 1), and Local Law 18 cites the specific Administrative Code provisions containing the County Guaranty and declares that they “are hereby repealed” (Local Law No. 18-2010 of the County of Nassau § 2). There can be no question, then, that Local Law 18 is a local tax law meant to supersede a special state tax law, and thus the County had no right to create Local Law 18 unless it had been empowered by the legislature to supersede special state tax laws (*see Castle Oil Corp.*, 89 NY2d at 339; *County of Westchester*, 282 NY at 232).

Additionally, Local Law 18 is a charter law subject to the restrictions of Municipal Home Rule Law § 34 (3) (a). As we have previously observed, a law that amends the charter-related administrative code of a county is a “charter law” within the meaning of the Municipal Home Rule Law (*see Matter of Gallagher v Regan*, 42 NY2d 230, 233-235 [1977] [stating that public offices created by a county’s charter and by its administrative code were established pursuant to charter laws and therefore could not be abolished by a legislative act of lesser import]; *see also* Municipal Home Rule Law § 32 [2]). In light of Local Law 18’s attempted alteration of the County Administrative Code sections that collectively constitute the County Guaranty—a state enactment that had previously amended the County Charter—Local Law 18 is plainly a charter law within the scope of Municipal Home Rule Law § 34 (3) (a).

In short, Local Law 18 is a tax-related local charter law that purports to supersede a special state tax law. Accordingly, Local Law 18 may be sustained only to the extent that the legislature specifically authorized the County to enact local legislation with those characteristics.

C

The state legislature has not delegated to the County the prerogative to supersede a special state tax law, and this lack of authority is fatal to Local Law 18.

First, the County Charter, as established by the legislature, does not vest in the County the right to repeal a special state tax law. The primary County Charter provision relating to supersession, section 151, simply provides that, “[i]n adopting a local law changing or superseding any provision of an act of the State Legislature which provision does not in terms and in effect apply alike to all counties,” the County must specify the exact portions of the state law being superseded (County Charter § 151). Section 151 thus describes the procedure the County shall follow “[i]n adopting” a local law superseding a special state law, but it does not state that the County “shall have the power to adopt” local laws which repeal special state laws, “may adopt” such legislation, or anything to that effect. Accordingly, County Charter § 151 does not expressly confer upon the County any substantive authority to enact local laws which supersede special state tax laws.

In relying on County Charter § 151’s plain terms to interpret it as a procedural provision without any accompanying substantive authority, we do not mean to suggest that section 151 has no practical effect or import. County Charter § 151 still plays a vital role in the Charter’s scheme because it sets forth procedures which, in the event the legislature actually decides to endow the County with certain supersession powers, serve to adequately notify the County’s citizens and the state government of the claimed applicability of the local law and its apparent conflict with state law.

County Charter § 154 does not supply the necessary legislative rights so clearly absent from section 151. In that regard, County Charter § 154, denominated “Restriction on county legislation,” expressly prohibits the County from superseding state laws which raise the County’s debt limit, raise its annual tax revenues, or affect various fiscal, labor or regulatory matters (*see* Nassau County Charter § 154 [1]-[8] [L 1937, ch 618,

§ 2]). Section 154 does not specify that the County may supersede special state tax laws simply because that section prevents the County from superseding special state laws covering certain matters unrelated to taxation. One cannot infer from section 154's limitations that the Charter silently grants the County any and all supersession powers that are not specifically prohibited by section 154 (*see Kress & Co.*, 283 NY at 60; *County Sec.*, 278 NY at 37). Accordingly, because nothing in sections 151 and 154 expressly delegates to the County the right to supersede special state tax laws, the County had no authority to enact Local Law 18, which purports to supplant a special state tax law.

To be sure, County Charter § 150 (1) grants the County powers of local legislation “under the provisions of” article IX of the State Constitution. However, that article, upon which County Charter § 150 (1) depends, does not confer upon the County the ability to create local tax laws that supersede special state laws. Indeed, the Constitution actually forbids the County to pass any local tax law of that kind. Although article IX, § 2 declares that every local government shall have the power to pass local laws “relating to” the “levy, collection and administration of local taxes,” those local laws must be “*consistent with laws enacted by the legislature*” (*see* NY Const, art IX, § 2 [c] [ii] [8] [emphasis added]). By requiring that any local tax-related legislation be consistent with all “laws enacted by the legislature,” without distinguishing between general and special state laws, the relevant constitutional section plainly prohibits the County from passing local tax laws which conflict with special and/or general state laws. And, while the Constitution contains a savings clause that preserves any preexisting powers of local legislation granted by an act of the legislature (NY Const, art IX, § 3 [b]), as already mentioned, the County has no preexisting power to pass local laws that supersede special state tax laws. Therefore, the Constitution bars the County from exercising its powers of local legislation to supersede the County Guaranty.

In addition to the absence of constitutional or statutory authority allowing the County to enact Local Law 18, the Municipal Home Rule Law affirmatively prohibited the County from doing so. As discussed, Local Law 18 is a charter law, and Municipal Home Rule Law § 34 (3) (a) specifies that such a law “shall not supersede” any “special law” of the State “relat[ing]

to” the “judicial review or distribution” of tax proceeds or benefit assessments. Because the County Guaranty is a special state law which “relates to” the “distribution” of tax proceeds and benefits, the County could not enact Local Law 18 to supersede it.

D

Resisting the constitutional and statutory limits on its legislative powers, the County offers a host of arguments, but none of them are persuasive. For example, the County maintains that, because the County Charter originally conferred upon the County the right of home rule under article IX, § 2 of the 1938 Constitution, the County’s charter powers are not subject to the restrictions contained in the amended version of article IX passed in 1963. This assertion is perplexing, to say the least.

After all, amendments to the State Constitution do not preserve all preexisting provisions of the amended portion of the Constitution, thereby forever maintaining all prior delegations of state authority that are curtailed by the amendments themselves. Instead, the very purpose and effect of an amendment is to amend the relevant portion of the Constitution, effectively repealing and voiding any prior version of the particular section so amended (*see Browne v City of New York*, 213 App Div 206, 220 [1st Dept 1925], *affd* 241 NY 96 [1925] [“By that action of the electorate, article 12” of the Constitution, “as so amended, superseded article 12 as it existed at the time when these concurrent resolutions were acted upon by the Legislature, and . . . section 2 of article 12 as theretofore existing ceased to exist and the amended article took its place”]; *see also People ex rel. Carter v Rice*, 135 NY 473, 496-497 [1892] [stating that, where a new amendment to the Constitution is inconsistent with preexisting constitutional provisions or adopts a public policy that is clearly contrary to those prior provisions, “it is not too much to hold that in such a case the alterations and amendments which have been actually made in the course of the attempt to effect the change of policy, do in effect and by implication strike out and abrogate a provision which, by reason of the amendments, has no longer any excuse for existence”]; *Popfinger v Yutte*, 102 NY 38, 42 [1886] [concluding that an amendment to an article of the Constitution superseded the previous version of that article, such that the legislature no longer had the power to limit the jurisdiction of certain courts which it had enjoyed under the previous incarnation of that article]).

Applying that principle here, the County cannot continue to derive its home rule powers from the 1938 version of article IX, which was superseded by the 1963 amendments and therefore no longer exists. Nothing in the 1963 amendments preserved the 1938 constitutional home rule provisions, which did not include the requirement that local tax-related laws be consistent with state laws; the 1963 amendments preserved only preexisting *statutory* home rule powers (*see* NY Const, art IX, § 3 [b]). Consequently, at present, the County may exercise powers of local legislation only if it complies with the 1963 amendments' requirement that local tax-related laws be consistent with state laws. To hold otherwise would leave the constitutional status of the State and the County in an intolerable limbo, governed by multiple Constitutions from different eras.

In any event, the legislature has evinced its intent to subject the County to the restrictions of the current form of article IX. After the adoption of article IX of the 1963 Constitution, the legislature continued to amend the Nassau County Charter (*see e.g.* L 1992, ch 717 [amending the Charter in relation to the imposition of an exigency tax and to allow the County to charge a recording tax on mortgages]), and the legislature declined the opportunity to remove the Charter's reference to article IX or alter the Charter to explicitly invoke the 1938 version of that article. In maintaining the Charter's reference to article IX subsequent to the 1963 amendments, the legislature evidently concluded that the current version of article IX should govern home rule in Nassau County. Accordingly, the current version of article IX, including its ban on local tax-related laws that conflict with special state laws, fully applies to the County and prohibits it from repealing the County Guaranty.

In the alternative, the County invites us to interpret the constitutional requirement that local tax laws be "consistent with laws enacted by the legislature" (NY Const, art IX, § 2 [c] [ii] [8]) to permit the County to pass local tax laws that are inconsistent with special state tax laws. Relying on the canon of statutory construction which holds that general language in a statute "is known by the company it keeps" (*People v Illardo*, 48 NY2d 408, 416 [1979]), the County argues that, because the sections of the Constitution surrounding the ban on legislation that is not consistent with "laws enacted by the legislature" (NY Const, art IX, § 2 [c] [ii] [8]) also prohibit local laws that are "inconsistent with . . . any *general* law" of the State (NY Const, art IX, § 2 [c] [emphasis added]), the seemingly broad

phrase “consistent with laws” should be narrowed by the company it keeps to mean “consistent with general laws.” Therefore, in the County’s view, Local Law 18 complies with the relevant limitations because it is consistent with general state tax laws.

However, beneath its surface-level appeal, the County’s interpretation of article IX does not withstand close scrutiny. Tellingly, when the legislature defined the generic restrictions on conflicting local legislation using the term “general laws,” it removed the qualifier “general” from the comparable specific prohibition against local tax laws that are not consistent with state “laws” (*compare* NY Const, art IX, § 2 [c] *with* NY Const, art IX, § 2 [c] [ii] [8]). There is no reason to suppose, as the County apparently does, that the legislature casually excised the modifier “general” from the prohibition against local tax laws which are not consistent with state “laws,” and then somehow assumed that the word “general” would be read back into that restriction based on prior references to “general” laws in other related constitutional provisions. Rather, the legislature must have consciously omitted the term “general” from the prohibition against local tax laws that are not consistent with “laws enacted by the legislature,” thereby revealing an intent to broadly ban any local tax law that conflicts with a state law, whether general or special (*see Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975] [“When different terms are used in various parts of a statute or rule, it is reasonable to assume that a distinction between them is intended”]). Moreover, given the overarching constitutional principle that the power of taxation lies with the State, any ambiguity in the constitutional restrictions on local legislation should be construed in favor of limiting local supersession of state tax laws.

The County asserts that *Sonmax, Inc. v City of New York* (43 NY2d 253 [1977]) governs the constitutional aspects of this case, but that is not so. In *Sonmax, Inc.*, the State had passed a statute which allowed certain cities to choose to adopt special in rem tax foreclosure procedures, and the State had also enacted a series of special laws governing such foreclosures in New York City (*see id.* at 255-256). Eventually, the City passed its own local in rem tax foreclosure law, and certain tax petitioners challenged the local law (*see id.* at 255-257). Relying on the Municipal Home Rule Law provision that a local law must not be “inconsistent” with “any general law” of the State, the petitioners claimed that the City’s local law ran afoul of the state statute providing for optional foreclosure procedures, which the petitioners deemed a general state law (*see id.* at 257-258). We

upheld the City's local tax law (*see id.* at 255-256, 258). First, we noted that, while article IX of the Constitution mandated that neither city nor county laws could be "inconsistent" with a "general law" passed by the legislature, article IX imposed the additional requirement that local tax laws be "consistent with laws enacted by the legislature" only on counties and "*not on cities*" (*id.* at 257 [emphasis added]). Evaluating the City's tax foreclosure law solely under the requirement that city laws not be inconsistent with general state laws, we concluded that, even assuming the relevant state statute was a general state law, the City's law was not inconsistent with the state legislation because that state statute clearly permitted cities to choose unique local tax foreclosure procedures (*see id.* at 257-258).

Thus, *Sonmax, Inc.* merely stands for the proposition that, where a city law is not actually inconsistent with a *general* state law, the city law does not violate the Constitution's "not inconsistent with general state laws" rule. By contrast, the instant case involves a conflict between a local law and a *special* state law, as well as the Constitution's requirement that local tax laws be "consistent with laws" passed by the legislature, neither of which was at issue in *Sonmax, Inc.* Here, the "consistent with laws" rule applies to the County, and Local Law 18 violates that requirement because that local law is not, in fact, consistent with the County Guaranty enacted by the legislature.

IV

The County possesses substantial home rule powers, but the prerogative to impinge freely upon the State's constitutional power of taxation, by means of superseding a special state tax law, is not among them. Because Local Law 18 was designed to achieve that impermissible intrusion, it is hereby declared unconstitutional, invalid, unenforceable and void. With respect to any policy concerns, "appeal lies to the ballot and to the legislative processes of democratic government, not to the courts" (*Maresca v Cuomo*, 64 NY2d 242, 249 [1984]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur.

Order affirmed, with costs.

[8 NE3d 308, 985 NYS2d 193]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ADRIAN
P. THOMAS, Appellant.

Argued January 14, 2014; decided February 20, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 22, 2012. The Appellate Division affirmed a judgment of the Rensselaer County Court (Andrew G. Ceresia, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Thomas, 93 AD3d 1019, reversed.

HEADNOTES

Crimes — Murder — Depraved Indifference Murder of Child

1. In the prosecution of defendant for killing his four-month-old son, the proof before the jury, which included a statement in which he admitted that on three occasions during the week preceding the infant's death he "slammed" the infant down on a mattress just 17 inches above the floor and a videotape of defendant's interrogation in which he demonstrated how he did so, in addition to testimony that the infant died from intracranial injuries caused by abusively inflicted head trauma, was sufficient to support a verdict finding defendant guilty of depraved indifference murder (Penal Law § 125.25 [4]). Defendant's written and videotaped confession together with the evidence presented by the prosecution's medical experts sufficed to demonstrate that defendant, with depraved indifference to human life, recklessly engaged in conduct which created a grave risk of serious physical injury to the four-month-old infant and thereby caused the child's death. A one-on-one killing of a helpless infant by an adult through the infliction of physical abuse can qualify as depraved indifference murder.

Crimes — Confession — Voluntariness

2. In the prosecution of defendant for killing his four-month-old son, the inculpatory written and videotaped statements that defendant made during his interrogation by police, who threatened that if defendant continued to deny responsibility for his child's injury, his wife would be arrested and removed from the child's bedside; misrepresented 21 times that the child's life depended upon defendant's disclosure of the manner in which he had caused the child's injuries; and falsely assured defendant 67 times that what had been done to his son was an accident, 14 times that he would not be arrested, and eight times that he would be going home, were involuntary as a matter of law. In order for the People to prove beyond a reasonable doubt that statements of a defendant they intend to rely upon at trial are voluntary, they must show that the statements were not products of coercion, either physical or psychological, and the task is the same where deception is employed in the service of psychologically oriented interrogation. Not all deception of a suspect

is coercive, but in extreme forms it may be. Whether deception or other psychologically directed stratagems actually eclipse individual will depends upon the facts of each case, both as they bear upon the means employed and the vulnerability of the declarant. There are cases, however, in which voluntariness may, as here, be determined as a matter of law—in which the facts of record permit but one legal conclusion as to whether the declarant's will was overborne. What transpired during defendant's interrogation was not consonant with and, indeed, completely undermined, defendant's right not to incriminate himself—to remain silent. Most prominent among the totality of the circumstances was the set of highly coercive deceptions. They were of a kind sufficiently potent to nullify individual judgment in any ordinarily resolute person and were manifestly lethal to self-determination when deployed against defendant, an unsophisticated individual without experience in the criminal justice system.

Crimes — Confession — Voluntariness

3. In the prosecution of defendant for killing his four-month-old son, the inculpatory written and videotaped statements that defendant made during his interrogation by police, who threatened that if defendant continued to deny responsibility for his child's injury his wife would be arrested and removed from the child's bedside; misrepresented 21 times that the child's life depended upon defendant's disclosure of the manner in which he had caused the child's injuries; and falsely assured defendant 67 times that what had been done to his son was an accident, 14 times that he would not be arrested, and eight times that he would be going home, were inadmissible as "involuntarily made" within the meaning of CPL 60.45 (2) (b) (i). The various misrepresentations and false assurances used by the police during the interrogation to elicit and shape defendant's admissions manifestly raised a substantial risk of false incrimination. Defendant initially agreed to take responsibility for his son's injuries to save his wife from arrest. His subsequent confession provided no independent confirmation that he had in fact caused the child's fatal injuries. Every scenario of trauma induced head injury equal to explaining the infant's symptoms was suggested to defendant by his interrogators. There was not a single inculpatory fact in defendant's confession that was not suggested to him. He did not know what to say to save his wife and child from the harm he was led to believe his silence would cause.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 36, 45, 88.
CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:34.
McKINNEY'S, CPL 60.45 (2) (b) (i); Penal Law § 125.25 (4).
NY JUR 2d, Criminal Law: Principles and Offenses §§ 510,
512, 514-516.

ANNOTATION REFERENCE

See ALR Index under Homicide; Mens Rea.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: suff! /2 evid! /5 conviction! & (depraved /2 indiff!
/2 murder!) & child!

POINTS OF COUNSEL

Jerome K. Frost, P.C., Troy (*Jerome K. Frost* of counsel), and *Ingrid Effman*, for appellant. I. The trial court ought to have admitted expert testimony on the subject of police interrogation, coerced confessions, and false confessions to assist the jury in analyzing the 9¹/₂-hour video-recorded interrogation of Adrian Thomas, replete with threats, misrepresentations and promises of leniency, given the paucity of evidence connecting Mr. Thomas to any criminal act or establishing that any crime was committed, and thereby assist them in deciding the veracity and voluntariness of Mr. Thomas' confession. (*People v Bedessie*, 19 NY3d 147; *People v Tankleff*, 49 AD3d 160; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Wesley*, 83 NY2d 417; *People v Carroll*, 95 NY2d 375; *People v Taylor*, 75 NY2d 277; *People v Goldstein*, 6 NY3d 119; *Chambers v Mississippi*, 410 US 284; *People v LeGrand*, 8 NY3d 449; *United States v Hall*, 974 F Supp 1198.) II. Mr. Thomas' confession was involuntary under both the United States and New York State Constitutions and under CPL 60.45. (*Garrity v New Jersey*, 385 US 493; *People v Avant*, 33 NY2d 265; *Spevack v Klein*, 385 US 511; *People v Keene*, 148 AD2d 977; *People v Helstrom*, 50 AD2d 685; *People v Aveni*, 100 AD3d 228; *People v Valletutti*, 297 NY 226; *Bram v United States*, 168 US 532; *People v Hilliard*, 117 AD2d 969; *People v Bay*, 76 AD2d 592.) III. Mr. Thomas' confession should be suppressed pursuant to *Dunaway v New York* (442 US 200 [1979]) and *People v Misuis* (47 NY2d 979 [1979]), as the fruit of an illegal arrest. (*People v Chase*, 85 NY2d 493; *People v Balint*, 92 AD2d 348; *People v Anderson*, 46 AD2d 150; *People v Rice*, 309 AD2d 1078.) IV. The prosecution failed to show beyond a reasonable doubt all elements of depraved indifference murder. (*People v Feingold*, 7 NY3d 288; *People v Suarez*, 6 NY3d 202; *People v Kibbe*, 35 NY2d 407; *People v Mills*, 1 NY3d 269; *People v Poplis*, 30 NY2d 85; *People v Roe*, 74 NY2d 20; *People v Mancini*, 7 NY3d 767; *People v Smith*, 41 AD3d 964; *People v Jamison*, 45 AD3d 1438.) V. The trial court erred in providing the jury statutory materials by means of juror note-taking in violation of CPL 310.20 and 310.30. (*People v Miller*, 18 NY3d 704; *People v Hoffler*, 53 AD3d 116; *People v Owens*, 69 NY2d 585; *Rivers v Garden Way*, 231 AD2d 50; *People v Townsend*, 94 AD3d 1330; *People v Baker*, 14 NY3d 266; *People v Johnson*, 181 AD2d 103, 81 NY2d 980; *People v Anderson*, 151 AD2d 335; *People v Tucker*, 77 NY2d 861.)

Richard J. McNally, Jr., District Attorney, Troy (Kelly L. Egan of counsel), for respondent. I. Whether defendant's statements were the fruits of an unlawful arrest and/or involuntary are mixed questions of fact and law. Because the affirmed findings here are supported by the record, these issues are beyond this Court's limited jurisdiction and provide no basis for reversal of the judgment. (*People v Gonzalez*, 55 NY2d 720; *Matter of Jimmy D.*, 15 NY3d 417; *People v Paulman*, 5 NY3d 122; *People v Centano*, 76 NY2d 837; *People v Bongarzone-Suarrcy*, 6 NY3d 787; *People v Scott*, 86 NY2d 864; *People v Anderson*, 42 NY2d 35; *People v Mateo*, 2 NY3d 383; *People v Williams*, 62 NY2d 285.) II. Defendant's conviction of the depraved indifference murder of his infant son, under Penal Law § 125.25 (4), is amply supported by the evidence when viewed, as it now must be, in the light most favorable to the People. (*People v Martinez*, 20 NY3d 971; *People v Contes*, 60 NY2d 620; *People v Bleakley*, 69 NY2d 490; *People v Ford*, 66 NY2d 428; *New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 19 NY3d 17; *Rankin v Shanker*, 23 NY2d 111; *People v Feingold*, 7 NY3d 288; *People v Matos*, 19 NY3d 470; *People v Lewie*, 17 NY3d 348; *People v Suarez*, 6 NY3d 202.) III. The trial court's decision, following a hearing, that the jury would not hear from Dr. Ofshe was not an abuse of its discretion. (*People v Cronin*, 60 NY2d 430; *People v Crews*, 18 Misc 3d 1120[A], 2008 NY Slip Op 50145[U], 74 AD3d 983; *People v Knowles*, 88 NY2d 763; *People v Rosario*, 20 Misc 3d 401, 100 AD3d 660; *People v Wesley*, 83 NY2d 417; *People v Wernick*, 89 NY2d 111; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Bedessie*, 19 NY3d 147; *People v LeGrand*, 8 NY3d 449; *People v Bennett*, 79 NY2d 464.) IV. The trial court did not commit reversible error in its response to the jury's request for supplemental instructions in a manner that, it must be presumed, did not prejudice defendant. (*People v Steinberg*, 79 NY2d 673; *People v Malloy*, 55 NY2d 296; *People v Stewart*, 81 NY2d 877; *People v DiLuca*, 85 AD2d 439; *People v Baker*, 14 NY3d 266; *People v Hues*, 92 NY2d 413; *People v Tucker*, 153 AD2d 164, 77 NY2d 861; *People v Owens*, 69 NY2d 585; *People v Anderson*, 151 AD2d 335; *People v Miller*, 18 NY3d 704.)

Legal Aid Society, New York City (Lorca Morello of counsel), for Legal Aid Society, amicus curiae. I. Appellant's confession should be suppressed as having been coerced by threats, promises, and psychological manipulation that so distorted his perception of his situation as to constitute an overbearing of the will. (*Culombe v Connecticut*, 367 US 568; *Miller v Fenton*, 474

US 104; *People v Anderson*, 42 NY2d 35; *People v Tarsia*, 50 NY2d 1; *Rogers v Richmond*, 365 US 534; *Malloy v Hogan*, 378 US 1; *Weidner v Thieret*, 866 F2d 958; *United States v Rutledge*, 900 F2d 1127; *Dickerson v United States*, 530 US 428; *Arizona v Fulminante*, 499 US 279.) II. Appellant was denied a fair trial when the court precluded expert testimony on false confessions and police interrogation techniques despite his showing that the unreliability of the confession was the heart of his defense; the expert was qualified; the subject was not within the knowledge of the ordinary juror; and the testimony was supported by the consensus of the psychological community. (*Crane v Kentucky*, 476 US 683; *People v Bedessie*, 19 NY3d 147; *People v LeGrand*, 8 NY3d 449; *People v Spicola*, 16 NY3d 441; *People v Lee*, 96 NY2d 157; *People v Cronin*, 60 NY2d 430; *United States v Criden*, 648 F2d 814; *People v Brown*, 97 NY2d 500; *People v Taylor*, 75 NY2d 277; *People v Diaz*, 20 NY3d 569.)

Adele Bernhard, New York City, for New York Law School Legal Service Post Conviction Innocence Clinic, amicus curiae. I. Wrongful conviction is an unacceptably serious risk in prosecutions that rest almost entirely upon disputed and untested scientific or medical hypotheses. (*People v Lee*, 96 NY2d 157; *People v Cronin*, 60 NY2d 430; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *Aleman v Village of Hanover Park*, 662 F3d 897.) II. Shaken baby syndrome is a problematic medicolegal hypothesis, both in its original formulation and as refined by emerging medical research. (*Kumho Tire Co. v Carmichael*, 526 US 137; *General Electric Co. v Joiner*, 522 US 136; *Berk v St. Vincent's Hosp. & Med. Ctr.*, 380 F Supp 2d 334.) III. The objective medical evidence in this case suggests that sepsis caused by streptococcus pneumoniae, rather than abuse, caused Matthew Thomas's death. IV. The "diagnosis" of abuse was marred by factual errors that produced biasing information about the cause of Matthew Thomas's death. V. A confession or incriminating statement is not scientific evidence of the presence or absence of a disease or cause of death when it is contradicted by laboratory tests and clinical findings. (*Harris v Thompson*, 698 F3d 609.)

Wilmer Cutler Pickering Hale & Dorr LLP, Washington, D.C. (*David W. Ogden*, *Daniel S. Volchok* and *Sonya L. Lebsack* of counsel), and *Nathalie F.P. Gilfoyle*, for American Psychological Association, amicus curiae. I. Expert testimony regarding false confessions assists jurors in understanding critical evidence. (*People v LeGrand*, 8 NY3d 449; *Miranda v Arizona*, 384 US

436; *United States v Shay*, 57 F3d 126; *People v Lee*, 96 NY2d 157; *People v Cronin*, 60 NY2d 430; *People v Carroll*, 95 NY2d 375; *People v Bedessie*, 19 NY3d 147; *United States v Hall*, 93 F3d 1337; *People v Taylor*, 75 NY2d 277; *Crane v Kentucky*, 476 US 683.) II. Expert testimony regarding false confessions is reliable because it is based on established scientific research. (*People v Wesley*, 83 NY2d 417; *People v LeGrand*, 8 NY3d 449; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *United States v Hall*, 974 F Supp 1198; *Kumho Tire Co. v Carmichael*, 526 US 137; *General Electric Co. v Joiner*, 522 US 136; *People v Taylor*, 75 NY2d 277.) III. Expert testimony about false confessions is particularly critical where there is a lack of corroborating evidence. (*People v LeGrand*, 8 NY3d 449.)

Milbank, Tweed, Hadley & McCloy LLP, New York City (*Dorothy Heyl* and *LaTonya Brooks* of counsel), for Innocence Network, amicus curiae. I. The interrogation of Adrian Thomas produced a coerced and unreliable confession. (*People v Guilford*, 21 NY3d 205; *People v Anderson*, 42 NY2d 35; *People v De Jesus*, 63 AD2d 148; *People v Zimmer*, 68 Misc 2d 1067, 40 AD2d 955; *People v Leonard*, 59 AD2d 1; *Spano v New York*, 360 US 315; *Haynes v Washington*, 373 US 503; *People v Lyons*, 4 AD3d 549; *Rogers v Richmond*, 365 US 534; *Lynnum v Illinois*, 372 US 528.) II. When a disputed confession is admitted into evidence, expert testimony on false confessions must be allowed as a necessary safeguard to prevent wrongful convictions. (*People v LeGrand*, 8 NY3d 449; *People v Santiago*, 17 NY3d 661; *Colorado v Connelly*, 479 US 157; *People v Wesley*, 83 NY2d 417; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Diaz*, 20 NY3d 569; *De Long v County of Erie*, 60 NY2d 296; *Selkowitz v County of Nassau*, 45 NY2d 97; *People v Cronin*, 60 NY2d 430.) III. This Court should require the videotaping of complete interrogations in order that courts can adequately assess voluntariness and reliability. (*People v Bedessie*, 19 NY3d 147.)

Kathleen M. Rice, District Attorney, Mineola (*Hilary Hassler* and *Vincent Rivellese* of counsel), for District Attorneys Association of the State of New York, amicus curiae. During an interrogation after a valid *Miranda* waiver, some police deception can be an appropriate investigative tool. Courts should continue to look to the totality of the circumstances to determine whether a statement is voluntary, and a statement should not be “deemed” involuntary on the basis of deceptive police conduct that did not coerce it. (*Culombe v Connecticut*, 367 US 568; *Arizona v Fulminante*, 499 US 279; *Schneckloth v Bustamonte*,

412 US 218; *Dickerson v United States*, 530 US 428; *Lego v Twomey*, 404 US 477; *People v Huntley*, 15 NY2d 72; *New York v Quarles*, 467 US 649; *Harris v New York*, 401 US 222; *Berke-mer v McCarty*, 468 US 420; *People v Anderson*, 42 NY2d 35.)

Sharon L. McCarthy, New York City, *Susan Hoffinger*, *K. Babe Howell*, *Christopher Ferguson*, *Angie Louie* and *Terri Rosenblatt* for New York City Bar Association, amicus curiae. I. The combination of threats, promises, and lies used to persuade Adrian Thomas to adopt the police-generated confession narrative renders the “confession” involuntary under the totality of the circumstances. (*People v Anderson*, 42 NY2d 35; *Rogers v Richmond*, 365 US 534; *Greenwald v Wisconsin*, 390 US 519; *Haynes v Washington*, 373 US 503; *Lynnum v Illinois*, 372 US 528; *Spano v New York*, 360 US 315; *People v Guilford*, 21 NY3d 205; *People v Holland*, 48 NY2d 861; *People v Helstrom*, 50 AD2d 685, 40 NY2d 914; *People v Keene*, 148 AD2d 977.) II. Deception regarding the medical necessity of information to save the life of a loved one is “offensive to a civilized system of justice” and violates due process. (*Miller v Fenton*, 474 US 104; *Haynes v Washington*, 373 US 503; *People v Aveni*, 100 AD3d 228, 20 NY3d 1059; *Rogers v Richmond*, 365 US 534; *People v Tarsia*, 50 NY2d 1; *People v Anderson*, 42 NY2d 35; *Spano v New York*, 360 US 315.) III. The adversarial system relies upon the ability of the parties to present witnesses on critical issues at trial to achieve accurate outcomes; the denial of an expert on false confessions undermines this principle. (*People v Bedessie*, 19 NY3d 147; *People v Pepper*, 53 NY2d 213; *United States v Hall*, 974 F Supp 1198; *People v Lee*, 96 NY2d 157; *People v Jones*, 73 NY2d 427; *People v Cronin*, 60 NY2d 430; *Crane v Kentucky*, 476 US 683; *Washington v Texas*, 388 US 14; *Chambers v Mississippi*, 410 US 284; *People v Carroll*, 95 NY2d 375.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

[1] Defendant was convicted by a jury of murdering his four-month-old son, Matthew Thomas. The evidence considered by the jury included a statement in which he admitted that on three occasions during the week preceding the infant’s death he “slammed” Matthew down on a mattress just 17 inches above the floor and a videotape of defendant’s interrogation, near the

end of which defendant, a particularly large individual,¹ demonstrated how he raised the infant above his head and threw him down with great force on the low-lying mattress. The jury also heard testimony from the child's treating doctors from Albany Medical Center, the medical examiner who performed the autopsy on Matthew, and an expert on child abuse from Brown Medical School. These witnesses, citing radiologic and postmortem findings of subdural fluid collections, brain swelling and retinal hemorrhaging, as well as defendant's account of what he had done, said that Matthew died from intracranial injuries caused by abusively inflicted head trauma. Although defendant argued at trial and on appeal that the proof before the jury was insufficient to support a verdict finding him guilty of depraved indifference murder (Penal Law § 125.25 [4])—the theory charged—the argument was correctly rejected. Defendant's written and videotaped confession together with the evidence presented by the prosecution's medical experts sufficed to demonstrate that defendant, with depraved indifference to human life, recklessly engaged in conduct which created a grave risk of serious physical injury to the four-month-old infant and thereby caused the child's death. Although there may have been uncertainty at the time of defendant's trial and prior appeal as to whether a one-on-one killing of a helpless infant by an adult through the infliction of physical abuse could qualify as depraved indifference murder, it is now settled that it can (*see People v Barboni*, 21 NY3d 393, 403 [2013]), rendering defendant's argument to the contrary unavailing. That the evidence was sufficient to support the conviction, however, does not end the inquiry we are assigned on this appeal before us by leave of a Judge of this Court (19 NY3d 1105 [2012]), since there is a persisting issue of law as to whether the jury should have had before it all the evidence it did. Inasmuch as we conclude that defendant's inculpatory statements were not demonstrably voluntary, we reverse the order of the Appellate Division affirming defendant's conviction (93 AD3d 1019 [3d Dept 2012]), grant defendant's previously denied motion to suppress those statements, and direct a new trial.

I.

On the morning of September 21, 2008, defendant's wife, Wilhelmina Hicks, awoke to discover that the couple's four-month-old,

1. At the time of the events in question, defendant weighed well over 300 pounds.

prematurely born infant, Matthew, was limp and unresponsive. Emergency assistance was immediately summoned and the child was rushed to Samaritan Hospital in Troy, New York. There, he presented with a range of symptoms, including a low white blood cell count, irregular heartbeat, low blood pressure, severe dehydration and respiratory failure. The most likely differential diagnosis was noted by the treating emergency room doctor as septic shock, although intracranial injuries were also listed to be ruled out. Blood tests to confirm sepsis were performed, but their results were not immediately available. Meanwhile, the child was placed on massive doses of antibiotics.

In the early afternoon, Matthew was transferred to the Pediatric Intensive Care Unit at Albany Medical Center, where he continued to be treated for sepsis. The child's treating physician concluded that his patient had been a victim of blunt force trauma—indeed, that the by-then moribund child had been “murdered.” (At the trial of the case, this doctor and other prosecution experts testified that blunt force trauma was indeed the cause of death; defense experts disputed this, attributing the death to sepsis, and the defense suggested that the treating doctor was misled by his initial impression, later proved wrong, that the child's skull was fractured.) He so informed local child protective and law enforcement authorities on the evening of September 21st.

At the hearing upon defendant's motion to suppress his inculpatory statements, the course of the ensuing investigation was described through the testimony of Troy Police Sergeant Adam Mason and the video recording of defendant's entire interrogation was placed in evidence. Mason stated that, based on the report that Matthew had been physically abused, he accompanied child protective workers to defendant's home and assisted in the removal of defendant's six other children.² Defendant, who had been caring for the children while his wife was at the hospital with Matthew, remained at his residence subsequent to the removal. Hours later, the police returned and escorted defendant to an interrogation room at the Troy Central Police Station. There, they read the evidently distraught father his rights and commenced a course of videotaped interrogation. The interrogation lasted about 9½ hours, broken into an initial two-hour and a subsequent 7½-hour session. In between, defendant,

2. There was no evidence that any of these other children were themselves abused or neglected.

having expressed suicidal thoughts during the initial interview, was involuntarily hospitalized pursuant to Mental Hygiene Law § 9.39 for some 15 hours in a secure psychiatric unit. By prearrangement, he was released back to his interrogators who immediately escorted him back to the police station where the interrogation resumed.

The premise of the interrogation was that an adult within the Thomas-Hicks household must have inflicted traumatic head injuries on the infant. Indeed one of the interrogating officers told defendant that he had been informed by Matthew's doctor that Matthew had been "slammed into something very hard. It's like a high speed impact in [a] vehicle. This baby was murdered . . . [T]his baby is going to die and he was murdered." The interrogators, however, repeatedly reassured defendant that they understood Matthew's injuries to have been accidental. They said they were not investigating what they thought to be a crime and that once defendant had told them what had happened he could go home. He would not, they reassured over and over again, be arrested. When, however, defendant continued to deny having hurt Matthew, even accidentally, the officers falsely represented that his wife had blamed him for Matthew's injuries and then threatened that, if he did not take responsibility, they would "scoop" Ms. Hicks out from the hospital and bring her in, since one of them must have injured the child. By the end of the initial two-hour interrogation, defendant agreed to "take the fall" for his wife. He said that he had not harmed the child and did not believe that his wife had either because "she is a good wife," but that he would take responsibility to keep her out of trouble.

Before the interrogation recommenced on the evening of September 22d, Matthew was pronounced brain dead. Nonetheless, the interrogating officers told defendant that he was alive and that his survival could depend on defendant's disclosure of how he had caused the child's injuries:

"SERGEANT MASON: The doctors need to know this. Do you want to save your baby's life, all right? Do you want to save your baby's life or do you want your baby to die tonight?

"[DEFENDANT]: No, I want to save his life.

"SERGEANT MASON: Are you sure about that? Because you don't seem like you want to save your

baby's life right now. You seem like you're beating around the bush with me.

"[DEFENDANT]: I'm not lying.

"SERGEANT MASON: You better find that memory right now Adrian, you've got to find that memory. This is important for your son's life man. You know what happens when you find that memory? Maybe if we get this information, okay, maybe he's able to save your son's life. Maybe your wife forgives you for what happened. Maybe your family lives happier ever after. But you know what, if you can't find that memory and those doctors can't save your son's life, then what kind of future are you going to have? Where's it going to go? What's going to happen if Matthew dies in that hospital tonight, man?"

About four hours into the second interrogation session defendant gave a statement. He said that, about 10 or 15 days before, he accidentally dropped Matthew five or six inches into his crib and Matthew hit his head "pretty hard." He supposed that that impact caused Matthew's brain injury. He also recalled accidentally bumping Matthew's head with his head on the evening of September 20th. He noticed that Matthew's breathing became labored, but was afraid to tell his wife what happened. Defendant would expand upon this statement, but before he did so a second officer, Sergeant Colaneri, entered the interrogation room. He claimed to have had experience with head injuries during his military service in Operation Desert Storm, and angrily accused defendant of lying—he said that Matthew's injuries could only have resulted from a far greater application of force than defendant had described. Matthew's doctors, he reported, had stated that the child's head injuries were comparable to those that would have been sustained by a passenger in a high-speed car collision. After Colaneri left, Sergeant Mason, said that he felt betrayed by defendant's untruthfulness and that he was doing all he could to stop his superior from having defendant arrested. Although he would acknowledge in his hearing testimony that he did not then have probable cause for defendant's arrest, he represented to defendant that he was defendant's last hope in forestalling criminal charges. He said that he could not help defendant unless defendant told him how he had caused Matthew's injuries. He proposed that defendant had been depressed and emotionally overwhelmed after having

been berated by his wife over his chronic unemployment and that, out of frustration, he had, without intending to harm the infant, responded to his crying by throwing him from above his head onto a low-lying mattress.³ He emphasized several times that, according to the doctor at the hospital, the child would have had to hit the mattress at a speed of 60 miles per hour to sustain the injuries from which he was suffering. He had defendant demonstrate with a clipboard how he threw the child down on the mattress, instructing:

“Move that chair out of the way. Here hold that like you hold the baby. Turn around, look at me. Now here’s the bed right here, all right. Now like I said, the doctor said that this injury is consistent with a 60 mile per hour vehicle crash, all right, all right. That means it was a very severe acceleration. It means he was going fast and stopped suddenly, all right, so think about that. Don’t try to downplay this and make like it’s not as severe as it is. Because [we] both know now you are finally starting to be honest, okay, all right. Maybe this other stuff you said is the truth.

“[DEFENDANT]: That is.

“SERGEANT MASON: For what the information that I need to know we both know now you are starting to finally be honest with that, all right. Hold that like you hold that baby, okay and start thinking about them negative things that your wife said to you, all right, start thinking about them kids crying all day and all night in your ear, your mother-in-law nagging you and your wife calling you a loser, all right, and let that aggression build up and show me how you threw Matthew on you bed, all right. Don’t try to sugar coat it and make it like it wasn’t that bad. Show me how hard you threw him on that bed.”

The ensuing enactment conforming to the Sergeant’s directions was captured on the interrogation video. Defendant then enlarged upon his prior statement, now admitting that, under circumstances precisely resembling those specified by Mason, he

3. The officer suggested that defendant had thrown the child down on his mattress after defendant adamantly denied throwing the child against a hard surface, i.e., the wall or the floor.

threw Matthew down on his mattress on the Wednesday, Thursday and Saturday preceding the child's hospitalization.

Defendant's motion to suppress his written and videotaped statements on the ground that they were not voluntary, but had been extracted by means of threats and misrepresentations to which he was specially vulnerable by reason of physical and emotional exhaustion, and upon the ground that the police tactics used during the interrogation created a substantial risk of false incrimination, was denied. In the decision and order we now review, the Appellate Division upheld the denial of suppression reasoning that the People met their burden at the *Huntley* hearing to prove defendant's confession voluntary beyond a reasonable doubt (93 AD3d at 1026) and, relatedly, that the ploys and misrepresentations of defendant's interrogators were not so serious as to offend due process (*id.*). The court found that the threat to arrest Ms. Hicks was "reasonable" (*id.* at 1028), and that the misrepresentation that Matthew's life depended upon defendant's disclosure of the manner in which he had caused the child's injuries did not offend due process because it would not have elicited unreliable information. In the latter connection the court observed that "common sense dictates the . . . conclusion . . . that parents, aware of their child's life threatening predicament, would *accurately* disclose any information that might enable doctors to save their child" (*id.* at 1027). As to the officers' many reassurances that what was involved was an accident and that defendant would not be arrested—indeed, that he would be returning home—the court was of the view that they reflected the officers' beliefs at the time they were given (*id.* at 1027-1028).

II.

[2] It is the People's burden to prove beyond a reasonable doubt that statements of a defendant they intend to rely upon at trial are voluntary (*People v Guilford*, 21 NY3d 205, 208 [2013]). To do that, they must show that the statements were not products of coercion, either physical or psychological (*see Miranda v Arizona*, 384 US 436, 448 [1966]), or, in other words, that they were given as a result of a "free and unconstrained choice by [their] maker" (*Culombe v Connecticut*, 367 US 568, 602 [1961]). The task is the same where deception is employed in the service of psychologically oriented interrogation; the statements must be proved, under the totality of the circumstances (*see Guilford*, 21 NY3d at 208)—necessarily including

any potentially actuating deception—the product of the maker’s own choice. The choice to speak where speech may incriminate is constitutionally that of the individual, not the government, and the government may not effectively eliminate it by any coercive device. It is well established that not all deception of a suspect is coercive, but in extreme forms it may be. Whether deception or other psychologically directed stratagems actually eclipse individual will, will of course depend upon the facts of each case, both as they bear upon the means employed and the vulnerability of the declarant. There are cases, however, in which voluntariness may be determined as a matter of law—in which the facts of record permit but one legal conclusion as to whether the declarant’s will was overborne (*see e.g. Guilford, supra*). This, we believe, is such a case. What transpired during defendant’s interrogation was not consonant with, and, indeed, completely undermined, defendant’s right not to incriminate himself—to remain silent.

III.

Most prominent among the totality of the circumstances in this case is the set of highly coercive deceptions. They were of a kind sufficiently potent to nullify individual judgment in any ordinarily resolute person and were manifestly lethal to self-determination when deployed against defendant, an unsophisticated individual without experience in the criminal justice system.

It is established that interrogators may not threaten that the assertion of Fifth Amendment rights will result in harm to the interrogee’s vital interests. In *Garrity v New Jersey* (385 US 493 [1967]), police officers were convicted of conspiracy to obstruct justice on the basis of confessions made after the officers were threatened with the loss of their jobs if they asserted their Fifth Amendment rights. The Court held that the confessions were “infected by the coercion inherent in the scheme of questioning” and thus impossible to sustain as voluntary (*id.* at 496-498). In *People v Avant* (33 NY2d 265 [1973]) this Court, following *Garrity*, held that municipal contractors could not be pressured to make incriminating disclosures by threatening forfeiture of the right to bid on municipal contracts if they did not. Recognizing the breadth of the principle informing *Garrity*, Judge Breitel stated

“While there was once a different view, it is now . . . undisputed that one may not be ‘coerced’ into

waiving his constitutional privilege by the withholding of a substantial right to engage in one's occupation *or of any other substantial or fundamental exercise of life, liberty, and the pursuit of happiness* (*Gardner v. Broderick*, 392 U. S. 273, 279, *supra*; *Garrity v. New Jersey*, 385 U. S. 493, 497)" (*id.* at 273 [Breitel, J., concurring] [emphasis supplied]).

It was not consistent with the rule of *Garrity* and *Avant* to threaten that if defendant continued to deny responsibility for his child's injury, his wife would be arrested and removed from his ailing child's bedside. While the People and the Appellate Division viewed this threat as "reasonable," the issue is not whether it reflected a reasonable investigative option, but whether it was permissibly marshaled to pressure defendant to speak against his penal interest. It was not. And, although the Appellate Division treated the threat as benign because defendant did not finally provide a complete confession until many hours had passed, it is clear that defendant's agreement to "take the fall"—an immediate response to the threat against his wife—was pivotal to the course of the ensuing interrogation and instrumental to his final self-inculpation.

Another patently coercive representation made to defendant—one repeated some 21 times in the course of the interrogation—was that his disclosure of the circumstances under which he injured his child was essential to assist the doctors attempting to save the child's life. We agree with the Appellate Division, and it is in any case self-evident, that these were representations of a sort that would prompt any ordinarily caring parent to provide whatever information they thought might be helpful, even if it was incriminating. Perhaps speaking in such a circumstance would amount to a valid waiver of the Fifth Amendment privilege if the underlying representations were true, but here they were false. These falsehoods were coercive by making defendant's constitutionally protected option to remain silent seem valueless and respondent does not plausibly argue otherwise. Instead, it is contended that they did not render defendant's ensuing statements involuntary because there was no substantial risk that appealing to defendant's fatherly concern would elicit a false confession. It has long been established that what the Due Process Clause of the Fourteenth Amendment forbids is a coerced confession, regardless of whether it is likely to be true. In *Rogers v. Richmond* (365 US 534 [1961, Frankfurter, J.]) the Court explained:

“Our decisions under that Amendment have made clear that convictions following the admission into evidence of confessions which are involuntary, *i.e.*, the product of coercion, either physical or psychological, cannot stand. This is so not because such confessions are unlikely to be true but because the methods used to extract them offend an underlying principle in the enforcement of our criminal law: that ours is an accusatorial and not an inquisitorial system—a system in which the State must establish guilt by evidence independently and freely secured and may not by coercion prove its charge against an accused out of his own mouth. To be sure, confessions cruelly extorted may be and have been, to an unascertained extent, found to be untrustworthy. But the constitutional principle of excluding confessions that are not voluntary does not rest on this consideration. Indeed, in many of the cases in which the command of the Due Process Clause has compelled us to reverse state convictions involving the use of confessions obtained by impermissible methods, independent corroborating evidence left little doubt of the truth of what the defendant had confessed. Despite such verification, confessions were found to be the product of constitutionally impermissible methods in their inducement. Since a defendant had been subjected to pressures to which, under our accusatorial system, an accused should not be subjected, we were constrained to find that the procedures leading to his conviction had failed to afford him that due process of law which the Fourteenth Amendment guarantees” (*id.* at 540-541 [citations omitted]).

It is true that our state statute (CPL 60.45 [2] [b] [i]) treats as “involuntarily made” a statement elicited “by means of any promise or statement of fact, which promise or statement creates a substantial risk that the defendant might falsely incriminate himself,” but this provision does not, and indeed cannot, displace the categorical constitutional prohibition on the receipt of coerced confessions, even those that are probably true (*see Rogers*, 365 US at 545 n 3 [“whether the question of admissibility is left to the jury or is determinable by the trial judge, it must be determined according to constitutional standards satisfying the Due Process Clause of the Fourteenth Amendment”]). As CPL 60.45’s enumeration of the various grounds

upon which a statement may be deemed involuntary itself demonstrates, subdivision (2) (b) (i) constitutes an additional ground for excluding statements as “involuntarily made,” not a license for the admission of coerced statements a court might find reliable.

Additional support for the conclusion that defendant’s statements were not demonstrably voluntary, under the totality of the circumstances, can be found in the ubiquitous assurances offered by defendant’s interrogators, that whatever had happened was an accident, that he could be helped if he disclosed all, and that, once he had done so, he would not be arrested, but would be permitted to return home. In assessing all of the attendant circumstances, these assurances cannot be minimized on the basis that the eventual confession admitted behavior that could not be characterized as accidental. It is plain that defendant was cajoled into his inculpatory demonstration by these assurances—that they were essential to neutralizing his often expressed fear that what he was being asked to acknowledge and demonstrate was conduct bespeaking a wrongful intent. Defendant unquestionably relied upon these assurances, repeating with each admission that what he had done was an accident. These assurances, however, were false. From its inception, defendant’s interrogation had as its object obtaining a statement that would confirm the hypothesis that the infant had been murdered through physical abuse. That objective was incompatible with any true intermediate representation that what defendant did was just an accident. Had there been only a few such deceptive assurances, perhaps they might be deemed insufficient to raise a question as to whether defendant’s confession had been obtained in violation of due process. This record, however, is replete with false assurances. Defendant was told 67 times that what had been done to his son was an accident, 14 times that he would not be arrested, and eight times that he would be going home. These representations were, moreover, undeniably instrumental in the extraction of defendant’s most damaging admissions. When Sergeant Mason suggested that defendant had thrown Matthew down on the bed, defendant protested repeatedly that he was being asked to admit that he had intentionally harmed his son. To each such protest, Mason responded that what defendant had done was not intentional, often adding an elaborate explanation of why that was so. In this way, and after a final appeal from Mason to provide the “proper information to relate to the hospital and talk to the

doctors to keep your son alive,” defendant at last agreed that he argued with Ms. Hicks and then threw Matthew down on the bed. Based on that admission, he would be prosecuted for murder. We do not decide whether these police techniques would themselves require suppression of defendant’s statements, but that they, taken in combination with the threat to arrest his wife and the deception about the child, reinforce our conclusion that, as a matter of law, defendant’s statements were involuntary.

IV.

[3] Defendant’s inculpatory statements were also inadmissible as “involuntarily made” within the meaning of CPL 60.45 (2) (b) (i). The various misrepresentations and false assurances used to elicit and shape defendant’s admissions manifestly raised a substantial risk of false incrimination. Defendant initially agreed to take responsibility for his son’s injuries to save his wife from arrest. His subsequent confession provided no independent confirmation that he had in fact caused the child’s fatal injuries. Every scenario of trauma induced head injury equal to explaining the infant’s symptoms was suggested to defendant by his interrogators. Indeed, there is not a single inculpatory fact in defendant’s confession that was not suggested to him. He did not know what to say to save his wife and child from the harm he was led to believe his silence would cause. It was at Mason’s request and pursuant to his instructions that defendant finally purported to demonstrate how he threw the child. And after Mason said that he must have thrown the child still harder and after being exhorted not to “sugar coat” it, he did as he was bid. Shortly after this closely directed enactment, defendant was arrested.

Defendant’s admissions were not necessarily rendered more probably true by the medical findings of Matthew’s treating physicians. The agreement of his inculpatory account with the theory of injury advanced by those doctors can be readily understood as a congruence forged by the interrogation. The attainment of the interrogation’s goal, therefore, cannot instill confidence in the reliability of its result.

Inasmuch as we conclude that defendant’s confession should not have been placed before the jury, there is no need to address whether defendant’s expert should have been permitted to testify about the phenomenon of false confession and the interrogation techniques employed to elicit defendant’s admissions.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to suppress statements granted and a new trial ordered.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed, defendant's motion to suppress statements granted and a new trial ordered.

[8 NE3d 797, 985 NYS2d 422]

UNION SQUARE PARK COMMUNITY COALITION, INC., et al., Appellants, v NEW YORK CITY DEPARTMENT OF PARKS AND RECREATION et al., Respondents.

Argued January 14, 2014; decided February 20, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 18, 2013. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Arthur F. Engoron, J.; op 38 Misc 3d 1215[A], 2013 NY Slip Op 50110[U] [2013]), as had denied defendants' cross motion to dismiss the complaint or, in the alternative, for summary judgment, and (2) granted the cross motion to dismiss the complaint.

Union Sq. Park Community Coalition, Inc. v New York City Dept. of Parks & Recreation, 107 AD3d 525, affirmed.

HEADNOTES

Parks and Parkways — Public Trust Doctrine — Valid Park Purpose — Seasonal Restaurant in Park Pavilion

1. In an action challenging defendant New York City Department of Parks and Recreation's agreement to allow a private entity to operate a seasonal restaurant in the pavilion in Union Square Park for a term of 15 years, the restaurant did not run afoul of the public trust doctrine for lack of a park purpose. Under the public trust doctrine, dedicated parkland cannot be converted to a nonpark purpose for an extended period of time absent legislative approval. Although it is for the courts to determine what is and is not a park purpose, the Park Commissioner enjoys broad discretion to choose among alternative valid park purposes. Restaurants have long been operated in public parks, and a plaintiff challenging such a use can only prevail upon a showing that the type and location of the restaurant is unlawful. Here, plaintiffs claimed only that the park was too small to host a restaurant, there were already a number of restaurants in the immediate vicinity, that the menu items were too expensive and the pavilion area could be put to better use. While plaintiffs had a different view of the best use of the park and its pavilion in particular, that difference of opinion, without more, did not demonstrate that the type and location of the restaurant were unlawful.

Parks and Parkways — Alienation of Park Lands — Lease or License — Agreement with Private Company for Operation of Restaurant in Park Pavilion

2. An agreement entered into between defendant New York City Department of Parks and Recreation and a private entity, which allowed the entity to operate a seasonal restaurant in the pavilion in Union Square Park for a term of 15 years, constituted a valid license arrangement. While the Department

may execute a license or permit for a park purpose without violating the public trust doctrine, parkland that is leased without legislative approval constitutes an illegal alienation of the parkland. A document is a lease if it grants an exclusive right to use and occupy the land. A license, on the other hand, is a revocable privilege given to one, without interest in the lands of another, to do one or more acts of a temporary nature upon such lands. A broad termination clause reserving to the grantor the right to cancel whenever it decides in good faith to do so is strongly indicative of a license. Here, the language of the agreement confirmed that it was a revocable license. Under the agreement, the Department retained significant control over the daily operations of the restaurant, including the months and hours of operation, staffing plan, work schedules and menu prices. Moreover, the private entity's use of the premises was only seasonal and was not exclusive. The entity was required to make outdoor seating available to the general public, to open the pavilion to the public for community events on a weekly basis, to use particular vendors, offer culinary internships and host charitable events. The agreement also broadly allowed the Department to terminate the license at will so long as the termination was not arbitrary and capricious.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Parks, Squares, and Playgrounds §§ 9, 16, 23.
NY JUR 2d, Parks, Recreation, and Historic Preservation
§§ 37, 44, 62, 67, 121.
NEW YORK REAL PROPERTY SERVICE §§ 43:30, 43:32.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Parks and Playgrounds; Restaurants.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: restaurant! /s park & (public /3 trust /3 doctrine!)

POINTS OF COUNSEL

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (*Sanford I. Weisburst* and *Yelena Konanova* of counsel), *Super Law Group, LLC* (*Reed W. Super* and *Alexander I. Hankovszky* of counsel), and *Albert K. Butzel Law Offices* (*Albert K. Butzel* of counsel), for appellants. I. Courts must apply the public trust doctrine de novo, without deference to the city. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Williams v Gallatin*, 229 NY 248; *Miller v City of New York*, 15 NY2d 34; *Williams v Hylan*, 126 Misc 807; *Matter of Torsoe Bros. Constr. Corp. v Board of Trustees of Inc. Vil. of Monroe*, 49 AD2d 461; *New York Tel. Co. v City of Amsterdam*, 200 AD2d 315; *Albany*

Area Bldrs. Assn. v Town of Guilderland, 141 AD2d 293; 795 *Fifth Ave. Corp. v City of New York*, 15 NY2d 221.) II. The proposed restaurant is not a park use. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Williams v Gallatin*, 229 NY 248; 795 *Fifth Ave. Corp. v City of New York*, 13 AD2d 733; *Blank v Browne*, 217 App Div 624; 795 *Fifth Ave. Corp. v City of New York*, 40 Misc 2d 183, 20 AD2d 850, 15 NY2d 221; *Williams v Hylan*, 126 Misc 807; *Gushee v City of New York*, 42 App Div 37; *Port Chester Yacht Club v Village of Port Chester*, 123 AD2d 852; *Incorporated Vil. of Lloyd Harbor v Town of Huntington*, 4 NY2d 182; *Aldrich v City of New York*, 208 Misc 930.) III. The agreement between the City of New York and Chef Driven Market, LLC is a lease rather than a license. (*Miller v City of New York*, 15 NY2d 34; *Williams v Hylan*, 126 Misc 807; *Garza v 508 W. 112th St., Inc.*, 22 Misc 3d 920, 71 AD3d 567; *Nextel of N.Y. v Time Mgt. Corp.*, 297 AD2d 282; *Gushee v City of New York*, 42 App Div 37; *Williams v Gallatin*, 229 NY 248; *Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79; *Layton v A. I. Namm & Sons, Inc.*, 275 App Div 246; *Pocher v Hall*, 50 Misc 639; *Slutzky v Cuomo*, 114 AD2d 116.)

Michael A. Cardozo, Corporation Counsel, New York City (*Deborah A. Brenner, Leonard Koerner and Amy McCamphill* of counsel), for respondents. I. As a matter of law, the Appellate Division correctly found that the restaurant is an acceptable park use. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Gushee v City of New York*, 42 App Div 37; *Williams v Gallatin*, 229 NY 248; *Port Chester Yacht Club v Village of Port Chester*, 123 AD2d 852; *Capruso v Village of Kings Point*, 34 Misc 3d 1240[A], 2009 NY Slip Op 52829[U]; 795 *Fifth Ave. Corp. v City of New York*, 40 Misc 2d 183, 20 AD2d 850, 15 NY2d 221; 795 *Fifth Ave. Corp. v City of New York*, 15 AD2d 457, 11 NY2d 918; *Blank v Browne*, 217 App Div 624; *Williams v Hylan*, 223 App Div 48.) II. The restaurant concession agreement constitutes a revocable license, not a lease. (*John B. Stetson Co. v Joh. A. Benckiser GmbH*, 81 AD3d 559; *Taussig v Clipper Group, L.P.*, 13 AD3d 166; *Miller v City of New York*, 15 NY2d 34; *Matter of Terrell v Moses*, 4 AD2d 171; *Williams v Hylan*, 223 App Div 48; *Feder v Caliguira*, 8 NY2d 400; *Slutzky v Cuomo*, 114 AD2d 116; *Trustees of Town of Southampton v Jesusup*, 162 NY 122; *Lordi v County of Nassau*, 20 AD2d 658, 14 NY2d 699; *Layton v A. I. Namm & Sons, Inc.*, 275 App Div 246, 302 NY 720.)

Shapiro, Arato & Isserles LLP, New York City (*Marc E. Isserles and Chetan A. Patil* of counsel), for Liz Krueger and others, amici curiae. I. The State Legislature must be involved in

any decision to alienate the pavilion. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Williams v Gallatin*, 229 NY 248; *Potter v Collis*, 156 NY 16; *Gewirtz v City of Long Beach*, 69 Misc 2d 763.) II. The Court should not defer to the New York City Department of Parks and Recreation’s determination that the proposed restaurant is a park use. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Matter of Ackerman v Steisel*, 104 AD2d 940.) III. The State Legislature fairly considers city proposals to alienate parkland. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623.)

Friedman Kaplan Seiler & Adelman LLP, New York City (*Eric Seiler*, *Jeffrey R. Wang* and *Pearline M. Hong* of counsel), for Union Square Partnership and others, amici curiae. I. The Commissioner of the New York City Department of Parks and Recreation’s decision is supported by a substantial segment of the Union Square Park Community and is entitled to the wide deference that New York City’s Charter provides. (*795 Fifth Ave. Corp. v City of New York*, 40 Misc 2d 183, 15 NY2d 221; *Kaskel v Impellitteri*, 306 NY 73; *Williams v Gallatin*, 229 NY 248; *Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623.) II. The Commissioner of the New York City Department of Parks and Recreation’s approval of the proposed restaurant is reasonable. (*795 Fifth Ave. Corp. v City of New York*, 40 Misc 2d 183; *Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623.)

Carter Ledyard & Milburn LLP, New York City (*Christopher Rizzo* and *Holly Leicht* of counsel), for New Yorkers for Parks, amicus curiae. The license between the City of New York and Chef Driven Market, LLC meets the requirements of the public trust doctrine. (*Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Williams v Gallatin*, 229 NY 248; *Miller v City of New York*, 15 NY2d 34; *795 Fifth Ave. Corp. v City of New York*, 40 Misc 2d 183.)

Pace Environmental Litigation Clinic, Inc., White Plains (*Daniel E. Estrin* of counsel), for Raritan Baykeeper, Inc. and another, amici curiae. Purported common-law park use “findings” and/or “determinations” by municipalities should be subject to de novo review by New York courts. (*Brooklyn Park Commrs. v Armstrong*, 45 NY 234; *Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623; *Williams v Gallatin*, 229 NY 248; *Aldrich v City of New York*, 208 Misc 930; *Miller v City of New York*, 15 NY2d 34; *Matter of Ackerman v Steisel*, 104

AD2d 940, 66 NY2d 833; *Chatham Green v Bloomberg*, 1 Misc 3d 434; *Matter of Powell v City of New York*, 16 Misc 3d 1113[A], 2007 NY Slip Op 51409[U]; *Tobin v Hennessy*, 129 Misc 756, 220 App Div 695; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225.)

OPINION OF THE COURT

GRAFFEO, J.

Plaintiffs challenge an agreement by the New York City Department of Parks and Recreation to allow the operation of a restaurant in Union Square Park. We conclude that plaintiffs fail to state a claim for a violation of the public trust doctrine and therefore affirm the Appellate Division order dismissing the complaint.

Union Square Park occupies approximately 3.6 acres in Lower Manhattan. Dating back to the early 1800s, the park has been the site of various public gatherings, protests and marches, and was designated as a national historic landmark by the United States Department of the Interior. A colonnaded pavilion, the structure at issue on this appeal, stands in the paved plaza at the northern end of the park. In 2008, as part of a citywide restoration initiative, the New York City Department of Parks and Recreation (the Department) renovated portions of the park, including the pavilion area. The project included the future use of the pavilion as a restaurant to replace Luna Park, a café that had operated in a space adjacent to the pavilion from 1994 until 2007.

In 2012, the Department executed a written “License Agreement” with Chef Driven Market, LLC (CDM), which permitted CDM to operate a seasonal restaurant in the pavilion for a term of 15 years. The restaurant would be open from mid-April to mid-October each year, from 7:00 a.m. until midnight on a daily basis. In return, CDM agreed to pay the City an annual license fee of \$300,000 in the first year (increasing to about \$450,000 in the final year) or 10% of annual gross receipts, whichever amount was greater. The agreement further obligated CDM to outlay at least \$700,000 in specified capital improvements.

The Department retained extensive control over the daily operations of the restaurant under the terms of the agreement. For example, the Department “must approve in advance and in writing all plans, schedules, services, hours of operation, menu items and prices as well as all changes to services, menu items,

merchandise, and any increase in fees and prices.” The preapproved menu must include breakfast items ranging from \$1.95 to \$15.95; brunch options costing \$2.95 to \$19.95; and lunch and dinner sandwiches and entrees at prices of \$8.95 to \$33.95. Outdoor seating would remain open to the public as well as paying customers. The agreement also required CDM to use Union Square Park Greenmarket vendors as suppliers and to offer a number of community programs, including free weekly educational programs; at least 10 annual charity fundraising events; and culinary internships for local students. Finally, the agreement contains a broad termination clause in favor of the Department:

“[T]his License is terminable at will upon written notice by the Commissioner at any time; however, such termination shall not be arbitrary and capricious. Such termination shall be effective twenty-five (25) days after the date of such written notice . . . In addition, in the event this License Agreement is terminated, [the Department] will not reimburse Licensee’s unamortized capital improvement cost.”

Plaintiffs Union Square Park Community Coalition, Inc. and several individuals brought this action against the Department, its Commissioner, the City of New York and CDM (collectively, the Department) seeking a declaratory judgment and injunctive relief restraining the Department from altering the park pavilion to accommodate the restaurant under the public trust doctrine. As relevant to this appeal, plaintiffs asserted two claims: (1) the restaurant constituted a nonpark purpose and was unlawful absent legislative approval and (2) the agreement between the Department and CDM constituted a lease, not a license, thereby amounting to an improper alienation of parkland.¹ Plaintiffs moved for a preliminary injunction and the City cross-moved to dismiss the complaint under CPLR 3211 (a) (1) and (7). The City contended that the restaurant served a valid park purpose by providing a unique, reasonably-priced dining experience that would promote park safety during evening hours when the park would otherwise be less heavily trafficked, and that the documentary evidence demonstrated that the agreement was a valid license.

1. Plaintiffs brought a third claim against the Department and Urban Space Holdings, Inc. relating to the use of another section of Union Square Park for a holiday market. Plaintiffs do not press this claim on appeal and we therefore do not address it.

Supreme Court granted plaintiffs' request for a preliminary injunction and denied the City's cross motion to dismiss (38 Misc 3d 1215[A], 2013 NY Slip Op 50110[U] [2013]). The Appellate Division reversed, denied the motion for a preliminary injunction and granted dismissal of the complaint, concluding that the seasonal restaurant did not violate the public trust doctrine and that the concession agreement was a revocable license terminable at will, not a lease (107 AD3d 525 [1st Dept 2013]). We granted plaintiffs leave to appeal (21 NY3d 1070 [2013]).

Under the public trust doctrine, dedicated parkland cannot be converted to a nonpark purpose for an extended period of time absent the approval of the State Legislature (*see Friends of Van Cortlandt Park v City of New York*, 95 NY2d 623, 630 [2001]).² Plaintiffs, supported by various amici curiae, acknowledge that it is possible for a restaurant to serve a park purpose, but assert that each food establishment must be assessed on a case-by-case basis under a flexible, multifactor analysis. They contend that the relevant factors in this case indicate that the pavilion restaurant proposed by the Department would not serve valid park purposes because Union Square Park is too small to host a restaurant; there are already a number of restaurants in the immediate vicinity; the menu offerings are too expensive; and the pavilion area could be put to better neighborhood use, e.g., as a site for public speaking and discourse, or dance and yoga classes.

Plaintiffs' position, however, is inconsistent with *795 Fifth Ave. Corp. v City of New York* (15 NY2d 221 [1965]), our most recent precedent involving a challenge to the placement of a restaurant in a city park under the public trust doctrine. In that case, plaintiffs brought suit to enjoin construction of a restaurant in Central Park, asserting that the public trust doctrine would be violated because the new structure would result in the destruction of 22,000 acres of rural area; there were numerous eating and drinking establishments in the vicinity; the corner was already heavily congested; and the proposed restaurant would principally serve pedestrians entering from the adjacent street rather than park patrons. Following a bench trial, the trial court rejected plaintiffs' claims and concluded that the restaurant served a legitimate park purpose. In reaching its decision, the trial court relied on a number of considerations, including that the undeveloped area was unused and

2. It is undisputed that the Department did not obtain legislative authorization for the restaurant.

unsightly; the menu prices were reasonable; and the restaurant would be housed in an attractive glass-enclosed pavilion, which would “enhance the beauty and natural appeal of the southeast corner of Central Park” (40 Misc 2d 183, 190 [Sup Ct, NY County 1963]).

When *795 Fifth Ave.* reached us on appeal, we affirmed, but on broader grounds. We began by acknowledging that the “Park Commissioner is vested by law with broad powers for the maintenance and improvement of the city’s parks” and that judicial interference would be “justified only when a total lack of power is shown” (15 NY2d at 225 [internal quotation marks and citation omitted]). In other words, although it is for the courts to determine what is and is not a park purpose, we recognized that the Commissioner enjoys broad discretion to choose among alternative valid park purposes. Observing that restaurants have long been operated in public parks, we rejected plaintiffs’ public trust claim, holding that they could show only a “difference of opinion” as to the best way to use the park space and that this “mere difference of opinion [was] not a demonstration of illegality” (*id.*). Without showing the “type and location of the restaurant to be unlawful,” we concluded, plaintiffs could not prevail (*id.* at 226). We therefore found it unnecessary to consider the myriad factors the trial court had relied upon, including whether the building was well-designed and would replace a neglected area of the park.

[1] Although there are significant differences in the size, characteristics and uses of Central Park and Union Square Park, we perceive no meaningful distinction between *795 Fifth Ave.* and the case before us in the application of the public trust doctrine. Plaintiffs ask us to apply a flexible standard that takes into consideration a number of fact-specific criteria in deciding whether a given restaurant serves a park purpose, yet we eschewed that approach in *795 Fifth Ave.* Even accepting as true the allegations in plaintiffs’ complaint, their claims are substantially similar to the ones we found insufficient in *795 Fifth Ave.* Plaintiffs have a different view of the best use of Union Square Park and its pavilion in particular, but this difference of opinion, without more, does not demonstrate the illegality of the Department’s plan. Put differently, plaintiffs have not demonstrated that the “type and location” of the restaurant are unlawful. While we leave open the possibility that a particular restaurant might not serve a park purpose in a future case, we conclude that the restaurant here does not run afoul of the public trust doctrine for lack of a park purpose.

Alternatively, plaintiffs argue that the restaurant plan is unlawful even if it serves a park purpose because the agreement between the Department and CDM is a lease rather than a license. They assert that the document in question, though denominated a license, is in reality a lease—an illegal alienation of parkland. The Department responds that, read as a whole, and particularly in light of the broad termination clause, the agreement evinces a valid license, not a lease.

We have stated that parkland cannot be leased, even for a park purpose, absent legislative approval (*see Van Cortlandt Park*, 95 NY2d at 630; *see also* General City Law § 20 [2] [providing that “the rights of a city in and to its . . . parks . . . are hereby declared to be inalienable”]). The Department may, however, execute a license or permit for a park purpose without violating the public trust doctrine (*see Miller v City of New York*, 15 NY2d 34, 37 [1964] [“Since the property was as a park impressed with a trust for the public it could not without legislative sanction be alienated or subjected to anything beyond a revocable permit”]). The decisive question on plaintiffs’ second claim, therefore, is whether the agreement between the Department and CDM constitutes a lease or a license.

A document is a lease “if it grants not merely a revocable right to be exercised over the grantor’s land without possessing any interest therein but the exclusive right to use and occupy that land” (*id.* at 38). It is the conveyance of “absolute control and possession of property at an agreed rental which differentiates a lease from other arrangements dealing with property rights” (*Feder v Caliguira*, 8 NY2d 400, 404 [1960]). A license, on the other hand, is a revocable privilege given “to one, without interest in the lands of another, to do one or more acts of a temporary nature upon such lands” (*Trustees of Town of Southampton v Jessup*, 162 NY 122, 126 [1900]; *see also Lordi v County of Nassau*, 20 AD2d 658, 659 [2d Dept 1964], *affd without op* 14 NY2d 699 [1964] [“Generally, contracts permitting a party to render services within an enterprise conducted on premises owned or operated by another, who has supervisory power over the method of rendition of the services, are construed to be licenses”]). That a writing refers to itself as a license or lease is not determinative; rather, the true nature of the transaction must be gleaned from the rights and obligations set forth therein. Finally, a broad termination clause reserving to the grantor “the right to cancel whenever it decides in good faith to do so” is strongly indicative of a license as opposed to a lease (*Miller*, 15 NY2d at 38).

[2] Here, the language of the agreement confirms that it is what it purports to be—a revocable license. The Department retained significant control over the daily operations of the restaurant, including the months and hours of operation, staffing plan, work schedules and menu prices. Moreover, CDM’s use of the premises is only seasonal, and is not exclusive even in the summer, as outdoor seating is required to be available to the general public (with the exception of an area reserved for the service of alcoholic beverages) and CDM is obligated to open the pavilion to the public for community events on a weekly basis. The agreement also contains numerous environmental and community-based provisions. Aside from complying with extensive environmental standards, CDM is required, for example, to use Greenmarket vendors, offer culinary internships and host charitable events. More importantly, the agreement broadly allows the Department to terminate the license at will so long as the termination is not arbitrary and capricious. Consequently, despite the 15-year term and payment structure, we agree with the Department that it entered into a valid license arrangement with CDM.

In sum, the Department’s grant of a license to CDM to operate a seasonal restaurant in the Union Square Park pavilion, without legislative approval, was lawful under our precedents.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order, insofar as appealed from, affirmed, with costs.

[8 NE3d 791, 985 NYS2d 416]

RICHARD FABRIZI, Respondent, v 1095 AVENUE OF THE AMERICAS, L.L.C., et al., Appellants, and VERIZON NEW YORK, INC., et al., Defendants. (And Other Actions.)

Argued January 9, 2014; decided February 20, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 18, 2012. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Emily Jane Goodman, J.; op 2011 NY Slip Op 31529[U] [2011]), to the extent it had denied the motion of defendants 1095 Avenue of the Americas, L.L.C. and J.T. Magen Construction Company, Inc. for summary judgment dismissing the Labor Law § 240 (1) claim as against them and granted plaintiff's cross motion for partial summary judgment on the issue of defendants 1095, J.T. Magen and Dechert, LLP's liability under Labor Law § 240 (1). The modification consisted of denying plaintiff's cross motion. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by this Court, properly made?"

Fabrizi v 1095 Ave. of the Ams., L.L.C., 98 AD3d 864, reversed.

HEADNOTE

Labor — Safe Place to Work — Elevation-Related Hazard — Compression Coupling Not Safety Device under Labor Law § 240 (1)

In an action to recover damages for injuries sustained when plaintiff electrician was struck by a falling piece of conduit pipe, left dangling by a compression coupling connecting it to a similar conduit after plaintiff had removed an attached "pencil box" he was relocating, defendants building owner and contractor were entitled to summary judgment dismissing plaintiff's Labor Law § 240 (1) claim against them as the purportedly inadequate compression coupling was not a safety device "constructed, placed and operated as to give proper protection" from the falling conduit within the meaning of the statute. To prevail in a section 240 (1) "falling object" case, the injured worker must show that the object fell because of the absence or inadequacy of a safety device of the kind enumerated in the statute. Here, the only function of the compression coupling was to keep the conduit together as part of the conduit/pencil box assembly, and the coupling, which was installed a week before the incident, served its intended purpose until plaintiff dismantled the assembly to relocate the pencil box. Thus, treating the coupling as a safety device would extend the reach of section 240 (1) beyond its intended purpose to any component that may lend support to a structure. Further, given that the

compression coupling that was used to secure the conduit and the set screw coupling that plaintiff suggested should have been used to secure it were both “basic couplings” that served the identical purpose of supporting the assembly, not providing worker protection, defendants’ use of the compression coupling rather than the set screw coupling was not a violation of section 240 (1).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Employment Relationship §§ 256, 258, 266, 272.
McKINNEY’S, Labor Law § 240 (1).
NY JUR 2d, Employment Relations §§ 285–290.
PROSSER AND KEETON, TORTS (5th ed) §§ 36, 80.

ANNOTATION REFERENCE

See ALR Index under Falls and Falling Objects; Occupational Safety and Health; Safety Codes and Standards; Scaffolds.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: falling /2 object & compression /3 coupling

POINTS OF COUNSEL

London Fischer LLP, New York City (*Daniel Zemann, Jr.*, and *David B. Franklin* of counsel), for appellants. I. The circumstances giving rise to plaintiff’s injury are outside the scope of Labor Law § 240 (1). (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Misseritti v Mark IV Constr. Co.*, 86 NY2d 487; *Wilinski v 334 E. 92nd Hous. Dev. Fund Corp.*, 18 NY3d 1; *Marin v AP-Amsterdam 1661 Park LLC*, 60 AD3d 824; *Garcia v DPA Wallace Ave. I, LLC*, 101 AD3d 415l; *Outar v City of New York*, 286 AD2d 671, 5 NY3d 731; *Quattrocchi v F.J. Sciame Constr. Corp.*, 11 NY3d 757, 44 AD3d 377; *McLean v 405 Webster Ave. Assoc.*, 98 AD3d 1090.) II. Plaintiff’s injury was caused solely by his misuse of the supports of the conduit by disconnecting them. (*Robinson v East Med. Ctr., LP*, 6 NY3d 550; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Broggy v Rockefeller Group, Inc.*, 8 NY3d 675; *Outar v City of New York*, 286 AD2d 671, 5 NY3d 731.) III. All issues raised in the instant appeal are properly before this Court. (*Hecker v State of New York*, 92 AD3d 1261;

Misseritti v Mark IV Constr. Co., 86 NY2d 487; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259.)

Pollack Pollack Isaac & DeCicco, LLP, New York City (Brian J. Isaac, Michael H. Zhu and Kenneth J. Gorman of counsel), and *Block O'Toole & Murphy* for respondent. I. Defendants are not entitled to summary judgment because plaintiff has a cognizable Labor Law § 240 (1) claim; in fact, plaintiff is entitled to partial summary judgment because the protective device provided to him at the site proved inadequate to shield him from harm directly flowing from the application of the force of gravity to the conduit pipe. (*Long v Forest-Fehlhaber*, 55 NY2d 154; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Koenig v Patrick Constr. Corp.*, 298 NY 313; *Bush v Goodyear Tire & Rubber Co.*, 9 AD3d 252; *Bland v Manocherian*, 66 NY2d 452; *Quigley v Thatcher*, 207 NY 66; *Naughton v City of New York*, 94 AD3d 1; *Outar v City of New York*, 5 NY3d 731; *Quattrocchi v F.J. Sciamme Constr. Corp.*, 11 NY3d 757; *Rzymiski v Metropolitan Tower Life Ins. Co.*, 94 AD3d 629.) II. Arguments regarding foreseeability and sole proximate cause are unpreserved for review by this Court; in any event, the risk of injury was foreseeable for purposes of applying the statute and plaintiff's conduct was not the sole proximate cause. (*Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Lichtman v Grossbard*, 73 NY2d 792; *Matter of Shannon B.*, 70 NY2d 458; *Rentways, Inc. v O'Neill Milk & Cream Co.*, 308 NY 342; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827; *Matter of Salino v Cimino*, 1 NY3d 166; *People v Robinson*, 88 NY2d 1001; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

OPINION OF THE COURT

FIGOTT, J.

Plaintiff, an electrician employed by Forest Electric Corp. (Forest), sustained injury when a 60-80 pound conduit pipe fell on his hand. Forest had been hired by defendant J.T. Magen Construction Company, Inc. (Magen) to overhaul the electrical system in offices leased by defendant Dechert, LLP (Dechert) from the building owner, defendant 1095 Avenue of the Americas, L.L.C. (1095).

As part of the overhaul, Forest was responsible for the installation of conduit piping through the building's floors. The conduit enabled telecommunication wires to run from the building's sub-cellar through each floor's respective telecom-

munication closet. The run of conduit on each floor contains a “pencil box” that provides access to the telecommunication wire.

On the day of the incident, plaintiff was relocating a pencil box that Forest had installed the previous week. The pencil box was situated between, and affixed to, two pieces of conduit that were four inches in diameter. The top section of conduit was 8 to 10 feet long and ran vertically from the top of the pencil box to the ceiling; the lower section ran vertically from the bottom of the pencil box to the floor. The top conduit was connected to a similar horizontal conduit near the ceiling by a four-inch compression coupling.

The pencil box proper was secured by a metal “Kindorf support.” Because the pencil box was obstructing conduit that was to be installed adjacent to the box, plaintiff had to move it, which required him to drill holes in the floor to relocate the Kindorf support. Before drilling the holes, however, plaintiff cut through the conduit just above and below the pencil box. He then removed the pencil box leaving the top conduit dangling by the compression coupling near the ceiling. Plaintiff knelt on the floor to begin drilling. Approximately 15 minutes later, while plaintiff was drilling, the top conduit fell, striking plaintiff on the hand.

Plaintiff thereafter brought this action against defendants and others, asserting, as relevant here, that defendants violated Labor Law § 240 (1). That statute provides that

“[a]ll contractors and owners and their agents, except owners of one and two-family dwellings who contract for but do not direct or control the work, in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.”

After joinder of issue and completion of discovery, defendants 1095 and Magen moved for summary judgment dismissing the section 240 (1) cause of action. Plaintiff opposed the motion and cross-moved for partial summary judgment on liability against

1095, Magen and Dechert,¹ claiming, in reliance on plaintiff's deposition testimony, that a more secure "set screw coupling,"² rather than the purportedly inadequate compression coupling, should have been used to secure the top conduit. Supreme Court granted plaintiff's motion for partial summary judgment on liability, and denied defendants' motion seeking to dismiss the section 240 (1) claim, holding that the conduit, being attached to the ceiling by a compression coupling that failed, was not properly secured so as to afford plaintiff protection (2011 NY Slip Op 31529[U] [2011]).

A divided Appellate Division modified the order of Supreme Court by denying plaintiff's motion for summary judgment, holding that plaintiff failed to establish as a matter of law that defendants' failure to provide a protective device, i.e., a set screw coupling, was a proximate cause of his accident, but otherwise affirmed the order (98 AD3d 864, 865 [1st Dept 2012]). The dissenting Justice contended that the coupling did not constitute a statutory safety device of the kind enumerated in section 240 (1) and therefore defendants should have been granted summary judgment (*id.* at 876 [Tom, J., dissenting]). The Appellate Division certified the following question to this Court: "Was the order of the Supreme Court, as modified by this Court, properly made?" We answer the certified question in the negative.

Labor Law § 240 (1) as cited above requires owners and contractors to provide proper protection to those working on a construction site (*see Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 513 [1991]). It imposes absolute liability where the failure to provide such protection is a proximate cause of a worker's injury (*see Wilinski v 334 E. 92nd Hous. Dev. Fund Corp.*, 18 NY3d 1, 7 [2011]).

In order to prevail on summary judgment in a section 240 (1) "falling object" case, the injured worker must demonstrate the existence of a hazard contemplated under that statute "and the failure to use, or the inadequacy of, a safety device of the kind enumerated therein" (*Narducci v Manhasset Bay Assoc.*, 96 NY2d 259, 267 [2001], citing *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 501 [1993]). Essentially, the plaintiff must demonstrate that at the time the object fell, it either was being

1. Dechert did not move for summary judgment.

2. A set screw coupling has two screws on both sides that are placed into the conduit and are tightened with either a ratchet or screwdriver, thereby locking the conduit in place.

“hoisted or secured” (*Narducci*, 96 NY2d at 268), or “required securing for the purposes of the undertaking” (*Outar v City of New York*, 5 NY3d 731, 732 [2005]; see *Quattrocchi v F.J. Sciamè Constr. Corp.*, 11 NY3d 757, 759 [2008]). Contrary to the dissent’s contention, section 240 (1) does not automatically apply simply because an object fell and injured a worker; “[a] plaintiff must show that the object fell . . . *because of* the absence or inadequacy of a *safety device* of the kind enumerated in the statute” (*Narducci*, 96 NY2d at 268 [second emphasis supplied]).

The Appellate Division properly concluded that plaintiff had not established entitlement to summary judgment on liability. It erred, however, in denying summary judgment to defendants 1095 and Magen, because they established as a matter of law that the conduit did not fall on plaintiff due to the absence or inadequacy of an enumerated safety device.

The compression coupling, which plaintiff claims was inadequate, is not a safety device “constructed, placed and operated as to give proper protection” from the falling conduit. Its only function was to keep the conduit together as part of the conduit/pencil box assembly. The coupling had been installed a week before the incident and had been serving its intended purpose until a change order was issued and plaintiff dismantled the conduit/pencil box assembly. Plaintiff’s argument that the coupling itself is a safety device, albeit an inadequate one, extends the reach of section 240 (1) beyond its intended purpose to any component that may lend support to a structure. It cannot be said that the coupling was meant to function as a safety device in the same manner as those devices enumerated in section 240 (1).

It follows that defendants’ failure to use a set screw coupling is not a violation of section 240 (1)’s proper protection directive.³ A set screw coupling, utilized in the manner proposed by plaintiff, is not a safety device within the meaning of the statute. Plaintiff concedes that compression and set screw couplings are “basic couplings” that serve identical purposes, namely, to function as support for the conduit/pencil box assembly, not to provide worker protection. Given that either coupling would have served the purpose, it is of no moment that defendants

3. The Appellate Division erroneously stated that plaintiff had “requested a set screw coupling to secure the pipe to prevent the pipe from falling during the disassembly” when he had been directed to move the pencil box (98 AD3d at 865). The record demonstrates that plaintiff requested a set screw coupling a week before the incident for a task unrelated to the one at issue.

utilized compression couplings rather than set screw couplings as part of the assembly.

Accordingly, on the appeal by defendants 1095 and Magen, the order of the Appellate Division should be reversed, with costs, the motion by defendants 1095 and Magen for summary judgment dismissing the section 240 (1) claims against them should be granted, and the certified question answered in the negative. The appeal, insofar as taken by Dechert, should be dismissed, without costs.⁴

Chief Judge LIPPMAN (dissenting). It seems clear to me that plaintiff has established his entitlement to summary judgment by demonstrating that his gravity-related injury was proximately caused by the defendants' failure to provide an adequate safety device. Therefore, I dissent.

Plaintiff, an electrician, was injured in the course of repositioning a "pencil box" that served as an access point for telecommunication wires. Plaintiff was assigned this task pursuant to a "change order" intended to remedy an error committed by his employer. Specifically, upon its original installation approximately a week earlier, the pencil box had been positioned in such a way that it threatened to obstruct part of the building infrastructure yet to be installed.

To accomplish the task, plaintiff disconnected the box from a structure known as a "Kindorf support," which anchored the box to the floor and the wall, and also from two sections of conduit pipe running above and below the pencil box, respectively. After the pencil box was disassembled from its supports, a considerable length of galvanized steel conduit, weighing 60-80 pounds, was left hanging above plaintiff as he knelt below to drill. The conduit was connected to another section of pipe near the ceiling by a compression coupling, which is essentially a cylindrical metal sleeve that tightens around the ends of two pipes to secure them together. Next, plaintiff drilled holes in the concrete floor in preparation for relocating the Kindorf. When he commenced the drilling, the suspended conduit came loose from its coupling and plummeted to the floor, crushing plaintiff's right thumb.

Section 240 (1) of the Labor Law imposes absolute liability on certain contractors, owners and their agents when their failure

4. Since Dechert did not move for summary judgment and the Appellate Division denied plaintiff's motion for summary judgment, Dechert was not aggrieved by the Appellate Division order.

to provide an adequate safety mechanism caused a worker's injury in a gravity-related accident. Our recent precedent in this area makes it clear that, in determining whether section 240 (1) applies, " 'the dispositive inquiry . . . does not depend upon the precise characterization of the device employed' " (*Wilinski v 334 E. 92nd Hous. Dev. Fund Corp.*, 18 NY3d 1, 10 [2011], quoting *Runner v New York Stock Exch., Inc.*, 13 NY3d 599, 603 [2009]). It follows that the availability of statutory protection here should not depend on whether couplings can be characterized as safety devices under section 240 (1), or whether they should be considered part of a building's permanent infrastructure.

" 'Rather, the single decisive question is whether plaintiff's injuries were the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential' " (*id.* [emphasis omitted]). Accordingly, the crucial legal questions arising from the face of this record are whether the task of repositioning the pencil box entailed an elevation-related risk that triggered defendants' duty to supply adequate safety devices, and whether the failure to do so caused the accident.

Clearly, plaintiff was exposed to a gravity-related hazard within the meaning of the statute. Kneeling on the floor to drill, he was situated several feet below a 60-to-80-pound segment of conduit pipe made of galvanized steel. The conduit was attached to the pipe above by only a compression coupling whose grip was inadequate to withstand the vibrations of drilling. "The elevation differential here involved cannot be viewed as de minimis, particularly given the weight of the object and the amount of force it was capable of generating, even over the course of a relatively short descent" (*Runner*, 13 NY3d at 605).

As to the question of proximate cause, the record evidence shows that the absence of an effective safety device caused plaintiff's injury. It requires little imagination to conclude that a tool capable of stabilizing the conduit pipe—whether brace, clamp, coupling, or otherwise—would be precisely the sort of device contemplated by section 240 (1). Without such a device, however, the pipe was insufficiently secure and plaintiff incurred injury as a result. As the motion court aptly summarized, "the conduit was disconnected from the Kindorf[] support and only attached to the ceiling by a compression coupling, and because it fell, it was not secured as to give plaintiff proper protection" (*Fabrizi v 1095 Ave. of the Americas, L.L.C.*, 2011 NY Slip Op 31529[U], *11 [Sup Ct, NY County 2011]).

By focusing myopically on whether couplings fall under the statute, the majority loses sight of defendants' burden on summary judgment. To prevail, it is not enough for defendants to argue that a particular alternative device can be sensibly distinguished from those enumerated in the statute. Instead, they must demonstrate either the absence of a gravity-related risk or, where the risk posed by the elevation differential is readily apparent, a deficient causal nexus between the failure to provide a safety device and plaintiff's injury.

Defendants did raise a challenge with regard to causation in arguing that plaintiff's method of performing the work unnecessarily created the risk. According to defendants, as well as the dissent in the Appellate Division, plaintiff singlehandedly caused the accident by dismantling the pencil box prior to drilling holes in the floor. However, there was no evidence presented that this *modus operandi* constituted anything but standard procedure in the trade. Plaintiff made a *prima facie* showing that he had performed the same task four or five times in the course of his career and had routinely undertaken it in an identical manner. In opposition, defendants failed to raise a triable issue of fact as to whether plaintiff's own conduct was the proximate cause of the accident (*see e.g. McCallister v 200 Park, L.P.*, 92 AD3d 927, 929 [2d Dept 2012]; *Kempisty v 246 Spring St., LLC*, 92 AD3d 474, 474-475 [1st Dept 2012]; *cf. Quattrocchi v F.J. Sciamme Constr. Corp.*, 11 NY3d 757, 759 [2008] [triable issue of fact as to whether plaintiff caused the accident where he was warned not to enter the accident area]).

In sum, defendants' proof failed to rebut plaintiff's *prima facie* showing that his injury resulted from the absence of a safety device capable of guarding against the gravity-related risk. Accordingly, I would grant summary judgment to plaintiff. In reaching a contrary result, the majority imposes an undue burden on plaintiff that serves only to frustrate the Labor Law's salutary purpose of ensuring worker protection.

Judges GRAFFEO, READ and SMITH concur with Judge Pigott; Chief Judge LIPPMAN dissents in an opinion in which Judge RIVERA concurs; Judge ABDUS-SALAAM taking no part.

On appeal by defendants 1095 Avenue of the Americas, L.L.C. and J.T. Magen Construction Company, Inc., order reversed, with costs, motion by those defendants for summary judgment dismissing the Labor Law § 240 (1) claim as against them

granted and certified question answered in the negative. Appeal, insofar as taken by defendant Dechert, LLP, dismissed, without costs, upon the ground that it is not a party aggrieved (CPLR 5511).

[8 NE3d 317, 985 NYS2d 202]

GLENFORD MORRIS, Respondent, v PAVARINI CONSTRUCTION et al., Appellants.

Argued January 9, 2014; decided February 20, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 4, 2012. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Mary Ann Brigantti-Hughes, J.), which had granted defendants' motion for summary judgment dismissing plaintiff's Labor Law § 241 (6) claim, predicated on a violation of 12 NYCRR 23-2.2 (a); and (2) upon a search of the record, granted summary judgment to plaintiff. The following question was certified by the Appellate Division: "Was the decision and order of this Court, which reversed the order of the Supreme Court, properly made?"

Morris v Pavarini Constr., 98 AD3d 841, affirmed.

HEADNOTE

Labor — Safe Place to Work — Liability for Falling Component of Concrete Form

In an action to recover damages pursuant to Labor Law § 241 (6) for injuries plaintiff carpenter sustained at a construction site when a large, flat object fell on and injured his hand, the testimony adduced at the framed-issue hearing established that the object that fell on plaintiff was a back wall panel, which was a component of a concrete form under assembly at the time of the injury, and that the back wall was the type of component which could be subjected to the requirements of 12 NYCRR 23-2.2 (a). The expert testimony supported the conclusion that the language of 12 NYCRR 23-2.2 (a), which requires concrete forms to be structurally safe and properly braced or tied together so as to maintain position and shape, could sensibly be applied to other than a completed form, and may apply to a wall component. Moreover, the ongoing inspection requirement contained in 12 NYCRR 23-2.2 (b), applicable only to periods of the "placing of concrete," does not limit the mandatory bracing and tying requirement of subdivision (a) to completed forms. Rather, it merely recognizes that during that stage of concrete work, the stability of the form is specially vulnerable and requires particular attention, as noted by its other requirement that "[a]ny unsafe condition shall be remedied immediately" (12 NYCRR 23-2.2 [b]). Interpreting the regulation to apply only to completed forms would result in diminished protections for workers during the assembly of forms, as compared with the concrete pouring process stage of the work, a reading of the regulation that runs counter to its text and undermines the legislative intent to ensure worker safety.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 256, 258, 263–265, 267, 268.
McKINNEY'S, Labor Law § 241 (6).
12 NYCRR 23-2.2 (a), (b).
NY JUR 2d, Employment Relations §§ 255, 282, 283, 285, 308–311, 317.

ANNOTATION REFERENCE

See ALR Index under Concrete and Cement; Occupational Safety and Health.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /3 safety & concrete /2 form & expert

POINTS OF COUNSEL

London Fischer LLP, New York City (*David B. Franklin* and *Daniel Zemann, Jr.*, of counsel), for appellants. I. 12 NYCRR 23-2.2 (a) can only be sensibly applied to completed forms which are serving as a mold for liquid concrete. (*Mueller v PSEG Power N.Y., Inc.*, 83 AD3d 1274; *McCormick v 257 W. Genesee, LLC*, 78 AD3d 1581; *People v Giordano*, 87 NY2d 441; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Matter of Albano v Kirby*, 36 NY2d 526.) II. The First Department's opinion ignores this Court's instructions and sets forth an unworkable standard. (*Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494.) III. The language of comparable code provisions underscores that 12 NYCRR 23-2.2 (a) is only intended to apply to completed forms. (*Nostrom v A.W. Chesterton Co.*, 15 NY3d 502.)

Hill & Moin LLP, New York City (*Cheryl Eisberg Moin* of counsel), for respondent. This Court rejected the argument that 12 NYCRR 23-2.2 (a) may not as a matter of law apply to uncompleted forms; the uncontradicted testimony supports the sensibility of applying the regulation at bar. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Kane v Coundorous*, 293 AD2d 309; *Amato v State of New York*, 241 AD2d 400, 91 NY2d 805; *Mueller v PSEG Power N.Y., Inc.*, 83 AD3d 1274; *McCormick v 257 W. Genesee, LLC*, 78 AD3d 1581.)

OPINION OF THE COURT

RIVERA, J.

Defendants Pavarini Construction and Vornado Realty Trust appeal, pursuant to leave granted by the Appellate Division, from an order of that court that reversed, on the law, a Supreme Court order granting their motion for summary judgment dismissing plaintiff Glenford Morris' Labor Law § 241 (6) claim, which is predicated upon a violation of 12 NYCRR 23-2.2 (a). Upon a search of the record, the court granted summary judgment to plaintiff (98 AD3d 841 [2012]). The Appellate Division would later certify the following question to this Court: "Was the decision and order of this [c]ourt, which reversed the order of the Supreme Court, properly made?" We affirm the Appellate Division order and answer the certified question in the affirmative.

This is the second time the matter is before us, the Court having rendered a decision in this case in July 2007 reversing and remitting the matter to Supreme Court so that the parties could develop a fuller record on which to decide plaintiff's section 241 (6) claim (*see* 9 NY3d 47 [2007]).

I.

Plaintiff is a carpenter who was working at a building construction site in Manhattan when a large, flat object fell on and injured his hand. He commenced this personal injury action against defendants, the construction manager and owner of the building, alleging common-law negligence and violations of Labor Law §§ 200, 240, and 241 (6). As relevant to this appeal, in support of his section 241 (6) claim plaintiff alleged to Supreme Court that the object that fell on his hand was a "form" subject to specific safety requirements under Industrial Code (12 NYCRR) § 23-2.2 (a). A form refers to a mold used in the shaping and solidification of concrete. Defendants countered that the object was not a "form" within the meaning of the Industrial Code because it was only one side of an as-yet uncompleted form; in other words a component of an unfinished form.

Supreme Court denied defendants' motion to dismiss plaintiff's section 241 (6) claim.¹ The Appellate Division reversed,

1. Supreme Court granted defendants' motion to dismiss plaintiff's section 200 and common-law negligence claims, and plaintiff agreed by stipulation to discontinue his section 240 claim.

granted the motion and dismissed the claim, holding that 12 NYCRR 23-2.2 (a) did not apply to plaintiff's section 241 (6) claim because "the form at issue was still in the process of being created" (30 AD3d 177, 178 [2006]).

We granted plaintiff's motion for leave to appeal (8 NY3d 801 [2007]), reversed the Appellate Division order, and remitted the matter for further proceedings (9 NY3d at 51). We held that while the first sentence of section 241 (6) reiterates a common-law standard of care, the second sentence requires owners and contractors to comply with the Commissioner of Labor's rules (9 NY3d at 50), and where such a rule or regulation imposes a "specific, positive command[]," owners and contractors are subject to a nondelegable duty (*id.*, quoting *Allen v Cloutier Constr. Corp.*, 44 NY2d 290, 297 [1978]). We found a specific requirement in section 12 NYCRR 23-2.2 (a) which mandates that "forms" be "braced or tied together so as to maintain position and shape" (9 NY3d at 50).

We concluded that the Appellate Division should not have granted summary judgment based on the record as then developed. While the interpretation of the regulation presented a question of law, we determined that "the meaning of specialized terms in such a regulation is a question on which a court must sometimes hear evidence before making its determination" (*id.* at 51, citing *Millard v City of Ogdensburg*, 274 AD2d 953, 954 [4th Dept 2000]), and remitted the matter to Supreme Court for a framed-issue hearing on whether "the words of the regulation can sensibly be applied to anything but completed forms" (9 NY3d at 51).

At the hearing before Supreme Court, the parties introduced expert testimony on how forms are assembled, and how component parts and completed forms are stabilized and secured at construction sites. Defendants introduced the testimony of a structural engineer, with 30 years' experience, who described a concrete form as "an assembly of all kinds of components" including form panels, and defined a brace as "a structural element" used to hold "the form in place so it won't move and shift." He also testified that a form wall must be secured in order to resist the impact of wind loads. On cross-examination, he testified that in addition to wind loads, forms must resist other types of impact, including human contact like being bumped by a worker. He admitted that the first side of a form that is put up, called the back component of the form, could be braced in order to prevent it from falling, and that braces can be installed when the back wall is raised.

Plaintiff introduced testimony of two experts, one a civil engineer with a Master's degree in transportation engineering, and the other, a carpenter with over 20 years of experience working on construction involving concrete form work. Plaintiff's engineer testified that it was important to brace forms because they needed support to withstand the impact of wind loads that might "turn the wall over," and that bracing was necessary to resist the impact of vibrations common to construction sites. He testified that once a form wall goes up "you would have to brace it because it could be inherently unstable at that point," because of blowing wind, bumping, and vibrations. In describing bracing during the assembly process, he testified that as a wall goes up it is braced, and the bracing "would run from the wall of the form . . . diagonal[ly] down to the ground." Plaintiff's carpenter expert testified that a brace ensures that a wall does not fall over, and that braces could run from the top of the form and be bolted or nailed to concrete blocks. At the conclusion of the expert's testimony, the court permitted plaintiff to testify briefly about the nature of the object that fell on his hand, which he described as 30 feet by 30 feet.

Supreme Court thereafter granted defendants' summary judgment motion and dismissed plaintiff's section 241 (6) claim. The court concluded that the back form wall was part of an entire form, and as such did not come within the coverage of the regulation or section 241 (6). Plaintiff appealed.

The Appellate Division, with one Justice dissenting, reversed on the law, and, upon a search of the record, granted summary judgment to plaintiff (98 AD3d at 841). According to the majority, the expert testimony showed that the regulation could apply to forms as they were being constructed, and that a back form must be braced to maintain its position. The majority held that erection of the back form wall is the first step in the process of bracing and/or tying a form, such that it would defy common sense to maintain that the entire form could be structurally safe and maintain its "position and shape" pursuant to 12 NYCRR 23-2.2 (a) without a proper brace (*id.* at 842). Justice Presiding Tom dissented, and argued, *inter alia*, that the focus of 12 NYCRR 23-2.2 (a) "is the structural integrity of the form during the placement of concrete" (*id.* at 845), and that the expert testimony was consistent with this interpretation. Defendants now appeal pursuant to leave granted by the Appellate Division (2013 NY Slip Op 60455[U] [1st Dept 2013]).

II.

Labor Law § 241 (6) states that

“[a]ll areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places. The commissioner may make rules to carry into effect the provisions of this subdivision, and the owners and contractors and their agents for such work, except owners of one and two-family dwellings who contract for but do not direct or control the work, shall comply therewith.”

The legislative intent of section 241 (6) is to ensure the safety of workers at construction sites (*Nagel v D & R Realty Corp.*, 99 NY2d 98, 102 [2002] [“That the Legislature sought to protect workers from industrial accidents specifically in connection with construction, demolition or excavation work is, therefore, patent”]). As we stated in our 2007 opinion, the statute sets forth the common-law standard of care and mandates compliance with the Commissioner of Labor’s rules, including any nondelegable duty imposed on owners and contractors set forth in those rules (9 NY3d at 50). We found such nondelegable duty in the mandate set forth in 12 NYCRR 23-2.2 (a) that “forms” be “braced or tied together so as to maintain position and shape” (*id.*), and concluded the record needed further development to determine the applicability of the regulation to plaintiff’s case (*id.* at 51).

On this appeal, following the framed-issue hearing and opinions of Supreme Court and the Appellate Division on the legal question of the applicability of 12 NYCRR 23-2.2 (a) to plaintiff’s case, defendants reassert their argument with renewed vigor that the regulation applies only to completed forms, and not to the back form wall which caused plaintiff’s injuries. According to defendants, the operative regulatory language that imposes more than a general duty of care requires that forms “shall be properly braced or tied together to maintain position and shape,” and the expert testimony established that this requirement cannot sensibly be applied to one side of a form standing on its own because it has no shape to maintain. Defendants contend this is the only plausible reading of 12

NYCRR 23-2.2 (a) because the regulation is intended to address the dangers associated with the “blow out” or collapse of a form containing liquid concrete. Plaintiff, in turn, argues no less vigorously that the experts made clear that the bracing required by 12 NYCRR 23-2.2 (a) may be applied to a single form wall for purposes of ensuring worker safety and to maintain the form wall’s position and shape. Any other reading, plaintiff argues, is nonsensical because of the danger posed to workers from the hoisting of a single form wall to a vertical position during the assembly of the form, and the wall’s vulnerability to collapse from a variety of construction site events.

The testimony adduced at the framed-issue hearing establishes that the object that fell on plaintiff was a back wall panel, which was a component of a form under assembly at the time of the injury, and that the back wall is the type of component which can be subjected to the requirements of 12 NYCRR 23-2.2 (a).² The experts testified that a back wall must be braced once it is hoisted up to a vertical position in order to withstand the impact of external as well as internal conditions on the wall. They testified that a brace could be installed when a back wall is hoisted in order to stabilize it specifically against collapse from the external condition of wind loads. Defendants’ expert testified that wind loads are “part of the loads that the form assembly has to resist,” and that braces could be installed when the first wall (the back wall) is put up. He further testified that once the wall is raised it could maintain this position by placement of a brace that prevents the back wall from falling.

Plaintiff’s engineer testified that a form wall must be braced otherwise it topples over, and that the only way to prevent a wall from turning over from a wind load blowing on it is “by having a brace.” He also testified that once the back wall goes up it is braced, and that both walls did not need to be in place to install a brace. Moreover, he testified that, once up, the wall may be standing for some period, possibly up to days at a time, before the form is completed, a reality of construction work also

2. Our dissenting colleague argues that the regulation does not apply here because the framed-issue hearing testimony establishes that a “form” commonly refers to a completed form. However, in 2007 we stated that the object that injured plaintiff “was not a completed form, but was part or all of one of a form’s sides” (9 NY3d at 49). We remitted for a framed-issue hearing not to determine whether the object constitutes a completed form, but to determine whether the regulation could “sensibly be applied to anything but completed forms” (*id.* at 51). Upon reviewing the testimony of the framed-issue hearing, we believe that it can.

admitted by defendants' expert. Plaintiff's carpenter expert reiterated the importance of bracing before the front wall is attached, in order to keep the wall from falling.

Despite the expert testimony supporting the application of the regulation to other than completed forms, defendants argue that the regulation's subdivision (b), titled "Inspection," which requires that certain designated persons make continuous inspections to ensure "the stability of all forms, shores and re-shores including all braces and other supports *during the placing of concrete*," similarly limits the mandatory bracing and tying requirement of subdivision (a) to completed forms (12 NYCRR 23-2.2 [b] [emphasis added]). Defendants' argument is unpersuasive. The ongoing inspection requirement contained in subdivision (b), applicable only to periods of the "placing of concrete," merely recognizes that during this stage of concrete work, the stability of the form is specially vulnerable and requires particular attention, as noted by its other requirement that "[a]ny unsafe condition shall be remedied immediately" (*id.*). Interpreting the regulation as defendants suggest would result in diminished protections for workers during the assembly of forms, as compared with the concrete pouring process stage of the work, a reading of the regulation that runs counter to its text and undermines the legislative intent to ensure worker safety.

The expert testimony supports the conclusion that the language of 12 NYCRR 23-2.2 (a) can sensibly be applied to other than a completed form, and may apply to a wall component. Therefore, the Appellate Division properly reversed Supreme Court's order and, moreover, did not abuse its discretion as a matter of law by granting summary judgment to plaintiff (*see generally Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106, 111 [1984]; *see also* CPLR 3212 [b]).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

PIGOTT, J. (dissenting). Plaintiff's Labor Law § 241 (6) claim hinges on defendants' alleged violation of 12 NYCRR 23-2.2 entitled "concrete work" and specifically subdivision (a) thereof, which states, as relevant here, that "[f]orms . . . shall be structurally safe and shall be properly braced or tied together so as to maintain position and shape." When this case was before us in 2007 (9 NY3d 47 [2007]), we concluded that the words

“braced or tied together so as to maintain position and shape” were specific enough to establish liability under section 23-2.2 (a), but that a “more complete record” was necessary concerning “the nature of the object that caused the injury and the opinions of those expert in the construction of concrete walls as to whether the words of the regulation can sensibly be applied to anything but completed forms” (*id.* at 50-51).

The testimony at the “framed issue” hearing was clear that a form was just that, a completed form; and that the regulation could not be reasonably interpreted as applying to anything but completed forms. For that reason, I dissent and would answer the certified question in the negative.

On its face, the aim of the regulation at issue is to ensure the structural integrity of “forms” that have been assembled as part of the concrete work. Even plaintiff’s expert conceded that forms are constructed by erecting a “form wall,” placing rebar in the middle, erecting a back form wall and then tying it together. He further explained that whenever concrete is poured, it must be poured into a form.

It is of no moment that both sides’ experts agreed that a form “wall” should be braced before the form is completed to ensure that it does not tip over during the process of constructing the form. The issue is not whether such bracing *should* be used to support a form “wall” or whether such bracing *could* be utilized as such support but, rather, whether section 23-2.2 (a) was designed to address the bracing of a form wall in the first place. In my view, the majority’s interpretation expands the reach of the regulation to include the bracing of an object, i.e., a form “wall” that is absent from the regulation, which directs that “forms” (and not a form wall) “be properly braced or tied together.”

Simply put, although plaintiff may have been struck by a form “wall,” he was not injured by a “form” and, more specifically, was not the victim of a type of accident this section was designed to prevent.* Had the regulation required that a form “wall” be braced “so as to maintain position and shape”—as the majority claims it should be interpreted—then that interpretation would be consistent with the regulation’s directives. But a cursory glance at the regulation provides the answer:

* Plaintiff asserted another cause of action under the Labor Law that may have been more appropriate, but he stipulated to its discontinuance (*see* Labor Law § 240).

“*Forms . . . shall be properly braced or tied together so as to maintain position and shape.*” Once the forms are erected, they are ready for a concrete pour, but that does not necessarily mean that the concrete will be ready for pouring at that moment. The regulation is there to ensure that such forms maintain their position and shape both before and during the pour, which can be done through either bracing or tying together. 12 NYCRR 23-2.2 (b) underscores that the regulation as a whole applies to completed forms, as it provides that “the stability of all forms . . . including all braces and other supports” must be continuously inspected “during the placing of concrete.” Indeed, section 23-2.2 (b) and section 23-2.2 (a) can be read in tandem as applying to completed forms; the latter provision requires that forms be braced or tied together even before the concrete pour (so as to protect against wind loads and vibrations), while the former provision affords protection to workers against the increased load on the forms by the liquid concrete. Because the majority interprets section 23-2.2 (a) in an extremely broad manner that finds no support in the testimony presented by the experts, I respectfully dissent.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and ABDUS-SALAAM concur with Judge RIVERA; Judge PIGOTT dissents in an opinion.

Order affirmed, with costs, and certified question answered in the affirmative.

[8 NE3d 324, 985 NYS2d 209]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LUIS GUAMAN, Appellant.

Argued January 9, 2014; decided February 25, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered June 27, 2012. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Robert M. Mandelbaum, J.), which had convicted defendant, upon a plea of guilty, of forcible touching.

People v Guaman, 36 Misc 3d 128(A), 2012 NY Slip Op 51203(U), affirmed.

HEADNOTE

Crimes — Forcible Touching — Requisite Force — Rubbing

Once the relevant mens rea element of the crime of forcible touching has been established, any bodily contact involving the application of some level of pressure to the victim's sexual or intimate parts qualifies as a forcible touch within the meaning of Penal Law § 130.52. As provided by section 130.52, a person is guilty of forcible touching when he or she "intentionally, and for no legitimate purpose, forcibly touches the sexual or other intimate parts of another person for the purpose of degrading or abusing such person; or for the purpose of gratifying the actor's sexual desire." The statute provides examples of forcible touching as "squeezing, grabbing or pinching." However, the examples do not limit forcible touching to acts likely to result in pain or at least nontrivial discomfort. Instead, as intended by the legislature, they signal a low threshold for the forcible component of the crime's actus reus. Force is commonly defined as strength or energy exerted or brought to bear. To "rub" is to move along the surface of a body with pressure or back and forth with pressure and friction. Since the use of "pressure" or "friction" brings strength or energy to bear, the act of rubbing also qualifies as a forcible touch. Characterizing rubbing as a forcible touch does not remove the distinction between forcible touching and third-degree sexual abuse, since the mens rea elements for each crime are different (*see* Penal Law §§ 130.55, 130.00 [3]). Accordingly, the accusatory instrument charging defendant with forcible touching based on allegations that he rubbed his exposed penis against another man's buttocks without consent sufficiently satisfied the forcible touch element of the crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery § 8; AM JUR 2d, Sodomy § 29.

McKINNEY'S, Penal Law §§ 130.00 (3); 130.52, 130.55.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 662–665, 667, 670.

ANNOTATION REFERENCE

See ALR Index under Abuse of Persons; Assault and Battery; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Dechert LLP, New York City (*James M. McGuire* of counsel), and *Steven Banks, The Legal Aid Society* (*Lawrence T. Hausman* of counsel), for appellant. Because no facts establishing a forcible touching were alleged, the information was jurisdictionally defective. (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Riefberg*, 58 NY2d 134; 242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co., 31 AD3d 100; *We're Assoc. Co. v Cohen, Stracher & Bloom*, 65 NY2d 148; *People v Nuruzzman*, 8 Misc 3d 356; *People v Chiddick*, 8 NY3d 445; *People v Bac Tran*, 80 NY2d 170; *People v Dethloff*, 283 NY 309; *People v Gowdy*, 38 Misc 3d 143[A], 2013 NY Slip Op 50263[U]; *People v Guinn*, 37 Misc 3d 28.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Yuval Simchi-Levi* and *Alan Gadlin* of counsel), for respondent. The criminal court information was facially sufficient to charge defendant with forcible touching. (*People v Suber*, 19 NY3d 247; *People v Allen*, 92 NY2d 378; *People v Kalin*, 12 NY3d 225; *People v Henderson*, 92 NY2d 677; *People v Jackson*, 18 NY3d 738; *People v Casey*, 95 NY2d 354; *People v Love*, 306 NY 18; *People v Bartlett*, 89 AD3d 1453, 18 NY3d 881; *People v Pardew*, 20 Misc 3d 129[A], 2008 NY Slip Op 51383[U], 11 NY3d 792; *People v Powell*, 19 Misc 3d 364.)

OPINION OF THE COURT

READ, J.

Around 4:25 p.m. on April 8, 2009, inside the subway station at Lexington Avenue and E. 42nd Street, defendant Luis Guaman rubbed his exposed penis against another man's buttocks. A Transit Division police officer observed this take place and

arrested defendant. The unwitting victim confirmed to the police officer that he had not consented to defendant's sexual advance.

Defendant was charged with third-degree sexual abuse (Penal Law § 130.55), forcible touching (Penal Law § 130.52) and public lewdness (Penal Law § 245.00). The accusatory instrument, a misdemeanor complaint dated April 9, 2009 and attested to by the arresting officer, stated as relevant to this appeal that

“the defendant subjected another person to sexual contact without the latter's consent; in that the defendant intentionally, and for no legitimate purpose, forcibly touched the sexual and other intimate parts of another person for the purpose of degrading and abusing such person, and for the purpose of gratifying the defendant's sexual desire; . . .

“[D]eponent observed the defendant (i) approach and stand directly behind [the victim], (ii) defendant then removed defendant's penis from defendant's pants exposing defendant's penis to open and public view, and (iii) rubbed defendant's groin area and exposed penis against [the victim's] buttocks. Deponent further states that deponent is informed by [the victim], of an address known to the District Attorney's Office, that [the victim] did not consent to defendant[s] touching [him] in any manner.”

In a supporting deposition dated April 16, 2009, the victim swore to his lack of consent, thus converting the accusatory instrument into an information by providing a nonhearsay basis for the allegation that the touching was nonconsensual.¹

On October 21, 2009, after a hearing, the judge denied defendant's motion to suppress identification evidence and statements. The next day defendant pleaded guilty to forcible touching in full satisfaction of the information. Section 130.52 of the Penal Law defines this crime as follows:

“A person is guilty of forcible touching when such person intentionally, and for no legitimate purpose, forcibly touches the sexual or other intimate parts of another person for the purpose of degrading or

1. Lack of consent is an element of every sexual offense in article 130 of the Penal Law, and, with respect to the crime of forcible touching, results from “any circumstance[] . . . in which the victim does not expressly or impliedly acquiesce in the actor's conduct” (Penal Law § 130.05 [2] [c]).

abusing such person; or for the purpose of gratifying the actor's sexual desire.

“For the purposes of this section, forcible touching includes squeezing, grabbing or pinching.”

The judge sentenced defendant to a conditional discharge with three days of community service in lieu of 30 days in jail.

Defendant appealed, arguing that the information was jurisdictionally defective because simply stating that he “rubbed” his groin and exposed penis against the victim's intimate parts did not fulfill the forcible component of the crime. Defendant took the position that rubbing did not entail force as called for by the statute because it was not akin to the statutory examples of “squeezing, grabbing or pinching.”

In a decision and order dated June 27, 2012, the Appellate Term unanimously affirmed the judgment (36 Misc 3d 128[A], 2012 NY Slip Op 51203[U] [App Term, 1st Dept 2012]). The court concluded that “ ‘given a fair and not overly restrictive or technical reading,’ ” the information's factual allegations were “sufficient for pleading purposes to establish reasonable cause to believe and a prima facie case that defendant committed the crime of forcible touching” (*id.* at *1, quoting *People v Casey*, 95 NY2d 354, 360 [2000]). Further, “[a]t the pleading stage, the sworn allegation that the victim did not consent to any sexual contact is ‘sufficiently evidentiary in character’ to support the lack of consent element of the charged crime” (*id.*, citing *People v Allen*, 92 NY2d 378, 385 [1998]). On October 4, 2012, a Judge of this Court granted defendant leave to appeal (19 NY3d 1102 [2012]). We now affirm.

To be facially sufficient, the allegations in the factual portion of a misdemeanor complaint, together with any accompanying supporting depositions, must provide “ ‘reasonable cause’ to believe that the defendant committed the charged offense” (*People v Kalin*, 12 NY3d 225, 228 [2009]; see CPL 100.40 [4] [b]). Additionally, “an information must set forth ‘nonhearsay allegations which, if true, establish every element of the offense charged and the defendant's commission thereof’ ” (*Kalin* at 228-229, quoting *People v Henderson*, 92 NY2d 677, 679 [1999]). This is known as the “prima facie case requirement,” which is not nearly so stringent as the burden of proof beyond a reasonable doubt required to convict or even the legally sufficient evidence necessary to survive a motion to dismiss (*id.* at 229-230; CPL 100.40 [1] [c]). Rather, as the Appellate Term noted, we

have held that “[s]o long as the factual allegations of an information give an accused notice sufficient to prepare a defense and are adequately detailed to prevent a defendant from being tried twice for the same offense, they should be given a fair and not overly restrictive or technical reading” (*Casey*, 95 NY2d at 360).

Here, defendant claims that the information does not meet even these minimal standards because the factual allegation that he “rubbed” his groin and exposed penis against the victim’s buttocks does not establish the kind or level of force required by Penal Law § 130.52. This is so, he argues, because “squeezing, grabbing or pinching,” the statutory examples, “share a common core”; namely, “[i]n all three, a sexual or intimate part of the victim is compressed between two objects.” And while a squeeze, grab, or pinch “can be so gentle as to entail virtually no manual pressure,” these acts are more likely to result in “pain or at least non-trivial physical discomfort.” By contrast, he contends, rubbing does not involve compression and is unlikely to cause pain or nontrivial physical discomfort.

Additionally, defendant protests that if the act of rubbing constitutes a forcible touch, the distinction between the crimes of forcible touching, a class A misdemeanor, and third-degree sexual abuse, a class B misdemeanor, is effectively obliterated and someone who commits third-degree sexual abuse with the purpose of gratifying *the actor’s* sexual desire may be prosecuted for forcible touching at the whim of the prosecutor. In defendant’s view, then, “forcibly touches” is the same as “any touching” unless the former is limited to contact that compresses the victim’s sexual or intimate parts between two objects and is likely to cause pain or at least nontrivial physical discomfort, the common threads he finds in the statutory examples of “squeezing, grabbing or pinching.” Absent this proposed limitation, defendant urges, the “at best quixotic result” would be that any conduct establishing the “lesser offense” of third-degree sexual abuse would necessarily also establish “the essential elements of the forcible touching offense, even though the latter offense is a more serious crime.”

In making this argument, defendant does not adequately take into account the mens rea element of third-degree sexual abuse. Specifically, to be guilty of third-degree sexual abuse, the actor must “subject[] another person to sexual contact without the latter’s consent” (Penal Law § 130.55); and, as relevant to the mens rea element, the term “sexual contact” is defined as

“any touching of the sexual or other intimate parts of a person *for the purpose of gratifying sexual desire of either party*. It includes the touching of the actor by the victim, as well as the touching of the victim by the actor, whether directly or through clothing, as well as the emission of ejaculate by the actor upon any part of the victim, clothed or unclothed.” (Penal Law § 130.00 [3] [emphasis added].)

Because third-degree sexual abuse criminalizes nonconsensual sexual touching for purposes of *either* party’s sexual gratification, the People are not required to plead or prove whether the touching is for the actor’s or the recipient’s sexual gratification (see CJI2d[NY] Penal Law § 130.55).

Additionally, defendant presupposes a fundamental relationship between the two statutes which does not, in fact, exist. Rather, third-degree sexual abuse is part of a family of crimes that also includes second- and first-degree sexual abuse, where punishment is elevated if additional factors are present. In short, third-degree sexual abuse is not “the lesser crime” as compared to forcible touching, and we do not conflate the two crimes if we fail to adopt defendant’s proposed limitation.

In any event, the People dispute defendant’s argument that “forcibly touches,” unless limited as he proposes, is no different than “any touching.” They point out that “force” is commonly defined as “strength or energy exerted or brought to bear” (see Merriam-Webster Online Dictionary, <http://www.merriam-webster.com/dictionary/force>); and “rub” (as an intransitive verb) “to move along the surface of a body with *pressure*,” or (as a transitive verb) “to subject to or as if to the action of something moving especially back and forth with *pressure and friction*” (see Merriam-Webster Online Dictionary, <http://www.merriam-webster.com/dictionary/rub> [emphasis added]).² And “[s]ince the use of ‘pressure’ or ‘friction’ obviously brings strength or energy to bear,^[3] the act of ‘rubbing’ qualifies as a

2. Similarly, the first definition given in the Oxford English Dictionary for “rub” as a transitive verb is “[t]o subject (a surface or substance) to the action of something (as a hand, a cloth, etc.) moving over it, or backwards and forwards upon it, with a certain amount of pressure and friction”; and, as an intransitive verb, “[t]o exert or employ friction accompanied by pressure; to move and at the same time press *upon* or *against* something” (14 Oxford English Dictionary 189, 190 [2d ed 1989]).

3. “Pressure” is commonly defined as “the weight or force that is produced when something presses or pushes against something else” (see Merriam-Webster Online Dictionary, <http://www.merriam-webster.com/dictionary/pressure>).

forcible touch.” Moreover, the People add, the information here was plainly sufficient even under defendant’s alternative construction of “forcibly touches.” Specifically, “by rubbing his groin and exposed penis against the victim’s buttocks without . . . consent, defendant could certainly have caused the victim ‘non-trivial physical discomfort’ [and f]or that matter, [defendant] also clearly compressed his penis between his body and the victim’s body.” Because the crime of forcible touching requires the application of some level of pressure to the victim’s sexual or other intimate parts, the People continue, the actus reus for this crime differs from the actus reus for third-degree sexual abuse, which may only entail bringing a bodily part into fleeting contact with another’s sexual or intimate parts.

We agree with the People and conclude that “forcibly touches” is not restricted in the way defendant advocates. Indeed, we understand the examples set out in the statute (i.e., “squeezing, grabbing or pinching”) as intended by the legislature to signal a low threshold for the forcible component of this crime’s actus reus. Accordingly, we hold that, when done with the relevant mens rea, any bodily contact involving the application of some level of pressure to the victim’s sexual or intimate parts qualifies as a forcible touch within the meaning of Penal Law § 130.52. The allegation in the information here easily meets this test.

Legislative history supports our broad construction of the statutory language. The legislature enacted the crime of forcible touching as part of the Sexual Assault Reform Act of 2000. This legislation was designed to update the state’s laws dealing with sexual assault for the first time in 30 years and to assist victims in their efforts to recover psychologically from these crimes. It was a compromise measure introduced by message of necessity in both houses of the legislature on June 22, 2000, on the wane of the legislative session. The “impetus” for the new crime of forcible touching, which did not appear in the several earlier versions of a reform bill passed by the Senate, but not the Assembly, was “a notorious series of forcible touchings of the sexual parts of women walking through Central Park” that took place less than two weeks before the legislature acted (*see* William C. Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 130.52 at 234; *see also* Budget Report on Bills, Bill Jacket, L 2000, ch 1 at 3 [remarking that the creation of the new crime of forcible touching was a “response to the recent Central Park ‘Wilding’ ”]). The victims of these public sexual attacks generally were physically unhurt

(see C. J. Chivers & Kevin Flynn, *35 Scary Minutes: Women Tell Police of Assaults in Park*, NY Times, June 13, 2000, cited in the Practice Commentary). Given this context, it is hard to believe that the legislature meant for “forcibly touches” to cover only contact that compresses and is painful or physically discomfoting.

Accordingly, the order of the Appellate Term should be affirmed.

Chief Judge LIPPMAN (concurring). I agree with the result, but not the majority’s proposed rule. The primary question in this case is whether the factual allegations in the misdemeanor information gave defendant adequate notice to prepare a defense and were detailed enough to prevent him from being tried twice for the same offense (see *People v Casey*, 95 NY2d 354, 360 [2000]). I would hold simply that the information was sufficient under the circumstances.

The majority goes far beyond what is necessary and delineates the entire realm of forcible touching by defining “forcible touch” under Penal Law § 130.52 as “any bodily contact involving the application of some level of pressure to the victim’s sexual or intimate parts” (at 684). To the extent the test is a rejection of defendant’s argument that the touching must consist of compression of a victim’s sexual or intimate parts between two objects, I agree. If the test means that there is some requisite level of pressure, but the Court declines to provide any guidance, I find it unhelpful. If, however, the test intends “some level of pressure” to mean “any pressure,” I disagree.

To define “forcible” as “any pressure” reads “forcible” out of the statute, abolishing an important distinction between forcible touching, an A misdemeanor, and sexual abuse in the third degree, a B misdemeanor, where the touching is performed for sexual gratification. “A person is guilty of sexual abuse in the third degree when he or she subjects another person to sexual contact without the latter’s consent” (Penal Law § 130.55). “Sexual contact” is defined as “*any touching* of the sexual or other intimate parts of a person for the purpose of gratifying sexual desire of either party” (Penal Law § 130.00 [3] [emphasis added]).

The legislature evidently has made a distinction between “any touching” and “forcible touching” with regard to sex crimes. This distinction would be artificial under the majority’s test because any touching inherently involves the application of

“some level of pressure.” The contention that the actus rei of forcible touching and third-degree sexual abuse are distinct because the latter encompasses “fleeting contact” is but a strained attempt to differentiate the critical elements of the two crimes as defined by the majority (at 684). “Fleeting” describes only the transitory nature of the contact, which is irrelevant under the statute.

Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur with Judge READ; Chief Judge LIPPMAN concurs in result in an opinion; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[8 NE3d 803, 985 NYS2d 428]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PAUL THOMPSON, Appellant.

Argued January 7, 2014; decided February 20, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 1, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Richmond County (Stephen J. Rooney, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, criminal possession of a weapon in the second degree and criminal possession of a weapon in the third degree.

People v Thompson, 81 AD3d 670, affirmed.

HEADNOTES

Grand Jury — Defective Proceeding — Integrity of Grand Jury Impaired by Actions of District Attorney

1. In a second grand jury proceeding on charges against defendant arising out of a fatal shooting, the prosecutors' conduct in initially suggesting that they did not know the identity of a witness from the first grand jury proceeding that defendant requested them to call and later contending that her testimony would be irrelevant did not impair the integrity of the proceeding under the totality of the circumstances, including defendant's opportunity to submit his request directly to the grand jurors followed by their independent vote to refuse to grant defendant's request. CPL 190.50 grants the grand jury the power to subpoena witnesses and the prosecutor must comply with the grand jury's order. In addition, a prosecutor cannot provide an inaccurate and misleading answer to the grand jury's legitimate inquiry. However, dismissal of an indictment for prosecutorial misconduct is warranted only where the prosecutor engages in an overall pattern of bias and misconduct that is pervasive and typically willful. Here, the prosecutors' comments relating to defendant's witness request neither suppressed his request to call the witness nor stripped the grand jury of its discretion to grant or deny that request. The prosecutor could not be blamed for initially withholding information regarding the witness's identity as there were concerns regarding witness safety and possible breach of the secrecy of the first grand jury. And while the prosecutor contended that the witness's testimony would be irrelevant, she also repeatedly acknowledged that the grand jurors could vote to call the witness based on their own belief regarding the relevance of the testimony. In light of the prosecutor's advisory role she had some leeway to argue her views on the testimony's admissibility. Also, defendant's description of the witness and her potential testimony did not provide an exact identification or clearly convey what she might say. That the grand jurors actively questioned the defense witnesses and the prosecutor regarding the evidence and investigation showed that they fully exercised their independent decision-making authority over the course of the entire proceeding.

Crimes — Indictment — Sufficiency of Evidence before Grand Jury — Failure to Call Witness

2. The evidence presented by the People to a grand jury in defendant's prosecution arising out of a fatal shooting was legally sufficient to support the indictment and the prosecution of defendant was not completely unfounded so as to warrant dismissal of the indictment notwithstanding defendant's allegations of the prosecution's misconduct during its commentary on a witness requested by defendant. A grand jury has properly carried out its function when it has issued an indictment upon evidence that is legally sufficient to establish that the accused committed a crime. Dismissal is meant to eliminate only prosecutions that are truly unfounded as opposed to those that merely rest on a view of the evidence that is not comprehensive. Here, the evidence, which included testimony from a prosecution eyewitness who identified defendant as the shooter, was legally sufficient to support the indictment. Given that the petit jury had heard defendant's witness's testimony and concluded that it did not create a reasonable doubt as to defendant's guilt, it was not likely that that witness's testimony would have altered the grand jury's determination, particularly in light of the prosecution eyewitness's unequivocal testimony that defendant shot the victim in broad daylight and another witness's description of the shooter which, while inconsistent with defendant's appearance in some respects, still suggested that defendant was the shooter.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indictments and Informations §§ 224, 237, 238.
CARMODY-WAIT 2d, Pretrial Motions §§ 189:145, 189:160, 189:161.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 15.6 (a); 15.7 (b).
MCKINNEY'S, CPL 190.50.
NY JUR 2d, Criminal Law: Procedure §§ 1112, 1118, 1558, 1561.

ANNOTATION REFERENCE

See ALR Index under Grand Jury; Indictments and Informations; Prosecuting Attorneys.

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Query: conduct /p distr! /2 att! & impair! /s (grand /2 jury)
/3 proceed! & witness! /2 test!

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Warren S. Landau of counsel), for appellant. I. The prosecutor impaired the grand jury's integrity and denied appellant due process

when she (a) dissuaded the grand jurors from honoring appellant's request that they call an eyewitness who had exculpatory information by, inter alia, repeatedly telling them that they "ha[d] to take [her] advice" that the witness was irrelevant; and (b) accused appellant of orchestrating a stabbing from his hospital bed and persistently conveyed her disbelief of his testimony. (*People v Huston*, 88 NY2d 400; *People v Lancaster*, 69 NY2d 20; *People v Bailey*, 58 NY2d 272; *People v Pelchat*, 62 NY2d 97; *People v Hill*, 5 NY3d 772; *People v Paperno*, 54 NY2d 294; *People v Di Falco*, 44 NY2d 482; *People v Adessa*, 89 NY2d 677; *People v Sandoval*, 34 NY2d 371; *People v Molineux*, 168 NY 264.) II. The court denied appellant his right to a public trial when it excluded his friend and business partner, Shawn Berry, from the courtroom during much of the defense case solely because the People asserted that they might call him as a rebuttal witness, when the court had ruled that their plea agreement with Berry precluded them from doing so. (*Waller v Georgia*, 467 US 39; *People v Tolentino*, 90 NY2d 867; *People v Jones*, 47 NY2d 409; *People v Alvarez*, 20 NY3d 75; *People v Martin*, 16 NY3d 607; *People v Jelke*, 308 NY 56; *People v Hinton*, 31 NY2d 71; *In re Oliver*, 333 US 257; *Matter of Gannett Co. v De Pasquale*, 43 NY2d 370, 443 US 368; *Presley v Georgia*, 558 US 209.) III. The court improperly altered the prescribed order of trial and denied appellant due process and an effective suppression remedy, when, in response to an appropriate defense summation argument, it allowed the People to reopen their case to introduce suppressed evidence. (*Mapp v Ohio*, 367 US 643; *People v Olsen*, 34 NY2d 349; *People v Fardan*, 82 NY2d 638; *People v Melendez*, 55 NY2d 445; *People v Massie*, 2 NY3d 179; *People v Reid*, 19 NY3d 382; *People v Whipple*, 97 NY2d 1; *People v Ventura*, 35 NY2d 654; *People v Fama*, 212 AD2d 542; *People v Carrion*, 54 AD3d 640.) IV. Appellant was denied his due process rights to present a defense and a fair trial by the court's (a) refusal to admit a police surveillance video of the shooting scene, which the People had stipulated into evidence at the first trial, and preclusion of defense argument that an adverse inference should be drawn from the People's failure to offer it; (b) preclusion of evidence and argument as to a key defense witness's credibility; and (c) exclusion of appellant's hospital record, which would have supported his testimony that he could not have done what the People claimed the shooter did. (*People v McGee*, 49 NY2d 48; *People v Hawkins*, 11 NY3d 484; *People v Ely*, 68 NY2d 520; *People v Patterson*, 93 NY2d 80; *Zegarelli v Hughes*, 3 NY3d 64; *People v Williams*, 55 AD3d 1398; *People v*

Byrnes, 33 NY2d 343; *People v Lee*, 80 AD3d 1072; *People v White*, 73 NY2d 468; *People v Walker*, 198 NY 329; *Clason v Baldwin*, 152 NY 204.) V. Appellant was denied the effective assistance of counsel when his attorney failed to (a) request meaningful relief for the People's refusal to disclose contact information for an exculpatory witness; (b) protect appellant from the People's efforts to portray him as a violent menace and witness intimidator; and (c) otherwise avoid prejudicing the defense. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Zaborski*, 59 NY2d 863; *People v Droz*, 39 NY2d 457; *Kimmelman v Morrison*, 477 US 365; *People v LaBree*, 34 NY2d 257; *People v Bennett*, 29 NY2d 462; *People v Dean*, 50 AD3d 1052; *Quartararo v Fogg*, 679 F Supp 212, 849 F2d 1467; *Brady v Maryland*, 373 US 83.)

Daniel M. Donovan, Jr., District Attorney, Staten Island (Anne Grady and Morrie I. Kleinbart of counsel), for respondent. I. The evidence of defendant's guilt was overwhelming. (*People v Calabria*, 3 NY3d 80; *People v Arroyo*, 54 NY2d 567.) II. The prosecutor's conduct in the grand jury served to protect the integrity of that body's function. (*People v Brewster*, 63 NY2d 419; *People v Lancaster*, 69 NY2d 20; *People v Mitchell*, 82 NY2d 509; *People v Adessa*, 89 NY2d 677; *People v Smith*, 84 NY2d 998; *People v Karp*, 76 NY2d 1006; *People v Di Falco*, 44 NY2d 482; *People v Huston*, 88 NY2d 400; *People v Darby*, 75 NY2d 449; *People v Germosen*, 86 NY2d 822.) III. The exclusion of Shawn Berry from defendant's trial comported with the relevant constitutional standards. (*Waller v Georgia*, 467 US 39; *Perry v Leeke*, 488 US 272; *People v Cooke*, 292 NY 185; *Geders v United States*, 425 US 80; *People v Sayavong*, 83 NY2d 702; *People v Santana*, 80 NY2d 92; *People v Hinton*, 31 NY2d 71; *People v Baker*, 14 NY3d 266; *People v Porter*, 9 NY3d 966; *People v Garcia*, 20 NY3d 317.) IV. The court acted within its discretion by permitting the People to reopen their case to introduce a suppressed glove following defense counsel's misleading summation comments. (*United States v Verdugo-Urquidez*, 494 US 259; *Kansas v Ventris*, 556 US 586; *Withrow v Williams*, 507 US 680; *Stone v Powell*, 428 US 465; *In re Gault*, 387 US 1; *Walder v United States*, 347 US 62; *Harris v New York*, 401 US 222; *Oregon v Hass*, 420 US 714; *James v Illinois*, 493 US 307; *People v Brown*, 98 NY2d 226.) V. Defendant's due process rights to present a defense and to a fair trial were fully vindicated. (*People v Alvarez*, 20 NY3d 75; *People v Angelo*, 88 NY2d 217; *People v Umali*, 10 NY3d 417; *People v Aska*, 91 NY2d 979; *People v Jackson*, 8 NY3d 869; *People v Davidson*, 98 NY2d 738; *People v*

Hines, 97 NY2d 56; *Holmes v South Carolina*, 547 US 319; *Crane v Kentucky*, 476 US 683; *Chambers v Mississippi*, 410 US 284.) VI. Defendant received meaningful representation from trial counsel. (*People v Benevento*, 91 NY2d 708; *People v Flores*, 84 NY2d 184; *People v Baldi*, 54 NY2d 137; *People v Reyes*, 287 AD2d 660; *People v Nowicki*, 49 AD3d 666; *People v Dolan*, 2 AD3d 745; *People v Groonell*, 256 AD2d 356; *People v Turner*, 5 NY3d 476; *Strickland v Washington*, 466 US 668; *People v Hobot*, 84 NY2d 1021.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

Defendant vigorously urged the second grand jury in this case to have the People call a particular witness to testify. After the two prosecutors presenting the case noted the vagaries of defendant's request and asserted that the witness's testimony would be irrelevant, the grand jurors voted on defendant's request in accordance with CPL 190.50 (6) and declined to hear from the witness. Subsequently, the grand jury voted for an indictment supported by legally sufficient evidence establishing reasonable cause to believe that defendant had publicly executed a rival drug dealer on a street corner in Staten Island. Defendant was then tried and convicted of second-degree murder by a jury of his peers.

Defendant now seeks reversal of his conviction and dismissal of the indictment on grounds of prosecutorial misconduct, insisting that the prosecutors' commentary on his proffer to the second grand jury effectively compelled the grand jury to surrender all independent discretion in the matter and thus impaired the integrity of the proceedings. Of course, we are highly concerned about prosecutorial overreach in the grand jury context, and the prosecutors here should have shown greater sensitivity to defendant's request and the grand jurors' concerns. However, in light of the totality of the circumstances that arose in the second grand jury proceeding, we conclude that the prosecutors' actions did not impair the integrity of that proceeding or otherwise warrant dismissal of the indictment.

I

After defendant's arrest on suspicion of murdering Rasheem Williams in the Stapleton neighborhood of Staten Island, the People presented weapon possession charges against him to a grand jury. The People planned to call a witness (hereinafter

Jane Doe) to testify in the grand jury proceeding that she had seen defendant shoot Williams. However, prior to the grand jury presentation, Jane Doe received anonymous threats. When she subsequently testified, Jane Doe gave a description of the shooter somewhat consistent with defendant, but she told the grand jurors that she had not seen the shooter's face. As Jane Doe would later inform the People, she was too scared to identify the shooter to the first grand jury. The People also presented the testimony of an eyewitness (hereinafter John Doe) who knew Williams. Defendant testified on his own behalf. The grand jury declined to indict defendant on the weapon possession charges.

Subsequent to the first grand jury proceeding, another Stapleton resident (hereinafter James Doe) was detained by the police in an unrelated case. James Doe informed the police that he had seen defendant, who was accompanied by someone resembling defendant's friend Shawn Berry, shoot Williams to death. Upon learning this information, the People filed weapon possession and murder charges against defendant and Berry, and with the court's permission, they submitted the new charges to a second grand jury, proceeding on the theory that defendant had killed Williams in retaliation for Williams's alleged prior shooting of defendant.

At the second grand jury presentation, the People, represented by two assistant district attorneys, called James Doe to the stand. James Doe testified that he had seen defendant, as well as a man whose appearance was consistent with Berry's and a third man with light skin, lying in wait for Williams in a car. Defendant and the light-skinned man got out of the car, and defendant shot Williams in the head and then fled with the light-skinned man.

Williams's friend, John Doe, testified that, on the morning of the murder, he was near the corner where Williams was gunned down, and he heard a scream. John Doe saw a light-skinned black or Hispanic man running in his direction but on the opposite side of the street. The man wore a black hoodie, black "cotton fall gloves," dark pants and dark blue or black short-cut Timberland boots. The man was holding a white shirt with a three-inch gun barrel sticking out of it. John Doe saw part of the man's face, which had "blotchy" light and dark skin indicative of vitiligo. The man ran toward the location where defendant was later arrested. Returning his attention to the corner, John Doe noticed that his friend, who had the same first name as Jane Doe, was there.

Berry testified that he had been moving out of his old residence at the time of the crime, and he requested that the grand jurors call two witnesses to corroborate his alibi. The grand jurors did not immediately respond to his request, and they asked him some follow-up questions.

Defendant testified and maintained his innocence. According to defendant, he had been merely running an errand near the scene of Williams's murder when the police arrested him. The grand jury actively questioned defendant about his relationship with Berry, the details of his errand, his interactions with the police and the description of the shooter that the police had provided to him. The grand jurors also inquired as to whether defendant had blotchy skin at the time of the murder.

After the grand jurors' questioning, defendant was excused, but he soon returned to the grand jury room to make an additional statement. Defendant told the grand jury that there was a missing female eyewitness to the shooting. The lead prosecutor asked defendant how he knew of the witness in light of his denial that he had been at the scene of the crime when it occurred. Defendant started to answer, but the prosecutor cut off his explanation on a hearsay objection. Defendant complained:

"The District Attorney will not let me talk about a witness. I have her name and, you, the Grand Jury, have the permission to call this girl. They have her name and address. She was brought here to the last Grand Jury. She did not testify—or I don't know if she didn't testify, but this person is a witness to this crime."

The prosecutor asked defendant how he knew that, and defendant said, "She was brought—they told me there was a witness to the crime." When the prosecutor inquired as to the relevance of the witness's testimony, defendant answered, "Because if you, the District Attorney know there's a witness that witnessed this crime and the witness is not—is saying it's not me—" The following discussion ensued:

"[Prosecutor]: Do you know that she testified to that Mr. Thompson, because I have to instruct this Grand Jury if you are speculating as to whether or not she testified that somebody else did the crime, that is not relevant for their consideration.

"[Defendant]: She was brought here to testify. Like

I said before, the only charge I was charged with was the guns. She was brought here to testify.

“[Prosecutor]: Do you know what her name is?

“[Defendant: first name resembling Jane Doe’s first name and different last name]. They have her address and they know this information pertaining to this crime. I’m asking you, please, you have the power to call this young lady . . . Her name is [first name resembling Jane Doe’s first name] or [Jane Doe] or [another last name]. The District Attorney has her address. . . . For some reason, I don’t know the reason—it’s not clear to me if this person testified in the first Grand Jury. I am saying she was brought here. I don’t know if she came to testify.”

The prosecutor asked defendant whether he had spoken to the witness and had learned about her testimony in the grand jury, and defendant said, “You would know—.” The prosecutor interjected, “I wouldn’t know, because I don’t have any idea who you’re talking about.” In response to further queries about the witness, defendant said that he was not sure whether the witness’s last name was Jane Doe’s last name or the other last name he had mentioned, but he knew her first name was the same as Jane Doe’s first name. Defendant acknowledged that he had never spoken to her and had no idea what she would say. Defendant also claimed that the detectives at the police precinct had told him about the missing witness to the crime, “[Jane Doe] or [Jane Doe’s first name with the other last name].” Defendant again told the grand jurors that they had the power to compel the appearance of “Mrs. [Jane Doe’s last name] or [the other last name],” and that “[s]he will tell you I’m not the shooter, as I told you.” Defendant was then excused for the second and final time.

Noting that John Doe had also mentioned someone with the same first name as Jane Doe, a grand juror asked if the grand jury could hear her testimony. The prosecutor “instruct[ed] [the grand jurors] that it is not relevant at this time based on the evaluation of the evidence and witnesses.” When the grand juror professed not to understand this, the prosecutor repeated that the proposed evidence was not relevant, and she stated, “It’s in our purview to decide that.” The grand juror retorted, “[i]t doesn’t make sense.”

A grand juror asked, “Can we vote as to having that witness come in?” This exchange then occurred:

“[Lead Prosecutor]: Let me explain it this way, based on our investigation and what’s been testified to, and I’m skating a thin line here, I think at this point, it’s six-thirty, we have to make a lot of determinations right now. Additionally, based upon on our investigation, *and it’s up to you whether to have that witness*, but I’m telling you that it is not relevant to this proceeding. You have to take our advice, as your legal advisors, that it is not relevant to the situation at hand.

“[Grand Juror]: How?

“[Second Prosecutor]: However, *it would be relevant, if she was going to give testimony in the defendant’s favor*. It’s our determination, she is not relevant. Any other questions?” (emphasis added).

As the grand jury continued to question her, the lead prosecutor admitted that she knew the nature of the witness’s potential testimony “[b]ased upon [the People’s] investigation and interviews of her.” The prosecutor further stated:

“And, again, I’m sure you were told repeatedly, every time somebody charges you, it is not everybody in society that was on the face of the planet that day coming before the Grand Jury. Just because he offers it—he talked about newspaper articles, what police officers told him. That is not legal evidence to come before you. Hold on one second. *What I am going to do is let you put it to a vote. If twelve or more jurors, who were present and heard all the evidence on the dates we were in session, vote as to whether or not you want to hear from*, I believe the name of the person, we are not even clear on the names here, if it is even the same individual, he says [*Jane Doe’s first name*] or [*a first name resembling Jane Doe’s first name and Jane Doe’s last name*] or [*another last name*], *that is the person he is saying, if that’s what you want to do, you need twelve or more people to vote on that*” (emphasis added).

When a grand juror interrupted, the prosecutor again told the grand jurors that “[t]he witness will be subpoenaed if twelve or more of [them] vote[d] on this,” but that “[a]t this point [they] need[ed] to first decide if [they] believe[d]—that [they] th[ought] that’s relevant to proving as to whether or not this defendant,

who just testified, committed the crimes.” The prosecutor continued:

“One more thing you should keep in mind, I am going to refresh your recollection, marshal the evidence in regards to, you have an eyewitness who identified the defendant at the scene as the shooter. Keep that in mind. If this additional person is relevant at this point, and you have no idea, and he didn’t offer any evidence to you either if she was there or not there, if she is even able to identify anybody—Keep that in mind. If *you* think that’s really relevant, whether or not *you* want to hear from this person—you have an eyewitness, you have additional evidence in the case. Again, it’s not a trial” (emphasis added).

The grand jurors voted on defendant’s request for the witness’s testimony and rejected it. Thereafter, the grand jury indicted defendant on various charges, including second-degree murder, second-degree weapon possession and third-degree weapon possession.

After their vote to indict defendant, the grand jury voted on and approved Shawn Berry’s previous request to hear from two witnesses. The witnesses then appeared before the grand jury. The grand jurors indicted Berry as well.

Defendant made two unsuccessful motions to dismiss the indictment. In support of the second one, defendant argued that the prosecutors had committed misconduct in criticizing defendant’s entreaties to have the grand jury call Jane Doe to the stand. Among other things, defendant analogized Jane Doe’s testimony to *Brady* material, suggesting that just as “fear for [a] witness’s safety did not insulate the People from Brady violation [sic],” it could not justify the refusal to allow the witness to appear here. Defendant further sought to inspect the minutes of the first grand jury proceeding.

The People opposed defendant’s renewed dismissal motion. In addition to challenging the sufficiency of defendant’s offer of proof and relying on their role as legal advisors to the grand jury, the People asserted that whether Jane Doe had testified before the first grand jury was irrelevant to defendant’s claim. The People also maintained that defendant’s request to inspect the first grand jury minutes to review Jane Doe’s testimony was “an effort to circumvent the secrecy of the Grand Jury and find out who testified, not for any legitimate purpose.”

After these arguments, Supreme Court denied defendant's renewed motion to dismiss the indictment. Thereafter, the People successfully obtained a protective order for Jane Doe, citing, among other things, the threats that had caused her to testify in the first grand jury proceeding inconsistently with her prior statements to the People.

II

CPL article 190 governs the conduct of the grand jury and the parties which appear before that body, and it requires that all grand jury proceedings remain secret to protect the essential functions of those various actors (*see generally* CPL 190.05, 190.25 [4] [a]). Under this statutory regime, the exclusive “legal advisors of the grand jury are the court and the district attorney” (CPL 190.25 [6]), and their decision to present certain items of evidence and to exclude others is for the most part limited only by the rules of evidence applicable at trial (*see* CPL 190.30 [1]; *People v Mitchell*, 82 NY2d 509, 513 [1993]). In the same vein, the prosecutor enjoys “broad powers and duties, as well as wide discretion in presenting the People’s case” to the grand jury (*People v Huston*, 88 NY2d 400, 406 [1996]; *see People v Lancaster*, 69 NY2d 20, 25 [1986]). Indeed, the prosecutor “determines the competency of witnesses to testify,” and he or she “must instruct the jury on the legal significance of the evidence” (*People v Di Falco*, 44 NY2d 482, 487 [1978]; *see Huston*, 88 NY2d at 406).

Notably, though, due process imposes upon the prosecutor a “duty of fair dealing to the accused and candor to the courts,” thus requiring the prosecutor “not only to seek convictions but also to see that justice is done” (*People v Pelchat*, 62 NY2d 97, 105 [1984]; *see Huston*, 88 NY2d at 406). This duty extends to the prosecutor’s instructions to the grand jury and the submission of evidence (*Lancaster*, 69 NY2d at 26). The prosecutor also cannot provide “an inaccurate and misleading answer to the grand jury’s legitimate inquiry” (*People v Hill*, 5 NY3d 772, 773 [2005]), nor can the prosecutor accept an indictment that he or she knows to be based on false, misleading or legally insufficient evidence (*see Pelchat*, 62 NY2d at 107).

Even under those principles, “[a] Grand Jury proceeding is not a mini trial, but a proceeding convened primarily to investigate crimes and determine whether sufficient evidence exists to accuse a citizen of a crime and subject him or her to a criminal prosecution” (*Lancaster*, 69 NY2d at 30 [internal

quotation marks and citations omitted]). That being so, the prosecutor need not tread too lightly in pressing the People's case or rebutting the defendant's assertions. For example, where the defendant chooses to testify, the prosecutor may, within limits, ask probing or even skeptical questions of the defendant about issues raised by his or her testimony (*see People v Germosen*, 86 NY2d 822, 824 [1995]; *People v Karp*, 76 NY2d 1006, 1008 [1990]; *People v Smith*, 84 NY2d 998, 1000-1001 [1994]; *People v Halm*, 180 AD2d 841, 842 [3d Dept 1992], *aff'd* 81 NY2d 819 [1993]). Similarly, in the role of legal advisor, the prosecutor need not instruct the grand jury on the full extent of its investigatory and deliberative powers (*see People v Harris*, 98 NY2d 452, 475 nn 5, 6 [2002]; *see also Lancaster*, 69 NY2d at 25-26). The prosecutor may decline to instruct the grand jury about a variety of defenses, and he or she need not disclose certain forms of exculpatory evidence or reveal to the grand jury the circumstances surrounding the authorities' investigation of the case (*see People v Robinson*, 89 NY2d 648, 653-654 [1997]; *Mitchell*, 82 NY2d at 513; *Lancaster*, 69 NY2d at 30; *People v Brewster*, 63 NY2d 419, 422-423 [1984]). These examples illustrate that, in occupying a "dual role as advocate and public officer" (*Pelchat*, 62 NY2d at 105), the prosecutor is not obligated to present the evidence or make statements to the grand jurors in the manner most favorable to the defense.

Of course, the grand jurors are empowered to carry out numerous vital functions independently of the prosecutor, for they "ha[ve] long been heralded as 'the shield of innocence . . . and as the guard of the liberties of the people against the encroachments of unfounded accusations from any source' " (*People v Sayavong*, 83 NY2d 702, 706 [1994], quoting *People v Minet*, 296 NY 315, 323 [1947]). Accordingly, CPL 190.50 grants the grand jury the power to subpoena witnesses, including witnesses not called by the People, and the prosecutor must comply with the grand jury's order for such testimony (CPL 190.50 [3]). If the grand jurors ask to hear from a witness, the prosecutor has no recourse to prevent the witness from appearing, save for a motion for an order vacating or modifying their subpoena on the ground that "such is in the public interest" (*id.*). In addition, the defendant may specifically ask the grand jury to exercise its power to call a witness of his or her selection, and "[t]he grand jury may as a matter of discretion grant such request and cause such witness to be called" (CPL 190.50 [6]). In the non-adversarial context of grand jury proceedings,

however, the defendant's statutory power to seek the appearance of a witness is one of "limited extent" (*Lancaster*, 69 NY2d at 26; see *Robinson*, 89 NY2d at 653).

The court may enforce these statutory rules by dismissing an indictment that "fails to conform to the requirements of [CPL article 190] to such degree that the integrity thereof is impaired and prejudice to the defendant may result" (CPL 210.35 [5]; see CPL 210.20 [1] [c]; *Hill*, 5 NY3d at 773). The "exceptional remedy of dismissal" is available in "rare cases" of prosecutorial misconduct upon a showing that, in the absence of the complained-of misconduct, the grand jury might have decided not to indict the defendant (*Huston*, 88 NY2d at 409, 410). In general, this demanding test is met only where the prosecutor engages in an "over-all pattern of bias and misconduct" that is "pervasive" and typically willful, whereas isolated instances of misconduct, including the erroneous handling of evidentiary matters, do not merit invalidation of the indictment (*id.* at 408, 409-410; see *Pelchat*, 62 NY2d at 106-107). "[T]he statutory test, which does not turn on mere flaw, error or skewing . . . is very precise and very high" (*People v Darby*, 75 NY2d 449, 455 [1990]).

[1] Here, the prosecutors' comments on defendant's proffer relating to Jane Doe (or someone of that approximate description) neither suppressed defendant's request to call the witness nor stripped the grand jury of its discretion to grant or deny that request. The prosecutors allowed defendant to submit his request directly to the grand jurors, and defendant told the grand jurors at considerable length why he thought the witness's testimony to be relevant and worthwhile. Once defendant had completed his exhortation to call the witness, the prosecutors repeatedly acknowledged that the grand jurors could vote to hear from the witness and that the witness would be "subpoenaed if twelve or more of [them] vote[d]" to do so. "[A]s a matter of [their] discretion," the grand jurors then independently refused to "grant such request," thus exercising their prerogative under CPL 190.50 (6).

It is true that the lead prosecutor forcefully contended that the witness's testimony would be irrelevant, analogizing defendant's proffer to a plea for the testimony of random members of the community at large. She also told the grand jurors that they "ha[d] to take [her] advice" on that subject because she was their legal advisor; although she was indeed the grand jurors'

sole legal advisor, to whom they had to defer on most evidentiary issues, her remarks may have suggested an unduly expansive view of her powers. However, there was nothing inherently impermissible about the prosecutor's suggestion that the potential witness had no relevant testimony to offer, and the dissent does not appear to take a contrary position. In light of her advisory role and her duty to uphold the public interest in prosecuting crimes, the prosecutor surely had some leeway to argue her views on the admissibility of the proffered defense evidence (see *Mitchell*, 82 NY2d at 515; *Di Falco*, 44 NY2d at 487; *Lancaster*, 69 NY2d at 30). Furthermore, although the prosecutor probably should not have belabored her relevance argument, she made a valid point, as defendant's description of the witness and the witness's potential testimony did not provide an exact identification of the witness by name or clearly convey what the witness might say other than that she was present at the scene of the crime.

In any case, the lead prosecutor clarified that, despite her objections, the grand jurors had the right to call the witness based on their own belief regarding the relevance of the potential witness's testimony. As the prosecutor put it to the grand jurors, "if *you* believe—that *you* think that's relevant," the witness would be called (emphasis added). Indeed, at several points, the prosecutor generally acknowledged to the grand jurors that the decision to call or exclude the witness rested with them. Given those accurate instructions, the prosecutor's argument that the proposed testimony was irrelevant could not have misled the grand jurors into believing that they had no choice but to agree with her.

The grand jurors' assertive conduct further belies the notion that the prosecutors undermined the grand jurors' independence to such an extent as to impair the integrity of the second grand jury proceeding. Far from being a passive audience, the grand jury actively questioned the defense witnesses in an effort to gauge their stories against the People's witnesses's testimony. In a later exchange with the lead prosecutor, a grand juror pressed the prosecutor regarding the adequacy of her investigation into, and presentation of evidence regarding, defendant's physical ability to commit the crime.¹ And, when the

1. Specifically, the grand juror asked if defendant had been examined by a doctor and would have been able to jump over certain fences to escape the crime scene. The prosecutor replied that she believed defendant had testified

(n. cont'd)

lead prosecutor questioned the relevance of the defense witness's proposed testimony, a grand juror repeatedly expressed skepticism, even going so far as to say that the prosecutor's assertions made no sense. Not only did the grand jurors still exercise their right to vote on defendant's request, but afterward, they voted to hear from two of Shawn Berry's proffered witnesses. Because the grand jurors fully exercised their independent decision-making authority over the course of the entire proceeding, there is no reason to believe that the prosecutors' statements about defendant's request cowed the grand jurors into abandoning their independence. Accordingly, the integrity of the grand jury proceeding remained intact, and the trial court properly denied defendant's motion to dismiss the indictment.

III

The dissent would invalidate the indictment based on a number of perceived misdeeds committed by the prosecutors, but the circumstances cited by the dissent do not justify that exceptional remedy.

The dissent faults the second-seating prosecutor for indicating to the grand jurors that the witness at issue would not testify favorably to the defense (*see* dissenting op at 712). But, taken in context, that is not what the prosecutor said. After the lead prosecutor had asserted that defendant's proposed witness had no relevant testimony to offer, the second-seating prosecutor evidently sought to add some nuance to that contention, observing that, despite the firm view of her colleague that the proposed evidence could not be relevant, the evidence would, in fact, "be relevant, if [the witness] was going to give testimony in the defendant's favor." However, the second-seating prosecutor never claimed that the favorable nature of the testimony was the only way in which it could be relevant, but rather that it was a possible basis on which to reject her colleague's assertions about the relevance of the evidence. And, because the prosecutor did not equate relevance with favorability, her contention that the witness's testimony would not be relevant did not inappropriately signal that the testimony would be adverse to defendant.

Contrary to the dissent's interpretation of the record, the lead prosecutor never instructed the grand jury that the

to having completed his recovery by the time of the murder, but she cautioned that her recollection did not control the matter.

relevance of the witness's testimony "turn[ed] . . . upon whether James Doe's testimony was, in the prosecutor's estimation, sufficient to support an indictment" (dissenting op at 713). In the disputed remarks, the prosecutor stated:

"Understanding that everything the defendant asks is not legally—he's not entitled to bring before you—This is not a trial. It's just whether or not there's probable cause, sufficient—legal, sufficient evidence to move forward with an indictment. It's not to have every witness known to mankind relevant to the proceeding . . . Just because he offers it—he talked about newspaper articles, what police officers told him. That is not legal evidence to come before you."

By this inartful declaration, the prosecutor merely made two legally accurate points: (1) a grand jury proceeding is an investigatory and accusatory process for deciding the existence of reasonable cause to bring a defendant to trial rather than an adversarial proceeding to determine guilt beyond a reasonable doubt (see *Lancaster*, 69 NY2d at 30); and (2) the admissibility of evidence turns on its relevance rather than the defendant's desire to see it admitted (see *Di Falco*, 44 NY2d at 487; see generally *People v Scarola*, 71 NY2d 769, 777 [1988]).

In alerting the grand jury to those two principles, the prosecutor never said that those rules were interdependent, such that the sufficiency of the evidence underlying the indictment controlled the relevance of the testimony of the defense witness. In fact, the prosecutor immediately informed the grand jurors that they could vote on whether they wanted to receive the witness's testimony, signaling that the prosecutor's belief in the sufficiency of the evidence did not preclude the grand jury from summoning the witness. Moreover, when the prosecutor later cited James Doe's testimony that defendant had shot Williams, she properly reiterated that the grand jurors could decide whether to call the witness and whether her testimony would be relevant, apparently without regard to James Doe's testimony.

Additionally, the dissent takes issue with the lead prosecutor's initial assertion that she did not know the identity of the witness mentioned by defendant (see dissenting op at 712). But, as the dissent concedes (see *id.*), the prosecutor soon thereafter dispelled any misconception by revealing that she was familiar with the witness to whom defendant had likely referred—Jane

Doe. Nor can the prosecutor be blamed for withholding this information when defendant first mentioned it, as defendant's conduct put the prosecutor in a difficult bind.

Sometime after the first grand jury proceeding, Jane Doe revealed to the People that she had received anonymous threats prior to her appearance before the first grand jury, and the People became concerned for her safety and privacy, eventually obtaining a protective order for her. Defendant threatened the People's justified concerns for Jane Doe's safety and the secrecy of the prior grand jury proceedings, however, when he told the second grand jury that Jane Doe had testified or appeared before the first grand jury and that the prosecutor knew her identity. No doubt alarmed that defendant had possibly breached the secrecy of the first grand jury, the prosecutor reasonably feigned ignorance of Jane Doe's identity to avoid confirming defendant's suspicion that Jane Doe had been a witness in the first grand jury and/or furthering a breach of grand jury secrecy by intimating to the grand jurors that their predecessors had heard from Jane Doe. Had she done otherwise, the prosecutor might have ended any hope she had of obtaining truthful testimony from Jane Doe in the future (*see Sayavong*, 83 NY2d at 708) and imperiled Jane Doe by revealing that she had cooperated in the prosecution of defendant. Indeed, it is presumably for these reasons that, in their response to defendant's renewed dismissal motion, the People expressed concern that he was trying to circumvent the secrecy of the grand jury, and they avoided revealing whether Jane Doe had testified before the first grand jury by asserting that her potential presence before that body did not matter. Even defendant seemed to recognize the witness safety issue, as he contended that the People could not avoid dismissal of the indictment by relying on their fear that the witness might be harmed as result of her grand jury testimony.²

2. The dissent suggests that the prosecutor was allowed to address these serious safety and secrecy issues only by waiting for the grand jury to order Jane Doe's appearance and then moving to vacate the grand jury's directive pursuant to CPL 190.50 (3) (*see* dissenting op at 714). However, if the prosecutor had simply acquiesced in defendant's request without expressing some ground for opposition, the grand jurors and defendant may very well have thought that the prosecutor was tacitly conceding Jane Doe's role as a witness before the first grand jury. And, if the prosecutor had thereafter applied for a motion to vacate a grand jury order for Jane Doe's testimony, the court could still have exercised its considerable "discretion" to deny the motion as inadequate to meet the less-than-clearly-defined requirement that vacatur be "in

(n. cont'd)

[2] Beyond its criticisms of the prosecutors, the dissent dismisses the strength of the evidence the People presented to the grand jury as insufficient to save the indictment, insisting that Jane Doe's testimony could have undermined the grand jury's finding of reasonable cause to believe that defendant had murdered Williams (*see* dissenting op at 714-716). As the dissent observes, the legal sufficiency of the evidence supporting an indictment, standing alone, does not automatically immunize the indictment from dismissal, and a defendant's conviction after trial does not necessarily cure defects in an indictment (*see Huston*, 88 NY2d at 410-411). Still, "[i]n the ordinary case, it may be said that the Grand Jury has properly carried out [its] function when it has issued an indictment upon evidence that is legally sufficient to establish that the accused committed a crime" (*People v Calbud, Inc.*, 49 NY2d 389, 394 [1980]), and dismissal is meant to eliminate only prosecutions that are truly unfounded, as opposed to those that merely rest on a view of the evidence that is not comprehensive (*see People v Valles*, 62 NY2d 36, 38-39 [1984]).

Here, no one disputes that the evidence was legally sufficient to support the indictment and that therefore the prosecution of defendant was not completely unfounded. Furthermore, given that the petit jury heard from Jane Doe and concluded that her testimony did not create a reasonable doubt as to defendant's guilt, it is hard to imagine that her testimony before the grand jurors would have altered their determination that the evidence met the less exacting standard of reasonable cause. That is particularly so in light of James Doe's unequivocal testimony that defendant shot Williams in broad daylight and John Doe's description of the shooter which, while inconsistent with defendant's appearance in some respects, still suggested that

the public interest" (CPL 190.50 [3]). Indeed, it was not far-fetched for the prosecutor to fear that, if she did not immediately respond to defendant's statements about Jane Doe's role as a prior grand jury witness, the trial court might later rely on defendant's comments to conclude that there was no longer any reason to quash a subpoena issued by the grand jury; by that time, the prosecutor would have arguably allowed defendant to let the proverbial cat out of the bag without opposition. Tellingly, in his dismissal motions, even defendant did not assert that the prosecutor should have awaited a subpoena and then quashed it rather than rebutting defendant's offer of proof during the grand jury proceeding. In any event, although the prosecutor might have been better advised to pursue a motion to quash, her failure to take that step was not the sort of pervasive misconduct that would impair the integrity of the grand jury proceeding.

defendant was the shooter.³ Therefore, any “mere flaw, error or skewing” by the prosecutors did not satisfy the “very precise and very high” test for dismissal of this indictment, which was supported by reasonable cause to believe that defendant had committed the charged crimes (*Darby*, 75 NY2d at 455).

People v Hill (5 NY3d at 772) does not support the dissent’s position in this case. In *Hill*, the defendant’s attorney sent the prosecutor a letter requesting that the prosecutor call eight alibi witnesses to testify in front of the grand jury (*see id.* at 773; *see also id.* at 774-778 [R.S. Smith, J., dissenting]). The letter listed each witness by name and a brief description of the events about which the witness would testify (*see id.* at 774). The prosecutor informed the grand jurors that the defendant wanted to call the eight witnesses, but the prosecutor did not provide the grand jurors with any of the detailed information contained in counsel’s letter (*see id.* at 773; *see also id.* at 774-775). The grand jurors specifically asked about the nature of the witnesses’ testimony, and the prosecutor still claimed not to know what the witnesses would testify about (*see id.* at 773; *see also id.* at 774-775). The grand jurors voted not to call the witnesses (*see id.* at 773; *see also id.* at 775). We affirmed the dismissal of the indictment, holding that, “under the circumstances of this case, the prosecutor gave an inaccurate and misleading answer to the grand jury’s legitimate inquiry, thus substantially undermining the integrity of the proceeding and potentially prejudicing defendant” (*id.*).

In the instant case, unlike *Hill*, the prosecutors did not hide the full extent of defendant’s offer of proof, which defendant himself made to the grand jury. And, here, defendant’s identification of the witness as someone who had testified before the first grand jury required the prosecutors to avoid acknowledging that fact to protect the secrecy of the first grand jury,

3. Indeed, there were only minor differences between: (1) John Doe’s description of the shooter, who was reportedly a light-skinned black or Hispanic man with a shapely beard, blotchy complexion, short-cut black Timberland boots, dark pants, and a black hoodie; and (2) defendant, who, according to the officers who testified in the first grand jury, was a light-skinned black man with a goatee, wore black sneakers, and wore dark pants. And, although the parties have not provided us with the police officers’ testimony, if any, before the second grand jury, it is notable that, at trial, the officers testified that defendant was arrested near a discarded black hoodie. Ultimately, the grand jurors observed defendant in person in the grand jury room and indicted him despite the alleged differences between his appearance and that of the shooter described by John Doe.

whereas there was no such issue in *Hill*. Furthermore, while the prosecutor in *Hill* never fully disclosed his knowledge of the witnesses and their proposed testimony, the lead prosecutor here eventually told the grand jurors that her office had spoken with the witness at issue in the course of its investigation. Thus, the prosecutors here did not hide defendant's proffer from the grand jury or engage in any misconduct equivalent to that which led to the dismissal of the indictment in *Hill*.

IV

In this case, the prosecutors did not commit pervasive misconduct, nor does the record indicate that they were motivated by bias or a desire to deceive the grand jury when they responded to defendant's request for Jane Doe's testimony. At most, the prosecutors made isolated missteps that could not have affected the outcome of the grand jury proceeding. We do not endorse the prosecutors' actions as the preferred way to present a case to the grand jury, but we decline to dispose of the well-founded prosecution here as a result of their handling of the matter. Moreover, upon reviewing defendant's claims regarding the trial proceedings, we find that they do not warrant reversal of his conviction. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). On the morning of October 10, 2003 Rasheem Williams was fatally shot in the head as he stood at the corner of Gordon and Broad Streets in Staten Island. Defendant was stopped by police officers about one quarter hour later several blocks from the scene of the shooting. At that time, he was reportedly wearing a white tee shirt, dark jeans and black sneakers. Although defendant was not in the near aftermath of the Williams murder identified as its perpetrator, he was arrested on charges of gun possession. Those charges were presented to a grand jury on the theory that defendant could be linked to weapons and clothing found hidden in an abandoned back lot on Hudson Street, a venue situated along a route leading from the place of the Williams shooting to the place defendant was stopped. The evidence supporting the posited linkage included testimony purporting to show that a police dog tracked defendant's scent to the spots where the weapons and clothing had been secreted, and testimony that a person seen running from the shooting scene had been attired in a dark-colored hoodie resembling one of the garments recovered from the Hudson Street back lot. From this proof the

People sought to invite inferences that it was defendant who was observed fleeing north on Broad Street immediately after the shooting and who, shortly before being stopped by the police on Gray Street, deposited the weapons, hoodie and other recovered items, including a silencer and a black hat, in the nearby back lot. There was, however, evidence before the grand jury not entirely consonant with this scenario. Although the witness we now refer to as “John Doe” lent some support to the People’s theory by testifying that he saw a person running up Gordon Street just after the shooting wearing a dark hoodie and jeans, and cradling what appeared to be a gun barrel in his shirt, he also stated that that individual had a “blotchy” complexion, a long shapely beard and wore Timberland boots. Defendant possessed neither distinctive facial characteristic and, as noted, was clad in sneakers when stopped. In addition, a witness we now refer to as “Jane Doe” testified that the individual she saw come up behind Williams as she conversed with him, fire the fatal shots at close range and then run up Gordon Street, wore a brown hoodie bearing a Burberry plaid pattern. The black garment recovered in the Hudson Street lot sported no such pattern. The grand jury declined to vote a true bill as to any of the submitted weapon possession counts.

Thereafter, an individual we refer to as “James Doe” came forward, claiming that he witnessed defendant, with whom he was acquainted, shoot Rasheem Williams. The People obtained permission to re-present charges against defendant stemming from the Williams shooting, and, in November 2003, James Doe testified before a grand jury new to the matter. He stated that on the morning of the shooting he noticed defendant sitting in a car parked on Broad Street holding a gun with a long barrel. He reported that a while later—after encountering Rasheem Williams down the block, chatting with an ex-girlfriend and buying a cup of coffee—he watched as defendant approached Williams and shot him in the back of the head. Defendant, he said, was wearing a hoodie, blue jeans and a black hat.

The second grand jury also heard testimony from John Doe. He stated, as he had before the first grand jury, that shortly after the shooting he saw a man fleeing up Gordon Street holding what appeared to be the barrel of a gun in the folds of his shirt. The man, he said, wore a dark hoodie and Timberland-like boots, and had an unusual “blotchy” complexion which he supposed might have been caused by a disease. John Doe noted in passing that he encountered a friend—a person having the same moderately distinctive first name as Jane Doe—at the scene of the shooting.

Jane Doe was not called by the People to testify before the second grand jury. In concluding his own testimony, however, defendant announced, “I have additional facts, that on October 10th there was a witness to this crime. It was a young lady. And [she] was brought to the precinct.” This precipitated the following contentious exchange:

“[PROSECUTOR]: Hold on a minute. Were you there on October 10th at the time of the murder?”

“[DEFENDANT]: Was I there? No.

“[PROSECUTOR]: So how would you know there was a witness to the crime?

“[DEFENDANT]: How? When I was brought to the police station and the police told me—

“[PROSECUTOR]: . . . that is hearsay, and you cannot talk about hearsay . . .

“[DEFENDANT]: The District Attorney will not let me talk about a witness. I have her name and, you, the Grand Jury, have the permission to call this girl. They have her name and address. She was brought here to the last Grand Jury . . . this person is a witness to this crime. . . .

“[PROSECUTOR]: How do you know that?

“[DEFENDANT]: She was brought—they told me there was a witness to the crime.

“[PROSECUTOR]: And what is the relevance? . . .

“[PROSECUTOR]: Do you know that she testified to [witnessing the crime], because . . . if you are speculating as to whether or not she testified that somebody else did the crime, that is not relevant for [the grand jurors’] consideration. . . .

“[DEFENDANT]: . . . I’m asking you, please, you have the power to call this young lady . . . Her name is [listing several appellations, among them Jane Doe]. The District Attorney has her address. She was brought here to testify. . . .

“[PROSECUTOR]: Did you speak to her?

“[DEFENDANT]: I never spoke to her—

“[PROSECUTOR]: And did she tell you what she testified to in Grand Jury or what she was going to say?”

“[DEFENDANT]: You would know—

“[PROSECUTOR]: I wouldn’t know, because I don’t have any idea who you’re talking about.”

After defendant was excused, a grand juror asked to hear from the witness to whom the juror supposed defendant was referring; the juror understood that witness to be the friend that John Doe mentioned seeing at the scene of the shooting. The prosecutor responded that the witness’s testimony “is not relevant to this proceeding.” The requesting grand juror protested that she did not understand how a witness to the central events would not have relevant testimony, but was rebuffed, the prosecutor instructing that “[i]t’s in [the prosecutors’] purview to decide that.” The juror persisted, asking if the grand jury could vote on whether to call Ms. Doe, and this colloquy ensued:

“[FIRST PROSECUTOR]: . . . based on our investigation and what’s been testified to, and I’m skating a thin line here, I think at this point, it’s six-thirty, we have to make a lot of determinations right now. Additionally, based upon our investigation, and *it’s up to you whether to have that witness, but I’m telling you that it is not relevant to this proceeding. You have to take our advice, as your legal advisors, that it is not relevant to the situation at hand.*

“JUROR: How?

“[SECOND PROSECUTOR]: However, it would be relevant, if she was going to give testimony in the defendant’s favor. It’s our determination, she is not relevant.

Any other questions?

“JUROR: So, basically she would be for you guys, if not, why wouldn’t you want us to hear?

“[FIRST PROSECUTOR]: The testimony she would have given to you is not relevant.

“JUROR: How do you know that her testimony—

“[FIRST PROSECUTOR]: Based upon our investigation and interviews of her.

“JUROR: So why is he so insistent on having her?

“[FIRST PROSECUTOR]: Understanding that everything the defendant asks is not legally—he’s not entitled to bring before you—This is not a trial. It’s just whether or not there’s probable cause, sufficient—legal, sufficient evidence to move forward with an indictment. *It’s not to have every witness known to mankind relevant to this proceeding . . . not everybody in society that was on the face of the planet that day coming before the Grand Jury*” (emphasis added).

The prosecutor then agreed to allow the grand jury to vote on whether to call Jane Doe, but first purported to “marshal the evidence,” reminding the jury that they heard testimony “[from] an eyewitness [James Doe] who identified the defendant at the scene as the shooter,” and suggesting that, in light of James Doe’s identification, whatever Ms. Doe would say would not be “really relevant.”

The grand jury, acting in accord with the prosecutors’ assertedly binding advice, voted not to call Ms. Doe. Directly afterward it voted to indict defendant for Rasheem Williams’ murder and related weapons possession charges.

Before trial, defendant moved to dismiss the indictment pursuant to CPL 210.35 (5), i.e., upon the ground that the underlying proceeding “fail[ed] to conform to the requirements of [CPL] article one hundred ninety to such degree that the integrity thereof is impaired and prejudice to the defendant may result.” Prominent among the grounds for the application was the prosecutors’ handling of defendant’s request that Ms. Doe be called as a witness.¹ In opposing the application the People urged only that defendant had not adequately identified the witness whose testimony he sought, that his request was “flimsy,” and that whether Jane Doe testified before the grand jury was irrelevant. There was no mention of any need to protect Ms. Doe or to shield from disclosure to the second grand jury the fact and substance of her testimony before the first grand jury. Dismissal was summarily denied and the matter proceeded to trial. The

1. Also cited were the presenting prosecutor’s insinuations that defendant had committed crimes other than those that were the subject of the proceeding.

first trial of the indictment ended in a hung jury. Defendant was finally convicted of second degree murder and second and third degree criminal possession of a weapon after lengthy jury deliberation at the retrial. In affirming the judgment of conviction (81 AD3d 670 [2011]), the Appellate Division, while faulting the prosecutor's suggestion in front of the grand jury that defendant had committed crimes other than those alleged within the presentment proceeding, deemed the exceptional remedy of dismissal pursuant to CPL 210.35 (5) unwarranted in light of the properly admitted proof supporting the indictment (*id.* at 671). The court did not in its decision address the manner in which the prosecutor dealt with defendant's witness request.

The grand jury, we have observed, is a "constitutionally and historically independent institution" (*People v Huston*, 88 NY2d 400, 401 [1996]) intended to function as a buffer between the state and its citizens and as a check upon prosecutorial excess (*People v Calbud, Inc.*, 49 NY2d 389, 396 [1980]). A prosecutor, then, in presenting a matter to a grand jury and simultaneously acting as its statutorily designated legal advisor (*see* CPL 190.25 [6]), although possessing broad discretion as to the evidence to be adduced in support of any formal accusation sought (*People v Lancaster*, 69 NY2d 20, 25-26 [1986]), is at the same time bound to respect the grand jury's essential independence and may not thwart that body's satisfaction of its core investigative purpose. The grand jury, we have said "ought to be well informed concerning the circumstances of the case before it" (*id.* at 25).

While, as a practical matter, the evidence before a grand jury will largely be a function of prosecutorial discretion as to what is relevant and fair in enabling the panel's constitutionally required judgment as to whether there are adequate grounds for prosecution, there are important statutory limits upon the power of a prosecutor unilaterally to determine what evidence will and will not be placed before the grand jury—limits essential to maintaining the institutional integrity of the grand jury and to characterizing its work as the product of independent judgment.

Foremost among these is the grand jury's broad and autonomous power to "call[] as a witness any person believed by it to possess relevant information or knowledge" (CPL 190.50 [3]). This power expressly extends to witnesses *not* called by the People; indeed, the People "must comply with [the grand jury's] direction" to serve a subpoena, even when they do not agree that the requested witness should be called (*id.*). Relatedly, the

person who is the subject of the grand jury proceeding must be afforded the opportunity to testify before the investigating panel (CPL 190.50 [5]) and “may request the grand jury, either orally or in writing, to cause a person designated by him to be called as a witness in such proceeding” (CPL 190.50 [6]). Such a request may be made by a defendant in the course of grand jury testimony (see *People v Mitchell*, 82 NY2d 509, 515 [1993] [referring to a defendant’s right to bring exculpatory evidence to the grand jury’s attention by her own testimony]). The statute is explicit that the grant or denial of such a request is a matter lying within the discretion of the grand jury, not the prosecutor, and that if the request is granted the designated witness’s appearance may be caused pursuant to CPL 190.50 (3), i.e., as the appearance of a person “*believed by [the grand jury]* to possess relevant information or knowledge” (emphasis added).

Here, the presenting prosecutors lost sight of these limitations and, in so doing, impermissibly substituted their discretion for that legally committed to the grand jury. The prosecutor knew that Jane Doe had been identified and interviewed as a witness to the Williams shooting, and indeed that she had at her office’s request testified before the first grand jury, before which she had given an account essentially favorable to defendant. Nevertheless, after first (while the defendant was present) professing ignorance of the requested witness’s existence, she said to the grand jurors that, while she did know who Ms. Doe was, her testimony would be irrelevant, an assertion which understandably nonplussed at least one grand juror, since it appeared from John Doe’s testimony that Ms. Doe had been present at the scene during or immediately after the shooting. The prosecutor then incorrectly instructed that it was the purview of her office to decide whether the requested testimony was relevant and that the grand jury was obliged to take her office’s advice that Ms. Doe’s testimony would be irrelevant. This was contrary to CPL 190.50, subdivisions (6) and (3), which, as noted, empower the grand jury to exercise its discretion to call any witnesses “*believed by it* to possess relevant information” (emphasis added). Matters were not improved when the second prosecutor suggested, inaccurately, that what Ms. Doe had to say would not be favorable to defendant.² And, although the

2. The majority protests that the second prosecutor’s statement, “[h]owever, it would be relevant, if she was going to give testimony in the defendant’s favor,” merely added nuance to the first prosecutor’s categorical

(n. cont’d)

grand jury was in the end permitted to vote on whether to call Jane Doe, the vote did not take place before the prosecutor reminded the jurors that it was 6:30 and they had to “make a lot of determinations right now,” and then led the jury to understand that, given James Doe’s testimony identifying defendant as Mr. Williams’ assailant, additional testimony would be irrelevant and a waste of valuable time. But the relevance of Jane Doe’s account did not turn at all upon whether James Doe’s testimony was, in the prosecutor’s estimation, sufficient to support an indictment and, obviously, was not fairly equated with what “everybody . . . on the face of the planet” the day of the shooting might have to say. It was the grand jury, and not the prosecutor, that was the proper judge of the facts with respect to the matter before it (*People v Pelchat*, 62 NY2d 97, 105 [1984]; CPL 190.25 [5]), both as to their legal sufficiency and the closely enmeshed question of whether they provided reasonable cause to believe defendant had committed the alleged crimes (*People v Batashure*, 75 NY2d 306, 310-311 [1990]). The grand jury was not bound to accept James Doe’s account, particularly if it was inconsistent with other eyewitness accounts. The prosecutor’s contrary suggestion—that narratives competing with the one offered by James Doe could be dismissed as irrelevant and thus need not be explored at all—impinged upon and abridged the grand jury’s basic investigative and fact-finding functions.

The prosecutors’ misstatements of fact and law were inconsistent with the People’s obligations of candor and fair dealing as officers of the court and advisers to the grand jury (*see Pelchat*, 62 NY2d at 105). They did not merely suggest “an unduly expansive view” (majority op at 700) of the prosecutor’s power. Nor did they constitute permissible argument as to the admissibility of the proffered defense evidence (majority op at 700). What the prosecutor said as to the relevance of that evidence and the purportedly plenary power of her office to determine evidentiary relevancy in the context of a defendant’s witness request was very misleading. It is not sensible to suppose, as the majority does, that this misadvice from the grand jury’s

pronouncement that Ms. Doe’s testimony was not relevant, and did not necessarily mean that Ms. Doe’s account was not exculpatory. While this parsing is logically correct, the fact remains that the most accessible meaning was the one the juror actually drew—that Ms. Doe’s testimony not only would not be exculpatory but that “basically she would be for [the prosecution].” Even if the second prosecutor’s comment was only intended to add nuance, it was demonstrably misleading.

designated legal advisor did not compromise the grand jury's investigative function or defendant's dependent right to request witnesses. The votes that followed in the wake of those misstatements cannot be viewed as expressions of the indicting body's independent and well-informed judgment. Possibly the People had valid reasons to oppose Ms. Doe's testimony (e.g., concern for the witness's safety), but those should have been interposed, if at all, pursuant to CPL 190.50 (3), in a motion to vacate a grand jury direction for her appearance or to quash a subpoena issued to her,³ or in opposition to defendant's motion to dismiss the indictment pursuant to CPL 210.35 (5). The grounds upon which such a motion might have been premised are not appropriately asserted for the first time on appeal as they have been in this litigation. In any event, the elaborate post hoc rationalization of need (majority op at 703-705) for the prosecutors' representations to the grand jury is purely speculative and, oddly, appears to rest upon the uncertain availability of relief pursuant to CPL 190.50 (3). Surely the majority does not suggest that the possibility a court would exercise its discretion to deny a prosecutor's motion to quash a grand jury subpoena could ever justify a prosecutor in misleading a grand jury as to the relevance of a murder witness's testimony. The statute exists precisely to obviate the need for bringing purely prosecutorial interests possibly conflicting with the prosecutor's duty of neutral advisement within the grand jury chamber directly to bear upon the grand jury's exercise of its power to call witnesses "*believed by it* to possess relevant information."

It is true that the standard for dismissal of an indictment pursuant to CPL 210.35 (5) for statutory nonconformities impairing the integrity of the underlying grand jury proceeding is exacting (*People v Darby*, 75 NY2d 449, 455 [1990]). But the recitation of the standard does not decide the particular claim and defendant's claim, I believe, merits relief.

3. The statute provides in relevant part:

"At any time after such a direction [by the grand jury to call a witness], however, or at any time after the service of a subpoena pursuant to such a direction and before the return date thereof, the people may apply to the court which impaneled the grand jury for an order vacating or modifying such direction or subpoena on the ground that such is in the public interest. Upon such application, the court may in its discretion vacate the direction or subpoena, attach reasonable conditions thereto, or make other appropriate qualification thereof."

In *People v Hill* (5 NY3d 772 [2005]) we upheld the dismissal of an indictment pursuant to CPL 210.35 (5) where the presenting prosecutor undermined the defendant's witness request by withholding from the grand jury basic information at his disposal bearing upon the relevance of the sought testimony. We reasoned that the prosecutor's failure to furnish the information on the ground that he could not disclose what he did not know, was misleading and left the grand jury with no basis to determine, in accordance with CPL 190.50 (6), whether the witness request should be granted (*id.* at 773). The conduct in this case, involving a far more aggressive assertion of prosecutorial influence to undermine what was on its face a legitimate CPL 190.50 (6) request for the testimony of a potentially pivotal witness, strikes even more profoundly at the integrity of the proceedings.

The further finding required as a condition of relief—that there “may” be consequential prejudice to the defendant (CPL 210.35 [5]; *Huston*, 88 NY2d at 409)—is, on this record, also justified. Ms. Doe testified before the grand jury that declined to return a true bill against defendant. The possibility that her plainly relevant testimony would have been sought by the second grand jury if not for the prosecutors' very serious mishandling of defendant's witness request and would have been instrumental to an outcome similarly favorable to defendant cannot be discounted.

The People, and now the majority, stress that by the time of the second grand jury presentation the testimony of James Doe had been obtained and that that testimony was legally sufficient to sustain the indictment. But this misses the point. It was up to the grand jury not only to determine whether the evidence was sufficient but whether there was reasonable cause to believe defendant had done the things of which he was accused (CPL 190.65 [1]; *and see Huston*, 88 NY2d at 411 [“the CPL requires not only legally sufficient evidence as a prerequisite to indictment but also reasonable cause to believe the person committed an offense”]), an exercise involving weighing the evidence (CPL 70.10 [2]). James Doe's identification of defendant as Rasheem Williams' shooter was essentially the only evidence before this grand jury linking defendant to the crime. The People did not present, as they had to the previous grand jury, evidence relating to the clothes and weapons found in the Hudson Street lot. But James Doe's identification, in respects not lost upon the grand jurors, was inconsistent with John Doe's description of

the person he saw running from the scene,⁴ and might well have been further cast in question by Jane Doe's description of the shooter. The grand jury could have resolved the testimonial conflicts differently had it heard from Ms. Doe, and a substantial possibility of a different outcome is all the statute requires in the way of prejudice where, as here, the integrity-impairing conduct is pronounced (*see Huston*, 88 NY2d at 409 ["The likelihood of prejudice turns on the particular facts of each case, including the weight and nature of the admissible proof adduced to support the indictment *and the degree of inappropriate prosecutorial influence or bias*"] [emphasis added]).

That the grand jury voted upon the witness request cannot be a saving factor here any more than it was in *Hill*. The salient point, which the majority overlooks in attempting to distinguish *Hill*, is that in each case the prosecutor's conduct deprived the grand jury of potentially outcome-determinative information essential to the discharge of its core constitutional obligation. Where that occurs, there can be no supposition that the grand jury would otherwise have voted as it did. Such a supposition only rewards conduct that CPL 210.35 (5) exists to deter.

The majority's minimization of what was a very serious prosecutorial misstep to treat this as an "ordinary case [in which] it may be said that the Grand Jury has properly carried out [its] function when it has issued an indictment upon evidence that is legally sufficient" (majority op at 704, quoting *Calbud, Inc.*, 49 NY2d at 394) significantly neuters CPL 210.35 (5) as a deterrent to improper prosecutorial influence during secret grand jury proceedings. While the exercise saves a conviction, it also practically eliminates the utility of a powerful, legislatively prescribed disincentive to the sort of prosecutorial overreaching that results in unfounded prosecutions. Accordingly, I dissent.

I would reverse and grant the motion to dismiss the indictment, with leave to re-present (*see People v Morris*, 93 NY2d 908 [1999]; CPL 210.20 [6] [b]).

Judges GRAFFEO, READ and PIGOTT concur with Judge ABDUS-SALAAM; Chief Judge LIPPMAN dissents in an opinion in which Judges SMITH and RIVERA concur.

Order affirmed.

4. Obviously attempting to reconcile John Doe's description with James Doe's identification, a juror specifically inquired of defendant whether he had had blotches or rashes on his face at the time of the Williams shooting.

[8 NE3d 831, 985 NYS2d 456]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE-
FINA JIMENEZ, Appellant.

Argued January 15, 2014; decided February 25, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 25, 2012. The Appellate Division (1) affirmed a judgment of the Supreme Court, Bronx County (Darcel D. Clark, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree and criminal trespass in the first degree, and (2) remitted the matter to Supreme Court for further proceedings pursuant to CPL 460.50 (5).

People v Jimenez, 98 AD3d 886, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Warrantless Search of Purse Incident to Arrest — Exigent Circumstances

In the prosecution of defendant, who was arrested for criminal trespass after providing contradictory and equivocal reasons as to why she and her Latino male companion were in a private apartment building where police officers had responded to a call reporting a burglary by two Latino males, a handgun that the officers found during a warrantless search of her purse incident to the arrest should have been suppressed inasmuch as the People failed to demonstrate that there were exigent circumstances to justify the search. Arresting officers may conduct a warrantless search of a bag that is within the immediate control or grabbable area of a suspect only where the circumstances leading to the arrest support a reasonable belief that the suspect may gain possession of a weapon or be able to destroy evidence located in the bag. Here, neither of the testifying officers who were at the scene testified that he feared for his safety or the integrity of any destructible evidence. Nor would any apprehension have been objectively reasonable. The detention and arrest occurred with at least four armed officers present and there was no indication that the demeanor or actions of either defendant or her companion lent them a threatening appearance in any respect. According to the testimony, defendant was cooperative and offered no resistance to the removal of the purse from her shoulder, the ensuing frisk or the placing of handcuffs. That the purse appeared heavy was insufficient on its own to support a reasonable belief that it contained either a weapon or destructible evidence. Nor did the building superintendent's gestures and facial expressions exhorting police to stop defendant and her companion supply the requisite exigency where the signals bore no indicia that they were armed or otherwise dangerous. That the arrest occurred when the police were responding to a radio run for burglary does not translate to exigency under the circumstances.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 88, 119, 133, 135, 136, 269, 277, 282.
CARMODY-WAIT 2d, Search and Seizure §§ 173:253, 173:264, 173:306, 173:368.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1, 3.5.
NY JUR 2d, Criminal Law: Procedure §§ 462, 465, 466, 473–475, 481.

ANNOTATION REFERENCE

Lawfulness of warrantless search of purse or wallet of person arrested or suspected of crime. 29 ALR4th 771.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: search! /s purse & exigent /2 circumstance & suppress!

POINTS OF COUNSEL

Steven Banks, The Legal Aid Society, New York City (*Richard Joselson* of counsel), for appellant. I. The People failed to meet their burden of establishing the exigency required to justify the warrantless search of appellant's pocketbook as incident to her arrest because the police had arrested appellant for a nonviolent offense; she offered no resistance to the execution of the arrest procedures; no police officers testified that they feared for their safety or believed that the pocketbook contained a weapon or evidence to which appellant could gain access; and, by the time of the search—the time relevant to assessing the propriety of the police conduct—appellant had been frisked and handcuffed and the pocketbook was in the exclusive control of the officers. (*People v Gokey*, 60 NY2d 309; *Arizona v Gant*, 556 US 332; *People v Hodge*, 44 NY2d 553; *Katz v United States*, 389 US 347; *People v Calhoun*, 49 NY2d 398; *People v Smith*, 59 NY2d 454; *People v Johnson*, 86 AD2d 165, 59 NY2d 1014; *People v Bowden*, 18 NY3d 980; *People v Burgos*, 81 AD3d 558; *People v Estrella*, 288 AD2d 133.) II. In a case where the defense argued that appellant was not in knowing possession of the firearm, the court erroneously denied defense challenges for cause to two prospective jurors, who stated that they would not credit, without additional witnesses providing corroboration, an accused who testified that she lacked the requisite knowledge for

a finding of guilt, and who never unequivocally repudiated this position after instructions from the court. (*People v Arnold*, 96 NY2d 358; *People v Johnson*, 94 NY2d 600; *People v Borges*, 90 AD3d 1067; *People v Rose*, 73 AD3d 1091; *People v Ortiz*, 37 AD3d 361; *People v Harris*, 19 NY3d 679; *People v Smith*, 297 AD2d 495; *People v Russell*, 16 AD3d 776; *People v Kenner*, 8 AD3d 296.)

Robert T. Johnson, District Attorney, Bronx (Noah J. Chamoy, Joseph N. Ferdenzi and Nancy D. Killian of counsel), for respondent. I. The nisi prius court providently found the search of defendant's purse, incident to her arrest, lawful. (*Arizona v Gant*, 556 US 332; *People v Gokey*, 60 NY2d 309; *People v Greenidge*, 91 NY2d 967; *People v Davis*, 64 NY2d 1143; *People v Bowden*, 87 AD3d 402, 18 NY3d 980; *People v Cloud*, 79 NY2d 786; *People v Wheeler*, 2 NY3d 370; *People v Harrison*, 57 NY2d 470; *People v McRay*, 51 NY2d 594; *People v Batista*, 88 NY2d 650.) II. The trial court did not abuse its discretion as a matter of law in denying defendant's for-cause challenges of prospective jurors. (*People v Roberson*, 249 AD2d 148; *People v Johnson*, 94 NY2d 600; *People v Torpey*, 63 NY2d 361; *People v Arnold*, 96 NY2d 358; *People v Williams*, 63 NY2d 882; *People v Guzman*, 76 NY2d 1; *People v Chambers*, 97 NY2d 417; *People v Bludson*, 97 NY2d 644; *People v Blyden*, 55 NY2d 73; *People v Marrero*, 69 NY2d 382.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The protections embodied in article I, § 12 of the New York State Constitution serve to shield citizens from warrantless intrusions on their privacy interests, including their personal effects. In the context of warrantless searches of closed containers incident to arrest, the People bear the burden of demonstrating the presence of exigent circumstances in order to invoke this exception to the warrant requirement. Because the People failed to meet that burden in this case as a matter of law, defendant's motion to suppress should have been granted. We therefore reverse the Appellate Division order to remedy this error.

Defendant was indicted for criminal possession of a weapon in the second degree (Penal Law § 265.03 [3]) and criminal trespass in the first degree (Penal Law § 140.17 [1]) after the search of her purse incident to an arrest for trespassing resulted in the discovery of a loaded handgun. Defendant moved to suppress the gun and a hearing was granted. At the hearing, the

court heard testimony from Sergeant Manzari and Officer Barnes, two of the police officers present at the time of defendant's arrest.¹

Just before noon on May 23, 2008, police responded to a radio run reporting a burglary in progress at 2255 Barker Avenue in the Bronx, an apartment building participating in Operation Clean Halls, a program through which police officers are authorized entry into privately owned buildings to conduct patrols. The radio run included descriptions of the suspects provided by the 911 caller, who had reported that two Latino males, between 5 feet, 9 inches and 5 feet, 11 inches, were attempting to burglarize a fifth-floor apartment. Sergeant Manzari and his partner, Officer Aldas, were the first to arrive on the scene. They began by checking the rear exterior of the building, which was boarded up due to ongoing construction, leaving no rear access. Manzari and Aldas then circled back to the front entrance, where they were soon joined by between four and six additional officers. Manzari sent a pair of officers upstairs to conduct a vertical sweep and to locate and interview the 911 caller.

Upon entering the building, Manzari and Aldas observed defendant coming into the lobby from what appeared to be a stairwell. She was in the company of a Latino male, Alberto Sanchez. Another woman, who was later identified as the building superintendent, pointed at defendant and Sanchez and "made a face" in a manner Manzari interpreted as a request for the police to stop them, though she gave no intimation of weaponry. Manzari also instructed an officer to move the superintendent aside "for safety reasons." At Manzari's direction, Officer Aldas then questioned defendant "to find out what she was doing in the building, if she was trespassing in the building." Her answers were contradictory and equivocal: while she initially stated that she was there to visit a friend, she then claimed she was in search of a notary, but could provide neither names nor apartment numbers associated therewith. There were "No Trespassing" signs posted in the lobby.

At this point, Sergeant Manzari instructed two of the officers present to arrest defendant and Sanchez for trespassing. Officer

1. We do not consider the conflicting evidence, in some respects more favorable to defendant, adduced at trial, as we conclude that suppression should have been granted following the pretrial hearing. Accordingly, we need not reach the issue of whether defendant's motion to reopen the suppression hearing was improperly denied. The facts recited here are thus drawn from the hearing testimony alone.

Pagan approached defendant while another officer prepared to arrest Sanchez. Pagan proceeded to remove from defendant's shoulder a large purse, which—from Officer Barnes' standpoint—appeared to be heavy. Pagan then opened the bag and saw a handgun inside. After Pagan informed Manzari that the bag contained a gun and that it appeared to be loaded, the Sergeant instructed her to secure the weapon. Thereafter, Pagan handcuffed defendant and transported her to the precinct for processing.

The trial court denied defendant's motion to suppress the gun, ruling that the search of defendant's purse was justified for safety reasons. The court determined that the purse was not within the police's exclusive control at the time of the search and that the superintendent's gestures suggested that defendant and Sanchez were in some way connected to the burglary. Defendant was convicted, after a jury trial, of the counts charged.

The Appellate Division affirmed (98 AD3d 886 [1st Dept 2012]), concluding, in relevant part, that the search was proper given that “[t]he bag was large enough to contain a weapon and was within defendant's grabbable area at the time of her arrest for criminal trespass in connection with the police investigation of a burglary” (*id.* at 886). The court further determined that the police lacked exclusive control over the bag and that the “surrounding circumstances . . . support a reasonable belief in the existence of an exigency justifying a search of the bag, even though the officers did not explicitly testify at the suppression hearing that they feared for their safety” (*id.*). A Judge of this Court granted leave to appeal (20 NY3d 987 [2012]), and we now reverse.

“All warrantless searches presumptively are unreasonable per se,” and, thus, “[w]here a warrant has not been obtained, it is the People who have the burden of overcoming” this presumption of unreasonableness (*People v Hodge*, 44 NY2d 553, 557 [1978]; see also *People v Calhoun*, 49 NY2d 398, 402 [1980]; *Chimel v California*, 395 US 752, 762 [1969]). Under the State Constitution, to justify a warrantless search incident to arrest, the People must satisfy two separate requirements. The first imposes spatial and temporal limitations to ensure that the search is “not significantly divorced in time or place from the arrest” (*People v Smith*, 59 NY2d 454, 458 [1983] [quotation marks omitted]; see also *People v Gokey*, 60 NY2d 309, 312 [1983]; *People v Langen*, 60 NY2d 170, 181 [1983]).

The second, and equally important, predicate requires the People to demonstrate the presence of exigent circumstances (*Gokey*, 60 NY2d at 313; *Smith*, 59 NY2d at 458; *see also Lanken*, 60 NY2d at 181). We have recognized two interests underlying the exigency requirement: “the safety of the public and the arresting officer; and the protection of evidence from destruction or concealment” (*Gokey*, 60 NY2d at 312). Exigency must be affirmatively demonstrated. Accordingly, even a bag “within the immediate control or ‘grabbable area’ of a suspect at the time of his arrest may not be subjected to a warrantless search incident to the arrest, unless the circumstances leading to the arrest support a reasonable belief that the suspect may gain possession of a weapon or be able to destroy evidence located in the bag” (*Gokey*, 60 NY2d at 311; *see also Smith*, 59 NY2d at 458-459).

The crime for which there is probable cause to make the arrest may itself provide the requisite exigency (*see e.g. People v Johnson*, 86 AD2d 165 [1st Dept 1982], *affd for reasons stated below* 59 NY2d 1014 [1983]). In *Johnson*, police were responding to a radio run reporting a “man with a gun” (*Johnson*, 86 AD2d at 166). The building superintendent informed them that the suspect had struck him in the head with a pistol, tried to shoot him, and retreated to an apartment. Upon entering that apartment, the police discovered the defendant standing two feet away from a bed on which lay a bag that he identified as his own. We held the search to be valid because the bag was within defendant’s grabbable area at the time of the arrest and the police reasonably believed that he was armed.

Exigency may also derive from circumstances other than the nature of the offense. In *Smith*, for example, the defendant was arrested for the nonviolent offense of turnstile jumping, but we held that the warrantless search of his briefcase was reasonable because he wore a bulletproof vest and denied this fact when questioned by police (*see Smith*, 59 NY2d at 459).

However, we reached the opposite result in *Gokey*, where no exigency existed to justify the search of defendant’s duffel bag. Defendant there was arrested for two nonviolent crimes and no less than five officers were on the scene. In addition, the People conceded that the police did not fear for their safety, but merely searched the bag because they suspected it contained drugs.

Likewise, the gun here should have been suppressed because the People failed to meet their burden as to the exigency requirement. Neither Sergeant Manzari nor Officer Barnes testified

that he feared for his safety or for the integrity of any destructible evidence. While an officer need not affirmatively testify as to safety concerns to establish exigency, such apprehension must be objectively reasonable (*see People v Batista*, 88 NY2d 650, 654 [1996]; *People v Moore*, 32 NY2d 67, 72 [1973], *cert denied* 414 US 1011 [1973]).

That was not the case here. The detention and arrest occurred with at least four armed officers present, and possibly as many as eight. Moreover, there was no indication that the demeanor or actions of either defendant or Sanchez lent them a threatening appearance in any respect. The testimony demonstrated that defendant was cooperative and offered no resistance to the removal of the purse from her shoulder, the ensuing frisk, or the placing of handcuffs. Furthermore, the unremarkable fact that a woman's purse appeared heavy is insufficient, on its own, to support a reasonable belief that it contains either a weapon or destructible evidence. Nor did the superintendent's gestures and facial expressions exhorting the police to stop defendant and her companion supply the requisite exigency. Unlike the witness in *Johnson* who made a statement to police accusing defendant of attacking him with a gun, the superintendent's signals bore no indicia that defendant or her cohort were armed or otherwise dangerous. Further, that Manzari thought it prudent to separate her from defendant and Sanchez during investigatory questioning is insufficient to establish a particularized suspicion that defendant or Sanchez had a weapon. To the extent the hearing court's findings were to the contrary, they are unsupported by the record.

Critically, that the arrest occurred when police were responding to a radio run for a burglary does not translate to exigency under these circumstances.² There was simply nothing connecting defendant or her companion to the burglary. Besides a common ethnicity, there was no evidence that they matched the

2. The People's reliance on *People v Mack* (26 NY2d 311 [1970]) to justify the search here is unpersuasive. *Mack* concerned the propriety of the stop-and-frisk of a suspect upon reasonable suspicion that he had committed a burglary, concluding that it was "unnecessary to particularize an independent source for the belief of danger" to justify the frisk (*Mack*, 26 NY2d at 317). Even assuming the same rationale applies in the context of a search incident to arrest, the case is nevertheless inapposite. In *Mack*, the police had developed a particularized suspicion as to that individual in connection with a burglary, whereas here the police lacked a reasonable basis to suspect defendant of anything more than trespass. Accordingly, an "independent source for the belief of danger" was both necessary and absent.

radio run description of the burglary suspects. Furthermore, defendant was arrested for trespass, without any reasonable basis to suspect that she participated in the alleged burglary.

In sum, the People's proof failed to demonstrate that the circumstances of defendant's arrest gave rise to a reasonable belief that her purse contained either a weapon or destructible evidence. Our constitutional privacy protections demand a more robust evidentiary showing to invoke this exception to the warrant requirement. Absent the requisite exigency, the warrantless search of defendant's purse incident to that arrest was improper and the gun discovered should have been suppressed.

In light of our holding, defendant's conviction for weapons possession cannot stand and her conviction for first-degree criminal trespass, premised on possession of a deadly weapon, must be reduced to criminal trespass in the second degree (Penal Law § 140.15 [1]).

We have considered and rejected defendant's remaining argument regarding jury selection.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to suppress granted, the conviction of criminal possession of a weapon in the second degree vacated and that count of the indictment dismissed, the conviction of criminal trespass in the first degree reduced to criminal trespass in the second degree and the matter remitted to Supreme Court for resentencing.

ABDUS-SALAAM, J. (dissenting in part). Whether the police acted reasonably in conducting the warrantless search of defendant's handbag involves "mixed questions of law and fact" (*People v Greenidge*, 91 NY2d 967, 969 [1998]) and our review is therefore "limited to whether there is record support for the determinations of the courts below" (*People v Wheeler*, 2 NY3d 370, 373 [2004]). Contrary to the majority, I conclude that there is record support for the unanimous findings of the lower courts that the search here was reasonable under all of the circumstances. Accordingly, I would affirm the conviction.

To summarize, the police were responding to a dispatch of a burglary in progress on the fifth floor of a residential building. As they entered the lobby, they saw defendant and her male companion exiting a stairwell into the lobby. The building superintendent made a face and gestured to the police, pointing out these two individuals. When the police questioned defendant as to what she was doing in the building, defendant first

claimed that she was visiting a friend, but could not name the friend. Defendant then changed her story, saying that she was in search of a notary, but could not name the notary or give an apartment number for the notary. The police, who were beginning the process of investigating the burglary on the fifth floor, decided to arrest defendant for trespass. While handcuffing defendant, the police noticed that defendant had a handbag on her shoulder that was weighted down, and which defendant was holding tightly to her body. The police opened the handbag and found a loaded handgun.

The hearing court denied defendant's motion to suppress the firearm, finding that the officers suspected that defendant and her companion were connected in some way to the burglary, and that defendant's handbag, which was in her immediate control and "grabbable space," presented a safety issue for the arresting officer. The Appellate Division affirmed, concluding that "[t]he surrounding circumstances here support a reasonable belief in the existence of an exigency justifying a search of the bag" (98 AD3d 886, 886 [1st Dept 2012]).

The reasonableness of each search incident to arrest must "be determined on the basis of the facts and circumstances of the particular case" (*People v Smith*, 59 NY2d 454, 457 [1983]). A warrantless search is justified by exigent circumstances such as the safety of the arresting officer (*People v Gokey*, 60 NY2d 309, 312 [1983]). In concluding that the weapon should have been suppressed, the majority has, in my view, merely differed with the lower courts as to the reasonable inferences that may be drawn based upon these facts, reached its own arguably reasonable inferences, and concluded that there was no exigency justifying the search. However, mixed questions are beyond our review even "where reasonable minds may differ as to the inference to be drawn" (*People v Harrison*, 57 NY2d 470, 477 [1982] [internal quotation marks omitted]; see also *People v Howard*, 22 NY3d 388 [2013]). Such a case is now before us.

This is not an instance where, "even accepting the entirety of the hearing court's factual findings, none of the inferences that reasonably may be drawn from [the] settled facts can support the conclusion that [the search] was lawful" (*Howard* at 411 [Abdus-Salaam, J., dissenting]). Rather, the facts *do* support the inferences reached by the lower courts, although other inferences could also be reached, as demonstrated by the conclusions drawn by the majority. For example, the majority notes that the police need not affirmatively testify that they were concerned

about their safety, but that the apprehension of the police must be objectively reasonable (*see* majority op at 723). In concluding that there was “nothing connecting defendant or her companion to the burglary” (*id.* at 723), the majority downplays the uncontroverted testimony that when the police officers first entered the lobby, they were directed to defendant by the gestures of the superintendent, who motioned to the police to stop defendant and her companion.

At the point that the police questioned defendant and decided to arrest her based upon her evasive and untruthful answers, they had not even made it up to the fifth floor to complete their investigation of the reported burglary and thus had no probable cause to arrest her for burglary. But they did have reason, by virtue of the superintendent’s actions, to suspect defendant, and defendant only heightened their suspicions by her unsatisfactory answers to their questions. Furthermore, as the police were arresting defendant, they noticed that she was clutching a heavy handbag tightly against her body. Reasonable minds could infer that the police suspected defendant of being involved in the burglary and that her heavy handbag, held tightly against her body, gave rise to an objective apprehension that defendant might have a weapon that presented a safety risk to the officers (*see generally Brigham City v Stuart*, 547 US 398, 403 [2006], quoting *Mincey v Arizona*, 437 US 385, 393-394 [1978] [“(W)arrants are generally required to search a person’s home or his person unless ‘the exigencies of the situation’ make the needs of law enforcement so compelling that the warrantless search is objectively reasonable under the Fourth Amendment”]).

Here, as in *People v Smith* (59 NY2d 454 [1983]), the crime for which defendant was being arrested was not suggestive of a weapon, but the police had reason to suspect defendant of a crime that could indeed involve a weapon (*see* Penal Law § 140.30 [burglary in the first degree]), and defendant was holding a bag that “[was] readily accessible to [her] and . . . was of sufficient size to contain a weapon” (59 NY2d at 459). Moreover, like *Smith*, defendant lied to the police, which reasonably raised their suspicion (*see id.*). This case is distinguishable from *People v Gokey* (60 NY2d 309 [1983]) where we suppressed marijuana seized from defendant’s duffel bag during a warrantless search incident to arrest notwithstanding that the duffel bag was within defendant’s “grabbable area” (60 NY2d at 312). In finding that there was no exigency to justify the search in *Gokey*, we noted that “the police sought defendant’s arrest for

two nonviolent crimes and the People concede[d] that ‘in all frankness there was no immediate suspicion by the police officers that the defendant was in fact armed’ ” (*id.* at 313). Further, the police had not seized the bag from Gokey upon his arrest “but permitted him to keep the bag between his legs while he was frisked” (*id.*). In this case, there was no such concession by the People, and defendant’s handbag was seized and searched contemporaneously with her arrest.

Additionally, while the majority notes that several officers responded to the radio run, and that defendant offered no resistance to the arrest, the loaded firearm was still within defendant’s reach, and the presence of a number of officers would not have prevented her from firing the gun at them. Again, a reasonable inference that the requisite exigency existed can be drawn from the facts established at the suppression hearing.

In sum, the determination to deny defendant’s motion to suppress the handgun involved “mixed questions of law and fact that are supported by evidence in the record” and are consequently beyond further review by this Court (*Greenidge*, 91 NY2d at 969). Accordingly, I would affirm the Appellate Division order sustaining defendant’s conviction.

Judges GRAFFEO, SMITH and RIVERA concur with Chief Judge LIPPMAN; Judge ABDUS-SALAAM dissents and votes to affirm in an opinion in which Judges READ and PIGOTT concur.

Order reversed, defendant’s motion to suppress granted, the conviction of second-degree criminal possession of a weapon vacated and that count of the indictment dismissed, the conviction of criminal trespass in the first degree reduced to criminal trespass in the second degree and case remitted to Supreme Court, Bronx County for resentencing.

[8 NE3d 823, 985 NYS2d 448]

DEBORAH VOSS et al., Appellants, v THE NETHERLANDS INSURANCE COMPANY et al., Defendants, and CH INSURANCE BROKERAGE SERVICES, CO., INC., Respondent.

Argued January 9, 2014; decided February 25, 2014

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 15, 2012. The Appellate Division affirmed an order of the Supreme Court, Onondaga County (Deborah H. Karalunas, J.), which had granted a motion by defendant CH Insurance Brokerage Services, Co., Inc. for summary judgment dismissing the amended complaint and all cross claims against it.

Voss v Netherlands Ins. Co., 96 AD3d 1543, reversed.

HEADNOTES

Insurance — Agents and Brokers — Liability for Failure to Procure Adequate Insurance Coverage — Special Relationship

1. In an action by plaintiff insureds alleging that plaintiffs had a special relationship with defendant insurance broker and that defendant had negligently secured inadequate levels of business interruption insurance for three losses sustained by plaintiffs, defendant was not entitled to summary judgment because it failed to establish the absence of a material issue of fact as to the existence of a special relationship. Where a special relationship develops between an insurance broker and a client, the broker may be liable, even in the absence of a specific request, for failing to advise or direct the client to obtain additional coverage. Exceptional situations that may give rise to a special relationship include the agent receiving compensation for consultation apart from payment of the premiums; some interaction regarding a question of coverage, with the insured relying on the expertise of the agent; or a course of dealing over an extended period of time which would have put objectively reasonable insurance agents on notice that their advice was being sought and specially relied on. The proof submitted by defendant in support of its summary judgment motion—principally, the individual plaintiff's deposition testimony—did not satisfy its initial burden of establishing the absence of a material issue of fact as to the existence of a special relationship. To the contrary, viewed in the light most favorable to plaintiffs, the evidence suggested that there was some interaction regarding a question of business interruption coverage, with plaintiff relying on defendant's expertise.

Insurance — Agents and Brokers — Liability for Failure to Procure Adequate Insurance Coverage — Special Relationship

2. In an action by plaintiff insureds alleging that plaintiffs had a special relationship with defendant insurance broker and that defendant had negligently secured inadequate levels of business interruption insurance for three losses sustained by plaintiffs, the individual plaintiff's awareness of the business

interruption limits that were actually in effect during the relevant policy years did not defeat her cause of action as a matter of law. Plaintiffs' claim, predicated on the alleged special relationship with defendant, was that defendant was negligent in failing to recommend higher limits and that plaintiffs relied on defendant in setting the allegedly deficient coverage amounts. It was wholly irrelevant whether plaintiffs were aware of the limits that were actually procured.

Insurance — Agents and Brokers — Liability for Failure to Procure Adequate Insurance Coverage — Special Relationship

3. In an action by plaintiff insureds alleging that plaintiffs had a special relationship with defendant insurance broker and that defendant had negligently secured inadequate levels of business interruption insurance for three losses sustained by plaintiffs, the question of whether any negligence on defendant's part in failing to advise plaintiffs to procure more business interruption coverage, as opposed to the insurer's failure to timely pay the claims, was the proximate cause of plaintiffs' losses should not have been determined in the context of defendant's summary judgment motion. Questions of proximate cause and foreseeability should generally be resolved by the factfinder.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 149, 150, 152, 154.

COUCH ON INSURANCE (3d ed) §§ 46:46, 46:49, 46:61, 55:10.

NY JUR 2d, Insurance §§ 494, 504, 506, 507.

ANNOTATION REFERENCE

Liability of insurer or agent of insurer for failure to advise insured as to coverage needs. 88 ALR4th 249.

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Query: liab! /p agent! or broker! /s fail! /s obtain /s insur!
/s cover! & spec! /5 rel!

POINTS OF COUNSEL

Dirk J. Oudemool, Syracuse, for appellants. I. A special relationship existed between appellants and respondent. (*Murphy v Kuhn*, 90 NY2d 266; *Kimmell v Schaefer*, 89 NY2d 257; *Esteve v Abad*, 271 App Div 725; *Gilson v Metropolitan Opera*, 5 NY3d 574.) II. Respondent proximately caused appellants' injuries. (*Howard Stores Corp. v Foremost Ins. Co.*, 82 AD2d 398, 56 NY2d 991; *Kimmell v Schaefer*, 89 NY2d 257; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308.) III. Presumptive knowledge of the policy is not sufficient as a matter of law to dismiss this case due to the special relationship. (*Hoffend & Sons, Inc. v*

Rose & Kiernan, Inc., 19 AD3d 1056; *American Bldg. Supply Corp. v Petrocelli Group, Inc.*, 19 NY3d 730.) IV. The *American Bldg. Supply Corp. v Petrocelli Group, Inc.* (19 NY3d 730 [2012]) decision raises questions about respondent's choice to exclude rental income from the policy. (*Kyes v Northbrook Prop. & Cas. Ins. Co.*, 278 AD2d 736.)

Wilson, Elser, Moskowitz, Edelman & Dicker, LLP, Albany (Thomas M. Witz and Benjamin F. Neidl of counsel), for respondent. I. The lower courts were correct to dismiss the complaint because defendant's alleged conduct was not the proximate cause of any injury to plaintiffs. (*Sheehan v City of New York*, 40 NY2d 496; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Ventricelli v Kinney Sys. Rent A Car*, 45 NY2d 950; *Penovich v Schoeck*, 252 AD2d 799; *Rivera v City of New York*, 11 NY2d 856; *Broad St., LLC v Gulf Ins. Co.*, 37 AD3d 126; *Royal Indem. Co. v Retail Brand Alliance, Inc.*, 33 AD3d 392, 11 NY3d 705; *54th St. Ltd. Partners v Fidelity & Guar. Ins. Co.*, 306 AD2d 67; *American States Ins. Co. v Creative Walking, Inc.*, 16 F Supp 2d 1062, 175 F3d 1023; *Quinn v Depew*, 63 AD3d 1425.) II. In the alternative, plaintiffs' claim fails for the separate and distinct reason that Deborah Voss was undisputedly aware of the business interruption limits and did not request that they be raised. (*Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 19 AD3d 1056, 7 NY3d 152; *Chase's Cigar Store v Stam Agency*, 281 AD2d 911; *Nicholas J. Masterpol, Inc. v Travelers Ins. Cos.*, 273 AD2d 817; *Busker on Roof Ltd. Partnership Co. v Warrington*, 283 AD2d 376; *American Bldg. Supply Corp. v Petrocelli Group, Inc.*, 19 NY3d 730; *Murphy v Kuhn*, 90 NY2d 266; *Oddo Asset Mgt. v Barclays Bank PLC*, 19 NY3d 584.) III. Plaintiffs' argument concerning lost rental value coverage is without merit. (*American Bldg. Supply Corp. v Petrocelli Group, Inc.*, 19 NY3d 730; *Broad St., LLC v Gulf Ins. Co.*, 37 AD3d 126.)

OPINION OF THE COURT

GRAFFEO, J.

The primary question before us in this insurance dispute is whether a special relationship existed between the insureds and their insurance broker. Under the circumstances of this case, we conclude that the broker failed to meet its burden justifying summary judgment and dismissal of the complaint is not warranted.

This action arises out of property damage and the consequent business interruption sustained by plaintiff insureds as a result

of water damage that occurred following three separate roof breaches in 2007 and 2008. Plaintiffs are Deborah Voss and three business entities owned and controlled by her: Prop-Co, LLC; Classi People, Inc., doing business as Sertino's Café; and Dream People, Inc., doing business as Shiver Model. The water damage occurred in a commercial building owned by Prop-Co at 105 First Street in Liverpool, New York, where Voss operated her businesses. The only defendant on this appeal is CH Insurance Brokerage Services, Co., Inc. (CHI), plaintiffs' insurance broker.

Voss began her relationship with CHI in 2004, before the purchase of the 105 First Street property. At that time, Voss operated two modeling agencies, Shiver Model and another entity, at 7145 Henry Clay Boulevard in Liverpool. Voss met with a representative of CHI, Joe Convertino, Jr., to discuss insurance coverage for the premises and her two companies. At the initial meeting, they discussed property insurance, professional liability coverage and business interruption insurance.¹ Convertino asked Voss to disclose sales figures and other pertinent information to enable him to calculate an appropriate level of business interruption coverage for her companies. According to Voss, Convertino also represented that CHI would reassess and revisit the coverage needs as her businesses grew.

At a follow-up meeting, Convertino recommended a comprehensive policy with defendant The Netherlands Insurance Company (formerly Peerless Insurance Company) that afforded, as relevant here, \$75,000 per incident in coverage for business interruption losses. When Voss questioned whether the \$75,000 limit was adequate, Convertino allegedly assured her that it would suffice based on the condition of the building as well as the size of her businesses. According to Voss, Convertino also averred that he calculated the level of coverage at a threshold level and reemphasized that, each year, CHI "would take it up as the business evolved." As a result, Voss accepted Convertino's recommendations and paid the premium for the Netherlands

1. The purpose of business interruption insurance

"is to compensate an insured for losses stemming from an interruption of normal business operations due to damage or destruction of property from a covered hazard, thus preserving the continuity of the insured's business earnings by placing the insured in the position that it would have occupied if there had been no interruption" (11 Steven Plitt et al., *Couch on Insurance* 3d § 167:9 [footnotes omitted]).

policy. No claims under the Netherlands policy were made while the businesses were located at Henry Clay Boulevard.

In April 2006, Prop-Co purchased the 105 First Street premises. The new building had two stories and contained more than twice the square footage of the previous location. Voss decided to move Shiver Model to the second floor and planned to open two new businesses in the same building—Sertino's Café and the Glass Terrace, a catering and banquet business.² After Voss discussed the move and the new business arrangements with Convertino, CHI renewed the Netherlands policy with the same \$75,000 business interruption limit for the new location and entities. Sertino's Café opened in the fall of 2006 and, by early 2007, Shiver Model had moved to 105 First Street and the Glass Terrace was in operation.

The first loss occurred in March 2007, when Voss arrived at work and discovered multiple leaks in the roof with dripping water. The damage disrupted her business operations and a roofing contractor, defendant D.R. Casey Construction Corporation, was retained to replace the roof. The following month the new roof failed, resulting in far more extensive water damage to both floors of the premises. All three businesses were required to close for various periods of time. Netherlands treated these two roof breaches as separate occurrences under the business interruption policy (for a maximum potential of \$150,000 in coverage) but, according to Voss, delayed making any payments. Apparently, plaintiffs ultimately recouped only \$3,197 for the first loss and \$30,000 for the second loss.

Meanwhile, in the midst of dealing with the roofing issues in the spring of 2007, Voss met with another CHI representative, Carrie Allen, to discuss the renewal of the Netherlands policy. When Voss received a proposal indicating that the business interruption coverage would be reduced from \$75,000 to \$30,000, she asserts that she questioned Allen about the reduction and Allen's response was that she "would take a look at it." Voss did not follow up, however, because she was preoccupied with the building's extensive property damage. When the Netherlands policy was renewed in April 2007, it reflected a per occurrence limit of \$30,000 in business interruption coverage. In August 2007, Sertino's Café was closed and Voss opened a new dining establishment, Bistro 105, in its place.

2. Voss shut down her other modeling agency some time before the 2006 move to the new building.

In February 2008, the roof failed a third time, causing significant damage to the premises and further disrupting Voss's businesses.³ In May 2008, while the insurance claims stemming from the third loss were still pending, plaintiffs commenced this action against CHI, Netherlands and D.R. Casey, the roofing contractor.⁴ As relevant to this appeal, plaintiffs alleged that a special relationship existed with CHI and that CHI had negligently secured inadequate levels of business interruption insurance for all three losses.⁵

Following discovery, CHI moved for summary judgment dismissing the complaint. CHI advanced three arguments in favor of dismissal. First, CHI asserted that no special relationship was created and, in the absence of a specific request by the insureds for coverage that went unfulfilled, CHI could not be held liable for failing to recommend or obtain higher limits. Second, it contended that the negligence claim failed based on Voss's admission that she had received the policies and was fully aware of the \$75,000 policy limit that applied to the first two losses and the \$30,000 policy limit in effect at the time of the third loss. Third, CHI claimed that, even if a special relationship existed, any breach of its duty to plaintiffs was not the proximate cause of their injuries. Instead, plaintiffs' damages occurred because Netherlands failed to timely pay the policy limits.

Supreme Court granted CHI's motion and dismissed the complaint, agreeing with each of CHI's contentions. The Appellate Division, with one Justice dissenting, affirmed (96 AD3d 1543 [4th Dept 2012]). The majority disagreed with Supreme Court on the special relationship issue, finding that CHI had failed to meet its burden of demonstrating the absence of a special relationship. Nevertheless, the majority concurred with the other two rationales and upheld Supreme Court's dismissal. The dissent agreed with the majority that a question of fact existed on the special relationship issue but sided with plaintiffs on the other two questions. The dissent reasoned that, assuming a special relationship existed, it was irrelevant whether

3. Apparently, there was water damage to both floors of the premises, causing closure of the restaurant business for two months.

4. According to plaintiffs, Netherlands has yet to make any business interruption payment for the third loss.

5. Plaintiffs' claims against Netherlands and D.R. Casey remain pending and are not at issue on this appeal.

plaintiffs were aware of the policy limits and that the proximate cause issue could not be decided as a matter of law on this record.

We granted plaintiffs leave to appeal (20 NY3d 860 [2013]), and now reverse.

As a threshold matter, CHI asserts that we need not address the alternative bases upon which the Appellate Division upheld the dismissal of the complaint because, contrary to the conclusion reached by both the majority and the dissent at the Appellate Division, the record does not support the existence of a special relationship between CHI and plaintiffs. CHI contends that, even read in the light most favorable to the nonmoving party—here, plaintiffs—the evidence confirms only the existence of an ordinary broker-client relationship. Plaintiffs counter that the Appellate Division correctly determined that CHI failed to meet its initial burden of tendering proof that no special relationship arose between them.

On a motion for summary judgment, the moving party (here, CHI) has the burden to establish “a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact” (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). If the moving party fails to meet this initial burden, summary judgment must be denied “regardless of the sufficiency of the opposing papers” (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012] [internal quotation marks, citation and emphasis omitted]). In other words, the burden does not shift to the nonmoving party to persuade the court against summary judgment. We agree with the Appellate Division that CHI failed to meet its threshold burden on the special relationship issue.

As a general principle, insurance brokers “have a common-law duty to obtain requested coverage for their clients within a reasonable time or inform the client of the inability to do so; however, they have no continuing duty to advise, guide or direct a client to obtain additional coverage” (*American Bldg. Supply Corp. v Petrocelli Group, Inc.*, 19 NY3d 730, 735 [2012] [internal quotation marks and citation omitted]). Hence, in the ordinary broker-client setting, the client may prevail in a negligence action only where it can establish that it made a particular request to the broker and the requested coverage was not procured. Plaintiffs in this case do not allege that they specifically requested higher business interruption policy limits and have

not proceeded against CHI under this common-law theory of liability. Rather, their claim hinges on the existence of a special relationship.

Where a special relationship develops between the broker and client, we have also indicated that the broker may be liable, even in the absence of a specific request, for failing to advise or direct the client to obtain additional coverage (*see Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 7 NY3d 152, 158 [2006]; *Murphy v Kuhn*, 90 NY2d 266, 272-273 [1997]). In *Murphy*, we recognized that “particularized situations may arise in which insurance agents, through their conduct or by express or implied contract with customers and clients, may assume or acquire duties in addition to those fixed at common law” and that the question of whether such additional responsibilities should be “given legal effect is governed by the particular relationship between the parties and is best determined on a case-by-case basis” (*Murphy*, 90 NY2d at 272). We identified three exceptional situations that may give rise to a special relationship, thereby creating an additional duty of advisement:

“(1) the agent receives compensation for consultation apart from payment of the premiums; (2) there was some interaction regarding a question of coverage, with the insured relying on the expertise of the agent; or (3) there is a course of dealing over an extended period of time which would have put objectively reasonable insurance agents on notice that their advice was being sought and specially relied on” (*id.* [citations omitted]).

[1] Here, the proof submitted by CHI in support of its summary judgment motion—principally, Voss’s deposition testimony—did not satisfy its initial burden of establishing the absence of a material issue of fact as to the existence of a special relationship. To the contrary, viewed in the light most favorable to plaintiffs, the evidence suggests that “there was some interaction regarding a question of [business interruption] coverage, with the insured relying on the expertise of the agent” (*id.*). Voss testified that she and Convertino discussed business interruption insurance from the inception of their business relationship. She asserts that he requested sales figures and other relevant data in order to calculate the proper level of coverage. When Convertino later returned with a proposal that included \$75,000 in business interruption insurance, Voss avers that she questioned that amount and that Convertino assured her that it was adequate based on his review of her business finances as

well as the layout of the building. Moreover, although the \$75,000 per occurrence limit was originally placed in 2004, before plaintiffs moved to 105 First Street and expanded their businesses to include a restaurant and catering operation, Voss testified that Convertino repeatedly pledged that CHI would review coverage annually and recommend adjustments as her businesses grew.

Under these circumstances, we conclude that the complaint cannot be dismissed on the basis that no special relationship arose between the parties. In doing so, we reiterate that special relationships in the insurance brokerage context are the exception, not the norm, and we emphasize that it remains to be determined whether a special relationship existed here. To prevail on their claim, plaintiffs bear the ultimate burden of proving that a special relationship did in fact arise and that they relied on CHI's expertise in calculating the proper level of business interruption coverage during the relevant time frames.⁶

[2] We now turn briefly to the two grounds that nevertheless warranted dismissal in the Appellate Division majority's view. As to the first, we agree with plaintiffs that Voss's awareness of the business interruption limits of \$75,000 and \$30,000 during the relevant policy years does not defeat her cause of action as a matter of law (*see generally American Bldg. Supply Corp.*, 19 NY3d at 736-737). Plaintiffs' claim, predicated on the alleged special relationship with CHI, is that CHI was negligent in failing to recommend higher limits and that plaintiffs relied on CHI in setting the allegedly deficient coverage amounts. Contrary to CHI's assertion, it is wholly irrelevant whether plaintiffs were aware of the limits that were actually procured.

[3] As to the second ground for dismissing the complaint, the Appellate Division majority concluded that any negligence on CHI's part in failing to advise plaintiffs to procure more business interruption coverage was not the proximate cause of plaintiffs' losses; rather, it was Netherlands' failure to timely

6. The dissent agrees that a special relationship may have begun in 2004 but concludes that, even if it did, it ceased to exist sometime before the placement of insurance for the time periods encompassing the three losses. In particular, the dissent cites an interaction between Voss and CHI's Allen suggesting a breakdown of the relationship. But that conversation did not take place until 2007, during the renewal phase for the final relevant policy period, and we cannot agree that, on this record, the special relationship issue can be resolved against plaintiffs as a matter of law.

pay the claims. But questions of proximate cause and foreseeability should generally be resolved by the factfinder (*see Derdarian v Felix Contr. Corp.*, 51 NY2d 308, 315 [1980]; *see also Mirand v City of New York*, 84 NY2d 44, 51 [1994] [“Proximate cause is a question of fact for the jury where varying inferences are possible”]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the motion of defendant CH Insurance Brokerage Services, Co., Inc. for summary judgment denied.

SMITH, J. (dissenting). I agree with the majority that the case turns on the “special relationship” issue. I think, however, that the record conclusively establishes that any such relationship between plaintiffs and their insurance agent, CHI, had ceased to exist by the time of the events in question. Thus I would hold that the courts below properly granted summary judgment dismissing the complaint as against CHI.

As the majority acknowledges, an insurance agent is ordinarily under no duty to give its client advice on what insurance coverage is appropriate (*Murphy v Kuhn*, 90 NY2d 266, 270 [1997]; *Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 7 NY3d 152, 156-158 [2006]). An exception exists where there is a special relationship, but to establish such a relationship requires a “high level” of proof (*Murphy*, 90 NY2d at 271). Where the agent is not separately compensated for its advice, the insured must prove some “interaction” or “course of dealing” with the agent sufficient to show that the insured was relying on the agent’s expertise in choosing insurance (*id.* at 272).

Here, if the issue were whether Voss’s relationship with CHI was “special” at its inception in 2004, I would agree that summary judgment should be denied. According to plaintiff Deborah Voss’s testimony, CHI’s representative, Joe Convertino, obtained detailed information about Voss’s business and made a recommendation to her about what coverage to purchase. If that advice had been negligently given, and plaintiffs had suffered loss as a result, they might well have had a claim. But plaintiffs do not assert, and there is no evidence, that anything was wrong with the advice Convertino gave in 2004, or that plaintiffs suffered any loss while the policy they purchased in 2004 was in force.

It is true that, according to Voss, Convertino said in 2004 that CHI would continue giving her advice in future years, “as the business evolved.” It is quite clear from the record, however,

that—to Voss’s frustration—that did not happen. The first of the losses at issue in this lawsuit took place in 2007. By then, the nature of Voss’s businesses had changed and she had moved them to a new location. She knew, according to her own testimony, that the coverage she had bought in 2004 might not be right for the new situation, and she wanted advice from CHI on what the new situation required, but she got none. Voss testified that she told another CHI representative, Carrie Allen, that she wanted CHI “to look at the business income the way they looked at it right from the start to give me adequate business coverage for the businesses that were operating, the same way Joe did”—but Allen never complied with the request. Thus plaintiffs clearly were not relying on advice from CHI at the time the insurance coverage that plaintiffs now complain of was acquired.

Plaintiffs seem to be contending in substance that they can sue CHI because it did not follow through on Convertino’s promise in 2004 to keep looking at and advising them about their insurance coverage. But CHI had no duty to follow through. It is not and could not be claimed that Convertino’s promise was legally binding. It would be different if plaintiffs had hired CHI to give advice and paid it for doing so; *Murphy* says that a “duty of advisement” may exist where “the agent receives compensation for consultation apart from payment of the premiums” (90 NY2d at 272). But there is no authority for finding a special relationship based on a gratuitous promise to consult, where no consultation takes place.

It is true that, if Voss has described the facts accurately, CHI should not get a high mark for client service. But its fault was simply in failing to do what we held in *Murphy* agents are not required to do: “to advise, guide or direct a client” in acquiring insurance coverage (90 NY2d at 273). Neither CHI’s provision of advice in 2004 nor its expression of willingness to do so in the future could create a continuing duty of the kind that *Murphy* makes clear does not ordinarily exist.

There are sound policy reasons for the narrow view that *Murphy* and our other cases take of an insurance agent’s duty to its client. Agents are not insurance companies and do not earn premium income. They earn, ordinarily, relatively modest commissions for bringing insurers and insureds together. It is natural for a client that has suffered a loss not covered by its insurance to blame its insurance agent; and if lawsuits by clients

against their agents are welcomed by the courts, the consequence may be to make the agent into a kind of backup insurer, a result neither sensible nor fair. In this case, I think the majority has taken an unjustifiable step in that direction, and I therefore dissent.

Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM concur with Judge GRAFFEO; Judge SMITH dissents and votes to affirm in an opinion in which Judges READ and PIGOTT concur.

Order reversed, with costs, and defendant CH Insurance Brokerage Services, Co., Inc.'s motion for summary judgment denied.

[9 NE3d 870, 986 NYS2d 375]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHERYL SANTIAGO, Appellant.

Argued January 15, 2014; decided February 25, 2014

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 11, 2012. The Appellate Division (1) modified, on the facts, a judgment of the Dutchess County Court (Gerald V. Hayes, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree; and (2) remitted the matter to the Dutchess County Court for sentencing on the conviction of manslaughter in the second degree. The modification consisted of reducing defendant's conviction of murder in the second degree to manslaughter in the second degree, and vacating the sentence imposed thereon. The Appellate Division affirmed the judgment as modified.

People v Santiago, 97 AD3d 704, affirmed.

HEADNOTES**Crimes — Corroboration of Admission — Sufficiency of Independent Evidence**

1. In the prosecution of defendant for fatally suffocating her 21-month-old stepdaughter, defense counsel's failure to renew his motion to dismiss at the end of the People's case on the ground that defendant's confession to police that she covered the child's nose and mouth with her hands was not corroborated by independent evidence at trial under CPL 60.50 did not amount to ineffective assistance of counsel. There was independent evidence that a crime occurred, corroborating defendant's confession. The jury heard testimony showing that the child's death by suffocation involved a human agent other than herself. In particular, a board-certified pathologist testified that defendant's stepdaughter, a healthy child, would not have allowed herself to suffocate from a loose object such as a plastic bag obstructing her breathing, but, given her age and size, would have pushed it aside.

Crimes — Appeal — Preservation of Issue for Review

2. In the prosecution of defendant for fatally suffocating her 21-month-old stepdaughter, defendant's claim that County Court abused its discretion when it admitted in evidence overtly sexual portions of the letters she wrote in prison to an inmate who testified that defendant had confessed to him was not preserved for review on appeal. Defense counsel attempted to persuade County Court that the letters in general were prejudicial and not probative, and he renewed this objection, with no success, before the letters were read to the jury. However, defense counsel did not single out the specific passages of a sexual nature that defendant now argues were wrongly admitted. Having

achieved certain redactions, he did not ask for redaction of the sexual passages that defendant argued on appeal were wrongly admitted.

Crimes — Right to Counsel — Effective Representation

3. In the prosecution of defendant for fatally suffocating her 21-month-old stepdaughter, defense counsel's failure to ask for redaction of overtly sexual portions of the letters defendant wrote in prison to an inmate who testified that defendant had confessed to him did not amount to ineffective assistance of counsel. Following objection by defense counsel that the letters were more prejudicial than probative, County Court redacted them, removing certain passages that the court believed "could be viewed by the jury as unduly prejudicial as to the Defendant's character or lifestyle." Before the redacted letters were read to the jury, defense counsel renewed his objection. However, defense counsel did not single out any specific passages of a sexual nature as being prejudicial, or expressly ask for further passages to be excised after the first round of redactions. Under the circumstances, where defendant succeeded in achieving certain redactions as well as a proper limiting instruction that the jury must be presumed to have obeyed, it could not be concluded that defense counsel provided less than meaningful representation with respect to the issue of the letters. Moreover, given the limiting instruction in which County Court explained that the letters were allowed into evidence for the sole purpose of showing that defendant knew the inmate and that their relationship was such that she would confide in him, the result of defendant's appeal would not have been different had defense counsel preserved the issue by asking for further redactions.

Crimes — Right to Counsel — Effective Representation

4. In the prosecution of defendant for fatally suffocating her 21-month-old stepdaughter, defense counsel's failure to object to the prosecutor's use during summation of a six-minute long PowerPoint presentation that consisted of a series of slides using a postmortem photograph of the child that slowly faded to white over the course of the presentation did not amount to ineffective assistance of counsel. The slides changed at regular intervals, with each successive slide progressively fading, until the final slide was entirely white, thus eliminating the image of the child. Some of the slides were accompanied by captions: "one and a half to two minutes, struggle ends," "four minutes, brain death occurs," and "four and a half to six minutes, cardiac death." Whether the trial court would have been required by the law to sustain an objection to the entirety of the PowerPoint presentation was not clear from the record. The slides depicting an already admitted photograph, with captions accurately tracking prior medical testimony, might reasonably have been regarded as relevant and fair, albeit dramatic, commentary on the medical evidence, and not simply an appeal to the jury's emotions. On the other hand, the relevance of the visual device whereby the postmortem picture faded at 30-second intervals over a six-minute period was difficult to discern. It did not show how the child's death occurred nor would it have aided the jury in its fact-finding function. Nevertheless, the objection to the PowerPoint presentation that defendant raised on appeal was not so "clear-cut" or "dispositive" an argument that its omission amounted to ineffective assistance of counsel.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135, 1137, 1138, 1139.

CARMODY-WAIT 2d, Ineffective Assistance of Counsel §§ 2:7, 4:3, 7:4.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.6, 11.7, 11.10, 21.3 (b), 28.4 (d).

McKINNEY'S, CPL 60.50.

NY JUR 2d, Criminal Law: Procedure §§ 866, 879, 884, 899.

ANNOTATION REFERENCE

See ALR Index under Attorneys, Criminal Law, Sixth Amendment.

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POINTS OF COUNSEL

Malvina Nathanson, New York City, for appellant. I. The conviction must be reversed for lack of corroboration of the confession. (*People v Roach*, 215 NY 592; *People v Lipsky*, 57 NY2d 560; *People v Cuozzo*, 292 NY 85; *People v Prado*, 4 NY3d 725; *People v Hines*, 97 NY2d 56; *People v Payne*, 3 NY3d 266; *People v Lane*, 7 NY3d 888; *People v Lytton*, 257 NY 310; *People v Reade*, 13 NY2d 42; *People v Jennings*, 40 AD2d 357.) II. Even after redaction, letters written by appellant to a jailed inmate contained irrelevant and prejudicial material. (*People v Scarola*, 71 NY2d 769; *People v Poblner*, 32 NY2d 356; *People v Forchalle*, 88 AD2d 645; *People v Conyers*, 52 NY2d 454; *People v Santarelli*, 49 NY2d 241; *People v Ventimiglia*, 52 NY2d 350; *People v Ely*, 68 NY2d 520; *People v Byer*, 89 AD3d 456; *People v Bradley*, 20 NY3d 128.) III. Appellant was denied effective assistance of counsel when counsel, by not objecting or making appropriate motions or argument, failed to protect her rights. (*People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Poblner*, 32 NY2d 356; *People v Green*, 183 AD2d 617; *People v Thompson*, 161 AD2d 236; *People v Caruso*, 246 NY 437; *People v Fisher*, 18 NY3d 964; *People v Caban*, 5 NY3d 143; *People v Brown*, 17 NY3d 742; *People v Wlasiuk*, 90 AD3d 1405.)

Kirsten A. Rappleyea, District Attorney, Poughkeepsie, for respondent. I. This Court should not consider appellant's argument that the People failed to introduce sufficient evidence to corroborate her confession since she did not properly preserve

this issue in the court below. (*People v Gray*, 86 NY2d 10; *People v Kolupa*, 13 NY3d 786; *People v Lane*, 7 NY3d 888; *People v Hines*, 97 NY2d 56; *People v Monroe*, 49 AD3d 900; *People v Prado*, 4 NY3d 725.) II. Appellant's confession was sufficiently corroborated pursuant to CPL 60.50. (*People v Hamilton*, 121 AD2d 395; *People v Booden*, 69 NY2d 185; *People v Daniels*, 37 NY2d 624; *People v Safian*, 46 NY2d 181; *People v Cuozzo*, 292 NY 85; *People v Reade*, 13 NY2d 42; *People v Lipsky*, 57 NY2d 560; *People v Tinning*, 142 AD2d 402; *People v Hofmann*, 238 AD2d 716.) III. This Court should not consider whether appellant's letters, written to Michael Bryant, were properly received in evidence because appellant failed to preserve the alleged error in the court below. (*People v Santarelli*, 49 NY2d 241; *People v Serrano*, 256 AD2d 175; *People v Harrell*, 194 AD2d 502; *People v Scarola*, 71 NY2d 769; *People v Pearce*, 81 AD3d 856; *People v Thomas*, 17 NY3d 923; *People v Sulayao*, 58 AD3d 769, 12 NY3d 822; *People v Leggett*, 76 AD3d 860.) IV. Appellant received the effective assistance of counsel. (*People v Zaborski*, 59 NY2d 863; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Henry*, 95 NY2d 563; *Strickland v Washington*, 466 US 668; *People v Fisher*, 18 NY3d 964; *People v Turner*, 5 NY3d 476; *People v Poblner*, 32 NY2d 356; *People v Wood*, 79 NY2d 958; *People v Tiro*, 100 AD3d 663.)

OPINION OF THE COURT

PIGOTT, J.

On this appeal, defendant Cheryl Santiago contends that her confession to the police following the death of her stepdaughter was insufficiently corroborated by independent evidence at trial to support her conviction of manslaughter in the second degree. Secondly, she argues that County Court abused its discretion in admitting certain letters into evidence that were not sufficiently redacted. Finally, she argues that she was denied effective assistance of counsel when her trial counsel failed to object to a PowerPoint display during the People's summation. A recitation of the facts underlying defendant's conviction is necessary to address each of these issues.

I.

When defendant married Santos Santiago in January 2007, her husband had a one-year-old daughter, Justice, from a prior relationship. Santos and the child's mother shared custody, Santos having physical custody on alternate weeks. The arrangement was not to defendant's liking; she was described as somewhat aloof from the child and would complain to Santos that he

spent too much time with his daughter. She concealed the child's very existence from her parents. Santos worked long hours, and, as he later recalled, it particularly aggravated defendant that he would fall asleep during the process of putting his daughter to bed; after he awoke, he would tell defendant that he was too tired to spend time with her and would go back to sleep. In the fall of 2007, Santos, trying to appease defendant, asked her to start putting the child to bed.

On October 23, 2007, defendant and Santos quarreled over what can be described as defendant's perception that the child's presence interfered with their married life. The quarrel was described as intense enough that defendant went into the couple's bedroom and remained there for two hours without speaking to Santos.

When it was time for the child to go to bed that evening, defendant took her into the bedroom where she slept, and lay down next to her. The child was babbling and resisting sleep. Later, defendant emerged from the bedroom and told Santos that the child was "dozing off."

When defendant and Santos retired shortly after 11:00 p.m., Santos could see his daughter's outline in her cot, but he did not approach the cot because he had woken his daughter in the past by doing so. Just after 5:00 a.m. the next morning, Santos awoke. He glanced over at the child as he prepared to leave the apartment, but saw nothing untoward. Santos noticed one unusual thing, however; unlike on other mornings, defendant got up to say goodbye to him and, when he left, double-locked the door behind him.

About 30 seconds after Santos left, he received a call from defendant on his cell phone, telling him Justice was not moving. Santos rushed back to the apartment, where he found his daughter's lifeless body; rigor mortis had set in. A plastic bag lay near the child. Defendant told a grief-stricken Santos that she had removed the plastic bag from Justice's hands. Santos called 911. An EMT arrived and confirmed that Justice was dead.

Defendant and Santos were interviewed separately. At first, defendant told the police that she had discovered the child, lifeless, and had found the plastic bag under her cheek. However, in a later statement to the police, given the evening of October 24, defendant made a confession. She told an investigator that the previous night she had become "frustrated" because she

wanted the child to go to sleep, and placed her hands over the child's mouth and nose for about 30 seconds, "to quiet her." Defendant said that Justice had not struggled and she thought the child had fallen asleep. The next morning, according to defendant's account, she checked on the child, found her cold and stiff, and panicked; she grabbed a plastic bag and placed it under the child's mouth to make it appear that the bag had smothered her during the night. Defendant's statement was reduced to a writing, which she reviewed, edited, and signed. Defendant also made a similar videotaped statement.

That day, an autopsy by Dr. Dennis Chute, Deputy Medical Examiner of Dutchess County, revealed that Justice had been a healthy child and ruled out death as a result of asthma or bronchial issues. Dr. Chute believed that the child had died the previous evening; after reviewing defendant's statements, Dr. Chute completed his report, concluding that Justice had died of asphyxia resulting from suffocation.

II.

Defendant was arrested and held at Dutchess County Jail. There, male and female prisoners were able to communicate through a fence separating their respective recreation yards, and by writing letters to one another. Defendant befriended an inmate named Michael Bryant, and they began a romantic correspondence. Some of defendant's long letters to Bryant contained passages that were overtly sexual. According to Bryant, defendant, in a subsequent conversation, when asked about her criminal prosecution, admitted that she had killed Justice, saying "I did it, I did it."

Meanwhile, defendant had been charged with murder in the second degree. At a *Huntley* hearing in County Court, defendant's motion to suppress her statements was denied.

At defendant's trial, the People proceeded on the theory that defendant had covered Justice's mouth and nose for several minutes, with the intent to cause her death. Both Santos Santiago and Michael Bryant testified against defendant, the latter telling the jury of defendant's prison yard admission. The jury also viewed the videotaped statement by defendant.

The People introduced defendant's letters to Bryant on the ground that they showed that the relationship between the two inmates was one of mutual trust and confidence. Following objection by defense counsel that the letters were more prejudicial than probative, County Court redacted them, removing

certain passages that the court believed “could be viewed by the jury as unduly prejudicial as to the Defendant’s character or lifestyle.” Before the redacted letters were read to the jury, defense counsel renewed his objection. However, defense counsel did not single out any specific passages of a sexual nature as being prejudicial, or expressly ask for further passages to be excised after the first round of redactions. County Court denied defense counsel’s objection and defendant’s redacted letters to Bryant were read to the jury.

The jury also heard medical testimony. Dr. Chute, the coroner, testified that it would have taken four to six minutes for a child of Justice’s size and age to suffocate and that “if there was evidence that Justice’s mouth and nose were covered by a hand . . . for up to four to six minutes,” that would “be consistent with [Dr. Chute’s] findings as to cause of death.” Several postmortem photographs of the child were admitted into evidence. Dr. Michael Baden, a board-certified pathologist, testified that a child of Justice’s age and size would pull away a loose object—such as a plastic bag in front of her face—that was obstructing her breathing.

After the People rested, defense counsel moved for dismissal on the ground, among others, that the People had failed to provide corroboration of the statements made by defendant to the police. County Court denied the motion.

Defendant then testified in her own defense. She insisted that her first statement to the police was true and that the subsequent statement in which she confessed to putting her hand over Justice’s mouth and nose was false. She also denied confessing her guilt to Bryant.

A board-certified pathologist, Dr. Jeffrey Hubbard, testified for the defense, stating that he could not determine the cause of Justice’s death with any reasonable degree of medical certainty.

When the defense rested, defense counsel did not renew his motion to dismiss on the ground of insufficient corroboration of defendant’s confession. Nor did defense counsel make a general motion to dismiss.

III.

During the People’s summation, the prosecutor—alluding to Dr. Chute’s discussion of the length of time it would have taken for a child of Justice’s age and size to suffocate—said to the jury: “[I]f there’s any question in your mind how long six

minutes takes, take a look at this.” The jury was then shown, for a duration of six minutes, a PowerPoint presentation that consisted of a series of slides using a postmortem photograph of Justice. The slides changed at regular intervals, with each successive slide progressively fading, until the final slide was entirely white, thus eliminating the image of Justice. Some of the slides were accompanied by captions: “one and a half to two minutes, struggle ends,” “four minutes, brain death occurs,” and “four and a half to six minutes, cardiac death.” Defense counsel did not object to the slides.

In its jury charge, County Court gave the jurors the following limiting instruction concerning defendant’s letters to Bryant:

“The People want to offer these letters as evidence that the Defendant knew Michael Bryant and that her relationship with him was such that she would confide in him. That is the purpose for which I . . . allowed the letters into evidence. . . . The letters are not to be viewed by you with regards to the Defendant’s character or her [lifestyle]. The letters are to be viewed by you only for the purpose I’ve explained.”

County Court instructed the jury with respect to murder in the second degree, manslaughter in the second degree, and criminally negligent homicide. The jury found defendant guilty of murder in the second degree, and she was sentenced accordingly.

IV.

The Appellate Division found that the jury verdict of second-degree murder was against the weight of the evidence, reasoning that although

“the evidence, properly weighed, proves beyond a reasonable doubt that the defendant placed her hand over the victim’s mouth and nose, and that this act caused the infant’s death, it does not prove beyond a reasonable doubt that it was her conscious objective to kill the infant victim . . . The evidence supports a finding that the defendant acted recklessly in covering the infant victim’s nose and mouth in a misguided effort to quiet the victim in order for her to sleep, but not as a part of a calculated effort to kill the infant victim” (97 AD3d 704, 706 [2d Dept 2012]).

However, the Appellate Division rejected defendant's other challenges to her conviction, which included the contention that she had been denied the effective assistance of counsel. Consequently, the Appellate Division modified County Court's judgment by reducing defendant's murder conviction to a conviction of second-degree manslaughter and vacating the sentence, and affirmed the judgment as modified, remitting only for resentencing (*id.* at 706-707).

A Judge of this Court granted defendant leave to appeal (20 NY3d 935 [2012]). We now affirm.

V.

Defendant initially argues that her confession to the police was not sufficiently corroborated by independent evidence at trial. In essence, defendant asserts that there is insufficient evidence that Justice's death involved any criminal act.

Criminal Procedure Law § 60.50 provides: "A person may not be convicted of any offense solely upon evidence of a confession or admission made by him [or her] without additional proof that the offense charged has been committed." We have reiterated that the required supplementary evidence, corroborating a confession, may be

"sufficient even though it fails to exclude every reasonable hypothesis save that of guilt. Indeed, the statute is satisfied by the production of some proof, of whatever weight, that *a crime was committed by someone* In final analysis, of course, the additional evidence of the crime together with the confession must be sufficient to establish defendant's guilt beyond a reasonable doubt" (*People v Lipsky*, 57 NY2d 560, 571 [1982] [internal quotation marks and citations omitted; emphasis added]).

The rule, long-established, is that the additional evidence must be evidence that the charged crime was committed, and need not be evidence that the crime was committed by defendant (*see id.*; *see also People v Cuzzo*, 292 NY 85, 91-92 [1944]; *People v Roach*, 215 NY 592, 601 [1915]).

The People respond that defendant failed to preserve the corroboration argument. At the end of the People's case, defense counsel moved to dismiss on the ground that defendant's confession was not corroborated under CPL 60.50, but he did not renew the motion when the defense rested. The People cite our precedent that if a trial judge denies defendant's motion to

dismiss at the close of the People's case, and the defendant does not renew his motion to dismiss after defendant has presented his case, defendant will be considered to have "waived review of the mid-trial decision" to deny the motion to dismiss (*People v Hines*, 97 NY2d 56, 61 [2001]; see also *People v Kolupa*, 13 NY3d 786, 787 [2009]; *People v Lane*, 7 NY3d 888, 889 [2006]; *People v Payne*, 3 NY3d 266, 273 [2004]).*

For her part, defendant asks us to overrule *Hines*. In the alternative, defendant argues that defense counsel's failure to renew his motion to dismiss based on insufficient corroboration of the confession amounts to ineffective assistance of counsel, either alone or in combination with other errors.

[1] Contrary to defendant's arguments, it is clear that a motion to dismiss on the ground of lack of corroboration would have been properly denied. There was independent evidence that a crime occurred, corroborating defendant's confession. The jury heard testimony showing that Justice's death by suffocation involved a human agent other than herself. In particular, Dr. Baden testified that Justice, a healthy child, would not have allowed herself to suffocate from a loose object such as a plastic bag obstructing her breathing, but, given her age and size, would have pushed it aside.

It follows that defendant's failure to renew his motion to dismiss did not amount to ineffective assistance of counsel. We need not address defendant's corroboration challenge further, or decide whether the *Hines* rule applies here.

VI.

Defendant's second challenge relates to the letters she wrote to Bryant in prison. She argues that County Court abused its discretion when it admitted in evidence overtly sexual portions of the letters.

[2] Defense counsel attempted to persuade County Court that the letters in general were prejudicial and not probative, and he renewed this objection, with no success, before the letters were

* We have carved out an exception to the *Hines* rule, applicable when the defendant makes a general motion to dismiss after the close of his proof. If, in such a case, the trial court makes "specific findings as to corroboration," then we consider the question of corroboration to have been "expressly decided" by the trial court within the meaning of CPL 470.05 (2), even if defendant did not expressly move to dismiss on that ground (*People v Prado*, 4 NY3d 725, 726 [2004]). But *Prado* does not apply in this case, because defense counsel did not make a general motion to dismiss.

read to the jury. However, defense counsel did not single out the specific passages of a sexual nature that defendant now argues were wrongly admitted. Having achieved certain redactions, he did not ask for redaction of the sexual passages that defendant now argues were wrongly admitted. Hence defendant's second challenge was not preserved for our review.

[3] Again, defendant raises the alternative argument that the failure to preserve this issue constituted ineffective assistance of counsel. Under the circumstances, keeping in mind that defendant succeeded in achieving certain redactions as well as a proper limiting instruction that the jury must be presumed to have obeyed (*see e.g. People v Morris*, 21 NY3d 588, 598 [2013]; *People v Davis*, 58 NY2d 1102, 1104 [1983]), we cannot conclude defense counsel provided less than meaningful representation with respect to the issue of the letters (*see generally People v Baldi*, 54 NY2d 137, 147 [1981]). Moreover, given the limiting instruction, the result of defendant's appeal would not have been different had defense counsel preserved the issue by asking for further redactions (*see generally Strickland v Washington*, 466 US 668, 694 [1984]).

VII.

The final issue is whether defense counsel was ineffective for not objecting to the People's summation. Defendant contends that the prosecutor's use of slides had no purpose other than to engender a feeling of horror and were no part of any legitimate argument. She argues that defense counsel's failure to object was, on its own, so egregious and prejudicial a failing as to deprive her of effective assistance of counsel.

In summation, "counsel is to be afforded 'the widest latitude by way of comment, denunciation or appeal in advocating his cause' " (*People v Ashwal*, 39 NY2d 105, 109 [1976], quoting *Williams v Brooklyn El. R.R. Co.*, 126 NY 96, 103 [1891]), though within limits that are principally those of relevance (*see Ashwal*, 39 NY2d at 109-110). Had defense counsel objected, the trial court would have had the opportunity to decide whether the challenged aspect of the PowerPoint presentation constituted "a fair comment on the evidence" or was instead "totally irrelevant to any legitimate issue presented at the trial" (*Ashwal*, 39 NY2d at 110; *see e.g. People v Green*, 183 AD2d 617, 618 [1st Dept 1992]).

Whether the trial court would have been required by the law to sustain an objection to the entirety of the PowerPoint presentation is not clear from this record. The People contend that

the presentation of the photograph, for a duration of six minutes, during which time captions illustrating points of medical testimony were also displayed, was relevant to the testimony heard by the jury that it would have taken up to six minutes for Justice to die of suffocation. Defendant does not dispute that the postmortem photograph itself was properly admitted at trial (see *People v Poblner*, 32 NY2d 356, 369 [1973]). The slides depicting an already admitted photograph, with captions accurately tracking prior medical testimony, might reasonably be regarded as relevant and fair, albeit dramatic, commentary on the medical evidence, and not simply an appeal to the jury's emotions. The jury was being asked to decide not only whether defendant killed Justice, but also whether she intended to do so, an issue to which the question of how long she would have had to cover Justice's mouth and nose was certainly relevant. On the other hand, the relevance of the visual device whereby the postmortem picture faded at 30-second intervals over a six-minute period—with each slide fading more and more to white, and the final slide appearing totally white—is difficult to discern. This did not show how Justice's death occurred nor would it have aided the jury in its fact-finding function.

[4] If the issue had been preserved for our review by timely objection—and had the trial court ruled against defendant and the issue reached our Court—this Court would have had the opportunity to decide whether the trial court abused its discretion and the error required a reversal of the judgment of conviction. But that did not occur and the objection to the PowerPoint presentation that defendant now raises is not so “clear-cut” or “dispositive” an argument that its omission amounted to ineffective assistance of counsel (see *People v Howard*, 22 NY3d 388, 400 [2013]; *People v Turner*, 5 NY3d 476, 481 [2005]).

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). Defense counsel's failure to object to the prosecutor's use during summation of a PowerPoint presentation that manipulated the evidence, and was designed to inflame the passion of the jury in order to engender prejudice against the defendant, constitutes an error of the type that so tainted the jury's deliberative process as to deny defendant a fair trial. Given the egregious nature of defense counsel's error, I disagree with the majority's conclusion that defendant received meaningful representation. Therefore, I dissent.

We have admonished that the prosecutor's summation "should not seek to lead the jury away from the issues by drawing irrelevant and inflammatory conclusions which have a decided tendency to prejudice the jury against the defendant" (*People v Ashwal*, 39 NY2d 105, 110 [1976], citing *People v Posner*, 273 NY 184, 190 [1937]; see also *People v Levan*, 295 NY 26, 36 [1945]; *People v Carborano*, 301 NY 39, 42 [1950]; *Berger v United States*, 295 US 78 [1935]). Where a prosecutor's summation "venture[s] well beyond the evidence and the bounds of fair comment," a defendant is deprived of a fair trial (*People v Riback*, 13 NY3d 416, 421, 423 [2009]). Hence, "defense counsel's failure to object to . . . [a] prosecutor's egregiously improper departures during summation . . . deprive[s] [a] defendant of the right to effective assistance of counsel" (*People v Fisher*, 18 NY3d 964, 967 [2012], citing *People v Baldi*, 54 NY2d 137, 146-147 [1981]).

Summation "must stay within 'the four corners of the evidence' . . . and avoid irrelevant comments which have no bearing on any legitimate issue in the case" (*Ashwal*, 39 NY2d at 109, quoting *Williams v Brooklyn El. R.R. Co.*, 126 NY 96, 103 [1891]). The purpose of summation is for counsel to argue to the factfinder, in the prosecutor's case, a view of the evidence and the inferences to be drawn therefrom favorable to the People (see *People v Smith*, 16 NY3d 786, 787-788 [2011], citing *Ashwal*, 39 NY2d at 110, and *Williams*, 126 NY at 103), within proper bounds of discourse (3 Robert G. Bogle, *Criminal Procedure in New York* § 46:9 at 25 [2d ed 2008]; *People v LaValle*, 3 NY3d 88, 115-116 [2004], quoting *People v Harris*, 98 NY2d 452, 492 n 18 [2002]). Although this exercise in adversarial oratory need not be dispassionate in delivery, and counsel may choose to employ various linguistic and rhetorical devices, the prosecutor cannot redirect the factfinder's deliberative process from the evidence by playing on emotion (see *Fisher*, 18 NY3d at 966, citing *Ashwal*, 39 NY2d at 109-110).

In determining whether the prosecutor has crossed the line of legitimate summation argument, we are guided by the evidence presented to the jury and the nature of commentary made during summation. Here, the prosecution argued in summation that defendant had a motive to kill and that she prevented the child from breathing for four-to-six minutes, the time the prosecution's expert witnesses testified it would take for the child to die of asphyxiation. At the end of summation, the prosecutor presented the six-minute PowerPoint, which consisted of one photo of the dead child, converted to a series of

slides altered by imposing a caption on each slide, referencing the passage of time in 30-second intervals. Each slide projected the image of the child fading slightly more with each 30-second interval, until eventually the child's image disappeared and only a white screen remained.

The People argue that this attempt at a "real time" simulation of the child's death by asphyxiation offered fair commentary on the evidence by illustrating the time it took for the child to die. This argument severely downplays the inflammatory nature of the PowerPoint, and is simply not borne out by the PowerPoint's contents or the evidence presented to the jury. Any doubts as to the emotional responses engendered by the presentation are easily dispelled by viewing the slide show, wherein the picture of a 21-month-old child, in her pink pajamas, with white froth on her lips, her body prone and lifeless, is projected over and over, fading slightly with each slide, until all that remains is a white background and the memory of her tiny body. One simply cannot be but moved by this depiction.

At best, the PowerPoint was an inaccurate presentation of the moments leading up to the child's death because the slide is a picture of her corpse, and as such is of no assistance to the jury's understanding of the issues relevant to the jury's fact-finding process related to causation or intent. If this were all one could say about the PowerPoint it might survive scrutiny. However, this is not all that can be said. For although the photograph of the child's body was in evidence, and could have been referenced during summation, the slide show manipulated that actual photograph, depicting it seriatim until it faded to a white screen. It is questionable whether the faded versions of the photograph can even be considered to have been properly in evidence.* The prosecutor's use of this PowerPoint imagery was an impermissible attempt to secure a verdict based on emotion and repulsion for the defendant, rather than facts.

* It is true that a postmortem photograph of a victim is admissible "to prove or disprove some material fact in issue" (*People v Poblner*, 32 NY2d 356, 369 [1973]), but "[p]hotographic evidence should be excluded . . . if its sole purpose is to arouse the emotions of the jury and to prejudice the defendant" (*id.* at 370, citing M. C. Dransfield, Annotation, *Admissibility of Photograph of Corpse in Prosecution for Homicide or Civil Action for Causing Death*, 73 ALR2d 769; *People v Rial*, 25 AD2d 28, 30 [4th Dept 1966]; *People v Lewis*, 7 AD2d 732, 732 [2d Dept 1958]). It is no less important during summation to avoid the use of enhanced photographic imagery and its prejudice to the defendant.

The People rely on *People v Caldavado* (78 AD3d 962 [2010]) and other cases permitting the use of a PowerPoint presentation in prosecutions involving shaken baby syndrome. However, these cases are distinguishable in that they sanctioned the use of a slide show to aid the jury in understanding the force necessary to cause death, as well as the mechanics and injuries associated with shaken baby syndrome (*see Caldavado*, 78 AD3d at 963; *People v Sulayao*, 58 AD3d 769, 770 [2009]; *People v Mora*, 57 AD3d 571, 572 [2008]). Here, the PowerPoint did not address a difficult technical or medical issue. A single photo of a dead child's body, progressively fading into oblivion, depicted nothing unique about the time it took for the child to die of asphyxiation. It simply cannot be argued that jurors were unable to appreciate the difference between a few minutes—the time the prosecutor argued defendant took to kill the child—and 30 seconds—the time defendant alleged she covered the child's mouth. Neither can the captions that accompanied several of the slides be considered fair commentary on the evidence. Indeed, they provided no commentary whatsoever, but merely reiterated the forensic testimony of the People's experts regarding the points at which the child would have experienced successive phases of physical deterioration. As such, the captions served only to further dramatize the already flagrantly inappropriate emotional display.

With the ever increasing use of technology and ease with which evidence may be presented, even with minimal computer resources, we must be mindful of the impact of technology on events in the courtroom, and, most especially, on the criminal justice system. It is easy to view the use of certain technological devices in the courtroom as merely another way of presenting evidence. We cannot forget, however, that technology also serves as a powerful tool to communicate images and concepts in ways that engage the jury distinctly, and perhaps more effectively, than the spoken word. This is no less true during summation, when “any argument that drones on for 5 or 10 minutes on any one point, regardless of how effective its content is, will lose the jury” (Thomas A. Mauet, *Trial Techniques* 394 [8th ed 2010]). Visual aids are a welcome relief since “[b]y the end of the trial, jurors are looking for new and fresh ways of receiving evidence and arguments” (*id.*). The use of technology at the end of closing argument may be particularly powerful. As one commentator has noted, “[t]he right to the final word has a psychological impact that makes it a forensic prize” (Siegel, *NY Prac* § 397 at 692 [5th ed 2011]).

Counsel's failure to object cannot be explained as merely tactical (*Baldi*, 54 NY2d at 146; *see also People v Rivera*, 71 NY2d 705, 708 [1988]; *People v Satterfield*, 66 NY2d 796, 799-800 [1985]). One is hard-pressed to imagine any benefit defendant could reasonably derive from allowing the People to proceed with the presentation. If an objection had been raised and sustained, defense counsel would have prevented the jury from viewing an undeniably powerful depiction of a dead child clothed in her pajamas, on the floor next to her bed, vulnerable, and helpless to save herself. The notion that defense counsel's silence was designed to expose the weakness of the People's evidence is utterly untenable; if anything, given the emotional nature of the case, it was all the more incumbent upon counsel to object to such a prejudicial appeal to the jury's sympathies. Indeed, defense counsel was well aware of the impact that juror emotion could have on the outcome of the case when he stated in summation that it was "not easy" to find his client innocent in light of the fact that "there's a child who's dead" (appendix for defendant-appellant at A436).

Furthermore, while any defense counsel may be concerned about interrupting the prosecutor's summation and as a consequence "look[ing] bad to the jury, or draw[ing] rebuke from the judge" (*Fisher*, 18 NY3d at 970 [Smith, J., dissenting]), the fact is that attorneys do object—defense counsel and prosecutors alike (*see e.g. id.* at 969 [noting that the prosecutor objected three times during the defendant's summation]), and generally they must do so to preserve arguments regarding summation (*compare Ashwal*, 39 NY2d at 108-109 *with LaValle*, 3 NY3d at 116; *see also* majority op at 751). Here, there was no discernible strategic advantage in staying quiet when defense counsel was faced with the powerful imagery presented by the prosecutor.

The majority concedes that the PowerPoint failed to "aid[] the jury in its fact-finding function," but, nevertheless, concludes that the objection to the PowerPoint was "not so 'clear-cut' or 'dispositive' " (majority op at 751). I cannot agree that if, as the majority states, the summation fell below our standard for acceptable summation commentary, defense counsel's objection would have been an exercise in futility. It is simply not a fair trial if the prosecution puts before the jury in summation a "horrid and gruesome" portrayal of the body of the child, where the PowerPoint "could only have served, under the circumstances of this case, to have aroused the passions and the resentment of the jury against defendant and to have kept

it from fairly and objectively considering the issues before it” (*People v Wood*, 79 NY2d 958, 961 [1992, Titone, J., dissenting]).

Given the strong potential for the summation PowerPoint to engender an emotional response from the jury, and thereby detract from its duty to render a verdict based on the facts and evidence presented (*see Ashwal*, 39 NY2d at 109), defense counsel’s failure to object, constitutes ineffective assistance of counsel and denied defendant meaningful representation (*Baldi*, 54 NY2d at 146-147; *see also People v Benevento*, 91 NY2d 708, 712 [1998]; *People v Hobot*, 84 NY2d 1021, 1022 [1995]).

Judges GRAFFEO, READ, SMITH and ABDUS-SALAAM concur with Judge PIGOTT; Judge RIVERA dissents and votes to reverse in an opinion in which Chief Judge LIPPMAN concurs.

Order affirmed.

[9 NE3d 881, 986 NYS2d 386]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ANGEL
CINTRON, Respondent.

Argued February 11, 2014; decided March 27, 2014

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 4, 2012. The Appellate Division dismissed, as academic, the appeal from an amended order of the Supreme Court, Bronx County (Margaret L. Clancy, J.), which had granted defendant's CPL 440.20 motion to set aside a resentence of that court to the extent the resentence imposed a period of postrelease supervision.

People v Cintron, 99 AD3d 439, reversed.

HEADNOTE

Crimes — Sentence — Resentencing to Add Term of Postrelease Supervision — Double Jeopardy — Legitimate Expectation of Finality

It would not have constituted double jeopardy for the appellate court to have corrected defendant's illegal sentence on direct appeal by imposing a term of postrelease supervision (PRS) after the defendant had completed the illegal sentence where defendant's initial sentence was illegal for failure to include a mandatory term of PRS; he was resentenced to add a PRS term after he had been conditionally released from prison, but before the maximum term of his prison term had passed; after the maximum term passed, the trial court erroneously granted defendant's motion to set aside his second sentence and again resentenced him to reimpose the terms of his completed initial sentence; and the People appealed. The Double Jeopardy Clause protects defendants from having their sentences increased once they have acquired legitimate expectations of finality therein. A defendant may acquire a legitimate expectation of finality in an illegal sentence only once the direct appeal has been completed or the time to appeal has expired and the sentence has been served. A legitimate expectation of finality is also acquired where a resentencing proceeding has been instituted but the term of PRS has not yet been imposed prior to expiration of the sentence. Here, although defendant had served his sentence, the direct appeal of that sentence was not over, and consequently, defendant had not acquired a legitimate expectation of finality in his sentence. Whether the People timely appeal an initial sentence or a sentence imposed at a resentencing, a defendant is equally on notice that the sentence may change. A defendant cannot have a legitimate expectation of finality in an erroneous sentence that is subject to correction on appeal.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 296, 764, 858, 859.

CARMODY-WAIT 2d, Double Jeopardy § 185:53; CARMODY-WAIT 2d, Sentencing Procedures § 203:210.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 25.1, 26.7.

NY JUR 2d, Criminal Law: Procedure §§ 1931, 1958, 2927.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Double Jeopardy; Sentence and Punishment.

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Database: NY-ORCS

Query: double /2 jeopardy /s correct /s sentence /p post-release prs

POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Justin J. Braun and Joseph N. Ferdenzi of counsel), for appellant. The Appellate Division's decision erroneously establishes a rule that a People's appeal must be dismissed if a court vacates a lawful sentence and imposes an illegal sentence that is completed before the appeal can be decided; it must, therefore, be reversed by this Court. (*People v Williams*, 14 NY3d 198; *People v Lingle*, 16 NY3d 621; *People v Velez*, 19 NY3d 642; *People v Allen*, 88 AD3d 735; *Mountain View Coach Lines v Storms*, 102 AD2d 663; *United States v Wilson*, 420 US 332; *United States v DiFrancesco*, 449 US 117; *People v Minaya*, 54 NY2d 360; *People v Brown*, 40 NY2d 381; *People v Rodriguez*, 18 NY3d 667.)

Robert S. Dean, Center for Appellate Litigation, New York City (Mark W. Zeno of counsel), for respondent. Because respondent completed his sentence more than three years ago, and his direct appeal more than nine years ago, it would violate double jeopardy to add postrelease supervision to his sentence now, even though the Court erroneously vacated postrelease supervision from his sentence three years ago, and the People filed notice of appeal from that resentencing. (*People v Williams*, 14 NY3d 198; *People v Allen*, 88 AD3d 735; *People v Velez*, 19 NY3d 642; *People v Brinson*, 21 NY3d 490; *People v Lingle*, 16 NY3d 621; *United States v Martin Linen Supply Co.*, 430 US 564; *United States v DiFrancesco*, 449 US 117; *Hill v United States ex rel. Wampler*, 298 US 460; *People v Rodriguez*, 18 NY3d 667; *People v Yannicelli*, 40 NY2d 598.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This is yet another progeny of *People v Catu* (4 NY3d 242 [2005]). The primary issue on this People's appeal is whether it constitutes double jeopardy for an appellate court to correct a defendant's illegal sentence on direct appeal by imposing a term of postrelease supervision (PRS) after the defendant has completed the illegal sentence. We hold that, in the circumstances presented, it does not.

I

In June 2001, a jury found defendant guilty of robbery in the first degree, robbery in the third degree, and petit larceny. Supreme Court sentenced defendant to concurrent terms of imprisonment of 10 years for the first-degree robbery, 3½ to 7 years for the third-degree robbery, and one year for the petit larceny. The court did not impose the mandatory term of PRS. Defendant appealed his conviction, and the Appellate Division affirmed (*People v Cintron*, 6 AD3d 338 [1st Dept 2004]).

Defendant then moved to vacate his conviction under CPL 440.10. Supreme Court denied the motion to vacate the conviction. The court nevertheless noted that defendant's sentence was illegal because it did not include the mandatory term of PRS (*see People v Sparber*, 10 NY3d 457, 470-471 [2008]) and ordered that defendant be resentenced.

Defendant was conditionally released in May 2008. One month later, Supreme Court resentenced defendant to the original concurrent terms of imprisonment, as well as a five-year term of PRS. In October 2009, the maximum term of his prison sentence passed.

In 2010, we decided *People v Williams* (14 NY3d 198, 217 [2010]) and held that it constitutes double jeopardy to resentence a defendant and impose PRS after he completes his prison sentence and the direct appeal is over. Shortly thereafter, defendant moved under CPL 440.20 (1) to set aside his second sentence, arguing that the imposition of PRS constituted double jeopardy because he was out of prison on conditional release when it was imposed. Supreme Court granted defendant's motion and again resentenced defendant, reimposing the terms of his completed initial sentence. The People appealed.

The Appellate Division dismissed the People's appeal as academic (*People v Cintron*, 99 AD3d 439 [1st Dept 2012]). It

observed that the Supreme Court's grant of the CPL 440.20 motion was erroneous under *People v Lingle* (16 NY3d 621, 631 n 1 [2011]), which clarified that a defendant may be resentenced to a term of PRS while on conditional release. The Appellate Division nevertheless dismissed the appeal, concluding that under *People v Velez* (19 NY3d 642 [2012]) imposing PRS would constitute double jeopardy. It reasoned that defendant had acquired a reasonable expectation of finality in his sentence because he had served it in full upon Supreme Court's vacatur and resentencing.

A Judge of this Court granted the People's motion for leave to appeal (20 NY3d 985 [2012]).

II

The Double Jeopardy Clause of the Fifth Amendment of the United States Constitution states that no person shall "be subject for the same offence to be twice put in jeopardy of life or limb." The United States Supreme Court has interpreted this language to provide three distinct protections: "(1) the right to be free from a second trial following an acquittal for the same crime; (2) the right to be free from a second trial following a conviction for the same offense; and (3) the right not to be punished more than once for the same crime" (*Williams*, 14 NY3d at 214, citing, inter alia, *United States v DiFrancesco*, 449 US 117, 129 [1980]). It is the final protection that is implicated in this case.

The protection against multiple punishments protects defendants from having their sentences increased once they have acquired "legitimate expectations of finality" therein (*Williams*, 14 NY3d at 214). We explained in *Williams* that a defendant may acquire a legitimate expectation of finality in an illegal sentence only once "the direct appeal has been completed (or the time to appeal has expired)" and the sentence has been served (*id.* at 217).

In *Velez*, we addressed whether a defendant acquired a legitimate expectation of finality in an illegal sentence where a resentencing proceeding had been instituted but the term of PRS had not yet been imposed prior to the expiration of the sentence. We held that the defendant still acquired a legitimate expectation of finality (19 NY3d at 650).

In this case, defendant has served his sentence, but the direct appeal of that sentence is not over; it presently is before us.

Consequently, defendant has not acquired a legitimate expectation of finality in his sentence.

Defendant argues that *Williams* involved the appeal of a conviction and initial sentence, making it inapplicable to this case because defendant's appeal of his conviction and initial sentence ended in 2004. We cannot accept this reading of *Williams*. That *Williams* involved the direct appeal of an initial sentence is not surprising. It is the rare case for a defendant to have had multiple resentencings. Thus, it is not instructive that *Williams* did not discuss the present remote contingency. Its logic applies equally here. Whether the People timely appeal an initial sentence or a sentence imposed at a resentencing, a defendant is equally on notice that the sentence may change and cannot acquire a legitimate expectation of finality.

Defendant argues in the alternative that *Velez* is dispositive of this case. He interprets *Velez* to mean that once a defendant has served his sentence, a court cannot impose PRS regardless of any pending judicial proceedings related to the defendant's sentence. But there are important differences between an appeal, as here, and a resentencing, as in *Velez*. Appellate review is a fundamental component of the criminal justice system. A defendant cannot have a legitimate expectation of finality in an erroneous sentence that is subject to correction on appeal. There is no persuasive reason why the erroneous vacatur of defendant's term of PRS should be immune from appellate correction.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion pursuant to CPL 440.20 to vacate his 2008 sentence denied, and that sentence reinstated.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed, defendant's CPL 440.20 motion denied and defendant's 2008 resentence reinstated.

[9 NE3d 884, 986 NYS2d 389]

BRENDA CORNELL, Respondent, v 360 WEST 51ST STREET REALTY, LLC, et al., Defendants, and 360 WEST 51ST STREET CORP., Appellant.

Argued January 14, 2014; decided March 27, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 6, 2012. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 26 Misc 3d 1211[A], 2009 NY Slip Op 52707[U] [2009]), as had granted the motion of defendants 360 West 51st Street Corp. and Geoffrey Shotwell for summary judgment dismissing the complaint as against them. The modification consisted of reinstating the complaint as against defendant 360 West 51st Street Corp. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: “Was the order of this Court, which modified the order of the Supreme Court[,] properly made?”

Cornell v 360 W. 51st St. Realty, LLC, 95 AD3d 50, reversed.

HEADNOTES

Evidence — Scientific Evidence — General Acceptance — Exposure to Mold as Cause of Adverse Health Effects — General Causation

1. In a motion for summary judgment, plaintiff, who claimed personal injuries in the form of dizziness, disorientation, rashes, breathing problems, congestion, light-headedness, tightness in her chest and headaches caused by exposure to dampness and mold in an apartment formerly owned by defendant, failed to raise a triable issue of fact as to general causation since her expert did not establish that the relevant scientific community generally accepts that molds cause the adverse health effects she alleged. Under the test for scientific reliability, a process or theory must be generally accepted within the relevant scientific community. Defendant made a prima facie case that plaintiff could not prove general causation based upon its expert's opinion that it is generally accepted within the relevant scientific community that exposure to mold causes human disease in three specific ways, none of which was alleged by plaintiff. Plaintiff's expert, in turn, unsuccessfully attacked the qualifications of defendant's expert and failed to indicate that the authorities undergirding his opinion had been repudiated. In addition, plaintiff's evidence that public health agencies treat mold in indoor environments as a public health concern was irrelevant since standards promulgated by regulatory agencies as protective measures are inadequate to demonstrate legal causation. Moreover, the recent reports relied on by plaintiff's expert as establishing an association between a damp and moldy indoor environment and certain

respiratory and skin conditions did not establish that the relevant scientific community generally accepts that molds cause these adverse health effects. By equating association with causation, plaintiff's expert departed from the generally accepted methodology for evaluating epidemiologic evidence when determining whether exposure to an agent causes a harmful effect or disease.

Torts — Toxic Torts — Exposure to Mold as Cause of Adverse Health Effect — Specific Causation — Differential Diagnosis

2. In a motion for summary judgment, plaintiff, who claimed personal injuries in the form of dizziness, disorientation, rashes, breathing problems, congestion, light-headedness, tightness in her chest and headaches caused by exposure to dampness and mold in an apartment formerly owned by defendant, failed to raise a triable issue of fact as to specific causation since her expert did not establish that mold in the apartment caused her injuries. A showing of specific causation should demonstrate that plaintiff was exposed to sufficient levels of a toxin to cause the particular illness and plaintiff bears the burden of establishing sufficient exposure. Here, plaintiff's expert, who described the substance as "an unusual mixture of atypical microbial contaminants," did not identify the specific disease-causing agent to which plaintiff was allegedly exposed. Nor did he quantify plaintiff's level of exposure to the substance or refute defendant's expert's statement that the measurement of molds in plaintiff's apartment were of expected level and distribution for any average home. Further, the record did not supply a proper foundation for plaintiff's expert's use of the generally accepted differential diagnosis methodology to establish specific causation. Notwithstanding that many of the medical conditions that plaintiff attributed to her mold exposure were common in the general population and could be ascribed to non-mold-related diseases, her expert did not explain what other possible causes he ruled in or out and why he did so. The expert did not dispute that plaintiff tested negative for mold allergies, but positive for other inhalation allergies or explain how any of the diagnostic findings were consistent with his conclusion that plaintiff's medical problems were mold-induced, based on differential diagnosis.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Expert and Opinion Evidence §§ 24, 168, 176, 178, 259, 260; AM JUR 2d, Negligence § 376.
CARMODY-WAIT 2d, Presentation of the Case §§ 56:93, 56:137, 56:141, 56:145.
NY JUR 2d, Evidence and Witnesses §§ 732, 734; NY JUR 2d, Negligence §§ 53, 57.
PROSSER AND KEETON, TORTS (5th ed) §§ 41, 62.

ANNOTATION REFERENCE

Toxic mold in residences and other buildings: liability and other issues. 114 ALR5th 397.

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POINTS OF COUNSEL

Bonner Kiernan Trebach & Crociata LLP, New York City (*Mindy L. Jayne* and *Alan L. Korzen* of counsel), for appellant. I. Respondent failed to establish that her alleged injuries were proximately caused by any breach of duty by appellant. II. Respondent failed to prove that her expert's theory of general causation met the *Frye* test for admissibility. (*Marsh v Smyth*, 12 AD3d 307; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Wesley*, 83 NY2d 417; *Rashid v Clinton Hill Apts. Owners Corp.*, 70 AD3d 1019; *Cabral v 570 W. Realty, LLC*, 73 AD3d 674; *Martin v Chuck Hafner's Farmers' Mkt., Inc.*, 28 AD3d 1065; *Daitch v Naman*, 25 AD3d 458; *B.T.N. v Auburn Enlarged City School Dist.*, 45 AD3d 1339.) III. Even assuming general causation was established, respondent failed to prove specific causation. (*Fraser v 301-52 Townhouse Corp.*, 57 AD3d 416, 12 NY3d 847; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *Wright v Willamette Indus., Inc.*, 91 F3d 1105; *Cabral v 570 W. Realty, LLC*, 73 AD3d 674.) IV. Respondent's second through fifth causes of action were improperly reinstated against appellant. (*Barash v Pennsylvania Term. Real Estate Corp.*, 26 NY2d 77; *905 5th Assoc., Inc. v 907 Corp.*, 47 AD3d 401; *Bender v City of New York*, 78 F3d 787; *Howell v New York Post Co.*, 82 NY2d 690; *Graupner v Roth*, 293 AD2d 408; *Mack v American Handling Equip.*, 69 AD2d 853; *Sawyer v New York Seven-Up Bottling Co.*, 63 AD2d 893; *Smith v Johnson Prods. Co.*, 95 AD2d 675; *Morales v Kiamesha Concord*, 43 AD2d 944; *Prozeralik v Capital Cities Communications*, 82 NY2d 466.)

Gallet Dreyer & Berkey, LLP, New York City (*Morrell I. Berkowitz* and *Joseph V. Aulicino* of counsel), for respondent. I. The Court below made plain the significance and applicability of an earlier decision and applied long-standing precedent to the overwhelming evidence of respondent's exposure to a dangerous "mixture" of contaminants which led to her physical condition. (*Parker v Mobil Oil Corp.*, 7 NY3d 434; *Fraser v 301-52 Townhouse Corp.*, 57 AD3d 416, 12 NY3d 847; *Rowan v Brady*, 98 AD2d 638; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 27 NY2d 410; *Triangle Fire Protection Corp. v Manufacturers Hanover Trust Co.*, 172 AD2d 658; *Rashid v Clinton Hill Apts. Owners Corp.*, 70 AD3d 1019; *Lopez v Gem Gravure Co., Inc.*, 50 AD3d 1102; *Barbutto v Winthrop Univ. Hosp.*, 305 AD2d 623; *Cabral v 570 W. Realty, LLC*, 73 AD3d

674; *Kurtz v Chicorp Fin. Servs.*, 286 AD2d 753.) II. Appellant had long-time knowledge of dangerous conditions in the building warranting the claims against it.

Schechter & Brucker, P.C., New York City (*Thomas V. Juneau, Jr.*, of counsel), for Council of New York Cooperatives & Condominiums, amicus curiae. I. The Appellate Division majority did not properly apply the *Frye* standard. (*Clemente v Blumenberg*, 183 Misc 2d 923; *Styles v General Motors Corp.*, 20 AD3d 338; *Matter of Seventh Jud. Dist. Asbestos Litig.*, 9 Misc 3d 306; *People v Wesley*, 83 NY2d 417; *Heckstall v Pincus*, 19 AD3d 203; *Marsh v Smyth*, 12 AD3d 307; *Lara v New York City Health & Hosps. Corp.*, 305 AD2d 106; *Selig v Pfizer, Inc.*, 290 AD2d 319, 98 NY2d 603; *Lewin v County of Suffolk*, 18 AD3d 621; *Saulpaugh v Krafte*, 5 AD3d 934.) II. The Appellate Division majority departed from this Court's ruling in *Parker v Mobil Oil Corp.* (7 NY3d 434). (*Cleghorne v City of New York*, 99 AD3d 443; *Todman v Yoshida*, 63 AD3d 606; *Cubas v Clifton & Classon Apt. Corp.*, 82 AD3d 695; *Hellert v Town of Hamburg*, 50 AD3d 1481; *Rivera v Crotona Park E. Bristow Elmsmere*, 107 AD3d 550.)

OPINION OF THE COURT

READ, J.

For the reasons that follow, we conclude that plaintiff Brenda Cornell (Cornell) did not raise a triable issue of fact to rebut the prima facie showing made by defendant 360 West 51st Street Corp. (51st Street Corporation or the corporation) that her claimed personal injuries were not caused by indoor exposure to dampness and mold. Accordingly, Supreme Court properly granted the corporation's cross motion for summary judgment to dismiss Cornell's complaint in its entirety.

I

The Complaint

With the exception of a nearly two-year gap, Cornell resided in a first-floor apartment in the building at 360 West 51st Street in Manhattan from September 1997 until she vacated the premises on or about October 7, 2003. The corporation owned the building during Cornell's occupancy until September 5, 2003, when 360 West 51st Street Realty, LLC (the landlord) acquired the property by bargain and sale deed and took possession.

By summons with notice dated September 10 and a complaint dated November 16, 2004, Cornell brought a personal injury action against 51st Street Corporation, the landlord and other parties associated with the management of the building. In her complaint and amended complaint dated October 2, 2007, Cornell alleged that throughout her occupancy the building's "basement . . . was in a wet, damp, musty condition"; that the radiator in her apartment's living room "leaked on numerous occasions" and "continued to leak and also released steam into the Apartment" despite 51st Street Corporation's "attempt[s]" at repair; that in July 2003 she first noticed and notified 51st Street Corporation that "there was mold growing in the [apartment's] bathroom," but the corporation "ignored" this condition; and that beginning in the first week of October 2003, the landlord and/or its contractor performed "demolition and/or construction [work] in the basement of the Building . . . , permitting noxious dust, dirt, mold and debris to be released," which infiltrated her first-floor apartment.¹

Cornell claimed that "[i]mmediately after" the landlord and/or its contractor performed the work in the basement,

"she became dizzy, disoriented, covered with rashes, unable to breathe, light-headed, congested, experienced tightness in her chest, had severe headaches, had shortness of breath, had a metallic taste in her mouth, and experienced other physical symptoms."²

Consequently, on or about October 3, 2003 she notified the landlord that these symptoms prevented her from remaining in her apartment; that beginning on October 7, 2003, she was "unable to sleep in, occupy, or use [her apartment] or engage in any of her usual duties and activities and sustained a loss of

1. According to the landlord, in mid-September 2003, signs were posted in the building's lobby to notify residents that a cleanup project would be undertaken in the basement, beginning October 1st; that this project entailed the removal of materials left behind or discarded by the prior owner or tenants, and repainting the area; that the project was completed on October 5, 2003; and that the contractor promptly hauled away all debris. Cornell's experts theorized that the contractor disturbed years of accumulated mold spores and dust when performing this cleanup, and that these materials entered Cornell's apartment through cracks in the floor and a dumbwaiter shaft.

2. In her verified bill of particulars, Cornell listed as her injuries "[e]nvironmental asthma, allergies and reflux; cognitive and memory issues; fatigue; lack of stamina; sinus and breathing problems; headaches and rashes; seizures." She further stated that she first experienced symptoms in July 2003, but only when in the bathroom; however, as of October 1, 2003, all the listed injuries became permanent, with the possible exception of the seizures.

quality and enjoyment of life”; that although she had previously been blessed with “excellent health,” she was “sick, sore, lame, and disabled” after October 3, 2003;³ and that on or about April 30, 2004, she surrendered possession of her apartment and the lease, and was “forced to discard virtually all of her personal property because it was contaminated by mold and other harmful substances.”

Based on these allegations, Cornell pleaded causes of action for personal injuries and property damage, constructive eviction, attorneys’ fees, breach of the covenant of quiet enjoyment and intentional infliction of emotional distress. She sought \$11.8 million in damages, primarily for her alleged health problems, and another \$10 million in punitive damages. The landlord and 51st Street Corporation subsequently initiated a third-party action against the contractor who performed the construction and demolition work in the building’s basement in the fall of 2003.

II

Summary Judgment

The Landlord’s Motion and 51st Street Corporation’s Cross Motion

On January 14, 2008, the landlord moved for summary judgment and partial summary judgment to dismiss all Cornell’s claims and, importantly for this appeal, specifically sought to dismiss the complaint to the extent that Cornell alleged mold-induced personal injuries, arguing that she was unable to prove either that mold can cause the type of injuries that she alleged (general causation), or that mold in her apartment caused the

3. In her verified bill of particulars, Cornell alleged that as of September 30, 2003, she “was in excellent health and was an athlete, biking 150-200 miles per week,” and “[u]ntil August 2003, [she] was employed in a responsible, demanding position in [an] IT department . . . and maintained a part-time business producing music and as a DJ.” But since October 1, 2003, Cornell averred, she had been

“unable to engage in any physical activity; [experiences] difficulty walking any distance, climbing stairs, carrying a bag, breathing, thinking, remembering; suffered a herniated disk in [the] neck, injuries to both elbows [and] exacerbated an existing right shoulder injury; suffered a new right hamstring injury; is required to eat an extremely limited diet and [is] unable to eat foods she previously enjoyed; [is] unable to engage in sexual activity; suffers from extreme fatigue; [and is] unable to work as a DJ or produce music or engage in any work other than low-level, low paid, rote work.”

specific injuries that she asserted (specific causation). The landlord also sought to preclude Cornell's experts from testifying on causation, or, alternatively, requested a *Frye* hearing on whether her theory of causation enjoyed general scientific acceptance. In support of these aspects of its motion, the landlord, in addition to numerous exhibits, submitted the affidavit of Dr. S. Michael Phillips.

On January 25, 2008, 51st Street Corporation cross-moved for summary judgment to dismiss Cornell's claims. The corporation incorporated by reference and adopted the "factual and legal arguments, references, attachments and exhibits" submitted by the landlord to support its motion, the landlord's memorandum of law and Dr. Phillips's affidavit.

Dr. Phillips, a clinical immunologist with over 30 years of clinical and basic science experience in the fields of internal medicine, allergy and immunology, is also a Senior Scholar in Clinical Epidemiology at the University of Pennsylvania. He assessed Cornell's claim that "a significant portion of her physical and psychological problems is related to adverse reactions stemming from exposures to molds," and, after review of her medical records and the relevant science, opined with reasonable medical certainty that there was "no relationship between the medical problems experienced by Ms. Cornell and exposures to molds."

With respect to general causation, Dr. Phillips principally relied on the position paper of the American Academy of Allergy, Asthma and Immunology (AAAAI) (see Robert K. Bush et al., *The Medical Effects of Mold Exposure*, 117 J Allergy & Clinical Immunology [No. 2] at 326 [2006]). The authors of this paper concluded that "[e]xposure to molds can cause human disease through several well-defined mechanisms" (*id.* at 326), including an immune response in allergic individuals (hypersensitivity pneumonitis), direct infection by an organism and ingestion of mycotoxins in large doses from spoiled or contaminated food. The authors added that

"[f]or each of these [three] defined pathophysiologic mechanisms, there are scientifically documented mold-related human diseases that present with objective clinical evidence of disease. Recently, in contrast to these well-accepted mold-related diseases, a number of new mold-related illnesses have been hypothesized. This has become a particular issue in litigation that has arisen out of unproved as-

sertions that exposure to indoor molds causes a variety of ill-defined illnesses. Many of these illnesses are characterized by the absence of objective evidence of disease and the lack of a defined pathology and are typically without specificity for the involved fungus-fungal product purported to cause the illness” (*id.* at 326).

Calling the AAAAI report “the current ‘state of the art’ and widely accepted as authoritative,” Dr. Phillips added that “[l]ess [than] 1% of the [Academy’s] members . . . questioned the report,” and, in any event, “the criticisms did not in any way support the majority of [Cornell’s] contentions.” He then made the following points to show that, even *assuming* general causation, Cornell could not demonstrate specific causation; to wit,

1. Although Cornell alleged mold exposure, nothing in the record “substantiate[s] that there were elevated levels of molds in the [apartment] on several occasions.” In fact, “[m]olds are ubiquitous.” And although there are no “safe” or “toxic” limits for mold, the levels measured in Cornell’s former apartment were “of expected level and distribution for any average home” when compared to sampling studies.

2. Many of Cornell’s complained-of medical problems are common in the human population, regardless of indoor exposure to molds (e.g., headache, fatigue, cough, itchy eyes, rashes, stuffy noses); conversely, molds have never been shown to cause other physical and psychological problems that Cornell ascribes to indoor mold exposure (e.g., cognitive problems, seizures, depression).

3. Cornell claimed to have been exposed to toxic molds and mycotoxins, but it is generally accepted in the scientific community that mycotoxins cause disease through ingestion of contaminated food, and not through inhalation.

4. Many of Cornell’s complained-of medical problems (e.g., allergies, asthma, sinusitis headache, muscle and joint pain, etc.) date back to her teenage years, long before the alleged mold exposure.

5. If mold caused Cornell’s complained-of medical problems, her symptoms should have abated when she left the apartment. She states, however, that her physical status has not improved, and some of her medical records support this.

6. It is “clearly . . . not true” that there is no other logical explanation for Cornell’s symptoms as many of them “can be ascribed to other diseases such as other allergies, vasomotor

rhinitis, multiple chemical sensitivities, irritable bowel syndrome, GERD [gastroesophageal reflux disease], depression, anxiety, the use of drugs such as steroids and narcotics, multiple orthopedic issues, trauma, and psychosocial interactions.”

7. Physical findings and laboratory data did not substantiate mold-related illness; specifically, there was no evidence of mold-induced disease on physical examination or by X rays of her chest and sinuses, Cornell has no mold allergies established by skin testing criteria (although skin tests revealed allergies to inhalants other than molds), and other tests showed no hypersensitivities to mold or significant response to toxic molds.

Cornell’s Motion

Cornell submitted papers on April 24, 2008, in opposition to the landlord’s motion and the corporation’s cross motion, and also moved for summary judgment. Cornell mainly relied on the affidavit of Dr. Eckardt Johanning to counter the claim that she could not prove general or specific causation. Dr. Johanning, a doctor of environmental and occupational medicine who specializes in mold-related illness, made the following points in his affidavit:

1. He repeatedly faulted the landlord’s conclusions on the ground they were based on the opinions of Dr. Phillips, a doctor with “no formal training or professional experience in the pertinent field,” and “out of date” or “discredited” publications, whereas he had examined Cornell many times since he was “brought into consult at a very early stage at the onset of her condition, which was undeniably caused by exposure to *an unusual mixture of atypical microbial contaminants*” (emphasis added).

2. He criticized as “notably absent” any reference to Civil Court’s conclusion, after a full trial at which he testified, that Cornell had “shown by a preponderance of the credible evidence that a combination of metallic dust and fungi existed in her apartment,[which] affected her health.”⁴

4. After Cornell left the apartment in early October 2003, she stopped paying rent. She and the landlord were unable to work out a mutually agreeable accommodation, and the landlord eventually initiated a summary nonpayment proceeding in Civil Court, seeking the unpaid rent. Cornell’s answer raised the affirmative defenses of constructive eviction and violation of the warranty of habitability, and she counterclaimed on those grounds in the amount of \$25,000. On August 16, 2005, after a several-months-long trial, the Civil

(n. cont’d)

3. He stated that “[c]ertain ‘quantifications’ for determining the adverse health consequences [of] dangerous unsanitary conditions may be misleading,” and Cornell was “unquestionably exposed to unsanitary conditions.”

4. He averred that it was his “position that the generally accepted and peer-reviewed literature supports the fact that exposure to damp buildings with excessive and atypical microbial (mold) contamination is recognized as a cause of respiratory health complaints and conditions such as asthma, rhino-sinusitis, bronchitis, allergy, infections and irritant-type reactions of the skin and mucous membranes,” and attributed “discussion and lack of knowledge about the exact pathophysiological and biochemical mechanisms in humans and specific properties of microbial (i.e., mold) agents” to “limited environmental testing reports.”

5. By way of example, he cited a report from 2003, which states that various mold by-products “*may* all have adverse effects to human[s]”; a report from 2001, stating that the *risk* of current asthma, allergic rhinitis, atopic dermatitis and, especially, the common cold, was higher in damp homes; a report from 2004 that “there is *sufficient evidence of associations* of building dampness and presence of mold in damp indoor environments with nasal and throat symptoms, wheeze, cough, and asthma symptoms in sensitized people[, and] *suggestive evidence of associations* with shortness of breath and development of asthma”; and a 2006 study stating that microbial agents in floor dust may be a good surrogate measure for dampness-related bioaerosol exposure (emphases added).

6. He asserted that two recent studies “should put to rest any doubt as to the sound medical bases” for Cornell’s claims. First, he cited *Excess Dampness and Mold Growth in Homes: An Evidence-Based Review of the Aeroirritant Effect and its Potential Causes* (Andrew P. Hope, M.D., et al., 28 Allergy & Asthma Proc [No. 3] at 262 [May-June 2007]), which states that “epidemiological studies *support the link* between a damp indoor environment and mold growth with upper airway irritant symptoms. MVOCs [microbial volatile organic compounds]⁵ are

Court judge found in Cornell’s favor and awarded her judgment in the amount of \$17,050. The Appellate Term affirmed (*see 360 W. 51st St. Realty, LLC v Cornell*, 14 Misc 3d 90 [App Term, 1st Dept 2007], *lv denied* 2007 NY Slip Op 71525[U] [1st Dept 2007]). The corporation did not participate in this hearing.

5. MVOCs are gases produced by molds, and are responsible for the earthy, musty odor associated with mold growth.

produced by indoor fungus, and based on available data, are the most likely candidate compounds as the cause of this aeroirritant effect” (*id.* at 269 [emphasis added]). The second study, *Hydrophilic Fungi and Ergosterol Associated with Respiratory Illness in a Water-Damaged Building* (Ju-Hyeong Park et al., 116 *Envtl Health Persp* [No. 1] at 45 [Jan. 2008]), states that “mold levels in dust were *associated with* new-onset asthma in this damp indoor environment. Hydrophilic fungi and ergosterol as measures of fungal biomass may have promise as markers of *risk of building-related respiratory diseases* in damp indoor environments” (*id.* [emphases added]).

7. Governmental reports, guidelines and public health initiatives “consistently stat[e] . . . that moisture/dampness, and mold exposure in indoor environments, are *a public health concern*, and advise precautions regarding exposure and handling of such contaminated building material because of the *various possible* adverse health effects” (emphases added).

8. He is “convinced to a degree of medical certainty that [his] repeated medical evaluations and tests, as well as the analysis and review of the science, are in agreement with the published peer-reviewed literature of independent scientists and clinicians.”

9. He employs differential diagnosis “to assess the health effects of building dampness and mold exposure,” and his use of this methodology has been “validated and affirmed” by a number of courts. In this case, he conducted many different diagnostic tests, including a number of costly general and case-specific laboratory tests.

10. The AAAAI report particularly relied on by Dr. Phillips and another paper cited by the landlord should be “rejected” because their authors included doctors who had testified as defense experts in mold cases.

11. One of the members of the committee that compiled and authored a report cited by the landlord subsequently filed an affidavit on behalf of the plaintiffs in the *Fraser* litigation (discussed later) in which she stated that “the products of damp buildings are strongly associated with and are a cause of respiratory symptoms and illness,” and also noted that worker protections are widely required for cleanup of mold-contaminated environments.

12. “[S]tudies have now shown that the clear effects on people’s health from exposure to dampness and other unsanitary and unhealthy indoor conditions makes the significance of

precise quantifiable measures irrelevant”; and “[i]t is now generally accepted . . . that the best policy is to clean and [remedy] indoor dampness and mold situations, and protect the involved building occupants and workers.”

13. “A number of recent studies and publications entirely refute the underpinnings upon which [the landlord] rel[ied],” including a 2005 study, which states that “[t]here is abundant documentation of the *association between* building dampness and mold and adverse health effects on occupants, but the [virtual] causal agents of the effects are still unclear”; a 2005 study, which states that it “contributes to the growing literature that water-damaged built [sic] environments can be *associated with* work-related regulatory disease”; and a 2006 report, which examined evidence of fungal-related illnesses and the unique aspects of mold exposure to children, and states that “[c]ause-and-effect relationships between fungal exposure and allergic disease, asthma, and hypersensitivity pneumonitis are consistently supported by epidemiologic studies” and “[i]ndoor dampness, by itself seems to be *associated with* increase[d] respiratory illness and symptoms” (emphases added).

14. Based on his differential diagnosis, he concluded that Cornell suffers from “bronchial-asthma, rhino-sinusitis, hypersensitivity reactions, and irritation reactions of the skin and mucous membranes, requiring medical care and intervention”⁶ and “within a reasonable degree of medical certainty, the acute illnesses and serious complications that [Cornell] experienced in the summer of 2004, and thereafter, [were] caused by her preventable exposure to the unsanitary, unhygienic conditions which existed in her apartment.”

III

Supreme Court’s Decision

The landlord and 51st Street Corporation argued that they had made a prima facie showing of entitlement to judgment as a matter of law by demonstrating that Cornell was unable to prove either that mold can cause the types of injuries that she alleged (general causation), or that mold in her former apartment caused her injuries (specific causation); and that, in response, Cornell had not come forward with proof sufficient to

6. This list of adverse health effects is considerably scaled back from the allegations in the complaint and the bill of particulars, which Dr. Phillips addressed in his affidavit.

raise a triable issue of fact on general or specific causation. Supreme Court agreed, and by decision and order dated December 18, 2009, granted the landlord summary judgment to dismiss the causes of action in the complaint with exceptions not relevant to this appeal; dismissed the complaint against 51st Street Corporation in its entirety; and denied Cornell's motion to the extent she sought judgment on the merits of her personal injury claim (26 Misc 3d 1211[A], 2009 NY Slip Op 52707[U] [Sup Ct, NY County 2009]).

The Fraser Litigation

Both the landlord and the corporation relied heavily on the *Fraser* litigation in their motion papers, and in reaching its decision, Supreme Court evaluated their motions from the standpoint of *Fraser*. In that case, a married couple brought suit on behalf of themselves and their infant daughter against the owners of the cooperative apartment building where they formerly resided, alleging adverse health effects caused by exposure to damp and moldy conditions.⁷

The defendants successfully sought a *Frye* hearing to determine whether the plaintiffs' theory of general causation and the methodology they followed to measure the mold were generally accepted in the relevant scientific community. Dr. Johanning was the plaintiffs' key expert witness, and Dr. Phillips testified for the defendants.

After a 10-day hearing, encompassing more than 1,000 pages of testimony and the introduction of more than 70 scientific articles and books, the trial judge concluded that the *Fraser* plaintiffs did not carry their burden under *Frye* to show that "the community of allergists, immunologists, occupational and environmental health physicians and scientists accept their theory—that mold and/or damp indoor environments cause illness" (*Fraser v 301-52 Townhouse Corp.*, 13 Misc 3d 1217[A], 2006 NY Slip Op 51855[U], *26 [Sup Ct, NY County 2006]). Further,

7. According to the trial judge in *Fraser*, the plaintiffs' mold-related health claims changed considerably over time. At first, they asserted cognitive deficits, infertility, asthma, headaches, cough, sore throat, fatigue, psychological injuries, itchy and swollen eyes, nasal congestion, asthmatic symptoms, upper respiratory infections and frequent cough and rashes. Eventually, their alleged health complaints boiled down to respiratory problems, rash and fatigue.

she opined, even if the plaintiffs had been able to demonstrate general causation, they had not established specific causation.⁸ Accordingly, the judge precluded the plaintiffs from introducing testimony that mold caused their health complaints, and dismissed their personal injury causes of action with prejudice, while severing other causes of action for further proceedings.

The plaintiffs moved to renew and reargue. In response, the trial judge emphasized that

“the *Frye* hearing only addressed causation of alleged physical injuries. The Decision made no determination regarding whether landlords are required to abate mold conditions in their properties, whether real property with a mold condition is habitable, or whether there is a public health risk where indoor mold is present. The issue in the *Frye* hearing was limited to whether the scientific community accepted plaintiffs’ theory of *causation*, which is different from *risk* or *association*” (*Fraser v 301-52 Townhouse Corp.*, 2007 NY Slip Op 32086[U], *2-3 [Sup Ct, NY County 2007]).

The plaintiffs again advocated that the scientific community generally accepts a cause-and-effect relationship between exposure to damp and moldy indoor spaces and the development of upper respiratory and allergic-type reactions because studies evidence an association between this exposure and such symptoms. Noting that even Dr. Johanning conceded, upon her questioning, that causation and association are not synonymous, the trial judge granted reargument and adhered to her

8. In particular, the trial judge noted that the plaintiffs’ apartment was never tested for the specific mold microbial by-products that their main expert, Dr. Johanning, testified were an irritant when released into ambient air. Further, evidence demonstrated that

“there are no standards for what amount of mold [is] excessive in terms of human health and the indoor environment; there are no generally accepted standards for measuring indoor airborne mold [or] for the acceptable amount of mold in indoor air; there are many types of mold, each [with] different or no health effects; there are no standard scientific definitions for ‘dampness’ or ‘moisture’; skin prick tests for allergy, which were not done [in *Fraser*], were deemed the most reliable way to test for allergy by the literature [and by the plaintiffs’ and the defendants’ experts]; and the [allergy-related] test performed on [the parents] . . . did not show allergy to mold.” (*Id.*)

original determination that the plaintiffs' theory of causation was not generally accepted in the scientific community.⁹

Additionally, the trial judge granted renewal on the basis of our intervening decision in *Parker v Mobil Oil Corp.* (7 NY3d 434 [2006]), where we "clarified rules for the foundation necessary to admit expert evidence, which are unrelated to the *Frye* standard." (2007 NY Slip Op 32086[U], *12.) The plaintiffs attempted to prove specific causation through Dr. Johanning's use of differential diagnosis to conclude that the "plaintiffs' symptoms must have been caused by airborne mold and mold by-products." (*Id.* at *13.) The judge noted, however, that Dr. Johanning reached this conclusion "without underlying proof of causation or strong association, without proof of mold allergies,¹⁰ without reliable standards for measurement of airborne exposure, and without measurements of mold by-products." (*Id.*) Upon renewal, the judge therefore held that the defendants were entitled to summary judgment dismissing the plaintiffs' personal injury claims "for the *additional* reason that their expert's opinion lack[ed] sufficient foundation to prove specific causation" (*id.* at *4 [emphasis added]).

On appeal, the Appellate Division affirmed, with two Justices dissenting (*Fraser v 301-52 Townhouse Corp.*, 57 AD3d 416 [1st Dept 2008], *appeal dismissed* 12 NY3d 847 [2009]). The court observed that

"[w]hile there is general agreement that indoor dampness and mold are associated with upper respiratory complaints, defendants' experts took the position, consistent with the literature they submitted, that the observed association between such conditions and such ailments is not strong enough to constitute evidence of a causal relationship. In other words, *association is not equivalent to causation*. In this regard, even [Dr. Johanning] testified that association is not the same concept as causation. Given that plaintiff[s] failed to demonstrate general acceptance of the notion that a causal

9. Upon reargument, the trial judge made a minor modification as to the reasoning in her original decision, which is not relevant for present purposes.

10. The Frasers apparently tested negative for mold allergies. The trial judge remarked that there was evidence that Ms. Fraser was allergic to dust mites and cats, and that the family lived with several pet cats.

relationship has been demonstrated between the conditions and ailments in question, Dr. Johanning's claim to have established causation . . . by means of differential diagnosis is unavailing" (*id.* at 417-418 [internal quotations marks and citations omitted]).

Citing *Parker*, the Appellate Division pointed out that preclusion was called for whether the plaintiffs' theory of general causation was scrutinized under *Frye* or foundational principles applicable to the admissibility of all evidence. In that vein, the court "stress[ed]" that its ruling was based on the "scientific literature placed before [it] *in the present record*," and did not "set forth any general rule that dampness and mold can never be considered the cause of a disease, only that such causation [had] not been demonstrated by the evidence presented by" the Frasers (*id.* at 418 [emphasis added]). Again citing *Parker*, the Appellate Division added that, even assuming general causation, the plaintiffs could not prevail on their personal injury claims because their experts did not specify the threshold level of exposure to dampness or mold required to produce the injuries alleged, or offer a reliable measurement of the level of mold in their former apartment (*id.* at 419-420).

The dissenters' position is perhaps best summed up in their statement that

"[the Frasers] claim, and the literature confirms, that more than an outlying segment of the scientific community has concluded that there is evidence that building dampness and mold have *the potential* to cause allergic and irritative reaction in sensitized people. [They] simply seek an opportunity to prove to a jury that the dampness and mold in their apartment caused their symptoms" (*id.* at 432-433).

Further, the dissenters considered the differential diagnosis performed by Dr. Johanning to be "scientifically valid" (*id.* at 435).

Supreme Court's Reasoning

The trial judge used the *Fraser* litigation as a frame of reference for analysis since, as in this case, *Fraser* involved allegations that respiratory symptoms and rashes were caused by indoor exposure to mold and dampness; Dr. Johanning was the main plaintiff's expert in both cases; and his opinion was essentially the same—i.e., in *Fraser*, that the plaintiffs' illnesses

were caused by exposure to “excessive and atypical microbiological contamination”; and here, that Cornell’s virtually identical claimed illnesses were attributable to “an unusual mixture of atypical microbial contaminants.” (26 Misc 3d 1211[A], 2009 NY Slip Op 52707[U], *2.) Accordingly, the judge reviewed whether, or to what extent, Dr. Johanning had updated the epidemiological evidence that he reviewed when formulating his opinion on general causation in *Fraser*.

The trial judge related that Dr. Johanning cited only two additional studies, both postdating the record in *Fraser*, but that these studies “[did] not reflect a material change in scientific opinion on the issue of general causation.” (*Id.* at *3.) Consequently, since the Appellate Division in *Fraser* “found that the epidemiological evidence on which Dr. Johanning relied was not sufficiently strong to permit a finding of general causation, and as the limited supplemental studies that [were] submitted in this action plainly [did] not remedy [this] insufficiency,” the judge considered herself “constrained to hold that [Cornell was] unable to prove general causation.” (*Id.* at *6.)

The trial judge also concluded that Cornell, like the plaintiffs in *Fraser*, could not prove specific causation because she did not identify the specific type of molds or toxins that allegedly adversely affected her, and did not quantify her exposure. Further, she noted that in *Fraser* the Appellate Division rejected Dr. Johanning’s use of differential diagnosis as a substitute for quantitative proof.

While acknowledging that the *Fraser* decision by no means foreclosed a future determination that dampness and mold cause disease, the trial judge decided that *Fraser* nonetheless mandated dismissal of Cornell’s personal injury claims because

“[t]he circumstances in *Fraser*—plaintiffs claiming upper respiratory symptoms, asthmatic symptoms, and allergic reactions, based on an undifferentiated mixture of microbial contaminants—are substantially the same as the circumstances in [this] case. The scientific theory advanced in *Fraser* is the same theory advanced here, by the same witness, Dr. Johanning, on the basis of largely the same scientific evidence.” (*Id.* at *7.)

For these reasons, Supreme Court dismissed all of Cornell’s causes of action except those for property damage and breach of the covenant of quiet enjoyment as against the landlord and the

contractor. Soon after this ruling, Cornell settled her lawsuit against these parties; she appealed the judge's decision in favor of 51st Street Corporation.

IV

The Appellate Division's Decision

On March 6, 2012, the Appellate Division, with one Justice dissenting, reversed the motion court's order and reinstated the complaint as against 51st Street Corporation (95 AD3d 50 [1st Dept 2012]). The court faulted the lower court for improperly interpreting *Fraser* "as setting forth a categorical rule requiring dismissal of [Cornell's] toxic mold claim due to failure [to] meet the standard of scientific reliability set forth in" *Frye* (*id.* at 52). Emphasizing that *Fraser* had simply found that the plaintiffs in that particular case had failed to raise any triable issues of fact, the Appellate Division concluded that here, Supreme Court "erred in finding that [Cornell's] proof was not strong enough to constitute a causal relationship, or that the methodologies used to evaluate her condition failed to meet the *Frye* standard" (*id.* [internal quotation marks omitted]).

The Appellate Division then held that "[s]ince [Cornell's] expert's opinions relating [Cornell's] condition to the mold infestation find 'some support in existing data, studies [and] literature,' . . . the *Frye* standard is satisfied" (*id.* at 53 [emphasis added and citations omitted]). The court reviewed three of the submissions relied upon by Dr. Johanning (one of the studies included in the *Fraser* record, and the two "supplemental" studies), then opined that "[t]he scientific evidence shows that exposure to molds, particularly the types of molds whose presence in plaintiff's apartment was confirmed by sampling . . . can cause the types of ill effects experienced by [Cornell]" (*id.* at 58). The court further held that neither *Fraser* nor any other case had rejected differential diagnosis as a means of determining the source of a patient's illness so long as the accused agent was capable of causing the alleged injuries.

The Appellate Division also faulted the trial judge for ruling that differential diagnosis, as undertaken by Dr. Johanning in this case, was insufficient to establish specific causation. The court's decision in this regard seems to reflect the view that because "[i]t is undisputed that exposure to toxic molds is capable of causing the types of ailments from which [Cornell] suffers," *Parker* teaches that threshold and actual exposure levels are not required to perform differential diagnosis (*id.* at 60).

The dissenting Justice criticized the majority for disregarding *Frye*'s requirement that "the reliability of a new test, process, or theory [must] be 'generally accepted' within the relevant scientific community" (*id.* at 63 [Catterson, J., dissenting]). He concluded that while Dr. Johanning may have demonstrated that there was scientific evidence that mold caused Cornell's injuries, his affidavit fell short of establishing *Frye*'s "essential requirement"—i.e., general acceptance of his theory within the relevant scientific community (*id.*). And like Supreme Court, he was of the view that the two "supplemental" studies did not bear out general acceptance of a causal connection between mold exposure and Cornell's professed injuries (*id.* at 63-64).

On October 2, 2012, the Appellate Division granted 51st Street Corporation leave to appeal and certified the following question to us: "Was the order of [the Appellate Division], which modified the order of the Supreme Court[,] properly made?"

V

Discussion

In *Frye v United States* (293 F 1013, 1014 [DC Cir 1923]), the court rejected the testimony of a defense expert regarding the results of a "systolic blood pressure deception test"—an early type of polygraph test—because it had not yet "gained such standing and scientific recognition among physiological and psychological authorities as would justify the courts in admitting expert testimony deduced from the discovery, development, and experiments thus far made." While the *Frye* test turns on acceptance by the relevant scientific community, we have never insisted that the particular procedure be "'unanimously indorsed' " by scientists rather than "'generally acceptable as reliable' " (*see People v Wesley*, 83 NY2d 417, 423 [1994], quoting *People v Middleton*, 54 NY2d 42, 49 [1981]).¹¹

Frye focuses on principles and methodology, but these are "not entirely distinct from one another" (*see General Electric*

11. The *Frye* test's main competitor is the standard set out by the United States Supreme Court in *Daubert v Merrell Dow Pharmaceuticals, Inc.* (509 US 579 [1993]) to replace *Frye* in the federal courts. *Daubert*, which like *Frye* focuses on principles and methodology, calls upon a trial court to consider a nonexclusive list of four factors when assessing the evidentiary reliability of scientific evidence: (1) whether the theory or technique about which the expert is testifying can be tested; (2) whether the object of the testimony "has been subjected to peer review and publication"; (3) the known or potential error rate of the theory or technique; and (4) general acceptance in the relevant

(n. cont'd)

Co. v Joiner, 522 US 136, 146 [1997]). Thus, even though the expert is using reliable principles and methods and is extrapolating from reliable data, a court may exclude the expert’s opinion if “there is simply too great an analytical gap between the data and the opinion proffered” (*id.* [observing that nothing in *Daubert* or the Federal Rules of Evidence requires a district court “to admit opinion evidence that is connected to existing data only by the *ipse dixit* of the expert”]; see also *Marso v Novak*, 42 AD3d 377, 378 [1st Dept 2007] [remarking that a “‘methodology-only, ignore-the-conclusion’ approach would circumvent the rationale for the *Frye* doctrine”]). We have sometimes expressed this precept in terms of the general foundation inquiry applicable to all evidence (see *Wesley*, 83 NY2d at 422; *Parker*, 7 NY3d at 447). And in the social science arena, we have measured the reliability of novel hypotheses and theories—not just methodologies—against the *Frye* standard (see e.g. *People v Taylor*, 75 NY2d 277 [1990] [concluding that rape trauma syndrome is generally accepted as reliable within the relevant scientific community]; *People v LeGrand*, 8 NY3d 449 [2007] [identifying three factors relating to eyewitness identifications, which are generally accepted as reliable within the relevant scientific community]).

Here, 51st Street Corporation argues that the Appellate Division “improperly applied a modified version of the *Frye* test to deem [Cornell’s] expert’s testimony regarding general causation admissible.” We agree. The corporation made a *prima facie* case that Cornell could not prove general causation. Dr. Phillips in his affidavit opined that it is generally accepted within the relevant community of scientists (i.e., allergists, immunologists, occupational and environmental health physicians) that exposure to mold causes human disease in three ways: an immune response in allergic individuals (hypersensitivity pneumonitis), direct infection by an organism (e.g., athlete’s foot) and ingestion of mycotoxins (any toxic substance produced by a fungus) in large doses from spoiled food. He cited studies, and in particular, the AAAAI report, to support his depiction of the state of the science. And although Cornell claims to suffer from various

scientific community, which, although no longer the sole factor, “can yet have a bearing on the inquiry” (*id.* at 593-594).

respiratory illnesses, hypersensitivity pneumonitis is not one of them.¹²

With 51st Street Corporation having made its *prima facie* showing, the burden then shifted to Cornell to raise a triable issue of fact with respect to general causation. Her expert, Dr. Johanning, sought to do this in three ways. First, he attacked Dr. Phillips's qualifications and the soundness of the scientific authorities undergirding his opinion on general causation. Dr. Johanning called Dr. Phillips unqualified because he was not a mold specialist. But Dr. Phillips is, by any measure, clearly competent to render an opinion about the possible adverse health effects in humans of indoor exposure to molds (*see* shorthand description of his credentials, *supra* at 768). Dr. Johanning also condemned the AAAAI report as "out of date" and "discredited." He did not, however, claim that the report has ever been withdrawn, or indicate where its conclusions were ever repudiated by the scientific community or have been superseded, or suggest that the AAAAI is not reputable.¹³

Second, Dr. Johanning quite accurately pointed out that government reports and public health initiatives treat mold in damp indoor environments as a public health concern, and public health agencies have issued guidelines and recommended precautions to safeguard against the risk of harm from indoor mold exposure. But this is irrelevant since "standards promulgated by regulatory agencies as protective measures are inadequate to demonstrate legal causation" (*Parker*, 7 NY3d at 450).

Finally, Dr. Johanning relied on various studies or reports in the record to support the proposition that his theory of general causation enjoyed general scientific acceptance; he portrayed the two reports that postdate the close of the record in *Fraser* as game changers (*see supra* at 771-772 [these reports "should

12. The Appellate Division stated that Dr. Phillips *agreed* with Dr. Johanning that "mold is capable of causing the ill-health effects experienced by [Cornell]" (95 AD3d at 61). This is clearly a misreading of Dr. Phillips's affidavit; he opined quite explicitly to the contrary.

13. According to its website, the AAAAI is a professional organization with more than 6,700 members in the United States and 72 countries. Its members are allergists, immunologists, other medical specialists and allied health and related healthcare professionals, all with a special interest in the research and treatment of allergic and immunologic diseases. The AAAAI dates back to the early 1920s; its official journal, "The Journal of Allergy and Clinical Immunology," traces its roots to 1929, is published monthly and is the most-cited scientific journal in the field of allergy and clinical immunology (*see* <https://www.aaaai.org.home.aspx>).

put to rest any doubt as to the sound medical bases” for Cornell’s personal injury claims]). But these more recent reports, like the others that Dr. Johanning commended to the lower courts’ attention, speak in terms of “risk” and “linkage” and “association”—not causation. Indeed, Dr. Johanning repeatedly equated association with causation. In so doing, he departed from the generally accepted methodology for evaluating epidemiologic evidence when determining whether exposure to an agent causes a harmful effect or disease.

As summarized in the federal courts’ Reference Manual on Scientific Evidence:

“Epidemiologists are ultimately interested in whether a causal relationship exists between an agent and a disease. However, the first question an epidemiologist addresses is *whether an association exists* between exposure to the agent and disease. An association between exposure to an agent and disease exists when they occur together more frequently than one would expect by chance. *Although a causal relationship is one possible explanation for an observed association between an exposure and a disease, an association does not necessarily mean that there is a cause-effect relationship*” (Michael D. Green et al., Reference Guide on Epidemiology, in Federal Judicial Center, Reference Manual on Scientific Evidence at 566, Federal Judicial Center [3d ed 2011] [emphases added]).

[1] Thus, studies that show an *association* between a damp and moldy indoor environment and the medical conditions that Dr. Johanning attributes to Cornell’s exposure to mold (bronchial-asthma, rhino-sinusitis, hypersensitivity reactions and irritation reactions of the skin and mucous membranes) do not establish that the relevant scientific community generally accepts that molds *cause* these adverse health effects. But such studies necessarily furnish “some support” for causation since there can be no causation without an association (although, as explained, there can be an association without causation). For these reasons, the Appellate Division was incorrect when it ruled that the *Frye* standard was satisfied in this case because Dr. Johanning’s opinions as to general causation find “some support” in the record. In sum, then, Cornell has not raised a triable issue of fact with respect to general causation.

[2] Additionally, even *assuming* that Cornell demonstrated general causation, she did not show the necessary specific

causation. As *Parker* explains, “an opinion on causation should set forth a plaintiff’s exposure to a toxin, that the toxin is capable of causing the particular illness (general causation) and that plaintiff was *exposed to sufficient levels* of the toxin to cause the illness (specific causation)” (*Parker*, 7 NY3d at 448 [emphasis added]). *Parker* explains that “precise quantification” or a “dose-response relationship” or “an exact numerical value” is not required to make a showing of specific causation (*id.* at 448-449). *Parker* by no means, though, dispensed with a plaintiff’s burden to establish sufficient exposure to a substance to cause the claimed adverse health effect (*see id.* at 449 [suggesting alternative ways to do this, such as estimating exposure by means of mathematical modeling]). As the Circuit Court of Appeals for the Eighth Circuit commented in *Wright v Wilamette Indus., Inc.* (91 F3d 1105, 1107 [8th Cir 1996]),

“[a]ctions in tort for damages focus on the question of whether to transfer money from one individual to another, and under common-law principles . . . that transfer can take place only if one individual proves, among other things, that it is more likely than not that another individual has caused him or her harm. It is therefore not enough for a plaintiff to show that a certain . . . agent sometimes causes the kind of harm that he or she is complaining of. At a minimum, . . . there must be evidence from which the factfinder can conclude that the plaintiff was exposed to levels of that agent that are known to cause the kind of harm that the plaintiff claims to have suffered.”

Here, Dr. Johanning did not identify the specific disease-causing agent to which Cornell was allegedly exposed other than to vaguely describe it as “an unusual mixture of atypical microbial contaminants.” He made no effort to quantify her level of exposure to this “unusual mixture”; he simply asserted that “[c]ertain ‘quantifications’ . . . may be misleading,” and that she was “unquestionably exposed to unsanitary conditions.” He did not respond to, much less refute, Dr. Phillips’s statement that the molds in Cornell’s former apartment were “of expected level and distribution for any average home” when compared to sampling studies.

Next, Dr. Johanning claimed that he established specific causation through a differential diagnosis. Differential diagnosis is a generally accepted methodology by which a physician considers the known possible causes of a patient’s symptoms, then, by utilizing diagnostic tests, eliminates causes from the list until

the most likely cause remains. In short, differential diagnosis “requires physicians to both ‘rule in’ and ‘rule out’ the possible causes of the [patient’s] symptoms through accepted scientific reasoning and diagnostic tests” (*Jazairi v Royal Oaks Apt. Assoc., L.P.*, 2005 WL 6750570, *9, 2005 US Dist LEXIS 47915, *30 [SD Ga 2005], *affd* 217 Fed Appx 895 [11th Cir 2007]). Differential diagnosis, of course, “‘assumes that general causation has been proven’” (*Norris v Baxter Healthcare Corp.*, 397 F3d 878, 885 [10th Cir 2005], quoting *Hall v Baxter Healthcare Corp.*, 947 F Supp 1387, 1413 [D Or 1996]; see also *Ruggiero v Warner-Lambert Co.*, 424 F3d 249, 254 [2d Cir 2005] [“Where an expert employs differential diagnosis to rule out other potential causes for the injury at issue, he must also rule in the suspected cause, and do so using scientifically valid methodology” (internal quotation marks and citation omitted)]).

First, the Appellate Division is incorrect to the extent that it suggests that performance of a differential diagnosis establishes that a plaintiff has been exposed to enough of an agent to prove specific causation. This is not what we meant when we stated that “precise quantification” of exposure was not necessary, and there exist alternative “potentially acceptable ways to demonstrate [specific] causation” (*Parker*, 7 NY3d at 448, 449). In any event, this record does not supply a proper foundation for Dr. Johanning’s differential diagnosis.

As Dr. Phillips attested, many of the medical conditions that Cornell attributes to her mold exposure (e.g., asthmatic symptoms) are common in the general population; additionally, many of her symptoms may be ascribed to non-mold-related diseases. Yet, Dr. Johanning does not explain what other possible causes he ruled out or in, much less why he did so. He states that he performed a panoply of diagnostic tests, but does not give any results. Dr. Phillips, upon review of Cornell’s medical records, stated that physical findings and laboratory data did not substantiate mold-related illness; for example, Cornell tested negative for mold allergies, but positive for other inhalation allergies. Dr. Johanning does not dispute this, or explain how any of the diagnostic findings are consistent with his differential diagnosis. Instead, he broadly states his conclusion that Cornell’s medical problems are mold-induced, based on differential diagnosis.

Finally, we underscore (as did the Appellate Division in *Fraser*) that a *Frye* ruling on lack of general causation hinges on the scientific literature in the record before the trial court in the particular case. Here, that record was complete more than six

years ago. Meanwhile, scientific understanding, unlike a trial record, is not by its nature static; the scientific consensus prevailing at the time of the *Frye* hearing in a particular case may or may not endure. As a result, this case does not (and indeed cannot) stand for the proposition that a cause-and-effect relationship does not exist between exposure to indoor dampness and mold and the kinds of injuries that Cornell alleged. Rather, Cornell simply did not demonstrate such a relationship on this record.

Accordingly, the order of the Appellate Division should be reversed, with costs; defendant 360 West 51st Street Corporation's motion for summary judgment dismissing the complaint against it granted; and the certified question answered in the negative.¹⁴

PIGOTT, J. (dissenting). I respectfully dissent because, in my view, questions of fact exist as to whether plaintiff's injuries were caused by her exposure to mold. In *Parker v Mobil Oil Corp.* (7 NY3d 434 [2006]), we held that "an opinion on causation should set forth a plaintiff's exposure to a toxin, that the toxin is capable of causing the particular illness (general causation) and that plaintiff was exposed to sufficient levels of the toxin to cause the illness (specific causation)" (*id.* at 448).

Plaintiff alleges that she was exposed to mold after construction work was performed in the basement of her apartment building. There is no dispute that mold is capable of causing some of plaintiff's alleged ailments. Defendant's own expert conceded that it is generally accepted that "molds can cause a wide spectrum of illnesses, including allergies, irritation, hypersensitivity pneumonitis, and direct infection." Although the majority takes issue with plaintiff's expert's reliance on studies that show only an *association* between a moldy environment and plaintiff's medical conditions, one study indicates that these associations are "consistent with a causal role" and another declares that "epidemiological studies support the link between a damp indoor environment and mold growth with upper airway irritant symptoms." Indeed, defendant's own expert utilizes the term "association" when discrediting plaintiff's claims: "If mold could cause her problems, then there should be valid epidemiologic studies documenting an association between mold and the signs and symptoms, which she experienced."

14. In light of our disposition of the case, we need not and do not reach the corporation's other arguments.

Plaintiff has proffered such studies. Further, although the standards promulgated by regulatory agencies on mold removal are not dispositive of the issue, they need not be ignored.

As it pertains to “specific causation,” plaintiff’s expert personally examined plaintiff and performed a differential diagnosis, a method the majority agrees is generally accepted in the scientific community (majority op at 784).

In short, our *Frye* standard was developed primarily to throw out “junk science” or “novel theories.” In this case, there is no dispute among the experts that there are causal links between exposure to mold and respiratory illness. The degree of that “association” and whether it is indicative of a “causal relationship” in this particular case, in my view, is a question of fact for the jury. Plaintiff should have her day in court to prove that mold from defendants’ premises caused her symptoms.

Judges GRAFFEO, SMITH and RIVERA concur with Judge READ; Judge PIGOTT dissents and votes to affirm in an opinion in which Chief Judge LIPPMAN concurs; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, defendant 360 West 51st Street Corp.’s motion for summary judgment dismissing the complaint against it granted, and certified question answered in the negative.

[10 NE3d 673, 987 NYS2d 293]

MATTHEW ISABELLA et al., Plaintiffs, v DORIS A. HALLOCK et al.,
Defendants and Third-Party Respondents. MICHAEL W.
KOUBEK, Third-Party Defendant-Appellant.

Argued February 18, 2014; decided March 27, 2014

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Whether a defendant may pursue a third-party contribution claim under New York Vehicle and Traffic Law § 388 against the owner of a vehicle, where the vehicle driver’s negligence was a substantial factor in causing the plaintiff’s injuries, but the driver is protected from suit by the exclusive remedy provisions of New York Workers’ Compensation Law § 29(6)?”

HEADNOTES

Motor Vehicles — Imputing Driver’s Negligence to Owner — Driver Protected from Suit by Workers’ Compensation Exclusive Remedy Provisions

1. A defendant in an action arising from an automobile accident may not pursue a third-party contribution claim under Vehicle and Traffic Law § 388 against a vehicle owner where the driver’s negligence was a cause of the plaintiff’s injuries, but the driver is insulated from a lawsuit under Workers’ Compensation Law § 29 (6). When read together, Workers’ Compensation Law §§ 11 and 29 (6) render workers’ compensation benefits the exclusive remedy of an injured employee, barring the employee from recovering against a negligent coemployee or employer. The statutes further preclude third parties from seeking contribution or indemnification from the coemployee or employer unless the employee sustained a grave injury. Vehicle and Traffic Law § 388, which renders a vehicle owner vicariously liable for injuries resulting from the negligent permissive use of a vehicle, was intended to ensure access by injured persons to a financially responsible party against whom to recover for injuries. In a case where the Workers’ Compensation Law provides the injured party with redress and the injured party is not seeking to hold the owner liable as a wrongdoer, the rule that derivative liability should not attach extends equally to third-party contribution claims. Here, plaintiff, while a passenger in a car driven by his coemployee en route from a business meeting, was injured when the car collided with defendants’ car. The car driven by the coemployee was owned by her husband, who had no employment relationship with any party. However, because the coemployee was statutorily immune from suit, there could be no liability imputed to her husband and no action or third-party

contribution claim could be sustained against him, notwithstanding that defendants would be jointly and severally liable for the total damages award after a jury found defendant driver only 10% at fault.

Motor Vehicles — Imputing Driver's Negligence to Owner — Driver Protected from Suit by Workers' Compensation Exclusive Remedy Provisions

2. *Clamp v Estate of Hales* (10 Misc 3d 988 [Sup Ct, Greene County 2005]), which erroneously relied on language in *Raquet v Braun* (90 NY2d 177 [1997]) to hold that a third-party contribution claim could proceed under Vehicle and Traffic Law § 388 against a vehicle owner whose liability was purely vicarious where the vehicle's driver was immune from suit under the Workers' Compensation Law, should not be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 629, 640, 660, 661; AM JUR 2d, Workers' Compensation §§ 86, 442, 443.

McKINNEY'S, Vehicle and Traffic Law § 388; Workers' Compensation Law §§ 11, 29 (6).

NY JUR 2d, Automobiles and Other Vehicles §§ 1016, 1176, 1197; NY JUR 2d, Workers' Compensation §§ 84, 86, 146–148, 150.

PROSSER AND KEETON, TORTS (5th ed) §§ 73, 80.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Workers' Compensation.

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POINTS OF COUNSEL

Bond, Schoeneck & King, PLLC, Albany (*Arthur J. Siegel* of counsel), for third-party appellant. I. Under the Workers' Compensation Law, Matthew Isabella's exclusive remedy against his coemployee Roberta Oldenborg cannot be enhanced by recovery under Vehicle and Traffic Law § 388 against vehicle owner Michael W. Koubek. (*Hassan v Montuori*, 99 NY2d 348; *Morris v Snappy Car Rental*, 84 NY2d 21; *Hanover Ins. Co. v Connor*, 232 AD2d 925; *Rauch v Jones*, 4 NY2d 592; *Clamp v Estate of Hales*, 10 Misc 3d 988; *Naso v Lafata*, 4 NY2d 585; *Reich v Manhattan Boiler & Equip. Corp.*, 91 NY2d 772; *Black*

v Consolidated Freightways Corp. of Del., 219 F Supp 2d 243; *Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152; *Kenny v Bacolo*, 61 NY2d 642.) II. The intent of Vehicle and Traffic Law § 388 is still served even if it is not applicable when workers' compensation benefits have been paid. (*Continental Auto Lease Corp. v Campbell*, 19 NY2d 350; *Rodriguez v Lodato Rental*, 267 AD2d 293; *Jaglall v Supreme Petroleum Co. of N.J.*, 185 AD2d 971; *Rose v Gelco Corp.*, 261 AD2d 381; *Sikora v Keillor*, 13 NY2d 610; *Naso v Lafata*, 4 NY2d 585; *Rauch v Jones*, 4 NY2d 592; *Mills v Gabriel*, 259 App Div 60, 284 NY 755; *Plaumbo v Ryan*, 213 App Div 517; *Psota v Long Is. R.R. Co.*, 246 NY 388.) III. The *Clamp v Estate of Hales* (10 Misc 3d 988 [Sup Ct, Greene County 2005]) case, exclusively relied upon by district court, was wrongly decided and mischaracterized the intent of the Workers' Compensation Law. (*Rauch v Jones*, 4 NY2d 592; *Naso v Lafata*, 4 NY2d 585; *Rose v Gelco Corp.*, 261 AD2d 381; *Musso v Hsing Wei Chien*, 73 AD3d 466; *Allen v Blum*, 232 AD2d 591; *Christiansen v Silver Lake Contr. Corp.*, 188 AD2d 507; *Kenny v Bacolo*, 61 NY2d 642; *Raquet v Braun*, 90 NY2d 177; *Nassau Roofing & Sheet Metal Co. v Facilities Dev. Corp.*, 71 NY2d 599; *Oceanic Steam Nav. Co. [Ltd.] v Compania Transatlantica Espanola*, 134 NY 461.) IV. The exclusive remedy provisions of the Workers' Compensation Law protecting Roberta Oldenborg preclude any derivative claims based upon her negligence.

Ahmuty, Demers & McManus, Albertson (Glenn A. Kaminska and Nicholas M. Cardascia of counsel), for third-party respondents. I. The Workers' Compensation Law does not prohibit a third-party action against the owner of a vehicle who was neither plaintiff's employer nor coemployee. (*Matter of Shutter v Philips Display Components Co.*, 90 NY2d 703; *Fleming v Graham*, 10 NY3d 296; *Matter of Orens v Novello*, 99 NY2d 180; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Harris v Commissioner of Internal Revenue*, 178 F2d 861.) II. The district court properly relied upon the rationale in the *Clamp v Estate of Hales* (10 Misc 3d 988 [Sup Ct, Greene County 2005]) case in denying Michael W. Koubek's motion to dismiss the third-party complaint. (*Raquet v Braun*, 90 NY2d 177; *Rauch v Jones*, 4 NY2d 592; *Naso v Lafata*, 4 NY2d 585; *Pennsylvania Gen. Ins. Co. v Austin Powder Co.*, 68 NY2d 465; *Rose v Gelco Corp.*, 261 AD2d 381; *Rodriguez v Lodato Rental*, 267 AD2d 293; *Szumowski v PV Holding Corp.*, 90 AD3d 415; *Allen v*

Blum, 232 AD2d 591; *Black v Consolidated Freightways Corp. of Del.*, 219 F Supp 2d 243; *Kenny v Bacolo*, 61 NY2d 642.)

OPINION OF THE COURT

GRAFFEO, J.

In this case arising from an automobile accident, the United States Court of Appeals for the Second Circuit asks us to determine the interplay between Workers' Compensation Law § 29 (6), which makes workers' compensation benefits the exclusive remedy of an employee injured by the negligence of a coemployee, and Vehicle and Traffic Law § 388, which renders a vehicle owner vicariously liable for injuries resulting from the negligent permissive use of a vehicle.

In November 2007, Roberta Oldenborg was driving her coemployee, plaintiff Matthew Isabella, back from a business meeting in an automobile owned by her husband, third-party defendant Michael Koubek. She collided with a vehicle driven by defendant/third-party plaintiff Doris Hallock and owned by her husband Peter (the Hallocks). Isabella sustained injuries in the accident but was precluded by section 29 (6) of the Workers' Compensation Law from bringing an action against Oldenborg since she was his coworker. Instead, Isabella received workers' compensation benefits secured by his and Oldenborg's mutual employer.

Isabella and his wife, suing derivatively, later commenced this personal injury action against the Hallocks in federal court based on diversity of citizenship. Isabella alleged that he sustained a serious injury within the meaning of the No-Fault Law and that Doris Hallock's negligent operation of her vehicle caused his injuries. The Hallocks responded by filing a third-party complaint against Koubek seeking contribution and indemnification, asserting that the accident resulted from Oldenborg's negligence and that Koubek—as the vehicle owner—was vicariously responsible under Vehicle and Traffic Law § 388. Koubek moved for summary judgment dismissing the third-party complaint, contending that his wife's statutory immunity stemming from the Workers' Compensation Law shielded him from the Hallocks' vicarious liability claim.

The United States District Court for the Northern District of New York denied Koubek's motion, allowing the third-party claim to proceed. Thereafter, the parties entered into a settlement agreement under which Isabella would receive \$800,000, plus interest, with a jury to apportion liability between the

Hallocks and Koubek. The parties further agreed that, should the Second Circuit reverse and grant Koubek summary judgment on appeal, the Hallocks would be responsible for the entire \$800,000 award. A jury found the Hallocks 10% liable and Koubek 90% liable (based on the negligence of his wife). Koubek appealed.

[1] Recognizing that it was presented with a novel issue of state statutory law, the Second Circuit has certified the following question to us:

“Whether a defendant may pursue a third-party contribution claim under New York Vehicle and Traffic Law § 388 against the owner of a vehicle, where the vehicle driver’s negligence was a substantial factor in causing the plaintiff’s injuries, but the driver is protected from suit by the exclusive remedy provisions of New York Workers’ Compensation Law § 29(6)?” (733 F3d 384, 392 [2d Cir 2013]).

We answer this question in the negative—a defendant in the Hallocks’ position may not pursue a third-party contribution claim against the vehicle owner.

Because this case involves the intersection of the workers’ compensation statutory scheme and Vehicle and Traffic Law § 388, analysis begins with a review of the relevant provisions. Section 29 (6) of the Workers’ Compensation Law provides in pertinent part as follows:

“The right to compensation or benefits under this chapter, shall be the exclusive remedy to an employee . . . when such employee is injured or killed by the negligence or wrong of another in the same employ The limitation of liability of an employer set forth in section eleven of this article for the injury or death of an employee shall be applicable to another in the same employ.”

Section 11 of the Workers’ Compensation Law, which is expressly incorporated into section 29 (6), further states:

“The liability of an employer prescribed by [section 10] shall be exclusive and in place of any other liability whatsoever, to such employee . . . or any person otherwise entitled to recover damages, contribution or indemnity, at common law or otherwise, on account of such injury or death or liability arising therefrom

“An employer shall not be liable for contribution or indemnity to any third person based upon liability for injuries sustained by an employee acting within the scope of his or her employment for such employer unless such third person proves through competent medical evidence that such employee has sustained a ‘grave injury.’ ”¹

Read together, these statutes render workers’ compensation benefits the exclusive remedy of an injured employee, thereby barring the employee from recovering against a negligent coemployee or employer.² These statutes further preclude third parties from seeking contribution or indemnification from the coemployee or employer unless the employee sustained a qualifying grave injury as defined by the statute.³

Finally, section 388 (1) of the Vehicle and Traffic Law provides in relevant part:

“Every owner of a vehicle used or operated in this state shall be liable and responsible for death or injuries to person or property resulting from negligence in the use or operation of such vehicle, in the business of such owner or otherwise, by any person using or operating the same with the permission, express or implied, of such owner.”

Koubek argues that the certified question should be answered in the negative. Observing that the Hallocks’ third-party complaint is predicated on any claim Isabella would have against Oldenburg, which is concededly prohibited by the Workers’ Compensation Law, Koubek contends that the deliberate prescriptions set forth in the Workers’ Compensation Law would be upset if he was to be held vicariously liable for the negligence of the immunized driver. He also asserts that allowing the Hallocks to recover from him would not further the purpose of Vehicle and Traffic Law § 388, which was designed to allow injured persons to receive compensation from a financially responsible

1. The language in section 11 barring third-party claims against the employer absent a “grave injury” was added by the Omnibus Workers’ Compensation Reform Act of 1996 (L 1996, ch 635, § 2).

2. Of course, “the workers’ compensation remedy is generally not exclusive if the employee is injured by a third person” (*Fung v Japan Airlines Co., Ltd.*, 9 NY3d 351, 357 [2007]). Hence, Isabella was authorized to bring a negligence action against the Hallocks.

3. There is no allegation that Isabella sustained a grave injury within the meaning of Workers’ Compensation Law § 11.

party. In essence, he claims that the exclusivity provisions of the Workers' Compensation Law trump Vehicle and Traffic Law § 388 under the circumstances of this case. The Hallocks respond that nothing in the Workers' Compensation Law bars their third-party contribution claim, particularly where Koubek had no employment relationship with any of the parties in this case. They submit that it would be unfair to hold them 100% responsible for the agreed-upon \$800,000 recovery since the jury found them to be only 10% liable for the accident.

We previously addressed the friction between Workers' Compensation Law § 29 (6) and Vehicle and Traffic Law § 388 in a pair of 1958 cases that, contrary to the Hallocks' suggestion, remain applicable law. In *Rauch v Jones* (4 NY2d 592 [1958]), a passenger in a vehicle driven by his coemployee in the course of employment sustained injuries in a car accident. The passenger could not sue the coemployee driver under the bar set forth in Workers' Compensation Law § 29 (6), but nevertheless sought to bring an action against the vehicle owner pursuant to former Vehicle and Traffic Law § 59⁴ to recover for the negligence of the driver, emphasizing that the owner was not an employer or fellow employee and, therefore, fell outside the exclusivity provision of the Workers' Compensation Law. After reviewing the relevant statutes, we rejected the passenger's argument. Examining the Vehicle and Traffic Law first, we observed that the vicarious liability provision was intended to create a remedy where no right to relief existed and determined that, because the Workers' Compensation Law already provided the passenger with redress, derivative liability should not attach. In holding section 59 of the former Vehicle and Traffic Law inapplicable, we also highlighted that the passenger was not seeking to hold the owner liable as a "wrongdoer" (*id.* at 596). Turning to the Workers' Compensation Law, we concluded that section 29 (6) "clear[ed] all doubts away" because that provision evinced an "unmistakable intention" to make workers' compensation benefits the passenger's sole remedy. We explained that "[t]he statute, having deprived the injured employee of a right to maintain an action against a negligent coemployee, bars a derivative action which necessarily is dependent upon the same claim of negligence for which the exclusive remedy has been provided" (*id.*).

4. Former Vehicle and Traffic Law § 59 was the predecessor to Vehicle and Traffic Law § 388 and contained the same operative language.

We reached the same conclusion in *Naso v Lafata* (4 NY2d 585 [1958]), where we held that section 29 (6) of the Workers' Compensation Law prevented an injured passenger from suing the vehicle owner under the Vehicle and Traffic Law where, at the time of the accident, the automobile was operated by a co-employee of the passenger during the course of their employment. In dismissing the vicarious liability claim, we relied on *Rauch* and further reasoned that, were we to allow the injured passenger to recover from the vehicle owner under the Vehicle and Traffic Law, it would be unfair not to permit the owner to obtain recoupment from the tortfeasor driver, yet allowing such a claim would thwart the purpose of section 29 (6)'s exclusivity provision and ultimately pin liability on the immunized driver (*see id.* at 590-591).

As the Hallocks point out, *Rauch* and *Naso* are not directly on point because they involved actions brought by injured employees against vehicle owners, not third-party contribution claims. But we extended the reach of *Rauch* and *Naso* to third-party claims in an analogous context in *Kenny v Bacolo* (61 NY2d 642 [1983]). There, the plaintiff sustained injuries in an automobile accident and sued the defendant, the driver of a separate vehicle who was partially responsible for the injuries. The defendant, in turn, brought third-party contribution claims against the driver of the vehicle in which plaintiff was a passenger (who was also a coemployee of the plaintiff) as well as the vehicle owner. We dismissed the third-party claim against the driver, reasoning that he was immune from liability under the Federal Longshoremen's and Harbor Workers' Compensation Act. Significantly, we further dismissed the third-party contribution claim seeking to hold the vehicle owner vicariously liable for the driver's negligence. Citing *Rauch* and *Naso*, we held that because the driver "[wa]s statutorily immune from suit, there can be no liability imputed to [the owner] and no action can be sustained against it" (*id.* at 645).

We do not perceive any meaningful distinction between *Kenny* and the case before us. The only difference is that *Kenny* involved the exclusivity provisions found in the Federal Longshoremen's and Harbor Workers' Compensation Act. But the relevant portions of the federal act are comparable to sections 11 and 29 (6) of the Workers' Compensation Law (*see* 33 USC §§ 905 [a] ["The liability of an employer prescribed in section 904 of this title shall be exclusive and in place of all other liability of such employer to the employee"]; 933 [i] ["The right

to compensation or benefits under this chapter shall be the exclusive remedy to an employee when he is injured . . . by the negligence or wrong of any other person or persons in the same employ'').⁵ Consequently, we find *Kenny* to be controlling in Koubek's favor.

[2] Nevertheless, the Hallocks ask us to adopt the rationale in *Clamp v Estate of Hales* (10 Misc 3d 988 [Sup Ct, Greene County 2005]), where, in circumstances analogous to those presented here, the court permitted a third-party contribution claim to proceed against the vehicle owner grounded in Vehicle and Traffic Law § 388. But the trial court in *Clamp* did not discuss or distinguish our decisions in *Rauch*, *Naso* or *Kenny*. Instead, the court relied on *Raquet v Braun* (90 NY2d 177 [1997]) for the proposition that "a defendant may seek contribution from a third party even if the injured plaintiff has no direct right of recovery against that party, either because of a procedural bar or because of a substantive legal rule" (*Clamp*, 10 Misc 3d at 991, quoting *Raquet*, 90 NY2d at 182). *Clamp*'s reliance on this language was misplaced, however, because the third-party defendants from whom contribution was sought in *Raquet* were themselves culpable wrongdoers. Here, in contrast, the vehicle owner's liability is purely vicarious under Vehicle and Traffic Law § 388. We therefore conclude that *Clamp* should not be followed.

The Hallocks also rely on our decision in *Tikhonova v Ford Motor Co.* (4 NY3d 621 [2005]), where we allowed a lawsuit by an injured passenger to proceed under Vehicle and Traffic Law § 388 against the vehicle owner even though the driver of the vehicle, a foreign diplomat, was immune from liability under the Federal Diplomatic Relations Act. As the Hallocks note, we rejected the owner's contention that a driver's immunity automatically bars a derivative action against an owner under the Vehicle and Traffic Law. But in allowing the section 388 action to proceed against the owner there, we expressly distinguished *Rauch* and *Naso*, observing that the Diplomatic Relations Act did not contain statutory language comparable to the exclusive remedy provisions in sections 11 and 29 (6) of the Workers' Compensation Law (or the federal compensation act at issue in *Kenny*). Because the present case, like *Rauch*, *Naso* and

5. The language quoted from these federal provisions was the same when we decided *Kenny* in 1983. The federal act is now referred to as the Longshore and Harbor Workers' Compensation Act.

Kenny, implicates exclusivity provisions absent in *Tikhonova*, that case does not compel an affirmative response to the certified question.

Lastly, the Hallocks present the sympathetic contention that it is unfair to saddle them with 100% of the \$800,000 liability to Isabella when the jury found that Doris was only 10% at fault. But Oldenborg, the person who was 90% responsible for the collision, is statutorily immune and her employer bore the financial responsibility of providing Isabella with workers' compensation coverage. Moreover, the Hallocks' appeal to equity presupposes that Vehicle and Traffic Law § 388 was designed to allow third-party contribution claims against vicariously liable vehicle owners. As we have repeatedly stated, however, section 388 was intended to "ensure access by *injured persons* to a financially responsible party against whom to recover for injuries" (*Hassan v Montuori*, 99 NY2d 348, 353 [2003] [internal quotation marks and brackets omitted and emphasis added], quoting *Morris v Snappy Car Rental*, 84 NY2d 21, 27 [1994]; cf. *Mowczan v Bacon*, 92 NY2d 281, 284 [1998]).⁶ At its root, the Hallocks' burden is a consequence of joint and several liability, which has long been a feature of New York law.⁷ It is perhaps debatable whether it would be any fairer to require a vehicle owner with no personal fault to pay 90% of the sum where that owner is unable to seek redress from the principal tortfeasor (and in some cases there may be no familial relationship) absent a grave injury.

In sum, we hold that a defendant may not pursue a third-party contribution claim under Vehicle and Traffic Law § 388 against a vehicle owner where the driver's negligence was a cause of the plaintiff's injuries, but the driver is insulated from a lawsuit under Workers' Compensation Law § 29 (6).

Accordingly, the certified question should be answered in the negative.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of this Court's

6. Isabella was the only person to seek recovery for injuries sustained in the accident and he is prohibited from bringing a Vehicle and Traffic Law § 388 claim against Koubek as the vehicle owner by our decisions in *Rauch* and *Naso*.

7. Joint and several liability arising out of motor vehicle accidents generally remains unaffected by CPLR article 16 (*see* CPLR 1602 [6]).

Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[11 NE3d 676, 988 NYS2d 527]

BIOTRONIK A.G., Appellant, v CONOR MEDSYSTEMS IRELAND, LTD.,
et al., Respondents.

Argued January 7, 2014; decided March 27, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 29, 2012. The Appellate Division (1) affirmed a judgment of the Supreme Court, New York County (Bernard J. Fried, J.), which had dismissed the complaint; and (2) dismissed the appeals from an order of that court (op 33 Misc 3d 1219[A], 2011 NY Slip Op 51980[U] [2011]) which had denied defendant's motion for summary judgment. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the Judgment and dismissed appeals from orders of the Supreme Court, properly made?"

Biotronik A.G. v Conor Medsystems Ireland, Ltd., 95 AD3d 724, reversed.

HEADNOTES

Contracts — Contractual Limitation of Liability — Exclusive Distribution Agreement — Lost Profits as General Damages

1. In a breach of contract action arising from the parties' agreement designating plaintiff as the exclusive distributor of defendant's drug-eluting coronary stent, the damages plaintiff sought for lost profits related to its resale of the stents were recoverable as general, rather than consequential, damages, and were outside the scope of the agreement's damages limitation provision. The limitations provision restricting the parties to general damages did not specifically preclude recovery for lost profits, nor did it explicitly define lost profits as consequential damages. General damages are the natural and probable consequence of the breach of a contract. Lost profits from the breach of a distribution contract constitute general damages where the nature of the agreement supports a conclusion that they flowed directly from the breach. Here, the agreement was not a simple resale contract, where one party buys a product at a set price to sell at whatever the market may bear. Rather, the price plaintiff paid defendant reflected the actual sales, and sales price, of the stents. As the essence of the contract was that plaintiff would resell defendant's stents, any lost profits resulting from a breach would be the natural and probable consequence of that breach. Moreover, there is no bright-line rule that lost resale profits can never be general damages simply because they involve a third-party transaction.

Contracts — Contractual Limitation of Liability — Exclusive Distribution Agreement — Lost Profits as General Damages

2. In a breach of contract action arising from the parties' agreement designating plaintiff as the exclusive distributor of defendant's drug-eluting

coronary stent, the damages plaintiff sought for lost profits related to its resale of the stents did not constitute consequential damages under UCC 2-715 (2) (a) for purposes of the damages limitation provision of the agreement restricting the parties to general damages. UCC 2-715 (2) (a) includes as consequential damages “any loss resulting from general or particular requirements and needs of which the seller at the time of contracting had reason to know and which could not reasonably be prevented by cover or otherwise.” Section 2-715 (2) rejects the “tacit agreement” test for recovery of consequential damages, and follows the common-law rule that the seller is liable for consequential damages of which the seller had “reason to know.” The Official Comment that “resale is one of the requirements of which the seller has reason to know” (UCC 2-715, Comment 6) does not resolve the issue presented here, where the parties’ agreement was not simply one between a seller and a buyer who is in the business of reselling. Rather, the parties negotiated a pricing formula and target volume based on the resale of the stents. The agreement reflected defendant’s anticipation and dependence on the resale, and, as such, the agreement reflected an arrangement significantly different from a situation where the buyer’s resale to a third party is independent of the underlying agreement.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Damages §§ 57, 508, 535, 539, 776; AM JUR 2d, Sales §§ 795, 832, 834, 902, 1002, 1008.

McKINNEY’S, UCC 2-715 (2) (a).

NY JUR 2d, Damages §§ 33, 104, 161, 176, 177; NY JUR 2d, Sales § 309.

WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE §§ 7:21, 7:24, 8:14, 8:27, 11:9–11:12.

ANNOTATION REFERENCE

See ALR Index under Dealers and Distributors; Liquidated Damages; Loss of Profits or Earnings.

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Query: lost /2 profit /s general /2 damage & distribution /3 agreement

POINTS OF COUNSEL

Proskauer Rose LLP, New York City (*Ronald S. Rauchberg* and *Anna G. Kaminska* of counsel), and *Vandenberg & Feliu LLP* (*Bertrand C. Sellier* of counsel) for appellant. I. The Appellate Division erred in concluding that Biotronik A.G. seeks consequential damages. (*Kerr S.S. Co. v Radio Corp.*, 245 NY 284; *Wood v Duff-Gordon*, 222 NY 88; *American List Corp. v U.S. News & World Report*, 75 NY2d 38; *Orester v Dayton*

Rubber Mfg. Co., 228 NY 134; *Compania Embotelladora Del Pacifico, S.A. v Pepsi Cola Co.*, 650 F Supp 2d 314; *Woods v MONY Legacy Life Ins. Co.*, 84 NY2d 280; *DP Serv., Inc. v AM Intl.*, 508 F Supp 162; *Appliance Giant, Inc. v Columbia 90 Assoc., LLC*, 8 AD3d 932.) II. Any doubt about whether Biotronik A.G.'s damages are direct or consequential would present a factual question for the jury. (*Long Is. Light. Co. v Transamerica Delaval, Inc.*, 646 F Supp 1442; *American Elec. Power Co., Inc. v Westinghouse Elec. Corp.*, 418 F Supp 435.) III. Biotronik A.G.'s damages are not limited to the time period through April 2008. (*Simon v Electrospace Corp.*, 28 NY2d 136; *Orange & Rockland Util. v New England Petroleum Corp.*, 60 AD2d 233.)

Kramer Levin Naftalis & Frankel LLP, New York City (Harold P. Weinberger, Kerri Ann Law and Jared I. Heller of counsel), for respondents. I. The order should be affirmed because Biotronik A.G.'s claim for lost profits is barred under the agreement. (*Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *American List Corp. v U.S. News & World Report*, 75 NY2d 38; *Tractebel Energy Mktg., Inc. v AEP Power Mktg., Inc.*, 487 F3d 89; *International Gateway Exch., LLC v Western Union Fin. Servs., Inc.*, 333 F Supp 2d 131; *Compania Embotelladora Del Pacifico, S.A. v Pepsi Cola Co.*, 650 F Supp 2d 314; *Kenford Co. v County of Erie*, 67 NY2d 257; *Appliance Giant, Inc. v Columbia 90 Assoc., LLC*, 8 AD3d 932; *Canusa Corp. v A & R Lobosco, Inc.*, 986 F Supp 723; *County Asphalt, Inc. v Lewis Welding & Eng'g Corp.*, 444 F2d 372.) II. Biotronik A.G. cannot recover its lost profits from after April 2008. (*V.S. Intl., S.A. v Boyden World Corp.*, 862 F Supp 1188; *Deutsch v Health Ins. Plan of Greater N.Y.*, 751 F2d 59; *Custen v Robison*, 180 App Div 384.) III. If the court determines that Biotronik A.G.'s lost profits are not barred under the agreement, this matter should be remitted to the Appellate Division for consideration of Conor Medsystems Ireland, Ltd.'s cross appeal. (*Matter of New York City Tr. Auth. v State of N.Y., Exec. Dept., Div. of Human Rights*, 89 NY2d 79; *Morgenthau v Citisource, Inc.*, 68 NY2d 211.)

OPINION OF THE COURT

RIVERA, J.

In this breach of contract action, plaintiff sought lost profits from an exclusive distribution agreement as general damages. We hold that lost profits were the direct and probable result of a

breach of the parties' agreement and thus constitute general damages.

I.

In May 2004, plaintiff Biotronik A.G., a manufacturer and distributor of medical devices, and defendant Conor Medsystems Ireland, Ltd., the developer and manufacturer of CoStar, a drug-eluting coronary stent, entered an agreement designating plaintiff as the exclusive distributor of CoStar for a worldwide market territory excluding the United States and certain other countries.¹ The geographic territory covered by the agreement included countries in which plaintiff had an existing direct sales business.² The agreement allowed defendant to take advantage of plaintiff's distribution business and sales force in order to penetrate the market.

Under the agreement, plaintiff served as defendant's "distributor . . . with respect to [CoStar] for sale to any purchasers for use (or for re-sale in the case of [plaintiff's] sub-distributors)" in the designated territory. The agreement required plaintiff "[t]o use commercially reasonable efforts to promote, market, and distribute [the stents]" in the territory. Plaintiff agreed to supply defendant with "all reasonably required support to comply with any local regulatory law and requirement" and to assist defendant with the registration of its trademarks. Thus, defendant relied on plaintiff's expertise in handling a wide range of regulatory matters in order to make sales of CoStar possible.

Nonetheless, defendant maintained direct involvement in the marketing and sale of CoStar. For example, the agreement required that plaintiff use only defendant's sales and technical literature, which had to display references to defendant and plaintiff in equal prominence. Plaintiff's translations of these materials were subject to defendant's final approval. Defendant would supply training support and sales samples, including free initial training, and would provide additional sales training, for a fee, as requested by plaintiff. Thus, defendant retained considerable influence over the quality and nature of CoStar's sales and marketing.

1. The agreement specified the territory as "Worldwide, except for Japan, United States, India, Pakistan, Australia, New Zealand, Kenya, Sri Lanka, Tanzania, and Korea."

2. The agreement specified Austria, Belgium, Brazil, China, Czech Republic, France, Germany, Hungary, Israel, Italy, Lithuania, Netherlands, Poland, Russia, Spain, Denmark, Switzerland, and United Kingdom as countries where plaintiff would conduct direct sales.

The agreement was not a simple resale contract, where one party buys a product at a set price to sell at whatever the market may bear. Rather, the price plaintiff paid defendant reflected the actual sales, and sales price, of CoStar stents. The agreement required plaintiff to pay defendant a transfer price calculated as a percentage of plaintiff's net sales of CoStar: 61% for direct sales and 75% for indirect sales.³ Each quarter, the parties would calculate a minimum price based on net sales during the preceding quarter. Plaintiff remained obligated to pay defendant the full transfer price for its sales, even when the actual sales price exceeded the minimum price. Thus, the contract would only operate if plaintiff sold stents, and the payment defendant received bore a direct relationship to the market price plaintiff could obtain.

The agreement further required plaintiff to provide defendant with a forecast, updated monthly, which predicted plaintiff's intended purchases for the upcoming 12-month period. The purpose of the forecast was to facilitate plaintiff's "marketing plans" and permit defendant and its suppliers "to meet their lead times" for CoStar. The agreement required plaintiff to make a minimum monthly order, but defendant could limit the maximum order to 130% of the most recently forecasted quantity. Thus, the agreement guaranteed defendant a set number of sales each month, but defendant could cap the number of orders it filled even when plaintiff was ready, willing, and able to sell more stents.

The agreement allowed defendant to terminate immediately in the event of a change of control of plaintiff "that has, or in the reasonable opinion of [defendant] could have, a material adverse effect on the distribution" of CoStar.

The agreement included a damages limitation provision restricting the parties to general damages:

"NEITHER PARTY SHALL BE LIABLE TO THE OTHER FOR ANY INDIRECT, SPECIAL, CONSEQUENTIAL, INCIDENTAL OR PUNITIVE DAMAGE WITH RESPECT TO ANY CLAIM ARISING OUT OF THIS AGREEMENT (INCLUDING WITHOUT LIMITATION ITS PERFORMANCE OR BREACH OF THIS AGREEMENT) FOR ANY REASON."

3. Indirect sales were sales made by affiliates.

The agreement was to be governed by New York law. Its term was through December 31, 2007, and it provided for an automatic one year renewal, absent a timely termination notice from either party.

When the parties entered the agreement, defendant had not received regulatory approval for CoStar from either the European authorities or the United States Food and Drug Administration (FDA). However, the agreement anticipated that CoStar would pass regulatory hurdles following ongoing tests in certain European countries. In February 2006, after defendant obtained European regulatory approval, plaintiff began distributing CoStar.

In February 2007, Johnson & Johnson acquired defendant. At the time of the acquisition, Johnson & Johnson marketed another drug-eluting stent, known as Cypher, which was directly competitive with CoStar. Also at this time, defendant was engaged in a drug trial to secure FDA approval to distribute CoStar in the United States. According to plaintiff, defendant used a substantially different product during this trial than it had in its European trials.

In May 2007, defendant announced that the FDA trials could not establish that CoStar was equivalent to Taxus, a widely marketed stent manufactured by Boston Scientific. Based on these results, defendant terminated its FDA application and notified plaintiff that it was recalling CoStar and removing it from the worldwide market. Defendant paid plaintiff 8,320,000 Euros and a 20% handling fee to satisfy its recall obligations under the agreement.

II.

In November 2007, plaintiff sued defendant for breach of contract and sought damages for lost profits related to its resale of the stents. Plaintiff argued that its claim for lost profits on the resale of CoStar constituted general damages, falling outside the scope of the agreement's limitation on recovery.

Defendant moved for summary judgment on both liability and damages. Supreme Court denied summary judgment on the question of liability, concluding that disputed issues of fact remained as to whether defendant breached the agreement (*Biotronik, A.G. v Conor Medsystems Ireland, Ltd.*, 33 Misc 3d 1219[A], 2011 NY Slip Op 51980[U] [2011]). However, Supreme Court also concluded that the lost profits sought by plaintiff

were consequential damages and subject to the agreement's damages limitation provision, leaving plaintiff with claims for only nominal and other damages. By denying plaintiff lost profits as a remedy, Supreme Court effectively ended the lawsuit, and the court entered a judgment dismissing the complaint.

Plaintiff appealed to the Appellate Division, which affirmed the judgment, concluding that plaintiff's claim for lost profits was barred by the agreement's limitation on consequential damages (*Biotronik A.G. v Conor Medsystems Ireland, Ltd.*, 95 AD3d 724, 725 [1st Dept 2012]). The Appellate Division granted plaintiff leave to appeal to this Court and certified a question asking whether its order was "properly made" (2012 NY Slip Op 85229[U] [2012]).

[1] We agree with plaintiff that damages must be evaluated within the context of the agreement, and that, under the parties' exclusive distribution agreement, the lost profits constitute general, not consequential, damages.

III.

Based on the damages limitation provision of the agreement, plaintiff may only recover lost profits if they are general damages.⁴ The limitations provision does not specifically preclude recovery for lost profits, nor does it explicitly define lost profits as consequential damages. We thus turn to our precedent for guiding principles to assist in determining whether, under this agreement, plaintiff's lost profits are general damages and therefore recoverable.

General damages "are the natural and probable consequence of the breach" of a contract (*American List Corp. v U.S. News & World Report*, 75 NY2d 38, 43 [1989]; *Kenford Co. v County of Erie*, 73 NY2d 312, 319 [1989]). They include "money that the breaching party agreed to pay under the contract" (*Tractebel Energy Mktg., Inc. v AEP Power Mktg., Inc.*, 487 F3d 89, 109 [2d Cir 2007], citing *American List Corp.*, 75 NY2d at 44). By contrast, consequential, or special, damages do not "directly flow from the breach" (*American List Corp.*, 75 NY2d at 43).

"The distinction between general and special contract damages is well defined but its application to specific contracts and

4. Contract provisions limiting remedies are enforceable unless they are unconscionable (*Wilson Trading Corp. v David Ferguson, Ltd.*, 23 NY2d 398, 403 [1968]). In this case, plaintiff does not argue that the limitation is unconscionable.

controversies is usually more elusive” (*id.*). Lost profits may be either general or consequential damages, depending on whether the non-breaching party bargained for such profits and they are “the direct and immediate fruits of the contract” (*see Tractebel*, 487 F3d at 109 n 20, citing *Masterton & Smith v Mayor of Brooklyn*, 7 Hill 61, 68-69 [1845]). Otherwise, where the damages reflect a “loss of profits on collateral business arrangements,” they are only recoverable when “(1) it is demonstrated with certainty that the damages have been caused by the breach, (2) the extent of the loss is capable of proof with reasonable certainty, and (3) it is established that the damages were fairly within the contemplation of the parties” (*Tractebel*, 487 F3d at 109, citing *Kenford Co. v County of Erie*, 67 NY2d 257, 261 [1986]).

Lost profits from the breach of a distribution contract are subject to these principles, and we have recognized such profits as general damages where the nature of the agreement supported a conclusion that they flowed directly from the breach. In *Orester v Dayton Rubber Mfg. Co.* (228 NY 134 [1920]), a case involving a distribution agreement where the issue was the proper measure of damages, we treated lost profits as general damages for breach of an exclusive distribution agreement. In *Orester*, the manufacturer of a particular brand of tires sought to penetrate the market in Onondaga and neighboring counties through an exclusive distribution agreement with the plaintiff. Under the agreement, the manufacturer sold and supplied its tires to plaintiff at a reduced price, and plaintiff agreed to “aggressively push” the sale of the tires within an exclusive territory. After plaintiff sold 200 tires under the contract, defendant refused to provide more tires, and plaintiff sued for lost profits. We stated that the buyer’s damages were limited to “only those that would naturally arise from the breach itself, or those that might reasonably be supposed to have been contemplated by the parties when the contract was made.” (*Orester*, 228 NY at 137). We held that those damages included net profits from the sale of the tires (*id.* at 138-139). We observed that the contract “contemplated building up a business for the sale of the [seller’s tires] and creating a demand for that particular tire” (*id.* at 138). We concluded that the plaintiff’s resale profits were not the result of “collateral engagements or consequential damages” (*id.*). Instead, the profits “if reasonably certain, may be said to measure the value of the contract to the plaintiff” (*id.* at 138-139). Lost profits were, accordingly, the natural and probable consequence of defendant’s breach.

In *American List Corp. v U.S. News & World Report* (75 NY2d 38 [1989]), we concluded that lost profits denied plaintiff were the natural and probable consequence of defendant's breach (*id.* at 43-44). The case involved a contract that obligated the defendant to a 10-year rental of mailing lists compiled by the plaintiff. At the time of the agreement, defendant sought to expand its readership to the college student market. Plaintiff did not yet have mailing lists of college students, and defendant agreed to finance start-up costs through higher fees for the first five years. Attached to the agreement was a schedule of the plaintiff's estimated annual losses and profits. Further, the agreement required an annual review of the estimated figures in order to "adjust[] the cost per name to be charged to defendant" (*id.* at 41). Plaintiff provided, and the buyer purchased, names sufficient to conduct three mailings during a 1½-year period. A year after the parties signed the contract, defendant was purchased by a new owner, who canceled the contract.

We concluded that plaintiff could recover as general damages "moneys which defendant undertook to pay under the contract" (*id.* at 43). The schedule of plaintiff's estimated losses and profits "reflected the cost of this joint venture to defendant" (*id.* [internal quotation marks omitted]). Accordingly, the lost profits were the natural and probable consequence of defendant's breach (*id.* at 43-44).

Defendant relies on *Compania Embotelladora Del Pacifico, S.A. v Pepsi Cola Co.* (650 F Supp 2d 314 [SD NY 2009]) for its argument that plaintiff cannot recover lost profits as general damages. However, *Compania*, like *Orester* and *American List*, took a careful look at the underlying agreement to determine whether lost profits were general damages. In *Compania*, the parties entered an exclusive bottler agreement under which the defendant authorized the plaintiff to bottle, sell and distribute Pepsi Cola to a designated area in Peru. Over the course of several years, the parties complied with the agreement until, eventually, the defendant failed to prevent a competitor from selling Pepsi in plaintiff's exclusive distribution area. The District Court for the Southern District of New York concluded that plaintiff could not recover its lost profits. The court stated that lost profits are consequential damages "when, as a result of the breach, the non-breaching party suffers loss [of] profits on collateral business relationships" (*id.* at 322, quoting *Tractebel*, 487 F3d at 109). The plaintiff sought "lost profits from lost sales to third-parties that are not governed" by the agreement,

which the court concluded were consequential damages (*id.*). Had plaintiff sought lost profits “caused by the breach,” or under “an existing resale contract,” or under an “exclusive distributorship agreement,” the damages would have been general, not consequential (*id.*). Instead, plaintiff sought only lost profits that were the result of collateral business arrangements, which it could not collect as general damages.

The distinction at the heart of these cases is whether the lost profits flowed directly from the contract itself or were, instead, the result of a separate agreement with a nonparty (see *e.g. Appliance Giant, Inc. v Columbia 90 Assoc., LLC*, 8 AD3d 932 [3d Dept 2004] [Supreme Court erred when it included loss from subsidiary rental contracts as general damages in a breach of a lease agreement]; *In re CCT Communications, Inc.*, 464 BR 97 [SD NY 2011] [classifying as consequential damages lost profits earned through third-party contracts for telecommunications services]; *International Gateway Exch., LLC v Western Union Fin. Servs., Inc.*, 333 F Supp 2d 131 [SD NY 2004] [lost profits on a third-party distribution contract were consequential damages]). This distinction does not mean that lost resale profits can never be general damages simply because they involve a third-party transaction. Such a bright-line rule violates the case-specific approach we have used to distinguish general damages from consequential damages (*American List Corp.*, 75 NY2d at 42-43; *Kenford Co.*, 73 NY2d at 319; *Orester*, 228 NY 138-139).⁵ The present case illustrates the wisdom of our traditional approach.

Here, the agreement used plaintiff’s resale price as a benchmark for the transfer price. The contract clearly contemplated that plaintiff would resell defendant’s stents. That was the very essence of the contract. Any lost profits resulting from a breach would be the “natural and probable consequence” of that breach (*Tractebel*, 487 F3d at 108; *American List Corp.*, 75 NY2d at 44).

Although the lost profits sought by plaintiff are not specifically identified in the agreement, it cannot be said that defend-

5. The dissent would rely on this bright-line rule and consign the “natural and probable consequence” test to the dustbin of legal history (dissenting op at 819-821). As the dissent must acknowledge, however, the law continues to recognize the “natural and probable consequence” to be the measure of general damages (see *id.* at 811-812). Such a test requires a court to look at the contract in its entirety to determine the probable consequences that will befall a non-breaching party, not simply to turn to a schedule of payments and conclude that the inquiry is at an end.

ant did not agree to pay them under the contract, as these profits flow directly from the pricing formula. The purpose of the agreement was to resell. Indeed, defendant, like the defendant in *Orester*, sought to enter a market unavailable to it by capitalizing on plaintiff's distribution network. The fact is that both defendant and plaintiff depended on the product's resale for their respective payments.

The dissent argues that plaintiff's lost profits were not a natural and probable consequence of the breach, in part, because the contract did not require any payments from defendant to plaintiff (*see* dissenting op at 816). This argument places form over substance and is not compatible with *Tractebel* and *American List*. Whether lost profits are the natural and probable result of a breach does not turn on which party actually takes out the checkbook at the end of the fiscal quarter. Instead, we look at the nature of the agreement.

[2] Defendant argues, alternatively, that plaintiff's claim for lost profits must fail under UCC 2-715 (2) (a), which includes as consequential damages "any loss resulting from general or particular requirements and needs of which the seller at the time of contracting had reason to know and which could not reasonably be prevented by cover or otherwise." Defendant's reliance on UCC 2-715 (2) (a) is misplaced. As the Official Comment makes clear, section 2-715 (2) rejects the "tacit agreement" test for recovery of consequential damages, and follows the common-law rule that the seller is liable for consequential damages of which the seller had "reason to know." (UCC 2-715, Comment 2.) The Official Comment that "resale is one of the requirements of which the seller has reason to know" does not resolve the issue presented in this case (UCC 2-715, Comment 6).⁶

Here, the parties' agreement was not simply one between a seller and a buyer who is in the business of reselling. The agree-

6. Indeed, other jurisdictions have found that the UCC does not establish a categorical rule for classifying lost profits as consequential or general damages (*see e.g. ViaStar Energy, LLC v Motorola, Inc.*, 2006 WL 3075864, 2006 US Dist LEXIS 78331 [SD Ind, Oct. 26, 2006, No. 1:05-cv-1095-DFH-WTL]; *Callisto Corp. v Inter-State Studio & Pub. Co.*, 2006 WL 1240711, 2006 US Dist LEXIS 31004 [D Mass, May 4, 2006, No. 05-11953-GAO]; *Biovail Pharms., Inc. v Eli Lilly & Co.*, 2003 WL 25901513, 2003 US Dist LEXIS 27916 [ED NC, Feb. 28, 2003, No. 5:01 CV-352-BO(3)]; *Moore v Boating Indus. Assns.*, 754 F2d 698 [7th Cir 1985]; *DP Serv., Inc. v AM Intl.*, 508 F Supp 162, 167 [ND Ill 1981]). These cases reflect the notion that "section 2-715 (2) is not an exhaustive specification of the necessary and sufficient conditions for application of the concept of consequential damages" (1 James J. White et al., Uniform Commercial Code § 11:7 at 987 [Practitioner's 6th ed 2010]).

ment was much closer to the “joint venture” identified in *American List Corp.* (75 NY2d at 43). The parties negotiated a pricing formula and target volume based on the resale of CoStar. The agreement reflects defendant’s anticipation and dependence on the resale, and, as such, the agreement reflects an arrangement significantly different from a situation where the buyer’s resale to a third party is independent of the underlying agreement.⁷

Accordingly, the order of the Appellate Division should be reversed with costs, the case remitted to the Appellate Division for further proceedings in accordance with this opinion, and the certified question not answered as unnecessary.

READ, J. (dissenting). In May 2004, defendant-manufacturer Conor Medsystems Ireland, Ltd. et al. (Conor) and plaintiff-distributor Biotronik A.G. (Biotronik) entered into a contract (the Agreement), governed by New York law, whereby Biotronik was given the exclusive right to distribute CoStar, Conor’s drug-eluting coronary stent (the stent), worldwide with the exception of the United States and nine other countries. The Agreement provided that it would expire on December 31, 2007, but that its term would automatically renew for an additional year unless one party notified the other party otherwise before July 1, 2007. The Agreement also gave Biotronik a non-exclusive four-month period after expiration to sell off inventory. In the spring of 2007, Conor received disappointing results from a clinical drug trial designed to compare the stent’s performance with that of another coronary stent eluting the same drug. As a result, in May 2007, Conor, which had been acquired by Johnson & Johnson earlier in the year, recalled the stent and discontinued its manufacture and sale. Under the Agreement’s provisions governing Conor’s financial obligations to Biotronik in the event of a recall, Conor paid Biotronik 8,320,000 Euros, plus a 20% handling charge. This sum reimbursed Biotronik what it

7. The dissent disregards the relationship between the resale price and the transfer price, focusing instead on the fact that plaintiff would have to pay a minimum price each quarter in a hypothetical situation where it sold no product (see dissenting op at 814, 816). As the contract provided, however, the parties negotiated the minimum transfer price each quarter, presumably based on sales in the foregoing quarter, to serve as a benchmark price. Hypothetical disaster scenarios aside, the minimum transfer price, like other prices in the contract, responded to the market realities of the parties’ quasi-joint venture, including prices in the resale market. In other words, “[w]hatever profit [plaintiff] might make was contingent on the selling prices it negotiated with its customers” (*id.*), but so too was defendant’s profit.

had paid Conor to purchase the stents remaining in Biotronik's or its customers'¹ inventories, and covered Biotronik's costs associated with the recall. Additionally, Conor gave timely notice that it did not desire to extend the Agreement's term beyond its expiration date, December 31, 2007.

In November 2007, though, Biotronik sued Conor, asserting that the decision to recall the stent and withdraw it from the market breached the Agreement. Biotronik claimed that as a result of Conor's breach, it suffered damages exceeding \$100 million (later scaled back by a damages expert to \$85 million), consisting solely of profits allegedly lost as a result of Biotronik's inability to sell the stent to its customers through April 2009, i.e., the end of the Agreement's initial term plus the extended term and the four-month sell-off period.

The Agreement includes a limitation-of-liability provision, applicable to both parties, which precludes liability for consequential damages for any claimed breaches. The question on this appeal, then, is whether the lost profits from sales to third parties sought by Biotronik are consequential or general damages.

American List Corp. v U.S. News & World Report (75 NY2d 38, 42-43 [1989]) is our principal case addressing the dividing line separating lost profits that are general or direct damages, "which are the natural and probable consequence of the breach," from those that are consequential, which are "extraordinary in that they do not so directly flow from the breach."² U.S. News & World Report (U.S. News) cancelled its 10-year agreement with American List Corporation (American List) after a year and nine months, and American List sought to recover its lost profits for the remainder of the contract's agreed-upon 10-year period. There was an exhibit appended to and incorporated in the parties' agreement, and this exhibit set out the specific sums that U.S. News committed to pay American List for each of the 10 years. Under these circumstances—where

1. Biotronik's customers consisted of both end users (direct sales) and sub-distributors (indirect sales).

2. When not precluded by a limitation-of-liability clause, lost profits are recoverable as consequential damages "upon a showing that they were foreseeable and within the contemplation of the parties at the time the contract was made" (*American List*, 75 NY2d at 43, citing *Kenford Co. v County of Erie*, 67 NY2d 257, 261-263 [1986] [claimed future profits from the operation of a domed sports stadium were not recoverable as consequential damages because the plaintiff could not show that such damages were caused by the breach, capable of proof with reasonable certainty and within the parties' contemplation when the contract was made]).

American List “sought only to recover moneys which [U.S. News] undertook to pay under the contract”—we held that future profits (the present value of the balance owed American List by U.S. News, less costs reasonably saved by American List on account of the breach), were general rather than consequential damages because they “flow[ed] as a natural and probable consequence of the breach” (*id.* at 43, 44).

In *Tractebel Energy Mktg., Inc. v AEP Power Mktg., Inc.* (487 F3d 89, 109 [2d Cir 2007]), where the contract was governed by New York law, the United States Court of Appeals for the Second Circuit neatly summed up our holding in *American List* as follows: “[W]hen the non-breaching party seeks only to recover money that the breaching party agreed to pay under the contract, the damages sought are general damages” (*id.* at 109). In such a situation, the lost profits are the appropriate measure of damages because the non-breaching party bargained for specified payments under the contract, and its profits are the difference between those payments and the cost of its own performance (*see id.*). Thus, had the contract been performed, the non-breaching party would have realized these profits as a direct consequence of the contract (*see id.* at 109-110).

The Second Circuit then set out the corollary proposition, explaining that lost profits

“are consequential damages when, as a result of the breach, the non-breaching party suffers loss of profits on collateral business arrangements. In the typical case, the ability of the non-breaching party to operate his business, and thereby generate profits on collateral transactions, is contingent on the performance of the primary contract” (*id.* at 109 [emphasis added]).³

In *Tractebel* itself, AEP Power Marketing (AEP), the operator of a cogeneration facility, entered into a contract with Tractebel Energy Marketing, Inc. (TEMI) pursuant to which AEP

3. The Court in a footnote cited the 19th-century New York case of *Masterton & Smith v Mayor of Brooklyn* (7 Hill 61 [NY Sup Ct 1845]) for the proposition that New York “long ago clarified the distinction between profits as general or consequential damages” (*Tractebel*, 487 F3d at 109 n 20). *Masterton*, like the Second Circuit, draws a distinction between lost profits that “have reference to dependant and collateral engagements entered into on the faith and in expectation of the performance of the principal contract,” which are consequential damages (*Masterton*, 7 Hill at 68), and those “which are the direct and immediate fruits of the contract entered into between the parties,” which are general damages (*id.* at 69).

promised to supply energy to TEMI for a 20-year period and TEMI agreed to take a minimum level of energy at the prices stipulated in the parties' agreement. The contract provided for a Termination Payment whereby, in the event of either party's default, the non-defaulting party was entitled to any net loss incurred as a result of the other party's early termination of the contract. When the energy market collapsed, Tractebel repudiated its obligations under the contract and AEP sued for, among other things, the amount of the Termination Payment. The district court characterized these damages as "'essentially a request for lost profits projected over the 20 year length of the contract'" (*id.* at 108), and therefore considered them to be consequential damages.

Applying our ruling in *American List*, the Second Circuit remarked that the district court, in calling AEP's claim "one for consequential damages, [had] confused the benefit of the bargain with speculative profits on collateral transactions" (*id.* at 110). Instead, "AEP [sought] only what it bargained for—the amount it would have profited on the payments TEMI promised to make for the remaining years of the contract," which was "most certainly a claim for general damages" (*id.*).

Thus, under *American List* and *Tractebel*, profits a non-breaching party loses on third-party transactions are consequential rather than general damages even though "the ability of the non-breaching party to . . . generate profits on [these] collateral transactions, is contingent on the performance of the primary contract" (*Tractebel*, 487 F3d at 109). While not directly disavowing this general principle, the majority holds that because of the Agreement's method for determining the stent's purchase price, Biotronik's lost profits on prospective resales were moneys that Conor agreed to pay under the contract (*see* majority op at 808-809 ["Although the lost profits sought by (Biotronik) are not specifically identified in the agreement, it cannot be said that (Conor) did not agree to pay them under the contract, *as these profits flow directly from the pricing formula*" (emphasis added)]). Stated slightly differently, the majority holds that Biotronik's profits on resales under separate contracts with its customers are general rather than consequential damages because of contractual pricing provisions that potentially require Biotronik, the *non-breaching* party, to pay

moneys to Conor, the breaching party⁴—just the opposite of the situation in *American List* and *Tractebel*. I respectfully dissent.

I.

Under the Agreement, Conor committed to supply, and Biotronik to purchase, a specified minimum quantity of the stents per calendar quarter. Biotronik agreed to pay Conor a negotiated purchase price per stent (the Minimum Transfer Price). The initial Minimum Transfer Price was not stated in the Agreement; going forward, however, the Agreement required the parties to stipulate the Minimum Transfer Price for the following calendar quarter no later than 30 days before the end of the current quarter.

The Agreement also called for Biotronik to provide Conor, within 20 days following the end of each calendar quarter, with a written report setting out, among other things, a figure calculated as a percentage of Biotronik's average sales price per stent (essentially, the gross amount invoiced by Biotronik to third parties, minus credits and expenses, divided by the number of the stents actually sold during the quarter), on a country-by-country basis, for the quarter in which the stents were shipped to Biotronik (the Transfer Price). In countries where Biotronik resold the stent directly to end users, the Transfer Price was 61% of this average sales price; in countries where Biotronik resold through sub-distributors, the Transfer Price was 75%. In the event the Transfer Price exceeded the Minimum Transfer Price Payment, Biotronik was obligated to pay Conor the difference as an upward "adjustment" to the purchase price initially stipulated per stent for that quarter (i.e., the Minimum Transfer Price).⁵

Thus, the Agreement did not direct Biotronik to resell any specific quantities of the stents it purchased from Conor; it

4. Conor contends that it did not breach the Agreement and on that score, the trial court found issues of fact preventing summary judgment in Conor's favor. For purposes of ease of discussion, I *assume* that Conor breached the parties' contract.

5. Section 5 of the Agreement, captioned "Prices, Price Adjustments, Volume Discount, Payment Terms," states at section 5.2 ("Price Adjustments") that "[p]rices shall adjust in accordance with the provisions of Exhibit C." The relevant provisions of Exhibit C, in turn, state as follows:

"Pricing for [the stent]

"I. Definitions:

"A 'Transfer Percent' shall have the appropriate meaning set forth below:

(n. cont'd)

“1. In the case of [the stent]:

“a. For countries where BIOTRONIK sells directly: sixty-one percent (61%)

“b. For countries where BIOTRONIK sells indirectly: seventy-five percent (75%)

“B. ‘Net Sales’ shall mean the gross amount invoiced by BIOTRONIK . . . to third parties for sales of a [stent], less the following items, as allocable to such [stent] (if not previously deducted from the amount invoiced): (i) credits or allowances additionally granted upon returns, rejections or recalls; (ii) freight, shipping and insurance charges, provided such amounts are included in the gross amount invoiced above; and (iii) taxes, duties or other governmental tariffs (other than income taxes), provided such amounts are included in the gross amount invoiced above. For the purposes of this Exhibit C, Net Sales shall be calculated on a country-by-country . . . basis.

“II PRICING AND PAYMENT FOR PRODUCT

“A. Transfer Price. The transfer price (the ‘Transfer Price’) for each unit of each [stent] supplied by CONOR to BIOTRONIK hereunder and accepted by BIOTRONIK . . . shall be of the Transfer Percent of [the stent] times the average Net Sales per unit of [the stent] for the calendar quarter in which such [stent] is supplied to BIOTRONIK, which average shall be calculated by dividing the Net Sales of such [stent] for such calendar quarter by the number of units of such [stent] actually sold by BIOTRONIK during such calendar quarter and included in such Net Sales. No later than thirty (30) days prior to the end of each calendar quarter, the parties shall agree on a minimum transfer price per unit (‘Minimum Transfer Price’) for each [stent] for the following calendar quarter.

“B. Minimum Transfer Price Payment . . . BIOTRONIK shall pay to CONOR an amount equal to Minimum Transfer Price for such [stent] for the current calendar quarter multiplied by the number of units in such shipment (the ‘Minimum Transfer Price Payment’).

“C. Reconciliation

“1. Calculation of Transfer Price. Within twenty (20) days following the end of each calendar quarter, BIOTRONIK shall provide CONOR with a written report setting forth on a country-by-country . . . basis: (i) the Net Sales of [the stent] during such period; (ii) the number of units of [the stent] sold during such period; (iii) a calculation of the Transfer Price per unit of [the stent] for such period in accordance with Section II.A. of this Exhibit [C] . . .

“2. Transfer Price Exceeds Minimum Transfer Price Payment. If the Transfer Price for [the stent] for the for a [sic] given calendar quarter exceeds the Minimum Transfer Price Payment for such [stent] paid by BIOTRONIK for such calendar quarter, BIOTRONIK shall pay to CONOR the difference between such amounts.

(n. cont’d)

surely did not dictate the prices at which Biotronik resold the stents under separate contracts with customers in the many markets in which it operated worldwide. The Agreement did not “require[] . . . Biotronik to resell [the stents] so that Conor could be paid,” as asserted by Biotronik. Biotronik was obligated to pay Conor the Minimum Transfer Price stipulated for the stents shipped during a calendar quarter even if, hypothetically, Biotronik made no resales whatsoever in that quarter. Indeed, even if, again hypothetically, Biotronik’s costs (in addition to what it initially paid Conor for the stents) were so high that it resold the stents at very little profit or at a loss, it would still owe Conor any difference between the Transfer Price and the Minimum Transfer Price Payment.

Notably, under no circumstance do the Agreement’s pricing provisions require Conor (the breaching party) to pay any moneys to Biotronik (the non-breaching party); rather, under certain circumstances Biotronik (the non-breaching party) must pay additional moneys to Conor (the breaching party) for the purchase of the stents. As noted earlier, this situation is just the opposite of *American List*, where a provision in the parties’ contract called for defendant U.S. News (the breaching party) to pay plaintiff American List (the non-breaching party) specified sums encompassing American List’s future profits; or *Tractebel*, where defendant TEMI (the breaching party) was likewise obligated by a provision in the parties’ contract to pay plaintiff AEP (the non-breaching party) specified sums encompassing AEP’s future lost profits. Thus, because American List and AEP “sought only to recover moneys which” U.S. News and Tractebel, respectively, “undertook to pay under the contract” (*American List*, 75 NY2d at 43), we held that their future profits were general rather than consequential damages.

Here, the Agreement’s pricing provisions merely established a mechanism for determining the purchase price that Biotronik paid Conor for the stents. Whatever profit Biotronik might make as a result of its efforts to resell the stents was contingent on the selling prices it negotiated with its customers, its sales volume and costs. True, one of those costs was the purchase price Biotronik paid Conor for individual stents, the product it sought to resell, but in no way does this signal that Biotronik’s “profits flow[ed] directly from the [Agreement’s] pricing formula” (majority op at 809).

“3. Timing. All payments due under this Section II.C. shall be made within thirty (30) days of CONOR’s receipt from BIOTRONIK of the calculation report set forth in Section II.C.1.”

II.

In addition to *American List*, the majority discusses two other cases in some detail: *Compania Embotelladora Del Pacifico, S.A. (CEPSA) v Pepsi Cola Co. (PepsiCo)* (650 F Supp 2d 314 [SD NY 2009]) and *Orester v Dayton Rubber Mfg. Co.* (228 NY 134 [1920]). Turning first to *Compania Embotelladora*, in that case Judge Rakoff from the United States District Court for the Southern District of New York applied *Tractebel* to conclude that plaintiff CEPSA, a bottling company, did not seek money that defendant PepsiCo agreed to pay under the parties' exclusive bottler appointment agreement; rather, CEPSA asked for damages representing

“lost profits from lost sales to third-parties that are not governed [by the parties' exclusive bottling agreement]. *Such damages are properly characterized as consequential damages, because, as a result of PepsiCo's alleged breach, CEPSA suffered lost profits on collateral business arrangements (i.e., sales of PepsiCo products to its customers throughout its exclusive territory). See Care Travel Co. v. Pan Am. World Airways*, 944 F.2d 983, 994 (2d Cir.1991) ('lost profits may be recovered' under an exclusive agency agreement only if 'it is "first [] demonstrated with certainty that such damages have been caused by the breach"') (citation omitted); [*Champion*] *Spark Plug Co. v. Auto. Sundries Co.*, 273 F. 74, 83 (2d Cir.1921) (in the absence of an existing resale contract, lost profits on a manufacturer's sales in its distributor's territory are consequential damages); *Evian Waters of France, Inc. v. Valley Juice Ltd., Inc.*, 90 Civ. 255, 1999 U.S. Dist. LEXIS 20542, at *10 (D.Conn. Sept. 30, 1999) (a claim of lost profits under an exclusive distributorship agreement must be demonstrated through 'competent evidence with reasonable certainty') (applying New York law)” (*Compania Embotelladora*, 650 F Supp 2d at 322 [emphasis added]).

The majority interprets the foregoing quotation to mean that if CEPSA had “sought lost profits ‘caused by the breach’ [referring to *Care Travel*], or under ‘an existing resale contract’ [referring to *Champion Spark Plug*], or under an ‘exclusive distributorship agreement’ [referring to *Evian Waters*], *the damages would have been general, not consequential*” (majority op

at 808 [emphasis added]). This is not what these cases say. The damages issue in *Care Travel* was whether the plaintiff presented sufficient evidence to satisfy *Kenford's* standard of proof for consequential damages, including that “such damages have been caused by the breach” (see *Care Travel*, 944 F2d at 994, quoting *Kenford*, 67 NY2d at 261; see also *supra* at 811 n 2). In *Champion Spark Plug* (273 F at 83), the court held that for lost profits from a resale contract to be recoverable, the resale contract must be in existence and known to the seller at the time of the original contract (cf. UCC 2-715 [2] [a]). And in *Evian Waters* (1999 US Dist LEXIS 20542 at *10), the damages issue again was whether the plaintiff met *Kenford's* evidentiary standards for recovery of consequential damages. Thus, these cases discuss whether consequential damages for lost profits were recoverable under the facts presented.

In *Orester*, the exclusive distributor of the “Dayton Pneumatic Tire” for the Syracuse area sued the manufacturer for its refusal to supply 1,000 tires he had ordered pursuant to the parties’ contract. We faulted the trial judge for charging the jury to award damages on the basis of the difference between the price on the market in which the distributor *sold* the tires and the contract price, because this would allow him to recover his gross profits—i.e., what the distributor might have made if he sold the 1,000 tires at prices he himself had set. We then explained the hierarchy of tests for fixing damages for the manufacturer’s failure to supply the tires, to instruct the judge on retrial.

First, “where the articles may be purchased in the market, the value of the contract to the purchaser is the difference between the price at which in like quantities [the articles] may be bought at the time and place of delivery, and the price which he would have had to pay under the contract” (*Orester*, 228 NY at 137). But here, where the purchaser could not buy the tires from others in the Syracuse area because “[h]e himself was the sole source of supply . . . If there was a market elsewhere at which tires in the quantity desired by the [purchaser] could be freely purchased[,] the damages would be the difference between the contract price and the price at that market plus the transportation charges to Syracuse” (*id.* at 137-138).

Next, “[i]n the absence of such a foreign market, if the [purchaser] might purchase a substitute tire, equally available for his reasonable purposes, then his damages would be the difference between the market price of such substitute and the

contract price” (*id.*). We added that “[w]hether another tire, even equally as good, but sold under another trade name, would be a satisfactory substitute to a dealer in Dayton tires may be at least doubtful[, but] is, however, a question of fact” (*id.*).

Finally, we concluded that “*if the other tests fail*,” the purchaser “may prove the ordinary and usual net profits resulting from business conducted in the ordinary and usual way, which he has lost by reason of such breach” (*id.* at 139 [emphasis added]). In short, loss of profits is the prescribed remedy—representing “the natural, the usual value of such a contract,” not a “collateral engagement[] or consequential damage[]”—when there is no available remedy to otherwise measure damages (*id.* at 138).

New York adopted the Uniform Sales Act in 1911, nine years before we decided *Orester*. In the section of the law addressing a buyer’s action for a seller’s failure to deliver goods, the measure of damages was stated to be “the loss directly and naturally resulting in the ordinary course of events from” the breach (Personal Property Law former § 148 [2]),⁶ essentially as stated in *Orester*. When there was “an available market for the goods in question,” however, the measure of damages, “in the absence of special circumstances showing proximate damages of a greater amount,”⁷ was the “difference between the contract price and the market or current price” (*id.* former § 148 [3]), again as stated in *Orester*.

In his usual, lucid prose style, then-Circuit Court Judge Harlan summed up pre-Uniform Commercial Code New York law on the subject of a buyer’s damages for a seller’s breach in a case called *Murarka v Bachrack Bros.* (215 F2d 547 [2d Cir 1954]). In *Murarka*, the New York seller breached a contract to sell 10,000 surplus military parachutes to the plaintiffs, a partnership doing business in Delhi, India, which had contracted to sell substantially all the parachutes to four Indian concerns. When the seller breached the contract (it found another buyer willing to pay more), the plaintiffs “made continuing efforts to purchase similar parachutes but were unsuccessful because none were available on the American market” (*id.* at 554).

Judge Harlan, twice citing *Orester*, wrote that

“[i]n an action for failure to deliver goods the New York rules are these: If there is an available market

6. Section 148 is the same as section 67 of the Uniform Sales Act.

7. In *Orester*, we specifically noted that we “decide[d] nothing as to special damages which must be alleged in the complaint” (228 NY at 139).

for the goods in question, the measure of damages is the difference between the contract price and the market price, unless there are 'special circumstances showing proximate damages of a greater amount' (the so-called 'special damage' rule). N.Y. Personal Property Law, McK. Consol. Laws, c. 41, Sec. 148(3)

. . .

"But where, as here, there is no available market for the goods in question, the measure of damages 'is the loss directly and naturally resulting in the ordinary course of events from the seller's breach of contract', N.Y. Personal Property Law, Sec. 148(2); and it is well settled that such loss may be measured by the net profits, if not speculative, which the buyer would have earned had the seller performed. . . .

"Here the plaintiffs' loss of profits constituted general damages recoverable under Sec. 148(2) because there was no available market" (*Murarka*, 215 F2d at 554-555 [citations omitted]).

As pointed out in Corbin on Contracts, however, "[t]he analysis today, under the Uniform Commercial Code, would be somewhat different" (11-56 Corbin on Contracts § 56.10). Specifically,

"[t]he buyer's general damages would be measured by the difference between the market price (or the cover price^[8]) and the contract price. *Because there was no available market, the plaintiff's damages would be classified as 'consequential.'* Under UCC § 2-715 (2), plaintiff would be allowed to recover such consequential damages if they represented a 'loss resulting from the general or particular requirements and needs of which the seller at the time of contracting had *reason to know* and which could not reasonably be prevented by cover or otherwise' " (*id.* [emphases added]).

8. A buyer may "cover" by buying or contracting to buy substitute goods in the event of the seller's nondelivery (*see* UCC 2-712; *see also* 2-713 [Buyer's Damages for Non-Delivery or Repudiation], 2-723 [Proof of Market Price: Time and Place]).

And, it might be added that, as relevant to this case, “[i]n the case of sale of wares to one in the business of reselling them, resale is one of the requirements of which the seller has reason to know within the meaning of subsection (2)(a)” (UCC 2-715, Comment 6).

Biotronik touts *Orester* as “the only applicable New York case,” which controls the outcome here because we “flatly held [in *Orester*] that . . . lost profits under a distribution agreement are direct rather than consequential damages.”⁹ The majority seems generally to agree, and lets Biotronik slip the noose of the Agreement’s limitation-of-liability provision. But Biotronik (and the majority) simply ignore the entirety of the decision: What *Orester* *actually* holds is that a buyer’s lost profits are the prescribed remedy for a seller’s breach *when there is no available market by which to otherwise measure damages*, a principle that the Uniform Commercial Code enshrines in section 2-715 (2) (a), governing *consequential* damages from a seller’s breach. Thus, while *Orester*’s holding as to the *measure* or *availability* of lost profits may still be applicable, modern law now locates these principles firmly under the rubric of consequential damages.

The record clearly shows there were at least three other brands of drug-eluting coronary stents commercially available when Conor breached the Agreement. Additionally, the Agreement itself presupposes the availability of substitute products; specifically, the provision entitled “Assurance of Supply” states that, in the event Conor decides to discontinue manufacture, “[w]here possible, the Parties shall agree on a replacement of such discontinued Product and the time schedule of the transition from the discontinued Product to a suitable replacement product,” but “[i]f no such replacement product is agreed, [Biotronik] shall have the right to terminate the Agreement on 30 (thirty) days written notice to [Conor].” Here, discussions between the parties for Conor to supply Biotronik a substitute drug-eluting coronary stent broke down. But this should not relieve Biotronik, if it intends to rely on *Orester* to recover lost profits, of the obligation imposed by that case to show first that a good faith but ultimately unavailing effort was made in the

9. *Orester* is sufficiently obscure that Biotronik apparently never mentioned it at Supreme Court, and certainly did not cite the case in its briefs submitted to the Appellate Division. Before today, we last mentioned or cited *Orester* in 1951 (see *Spitz v Lesser*, 302 NY 490 [1951] [defendant manufacturer’s breach of contract entitled plaintiff inventor to the minimum royalties due under the contract as the agreed measure of damages]).

marketplace to secure a substitute for the stent. And that, in turn, presupposes that such lost profits could be categorized as general damages in this case, which *American List*, *Tractebel*, and the Uniform Commercial Code show they cannot.

III.

The Agreement is a complicated one, entered into by sophisticated and counseled commercial parties. Biotronik and Conor made detailed arrangements for the conditions under which either could terminate the contract before the term expired. They paid particular attention to eventualities and risks inherent in the manufacture and sale of a medical device. Thus, the Agreement addresses material changes to the product, and, of course, discontinuance of manufacturing and product recalls.

The parties also agreed to a limitation-of-liability provision. Biotronik now argues that if this provision were intended to prevent its recovery of lost profits, it would be left with *no* remedy if Conor simply walked away from its supply obligation, and this cannot be so. There are two answers. First, Biotronik would only be remediless if there were, in fact, no available market replacement for the stent. By virtue of the agreed-upon limitation of liability, Biotronik would be foreclosed, in this situation, from recovery of consequential damages under Uniform Commercial Code § 2-715 (2) (a).

Second, we have held, and it is acknowledged as a general principle of contract law, that an intentional breach is worthy of no more damages than an inadvertent one (*see Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430, 435 [1994] ["Generally in the law of contract damages, as contrasted with damages in tort, whether the breaching party deliberately rather than inadvertently failed to perform contractual obligations should not affect the measure of damages"]; *see also Globe Refining Co. v Landa Cotton Oil Co.*, 190 US 540, 544 [1903, Holmes, J.] ["If a contract is broken, the measure of damages generally is the same, whatever the cause of the breach"]; Glen Banks, *New York Contract Law* § 1:12 at 15-16; Charles Knapp, *Commercial Damages: A Guide to Remedies in Business Litigation* § 1.2 [4] at 1-6). In that vein, if contracting parties agree to a limitation-of-liability provision, it will be enforced unless unconscionable, even if it leaves a non-breaching party without a remedy (*see Metropolitan Life*, 84 NY2d at 436).

From Conor's perspective, it bargained to preclude any liability under the Agreement for consequential damages. And

while lost profits are sometimes general damages, post-Uniform Commercial Code cases delineating the dividing line between general and consequential damages as a matter of New York law place Biotronik's lost resale profits squarely on the consequential damages side of the boundary. These damages flow from collateral transactions—Biotronik's contracts with its resale customers—rather than from any provision of the Agreement requiring the breaching party to make a payment to the non-breaching party, as was the case in *American List* and *Tractebel*.

But Biotronik has devised, and the majority has accepted, a way to circumvent the natural meaning of the limitation-of-liability provision, combining a novel reading of the provisions governing how much Biotronik agreed to pay Conor to purchase the stents with certain aspects of *Orester*, a 94-year-old decision whose central holding was long ago absorbed into the Uniform Commercial Code in section 2-715 (a) (2), dealing with consequential (not general) damages. Creativity on this scale is no boon in the commercial world, “where reliance, definiteness and predictability are such important goals of the law itself, designed so that parties may intelligently negotiate and order their rights and duties” (*Matter of Southeast Banking Corp.*, 93 NY2d 178, 184 [1999]).

Chief Judge LIPPMAN and Judges GRAFFEO and SMITH concur with Judge RIVERA; Judge READ dissents in an opinion in which Judges PIGOTT and ABDUS-SALAAM concur.

Order reversed, with costs, case remitted to the Appellate Division, First Department for further proceedings in accordance with the opinion herein, and certified question not answered upon the ground that it is unnecessary.

[11 NE3d 159, 988 NYS2d 86]

WILLIAM JACOBSEN, Appellant, v NEW YORK CITY HEALTH AND
HOSPITALS CORPORATION, Respondent.

Argued February 11, 2014; decided March 27, 2014

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 10, 2012. The Appellate Division affirmed an order of the Supreme Court, New York County (Geoffrey D. Wright, J.; op 2011 NY Slip Op 34073[U] [2011]), which had granted defendant's motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court, properly made?"

Jacobsen v New York City Health & Hosps. Corp., 97 AD3d 428, modified.

HEADNOTES

Civil Rights — Discrimination in Employment — Discrimination Based on Disability — Summary Judgment

1. The New York State Human Rights Law (*see* Executive Law § 296 [State HRL]) and the New York City Human Rights Law (*see* Administrative Code of City of NY § 8-107 [City HRL]) generally preclude summary judgment in favor of an employer dismissing an employee's disability discrimination claim where the employer has failed to demonstrate that it responded to a disabled employee's request for a particular accommodation by engaging in a good faith interactive process regarding the feasibility of that accommodation. To prevail on a summary judgment motion with respect to a State HRL claim, the employer must show that it engaged in a good faith interactive process that assessed the needs of the disabled individual and the reasonableness of the accommodation requested. And, because the City HRL provides broader protections, the City HRL forecloses summary judgment where the employer has not engaged in a good faith interactive process regarding a specifically requested accommodation. The employer's decision to engage in or forgo an interactive process is but one factor to be considered in deciding whether a reasonable accommodation was available for the employee's disability at the time the employee sought accommodation. Without having participated in that process in response to the employee's request, the employer cannot prevent the employee from bringing a State HRL claim to trial on the reasonable accommodation issue, but the employee cannot obtain a favorable jury verdict or summary judgment solely based on the employer's failure to engage in an interactive process. Likewise, at trial on a City HRL claim, the employer does not automatically fail to establish the affirmative defense premised on the lack of any reasonable accommodation solely because it did not participate in an interactive process, though that failure poses a formidable obstacle to the employer.

**Civil Rights — Discrimination in Employment — Discrimination
Based on Disability — Summary Judgment**

2. The New York State Human Rights Law (*see* Executive Law § 296 [State HRL]) and the New York City Human Rights Law (*see* Administrative Code of City of NY § 8-107 [City HRL]) generally preclude summary judgment in favor of an employer dismissing an employee's disability discrimination claim where the employer has failed to demonstrate that it responded to a disabled employee's request for a particular accommodation by engaging in a good faith interactive process regarding the feasibility of that accommodation. To the extent the Appellate Division's decision in *Phillips v City of New York* (66 AD3d 170, 176 [1st Dept 2009]) can be interpreted as implying that a good faith interactive process is an independent element of the disability discrimination analysis under either the State or City HRL which, if lacking, automatically compels a grant of summary judgment to the employee or a verdict in the employee's favor, that notion is rejected.

**Civil Rights — Discrimination in Employment — Discrimination
Based on Disability — Summary Judgment**

3. In a disability discrimination action brought by plaintiff health facilities planner, who was terminated by defendant employer after plaintiff developed an occupational lung disease and requested protective respiratory equipment for field visits and reassignment to defendant's central office, defendant was not entitled to summary judgment with respect to plaintiff's New York State Human Rights Law (*see* Executive Law § 296 [State HRL]) and New York City Human Rights Law (*see* Administrative Code of City of NY § 8-107 [City HRL]) claims. In the face of the evidence that plaintiff had been able to work at the central office for decades doing only limited on-site work and that he might have been able to continue working there despite his disability, defendant did not satisfy its burden of showing that no reasonable accommodation existed under the City HRL merely by asserting that plaintiff's job would entail considerable construction supervision regardless of the location of his office; instead, the parties' conflicting evidence created a triable issue of fact. In addition, plaintiff raised a material factual issue as to defendant's ability to have reasonably accommodated his disability by providing him with a requested respirator. Further, although plaintiff would be required to show at trial that his disability could have been reasonably accommodated, his State HRL claim should have survived summary judgment because, at that pretrial stage, defendant failed to carry its burden of establishing that, as a matter of law, plaintiff did not have a statutorily covered disability for which a reasonable accommodation had been available. Moreover, with respect to both claims, defendant failed to show the lack of any material issue of fact regarding its participation in a good faith interactive process. Although plaintiff ultimately became totally unable to perform his essential job duties, the relevant inquiry under both the State and City HRL is whether the employee was capable of performing the core functions of the employee's position at the time that the employer refused to accommodate the employee's disability. Finally, there were triable issues of fact regarding the effectiveness of a provided dust mask as an alternative reasonable accommodation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Job Discrimination §§ 38, 41, 167, 200–204,
208, 210, 211.

McKINNEY'S, Executive Law § 296.

NY JUR 2d, Civil Rights §§ 8, 12, 109–112, 115, 206, 207.

ANNOTATION REFERENCE

Accommodation requirement under state legislation forbidding job discrimination on account of handicap. 76 ALR4th 310.

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POINTS OF COUNSEL

McCallion & Associates, LLP, New York City (*Kenneth F. McCallion* of counsel), for appellant. I. The appellate court erred in finding there were no material disputed issues of fact, thus affirming the lower court's grant of summary judgment. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Giuffrida v Citibank Corp.*, 100 NY2d 72; *Schumacher v Richards Shear Co.*, 59 NY2d 239; *United States Fid. & Guar. Co. v Coca-Cola Co.*, 49 AD2d 849; *Grodin v Liberty Cable*, 244 AD2d 153; *Rotuba Extruders v Ceppos*, 46 NY2d 223; *Stone v Goodson*, 8 NY2d 8; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395.) II. The First Department erred in affirming the lower court's dismissal of plaintiff's human rights claims since plaintiff was able to perform the essential functions of his job with a reasonable accommodation. (*Pimentel v Citibank, N.A.*, 29 AD3d 141; *Stone v City of Mount Vernon*, 118 F3d 92; *Moritz v Frontier Airlines, Inc.*, 147 F3d 784; *McBride v BIC Consumer Prods. Mfg. Co., Inc.*, 583 F3d 92; *Graves v Finch Pruyn & Co., Inc.*, 457 F3d 181; *Rodal v Anesthesia Group of Onondaga, P.C.*, 369 F3d 113; *Parker v Columbia Pictures Indus.*, 204 F3d 326; *King v Town of Wallkill*, 302 F Supp 2d 279.) III. The Appellate Division wrongly affirmed the lower court's dismissal of plaintiff's human rights claims based on the erroneous premise that such claims were governed by McKinney's Unconsolidated Laws of NY § 7401 (2) and General Municipal Law §§ 50-e and 50-i. (*Sebastian v New York City Health & Hosps. Corp.*, 221 AD2d 294; *Swinton v City of New York*, 61 AD3d 557; *Tannenbaum v City of New York*, 30 AD3d 357; *Mills v County of Monroe*, 89 AD2d 776, 59 NY2d 307, 464 US 1018; *Murphy v American Home Prods. Corp.*, 58 NY2d 293.)

Michael A. Cardozo, Corporation Counsel, New York City (*Elizabeth S. Natrella, Leonard Koerner and Maxwell Leighton* of counsel), for respondent. I. The Human Rights Law disability discrimination claims were properly dismissed because plaintiff, by his own evidence, was not able to perform the essential job functions of his job. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Matter of McEniry v Landi*, 84 NY2d 554; *O’Sullivan v City of New York*, 38 AD3d 467, 9 NY3d 804; *Pembroke v New York State Off. of Ct. Admin.*, 306 AD2d 185; *Bellamy v City of New York*, 14 AD3d 462; *City of New York v State Div. of Human Rights*, 70 NY2d 100; *Matter of Miller v Ravitch*, 60 NY2d 527; *Yasinovsky v New York City Tr. Auth.*, 193 AD2d 731; *McCarthy v Nassau County*, 208 AD2d 810.) II. Plaintiff’s argument on a purported retaliation claim fails on numerous grounds, including lack of preservation and lack of merit. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

The issue before us is whether, on a motion for summary judgment disposing of an employee’s disability discrimination claims under the New York City Human Rights Law (*see* Administrative Code of City of NY § 8-107) and the New York State Human Rights Law (*see* Executive Law § 296), an employer’s failure to consider the reasonableness of a proposed accommodation for a generally qualified employee’s disability via a good faith interactive process precludes the employer from obtaining summary judgment. In resolving this issue, we reiterate that the State Human Rights Law and the City Human Rights Law set forth distinct legal standards for establishing the existence of a covered disability that can be reasonably accommodated. Despite those differing standards, we conclude that both statutes generally preclude summary judgment in favor of an employer where the employer has failed to demonstrate that it responded to a disabled employee’s request for a particular accommodation by engaging in a good faith interactive process regarding the feasibility of that accommodation.

I

A

In 1979, plaintiff William Jacobsen began his employment with defendant New York City Health and Hospitals Corporation (HHC). Plaintiff joined HHC as an assistant health facilities planner. In this role, roughly twice a week, plaintiff had to

visit construction sites within the Manhattan area hospital network to which he was assigned. On those visits, plaintiff met with project directors, inspected the structures of HHC buildings and supervised the progress of HHC construction projects. For the rest of each week, plaintiff worked at HHC's central office at 346 Broadway in Manhattan, completing reports on the site visits and performing any other necessary office work. In 1982, plaintiff was promoted to health facilities planner and assigned to HHC's Bellevue network. Although plaintiff was assigned to larger projects, his responsibilities remained the same, and he continued to make site visits only once or twice a week. In June 2005, plaintiff was diagnosed with a form of pulmonary dysfunction.

In August 2005, HHC reassigned plaintiff to its Queens hospital network, and he primarily oversaw projects at the Queens Hospital Center (QHC), where HHC was conducting extensive renovations and asbestos abatement. As a result of this transfer, plaintiff had to relocate his office to QHC and visit construction sites more frequently. Plaintiff could no longer visit the central office in Manhattan on a regular basis. In September 2005, plaintiff received a new diagnosis of pneumoconiosis, an occupational lung disease caused by repeated and prolonged inhalation of asbestos or other dust particles.

In October 2005, plaintiff requested a three-month medical leave of absence, during which he would submit to an open lung biopsy to further evaluate his condition. In support of plaintiff's application for medical leave, his physician, Gwen Skloot, M.D., certified to HHC that plaintiff "currently[] [could not] perform usual tasks" and "should not be exposed to inhaled dusts." In December 2005, Dr. Skloot sent a letter to HHC informing the corporation that, because plaintiff "ha[d] been treated with systemic corticosteroids and ha[d] demonstrated clinical improvement," he was "ready to return to work." However, Dr. Skloot cautioned that plaintiff could "not be further exposed to any type of environmental dust" or "be present at any construction site." In a reply letter, HHC asked Dr. Skloot to identify the "exact date [plaintiff] c[ould] return" to work and inquired as to whether plaintiff was "medically cleared to fully perform the essential functions of his duties." A list of plaintiff's job duties attached to HHC's letter specified that plaintiff "spen[t] approximately 75% of his working hours in the field monitoring several construction projects and attend[ed] construction management meetings on site," and that he "spen[t] approximately 25% of his working hours in the office."

In January 2006, while waiting for Dr. Skloot to respond, HHC filed a Workers' Compensation Board report, which stated that plaintiff had been exposed to asbestos dust at an HHC facility and that plaintiff's supervisor had been aware of his injury since January 2005. Around the same time, plaintiff's union representative wrote to HHC that the union was "requesting a reasonable accommodation for [plaintiff] that he be allowed to return to work and assigned work that he is capable of doing in the office."

In March 2006, Dr. Skloot replied to HHC's inquiry about plaintiff's return date and ability to perform his essential job functions, stating:

"[plaintiff] is ready to return to work immediately (as of the date of this letter). He is medically cleared to work in the field so that he can attend project meetings. I have advised him that it is imperative that he not be exposed to any type of environmental dust, and he has assured me that his field work will not include such exposure."

Thereafter, plaintiff returned to QHC and performed regular site visits until May 2006. During this post-leave work period, according to plaintiff's subsequent affidavit in opposition to summary judgment, plaintiff told his supervisor, Vincent James, that he was having difficulty breathing. Plaintiff asked James to provide him with protective respiratory equipment and to reassign him to the central office in Manhattan. Plaintiff also complained to Anita O'Brien, HHC's director of the QHC facility, that he was having trouble breathing. O'Brien provided plaintiff with a dust mask, but he did not use the mask at times because it impeded his ability to communicate. Plaintiff requested that O'Brien supply him with a respirator, by which he meant a device that was "fit tested by an industrial hygienist" and "specifically designed to filter the particulates [one] [is] exposed to" in "asbestos abatement projects."

In May 2006, plaintiff wrote to HHC requesting a transfer back to the central office, and he maintained that he was "able to perform any and all functions, which [had been] assigned to [him] prior to [his] relocation to QHC." Plaintiff attached to his request a letter from another physician, Stephen M. Levin, M.D. Dr. Levin stated, "[i]t is my strong recommendation that [plaintiff] be placed in a work setting free from exposure to airborne irritant or fibrogenic dusts, fumes and gases, if his current lung condition is not to be made worse by such exposure."

Apparently in response to plaintiff's request, Vincent James sent a memorandum to HHC's Human Resources Department in which he observed:

"[plaintiff's] job responsibilities require that he spend 80% of his working hours in the field and 20% of his working hours in central office. . . . It was my understanding that [plaintiff] was cleared by (HR) to return to work at full capacity. Due to the high volume of work at Queens Hospital Center, it is imperative that we have a network manager cover the projects at that facility."

Plaintiff's union counsel then wrote to HHC, insisting "that HHC find an appropriate place in the agency for him to work where he is not regularly assigned to construction sites."

On or about June 5, 2006, plaintiff filed a disability discrimination complaint against HHC with the New York State Division of Human Rights.¹ Approximately two days later, HHC placed plaintiff on unpaid medical leave for six months, offering to let him return to his position if his medical condition improved. HHC declared:

"[G]iven the nature of your duties as a Health Facilities Planner, there is no position in your title available in the Corporation that would not, of necessity, involve your working in conditions hazardous to your health. Therefore, we must conclude that at present you are not able to perform the essential functions of your job."

In an August 2006 letter to HHC, Dr. Skloot wrote that "[plaintiff] w[ould] never be medically cleared to 'fully perform the essential functions of his duties' " because "it [wa]s imperative to his health that he not be further exposed to any type of environmental dust." Dr. Skloot continued, "[Plaintiff] recently attempt[ed] to return to the field and developed significant worsening of his respiratory status, requiring a course of systemic steroids," adding, "Therefore, the only work he is cleared to do is office work." At the end of plaintiff's involuntary medical leave in March 2007, HHC terminated plaintiff.

B

In March 2008, plaintiff commenced this action for damages by filing a complaint in which he alleged that HHC had unlawfully

1. After the administrative process failed, plaintiff successfully obtained a voluntary dismissal of his administrative complaint to enable him to pursue legal action.

discriminated on the basis of disability in violation of the State Human Rights Law (State HRL) and City Human Rights Law (City HRL). He further claimed that HHC had engaged in gross negligence by exposing him to environmental dust without providing him with protective respiratory equipment. Plaintiff alleged that HHC could have reassigned him to the central office and “provided him with the protective and respiratory equipment necessary to protect him from further respiratory damage if and when it may have been necessary for him to visit a construction site.” HHC answered, and it moved for summary judgment and to dismiss the complaint. HHC contended that it had terminated plaintiff as a result of his inability to continue to conduct field visits, which was an essential function of his position as a health facilities planner. According to HHC, the relevant three-year statute of limitations barred plaintiff’s gross negligence claim. Plaintiff opposed HHC’s motion and asserted that, had HHC granted him a reasonable accommodation when he first requested one, he would have been able to perform occasional field visits with proper respiratory equipment and, therefore, to perform the essential functions of his job.

Supreme Court granted HHC’s motion for summary judgment and dismissed the complaint (2011 NY Slip Op 34073[U] [2011]). In the court’s view, no reasonable accommodation was available for plaintiff because his own medical evidence led “to the inevitable conclusion that the [p]laintiff c[ould] [not], for medical reasons, spend any time at a construction site, and therefor[e], c[ould] never return to his old duties,” and thus, “[b]y the [p]laintiff’s own evidence, he ha[d] not been discriminated against” (*id.* at *3). Moreover, the court found that plaintiff made no allegation that “specific equipment could overcome the doctor’s warning and prescription” to stay away from construction sites (*id.*). The court further determined that plaintiff’s gross negligence cause of action was time-barred. Plaintiff appealed.

The Appellate Division, with one Justice dissenting in part, affirmed Supreme Court’s order (*see Jacobsen v New York City Health & Hosps. Corp.*, 97 AD3d 428, 429-433 [1st Dept 2012]). The Appellate Division ruled that Supreme Court had properly dismissed the complaint, stating, “HHC established that plaintiff could not, even with a reasonable accommodation, perform the essential functions of his job” (*id.* at 431 [citations omitted]). The court determined that, because HHC had inquired of Dr. Skloot regarding plaintiff’s ability to work and

had kept plaintiff's job open during his medical leaves of absence, HHC had engaged in a "good faith interactive process" when it determined that a reasonable accommodation for plaintiff's disability was not available (*id.* at 432). The court rejected plaintiff's assertion that HHC could have reasonably accommodated his disability by giving him a respirator upon his return to QHC in March 2006 (*id.*). According to the court, plaintiff "focuse[d]" on this potential accommodation "only on appeal" (*id.*). In any event, the court concluded, given that plaintiff had not consistently worn the dust mask he had received from HHC, plaintiff could hardly complain about the inadequacy of the protection he had been given (*id.* at 432-433). The court also concluded that plaintiff's gross negligence claim had been properly dismissed as time-barred because more than three years had passed since plaintiff had been allegedly exposed to asbestos and, in any event, the claim had been "barred by operation of the Workers' Compensation Law" (*id.* at 433 [citations omitted]).

In a comprehensive opinion, Justice Manzanet-Daniels dissented in part and voted to modify Supreme Court's order to reinstate plaintiff's disability discrimination claims (*see id.* at 433-437 [Manzanet-Daniels, J., dissenting in part]). In the dissent's view, triable issues of fact existed regarding whether plaintiff would have been able to perform the essential functions of his position if he had been provided the appropriate respiratory equipment and whether HHC had "made a reasonable accommodation for plaintiff's disability" (*id.* at 435-436). The dissent determined that HHC could have reasonably accommodated plaintiff's disability by providing him with proper respiratory equipment or reassigning him to the central office, where he had previously worked for 27 years while making only limited site visits (*see id.* at 436). The dissent concluded that the dust mask provided by HHC was not a reasonable accommodation because "a specialized mask or respirator device designed to filter and protect against airborne dust from known toxins or potential carcinogens" was a statutorily reasonable accommodation, whereas "a dust mask, of the type to be found in any hardware store," did not meet that criterion (*id.* at 437). The dissent further determined that the record was devoid of evidence that HHC had engaged in any good faith interactive process designed to determine the existence of a reasonable accommodation (*id.*).

Plaintiff appeals to this Court by permission of the Appellate Division, which certified to us the following question: "Was the

order of this Court, which affirmed the order of the Supreme Court, properly made?” (2012 NY Slip Op 85962[U] [2012]). For the reasons set forth below, we decline to answer the certified question on the ground that it is unnecessary, modify the order of the Appellate Division by reinstating plaintiff’s State HRL and City HRL claims, and otherwise affirm.

II

A

A party moving for summary judgment must demonstrate that “the cause of action or defense shall be established sufficiently to warrant the court as a matter of law in directing judgment” in the moving party’s favor (CPLR 3212 [b]). Thus, “the proponent of a summary judgment motion must make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact” (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). “This burden is a heavy one and on a motion for summary judgment, facts must be viewed in the light most favorable to the non-moving party” (*William J. Jenack Estate Appraisers & Auctioneers, Inc. v Rabizadeh*, 22 NY3d 470, 475 [2013] [internal quotation marks omitted]). If the moving party meets this burden, the burden then shifts to the non-moving party to “establish the existence of material issues of fact which require a trial of the action” (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]). Notwithstanding the differing burdens of proof at trial under the State HRL and the City HRL, an employer moving for summary judgment with respect to an employee’s claims under both statutes still has the burden of showing that the employee’s evidence and allegations present no triable material issue of fact (*see Ferrante v American Lung Assn.*, 90 NY2d 623, 630 [1997] [concluding that an employer must carry its burden on a summary judgment motion with respect to an employee’s age discrimination claim under the State HRL, notwithstanding that the employee bears the ultimate burden at trial]; *see also Romanello v Intesa Sanpaolo, S.p.A.*, 22 NY3d 881, 885 [2013] [requiring an employer to satisfy its burden under CPLR 3211 to obtain dismissal of a City HRL claim]).

Turning from the summary judgment burden to the substance of the statutes at issue, the State HRL forbids employment discrimination on the basis of an employee’s disability, and the

City HRL provides even greater protection against disability-based discrimination (see *Romanello*, 22 NY3d at 883-885; *Matter of Delta Air Lines v New York State Div. of Human Rights*, 91 NY2d 65, 72 [1997]; see also *Phillips v City of New York*, 66 AD3d 170, 176 [1st Dept 2009]). The employee's complaint states a prima facie case of discrimination under both the State HRL and City HRL if the employee suffers from a statutorily defined disability and the disability caused the behavior for which the employee was terminated (see *Matter of McEniry v Landi*, 84 NY2d 554, 558 [1994]; see also *Pimentel v Citibank, N.A.*, 29 AD3d 141, 145 [1st Dept 2006], *lv denied* 7 NY3d 707 [2006]; *Timashpolsky v State Univ. of N.Y. Health Science Ctr. at Brooklyn*, 306 AD2d 271, 273 [2d Dept 2003], *lv denied* 1 NY3d 507 [2004]).

Under the State HRL, if an employee has a physical impairment that prevents the employee from performing the core duties of his or her job even with a reasonable accommodation, the employee does not have a disability covered by the statute, and consequently, the employer is free to take adverse employment action against the employee based on that impairment (see Executive Law § 292 [21]; *Romanello*, 22 NY3d at 883-884; see also *Pimentel*, 29 AD3d at 146). On the other hand, if a reasonable accommodation would permit the employee to perform the essential functions of the employee's position, the employee has a "disability" within the meaning of the statute, and the employer cannot disadvantage the employee based on that disability (see *Romanello*, 22 NY3d at 883-884). A "reasonable accommodation" for an employee's impairment is one which "permit[s] an employee . . . with a disability to perform in a reasonable manner the activities involved in the job" and does not impose an "undue hardship" on the employer's business (Executive Law § 292 [21-e]). Thus, a proper State HRL claim must be supported by substantiated allegations that, " 'upon the provision of reasonable accommodations, [the employee] could perform the essential functions of [his or] her job,' " and the employee bears the burden of proof on this issue at trial (*Romanello*, 22 NY3d at 884, quoting *Staskowski v Nassau Community Coll.*, 53 AD3d 611, 611 [2d Dept 2008]; see Executive Law § 292 [21]; *Gill v Maul*, 61 AD3d 1159, 1160 [3d Dept 2009]).

"Unlike the State HRL, the City HRL's definition of 'disability' does not include 'reasonable accommodation' or the ability to perform a job in a reasonable manner," but rather "defines

‘disability’ solely in terms of impairments” (*Romanello*, 22 NY3d at 885; see Administrative Code of City of NY § 8-102 [16]). The City HRL forbids employment discrimination against physically and mentally impaired individuals, and employers may raise the inability of disabled employees to “with reasonable accommodation, satisfy the essential requisites of the[ir] job[s]” only as an affirmative defense to a City HRL claim (Administrative Code of City of NY § 8-107 [15] [b]). Thus, unlike the State HRL, the City HRL places the burden on the employer to show the unavailability of any safe and reasonable accommodation and to show that any proposed accommodation would place an undue hardship on its business (see *Romanello*, 22 NY3d at 885, citing *Phillips*, 66 AD3d at 183).

Although the State HRL and City HRL maintain separate burdens of proof at trial regarding the existence of a reasonable accommodation, under both statutes an employee’s request for an accommodation is relevant to the determination of whether a reasonable accommodation can be made. In that regard, the State HRL defines a “reasonable accommodation” as an accommodating action that does not unreasonably burden the employer “from which [the] action is *requested*” (Executive Law § 292 [21-e] [emphasis added]). By defining a “reasonable accommodation” in terms of an employee’s request for accommodation and the employer’s ability to conduct its operations within the limits of the employee’s proposed arrangement, the statute indicates that an employee’s suggestion of a specific accommodation must prompt the employer to consider whether the burden thus imposed upon the employer’s business would be reasonable. In this way, the employer’s response to the employee’s request and any ensuing dialogue about the impact of the proposed accommodation on the employer’s business inform the determination of whether a reasonable accommodation exists.

By encouraging employers to consider the viability of impaired employees’ requested adjustments to their working conditions, the State HRL’s definitions of “disability” and “reasonable accommodation” further the legislative intent behind the statute’s coverage of disabilities that may be reasonably accommodated. When it amended the State HRL in 1979 to enhance protections against disability discrimination, the legislature sought to create an “individualized standard” for determining whether an employee could perform the essential functions of his or her job with a reasonable accommodation (*Matter of Miller v Ravitch*,

60 NY2d 527, 532 [1983]). The legislature enacted this more tailored approach in response to judicial decisions which had insulated employers from liability based on the mere possibility, however speculative, that someone with the claimant's condition might become unable to perform certain job functions (see *Matter of Westinghouse Elec. Corp. v State Div. of Human Rights*, 49 NY2d 234, 237-238 [1980]). The individualized standard also naturally flows from the State HRL's original purpose "to assure that every *individual* within this state is afforded an equal opportunity to enjoy a full and productive life" (Executive Law § 290 [3] [emphasis added]).

Thus, in amending the State HRL, the legislature evidently concluded that an employer cannot disadvantage a disabled employee based on a generalized sense that disabilities of the kind suffered by the employee can rarely be accommodated and that the employee is unlikely to be able to satisfy his or her employment responsibilities. Given that legislative finding, we are bound to interpret the State HRL's definitions of "reasonable accommodation" and "disability" to require that, where the employee seeks a specific accommodation for his or her disability, the employer must give individualized consideration to that request and may not arbitrarily reject the employee's proposal without further inquiry (see Budget Rep on Bills, Bill Jacket, L 1979, ch 594 at 6 [stating that the amendments to the State HRL were designed to protect "*individuals* who can perform a job, but who may use special equipment or some other special arrangements in performing the job . . . from *arbitrary discrimination*"] [emphasis added]; Letter from Governor's Office of Employee Relations, June 22, 1979, *id.* at 18 [stating that, under the amended State HRL, adverse employment actions against an individual could not be justified based upon a mere relationship between the disability and the employee's ability to perform certain job duties but rather were warranted only "based upon an *insurmountable* 'disability' which would prevent a *particular individual* from performing the tasks which are inherently involved in a *particular job*"] [emphasis added]).

Furthermore, this interpretation of the statute, which makes a dialogue about the reasonableness of the employee's proposed accommodation relevant to the "reasonable accommodation" analysis, comports with the legislature's goal of encouraging employers to voluntarily integrate disabled employees into the workplace through fair-minded discussion instead of obstinately refusing any accommodation and forcing employees to pursue

costly litigation (*see* Governor’s Program Bill Mem, *id.* at 11 [“This amendment (to the State HRL) is expected to reduce litigation under the definition of the term ‘disability’ ”]; Letter from St Commr of Human Rights, June 22, 1979, *id.* at 10 [stating that the amended State HRL would “serve to reduce costly litigation that might otherwise arise” regarding the definition of a covered “disability”]). By speaking openly about an employee’s impairment and the employer’s ability to adjust its practices to meet the employee’s needs, the parties may come to a mutually beneficial arrangement which ensures that the disabled individual has a fair opportunity to work, provides the employer with the advantages of a productive and qualified disabled employee, and forestalls needless litigation. The statute prizes reasonableness, and nothing can be more reasonable than an open-minded discussion resulting in a viable compromise.

[1] In light of the importance of the employer’s consideration of the employee’s proposed accommodation, the employer normally cannot obtain summary judgment on a State HRL claim unless the record demonstrates that there is no triable issue of fact as to whether the employer duly considered the requested accommodation. And, the employer cannot present such a record if the employer has not engaged in interactions with the employee revealing at least some deliberation upon the viability of the employee’s request. Consequently, to prevail on a summary judgment motion with respect to a State HRL claim, the employer must show that it “engage[d] in a good faith interactive process that assess[e]d the needs of the disabled individual and the reasonableness of the accommodation requested” (*Phillips*, 66 AD3d at 176; *see Parker v Columbia Pictures Indus.*, 204 F3d 326, 338 [2d Cir 2000] [holding that an employee’s proposal of a reasonable accommodation “triggers a responsibility on the employer’s part to investigate that request and determine its feasibility,” and “(a)n employer who fails to do so, and instead terminates the employee based on exhaustion of leave, has discriminated ‘because of’ disability within the meaning of the (federal Americans with Disabilities Act)’”]; *see also Kinneary v City of New York*, 601 F3d 151, 156 [2d Cir 2010]; *Morton v United Parcel Serv., Inc.*, 272 F3d 1249, 1256 n 7 [9th Cir 2001], *overruled in part on other grounds by Bates v United Parcel Serv., Inc.*, 511 F3d 974, 998 [9th Cir 2007]; *Barnett v U.S. Air, Inc.*, 228 F3d 1105, 1116 [9th Cir 2000]). And, because the City HRL provides broader protections against disability discrimination than the State HRL, the City HRL un-

questionably forecloses summary judgment where the employer has not engaged in a good faith interactive process regarding a specifically requested accommodation (*see Phillips*, 66 AD3d at 176; *see also Romanello*, 22 NY3d at 884-885).

[2] Our conclusion that, in all but the most extreme cases, the lack of a good faith interactive process forecloses summary judgment in favor of the employer should not be construed too broadly. At a trial on a State HRL claim, the plaintiff employee still bears the burden of proving the existence of a reasonable accommodation that would have enabled the employee to perform the essential functions of his or her position (*see Executive Law* § 292 [21]; *Romanello*, 22 NY3d at 884). Furthermore, to the extent the Appellate Division's decision in *Phillips* can be interpreted as implying that a good faith interactive process is an independent element of the disability discrimination analysis under either the State or City HRL which, if lacking, automatically compels a grant of summary judgment to the employee or a verdict in the employee's favor (*cf.* 66 AD3d at 175-176), we reject that notion.

As discussed, the employer's decision to engage in or forgo an interactive process is but one factor to be considered in deciding whether a reasonable accommodation was available for the employee's disability at the time the employee sought accommodation. Without having participated in that process in response to the employee's request, the employer cannot prevent the employee from bringing a State HRL claim to trial on the reasonable accommodation issue, but on the other hand, the employee cannot obtain a favorable jury verdict or summary judgment solely based on the employer's failure to engage in an interactive process. Likewise, at trial on a City HRL claim, the employer does not automatically fail to establish the affirmative defense premised on the lack of any reasonable accommodation solely because it did not participate in an interactive process, though that failure poses a formidable obstacle to the employer's attempt to prove that no reasonable accommodation existed for the employee's disability.²

2. In *Parker v Columbia Pictures Indus.* (204 F3d at 326), the United States Court of Appeals for the Second Circuit interpreted the federal Americans with Disabilities Act (ADA) and found that an employer's failure to participate in an interactive process designed to determine the viability of an employee's proposed accommodation constituted an element of causation

(n. cont'd)

B

[3] The principles outlined above compel us to conclude that HHC was not entitled to summary judgment with respect to plaintiff's State HRL and City HRL claims.

To begin, the trial court erred in granting summary judgment to HHC on plaintiff's City HRL claim because the evidence warranted a trial on HHC's ability to have reasonably accommodated plaintiff's impairment by reassigning him to its central office in Manhattan. Although, near the end of plaintiff's first medical leave in December 2005, HHC wrote to plaintiff's doctor claiming that 75% of plaintiff's official job duties consisted of on-site construction supervision and 25% consisted of office work, plaintiff's affidavit in support of his complaint and his deposition testimony indicated that, during the decades in which plaintiff worked at the central office in Manhattan and prior to his transfer to QHC, he did office work 80% of the time and on-site supervision 20% of the time. And in May 2006, plaintiff sent a letter to a senior official at HHC stating that, although the conditions at QHC were hazardous to his health, he was "requesting reasonable accommodation" in the form of a transfer to the central office, where he would be "able to perform any and all functions, which were assigned to [him] prior to [his] relocation to QHC." Plaintiff's union counsel sent a follow-up letter requesting that plaintiff be transferred to any location within HHC's overall organization that would allow plaintiff to avoid working at construction sites.

In the face of this evidence that plaintiff had been able to work at the central office for decades doing only limited on-site

insofar as it revealed that the employer had discriminated intentionally against the employee "because of" the employee's disability (*Parker*, 204 F3d at 338). Subsequently, however, the Second Circuit and most other federal courts have held the interactive process to be a means of determining the availability of a reasonable accommodation rather than an overall sign of the discriminatory basis of an adverse employment action (see *McBride v BIC Consumer Prods. Mfg. Co., Inc.*, 583 F3d 92, 100 [2d Cir 2009] [summarizing cases describing the interactive process as part of the reasonable accommodation determination]). In our view, the employer's failure to hold a constructive dialogue about the possibility of a reasonable accommodation may indicate that the employer has discriminated "because of" an individual's disability within the meaning of the State HRL (Executive Law § 296 [1] [a]) and the City HRL (Administrative Code of City of NY § 8-107 [1] [a]) in some cases. However, under both statutes, the lack of an interactive process is relevant primarily to the issue of whether a reasonable accommodation was available for the employee's disability and does not substantially impact the court's or the factfinder's determination of causation.

work and that he might be able to continue working there despite his disability, HHC did not satisfy its burden of showing that no reasonable accommodation existed under the City HRL merely by asserting that plaintiff's job would entail considerable construction supervision regardless of the location of his office (see *Romanello*, 22 NY3d at 885). Instead, the parties' conflicting evidence created a triable issue of fact as to whether, in light of the totality of the work conditions existing at the central office at the time the transfer was requested, plaintiff could have reasonably performed his essential job duties by handling the office work there without visiting construction sites that contained dangerous amounts of environmental dust (see *Matter of Miller*, 60 NY2d at 533 n [“(w)hen reasonableness is the test[,] the weight to be accorded to a particular factor cannot be predicted in advance but must be considered in light of all the circumstances of the particular case”]; see also *Sharp v Abate*, 887 F Supp 695, 699 [SD NY 1995] [under the ADA, “whether physical qualifications are essential functions of a job requires the court to engage in a *highly fact-specific inquiry*. . . . Such a determination should be based upon more than statements in a job description and should reflect the actual functioning and circumstances of the particular enterprise involved”] [internal quotation marks and citation omitted]).³

In addition, by testifying that he had requested a respirator to enable him to perform site visits upon his return from his first medical leave in early 2006, plaintiff raised a material factual issue as to HHC's ability to have reasonably accommodated his disability by providing him with a respirator or comparable protective gear. As plaintiff testified, he had repeatedly asked his superiors for a respirator, i.e., a “fit tested” de-

3. Notably, in seeking a transfer, plaintiff was not improperly attempting to compel HHC to establish “a new light-duty position or a permanent light-duty position” (*Matter of Mair-Headley v County of Westchester*, 41 AD3d 600, 603 [2d Dept 2007]). Rather, plaintiff requested reassignment to an existing position which he had previously held. Nothing in the record indicates that the position was no longer open or that plaintiff could not resume the position pursuant to a series of personnel transfers. In this particular case, the feasibility of the proposed reassignment should have been resolved at trial and not on a summary judgment motion.

vice that filters out airborne particulates, and as a matter of common sense, such a device would have reduced plaintiff's dust exposure and logically might have allowed him to continue working at construction sites at the time he asked for that accommodation. Contrary to HHC's contention, plaintiff did not have to present medical testimony further substantiating the efficacy of his proposed accommodation to survive HHC's summary judgment motion; on that motion, plaintiff bore no burden, as it was HHC's burden to demonstrate that no potential accommodation, including a respirator, was reasonable. Because HHC never contested the value of a respirator or alleged that providing plaintiff with a respirator would have caused undue hardship to its business, HHC was not entitled to summary judgment on the theory that a respirator was not a reasonable accommodation for plaintiff's disability (*see Matter of New Venture Gear Inc. v New York State Div. of Human Rights*, 41 AD3d 1265, 1267 [4th Dept 2007] [provision of protective gear to alleviate effects of cleaning products on employee would have been a reasonable accommodation]).⁴

Additionally, although plaintiff's State HRL claim may prove unsuccessful at trial because he will be required to show that his disability could have been reasonably accommodated, this claim should have survived summary judgment because, at that pretrial stage, HHC still bore the burden of establishing that, as a matter of law, plaintiff did not have a statutorily covered disability for which a reasonable accommodation had been available. As discussed, HHC failed to carry that burden insofar as plaintiff's testimony and the correspondence, taken in the light most favorable to plaintiff (*see Vega*, 18 NY3d at 503), gave rise to a logical basis on which a factfinder might conclude that HHC could have reasonably accommodated plaintiff's need to avoid dust exposure by either providing him with a respirator or reassigning him to the central office. At the very least, plaintiff's evidence could support a finding that a combination of a respirator and a transfer to the central office might have reduced his dust exposure to safe levels by enabling him to

4. The Appellate Division majority seems to have believed that plaintiff did not oppose summary judgment on the ground that a respirator was a reasonable accommodation (*see Jacobsen*, 97 AD3d at 432). However, while plaintiff did not put that argument front and center in his papers opposing summary judgment, his affidavit in response to HHC's summary judgment motion repeatedly mentioned his requests for a respirator and noted that he would have been able to conduct site visits by wearing proper respiratory equipment. Thus, plaintiff adequately raised this issue before the trial court.

conduct office work and occasional site visits, during which he would have had adequate respiratory protection.

Moreover, with respect to both claims, HHC failed to show the lack of any material issue of fact regarding its participation in a good faith interactive process. When plaintiff asked for a respirator shortly after his return to work, HHC denied that request without considering it and instead merely provided plaintiff with a dust mask. Around that time, plaintiff and his union counsel repeatedly requested that HHC reassign him to the central office, and HHC belatedly responded by placing plaintiff on involuntary medical leave in June 2006, at which point HHC did not specifically address the viability of the requested transfer to the central office but rather made the conclusory assertion that plaintiff could not work safely in any position at the corporation. Thus, far from showing that, as a matter of law, HHC had participated in a good faith interactive process which revealed that plaintiff's proposed accommodations were unreasonable, the record demonstrates that, given HHC's limited interactions with plaintiff, a material issue of fact existed as to whether plaintiff's proposed accommodations or any other potential accommodation was reasonable.

Nonetheless, HHC posits that plaintiff's lung disease prevented him from performing the essential field work required by his job, and that HHC carried its burden on summary judgment of demonstrating that no reasonable accommodation for that disability existed. In support of that argument, HHC relies on: (1) Dr. Skloot's October 2005 letter in support of plaintiff's request for a voluntary medical leave, in which Dr. Skloot stated that plaintiff could not perform the "usual tasks" associated with his job; (2) Dr. Skloot's December 2005 letter reporting on plaintiff's condition toward the end of his first medical leave, in which Dr. Skloot stated that plaintiff could not visit any construction site; and (3) Dr. Skloot's August 2006 letter stating that, after plaintiff's return from his first medical leave and his attempt to continue working at the QHC site, plaintiff's condition had deteriorated to the point that he would never be cleared to return to work. In HHC's view, those letters constituted an admission that plaintiff could not perform the 75% of his duties comprised of on-site visits, which necessarily entailed exposure to environmental dust. However, viewed in the light most favorable to plaintiff, the letters cited by HHC at most reflected plaintiff's inability to perform the essential functions of his position either before he started his first medical leave, during

which his condition greatly improved, or after HHC refused to provide him with a respirator and a transfer, at which time plaintiff had become totally disabled. None of those letters indicated that plaintiff was unable to visit construction sites with the aid of a respirator or carry out core job functions at the central office when he requested those accommodations.

HHC's most compelling argument about the letters is that, in light of the pre-leave letters describing plaintiff's severe health problems, Dr. Skloot's March 2006 letter cautioning that plaintiff had to avoid exposure to environmental dust suggested that plaintiff's condition remained extremely difficult to accommodate notwithstanding his improvement during his leave of absence. However, the March 2006 letter also indicated that plaintiff was ready to return to work and perform field work, and plaintiff insisted that he could perform his essential employment responsibilities at the central office and/or with the aid of a respirator. Therefore, any conflict among Dr. Skloot's prior accounts of plaintiff's medical condition, the March 2006 letter and plaintiff's remaining evidence created a factual issue for trial, not grounds for summary judgment (*see generally Matter of New York State Dept. of Correctional Servs. v New York State Div. of Human Rights*, 57 AD3d 1057, 1058-1059 [3d Dept 2008] [upholding agency's determination that the employer had unlawfully discriminated on the basis of the employee's disability, even though there was conflicting medical evidence as to whether the employee's heart condition could have been accommodated]).

We reject HHC's claim that it was entitled to summary judgment because, after HHC denied his request for an accommodation, plaintiff became totally unable to perform his essential job duties. Under the State HRL and the City HRL, the relevant inquiry is whether the employee was capable of performing the core functions of the employee's position at the time that the employer refused to accommodate the employee's disability. Nothing in those statutes relieves the employer of liability due to the employee's becoming completely disabled long after an accommodation has been sought.

Indeed, an employer's failure to reasonably accommodate a worker's disability as soon as the employer learns of that condition is the very societal ill which the relevant anti-discrimination statutes were designed to combat. The statutes recognize the employer's failure in that regard to be particularly invidious because it forces the worker either to quit his or her job in order

to preserve the worker's health or else to continue working without adequate protective measures and then succumb to a debilitating impairment. Given the statutes' purpose of protecting disabled individuals from this pernicious quandary, we refuse to interpret the State HRL and the City HRL to reward an employer with summary judgment simply because a disabled employee tried to keep his or her livelihood by persevering in the face of the employer's refusal to accommodate the employee's disability, after which the employee became totally disabled.

To the extent HHC suggests that the trial court properly granted it summary judgment because HHC gave plaintiff a dust mask at the QHC site, which he did not always wear, we find that contention unavailing. To be sure, plaintiff received a dust mask from a supervisor, and because the dust mask impeded his ability to communicate, especially over the telephone, he sometimes did not wear the mask. However, plaintiff did wear the dust mask at times, and given that plaintiff's lung disease grew worse despite his use of the mask, triable issues of fact arose regarding the effectiveness of the mask as an alternative reasonable accommodation and any other role the mask might have played in the State HRL and City HRL analyses. Thus, despite plaintiff's failure to fully utilize the limited protection he was given, the dust mask was not necessarily a reasonable alternative to his requested accommodation of a fit-tested respirator, and his failure to use the mask does not indicate that the respirator would have been an unreasonable or ineffective accommodation as a matter of law.

Finally, although plaintiff's disability discrimination causes of action should have survived HHC's summary judgment motion, we decline to reinstate plaintiff's gross negligence cause of action or to consider his unpreserved retaliation claims.

III

In recognizing that plaintiff presented colorable claims of disability discrimination under the City HRL and the State HRL, we do not intimate that plaintiff has a winning case for purposes of trial. Reasonable minds may differ on the persuasiveness of plaintiff's evidence with respect to the actual amount of time he would have been required to spend visiting construction sites at the central office, his ability to have performed any site visits required of him at that location, a respirator's ability to have prevented the further exacerbation of his lung ailment, and the extent to which an interactive process would have led to the

discovery of a reasonable accommodation. Furthermore, although on summary judgment HHC bore the burden of establishing its entitlement to judgment as a matter of law on all aspects of plaintiff's claims, the burden of proof at any trial in this case will not be so generous to plaintiff. At a trial on his State HRL claim, plaintiff will have to prove that a reasonable accommodation existed for his disability, and while HHC will bear the burden of proof on the reasonable accommodation issue in opposing plaintiff's City HRL claim, both statutes require plaintiff to demonstrate that HHC fired him based on his disability and not for some permissible reason.

In sum, we decide only that the trial court erroneously granted summary judgment to HHC based on plaintiff's having become totally disabled after his accommodation request was denied, and that HHC did not demonstrate its entitlement to judgment as a matter of law regarding the other aspects of plaintiff's disability discrimination claims. Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the first and second causes of action of the complaint, and as so modified, affirmed, and the certified question should not be answered as unnecessary.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur.

Order modified, without costs, by reinstating the first and second causes of action in the complaint and, as so modified, affirmed, and certified question not answered as unnecessary.

[Next page is 851.]

